PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 5

Auditing and Ethics

ICAI Question Bank

Every ICAI past-exam, RTP and MTP question for this paper, Nov 2019 to Sep 2026, sorted by chapter and sub-topic, each with ICAI's own answer, word for word.

2,477 questions (794 MCQs, 1,683 descriptive) from 65 ICAI documents · phone edition · made 2026-10-21

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How this book works

- **Sorted by the syllabus.** Chapters and sub-topics follow the January 2027 syllabus (PassBook's lessons). Each question sits under the sub-topic it mainly tests. That placement is PassBook's judgement, most of all for old-scheme papers, which used different chapters.
- **Order inside a sub-topic:** exam papers first, then RTPs, then MTPs, newest attempt first.
- **Every card** shows where it comes from (EXAM RTP MTP), the attempt, ICAI's question number and marks. RTPs print no marks. old scheme marks papers from before May 2024.
- **Questions ICAI repeated** word for word, with the same answer, are printed once. The other documents are listed under *Also asked in* (89 repeats). Where ICAI answered the same question differently in two documents, both are printed, and each card points to the other: *Same question, different ICAI answer*.
- **A case scenario** stays together: the case, all its questions, then ICAI's answers in ICAI's order.
- **ICAI's words, unchanged.** Questions, options and answers are copied from ICAI's PDFs. Each card ends with the PDF pages. Lines marked *PassBook's note* are ours: why a question is out of syllabus, or where the Study Material now teaches a newer law (CARO 2020 for CARO 2016, say). ICAI's own slips are kept as printed.
- **Missing answers.** ICAI has not yet published Suggested Answers for the September 2026 exam (marked * below), and one old MTP's answers are no longer online. Those questions appear without an answer.

- **Out of syllabus** questions are in an appendix at the end (97), so they never get in the way.

Most asked sub-topics

How many separate ICAI documents asked about each sub-topic (repeats counted in every document that printed them). Revise the top rows first.

#	Sub-topic	Documents	Exams
1	Audit of advances, NPAs and drawing power Ch 10	57	16
2	SA 300: planning, overall audit strategy and audit plan Ch 2	50	11
3	SA 230: audit documentation Ch 6	46	8
4	SA 500: sufficient appropriate audit evidence Ch 4	42	8
5	CARO 2020 Ch 8	40	13
6	SA 530: audit sampling Ch 4	40	12
7	Internal control in an IT environment Ch 3	38	12
8	Audit of inventories, receivables, cash and loans and advances Ch 5	38	9

#	Sub-topic	Documents	Exams
9	SA 520: analytical procedures Ch 4	37	9
10	Government audit and the C&AG Ch 9	36	8
11	SA 315: risk assessment procedures and understanding the entity Ch 3	32	7
12	SA 210: agreeing the terms of audit engagements Ch 11	31	9
13	Audit of property, plant, equipment and intangibles Ch 5	30	8
14	Educational institutions, hotels, clubs and hospitals Ch 9	30	7
15	Independence, threats and safeguards Ch 11	30	5

Documents in this book

32 new-scheme and 33 old-scheme ICAI documents. A dash means ICAI published none for that attempt, or it is not in the bank.

Attempt	Exam	RTP	MTP
September 2026	✓*	✓	I, II

Attempt	Exam	RTP	MTP
May 2026	✓	✓	I, II
January 2026	✓	✓	I, II
September 2025	✓	✓	I, II
May 2025	✓	✓	I, II
January 2025	✓	✓	I, II
September 2024	✓	✓	I, II
May 2024	✓	✓	I, II
November 2023 Old P6	✓	✓	I, II
May 2023 Old P6	✓	✓	I, II
November 2022 Old P6	✓	✓	I, II
May 2022 Old P6	✓	✓	I, II
December 2021 Old P6	✓	✓	I, II
July 2021 Old P6	✓	✓	I, II
January 2021 Old P6	✓	–	–
November 2020 Old P6	✓	✓	I
May 2020 Old P6	–	✓	I
November 2019 Old P6	✓	✓	I

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CHAPTER 1

Nature, Objective and Scope of Audit

1.1 What an audit is, why it is needed and its objective

30 questions · asked in 12 ICAI documents · 2 exam papers

1 **EXAM** **Sep 2026** Case Scenario-I · MCQ 1 to MCQ 6

12 marks

CASE SCENARIO-I

XYZ & Co. is serving as the statutory auditor of C Travels Limited. The company is in the business of plying buses for passenger travel. The fleet used comprises of both owned vehicles (20%) as well as vehicles obtained on rent (80%). Due to certain external conditions prevailing in the industry in the state, there was exceptional fluctuation in the profit of the entity as compared to the past years.

CA Rajan, the engagement partner came across certain issues in the audit of purchases and payables. Some of the main issues were that many of the vendor contracts for the buses on rent had expired and further, there was no follow up and receipt of annual fitness certificates on buses obtained on rent. When CA Rajan contacted the CFO for these observations, the CFO stated that the issues which were raised by CA Rajan were in the nature of an investigation and not a statutory audit.

CA Rajan provided the same audit program, as followed in the previous year, to the audit team. Piyush, an audit staff, pointed out that this program only contained the verification steps in respect of hired vehicles and not the owned vehicles which constituted 20% of the fleet. CA Rajan was reluctant to change the audit program as he felt that the audit program should not be modified after the commencement of the audit.

The engagement partner decided to choose profit before tax from continuing operations as a benchmark, while determining the materiality for the financial statements as a whole.

During the verification of the accounts receivables of the entity, the Audit team performed the audit procedures mentioned in the audit program. However, an important audit step which relates to the test of subsequent realizations (after year end) of receivable balances, to be performed was not present in the audit program and was pointed out by a team member.

While verifying the capital and revenue reserves of the company, CA Rajan observed that during the year

(a) The revenue reserve was utilized for Issuing bonus shares and to finance an extension of the business.

(b) The realized capital reserve of the company was utilized for supplementing divisible profits in lean

years and writing down fictitious assets.

At the completion stage of the audit, CA Rajan requested the written representation required under the Standards on Auditing. However, management refused to provide any written representation letter regarding its responsibilities for the preparation of the financial statements and the completeness of information and transactions made available to the auditor by stating that all books and records relevant for the audit had been provided and the responsibility vests with the auditor thereafter.

Based on the above facts, answer the following questions : (1 to 6)

MCQ 1 2 marks

Is the CFO right in stating that auditor cannot review matters such as expired contracts and annual fitness certificates ?

A Yes, audit deals only with the numbers in the financial statements.

B Yes, the procedures followed by the auditor constitute an investigation.

C No, audit also involves an evaluation of internal controls and matters such as these can impact the integrity of the financial statements.

D No, contract verification is an integral element of SA 220.

MCQ 2 2 marks

Is the engagement partner correct in his decision of not revising the audit program ?

A Yes, the audit program was updated before the audit started and are not allowed to be modified thereafter.

B Yes, the staff can still perform those steps without featuring in an audit program and they can always send the same by an e-mail to the engagement partner.

C No, audit procedures would differ for owned buses and hired buses and should be provided for separately by revising the audit program.

D No, audit procedures would differ for owned buses and hired buses and should be provided for separately in the audit program but such program should be updated after informing the management as per SA 580.

MCQ 3 2 marks

Which benchmark should be chosen by the engagement partner in the given circumstances for deciding the materiality for the financial statements as a whole ?

A Profit before tax (of the year under audit), from continuing operations. Exceptional increase and decrease in the profit are irrelevant.

B Normalized profit before tax from continuing operations figure based on past results.

C Benchmark for materiality should be chosen by the management and not the engagement partner.

D The engagement partner is legally bound to use gross income as a benchmark for materiality for such businesses.

MCQ 4 2 marks

Test of subsequent realization, after year end, of receivables, as an audit procedure, impacts which financial statement assertions ?

A Existence and Valuation.

B Valuation and Cut off.

C Cut off and Existence.

D Classification and Existence.

MCQ 5 2 marks

CA Rajan wants to know from you whether the utilisation of the capital and revenue reserves is correct ? What would you advise CA Rajan in this scenario ?

A No, revenue reserve cannot be utilized to finance an extension of business and capital reserve cannot be utilized for supplementing divisible profits in lean years.

B No, revenue reserve cannot be utilized for issuing bonus shares and capital reserve cannot be utilized for supplementing divisible profits in lean years.

C No, revenue reserve cannot be utilized for issuing bonus shares and capital reserve cannot be utilized for writing down fictitious assets.

D Yes, revenue reserve can be utilized for issuing bonus shares and to finance an extension of business further capital reserve can be utilized for supplementing divisible profits in lean years and writing down fictitious assets.

MCQ 6 2 marks

CA Rajan considered the implications of management's refusal to provide the required written representations in the Auditor's report to be issued to the shareholders of the company. With reference to SA 580, state the correct option that CA Rajan should exercise :

A Disclaim an opinion on the financial statements because management has refused to provide required written representations.

B Express an Adverse opinion on the financial statements because management has refused to provide required written representations.

C Express an Unmodified opinion on the financial statements if other sufficient appropriate audit evidence is available.

D Express a Qualified opinion on the financial statements because management has refused to provide required written representations.

ICAI'S ANSWERS

MCQ 1

Answer key: **ICAI has not published the key yet.**

MCQ 2

Answer key: **ICAI has not published the key yet.**

MCQ 3

Answer key: **ICAI has not published the key yet.**

MCQ 4

Answer key: **ICAI has not published the key yet.**

MCQ 5

Answer key: **ICAI has not published the key yet.**

MCQ 6

Answer key: **ICAI has not published the key yet.**

ICAI · P5 · Sep 2026 exam · question p. 2-4

2 EXAM **Sep 2025** Q2(c) 4 marks

CA students Sriranga and Manga were discussing on the assurance, which the auditing services provide to the users, in the form of opinion on financial statements, by means of a written report. Such an assurance lends credibility to financial statements. You are required to state some of the aspects examined by the auditor, to ensure that the financial statements which are audited are not misleading.

ICAI'S ANSWER

Aspects to be examined by the auditor to ensure that the financial statements which are audited are not misleading are as under:

(i) the accounts have been drawn up with reference to entries in the books of account.

(ii) the entries in the books of account are adequately supported by sufficient and appropriate evidence.

(iii) none of the entries in the books of account has been omitted in the process of compilation.

(iv) the information conveyed by the statements is clear and unambiguous.

(v) the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards; and

(vi) the statement of accounts presents a true and fair picture of the operational results and of the assets and liabilities.

ICAI · P5 · Sep 2025 exam · question p. 15 · answer p. 17

3 RTP **Old P6 May 2023** Q3(b) old scheme

An audit is distinct from investigation. However, it is quite possible that sometimes investigation results from the *prima facie* findings of the auditor. Discuss.

ICAI'S ANSWER

Audit is distinct from investigation. Investigation is a critical examination of the accounts with a special purpose. For example, if fraud is suspected and it is specifically called upon to check the accounts whether fraud really exists, it takes character of investigation.

The objective of audit, on the other hand as we have already discussed, is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due

to fraud or error, thereby enabling the auditor to express an opinion.

Therefore, audit is never started with a pre-conceived notion about state of affairs; about wrong-doing; about some wrong having been committed. The auditor seeks to report what he finds in normal course of examination of accounts.

However, it is quite possible that sometimes investigation results from the *prima facie* findings of the auditor. It may happen that auditor has given some findings of serious concern. Such findings may prompt for calling an investigation.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 15

4 RTP **Old P6 May 2020** Q2(a) old scheme

The person conducting audit should take care to ensure that financial statements would not mislead anybody. Explain stating clearly the meaning of Auditing.

ICAI'S ANSWER

"An audit is independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon."

Analysis of the Definition

1. Audit is Independent examination of Financial information.

2. of any entity – that entity may be profit oriented or not and irrespective of its size or legal form. For example – Profit oriented – Audit of Listed company engaged in business. On the other hand, Audit of NGO – not profit oriented.
3. The objective of the audit is to express an opinion on the financial statements.

The person conducting this task should take care to ensure that financial statements would not mislead anybody. This he can do honestly by satisfying himself that:

(i) the accounts have been drawn up with reference to entries in the books of account;

(ii) the entries in the books of account are adequately supported by sufficient and appropriate evidence;

(iii) none of the entries in the books of account has been omitted in the process of compilation and nothing which is not in the books of account has found place in the statements;

(iv) the information conveyed by the statements is clear and unambiguous;

(v) the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards; and

(vi) the statement of accounts present a true and fair picture of the operational results and of the assets and liabilities.

5 MTP **Sep 2026 S-II** Q4(c) 4 marks

Sunrise Foundation, a registered charitable trust engaged in providing free healthcare services in rural areas, appointed A & Co., Chartered Accountants, to audit its financial statements for the year ended 31st March, 2026.

During the preliminary discussions, the Managing Trustee informed the Engagement Partner that one of the partners of the audit firm was his real brother. He further stated that since the Foundation was a charitable organisation and did not earn any profits, the question of auditor's independence was not very important. He also remarked that audit was generally meant for companies and other profit-making organisations, whereas a charitable trust should not require the same level of audit.

The Engagement Partner explained that the principles governing an audit remain the same irrespective of the nature, size or legal form of the entity.

With reference to above facts, explain the meaning of auditing and give an incisive analysis of the principles emerging from its definition in the given situation.

ICAI'S ANSWER

An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when

such an examination is conducted with a view to expressing an opinion thereon".

An incisive analysis of above meaning of auditing brings out following points clearly: -

(i) Audit is an independent examination of financial information.

Independence, here, implies that the judgement of a person is not subordinate to the wishes or direction of another person who might have engaged him. The auditor should be independent of entity whose financial statements are subject to audit so that he can form an opinion without being affected by any influence. Independence increases auditor's ability to act objectively without creeping in of any biases.

(ii) The entity whose financial information is examined need not necessarily be profit oriented like in case of a business. It can be a non-profit organization like an NGO or a charitable trust. Audit can be undertaken in respect of any organization be it a small, medium or large.

(iii) The purpose of audit is to express an opinion on the financial statements.

From the facts of the case, it can be concluded that the Managing Trustee's views are not correct. Audit is an independent examination of the financial information of any entity, whether profit-oriented or not and irrespective of its size or legal form. Therefore, Sunrise Foundation is equally subject to the fundamental principles of auditing, and the

auditor's independence must be maintained to enable the expression of an independent opinion on its financial statements.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 15-16 · answer p. 11

6 MTP **May 2026 S-II** Q1(b) 5 marks

OPQ Ltd. is a widely held company engaged in manufacturing activities. The management of the company is responsible for preparation of financial statements. The shareholders of the company are not involved in day-to-day operations.

Recently, during a board meeting, one of the directors questioned the necessity of conducting a statutory audit, stating that it only increases cost and does not add significant value. However, the CFO of the company argued that audit plays a crucial role in enhancing the reliability of financial information and safeguarding stakeholder interests.

In the given context, explain the benefits of audit to various stakeholders.

ICAI'S ANSWER

Benefits of Audit to various stakeholders are:

- Audited accounts provide high quality information. It gives confidence to users that information on which they are relying is qualitative and it is the outcome of an exercise carried out by following Auditing Standards recognized globally.

- In case of companies, shareholders may or may not be involved in daily affairs of the company. The financial statements are prepared by management consisting of directors. As shareholders are owners of the company, they need an independent mechanism so that financial information is qualitative and reliable. Hence, their interest is safeguarded by an audit.
- An audit acts as a moral check on employees from committing frauds for the fear of being discovered by audit.
- Audited financial statements are helpful to government authorities for determining tax liabilities.
- Audited financial statements can be relied upon by lenders, bankers for making their credit decisions i.e. whether to lend or not to lend to a particular entity.
- An audit may also detect fraud or error or both.
- An audit reviews existence and operations of various controls operating in any entity. Hence, it is useful at pointing out deficiencies.

Therefore, audit is not merely a statutory requirement but an essential mechanism that enhances credibility of financial statements, protects stakeholder interests, and supports informed decision-making.

ICAI · P5 · MTP May 2026 · Series II · question p. 9-10 · answer p. 2-3

7 MTP **May 2025 S-I** MCQ 15 2 marks MCQ

ABC Ltd. appointed CA Jai to conduct the statutory audit. During the audit, the auditor identified some errors in the financial records and he got it corrected. The audited statements were then submitted to tax authorities for compliance purposes. The audit procedures also helped the company improve its record-keeping processes. However, the management assumed that since the financial statements were audited, they could be used to predict future profits with certainty. In view of above, which of the following is not a likely benefit of auditing?

A. Since auditing is connected to future events, audited information can be easily relied upon by users.

B. Errors or frauds may be discovered during audit.

C. Government authorities can make use of audited accounts for different purposes.

D. It can help in bringing out deficiencies in maintenance of financial records.

ICAI'S ANSWER

(A)

ICAI · P5 · MTP May 2025 · Series I · question p. 7 · answer p. 1

8 MTP **Jan 2025 S-II** Q2(c) 4 marks

RST Ltd., a mid-sized trading company, recently faced challenges in securing a bank loan due to doubts about the reliability of its financial statements. The

management realised the importance of having audited accounts to build confidence among lenders and other stakeholders.

Elucidate the benefits and need of an audit.

ICAI'S ANSWER

Benefits and need of Audit:

- Audited accounts provide high quality information. It gives confidence to users that information on which they are relying is qualitative and it is the outcome of an exercise carried out by following Auditing Standards recognized globally.
- In case of companies, shareholders may or may not be involved in daily affairs of the company. The financial statements are prepared by management consisting of directors. As shareholders are owners of the company, they need an independent mechanism so that financial information is qualitative and reliable. Hence, their interest is safeguarded by an audit.
- An audit acts as a moral check on employees from committing frauds for the fear of being discovered by audit.
- Audited financial statements are helpful to government authorities for determining tax liabilities.
- Audited financial statements can be relied upon by lenders, bankers for making their credit

decisions i.e. whether to lend or not to lend to a particular entity.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9 · answer p. 4

9 MTP **Old P6 Nov 2023 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

Sookrit, a CA student, has decided to participate in "Mega Conference of CA Students" being organized by Student Skills Enrichment Board, (Board of Studies-Operations), ICAI to be held in a city in South India. He has decided to try his luck for presenting a paper in one of the technical sessions of the conference on the topic of "Nature, Objective and Scope of Audit". He has to first submit for approval a soft copy of the paper to the competent authority.

While preparing a draft for the presentation, he has included some paragraphs on the topic. Para A requires filling of certain gaps to explain nature of auditing to prospective audience at the conference. Para B and C have certain misleading and false statements which need corrections. Para D needs certain elaborations.

Para A

An audit of financial statements provides _____ assurance to the users of financial statements. It is a_____ level of assurance but it is not_____ assurance. The auditor has to see

effect of misstatement(s) _____. Misstatements in financial statements can arise due to frauds or _____ or both.

Para B

Audit of financial statements should be organized adequately to cover all aspects of the entity relevant to the financial statements being audited. The auditor makes a judgment of reliability and sufficiency of financial information by making a study and assessment of accounting systems and internal controls. He also carries out appropriate tests and procedures. Due to professional training and knowledge acquired by auditor, he can authenticate genuineness of documents. However, he is not expected to perform duties which fall outside his domain of competence. Auditor is not an official investigator.

Para C

The process of audit suffers from certain inbuilt limitations. Inherent limitations of audit may arise due to nature of financial reporting, nature of audit procedures and need to strike a balance between reliability of information and cost of obtaining it. The information being relied upon by the auditor cannot lose its reliability due to historical nature of financial information presented in financial statements. However, future events may affect an entity adversely.

Para D

The chief utility of audit lies in reliable financial statements on the basis of which the state of affairs may be easy to understand. Its basic nature lies in providing assurance i.e., confidence to users of financial statements. Apart from this obvious utility, there are other advantages of an audit. Some or all of those are of considerable value even to those enterprises and organizations where audit is not compulsory.

Try to help him by answering the following questions: -

MCQ 2.1 2 marks

Identify appropriate words to be used in blanks to make the sentences meaningful and relevant in context of theme of the topic.

A absolute, high, complete, individually, uncertainties

B reasonable, high, complete, in totality, errors

C reasonable, moderate, low, in totality, errors

D moderate, low, complete, individually, judgments

MCQ 2.2 2 marks

After reading Para B, which of following statements is false as regards scope of an audit of financial statements is concerned?

A Audit of financial statements should be organized adequately to cover all aspects of the entity relevant to the financial statements being audited.

B The auditor makes a judgment of reliability and sufficiency of financial information by making a study and assessment of accounting systems and internal controls.

C Due to professional training and knowledge acquired by auditor, he can authenticate genuineness of documents.

D Auditor is not an official investigator.

MCQ 2.3 2 marks

After reading Para C, which statement needs to be corrected in draft regarding inherent limitations of audit?

A Inherent limitations of audit may arise due to nature of financial reporting, nature of audit procedures and need to strike a balance between reliability of information and cost of obtaining it.

B The information being relied upon by the auditor cannot lose its reliability due to historical nature of financial information presented in financial statements.

C Future events may affect an entity adversely.

D The process of audit suffers from certain inbuilt limitations.

MCQ 2.4 2 marks

Para D states that an audit provides advantages of considerable value to enterprises. Which of following is not one of advantages of an audit of financial statements of a listed company?

A It acts as a moral check on employees.

B It acts as an appraisal function.

C Its chief advantage lies in safeguarding financial interest of management.

D It is useful for settling trade disputes for higher wages or bonus.

MCQ 2.5 2 marks

Para D states that audit can be of considerable value even to those enterprises where it is not compulsory. In context of companies in India, which of following statements is correct in relation to Companies Act, 2013?

A OPC and small companies are exempted from audit.

B OPC, small companies and section 8 companies are exempted from audit.

C For all companies in India, except Section 8 companies, audit is legally obligatory.

D For all companies in India, audit is legally obligatory.

ICAI'S ANSWERS

MCQ 2.1

(B) reasonable, high, complete, in totality, errors

MCQ 2.2

(C) Due to professional training and knowledge acquired by auditor, he can authenticate genuineness of documents.

MCQ 2.3

(B) The information being relied upon by auditor cannot lose its reliability due to historical nature of financial information presented in financial statements.

MCQ 2.4

(C) Its chief advantage lies in safeguarding financial interest of management.

MCQ 2.5

(D) For all companies in India, audit is legally obligatory.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 3-4 · answer p. 1

10 MTP **Old P6 May 2023 S-II**

Case Scenario 1 · Case Scenario 1, MCQ 1 to Case Scenario 1, MCQ 4

8 marks old scheme

CASE SCENARIO 1

Aastha Ltd. has published its audited financial statements for the year ended 31st March, 2023. A shareholder of Aastha Ltd. raised a point to the promoter of the company questioning the authenticity of the financial statements. The Management of the Company conveyed the shareholder that the same have been audited by a Chartered Accountant as per the provisions of Companies Act,2013.

The same shareholder then noticed that in the last year's financial statements, there was a disclosure

regarding a legal dispute with its competitor. But in the current year's financial statements, there is neither such disclosure nor there is any update on the resolution of the dispute. However, the management did not give any convincing answer regarding lack of disclosure in current year's financial statements.

The Management also revealed in the meeting that there were few fictitious vendors to whom payments worth ₹ 50 lakhs were made by an employee who has been suspended from the office with immediate effect and a case to that effect has been filed in the court of law. The same has also been appropriately disclosed in the financial statements. The Company transferred ₹ 75 lakhs from current year's profit to asset replacement reserve for making another building for the operations of the company.

Based on the above facts, answer the following:

Case Scenario 1, MCQ 1 2 marks

The financial statements audit is a report by the auditor:

A attesting to the truth and fairness of presentation of the financial statements and related disclosures.

B attesting to the truth and fairness of presentation of the financial statements.

C attesting to the truth, transparency and fairness of presentation of the financial statements and related disclosures.

D attesting to the truth, completeness and fairness of presentation of the financial statements and related disclosures.

Case Scenario 1, MCQ 2 2 marks out of syllabus

Non-disclosure of the legal dispute with the competitor of Aastha Ltd.is:

A Misappropriation of assets

B Recording fictitious Journal Entries

C Manipulation of accounts

D Misrepresentation in or intentional omission from financial statements.

Case Scenario 1, MCQ 3 2 marks out of syllabus

Payment to fictitious vendors by the employee of Aastha Ltd. Is:

A Misappropriation of assets

B Intentional misapplication of accounting principles

C Manipulation of accounts

D Misrepresentation in or intentional omission

Case Scenario 1, MCQ 4 2 marks

The appropriation of ₹ 75 lakhs from the revenue profit to asset replacement reserve is:

A Revenue Reserve

B Capital Reserve

C Capital Redemption Reserve

D Capital Revenue Reserve

ICAI'S ANSWERS

Case Scenario 1, MCQ 1

(A) attesting to the truth and fairness of presentation of the financial statements and related disclosures

Case Scenario 1, MCQ 2

(D) Misrepresentation in or intentional omission from financial statements

PassBook's note: Out of syllabus (old scheme): the kinds of fraud (fraudulent financial reporting by misrepresentation or intentional omission, against misappropriation of assets) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

Case Scenario 1, MCQ 3

(A) Misappropriation of assets

PassBook's note: Out of syllabus (old scheme): misappropriation of assets as a kind of fraud is SA 240, see m1-2. Kept as printed: "Aastha Ltd. Is:".

Case Scenario 1, MCQ 4

(B) Capital Reserve

ICAI · Old P6 · MTP May 2023 · Series II · question p. 1-2 · answer p. 1

11 MTP **Old P6 Dec 2021 S-I** Case scenario · Q2(a) to Q2(d)

14 marks old scheme

CASE SCENARIO

Discuss the following:

Q2(a) 4 marks

The person conducting the audit should take care to ensure that financial statements would not mislead

anybody. Explain

Q2(b) 4 marks

Lord Justice Lindley in the course of the judgment in the famous London & General Bank case had succinctly summed up the overall view of what an auditor should be as regards the personal qualities. Explain stating the qualities an auditor should possess.

Q2(c) 3 marks

"In establishing the overall audit strategy, the auditor shall, among other considerations, ascertain the nature, timing and extent of resources necessary to perform the engagement" Explain those considerations in detail.

Q2(d) 3 marks

In case of a Bank, explain the meaning of Funded loans. Also give examples.

ICAI'S ANSWERS

Q2(a)

The person conducting the audit should take care to ensure that financial statements would not mislead anybody. This he can do honestly by satisfying himself that:

(i) the accounts have been drawn up with reference to entries in the books of account;

(ii) the entries in the books of account are adequately supported by sufficient and appropriate evidence;

(iii) none of the entries in the books of account has been omitted in the process of compilation and

nothing which is not in the books of account has found place in the statements;

(iv) the information conveyed by the statements is clear and unambiguous;

(v) the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards; and

(vi) the statement of accounts present a true and fair picture of the operational results and of the assets and liabilities.

Q2(b)

It is not enough to realise what an auditor should be. He is concerned with the reporting on financial matters of business and other institutions. Financial matters inherently are to be set with the problems of human fallibility; errors and frauds are frequent. The qualities required, according to Dicksee, are tact, caution, firmness, good temper, integrity, discretion, industry, judgement, patience, clear headedness and reliability. In short, all those personal qualities that go to make a good businessman contribute to the making of a good auditor. In addition, he must have the shine of culture for attaining a great height. He must have the highest degree of integrity backed by adequate independence. In fact, Code of ethics mentions integrity, objectivity and independence as one of the fundamental principles of professional ethics.

He must have a thorough knowledge of the general principles of law which govern matters with which he is likely to be in intimate contact. The Companies Act need special mention but mercantile law, specially the law relating to contracts, is no less important. Needless to say, where undertakings are governed by a special statute, its knowledge will be imperative; in addition, a sound knowledge of the law and practice of taxation is unavoidable.

He must pursue an intensive programme of theoretical education in subjects like financial and management accounting, general management, business and corporate laws, computers and information systems, taxation, economics, etc. Both practical training and theoretical education are equally necessary for the development of professional competence of an auditor for undertaking any kind of audit assignment.

The auditor should be equipped not only with a sufficient knowledge of the way in which business generally is conducted but also with an understanding of the special features peculiar to a particular business whose accounts are under audit. The auditor, who holds a position of trust, must have the basic human qualities apart from the technical requirement of professional training and education. He is called upon constantly to critically review financial statements and it is obviously useless for him to attempt that task unless his own knowledge is that of an expert. An exhaustive

knowledge of accounting in all its branches is the *sine qua non* of the practice of auditing. He must know thoroughly all accounting principles and techniques.

Lord Justice Lindley in the course of the judgment in the famous *London & General Bank case* had succinctly summed up the overall view of what an auditor should be as regards the personal qualities. He said, "an auditor must be honest that is, he must not certify what he does not believe to be true and must take reasonable care and skill before he believes that what he certifies is true".

Q2(c)

In establishing the overall audit strategy, the auditor shall:

(a) Identify the characteristics of the engagement that define its scope;

(b) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;

(c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;

(d) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and

(e) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Q2(d)

Funded loans are those loans where there is an actual transfer of funds from the bank to the borrower.

Advances comprise of funded amounts by way of:

- Term loans :-
- Cash credits, Overdrafts, Demand Loans
- Bills Discounted and Purchased
- Participation on Risk Sharing basis
- Interest-bearing Staff Loans

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 5 · answer p. 2, 2-3, 3

12 MTP **Old P6 Nov 2019 S-I** Case scenario · Q2(a) to Q2(d)

14 marks old scheme

CASE SCENARIO

Discuss the following:

Q2(a) 4 marks

"An audit is independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon."

Explain stating clearly how the person conducting this task should take care to ensure that financial statements would not mislead anybody.

Q2(b) 4 marks

The relationship between auditing and law is very close one.

Q2(c) 3 marks

The firm's system of quality control should include policies and procedures addressing each and every element of system of quality control. State those elements.

Q2(d) 3 marks

Materiality for the financial statements as a whole may need to be revised as a result of a change in circumstances that occurred during the audit. Explain with the help of example.

ICAI'S ANSWERS

Q2(a)

"An audit is independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon."

Analysis of the Definition

1. Audit is Independent examination of Financial information.
2. of any entity – that entity may be profit oriented or not and irrespective of its size or legal form. For example – Profit oriented – Audit of Listed company engaged in business. On the other hand, Audit of NGO – not profit oriented.

3. The objective of the audit is to express an opinion on the financial statements.

The person conducting this task should take care to ensure that financial statements would not mislead anybody. This he can do honestly by satisfying himself that:

(i) the accounts have been drawn up with reference to entries in the books of account;

(ii) the entries in the books of account are adequately supported by sufficient and appropriate evidence;

(iii) none of the entries in the books of account has been omitted in the process of compilation and nothing which is not in the books of account has found place in the statements;

(iv) the information conveyed by the statements is clear and unambiguous;

(v) the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards; and

(vi) the statement of accounts present a true and fair picture of the operational results and of the assets and liabilities.

Q2(b)

The relationship between auditing and law: The relationship between auditing and law is very close one. Auditing involves examination of various transactions from the view point of whether or not

these have been properly entered into. It necessitates that an auditor should have a good knowledge of business laws affecting the entity. He should be familiar with the law of contracts, negotiable instruments, etc. The knowledge of taxation laws is also inevitable as entity is required to prepare their financial statements taking into account various provisions affected by various tax laws. In analysing the impact of various transactions particularly from the accounting aspect, an auditor ought to have a good knowledge about the direct as well as indirect tax laws.

Q2(c)

ELEMENTS OF A SYSTEM OF QUALITY CONTROL: The firm's system of quality control should include policies and procedures addressing each of the following elements:

(a) Leadership responsibilities for quality within the firm.

(b) Ethical requirements.

(c) Acceptance and continuance of client relationships and specific engagements.

(d) Human resources.

(e) Engagement performance.

(f) Monitoring.

Q2(d)

Revision in Materiality level as the Audit Progresses: Materiality for the financial statements

as a whole (and, if applicable, the materiality level or levels for particular classes of transactions, account balances or disclosures) may need to be revised as a result of a change in circumstances that occurred during the audit (for example, a decision to dispose of a major part of the entity's business), new information, or a change in the auditor's understanding of the entity and its operations as a result of performing further audit procedures.

Example

If during the audit it appears as though actual financial results are likely to be substantially different from the anticipated period end financial results that were used initially to determine materiality for the financial statements as a whole, the auditor revises that materiality.

If the auditor concludes that a lower materiality for the financial statements as a whole (and, if applicable, materiality level or levels for particular classes of transactions, account balances or disclosures) than that initially determined is appropriate, the auditor shall determine whether it is necessary to revise performance materiality, and whether the nature, timing and extent of the further audit procedures remain appropriate.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 2-3, 3

1.2 SA 200: overall objectives, reasonable assurance and professional judgment

48 questions · asked in 24 ICAI documents · 4 exam papers

13 EXAM **May 2026** Case scenario · Q1(a)(i) to Q1(a)(ii) 5 marks

CASE SCENARIO

M/s XYZ & Co., Chartered Accountants, is conducting the statutory audit of ABC Ltd. During the audit, the engagement partner notices certain unusual year-end sales transactions that have significantly increased the company's profits. Management explains that these are genuine transactions and provide supporting invoices.

However, the engagement partner expresses concern that such unusual year-end transactions require deeper examination, notwithstanding the availability of documentation. He emphasizes that an auditor should remain alert to conditions that may indicate possible misstatements. He further remarks that although the firm generally follows a rule-based approach to ethics, auditors should not limit themselves to mere compliance with rules but also uphold the spirit of ethical principles while conducting an audit.

Q1(a)(i) 3 marks

Determine the attitude that the engagement partner expects the audit team to maintain in the above situation. Which risks can be reduced while maintaining such an attitude throughout the audit?

Q1(a)(ii) 2 marks

Distinguish briefly between the principles-based approach and the rules-based approach to ethics.

ICAI'S ANSWERS

Q1(a)(i)

In the given case, the engagement partner expects the audit team to maintain an attitude of professional skepticism throughout the audit, especially while evaluating unusual year-end sales transactions.

Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:

- Overlooking unusual circumstances.
- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

Q1(a)(ii)

Ethical guidance may follow principles-based approach or rules-based approach. The essence of principles-based approach to ethics is that it requires compliance with spirit of ethics. It requires

accountants to exercise professional judgment in every situation based upon their professional knowledge, skill and expertise. It requires that accountants should use professional judgment to evaluate every situation to arrive at conclusions.

However, rules-based approach to ethics strictly follows clearly established rules. It may lead to a narrow outlook and spirit of ethics may be overlooked while strictly adhering to rules. Further, rules-based approach is somewhat rigid as it may not be possible to deal with every practical situation relying upon rules.

Therefore, it is necessary that spirit of code is followed.

ICAI · P5 · May 2026 exam · question p. 12 · answer p. 13, 14

14 EXAM **Old P6 May 2022** Q2(c) 3 marks old scheme

CA N is the auditor of SR Ltd. The auditor expressed his opinion on the financial statements without ascertaining as to whether the financial statements as a whole were free from material misstatements or not. In your opinion, whether CA N has complied with objectives of audit considering the applicability of relevant SA?

ICAI'S ANSWER

Overall Objectives of the Independent Auditor: As per SA-200 "Overall Objectives of the Independent

Auditor", in conducting an audit of financial statements, the overall objectives of the auditor are:

(i) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(ii) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

In the given case of SR Ltd, CA N expressed his opinion on the financial statements of SR Ltd without obtaining reasonable assurance about whether the financial statements as a whole are free from material misstatement or not. Therefore, it can be concluded that CA N did not comply with the objective of audit as stated in SA 200.

ICAI · Old P6 · May 2022 exam · question p. 3 · answer p. 5

15 EXAM **Old P6 Jul 2021** Question 1 · Q1(a) to Q1(h)

16 marks old scheme

QUESTION 1

State with reasons whether the following statements are correct or incorrect. (Answer any seven)

Q1(a) 2 marks

Misstatement in the financial statements is always because of a fraud.

Q1(b) 2 marks

The first auditor of a Multi-State co-operative Society will be appointed in Annual General Meeting.

Q1(c) 2 marks

Assertions refer to the representations by the auditor to consider the different types of the potential misstatements that may occur.

Q1(d) 2 marks

There is a very thin difference between advocacy threats and intimidation threats to an auditor while performing his duty.

Q1(e) 2 marks

In stratified sampling, the conclusion drawn on each stratum can be directly projected to the whole population.

Q1(f) 2 marks

With reference to General IT control, the objective of Data Center and Network Operations is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

Q1(g) 2 marks

In the context of related parties, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater.

Q1(h) 2 marks

The Location of the description of the auditor's responsibilities for the audit of the financial statements is always within the body of the auditor's report.

ICAI'S ANSWERS

Q1(a)

Incorrect: Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is intentional or unintentional. Hence misstatement can arise from error or fraud.

Alternative solution: Misstatement refers to a difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation or disclosure that is required for the item to be in accordance with the applicable financial reporting frame work. Hence misstatement can arise from error or fraud.

Q1(b)

Incorrect: Section 70 of the Multi-State Co-operative Societies Act, 2002 provides that the first auditor or auditors of a Multi-State co-operative society shall be appointed by the board within one month of the date of registration of such society and the auditor or auditors so appointed shall hold office until the conclusion of the first annual general meeting. If the board fails to exercise its powers under this sub-

section, the Multi-State Co-operative Society in the general meeting may appoint the first auditor or auditors.

Q1(c)

Incorrect: Assertions refer to representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

Q1(d)

Incorrect: Advocacy threats, which occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised. e.g. when an auditor deals with shares or securities of the audited company, or becomes the client's advocate in litigation and third party disputes.

Intimidation threats, which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. Basically, these could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees.

So, it can be concluded that there is not very thin difference between the advocacy threats and intimidation threats.

Q1(e)

Incorrect: In case of stratified sampling, the conclusions are drawn on the stratum. The combination of all the conclusions on stratum together will be used to determine the possible effect of misstatement or deviation. Hence the samples are used to derive conclusion only on the respective stratum from where they are drawn and not the whole population.

Q1(f)

Incorrect: Objective of Data Center and Network Operations is to ensure that production systems are processed to meet financial reporting objectives.

Objective of Application system acquisition, development, and maintenance is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

Q1(g)

Correct: In the context of related parties, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for such reasons as the following:

- Management may be unaware of the existence of all related party relationships.
- Related party relationships may present a greater opportunity for collusion, concealment or manipulation by management.

Q1(h)

Incorrect: The description of the auditor's responsibilities for the audit of the financial statement shall be always shown as below -

- Within the body of the auditor's report
- Within an appendix to the auditor's report, in which case the auditor's report shall include a reference to the location of the appendix or

By a specific reference within the auditor's report to the location of such a description on a website of an appropriate authority, where law, regulation or national auditing standards expressly permit the auditor to do so

ICAI · Old P6 · Jul 2021 exam · question p. 33 · answer p. 33, 33-34, 34, 34-35

16 EXAM **Old P6 Nov 2019** Q2(a) 4 marks old scheme

The auditor shall plan and perform an audit with professional skepticism recognizing that circumstances may exist that cause the financial statements to be materially misstated. Discuss any four examples of professional skepticism.

ICAI'S ANSWER

Professional skepticism includes being alert to, for example:

(i) Audit evidence that contradicts other audit evidence obtained.

(ii) Information that brings into question the reliability of documents and responses to inquiries

to be used as audit evidence.

(iii) Conditions that may indicate possible fraud.

(iv) Circumstances that suggest the need for audit procedures in addition to those required by the SAs.

(v) Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:

(a) Overlooking unusual circumstances.

(b) Over generalising when drawing conclusions from audit observations.

(c) Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

ICAI · Old P6 · Nov 2019 exam · question p. 3 · answer p. 3

17 RTP **Jan 2026** Q9

Micky & Associates, Chartered Accountants, were appointed as the auditors of STI Ltd., a Textile manufacturing company, for the financial year 2024-25. Management of the company discussed with the newly appointed auditors that the company has been suffering losses for the last few years and also the Directors are suspecting that accounts are not properly maintained and might contain errors and frauds. So, in the given situation, management of the company requested the auditors to give complete assurance/guarantee about the financial statements of the company.

Can the auditors give complete assurance/guarantee in the above situation? Discuss with reference to objectives of Audit.

ICAI'S ANSWER

As per SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", auditor's objective is to obtain a reasonable assurance whether financial statements as a whole are free from material misstatement whether due to fraud or error.

(i) Reasonable assurance is to be distinguished from absolute assurance. Absolute assurance is a complete assurance or a guarantee that financial statements are free from material misstatements. However, reasonable assurance is not a complete guarantee. Although it is a high-level of assurance, but it is not complete assurance.

Audit of financial statements is carried out by the auditor with professional competence and skills in accordance with Standards on Auditing. Audit procedures are applied in accordance with SAs, audit evidence is obtained and evaluated. On basis of that, conclusions are drawn, and opinion is formed. It leads to high level of assurance which is called reasonable assurance but it is not absolute assurance.

(ii) Misstatements in financial statements can occur due to fraud or error or both. The auditor seeks to obtain reasonable assurance whether financial

statements as a whole are free from material misstatements caused by fraud or error. He has to see effect of misstatements on financial statements as a whole, in totality.

(iii) Obtaining reasonable assurance that financial statements as a whole are free from material misstatements enables the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

(iv) The opinion is reported and communicated in accordance with audit findings through a written report as required by Standards on Auditing.

Thus, it can be concluded that auditors can provide reasonable assurance instead of absolute assurance.

ICAI · P5 · RTP Jan 2026 · question p. 5-6 · answer p. 10

18 RTP **Sep 2025** Case Scenario · Q1 to Q5

CASE SCENARIO

Mohan & Associates were offered the statutory audit of Simi Pvt. Ltd. for the financial year 2024–25. In line with professional requirements, the firm communicated with the outgoing auditor, Veer & Co., to inquire whether there were any professional or other reasons that would preclude them from accepting the appointment. However, no response was received from Veer & Co. for the same.

During the audit, Mr. A, a partner of Mohan & Associates, relied solely on a management

representation letter to support the accounting treatment of certain tax matters that were under appeal and no additional audit procedures were performed to verify the appropriateness of management's treatment of these matters in the financial statements, which may raise concerns regarding the sufficiency and appropriateness of audit evidence obtained.

As Simi Pvt. Ltd. had recently appointed a new accountant who lacked adequate knowledge of the accounting standards applicable to the company, the management requested Mr. A to assist with accounting and bookkeeping services. However, Mr. A declined the request, recognising that providing such services could impair his independence as an auditor.

Meanwhile, Mr. Raj, an investor in Simi Pvt. Ltd., placed full reliance on the audited financial statements, believing they indicated a strong financial position. He assumed that the audit guaranteed the safety of his investment, without any risk of loss.

While finalising the audit documentation, Mr. A prepared the working papers in physical form, under the belief that paper documentation was mandatory.

Based on the above facts, answer the following MCQs:

Q1

The previous auditors, Veer & Co. did not reply to the communication of Mohan & Associates. Which fundamental principle of professional ethics is not followed by them?

- A Objectivity.
- B Integrity.
- C Professional behaviour.
- D Professional competence and due care.

Q2

The auditor did not carry out any other audit procedures to justify management's treatment of the said tax matters under appeal in the financial statements. What is lacking on part of auditor in such a situation?

- A Professional Skepticism.
- B Objectivity.
- C Integrity.
- D Professional Behaviour.

Q3

Mr. A was requested to provide accounting & bookkeeping services to Simi Pvt. Ltd. Identify the type of threat to Independence that may be involved in acceptance of such an engagement.

- A Self- interest threat.
- B Self- review threat.

C Confidentiality.

D Intimidation threat.

Q4

Mr. Raj is confident that investment made by him is completely secure and there is no risk of any loss. Select the correct statement in this regards:

A Audited Financial statements provide absolute assurance therefore money invested by Mr. Raj is absolutely safe.

B Audited Financial statements provide reasonable assurance. It doesn't guarantee complete accuracy.

C Neither (a) nor (b) is correct.

D Both (a) and (b) are correct.

Q5

Mr. A was preparing the documents and audit file in physical (paper) form, believing that it is compulsory to do so. Is Mr. A's understanding, correct? Identify the correct statement regarding the form of an audit file.

A Audit file should be kept in both physical & electronic form.

B Audit file should be kept in physical form only.

C Audit file may be kept in physical or electronic form.

D Audit file should be kept in electronic form only.

ICAI'S ANSWERS

Q1

Answer key: **(C)**

Q2

Answer key: **(A)**

Q3

Answer key: **(B)**

Q4

Answer key: **(B)**

Q5

Answer key: **(C)**

ICAI · P5 · RTP Sep 2025 · question p. 1-2 · answer p. 9

19 **RTP** **Jan 2025** Q9

RST Ltd., a retail company, has set up internal controls requiring all invoices to be stamped and signed by an authorised person in "Goods Receiving Section" of the company stating the date and time of receiving goods in premises to ensure that only those purchase bills are produced for payment for which goods have been actually received.

During the audit, the auditor finds that two employees – a purchasing manager and an accounts clerk – have worked together to bypass this control, submitting fake invoices that resulted in payments for goods that were never received. You are required to state the objectives of an audit, as per SA 200, when it comes to ensuring the reliability of financial statements? Also explain, why auditor can provide only reasonable, rather than

absolute, assurance that the financial statements are free from material misstatement due to fraud or error in the context of the given situation?

ICAI'S ANSWER

In conducting audit of financial statements, objectives of auditor in accordance with SA 200, "Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing" are: -

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

The process of audit suffers from certain inbuilt limitations due to which an auditor cannot obtain an absolute assurance that financial statements are free from misstatement due to fraud or error. These fundamental limitations arise due to the factors such as nature of financial reporting, nature of audit procedures, not in the nature of investigation, timeliness of financial reporting and decrease in relevance of information over time and future events.

Preparation of financial statements involves making many judgments by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, the auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors. One of the premises for conducting an audit is that management acknowledges its responsibility of preparation of financial statements in accordance with applicable financial reporting framework and for devising suitable internal controls. However, such controls may not have operated to produce reliable financial information due to their own limitations.

In the context of RST Ltd., the management designed a control requiring that all invoices be stamped and signed by an authorized person in the Goods Receiving Section to confirm receipt of goods. However, collusion between two employees—the purchasing manager and the accounts clerk—allowed them to bypass this control by submitting fake invoices for payment. Collusion is a significant limitation of internal controls, as it overrides controls designed to prevent such fraud.

Given these factors, the auditor cannot provide absolute assurance that the financial statements are entirely free from material misstatements due to fraud or error.

ICAI · P5 · RTP Jan 2025 · question p. 5 · answer p. 9-10

20 RTP **May 2024** General MCQ 4 MCQ

A Chartered Accountant finds during the course of statutory audit of a company that management is not serious about findings of internal audit reports. No action has been taken on findings of internal auditor and reports for last two quarters are gathering dust.

He has further found that management has not disclosed information relating to transactions with another company. However, he has assiduously gathered that it is a related party by going through annual reports of past years and searching online database on MCA portal.

The described situation most appropriately denotes_____?

A Objectivity

B Professional knowledge

C Independence

D Professional skepticism

ICAI'S ANSWER

(D) Professional skepticism

ICAI · P5 · RTP May 2024 · question p. 7-8 · answer p. 15

21 RTP **May 2024** Q1

M Motors Ltd is a leading Indian automobile manufacturer with many offerings across commercial, passenger and electric vehicles. The Company is pioneering India's electric vehicle transition and enjoys

considerable advantage in one of the fastest growing automotive markets.

GR & Associates have been appointed as its statutory auditors for financial year 2022-23. J and K are newly appointed audit assistants in the firm and are part of engagement team constituted for purpose of audit of M Motors Ltd. However, they are confused about what such an audit tends to achieve. They perceive audit as a guarantee against possible errors or frauds in financial statements. Do you agree with perception of both the assistants? In this context, outline objectives of an independent audit conducted in accordance with Standards on Auditing.

ICAI'S ANSWER

In conducting audit of financial statements, objectives of auditor in accordance with SA-200 "Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing" are: -

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

An analysis of above brings out following points clearly: -

(1) Auditor's objective is to obtain a reasonable assurance whether financial statements as a whole are free from material misstatement whether due to fraud or error.

Reasonable assurance is to be distinguished from absolute assurance. Absolute assurance is a complete assurance or a guarantee that financial statements are free from material misstatements. However, reasonable assurance is not a complete guarantee. Although it is a high-level of assurance but it is not complete assurance.

Audit of financial statements is carried out by the auditor with professional competence and skills in accordance with Standards on Auditing. Audit procedures are applied in accordance with SAs, audit evidence is obtained and evaluated. On the basis of that, conclusions are drawn and opinion is formed. It leads to high level of assurance which is called as reasonable assurance but it is not absolute assurance.

(2) Misstatements in financial statements can occur due to fraud or error or both. The auditor seeks to obtain reasonable assurance whether financial statements as a whole are free from material misstatements caused by fraud or error. He has to see effect of misstatements on financial statements as a whole, in totality.

(3) Obtaining reasonable assurance that financial statements as a whole are free from material misstatements enables the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

(4) The opinion is reported and communicated in accordance with audit findings through a written report as required by Standards on Auditing.

Therefore, perception of both assistants is not proper. Auditor of financial statements does not seek to provide guarantee that financial statements are free from material misstatements caused by frauds or errors. He obtains reasonable assurance.

ICAI · P5 · RTP May 2024 · question p. 8-9 · answer p. 15-17

22 RTP **Old P6 Nov 2023** Q2(b) old scheme

Mr. Z, auditor of the Company, Different and Capable Limited for the financial year 2022-23, explained to audit team members about the objectives of the Independent Auditor in accordance with the relevant Standard on Auditing. Explain those objectives.

ICAI'S ANSWER

As per SA-200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", in

conducting an audit of financial statements, the overall objectives of the auditor are:

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

ICAI · Old P6 · RTP Nov 2023 · question p. 10 · answer p. 17

23 RTP **Old P6 Nov 2022** Q2(b) old scheme

The auditor cannot be expected to disregard past experience of the honesty and integrity of the entity's management and those charged with governance. Nevertheless, a belief that management and those charged with governance are honest and have integrity does not relieve the auditor of the need to maintain professional skepticism. Explain.

ICAI'S ANSWER

The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated.

Professional skepticism includes being alert to, for example:

- Audit evidence that contradicts other audit evidence obtained.
- Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.
- Conditions that may indicate possible fraud.
- Circumstances that suggest the need for audit procedures in addition to those required by the SAs.
- Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:
- Overlooking unusual circumstances.
- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

Professional skepticism is necessary to the critical assessment of audit evidence. It also includes consideration of the sufficiency and appropriateness of audit evidence obtained in the light of the circumstances, for example in the case where fraud risk factors exist and a single document, of a nature that is susceptible to fraud, is the sole supporting evidence for a material financial statement amount.

The auditor may accept records and documents as genuine unless the auditor has reason to believe the contrary. Nevertheless, the auditor is required to consider the reliability of information to be used as audit evidence. In cases of doubt about the reliability of information or indications of possible fraud, the SAs require that the auditor investigate further and determine what modifications or additions to audit procedures are necessary to resolve the matter.

The auditor cannot be expected to disregard past experience of the honesty and integrity of the entity's management and those charged with governance. Nevertheless, a belief that management and those charged with governance are honest and have integrity does not relieve the auditor of the need to maintain professional skepticism.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 17

24 RTP **Old P6 Nov 2020** General MCQ 1 MCQ old scheme

M/s KYC & Co. is a reputed Audit firm in Mumbai. They are appointed as Statutory Auditors of Blessed Ltd. Which of the below is the responsibility of M/s KYC & Co.

A Preparation of financial statements

B Designing, implementation and maintenance of internal control system

C Reporting on true and fair view of financial statements

D Compliance with the applicable law and regulation

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Nov 2020 · question p. 5 · answer p. 12

25 **RTP** **Old P6 Nov 2020** Q2(a) old scheme

Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence. The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated. Explain giving examples.

ICAI'S ANSWER

The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated.

Professional skepticism includes being alert to, for example:

- Audit evidence that contradicts other audit evidence obtained.
- Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.
- Conditions that may indicate possible fraud.

- Circumstances that suggest the need for audit procedures in addition to those required by the SAs.
- Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:
- Overlooking unusual circumstances.
- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 13

26 RTP **Old P6 May 2020** Q2(b) old scheme

Explain the objectives of an Audit as per SA 200.

ICAI'S ANSWER

As per SA-200 "Overall Objectives of the Independent Auditor", in conducting an audit of financial statements, the overall objectives of the auditor are:

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement; and

(b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

ICAI · Old P6 · RTP May 2020 · question p. 6 · answer p. 13

27 MTP **Sep 2026 S-I** Q1(b) 5 marks

RS & Associates, Chartered Accountants, were appointed as the statutory auditors of Zene Biotech Limited, a company engaged in manufacturing pharmaceutical products. During the audit of financial statements for the year ended 31st March 2026, the audit team identified certain issues relating to valuation of inventories, recognition of export revenue and unusual payments made to certain suppliers.

The management represented that the financial statements were prepared in accordance with the applicable financial reporting framework under the Companies Act, 2013. The engagement partner instructed the audit team to conduct audit procedures in accordance with Standards on Auditing so as to obtain sufficient appropriate audit evidence regarding correctness of the financial statements.

The audit team discussed whether the objective of the auditor is to provide complete guarantee regarding accuracy of financial statements or to obtain only a reasonable level of assurance. Further, the audit assistant asked whether the auditor is required merely to verify books of account or also to communicate audit findings through a formal audit report.

In the light of SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in accordance with Standards on Auditing", explain the objectives of audit of financial statements.

ICAI'S ANSWER

Objectives of Audit

In conducting audit of financial statements, objectives of auditor in accordance with SA-200 “Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing” are: -

(i) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(ii) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor’s findings.

(1) Auditor’s objective is to obtain a reasonable assurance whether financial statements as a whole are free from material misstatement whether due to fraud or error.

Reasonable assurance is to be distinguished from absolute assurance. Absolute assurance is a complete assurance or a guarantee that financial statements are free from material misstatements. However, reasonable assurance is not a complete guarantee. Although it is a high-level of assurance but it is not complete assurance.

Audit of financial statements is carried out by the auditor with professional competence and skills in

accordance with Standards on Auditing. Audit procedures are applied in accordance with SAs, audit evidence is obtained and evaluated. On basis of that, conclusions are drawn and opinion is formed. It leads to high level of assurance which is called as reasonable assurance but it is not absolute assurance.

(2) Misstatements in financial statements can occur due to fraud or error or both. The auditor seeks to obtain reasonable assurance whether financial statements as a whole are free from material misstatements caused by fraud or error. He has to see effect of misstatements on financial statements as a whole, in totality.

(3) Obtaining reasonable assurance that financial statements as a whole are free from material misstatements enables the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

(4) The opinion is reported and communicated in accordance with audit findings through a written report as required by Standards on Auditing.

In the given case of Zene Biotech Limited, the issues relating to valuation of inventories, recognition of export revenue and unusual payments to suppliers indicate possible risks of material misstatement in the financial statements due to fraud or error. Therefore, the auditor is required to perform audit procedures in accordance with Standards on

Auditing and obtain sufficient appropriate audit evidence to achieve reasonable assurance that the financial statements as a whole are free from material misstatement. Based on the audit findings, the auditor is also required to express and communicate his opinion through a written audit report in accordance with the Standards on Auditing.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 10-11 · answer p. 2-4

28 MTP **Jan 2026 S-II** Q6(c) 4 marks

CA Rohit is conducting the audit of Suman Exports Ltd. During the audit, he notices that certain sales invoices provided by the client contradict the dispatch records obtained from the warehouse. He also observes that the Managing Director gives evasive answers when asked about certain high-value cash expenses. Additionally, some documents submitted appear to have been altered, and certain transactions seem unusual compared to prior years.

In this context, explain how CA Rohit should apply the concept of professional skepticism. What specific matters should he remain alert to while performing the audit?

ICAI'S ANSWER

Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible

misstatement due to error or fraud, and a critical assessment of audit evidence.

In this situation, several observations such as contradictory sales invoices, altered documents, evasive responses, and unusual transactions indicate that Rohit must increase the level of skepticism.

While exercising professional skepticism, an auditor must remain alert to the following:

- Audit evidence that contradicts other audit evidence obtained. (For example, dispatch records contradicting sales invoices.)
- Information that brings into question the reliability of documents and responses to inquiries used as audit evidence. (Such as altered documents or evasive explanations by management.)
- Conditions that may indicate possible fraud. (For example, unusual transactions and modifications in documents.)
- Circumstances that suggest the need for audit procedures in addition to those required by the SAs. (Given the inconsistencies, Rohit may need to perform additional procedures.)

Thus, based on the circumstances, CA Rohit should maintain professional skepticism, perform additional verification, and critically evaluate all evidence before forming his audit opinion.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 13 · answer p. 12-13

29 MTP **Sep 2025 S-I** Q6(a) 5 marks

You are auditing the financial statements of JEN Ltd., a manufacturing company. During a meeting, Mr. Jai CEO questions the auditor's ability to detect all material misstatements, including those caused by fraud. He insists that since the auditor is a professional, the audit should provide absolute assurance on the accuracy of the financial statements. Is the contention of Mr. Jai correct. Discuss the objectives of auditor in accordance with relevant SA.

ICAI'S ANSWER

In conducting audit of financial statements, objectives of auditor in accordance with SA-200 "Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing" are:

(i) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(ii) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

Audit of financial statements is carried out by the auditor with professional competence and skills in accordance with Standards on Auditing. Audit

procedures are applied in accordance with SAs, audit evidence is obtained and evaluated. On basis of that, conclusions are drawn, and opinion is formed. It leads to high level of assurance which is called as reasonable assurance, but it is not absolute assurance.

It may be noted that absolute assurance is a complete assurance or a guarantee that financial statements are free from material misstatements. However, reasonable assurance is not a complete guarantee. Although it is a high-level of assurance, but it is not complete assurance.

Misstatements in financial statements can occur due to fraud or error or both. The auditor seeks to obtain reasonable assurance whether financial statements as a whole are free from material misstatements caused by fraud or error.

In the given case, Mr. Jai, CEO of JEN Ltd., questions the auditor's ability to detect all material misstatements and insists that auditor should provide absolute assurance. As per SA 200, the auditor's objective is to obtain reasonable assurance. Therefore, contention of the CEO Mr. Jai is not correct.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 11 · answer p. 11-12

30 MTP **Sep 2025 S-II** Q4(b) 5 marks

CA Sulsa is conducting the statutory audit of SATI Ltd. While reviewing the purchase records, she noticed a

large purchase transaction supported by only one internal document. The management responded that this is usual practice and assures her of the document's authenticity. However, the amount involved is material and no external supporting evidence is provided. What should be CA Sulsa 's approach in this situation as per the professional skepticism principle? Why is it important for an auditor to maintain professional skepticism throughout the audit?

ICAI'S ANSWER

In the given case, while reviewing the purchase records, CA Sulsa noticed a large purchase transaction that was supported by only one internal document. The management explained that this was the usual practice and assured her of the document's authenticity. Such a response could affect CA Sulsa's exercise of professional skepticism.

Thus, the auditor CA Sulsa shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated.

Professional skepticism includes being alert to, for example:

- Audit evidence that contradicts other audit evidence obtained.
- Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.
- Conditions that may indicate possible fraud.

- Circumstances that suggest the need for audit procedures in addition to those required by the SAs.

Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:

- Overlooking unusual circumstances.
- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

Professional skepticism is necessary to the critical assessment of audit evidence. It also includes consideration of the sufficiency and appropriateness of audit evidence obtained in the light of the circumstances, for example in the case where fraud risk factors exist and a single document, of a nature that is susceptible to fraud, is the sole supporting evidence for a material financial statement amount.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 10 · answer p. 8-9

31 MTP **May 2025 S-II Q4(b)** 5 marks

The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be

materially misstated. Discuss any five examples of professional skepticism.

ICAI'S ANSWER

Professional skepticism includes being alert to, for example:

(i) Audit evidence that contradicts other audit evidence obtained.

(ii) Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.

(iii) Conditions that may indicate possible fraud.

(iv) Circumstances that suggest the need for audit procedures in addition to those required by the SAs.

(v) Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:

- Overlooking unusual circumstances.
- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 7

32 MTP **Sep 2024 S-I** MCQ 14 2 marks MCQ

Jasmine was of the view that audited financial statements are not a guarantee against probable wrong

doings in the financial matters of companies. What kind of assurance does audit of financial statements provide?

- **A** It provides reasonable assurance meaning a low level of assurance.
- **B** It provides reasonable assurance meaning a high level of assurance.
- **C** It provides reasonable assurance meaning an absolute level of assurance.
- **D** It provides reasonable assurance meaning a moderate level of assurance.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 7 · answer p. 1

33 MTP **Sep 2024 S-II Q1(c)** 4 marks

Truthful Products Private Limited is engaged in trading stationery items. During the year 2023-24, there was a huge fire in one storage location of the company resulting in loss of inventories of ₹ 5 crores. As a result, the operations of the company were badly affected for about two months. Unfortunately, the insurance claim of the company was rejected due to certain defects in the policy issued and loss was booked by company in the year 2023-24 itself. There was no change in nature of business of company in relation to the last year. The

draft financial statements of the company reflect following information:

(Figures in ₹ crores)

Particulars	FY 2022-23	FY 2023-24
Revenue from Operations	80	100
Net profit before tax	6	10

CA D who has been the statutory auditor for past three years, has decided to rely upon the same tests of details as performed in previous years. In the given situation what is lacking on part of the auditor? Discuss.

ICAI'S ANSWER

Maintaining professional skepticism throughout audit is necessary if auditor is to reduce risks of overlooking unusual circumstances and using inappropriate assumptions in determining the nature, time and extent of audit procedures and evaluating results thereof.

In the given situation, revenue from operations of the company have increased from ₹ 80 crores to ₹100 crores despite its operations being affected by fire for about two months. Further, despite loss of inventories to the tune of ₹ 5 crores, financial statements reflect increase in net profit before tax from 7.5% in year 2022-23 to 10% in year 2023-24. Thus, approach of CA D lacks professional skepticism.

In spite of these unusual circumstances, the auditor has decided to rely upon same tests of details as performed in the previous years. The nature and extent of audit procedures need to be suitably altered considering changed circumstances. He may include substantive analytical procedures to analyse variations and seek necessary explanations from management. In case of doubt about the reliability of information or indications of possible fraud, Standards on Auditing require auditor to determine what modifications or additions to audit procedures are necessary to resolve the matter. CA D, the auditor of a listed company, shall document the overall audit strategy, the audit plan and any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 8-9 · answer p. 2-3

34 MTP **Old P6 May 2023 S-I** General MCQ 5 1 mark MCQ old scheme

Which of the following is Incorrect:

A An auditor conducting an audit in accordance with SAs is responsible for obtaining absolute assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

B As described in SA 200, owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements of the financial statements will not be detected, even though the audit is properly planned and performed in accordance with the SAs.

C The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error.

D The risk of the auditor not detecting a material misstatement resulting from management fraud is greater than for employee fraud.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 4-5 · answer p. 1

35 MTP **Old P6 May 2023 S-II** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 3 marks

CA Jatin is the auditor of JP Ltd. The auditor expressed his opinion on the financial statements without ascertaining as to whether the financial statements as a whole were free from material misstatements. Explain w.r.t SA 200.

Q2(b) 4 marks

In establishing overall audit strategy, the auditor shall ascertain the reporting objectives of the engagement to

plan the timing of the audit and the nature of the communications required. Elucidate those cases by which auditor can ascertain the reporting objectives of the engagement.

Q2(c) 4 marks

Discuss the various points which auditor needs to consider in determining whether it is appropriate to use audit evidence about operating effectiveness of controls obtained in previous audit, and if so, the length of the time period that may elapse before retesting a control.

Q2(d) 3 marks

Magical Limited is a company dealing in mobile spare parts and having its showrooms in almost all the states in the country. For FY 2021-22, the company transferred its accounts from manual to computerized system (SAP). PJ & Co., Chartered Accountants have specialization in the system audit and have been appointed as the system auditor. PJ & Co., at the end of the audit concludes that there are certain findings or exceptions in IT environment and IT controls of the company which needs to be assessed and reported. Mention those points of consideration.

ICAI'S ANSWERS

Q2(a)

Overall Objectives of the Independent Auditor: As per SA-200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", in conducting an audit

of financial statements, the overall objectives of the auditor are:

(i) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(ii) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

In the given case of JP Ltd, CA Jatin expressed his opinion on the financial statements of JP Ltd without obtaining reasonable assurance about whether the financial statements as a whole are free from material misstatement or not. Therefore, it can be concluded that CA Jatin did not comply with the objective of audit as stated in SA 200.

Q2(b)

In establishing the overall audit strategy, auditor shall ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required. The cases by which auditor can ascertain the reporting objectives of the engagement are:

(i) The entity's timetable for reporting, such as at interim and final stages.

(ii) The organization of meetings with management and those charged with governance to discuss the nature, timing and extent of the audit work.

(iii) The discussion with management and those charged with governance regarding the expected type and timing of reports to be issued and other communications, both written and oral, including the auditor's report, management letters and communications to those charged with governance.

(iv) The discussion with management regarding the expected communications on the status of audit work throughout the engagement.

Q2(c)

In determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits, and, if so, the length of the time period that may elapse before retesting a control, the auditor shall consider the following:

i. The effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls, and the entity's risk assessment process;

ii. The risks arising from the characteristics of the control, including whether it is manual or automated;

iii. The effectiveness of general IT-controls;

iv. The effectiveness of the control and its application by the entity, including the nature and

extent of deviations in the application of the control noted in previous audits, and whether there have been personnel changes that significantly affects the application of the control;

v. Whether the lack of a change in a particular control poses a risk due to changing circumstances; and

vi. The risks of material misstatement and the extent of reliance on the control.

Q2(d)

At the conclusion of each audit, it is possible that there will be certain findings or exceptions in IT environment and IT controls of the company that need to be assessed and reported to relevant stakeholders including management and those charged with governance viz., Board of directors, Audit committee.

Some points to consider are as follows:

- Are there any weaknesses in IT controls?
- What is the impact of these weaknesses on overall audit?
- Report deficiencies to management – Internal Controls Memo or Management Letter.
- Communicate in writing any significant deficiencies to Those Charged With Governance.

The auditor needs to assess each finding or exception to determine impact on the audit and

evaluate if the exception results in a deficiency in internal control.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 6 · answer p. 3, 3-4

36 MTP **Old P6 May 2022 S-II** General MCQ 9 1 mark MCQ old scheme

Which of the following is the responsibility of the auditor:

A Preparation and presentation of the financial statements in accordance with applicable financial reporting

B Design, implementation and maintenance of internal controls

C Express an opinion on the Financial Statements

D To obtain limited assurance.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 6 · answer p. 1

37 MTP **Old P6 Jul 2021 S-I** Question 1 · Q1(i) to Q1(viii) 16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The primary responsibility for the prevention and detection of fraud rests with the statutory auditor of the company.

Q1(ii) 2 marks

Written representation in itself is a sufficient and appropriate audit evidence about any of the matters with which they deal.

Q1(iii) 2 marks out of syllabus

The auditor appointed by a company under section 139 of the Companies Act, 2013, can be appointed for conducting the audit of cost records of the same company.

Q1(iv) 2 marks

The auditor should update and revise the audit plan as and when required, however, the overall audit strategy once established cannot be changed during the course of audit.

Q1(v) 2 marks

All Non-Governmental Organisations (NGOs) are allowed to maintain accounts either on accrual basis or cash basis.

Q1(vi) 2 marks

As per AS 26, internally generated goodwill is not recognised as an asset .

Q1(vii) 2 marks

No entry is passed for cheques received by the auditee on the last day of the year and not yet deposited with the Bank.

Q1(viii) 2 marks

The inclusion of an Emphasis of Matter paragraph in the Auditor's Report affects the auditor's opinion.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per SA 240 the primary responsibility for the prevention and detection of fraud rests with management. An auditor conducting an audit in accordance with SAs is responsible for obtaining reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error.

PassBook's note: The answer cites SA 240, which the new-scheme Paper 5 syllabus does not name.

Q1(ii)

Incorrect: Written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal .

Q1(iii)

Incorrect: The cost audit shall be conducted by a Cost Accountant who shall be appointed by the Board of such remuneration as may be determined by the members in such manner as may be prescribed. It may be noted that no person appointed under section 139 as an auditor of the company shall be appointed for conducting the audit of cost records.

PassBook's note: Out of syllabus (old scheme): who may be appointed cost auditor and the bar on the company's section 139 auditor conducting its cost audit (section 148 of the

Companies Act, 2013) belonged to old Paper 6's company audit content on cost audit; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover cost audit (it mentions cost records only as a CARO 2020 reporting clause). No tag.

Q1(iv)

Incorrect: The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks.

Q1(v)

Incorrect: NGOs registered under the Companies Act, 2013 must maintain their books of account under the accrual basis as required by the provisions of section 128 of the said Act. If the accounts are not maintained on accrual basis, it would amount to non-compliance of the provision of the Companies Act, 2013. The NGOs which are not registered under the Companies Act, 2013 are allowed to maintain accounts either an accrual basis or cash basis.

Q1(vi)

Correct: As per AS 26, Intangible Assets, internally generated goodwill is not recognised as an asset because it is not an identifiable resource controlled

by the enterprise that can be measured reliably at cost.

Q1(vii)

Incorrect: The person who is controlling the trade receivables should ensure that proper accounting entries have been passed by crediting respective trade receivables account. The balance of cheque in hand should be disclosed along with the cash and bank balances in the financial statements.

Q1(viii)

Incorrect: When the auditor includes an Emphasis of Matter paragraph in the auditor's report, the auditor shall Indicate that the auditor's opinion is not modified in respect of the matter emphasized. Such a paragraph shall refer only to information presented or disclosed in the financial statements. The inclusion of an Emphasis of Matter paragraph in the auditor's report does not affect the auditor's opinion.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 6 · answer p. 1, 2

38 MTP **Old P6 Nov 2019 S-I** MCQ 8 1 mark MCQ old scheme

Professional skepticism is necessary to the critical assessment of

A audit documentation

B audit evidence.

C audit procedures

D All of the above

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2 · answer p. 1

1.3 Inherent limitations of an audit

67 questions · asked in 21 ICAI documents · 2 exam papers

39 **EXAM** **May 2024** Q2(c) **3 marks**

JK Ltd. was having a 'Pager' manufacturing plant and looking at the demand it was of the view that the company will grow continuously in future. But, with the introduction of mobile phones in the market, the plant was shut down completely. The shareholders of the company were of the view that auditor failed to perform their duty and have not informed to them about the company's inability to continue its business, otherwise they might not have suffered the loss. List down the factors giving rise to the inherent limitations due to which auditor cannot provide a guarantee that the financial statements are free from material misstatement due to fraud or error.

ICAI'S ANSWER

Inherent limitations of audit: The process of audit suffers from certain inbuilt limitations due to which an auditor cannot obtain an absolute assurance that financial statements are free from misstatement due to fraud or error. These fundamental limitations arise due to the following factors: -

(1) **Nature of financial reporting:** Preparation of financial statements involves making many judgments by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

(2) **Nature of Audit procedures:** The auditor carries out his work by obtaining audit evidence through performance of audit procedures. However, there are practical and legal limitations on ability of auditor to obtain audit evidence. For example, an auditor does not test all transactions and balances. He forms his opinion only by testing samples. It is an example of practical limitation on auditor's ability to obtain audit evidence.

Management may not provide complete information as requested by auditor. There is no way by which auditor can force management to provide complete information as may be requested by auditor. In case he is not provided with required information, he can only report. It is an example of legal limitation on auditor's ability to obtain audit evidence. Further, fraud may involve sophisticated and carefully organized schemes.

(3) **Not in nature of investigation:** Audit is not an official investigation. Hence, auditor cannot obtain absolute assurance that financial statements are

free from material misstatements due to frauds or errors.

(4) **Timeliness of financial reporting and decrease in relevance of information over time:** The relevance of information decreases over time and auditor cannot verify each and every matter. Therefore, a balance has to be struck between reliability of information and cost of obtaining it.

(5) **Future events:** Future events or conditions may affect an entity adversely. Adverse events may seriously affect ability of an entity to continue its business. The business may cease to exist in future due to change in market conditions, emergence of new business models or products or due to onset of some adverse events.

ICAI · P5 · May 2024 exam · question p. 6 · answer p. 8-9

40 EXAM **Old P6 Jul 2021** Q2(c) 3 marks old scheme

Same question, different ICAI answer: #46 Old P6 RTP May 2020

In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Explain such assertions or subject matters.

ICAI'S ANSWER

In case of certain subject matters, limitations on the auditor's ability to detect material misstatements

are particularly significant. Such assertions or subject matters include:

- Fraud, particularly fraud involving senior management or collusion
- The existence and completeness of related party relationships and transactions.
- The occurrence of non-compliance with laws and regulations.
- Future events or conditions that may cause an entity to cease to continue as a going concern.

ICAI · Old P6 · Jul 2021 exam · question p. 35 · answer p. 36

41 **RTP** **May 2026** Q9

You are appointed as statutory auditor of Zebra Industries Ltd. for FY 2024–25. During the course of audit, you observe that the company's management frequently delays in providing certain documents and explanations requested by you. A portion of the accounting records related to "special procurement" is supported only by basic acknowledgements without proper vendor details. You also notice that some transactions appear to be with entities that may be related to the company, but management denies the existence of any such relationships. Further, during verification, you find that some documents produced as evidence appear unusually uniform and lack standard commercial markings, raising concerns about their authenticity. Since your audit is conducted on a test-

check basis, you are unable to verify all such transactions individually.

Based on the above, explain the inherent limitations of an audit that restrict the auditor from obtaining absolute assurance that the financial statements of Zebra Industries Ltd. are free from material misstatement.

ICAI'S ANSWER

The auditor carries out his work by obtaining audit evidence through performance of audit procedures. However, there are practical and legal limitations on ability of auditor to obtain audit evidence. For example, an auditor does not test all transactions and balances. He forms his opinion only by testing samples. It is an example of practical limitation on auditor's ability to obtain audit evidence.

Management may not provide complete information as requested by auditor. There is no way by which auditor can force management to provide complete information as may be requested by auditor. In case he is not provided with required information, he can only report. It is an example of *legal limitation* on auditor's ability to obtain audit evidence.

The management may consist of dishonest and unscrupulous people and may be, itself, involved in fraud. It may be engaged in concealing fraud by designing sophisticated and carefully organised schemes which may be hard to detect by the auditor. It may produce fabricated documents before auditor to lead him to believe that audit

evidence is valid. However, in reality, such documents could be fake or non-genuine. Auditor is not an expert in authentication of documents. Therefore, he may be led to accept invalid audit evidence on the basis of unauthentic documents.

It is quite possible that entity may have entered into some transactions with related parties. Such transactions may be only paper transactions and may not have actually occurred. The auditor may not be aware of such related party relationships or audit procedures may not be able to detect probable wrong doings in such transactions.

These factors collectively demonstrate that, due to practical constraints, legal boundaries, management fraud risks, and limitations in detecting related party transactions, the auditor can obtain only reasonable assurance and not absolute assurance regarding the accuracy of the financial statements.

ICAI · P5 · RTP May 2026 · question p. 6 · answer p. 12-13

42 **RTP** **Old P6 Nov 2023** Q3(a) old scheme

Also asked in Old P6 RTP May 2020 Q3(a)

There are practical and legal limitations on the auditor's ability to obtain audit evidence. Explain with examples.

ICAI'S ANSWER

The Nature of Audit Procedures: There are practical and legal limitations on the auditor's ability to

obtain audit evidence. For example:

1. There is the possibility that management or others may not provide, intentionally or unintentionally, the complete information that is relevant to the preparation and presentation of the financial statements or that has been requested by the auditor.
2. Fraud may involve sophisticated and carefully organised schemes designed to conceal it. Therefore, audit procedures used to gather audit evidence may be ineffective for detecting an intentional misstatement that involves, for example, collusion to falsify documentation which may cause the auditor to believe that audit evidence is valid when it is not. The auditor is neither trained as nor expected to be an expert in the authentication of documents.
3. An audit is not an official investigation into alleged wrongdoing. Accordingly, the auditor is not given specific legal powers, such as the power of search, which may be necessary for such an investigation.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 17

43 RTP **Old P6 Nov 2023** Q3(b) old scheme

In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Discuss those subject matters.

ICAI'S ANSWER

In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Such assertions or subject matters include:

- Fraud, particularly fraud involving senior management or collusion.
- The existence and completeness of related party relationships and transactions.
- The occurrence of non-compliance with laws and regulations.
- Future events or conditions that may cause an entity to cease to continue as a going concern.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 17-18

44 RTP **Old P6 Nov 2022** Q2(a) old scheme

There are practical and legal limitations on the auditor's ability to obtain audit evidence. Explain giving examples. Also explain the difference between audit and investigation.

ICAI'S ANSWER

The Nature of Audit Procedures: There are practical and legal limitations on the auditor's ability to obtain audit evidence. For example:

1. There is the possibility that management or others may not provide, intentionally or unintentionally, the complete information that is relevant to the preparation and presentation of

the financial statements or that has been requested by the auditor.

2. Fraud may involve sophisticated and carefully organised schemes designed to conceal it. Therefore, audit procedures used to gather audit evidence may be ineffective for detecting an intentional misstatement that involves, for example, collusion to falsify documentation which may cause the auditor to believe that audit evidence is valid when it is not. The auditor is neither trained as nor expected to be an expert in the authentication of documents.
3. An audit is not an official investigation into alleged wrongdoing. Accordingly, the auditor is not given specific legal powers, such as the power of search, which may be necessary for such an investigation.

   We have to clearly understand that audit is distinct from investigation. Investigation is a critical examination of the accounts with a special purpose. For example, if fraud is suspected and it is specifically called upon to check the accounts whether fraud really exists, it takes character of investigation.

   The objective of audit, on the other hand as we have already discussed, is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error,

thereby enabling the auditor to express an opinion.

Therefore, audit is never started with a pre-conceived notion about state of affairs; about wrong-doing; about some wrong having been committed. The auditor seeks to report what he finds in normal course of examination of accounts. However, it is quite possible that sometimes investigation results from the prima facie findings of the auditor. It may happen that auditor has given some findings of serious concern. Such findings may prompt for calling an investigation.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 16

45 RTP **Old P6 Dec 2021** Q3(b) old scheme

There are practical and legal limitations on the auditor's ability to obtain audit evidence. Explain giving examples.

ICAI'S ANSWER

There are practical and legal limitations on the auditor's ability to obtain audit evidence. For example:

1. There is the possibility that management or others may not provide, intentionally or unintentionally, the complete information that is relevant to the preparation and presentation of the financial statements or that has been requested by the auditor.

2. Fraud may involve sophisticated and carefully organised schemes designed to conceal it. Therefore, audit procedures used to gather audit evidence may be ineffective for detecting an intentional misstatement that involves, for example, collusion to falsify documentation which may cause the auditor to believe that audit evidence is valid when it is not. The auditor is neither trained as nor expected to be an expert in the authentication of documents.
3. An audit is not an official investigation into alleged wrongdoing. Accordingly, the auditor is not given specific legal powers, such as the power of search, which may be necessary for such an investigation.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 129

46 RTP **Old P6 May 2020** Q3(b) old scheme

Same question, different ICAI answer: #40 Old P6 Exam Jul 2021

In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Explain such assertions or subject matters.

ICAI'S ANSWER

Other Matters that Affect the Limitations of an Audit: In the case of certain subject matters, limitations on the auditor's ability to detect material

misstatements are particularly significant. Such assertions or subject matters include:

- Fraud, particularly fraud involving senior management or collusion.
- The existence and completeness of related party relationships and transactions.
- The occurrence of non-compliance with laws and regulations.
- Future events or conditions that may cause an entity to cease to continue as a going concern.

ICAI · Old P6 · RTP May 2020 · question p. 6 · answer p. 13-14

47 MTP **Jan 2026 S-II Q5(a)** 5 marks

During audit of Himani Electronics Ltd., the auditor identifies that several purchase bills bearing proper stamps and signatures of authorised person from the "Goods Receiving Section" have been processed and paid. However, during verification of store records, the auditor observes that goods related to some of these bills were never actually received.

On inquiry, it is discovered that the accountant responsible for processing purchase bills and the authorised person in the Goods Receiving Section had colluded, allowing false bills to appear genuine. Management argues that because proper internal controls existed, the auditor should have detected such misstatements and prevented their occurrence.

With reference to inherent limitations of audit, explain why the auditor cannot obtain absolute assurance that

financial statements are free from material misstatement. Also explain how the above situation illustrates these inherent limitations.

ICAI'S ANSWER

The auditor cannot obtain absolute assurance that financial statements are free from material misstatement because the process of audit suffers from certain inbuilt or inherent limitations. Preparation of financial statements involves making many judgments by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, the auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

One of the premises for conducting an audit is that management acknowledges its responsibility for preparation of financial statements in accordance with the applicable financial reporting framework and for devising suitable internal controls. However, such controls may not have operated to produce reliable financial information due to their own limitations.

In Himani Electronics Ltd., management devised a control that all purchase bills should reflect stamp and signatures of an authorised person in the "Goods Receiving Section" stating the date and time of receipt of goods. This control was meant to ensure that only those purchase bills are processed

for payment for which goods have actually been received.

However, the concerned accountant and authorised person in the “Goods Receiving Section” colluded, and false bills were stamped and processed. This is a case of overriding of internal controls due to collusion between two persons. Such probable collusion is itself a limitation of internal controls.

Because such collusion and control failures can occur, an audit provides only reasonable assurance. The existence of proper controls does not eliminate the inherent limitations of audit, nor does it guarantee detection of all frauds or errors. Hence, the auditor cannot obtain absolute assurance that financial statements are free from material misstatement.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 11 · answer p. 9

48 MTP **May 2025 S-II** Q5(c) 4 marks

The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit. Explain.

ICAI’S ANSWER

The process of audit suffers from certain inbuilt limitations due to which an auditor cannot obtain an absolute assurance that financial statements are

free from misstatement due to fraud or error. These fundamental limitations arise due to the following factors: -

(i) **The Nature of Financial Reporting:** The preparation of financial statements involves judgment by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

(ii) **The Nature of Audit Procedures:** There are practical and legal limitations on the auditor's ability to obtain audit evidence such as:

- Possibility that management or others may not provide, intentionally or unintentionally, the complete information relevant for preparation and presentation of FS.
- Fraud may involve sophisticated and carefully organised schemes.

(iii) **Not in the nature of Investigation:** An audit is not an official investigation into alleged wrongdoing. Hence, auditor cannot obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

(iv) **Timeliness of financial reporting and decrease in relevance of information over time:** Relevance of information, and thereby its value, tends to diminish over time, and there is a balance to be

struck between the reliability of information and its cost.

(v) **Future events:** Future events or conditions may affect an entity adversely. Adverse events may seriously affect ability of an entity to continue its business.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 10

49 MTP **Jan 2025 S-II** MCQ 15 2 marks MCQ

Gori told her friends that she had read a news report about how a company had misled its auditors by producing some fabricated documents. Which of the following statements seems to be appropriate in this regard?

A Auditor has to conduct audit by exercising professional skill. But he is not an expert in discovering genuineness of documents. Hence, management consisting of dishonest persons may have led him to rely upon fabricated documents deliberately.

B It was wrong on the part of auditor to rely upon fabricated documents. He must have discovered it as the same falls within the scope of his duties.

C Management cannot mislead auditor due to high level of knowledge and expertise possessed by him. The above is an outlier case-one of the rare, odd cases.

D Although it was wrong on the part of auditor to rely upon fabricated documents, he cannot do anything in the matter. He has to report on the basis of documents provided to him. He has no duty in this regard.

ICAI'S ANSWER

(A)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 8 · answer p. 1

50 MTP **May 2024 S-I** Q2(c) 3 marks

The auditor carries out his work by obtaining audit evidence through performance of audit procedures. However, there are practical and legal limitations on ability of auditor to obtain audit evidence. Give one example each for such practical and legal limitations.

ICAI'S ANSWER

Example of practical limitation on ability of auditor to obtain audit evidence

An auditor does not test all transactions and balances. He forms his opinion only by testing samples. It is an example of practical limitation on auditor's ability to obtain audit evidence.

Example of legal limitation on ability of auditor to obtain audit evidence

Management may not provide complete information as requested by auditor. There is no way by which auditor can force management to provide complete information as may be requested by auditor. In case

he is not provided with required information, he can only report. It is an example of legal limitation on auditor's ability to obtain audit evidence.

ICAI · P5 · MTP May 2024 · Series I · question p. 10 · answer p. 5

51 MTP **May 2024 S-II** Q4(c) 3 marks

Nature of financial reporting itself is one of causes of inherent limitations of audit of financial statements. Explain.

ICAI'S ANSWER

Preparation of financial statements involves making many judgments by management. These judgments may involve subjective decisions or a degree of uncertainty. Therefore, auditor may not be able to obtain absolute assurance that financial statements are free from material misstatements due to frauds or errors.

One of the premises for conducting an audit is that management acknowledges its responsibility of preparation of financial statements in accordance with applicable financial reporting framework and for devising suitable internal controls. However, such controls may not have operated to produce reliable financial information due to their own limitations.

Therefore, nature of financial reporting itself is one of causes inherent limitations of audit.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 8

52 MTP Old P6 Nov 2023 S-II Case scenario · Q2(a) to Q2(d)

14 marks old scheme

CASE SCENARIO

Discuss the following:

Q2(a) 3 marks

An audit does not provide absolute assurance. Discuss how nature of audit procedures itself is one of the reasons due to which audit cannot provide absolute assurance.

Q2(b) 3 marks

While obtaining audit evidence about the effective operation of internal controls, the auditor considers how they were applied, the consistency with which they were applied during the period and by whom they were applied. The concept of effective operation recognises that some deviations may have occurred. Analyse and Explain.

Q2(c) 4 marks

During the audit, the auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the records or documents that may provide information about related party relationships and transactions. Explain in detail with examples.

Q2(d) 4 marks

With respect to audit in an automated environment, explain the following:

(i) Applications

(ii) Automated

(iii) CAATs

(iv) Data Processing

ICAI'S ANSWERS

Q2(a)

The Nature of Audit Procedures: The auditor carries out his work by obtaining audit evidence through performance of audit procedures. There are practical and legal limitations on the auditor's ability to obtain audit evidence. For example:

1. There is possibility that management or others may not provide, intentionally or unintentionally, the complete information that is relevant to the preparation and presentation of the financial statements or that has been requested by the auditor.
2. Fraud may involve sophisticated and carefully organised schemes designed to conceal it. Therefore, audit procedures used to gather audit evidence may be ineffective for detecting an intentional misstatement that involves, for example, collusion to falsify documentation which may cause the auditor to believe that audit evidence is valid when it is not. The auditor is neither trained as nor expected to be an expert in the authentication of documents.
3. An audit is not an official investigation into alleged wrongdoing. Accordingly, the auditor is not given specific legal powers, such as the power of search, which may be necessary for such an investigation.

Q2(b)

While obtaining audit evidence about the effective operation of internal controls, the auditor considers how they were applied, the consistency with which they were applied during the period and by whom they were applied. The concept of effective operation recognises that some deviations may have occurred. Deviations from prescribed controls may be caused by such factors as changes in key personnel, significant seasonal fluctuations in volume of transactions and human error. When deviations are detected, the auditor makes specific inquiries regarding these matters, particularly, the timing of staff changes in key internal control functions. The auditor then ensures that the tests of control appropriately cover such a period of change or fluctuation.

Based on the results of the tests of control, the auditor should evaluate whether the internal controls are designed and operating as contemplated in the preliminary assessment of control risk. The evaluation of deviations may result in the auditor concluding that the assessed level of control risk needs to be revised. In such cases, the auditor would modify the nature, timing and extent of planned substantive procedures.

Before the conclusion of the audit, based on the results of substantive procedures and other audit evidence obtained by the auditor, the auditor should consider whether the assessment of control risk is

confirmed. In case of deviations from the prescribed accounting and internal control systems, the auditor would make specific inquiries to consider their implications. Where, on the basis of such inquiries, the auditor concludes that the deviations are such that the preliminary assessment of control risk is not supported, he would amend the same unless the audit evidence obtained from other tests of control supports that assessment. Where the auditor concludes that the assessed level of control risk needs to be revised, he would modify the nature, timing and extent of his planned substantive procedures.

Q2(c)

During audit, the auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the following records or documents that may provide information about related party relationships and transactions, **for example**:

1. Entity's income tax returns.
2. Information supplied by the entity to regulatory authorities.
3. Shareholder registers to identify the entity's principal shareholders.
4. Statements of conflicts of interest from management and those charged with governance.
5. Records of the entity's investments and those of its pension plans.

6. Contracts and agreements with key management or those charged with governance.
7. Significant contracts and agreements not in the entity's ordinary course of business.
8. Specific invoices and correspondence from the entity's professional advisors.
9. Life insurance policies acquired by the entity.
10. Significant contracts re-negotiated by the entity during the period.
11. Internal auditors' reports.
12. Documents associated with the entity's filings with a securities regulator e.g, prospectuses)

Q2(d)

(i) Applications: These are computer software programs that provide a medium for recording, storage and retrieval of business operations or transactions in electronic format.

(ii) Automated: A task or activity that is routinely performed by a computer system and does not require manual effort

(iii) CAATs: Short form for Computer Assisted Audit Techniques, are a collection of computer-based tools and techniques that are used in an audit for analysing data in electronic form to obtain audit evidence.

(iv) Data Processing: Refers to the systematic recording, storage, retrieval, modification and

transformation of electronic data using information systems.

PassBook's note: ICAI's answer is the key-terms list of old Paper 6's chapter on audit in an automated environment. The January 2027 Study Material teaches the automated environment and CAATs in its Risk Assessment and Internal Control chapter but does not reproduce this list of definitions.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 6 · answer p. 2-3, 3, 3-4

53 MTP **Old P6 May 2023 S-II** General MCQ 11 1 mark

MCQ old scheme

With respect to auditing, which of the following statement is correct:

A. Audited financial statements are absolutely free from all material misstatement due to fraud or error.

B. An audit is an official investigation into alleged wrongdoing and auditor has specific legal powers to conduct investigation

C. The auditor can obtain only a reasonable assurance about whether the financial statement as a whole are free from material misstatement and report on it.

D. An auditor's opinion is an assurance as the future viability of the enterprise or the efficiency or effectiveness of the management.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5-6 · answer p. 1

54 MTP **Old P6 May 2022 S-I** General MCQ 9 1 mark MCQ old scheme

Owing to the _____ limitations of an audit, there is _____ risk that some material misstatements of the financial statements will not be detected, even though the audit is properly planned and performed in accordance with the SAs.

- A Inherent, unavoidable
- B Inherit, complete
- C Management, unavoidable
- D Regulatory, control

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 6 · answer p. 1

55 MTP **Old P6 May 2022 S-I** Question 1 · Q1(i) to Q1(viii) 16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The preparation of financial statements involves judgment by management.

Q1(ii) 2 marks

Evolving one audit programme applicable to all business under all circumstances is not practicable

Q1(iii) 2 marks

Inquiry alone ordinarily does not provide sufficient audit evidence.

Q1(iv) 2 marks

The SAs do not ordinarily refer to inherent risk and control risk separately.

Q1(v) 2 marks out of syllabus

Intentional errors are most difficult to detect and auditors generally devote greater attention to this type

Q1(vi) 2 marks

All automated environments are not complex.

Q1(vii) 2 marks

A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is known as meaningful data.

Q1(viii) 2 marks

An auditor has to report on the matters specified in section 143(1) of the Companies Act, 2013.

ICAI'S ANSWERS

Q1(i)

Correct: The preparation of financial statements involves judgment by management in applying the requirements of the entity's applicable financial reporting framework to the facts and circumstances of the entity. In addition, many financial statement items involve subjective decisions or assessments or a degree of uncertainty, and there may be a range of acceptable interpretations or judgments that may be made.

Q1(ii)

Correct: Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable

Q1(iii)

Correct: Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. Audit procedures to obtain audit evidence can include inspection, observation, confirmation, recalculation, re-performance and analytical procedures, often in some combination, in addition to inquiry. Although inquiry may provide important audit evidence, and may even produce evidence of a misstatement, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls.

Q1(iv)

Correct: The SAs do not ordinarily refer to inherent risk and control risk separately, but rather to a combined assessment of the "risks of material misstatement". However, the auditor may make separate or combined assessments of inherent and

control risk depending on preferred audit techniques or methodologies and practical considerations. The assessment of the risks of material misstatement may be expressed in quantitative terms, such as in percentages, or in non-quantitative terms. In any case, the need for the auditor to make appropriate risk assessments is more important than the different approaches by which they may be made.

Q1(v)

Correct: Intentional errors are most difficult to detect and auditors generally devote greater attention to this type because out of long and sometimes unfortunate experience, auditors have developed a point of view that, if they direct their procedures of discovering the more difficult intentional errors, they are reasonably certain to locate the more simple and far more common unintentional errors on the way.

PassBook's note: Out of syllabus (old scheme): the auditor's attention to intentional errors (errors and frauds and their detection) was part of old Paper 6's Nature of Audit content.

Q1(vi)

Correct: The complexity of an automated environment depends on various factors including the nature of business, level of automation, volume of transactions, use of ERP and so on. There could be environment where dependence on IT and automation is relatively less or minimal and hence, considered less complex or even non-complex.

Q1(vii)

Incorrect A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is known as Data Analytics.

Q1(viii)

Incorrect: The auditor is not required to report on the matters specified in section 143(1) of the Companies Act, 2013 unless he has any special comments to make on any of the items referred to therein. If he is satisfied as a result of the inquiries, he has no further duty to report that he is so satisfied. However, the auditor should make a report to the members in case he finds answer to any of these matters in adverse.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 7 · answer p. 1, 2

56 MTP **Old P6 May 2022 S-II** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

The auditor has to form an opinion on the financial statements within a reasonable period of time and at a reasonable cost. Explain the above statement with reference to "Timeliness of Financial Reporting and the Balance between Benefit and Cost".

Q2(b) 4 marks

You have been appointed as an auditor of MKP Ltd. for the first time. Discuss briefly, the factors to be considered by you while establishing overall audit strategy.

Q2(c) 3 marks

External confirmation procedures frequently are relevant when addressing assertions associated with account balances and their elements but need not be restricted to these items. Apart from confirmations for bank balances and accounts receivables, what are the other situations where external confirmation procedures may provide relevant audit evidence in responding to assessed risks of material misstatement?

Q2(d) 3 marks out of syllabus

Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively.

Illustrate any three techniques by which fraud can be committed by management overriding controls.

ICAI'S ANSWERS

Q2(a)

Timeliness of Financial Reporting and the Balance between Benefit and Cost: The matter of difficulty, time, or cost involved is not in itself a valid basis for the auditor to omit an audit procedure for which there is no alternative or to be satisfied with audit evidence that is less than persuasive. Appropriate planning assists in making sufficient time and resources available for the conduct of the audit.

Notwithstanding this, the relevance of information, and thereby its value, tends to diminish over time, and there is a balance to be struck between the reliability of information and its cost. There is an expectation by users of financial statements that the auditor will form an opinion on the financial statements within a reasonable period of time and at a reasonable cost, recognizing that it is impracticable to address all information that may exist or to pursue every matter exhaustively on the assumption that information is in error or fraudulent until proved otherwise.

Q2(b)

As per SA-300, "Planning an Audit of Financial Statements", the auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan. **In establishing the overall audit strategy, the auditor shall:**

(i) Identify the characteristics of the engagement that define its scope;

(ii) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;

(iii) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;

(iv) Consider the results of preliminary engagement activities and, where applicable, whether

knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and

(v) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Q2(c)

Other examples of situations where external confirmations may be used include the following:

- Inventories held by third parties at bonded warehouses for processing or on consignment
- Property title deeds held by lawyers or financiers for safe custody or as security
- Investments held for safekeeping by third parties, or purchases from stockbrokers but not delivered at the balance sheet date
- Amounts due to lenders, including relevant terms of repayment and restrictive covenants.
- Accounts payable balances and terms
- Long outstanding share application money.

Q2(d)

Techniques of fraud committed by Management:
Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Fraud can be committed by management overriding controls using such techniques as:

(1) Recording fictitious journal entries, particularly close to the end of an accounting period, to

manipulate operating results or achieve other objectives

(2) Inappropriately adjusting assumptions and changing judgments used to estimate account balances

(3) Omitting, advancing or delaying recognition in the financial statements of events and transactions that have occurred during the reporting period

(4) Concealing, or not disclosing, facts that could affect the amounts recorded in the financial statements

(5) Engaging in complex transactions that are structured to misrepresent the financial position or financial performance of the entity

(6) Altering records and terms related to significant and unusual transactions.

PassBook's note: Out of syllabus (old scheme): the techniques by which management overrides controls to commit fraud are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 7 · answer p. 2, 3

57 MTP **Old P6 Dec 2021 S-I** Case scenario · Q1(i) to Q1(viii)

16 marks old scheme

CASE SCENARIO

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The auditor is expected to, and can, reduce audit risk to zero and can therefore obtain absolute assurance.

Q1(ii) 2 marks

The concept of materiality is an important and relevant consideration for the auditor in financial statement.

Q1(iii) 2 marks

Audit evidence obtained from external confirmation is always reliable.

Q1(iv) 2 marks out of syllabus

CA K has resigned as an auditor after 2 months of his appointment in NML Ltd. He needs to file ADT-4 with the Registrar within 60 days from the date of resignation.

Q1(v) 2 marks

Satisfactory Control environment is an absolute deterrent to fraud.

Q1(vi) 2 marks out of syllabus

K Ltd., a non-government company, was incorporated on 01-10-2019. Mr. B, Managing Director of K Ltd., himself appointed the first auditor of the company on 31-12-2019.

Q1(vii) 2 marks

All Non-Governmental Organisations (NGOs) registered under the Companies Act, 2013 are allowed to maintain accounts either on accrual basis or cash basis.

Q1(viii) 2 marks

When auditing in an automated environment, inquiry is often the most efficient and effective audit testing

method.

ICAI'S ANSWERS

Q1(i)

Incorrect: The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit.

Q1(ii)

Correct: The concept of materiality is fundamental to the process of accounting. It covers all the stages from recording to classification and presentation. It is very important for the auditor who has constantly to judge whether a particular item is material or not and ensure that a material item is disclosed separately and distinctly.

Q1(iii)

Incorrect: The reliability of information to be used as audit evidence, and therefore of the audit evidence itself, is influenced by its source and its nature, and the circumstances under which it is obtained, including the controls over its preparation and maintenance where relevant. Even when information to be used as audit evidence is obtained from sources external to the entity, circumstances may exist that could affect its reliability.

Q1(iv)

Incorrect: As per section140(2) of the Companies Act, 2013, the auditor who has resigned from the

company shall file within a period of 30 days from the date of resignation, a statement in the prescribed Form ADT–3(as per Rule 8 of CAAR) with the company and the Registrar.

PassBook's note: Out of syllabus (old scheme): the resignation of a company's auditor under section 140(2) of the Companies Act, 2013 (Form ADT-3 and its time limit) was part of old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors).

Q1(v)

Incorrect: The existence of a Satisfactory Control environment can be a positive factor when an auditor assesses the risk of material misstatement. However, although it may help reduce the risk of fraud, a satisfactory Control environment is not an absolute deterrent to fraud.

Q1(vi)

Incorrect: Section 139(6) of the Companies Act, 2013 lays down that the first auditor of a company shall be appointed by the Board of Directors within 30 days from the date of registration of the company. In view of the above, the appointment of first auditor made by the managing director is in violation of the provisions of the Companies Act, 2013

PassBook's note: Out of syllabus (old scheme): the appointment of the first auditor of a non-Government company by the Board of Directors under section 139(6) of the Companies Act, 2013 belonged to old Paper 6's Company Audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment of a company's auditor (the Study Material names only the C&AG's appointment of a Government company's auditor), so no sub-topic fits. No tag. ICAI's answer ends without a full stop.

Q1(vii)

Incorrect: NGOs registered under the Companies Act, 2013 must maintain their books of account under the accrual basis as required by the provisions of section 128 of the said Act. If the accounts are not maintained on accrual basis, it would amount to non-compliance of the provision of the Companies Act, 2013. The NGOs which are not registered under the Companies Act, 2013 are allowed to maintain accounts either an accrual basis or cash basis.

Q1(viii)

Incorrect: There are basically four types of audit tests that should be used in an automated environment. They are inquiry, observation, inspection and re-performance. Inquiry is the most efficient audit test but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient. Applying inquiry in combination with inspection gives the most effective and efficient audit evidence.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 5 · answer p. 1, 2

58 MTP **Old P6 Dec 2021 S-II** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The preparation of financial statements involves judgment by management.

Q1(ii) 2 marks

Evolving one audit programme applicable to all business under all circumstances is not practicable

Q1(iii) 2 marks

Inquiry alone ordinarily does not provide sufficient audit evidence.

Q1(iv) 2 marks

The SAs do not ordinarily refer to inherent risk and control risk separately.

Q1(v) 2 marks out of syllabus

Intentional errors are most difficult to detect and auditors generally devote greater attention to this type

Q1(vi) 2 marks

All automated environments are not complex.

Q1(vii) 2 marks

A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is known as meaningful data.

Q1(viii) 2 marks

When auditing in an automated environment, inquiry is often the most efficient and effective audit testing method.

ICAI'S ANSWERS

Q1(i)

Correct: The preparation of financial statements involves judgment by management in applying the requirements of the entity's applicable financial reporting framework to the facts and circumstances of the entity. In addition, many financial statement items involve subjective decisions or assessments or a degree of uncertainty, and there may be a range of acceptable interpretations or judgments that may be made.

Q1(ii)

Correct: Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable

Q1(iii)

Correct: Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. Audit procedures to obtain audit evidence can include inspection, observation, confirmation, recalculation, re-performance and analytical procedures, often in some combination, in addition to inquiry. Although inquiry may provide important audit evidence, and may even produce evidence of a misstatement,

inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls.

Q1(iv)

Correct: The SAs do not ordinarily refer to inherent risk and control risk separately, but rather to a combined assessment of the "risks of material misstatement". However, the auditor may make separate or combined assessments of inherent and control risk depending on preferred audit techniques or methodologies and practical considerations. The assessment of the risks of material misstatement may be expressed in quantitative terms, such as in percentages, or in non-quantitative terms. In any case, the need for the auditor to make appropriate risk assessments is more important than the different approaches by which they may be made.

Q1(v)

Correct: Intentional errors are most difficult to detect and auditors generally devote greater attention to this type because out of long and sometimes unfortunate experience, auditors have developed a point of view that, if they direct their procedures of discovering the more difficult intentional errors, they are reasonably certain to locate the more simple and far more common unintentional errors on the way.

PassBook's note: Out of syllabus (old scheme): the auditor's attention to intentional errors (errors and frauds and their detection) was part of old Paper 6's Nature of Audit content; The January 2027 Study Material speaks of misstatements due to fraud or error (SA 200) but not of intentional and unintentional errors, so the item carries only its nearest chapter (as o-p6-mtp-nov2022-s1 and o-p6-mtp-may2022-s1, which ask the same statement).

Q1(vi)

Correct: The complexity of an automated environment depends on various factors including the nature of business, level of automation, volume of transactions, use of ERP and so on. There could be environment where dependence on IT and automation is relatively less or minimal and hence, considered less complex or even non-complex.

Q1(vii)

Incorrect A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is known as Data Analytics.

Q1(viii)

Incorrect: There are basically four types of audit tests that should be used in an automated environment. They are inquiry, observation, inspection and re-performance. Inquiry is the most efficient audit test but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient. Applying inquiry in combination with inspection gives the most effective and efficient audit evidence.

59 MTP **Old P6 Jul 2021 S-II** Question 1 · Q1(i) to Q1(viii)

16 marks | old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

There are inherent limitations of an audit, which result in most of the audit evidence on which the auditor draws conclusions and bases the auditor's opinion being conclusive rather than persuasive.

Q1(ii) 2 marks | out of syllabus

Audit notes can serve as a guide in framing Audit programme.

Q1(iii) 2 marks

The terms of audit engagement can restrict the scope of an audit. ·

Q1(iv) 2 marks

If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall include an Emphasis of Matter paragraph in the auditor's report.

Q1(v) 2 marks | out of syllabus

Few members of the Board of Directors oppose the appointment of Mr. N, an employee of the company, as an Internal Auditor, stating that Mr. N is not a chartered

accountant and further he is an employee of the company.

Q1(vi) 2 marks

Article 150 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the Finance Minister may on the advice of the C&AG prescribe.

Q1(vii) 2 marks

LLP need not file a "Statement of Accounts and Solvency".

Q1(viii) 2 marks

It is the function of an audit to establish that payments have been made validly to the persons who are shown to be recipients.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per SA 200, the auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit, which result in most of the audit evidence on which the auditor draws conclusions and bases the auditor's opinion being persuasive rather than conclusive.

Q1(ii)

Correct: Audit notes can serve as a guide in framing audit programme in the future as they indicate the

weaknesses in the system of the client which specially need to be watched.

PassBook's note: Out of syllabus (old scheme): audit notes (the audit note book) and their use in framing the next audit programme were part of old Paper 6's audit programme and documentation content; The January 2027 Study Material's chapters on the audit programme and on audit documentation (SA 230) do not mention audit notes, so the item carries only its nearest chapter (audit strategy, planning and programme).

Q1(iii)

Incorrect: The scope of an audit of financial statements will be determined by the auditor for having regard to the terms of the engagement, the requirement of relevant legislation and the pronouncements of the Institute. The terms of engagement cannot, however, restrict the scope of an audit in relation to matters which are prescribed by legislation or by the pronouncements of the Institute.

Q1(iv)

Incorrect: If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall express a qualified opinion or a disclaimer of opinion, as appropriate, in accordance with SA 705.

Q1(v)

Incorrect: As per section 138, the internal auditor shall either be a chartered accountant or a cost accountant (whether engaged in practice or not), or such other professional as may be decided by the Board to conduct internal audit of the functions and

activities of the companies. The internal auditor may or may not be an employee of the company.

PassBook's note: Out of syllabus (old scheme): who may be a company's internal auditor under section 138 of the Companies Act, 2013 belonged to old Paper 6's company audit content.

Q1(vi)

Incorrect: Article 150 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.

Q1(vii)

Incorrect: A LLP shall be under obligation to maintain annual accounts reflecting true and fair view of its state of affairs. A "Statement of Accounts and Solvency" in prescribed form shall be filed by every LLP with the Registrar every year.

Q1(viii)

Correct: It is the function of audit to establish that payments have been made validly to persons who are shown to be recipients. For checking the validity of a transaction, it is usually necessary to refer to documentary evidence.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 4 · answer p. 1, 2

60 MTP **Old P6 Nov 2020 S-I** Case scenario · Q2(a) to Q2(d)

14 marks old scheme

CASE SCENARIO

Discuss the following:

Q2(a) 3 marks

There are practical and legal limitations on the auditor's ability to obtain audit evidence.

Explain with the help of examples.

Q2(b) 4 marks

DEF & Co. Chartered Accountants successfully carried out the audit of Shree Garments for the f.y. 2019-2020. After the completion of the audit, there were found material misstatements due to fraud in the financial statements which were not noticed and reported by the auditor. Management alleges that it is failure on the part of auditor. Comment.

Q2(c) 4 marks

There are two interlinked perspectives of independence of auditors, one, independence of mind; and two, independence in appearance. Explain.

Q2(d) 3 marks

"Professional judgment is essential to the proper conduct of an audit." Discuss.

ICAI'S ANSWERS

Q2(a)

The Nature of Audit Procedures: There are practical and legal limitations on the auditor's ability to obtain audit evidence. For example:

1. There is the possibility that management or others may not provide, intentionally or unintentionally, the complete information that is relevant to the preparation and presentation of

the financial statements or that has been requested by the auditor.

2. Fraud may involve sophisticated and carefully organised schemes designed to conceal it. Therefore, audit procedures used to gather audit evidence may be ineffective for detecting an intentional misstatement that involves, for example, collusion to falsify documentation which may cause the auditor to believe that audit evidence is valid when it is not. The auditor is neither trained as nor expected to be an expert in the authentication of documents.
3. An audit is not an official investigation into alleged wrongdoing. Accordingly, the auditor is not given specific legal powers, such as the power of search, which may be necessary for such an investigation.

Q2(b)

Because of the limitations of an audit, there is an unavoidable risk that some material misstatements of the financial statements may not be detected, even though the audit is properly planned and performed in accordance with SAs. Accordingly, the subsequent discovery of a material misstatement of the financial statements resulting from fraud or error does not by itself indicate a failure to conduct an audit in accordance with SAs. However, the inherent limitations of an audit are not a justification for the auditor to be satisfied with less-than-persuasive audit evidence. Whether the

auditor has performed an audit in accordance with SAs is determined by the audit procedures performed in the circumstances, the sufficiency and appropriateness of the audit evidence obtained as a result thereof and the suitability of the auditor's report based on an evaluation of that evidence in light of the overall objectives of the auditor.

Q2(c)

There are two interlinked perspectives of independence of auditors, one, independence of mind; and two, independence in appearance. The Code of Ethics for Professional Accountants issued by International Federation of Accountants (IFAC) defines the term 'Independence' as follows:

"Independence is: (i) Independence of mind – the state of mind that permits the provision of an opinion without being affected by influences allowing an individual to act with integrity, and exercise objectivity and professional skepticism; and

(ii) Independence in appearance – the avoidance of facts and circumstances that are so significant that a third party would reasonably conclude an auditor's integrity, objectivity or professional skepticism had been compromised."

Q2(d)

Professional judgment is essential to the proper conduct of an audit. This is because interpretation of relevant ethical requirements and the SAs and the informed decisions required throughout the audit

cannot be made without the application of relevant knowledge and experience to the facts and circumstances. Professional judgment is necessary in particular regarding decisions about:

(i) Materiality and audit risk.

(ii) The nature, timing, and extent of audit procedures used to meet the requirements of the SAs and gather audit evidence.

(iii) Evaluating whether sufficient appropriate audit evidence has been obtained, and whether more needs to be done to achieve the objectives of the SAs and thereby, the overall objectives of the auditor.

(iv) The evaluation of management's judgments in applying the entity's applicable financial reporting framework.

(v) The drawing of conclusions based on the audit evidence obtained, for example, assessing the reasonableness of the estimates made by management in preparing the financial statements.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 2, 2-3, 3

61 MTP **Old P6 May 2020 S-I** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The auditor is expected to and can reduce audit risk to zero

Q1(ii) 2 marks

SQC1 requires engagement partner to establish policies and procedures for the timely completion of the assembly of audit files. An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 30 days after the date of the auditor's report.

Q1(iii) 2 marks

It is important for the auditor that each party should be clear about the nature of the engagement.

Q1(iv) 2 marks

If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall include an Emphasis of Matter paragraph in the auditor's report.

Q1(v) 2 marks out of syllabus

Managing Director of Pigeon Ltd. himself wants to appoint CA. Champ, a practicing Chartered Accountant, as first auditor of the company.

Q1(vi) 2 marks

Article 150 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the Finance Minister may on the advice of the C&AG prescribe.

Q1(vii) 2 marks

LLP need not file a "Statement of Accounts and Solvency".

Q1(viii) 2 marks

Depending on how the business operates, the management may value inventory using weighted average basis.

ICAI'S ANSWERS

Q1(i)

Incorrect: The objective of audit is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement. In auditing, reasonable assurance can be given which is high level assurance but not absolute assurance. The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit.

Q1(ii)

Incorrect: SQC1" Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files. An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report.

Q1(iii)

Incorrect: It is important, both for the auditor and client, that each party should be clear about the nature of the engagement. It must be reduced to writing and should exactly specify the scope of the work.

Q1(iv)

Incorrect: If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall express a qualified opinion or a disclaimer of opinion, as appropriate, in accordance with SA 705.

Q1(v)

Incorrect: Section 139(6) of the Companies Act, 2013 lays down that the first auditor of a company shall be appointed by the Board of Directors within 30 days from the date of registration of the company. In the instant case, the proposed appointment of CA. Champ, a practicing Chartered Accountant, as first auditor by the Managing Director of Pigeon Ltd. by himself is in violation of Section 139(6) of the Companies Act, 2013, which authorizes the Board of Directors to appoint the first auditor of the company.

In view of the above, the Managing Director of Pigeon Ltd. should be advised not to appoint the first auditor of the company.

PassBook's note: Out of syllabus (old scheme): the appointment of a company's first auditor by the Board of Directors within 30 days of registration (section 139(6) of the Companies Act, 2013)

belonged to old Paper 6's company audit chapter (appointment of auditors).

Q1(vi)

Incorrect: Article 150 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.

Q1(vii)

Incorrect: A LLP shall be under obligation to maintain annual accounts reflecting true and fair view of its state of affairs. A "Statement of Accounts and Solvency" in prescribed form shall be filed by every LLP with the Registrar every year.

Q1(viii)

Incorrect: Depending on how the business operates, the management may value inventory using First-in first-out (FIFO) or weighted average basis

ICAI · Old P6 · MTP May 2020 · Series I · question p. 5 · answer p. 1, 2

1.4 Scope of audit, engagement types and qualities of an auditor

16 questions · asked in 11 ICAI documents · 2 exam papers

62 EXAM **Sep 2026** Q4(c) 4 marks

Aroma Appliances Ltd. is engaged in the manufacturing of household kitchen equipment such as coffee machines and blenders. During the statutory audit for FY 2025-26, the auditor, CA P, observed that the company had not disclosed in the notes to accounts a pending case filed by a consumer claiming ₹ 50 lakhs

as damages for an allegedly defective coffee maker. This amount is material in relation to the financial statements of the Company.

When CA P questioned the omission, the company's management argued that since the matter relates to a possible future outcome and not to the current year's transactions, such matters are not part of the auditor's responsibility.

(i) Explain with reason whether above matter falls within the scope of an audit ?

(ii) Further, state and explain the important points in relation to the scope of an audit of financial statements.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 20

63 **EXAM** **Sep 2024** **Q1(c)** **3 marks**

PD & Co., Chartered Accountants, were appointed as the statutory auditors of MR Limited for the financial year 2023-24. MR Limited included the following clause in the appointment letter to the auditors: "The Auditor shall be responsible for detecting the frauds that may happen in the company during the financial year 2023-24."

The auditor objected to inclusion of such a clause in the appointment letter. Discuss in the light of scope of audit.

ICAI'S ANSWER

Scope of Audit in detection of Fraud: In conducting audit of financial statements objectives of auditor, in accordance with SA 200, "Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing" is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion.

An audit is not an official investigation into alleged wrongdoing. The auditor does not have any specific legal powers of search or recording statements of witness on oath which may be necessary for carrying out an official investigation.

Audit is distinct from investigation. Investigation is a critical examination of the accounts with a special purpose. For example, if fraud is suspected and it is specifically called upon to check the accounts whether fraud really exists, it takes character of investigation.

The scope of audit is general and broad whereas scope of investigation is specific and narrow.

Thus, inclusion of such a clause in the engagement letter is uncalled for and outside the scope of audit.

ICAI · P5 · Sep 2024 exam · question p. 10 · answer p. 12

64 RTP **May 2026** Q6 MCQ

During the audit of QRS Ltd. for the year ended 31 March 2025, the auditor observed that management had changed the method of depreciation from Written Down Value Method to Straight Line Method. The change was applied in the current year and disclosed in the notes to accounts. The auditor also reviewed whether the financial statements appropriately summarised the transactions and events recorded and evaluated the judgments made by management in selecting and applying accounting policies consistently.

In the above case, which of the following represents the auditor's responsibility while evaluating the financial statements?

A To select the most appropriate accounting policies for the entity.

B To prepare and present the financial statements in accordance with applicable statutory requirements.

C To change the accounting policies where they do not reflect true and fair view.

D To ensure that accounting policies selected by management are evaluated for appropriateness and consistent application and that relevant information is properly disclosed.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · RTP May 2026 · question p. 4 · answer p. 12

65 RTP Sep 2025 Q9

Mini & Associates, Chartered Accountants, were appointed as the auditor of CIN Ltd., a construction company. During the audit, CA Mini, a Partner of the firm noticed the following:

- The company has several ongoing projects, but only selected project revenues have been reported.
- Several expense vouchers are either missing or are handwritten and lack proper authorisation.
- The company has changed its depreciation method from the straight-line method to the written-down value method without adequate disclosure in the financial statements.

These matters were brought to the attention of management. However, management argued that these issues fall outside the auditor's scope of responsibility. Whether contention of the management is correct?

ICAI'S ANSWER

The following points are included in scope of audit of financial statements:

(1) Coverage of all aspects of entity

Audit of financial statements should be organised adequately to cover all aspects of the entity relevant to the financial statements being audited.

(2) Reliability and sufficiency of financial information

The auditor should be reasonably satisfied that information contained in underlying accounting

records and other *source* data (like bills, vouchers, documents etc.) is reliable and sufficient basis for preparation of financial statements.

The auditor makes a judgment of reliability and sufficiency of financial information by making a study and assessment of accounting systems and internal controls and by carrying out appropriate tests, enquiries and procedures.

(3) Proper disclosure of financial information

The auditor should also decide whether relevant information is properly disclosed in the financial statements. He should also keep in mind applicable statutory requirements in this regard.

It is done by ensuring that financial statements properly summarize transactions and events recorded therein and by considering the judgments made by management in preparation of financial statements.

In view of above, the management's contention is not correct. The matters identified by CA Mini such as incomplete revenue recognition, missing or unauthorised expense vouchers, and inadequate disclosure of changes in accounting policy are well within the scope of the audit of financial statements, as they impact the reliability, completeness, and proper presentation of financial information.

ICAI · P5 · RTP Sep 2025 · question p. 4-5 · answer p. 9-10

66 RTP **May 2025** Q9

XYZ Ltd., a manufacturing company based in India, operates multiple plants across the country and deals in complex machinery, which requires specialized maintenance and valuation expertise. XYZ Ltd. appointed CA Dhruv as Statutory auditor. During the audit, he observed that the management consistently applied the same method for valuation of inventory over the past few years, but this year, without proper disclosure, they switched to a different valuation method, which resulted in higher reported profits. Does such a matter fall within scope of audit?

ICAI'S ANSWER

The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. The scope of audit of financial statements includes coverage of all aspects of entity, reliability and sufficiency of financial information and proper disclosure of financial information.

In the given situation, CA. Dhruv observed that the management consistently applied the same method for valuation of inventory over the past few years, but this year, without proper disclosure, they switched to a different valuation method, which resulted in higher profits. Since proper disclosure of financial information is covered under the scope of audit, thus, the auditor should decide whether relevant information is properly disclosed in the financial statements. He should also keep in mind applicable statutory requirements in this regard.

The management responsible for preparation and presentation of financial statements makes many judgments in this process of preparing and presenting financial statements. For example, choosing appropriate accounting policies in relation to various accounting issues like choosing method of charging depreciation on fixed assets or choosing appropriate method for valuation of inventories.

The auditor evaluates selection and consistent application of accounting policies by management; whether such a selection is proper and whether chosen policy has been applied consistently on a period-to-period basis.

Thus, it can be concluded that proper disclosure of financial information is well within scope of audit.

ICAI · P5 · RTP May 2025 · question p. 5 · answer p. 9

67 MTP **May 2026 S-I** Q1(b) 5 marks

RKP & Co., Chartered Accountants, were appointed as the statutory auditors of Orion Engineering Ltd., a company engaged in manufacturing heavy industrial equipment. During the course of audit, certain shareholders raised concerns before the auditors regarding the following matters:

1. They asked the auditor to certify whether the sophisticated imported machinery installed in the factory was in perfect physical condition and to estimate its remaining useful life.

2. Some shareholders also requested the auditor to confirm the genuineness of certain supplier invoices and contracts, alleging that some documents might be forged.
3. A group of investors further demanded that the auditor conduct a detailed investigation into an alleged fraud by a senior employee, including questioning employees and recording statements under oath.

With reference to the above situation, explain the matters which fall outside the scope of an audit. Also distinguish between audit and investigation.

ICAI'S ANSWER

In the given case, the shareholders of Orion Engineering Ltd. have requested the auditor to perform certain activities which fall outside the normal scope of audit. The scope of audit does not include the following:

1. Matters outside the auditor's technical competence: An auditor is not expected to perform duties that require specialised technical expertise beyond accounting and auditing knowledge. For instance, determining the physical condition or useful life of sophisticated machinery or assessing the structural suitability of buildings requires technical skills of engineers or other experts. Therefore, the auditor cannot certify such matters.

2. Authentication of documents: An auditor is not an expert in detecting forgery or verifying the genuineness of documents. While the auditor may examine documents as audit evidence, he cannot guarantee their authenticity because he does not possess specialised expertise in forensic document verification.
3. Conducting an official investigation: An audit is not an official investigation into alleged wrongdoing. The auditor does not possess legal powers such as searching premises or recording statements of witnesses on oath, which are generally available to investigative authorities.
4. Audit is distinct from investigation: Investigation involves a critical examination of accounts with a specific purpose, such as determining whether fraud exists. Its scope is specific and narrow. On the other hand, the objective of audit is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion. The scope of audit is general and broad, whereas the scope of investigation is specific and narrow.

Accordingly, in the given case, the auditor of Orion Engineering Ltd. is justified in clarifying that certification of technical condition of machinery, authentication of documents, and conducting a detailed fraud investigation fall outside the normal

scope of audit and such matters may require involvement of experts or a separate investigation.

ICAI · P5 · MTP May 2026 · Series I · question p. 9-10 · answer p. 3-4

68 MTP **Sep 2025 S-I** MCQ 15 2 marks MCQ

CA Rahul, the statutory auditor of Vishal Enterprises, is conducting the audit for the financial year 2024–25. As part of his audit procedures, he examines whether the accounting records are reliable, verify the sufficiency of supporting documents like bills and vouchers, and performs procedures to assess internal controls. He also checks if financial statements have been drawn with reference to entries in books and disclose financial information appropriately. The management, however, asks him to determine the physical condition of certain machinery and to forecast the company's profitability. Which of the following procedures falls within the scope of audit?

A Auditor determining physical condition of machinery.

B Auditor ensuring proper disclosure of financial information.

C Auditor predicting future profitability of company.

D Auditor authenticating genuineness of legal contracts.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 7 · answer p. 1

69 MTP **Sep 2024 S-I** Q2(c) 4 marks

The management of Cool Drinks Limited suspects that some employees of the company may be involved in making fraudulent payments to dummy workers at its various plants in the country. Therefore, they are considering appointment of a firm of auditors to conduct audit involving detailed examination of accounts. However, one senior person among Board members, Mr. P, objects to use of word "audit" in proposed assignment. Comment. Also, discuss how audit is different from investigation.

ICAI'S ANSWER

Audit is distinct from investigation. Investigation is a critical examination of the accounts with a special purpose. For example, if fraud is suspected and it is specifically called upon to check the accounts whether fraud really exists, it takes character of investigation. The objective of audit, on the other hand, is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion.

The scope of audit is general and broad whereas scope of investigation is specific and narrow.

In the given situation, management of company suspects that some of its employees may be involved in making fraudulent payments on account of dummy workers at its different plants in the

country. Such an assignment is in the nature of "investigation".

Therefore, Mr. P is right in objecting the use of word "audit" in the proposed assignment.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 9 · answer p. 4

70 MTP **May 2024 S-I** Q4(c) 3 marks

The auditor should decide whether relevant information is properly disclosed in the financial statements. Explain with reference to scope of audit.

ICAI'S ANSWER

The auditor should decide whether relevant information is properly disclosed in the financial statements. He should also keep in mind applicable statutory requirements in this regard.

It is done by ensuring that financial statements properly summarize transactions and events recorded therein and by considering the judgments made by management in preparation of financial statements.

The management responsible for preparation and presentation of financial statements makes many judgments in this process of preparing and presenting financial statements. For example, choosing of appropriate accounting policies in relation to various accounting issues like choosing method of charging depreciation on fixed assets or choosing appropriate method for valuation of inventories.

The auditor evaluates selection and consistent application of accounting policies by management; whether such a selection is proper and whether chosen policy has been applied consistently on a period-to-period basis.

ICAI · P5 · MTP May 2024 · Series I · question p. 11 · answer p. 7

71 MTP **Old P6 May 2023 S-II**

Case Scenario 2 · Case Scenario 2, MCQ 1 to Case Scenario 2, MCQ 5

10 marks old scheme

CASE SCENARIO 2

As per SA 210 “Agreeing the Terms of Audit Engagements”, preconditions for an audit may be defined as the use by management of an acceptable financial reporting framework in the preparation of the financial statements and the agreement of management and, where appropriate, those charged with governance to the premise on which an audit is conducted.

Mridul & Co, a firm of Chartered Accountants agreed on the Terms of Audit Engagements of a Private Limited Company, Jayshree Private Limited. Jayshree Private Limited has conveyed to Mridul & Co that they want the firm to undertake the statutory audit as well as to examine the life of its plant and machinery at Indore which is in existence for 10 years. While finalizing the scope of the audit, the auditors agreed to cover all the units of the company based at Delhi and Indore. Mridul & Co has asked

Jayshree Private Ltd to make all the relevant disclosures in the financial statements. The auditors were vigilant to inquire about any audit evidence that contradicts the other audit evidence.

The auditors decided to cover following aspects under audit:

(i) An examination of the system of accounting and internal control

(ii) Reviewing the system and procedures.

(iii) Checking of the arithmetical accuracy of the books of account.

(iv) Verification of the authenticity and validity of transactions.

(v) Classification between capital and revenue expenditure.

(vi) Comparison of the balance sheet and profit and loss account or other statements with the underlying record.

(vii) Verification of the title, existence and value of the assets.

(viii) Verification of the liabilities stated in the balance sheet.

(ix) Checking the results shown by the profit and loss and to see whether the results shown are true and fair.

(x) Reporting to the appropriate person/body whether the statements of account examined do

reveal a true and fair view of the state of affairs and of the profit and loss of the organisation.

(xi) Where audit is of a corporate body, confirming that the statutory requirements have been complied with.

While testing the accounts receivables of Jayshree Private Limited, the auditor decided to divide the accounts receivables by age of receivables in the following manner:

- Below 15 days
- 15 days -30 days
- 31-60 days
- 61-90 days
- 91 days and beyond

Based on the above facts, answer the following:

Case Scenario 2, MCQ 1 2 marks

According to you, what is the scope of the audit which Mridul & Co should cover in the audit of financial statements of Jayshree Private Limited?

I. to examine the life of its plant and machinery at Indore which is in existence for 10 years.

II. to cover all the units of the company based at Delhi and Indore.

III to check whether the relevant disclosures are properly made in the financial statements.

A I,II,III

B I,II

C II,III

D I,III

Case Scenario 2, MCQ 2 2 marks

What is the name of the method used by the auditor for segregation of accounts receivable?

A Value weighted selection

B Stratification

C Systematic method of Sampling

D Tests of Control

Case Scenario 2, MCQ 3 2 marks

The aspects covered by auditor should be:

A i,ii,iii,x,vi,vii

B i,ii,iv,v,vi,vii.

C i,ii,iii,iv,v,vi,vii,viii,ix,x,xi.

D ii,iii,viii,x,xi

Case Scenario 2, MCQ 4 2 marks

The auditor's vigilance to question the audit evidence that contradicts the other audit evidence is called as:

A Professional Skepticism

B Vigilant Skepticism

C Professional Judgement

D Judgement and Skepticism

Case Scenario 2, MCQ 5 2 marks

With respect to the preconditions for an audit, which one of the following is correct:

I. The use by Management of an acceptable financial reporting framework in the preparation of financial statements.

II. Management's responsibility for the internal control

III. Giving auditor access to all information and access to the Entity's premises.

A I, II

B I, II, III

C II, III

D I, III

ICAI'S ANSWERS

Case Scenario 2, MCQ 1

(C) II and III

Case Scenario 2, MCQ 2

(B) Stratification

Case Scenario 2, MCQ 3

(C) i, ii, iii, iv, v, vi, vii, viii, ix, x, xi.

Case Scenario 2, MCQ 4

(A) Professional Skepticism

Case Scenario 2, MCQ 5

(B) (I), (II) & (III)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 2-3 · answer p. 1

72 MTP Old P6 Jul 2021 S-I Question 2 · Q2(b) to Q2(c)

8 marks old scheme

QUESTION 2

Discuss the following:

Q2(b) 4 marks

Lord Justice Lindley in the course of the judgment in the famous London & General Bank case had succinctly summed up the overall view of what an auditor should be as regards the personal qualities. He said, "an auditor must be honest that is, he must not certify what he does not believe to be true and must take reasonable care and skill before he believes that what he certifies is true" Explain stating clearly the qualities of an auditor.

Q2(c) 4 marks

"The auditor should plan his work to enable him to conduct an effective audit in an efficient and timely manner." Explain stating the matters to be covered in plans.

ICAI'S ANSWERS

Q2(b)

It is not enough to realise what an auditor should be. He is concerned with the reporting on financial matters of business and other institutions. Financial matters inherently are to be set with the problems of human fallibility; errors and frauds are frequent. The qualities required, according to Dicksee, are tact, caution, firmness, good temper, integrity, discretion, industry, judgement, patience, clear headedness and reliability. In short, all those personal qualities that go to make a good

businessman contribute to the making of a good auditor. In addition, he must have the shine of culture for attaining a great height. He must have the highest degree of integrity backed by adequate independence. In fact, Code of ethics mentions integrity, objectivity and independence as one of the fundamental principles of professional ethics.

He must have a thorough knowledge of the general principles of law which govern matters with which he is likely to be in intimate contact. The Companies Act need special mention but mercantile law, specially the law relating to contracts, is no less important. Needless to say, where undertakings are governed by a special statute, its knowledge will be imperative; in addition, a sound knowledge of the law and practice of taxation is unavoidable.

He must pursue an intensive programme of theoretical education in subjects like financial and management accounting, general management, business and corporate laws, computers and information systems, taxation, economics, etc. Both practical training and theoretical education are equally necessary for the development of professional competence of an auditor for undertaking any kind of audit assignment.

The auditor should be equipped not only with a sufficient knowledge of the way in which business generally is conducted but also with an understanding of the special features peculiar to a particular business whose accounts are under audit.

The auditor, who holds a position of trust, must have the basic human qualities apart from the technical requirement of professional training and education.

He is called upon constantly to critically review financial statements and it is obviously useless for him to attempt that task unless his own knowledge is that of an expert. An exhaustive knowledge of accounting in all its branches is the sine qua non of the practice of auditing. He must know thoroughly all accounting principles and techniques.

Lord Justice Lindley in the course of the judgment in the famous London & General Bank case had succinctly summed up the overall view of what an auditor should be as regards the personal qualities. He said, “an auditor must be honest that is, he must not certify what he does not believe to be true and must take reasonable care and skill before he believes that what he certifies is true”.

Q2(c)

“The auditor should plan his work to enable him to conduct an effective audit in an efficient and timely manner. Plans should be based on knowledge of the client’s business”.

Plans should be made to cover, among other things:

(i) acquiring knowledge of the client’s accounting systems, policies and internal control procedures;

(ii) establishing the expected degree of reliance to be placed on internal control;

(iii) determining and programming the nature, timing, and extent of the audit procedures to be performed; and

(iv) coordinating the work to be performed.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 6 · answer p. 3, 3-4

1.5 Auditing and its relationship with other disciplines

3 questions · asked in 3 ICAI documents · 1 exam paper

73 EXAM **May 2026** Q4(c) 4 marks

Apex Infra Ltd. is a mid-sized infrastructure company engaged in construction of highways and bridges.

During the statutory audit, the auditor notices frequent disputes with contractors, pressure on site managers to meet targets, heavy reliance on automated data processing, and aggressive working capital management by the finance department. The auditor realises that mere verification of accounting records is insufficient to form an opinion. With reference to the above case, explain why an auditor is expected to have working knowledge of disciplines other than auditing, specifically in relation to:

(a) Statistics & Mathematics

(b) Financial Management

(c) Data Processing

(d) Behavioural Science

ICAI'S ANSWER

In the given case of Apex Infra Ltd., the auditor observed disputes with contractors, pressure on site managers, dependence on automated systems and aggressive working capital practices. These factors indicate that mere checking of books of account is not sufficient and that the auditor is required to possess working knowledge of disciplines other than auditing.

(a) **Auditing and Statistics & Mathematics:** Auditor is expected to have the knowledge of statistical sampling for meaningful conclusions and mathematics for verification of inventories. In the case of Apex Infra Ltd., where large-scale construction activities and inventories of construction materials are involved, statistical techniques help the auditor in selecting representative samples and drawing reliable conclusions from voluminous transactions and records.

(b) **Auditing and Financial Management:** Auditor is also expected to have knowledge about various financial techniques such as working capital management, funds flow, ratio analysis, capital budgeting etc. Since the finance department of the company is following aggressive working capital management practices, the auditor requires understanding of financial management concepts to assess liquidity position, evaluate financial risks

and analyse whether such practices may lead to possible misstatements in the financial statements.

(c) **Auditing and Data Processing:** EDP auditing in itself is developing as a discipline in itself. As the company heavily relies on automated data processing systems, the auditor should understand the functioning of computerised accounting systems, internal controls in EDP environment and risks relating to processing of electronic data to ensure reliability and accuracy of financial information.

(d) **Auditing and Behavioural Science:** Knowledge of human behaviour is essential for an auditor to effectively discharge his duties. In the given case, pressure on site managers to achieve targets and frequent disputes with contractors may create conditions conducive to manipulation, bias or fraud. Understanding behavioural aspects helps the auditor in assessing management attitude, identifying unusual conduct and evaluating the possibility of intentional misstatements.

ICAI · P5 · May 2026 exam · question p. 23-24 · answer p. 26-27

74 RTP **Old P6 Dec 2021** Q2(a) old scheme

The knowledge of human behaviour is indeed very essential for an auditor so as to effectively discharge his duties. Explain.

ICAI'S ANSWER

The field of auditing as a discipline involves review of various assertions; both in financial as well as in non-financial terms, with a view to prove the veracity of such assertions and expression of opinion by auditor on the same. Thus, it is quite logical and natural that the function of audit can be performed if and only if the person also possesses a good knowledge about the fields in respect of which he is conducting such a review.

The discipline of behavioural science is closely linked with the subject of auditing. While it may be said that an auditor, particularly the financial auditor, deals basically with the figures contained in the financial statements but he shall be required to interact with a lot of people in the organisation. As against the financial auditor, the internal auditor or a management auditor is expected to deal with human beings rather than financial figures. One of the basic elements in designing the internal control system is personnel. Howsoever, if a sound internal control structure is designed, it cannot work until and unless the people who are working in the organisation are competent and honest. The knowledge of human behaviour is indeed very essential for an auditor so as to effectively discharge his duties.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 128

75 RTP Old P6 Nov 2020 Q2(b) old scheme

Both accounting and auditing are closely related with each other. Explain

ICAI'S ANSWER

Both accounting and auditing are closely related with each other as auditing reviews the financial statements which are nothing but a result of the overall accounting process. It naturally calls on the part of the auditor to have a thorough and sound knowledge of generally accepted principles of accounting before he can review the financial statements. In fact, auditing as a discipline is also closely related with various other disciplines as there is lot of linkages in the work which is done by an auditor in his day-to-day activities. To begin with, it may be noted that the discipline of auditing itself is a logical construct and everything done in auditing must be bound by the rules of logic. Ethical precepts are the basis on which the foundation of the entire accounting profession rests. The knowledge of language is also considered essential in the field of auditing as the auditor shall be required to communicate, both in writing as well as orally, in day-to-day work.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 13

1.6 Assurance engagements and the engagement and quality control standards

31 questions · asked in 18 ICAI documents · 4 exam papers

76 EXAM **Jan 2026** Case scenario · Q1(b)(i) to Q1(b)(iii) 5 marks

CASE SCENARIO

Mr. Praveen, an articled clerk, wants to know the applicable Engagement Standards in the following situations:

Q1(b)(i) 1 mark

An assignment to assist the management of Healthy Foods Ltd. with the preparation and presentation of historical financial information, without obtaining assurance on that information.

Q1(b)(ii) 1 mark

An assignment to examine the prospective financial information of Digital Future Ltd.

Q1(b)(iii) 3 marks

Further, explain to Mr. Praveen the difference between reasonable assurance engagements and limited assurance engagements.

ICAI'S ANSWERS

Q1(b)(i)

An Assignment to assist the management of Healthy Foods Ltd. With the preparation and presentation of historical financial information without obtaining assurance on that information:

Standards on Related Services / The applicable standard is SRS 4410 (Revised)

Q1(b)(ii)

An Assignment to examine prospective financial information of Digital Future Ltd.: Standards on Assurance Engagements / The applicable standard is SAE 3400

Q1(b)(iii)

Difference between Reasonable assurance engagement and Limited assurance engagement.

Reasonable assurance engagement	Limited assurance engagement
Reasonable assurance engagement provides high level of assurance.	Limited assurance engagement provides lower level of assurance than reasonable assurance engagement.
It performs elaborate and extensive procedures to obtain sufficient appropriate evidence.	It performs fewer procedures as compared to reasonable assurance engagement.
It draws reasonable conclusions on the basis of sufficient appropriate evidence.	It involves obtaining sufficient appropriate evidence to draw limited conclusions.

Reasonable assurance engagement	Limited assurance engagement
Example of reasonable assurance engagement is an audit engagement.	Example of limited assurance engagement is review engagement.

ICAI · P5 · Jan 2026 exam · question p. 12 · answer p. 14, 14-15

77 EXAM **May 2025** Q2(a) 3 marks

Mention any three standards issued under authority of ICAI Council which are collectively known as 'Engagement Standards'.

ICAI'S ANSWER

Engagement and Quality control Standards: The following Standards issued under authority of ICAI Council are collectively known as Engagement Standards:

1. Standards on Auditing (SAs) which apply in audit of historical financial information.
2. Standards on Review Engagements (SREs) which apply in review of historical financial information.
3. Standards on Assurance Engagements (SAEs) which apply in assurance engagements other than audits and review of historical financial information.
4. Standards on Related Services (SRSs) which apply in agreed upon procedures to information,

compilation engagements and other related service engagements.

ICAI · P5 · May 2025 exam · question p. 13 · answer p. 13

78 EXAM **May 2025** Q2(a) 2 marks

Also mention the purpose of issue of these standards.

ICAI'S ANSWER

The purpose of issue of these standards is to establish high quality standards and guidance in the areas of financial statement audits and in other types of assurance services.

ICAI · P5 · May 2025 exam · question p. 13 · answer p. 14

79 EXAM **Jan 2025** Q2(a) 5 marks

XYZ Ltd., a manufacturing company engaged in the production of various types of yarn, is planning to expand its operations into a new geographical market and also add new products. Company has prepared prospective financial information to be presented to potential investors and financial institutions to secure funding for the expansion.

XYZ Ltd. engages a firm of auditors to conduct an assurance engagement on this prospective financial information. During the engagement, the auditors reviewed the assumptions made by XYZ Ltd.'s management and issued a report.

Explain the key differences between prospective financial information and historical financial

information. How does this distinction impact the level of assurance provided in an assurance engagement on prospective financial information?

ICAI'S ANSWER

Difference between "Historical financial information" and "Prospective financial information": The "Historical financial information" relates to information expressed in financial terms of an entity about economic events, conditions or circumstances occurring in past periods. The "Prospective financial information" relates to financial information based on assumptions about occurrence of future events and possible actions by an entity.

Therefore, historical financial information is rooted in past events which have already occurred whereas prospective financial information is related to future events.

In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence to the effect that management's assumptions on which the prospective financial information is based are not unreasonable, the prospective financial information is properly prepared on the basis of the assumptions and it is properly presented and all material assumptions are adequately disclosed.

Prospective financial information relates to future events. While evidence may be available to support the assumptions on which the prospective financial

information is based, such evidence is itself generally future-oriented. The auditor is, therefore, not in a position to express an opinion as to whether the results shown in the prospective financial information will be achieved.

Therefore, in such assurance engagements, practitioner provides a report assuring that nothing has come to practitioner's attention to suggest that these assumptions do not provide a reasonable basis for the projection.

Hence, such type of assurance engagement provides only a "moderate" level of assurance.

ICAI · P5 · Jan 2025 exam · question p. 13-14 · answer p. 15-16

80 EXAM **Sep 2024** MCQ 13 MCQ

M/s DEF & Associates have been appointed as the statutory auditor of JKL Ltd. for the first time for the financial year 2024-25. The engagement partner, CA D, is briefing his engagement team about the need of Engagement Standards and Quality Control Standards in the areas of financial statement audits and in other types of assurance services. Out of the following which one point is not correct about why standards are needed?

A Standards equip professional accountants with professional knowledge & Skill.

B Standards ensure audit quality.

C Standards promote uniformity as audit of financial statements is carried out following these Standards.

D Standards ensure carrying out of audit against established benchmarks at par with local practices.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · Sep 2024 exam · question p. 7 · answer p. 8

81 RTP **Sep 2026** Case scenario · Q9(a) to Q9(c)

CASE SCENARIO

ABC Ltd., a listed company, has engaged CST & Co., Chartered Accountants, as statutory auditors to audit its financial statements for the financial year ending on 31st March, 2026. The financial statements have been prepared by the management in accordance with the applicable financial reporting framework and the requirements of the Companies Act, 2013.

During the audit engagement, the auditor evaluates the financial statements using prescribed accounting principles and auditing standards, gathers sufficient appropriate audit evidence and expresses an opinion to enhance the confidence of shareholders, investors, lenders and other stakeholders in the financial statements.

In the above context:

Q9(a)

Explain the meaning of an assurance engagement.

Q9(b)

Considering the meaning of an assurance engagement, identify the practitioner, responsible party and intended users?

Q9(c)

Discuss the elements of an assurance engagement.

ICAI'S ANSWERS

Q9(a)

Meaning of Assurance Engagement

"Assurance engagement" means an engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria.

It means that the practitioner gives an opinion about specific information due to which users of information are able to make confident decisions knowing well that chance of information being incorrect is diminished.

Q9(b)

Identification in the given case:

(I) Practitioner: CST & Co., Chartered Accountants

(II) Responsible Party: Management of ABC Ltd.

(III) Intended Users: Shareholders, Investors, lenders and other stakeholders

Q9(c)

Elements of an Assurance Engagement

Following elements comprise an assurance engagement: -

(i) A three party relationship involving a practitioner, a responsible party and intended users: An assurance engagement involves abovesaid three parties. A practitioner is a person who provides the assurance. The term practitioner is broader than auditor. Audit is related to historical information whereas practitioner may provide assurance not necessarily related to historical financial information.

A responsible party is the party responsible for preparation of subject matter.

Intended users are the persons for whom an assurance report is prepared. These persons may use the report in making decisions.

(ii) An appropriate subject matter: It refers to the information to be examined by the practitioner. For example, financial information contained in financial statements while conducting audit of financial statements.

(iii) Suitable criteria: These refer to benchmarks used to evaluate the subject matter like standards, guidance, laws, rules and regulations.

(iv) Sufficient appropriate evidence: The practitioner performs an assurance engagement to obtain sufficient appropriate evidence. It is on the basis of evidence that conclusions are arrived and an opinion is formed by auditor.

(v) A written assurance report in appropriate form

A written report is provided containing conclusion that conveys the assurance about the subject matter. A written assurance report is the outcome of an assurance engagement.

ICAI · P5 · RTP Sep 2026 · question p. 6 · answer p. 12-13, 13, 13-14

82 RTP **Jan 2026** Case Scenario · Q1 to Q5

CASE SCENARIO

CA Anuj is in practice for the past few years as proprietor of Anuj & Associates. He is very keen on documentation aspects while performing assurance engagements. He handles audits of various corporate and non-corporate clients with team members. The proprietorship concern also handles review engagements as well as engagements to report on prospective financial information as per needs and requirements of its clientele. Presently, it is handling audit of "Buddy Enterprises", a partnership firm, for year 2024-25 in middle of busy audit season. This business enterprise is also availing cash credit limit of ₹ 10 lacs from CDB Bank. The firm's partnership deed contains a clause stipulating audit of its financial statements by a firm of Chartered Accountants every year. However, there is no legal requirement to get financial statements of partnership firm audited. Its Profit before tax is ₹ 15 lacs.

The audit team has planned everything right from risk assessment procedures to tests of controls as well as substantive procedures. Audit plan and audit programme have been duly documented. However, during the course of audit, some information has come to notice of audit team which requires change in audit plan and could lead to revision of audit strategy. J, junior team member is pondering over documentation requirements in this peculiar situation.

Another team member, K has understood meaning of "sufficient appropriate" evidence while conducting audits. However, he is wondering over obtaining sufficient appropriate evidence in case of assurance engagements which may not be in nature of audit. At the initial stage, audit team has determined materiality for financial statements as whole @ 5% of Profit before tax (i.e. 5% of ₹ 15 lacs = ₹ 75000). K is also concerned about documenting materiality as part of audit documentation.

K vividly remembers that an assurance engagement involves three party relationship. However, another team member Q confronts him with meaning of three-party relationship.

In accordance with terms of sanction letter, it has been stipulated by CDB bank that partnership firm is required to submit quarterly stock statements to bankers. During quarter ended 31st December 2024, value of stocks declared by firm to bankers is ₹ 10 lacs and margin stipulated in sanction letter is 20%.

Based upon above, answer the following questions: -

Q1

Considering dilemma of J described in case scenario, which of the following statements is most appropriate?

A. Only overall audit strategy needs to be documented by audit team.

B. Only audit plan needs to be documented by audit team.

C. Both overall audit strategy and audit plan need to be documented by audit team.

D. Overall audit strategy, audit plan and any significant changes made during the audit engagement to the overall audit strategy or the audit plan and the reasons for such changes need to be documented by audit team.

Q2

Guide K regarding most appropriate statement concerning obtaining of “sufficient appropriate” evidence as described in case scenario.

A. Sufficient appropriate evidence is to be obtained only in case of statutory audits. In the given case, there is no requirement of law to get accounts audited. Hence, there is no need to obtain sufficient appropriate evidence.

B. Sufficient appropriate evidence is to be obtained in audit engagements, review engagements and engagements involving examination of prospective financial information.

C Sufficient appropriate evidence is to be obtained in audit engagements and review engagements.

D Sufficient appropriate evidence is to be obtained in all audit engagements.

Q3

Advise K regarding most appropriate statement in respect of documenting materiality.

A Materiality of ₹ 75,000 needs to be documented.

B Performance materiality which is set at more than materiality for financial statements as a whole requires to be documented along with materiality of ₹ 75,000.

C Performance materiality which is set at less than materiality for financial statements as a whole requires to be documented along with materiality of ₹ 75,000.

D Performance materiality (for certain transactions) which is set at par level materiality for financial statements as a whole requires to be documented along with materiality of ₹ 75,000.

Q4

Which of the following combinations best describes three party relationship in context of audit of partnership firm?

A Anuj & Associates, management/partners of Buddy enterprises and income tax authorities.

B Individual team members assisting CA Anuj, management/partners of Buddy enterprises and income tax authorities.

C Anuj & Associates, management/partners of Buddy enterprises and bankers of Buddy Enterprises.

D Anuj & Associates, management/partners of Buddy enterprises and intended users.

Q5

Which of the following statements is true regarding drawing power on basis of facts given in case scenario?

A DP is ₹ 10 lacs and firm can withdraw funds up to ₹ 10 lacs.

B DP is ₹ 12 lacs and firm can withdraw funds up to ₹ 12 lacs.

C DP is ₹ 8 lacs and firm can withdraw funds up to ₹ 10 lacs.

D DP is ₹ 8 lacs and firm can withdraw funds up to ₹ 8 lacs.

ICAI'S ANSWERS

Q1

Answer key: **(D)**

Q2

Answer key: **(B)**

Q3

Answer key: **(C)**

Q4

Answer key: **(D)**

Q5

Answer key: **(D)**

ICAI · P5 · RTP Jan 2026 · question p. 1-2 · answer p. 9

83 **RTP** **Sep 2024** **Q9**

Kriti, a CA student, has joined articles in a reputed audit firm. She considers audit engagement to be an "assurance engagement". Her understanding is that audit engagement is the only kind of assurance engagement in which practitioner gives a written assurance report in appropriate form. However, her friend Somaya, does not agree with her. She is of the view that assurance engagements are not restricted to audit alone. Besides, Somaya also thinks that assurance engagements can also relate to matters other than historical financial information. Whose view appears to be correct? State with reasons.

ICAI'S ANSWER

Audit engagement is an assurance engagement. However, assurance engagements are not restricted to auditing alone. There are other assurance engagements too like review engagements, engagements providing assurance involving prospective financial information, engagements providing assurance on internal controls in an entity. Assurance engagements provide assurance to users. The difference is of degree. Whereas an audit provides reasonable assurance which is a high level

of assurance, review provides lower level of assurance as compared to audit.

There are also assurance engagements which relate to matters other than historical financial information like providing assurance on matters involving prospective financial information and providing assurance on internal controls in an entity. In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence to the effect that management's assumptions on which the prospective financial information is based are not unreasonable, the prospective financial information is properly prepared on the basis of the assumptions, and it is properly presented, and all material assumptions are adequately disclosed.

In the given case, Kriti is of the view that audit engagement is the only kind of assurance engagement in which practitioner gives a written assurance report in appropriate form whereas is of the view that assurance engagements are not restricted to audit alone. Thus, view of Somaya is correct.

ICAI · P5 · RTP Sep 2024 · question p. 5 · answer p. 9

84 **RTP** **May 2024** Q2

Same question, different ICAI answer: #85 Old P6 RTP May 2022

Standards on Auditing (SAs) apply in "audit of historical financial information" whereas Standards on Review

Engagements (SREs) apply in “review of historical financial information.” Explain in detail giving examples.

ICAI’S ANSWER

Standards on Auditing (SAs) apply in “audit of historical financial information” whereas Standards on Review Engagements (SREs) apply in “review of historical financial information”. Standards on auditing apply in “audit” of historical financial information which is a reasonable assurance engagement whereas Standards on Review Engagements apply in “review” of historical financial information which is a limited assurance engagement only.

“Historical financial information means” information expressed in financial terms in relation to a particular entity, derived primarily from that entity’s accounting system, about economic events occurring in past time periods or about economic conditions or circumstances at points in time in the past.

“Audit” and “review” are two different terms. Audit is a reasonable assurance engagement, and its objective is reduction in assurance engagement risk to an acceptably low level in the circumstances of the engagement. However, “review” is a limited assurance engagement, and its objective is a reduction in assurance engagement risk to a level that is acceptable in the circumstances of the engagement.

Standards on Auditing have been issued on wide spectrum of issues in the field of auditing including (but not limited to) overall objectives of independent auditor, audit documentation, planning an audit of financial statements, identifying and assessing risk of material misstatement, audit evidence, audit sampling, going concern and forming an opinion and reporting on financial statements.

Some examples of Standards on Auditing are:

(i) SA 200 Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing

(ii) SA 230 Audit Documentation

(iii) SA 315 Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment

(iv) SA 500 Audit Evidence

(v) Revised SA 700 Forming an Opinion and Reporting on Financial Statements

Examples of Standards on Review engagements are

(i) SRE 2400 (Revised) Engagements to Review Historical Financial Statements

(ii) SRE 2410 Review of Interim Financial Information Performed by the Independent Auditor of the Entity

ICAI · P5 · RTP May 2024 · question p. 9 · answer p. 17-18

85 **RTP** **Old P6 May 2022** Q2(b) old scheme

Same question, different ICAI answer: #84 RTP May 2024

Standards on Auditing (SAs) apply in "audit of historical financial information" whereas Standards on Review Engagements (SREs) apply in "review of historical financial information." Explain in detail giving examples.

ICAI'S ANSWER

It is to be understood that Standards on Auditing (SAs) apply in "audit of historical financial information" whereas Standards on Review Engagements (SREs) apply in "review of historical financial information". Remember that Standards on auditing apply in "audit" of historical financial information which is a reasonable assurance engagement whereas Standards on Review Engagements apply in "review" of historical financial information which is a limited assurance engagement only.

"Historical financial information means" information expressed in financial terms in relation to a particular entity, derived primarily from that entity's accounting system, about economic events occurring in past time periods or about economic conditions or circumstances at points in time in the past.

Here, we have to broadly understand that "audit" and "review" are two different terms. Audit is a reasonable assurance engagement, and its objective

is reduction in assurance engagement risk to an acceptably low level in the circumstances of the engagement. However, “review” is a limited assurance engagement, and its objective is a reduction in assurance engagement risk to a level that is acceptable in the circumstances of the engagement,

Standards on Auditing have been issued on wide spectrum of issues in the field of auditing including (but not limited to) overall objectives of independent auditor, audit documentation, planning an audit of financial statements, identifying and assessing risk of material misstatement, audit evidence, audit sampling, going concern and forming an opinion and reporting on financial statements.

Some examples of Standards on Auditing are :

(i) SA 200 Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing

(ii) SA 230 Audit Documentation

(iii) SA 315 Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment

(iv) SA 500 Audit Evidence

(v) Revised SA 700 Forming an Opinion and Reporting on Financial Statements

Examples of Standards on Review engagements are

(i) SRE 2400 (Revised) Engagements to Review Historical Financial Statements

(ii) SRE 2410 Review of Interim Financial Information Performed by the Independent Auditor of the Entity

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 14-15

86 MTP **Sep 2026 S-II** MCQ 15 2 marks MCQ

A practitioner is engaged to perform two different types of assurance engagements—one requiring a high level of assurance and another requiring a moderate level of assurance. While planning the work, the practitioner evaluates the nature, timing and extent of procedures, as well as the evidence required and the form of conclusion to be expressed in each engagement.

The audit team discusses the key differences between a reasonable assurance engagement and a limited assurance engagement in terms of procedures performed, evidence obtained and conclusions expressed.

Which of the following statements is not true regarding the distinction between a reasonable assurance engagement and a limited assurance engagement?

A A reasonable assurance engagement involves more extensive and detailed procedures compared to a limited assurance engagement.

B A reasonable assurance engagement involves obtaining sufficient appropriate evidence, whereas a limited assurance engagement involves obtaining only limited evidence.

C A reasonable assurance engagement provides a higher level of assurance than a limited assurance engagement.

D A reasonable assurance engagement involves drawing reasonable conclusions whereas limited assurance engagement draws limited conclusions.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 10 · answer p. 1

87 MTP **May 2026 S-I**

Case Scenario 1 [MCQs 1-3] · MCQ 1 to MCQ 3 6 marks

CASE SCENARIO 1 [MCQS 1-3]

M/s RGS & Co., Chartered Accountants, have been appointed as the statutory auditors of Nova Engineering Ltd., a company engaged in manufacturing specialised industrial machinery. During the first planning meeting, the engagement partner informed the audit team that the audit would be conducted in accordance with Standards on Auditing applicable to audits of financial statements relating to historical financial information.

While discussing the audit approach, the engagement partner first finalised the overall audit strategy considering the size of operations,

complexity of transactions and available resources. Thereafter, the audit team was instructed to develop a detailed audit plan addressing matters identified in the strategy. The partner emphasised that before designing audit procedures, the team must obtain adequate knowledge of the client's business model, revenue cycle and procurement process, as without such understanding a proper audit plan cannot be developed.

During the risk assessment process, the audit team identified that the company had recently implemented a new revenue recognition system, which could potentially affect several items in the financial statements simultaneously. The team also noticed that inventory valuation and revenue transactions carried specific risks of misstatement because of complex pricing arrangements with customers.

The engagement partner explained that the first risk relates to financial statements as a whole, whereas the second relates to specific assertions for particular classes of transactions and account balances. Accordingly, the team decided to assess the risks at both levels so that appropriate further audit procedures could be designed.

On the basis of above, answer the following MCQs (1-3)

MCQ 1 2 marks

In the above case scenario of Nova Engineering Ltd. has clarified that the assignment would be carried out in

accordance with the Standards on Auditing, which are applicable to audits of historical financial information.

Based on the engagement partner's statement, which of the following engagements would most appropriately fall within the scope of such Standards in the present context?

- **A** Examination of financial projections prepared by Nova Engineering Ltd. for a proposed bank loan.
- **B** Certification of future cost estimates for a proposed expansion project.
- **C** Review of internal control procedures implemented for the new revenue system.
- **D** Audit of financial statements of Nova Engineering Ltd. for the year ended 31 March 2025.

MCQ 2 2 marks

In the planning meeting described in the case scenario, the engagement partner first established the overall audit strategy and then instructed the audit team to develop a detailed audit plan after obtaining knowledge of the company's business model and processes.

In the context of the situation described in the case scenario, the primary reason for obtaining such knowledge before developing the audit plan is to:

- **A** Enable the auditor to design appropriate audit procedures relevant to the entity's operations and risks.
- **B** Determine whether the new revenue system complies with accounting standards.

C Replace the need for performing risk assessment procedures later in the audit.

D Ensure that the audit team uses the minimum possible audit resources.

MCQ 3 2 marks

In the case scenario, the audit team identified that:

- the new revenue recognition system could affect several items in the financial statements simultaneously, and
- inventory valuation and revenue transactions involved specific risks relating to particular transactions and balances.

Based on the engagement partner's explanation in the case scenario, which of the following correctly classifies these risks?

A Both risks relate to the financial statement level only.

B Both risks relate to assertion level risks only.

C The first risk relates to financial statement level, while the second relates to assertion level risks.

D The first risk relates to assertion level, while the second relates to financial statement level risks.

ICAI'S ANSWERS

MCQ 1

Answer key: **(D)**

MCQ 2

Answer key: **(A)**

MCQ 3

Answer key: **(C)**

ICAI · P5 · MTP May 2026 · Series I · question p. 1-2 · answer p. 1

88 **MTP** **Jan 2026 S-I** Q5(c) **4 marks**

Explain the circumstances under which a professional accountant may depart from specific procedures prescribed in the Standards and describe the documentation and reporting obligations arising from such departures.

ICAI'S ANSWER

It is the duty of professional accountants to see that Standards are followed in engagements undertaken by them. Ordinarily, these are to be followed by professional accountants. However, a situation may arise when a specific procedure as required in Standards would be ineffective in a particular engagement. In such a case, he is required to document how alternative procedures performed achieve the purpose of required procedure. Also, reason for departure has also to be documented unless it is clear. Further, his report should draw attention to such departures. It is also to be noted that a mere disclosure in the report does not absolve a professional accountant from complying with applicable Standards.

CA Rushil should have properly documented the alternative procedure and reason for departure, in

addition to disclosing it in the report, to fully meet his professional duties.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 11 · answer p. 11

89 MTP **Sep 2025 S-II** Q5(b) 5 marks

RST Ltd., a company engaged in manufacturing eco-friendly packaging solutions, is planning to enter into a new geographical market and launch a new biodegradable product line. To attract investors and secure bank funding, the management has prepared prospective financial information based on expected sales and expansion costs. RST Ltd. appointed a firm of auditors to conduct an assurance engagement on this prospective financial information. During the engagement, the auditors reviewed the assumptions made by the management and issued a report.

Explain the key differences between prospective financial information and historical financial information. How does this distinction impact the level of assurance provided in an assurance engagement on prospective financial information?

ICAI'S ANSWER

Difference between "Historical financial information" and "Prospective financial information": The "Historical financial information" relates to information expressed in financial terms of an entity about economic events, conditions or circumstances occurring in past periods. The "Prospective financial information" relates to

financial information based on assumptions about occurrence of future events and possible actions by an entity.

Therefore, historical financial information is rooted in past events which have already occurred whereas prospective financial information is related to future events.

In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence to the effect that management's assumptions on which the prospective financial information is based are not unreasonable, the prospective financial information is properly prepared on the basis of the assumptions and it is properly presented and all material assumptions are adequately disclosed.

Prospective financial information relates to future events. While evidence may be available to support the assumptions on which the prospective financial information is based, such evidence is itself generally future- oriented. The auditor is, therefore, not in a position to express an opinion as to whether the results shown in the prospective financial information will be achieved.

Therefore, in such assurance engagements, practitioner provides a report assuring that nothing has come to practitioner's attention to suggest that these assumptions do not provide a reasonable basis for the projection.

Hence, such type of assurance engagement provides only a “moderate” level of assurance.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 10 · answer p. 10

90 MTP **May 2025 S-I** Q5(c) 4 marks

An audit is a reasonable assurance engagement, whereas a review is a limited assurance engagement. Both types of assurance engagements provide assurance to users, but they differ in the degree of assurance offered.

In light of this, explain the difference between reasonable assurance engagements and limited assurance engagements, with examples.

ICAI'S ANSWER

Difference between Reasonable Assurance Engagement and Limited Assurance Engagement:

Reasonable assurance engagement	*Limited assurance engagement*
Reasonable assurance engagement provides high level of assurance.	Limited assurance engagement provides lower level of assurance than reasonable assurance engagement.
It performs elaborate and extensive procedures to obtain sufficient appropriate evidence.	It performs fewer procedures as compared to reasonable assurance engagement.

Reasonable assurance engagement	*Limited assurance engagement*
It draws reasonable conclusions on the basis of sufficient appropriate evidence.	It involves obtaining sufficient appropriate evidence to draw limited conclusions.
Example of reasonable assurance engagement is an audit engagement, Audit of financial statements.	Example of limited assurance engagement is review engagement, Review of financial statements.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 11

91 MTP **May 2025 S-II** MCQ 14 2 marks MCQ

The management of a company has approached its bankers and requested for enhancement in working capital credit facilities. The bank manager requested for financial statements of the company for half year along with report providing assurance in this respect duly signed by CA. It also requires projected financial statements for coming years along with a report from CA providing assurance regarding these projections to consider request of management. Which of the following standards issued by ICAI are relevant for CA P in such a situation, if any?

A Standards on Review Engagements.

B There are no standards for issuing such type of reports.

C Standards on Related Services.

D Standards on Assurance Engagements.

ICAI'S ANSWER

(D)

ICAI · P5 · MTP May 2025 · Series II · question p. 7 · answer p. 1

92 MTP **Jan 2025 S-I** MCQ 15 2 marks MCQ

A practicing Chartered Accountant has been engaged by a company to perform certain procedures relating to its trade payables. Such agreed upon procedures includes verification of purchases from related parties, sending confirmation letters and reporting factual discrepancies to the management of the company. Which of the following statement is correct in this context?

A The practicing CA shall perform work in accordance with Standards on Related Services and Standards on Auditing.

B The practicing CA shall perform work in accordance with Standards on Related Services and SQC 1.

C The practicing CA shall perform work in accordance with Standards on Auditing only.

D The practicing CA shall perform work in accordance with Standards on Assurance Engagements and SQC 1.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 6-7 · answer p. 1

93 MTP **Jan 2025 S-I** Q2(c) 4 marks

Rajul Ltd. engaged an external practitioner CA Rajul to provide assurance on its prospective financial information for the upcoming year, which includes projections for a new product line. The company projected a 15% increase in revenue, estimating total sales of ₹ 75 crore, driven by the expected launch of this new product. Mention the applicable Engagement and Quality Control Standard and the level of assurance that will be provided in the given situation. Also explain how Prospective Financial Information is different from Historical Financial Information.

ICAI'S ANSWER

In the given situation, Standards on Assurance Engagements will be applicable and such type of assurance engagement provides only a "moderate" level of assurance.

In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence to the effect that management's assumptions on which the prospective financial information is based are not unreasonable, the prospective financial information is properly prepared on the basis of the assumptions

and it is properly presented and all material assumptions are adequately disclosed.

"Historical financial information" and "Prospective financial information." The former relates to information expressed in financial terms of an entity about economic events, conditions or circumstances occurring in past periods. The latter relates to financial information based on assumptions about occurrence of future events and possible actions by an entity. Therefore, historical financial information is rooted in past events which have already occurred whereas prospective financial information is related to future events.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 4

94 MTP **Sep 2024 S-II** MCQ 14 2 marks MCQ

A practicing Chartered Accountant is appointed by a company to perform certain agreed-upon procedures relating to its trade payables. Such agreed upon procedures include verifying listing with books of accounts, sending confirmation letters and reporting factual discrepancies to company management. Which of statements is correct in this context?

A The practicing CA shall perform work in accordance with Standards on Related Services and SA 220.

B The practicing CA shall perform work in accordance with Standards on Related Services and SQC 1.

C The practicing CA shall perform work in accordance with Standards on Auditing including SA 220.

D The practicing CA shall perform work in accordance with Standards on Assurance Engagements and SQC 1.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 7 · answer p. 1

95 MTP **Sep 2024 S-II Q2(a)** 5 marks

"Assurance engagement" means an engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria. In this context, give three examples of assurance engagements highlighting difference in nature of assurance provided by such engagements.

ICAI'S ANSWER

Three examples of assurance engagements are as under :-

(i) Audit of financial statements

An audit of financial statements provides reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion

on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

(ii) Review of financial statements

Review provides lower level of assurance than audit. Further, review involves fewer procedures and gathers sufficient appropriate evidence on the basis of which limited conclusions can be drawn up.

(iii) Examination of prospective financial information

In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence to the effect that management's assumptions on which the prospective financial information is based are not unreasonable, the prospective financial information is properly prepared on the basis of the assumptions and it is properly presented and all material assumptions are adequately disclosed. Such type of assurance engagement provides a moderate assurance.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 9 · answer p. 3

96 MTP **May 2024 S-II** Q1(d) 3 marks

KST Limited is engaged in manufacturing business. It appoints CA T to provide it an assurance report on its financial statements prepared on the basis of historical financial information. The characteristic of such an engagement is that it involves gathering of sufficient

appropriate evidence on basis of which limited conclusions can be drawn up by practitioner. Identify type of engagement. Which are two other features of such an engagement?

ICAI'S ANSWER

As given above, the engagement involves gathering of sufficient appropriate evidence on the basis of which limited conclusion can be drawn up. It is a limited assurance engagement like review. Other two features of such type of engagement are: -

(1) It provides lower level of assurance than reasonable assurance engagement.

(2) It performs fewer procedures than reasonable assurance engagement.

ICAI · P5 · MTP May 2024 · Series II · question p. 9 · answer p. 3

CHAPTER 2

Audit Strategy, Audit Planning and Audit Programme

2.1 SA 300: planning, overall audit strategy and audit plan

121 questions · asked in 50 ICAI documents · 11 exam papers

97 EXAM **Sep 2026** Q6(c) 4 marks

List the factors to be taken into consideration by auditor for establishing an audit strategy in the course of performing an audit engagement.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 23

98 EXAM **May 2026** Q6(c) 4 marks

Discuss examples of the factors that the auditor may consider significant in directing the engagement team's efforts while establishing the overall audit strategy.

ICAI'S ANSWER

Examples of the factors that the auditor may consider significant in directing the engagement team's efforts while establishing the overall audit strategy are listed as under:

- Volume of transactions which may determine whether it is more efficient for the auditor to rely on internal control.

- Significant industry developments such as changes in industry regulations and new reporting requirements.
- Significant changes in the financial reporting framework, such as changes in accounting standards.
- Other significant relevant developments, such as changes in the legal environment affecting the entity.

ICAI · P5 · May 2026 exam · question p. 31 · answer p. 34

99 **EXAM** **Jan 2026** **Q2(b)** **5 marks**

MNO & Co, Chartered Accountants, have been auditing Spark Industries Ltd. for the past five years. Recently, there has been a change in the company's ownership and the new management has shown reluctance in providing complete accounting records and other relevant information for verification. The audit team has faced difficulty in obtaining audit evidence and is unsure whether to continue the audit engagement for the next financial year.

As an engagement partner, explain the procedures that MNO & Co. should perform before deciding on the continuance of the client relationship and the audit engagement as part of preliminary engagement activities.

ICAI'S ANSWER

Performing procedures regarding the Continuance of Client Relationships and Audit

Engagements: It should be ensured that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed and that conclusions reached in this regard are appropriate.

1. The firm should obtain information considered necessary in the circumstances before accepting an engagement with a new client, when deciding whether to continue an existing engagement, and when considering acceptance of a new engagement with an existing client.
2. Evaluate matters such as integrity of principal owners and key management.
3. Assess the competence of engagement team to perform the audit engagement.
4. Implications of matters that have arisen during current and previous audit engagement may need to be considered.
5. Besides, in case of initial engagements, communication with predecessor auditor should be made, where there has been a change of auditors.

ICAI · P5 · Jan 2026 exam · question p. 16 · answer p. 17

100 EXAM **Jan 2026** Case scenario · Q5(c)(i) to Q5(c)(ii)

4 marks

CASE SCENARIO

Mr. Nikhil is the engagement partner for Amazing Ltd., an e-commerce company, for the financial year

2024-25.

Q5(c)(i) 2 marks

Mr. Nikhil plans to hold a discussion with the senior members of the audit team regarding the current assignment. However, Mr. Hardik, a newly joined article clerk, is surprised at the need for the engagement partner to discuss the audit plan with other team members. He questions why such discussions are necessary?

Q5(c)(ii) 2 marks

Later, Mr. Hardik learns that Ms. Poornima, the audit manager, intends to discuss certain elements of the audit planning with the management of Amazing Ltd. He believes this is unnecessary, as sharing the audit plan with the client would remove the "surprise element" of audit procedures. Guide Mr. Hardik in relation to the above scenarios.

ICAI'S ANSWERS

Q5(c)(i)

As per SA 300 "Planning an audit of financial statements", the engagement partner and other key members of the engagement team shall be involved in planning the audit including planning and participating in the discussion among engagement team members. The involvement of the engagement partner and other key members of the engagement team in planning the audit draws on their experience and insight, thereby enhancing the effectiveness and efficiency of the planning process.

Therefore, Mr. Hardik's doubt is not justified, as SA 300 requires discussion of the audit plan with senior engagement team members to utilise their experience and professional judgment, thereby enhancing the effectiveness of audit planning.

Q5(c)(ii)

As per SA 300, the auditor may decide to discuss elements of planning with the entity's management to facilitate the conduct and management of the audit engagement. When discussing matters included in the overall audit strategy or audit plan, care is required in order not to compromise the effectiveness of the audit.

Thus, Mr. Hardik's belief is incorrect, since SA 300 permits discussion of relevant elements of audit planning with management to facilitate coordination, provided care is taken not to compromise the effectiveness of audit procedures or the element of unpredictability.

ICAI · P5 · Jan 2026 exam · question p. 24 · answer p. 26-27, 27

101 EXAM **Sep 2025** Case scenario · Q5(a)(i) to Q5(a)(ii)

5 marks

CASE SCENARIO

CA Taman is the auditor of a company dealing in trading of mobile accessories. This year the company has also started assembling of mobile phones. The audit manager instructed the team to develop the audit programme based on the previous year's audit

plan and proceed with the audit. However, CA Taman disagreed, explaining to the audit manager that before commencing the audit and throughout its course, she would plan the nature, timing and extent of direction and supervision for the engagement team members and the review of their work.
Explain:

Q5(a)(i) 3 marks

What factors will CA Taman consider when planning the nature, timing, and extent of direction and supervision of the engagement team members and review of their work?

Q5(a)(ii) 2 marks

If, during the course of the audit, CA Taman discovers information that significantly differs from what was available when the audit procedures were initially planned, then what must she do?

ICAI'S ANSWERS

Q5(a)(i)

SA 300 "Planning an Audit of Financial Statements", the auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work. The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors.

Factors CA Taman will consider while planning the nature, timing, and extent of direction and

supervision of the engagement team members and review of their work are as follows:

- The size and complexity of the entity.
- The area of the audit.
- The assessed risks of material misstatement
- The capabilities and competence of the individual team members performing the audit work.

Q5(a)(ii)

In case, during the course of the audit, CA Taman discovers information that significantly differs from what was available when the audit procedures were initially planned, she would update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, CA Taman may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures. For example, audit evidence obtained through on detailed checking may contradict the audit evidence obtained through testing internal controls.

ICAI · P5 · Sep 2025 exam · question p. 23 · answer p. 23-24, 24

102 EXAM **May 2025** MCQ 15 2 marks MCQ

Which of the following statements is inappropriate?

A Once the overall audit strategy is established, an audit plan can be developed to address the various matters identified in the overall audit strategy.

B The establishment of an overall audit strategy as well as detailed audit plan are not necessarily discrete or sequential process.

C Audit Strategy and Audit plan are not inter-related as changes in one may not result in consequential changes to the other.

D The Audit plan is more detailed than the Audit Strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · May 2025 exam · question p. 8 · answer p. 8

103 EXAM **May 2025** Q6(c) 4 marks

The auditor shall take into consideration the reporting objectives of the engagement so as to plan timing of different audit procedures and also nature of communications while establishing audit strategy. Give any four instances of reporting objectives.

ICAI'S ANSWER

The reporting objectives of the engagement to plan the timing of the different audit procedures

and also the nature of the communications while establishing audit strategy are:

- The entity's timetable for reporting.
- Organisation of meetings to discuss nature, timing and extent of audit work with management.
- Discussion with management regarding the expected type and timing of reports to be issued including the auditor's report.
- Discussion with management regarding the expected communications on the status of audit work throughout the engagement.
- Expected nature and timing of communications among engagement team members, including the nature and timing of team meetings and timing of the review of work performed.

ICAI · P5 · May 2025 exam · question p. 22 · answer p. 23-24

104 EXAM **Jan 2025** Case scenario · Q1(a)(i) to Q1(a)(ii)

5 marks

CASE SCENARIO

AP & Co., Chartered Accountants, are appointed as statutory auditor of Heavy Industries Limited, a listed company engaged in manufacturing of electric vehicles, for the F.Y. 2023-24. As per the recent guideline issued by the regulatory authority, every listed company is required to maintain the digital database of all those personnel who could access the books of the company to avoid Insider Trading. In

case of non-compliance, hefty fines may be imposed on the company. CA P is the engagement partner from auditor firm for the audit of Heavy Industries Limited. During planning, CA P planned that he would inquire from in-house IT Head of the company about the maintenance of the digital database to identify and assess the risk of non-compliance with regulatory guidelines. In the light of above facts, explain :

Q1(a)(i) 3 marks

Whether CA P is required to consider about the maintenance of digital database while framing audit strategy ?

Q1(a)(ii) 2 marks

Whether the procedures planned by CA P are in line with SA-300 ?

ICAI'S ANSWERS

Q1(a)(i)

As per SA 300, "Planning an Audit of Financial Statements", the auditor should establish an overall audit strategy that sets the scope, timing, and direction of the audit, and that guides the development of the audit plan. The process of establishing the overall audit strategy assists the auditor to determine, subject to the completion of the auditor's risk assessment procedures, key resources to be employed to conduct audit.

The auditor shall take following factors into consideration while establishing or framing audit

strategy viz. identify the characteristics of the engagement that define its scope, consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts, etc.

In the given situation, the regulatory guideline requires Heavy Industries Ltd., a listed company, to maintain a digital database of all those personnel who could access the company's books to prevent insider trading. Further, hefty fines may be imposed in case of non-compliance with this guideline. Therefore, it is very essential that auditor while establishing overall audit strategy evaluate whether the company maintains such a database and complies with the regulatory requirement.

Thus, in view of above, it can be concluded that CA P should incorporate the assessment of digital database maintenance into the overall audit strategy.

Q1(a)(ii)

As per SA 300, "Planning an Audit of Financial Statements", planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework, etc.

In the given situation, CA P planned to inquire from in-house IT Head of the company regarding

maintenance of the digital database to identify and assess the risk of non-compliance with regulatory guidelines. Inquiry with the IT Head regarding the maintenance of the digital database is an appropriate procedure to understand whether the company complies with the regulations. This inquiry will help CA P in obtaining a general understanding of the legal and regulatory framework applicable to the company and how the entity is complying with that framework and other risk assessment procedures.

Thus, the planned inquiry with the IT Head is in line with SA 300.

ICAI · P5 · Jan 2025 exam · question p. 10 · answer p. 11-12, 12

105 EXAM **Jan 2025** Q5(a) 5 marks

Z Ltd. engaged ABC & Co., Chartered Accountants, to conduct its statutory audit for the F.Y. 2023-24. The audit team developed an overall audit strategy and plan to address the risk. During the audit, several significant changes occurred, including the discovery of a material misstatement in inventory valuation and changes in the scope of audit procedures due to an unexpected acquisition by Z Ltd. The audit documentation for Z Ltd. should reflect these changes but the auditor of a company failed to document the audit strategy and the audit plan.

As a senior auditor of the firm briefly outline what should be included in the documentation of audit strategy and audit plan and how should the audit

documentation address significant changes made during the audit engagement.

ICAI'S ANSWER

The auditor shall document:

(i) The overall audit strategy: The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team.

(ii) The audit plan: The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks. It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance. The auditor may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

(iii) Any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes: A record of the significant changes to the overall audit strategy and the audit plan, and resulting changes to the planned nature, timing and extent of audit procedures, explains why the significant changes were made, and the overall strategy and audit plan finally adopted for the audit. It also reflects the

appropriate response to the significant changes occurring during the audit.

ICAI · P5 · Jan 2025 exam · question p. 25 · answer p. 26

106 **EXAM** **Sep 2024** MCQ 14 MCQ

RDB & Co. have been appointed as statutory auditors of INA Group of Hotels. This is the first time the firm is auditing an industry in food & beverage. The engagement partner, CA R, and other key members of the engagement team have undertaken the activity of development of an audit plan of INA Hotels after thorough understanding the Hotel's business and its environment. As per SA 300, description of which of the following matters is not a part of developing an audit plan?

A. The nature, timing and extent of planned risk assessment procedure.

B. The nature, timing and extent of planned further audit procedures at assertion level.

C. The nature, timing and extent of resources necessary to perform the engagement.

D. Other planned audit procedures that are required to be carried out so that the engagement complies with SAs.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · Sep 2024 exam · question p. 7 · answer p. 8

107 EXAM Sep 2024 Q2(d) 3 marks

Also asked in MTP Jan 2025 S-II Q4(b)

The engagement partner, of a firm of auditors, is explaining to his audit team, undergoing practical training, the inter relationship between audit strategy and audit plan. Discuss the points which the engagement partner will explain to his team in this regard.

ICAI'S ANSWER

Relationship between audit strategy and audit plan

- Audit strategy sets the broad overall approach to the audit whereas audit plan addresses the various matters identified in the overall audit strategy.
- Audit strategy determines scope, timing and direction of audit. Audit plan describes how strategy is going to be implemented.
- The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Planning for these audit procedures takes place over the course of the audit as the audit plan for the engagement develops.
- Once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy, taking into account the

need to achieve the audit objectives through the efficient use of the auditor's resources.

- The establishment of the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential processes but are closely inter-related since changes in one may result in consequential changes to the other.

ICAI · P5 · Sep 2024 exam · question p. 13 · answer p. 16

108 EXAM **Sep 2024** Q4(a) 4 marks

EFG Ltd. has appointed M/s. MN & Co., Chartered Accountants, as the statutory auditors for the year 2024-25. CA N, the engagement partner, completed his risk assessment procedure. However, he is concerned about the management of human resources to be employed to conduct the audit. For this purpose, he wants to establish an overall audit strategy for setting the scope, timing and direction of the audit. Describe how the process of establishment of overall audit strategy will assist him in managing deployment of his human resources for various audit areas.

ICAI'S ANSWER

Establishing the overall audit strategy- Assistance for the auditor : Overall audit strategy sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan. The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the

audit, and that guides the development of the audit plan.

The process of establishing the overall audit strategy assists the auditor to determine, subject to the completion of the auditor's risk assessment procedures, such matters as: -

(i) The resources to deploy for specific audit areas, such as the use of appropriately experienced team members for high-risk areas or the involvement of experts on complex matters

(ii) The amount of resources to allocate to specific audit areas, such as the number of team members assigned to observe the inventory count at material locations, the extent of review of other auditors' work in the case of group audits, or the audit budget in hours to allocate to high risk areas

(iii) When these resources are to be deployed, such as whether at an interim audit stage or at key cut-off dates

(iv) How such resources are managed, directed and supervised, such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (for example, on-site or off-site), and whether to complete engagement quality control reviews.

ICAI · P5 · Sep 2024 exam · question p. 19-20 · answer p. 20-21

109 **EXAM** **May 2024** **Q2(d)** **3 marks**

B Ltd. is a company manufacturing bed-sheets and pillow covers. They have appointed M/s C & Co., Chartered Accountants, as their auditors. The auditor is establishing audit strategy with his team members. As the work progressed, they came to know that the company has diversified its business and now they are also planning to manufacture wooden furniture. The auditor, in his professional judgement, considers this to be a significant factor in directing the engagement team's efforts. Give examples of factors that, in auditor's professional judgement, are significant in directing the engagement team's efforts.

ICAI'S ANSWER

Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts: The auditor needs to direct efforts of engagement team towards matters that in his professional judgment are significant. Preliminary identification of material classes of transactions, account balances and disclosures help auditor in establishing overall audit strategy. More energies need to be devoted to significant matters to obtain desired outcomes. Few examples are listed as under: -

(i) Volume of transactions which may determine whether it is more efficient for the auditor to rely on internal control.

(ii) Significant industry developments such as changes in industry regulations and new reporting

requirements.

(iii) Significant changes in the financial reporting framework, such as changes in accounting standards.

(iv) Other significant relevant developments, such as changes in the legal environment affecting the entity.

ICAI · P5 · May 2024 exam · question p. 6 · answer p. 9

110 **EXAM** **May 2024** Q3(a) **4 marks**

CA E is auditor of LM Ltd. Before commencing with current year's audit, he initiated planning for the audit. Planning includes the need to consider certain matters, prior to the identification and assessment of the risk of material misstatements. Enumerate such matters.

ICAI'S ANSWER

Nature of Audit Planning- A Continuous and iterative process: Planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as: -

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
3. The determination of materiality.

4. The involvement of experts.
5. The performance of other risk assessment procedures.

ICAI · P5 · May 2024 exam · question p. 9 · answer p. 10

111 EXAM **Old P6 May 2023** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

State with reasons whether the following statements are correct or incorrect. (Answer any **seven**)

Q1(a) 2 marks

The "documentation of the overall audit strategy" is a record of the audit evidence considered necessary to properly plan the audit and to assign various audit functions to the engagement team.

Q1(b) 2 marks

Communicating key audit matters in the auditor's report is a separate opinion on individual matters.

Q1(c) 2 marks

Amortization represents systematic allocation of the depreciable amount of an item of Property, Plant and Equipment (PPE) over its useful life.

Q1(d) 2 marks out of syllabus

As per section 142 of Companies Act, 2013, the remuneration to the auditor shall also include any facility provided to him.

Q1(e) 2 marks

Appropriateness is the measure of the quantity of audit evidence.

Q1(f) 2 marks

Analytical procedures are used in all stages of audit by experienced auditors.

Q1(g) 2 marks

In the case of Co-operative societies, contribution to Education fund is a charge on profits and not an appropriation.

Q1(h) 2 marks

If a company uses an integrated enterprise resource planning system (ERP) viz., SAP, Oracle etc., then it is considered less complex and easy to audit compared to using an off-the-shelf accounting software.

ICAI'S ANSWERS

Q1(a)

Incorrect: The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team.

Q1(b)

Incorrect: Communicating key audit matters in the auditor's report are in the context of the auditor having formed an opinion on the financial statements as a whole. Communicating key audit matters in the auditor's report is not a separate opinion on individual matters.

Alternative solution

Incorrect: Communicating key audit matters in the auditor's report is not a separate opinion on individual matters. The auditor shall describe each key audit matter, using an appropriate subheading, in a separate section of the auditor's report under the heading "Key Audit Matters".

Q1(c)

Incorrect: Depreciation represents systematic allocation of the depreciable value of an item of PPE over its useful life whereas amortisation represents systematic allocation of the depreciable amount of an intangible asset over its useful life.

Q1(d)

Correct: The remuneration, in addition to the fee payable to an auditor, includes the expenses, if any, incurred by the auditor in connection with the audit of the company and any facility extended to him.

However, it does not include any remuneration paid to him for any other service rendered by him at the request of the company.

PassBook's note: Out of syllabus (old scheme): the remuneration of a company's auditor under section 142 of the Companies Act, 2013 was part of old Paper 6's Company Audit chapter (appointment, remuneration, rights and duties of the auditor); Neither the new-scheme Paper 5 syllabus nor the January 2027 Study Material teaches it (the Study Material cites section 142 only for who fixes a banking company auditor's remuneration). No tag.

Q1(e)

Incorrect: Appropriateness is the measure of the quality of audit evidence, that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based.

Sufficiency is the measure of the quantity of audit evidence.

Q1(f)

Correct: Experienced auditors use analytical procedures in all stages of the audit. Analytical Procedures are required in the planning phase and it is often done during the testing phase. In addition, these are also required during the completion phase.

Alternative solution

Incorrect: Every auditor shall use analytical procedures in all stages of the audit. Analytical Procedures are required in the planning phase and it is often done during the testing phase. In addition, these are also required during the completion phase.

Q1(g)

Correct: Some of the State Acts provide that every society shall contribute annually towards the Education Fund of the State Federal Society, at the appropriate rate as per the class of the society. Therefore, contribution to Education Fund is a charge on profits and not an appropriation.

Q1(h)

Incorrect: If a company uses an integrated enterprise resource planning system (ERP) viz., SAP, Oracle etc., then it is considered more complex to audit.

On the other hand, if a company is using off-the-shelf accounting software, then it is likely to be less automated, less complex and easy to audit.

ICAI · Old P6 · May 2023 exam · question p. 1 · answer p. 1, 2

112 EXAM **Old P6 Jul 2021** Q2(a) 4 marks old scheme

Documentation of audit plan serves as a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks. What all activities in the planning phase should form part of auditor's documentation? State with examples.

ICAI'S ANSWER

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks.

Example

The following things should form part of auditor's documentation:

- A summary of discussions with the entity's key decision makers.

- Documentation of audit committee pre-approval of services, where required.
- Audit documentation access letters.
- Other communications or agreements with management or those charged with governance regarding the scope, or changes in scope, of our services.
- Auditor's report on the entity's financial statements.
- Other reports as specified in the engagement agreement (e.g., debt covenant compliance letter).

ICAI · Old P6 · Jul 2021 exam · question p. 35 · answer p. 35

113 EXAM **Old P6 Nov 2019** Q2(b) 4 marks old scheme

Also asked in Old P6 MTP Dec 2021 S-II Q3(b)

In establishing overall audit strategy, the auditor shall ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required. Elucidate those cases by which auditor can ascertain the reporting objectives of the engagement.

ICAI'S ANSWER

In establishing the overall audit strategy, auditor shall ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required. The cases

by which auditor can ascertain the reporting objectives of the engagement are:

(i) The entity's timetable for reporting, such as at interim and final stages.

(ii) The organization of meetings with management and those charged with governance to discuss the nature, timing and extent of the audit work.

(iii) The discussion with management and those charged with governance regarding the expected type and timing of reports to be issued and other communications, both written and oral, including the auditor's report, management letters and communications to those charged with governance.

(iv) The discussion with management regarding the expected communications on the status of audit work throughout the engagement.

ICAI · Old P6 · Nov 2019 exam · question p. 3 · answer p. 3-4

114 **RTP** **Sep 2026** Q10

KLM & Co., Chartered Accountants, were appointed as the statutory auditors of XYZ Ltd. for the financial year ended 31st March, 2026. During the planning phase, the engagement partner developed the overall audit strategy and a detailed audit plan.

While conducting the audit, certain unexpected risks relating to inventory valuation and internal control weaknesses were identified. Accordingly, the audit team modified the audit procedures, including changes in the nature, timing, and extent of testing. The

engagement partner ensured that all such changes and the reasons for them were properly recorded.

Before completion of the audit, a junior auditor raised a query regarding the auditor's responsibility to document the overall audit strategy, audit plan, and significant changes made during the course of the audit together with the reasons for such changes.

With reference to SA 300 "Planning an Audit of Financial Statements", explain the auditor's documentation requirements relating to the overall audit strategy, audit plan, and significant changes made during the course of the audit together with the reasons for such changes.

ICAI'S ANSWER

The auditor shall document:

(a) the overall audit strategy

(b) the audit plan and

(c) any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team.

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the

assessed risks. It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance. The auditor may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

A record of the significant changes to the overall audit strategy and the audit plan, and resulting changes to the planned nature, timing and extent of audit procedures, explains why the significant changes were made, and the overall strategy and audit plan finally adopted for the audit. It also reflects the appropriate response to the significant changes occurring during the audit.

In the given facts, M/s KLM & Co. have complied with the documentation requirements by recording the audit strategy, audit plan, and all significant changes along with reasons, thereby ensuring proper audit planning and compliance with auditing standards.

ICAI · P5 · RTP Sep 2026 · question p. 7 · answer p. 14

115 **RTP** **May 2026** Q7 MCQ

P & Co., Chartered Accountants, were appointed as statutory auditors of LMN Ltd. for the year ended 31 March 2025. Soon after completing the audit for the previous year, the engagement team began discussions for the current year's audit. Before identifying and assessing the risks of material misstatement, the

auditor planned the timing of certain activities such as applying analytical procedures, obtaining an understanding of the applicable legal and regulatory framework, determining materiality and considering the need for involvement of experts.

Which of the following statements best explains the nature of audit planning as per the Standards on Auditing in the above case?

A Audit planning is a separate phase that begins only after the identification of risks of material misstatement.

B Audit planning is a continual and iterative process that includes consideration of analytical procedures, materiality, legal and regulatory framework and involvement of experts prior to performing further audit procedures.

C Audit planning is restricted to preparation of the audit programme and allocation of audit staff.

D Audit planning is required only in case of initial audit engagements.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP May 2026 · question p. 4-5 · answer p. 12

116 **RTP** **Jan 2026** Q10

MICA Associates., Chartered Accountants, are appointed as statutory auditors of B Ltd. for the first time in F.Y. 2024-25. Before commencing the audit, the

engagement partner considers the integrity of Directors, evaluates compliance with ethical requirements including independence, sends an engagement letter to avoid misunderstanding.

Explain the above stage of the audit planning process as considered by the engagement partner.

ICAI'S ANSWER

Preliminary engagement activities

The auditor considers whether relationship with client should be continued and whether ethical requirements including independence continue to be complied with. It includes:

(A) Performing procedures regarding the continuance of the client relationship. It should be ensured that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed and that conclusions reached in this regard are appropriate.

The firm should obtain information considered necessary in the circumstances before accepting an engagement with a new client, when deciding whether to continue an existing engagement, and when considering acceptance of a new engagement with an existing client.

Matters such as integrity of principal owners and key management, competence of engagement team to perform the audit engagement and implications of matters that have arisen during current and

previous audit engagement may need to be considered.

Besides, in case of initial engagements, communication with predecessor auditor should be made, where there has been a change of auditors.

(B) Evaluating compliance with ethical requirements, including independence. The auditor shall continuously evaluate compliance with ethical requirements including independence. "Independence" means that the judgement of a person is not subordinate to the wishes or direction of another person who might have engaged him.

Throughout the audit engagement, the engagement partner shall remain alert, through observation and making inquiries as necessary, for evidence of non-compliance with relevant ethical requirements by members of the engagement team.

(C) Establishing an understanding of terms of engagement. It is in the interests of both the entity and the auditor that the auditor sends an audit engagement letter before the commencement of the audit to help avoid misunderstandings with respect to the audit. It ensures that there is no confusion with the client regarding terms of the engagement.

ICAI · P5 · RTP Jan 2026 · question p. 6 · answer p. 11-12

117 **RTP** **Sep 2025** **Q10**

CA Rishu is appointed as an auditor of a manufacturing company with a complex supply chain, multiple

inventory locations, and recently introduced financial reporting requirements. Some article assistants and an expert assigned for inventory verification are forming part of audit team of CA Rishu. To ensure that audit risk is reduced to an acceptably low level, CA Rishu is focused on developing an effective and efficient audit plan. Explain the benefits of adequate audit planning in the audit of financial statements.

ICAI'S ANSWER

Adequate planning benefits the audit of financial statements in the several ways, including the following:

1. Helping the auditor to devote appropriate attention to important areas of the audit.

2. Helping the auditor identify and resolve potential problems on a timely basis.

3. Helping the auditor properly organise and manage the audit engagement so that it is performed in an effective and efficient manner.

4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.

5. Facilitating the direction and supervision of engagement team members and the review of their work.

6. Assisting, where applicable, in coordination of work done by others such as experts

Therefore, planning an audit ensures that audit risk is reduced to an acceptable low level. When audit work is adequately and properly planned, it reduces the risk of inappropriate opinion by the auditor.

ICAI · P5 · RTP Sep 2025 · question p. 5 · answer p. 10-11

118 RTP **Jan 2025** Q10

During the audit of ABC Ltd., a medium-sized manufacturing company, the engagement partner is responsible for directing and supervising the work of the engagement team. The team includes both experienced members and several new trainees. Additionally, certain areas of the audit have been identified as high-risk, such as revenue recognition and inventory valuation, due to recent changes in ABC Ltd.'s accounting policies. What factors should the engagement team members consider when determining the nature, timing, and extent of direction, supervision, and review of the engagement team's work?

ICAI'S ANSWER

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work.

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including: -

1. The size and complexity of the entity.

2. The area of the audit.
3. The assessed risks of material misstatement
4. The capabilities and competence of the individual team members performing the audit work.

ICAI · P5 · RTP Jan 2025 · question p. 5 · answer p. 10

119 RTP **May 2024** Q3

Preliminary engagement activities include certain activities to be performed by an auditor while planning an audit. Discuss such activities briefly. How performing such activities assists an auditor?

ICAI'S ANSWER

Preliminary engagement activities

Preliminary engagement activities include following activities: -

(A) Performing procedures regarding the continuance of the client relationship

(B) Evaluating compliance with ethical requirements, including independence

(C) Establishing an understanding of terms of engagement

Performing preliminary engagement activities assists auditor in identifying and evaluating events or circumstances that may affect auditor's ability to plan and perform audit engagement.

ICAI · P5 · RTP May 2024 · question p. 9 · answer p. 18

120 RTP **Old P6 Nov 2023** Q4(a) old scheme

You have been appointed as an auditor of MKP Ltd. for the first time. Discuss briefly, the factors to be considered by you while establishing overall audit strategy

ICAI'S ANSWER

As per SA-300, "Planning an Audit of Financial Statements", the auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan. **In establishing the overall audit strategy, the auditor shall:**

(i) Identify the characteristics of the engagement that define its scope;

(ii) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;

(iii) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;

(iv) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and

(v) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 18

121 RTP Old P6 Nov 2023 Q4(b) old scheme

The audit plan includes the nature, timing and extent of audit procedures to be performed by engagement team members. Explain.

ICAI'S ANSWER

The auditor shall develop an audit plan that shall include a description of

(a) The nature, timing and extent of planned risk assessment procedures, as determined under SA 315 "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment".

(b) The nature, timing and extent of planned further audit procedures at the assertion level, as determined under SA 330 "The Auditor's Responses to Assessed Risks".

(c) Other planned audit procedures that are required to be carried out so that the engagement complies with SAs.

The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Planning for these audit procedures takes place over the course of the audit as the audit plan for the engagement develops.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 18

122 RTP Old P6 Nov 2023 Q5 old scheme

In establishing the overall audit strategy, the auditor shall ascertain the reporting objectives of the engagement. Explain with examples.

ICAI'S ANSWER

In establishing the overall audit strategy, the auditor shall ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required.

For Example:

- The entity's timetable for reporting, such as at interim and final stages.
- The organization of meetings with management and those charged with governance to discuss the nature, timing and extent of the audit work.
- The discussion with management and those charged with governance regarding the expected type and timing of reports to be issued and other communications, both written and oral, including the auditor's report, management letters and communications to those charged with governance.
- The discussion with management regarding the expected communications on the status of audit work throughout the engagement.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 18-19

123 RTP Old P6 May 2023

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

Kaur & Associates, a sole proprietor firm of Simran Kaur, is offered appointment as auditor of a company engaged in manufacturing of automobile components for the first time. She is fact checking about the integrity of promoters of the company and key managerial persons. Matters such as competence of staff to perform the engagement are also considered by her. The appointment is subsequently accepted by her.

She is also taking into account number and location of branches of the company, requirements of Schedule III of Companies Act, 2013 and expected time by which audit has to be completed keeping in view statutory requirements. Initially, she has thought it proper to inquire key employees of the company in procurement and marketing departments and planned for the same. She has also planned to visit three plants of the company. The purpose of planned inquiry and visit is to identify and assess risk of material misstatements.

A detailed set of instructions has been prepared by her office and it has been handed over to assistants in engagement team. These set of instructions include details of extent of checking and nature of audit procedures to be performed regarding purchases, sales, items of income, items of expenditure etc. During the course of execution of

above set of instructions, it has been brought to her notice that company is also producing substantial quantities of scrap generated during manufacturing process. However, no instructions have been given to engagement team in this regard.

Based on above, answer the following questions:

MCQ 1.1

Auditor is fact checking about promoters and key managerial persons. She is also considering competence of staff to perform engagement. What is she trying to do?

- **A** She is establishing audit strategy.
- **B** She is conducting preliminary engagement activities.
- **C** She is designing audit plan.
- **D** She is checking her compliance of ethical requirements.

MCQ 1.2

Consideration of number and location of branches, requirements of financial reporting framework and expected time of completion are relevant factors primarily for which of the following -

- **A** Developing audit plan
- **B** Establishing overall audit strategy
- **C** Designing audit programme
- **D** Designing risk assessment procedures

MCQ 1.3

Taking into account description of planned inquiry and visit, which of the following statements is TRUE?

A. Planned inquiry and visit fall in area of audit strategy.

B. Planned inquiry and visit are planned risk assessment procedures and fall in field of audit plan.

C. The said description is not related to audit planning.

D. Planned inquiry and visit fall in scope of audit programme.

MCQ 1.4

What is detailed set of instructions given to assistants in engagement team known as?

A. Audit guidelines

B. Audit plan

C. Audit Programme

D. Audit Procedures

MCQ 1.5

The issue of generation of scrap has been overlooked in detailed set of instructions given to engagement team. What should be proper course of action by CA Simran Kaur?

A. She should ignore this information as audit has already begun.

B She should modify earlier set of instructions.

C She should leave the matter to wisdom of engagement team.

D She should put the ball in court of management as she was not provided with complete information earlier.

ICAI'S ANSWERS

MCQ 1.1

(B) She is conducting preliminary engagement activities.

MCQ 1.2

(B) Establishing overall audit strategy

MCQ 1.3

(B) Planned inquiry and visit are planned risk assessment procedures and fall in field of audit plan.

MCQ 1.4

(C) Audit Programme

MCQ 1.5

(B) She should modify earlier set of instructions.

ICAI · Old P6 · RTP May 2023 · question p. 3 · answer p. 11

124 RTP **Old P6 May 2023** Q4(a) old scheme

SA 300 states that auditor should plan his work to enable him to conduct an effective audit in an efficient and timely manner. What matters should be covered in such Plan by the auditor?

ICAI'S ANSWER

The auditor should plan his work to enable him to conduct an effective audit in an efficient and timely manner. Plans should be based on knowledge of the client's business.

Plans should be made to cover, among other things:

(i) acquiring knowledge of the client's accounting systems, policies and internal control procedures;

(ii) establishing the expected degree of reliance to be placed on internal control;

(iii) determining and programming the nature, timing, and extent of the audit procedures to be performed; and

(iv) coordinating the work to be performed.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 15

125 **RTP** **Old P6 May 2023** Q4(b) old scheme

Same question, different ICAI answer: #170 MTP May 2024 S-I

Adequate planning benefits the audit of financial statements in several ways. Explain

ICAI'S ANSWER

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit

of financial statements in several ways, including the following:

(a) Helping the auditor to devote appropriate attention to important areas of the audit.

(b) Helping the auditor identify and resolve potential problems on a timely basis.

(c) Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.

(d) Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.

(e) Facilitating the direction and supervision of engagement team members and the review of their work.

(f) Assisting, where applicable, in coordination of work done by auditors of components and experts.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 15-16

126 RTP **Old P6 May 2023** Q5 old scheme

In establishing the overall audit strategy, the auditor shall identify the characteristics of the engagement that define its scope. Explain with example.

ICAI'S ANSWER

In establishing the overall audit strategy, the auditor shall Identify the characteristics of the engagement that define its scope.

For Example :

- The expected audit coverage, including the number and locations of components to be included.
- The nature of the business segments to be audited, including the need for specialized knowledge.
- The expected use of audit evidence obtained in previous audits, for example, audit evidence related to risk assessment procedures and tests of controls.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 16

127 RTP **Old P6 Nov 2022** Q4(a) old scheme

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors. Discuss those factors.

ICAI'S ANSWER

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including:

- The size and complexity of the entity.
- The area of the audit.
- The assessed risks of material misstatement (for example, an increase in the assessed risk of material misstatement for a given area of the

audit ordinarily requires a corresponding increase in the extent and timeliness of direction and supervision of engagement team members, and a more detailed review of their work).

- The capabilities and competence of the individual team members performing the audit work.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 18

128 **RTP** **Old P6 Nov 2022** **Q4(b)** old scheme

Explain what do you mean by documentation of audit plan. Discuss the purpose served by it and also elaborate the tools used by the auditor to reflect the particular engagement circumstances.

ICAI'S ANSWER

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks.

It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance.

The auditor may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 19

129 RTP Old P6 May 2022 Q4(a) old scheme

Engagement Partner CA Hitesh Kapur of Kapur and Associates wanted to develop an audit plan of Sampurna Fabrics Ltd. Discuss the matters to be described in such an audit plan.

ICAI'S ANSWER

The auditor shall develop an audit plan that shall include a description of :

(i) The nature, timing and extent of planned risk assessment procedures, as determined under SA 315 "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment".

(ii) The nature, timing and extent of planned further audit procedures at the assertion level, as determined under SA 330 "The Auditor's Responses to Assessed Risks".

(iii) Other planned audit procedures that are required to be carried out so that the engagement complies with SAs.

The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Planning for these audit procedures takes place over the course of the audit as the audit plan for the engagement develops.

Example

Planning of the auditor's risk assessment procedures occurs early in the audit process.

However, planning the nature, timing and extent of specific further audit procedures depends on the outcome of those risk assessment procedures. In addition, the auditor may begin the execution of further audit procedures for some classes of transactions, account balances and disclosures before planning all remaining further audit procedures.

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 16-17

130 **RTP** **Old P6 Dec 2021 Q4(a)** old scheme

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors. Explain those factors.

ICAI'S ANSWER

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including:

1. The size and complexity of the entity.
2. The area of the audit.
3. The assessed risks of material misstatement (for example, an increase in the assessed risk of material misstatement for a given area of the audit ordinarily requires a corresponding increase in the extent and timeliness of direction

and supervision of engagement team members, and a more detailed review of their work).

4. The capabilities and competence of the individual team members performing the audit work.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 130

131 RTP **Old P6 Dec 2021 Q4(b)** old scheme

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways. Explain clearly those ways.

ICAI'S ANSWER

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways, including the following:

- Helping the auditor to devote appropriate attention to important areas of the audit.
- Helping the auditor identify and resolve potential problems on a timely basis.
- Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
- Assisting in the selection of engagement team members with appropriate levels of capabilities

and competence to respond to anticipated risks, and the proper assignment of work to them.

- Facilitating the direction and supervision of engagement team members and the review of their work.
- Assisting, where applicable, in coordination of work done by auditors of components and experts.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 130

132 RTP **Old P6 Jul 2021 Q4(b)** old scheme

Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after the completion of the previous audit and continues until the completion of the current audit engagement. Planning includes the need to consider certain matters prior to the auditor's identification and assessment of the risks of material misstatement. Explain clearly stating those matters also .

ICAI'S ANSWER

In the context of recurring audits, as per SA-300, "Planning an Audit of Financial Statements", Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. Planning, however, includes consideration of the timing of certain activities and

audit procedures that need to be completed prior to the performance of further audit procedures. For example, planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as:

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
3. The determination of materiality.
4. The involvement of experts.
5. The performance of other risk assessment procedures.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 129

133 RTP **Old P6 Nov 2020** Q4(a) old scheme

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work. The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors. Explain giving examples.

ICAI'S ANSWER

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work.

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including:

1. The size and complexity of the entity.
2. The area of the audit.
3. The assessed risks of material misstatement
   Example

   An increase in the assessed risk of material misstatement for a given area of the audit ordinarily requires a corresponding increase in the extent and timeliness of direction and supervision of engagement team members, and a more detailed review of their work.
4. The capabilities and competence of the individual team members performing the audit work.
   Example

   We may have identified a problem related to the production process that raised concerns about inventory obsolescence. After obtaining an understanding of the entity's process that raised concerns about inventory obsolescence (which we had identified as a significant class of transactions), we concluded that additional tests

of details were required. Therefore, the senior will likely take part, along with the team, in the discussions with management about the provision for obsolescence and examine related documentation supporting the provision, rather than just reading the memo on file. These procedures should be completed as the work is being performed rather than as an after the fact review. The extent of the senior's involvement requires judgement, taking into consideration the complexity of the area and the experience of the team.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 14-15

134 RTP **Old P6 Nov 2020** Q4(b) old scheme

The auditor shall document the overall audit strategy, the audit plan and any significant changes made to the overall audit strategy or the audit plan. Explain in detail giving examples.

ICAI'S ANSWER

The auditor shall document:

(a) the overall audit strategy;

(b) the audit plan; and

(c) any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

The documentation of the overall audit strategy is a record of the key decisions considered necessary to

properly plan the audit and to communicate significant matters to the engagement team.

Example

The auditor may summarize the overall audit strategy in the form of a memorandum that contains key decisions regarding the overall scope, timing and conduct of the audit.

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks. It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance.

The auditor may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

A record of the significant changes to the overall audit strategy and the audit plan, and resulting changes to the planned nature, timing and extent of audit procedures, explains why the significant changes were made, and the overall strategy and audit plan finally adopted for the audit. It also reflects the appropriate response to the significant changes occurring during the audit.

Example

The following things should form part of auditor's documentation:

- A summary of discussions with the entity's key decision makers.
- Documentation of audit committee pre-approval of services, where required.
- Audit documentation access letters.
- Other communications or agreements with management or those charged with governance regarding the scope, or changes in scope, of our services.
- Auditor's report on the entity's financial statements.
- Other reports as specified in the engagement agreement (e.g., debt covenant compliance letter).

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 15-16

135 RTP **Old P6 May 2020**

Integrated Case Scenario-2 · Integrated Case Scenario-2, MCQ 1 to Integrated Case Scenario-2, MCQ 5

old scheme

INTEGRATED CASE SCENARIO-2

M/s JK & Associates have been appointed as auditors of Venus Ltd. for the financial year 2019-20. The team consist of Mr. J & Mr. K both Chartered Accountants as also the engagement partners and the audit staff consisting of 2 article assistants. While starting the audit work of Venus Ltd, the engagement partners

briefed the audit staff about the audit work, areas to be covered and the various auditing concepts and their application in the audit of Venus Ltd along with applicable Standard on Auditing.

Various topics like audit planning, overall audit strategy, audit programme were discussed in detail. The team was told about the purpose and implication of various statements and guidance notes issued by the Institute of Chartered Accountants of India (ICAI) from time to time. Mr. K also briefed the team about the concept of materiality to be applied while planning and performing audit. The team was also explained in detail about the area where benchmark materiality can be applied in case of Venus Ltd.

Based on the above facts, answer the following:-

Integrated Case Scenario-2, MCQ 1

..... sets the scope, timing & direction of the audit and guides the development of the more detailed plan.

A Audit Programme

B Overall Audit Strategy

C Completion Memorandum

D Audit Plan

Integrated Case Scenario-2, MCQ 2

Statement 1: The establishment of the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential process but are closely inter-related.

Statement 2: The auditor shall establish an overall audit strategy that guides the development of audit plan.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both Statements 1 & 2 are correct

D Both Statements 1 & 2 are incorrect

Integrated Case Scenario-2, MCQ 3

..... means the amount set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatement exceeds materiality for the financial statements as a whole :-

A Benchmark Materiality

B Materiality in Planning

C Performance Materiality

D Materiality.

Integrated Case Scenario-2, MCQ 4

Which of the following is not an example of benchmark that can be used in determining the materiality in the case of financial statements:-

A Total Revenue

B Profit before tax

C Net Asset Value

D None of the above

Integrated Case Scenario-2, MCQ 5 out of syllabus

(i) Guidance notes issued by ICAI provide guidance to members on matters which may arise in the course of their professional work.

(ii) Statements are issued by ICAI with a view to secure compliance by members on some matters.

(iii) Guidance notes are recommendatory in nature.

(iv) Statements are mandatory in nature.

A All the above statements are correct.

B Statements 1 & 2 are correct

C Statements 1, 2 & 3 are correct

D Statements 1,2 & 4 are correct

ICAI'S ANSWERS

Integrated Case Scenario-2, MCQ 1

(B)

Integrated Case Scenario-2, MCQ 2

(C)

Integrated Case Scenario-2, MCQ 3

(C)

Integrated Case Scenario-2, MCQ 4

(D)

Integrated Case Scenario-2, MCQ 5

(A)

PassBook's note: Out of syllabus (old scheme): the nature of ICAI's Statements (mandatory) and Guidance Notes (recommendatory) was part of old Paper 6's introductory content; The new-scheme Paper 5 syllabus and the January

2027 Study Material do not cover it (the Study Material names Guidance Notes and Statements only in its note on the syllabus's scope), so the item carries only its nearest chapter. Kept as printed: the statements are numbered (i)-(iv) and the options refer to them as "Statements 1 & 2", "1, 2 & 3" and "1,2 & 4".

ICAI · Old P6 · RTP May 2020 · question p. 2-3 · answer p. 11

136 RTP **Old P6 May 2020** Q4(a) old scheme

Plans should be further developed and revised as necessary during the course of the audit. Explain.

ICAI'S ANSWER

Plans should be further developed and revised as necessary during the course of the audit.

SA-300, "Planning an Audit of Financial Statements" further expounds this principle. According to it, **planning is not a discrete phase of an audit, but rather a continual and iterative process** that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan.

ICAI · Old P6 · RTP May 2020 · question p. 6 · answer p. 14

137 RTP **Old P6 May 2020** Q4(b) old scheme

Overall audit strategy sets the scope, timing and direction of the audit, and guides the development of

the more detailed audit plan. The process of establishing the overall audit strategy assists the auditor to determine such matters as for example - the resources to deploy for specific audit areas, such as the use of appropriately experienced team members for high risk areas or the involvement of experts on complex matters. Explain the other three such matters.

ICAI'S ANSWER

Overall audit strategy sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan.

The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan.

The process of establishing the overall audit strategy assists the auditor to determine, subject to the completion of the auditor's risk assessment procedures, such matters as:

1. The resources to deploy for specific audit areas, such as the use of appropriately experienced team members for high risk areas or the involvement of experts on complex matters;
2. The amount of resources to allocate to specific audit areas, such as the number of team members assigned to observe the inventory count at material locations, the extent of review of other auditors' work in the case of group audits, or the audit budget in hours to allocate to high risk areas;

3. When these resources are to be deployed, such as whether at an interim audit stage or at key cut-off dates; and
4. How such resources are managed, directed and supervised, such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place **(for example, on-site or off-site)**, and whether to complete engagement quality control reviews.

ICAI · Old P6 · RTP May 2020 · question p. 6-7 · answer p. 14

138 RTP **Old P6 Nov 2019** Case scenario · Q1(i) to Q1(x)
old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i) out of syllabus

As per Section 139(6), the first auditor of a company, including a Government company, shall be appointed by the Board of Directors within 60 days from the date of registration of the company.

Q1(ii) out of syllabus

As per section 140(2) of the Act, the auditor who has resigned from the company need not inform the Registrar of Companies.

Q1(iii)

Preconditions for an audit have not been defined in SA 210 “Agreeing the Terms of Audit Engagements.”

Q1(iv)

The auditor need not discuss elements of planning with the entity's management in any case.

Q1(v)

Planning is a discrete phase of an audit.

Q1(vi)

Subjective examination connotes critical examination and scrutiny of the accounting statements.

Q1(vii)

Inquiry alone provides sufficient audit evidence of the absence of a material misstatement at the assertion level and of the operating effectiveness of controls.

Q1(viii)

The assessment of risks is a matter capable of precise measurement.

Q1(ix)

According to Section 53 of the Companies Act, 2013, a company can issue shares at a discount.

Q1(x)

An intangible asset is an identifiable monetary asset.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per **Section 139(6),** the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within 30 days from the date of registration of the company.

PassBook's note: Out of syllabus (old scheme): the appointment of a company's first auditor under section 139(6) of the Companies Act, 2013 belonged to old Paper 6's Chapter 10, The

Company Audit; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment of a company auditor, so the item carries only the nearest chapter (as m10).

Q1(ii)

Incorrect: As per section 140(2) of the Act, the auditor who has resigned from the company shall file within a period of 30 days from the date of resignation, a statement in the prescribed Form ADT–3 (as per Rule 8 of CAAR) with the company and the Registrar.

PassBook's note: Out of syllabus (old scheme): the resigning auditor's statement in Form ADT-3 under section 140(2) of the Companies Act, 2013 belonged to old Paper 6's Chapter 10, The Company Audit (appointment, removal and resignation of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it, so the item carries only the nearest chapter (as m10).

Q1(iii)

Incorrect: As per SA 210 "Agreeing the Terms of Audit Engagements", preconditions for an audit may be defined as the use by management of an acceptable financial reporting framework in the preparation of the financial statements and the agreement of management and, where appropriate, those charged with governance to the premise on which an audit is conducted.

Q1(iv)

Incorrect: The auditor may decide to discuss elements of planning with the entity's management to facilitate the conduct and management of the audit engagement.

Q1(v)

Incorrect: According to SA-300, "Planning an Audit of Financial Statements", planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan.

Q1(vi)

Incorrect: Objective examination connotes critical examination and scrutiny of the accounting statements of the undertaking with a view to assessing how far the statements present the actual state of affairs in the correct context and whether they give a true and fair view about the financial results and state of affairs.

Q1(vii)

Incorrect: Although inquiry may provide important audit evidence, and may even produce evidence of a misstatement, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls.

Q1(viii)

Incorrect: The assessment of risks is based on audit procedures to obtain information necessary for that purpose and evidence obtained throughout the

audit. The assessment of risks is a matter of professional judgment, rather than a matter capable of precise measurement.

Q1(ix)

Incorrect: According to Section 53 of the Companies Act, 2013, a company shall not issue shares at a discount, except in the case of an issue of sweat equity shares given under Section 54 of the Companies Act, 2013.

Q1(x)

Incorrect: An intangible asset is an identifiable non-monetary asset, without physical substance, held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.

ICAI · Old P6 · RTP Nov 2019 · question p. 4 · answer p. 9, 10

139 RTP **Old P6 Nov 2019** Q4(a) old scheme

Plans should be made to cover acquiring knowledge of the client's accounting systems, policies and internal control procedures. Explain.

ICAI'S ANSWER

The auditor should plan his work to enable him to conduct an effective audit in an efficient and timely manner. Plans should be based on knowledge of the client's business.

Plans should be made to cover, among other things:

(a) acquiring knowledge of the client's accounting systems, policies and internal control procedures;

(b) establishing the expected degree of reliance to be placed on internal control;

(c) determining and programming the nature, timing, and extent of the audit procedures to be performed; and

(d) coordinating the work to be performed.

From the above, it is clear that statement given in the question is partly correct.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 11-12

140 RTP **Old P6 Nov 2019** Q4(b) old scheme

As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan. Explain.

ICAI'S ANSWER

The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of

further audit procedures, based on the revised consideration of assessed risks. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures. **For example,** audit evidence obtained through the performance of substantive procedures may contradict the audit evidence obtained through tests of controls.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 12

141 RTP **Old P6 Nov 2019** Q5(a) old scheme

Engagement partner of Audit Firm MKC AND COMPANY thinks that Planning an audit would involve establishing the overall audit strategy for the engagement and developing an audit plan. Also, Adequate planning would benefit the audit of financial statements in several ways. Analyse explaining the benefits of adequate planning.

ICAI'S ANSWER

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways, including the following:

1. Helping the auditor to devote appropriate attention to important areas of the audit.
2. Helping the auditor identify and resolve potential problems on a timely basis.

3. Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
5. Facilitating the direction and supervision of engagement team members and the review of their work.
6. Assisting, where applicable, in coordination of work done by auditors of components and experts.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 12

142 RTP **Old P6 Nov 2019** Q5(b) old scheme

Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after the completion of the previous audit and continues until the completion of the current audit engagement. Analyse and Explain.

ICAI'S ANSWER

Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. Planning, however, includes consideration of the timing of certain activities and

audit procedures that need to be completed prior to the performance of further audit procedures. For example, planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as:

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
3. The determination of materiality.
4. The involvement of experts.
5. The performance of other risk assessment procedures.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 12-13

143 MTP **Sep 2026 S-I Q4(a)** 5 marks

PNK & Associates, Chartered Accountants, were appointed as statutory auditors of Gala Telecom Limited for the financial year ended 31st March, 2026. While establishing the overall audit strategy, the engagement partner carried out preliminary engagement activities relating to continuance of client relationship, compliance with ethical requirements and assessment of independence of the audit team.

Further, the engagement partner also considered information obtained during a GST compliance review

and internal control certification assignment earlier performed for the same company, as such knowledge was considered relevant for planning the statutory audit. During these assignments, certain weaknesses relating to fixed assets capitalization and authorization of employee reimbursement claims had been noticed.

The engagement partner instructed the audit team to maintain a questioning mind and exercise professional skepticism while gathering and evaluating audit evidence. Further, considering the higher risk of material misstatement in certain areas, experienced audit team members were assigned to those areas and additional audit time and resources were allocated for detailed verification procedures.

In the context of establishing the overall audit strategy, explain the factors that the auditor should consider with respect to:

(i) the results of preliminary engagement activities and the relevance of knowledge gained from other engagements performed for the entity by the engagement partner; and

(ii) the nature, timing and extent of resources necessary to perform the audit engagement.

ICAI'S ANSWER

Among the various factors to be considered by the auditor while establishing audit strategy, the following are relevant in the given case: -

(i). Consider the results of preliminary engagement activities and, where applicable, whether

knowledge gained on other engagements performed by the engagement partner for the entity is relevant.

Examples are listed as under: -

(1) Results of previous audits that involved evaluating the operating effectiveness of internal control, including the nature of identified deficiencies and action taken to address them.

(2) The manner in which the auditor emphasizes to engagement team members the need to maintain a questioning mind and to exercise professional skepticism in gathering and evaluating audit evidence.

(ii) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

Selection of engagement team and assignment of audit work to team members is a significant factor in establishing overall audit strategy. Experienced team members may be assigned in areas where there is higher risk of material misstatement. Similarly, engagement budgeting and devotion of more time to areas of higher risk of material misstatement are to be kept in mind.

In the given case of Gala Telecom Limited, the auditor while establishing audit strategy should consider the results of preliminary engagement activities and relevant knowledge obtained from other engagements performed for the same entity. Further, maintaining professional skepticism and allocating experienced audit personnel and

adequate audit resources to high-risk areas would help the auditor conduct the audit effectively and address risks of material misstatement appropriately.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 14-15 · answer p. 10

144 MTP **Sep 2026 S-II** Case Scenario 1 · MCQ 1 to MCQ 3

6 marks

CASE SCENARIO 1

XYZ & Co., Chartered Accountants, have been appointed as the statutory auditors of Ess Kay Engineering Limited, a listed company engaged in manufacturing heavy industrial equipment. During the year ended 31st March 2026, the company acquired a foreign subsidiary, implemented a new cloud-based ERP system across all manufacturing units and entered into long-term maintenance contracts involving multiple performance obligations.

At the planning stage of the audit, the Engagement Partner held discussions with the audit team and concluded that the audit would require significant attention in the areas of revenue recognition, consolidation of the foreign subsidiary, valuation of inventory and IT general controls. Accordingly, he decided to deploy IT specialists, assign experienced audit personnel to revenue recognition and consolidation, perform interim testing of selected controls before the year-end and commence audit

work at the foreign subsidiary prior to the reporting date.

Based on these decisions, the Audit Manager prepared a detailed audit programme specifying the nature, timing and extent of audit procedures for each significant account balance, the allocation of work among engagement team members and the audit procedures to be performed in response to the identified risks.

While obtaining an understanding of the entity and its environment, the engagement team noted that revenue from maintenance contracts was recognised

through the ERP system based on inputs provided by project managers. The team also observed that manual journal entries relating to contract modifications required approval from the Chief Financial Officer (CFO). Internal audit reports highlighted deficiencies in monitoring manual overrides within the ERP system, and the newly acquired subsidiary had not yet fully integrated its financial reporting processes with the parent company's ERP environment.

During discussions with the audit team, the CFO stated that the manual approval controls were operating effectively and that adequate provision had been made for obsolete inventories. However, the Internal Audit Head informed the auditor that several contract modifications had been approved after considerable delay. Further, the Warehouse

Manager stated that obsolete inventories identified during physical verification were still awaiting disposal because Board approval had not yet been obtained. Inventory ageing reports also reflected a significant increase in slow-moving inventory compared to the previous year.

The Engagement Partner instructed the audit team to evaluate all the information obtained from different sources before designing further audit procedures. He further emphasised that inquiry alone would not ordinarily provide sufficient appropriate audit evidence. Accordingly, management's oral explanations should be corroborated with other audit evidence and, wherever appropriate, confirmed through written representations.

Based on above, answer the following questions (MCQs 1-3)

MCQ 1 2 marks

Based on the facts given in the case, which of the following best distinguishes the Engagement Partner's decisions from the Audit Manager's subsequent actions?

A The Engagement Partner's decisions constitute the audit plan because they determine the audit procedures to be performed, whereas the Audit Manager's detailed programme represents the overall audit strategy.

B The Engagement Partner established the overall audit strategy by determining the scope, timing and direction of the audit, whereas the Audit Manager translated that strategy into a detailed audit plan specifying the nature, timing and extent of audit procedures.

C Both the Engagement Partner's decisions and the Audit Manager's programme together constitute the audit plan, as the overall audit strategy is prepared only after completion of risk assessment procedures.

D The Audit Manager's detailed audit programme supersedes the overall audit strategy once audit procedures have been assigned to engagement team members.

MCQ 2 2 marks

Considering the information obtained while understanding the entity and its environment, which of the following most appropriately explains why the Engagement Partner instructed the audit team to evaluate all information before designing further audit procedures?

A To determine whether the ERP system eliminates the need for substantive testing in the areas of revenue and inventory.

B To determine whether management's representations are sufficient evidence for issuing an unmodified audit opinion.

C To decide whether reliance can be placed exclusively on the work performed by the internal audit function.

D To identify and assess risks of material misstatement at the financial statement and assertion levels by considering contradictory information, evaluating whether identified risks are pervasive, relating them to relevant assertions and assessing the likelihood and magnitude of possible misstatements.

MCQ 3 2 marks

In the circumstances described in the facts, which of the following best justifies the Engagement Partner's direction that management's oral explanations should not be accepted without corroborative evidence?

A Since the Chief Financial Officer is responsible for the preparation of the financial statements and the design of internal controls, the auditor may ordinarily rely on management's oral explanations unless there is evidence of fraud.

B Since contradictory information was obtained from the Internal Audit Head, Warehouse Manager and inventory ageing reports, the auditor should disregard management's explanations altogether.

C Although inquiry may provide important audit evidence, it ordinarily does not provide sufficient appropriate audit evidence by itself. Therefore, the auditor should evaluate the inconsistent responses, obtain corroborative audit evidence and, where appropriate, obtain written representations from management before drawing conclusions.

D Written representations obtained from management are conclusive audit evidence and eliminate the need for any further audit procedures.

ICAI'S ANSWERS

MCQ 1

Answer key: **(B)**

MCQ 2

Answer key: **(D)**

MCQ 3

Answer key: **(C)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 1-2 · answer p. 1

145 **MTP** **Sep 2026 S-II** Q3(b) **5 marks**

Green Manufacturing Limited was undergoing its statutory audit for the year ended 31st March, 2026. The company had been audited by R & Co., Chartered Accountants, in earlier years also.

At the commencement of the engagement, the audit plan included a discussion of the audit strategy, identification of areas involving significant risks, allocation of work according to the competence of team

members and consideration of whether the assistance of an information technology expert would be required. Since the audit team was familiar with the company from previous years, a view was expressed that the audit could proceed directly to substantive procedures without a separate planning exercise.

With reference to the above facts, explain the objective of planning an audit under SA 300 and discuss the benefits of adequate audit planning. Also comment on whether prior experience with the entity eliminates the need for adequate audit planning.

ICAI'S ANSWER

SA 300, "Planning an Audit of Financial Statements", deals with the auditor's responsibility to plan an audit of financial statements. It states that the objective of the auditor is to plan the audit so that it will be performed in an effective manner.

Planning an audit is necessary to carry it out effectively in a timely manner. Besides ensuring compliance with professional standards, it helps in performing audit engagement effectively.

Adequate planning benefits the audit of financial statements in several ways, including the following:
-

1. Helping the auditor to devote appropriate attention to important areas of the audit.
2. Helping the auditor identify and resolve potential problems on a timely basis.

3. Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
5. Facilitating the direction and supervision of engagement team members and the review of their work.
6. Assisting, where applicable, in coordination of work done by others such as experts.

Therefore, planning an audit ensures that audit risk is reduced to an acceptable low level. When audit work is adequately and properly planned, it reduces the risk of inappropriate opinion by the auditor.

From the above facts, prior experience with the entity does not eliminate the need for adequate audit planning. Planning is essential for every audit engagement and assists the auditor in identifying important areas, addressing potential problems, allocating work appropriately and coordinating the work of experts, where required. Accordingly, the proposed planning activities are consistent with the requirements of SA 300 and contribute to the effective and efficient performance of the audit.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 14 · answer p. 8-9

146 MTP **May 2026 S-I** Q4(a) 5 marks

KRT & Co., Chartered Accountants, have been appointed as the statutory auditors of First Heavy Engineering Ltd., a company engaged in the manufacture of specialised industrial equipment. The company operates through multiple manufacturing units and warehouses located across different states. During the preliminary discussions, the engagement partner noted that certain areas such as valuation of specialised inventory, warranty provisions, and long-term contracts may involve higher audit risk and technical complexity.

While planning the audit for the financial year ending on 31st March 2025, the engagement partner emphasised the need to determine the nature and extent of resources to be deployed, the timing of audit procedures at various locations and the manner in which the audit team will be supervised and reviewed.

In the above context, explain the concept of overall audit strategy. Also, state how the process of establishing the overall audit strategy would assist the auditor, subject to completion of risk assessment procedures, in determining such matters relevant to the planning and conduct of the audit.

ICAI'S ANSWER

Concept of overall audit strategy: As per SA 300 – Planning an Audit of Financial Statements, the auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit and that guides the development of the audit plan.

In the given case, since First Heavy Engineering Ltd. has multiple locations and complex transactions such as specialised inventory and long-term contracts, the auditor is required to determine the appropriate deployment and management of audit resources while planning the audit.

The process of establishing the overall audit strategy assists the auditor to determine, subject to completion of the auditor's risk assessment procedures, such matters as:

(i) **The resources to deploy for specific audit areas**, such as the use of appropriately experienced team members for high-risk areas or the involvement of experts on complex matters like valuation of specialised inventory or long-term contract accounting.

(ii) **The amount of resources to allocate to specific audit areas**, such as the number of team members assigned to observe inventory counts at major warehouses, the extent of review of other auditors' work in case of multiple locations, or the audit budget in hours to allocate to high-risk areas.

(iii) **When these resources are to be deployed**, such as whether certain procedures should be performed during the interim audit stage or at the year-end and key cut-off dates.

(iv) **How such resources are managed, directed and supervised**, such as scheduling team briefing and debriefing meetings, determining how engagement

partner and manager reviews will take place (on-site or off-site), and deciding whether an engagement quality control review is required.

Therefore, while auditing First Heavy Engineering Ltd., the auditor should establish an appropriate overall audit strategy to ensure proper allocation, timing, and supervision of audit resources so that the audit is conducted efficiently and in accordance with SA 300.

ICAI · P5 · MTP May 2026 · Series I · question p. 14 · answer p. 11

147 MTP **May 2026 S-II**

Case Scenario 1 [MCQs 1–3] · MCQ 1 to MCQ 3 6 marks

CASE SCENARIO 1 [MCQS 1–3]

RS & Co., Chartered Accountants, were appointed as auditors of X Ltd., a telecom company regulated by the Telecom Regulatory Authority of India and Y Bank Ltd., a banking company regulated by the Reserve Bank of India.

At the planning stage, the engagement partner emphasised that the audit team should obtain an understanding of the distinct legal and regulatory frameworks applicable to both entities. The team was also instructed to identify significant matters, determine materiality and consider the involvement of experts, particularly in areas involving complex estimates such as provisioning in Y Bank Ltd. Further, risk assessment procedures were initiated to identify and assess risks of material misstatement.

During discussions, the audit team noted that certain areas—such as revenue recognition in X Ltd. and loan loss provisioning in Y Bank Ltd.—were inherently complex and involved significant judgment. The engagement partner clarified that such areas are susceptible to material misstatement even before considering internal controls.

Subsequently, discrepancies were identified in both entities. However, the audit team was unable to immediately conclude whether these misstatements arose due to fraud or error. The engagement partner explained that the auditor's objective is to obtain reasonable assurance that the financial statements as a whole are free from material misstatements, whether caused by fraud or error and to evaluate their impact in totality while forming an opinion on compliance with the applicable financial reporting framework.

On the basis of above, answer the following MCQs (1–3):

MCQ 1 2 marks

In the planning stage described in the case scenario, the engagement partner emphasised understanding regulatory frameworks, identifying significant matters, determining materiality, and considering involvement of experts.

In the context of the situation described above, the primary rationale for such an approach is to:

A Restrict planning to scheduling audit procedures and allocation of audit staff

B Consider regulatory framework and experts only after detection of misstatements

C Ensure that planning includes understanding legal and regulatory requirements, identifying significant matters, determining materiality, considering use of experts and performing risk assessment procedures

D Limit regulatory understanding only to compliance audits and not financial statement audits

MCQ 2 2 marks

In the case scenario, the audit team identified that revenue recognition in X Ltd. and loan loss provisioning in Y Bank Ltd. involve significant judgment and are susceptible to misstatement even before considering internal controls.

Based on the facts described above, such risks are most appropriately classified as:

A Risks that can be ignored until effectiveness of internal controls is tested

B Inherent risks requiring greater auditor attention during planning and risk assessment

C Risks arising only due to failure of internal controls

D Detection risks arising from audit procedures

MCQ 3 2 marks

In the case scenario, the audit team identified misstatements but was unable to determine whether they arose due to fraud or error.

In light of the engagement partner's explanation, which of the following best reflects the auditor's responsibility in such a situation?

A Auditor must first conclusively establish fraud before evaluating materiality

B Only misstatements arising from fraud affect the audit opinion

C Misstatements arising from error can be ignored if individually immaterial

D Auditor should obtain reasonable assurance that financial statements as a whole are free from material misstatements, whether due to fraud or error, and evaluate their impact in aggregate

ICAI'S ANSWERS

MCQ 1

Answer key: **(C)**

MCQ 2

Answer key: **(B)**

MCQ 3

Answer key: **(D)**

ICAI · P5 · MTP May 2026 · Series II · question p. 1-2 · answer p. 1

148 MTP **May 2026 S-II** Q4(a) 5 marks

FGH & Co., Chartered Accountants, have been appointed as the statutory auditors of Alpha Ltd., a company engaged in manufacturing electrical equipment. The company follows a strict reporting schedule and requires continuous interaction with auditors during the audit process.

During audit planning, the engagement partner emphasised the need to properly determine reporting objectives of the engagement to ensure timely completion of audit procedures and effective communication with management and the audit team.

Based on the above, state the instances that the auditor should consider while ascertaining the reporting objectives of the engagement for establishing the overall audit strategy.

ICAI'S ANSWER

The ascertaining of reporting objectives of the engagement helps the auditor to plan the timing of audit procedures and the nature of communications. Some of the relevant instances are:

- The entity's timetable for reporting.
- Organization of meetings to discuss the nature, timing, and extent of audit work with management.
- Discussion with management regarding the expected type and timing of reports to be issued, including the auditor's report.

- Discussion with management regarding expected communications on the status of audit work throughout the engagement.
- Expected nature and timing of communications among engagement team members, including team meetings and review of work performed.

Accordingly, by considering the above instances, the auditor can effectively plan audit timing and communication, thereby ensuring a well-structured audit strategy.

ICAI · P5 · MTP May 2026 · Series II · question p. 13 · answer p. 9

149 MTP **Jan 2026 S-I** MCQ 14 2 marks MCQ

During planning of an audit of XYZ Ltd., the engagement partner realises that complex valuation issues will arise. Accordingly, a valuation expert is engaged early in the audit process to support the team.

Which benefit of audit planning is demonstrated here?

A Assisting, where applicable, in coordination of work done by others such as experts

B Helping the auditor organize and manage the audit effectively

C Helping the auditor identify and resolve potential problems on a timely basis

D Facilitating the direction and supervision of the audit team

ICAI'S ANSWER

(A)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 6-7 · answer p. 1

150 **MTP** **Jan 2026 S-I** **Q1(b)** **5 marks**

An established audit firm, 'ABC & Co.', is preparing to commence the statutory audit for its long-standing client, Nitin Handlooms Private Ltd. The engagement partner, CA A is overseeing the planning process. Before finalizing the overall audit strategy, he is focusing on the preliminary engagement activities. He needs to ensure that the relationship with the company can be continued, that the engagement team remains independent and that the scope and terms of the engagement are clearly documented and understood by both parties to avoid any future misunderstandings.

(i) Identify the three main preliminary engagement activities that CA A and his team must perform as part of the planning process.

(ii) Regarding the continuance of the client relationship, list three matters the firm should consider continuing the engagement with the company.

ICAI'S ANSWER

(i) The main preliminary engagement activities are:

- Performing procedures regarding the continuance of the client relationship.
- Evaluating compliance with ethical requirements, including independence.

- Establishing an understanding of terms of engagement.

(ii) Matters the firm should consider regarding the continuance of the client relationship are:

- Integrity of principal owners and key management of the company.
- Competence of the engagement team to perform the audit engagement.
- Implications of matters that have arisen during current and previous audit engagement may need to be considered.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 8 · answer p. 2

151 MTP **Jan 2026 S-I** Q2(c) 4 marks

An audit firm SPR &Co. is preparing the detailed audit plan for a new client, Rajeshwari Ltd. The overall audit strategy has already been established. The engagement partner emphasises that the plan must be sufficiently detailed to guide the entire engagement team and ensure compliance with Standards on Auditing (SAs), particularly SA 300.

Regarding the development of an audit plan, outline the three key descriptions that SA 300 requires must be included in the audit plan. Also, briefly explain that audit plan is more detailed than overall audit strategy and give an example of how the timing of planning about audit procedures might evolve during the course of the audit.

ICAI'S ANSWER

SA 300 on "Planning an Audit of Financial Statements", states that auditor shall develop an audit plan that shall include description of-

(i) The nature, timing and extent of planned risk assessment procedures

(ii) The nature, timing and extent of planned further audit procedures at assertion level

(iii) Other planned audit procedures that are required to be carried out so that the engagement complies with SAs.

The auditor plans what type of audit procedures are to be performed, their timing and how much work should be done taking into account sample size etc.

The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Planning for these audit procedures takes place over the course of the audit as the audit plan for the engagement develops.

For example, planning of the auditor's risk assessment procedures occurs early in the audit process. However, planning the nature, timing and extent of specific further audit procedures depends on the outcome of those risk assessment procedures. In addition, the auditor may begin the execution of further audit procedures for some classes of transactions, account balances and

disclosures before planning all remaining further audit procedures.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 9 · answer p. 5

152 MTP **Jan 2026 S-II Q1(c)** 4 marks

R & Co., Chartered Accountants, have been appointed as auditors of XYZ Ltd., a company operating in multiple business segments, including manufacturing and financial services. The company is subject to industry-specific reporting requirements issued by the financial regulator. During audit planning, the engagement partner emphasises the importance of identifying the characteristics of the engagement defining its scope while establishing the audit strategy.

As an auditor, explain the characteristics of engagement defining its scope.

ICAI'S ANSWER

It is important for auditor to identify scope of the engagement. Only a well identified scope can lead to establishment of a sound audit strategy. There are many characteristics of engagement defining its scope. Some of characteristics are as under: -

- Applicable financial reporting framework applicable to the entity
- Nature of business segments to be audited including the need for specialized knowledge
- Industry specific reporting requirements required by industry regulators

- Expected use of audit evidence obtained in previous audits

ICAI · P5 · MTP Jan 2026 · Series II · question p. 8 · answer p. 2-3

153 **MTP** **Jan 2026 S-II** **Q2(c)** **4 marks**

Kiran Anupam & Associates, Chartered Accountants, are conducting statutory audit of ABC Ltd. for the F.Y 2024-25. During the audit, the engagement team decided to modify certain audit procedures due to introduction of new product range by the company and consequently unexpected changes in the company's internal control system. The audit manager instructed the team to update the documentation accordingly and to record the reasons for the modifications made.

Explain key elements the auditor is required to document in relation to audit planning. State what is recorded and included in the documentation of the overall audit strategy and audit plan and their main purpose. Why is it important to document significant changes made to the audit strategy or audit plan?

ICAI'S ANSWER

The auditor shall document: -

(i) the overall audit strategy

(ii) the audit plan and

(iii) any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes.

The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team.

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks. It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance. The auditor may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

A record of the significant changes to the overall audit strategy and the audit plan and resulting changes to the planned nature, timing and extent of audit procedures, explains why the significant changes were made and the overall strategy and audit plan finally adopted for the audit. It also reflects the appropriate response to the significant changes occurring during the audit.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 9 · answer p. 4-5

154 MTP **Sep 2025 S-I** MCQ 13 2 marks MCQ

CA Neha is appointed as auditor of a newly incorporated textile company. Before starting the audit, she checks whether the firm meets ethical requirements or if there are any threats to

independence. She also sends an audit engagement letter to the management. CA Neha is:

- **A** developing audit programme.
- **B** performing preliminary engagement activities.
- **C** performing substantive procedures.
- **D** conducting audit documentation.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 6 · answer p. 1

155 **MTP** **Sep 2025 S-I** **Q1(b)** **5 marks**

CA Krish is planning the audit of financial statements of Black and White Limited for financial year 2024-25 with the objective of conducting it in an effective manner. He also carried out the audit of the previous year and the audit report was issued in month of June 2024. He started planning the audit procedures to ensure an effective and efficient audit for the current year. He is assisted by Mr. Shiv, an articled assistant, in the audit planning process. During the planning discussions, Mr. Shiv raises a few queries regarding the audit planning stage. As a senior, help Mr. Shiv by resolving the following queries:

(i) When does the planning for an audit actually start and end?

(ii) Whether auditor can change planning decisions during the audit or not? If yes, what are those possible reasons.

ICAI'S ANSWER

(i) Planning is not a discrete phase of an audit, but rather a continual and iterative process that begins shortly after the completion of the previous audit and continues until the completion of the current audit engagement.

In the given situation, planning of the audit of financial statements for the year 2024-25 would have commenced right after completion of audit of preceding year in June 2024. It would have continued till completion of audit of year 2024-25.

(ii) The auditor shall update and change the overall audit strategy and the audit plan as necessary during the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures. For example, audit evidence obtained through on detailed checking may contradict the audit evidence obtained through testing internal controls.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 7-8 · answer p. 2-3

156 MTP **Sep 2025 S-I** Q2(c) 4 marks

Planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after the completion of the previous audit and continues until the completion of the current audit engagement. Planning includes the need to consider certain matters prior to the auditor's identification and assessment of the risks of material misstatement. Explain and discuss the key matters that need to be considered by the auditor prior to the identification and assessment of the risks of material misstatement.

ICAI'S ANSWER

As per SA 300, "Planning an Audit of Financial Statements", planning is not a discrete phase of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. Planning, however, includes consideration of the timing of certain activities and audit procedures that need to be completed prior to the performance of further audit procedures. For example, planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as:

(i) The analytical procedures to be applied as risk assessment procedures.

(ii) Obtaining a general understanding of the legal and regulatory framework applicable to the entity

and how the entity is complying with that framework.

(iii) The determination of materiality.

(iv) The involvement of experts.

(v) The performance of other risk assessment procedures.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 8 · answer p. 4-5

157 MTP **Sep 2025 S-II** MCQ 14 2 marks MCQ

KRAT & Co. has been appointed as the statutory auditor of Astral Resorts Ltd. This is the first time the firm is having audit engagement in the hospitality sector. After obtaining a comprehensive understanding of the Resort and its environment, the engagement partner, CA Ankita, and other key members of the engagement team have undertaken the activity of development of an audit plan for the audit of the resort. As per SA 300, description of which of the following matters is not a part of developing an audit plan?

A The nature, timing, and extent of planned risk assessment procedures.

B The nature, timing, and extent of planned further audit procedures at the assertion level.

C Other planned audit procedures required to ensure compliance with Standards on Auditing.

D The nature, timing, and extent of resources necessary to perform the engagement.

ICAI'S ANSWER

(D)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 6 · answer p. 1

158 MTP **Sep 2025 S-II** Q2(c) 4 marks

ABS & Co., Chartered Accountants, have been appointed as statutory auditors of Aerotech Systems Pvt. Ltd., a company that makes advanced equipment used in airplanes. Considering technical and complex nature of operations, the auditors recognise that involvement of experts in the audit is required. Does consideration for involvement of experts by auditors fall in the domain of planning audit?

ICAI'S ANSWER

As per SA 300, "Planning an Audit of Financial Statements", Planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, such matters as: -

(i) The analytical procedures to be applied as risk assessment procedures.

(ii) Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.

(iii) The determination of materiality.

(iv) The involvement of experts.

(v) The performance of other risk assessment procedures.

The auditor is also required to consider determination of material or significant matters while planning. It also includes consideration that whether experts need to be involved taking into account complexity of business.

In the given case, since the company is engaged in technical and complex operations, the auditor is required to evaluate regarding the involvement of an expert at planning stage in accordance with SA 300. Such consideration helps in ensuring that the auditor has access to the required technical knowledge and skills for the audit. Thus, consideration for involvement of experts by auditors falls within domain of audit planning.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 9 · answer p. 5

159 MTP **May 2025 S-I Q4(b)** 5 marks

Jay & Associates, a Chartered Accountant firm is appointed as an auditor of XYZ Ltd., a manufacturing company with multiple branches across the region. CA Jay, Partner in firm, is conducting the audit of financial statements of XYZ Ltd. for the financial year 2023-24. As the lead auditor assigned to this engagement, Jay is responsible for planning the audit in accordance with SA 300. Briefly explain why it is necessary to plan the audit of XYZ Ltd.'s financial statements?

ICAI'S ANSWER

Planning an audit is necessary to carry out it effectively in a timely manner. Besides ensuring compliance with professional standards, it helps in performing audit engagement effectively.

Adequate planning benefits the audit of financial statements in several ways, including the following: -

1. Helping the auditor to devote appropriate attention to important areas of the audit.
2. Helping the auditor identify and resolve potential problems on a timely basis.
3. Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
5. Facilitating the direction and supervision of engagement team members and the review of their work.
6. Assisting, where applicable, in coordination of work done by others such as experts.

Therefore, planning an audit ensures that audit risk is reduced to an acceptable low level. When audit work is adequately and properly planned, it reduces the risk of inappropriate opinion by the auditor.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 8-9

160 MTP **May 2025 S-II** Q2(c) 4 marks

CA Tina, the auditor of SKY Ltd., asks its finance and audit head to prepare audit strategy for conducting audit of SKY Ltd. CA Tina also insists him to draw detailed audit procedures. In response to the auditor's request, the finance head of the company completes the audit strategy as well as audit procedures. Subsequently, the auditor realises that the effectiveness of the audit is compromised and it was his responsibility to prepare the overall audit strategy. Comment.

ICAI'S ANSWER

The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan. The auditor plans what type of audit procedures are to be performed, their timing and how much work should be done taking into account sample size etc.

The overall audit strategy and the audit plan remain the auditor's responsibility. It is the auditor who is responsible for establishing overall audit strategy and developing audit plan. However, auditor may discuss elements of planning with entity's management without compromising effectiveness of audit.

In the given case, CA Tina, auditor of SKY Ltd. asks its finance and audit head to prepare audit strategy and to draw detailed audit procedures. On Auditor's

request, finance head completes the audit strategy as well as audit procedures.

In view of above, CA Tina should prepare overall audit strategy and detailed audit procedures. Therefore, approach of CA Tina was wrong.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 4

161 MTP **Jan 2025 S-I** MCQ 14 2 marks MCQ

TAD & Associates, a sole proprietor firm of Agamya, is offered appointment as auditor of a company engaged in manufacturing of automobile components for the first time. She is checking the facts about the integrity of promoters of the company and key managerial persons. Matters such as the competence of staff to perform the engagement are also considered by her. The appointment is subsequently accepted by her. What is CA Agamya trying to do by checking such facts?

A. CA Agamya is establishing an audit strategy.

B. CA Agamya is conducting preliminary engagement activities.

C. CA Agamya is designing audit plan.

D. CA Agamya is checking her compliance of ethical requirements.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 6 · answer p. 1

162 MTP **Jan 2025 S-I** Q4(c) 4 marks

Lotus Ltd., a rapidly growing manufacturing company, appointed Ridhi & Co., as statutory auditor. The engagement team of Ridhi & Co. identified key areas requiring scrutiny, such as revenue recognition, inventory valuation, and related party transactions. Based on his professional judgment, CA Ravi, the engagement partner, directed the engagement team to focus on these critical areas, emphasising the need for detailed testing to ensure accuracy and compliance. Give some examples of the factors need to be considered by CA Ravi for establishing the audit strategy.

ICAI'S ANSWER

Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts.

The auditor needs to direct efforts of engagement team towards matters that in his professional judgment are significant. Preliminary identification of material classes of transactions, account balances and disclosures help auditor in establishing overall audit strategy. More attention need to be devoted to significant matters to obtain desired outcomes.

Examples of the factors that need to be considered by CA Ravi for establishing audit strategy are: -

- Volume of transactions which may determine whether it is more efficient for the auditor to rely on internal control.

- Significant industry developments such as changes in industry regulations and new reporting requirements.
- Significant changes in the financial reporting framework, such as changes in accounting standards.
- Other significant relevant developments, such as changes in the legal environment affecting the entity.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 7-8

163 MTP **Jan 2025 S-II Q3(c)** 4 marks

"In establishing the overall audit strategy, the auditor shall, among other considerations, ascertain the nature, timing and extent of resources necessary to perform the engagement". Explain those considerations in detail.

ICAI'S ANSWER

In establishing the overall audit strategy, the auditor shall:

(i) Identify the characteristics of the engagement that define its scope;

(ii) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required;

(iii) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts;

(iv) Consider the results of preliminary engagement activities and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant; and

(v) Ascertain the nature, timing and extent of resources necessary to perform the engagement.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 10 · answer p. 6

164 MTP **Sep 2024 S-I** MCQ 13 2 marks MCQ

CA Prince, after developing the audit strategy for Vedika Limited, develops an audit plan but finds a need to revise the materiality levels set earlier and therefore, a deviation from the already set audit strategy is felt necessary. In this case, he should

A Drop the audit and withdraw from the engagement.

B Devise a new audit plan and then, change the strategy as per the Revised Plan.

C First Modify the audit strategy and thereafter, prepare the audit plan according to the modified strategy.

D Continue with the Audit Plan without considering the Audit Strategy.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 6 · answer p. 1

165 MTP **Sep 2024 S-I** Q1(a) 5 marks

Subodh has recently joined an audit firm as an articled clerk. He was in process of assembling audit working papers in audit file of Cop Limited, as per the instructions of his senior. While assembling, he noticed following working paper in audit file: -

Timing of Audit Activities

Activitiy	Expected Timing
Audit Planning	July 1, 2023 - July 5, 2023
Review by EQCR	July 6, 2023 - July 7, 2023
Audit Field Work	July 10, 2023 - August 20, 2023
Review by Manager	August 21, 2023
Review by Engagement Partner	August 22, 2023 - August 25, 2023
Review by EQCR	August 26, 2023 - August 27, 2023
Response on Audit Memo	August 28, 2023
Review by Partners – internally post response on audit memo	August 29, 2023
Review by EQCR	August 30, 2023

Activitiy	Expected Timing
Finalization of Audit Report and Financial Statements	September 01, 2023 - September 02, 2023
Issuance of Audit Report and Financial Statements	September 03, 2023

The above working paper lists certain factors which are considered by the auditor while establishing audit strategy. Explain how these considerations highlighted in above working paper could have helped the auditor?

ICAI'S ANSWER

The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan. One of the factors to be taken into consideration while establishing audit strategy relates to ascertaining of reporting objectives of engagement to plan the timing of the audit and the nature of the communications required. Some of the instances are given under:

- The entity's timetable for reporting
- Organization of meetings to discuss of nature, timing and extent of audit work with management
- Discussion with management regarding the expected type and timing of reports to be issued including the auditor's report
- Discussion with management regarding the expected communications on the status of audit

work throughout the engagement.

- Expected nature and timing of communications among engagement team members, including the nature and timing of team meetings and timing of the review of work performed.

In the given case, working paper highlights that auditor has taken into account expected timelines to plan the audit and nature of the communications required. Since the working paper relates to the statutory audit of a company, the ascertaining of reporting objectives of engagement helps the auditor to plan timing of different audit procedures and also nature of communications.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 7-8 · answer p. 1-2

166 MTP **Sep 2024 S-II** MCQ 13 2 marks MCQ

CA Y has started planning for audit of a listed company. In this respect, he is considering all the matters relating to acceptance of client, assessment of compliance with ethical requirements including independence, consideration regarding the use of analytical procedures to be performed as risk assessment procedures and to have common understanding regarding terms of engagement with management. Which of the following does not fall under the preliminary engagement activities of planning process?

A Considering all matters relating to acceptance of client.

B Assessing ethical requirements including independence.

C Using analytical procedures to be performed as risk assessment procedures.

D Establishing common understanding regarding terms of engagement.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 7 · answer p. 1

167 MTP **Sep 2024 S-II** Q4(c) 4 marks

CA D is planning an audit of a listed company. List specific documentation requirements in accordance with SA 300 in relation to planning such an audit. How such planning documentation is useful?

ICAI'S ANSWER

The documentation of the overall audit strategy is a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team.

The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks.

It also serves as a record of the proper planning of the audit procedures that can be reviewed and approved prior to their performance. The auditor

may use standard audit programs and/or audit completion checklists, tailored as needed to reflect the particular engagement circumstances.

A record of the significant changes to the overall audit strategy and the audit plan, and resulting changes to the planned nature, timing and extent of audit procedures, explains why the significant changes were made, and the overall strategy and audit plan finally adopted for the audit. It also reflects the appropriate response to the significant changes occurring during the audit.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 7

168 MTP **May 2024 S-I** General MCQ 2 2 marks MCQ

CA J is in process of planning audit for a large company engaged in business of dealing and manufacturing of pharmaceutical products. Central Drugs Standard Control Organisation (CDSCO), National regulatory Authority under Ministry of Health & Family Welfare is responsible for approval of drugs, conduct of clinical trials and laying down Standards for drugs and control over quality of imported drugs. Auditor is also considering whether to make use of audit evidence obtained in previous audit of the same company. Besides, he is also considering volume of transactions to determine whether it is efficient to rely on internal controls. As part of planning activities, he is also considering extent of substantive audit procedures to

be performed. Consider following factors stated from 1 to 5:

1. Reporting requirements required by CDSCO, if any
2. Need for specialized knowledge of pharma industry
3. Expected use of audit evidence obtained in previous audit
4. Volume of transactions to consider reliance on internal control
5. Nature and extent of substantive audit procedures

Choose the most appropriate factor/combination of factors which could be relevant to CA J in establishing audit strategy: -

A 1, 3, 4 and 5

B 1 only

C 1, 2, 3 and 4

D 2 only

ICAI'S ANSWER

(C)

ICAI · P5 · MTP May 2024 · Series I · question p. 8 · answer p. 2

169 MTP **May 2024 S-I** General MCQ 3 2 marks MCQ

CA Tarini is in process of formulating audit plan for conducting audit of a company engaged in business of dealing in commodity futures. Which of following is not likely to be an appropriate audit procedure to be included in audit plan for the abovesaid company?

A Verification of turnover of company

B Verification of cost of raw material consumed

C Examination of company's accounting policy for revenue recognition

D Verification of contract notes with brokers

ICAI'S ANSWER

(B)

ICAI · P5 · MTP May 2024 · Series I · question p. 8 · answer p. 2

170 MTP **May 2024 S-I** Q2(b) 4 marks

Same question, different ICAI answer: #125 Old P6 RTP May 2023

Adequate planning benefits the audit of financial statements in several ways. Explain.

ICAI'S ANSWER

Adequate planning benefits the audit of financial statements in several ways, including the following:

(a) Helping the auditor to devote appropriate attention to important areas of the audit.

(b) Helping the auditor identify and resolve potential problems on a timely basis.

(c) Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.

(d) Assisting in the selection of engagement team members with appropriate levels of capabilities and

competence to respond to anticipated risks, and the proper assignment of work to them.

(e) Facilitating the direction and supervision of engagement team members and the review of their work.

(f) Assisting, where applicable, in coordination of work done by auditors of components and experts.

ICAI · P5 · MTP May 2024 · Series I · question p. 10 · answer p. 4

171 MTP **May 2024 S-I** Q3(c) 3 marks

Auditor shall develop an audit plan that includes description of audit procedures. Specify requirements in this regard.

ICAI'S ANSWER

SA 300 states that auditor shall develop an audit plan that shall include description of-

(i) The nature, timing and extent of planned risk assessment procedures

(ii) The nature, timing and extent of planned further audit procedures at assertion level

(iii) Other planned audit procedures that are required to be carried out so that the engagement complies with SAs.

ICAI · P5 · MTP May 2024 · Series I · question p. 11 · answer p. 6

172 MTP **May 2024 S-II** Q2(b) 4 marks

Planning includes consideration of the timing of certain activities and audit procedures that need to be completed prior to the performance of further audit procedures. For example, planning includes the need to consider, prior to the auditor's identification and assessment of the risks of material misstatement, certain matters. Discuss those matters.

ICAI'S ANSWER

Prior to auditor's identification and assessment of risks of material misstatement, planning includes the need to consider following matters:

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
3. The determination of materiality.
4. The involvement of experts.
5. The performance of other risk assessment procedures.

ICAI · P5 · MTP May 2024 · Series II · question p. 9-10 · answer p. 4

173 MTP **May 2024 S-II** Q3(c) 3 marks

The ascertaining of reporting objectives of engagement helps the auditor to plan timing of different audit procedures and also nature of communications. Give three instances to explain.

ICAI'S ANSWER

The ascertaining of reporting objectives of engagement helps the auditor to plan timing of different audit procedures and also nature of communications. Some of the instances are given under: -

- The entity's timetable for reporting
- Organization of meetings to discuss of nature, timing and extent of audit work with management
- Discussion with management regarding the expected type and timing of reports to be issued including the auditor's report
- Discussion with management regarding the expected communications on the status of audit work throughout the engagement.
- Expected nature and timing of communications among engagement team members, including the nature and timing of team meetings and timing of the review of work performed.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 6

174 MTP **May 2024 S-II** Q6(d) 3 marks

The auditor needs to direct efforts of engagement team towards matters that in his professional judgment are significant. Preliminary identification of material classes of transactions, account balances and disclosures help auditor in establishing overall audit strategy. More energies need to be devoted to

significant matters to obtain desired outcomes. Give three examples to explain the above situation.

ICAI'S ANSWER

The auditor needs to direct efforts of engagement team towards matters that in his professional judgment are significant. Preliminary identification of material classes of transactions, account balances and disclosures helps auditor in establishing overall audit strategy. More energies need to be devoted to significant matters to obtain desired outcomes. Few examples are listed as under: -

- Volume of transactions which may determine whether it is more efficient for the auditor to rely on internal control
- Significant industry developments such as changes in industry regulations and new reporting requirements.
- Significant changes in the financial reporting framework, such as changes in accounting standards.
- Other significant relevant developments, such as changes in the legal environment affecting the entity.

ICAI · P5 · MTP May 2024 · Series II · question p. 13 · answer p. 11

175 MTP **Old P6 Nov 2023 S-II** General MCQ 2 1 mark MCQ old scheme

CA Tarini is in process of formulating audit plan for conducting audit of a company engaged in business of

dealing in commodity futures. Which of the following is not likely to be an appropriate audit procedure to be included in audit plan for the abovesaid company?

- A Verification of turnover of company
- B Verification of cost of raw material consumed
- C Examination of company's accounting policy for revenue recognition
- D Verification of contract notes with brokers

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 4 · answer p. 1

176 MTP **Old P6 May 2023 S-I** General MCQ 1 1 mark MCQ old scheme

The overall audit strategy and the audit plan remain the _____ responsibility

- A auditor's
- B management's
- C those charged with governance.
- D both management and those charged with governance.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 4 · answer p. 1

177 MTP **Old P6 Nov 2022 S-I**

CASE SCENARIO 1

GSR & Company have been appointed as the statutory auditors of Raj Textiles Ltd. for the FY 2021-22. The engagement partner, CA Rahul Dhawan established the overall audit strategy and made the detailed plan with respect to the audit assignment of Raj Textiles Ltd. after discussing the same with the engagement team. The strategy adopted by GSR & Company consisted of relying on the internal control system of the company and the audit plan and program were developed accordingly and the audit team started to work in accordance with the developed audit plan and program. During the course of audit, the engagement partner, CA Rahul Dhawan found that some internal controls implemented by the company were not operating effectively. So, he decided not to rely on the internal control system of the company & accordingly changed the overall audit strategy, audit plan & audit program.

While conducting the audit, the engagement partner also discussed with his team regarding the audit procedures to be performed to verify the debtors' balances of the company. CA Rahul Dhawan asked for the addresses of various debtors from the management of Raj Textiles Ltd. for the purpose of sending balance confirmation request to such debtors. The management provided such addresses to the audit team. However, the management of Raj Textiles Ltd. asked the debtors to send the responses

of such confirmation requests to General Manager of accounts department of the company, who will in turn provide such responses to the audit team.

Further, the audit team found that a legal case has been filed against the company on account of customer complaint. CA Rahul Dhawan discussed with his team regarding the audit procedures that can be performed by the audit team to verify the implications of such litigation on the financial statements of the company.

One of the audit team members, Mr. Girish had the following understanding with respect to the audit file to be maintained by the audit team with respect to the audit assignment:

Point no. 1: The completion of assembly of final audit file after the date of the auditor's report is an administrative process involving the performance of new audit procedures or drawing of new conclusions.

Point no. 2: After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

CA Rahul Dhawan briefed his engagement team regarding the documents to be included in the audit file with respect to the audit assignment of Raj Textiles Ltd. and also discussed with his team in detail regarding the various aspects of audit file.

MCQ 1.1 2 marks

Is CA Rahul Dhawan right in changing the overall audit strategy and plan after the audit team has started working as per the earlier strategy established & plan so developed?

A. CA Rahul Dhawan is not right as once the audit team has started the audit work, it is not correct to change the audit strategy and plan.

B. CA Rahul Dhawan is not right as once the overall audit strategy has been established the same cannot be changed. Audit plan however can be revised.

C. CA Rahul Dhawan is right in making changes to the overall audit strategy and the audit plan.

D. CA Rahul Dhawan can change the overall audit strategy and audit plan only after taking due permission from the management of Raj Textiles Ltd.

MCQ 1.2 2 marks

Which of the following audit procedures should the audit team perform with respect to verification of debtors' balances?

A. GSR & Company can compare the debtors' balance reflected in financial statements with invoices, debit notes, credit notes, monthly accounts statement sent to the customers.

B. GSR & Company can obtain direct balance confirmation from the debtors as this is external evidence which is most reliable and relevant.

C GSR & Company can obtain management representations with respect to the debtors' balances from the management of ABC Ltd and need not perform other audit procedure as obtaining written representation from management constitutes sufficient and appropriate audit evidence.

D Both a & b.

MCQ 1.3 2 marks

Is management correct in asking the debtors to provide the reply of confirmation request directly to the General Manager of accounts department of the company?

A Yes, the management has correctly asked the debtors to respond directly to the GM of accounts department.

B No, management is not correct in asking for a direct response to GM of accounts department as external confirmation is the response obtained directly by the auditor.

C Yes, the management is correct in advising direct response to the GM of accounts department as this will ensure that only correct confirmation is provided to the auditors.

D No, management is not correct as this is the option of the auditor to see if the response to external confirmation is to be obtained by management or auditor himself.

MCQ 1.4 2 marks

For confirming/verifying the litigation going against the company which of the following audit procedures is not correct?

A GSR & Company can enquire the management including in house legal counsel.

B GSR & Company should review the minutes of meetings of those charged with governance.

C GSR & Company can review the legal expense account.

D GSR & Company need not perform audit procedures with respect to litigation claims of the company except for obtaining written representation from the management in this regard.

MCQ 1.5 2 marks

Is the understanding of Mr. Girish regarding the assembly of audit file with respect to an audit assignment, mentioned as point no. 1 & point no. 2 in the case scenario, correct?

A Only understanding as per point no. 1 is correct.

B Only understanding as per point no. 2 is correct.

C Understanding as per point no. 1 & point no. 2 both are correct.

D Understanding as per point no. 1 & point no. 2, both are incorrect.

ICAI'S ANSWERS

MCQ 1.1

(C) CA Rahul Dhawan is right in making changes to the overall audit strategy and the audit plan.

MCQ 1.2

(D) Both a & b.

MCQ 1.3

(B) No, management is not correct in asking for a direct response to GM of accounts department as external confirmation is the response obtained directly by the auditor.

MCQ 1.4

(D) GSR & Company need not perform audit procedures with respect to litigation claims of the company except for obtaining written representation from the management in this regard.

MCQ 1.5

(B) Only understanding as per point no. 2 is correct.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 1 · answer p. 1

178 MTP **Old P6 May 2022 S-II** General MCQ 10 1 mark

MCQ old scheme

_____ sets the scope, timing & direction of the audit and guides the development of the more detailed plan.

A Audit Programme

B Overall Audit Strategy

C Completion Memorandum

D Audit Plan

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 6 · answer p. 1

179 MTP **Old P6 Nov 2020 S-I** Q3(c) 4 marks old scheme

Your firm has been appointed as an auditor to audit the accounts of an auto parts manufacturer, ABC LTD. Elucidate the matters to be considered by an auditor in developing his overall plan for the expected scope and conduct of audit.

ICAI'S ANSWER

Development of an Overall Plan: The auditor should consider the following matters in developing his overall plan for the expected scope and conduct of the audit-

- The terms of his engagement and any statutory responsibilities.
- The nature and timing of reports or other communication.
- The applicable legal or statutory requirements.
- The accounting policies adopted by the client and changes in those policies.
- The effect of new accounting or auditing pronouncements on the audit.
- The identification of significant audit areas.
- The setting of materiality levels for audit purposes.

- Conditions requiring special attention, such as the possibility of material error or fraud or the involvement of parties in whom directors or persons who are substantial owners of the entity are interested and with whom transactions are likely.
- The degree of reliance he expects to be able to place on accounting system and internal control.
- Possible rotation of emphasis on specific audit areas.
- The nature and extent of audit evidence to be obtained.
- The work of internal auditors and the extent of their involvement, if any, in the audit.
- The involvement of other auditors in the audit of subsidiaries or branches of the client.
- The involvement of experts.
- The allocation of work to be undertaken between joint auditors and the procedures for its control and review.
- Establishing and coordinating staffing requirements.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 4

180 MTP **Old P6 May 2020 S-I** General MCQ 1 2 marks

MCQ old scheme

The auditor shall update and change _____as necessary during the course of the audit.

A overall strategy

B the overall audit strategy and the audit plan

C audit plan

D audit program

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2020 · Series I · question p. 4 · answer p. 1

181 MTP **Old P6 Nov 2019 S-I** MCQ 1 1 mark MCQ old scheme

Planning an audit involves

A establishing the overall audit strategy for the engagement and developing an audit plan.

B establishing the overall audit plan for the engagement and developing an audit strategy.

C establishing the overall audit plan for the engagement

D developing an audit strategy.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 1 · answer p. 1

182 MTP **Old P6 Nov 2019 S-I** MCQ 11 1 mark MCQ old scheme

According to SA 300,

A planning is not a continual and iterative phase of an audit, but rather a discrete process

B planning is not a discrete phase of an audit, but rather a continual and iterative process

C planning is not continual and iterative process

D planning is not a discrete phase of an audit

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2 · answer p. 1

2.2 The audit programme

39 questions · asked in 25 ICAI documents · 6 exam papers

183 EXAM **May 2026** Case scenario · Q2(b)(i) to Q2(b)(ii) 5 marks

CASE SCENARIO

PQR & Associates, a large firm of Chartered Accountants, have been appointed as the auditors of a listed company. CA P, an engagement partner, gathered his audit team to explain them the importance of audit programme. The audit team was impressed by the advantages of audit programme and decided to strictly follow the same. CA P, however, explained that an audit programme can have disadvantages also, if not used diligently.

Q2(b)(i) 3 marks

What are the Disadvantages of an Audit programme (Any 3)?

Q2(b)(ii) 2 marks

How can these Disadvantages be minimized?

ICAI'S ANSWERS

Q2(b)(i)

Some disadvantages are also there in the use of audit programmes but most of these can be removed by following some concrete steps. The disadvantages of audit program are:

(1) The work may become mechanical and particular parts of the programme may be carried out without any understanding of the object of such parts in the whole audit scheme.

(2) The programme often tends to become rigid and inflexible following set grooves; the business may change in its operation of conduct, but the old programme may still be carried on. Changes in staff or internal control may render precaution necessary at points different from those originally decided upon.

(3) Inefficient assistants may take shelter behind the programme i.e., defend deficiencies in their work on the ground that no instruction in the matter is contained therein.

(4) A hard and fast audit programme may kill the initiative of efficient and enterprising assistants.

Q2(b)(ii)

All these disadvantages may be minimised/eliminated by the auditor in the

following manner by:

(1) imaginative supervision of the work carried on by the assistants;

(2) having a receptive attitude as regards the assistants;

(3) encouraging the assistants to observe matters objectively and

(4) encouraging assistants to bring significant matters to the notice of supervisor/principal.

ICAI · P5 · May 2026 exam · question p. 16 · answer p. 18

184 EXAM **Sep 2025** Case scenario · Q1(a)(i) to Q1(a)(ii) 5 marks

CASE SCENARIO

CA Student Kalyan was going through a topic on "Audit programme" and learnt that an audit programme is designed to provide most appropriate audit evidence by prescribing procedures and techniques to verify an assertion. Guide the student in answering the following:

Q1(a)(i) 3 marks

What type of audit evidence shall an auditor look into as the most appropriate evidence in verification of an assertion?

Q1(a)(ii) 2 marks

Specify the most appropriate audit evidence in respect of:

- verification of Cash in hand

- verification of Investments pledged with bank

ICAI'S ANSWERS

Q1(a)(i)

While looking into the most appropriate evidence in verification of an assertion, the auditor shall consider that evidence is the very basis for the formulation of opinion, and an audit programme is designed to provide for that by prescribing procedures and techniques. What is best evidence for testing the accuracy of any assertion is a matter of expert knowledge and experience. This is the primary task before the auditor when he draws up the audit programme. Transactions are varied in nature and impact. Audit procedures to be prescribed depend on prior knowledge of what evidence is reasonably available in respect of each transaction.

In most of the assertions much of the evidence be drawn, and each one should be considered and weighed to ascertain its weight to prove or disprove the assertion. In this process, an auditor would be in a position to identify the evidence that brings the highest satisfaction to him about the appropriateness or otherwise of the assertion.

An auditor picks up evidence from a variety of fields, and it is generally of the following broad types:

(a) Documentary examination

(b) Physical examination

(c) Statements and explanation of management, officials and employees

(d) Statements and explanations of third parties

(e) Arithmetical calculations by the auditor

(f) State of internal controls and internal checks

(g) Inter-relationship of the various accounting data

(h) Subsidiary and memorandum records

(i) Minutes

(j) Subsequent action by the client and by others.

Q1(a)(ii)

Most appropriate evidence in respect of:

- verification of cash in hand is 'count'.
- verification of investment pledged with bank is the banker's certificate.

ICAI · P5 · Sep 2025 exam · question p. 11 · answer p. 12-13, 13

185 **EXAM** **Sep 2024** Q5(a) **4 marks**

M/s. PP & Co, a firm of Chartered Accountants, has been auditing the books of accounts of KALI Ltd. for the past 3 years. The company has recently made some major changes in its business policies. While planning to start the audit for the 4th year i.e. for financial year 2024-25, the audit manager of the firm, as per the routine practice, handed over the previous years' audit programme as it is to the audit team with the instructions to adhere unfailingly to the said audit

programme. Evaluate the decision of the audit manager with reference to the use of audit programme.

ICAI'S ANSWER

Review of the audit programme: There should be periodic review of the audit programme to assess whether the same continues to be adequate for obtaining requisite knowledge and evidence about the transactions. Unless this is done, any change in the business policy of the client may not be adequately known, and consequently, audit work may be carried on, on the basis of an obsolete programme and, for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences.

The utility of the audit programme can be retained and enhanced only by keeping the programme as also the client's operations and internal control under periodic review so that inadequacies or redundancies of the programme may be removed.

Audit programme not only lists the tasks to be carried out but also contains a few relevant instructions, like the extent of checking, the sampling plan, etc. So long as the programme is not officially changed by the principal, every assistant deputed on the job should unfailingly carry out the detailed work according to the instructions governing the work. Many persons believe that this brings an element of rigidity in the audit programme. This is not true provided the periodic review is undertaken to keep the programme as up-

to-date as possible and by encouraging the assistants on the job to observe all salient features of the various accounting functions of the client.

In the given situation, Ms. PP & Co., a firm of Chartered Accountants has been auditing the books of accounts of KALI Ltd. for the past 3 years and the Company has recently made major changes in its business policies, therefore, it is very essential to review the audit programme. Thus, contention of the audit manager to adhere with the instructions of following the same audit programme as per routine practice is not correct.

ICAI · P5 · Sep 2024 exam · question p. 23 · answer p. 23-24

186 EXAM **May 2024** Q1(a) 4 marks

APR & Associates, a Chartered Accountant firm, are appointed as the auditors of Time Ltd. and Bakes Ltd. The volume and nature of business of both the companies are entirely different. CA R is the engagement partner for Bakes Ltd. CA P is the engagement partner for Time Ltd. CA R formulates an Audit Programme for conducting the audit of Bakes Ltd. He suggests CA P to use the same audit programme for Time Ltd. But CA P is of the opinion that this audit programme will not be useful for the audit of Time Ltd.

In light of the above, mention the matters that should generally be considered while preparing an Audit Programme. Is CA P correct in emphasizing for a different Audit Programme for Time Ltd.?

ICAI'S ANSWER

Following matters should be considered generally while preparing an Audit Programme:

(1) Stay within the scope and limitation of the assignment.

(2) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(3) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(4) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(5) Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.

(6) Consider all possibilities of error.

(7) Co-ordinate the procedures to be applied to related items.

Evolving one audit programme- Not Practicable for All businesses: Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to

assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable.

In view of above mentioned provisions, CA. P is correct in emphasizing for a different audit programme for Time Ltd.

ICAI · P5 · May 2024 exam · question p. 1 · answer p. 2-3

187 EXAM **Old P6 Dec 2021** Q2(b) 4 marks old scheme

M/s TP & Co., a firm of Chartered Accountants, is auditor of KSR Ltd. for many years. KSR Ltd. has diversified their business into newer areas during the last year. The senior member of the audit team handed over the standard audit programme of earlier years to the audit assistants and instructed them to follow the same. The assistants are conducting the audit accordingly. Whether the attitude of the audit assistants is justified or they are required to keep an open mind? Guide them.

ICAI'S ANSWER

The Assistant Engaged – Be Encouraged to Keep an Open Mind:

To start with, an auditor having regard to the nature, size and composition of the business and the dependability of the internal control and the given scope of work, should frame a programme which should aim at providing for a minimum essential work which may be termed as a standard programme. As experience is gained by actually

carrying out the work, the programme may be altered to take care of situations which were left out originally, but are found relevant for the particular concern. Similarly, if any work originally provided for proves beyond doubt to be unnecessary or irrelevant, it may be dropped. The assistant engaged in the job should be encouraged to keep an open mind beyond the programme given to him. He should be instructed to note and report significant matters coming to his notice, to his seniors or to the partners or proprietor of the firm engaged for doing the audit.

In the given case, the attitude of assistants of TP & Co. is not justified. They should keep an open mind and go beyond the programme to take care of newer areas of the business of KSR Ltd. into which the Company has diversified.

ICAI · Old P6 · Dec 2021 exam · question p. 3 · answer p. 4

188 EXAM **Old P6 Nov 2019** Q4(a) 4 marks old scheme

Discuss the points to be considered by auditor for the purpose of constructing an audit programme.

ICAI'S ANSWER

For the purpose of programme construction, the following points should be kept in mind:

(i) Stay within the scope and limitation of the assignment.

(ii) Determine the evidence reasonably available and identify the best evidence for deriving the

necessary satisfaction.

(iii) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(iv) Consider all possibilities of error.

(v) Co-ordinate the procedures to be applied to related items.

ICAI · Old P6 · Nov 2019 exam · question p. 7 · answer p. 7

189 RTP **May 2026** Q10

You are the Engagement Partner for the statutory audit of Strong Engineering Ltd. for FY 2024–25. While planning the audit, you observe the following practical issues:

(i) Two newly recruited audit assistants inform you that they are unsure about the exact audit procedures expected from them for different areas of the audit.

(ii) The audit this year is a major assignment involving multiple units, and your team seems unable to visualise the full scope of procedures to be performed.

(iii) Because the audit work has not been formally planned, defined and segregated, you are unable to allocate tasks to assistants on the basis of their individual capabilities.

(iv) Last year, in the absence of a written programme, the then audit team followed a “mental plan”, as a result of which certain subsidiary records were overlooked.

(v) During review, you notice that assistants have not signed off on procedures performed, making it difficult to trace work back to the responsible individual.

(vi) As the principal auditor, you find it difficult to track the progress of different audit areas because no written audit programme has been initiated by assistants.

(vii) Your firm wishes to use this year's audit documentation as a reference for planning next year's audit of Strong Engineering Ltd. (viii) The firm is also facing a negligence allegation on another audit, and you are concerned about having adequate evidence of exercising reasonable skill and care in this assignment.

Based on above facts, analyse why preparing a written audit programme is advantageous for the audit of Strong Engineering Ltd.

ICAI'S ANSWER

In the present case, the absence of a written audit programme has led to confusion among assistants, ineffective supervision, omission of records and lack of documentary evidence. These issues clearly establish the importance and advantages of preparing a written audit programme. The advantages in the present case may be analysed as follows:

(i) Clear instructions to assistants: The newly recruited assistants are unsure about the audit steps. A written audit programme provides detailed, written instructions regarding the nature, timing

and extent of audit procedures regarding the work to be performed.

(ii) Providing a total perspective for a major audit: The current audit is a major, multi-unit assignment. A properly drafted programme gives the team a complete perspective of all audit procedures required.

(iii) Easier selection of assistants based on capability: You find it difficult to allocate work because tasks are not defined. Once the work is rationally planned, defined and segregated, assistants can be assigned roles more effectively depending on their capability.

(iv) Reduces risk of overlooking books/records: Last year some subsidiary records were overlooked due to reliance on a mental plan.

A written and predetermined programme ensures systematic and comprehensive coverage of all books and records and ensures systematic coverage.

(v) Fixation of responsibility through sign-offs: Absence of signatures prevents linking work to individuals. A written programme allows each assistant to sign off, accepting responsibility for work done.

(vi) Enables control and monitoring by the principal: You are unable to track progress without a written programme. When assistants initiate and follow the programme, the principal can control and monitor the audit progress effectively.

(vii) Serves as a guide for next year's audit: The firm wants to use this year's work as reference for next year's planning.

A properly drafted programme acts as a useful guide for future audits.

(viii) Provides evidence against negligence allegations: Since the firm faces negligence allegations elsewhere, proper documentation is critical.

A well-constructed programme provides evidence that the auditor exercised reasonable skill and care.

Considering all facts, preparing a written, structured audit programme will address each challenge directly, enhance audit efficiency, improve accountability, and provide strong defence evidence in case of negligence allegations. Therefore, adopting a comprehensive audit programme is clearly advantageous for the audit of Strong Engineering Ltd.

ICAI · P5 · RTP May 2026 · question p. 6-7 · answer p. 13-14

190 **RTP** **May 2025** **Q10**

ATL Pvt. Ltd., a leading manufacturing company, appointed CA Atul as an auditor for the year 2023-24. Given the complexity of the company's operations and the need for a systematic approach, he plans to design a detailed audit programme to ensure the accuracy of financial assertions. As a CA student, if you were

assisting CA Atul in constructing this audit programme, what are the points you will keep in mind?

ICAI'S ANSWER

For the purpose of programme construction, the following points should be kept in mind:

(i) Stay within the scope and limitation of the assignment.

(ii) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(iii) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(iv) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(v) Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.

(vi) Consider all possibilities of error.

(vii) Co-ordinate the procedures to be applied to related items.

ICAI · P5 · RTP May 2025 · question p. 5 · answer p. 9-10

191 **RTP** **May 2024** **Q4**

The assistant of CA K is assigned responsibility of drafting "audit programme" relating to purchases

appearing in financial statements of "Broad Industries", a partnership firm. The said firm is a GST registered tax payer and is engaged in manufacturing of packing boxes from a special type of paper taxable under GST. Help him by drafting a sample audit programme for purchases.

ICAI'S ANSWER

Sample audit programme pertaining to purchases

Name of Concern	:	Broad Industries
Financial Year	:	20XX-XX
Prepared by	:	Name of person with date
Reviewed by	:	Name of person with date
Approved by	:	Name of person with date

S.no.

(a)

Nature of Procedure

Vouch few purchase invoices of paper from purchase records of concern.

Extent of Check

Basis of Sample

Done by

S.no.

(b)

Nature of Procedure

Trace these invoices into account books of concern.

Extent of Check

Basis of Sample

Done by

S.no.

(c)

Nature of Procedure

Verify few purchase invoices of paper on GST portal.

Extent of Check

Basis of Sample

Done by

S.no.

(d)

Nature of Procedure

Trace few purchase invoices of paper in stock records to ensure that these have been added to stocks of raw material.

Extent of Check

Basis of Sample

Done by

ICAI · P5 · RTP May 2024 · question p. 9 · answer p. 18-19

192 RTP **Old P6 Nov 2022** General MCQ 3 MCQ old scheme

Which of the following statements is MOST APPROPRIATE?

A Audit programme is a detailed plan of audit strategy

B Audit programme cannot be reviewed

C Audit programme is a detailed plan of applying audit procedures

D Audit programme is relevant for year for which it is prepared, it is useless for subsequent years.

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Nov 2022 · question p. 9 · answer p. 15

193 RTP **Old P6 Nov 2022** Q5 old scheme

While developing an audit programme, the auditor may conclude that relying on certain internal controls is an effective and efficient way to conduct his audit. Explain stating clearly the points to be kept in mind while developing an audit programme.

ICAI'S ANSWER

While developing an audit programme, the auditor may conclude that relying on certain internal controls is an effective and efficient way to conduct his audit. However, the auditor may decide not to rely on internal controls when there are other more efficient ways of obtaining sufficient appropriate audit evidence. The auditor should also consider the timing of the procedures, the coordination of any assistance expected from the client, the availability

of assistants, and the involvement of other auditors or experts.

For the purpose of programme construction, the following points should be kept in mind:

(1) Stay within the scope and limitation of the assignment.

(2) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(3) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(4) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(5) Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.

(6) Consider all possibilities of error.

(7) Co-ordinate the procedures to be applied to related items.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 19

194 **RTP** **Old P6 Nov 2020** Q5(a) old scheme

Evolving one audit programme applicable to all business under all circumstances is not practicable.

Explain clearly stating in detail the meaning of audit programme.

ICAI'S ANSWER

Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable. However, it becomes a necessity to specify in detail in the audit programme the nature of work to be done so that no time will be wasted on matters not pertinent to the engagement and any special matter or any specific situation can be taken care of.

It is desirable that in respect of each audit and more particularly for bigger audits an audit programme should be drawn up. Audit programme is a list of examination and verification steps to be applied and set out in such a way that the inter-relationship of one step to another is clearly shown and designed, keeping in view the assertions discernible in the statements of account produced for audit or on the basis of an appraisal of the accounting records of the client.

Definition : An audit programme consists of a series of verification procedures to be applied to the financial statements and accounts of a given

company for the purpose of obtaining sufficient evidence to enable the auditor to express an informed opinion on such statements.

In other words, an audit programme is a detailed plan of applying the audit procedures in the given circumstances with instructions for the appropriate techniques to be adopted for accomplishing the audit objectives.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 16-17

195 **RTP** **Old P6 Nov 2020** Q5(b) old scheme

In most of the assertions much of the evidence be drawn and each one should be considered and weighed to ascertain its weight to prove or disprove the assertion. An auditor picks up evidence from a variety of fields.Analyse and explain with the help of examples.

ICAI'S ANSWER

In most of the assertions much of the evidence be drawn and each one should be considered and weighed to ascertain its weight to prove or disprove the assertion. In this process, an auditor would be in a position to identify the evidence that brings the highest satisfaction to him about the appropriateness or otherwise of the assertion.

An auditor picks up evidence from a variety of fields and it is generally of the following broad types:

(a) Documentary examination,

(b) Physical examination,

(c) Statements and explanation of management, officials and employees,

(d) Statements and explanations of third parties,

(e) Arithmetical calculations by the auditor,

(f) State of internal controls and internal checks,

(g) Inter-relationship of the various accounting data,

(h) Subsidiary and memorandum records,

(i) Minutes,

(j) Subsequent action by the client and by others.

Example

1. For cash in hand, the best evidence is 'count'
2. For investment pledged with a bank, the banker's certificate.
3. For verifying assertions about book debts, the client's ledger invoices, debit notes, credit notes, monthly accounts statement sent to the customers are all evidence: some of these are corroborative, other being complementary. In addition, balance confirmation procedure is often resorted to, to obtain greater satisfaction about the reliability of the assertion.

The auditor, however, has to place appropriate weight on each piece of evidence and accordingly should prescribe the priority of verification. It is true that in all cases one procedure may not bring the highest satisfaction and it may be dangerous for the auditor to ignore any evidence that is available.

By the word “available” we do not mean that the evidence available with the client is the only available evidence. The auditor should know what normally should be available in the context of the transaction having regard to the circumstances and usage.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 17

196 **RTP** **Old P6 May 2020** Q5(b) old scheme

Evidence is the very basis for formulation of opinion and an audit programme is designed to provide for that by prescribing procedures and techniques.

Analyse and explain with the help of example of evidence in respect of Sales.

ICAI'S ANSWER

Evidence is the very basis for formulation of opinion and an audit programme is designed to provide for that by prescribing procedures and techniques. What is best evidence for testing the accuracy of any assertion is a matter of expert knowledge and experience. This is the primary task before the auditor when he draws up the audit programme. Transactions are varied in nature and impact; procedures to be prescribed depend on prior knowledge of what evidence is reasonably available in respect of each transaction.

Example

Sales are evidenced by:

(i) invoices raised by the client;

(ii) price list;

(iii) forwarding notes to client;

(iv) inventory-issue records;

(v) sales managers' advice to the inventory section;

(vi) acknowledgements of the receipt of goods by the customers; and

(vii) collection of money against sales by the client.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 15

197 MTP **Sep 2026 S-I** Q2(c) 4 marks

VSN & Associates, Chartered Accountants, were appointed as statutory auditors of Ema Energy Limited for the financial year ended 31st March, 2026. At the commencement of the audit, the engagement partner reviewed the previous year's audit files and instructed the audit team to revise the audit plan after considering changes in internal controls relating to inventory management and revenue recognition.

The auditor initially intended to rely upon certain internal controls for purchases and sales transactions. However, after preliminary evaluation, he considered whether substantive audit procedures would be more efficient for obtaining sufficient appropriate audit evidence. The audit team also discussed matters relating to timing of audit procedures, availability of

audit assistants, coordination with branch auditors and involvement of valuation experts.

Further, the auditor specifically planned to attend the physical inventory count at year-end. The company was also maintaining substantial cash balances and marketable securities, and therefore the auditor decided to verify the securities and cash balances on the balance sheet date itself since such verification was required to be carried out at a specific point of time. While preparing the audit programme, the engagement partner emphasised that the programme should clearly specify audit objectives, possible errors, procedures to be followed and coordination among various audit areas.

In the light of above facts, explain the considerations to be kept in mind while developing an audit programme.

ICAI'S ANSWER

The audit planning ideally commences at the conclusion of the previous year's audit, and along with the related programme, it should be reconsidered for modification as the audit progresses. Such consideration is based on the auditor's review of the internal control, his preliminary evaluation thereof, and the results of his compliance and substantive procedures.

While developing an audit programme, the auditor may conclude that relying on certain internal controls is an effective and efficient way to conduct his audit. However, the auditor may decide not to rely on internal controls when there are other more

efficient ways of obtaining sufficient appropriate audit evidence. The auditor should also consider the timing of the audit procedures, the coordination of any assistance expected from the client, the availability of assistants, and the involvement of other auditors or experts.

Further, the auditor normally has flexibility in deciding when to perform audit procedures. However, in some cases, the auditor may have no discretion as to timing, for example, when observing the taking of inventories by client personnel or verifying the securities and cash balances at the year-end.

For the purpose of programme construction, the following points should be kept in mind:

(1) Stay within the scope and limitation of the assignment.

(2) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(3) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(4) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(5) Include the audit objectives for each area and sufficient details which serve as a set of instructions

for the assistants involved in audit and help in controlling the proper execution of the work.

(6) Consider all possibilities of error.

(7) Co-ordinate the procedures to be applied to related items.

In the given case of Ema Energy Limited, the auditor is required to continuously review and modify the audit programme based on evaluation of internal controls, results of audit procedures and practical audit requirements. The auditor must properly plan timing of audit procedures such as inventory observation and verification of cash and securities balances, while ensuring that the audit programme contains clear procedures, audit objectives and coordination instructions so as to obtain sufficient appropriate audit evidence efficiently and effectively.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 12-13 · answer p. 6-7

198 MTP **Sep 2026 S-II** Q3(c) 4 marks

Precision Auto Components Limited, a manufacturer of automobile parts, was undergoing its statutory audit for the year ended 31st March, 2026.

The company had recently implemented a new ERP system and introduced an automated inventory management process. While finalising the audit programme, the audit procedures used in another manufacturing engagement were proposed as the basis for the current audit. The proposed programme did not

specifically address the changes in the company's systems and processes. During the audit, the audit assistant also came across certain significant matters that were not specifically covered by the programme.

With reference to the above facts, explain why evolving one audit programme applicable to all businesses is not practicable. Also explain the role of an assistant while carrying out an audit programme and the need for suitable modifications to the programme during the course of an audit.

ICAI'S ANSWER

Evolving one audit programme- Not Practicable for All businesses: Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable. However, it becomes a necessity to specify in detail in the audit programme the nature of work to be done so that no time will be wasted on matters not pertinent to the engagement and any special matter or any specific situation can be taken care of.

The Assistant to keep an open mind: To start with, an auditor having regard to the nature, size and composition of the business and the dependability of the internal control and the given scope of work,

should frame a programme which should aim at providing for a minimum essential work which may be termed as a standard programme. As experience is gained by actually carrying out the work, the programme may be altered to take care of situations which were left out originally, but are found relevant for the particular concern. Similarly, if any work originally provided for proves beyond doubt to be unnecessary or irrelevant, it may be dropped. The assistant engaged in the job should be encouraged to keep an open mind beyond the programme given to him. He should be instructed to note and report significant matters coming to his notice, to his seniors or to the partners or proprietor of the firm engaged for doing the audit.

The circumstances demonstrate that a single audit programme cannot be uniformly applied to all businesses, as the nature, size and composition of businesses, internal controls and the scope of audit work may differ. An audit programme should therefore be suitably framed and modified according to the specific circumstances of the engagement. Further, an audit assistant should keep an open mind while performing the prescribed procedures and should report significant matters noticed during the audit, even if they are not specifically covered by the programme. Thus, an audit programme provides necessary guidance but should remain sufficiently flexible to address matters relevant to the particular engagement.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 14 · answer p. 9

199 MTP **May 2026 S-I** Q2(c) 4 marks

RST & Co., Chartered Accountants, have been the statutory auditors of Bright Vision Ltd., a company engaged in wholesale trading of electronic goods, for the last 6 years.

During the financial year 2024–25, the company significantly changed its business model by:

- Introducing online sales through its own e-commerce portal;
- Appointing multiple third-party warehouse operators across India;
- Implementing a new ERP system from October 2024; and
- Revising its credit policy by extending credit from 30 days to 90 days to boost sales.

However, the audit team continued to follow the same audit programme that had been designed three years ago, which was primarily structured for a traditional wholesale model with centralised warehousing and manual accounting controls.

The engagement partner did not conduct any formal periodic review of the audit programme. The assistants carried out audit procedures strictly as per the existing programme without modifying the extent of checking, sampling plan, or procedures relating to inventory verification and receivables.

Subsequently, material misstatements were detected in revenue recognition and inventory records held with

third-party warehouses. The management alleged that the auditor had conducted the audit negligently.

Discuss whether the auditor was justified in continuing with the old audit programme. What are the implications of not conducting periodic review of the audit programme?

ICAI'S ANSWER

There should be periodic review of the audit programme to assess whether the same continues to be adequate for obtaining requisite knowledge and evidence about the transactions. Unless this is done, any change in the business policy of the client may not be adequately known, and consequently, audit work may be carried on, on the basis of an obsolete programme and, for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences.

In the given case, Bright Vision Ltd. introduced significant changes in its operations, such as online sales, third-party warehouses, implementation of a new ERP system, and extended credit terms. These changes directly impacted revenue recognition, inventory control, receivables management, and internal controls. However, the audit firm failed to revise or review the existing audit programme and continued to apply procedures designed for a traditional wholesale model.

The utility of the audit programme can be retained and enhanced only by keeping the programme as also the client's operations and internal control

under periodic review so that inadequacies or redundancies of the programme may be removed. Since no review was undertaken, the audit procedures became outdated and inadequate to address the changed risk environment.

Although assistants are required to strictly follow the audit programme as approved by the principal, the responsibility to update and revise the programme lies with the auditor. The argument that adherence to a fixed programme creates rigidity is not valid, provided periodic review is undertaken and assistants are encouraged to observe and report significant changes in the client's accounting functions.

The auditor was not justified in continuing with the obsolete audit programme without periodic review. Failure to revise the audit programme in light of significant business and control changes amounts to negligence, and the auditor may be held responsible for inadequately conducted audit and consequent legal implications.

ICAI · P5 · MTP May 2026 · Series I · question p. 11-12 · answer p. 6-7

200 MTP **May 2026 S-II** Q2(c) 4 marks

QRS & Associates, a firm of Chartered Accountants, is handling multiple audit engagements across diverse industries. One of its clients, Nova Manufacturing Ltd., is engaged in heavy engineering, whereas another client, Sparkle Retail Ltd., operates a chain of consumer

retail outlets with a high volume of transactions and decentralized operations.

CA A, the engagement partner for Nova Manufacturing Ltd., has designed a detailed audit programme considering the nature of its operations. He proposes that the same audit programme be standardised and applied to the audit of Sparkle Retail Ltd. as well, to ensure uniformity and save time.

However, CA B, the engagement partner for Sparkle Retail Ltd., disagrees and believes that adopting the same audit programme may not be appropriate in the given circumstances.

In the context of the above, state the matters that should generally be considered while preparing an audit programme. Also, examine whether the view taken by CA B is justified.

ICAI'S ANSWER

Following matters should be considered generally while preparing an Audit Programme:

(1) Stay within the scope and limitation of the assignment.

(2) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(3) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(4) Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.

(5) Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.

(6) Consider all possibilities of error.

(7) Co-ordinate the procedures to be applied to related items.

Evolving one audit programme – Not Practicable for All Businesses:

Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all businesses under all circumstances is not practicable.

In view of the above mentioned provisions, CA B is correct in emphasizing the need for a different audit programme for Sparkle Retail Ltd., as the nature and circumstances of the engagement differ significantly from those of Nova Manufacturing Ltd.

ICAI · P5 · MTP May 2026 · Series II · question p. 11 · answer p. 5-6

201 MTP Jan 2026 S-II MCQ 14 2 marks MCQ

An audit firm, RST & Co., conducted the statutory audit of Bluewing Traders Ltd. During the review of audit files by regulatory authority, it was alleged that the auditor failed to exercise due professional care while verifying certain high-value transactions. Also, Bluewing Traders faced financial losses and the management claimed that the auditor was negligent.

However, during the proceedings, RST & Co. produced a detailed audit programme that had been prepared before commencing audit work. The programme documented the steps planned, the nature and extent of checking, the responsibilities assigned to assistants and the areas where professional judgement was exercised. It was also signed and approved by the engagement partner. The auditor argued that this properly constructed audit programme demonstrated that reasonable skill and care had been exercised throughout the audit.

In the above situation, which of the following best explains why the detailed audit programme prepared by RST & Co. can help defend the auditor against allegations of negligence?

A A properly drawn-up audit programme provides documentary proof that the auditor planned and executed audit procedures with reasonable skill and care thereby supporting his defence against charges of negligence.

B An audit programme allows the auditor to detect all types of fraud and errors which automatically proves that negligence cannot occur during the audit.

C The existence of an audit programme guarantees that no mistakes were made by the audit staff during the examination of financial records.

D An audit programme shifts the entire responsibility for negligence to the client because it shows that the auditor relied on management representations.

ICAI'S ANSWER

(A)

ICAI · P5 · MTP Jan 2026 · Series II · question p. 6-7 · answer p. 1

202 MTP **Sep 2025 S-II** Q1(b) 5 marks

CA Veer is conducting the statutory audit of Lamex Industries Ltd., a company engaged in manufacturing and export of textile goods. The audit firm has been auditing the company for the last three years using the same detailed audit programme prepared during the initial year of engagement. During the audit, one of the article assistants followed the audit programme strictly but failed to detect significant issues arising from the company's recent shift to an automated inventory system and changes in their revenue recognition policy. When reviewing the audit documentation, CA Veer realised that the audit programme had not been updated to reflect the company's operational and control changes over time.

In view of above situation, explain why periodic review of the audit programme is essential. What could be the consequences of continuing with outdated audit programme?

ICAI'S ANSWER

There should be periodic review of the audit programme to assess whether the same continues to be adequate for obtaining requisite knowledge and evidence about the transactions.

The utility of the audit programme can be retained and enhanced only by keeping the programme as also the client's operations and internal control under periodic review so that inadequacies or redundancies of the programme may be removed.

However, as a basic feature, audit programme not only lists the tasks to be carried out but also contains a few relevant instructions, like the extent of checking, the sampling plan, etc. So long as the programme is not officially changed by the principal, every assistant deputed on the job should unfailingly carry out the detailed work according to the instructions governing the work.

Many persons believe that this brings an element of rigidity in the audit programme. This is not true provided the periodic review is undertaken to keep the programme as up-to-date as possible and by encouraging the assistants on the job to observe all salient features of the various accounting functions of the client.

Unless this is done, any change in the business policy of the client may not be adequately known, and consequently, audit work may be carried on, on the basis of an obsolete programme and, for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 8 · answer p. 2-3

203 MTP **May 2025 S-I** Case Scenario 1 · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO 1

Jin Kushal & Associates is a firm of Chartered Accountants practicing in Delhi. The firm consists of two partners namely, CA Jin and CA Kushal. The Statutory audit team is generally headed by CA Jin and his team consists of three articled assistants and one qualified Chartered Accountant, CA Reshu. With respect to the audit work of 4 clients for which the audit team intends to start the audit work, CA Jin discussed with the team members about the development of audit programmes for individual clients. One of the articled assistants, Mr. Sumit, was of the view that one single audit programme can be developed for all the 4 clients operating in different industries.

With respect to one of the clients namely, Saraswati Ltd., a labour-intensive company, CA Jin asked CA Reshu to compare the amount of wages paid by the company in the current year and last year. Also, she

was asked to verify the relationship between the number of employees and wages paid in both the years by the company.

The audit firm started the audit of another client, namely, Sarthak Ltd. having maximum transactions in foreign currency. CA Jin asked one of the team members, Mr. Rahul, to verify whether the calculations related to conversion of the foreign currency into local currency is proper or not.

While verifying the share issue transactions of one client, namely, Laxman Ltd., CA Reshu found that the company has issued sweat equity shares during the year under audit. She asked one of the articled assistants, Mr. Saurabh, to further verify whether the relevant provisions of the Companies Act 2013, have been complied by the company in this regard. Also, with respect to Sarthak Ltd., there was reduction of share capital during the year. Mr. Saurabh was asked by the engagement partner to verify the compliance of relevant provisions of the Companies Act, 2013 in this regard also. Mr. Saurabh was of the view that there is requirement of passing of Special Resolution by the respective company for both.

While starting the audit work of another client, Rintex Ltd., the audit team noticed that the company has its internal audit team. Mr. Sumit was of the view that the statutory audit team can use and rely on the work of the Internal Auditors of the company and as such there is no requirement for the statutory audit team to perform audit procedures again as the

internal audit team must have verified the financial transactions of the company in detail. Further, while verifying the expenses ledger, Mr. Sumit noticed that the company has implemented a system whereby the entries related to expenses incurred during the year can be entered into the accounting system by authorised personnels only. However, with respect to travelling expenses which constituted about 30% of the total expenses, the entries were made by employees who were not authorised to make such entries.

Based on the above facts, answer the following: -

MCQ 1 2 marks

Is the view of Mr. Sumit with respect to the development of audit programme correct?

A Yes, the view of Mr. Sumit is correct as developing one audit programme for all the clients will avoid duplication of efforts of audit team.

B No, the view of Mr. Sumit is not correct as all the four clients operate in different industries and evolving one audit programme for all businesses is not practicable.

C Yes, the view of Mr. Sumit is correct as development of audit programme is not affected by the nature of client business.

D No, the view of Mr. Sumit is not correct as development of audit programme is not the responsibility of the audit team. The individual clients will develop their respective audit programmes.

MCQ 2 2 marks

Identify the audit procedures Ms Reshu was asked by CA Jin to perform with respect to Saraswati Ltd.

A Substantive Analytical Procedures.

B Test of details.

C Test of transactions.

D Test of Controls.

MCQ 3 2 marks

Whether understanding of Mr. Saurabh regarding the passing of Special Resolution is correct?

A The understanding of Mr. Saurabh is partly correct as ordinary resolution is required in case of issue of sweat equity shares by the company though special resolution is required to be passed by the company in case of reduction of share capital.

B The understanding of Mr. Saurabh is partly correct as special resolution is required in case of issue of sweat equity shares by the company though ordinary resolution is required to be passed by the company in case of reduction of share capital.

C The understanding of Mr. Saurabh is correct as special resolution is required in case of issue of sweat equity shares by the company and reduction of share capital.

D The understanding of Mr. Saurabh is not correct as ordinary resolution is required in case of issue of sweat equity shares by the company as well as in case of reduction of share capital.

MCQ 4 2 marks

Is the view of Mr. Sumit correct with respect to using and relying on the work of the Internal Audit team of Rintex Ltd.?

A Yes, the view of Mr. Sumit is correct.

B No, the view of Mr. Sumit is not correct as the statutory audit team cannot use the work of the internal audit team of the client company.

C No, the view of Mr. Sumit is not correct as the statutory auditor has the sole responsibility for the audit opinion expressed.

D The view of Mr. Sumit is partly correct as the statutory audit team can use and rely on the work of the internal audit team if the same is agreed while signing the engagement letter.

MCQ 5 2 marks

Identify the type of risk noticed by Mr. Sumit with respect to entries related to travelling expenses entered into the accounting system of Rintex Ltd.

A Inherent Risk.

B Detection Risk.

C Control Risk.

D Audit Risk.

ICAI'S ANSWERS

MCQ 1

(B)

MCQ 2

(A)

MCQ 3

(C)

MCQ 4

(C)

MCQ 5

(C)

ICAI · P5 · MTP May 2025 · Series I · question p. 1-2 · answer p. 1

204 MTP **May 2025 S-I** Q2(c) 4 marks

As the auditor of CRT Ltd., a construction company, for the year 2023-24, you are preparing an audit programme to systematically guide the audit procedures. A well-structured audit programme not only ensures efficient execution but also serves as documentary evidence in case of any allegations of negligence against the auditor. In this context, briefly explain advantages of audit programme that will supports the auditor during the audit of CRT Ltd.

ICAI'S ANSWER

The advantages of an audit programme are:

(i) It provides the assistant carrying out the audit with total and clear set of instructions of the work generally to be done.

(ii) It is essential, particularly for major audits, to provide a total perspective of the work to be performed.

(iii) Selection of assistants for the jobs on the basis of capability becomes easier when the work is rationally planned, defined and segregated.

(iv) Without a written and pre-determined programme, work is necessarily to be carried out on the basis of some 'mental' plan. In such a situation there is always a danger of ignoring or overlooking certain books and records. Under a properly framed programme, such danger is significantly less, and the audit can proceed systematically.

(v) The assistants, by putting their signature on programme, accept the responsibility for the work carried out by them individually and, if necessary, the work done may be traced back to the assistant.

(vi) The principal can control the progress of the various audits in hand by examination of audit programmes initiated by the assistants deputed to the jobs for completed work.

(vii) It serves as a guide for audits to be carried out in the succeeding year.

(viii) A properly drawn up audit programme serves as evidence in the event of any charge of negligence being brought against the auditor. It may be of considerable value in establishing that he exercised reasonable skill and care that was expected of professional auditor.

ICAI · P5 · MTP May 2025 · Series I · question p. 9 · answer p. 4-5

205 MTP **May 2025 S-II** MCQ 13 2 marks MCQ

CA Radha is appointed as an auditor of a PVC Ltd. for the first time. A detailed set of instructions has been prepared by her office and handed over to assistants in engagement team. During the course of audit, she noticed that company is also producing substantial quantities of scrap generated during manufacturing process. However, no instructions have been given to engagement team in this regard. What should be proper course of action by CA Radha?

A She should ignore this information as audit has already begun.

B She should modify earlier set of instructions.

C She should leave the matter to wisdom of engagement team.

D She should put the ball in court of management as she was not provided with complete information earlier.

ICAI'S ANSWER

(B)

206 MTP **May 2025 S-II** Q1(b) 5 marks

The assistant of CA Bhavik is assigned responsibility of drafting "audit programme" relating to purchases appearing in financial statements of Arya Industries, a partnership firm for F.Y. 2023-24 The said firm is a GST registered taxpayer and is engaged in manufacturing of packing boxes from a special type of paper taxable under GST. Draft a sample audit programme for purchases.

ICAI'S ANSWER

Sample audit programme pertaining to purchases

Name of Concern	: Arya Industries
Financial Year	: 2023-24
Prepared by	: Name of person with date
Reviewed by	: Name of person with date
Approved by	: Name of person with date

S.no.
(i)

Nature of Procedure
Vouch few purchase invoices of paper from purchase records of concern.

Extent of Check

Basis of Sample

Done by

S.no.
(ii)

Nature of Procedure
Trace these invoices into account books of concern.

Extent of Check

Basis of Sample

Done by

S.no.
(iii)

Nature of Procedure
Verify few purchase invoices of paper on GST portal.

Extent of Check

Basis of Sample

Done by

S.no.
(iv)

Nature of Procedure
Trace few purchase invoices of paper in stock records to ensure that these have been added to stocks of raw material.

Extent of Check

Basis of Sample

Done by

ICAI · P5 · MTP May 2025 · Series II · question p. 9 · answer p. 2

207 MTP **Jan 2025 S-I** Q6(b) 5 marks

Audit programme is a list of examination and verification steps to be applied and set out in such a way that the inter-relationship of one step to another is clearly shown and designed, keeping in view the

assertions apparent in the statements of account produced for audit or based on an appraisal of the accounting records of the client. For example, while auditing a company's inventory, the program may include steps to verify physical stock counts, ownership rights, and valuation. What are the advantages of an audit programme?

ICAI'S ANSWER

The advantages of an audit programme are:

- It provides the assistant carrying out the audit with total and clear set of instructions of the work generally to be done.
- It is essential, particularly for major audits, to provide a total perspective of the work to be performed.
- Selection of assistants for the jobs on the basis of capability becomes easier when the work is rationally planned, defined and segregated.
- Without a written and pre-determined programme, work is necessarily to be carried out on the basis of some 'mental' plan. In such a situation there is always a risk of ignoring or overlooking certain books and records. Under a properly framed programme, such risk is significantly less and the audit can proceed systematically.
- The assistants, by putting their signature on programme, accept the responsibility for the work carried out by them individually and, if

necessary, the work done may be traced back to the assistant.

- The principal can control the progress of the various audits in hand by examination of audit programmes initiated by the assistants deputed to the jobs for completed work.
- It serves as a guide for audits to be carried out in the succeeding year.
- A properly drawn up audit programme serves as evidence in the event of any charge of negligence being brought against the auditor. It may be of considerable value in establishing that he exercised reasonable skill and care that was expected of professional auditor.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 10 · answer p. 10-11

208 MTP **Jan 2025 S-II** Case Scenario 1 · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO 1

Oval Services Ltd. appointed Rupa & Associates as the auditors for the financial year 2023-2024. The auditors believe that an audit program is crucial in providing clear and comprehensive instructions for the tasks to be carried out, offering a total perspective of the work involved. This is particularly important for large audits, and as such, they prepared an initial audit program based on the company's organisational structure and effective internal controls. During the audit, CA Nitin,

Engagement Partner identified issues with the company's debt management practices, prompting the inclusion of a more detailed review of the loan agreements. However, in his opinion the planned review of petty cash was unnecessary due to the company's policy of limiting cash transactions. Thus, review procedure was removed from the audit programme.

To verify the balances of trade payables, the auditor decided to send external confirmation requests to the creditors of the company. These requests were made to verify the balances as on 20th March 2024, a date chosen deliberately to ensure the accuracy and completeness of the liabilities, free from any influence or prior knowledge of management. This approach was taken to maintain the integrity of the confirmation process. However, it was noted that M/s. Keshav Traders and M/s. Amrit Distributors did not respond to the confirmation requests.

Furthermore, the auditor noted that in the financial year 2023-2024, the company's Property, Plant, and Equipment (PPE) was revalued, resulting in an increase of 5% in the net carrying value of its machinery from ₹10 lakh to ₹10.5 lakh.

Also, due to the significant compliance burden, company is considering to convert into a Limited Liability Partnership (LLP). Management views the LLP structure as a hybrid business model that combines the advantages of both companies and partnerships. Additionally, they believe this

conversion would relieve them of mandatory audit requirements.

Based on the above facts, answer the following: -

MCQ 1 2 marks

Whether audit team is correct in excluding the planned review of petty cash from the audit programme?

A. No. Because an audit programme should always include a petty cash review, regardless of company policy.

B. Yes. Because the company's internal controls and policy of limiting cash transactions reduce the need for a petty cash review in the audit programme.

C. No. Because the audit programme must cover all the areas of financial transactions, including petty cash, to ensure comprehensive auditing.

D. Yes. Because the audit programme should only focus on areas with high financial risk, and petty cash is not a high-risk area.

MCQ 2 2 marks

Whether the decision of auditor to send the confirmation request to the creditors of the company as on 20th March 2024 justified?

A Yes, decision of the auditor is correct as the auditor is allowed to choose any date reasonably close to the balance sheet date for confirmation, and the selected date helps to ensure the accuracy of the liabilities without consultation from the management.

B No, decision of the auditor is not correct as the auditor should have sent the confirmation requests for the balance sheet date as this would accurately reflect the liabilities as on that date.

C Yes, decision of the auditor is correct as the auditor is allowed to choose any date which is reasonably close to the balance sheet date for confirmation, and the selected date should be decided in consultation with the management.

D No, decision of the auditor is not correct as confirmation should be asked within a week of the date of audit report.

MCQ 3 2 marks

Which of the following is not an appropriate procedure to verify the balances for M/s. Keshav Traders and M/s. Amrit Distributers?

A Breaking down the balance into individual transactions and making sure they actually happened.

B Checking payments made after the year-end to vendors who didn't respond to confirmation requests.

C Comparing the balance to the original invoices from the vendors.

D Request a written representation from management confirming that all payables are accurately recorded and complete.

MCQ 4 2 marks

In the given case, is there any requirement for separate disclosure of the PPE revaluation?

A Yes, separate disclosure is required due to the 5% increase in carrying value.

B No, separate disclosure is not required as the change in carrying value is less than 10%.

C Yes, separate disclosure is required regardless of the percentage change.

D No, separate disclosure is not required unless the revaluation results in a material change in the carrying value.

MCQ 5 2 marks

What is your perspective on the management's view regarding the audit requirements for an LLP?

A An LLP is always required to conduct an audit, regardless of its turnover or capital contribution.

B An LLP is always required to conduct an audit if either the turnover exceeds ₹40 lakhs or the capital contribution exceeds ₹25 lakhs.

C An LLP is always required to conduct an audit if either the turnover exceeds ₹25 lakhs or the capital contribution exceeds ₹40 lakhs.

D An LLP is always required to conduct an audit if the capital contribution exceeds ₹25 lakhs and the turnover exceeds ₹40 lakhs.

ICAI'S ANSWERS

MCQ 1

(B)

MCQ 2

(C)

MCQ 3

(D)

MCQ 4

(B)

MCQ 5

(B)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 1-2 · answer p. 1

209 MTP **Sep 2024 S-I** Q6(c) 4 marks

Sanjana is of the view that there exist some disadvantages in the use of audit programmes but most of these can be removed by following some concrete steps. Do you agree with her perspective? Comment.

ICAI'S ANSWER

The view of Sanjana is appropriate. Some disadvantages are there in the use of audit programmes but most of these can be removed by following some concrete steps. The disadvantages are: -

(i) The work may become mechanical and particular parts of the programme may be carried out without any understanding of the object of such parts in the whole audit scheme.

(ii) The programme often tends to become rigid and inflexible following set grooves; the business may change in its operation of conduct, but the old programme may still be carried on. Changes in staff or internal control may render precaution necessary at points different from those originally decided upon.

(iii) Inefficient assistants may take shelter behind the programme i.e., defend deficiencies in their work on the ground that no instruction in the matter is contained therein.

(iv) A hard and fast audit programme may kill the initiative of efficient and enterprising assistants.

All these disadvantages may be eliminated by imaginative supervision of the work carried on by the assistants; the auditor must have a receptive attitude as regards the assistants; the assistants should be encouraged to observe matters objectively and bring significant matters to the notice of supervisor/principal.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 11 · answer p. 9-10

210 MTP **Sep 2024 S-II** Q6(b) 5 marks

M/s TP & Co., a firm of Chartered Accountants, has been conducting audit of KSR Ltd. since last 4 years. KSR Ltd.

has diversified their business into newer areas during the last year. The senior member of the audit team handed over the standard audit programme of earlier years to the audit assistants and instructed them to follow the same. The assistants are conducting the audit accordingly. Whether the attitude of the audit assistants is justified? Guide them.

ICAI'S ANSWER

In the given situation, the senior member of the audit team handed over the standard audit programme of earlier years to the audit assistants and instructed them to follow the same.The assistant to keep an open mind as follows:

- To start with, an auditor having regard to the nature, size and composition of the business and the dependability of the internal control and the given scope of work, should frame a programme which should aim at providing for a minimum essential work which may be termed as a standard programme.
- As experience is gained by actually carrying out the work, the programme may be altered to take care of situations which were left out originally but are found relevant for the particular concern.
- Similarly, if any work originally provided for proves beyond doubt to be unnecessary or irrelevant, it may be dropped.
- The assistant engaged in the job should be encouraged to keep an open mind beyond the programme given to him. He should be

instructed to note and report significant matters coming to his notice, to his seniors or to the partners or proprietor of the firm engaged for doing the audit.

Thus, the attitude of assistants of TP & Co. is not justified. They should keep an open mind and go beyond the programme to take care of newer areas of the business of KSR Ltd. into which the Company has diversified.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 11 · answer p. 10-11

211 MTP **Old P6 Dec 2021 S-I** General MCQ 2 2 marks MCQ old scheme

CA R illustrated to his team that the utility of the Audit Programme can be retained and enhanced only by keeping the programme as also the client's operations and internal control under recurrent assessment. Which attribute of the Audit Programme is highlighted here?

A Static Review

B Mechanical Review

C Periodic Review

D Obsolete Review

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 4 · answer p. 1

CHAPTER 3

Risk Assessment and Internal Control

3.1 Audit risk: inherent, control and detection risk

49 questions · asked in 24 ICAI documents · 2 exam papers

212 EXAM **Sep 2026** Case Scenario-II · MCQ 7 to MCQ 12

12 marks

CASE SCENARIO-II

ABC & Co is a reputed firm of Chartered Accountants. During the year, the firm was appointed as the statutory auditor of S Food Limited.

CA Amit, the engagement partner, commenced the audit by obtaining an understanding of the entity's internal control system. Based on his evaluation, he concluded that the relevant internal controls were operating efficiently. Accordingly, he assessed the control risk at a lower level and designed the nature, timing, and extent of further audit procedures.

While performing audit procedures, CA Amit and his team identified several misstatements. Management agreed to correct some of them; whereas others remained uncorrected at the conclusion of the audit.

CA Amit also discussed with the audit team the objectives of audit documentation as prescribed under SA 230 and use of management assertions in an audit.

During the course of the audit, the management of the company also informed the auditors that the company proposed to establish a new manufacturing facility and had approached a financial institution for long-term finance. Since the financial institution required prospective financial statements for loan appraisal, the management requested ABC & Co. to examine the financial forecasts and issue an appropriate report.

Simultaneously, CA Bhim a partner of ABC & Co., was leading the audit of J Co-operative Society. The audit included verification of receivables including overdues and disclosure requirements on the receivable balances of the society.

Based on the above facts, answer the following questions : (7 to 12)

MCQ 7 2 marks

As part of understanding of the entity's internal control system CA Amit assessed the control risk at a lower level. The decision of CA Amit is –

A Correct, because there exists an inverse relationship between the efficiency of internal control of an entity and control risk.

B Correct, because control risk represents the risk that the auditor's procedures will fail to detect a material misstatement that exists in the financial statements.

C Incorrect, because control risk is the susceptibility of an assertion to a misstatement that could be material, before consideration of any related controls.

D Incorrect, because there exists a direct relationship between the efficiency of internal control of an entity and control risk.

MCQ 8 2 marks

As regards, the corrected and uncorrected misstatements, choose the most appropriate option as per SA 450.

A The auditor should obtain management representation on corrected misstatements.

B The auditor should obtain written representation from the management that they believe that the effect of uncorrected misstatements are immaterial, individually and in aggregate to the financial statements as a whole.

C The auditor should obtain written representation from the management that they believe that the effect of corrected misstatements are immaterial, individually and in aggregate to the financial statements as a whole.

D The auditor should obtain management representation on value of corrected and uncorrected material misstatement when in excess of 5% of the turnover.

MCQ 9 2 marks

The documentation maintained by the auditor primarily supports which of the following objectives as per SA 230 ?

I. A sufficient and appropriate record of the basis for the auditor's report.

II. Evidence that audit was planned and performed in accordance with SAs.

III. Substitute for accounting records maintained by management which is not provided to the auditor.

IV. Documentation of client's internal control system.

Options :

A I and II only

B I, II and IV only

C II, III and IV only

D I, III and IV only

MCQ 10 2 marks

Which of the following Standards issued by ICAI are relevant for ABC & Co., if the engagement is undertaken for examination of the prospective financial statement of S Food Limited ?

A Standards on Auditing

B Standards on Review Engagements

C Standards on Assurance Engagements

D Standards on Related Services

MCQ 11 2 marks

How CA Bhim should classify the overdue debts in ageing schedule in respect of the co-operative society ?

A Overdue debts for a period from five months to six years and more than six years.

B Overdue debts for a period from three months to six months, six months to five years and more than five years.

C Overdue debts for a period from six months to two years and more than two years.

D Overdue debts for a period from six months to five years and more than five years.

MCQ 12 2 marks

CA Amit was educating his audit team about management assertions in an audit. He makes the following statements :

Statement 1 : Occurrence and Valuation are assertions relating to Balance sheet captions.

Statement 2 : Measurement and Completeness are assertions relating to Income statement captions.

Statement 3 : Measurement and Existence are assertions relating to Income statement captions.

Statement 4 : Existence and Rights & Obligations are assertions relating to Balance sheet captions.

Which of these are correct ?

A Only 1 & 2 are correct.

B Only 1 & 3 are correct

C Only 2 & 4 are correct.

D Only 3 & 4 are correct.

ICAI'S ANSWERS

MCQ 7

Answer key: **ICAI has not published the key yet.**

MCQ 8

Answer key: **ICAI has not published the key yet.**

MCQ 9

Answer key: **ICAI has not published the key yet.**

MCQ 10

Answer key: **ICAI has not published the key yet.**

MCQ 11

Answer key: **ICAI has not published the key yet.**

MCQ 12

Answer key: **ICAI has not published the key yet.**

ICAI · P5 · Sep 2026 exam · question p. 7-8

213 EXAM **Sep 2026** Q4(a) 5 marks

M/s Sanjay & Associates, were appointed as the statutory auditors of B Cosmetics Ltd. for the financial Year 2025-2026. The Company reported a turnover of approximately ₹ 250 crores with a very large number of sales transactions.

Based on the assessed audit risk, the auditor decided to verify the sales transactions on a test check basis. During the engagement quality review, it was observed that only a limited number of sales transactions had

been selected for verification despite significant variations in the monthly sales pattern.

With reference to SA 200, identify and explain the type of audit risk involved in the above case.

Identify and explain the specific component of such risk applicable to the fact.

State how the auditor can reduce such audit risk ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 19

214 EXAM **Old P6 May 2023** Q2(b) 4 marks old scheme

You are appointed as an auditor of Gama Ltd. Your audit assistant wants to understand the meaning of Audit Risk. Explain him the meaning of Audit Risk with example. Also guide him as to what is not included in Audit Risk.

ICAI'S ANSWER

Audit risk means the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk. Thus, it is the risk that the auditor may fail to express an appropriate opinion in an audit assignment.

Example

Gama Limited purchased a Plant and Machinery for ₹ 2 Crores in the financial year 2021-2022. The

accountant of Gama limited debited ₹ 2 crores in the repair and maintenance account in the statement of Profit and loss instead of taking it to the balance sheet as PPE and claim depreciation on it. While auditing the accounts of this company the auditor may not notice this and consequently may not report anything regarding the plant and machinery. Therefore, opinion given by the auditor would be inappropriate resulting in audit risk.

What is not included in Audit Risk?

(i) Audit risk does not include the risk that the auditor might express an opinion that the financial statements are materially misstated when they are not. This risk is ordinarily insignificant.

(ii) Further, audit risk is a technical term related to the process of auditing. It does not refer to the auditor's business risks such as loss from litigation, adverse publicity, or other events arising in connection with the audit of financial statements.

ICAI · Old P6 · May 2023 exam · question p. 2 · answer p. 3-4

215 RTP **Jan 2026** Q6 MCQ

The auditor of PAC Pvt Ltd., a pickle manufacturing company, notices that the company is expanding its operations into North India States in Financial Year 2024-25, but the related internal control system remains the same to handle the increased volume of transactions and consequently auditor concludes that material misstatements would not be prevented, or

detected and corrected by the entity's internal control. Type of risk involved in this situation is:

- (A) Detection Risk.
- (B) Control Risk.
- (C) Inherent Risk.
- (D) Audit Risk.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP Jan 2026 · question p. 4 · answer p. 9

216 RTP **Jan 2026** Q11

SPOM & Co. is a firm of Chartered Accountants established in 2010 with major focus on Audit Practice. In F.Y. 2024-25, firm has four partners and 15 articled assistants handling various Internal audit and Statutory Audit assignments. Partners and articled assistants meet monthly to discuss various aspects of practical as well as academic issues. While discussing about various aspects of Audit Risk, Risk of material misstatement etc., Partner S asks one of the articled assistants to explain the concept of misstatement with the help of at least five examples.

ICAI'S ANSWER

Misstatement refers to difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance

with the applicable financial reporting framework. Misstatements can arise from error or fraud.

Few examples of misstatements are:

i. Charging an item of capital expenditure to revenue or vice versa.

ii. Difference in disclosure of a financial statement item vis-vis its requirement in applicable financial reporting framework.

iii. Selection or application of inappropriate accounting policies.

iv. Difference in accounting estimate of a financial statement item vis-a-vis its appropriateness in applicable financial reporting framework.

v. Intentional booking of fake expenses in statement of profit and loss.

vi. Overstating receivables in financial statements by not writing off irrecoverable debts.

vii. Overstating or understating inventories.

ICAI · P5 · RTP Jan 2026 · question p. 6 · answer p. 12

217 RTP **May 2024** Q5

Satranga Foods Private Limited is engaged in manufacturing of pickles. The auditors of the company have planned audit procedures in respect of recognition of revenues of the company. Despite that, there is a possibility that misstatements in revenue recognition are not identified by planned audit

procedures. Identify and explain that particular risk in detail.

ICAI'S ANSWER

There is a possibility that planned audit procedures may not achieve desired result and fail to detect misstatements in revenue recognition. Such a risk is referred to as "detection risk".

SA 200 defines detection risk as the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

For example, auditor of a company uses certain audit procedures for the purpose of obtaining audit evidence and reducing audit risk, but still there will remain a risk that audit procedures used by the auditor may not be able to detect a misstatement which by nature is material, then that risk is known as detection Risk.

Detection risk comprises sampling and non-sampling risk.

(a) **Sampling risk** is the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. It simply means that the sample was not representative of the population from which it was chosen.

(b) **Non-sampling risk** is the risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk. Like an auditor may reach an erroneous conclusion due to application to some inappropriate audit procedure.

ICAI · P5 · RTP May 2024 · question p. 9 · answer p. 19-20

218 RTP **Old P6 Nov 2023** Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

There is direct relationship between detection risks and the combined level of inherent and control risks.

Q1(ii)

For auditor's opinion, reasonable assurance is an absolute level of assurance.

Q1(iii)

Internally generated Goodwill can be recognized as an asset.

Q1(iv)

Sample size is not a valid criterion to distinguish between statistical and non-statistical approaches.

Q1(v)

The inclusion of an Emphasis of Matter paragraph in the Auditor's Report affects the auditor's opinion.

Q1(vi) out of syllabus

A perceived opportunity to commit fraud may exist when an individual believes internal control can be overridden.

Q1(vii)

Control environment can prevent, detect and correct a material misstatement.

Q1(viii)

An unexplained decrease in GP Ratio may result due to fictitious sales.

ICAI'S ANSWERS

Q1(i)

Incorrect: There is an inverse relationship between detection risks and the combined level of inherent and control risks. For example, when inherent and control risks are high, acceptable detection risks need to be low to reduce audit risk to an acceptably low level. On the other hand, when inherent and control risks are low, an auditor can accept a higher detection risk and still reduce audit risk to an acceptably low level.

Q1(ii)

Incorrect: Reasonable assurance is a high level but not an absolute level of assurance, because there are inherent limitations of an audit which result in most of the audit evidence on which the auditor draws conclusions and bases the auditor's opinion being persuasive rather than conclusive.

Q1(iii)

Incorrect: As per AS-26, internally generated goodwill is not recognized as an asset because it is not an identifiable resource controlled by the enterprise that can be measured reliably at cost.

Q1(iv)

Correct: The decision whether to use a statistical or non-statistical sampling approach is a matter for the auditor's judgment; however, sample size is not a valid criterion to distinguish between statistical and non-statistical approaches.

Whatever may be the approach non-statistical or statistical sampling, the sample must be representative. This means that it must be closely similar to the whole population although not necessarily exactly the same. The sample must be large enough to provide statistically meaningful results.

Q1(v)

Incorrect: When the auditor includes an Emphasis of Matter paragraph in the auditor's report, the auditor shall Indicate that the auditor's opinion is not modified in respect of the matter emphasized. Such a paragraph shall refer only to information presented or disclosed in the financial statements. The inclusion of an Emphasis of Matter paragraph in the auditor's report does not affect the auditor's opinion.

Q1(vi)

Correct: A perceived opportunity to commit fraud may exist when an individual believes internal control can be overridden, for example, because the individual is in a position of trust or has knowledge of specific deficiencies in internal control.

PassBook's note: Out of syllabus (old scheme): a perceived opportunity to commit fraud (an individual believing internal control can be overridden) is one of SA 240's fraud risk factors (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught in its chapter on fraud; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment), as o-p6-mtp-jul2021-s1 MCQ 10 does.

Q1(vii)

Incorrect: The control environment in itself does not prevent, or detect and correct, a material misstatement. It may, however, influence the auditor's evaluation of the effectiveness of other controls (for example, the monitoring of controls and the operation of specific control activities) and thereby, the auditor's assessment of the risks of material misstatement.

Q1(viii)

Incorrect: A fictitious sale will increase the GP Ratio, instead of decreasing it. GP ratio normally comes down if there are unrecorded sales or reversal of fictitious sale entries recorded in the previous year or fictitious purchase or decrease in closing stock.

ICAI · Old P6 · RTP Nov 2023 · question p. 10 · answer p. 15, 16

219 RTP **Old P6 Nov 2023** Q10 old scheme

Risk of material misstatement refers to the risk that the financial statements are materially misstated prior to audit. Discuss the levels at which this risk exists.

ICAI'S ANSWER

The risks of material misstatement may exist at two levels:

(i) The overall financial statement level - Risks of material misstatement at the overall financial statement level refer to risks of material misstatement that relate pervasively to the financial statements as a whole and potentially affect many assertions.

(ii) The assertion level for classes of transactions, account balances, and disclosures - Risks of material misstatement at the assertion level are assessed in order to determine the nature, timing, and extent of further audit procedures necessary to obtain sufficient appropriate audit evidence. This evidence enables the auditor to express an opinion on the financial statements at an acceptably low level of audit risk.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 23

220 RTP **Old P6 May 2022** Q9(b) old scheme

While conducting the audit of Smart TV Ltd, engagement team of HTR& Co, has considered materiality and audit risk throughout the audit. Discuss explaining the meaning of audit risk.

ICAI'S ANSWER

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk. Materiality and audit risk are considered throughout the audit, in particular, when:

(a) Identifying and assessing the risks of material misstatement;

(b) Determining the nature, timing and extent of further audit procedures; and

(c) Evaluating the effect of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 20-21

221 RTP **Old P6 Nov 2020** Q9(a) old scheme

The risks of material misstatement may exist at the financial statement level and assertion level. Explain the two levels.

ICAI'S ANSWER

Risks of Material Misstatement at Two levels

The risks of material misstatement may exist at two levels:

(i) The overall financial statement level- Risks of material misstatement at the overall financial statement level refer to risks of material

misstatement that relate pervasively to the financial statements as a whole and potentially affect many assertions.

(ii) The assertion level for classes of transactions, account balances, and disclosures-Risks of material misstatement at the assertion level are assessed in order to determine the nature, timing, and extent of further audit procedures necessary to obtain sufficient appropriate audit evidence. This evidence enables the auditor to express an opinion on the financial statements at an acceptably low level of audit risk.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 21

222 RTP **Old P6 Nov 2019** Q10(a) old scheme

The SAs do not ordinarily refer to inherent risk and control risk separately, but rather to a combined assessment of the "risks of material misstatement". Explain.

ICAI'S ANSWER

The SAs do not ordinarily refer to inherent risk and control risk separately, but rather to a combined assessment of the "risks of material misstatement". However, the auditor may make separate or combined assessments of inherent and control risk depending on preferred audit techniques or methodologies and practical considerations. The assessment of the risks of material misstatement may be expressed in quantitative terms, such as in

percentages, or in non-quantitative terms. In any case, the need for the auditor to make appropriate risk assessments is more important than the different approaches by which they may be made.

It can be concluded from the above that-

Risk of Material Misstatement= Inherent Risk x Control Risk

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 18

223 MTP **Sep 2026 S-I Q1(a)** 5 marks

ABC Retail & Logistics Ltd. has established several internal controls to safeguard its assets and ensure reliable financial reporting. Cash and cheque books are required to be kept in a locked safe, with access restricted to authorized personnel. The company has also installed fire extinguishers and smoke detectors in all warehouses to protect inventories from fire hazards. In addition, an imprest petty cash system has been introduced, under which only expenditure below ₹ 10,000 can be paid through petty cash.

During the statutory audit, the auditor observed that the safe containing cash and cheque books was often left unlocked during office hours, some fire extinguishers had expired and several smoke detectors were non-functional, and petty cash vouchers exceeding ₹10,000 had been processed through the imprest system without approval.

The engagement partner remarked that although the entity had established appropriate controls, there was a

possibility that these controls were not operating effectively.

Explain the concept of Control Risk with examples. Also comment on the situations identified by the auditor in the above case.

ICAI'S ANSWER

Control risk

In accordance with SA-200, control risk is the risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

Control risk is a risk that internal control existing and operating in an entity would not be efficient enough to stop from happening, or find and then rectify in an appropriate time, any material misstatement relating to a transaction, balance of an account or disclosure required to be made in the financial statements of that entity. Therefore, in a way, it can be said that there exists an inverse relation between control risk and efficiency of internal control of an entity. When efficiency of internal control of an entity is high, the control risk is low and when efficiency of internal control of that entity is low, the control risk is high.

Examples of control risk could include:

- A company has devised control that cash and cheque books should be kept in a locked safe and access is granted to authorized personnel only. There is risk that control is not being followed.
- An entity has devised a control that fire extinguishers and smoke detectors are in place and are in working condition at all times to reduce the risk of damage to inventories caused by fire. There is a risk that fire extinguishers in place are expired and are not being refilled. Similarly, there is a possibility that smoke detectors are not working.
- A company has devised a control relating to petty cash that items of expenditure of only less than ₹10,000 should be routed through imprest system of petty cash. There is a risk that control is not being followed.

In the given case, the deficiencies observed by the auditor indicate that although appropriate internal controls have been designed by the entity, they are not operating effectively. Consequently, the entity is exposed to a higher level of control risk, which the auditor needs to consider while planning and performing further audit procedures.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 10 · answer p. 1-2

224 MTP **Sep 2026 S-II** Q1(b) 5 marks

My Vision Electronics Limited, a company engaged in the manufacture of consumer electronic products, was undergoing statutory audit for the year ended 31st March, 2026. During the planning stage, the audit team identified that the company had introduced a new range of technologically advanced products involving complex revenue recognition and valuation issues. The industry was also experiencing rapid technological changes, resulting in frequent product obsolescence.

During the discussion on audit planning and risk assessment, an audit assistant stated that since the company had implemented a robust internal control system over financial reporting, there was no need to assess the possibility of material misstatements before evaluating those controls. He further stated that the same level of inherent risk should be assigned to all account balances and disclosures.

The audit team was required to consider whether these views were consistent with the concept of inherent risk and its assessment under the Standards on Auditing.

With reference to above facts, explain the concept of inherent risk. Also explain why inherent risk may vary across different assertions, how it is considered while designing audit procedures and illustrate your answer with suitable examples. Comment on the correctness of the audit assistant's views.

ICAI'S ANSWER

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or

disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements before consideration of any related controls as described in SA-200.

There is always a risk that before considering any existence of internal control in an entity, a particular transaction, balance of an account or a disclosure required to be made in the financial statements of an entity have a chance of being misstated and such misstatement can be material. This risk is known as inherent risk.

Inherent risk is higher for some assertions and related classes of transactions, account balances, and disclosures than for others. For example, it may be higher for complex calculations.

Inherent risk factors are considered while designing tests of controls and substantive procedures. Category of auditor's assessment lower or higher, each category covers a range of degrees of inherent risk. Auditor may assess the inherent risk of two different assertions as lower while recognizing that one assertion has less inherent risk than the other, although both have been assessed as lower.

It is important to consider the reason for each identified inherent risk even if the risk is lower, when auditor designs tests of controls and substantive procedures.

External circumstances giving rise to business risks may also influence inherent risk. For example,

technological developments might make a particular product obsolete. Factors in the entity and its environment may also influence the inherent risk related to a specific assertion.

Few examples of inherent risks could include: -

i An accounting standard provides guidance on some complex issue which might not be understood by the management. Therefore, recording of this issue in financial statements carries inherent risk of being misstated.

ii There are large number of business failures in an industry. Therefore, assertions in financial statements of an entity operating in such an industry carry an inherent risk of being misstated.

From the facts of the case, it can be concluded that the audit assistant's views are not correct. Inherent risk exists before considering the related internal controls and may differ from one assertion to another depending upon its nature and complexity. Further, factors such as complex accounting issues and rapid technological changes in the industry increase the inherent risk of material misstatement.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 11 · answer p. 2-3

225 MTP May 2026 S-I Q1(a) 5 marks

WXY Biotech Ltd. is engaged in manufacturing specialised pharmaceutical products. During the financial year 2024–25, the company:

- Introduced a new product developed using advanced biotechnology;
- Entered into complex revenue-sharing agreements with foreign distributors;
- Adopted a newly issued Accounting Standard dealing with revenue recognition involving multiple performance obligations;
- Operates in an industry where several companies have recently faced insolvency due to regulatory restrictions and technological obsolescence.

The management has implemented internal controls over accounting and financial reporting. The audit team is in the process of identifying and assessing risks of material misstatement.

Explain the concept of inherent risk and discuss how it is relevant in the above case.

ICAI'S ANSWER

Inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements before consideration of any related controls as described in SA 200.

There is always a risk that before considering any existence of internal control in an entity, a particular transaction, balance of an account or a disclosure required to be made in the financial statements of an entity has a chance of being misstated and such misstatement can be material. This risk is known as inherent risk.

Inherent risk is higher for some assertions and related classes of transactions, account balances, and disclosures than for others. For example, it may be higher for complex calculations. In the given case, revenue-sharing agreements with foreign distributors and application of a newly issued Accounting Standard involving multiple performance obligations require complex judgment and calculations, thereby increasing inherent risk in revenue recognition assertions.

Inherent risk factors are considered while designing tests of controls and substantive procedures. Category of auditor's assessment lower or higher, each category covers a range of degrees of inherent risk. Auditor may assess the inherent risk of two different assertions as lower while recognizing that one assertion has less inherent risk than the other, although both have been assessed as lower.

It is important to consider the reason for each identified inherent risk even if the risk is lower, when auditor designs tests of controls and substantive procedures. For example, even if inventory valuation risk is assessed as lower, the

auditor must understand why such assessment is appropriate in light of biotechnology products which may become obsolete quickly.

External circumstances giving rise to business risks may also influence inherent risk. For example, technological developments might make a particular product obsolete. In the present case, rapid technological advancements in the pharmaceutical industry and recent insolvencies in the sector increase inherent risk relating to inventory valuation, going concern, and impairment of assets. Factors in the entity and its environment may also influence the inherent risk related to a specific assertion.

Few examples of inherent risks could include:

- An accounting standard provides guidance on some complex issue which might not be understood by the management. Therefore, recording of this issue in financial statements carries inherent risk of being misstated. In the given case, adoption of a new revenue standard increases such risk.
- There are large number of business failures in an industry. Therefore, assertions in financial statements of an entity operating in such an industry carry an inherent risk of being misstated. Here, recent insolvencies in the pharmaceutical sector increase inherent risk relating to recoverability of receivables and going concern assumptions.

Inherent risk exists independently of internal controls and represents the susceptibility of assertions to material misstatement. In the given case, complex revenue arrangements, adoption of a new Accounting Standard, technological changes, and industry instability significantly increase inherent risk. Accordingly, the auditor must carefully assess inherent risk for each relevant assertion and design appropriate tests of controls and substantive procedures to obtain sufficient and appropriate audit evidence.

ICAI · P5 · MTP May 2026 · Series I · question p. 9 · answer p. 1-3

226 MTP **Jan 2026 S-I**

Case Scenario 3 [MCQs 10-12] · MCQ 10 to MCQ 12 6 marks

CASE SCENARIO 3 [MCQS 10-12]

Great Point Ltd., a software development company, has been under pressure to meet aggressive market expectations for revenue growth. For the Financial Year ended March 31, 2025, Great Point Ltd. reported a 25% increase in net profit, mainly attributed to a substantial increase in licensing revenue from a few large contracts signed in the last quarter.

During the audit planning phase, CA R, a member of the audit team, observed that the CEO and CFO are entitled to significant performance bonuses linked directly to the company's reported net income.

The audit team focused on the large licensing contracts. They discovered that one significant

contract, contributing 15% to the reported revenue, was with a newly established entity, "Alpha Systems," which appeared to be a shell company with no operational history.

Further audit procedures revealed that the contract terms allowed Alpha Systems a "right of return" on the software license for any reason within 12 months, and Great Point Ltd.'s sales team had provided a side-letter guaranteeing a full refund if the license was unused. Also, a substantial amount of development expenditure, which should have been expensed in the current period, was improperly capitalized as an intangible asset, significantly overstating the reported profit.

The auditor concluded that if inappropriate revenue recognition (due to the right of return and side-letter) and the incorrect capitalization of expenditure are not corrected, these would give rise to risks of material misstatement that are pervasive to the financial statements as a whole and may affect multiple assertions.

The preliminary risk assessment suggested a high risk of material misstatement due to management override of controls and aggressive accounting policies.

Based on above, answer the following MCQs (10-12):

MCQ 10 2 marks

Which of the following best illustrates the concept of Audit Risk:

A The risk that Great Point Ltd.'s management intentionally booked fake expenses.

B The risk that the auditor incorrectly classifies an expense as capital expenditure.

C The risk that CA R expresses an unmodified opinion when Great Point Ltd.'s financial statements are materially misstated due to improperly recognized revenue and capitalized expense.

D The risk that a competitor sues Great Point Ltd. for patent infringement, causing an unexpected financial loss.

MCQ 11 2 marks

The risk arising from the CEO and CFO's performance bonuses, which creates pressure to overstate profits and leads to the improper capitalisation of development expenditure, is primarily an example of a risk of material misstatement at which level?

A The overall financial statement level.

B The assertion level for the Intangible Assets account balance.

C The control environment level.

D The detection risk level.

MCQ 12 2 marks

The act of classifying the development expenditure as an Intangible Asset (capital expenditure) instead of an expense (revenue expenditure) is an example of a misstatement concerning:

A Difference in disclosure.

B Selection or application of inappropriate accounting policies.

C Intentional booking of fake expenses.

D Charging of an item of capital expenditure to revenue or vice-versa.

ICAI'S ANSWERS

MCQ 10

(C)

MCQ 11

(A)

MCQ 12

(D)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 5 · answer p. 1

227 MTP **Jan 2026 S-II Q1(a)** 5 marks

During audit of ABC Ltd., the audit team discussed the concept of audit risk. The engagement partner explained that audit risk is a function of the risks of material misstatement and detection risk. He further stated that the assessment of these risks depends on the audit procedures performed to obtain necessary information and evidence gathered throughout the audit. One of the junior auditors asked whether such risk assessment could be determined through precise measurement. The partner clarified that risk assessment is a matter of professional judgment, not an exact calculation and that such judgment comes from

the auditor's training, knowledge, and experience which help in forming reasonable conclusions.

(i) Discuss the concept of Audit risk. Explain what is included and what is not included in audit risk and state the basis on which the assessment of audit risk is made.

(ii) The assessment of audit risks is considered a matter of professional judgment. Explain how an auditor's training and experience support this judgment.

ICAI'S ANSWER

(i) Audit risk means the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated. Audit risk is a function of the risks of material misstatement and detection risk.

Audit risk is a technical term related to the process of auditing; it does not refer to the auditor's business risks such as loss from litigation, adverse publicity, or other events arising in connection with the audit of financial statements.

For purposes of the SAs, audit risk does not include the risk that the auditor might express an opinion that the financial statements are materially misstated when they are not. This risk is ordinarily insignificant.

The assessment of risks is based on audit procedures to obtain information necessary for that purpose and evidence obtained throughout the audit.

(ii) The assessment of risks is a matter of professional judgment, rather than a matter capable of precise measurement. The distinguishing feature of the professional judgment expected of an auditor is that it is exercised by an auditor whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 7-8 · answer p. 1-2

228 MTP **Sep 2025 S-II** Q4(c) 4 marks

CA Mahavir is conducting a training session for newly joined audit trainees. He explains the concept of audit risk and its three components. He mentions that while two components of audit risk are beyond the auditor's control, one component can be influenced by the auditor. Identify the component of audit risk that can be controlled by the auditor. Give two examples of this component. Also explain how the auditor can manage this component to keep audit risk at a low level.

ICAI'S ANSWER

There are three components of audit risk viz. inherent risk, control risk and detection risk.

The auditor can only influence detection risk. Inherent risk and control risk belong to the entity and are influenced by the entity. Examples of detection risk are as under: -

- Sizeable work-in-progress inventories are expected in financial statements of a company.

However, auditor of the company does not devote time to attending inventory count. Instead, he chooses to rely upon alternative audit procedures.

- The auditor of a company has audited revenue of a company by taking a sample. However, there is a risk that sample of revenue is not representative of overall revenue.

Therefore, the auditor must reduce detection risk in order to keep audit risk at low level. Detection risk may be reduced by increasing area of checking, testing larger samples and by including competent and experienced person in the engagement team.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 10 · answer p. 9

229 MTP **May 2025 S-II** Q1(a) 5 marks

Identify and briefly explain the component of risks of material misstatement involved in the following situations:

(i) GHK Private Limited is a start-up engaged in providing comprehensive solutions to the issue of paddy stubble burning, mainly catering to the needs of farmers of North-western India. Due to the importance given by governments to this issue, companies have entered the market in the past few years. Many of these companies have not been successful and have gone bust.

(ii) A company has devised a control that its inventory of perishable goods is stored in appropriate conditions

in a controlled environment to prevent any damage to inventory. Responsibility is fixed on two people to monitor the environment using sensors and to report on deviations.

(iii) Shree Foods Private Limited is engaged in the manufacturing of garlic bread. The auditors of the company have planned audit procedures in respect of recognition of revenues of the company. Despite that, there is a possibility that the misstatements in revenue recognition are not identified by planned audit procedures.

ICAI'S ANSWER

(i) It has been stated that many companies engaged in providing holistic solutions to problem of stubble burning have not been successful. It shows that line of activity is inherently risky. Therefore, there is a greater possibility of misstatements. The component of risks of material misstatement involved in given situation is "inherent risk."

(ii) The company has devised a control that its inventory of perishable goods is stored in appropriate conditions and responsibility is fixed on two persons to monitor environment using sensors and to report on deviations. There is a possibility that persons given responsibility do not perform their work and report deviations. The component of risks of material misstatement involved in given situation is "control risk".

(iii) There is a possibility that planned audit procedures may not achieve desired result and fail

to detect misstatements in revenue recognition. The risk alluded to it is “detection risk”.

ICAI · P5 · MTP May 2025 · Series II · question p. 8 · answer p. 1-2

230 MTP **Sep 2024 S-I** Q1(b) 5 marks

CA Tina, while inspecting financial statements of a company, notices that gross profit ratio of company has increased from 14% in year 2022-23 to 24% in year 2023-24. Considering the above, she has assessed the risk of material misstatement to be high with respect to assertions relating to revenue and various direct expenses. CA Tina wants to know few possible reasons which could have led to abnormal jump in gross profit ratio.

During the discussion among engagement team members, her junior Ms. Tisha, expressed her view that detection risk in this engagement should be kept at high level.

(i) List out a few possible reasons which could have led to abnormal jump in gross profit ratio.

(ii) Do you agree with viewpoint of Tisha? Provide reasons for your answer.

ICAI’S ANSWER

(i) In the given case, risk of material misstatement has been assessed as high in respect of assertions relating to revenue and various direct expenses due to increase in gross profit ratio of company from 14% in year 2022-23 to 24% in year 2023-24.

Few possible reasons which could have led to abnormal jump in gross profit ratio include: -

- Overvaluation of inventories
- Overstatement of revenues
- Understatement of direct expenses

(ii) SA 200, "Overall Objectives of the Independent auditor and the conduct of an audit in accordance with Standards on Auditing" defines detection risk as the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements.

Tisha is of a view that detection risk in this engagement should be kept at high level whereas in the given situation, risk of material misstatement has been assessed as high for assertions relating to revenue and direct expenses. Therefore, detection risk has to be kept at low level so that a material misstatement in these assertions does not remain undetected.

Therefore, view of Ms. Tisha is not proper.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 8 · answer p. 2

231 MTP **Sep 2024 S-II Q4(b)** 5 marks

While planning the audit of Me Limited, CA M has planned nature, timing and extent of risk assessment procedures to identify and assess risks of material

misstatements. How risk should be assessed by the auditor CA M? It is also well known that assessment of risks is a matter of professional judgment.

Which specific matters are not included in audit risk? Additionally, CA K, one of the team members of CA M, is of the view that Materiality and Audit Risk are only considered at planning stage of an audit. Comment.

ICAI'S ANSWER

The assessment of risks is based on audit procedures to obtain information necessary for that purpose and evidence obtained throughout the audit. The assessment of risks is a matter of professional judgment, rather than a matter capable of precise measurement.

Audit risk is a technical term related to the process of auditing; it does not refer to the auditor's business risks such as loss from litigation, adverse publicity, or other events arising in connection with the audit of financial statements. For the purpose of the Standards on Auditing, audit risk does not include the risk that the auditor might express an opinion that the financial statements are materially misstated when they are not. This risk is ordinarily insignificant.

In the given case, CA K is of the view that materiality and audit risk are only considered at planning stage of an audit. The concept of materiality is applied by the auditor both in planning and performing the audit, and in evaluating the effect of identified misstatements on

the audit and of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report. Thus, the view of CA K is not correct.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 6-7

232 MTP **May 2024 S-I** General MCQ 1 2 marks MCQ

"We, the people" is an NGO working for rights of citizens. Due to nature of its activities, its volunteers take part in agitations which acquire political overtones. It also gets money from trusts based in overseas countries. The government has tightened regulatory mechanism for NGOs receiving foreign funding. The finance and accounts department in NGO is headed by an experienced person, a former volunteer and activist himself. However, he has no professional or legal educational background. CA N is appointed as auditor of above NGO for the first time.

Choose the most appropriate option regarding audit risk inferred by you from above.

A Audit risk in the above situation is low.

B The situation does not provide quantitative data. Therefore, it is not possible to make a precise measurement of audit risk.

C Audit risk in the above situation is high.

D The situation does not provide information affecting all components of audit risk. Therefore, inference cannot be made properly.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP May 2024 · Series I · question p. 7-8 · answer p. 2

233 MTP **Old P6 Nov 2023 S-II**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

CA Sanjoy is conducting audit of PETA Education Solutions Private Limited for the first time. The company is engaged in providing solutions to students appearing for competitive exams under engineering and medical streams. Company's business is operated from physical centres spread in many states of the country. However, of late, number of aspirants availing company's services are shrinking due to emergence of new competitors and inability of company to switch to new technologies available in market to render its services. The company had taken bank loans in past years for expansion of its physical centres. However, due to reduction in strength of aspirants opting for services provided by the company, management is always looking for means to meet its financial commitments on time. During the course of audit, CA Sanjoy wants to be sure about revenue and profit assertions reflected in financial statements of the company. Therefore, he is planning to test company's system for booking revenue in its books of accounts.

He notices that during the year under consideration, many experienced teaching faculties have left due to

late payment of their contractual payments by the company. These have been replaced by inexperienced faculties having lower contractual costs but leading to poor satisfaction outcomes among aspirants. Besides, employee turnover of regular administrative staff also remains high. The company has not organized any training programmes either for its faculties or administrative staff for considerable period of time.

He has, in his wisdom, decided to increase the area of substantive checking in the company. He does not want to suffer from probable adverse publicity or loss of his professional goodwill.

Based on above case scenario, answer the following MCQs: -

MCQ 1.1 2 marks

After studying description of the company and its nature of operations, which of following statements is most appropriate?

A Inherent risk for revenue and profit assertions is likely to be lower.

B Inherent risk for revenue and profit assertions is likely to be higher.

C Inherent risk for revenue and profit assertions cannot be assessed from given situation.

D There does not exist inherent risk for revenue and profit assertions in described situation.

MCQ 1.2 2 marks

The case scenario describes a situation of leaving of experienced faculties, high employee turnover and absence of training programmes for staff of the company. Such indicators are an example of _____?

A Unsatisfactory risk assessment process used by the company

B Unsatisfactory control environment of the company

C Unsatisfactory performance reviews carried out by the company

D Unsatisfactory system of segregation of duties in the company

MCQ 1.3 2 marks

The auditor is planning to test company's system for booking revenue in its books of accounts. Identify the correct statement in this regard: -

A He is likely to place greater reliance on controls relating to booking of revenue.

B He is likely to place lower reliance on controls relating to booking of revenue.

C Reliance placed by him on controls relating to booking of revenue would be unaffected due to reduction in contractual costs by company.

D Reliance placed by him on controls relating to booking of revenue would be unaffected due to shrinking number of aspirants.

MCQ 1.4 2 marks

The auditor has increased area of "substantive checking" in the company. It is due to the reason that _____

- A he wants to lower detection risk
- B he wants to lower control risk
- C he wants to raise sample risk
- D he wants to lower inherent risk

MCQ 1.5 2 marks

The auditor does not want to suffer from probable adverse publicity or loss of professional goodwill. Such a situation is indicative of _____?

- A audit risk
- B auditor's business risk
- C auditor's detection risk
- D non-sampling risk

ICAI'S ANSWERS

MCQ 1.1

(B) Inherent risk for revenue and profit assertions is likely to be higher.

MCQ 1.2

(B) Unsatisfactory control environment of company

MCQ 1.3

(B) He is likely to place lower reliance on controls relating to booking of revenue.

MCQ 1.4

(A) he wants to lower detection risk

MCQ 1.5

(B) auditor's business risk

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 1 · answer p. 1

234 MTP **Old P6 Dec 2021 S-II** General MCQ 4 2 marks MCQ old scheme

Also asked in Old P6 MTP Jul 2021 S-II General MCQ 5 · Old P6 MTP Nov 2019 S-I MCQ 7

Risk of material misstatement may be defined as the risk

A that the financial statements are materially misstated after audit.

B that the financial statements are materially misstated during audit.

C that the financial statements are materially misstated prior to audit.

D All of the above

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 5 · answer p. 1

235 MTP **Old P6 Jul 2021 S-I** General MCQ 9 1 mark MCQ old scheme

The risk that the financial statements are materially misstated prior to audit is called-

A Risk of material misstatement

B detection risk

C audit risk

D significant risk

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 5 · answer p. 1

236 MTP **Old P6 Jul 2021 S-II** General MCQ 4 2 marks MCQ

old scheme

Audit risk is a function of the

A risks of material misstatement and detection risk.

B audit risk and detection risk.

C control risk and detection risk.

D inherent risk and detection risk.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 4 · answer p. 1

237 MTP **Old P6 Nov 2020 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

Roop & Co. are the auditors of Onda group of Hotels. This is the first time the firm is auditing an industry

in food and beverages and it is day one of the audit. The engagement partner along with his team wants to make a thorough understanding of the entity and its environment in order to identify and assess the risks of material misstatements, whether due to fraud or error. The following are some of the points identified by them on Day 1.

1. The hotel has two banquet halls. The documentation available for verification of banquet hall revenue is only the invoice raised by the hotel and some mail conversations on customer enquiry and finalization of price. In audit trail, it is found that finance approval of the transaction is only after invoice is sent to them for accounting at final settlement. Advance paid by the clients are not vetted through finance team. The auditor suspects a weakness in this system.
2. The auditor also finds a control deficiency in the process of procurement of stores. A goods receipt note is not prepared at the time of receipt of goods. On enquiry with management, the auditor finds that there exists a system control wherein goods receipt note is automatically prepared and approved in the system once the quantity and price of goods is entered against specific vendor. This entry is on real-time basis and system does not allow back dated entries.
3. The auditor enquires of the management as to what is risk assessment process followed by the entity for prevention and detection of risk of

material misstatement due to fraud and error. The auditor finds there is no documented risk assessment process.

With the help of the above facts, answer the following questions by choosing the correct option.

Questions:

MCQ 2.1 2 marks

What kind of a risk is portrayed in the booking of revenue with respect to Banquet halls?

A Inherent risk in the class of transaction

B Control risk in the class of transaction

C Detection risk in the audit procedures

D Audit risk in the opinion on the financial statements.

MCQ 2.2 2 marks

Which among the following statement is **incorrect** in the context of Audit Risk?

A The more extensive the audit procedures performed, the lower is the detection risk

B Greater the risk of material misstatement the auditor believes exist, less is the detection risk that can be accepted and accordingly more persuasive evidence is required by the auditor.

C Audit risk means the risk that the auditor gives an appropriate audit opinion when the financial statement are materially misstated.

D Risk of material misstatement at the assertion level is of two kinds – control risk and inherent risk.

MCQ 2.3 2 marks

In the case of procurement of stores, the auditor has tested more than one control for the same assertion. In that given case, what should be his reliance on the control?

A Since compensating controls are identified, if tested and evaluated to be effective, the auditor can rely on the control.

B Even though compensating controls are there, since one control is ineffective, the auditor should not rely on control for this assertion and should perform extensive procedures.

C Documentation in electronic medium cannot be accepted, hence, he cannot rely only on system control.

D Even though compensating controls are there, since one control is ineffective, the auditor should not rely on control for this assertion as well as associated assertions.

MCQ 2.4 2 marks

In the context of SA 315, which among the following is **NOT** a risk assessment procedure?

A Inquiries of management, of appropriate individuals within internal audit function and of others within the entity

B Analytical Procedures

C Observation and Inspection

D Audit Planning.

MCQ 2.5 2 marks

What should be the course of action of the auditor for the entity not having a documented risk assessment process?

A The auditor should obtain management written representations on how risks are identified

B The auditor shall discuss with management on how risks are identified, addressed and determine whether the absence is appropriate in the circumstances or whether it represents a significant deficiency in internal control.

C The auditor should advise the management to document the same immediately and accordingly opine on the same in his audit report too.

D The auditor shall discuss with management on how risks are identified by system and place reliance on the same as documentation in this context is immaterial.

ICAI'S ANSWERS

MCQ 2.1

(B)

MCQ 2.2

(C)

MCQ 2.3

(A)

MCQ 2.4

(D)

MCQ 2.5

(B)

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 2-3 · answer p. 1

238 MTP Old P6 Nov 2019 S-I MCQ 9 1 mark MCQ old scheme

The assessment of the risks of material misstatement may be expressed in

A quantitative terms, such as in percentages, or in non-quantitative terms.

B quantitative terms, such as in percentages,

C non-quantitative terms.

D None of the above

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2 · answer p. 1

3.2 SA 320: materiality and performance materiality

23 questions · asked in 15 ICAI documents · 3 exam papers

239 EXAM Old P6 Nov 2023 Q4(a) 4 marks old scheme

The auditor's determination of materiality is a matter of professional judgement and is affected by the auditor's perception of the financial information needs of users

of the financial statements. In this context, what are the assumptions that an auditor reasonably makes in respect of the users of the financial statements?

ICAI'S ANSWER

The auditor's determination of materiality is a matter of professional judgment and is affected by the auditor's perception of the financial information needs of users of the financial statements. In this context, it is reasonable for the auditor to assume that users:

(1) Have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information in the financial statements with reasonable diligence;

(2) Understand that financial statements are prepared, presented and audited to levels of materiality;

(3) Recognize the uncertainties inherent in the measurement of amounts based on the use of estimates, judgment and the consideration of future events; and

(4) Make reasonable economic decisions on the basis of the information in the financial statements.

ICAI · Old P6 · Nov 2023 exam · question p. 7 · answer p. 7-8

240 **EXAM** **Old P6 May 2023** Q2(c) 3 marks old scheme

An auditor has to exercise professional judgement in determining materiality. Explain the factors that may affect the identification of an appropriate benchmark in

determining materiality for the financial statements as whole.

ICAI'S ANSWER

Use of Benchmarks in Determining Materiality for the Financial Statements as a Whole: Determining materiality involves the exercise of professional judgment. A percentage is often applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole. Factors that may affect the identification of an appropriate benchmark include the following:

1. The elements of the financial statements

Example

Assets, liabilities, equity, revenue, expenses;

2. Whether there are items on which the attention of the users of the particular entity's financial statements tend to be focused.

Example

For the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets.

3. The nature of the entity where the entity is at in its life cycle and the industry and economic environment in which the entity operates. The entity's ownership structure and the way it is financed.

Example

If an entity is financed solely by debt rather than equity, users may put more emphasis on assets and claims on them than on the entity's earnings.

4. The relative volatility of the benchmark.

ICAI · Old P6 · May 2023 exam · question p. 2 · answer p. 4

241 **EXAM** **Old P6 Nov 2020** Q2(b) **4 marks** **old scheme**

With Ref. to SA 320 "Materiality in planning and performing an audit" Indicate the factors which may effect the identification of an appropriate benchmark while determining materiality for the financial statements as a whole.

ICAI'S ANSWER

Determining materiality involves the exercise of professional judgment. A percentage is often applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole. Factors that may affect the identification of an appropriate benchmark include the following:

- The elements of the financial statements (Example - Assets, liabilities, equity, revenue, expenses);
- Whether there are items on which the attention of the users of the particular entity's financial statements tends to be focused (Example - For the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets)

- The nature of the entity, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates;
- The entity's ownership structure and the way it is financed and (Example - If an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and claims on them, than on the entity's earnings;)
- The relative volatility of the benchmark.

ICAI · Old P6 · Nov 2020 exam · question p. 2 · answer p. 3

242 RTP **Old P6 May 2022** Q5 old scheme

You are being appointed as the auditor of Track Ltd. for the first time. You want to determine the materiality level and for that you have applied percentage to choose benchmark as a starting point in determining materiality for the financial statements as a whole. What are the factors that may affect the identification of an appropriate benchmark?

ICAI'S ANSWER

SA 320 "Materiality in Planning and Performing an Audit" prescribes the use of Benchmarks in Determining Materiality for the Financial Statements as a Whole.

Determining materiality involves the exercise of professional judgment. A percentage is often applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole.

Factors that may affect the identification of an appropriate benchmark include the following:

i. The **elements of the financial statements** (for example, assets, liabilities, equity, revenue, expenses);

ii. Whether there are items on which the **attention of the users** of the particular entity's financial statements tends to be focused (for example, for the purpose of evaluating financial performance, users may tend to focus on profit, revenue or net assets);

iii. The **nature of the entity**, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates.

iv. The **entity's ownership structure and the way it is financed** (for example, if an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and claims on them, than on the entity's earnings); and

v. The **relative volatility** of the bench.

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 18

243 RTP **Old P6 Dec 2021** Q5 old scheme

What could be considered material for all situations cannot be defined precisely and an amount or transaction material in one situation may not be material in other situation. Explain.

ICAI'S ANSWER

Materiality is an important consideration for an auditor to evaluate whether the financial statements reflect a true and fair view or not. SA 320 on "Materiality in Planning and Performing an Audit" requires that an auditor should consider materiality and its relationship with audit risk while conducting an audit. When planning the audit, the auditor considers what would make the financial information materially misstated. The auditor's preliminary assessment of materiality related to specific account balances and classes of transactions helps the auditor decide such questions as what items to examine and whether to use sampling and analytical procedures. This enables the auditor to select audit procedures that, in combination, can be expected to support the audit opinion at an acceptably low degree of audit risk. It may be noted that the auditor's assessment of materiality and audit risk may be different at the time of initially planning of the audit as against at the time of evaluating the results of audit procedures.

At the planning stage, the auditor needs to consider the materiality for the financial statements as a whole. The auditor has to carry out a preliminary identification of significant components and material classes of transactions, account balances and disclosure which he plans to examine. What could be considered material for all situations cannot be defined precisely and an amount or

transaction material in one situation may not be material in other situation. For example, ₹ 5,000 may be material for a small entity, but even ₹ 100,000 may not be material for a large entity.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 130-131

244 RTP **Old P6 Jul 2021** General MCQ 3 MCQ old scheme

Also asked in Old P6 MTP Nov 2022 S-I General MCQ 3 · Old P6 MTP Nov 2020 S-I General MCQ 5

The concept of materiality is applied by the auditor :

A in planning and performing the audit

B in evaluating the effect of identified misstatements on the audit

C both in planning and performing the audit, and in evaluating the effect of identified misstatements on the audit

D none of the above is correct

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Jul 2021 · question p. 119 · answer p. 125

245 RTP **Old P6 Jul 2021** Q5(a) old scheme

The auditor's determination of materiality is a matter of professional judgment, and is affected by the auditor's perception of the financial information needs of users of the financial statements. In this context, explain the

auditor's assumptions about users of the financial statements.

ICAI'S ANSWER

The auditor's determination of materiality is a matter of professional judgment, and is affected by the auditor's perception of the financial information needs of users of the financial statements. In this context, it is reasonable for the auditor to assume that users:

(i) Have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information in the financial statements with reasonable diligence;

(ii) Understand that financial statements are prepared, presented and audited to levels of materiality;

(iii) Recognize the uncertainties inherent in the measurement of amounts based on the use of estimates, judgment and the consideration of future events; and

(iv) Make reasonable economic decisions on the basis of the information in the financial statements.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 129-130

246 RTP **Old P6 Jul 2021** Q5(b) old scheme

Financial reporting frameworks often discuss the concept of materiality in the context of the preparation and presentation of financial statements. Explain

ICAI'S ANSWER

Financial reporting frameworks often discuss the concept of materiality in the context of the preparation and presentation of financial statements. Although financial reporting frameworks may discuss materiality in different terms, they generally explain that:

1. Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements;
2. Judgments about materiality are made in the light of surrounding circumstances, and are affected by the size or nature of a misstatement, or a combination of both; and
3. Judgments about matters that are material to users of the financial statements are based on a consideration of the common financial information needs of users as a group. The possible effect of misstatements on specific individual users, whose needs may vary widely, is not considered.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 130

247 MTP **Sep 2026 S-I** MCQ 14 2 marks MCQ

CDE Ltd. is engaged in manufacturing and has a turnover of ₹ 500 crores. During the audit, CA R, the auditor, determined materiality at the planning stage based on a percentage of profit before tax. During the

course of audit, certain misstatements were identified, individually immaterial but collectively approaching the materiality threshold. Further, management refused to correct some of these misstatements.

At the completion stage, CA R re-evaluated materiality considering revised financial results and assessed the impact of uncorrected misstatements before forming the audit opinion.

Which of the following statements correctly reflects the application of materiality as per SA 320?

- **A** Materiality is determined only at the planning stage and cannot be revised later.
- **B** Only individually material misstatements need to be considered by the auditor.
- **C** Materiality is applied in planning, performing, and evaluating the audit, including assessing uncorrected misstatements.
- **D** Once management refuses to correct misstatements, the auditor must automatically issue a qualified opinion.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 9 · answer p. 1

248 **MTP** **Sep 2026 S-II** **Q2(b)** **5 marks**

Tablet Pharmaceuticals Limited, a listed company engaged in the manufacture of pharmaceutical products, appointed P & Co., Chartered Accountants, as

its statutory auditors for the year ended 31st March, 2026.

During the course of the audit, the audit team identified several misstatements in different account balances. While each misstatement was individually small, their aggregate effect was significant. The Finance Director argued that none of the individual misstatements was material and, therefore, they could be ignored. He further stated that a disclosure should be considered material only if it affected the decision of a major shareholder, irrespective of its impact on other users of the financial statements.

The Engagement Partner disagreed and explained that the concept of materiality is applied throughout the audit and that materiality is determined with reference to the common financial information needs of users of the financial statements.

With reference to above facts, explain the auditor's responsibility relating to materiality in planning and performing an audit under SA 320. Also explain the concept of materiality in the context of financial reporting frameworks and comment on the correctness of the Finance Director's views.

ICAI'S ANSWER

The concept of materiality is applied by the auditor both in planning and performing the audit, and in evaluating the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report. SA 320 deals with

auditor's responsibility to apply the concept of materiality in planning and performing an audit of financial statements.

Financial reporting frameworks often discuss the concept of materiality in the context of the preparation and presentation of financial statements. Although financial reporting frameworks may discuss materiality in different terms, they generally explain that:

- Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements;
- Judgments about materiality are made in the light of surrounding circumstances, and are affected by the size or nature of a misstatement, or a combination of both; and
- Judgments about matters that are material to users of the financial statements are based on a consideration of the common financial information needs of users as a group. The possible effect of misstatements on specific individual users, whose needs may vary widely, is not considered.

From the facts of the case, it can be concluded that the Finance Director's views are not correct. Misstatements may be material individually or when considered in the aggregate if they could

reasonably influence the economic decisions of users of the financial statements. Further, judgments about materiality are based on the common financial information needs of users as a group and not on the needs of any specific individual user. Therefore, the Engagement Partner's approach is in accordance with the requirements of SA 320.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 13 · answer p. 5-6

249 MTP **May 2026 S-I** MCQ 14 2 marks MCQ

CDE Ltd. is engaged in manufacturing and has a turnover of ₹ 500 crores. During the audit, for the year ending on 31st March 2025, the auditor, CA R determined materiality at the planning stage based on a percentage of profit before tax. During the course of audit, certain misstatements were identified, individually immaterial but collectively approaching the materiality threshold. Further, management refused to correct some of these misstatements.

At the completion stage, CA R re-evaluated materiality considering revised financial results and assessed the impact of uncorrected misstatements before forming the audit opinion.

Which of the following statements correctly reflects the application of materiality as per SA 320?

A Materiality is determined only at the planning stage and cannot be revised later.

B Only individually material misstatements need to be considered by the auditor.

C Materiality is applied in planning, performing, and evaluating the audit, including assessing uncorrected misstatements.

D Once management refuses to correct misstatements, the auditor must automatically issue a qualified opinion.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · MTP May 2026 · Series I · question p. 8 · answer p. 1

250 MTP **May 2026 S-II** Q1(a) 5 marks

DEF Ltd. is a profit-oriented company engaged in the FMCG sector. During the audit for the financial year ended 31st March 2025, the auditor observed that the company's profit before tax from continuing operations has been highly volatile over the past few years due to fluctuations in input costs and competitive pricing strategies. However, the company's total revenue and gross profit have remained relatively stable.

Further, the company is financed through a mix of equity and borrowings, and its financial statements are used by both investors and lenders for decision-making purposes.

The auditor is in the process of determining materiality for the financial statements as a whole in accordance with relevant Standard on Auditing.

With reference to above, explain the factors that may affect the identification of an appropriate benchmark while determining materiality for the financial statements as a whole. Also, state examples of benchmarks that may be appropriate in such circumstances.

ICAI'S ANSWER

As per SA 320 "Materiality in Planning and Performing an Audit", determining materiality involves the exercise of professional judgment. A percentage is often applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole. Factors that may affect the identification of an appropriate benchmark include the following:

- The elements of the financial statements (Example - Assets, liabilities, equity, revenue, expenses);
- Whether there are items on which the attention of the users of the particular entity's financial statements tends to be focused (Example - For the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets)
- The nature of the entity, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates;
- The entity's ownership structure and the way it is financed and (Example - If an entity is financed solely by debt rather than equity, users may put

more emphasis on assets, and claims on them, than on the entity's earnings;)

- The relative volatility of the benchmark

Examples of benchmarks that may be appropriate, depending on the circumstances of the entity, include categories of reported income such as profit before tax, total revenue, gross profit and total expenses, total equity or net asset value.

Profit before tax from continuing operations is often used for profit-oriented entities. When profit before tax from continuing operations is volatile, other benchmarks may be more appropriate, such as gross profit or total revenues.

ICAI · P5 · MTP May 2026 · Series II · question p. 9 · answer p. 1-2

251 MTP **Jan 2025 S-II Q4(c)** 4 marks

Calen Retail Ltd. is preparing its annual financial statements, and the auditors are tasked with determining materiality. The company has used revenue as the benchmark, as it is a key indicator of performance. However, Calen Retail has recently opened new stores and closed underperforming ones, which could significantly affect both revenue and profitability. As per given case, what factors should the auditors consider when selecting the most appropriate benchmark for materiality?

ICAI'S ANSWER

Determining materiality involves the exercise of professional judgment. A percentage is often

applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole. Factors that may affect the identification of an appropriate benchmark include the following:

- The elements of the financial statements like assets, liabilities, equity, revenue, expenses.
- Whether there are items on which the attention of the users of the particular entity's financial statements tends to be focused. For example, for the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets.
- The nature of the entity, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates, the entity's ownership structure and the way it is financed. For example, If an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and claims on them, than on the entity's earnings.
- The relative volatility of the benchmark.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 10 · answer p. 7

252 MTP **Sep 2024 S-II** Q2(c) 4 marks

CA Y, statutory auditor of a company, is in process of determining materiality for financial statements while planning audit. Since materiality is a matter of professional judgment and is affected by auditor's perception of financial information needs of users of

financial statements, he is reasonably making certain assumptions about users of financial statements. Which reasonable matters are likely to be assumed by him in respect of users?

ICAI'S ANSWER

The auditor's determination of materiality is a matter of professional judgment and is affected by the auditor's perception of the financial information needs of users of the financial statements. In this context, it is reasonable for CA Y, the auditor, to assume that users: -

(a) Have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information in the financial statements with reasonable diligence

(b) Understand that financial statements are prepared, presented and audited to levels of materiality

(c) Recognize the uncertainties inherent in the measurement of amounts based on the use of estimates, judgment and the consideration of future events and

(d) Make reasonable economic decisions on the basis of the information in the financial statements.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 9 · answer p. 4

253 MTP **Old P6 Nov 2022 S-I** Case scenario · Q1(i) to Q1(viii)

16 marks old scheme

CASE SCENARIO

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The concept of materiality is an important and relevant consideration for the auditor in financial statement.

Q1(ii) 2 marks

No entry is passed for cheques received by the auditee on the last day of the year and not yet deposited with the Bank.

Q1(iii) 2 marks

Misstatements in the financial statements can arise from either fraud or error.

Q1(iv) 2 marks

In case of stratified sampling, the conclusions are drawn on the stratum.

Q1(v) 2 marks out of syllabus

Intentional errors are most difficult to detect and auditors generally devote greater attention to this type

Q1(vi) 2 marks

The auditor shall prepare audit documentation on a timely basis.

Q1(vii) 2 marks

Written representations are requested from those responsible for the preparation and presentation of the

financial statements.

Q1(viii) 2 marks

The auditor can formulate his entire audit programme only after he has had a satisfactory understanding of the internal control systems and their actual operation.

ICAI'S ANSWERS

Q1(i)

Correct: The concept of materiality is fundamental to the process of accounting. It covers all the stages from recording to classification and presentation. It is very important for the auditor who has constantly to judge whether a particular item is material or not and ensure that a material item is disclosed separately and distinctly.

Q1(ii)

Incorrect: The person who is controlling the trade receivables should ensure that proper accounting entries have been passed by crediting respective trade receivables account. The balance of cheque in hand should be disclosed along with the cash and bank balances in the financial statements.

Q1(iii)

Correct: Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is intentional or unintentional. Hence misstatement can arise from error or fraud.

Q1(iv)

Correct: In case of stratified sampling, the conclusions are drawn on the stratum. The combination of all the conclusions on stratum together will be used to determine the possible effect of misstatement or deviation. Hence the samples are used to derive conclusion only on the respective stratum from where they are drawn and not the whole population.

Q1(v)

Correct: Intentional errors are most difficult to detect and auditors generally devote greater attention to this type because out of long and sometimes unfortunate experience, auditors have developed a point of view that, if they direct their procedures of discovering the more difficult intentional errors, they are reasonably certain to locate the more simple and far more common unintentional errors on the way.

PassBook's note: Out of syllabus (old scheme): the auditor's attention to intentional errors (errors and frauds and their detection) was part of old Paper 6's Nature of Audit content; The January 2027 Study Material speaks of misstatements due to fraud or error (SA 200) but not of intentional and unintentional errors or how auditors direct their procedures at them, so the item carries only its nearest chapter (nature, objective and scope of audit).

Q1(vi)

Correct: The auditor shall prepare audit documentation on a timely basis. Preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the

audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalised. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed.

Q1(vii)

Correct: Written representations are requested from those responsible for the preparation and presentation of the financial statements. Those individuals may vary depending on the governance structure of the entity, and relevant law or regulation. However, management (rather than those charged with governance) is often the responsible party.

Written representations may therefore be requested from the entity's chief executive officer and chief financial officer, or other equivalent persons in entities that do not use such titles. In some circumstances, however, other parties, such as those charged with governance, are also responsible for the preparation and presentation of the financial statements.

Q1(viii)

Correct: The auditor can formulate his entire audit programme only after he has had a satisfactory understanding of the internal control systems and their actual operation. If he does not care to study this aspect, it is very likely that his audit

programme may become unwieldy and unnecessarily heavy, and the object of the audit may be altogether lost in the mass of entries and vouchers.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 6 · answer p. 2

254 MTP **Old P6 Jul 2021 S-I** General MCQ 3 1 mark MCQ old scheme

SA 320 on "Materiality in Planning and Performing an Audit" requires that an auditor

A should not consider materiality and its relationship with audit risk while conducting an audit.

B should consider materiality and its relationship with audit risk while conducting an audit.

C should not consider materiality but should consider its relationship with audit risk while conducting an audit.

D should consider materiality but need not consider its relationship with audit risk while conducting an audit.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 4 · answer p. 1

3.3 SA 315: risk assessment procedures and understanding the entity

55 questions · asked in 32 ICAI documents · 7 exam papers

255 EXAM **Sep 2026** Q6(b) 5 marks

During the audit of S Manufacturing Ltd., the auditor observed that the company had effective communication and enforcement of integrity and ethical values. The company also followed structured human resources policies relating to recruitment, training, performance appraisal and promotion.

Apart from the above two elements, state and briefly explain the other elements of control environment that may be relevant while obtaining an understanding of the control environment in accordance with SA 315.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 22

256 EXAM **May 2026** Q2(a) 5 marks

During the audit of Urban Build Constructions Ltd., the auditor reviewed the accounting information system used for recording and processing financial transactions in the company. Transactions relating to purchases, payroll and expenses are recorded through this system by different departments.

During discussion with employees, the auditor realized that there is limited documentation how financial information flows through the system.

What are the areas relating to the entity's information system and related business processes relevant to financial reporting that the auditor should obtain an understanding as a part of risk assessment procedures?

ICAI'S ANSWER

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following areas: -

(i) The classes of transactions in the entity's operations that are significant to the financial statements.

(ii) The procedures by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements.

(iii) The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions.

(iv) How the information system captures events and conditions that are significant to the financial statements. An information system consists of infrastructure (physical and hardware components), software, people, procedures, and data. Many information systems make extensive use of information technology (IT). Information system should provide qualitative financial information.

(v) The financial reporting process used to prepare the entity's financial statements.

(vi) Controls surrounding journal entries.

Alternate Answer

The Entity's Risk Assessment Process

The auditor shall obtain an understanding of whether the entity has a process for:

(i) Identifying business risks relevant to financial reporting objectives

(ii) Estimating the significance of the risks

(iii) Assessing the likelihood of their occurrence

(iv) Deciding about actions to address those risks

(v) The entity's risk assessment process forms the basis for the risks to be managed. If that process is appropriate, it would assist the auditor in identifying risks of material misstatement. Risks can arise or change due to factor such as new technology, new business models, products or activities, changes in operating environment etc. Whether the entity's risk assessment process is appropriate to the circumstances is a matter of judgment.

ICAI · P5 · May 2026 exam · question p. 16 · answer p. 17-18

257 EXAM **Sep 2025** Q1(b) 5 marks

CA Ram Manohar and his team have just started the statutory audit of a listed company which is into

manufacture of agro pesticides. The auditors wish to plan and perform the audit so as to reduce the risk of material misstatement to an acceptably low-level. Discuss, how the auditors can satisfy the objective of identifying and assessing the risk of material misstatement.

Your answer should be in line with relevant Standards on Auditing.

ICAI'S ANSWER

Auditors CA Ram Manohar and his team can satisfy the objective of identifying and assessing the risk of material misstatement to an acceptably low level while planning and performing the audit of Listed company in accordance with SA 315. As per SA 315 "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment", the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, through understanding the entity and its environment, including the entity's internal control, thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement. This will help the auditor to reduce the risk of material misstatement to an acceptably low level.

The objective of the auditor as stated in SA 315 is to identify and assess the risks of material misstatement.

(i) The auditor shall identify and assess the risks of material misstatement at:

(I) the financial statement level

(II) the assertion level for classes of transactions, account balances, and disclosures

to provide a basis for designing and performing further audit procedures.

(ii) For the purpose of identifying and assessing the risks of material misstatement, the auditor shall: -

(I) Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures in the financial statements.

(II) Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions.

(III) Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test and

(IV) Consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

ICAI · P5 · Sep 2025 exam · question p. 11 · answer p. 13-14

258 **EXAM** **May 2024** Q2(a) **4 marks**

CA Q is the engagement partner for the audit of a Departmental store. As a part of the risk assessment procedure, he wants to make inquiries of the management and others within the entity. What kind of information can the auditor get by inquiring from the following?

(i) Internal audit personnel

(ii) In-house legal counsel

(iii) Marketing or sales personnel

(iv) Information systems personnel

ICAI'S ANSWER

Inquiries of Management and Others Within the Entity:

(i) **Inquiries directed toward internal audit personnel** may provide information about internal audit procedures performed during the year relating to the design and effectiveness of the entity's internal control and whether management has satisfactorily responded to findings from those procedures.

(ii) **Inquiries directed toward in-house legal counsel** may provide information about such matters as litigation, compliance with laws and regulations, knowledge of fraud or suspected fraud affecting the entity, warranties, post-sales obligations, arrangements (such as joint ventures) with business partners and the meaning of contract.

(iii) **Inquiries directed towards marketing or sales personnel** may provide information about changes in the entity's marketing strategies, sales trends, or contractual arrangements with its customers.

(iv) **Inquiries directed to information systems personnel** may provide information about system changes, system or control failures, or other information system-related risks.

ICAI · P5 · May 2024 exam · question p. 5 · answer p. 6-7

259 EXAM **Old P6 May 2023** Q4(a) 4 marks old scheme

CA D has been appointed as an auditor of LMP Ltd. Before developing an overall audit plan, CA D wants to get an understanding and knowledge of the Client's business including applicable financial reporting framework. Guide CA D in understanding of the same with reference to the relevant Standard on Auditing.

ICAI'S ANSWER

Understanding and Knowledge of the Client's Business

It is one of the important principles in developing an overall audit plan. In fact without adequate knowledge of client's business, a proper audit is not possible. As per SA-315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment", the

auditor shall obtain an understanding of the following:

(1) Relevant industry, regulatory and other external factors including the applicable financial reporting framework.

(2) The nature of the entity, including:

(i) its operations;

(ii) its ownership and governance structures;

(iii) the types of investments that the entity is making and plans to make, including investments in special-purpose entities; and

(iv) the way the entity is structured and how it is financed;

to enable the auditor to understand the classes of transactions, account balances, and disclosures to be expected in the financial statements.

(3) The entity's selection and application of accounting policies including the reasons for changes thereto. The auditor shall evaluate whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and accounting policies used in the relevant industry.

(4) The entity's objectives and strategies and those related business risks that may result in risks of material misstatement.

(5) The measurement and review of the entity's financial performance.

260 EXAM **Old P6 May 2023** Q4(d) 3 marks old scheme

As a part of Risk assessment, the auditor shall determine whether any of the risks identified are in the auditor's judgement a significant risk. Mention any three guiding factors to judge as to which risks are significant risks?

ICAI'S ANSWER

In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following:

(a) Whether the risk is a risk of fraud;

(b) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., and, therefore, requires specific attention;

(c) The complexity of transactions;

(d) Whether the risk involves significant transactions with related parties;

(e) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and

(f) Whether the risk involves significant transactions that are outside the normal course of business of the entity or that otherwise appear to be unusual.

ICAI · Old P6 · May 2023 exam · question p. 7 · answer p. 9-10

261 EXAM **Old P6 May 2023** Q5(d) 3 marks old scheme

Management is often in the best position to perpetrate fraud. As an auditor you are suspecting existence or suspicion of fraud from management. Give any three examples of "others within the entity" to whom direct inquiries can be made.

ICAI'S ANSWER

Examples of others within the entity to whom the auditor may direct inquiries about the existence or suspicion of fraud include:

1. Operating personnel not directly involved in the financial reporting process.
2. Employees with different levels of authority.
3. Employees involved in initiating, processing or recording complex or unusual transactions and those who supervise or monitor such employees.
4. In-house legal counsel.
5. Chief ethics officer or equivalent person.
6. The person or persons charged with dealing with allegations of fraud.

ICAI · Old P6 · May 2023 exam · question p. 10 · answer p. 13

262 EXAM **Old P6 Dec 2021** Q4(c) 3 marks old scheme

Auditor or Sunshine Ltd. is of the view that due to greater management intervention to specify accounting treatment, the risk of material misstatement is greater

for non-routine transactions. Is the view of the auditor correct? Specify the other matters due to which the risk of material misstatement is greater for significant non-routine transactions.

ICAI'S ANSWER

Risk of Material Misstatement – Greater for Significant Non-Routine Transactions:

Significant risks often relate to significant non-routine transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently.

Risks of Material Misstatement– Greater for Significant Non-Routine Transactions

Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as the following:

(a) Greater management intervention to specify the accounting treatment.

(b) Greater manual intervention for data collection and processing.

(c) Complex calculations or accounting principles.

(d) The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

Keeping in view above, view of Auditor of Sunshine Ltd is correct.

ICAI · Old P6 · Dec 2021 exam · question p. 8 · answer p. 9

263 EXAM **Old P6 Jul 2021** Q3(c) 3 marks old scheme

CA L is in the process of finalizing his Risk Assessment Procedures of Effluent Limited which include observation and inspection that may support inquiries of management and others. Discuss few examples of audit procedures which include observation or inspection of the entity's operations.

ICAI'S ANSWER

Observation and inspection may support inquiries of management and others, and may also provide information about the entity and its environment.

Examples of audit procedures which include observation or inspection of the entity's operations are:

(1) Documents (such as business plans and strategies), records, and internal control manuals.

(2) Reports prepared by management (such as quarterly management reports and interim financial statements) and those charged with governance (such as minutes of board of director's meetings)

(3) The entity's premises and plant facilities.

ICAI · Old P6 · Jul 2021 exam · question p. 37 · answer p. 38

264 RTP **May 2024** General MCQ 5 MCQ

You have been appointed as statutory auditor of a company for the first time. It has become very important for you to understand the company and its environment. Which of the following activities are not

expected to be included in your attempts to know about the company and its environment?

A Gaining a knowledge about debt structure of the company

B Evaluating whether company's accounting policies are appropriate for its business

C Understanding business risks faced by the company

D Gathering evidence about valuation of trade receivables of the company

ICAI'S ANSWER

(D) Gathering evidence about valuation of trade receivables of the company

ICAI · P5 · RTP May 2024 · question p. 8 · answer p. 15

265 **RTP** **Old P6 Nov 2023** Q9(a) old scheme

Obtaining an understanding of the entity and its environment establishes a frame of reference within which the auditor plans the audit and exercises professional judgment throughout the audit. Explain by giving examples.

ICAI'S ANSWER

Obtaining an understanding of the entity and its environment, including the entity's internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. This understanding establishes a frame of reference within which the auditor plans the audit

and exercises professional judgment throughout the audit, for example, when:

- Assessing risks of material misstatement of the financial statements;
- Determining materiality in accordance with SA 320;
- Considering the appropriateness of the selection and application of accounting policies;
- Identifying areas where special audit consideration may be necessary, for example, related party transactions, the appropriateness of management's use of the going concern assumption, or considering the business purpose of transactions;
- Developing expectations for use when performing analytical procedures;
- Evaluating the sufficiency and appropriateness of audit evidence obtained, such as the appropriateness of assumptions and of management's oral and written representations.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 22

266 RTP **Old P6 Nov 2023** Q9(b) old scheme

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware. Explain

ICAI'S ANSWER

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware and may assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to the assessed risks. Analytical procedures performed as risk assessment procedures may include both financial and non-financial information, for example, the relationship between sales and square footage of selling space or volume of goods sold.

Analytical procedures may help identify the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. Unusual or unexpected relationships that are identified may assist the auditor in identifying risks of material misstatement, especially risks of material misstatement due to fraud.

However, when such analytical procedures use data aggregated at a high level (which may be the situation with analytical procedures performed as risk assessment procedures), the results of those analytical procedures only provide a broad initial indication about whether a material misstatement may exist. Accordingly, in such cases, consideration of other information that has been gathered when identifying the risks of material misstatement together with the results of such analytical

> procedures may assist the auditor in understanding and evaluating the results of the analytical procedures.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 22

267 RTP **Old P6 May 2023** Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

According to SA 315, the objective of the auditor is to identify and assess the risk of material misstatement, whether due to fraud or error, only at assertion level.

Q1(ii)

Control environment can prevent, detect and correct a material misstatement.

Q1(iii)

While auditing the books of accounts of XYZ Ltd., the auditor of the company looked at the inventory counting process to obtain audit evidence. In the present case, audit procedure used by the auditor is known as “Inspection”.

Q1(iv)

When inventory under the custody and control of a third party is material to the financial statements, the auditor can obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by taking written representation from management.

Q1(v)

Assertions refer to the representations by the auditor to consider the different types of the potential misstatements that may occur.

Q1(vi)

As per SA 200 “Overall Objectives of the Auditor”, in conducting an audit of financial statements, the overall objectives of the auditor is to obtain absolute assurance about whether the financial statements as a whole are free from material misstatement due to fraud.

Q1(vii)

Once the overall audit has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy. The establishment of the overall audit strategy and the detailed audit plan are closely inter-related.

Q1(viii) out of syllabus

Teeming and lading is one of the techniques of inflating cash payments.

ICAI’S ANSWERS

Q1(i)

Incorrect: According to SA 315, the objective of the auditor is to identify and assess the risk of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, through understanding the entity and its environment, including the entity's internal control.

Q1(ii)

Incorrect: The control environment in itself does not prevent, or detect and correct, a material misstatement. It may, however, influence the auditor's evaluation of the effectiveness of other controls (for example, the monitoring of controls and the operation of specific control activities) and thereby, the auditor's assessment of the risks of material misstatement.

Q1(iii)

Incorrect: The audit procedure used by the auditor of XYZ Ltd. is known as "observation". Whereas inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset.

Q1(iv)

Incorrect: When inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by performing one or both of the following:

(a) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(b) Perform inspection or other audit procedures appropriate in the circumstances.

Q1(v)

Incorrect: Assertions refer to representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

Q1(vi)

Incorrect: As per SA-200 "Overall Objectives of the Independent Auditor", in conducting an audit of financial statements, the overall objectives of the auditor are:

(a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

(b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

Q1(vii)

Correct: Once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy, taking into account the need to achieve the audit objectives through the efficient use of the auditor's resources. The establishment of

the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential processes, but are closely inter-related since changes in one may result in consequential changes to the other.

Q1(viii)

Incorrect: Teeming and Lading is one of the techniques of suppressing cash receipts and not of inflating cash payments. Money received from one customer is misappropriated and the account is adjusted with the subsequent receipt from another customer and so on.

PassBook's note: Out of syllabus (old scheme): teeming and lading and the other ways receipts are suppressed were part of old Paper 6's vouching and internal control content (errors and frauds).

ICAI · Old P6 · RTP May 2023 · question p. 7 · answer p. 12, 13

268 RTP **Old P6 May 2022** General MCQ 5 MCQ old scheme

_____refer to the audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels.

A Internal control assessment procedures

B Risk assessment procedures

C substantive procedures

D analytical procedures

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP May 2022 · question p. 7 · answer p. 12

269 **RTP** **Old P6 May 2022** Q4(b) old scheme

Without adequate knowledge of client's business, a proper audit is not possible. The auditor shall obtain an understanding of the entity's objectives and strategies, and those related business risks that may result in risks of material misstatement. Explain giving examples.

ICAI'S ANSWER

Knowledge of the client's business is one of the important principles in developing an overall audit plan. In fact without adequate knowledge of client's business, a proper audit is not possible. As per SA-315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment", the auditor shall obtain an understanding of the entity's objectives and strategies, and those related business risks that may result in risks of material misstatement.

Example

1. If one of management's objectives is to grow the business, management may develop a strategy of steady but regular growth through specific marketing campaigns and development of new markets. Alternatively, management may develop a more aggressive, complex strategy of acquiring competitors. Each of these strategies

gives rise to differing business risks and potentially differing risks of material misstatement.

2. Examples of potential business risks include:

(i) Failure to keep up to date with new products, technologies or services.

(ii) Excessive reliance on a key supplier, product or individual, such as the owner.

(iii) Lack of personnel with expertise to react to changes in the industry.

(iv) Insufficient or excessive production capacity caused by inaccurate estimation of demand.

- Loss of financing due to the entity's inability to meet financial covenants

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 17-18

270 RTP **Old P6 Dec 2021** Q9(a) old scheme

Also asked in Old P6 MTP Nov 2023 S-I Q3(a)

Same question, different ICAI answer: #282 MTP May 2025 S-I

Significant risks often relate to significant non- routine transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently. Judgmental matters may include the development of accounting estimates for which there is significant measurement uncertainty.

In context of significant risk, explain the factors to be considered by the auditor in exercising judgment as to which risks are significant risks.

ICAI'S ANSWER

As part of the risk assessment, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk. In exercising this judgment, the auditor shall exclude the effects of identified controls related to the risk.

In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following:

(a) Whether the risk is a risk of fraud;

(b) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., and, therefore, requires specific attention;

(c) The complexity of transactions;

(d) Whether the risk involves significant transactions with related parties;

(e) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and

(f) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

271 RTP **Old P6 Dec 2021** Q9(b) old scheme

Also asked in Old P6 MTP Nov 2023 S-II Q3(a)

Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as complex calculations. Also, risks of material misstatement may be greater for significant judgmental matters that require the development of accounting estimates, arising from matters such as accounting principles for accounting estimates may be subject to differing interpretation etc. Explain in detail.

ICAI'S ANSWER

Risks of Material Misstatement– Greater for Significant Non-Routine Transactions

Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as the following:

- Greater management intervention to specify the accounting treatment.
- Greater manual intervention for data collection and processing.
- Complex calculations or accounting principles.
- The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

Risks of material misstatement– Greater for Significant Judgmental Matters

Risks of material misstatement may be greater for significant judgmental matters that require the development of accounting estimates, arising from matters such as the following:

- Accounting principles for accounting estimates or revenue recognition may be subject to differing interpretation.
- Required judgment may be subjective or complex, or require assumptions about the effects of future events, for example, judgment about fair value.

ICAI · Old P6 · RTP Dec 2021 · question p. 123 · answer p. 133-134

272 RTP **Old P6 Jul 2021** Q4(a) old scheme

Without adequate knowledge of client's business, a proper audit is not possible. It is one of the important principles in developing an overall audit plan. Explain in context with relevant SA, knowledge to be obtained by the auditor in establishing overall plan.

Also explain how such an understanding would be helpful to the auditor.

ICAI'S ANSWER

Without adequate knowledge of client's business, a proper audit is not possible. It is one of the important principles in developing an overall audit plan. As per SA-315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment", the

auditor shall obtain an understanding of the following:

(a) Relevant industry, regulatory and other external factors including the applicable financial reporting framework.

(b) The nature of the entity, including:

(i) its operations;

(ii) its ownership and governance structures;

(iii) the types of investments that the entity is making and plans to make, including investments in special-purpose entities; and

(iv) the way that the entity is structured and how it is financed;

to enable the auditor to understand the classes of transactions, account balances, and disclosures to be expected in the financial statements.

(c) The entity's selection and application of accounting policies, including the reasons for changes thereto. The auditor shall evaluate whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and accounting policies used in the relevant industry.

(d) The entity's objectives and strategies, and those related business risks that may result in risks of material misstatement.

(e) The measurement and review of the entity's financial performance.

In addition to the importance of knowledge of the client's business in establishing the overall audit plan, such knowledge helps the auditor to identify areas of special audit consideration, to evaluate the reasonableness both of accounting estimates and management representations and to make judgements regarding the appropriateness of accounting policies and disclosures.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 128-129

273 RTP **Old P6 Nov 2020** Q9(b) old scheme

For the purpose of Identifying and assessing the risks of material misstatement, the auditor shall identify risks throughout the process of obtaining an understanding of the entity and its environment. Explain in detail along with other relevant points.

ICAI'S ANSWER

For the purpose of Identifying and assessing the risks of material misstatement, the auditor shall:

(a) Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures in the financial statements;

(b) Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions;

(c) Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test; and

(d) Consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 21

274 RTP **Old P6 Nov 2020** Q10(a) old scheme

Much of the information obtained by the auditor's inquiries is obtained from management and those responsible for financial reporting. However, the auditor may also obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others within the entity and other employees with different levels of authority.

Explain with the help of examples.

ICAI'S ANSWER

Inquiries of Management and Others Within the Entity: Much of the information obtained by the auditor's inquiries is obtained from management and those responsible for financial reporting. However, the auditor may also obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others

within the entity and other employees with different levels of authority.

Examples

- Inquiries directed towards those charged with governance may help the auditor understand the environment in which the financial statements are prepared.
- Inquiries directed toward internal audit personnel may provide information about internal audit procedures performed during the year relating to the design and effectiveness of the entity's internal control and whether management has satisfactorily responded to findings from those procedures.
- Inquiries of employees involved in initiating, processing or recording complex or unusual transactions may help the auditor to evaluate the appropriateness of the selection and application of certain accounting policies.
- Inquiries directed toward in-house legal counsel may provide information about such matters as litigation, compliance with laws and regulations, knowledge of fraud or suspected fraud affecting the entity, warranties, post-sales obligations, arrangements (such as joint ventures) with business partners and the meaning of contract terms.
- Inquiries directed towards marketing or sales personnel may provide information about changes in the entity's marketing strategies, sales

trends, or contractual arrangements with its customers.

- Inquiries directed to the risk management function (or those performing such roles) may provide information about operational and regulatory risks that may affect financial reporting.
- Inquiries directed to information systems personnel may provide information about system changes, system or control failures, or other information system- related risks.

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 21-22

275 RTP **Old P6 Nov 2020** Q10(b) old scheme

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware and may assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to the assessed risks. Explain in detail.

ICAI'S ANSWER

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware and may assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to the assessed risks. Analytical procedures performed as risk assessment procedures may include both financial and non-

financial information, for example, the relationship between sales and square footage of selling space or volume of goods sold.

Analytical procedures may help identify the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. Unusual or unexpected relationships that are identified may assist the auditor in identifying risks of material misstatement, especially risks of material misstatement due to fraud.

However, when such analytical procedures use data aggregated at a high level (which may be the situation with analytical procedures performed as risk assessment procedures), the results of those analytical procedures only provide a broad initial indication about whether a material misstatement may exist. Accordingly, in such cases, consideration of other information that has been gathered when identifying the risks of material misstatement together with the results of such analytical procedures may assist the auditor in understanding and evaluating the results of the analytical procedures.

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 22-23

276 RTP **Old P6 May 2020** Q5(a) old scheme

Knowledge of the Client's business is one of the important principles in developing an overall audit plan. In fact without adequate knowledge of client's

business, a proper audit is not possible. As per SA-315, “Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment”, the auditor shall obtain an understanding of the relevant industry, regulatory and other external factors including the applicable financial reporting framework. Substantiate with the help of examples.

ICAI’S ANSWER

Examples are :

- The competitive environment, including demand, capacity, product and price competition as well as cyclical or seasonal activity.
- Supplier and customer relationships, such as types of suppliers and customers (e.g., related parties, unified buying groups) and the related contracts with those entities.
- Technological developments, such as those related to the entity’s products, energy supply and cost.
- The effect of regulation on entity operations.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 14-15

277 **RTP** **Old P6 May 2020** Q9(b) old scheme

Obtaining an understanding of the entity and its environment, including the entity’s internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. Analyse and explain giving examples.

ICAI'S ANSWER

Obtaining an understanding of the entity and its environment, including the entity's internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. The understanding establishes a frame of reference within which the auditor plans the audit and exercises professional judgment throughout the audit, for example, when:

- Assessing risks of material misstatement of the financial statements;
- Determining materiality in accordance with SA 320;
- Considering the appropriateness of the selection and application of accounting policies;
- Identifying areas where special audit consideration may be necessary, for example, related party transactions, the appropriateness of management's use of the going concern assumption, or considering the business purpose of transactions;
- Developing expectations for use when performing analytical procedures;
- Evaluating the sufficiency and appropriateness of audit evidence obtained, such as the appropriateness of assumptions and of management's oral and written representations.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 18

278 RTP **Old P6 Nov 2019** MCQ 4 MCQ old scheme

_____refer to the audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels.

A Audit assessment procedures

B substantive procedures

C test of control

D Risk assessment procedures

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Nov 2019 · question p. 3 · answer p. 9

279 MTP **May 2026 S-I** Q6(c) 4 marks

Auditor of Sunshine Ltd. is of the view that due to greater management intervention to specify accounting treatment, the risk of material misstatement is greater for non-routine transactions. Is the view of the auditor correct? Specify the other matters due to which the risk of material misstatement is greater for significant non-routine transactions.

ICAI'S ANSWER

Risk of Material Misstatement – Greater for Significant Non-Routine Transactions: Significant risks often relate to significant non- routine

transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently.

Risks of Material Misstatement– Greater for Significant Non-Routine Transactions

Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as the following:

(a) Greater management intervention to specify the accounting treatment.

(b) Greater manual intervention for data collection and processing.

(c) Complex calculations or accounting principles.

(d) The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

Keeping in view above, view of Auditor of Sunshine Ltd. is correct.

ICAI · P5 · MTP May 2026 · Series I · question p. 17 · answer p. 18

280 MTP **Jan 2026 S-II Q2(b)** 5 marks

MNB Bank Ltd. is undergoing its statutory branch audit. During planning stage, engagement partner convened a meeting with audit team and a valuation expert contracted by the firm. The team discussed several matters, including the likelihood of specific errors, instances of misstatements found in previous

years and possible ways in which fraud could be perpetrated by bank personnel. The partner also emphasised the importance of professional skepticism and identifying any conditions indicating potential material misstatements.

Explain the purpose of such an engagement team discussion. List any three matters that are ordinarily included in the engagement team discussion. Also, state two advantages of holding such discussions.

ICAI'S ANSWER

Engagement Team Discussions: All personnel performing an engagement, including any experts contracted by the firm in connection with that engagement are known to be the "Engagement Team". The engagement team should hold discussions to gain better understanding of the bank and its environment, including internal control, and also to assess the potential for material misstatements of the financial statements. All these discussions should be appropriately documented for future reference. The discussion between the members of the engagement team and the audit engagement partner should be done on the susceptibility of the bank's branch financial statements to material misstatements. These discussions are ordinarily done at the planning stage of an audit.

The engagement team discussion ordinarily includes a discussion of the following matters:

(i) Errors that may be more likely to occur;

(ii) Errors which have been identified in prior years;

(iii) Method by which fraud might be perpetrated by bank personnel or others within particular account balances and/or disclosures;

(iv) Audit responses to Engagement Risk, Pervasive Risks, and Specific Risks;

(v) Need to maintain professional skepticism throughout the audit engagement;

(vi) Need to alert for information or other conditions that indicates that a material misstatement may have occurred (e.g., the bank's application of accounting policies in the given facts and circumstances).

Advantages of such a discussion :-

(i) Specific emphasis should be provided to the susceptibility of the bank's financial statements to material misstatement due to fraud, that enables the engagement team to consider an appropriate response to fraud risks, including those related to engagement risk, pervasive risks, and specific risks.

(ii) It further enables the audit engagement partner to delegate the work to the experienced engagement team members and to determine the procedures to be followed when fraud is identified.

(iii) Further, audit engagement partner may review the need to involve specialists to address the issues relating to fraud.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 8-9 · answer p. 3-4

281 MTP Sep 2025 S-I Q6(b) 5 marks

As part of the risk assessment procedure, an auditor is required to determine whether any of the identified risks are, in their professional judgment, significant risks. In making this determination, the auditor must consider several key factors. Explain the factors that an auditor should consider while determining whether an identified risk qualifies as a significant risk, as per the relevant standards on auditing.

ICAI'S ANSWER

As per SA 315, "Identifying and Assessing Risks of Material Misstatement Through Understanding the Entity and Its Environment", As part of the risk assessment, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk. In exercising judgment as to which risks are significant risks, the auditor shall consider the following factors at least that:

(i) Whether the risk is a risk of fraud;

(ii) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., and, therefore, requires specific attention;

(iii) The complexity of transactions;

(iv) Whether the risk involves significant transactions with related parties ;

(v) The degree of subjectivity in the measurement of financial information related to the risk, especially

those measurements involving a wide range of measurement uncertainty; and

(vi) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 11 · answer p. 12-13

282 MTP **May 2025 S-I Q2(a)** 5 marks

Same question, different ICAI answer: #270 Old P6 RTP Dec 2021

Significant risks often relate to significant non- routine transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently. Judgmental matters may include the development of accounting estimates for which there is significant measurement uncertainty.

In context of significant risk, explain the factors to be considered by the auditor in exercising judgment as to which risks are significant risks.

ICAI'S ANSWER

As part of the risk assessment, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk. In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following:

(i) Whether the risk is a risk of fraud;

(ii) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., and, therefore, requires specific attention;

(iii) The complexity of transactions;

(iv) Whether the risk involves significant transactions with related parties;

(v) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and

(vi) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

ICAI · P5 · MTP May 2025 · Series I · question p. 9 · answer p. 3

283 MTP **May 2025 S-I Q6(b)** 5 marks

Much of the information obtained by the auditor's inquiries is obtained from management and those responsible for financial reporting. However, the auditor may also obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others within the entity and other employees with different levels of authority.

Explain the same in view of above.

ICAI'S ANSWER

Inquiries of Management and Others Within the Entity: Much of the information obtained by the auditor's inquiries is obtained from management and those responsible for financial reporting. However, the auditor may also obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others within the entity and other employees with different levels of authority.

- Inquiries directed toward internal audit personnel may provide information about internal audit procedures performed during the year relating to the design and effectiveness of the entity's internal control and whether management has satisfactorily responded to findings from those procedures.
- Inquiries of employees involved in initiating, processing or recording complex or unusual transactions may help the auditor to evaluate the appropriateness of the selection and application of certain accounting policies.
- Inquiries directed toward in-house legal counsel may provide information about such matters as litigation, compliance with laws and regulations, knowledge of fraud or suspected fraud affecting the entity, warranties, post-sales obligations, arrangements (such as joint ventures) with business partners and the meaning of contract.

- Inquiries directed towards marketing or sales personnel may provide information about changes in the entity's marketing strategies, sales trends, or contractual arrangements with its customers.
- Inquiries directed to the risk management function (or those performing such roles) may provide information about operational and regulatory risks that may affect financial reporting.
- Inquiries directed to information systems personnel may provide information about system changes, system or control failures, or other information system- related risks.

ICAI · P5 · MTP May 2025 · Series I · question p. 11 · answer p. 12

284 MTP **Jan 2025 S-I Q1(c)** 4 marks

CA Srishti, while auditing KSM Private Limited for the first time, utilised software to analyse financial data, comparing amounts recorded in the financial statements for the current audit year with the preceding two years. Her objective was to evaluate the risk of material misstatement. Identify the type of audit procedure performed by CA Srishti in the given case, discuss its relevance, and explain whether an auditor's opinion can solely rely on such procedures.

ICAI'S ANSWER

In the given case, CA Srishti is performing analytical procedures as risk assessment procedures.

Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware and may assist in assessing the risks of material misstatement in order to provide a basis for designing and implementing responses to the assessed risks. Analytical procedures performed as risk assessment procedures may include both financial and non-financial information.

Analytical procedures may help identify the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. Unusual or unexpected relationships that are identified may assist the auditor in identifying risks of material misstatement, especially risks of material misstatement due to fraud.

Risk assessment procedures are a basis for the identification and assessment of risks of material misstatement at the financial statement and assertion levels Risk assessment procedures by themselves, however, do not provide sufficient appropriate audit evidence on which to base the audit opinion.

Thus, it can be concluded that auditor's opinion cannot be solely based upon such procedures.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 7 · answer p. 2-3

285 MTP **Jan 2025 S-II** Q6(c) 4 marks

Knowledge of the Client's business play an important role in developing an overall audit. In fact, without adequate knowledge of the client's business, a proper audit is not possible. As per SA 315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and its Environment", the auditor shall obtain an understanding of the relevant industry, regulatory and other external factors including the applicable financial reporting framework. Substantiate with the help of examples.

ICAI'S ANSWER

As per SA 315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and its Environment", the auditor shall obtain an understanding of the relevant industry, regulatory and other external factors including the applicable financial reporting framework. Relevant industry factors include industry conditions such as the competitive environment, supplier and customer relationships, and technological developments.

- Examples of matters the auditor may consider include market and competition, whether entity is engaged in seasonal activities, product technology relating to the entity's products. The industry in which the entity operates may give rise to specific risks of material misstatement arising from the nature of the business or the degree of regulation.

- Relevant regulatory factors include the regulatory environment. The regulatory environment includes, among other matters, the applicable financial reporting framework and the legal and political environment.
- Examples of matters the auditor may consider include accounting principles and industry specific practices, regulatory framework for a regulated industry, legislation and regulation that significantly affect the entity's operations, including direct supervisory activities, taxation, government policies currently affecting the conduct of the entity's business, environmental requirements affecting the industry and the entity's business.
- Examples of other external factors affecting the entity that the auditor may consider include the general economic conditions, interest rates and availability of financing, and inflation etc.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 10

286 MTP **Sep 2024 S-I** Q5(b) 5 marks

While conducting the audit of Zeena Limited, CA E is trying to obtain understanding of different components of internal controls of the company. Such an understanding is necessary and is required to be documented in accordance with Standards on Auditing. In this context, how he shall obtain understanding of the risk assessment process of the company and how is this understanding important for the auditor?

ICAI'S ANSWER

CA E, the auditor of Zeena Limited, shall obtain an understanding of whether the entity has a process for: -

(a) Identifying business risks relevant to financial reporting objectives

(b) Estimating the significance of the risks

(c) Assessing the likelihood of their occurrence

(d) Deciding about actions to address those risks

The entity's risk assessment process forms the basis for the risks to be managed. If that process is appropriate, it would assist the auditor in identifying risks of material misstatement. Risks can arise or change due to factor such as new technology, new business models, products or activities, changes in operating environment etc. Whether the entity's risk assessment process is appropriate to the circumstances is a matter of judgment.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 10 · answer p. 8

287 MTP **May 2024 S-I** Q5(b) 4 marks

The objective of an auditor in accordance with SA 315 is to identify and assess risks of material misstatement at financial statement level and assertion level. Which specific activities an auditor is required to perform for the purpose of identifying and assessing risks of material misstatement?

ICAI'S ANSWER

For the purpose of identifying and assessing the risks of material misstatement, the auditor shall:

(i) Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures in the financial statements.

(ii) Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions.

(iii) Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test and

(iv) Consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 8

288 MTP **May 2024 S-II** Q5(b) 4 marks

Obtaining an understanding of the entity and its environment, including the entity's internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. The understanding establishes a frame of reference within

which the auditor plans the audit and exercises professional judgment throughout the audit. State few areas in which such an understanding is helpful to auditor.

ICAI'S ANSWER

Obtaining an understanding of the entity and its environment, including the entity's internal control, is a continuous, dynamic process of gathering, updating and analysing information throughout the audit. The understanding establishes a frame of reference within which the auditor plans the audit and exercises professional judgment throughout the audit, for example, when:

1. Assessing risks of material misstatement of the financial statements
2. Determining materiality in accordance with SA 320
3. Considering the appropriateness of the selection and application of accounting policies
4. Identifying areas where special audit consideration may be necessary, for example, related party transactions, the appropriateness of management's use of the going concern assumption, or considering the business purpose of transactions
5. Developing expectations for use when performing analytical procedures
6. Evaluating the sufficiency and appropriateness of audit evidence obtained such as the

appropriateness of assumptions and of management's oral and written representations.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 8-9

289 **MTP** **May 2024 S-II** **Q6(a)** **4 marks**

Auditor of Sunshine Ltd. is of the view that due to greater management intervention to specify accounting treatment, the risk of material misstatement is greater for non-routine transactions. Is view of the auditor correct? Specify the other matters due to which the risk of material misstatement is greater for significant non-routine transactions.

ICAI'S ANSWER

Risk of Material Misstatement – Greater for Significant Non-Routine Transactions:

Significant risks often relate to significant non-routine transactions or judgmental matters. Non-routine transactions are transactions that are unusual, due to either size or nature, and that therefore occur infrequently.

Risks of material misstatement may be greater for significant non-routine transactions arising from matters such as the following:

(a) Greater management intervention to specify the accounting treatment.

(b) Greater manual intervention for data collection and processing.

(c) Complex calculations or accounting principles.

(d) The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

Keeping in view above, view of Auditor of Sunshine Ltd is correct.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 10

290 MTP Old P6 May 2023 S-I General MCQ 4 1 mark MCQ old scheme

Which of the following is incorrect-

For the purpose of Identifying and assessing the risks of material misstatement, the auditor shall :

A Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures in the financial statements;

B Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions;

C Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test; and

D Not consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 4 · answer p. 1

291 MTP **Old P6 May 2023 S-II** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect: (Attempt any **7** out of **8**)

Q1(i) 2 marks

For an auditor, the Risk assessment procedure provides sufficient appropriate audit evidence to base the audit opinion.

Q1(ii) 2 marks

Classification as NPA should be based on the availability of security and asset classification would be facility wise and not borrower wise.

Q1(iii) 2 marks

When inventory under the custody and control of a third party is material to the financial statements, the auditor can obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by taking written representation from management.

Q1(iv) 2 marks

The Complexity of a business environment depends on the level of automation i.e., if a business environment is more automated, it is likely to be less complex.

Q1(v) 2 marks

The auditor's reporting on internal financial control will be applicable with respect to interim financial statements.

Q1(vi) 2 marks

Statistical sampling being more scientific and without personal bias will always be appropriate to use under all circumstances.

Q1(vii) 2 marks

Once the audit plan has been drafted and communicated, it is obligatory on the auditor to follow the same.

Q1(viii) 2 marks

Materiality is not a matter of size.

ICAI'S ANSWERS

Q1(i)

Incorrect: The auditor shall perform risk assessment procedures to provide a basis for the identification and assessment of risks of material misstatement at the financial statement and assertion levels. Risk assessment procedures by themselves, however, do not provide sufficient appropriate audit evidence on which to base the audit opinion.

Q1(ii)

Incorrect: Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise.

Asset classification would be borrower-wise and not facility-wise.

Q1(iii)

Incorrect: When inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by performing one or both of the following:

(a) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(b) Perform inspection or other audit procedures appropriate in the circumstances.

Q1(iv)

Incorrect: The fundamental principle of an automated environment is the ability to carry out business with less manual intervention and more system driven. The complexity of a business environment depends on the level of automation i.e., if a business environment is more automated, it is likely to be more complex. If a company uses an integrated enterprise resource planning system

(ERP) viz., SAP, Oracle etc., then it is considered more complex to audit. On the other hand, if a company is using an off-the-shelf accounting software, then it is likely to be less automated and hence less complex environment.

Q1(v)

Incorrect: Clause (i) of Sub-section 3 of Section 143 of the Act requires the auditors' report to state whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

It may be noted that auditor's reporting on internal financial controls is a requirement specified in the Act and, therefore, will apply only in case of reporting on financial statements prepared under the Act and reported under Section 143.

Accordingly, reporting on internal financial controls will not be applicable with respect to interim financial statements, such as quarterly or half-yearly financial statements, unless such reporting is required under any other law or regulation.

Q1(vi)

Incorrect: Statistical sampling is widely accepted way of sampling as it is more scientific, without personal bias and the result of sample can be evaluated and projected in more reliable way. Under some audit circumstances, statistical sampling methods may not be appropriate. The auditor should not attempt to use statistical sampling when another approach is either necessary or will provide

satisfactory information in less time or with less effort. For instance, when exact accuracy is required or in case of legal requirements etc.

Q1(vii)

Incorrect: The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures.

Q1(viii)

Incorrect: Financial statements should disclose all 'material items', i.e., the items the knowledge of which might influence the decisions of the user of the financial statement. Materiality is not always a matter of relative size. For example -a small amount lost by fraudulent practices of certain employees can indicate a serious flaw in the enterprise's internal control system requiring immediate attention to avoid greater losses in future. In certain cases, quantitative limits of materiality are specified.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 6 · answer p. 1, 2, 2-3

292 MTP **Old P6 Nov 2022 S-I** Q3(a) 4 marks old scheme

Discuss the steps to be taken by the auditor for the purpose of Identifying and assessing the risks of material misstatement as per SA 315.

ICAI'S ANSWER

For the purpose of Identifying and assessing the risks of material misstatement, the auditor shall:

(i) Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures in the financial statements;

(ii) Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions;

(iii) Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test; and

(iv) Consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 6 · answer p. 4

293 MTP Old P6 Nov 2022 S-II Q3(a) 4 marks old scheme

In exercising judgment as to which risks are significant risks, the auditor shall consider various factors. Explain.

ICAI'S ANSWER

In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following:

(a) Whether the risk is a risk of fraud;

(b) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., and, therefore, requires specific attention;

(c) The complexity of transactions;

(d) Whether the risk involves significant transactions with related parties;

(e) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and

(f) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 8 · answer p. 3-4

294 MTP **Old P6 Nov 2019 S-I** MCQ 10 1 mark MCQ old scheme

SA 315 establishes requirements and provides guidance on identifying and assessing the risks of material misstatement -

A at the financial statement levels only.

B at the assertion levels only.

C at the financial statement and assertion levels.

D at the financial statement or assertion levels.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2 · answer p. 1

295 MTP **Old P6 Nov 2019 S-I** Q4(a) 4 marks old scheme

In performing an audit of financial statements, the auditor should have or obtain knowledge of the business. Explain in the light of SA 315 "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment".

ICAI'S ANSWER

Obtaining Knowledge of the Business: The auditor needs to obtain a level of knowledge of the client's business that will enable him to identify the events, transactions and practices that, in his judgment, may have significant effect on the financial information among other things.

As per SA 315 – "Identifying and Assessing the Risk of Material Misstatement Through Understanding the Entity and its Environment", the auditor shall obtain an understanding of the following:

(a) Relevant industry, regulatory, and other external factors including the applicable financial reporting framework

(b) The nature of the entity, including:

(i) its operations;

(ii) its ownership and governance structures;

(iii) the types of investments that the entity is making and plans to make, including investments in special-purpose entities; and

(iv) the way that the entity is structured and how it is financed;

to enable the auditor to understand the classes of transactions, account balances, and disclosures to be expected in the financial statements.

(c) The entity's selection and application of accounting policies, including the reasons for changes thereto. The auditor shall evaluate whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and accounting policies used in the relevant industry.

(d) The entity's objectives and strategies, and those related business risks that may result in risks of material misstatement.

(e) The measurement and review of the entity's financial performance.

In addition to the importance of knowledge of the client's business in establishing the overall audit plan, such knowledge helps the auditor to identify areas of special audit consideration, to evaluate the reasonableness both of accounting estimates and management representations, and to make judgement regarding the appropriateness of accounting policies and disclosures.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 6

3.4 Internal control: components, limitations and evaluation

45 questions · asked in 24 ICAI documents · 5 exam papers

296 EXAM May 2025

Integrated Case Scenario - III · MCQ 9 to MCQ 12 8 marks

INTEGRATED CASE SCENARIO - III

M/s DG and Associates, Chartered Accountants, have been appointed as the statutory auditor of HT Private Limited for the financial year 2024-25. CA Mr. D, engagement partner, and a team comprising of three articled clerks has been assigned the task of conducting the audit of HT Private Limited for F.Y. 2024-25.

In the initial stages of conducting an audit of HT Private Limited, CA Mr. D decided to evaluate internal control operating in the company. To gather

information required for evaluation of internal control, CA Mr. D asked his team members to suggest a method which would help in gathering information so that internal control of the company can be evaluated.

First team member of the team suggested that they should follow a method, in which a series of instructions and/or questions are required to be followed and/or answered by the audit team and the answers to these instructions are usually Yes, No or Not Applicable. These instructions are framed having regard to the desirable elements of control.

The second team member of team suggested a method in which a complete and exhaustive description of the internal control system as found in operation is recorded by the auditor.

The third team member of team suggested a method in which comprehensive series of questions concerning internal control were required to be answered which would provide information about internal control.

Based on the above facts, answer the following Q. Nos 9 to 12:

MCQ 9 2 marks

In initial stage of conducting audit of HT Private Limited, CA Mr. D decided to evaluate internal control of the company. Evaluation of internal control is very important part of

A Audit Report

B Audit Evidence

C Audit Documentation

D Audit Programme

MCQ 10 2 marks

The method suggested by first team member according to which, a series of instructions and/or questions which a member of the auditing staff must follow and/or answer. When he completes instruction, he initials the space against the instruction. This method is called as

A Flow Chart

B Check List

C Narrative Record

D Questionnaire

MCQ 11 2 marks

The method suggested by second team member in which a complete and exhaustive description of internal control in operation is recorded. This method is known as

A Narrative Record

B Flow Chart

C Questionnaire

D Check List

MCQ 12 2 marks

The third team member suggested a method in which comprehensive series of questions concerning internal

control is used to collect information. These questions are usually issued to the client and the client is requested to fill it. This method of gathering information so that internal control can be evaluated is called as:

A Internal Control Questionnaire

B Flow Chart

C Narrative Record

D Check List

ICAI'S ANSWERS

MCQ 9

Answer key: **(D)**

MCQ 10

Answer key: **(B)**

MCQ 11

Answer key: **(A)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · May 2025 exam · question p. 5-6 · answer p. 8

297 **EXAM** **Jan 2025** Q1(c) **4 marks**

Spare Parts Limited received an input from internal auditors that internal controls implemented by the company appears to be reasonable but not so strong that any fraudulent activity can be prevented or timely detected by such controls. Accordingly a qualified person should head the internal controls department. CA Raj has been appointed as an Internal Control Head

of the company. His scope of work includes development of internal controls in various departments/areas of the company. On his joining, he studied the various verticals and after identifying the important areas (prone to fraud) implemented strong controls in those areas. In his meeting with senior management and statutory auditors, he assured that satisfactory control environment exists and fraud cannot happen. Whether existence of a satisfactory control environment can be considered as an absolute deterrent to fraud ?

ICAI'S ANSWER

- Existence of a satisfactory control environment is not an absolute deterrent to fraud. The existence of a satisfactory control environment can be a positive factor when the auditor assesses the risks of material misstatement.
- However, although it may help reduce the risk of fraud, a satisfactory control environment is not an absolute deterrent to fraud.
- Conversely, deficiencies in the control environment may undermine the effectiveness of controls, in particular in relation to fraud. For example, management's failure to commit sufficient resources to address IT security risks may adversely affect internal control by allowing improper changes to be made to computer programs or to data, or unauthorised transactions to be processed.

- The control environment in itself does not prevent, or detect and correct, a material misstatement. It may, however, influence the auditor's evaluation of the effectiveness of other controls.
- For example, the monitoring of controls and the operation of specific control activities and thereby, the auditor's assessment of the risks of material misstatement.

ICAI · P5 · Jan 2025 exam · question p. 11 · answer p. 13

298 **EXAM** **Sep 2024** Q3(a) **4 marks**

CA Amit is the auditor of LMN Ltd. While conducting the audit, he wanted to analyze the different components of internal control of the company. Identify and explain which component of internal control he is trying to understand in the following two cases: -

(i) Whether controls in LMN Ltd. are operating as intended and they are modified as appropriate for change in conditions.

(ii) Whether there exists proper segregation of duties in the company and the person responsible for recording a transaction is different from the person authorizing it.

ICAI'S ANSWER

(i) In this case, CA. Amit is trying to understand that whether controls in the LMN Ltd. are operating as intended and they are modified as appropriate for change in conditions: He is gaining the

understanding of the Monitoring of controls component of internal control. Monitoring of controls is a process to assess the effectiveness of internal control performance over time. It helps in assessing the effectiveness of controls on a timely basis and taking necessary remedial actions. It includes considering whether controls are operating as intended and that they are modified as appropriate for change in conditions.

(ii) In the given situation, CA Amit is trying to understand that whether there exists a proper system of segregation of duties in the company and the person responsible for recording a transaction is different from the person authorising it. He is gaining an understanding of internal control of the company. In particular, he is understanding "control activities". When a person recording a transaction is different from one authorizing it, he gains confidence that there exists a system for preventing misstatements. It helps him in gaining insight into the internal control system of the company.

ICAI · P5 · Sep 2024 exam · question p. 16 · answer p. 17-18

299 EXAM **Old P6 Nov 2022** Q4(a) 4 marks old scheme

Z Ltd. is a manufacturer of ready-made garments. During the year 2021-22, they have opened two new branches and there is a substantial increase in their sales. The management has appointed CA R to review the internal control system of the company as they feel that there are lapses in the control environment of the

company. What is included in the control environment and what will the auditor evaluate in order obtain an understanding of the control environment?

ICAI'S ANSWER

Control Environment:

The control environment includes:

i. the governance and management functions and

ii. the attitudes, awareness, and actions of those charged with governance and management.

iii. the control environment sets the tone of an organization, influencing the control consciousness of its people.

The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether:

(a) Management has created and maintained a culture of honesty and ethical behavior; and

(b) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

ICAI · Old P6 · Nov 2022 exam · question p. 7 · answer p. 8

300 EXAM **Old P6 Nov 2022** Q4(c) 3 marks old scheme

ABC Ltd. has many divisions and branches across the country. They have an internal control system which is well established maintained by the management on a regular basis. Explain the meaning of internal control

as per SA-315 and also state the benefits of understanding the internal controls of a company.

ICAI'S ANSWER

Meaning and benefits of understanding Internal Control:

Meaning of Internal Control: As per SA-315, "Identifying and Assessing the Risk of Material Misstatement Through Understanding the Entity and its Environment", the internal control may be defined as "the process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, and compliance with applicable laws and regulations. The term "controls" refers to any aspects of one or more of the components of internal control."

Benefits of Understanding of Internal Control: An understanding of internal control assists the auditor in:

i. identifying types of potential misstatements;

ii. identifying factors that affect the risks of material misstatement, and

iii. designing the nature, timing, and extent of further audit procedures.

ICAI · Old P6 · Nov 2022 exam · question p. 8 · answer p. 9

301 EXAM Old P6 Nov 2020 Q3(a) 4 marks old scheme

The auditor shall obtain an understanding of major activities that the entity uses to monitor internal control over financial reporting. Discuss "Monitoring of control" as a component of Internal control.

ICAI'S ANSWER

Monitoring of Controls: Component of Internal Control

The auditor shall obtain an understanding of the major activities that the entity uses to monitor internal control over financial reporting.

Monitoring of controls Defined: Monitoring of controls is a process to assess the effectiveness of internal control performance over time.

(i) Helps in assessing the effectiveness of controls on a timely basis: It involves assessing the effectiveness of controls on a timely basis and taking necessary remedial actions.

(ii) Management accomplishes through ongoing activities, separate evaluations etc.: Management accomplishes monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activities.

(iii) Management's monitoring activities include: Management's monitoring activities may include using information from communications from

external parties such as customer complaints and regulator comments that may indicate problems or highlight areas in need of improvement.

(iv) In case of Small Entities: Management's monitoring of control is often accomplished by management's or the owner-manager's close involvement in operations. This involvement often will identify significant variances from expectations and inaccuracies in financial data leading to remedial action to the control.

ICAI · Old P6 · Nov 2020 exam · question p. 4 · answer p. 4-5

302 **RTP** **May 2026** **Q11**

ABC Limited is a medium-sized manufacturing company having multiple departments and large volume of transactions. The management claims that the company has a well-designed internal control system and an internal audit department in place.

While planning the statutory audit, the auditor decides to evaluate the internal control system of the company before determining the nature, timing and extent of audit procedures. During the review, the auditor focuses not only on accounting controls but also on administrative controls and their impact on financial reporting. Based on the above facts, explain how evaluation of the internal control system would benefit the auditor in planning and conducting the statutory audit of ABC Limited.

ICAI'S ANSWER

Benefits of Evaluation of Internal Control to the Auditor: The review of internal controls will enable the auditor to know:

(i) whether errors and frauds are likely to be located in the ordinary course of operations of the business

(ii) whether an adequate internal control system is in use and operating as planned by the management

(iii) whether an effective internal auditing department is operating

(iv) whether any administrative control has a bearing on his work (for example, if the control over worker recruitment and enrolment is weak, there is a likelihood of dummy names being included in the wages sheet and this is relevant for the auditor)

(v) whether the controls adequately safeguard the assets

(vi) how far and how adequately the management is discharging its function in so far as correct recording of transactions is concerned

(vii) how reliable the reports, records and the certificates to the management can be

(viii) the extent and the depth of the examination that he needs to carry out in the different areas of accounting

(ix) what would be appropriate audit technique and the audit procedure in the given circumstances

(x) what are the areas where control is weak and where it is excessive and

(xi) whether some worthwhile suggestions can be given to improve the control system.

Thus, evaluation of internal control provides a sound basis for audit planning, helps the auditor assess control risk, and enables him to design appropriate audit procedures while also contributing to improvement of the control system.

ICAI · P5 · RTP May 2026 · question p. 7 · answer p. 14-15

303 RTP **Jan 2025** Q11

The auditor of EFG Ltd., a company engaged in the Tours & Travel business, needs to obtain an understanding of the company's control environment. To do this, the auditor evaluates whether:

(i) Management has created and maintained a culture of honesty and ethical behaviour; and

(ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

What is included in control environment? Also explain the elements of control environment.

ICAI'S ANSWER

The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether:

(i) Management has created and maintained a culture of honesty and ethical behaviour and

(ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

The control environment includes:

(i) the governance and management functions and

(ii) the attitudes, awareness, and actions of those charged with governance and management.

(iii) the control environment sets the tone of an organization, influencing the control consciousness of its people.

Elements of the Control Environment

Elements of the control environment that may be relevant when obtaining an understanding of the control environment include the following:

(a) Communication and enforcement of integrity and ethical values

The effectiveness of controls cannot rise above the integrity and ethical values of the people who create, administer, and monitor them. Integrity and ethical behaviour are the product of the entity's ethical and behavioural standards, how they are

communicated, and how they are reinforced in practice. The enforcement of integrity and ethical values includes, for example, management actions to eliminate or mitigate incentives or temptations that might prompt personnel to engage in dishonest, illegal, or unethical acts. The communication of entity policies on integrity and ethical values may include the communication of behavioural standards to personnel through policy statements and codes of conduct and by example.

(b) Commitment to competence: Matters such as management's consideration of the competence levels for particular jobs and how those levels translate into requisite skills and knowledge.

(c) Participation by those charged with governance: It includes attributes of those charged with governance such as their independence from management, their experience and stature, the extent of their involvement and the information they receive and the scrutiny of activities.

(d) Management's philosophy and operating style: Management's philosophy and operating style encompass a broad range of characteristics. For example, management's attitudes and actions towards financial reporting- what approach is taken by management in selecting accounting policies, approach in developing accounting estimates etc. Matters such as approach of management to taking and managing business risks, management's attitude towards information processing and

accounting function and personnel reflects upon management's philosophy and operating style.

(e) Organisational structure: The framework within which an entity's activities for achieving its objectives are planned, executed, controlled, and reviewed. Establishing a relevant organisational structure includes considering key areas of authority and responsibility and appropriate lines of reporting. The appropriateness of an entity's organisational structure depends, in part, on its size and the nature of its activities.

(f) Assignment of authority and responsibility: Matters such as how authority and responsibility for operating activities are assigned and how reporting relationships and authorisation hierarchies are established.

(g) Human resource policies and practices

Policies and practices that relate to, for example, recruitment, orientation, training, evaluation, counselling, promotion, compensation, and remedial actions. Human resource policies and practices often demonstrate important matters in relation to the control consciousness of an entity.

ICAI · P5 · RTP Jan 2025 · question p. 5-6 · answer p. 11-13

304 RTP **Old P6 May 2023** Q9(b) old scheme

Briefly discuss the limitations of Internal Control.

ICAI'S ANSWER

Limitations of Internal Control:

(i) **Internal control can provide only reasonable assurance:** Internal control, no matter how effective, can provide an entity with only reasonable assurance about achieving the entity's financial reporting objectives. The likelihood of their achievement is affected by inherent limitations of internal control.

(ii) **Human judgment in decision-making:** Realities that human judgment in decision-making can be faulty and that breakdowns in internal control can occur because of human error.

(iii) **Lack of understanding the purpose:** Equally, the operation of a control may not be effective, such as where information produced for the purposes of internal control (for example, an exception report) is not effectively used because the individual responsible for reviewing the information does not understand its purpose or fails to take appropriate action.

(iv) **Collusion among People:** Additionally, controls can be circumvented by the collusion of two or more people or inappropriate management override of internal control. **For example**, management may enter into side agreements with customers that alter the terms and conditions of the entity's standard sales contracts, which may result in improper revenue recognition. Also, edit checks in a software program that are designed to identify and report

transactions that exceed specified credit limits may be overridden or disabled.

(v) **Judgements by Management:** Further, in designing and implementing controls, management may make judgments on the nature and extent of the controls it chooses to implement, and the nature and extent of the risks it chooses to assume.

(vi) **Limitations in case of Small Entities:** Smaller entities often have fewer employees due to which segregation of duties is not practicable. However, in a small owner-managed entity, the owner-manager may be able to exercise more effective oversight than in a larger entity. This oversight may compensate for the generally more limited opportunities for segregation of duties.

On the other hand, the owner-manager may be more able to override controls because the system of internal control is less structured. This is taken into account by the auditor when identifying the risks of material misstatement due to fraud.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 19-20

305 RTP **Old P6 May 2023** Q10 old scheme

Also asked in Old P6 MTP Dec 2021 S-I Q4(c) · Old P6 MTP Nov 2020 S-I Q3(b)

The division of internal control into five components provides a useful framework for auditors to consider how different aspects of an entity's internal control may

affect the audit. Mention those components of internal control.

ICAI'S ANSWER

Division of Internal Control into Components: The division of internal control into the following five components provides a useful framework for auditors to consider how different aspects of an entity's internal control may affect the audit:

(i) The control environment;

(ii) The entity's risk assessment process;

(iii) Monitoring of controls.

(iv) Control activities; and

(v) The information system, including the related business processes, relevant to financial reporting, and communication;

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 20

306 RTP **Old P6 Nov 2022** Q9(a) old scheme

Define Monitoring of Controls and in respect of monitoring of controls, answer the following questions:

(i) How monitoring of controls would be helpful in assessing the effectiveness of controls?

(ii) How can management accomplish monitoring of controls?

(iii) What is included in the Management's monitoring activities?

ICAI'S ANSWER

Monitoring of controls Defined: Monitoring of controls is a process to assess the effectiveness of internal control performance over time.

(i) **Helps in assessing the effectiveness of controls on a timely basis:** It involves assessing the effectiveness of controls on a timely basis and taking necessary remedial actions.

(ii) **Management accomplishes through ongoing activities, separate evaluations etc.:** Management accomplishes monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity and include regular management and supervisory activities.

(iii) **Management's monitoring activities include:** Management's monitoring activities may include using information from communications from external parties such as customer complaints and regulator comments that may indicate problems or highlight areas in need of improvement.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 21

307 RTP **Old P6 Nov 2022** Q9(b) old scheme

Explain the matters which should be included for factors relevant to the auditors' judgement about whether a control is relevant to the audit.

ICAI'S ANSWER

Controls Relevant to the Audit: Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as the following:

(i) Materiality.

(ii) The significance of the related risk.

(iii) The size of the entity.

(iv) The nature of the entity's business, including its organisation and ownership characteristics.

(v) The diversity and complexity of the entity's operations.

(vi) Applicable legal and regulatory requirements.

(vii) The circumstances and the applicable component of internal control.

(viii) The nature and complexity of the systems that are part of the entity's internal control, including the use of service organisations.

(ix) Whether, and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatement.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 21-22

308 RTP Old P6 Nov 2022 Q10 old scheme

The review of internal controls will enable the auditor to know the areas where control is weak. Explain stating clearly the benefits of evaluation of internal control to the auditor.

ICAI'S ANSWER

Benefits of Evaluation of Internal Control to the Auditor

The review of internal controls will enable the auditor to know:

(i) whether errors and frauds are likely to be located in the ordinary course of operations of the business;

(ii) whether an adequate internal control system is in use and operating as planned by the management;

(iii) whether an effective internal auditing department is operating;

(iv) whether any administrative control has a bearing on his work (for example, if the control over worker recruitment and enrolment is weak, there is a likelihood of dummy names being included in the wages sheet and this is relevant for the auditor);

(v) whether the controls adequately safeguard the assets;

(vi) how far and how adequately the management is discharging its function in so far as correct recording of transactions is concerned;

(vii) how reliable the reports, records and the certificates to the management can be;

(viii) the extent and the depth of the examination that he needs to carry out in the different areas of accounting;

(ix) what would be appropriate audit technique and the audit procedure in the given circumstances;

(x) what are the areas where control is weak and where it is excessive; and

(xi) whether some worthwhile suggestions can be given to improve the control system.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 22

309 **RTP** **Old P6 Jul 2021** **Q9(a)** old scheme

Auditor GR and Associates have been appointed to conduct audit of PNG Ltd, a manufacturing company engaged in manufacturing of various food items. While planning an audit, the auditors do not think that it would be necessary to understand internal controls. Advise the auditor in this regard explaining clearly the benefits of understanding the internal control.

ICAI'S ANSWER

The auditor shall obtain an understanding of internal control relevant to the audit. Although most controls relevant to the audit are likely to relate to financial reporting, not all controls that relate to financial reporting are relevant to the audit. It is a matter of the auditor's professional judgment

whether a control, individually or in combination with others, is relevant to the audit.

Benefits of Understanding the Internal Control

An understanding of internal control assists the auditor in:

(i) identifying types of potential misstatements;

(ii) identifying factors that affect the risks of material misstatement, and

(iii) designing the nature, timing, and extent of further audit procedures.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 132

310 RTP **Old P6 Jul 2021** Q9(b) old scheme

Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as materiality, the significance of the related risk etc. Explain in detail.

ICAI'S ANSWER

Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as the following:

- Materiality.
- The significance of the related risk.
- The size of the entity.

- The nature of the entity's business, including its organisation and ownership characteristics.
- The diversity and complexity of the entity's operations.
- Applicable legal and regulatory requirements.
- The circumstances and the applicable component of internal control.
- The nature and complexity of the systems that are part of the entity's internal control, including the use of service organisations.
- Whether, and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatement.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 133

311 RTP **Old P6 Jul 2021** Q10(a) old scheme

Same question, different ICAI answer: #328 Old P6 MTP May 2022 S-II

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the classes of transactions in the entity's operations that are significant to the financial statements, controls surrounding journal entries etc. Explain the other considerations in this regard.

ICAI'S ANSWER

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following are as:

(a) The classes of transactions in the entity's operations that are significant to the financial statements;

(b) The procedures by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements;

(c) The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions;

(d) How the information system captures events and conditions that are significant to the financial statements;

(e) The financial reporting process used to prepare the entity's financial statements;

(f) Controls surrounding journal entries.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 133

312 RTP **Old P6 Jul 2021** Q10(b) old scheme

The auditor shall obtain an understanding of control activities relevant to the audit, which the auditor considers necessary to assess the risks of material

misstatement. Explain in detail stating clearly the meaning of control activities and also discuss control activities that are relevant to the audit.

ICAI'S ANSWER

The auditor shall obtain an understanding of control activities relevant to the audit, which the auditor considers necessary to assess the risks of material misstatement. An audit requires an understanding of **only those control activities** related to **significant class of transactions, account balance, and disclosure** in the financial statements and the assertions which the auditor finds relevant in his risk assessment process.

Control activities are the policies and procedures that help ensure that management directives are carried out.

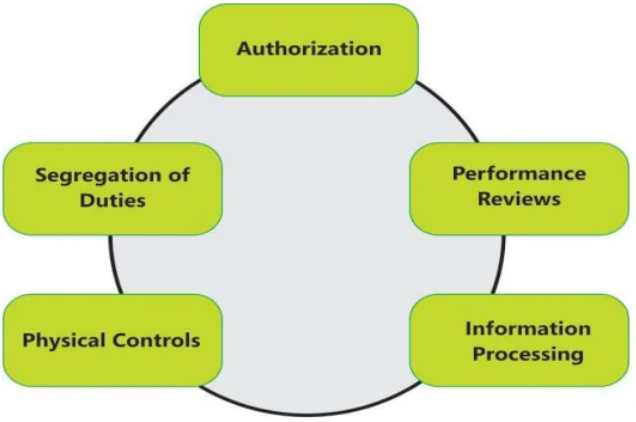
Control activities, whether within IT or manual systems, have various objectives and are applied at various organisational and functional levels.

Examples of specific control activities include those relating to the following:

Control activities that are relevant to the audit are:

- Control activities that relate to significant risks and those that relate to risks for which substantive procedures alone do not provide sufficient appropriate audit evidence; or
- Those that are considered to be relevant in the judgment of the auditor;

- As part of the risk assessment, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk.



ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 133-134

313 RTP **Old P6 May 2020** Q10(a) old scheme

Internal control over safeguarding of assets against unauthorised acquisition, use, or disposition may include controls relating to both financial reporting and operations objectives. Explain stating clearly the objectives of Internal Control.

ICAI'S ANSWER

Objectives of Internal Control

Internal control over safeguarding of assets against unauthorised acquisition, use, or disposition may include controls relating to both financial reporting and operations objectives. The auditor's consideration of such controls is generally limited

to those relevant to the reliability of financial reporting. For example, use of access controls, such as passwords, that limit access to the data and programs that process cash disbursements may be relevant to a financial statement audit. Conversely, safeguarding controls relating to operations objectives, such as controls to prevent the excessive use of materials in production, generally are not relevant to a financial statement audit.

Objectives of Internal Control are :

(i) transactions are executed in accordance with managements general or specific authorization;

(ii) all transactions are promptly recorded in the correct amount in the appropriate accounts and in the accounting period in which executed so as to permit preparation of financial information within a framework of recognized accounting policies and practices and relevant statutory requirements, if any, and to maintain accountability for assets;

(iii) assets are safeguarded from unauthorised access, use or disposition; and

(iv) the recorded assets are compared with the existing assets at reasonable intervals and appropriate action is taken with regard to any differences.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 19

314 RTP **Old P6 Nov 2019** Q9(b) old scheme

The extent and the nature of the audit programme is substantially influenced by the internal control system in operation. Analyse and explain.

ICAI'S ANSWER

The auditor can formulate his entire audit programme only after he has had a satisfactory understanding of the internal control systems and their actual operation. If he does not care to study this aspect, it is very likely that his audit programme may become unwieldy and unnecessarily heavy and the object of the audit may be altogether lost in the mass of entries and vouchers. It is also important for him to know whether the system is actually in operation. Often, after installation of a system, no proper follow up is there by the management to ensure compliance. The auditor, in such circumstances, may be led to believe that a system is in operation which in reality may not be altogether in operation or may at best operate only partially. This state of affairs is probably the worst that an auditor may come across and he would be in the midst of confusion, if he does not take care.

It would be better if the auditor can undertake the review of the internal control system of client. This will give him enough time to assimilate the controls and implications and will enable him to be more objective in the framing of the audit programme. He will also be in a position to bring to the notice of the

management the weaknesses of the system and to suggest measures for improvement. At a further interim date or in the course of the audit, he may ascertain how far the weaknesses have been removed.

From the foregoing, it can be concluded that the extent and the nature of the audit programme is substantially influenced by the internal control system in operation. In deciding upon a plan of test checking, the existence and operation of internal control system is of great significance.

A proper understanding of the internal control system in its content and working also enables an auditor to decide upon the appropriate audit procedure to be applied in different areas to be covered in the audit programme.

In a situation where the internal controls are considered weak in some areas, the auditor might choose an auditing procedure or test that otherwise might not be required; he might extend certain tests to cover a large number of transactions or other items than he otherwise would examine and at times he may perform additional tests to bring him the necessary satisfaction.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 17-18

315 RTP **Old P6 Nov 2019** Q10(b) old scheme

The auditor of FAST CARS Ltd obtains an understanding of the control environment. As part of obtaining this

understanding, the auditor evaluates whether management has created and maintained a culture of honesty and ethical behaviour and the strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

Advise what is included in control environment. Also explain the elements of control environment.

ICAI'S ANSWER

Control Environment – Component of Internal Control: The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether:

(i) Management has created and maintained a culture of honesty and ethical behavior; and

(ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

What is included in Control Environment?

The control environment includes:

(i) the governance and management functions and

(ii) the attitudes, awareness, and actions of those charged with governance and management.

(iii) The control environment sets the tone of an organization, influencing the control consciousness of its people.

Elements of the Control Environment: Elements of the control environment that may be relevant when obtaining an understanding of the control environment include the following:

(a) **Communication and enforcement of integrity and ethical values** – These are essential elements that influence the effectiveness of the design, administration and monitoring of controls.

(b) **Commitment to competence** – Matters such as management's consideration of the competence levels for particular jobs and how those levels translate into requisite skills and knowledge.

(c) **Participation by those charged with governance –** Attributes of those charged with governance such as:

- Their independence from management.
- Their experience and stature.
- The extent of their involvement and the information they receive, and the scrutiny of activities.
- The appropriateness of their actions, including the degree to which difficult questions are raised and pursued with management, and their interaction with internal and external auditors.

(d) **Management's philosophy and operating style – Characteristics such as management's:**

- Approach to taking and managing business risks.
- Attitudes and actions toward financial reporting.

- Attitudes toward information processing and accounting functions and personnel.

(e) **Organisational structure** – The framework within which an entity's activities for achieving its objectives are planned, executed, controlled, and reviewed.

(f) **Assignment of authority and responsibility** - Matters such as how authority and responsibility for operating activities are assigned and how reporting relationships and authorisation hierarchies are established.

(g) **Human resource policies and practices** – Policies and practices that relate to, for example, recruitment, orientation, training, evaluation, counselling, promotion, compensation, and remedial actions.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 18-19

316 MTP **May 2026 S-II** MCQ 14 2 marks MCQ

PQR Ltd. is a manufacturing entity. During the audit, the auditor evaluated internal controls relating to safeguarding of assets and noted the following:

1. Password-protected access to systems handling cash disbursements.

2. CCTV surveillance in warehouses to prevent theft of inventory.

3. Controls to restrict excessive consumption of raw materials in production.

4. Maker-checker authorization for bank payments.

The auditor intends to rely only on those controls relevant to the financial statement audit. Which of the following is the most appropriate set of controls relevant to the auditor's consideration?

- **A** Controls 1, 2, 3, and 4, since all relate to safeguarding of assets
- **B** Controls 1 and 4 only, since they directly impact financial reporting reliability
- **C** Controls 1, 2, and 4, since all relate to safeguarding and hence are relevant
- **D** Controls 2 and 3 only, since they prevent physical misuse of assets

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · MTP May 2026 · Series II · question p. 8 · answer p. 1

317 MTP **Sep 2025 S-I** Q1(a) 5 marks

CA Aditi is in the process of evaluating the internal controls of a company by focussing on controls operating for creditors from whom various goods are being purchased by the company. In this respect, she wants to collect information about existence, operation and efficiency of internal controls in the company. She plans to prepare a set of questions to be circulated amongst the executives and employees of the company for their response. Which method is being contemplated by her for evaluating internal controls?

Prepare a set of few questions regarding controls operating for creditors.

ICAI'S ANSWER

CA Aditi is contemplating using internal control questionnaire as method for evaluating internal controls. A set of questions regarding controls operating for creditors are given as under: -

(i) (a) Are suppliers' invoices routed direct to the Accounts Department?

(b) Are they entered in a Bill register before submitting them to other departments for check and/or approval?

(c) Are advance and partial payments entered on the invoices before they are submitted to other departments?

(ii) Does the system ensure that all invoices are duly processed?

(iii) In respect of raw material and supplies, are reconciliations made of quantities and/or values received as shown by purchase invoices with receipt into stock records?

(iv) Does the Accounts Department match the invoices of supplies with Goods Received Notes and purchase orders?

(v) Do all invoices bear evidence of being checked for prices, freight, terms etc.?

(vi) Are all advance payments duly authorized by persons competent to authorize such payments?

(vii) Are duplicate invoices marked immediately on receipt to avoid payment against them?

(viii) Are all supplier's statements compared with ledger accounts?

(ix) Is there any follow-up action to investigate difference, if any, between the suppliers' statements and the ledger accounts?

(x) Is a list of unpaid creditors prepared and reconciled periodically?

ICAI · P5 · MTP Sep 2025 · Series I · question p. 7 · answer p. 1-2

318 MTP **Sep 2025 S-II** MCQ 13 2 marks MCQ

During the audit of PQR Ltd., the audit team decides to develop a graphical presentation of various components of the company's internal control system. This provides a bird's eye view of the system, including the flow of transactions and their integration. It helps the auditors to understand and evaluate the internal controls more in the correct perspective. Which method of evaluating internal control is being used by the audit team?

A Check list

B Narrative record

C Internal Control questionnaire

D Flow Chart

ICAI'S ANSWER

(D)

319 MTP **Sep 2025 S-II** Q1(a) 5 marks

CA Sakshi, the statutory auditor of ZMC Ltd., a medium-sized trading company, was reviewing the company's internal control system as part of her audit procedures. She noticed following instances where errors and lapses occurred:

- An employee failed to take action on an important report due to lack of understanding of its content.
- The finance team made duplicate payments.
- Two employees colluded to override a system check related to customer credit limits.
- The owner approved certain transactions bypassing standard operating procedures, raising concerns about management override.
- Duties were not segregated properly due to limited staff strength.

CA Sakshi discussed these findings with the management and explained that such control failures, despite the existence of internal controls, are not rare. She also highlighted that internal control systems inherently have certain limitations.

Based on the above, what is CA Sakshi trying to communicate to the management? What are the inherent limitations of internal control systems that may have led to these issues?

ICAI'S ANSWER

In the given case, CA Sakshi, the statutory auditor identified various lapses in the company's internal control system, such as employees failing to act on important reports, duplicate payments, collusion to override system checks, management override of procedures and lack of segregation of duties due to limited staff. While discussing the same with management, she explained that such deficiencies, despite the presence of internal controls, are not rare due to the inherent limitations of internal control, which include:

(i) Internal control can provide only reasonable assurance: Internal control, no matter how effective, can provide an entity with only reasonable assurance about achieving the entity's financial reporting objectives. The likelihood of their achievement is affected by inherent limitations of internal control.

(ii) Human judgment in decision-making: Realities that human judgment in decision-making can be faulty and that breakdowns in internal control can occur because of human error.

(iii) Lack of understanding the purpose: The operation of a control may not be effective, such as where information produced for the purposes of internal control (for example, an exception report) is not effectively used because the individual responsible for reviewing the information does not

understand its purpose or fails to take appropriate action.

(iv) Collusion among People: Controls can be circumvented by the collusion of two or more people or inappropriate management override of internal control. For example, management may enter into side agreements with customers that alter the terms and conditions of the entity's standard sales contracts, which may result in improper revenue recognition. Also, edit checks in a software program that are designed to identify and report transactions that exceed specified credit limits may be overridden or disabled.

(v) Judgements by Management: In designing and implementing controls, management may make judgments on the nature and extent of the controls it chooses to implement, and the nature and extent of the risks it chooses to assume.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 7-8 · answer p. 1-2

320 MTP **Jan 2025 S-I** Q6(a) 5 marks

KR & Associates, an auditor of FDP Ltd., observed that the company has implemented various internal controls addressing financial reporting, operational efficiency, and compliances during their preliminary evaluation. CA Karan suggests that all controls should be assessed to mitigate the risk of material misstatement in the financial statements, while CA Rajat is of the view that only those controls deemed relevant to the audit should be assessed based on

professional judgment. Comment, whether the auditor should assess all the internal controls or limit the assessment to only those considered relevant by the auditor during the audit. Also, discuss the factors influencing the auditor's judgment on the relevance of controls.

ICAI'S ANSWER

There is a direct relationship between an entity's objectives and the control it implements to provide reasonable assurance about their achievement. FDP Ltd. has implemented internal controls addressing financial reporting, operational efficiency, and compliance. However, not all of these objectives and controls are relevant to the auditor's risk assessment.

Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as the following:

- Materiality.
- The significance of the related risk.
- The size of the entity.
- The nature of the entity's business, including its organisation and ownership characteristics.
- The diversity and complexity of the entity's operations.
- Applicable legal and regulatory requirements.
- The circumstances and the applicable component of internal control.

- The nature and complexity of the systems that are part of the entity's internal control, including the use of service organisations.
- Whether, and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatement.

In the given case, CA Karan suggests that all controls should be assessed to mitigate the risk of material misstatement in the financial statements, while CA Rajat is of the view that only those controls deemed relevant to the audit should be assessed based on professional judgment.

Based on the factors mentioned above, it can be concluded that the auditors should assess only those controls deemed relevant to mitigate the risk of material misstatement in FDP Ltd.'s financial statements.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 10 · answer p. 9-10

321 MTP **Jan 2025 S-II** MCQ 14 2 marks MCQ

The auditor is evaluating the most appropriate method to assess the internal control system of the company. The selected method should be widely recognised for gathering information about the existence, operation, and efficiency of internal controls, while also minimizing the risk of oversight of important review procedures. Furthermore, the method should facilitate easier interim reviews of controls. Which method

would be most appropriate for evaluating internal control based on the description provided above?

A Internal Control Questionnaire

B Flow Chart

C Check List

D Narrative Record

ICAI'S ANSWER

(A)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 7 · answer p. 1

322 MTP **May 2024 S-II Q2(d)** 3 marks

Internal Control Questionnaire is a comprehensive series of questions concerning internal control. A company is engaged in business of manufacturing of chemicals. It has two plant locations in city "A" and one plant location in city "B" involving huge value of assets. Building at three locations is owned by the company. The company earns handsome profits and does not want to suffer losses due to business interruptions. It has a dedicated department for looking after insurance matters. As an auditor, prepare an internal control questionnaire concerning this department for obtaining staff responses.

ICAI'S ANSWER

Internal Control Questionnaire

- Are competitive quotes obtained from different insurers?

- Is comprehensive insurance cover obtained for fire, flood, burglary, earthquake risks etc.?
- Are all three locations in city A and B covered?
- Are all assets consisting of building, plant & machinery and inventories covered?
- Is there an adequate procedure to ensure that assets acquired between two renewal dates are also covered by insurance?
- Is there an official who decides on value for which policies are taken?
- Does officer who decides on policy value review periodically adequacy of insurance cover?
- Is loss-of-profits insurance cover taken?
- Have there been any instances of rejection of claims?
- Are pending claims followed-up with insurers?

ICAI · P5 · MTP May 2024 · Series II · question p. 10 · answer p. 4-5

323 MTP **Old P6 Nov 2023 S-I** General MCQ 3 1 mark MCQ old scheme

To evaluate the Internal Control of Kingsway Limited, a team member of the auditors used a method according to which, number of questions relating to internal control of the company were required to be answered by the employees of the company. After obtaining the answers there was a discussion relating to those answers between team member of the auditor and employees of the company for a clear picture. State the

method of evaluation of internal control as discussed above.

A Narrative record

B Check List

C Internal Control questionnaire

D Flow chart

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 5 · answer p. 1

324 MTP **Old P6 Nov 2023 S-I** Q5(d) 4 marks old scheme

The auditor obtains an understanding of the information system, including the related business processes, relevant to financial reporting to gain insight of this important component of internal control. What are the specific areas in respect of which auditor gains such understanding?

ICAI'S ANSWER

The information system, including the related business processes, relevant to financial reporting and communication

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following are as:

(i) The classes of transactions in the entity's operations that are significant to the financial

statements;

(ii) The procedures by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements;

(iii) The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions;

(iv) How the information system captures events and conditions that are significant to the financial statements;

(v) The financial reporting process used to prepare the entity's financial statements;

(vi) Controls surrounding journal entries.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 8

325 MTP **Old P6 Nov 2022 S-II**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

Meeta, Neeta, Rita and Babita are friends and all of them have joined office of an auditing firm for undergoing articled training. It is still early days in the office. However, all of them are curious about different issues of auditing. They have also studied auditing subject. They were going through one audit file of a large manufacturing company as part of

their training. In the file are included some audit working papers and other related documents.

(A) Some papers contained in file reflect following: -

(i) Are budgets for capital expenditure approved by the Board?

(ii) Are approved budgets communicated in writing to accounts department and to department originating the request?

(iii) Is the authority to incur capital expenditure restricted to specified officials?

(iv) Are receipts of capital items subject to controls as in case of purchases of raw material, stores?

(v) Is there proper check to see that amounts expended do not exceed the amount authorised?

Further, “Yes”, “No” and “Not applicable” along with remarks/notes have been provided by the employees of company against items stated at serial no.[i] to [v].

(B) Also included in audit working papers is a detailed note on process of employee recruitment followed by company along with practices on related matters such as orientation, training, evaluation, compensation and promotion of employees. In particular, it seemed that auditors had shown keen interest in standards followed by the company in recruiting most qualified individuals.

(C) The audit file also includes documentation on how customs duty paid by company on imported raw material was verified. The engagement team had

examined the payment of custom duty with reference to bill of entry available in client records. It was verified that customs duty was in accordance with applicable duty rate on goods. In cases where duty was paid by clearing and forwarding agent, bill of entry with reference to bill of forwarder was verified.

(D) The audit file includes a document, signed by CEO of company addressed to auditors, extract of which is as under: -

We have provided you with: -

(i) Access to all information of which we are aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;

(ii) Additional information that you have requested from us for the purpose of the audit;

(ii) Unrestricted access to persons within the entity from whom you determined it necessary to obtain audit evidence.

(iv) All transactions have been recorded in the accounting records and are reflected in the financial statements.

(E) The audit file included following draft to be included in audit report: -

“Revenue is one of the main profit drivers and is, therefore, susceptible to misstatement. Cut-off is the main relevant assertion insofar as revenue

recognition is concerned, since an inappropriate cut-off can result in material misstatement of results for the year.

Our audit procedures with regard to revenue recognition included testing controls, automated and manual- around deliveries, inventory reconciliations and substantive testing for cut-offs and analytical review procedures."

The issues pertaining to above for audit period under consideration were communicated with responsible persons in management.

MCQ 1.1 2 marks

Regarding description of expenditure on capital items reflected in Para A, which of the following views is Most appropriate?

A Meeta is of view that such a document is in nature of a checklist for evaluating internal control over capital items.

B Neeta is of view that such a document is in nature of audit programme for verification of capital items.

C Babita considers that such a document is in nature of an internal control questionnaire for evaluating internal control over capital items.

D Rita considers it to be specific audit plan in relation to capital items.

MCQ 1.2 2 marks

On reading description in Para B, what were the auditors trying to do by studying employee recruitment and related HR matters?

A Auditors were trying to gain an understanding of how the company is monitoring controls.

B Auditors were gaining knowledge to understand how employee pay rolls are prepared and whether there could be any misstatements in pay rolls due to non- inclusion of promotion increments

C Auditors were trying to understand control environment of the company.

D Auditors were trying to assess the control activities relevant to audit to assess risk of material misstatement.

MCQ 1.3 2 marks

On the basis of description provided in Para C, identify audit procedure(s) performed by auditors.

A Test of Controls

B Vouching

C Analytical Procedures

D Verification

MCQ 1.4 2 marks

What would the most appropriate nomenclature to extract of document described in Para D?

A Engagement letter

B Written Representation

C External confirmation

D Offer letter to auditor

MCQ 1.5 2 marks

Given draft in Para E, which of the following views is Most appropriate in accordance with relevant Standards on Auditing?

A Meeta is of the view that draft in Para E needs emphasis in audit report. Therefore, its inclusion under heading “Emphasis of Matter” is proper.

B Neeta is of the view that draft in Para E is a residuary matter. Therefore, its inclusion under heading “Other Matters” is proper.

C Rita is of the view that draft in Para E provides the basis on which opinion is to be given. Therefore, its inclusion under heading “Basis for Opinion” is proper.

D Babita is of the view that draft in Para E relates to significant matter identified during course of audit and it contains how the same was addressed. Therefore, its inclusion under heading “Key Audit Matters” is proper.

ICAI’S ANSWERS

MCQ 1.1

(C) Babita considers that such a document is in nature of an internal control questionnaire for evaluating internal control over capital items.

MCQ 1.2

(C) Auditors were trying to understand control environment of the company.

MCQ 1.3

(B) Vouching

MCQ 1.4

(B) Written Representation

MCQ 1.5

(D) Babita is of the view that draft in Box E relates to significant matter identified during course of audit and it contains how the same was addressed. Therefore, its inclusion under heading "Key Audit Matters" is proper.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 1-2 · answer p. 1

326 MTP **Old P6 Nov 2022 S-II** General MCQ 6 1 mark MCQ old scheme

A company is engaged in manufacturing of wooden furniture. The auditor of company notes that company has identified emerging risks pertaining to probable reduction in demand of company's products due to procurement of imported furniture from South East Asian nations. It has also estimated how significant are those risks and their possibility of happening. Besides, it has also formulated an action plan to deal with the situation, in case these risks materialize.

Which of the following options would be most appropriate to describe above situation?

A An example of audit risk for auditor

B An example of component of internal control of company

C An example of control risk of company

D An example of inherent risk for auditor

ICAI'S ANSWER

Option (B)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 6-7 · answer p. 1

327 MTP **Old P6 May 2022 S-II**

Case Scenario 1 · Case Scenario 1 · MCQ 1 to Case Scenario 1 · MCQ 5

10 marks old scheme

CASE SCENARIO 1

AA & Associates, an audit firm based in New Delhi, was appointed as the Statutory Auditor of Success Ltd ., a listed Company having branches all over India. Success Limited is engaged in the business of manufacturing furniture items from timber which is imported from South Africa. The audit firm has six partners and partner CA A is the engagement partner for Success Ltd.

The audit team consisting of CA A and five more members prepared an audit strategy and audit plan before commencing the audit. CA A was aware of the fact that the understanding of the internal control of the organisation would assist the team in various ways. So, it was decided that the team would first

obtain an understanding of the internal control relevant to the audit before commencing the audit.

CA A explained to the team that there is a direct relationship between an entity's objectives and the controls it implements to provide reasonable assurance about their achievement. The entity's objectives, and therefore controls, relate to financial reporting, operations and compliance; however, not all of these objectives and controls are relevant to the auditor's risk assessment. CA A educated the team about the factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit. The team then applied its professional judgment to decide whether a control, individually or in combination with others, is relevant to the audit.

One of the team members, CA P scheduled a meeting with the Director of Success Ltd., Mr. D, to understand the risk assessment process of the entity. The entity's risk assessment process formed the basis for the risk to be managed. CA P, on the basis of his judgment, found the process to be appropriate, and it helped him in in identifying the risks.

Once the risks were identified, CA P had to determine whether any of the risk identified is, in his judgment, a significant risk. CA P considered all the factors which he should have considered to exercise his judgement as to which risks are significant risks. He was aware that significant risks often relate to certain type of transactions and matters.

In the meanwhile, CA A met the CFO of the Company, Mr. C to obtain an understanding of the major activities that the entity uses to monitor internal control over financial reporting. Mr. C explained to CA A the various monitoring activities undertaken by the management to monitor the internal control performance of the company.

Based on the above information, answer the following questions:

Case Scenario 1 · MCQ 1 2 marks

CA A was aware of the fact that the understanding of the internal control of the organization would assist the team in various ways. Which of the following is not achieved by an understanding of the internal control system?

- A Identifying breakdown due to human error.
- B identifying types of potential misstatements.
- C designing the nature, timing, and extent of further audit procedures.
- D identifying factors that affect the risks of material misstatement.

Case Scenario 1 · MCQ 2 2 marks

Which of the following factors is not relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit?

- A The diversity and complexity of the entity's operations.

B Applicable legal and regulatory requirements.

C The nature of the entity's business, including its organization and ownership characteristics.

D Nature, timing, and extent of further audit procedures.

Case Scenario 1 · MCQ 3 2 marks

CA P obtained an understanding of the risk assessment process of the entity. Which of the following is a risk assessment process to be followed by an entity?

(i) Identifying business risks relevant to financial reporting objectives.

(ii) Estimating the significance of the risks.

(iii) Assessing the likelihood of their occurrence.

(iv) Deciding about actions to address those risks.

A (i), (ii), (iii),

B (i), (ii)

C (i), (ii), (iii), (iv)

D (ii), (iii)

Case Scenario 1 · MCQ 4 2 marks

CA P considered all the factors which he should have considered to exercise his judgment as to which risks are significant risks. Which of the following is a factor which he would have considered to determine the same?

A Whether the risk is a risk of error.

B The complexity of transactions.

C Whether the risk involves significant transactions with non-related parties.

D The degree of objectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty.

Case Scenario 1 · MCQ 5 2 marks

Which among the following is incorrect with reference to last para of the case study regarding the auditor to obtain an understanding of the major activities that the entity uses to monitor internal control over financial reporting :

A It involves assessing the efficiency of controls on a timely basis and taking necessary remedial actions.

B Management accomplishes it through ongoing activities, separate evaluations etc.

C Management's monitoring activities may include using information from communications from external parties.

D In small entities, management's monitoring of control is often accomplished by management's or the owner-manager's close involvement in operations.

ICAI'S ANSWERS

Case Scenario 1 · MCQ 1

(A)

Case Scenario 1 · MCQ 2

(D)

Case Scenario 1 · MCQ 3

(C)

Case Scenario 1 · MCQ 4

(B)

Case Scenario 1 · MCQ 5

(A)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 1 · answer p. 1

328 MTP **Old P6 May 2022 S-II** Q3(a) 4 marks old scheme

Same question, different ICAI answer: #311 Old P6 RTP Jul 2021

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the classes of transactions in the entity's operations that are significant to the financial statements, controls surrounding journal entries etc. Explain the other considerations in this regard.

ICAI'S ANSWER

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following are as under:

(a) The classes of transactions in the entity's operations that are significant to the financial statements;

(b) The procedures by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements;

(c) The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions;

(d) How the information system captures events and conditions that are significant to the financial statements;

(e) The financial reporting process used to prepare the entity's financial statements;

(f) Controls surrounding journal entries.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 7 · answer p. 3-4

329 MTP **Old P6 May 2020 S-I** Q3(b) 4 marks old scheme

The auditor of MARUT Ltd, engaged in manufacturing of Smart Motor Bikes, obtains an understanding of the control environment. As part of obtaining this understanding, the auditor evaluates whether:

(i) Management has created and maintained a culture of honesty and ethical behavior; and

(ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

Advise what is included in control environment. Also explain the elements of control environment.

ICAI'S ANSWER

Control Environment – Component of Internal Control: The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether:

(i) Management has created and maintained a culture of honesty and ethical behavior; and

(ii) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control.

What is included in Control Environment?

The control environment includes:

(i) the governance and management functions and

(ii) the attitudes, awareness, and actions of those charged with governance and management .

(iii) The control environment sets the tone of an organization, influencing the control consciousness of its people.

Elements of the Control Environment: Elements of the control environment that may be relevant when obtaining an understanding of the control environment include the following:

(1) Communication and enforcement of integrity and ethical values – These are essential elements that influence the effectiveness of the design, administration and monitoring of controls.

(2) Commitment to competence – Matters such as management's consideration of the competence levels for particular jobs and how those levels translate into requisite skills and knowledge.

(3) Participation by those charged with governance –Attributes of those charged with governance such as:

- Their independence from management.
- Their experience and stature.
- The extent of their involvement and the information they receive, and the scrutiny of activities.
- The appropriateness of their actions, including the degree to which difficult questions are raised and pursued with management, and their interaction with internal and external auditors.

(4) Management's philosophy and operating style – Characteristics such as management's:

- Approach to taking and managing business risks.
- Attitudes and actions toward financial reporting.
- Attitudes toward information processing and accounting functions and personnel.

(5) Organisational structure – The framework within which an entity's activities for achieving its objectives are planned, executed, controlled, and reviewed.

(6) Assignment of authority and responsibility - Matters such as how authority and responsibility for operating activities are assigned and how reporting relationships and authorisation hierarchies are established.

(7) Human resource policies and practices – Policies and practices that relate to, for example, recruitment, orientation, training, evaluation, counselling, promotion, compensation, and remedial actions.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 4-5

3.5 Testing internal control: walkthroughs, tests of controls and reporting

8 questions · asked in 9 ICAI documents · 4 exam papers

330 EXAM Jan 2025 Q6(c) 4 marks

In an automated environment, there are generally four types of audit tests available. As a senior auditor, it's crucial to guide your team in selecting the appropriate audit tests based on the situation. Explain the types of audit tests commonly used in an automated setting and provide insights on how to determine when and which tests to apply, emphasizing the role of professional judgment in making these decisions.

ICAI'S ANSWER

There are basically four types of audit tests that should be used are inquiry, observation, inspection

and reperformance.

Inquiry is the most efficient audit test, but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient.

Reperformance is most effective as an audit test and gives the best audit evidence. However, testing by reperformance could be very time consuming and least efficient most of the time.

Generally, applying inquiry in combination with inspection gives the most effective and efficient audit evidence. However, which audit test to use, when and in what combination is a matter of professional judgement and will vary depending on several factors including risk assessment, control environment, desired level of evidence required, history of errors/misstatements, complexity of business, assertions being addressed etc. The auditor should document the nature of test (or combination of tests) applied along with the judgements in the audit file.

ICAI · P5 · Jan 2025 exam · question p. 29 · answer p. 31-32

331 EXAM **Sep 2024** Q2(a) 4 marks

CA B, was the auditor of Star Limited. He wanted to ensure that the company had correctly reconciled its bank accounts and also wanted to understand whether and how far the internal control system was operating

in the company. What kind of test of control was CA B performing? What are the other procedures that can be applied while undertaking test of controls?

ICAI'S ANSWER

Inquiries of Management and Others Within the Entity: After assimilating the internal control system, the auditor needs to examine whether and how far the same is actually in operation. Test of controls are performed to obtain audit evidence about the effectiveness of the: -

(i) Design of the accounting and internal control system

(ii) Operation of the internal control throughout the period

In the given case, CA B was performing Re-performance. It involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control, for example, reconciliation of bank accounts, to ensure they were correctly performed by the entity.

Other procedures that can be applied while undertaking test of controls are:

- Inspection of documents supporting transactions and other events to gain audit evidence that internal controls have operated properly, for example, verifying that a transaction has been authorised.

- Inquiries about, and observation of, internal controls which leave no audit trail, for example, determining who actually performs each function and not merely who is supposed to perform it.
- Testing of internal control operating on specific computerised applications or over the overall information technology function, for example, access or program change controls.

ICAI · P5 · Sep 2024 exam · question p. 13 · answer p. 13-14

332 EXAM **Old P6 May 2022** Q3(d) 3 marks old scheme

The Auditor of HK Limited completed the audit of the company in an automated environment. Management of the company requested the auditor to give an idea about any exceptions observed in IT environment that need to be assessed. How the auditor should consider this request and report in light of an audit perspective?

ICAI'S ANSWER

Assess and report Audit Findings in audit in Automated Environment: At the conclusion of each audit, it is possible that there will be certain findings or exceptions in IT environment and IT controls of the company that need to be assessed and reported to relevant stakeholders including management and those charged with governance viz., Board of directors, Audit committee. Some points to consider are as follows:

(1) Are there any weaknesses in IT controls?

(2) What is the impact of these weaknesses on overall audit?

(3) Report deficiencies to management – Internal Controls Memo or Management Letter.

(4) Communicate in writing any significant deficiencies to Those Charged with Governance.

The auditor of HK Ltd needs to assess each finding or exception to determine impact on the audit and evaluate if the exception results in a deficiency in internal control.

ICAI · Old P6 · May 2022 exam · question p. 6 · answer p. 7-8

333 EXAM **Old P6 Nov 2020** Q3(c) 3 marks old scheme

What factors are to be considered by an auditor while making control risk assessments?

ICAI'S ANSWER

Auditor assesses control risk as Rely or Not rely on Controls. When making control risk assessments, the factors an auditor would consider are:

- The control environment's influence over internal control. A control environment that supports the prevention, detection and correction of material misstatements allows greater confidence in the reliability of internal control and audit evidence generated within the entity.
- Evaluations of the related IT processes that support application and IT-dependent manual

controls.

- Our testing approach over SCOTs and disclosure processes (i.e., controls reliance or substantive only strategy).
- The expectation of the operating effectiveness of controls based on the understanding.

PassBook's note: The January 2027 Study Material does not reproduce this list of factors for a control risk assessment (rely or not rely on controls).

ICAI · Old P6 · Nov 2020 exam · question p. 4 · answer p. 6

334 RTP **Old P6 May 2023** Q9(a) old scheme

Also asked in Old P6 RTP May 2020 Q10(b)

It has been suggested that actual operation of the internal control should be tested by the application of procedural tests and examination in depth. Explain with the help of example in respect of the procedure for sales.

ICAI'S ANSWER

It has been suggested that actual operation of the internal control should be tested by the application of procedural tests and examination in depth. Procedural tests simply mean testing of the compliance with the procedures laid down by the management in respect of initiation, authorisation, recording and documentation of transaction at each stage through which it flows.

For example, the procedure for sales requires the following:

1. Before acceptance of any order the position of inventory of the relevant article should be known to ascertain whether the order can be executed in time.
2. An advice under the authorisation of the sales manager should be sent to the party placing the order, internal reference number, and the acceptance of the order. This advice should be prepared on a standardised form and copy thereof should be forwarded to inventory section to enable it to prepare for the execution of the order in time.
3. The credit period allowed to the party should be the normal credit period. For any special credit period a special authorisation of the sales manager would be necessary.
4. The rate at which the order has been accepted and other terms about transport, insurance, etc., should be clearly specified.
5. Before deciding upon the credit period, a reference should be made to the credit section to know the creditworthiness of the party and particularly whether the party has honoured its commitments in the past.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 18-19

335 RTP Old P6 May 2020 Q9(a) old scheme

Also asked in Old P6 MTP May 2023 S-I Q3(a)

When auditor identifies deficiencies and report on internal controls, he determines the significant financial statement assertions that are affected by the ineffective controls in order to evaluate the effect on control risk assessments and strategy for the audit of the financial statements. Explain

ICAI'S ANSWER

Control risk assessment when control deficiencies are identified: When auditor identifies deficiencies and report on internal controls, he determines the significant financial statement assertions that are affected by the ineffective controls in order to evaluate the effect on control risk assessments and strategy for the audit of the financial statements.

When control deficiencies are identified and auditor identifies and tests more than one control for each relevant assertion, he evaluates control risk considering all of the controls he has tested. If auditor determines that they support a 'rely on controls' risk assessment, or if compensating controls are identified, tested and evaluated to be effective, he may conclude that the 'rely on controls' is still appropriate. Otherwise we change our control risk assessment to 'not rely on controls.'

When a deficiency relates to an ineffective control that is the only control identified for an assertion, he revises risk assessment to 'not rely on controls'

for associated assertions, as no other controls have been identified that mitigate the risk related to the assertion. If the deficiency relates to one WCGW (what can go wrong) out of several WCGW's, he can 'rely on controls' but performs additional substantive procedures to adequately address the risks related to the deficiency.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 18

336 RTP **Old P6 Nov 2019** Q9(a) old scheme

Based on the results of the tests of control, the auditor should evaluate whether the internal controls are designed and operating as contemplated in the preliminary assessment of control risk. Analyse and Explain.

ICAI'S ANSWER

While obtaining audit evidence about the effective operation of internal controls, the auditor considers how they were applied, the consistency with which they were applied during the period and by whom they were applied. The concept of effective operation recognises that some deviations may have occurred. Deviations from prescribed controls may be caused by such factors as changes in key personnel, significant seasonal fluctuations in volume of transactions and human error. When deviations are detected the auditor makes specific inquiries regarding these matters, particularly, the timing of staff changes in key internal control functions. The auditor then ensures that the tests of

control appropriately cover such a period of change or fluctuation.

Based on the results of the tests of control, the auditor should evaluate whether the internal controls are designed and operating as contemplated in the preliminary assessment of control risk. The evaluation of deviations may result in the auditor concluding that the assessed level of control risk needs to be revised. In such cases, the auditor would modify the nature, timing and extent of planned substantive procedures.

Before the conclusion of the audit, based on the results of substantive procedures and other audit evidence obtained by the auditor, the auditor should consider whether the assessment of control risk is confirmed. In case of deviations from the prescribed accounting and internal control systems, the auditor would make specific inquiries to consider their implications. Where, on the basis of such inquiries, the auditor concludes that the deviations are such that the preliminary assessment of control risk is not supported, he would amend the same unless the audit evidence obtained from other tests of control supports that assessment. Where the auditor concludes that the assessed level of control risk needs to be revised, he would modify the nature, timing and extent of his planned substantive procedures.

It has been suggested that actual operation of the internal control should be tested by the application

of procedural tests and examination in depth. Procedural tests simply mean testing of the compliance with the procedures laid down by the management in respect of initiation, authorisation, recording and documentation of transaction at each stage through which it flows.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 16-17

337 MTP **May 2025 S-I Q3(b)** 5 marks

A deficiency or combination of deficiencies in internal control that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance. Give examples of indicators of significant deficiencies in internal control.

ICAI'S ANSWER

Examples of indicators of significant deficiencies in internal control are as follows:

- Evidence of ineffective aspects of the control environment, such as:
  - Indications that significant transactions in which management is financially interested are not being appropriately scrutinised by those charged with governance.
  - Identification of management fraud, whether or not material, that was not prevented by the entity's internal control.
  - Management's failure to implement appropriate remedial action on significant deficiencies previously communicated.

- Absence of a risk assessment process within the entity where such a process would ordinarily be expected to have been established.
- Evidence of an ineffective entity risk assessment process, such as management's failure to identify a risk of material misstatement that the auditor would expect the entity's risk assessment process to have identified.
- Evidence of an ineffective response to identified significant risks (e.g., absence of controls over such a risk).
- Misstatements detected by the auditor's procedures that were not prevented, or detected and corrected, by the entity's internal control.
- Disclosure of a material misstatement due to error or fraud as prior period items in the current year's Statement of Profit and Loss.
- Evidence of management's inability to oversee the preparation of the financial statements.

ICAI · P5 · MTP May 2025 · Series I · question p. 9 · answer p. 6-7

3.6 Internal control in an IT environment

69 questions · asked in 38 ICAI documents · 12 exam papers

338 EXAM **May 2026** Q4(a) 5 marks

Bright Star Foods Limited processes a large volume of daily sales and purchases using automated accounting software. Most transactions are recorded automatically,

and management claims that the system controls reduce the need for manual intervention.

During the audit of the company's financial statements, the auditor needs to ensure that transactions are recorded accurately and completely. The auditor also needs to decide which audit test to use, when, and in what combination.

Discuss the different ways in which testing is performed in an automated environment and explain which combinations of audit tests are generally considered most effective and efficient.

ICAI'S ANSWER

i. There are basically four types of audit tests that should be used. These are inquiry, observation, inspection and reperformance. For example, when testing in an automated environment, some of the more common methods are: (i) Obtain an understanding of how an automated transaction is processed by doing a walkthrough of one end-to-end transaction using a combination of inquiry, observation and inspection. (ii) Observe how a user processes transactions under different scenarios. (iii) Inspect the configuration defined in an application.

ii. Inquiry is the most efficient audit test but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient.

iii. Re-performance is most effective as an audit test and gives the best audit evidence. However, testing by reperformance could be very time consuming and least efficient most of the time.

iv. Generally, applying inquiry in combination with inspection gives the most effective and efficient audit evidence.

v. However, which audit test to use, when and in what combination, is a matter of professional judgment and will vary depending on several factors including risk assessment, control environment, desired level of evidence required, history of errors/misstatements, complexity of business, assertions being addressed etc. The auditor should document the nature of test (or combination of tests) applied along with the judgements in the audit file.

ICAI · P5 · May 2026 exam · question p. 23 · answer p. 24

339 EXAM **Jan 2026** Q3(c) 4 marks

You are the statutory auditor of Tec Fab Industries Ltd., a company that has recently shifted from manual accounting system to a fully automated ERP system. The management informs you that all accounting records, vouchers and reports are now generated electronically, and manual books are no longer maintained.

As the auditor, explain how you would understand and evaluate the company's automated environment for

planning and performing the audit effectively?

ICAI'S ANSWER

Understanding and evaluating automated environment: In an audit of financial statements, an auditor is required to understand the entity and its business, including IT. Understanding the entity and its automated environment involves understanding how the IT department is organised, IT activities, IT dependencies, relevant risks, and controls.

Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment:

1. Information systems being used, including one or more application systems
2. Purpose of the systems, whether financial or non-financial
3. Location of IT systems, whether local or global
4. Architecture, such as desktop-based, client-server, web application or cloud-based
5. Version of the applications, as functions and risks could vary in different versions of the same application
6. Interfaces within systems, particularly where multiple systems exist
7. In-house or packaged systems
8. Outsourced activities, such as IT maintenance and support
9. Key persons, such as CIO, CISO and system administrators

10. Documenting business processes using flowcharts or narratives.
11. Preparing Risk and Control Matrices (RCM) to identify risks and controls.
12. Evaluating design of controls through walkthroughs of end-to-end processes.
13. Assessing process-wide considerations, including entity-level controls, segregation of duties, and IT general and application controls.

In view of above, the understanding of a company's IT environment that is obtained should be appropriately documented.

ICAI · P5 · Jan 2026 exam · question p. 18-19 · answer p. 20-21

340 **EXAM** **Sep 2025** Q6(c) **4 marks**

CA Raj has just concluded the audit of a company and noted certain findings/exceptions in the IT environment and controls, which need to be assessed and reported accordingly. Specify, what points shall the auditor consider in assessing and reporting of audit findings in IT Environment and IT Controls.

ICAI'S ANSWER

Points the auditor shall consider in assessing and reporting of audit findings in IT Environment and IT Controls are as follows:

(i) Are there any weaknesses in IT controls?

(ii) (What is the impact of these weaknesses on overall audit?

(iii) Report deficiencies to management – Internal controls memo or Management letter.

(iv) Communicate in writing any significant deficiencies to those Charged with governance.

ICAI · P5 · Sep 2025 exam · question p. 26 · answer p. 28

341 EXAM **May 2025** Q1(b) 1 mark

Mention the types of control in an automated environment.

ICAI'S ANSWER

Types of Controls in an automated environment: Controls in an automated environment can be categorised as under: -

(i) General IT controls

(ii) Application controls

(iii) IT-dependent controls

ICAI · P5 · May 2025 exam · question p. 9 · answer p. 11

342 EXAM **May 2025** Q1(b) 4 marks

Identify the type of control in the following table in Column B against Column A which contains areas where controls are to be implemented in an automated environment.

Column A	Column B
Access security	?
Sequence number checks	?
Data centre and network operations	?
Mandatory data fields	?

ICAI'S ANSWER

Column A - Areas where Controls to be implemented	Column B - Type of Controls
Access security	General IT controls
Sequence number checks	Application controls
Data centre and network operations	General IT controls
Mandatory data fields	Application controls

ICAI · P5 · May 2025 exam · question p. 9 · answer p. 12

343 EXAM **Jan 2025** Case Scenario 2 · MCQ 5 to MCQ 8

8 marks

CASE SCENARIO 2

CA F has been appointed as an auditor of a manufacturing entity. Pursuant to appointment, CA

F planned to assess the risk of material misstatement. During this process, CA F observed that entity has identified various controls to mitigate the risk. The entity has implemented a control (named TARGET) whose objective is to ensure that production systems are processed to meet financial reporting objectives.

On completion of risk assessment procedure, CA F was wandering as to how he can verify the existence of related party relationships and transactions. So, he consulted one of his colleagues, CA Z, who suggested following ways to identify the same:

(i) Information supplied by the entity to regulatory authorities.

(ii) Entity's income tax returns.

(iii) Inventory records maintained by the entity.

(iv) Life insurance policies acquired by the entity.

On-going through the financial statement provided by the entity, CA F observed that the entity has significantly borrowed the amount during the financial year 2023-24. CA F wanted to ensure that all borrowing on the balance sheet represent valid claims by banks or other third parties. Accordingly, he performed the following procedures:

(i) Reviewed subsequent transactions after the end of the reporting period.

(ii) Recomputed the interest on borrowing.

(iii) Reviewed board minutes for approval of new lending agreements.

(iv) Agreed loan balance and loan payables to the loan agreement.

CA F decided to perform analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price. For this, CA F scrutinized raw material consumed as per manufacturing account and compared the same with previous years with closing stock. The variations observed were discussed with the management of the entity.

Based on the above facts, answer the following Q. Nos. 5 to 8.

MCQ 5 2 marks

Control "TARGET" will be categorised in which of the following?

- A Data center and network operations
- B Program Control
- C Processing control
- D Application Control

MCQ 6 2 marks

Which of the procedures performed by CA F is suitable for satisfaction of concern regarding borrowing?

- A Procedure (i)
- B Procedure (ii)

C Procedure (iii)

D Procedure (iv)

MCQ 7 2 marks

Do you agree with all the ways suggested by CA Z to CA F?

A No, suggestion (i) is not correct

B No, suggestion (ii) is not correct

C No, suggestion (iii) is not correct

D No, suggestion (iv) is not correct

MCQ 8 2 marks

CA F performed which of the following analytical procedure to obtain the audit evidence with respect to the overall reasonableness of purchase quantity and price of raw material?

A Consumption Analysis

B Stock Composition Analysis

C Trend Analysis

D Ratio Analysis

ICAI'S ANSWERS

MCQ 5

Answer key: **(A)**

MCQ 6

Answer key: **(C)**

MCQ 7

Answer key: **(C)**

MCQ 8

Answer key: **(A)**

ICAI · P5 · Jan 2025 exam · question p. 3-4 · answer p. 9

344 **EXAM** **May 2024** Q3(c) **3 marks**

You are appointed as the auditor of a company manufacturing paints. The company has a robust system of internal control. Most of the controls in the company are automated and they are working effectively. However, in certain situations, manual elements in internal controls are more suitable. What are the circumstances where manual elements in internal controls may be more suitable?

ICAI'S ANSWER

Manual elements vs automated elements in entity's internal control: Manual elements in internal control may be more suitable in the following circumstances:

- Where judgment and discretion are required.
- Large, unusual or non-recurring transactions.
- Circumstances where errors are difficult to define, anticipate or predict.
- In changing circumstances that require a control response outside the scope of an existing automated control.
- In monitoring the effectiveness of automated controls.

ICAI · P5 · May 2024 exam · question p. 10 · answer p. 11

345 EXAM Old P6 Nov 2022 Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

State with reasons whether the following statements are correct or incorrect:(Answer any Seven)

Q1(a) 2 marks

In an automated environment, the relationship between the application controls and the General IT controls over IT systems are not interrelated.

Q1(b) 2 marks

Historical financial information relates to financial information based on assumptions about occurrence of future events and possible actions by an entity.

Q1(c) 2 marks

The auditor shall assemble the audit documentation in the audit file and complete the administrative process of assembling the final audit file before the date of the auditor's report.

Q1(d) 2 marks

Where a firm is appointed as the auditor of a company, the report is signed only in the personal name of the partner signing the report.

Q1(e) 2 marks

The term "Analytical Procedures" means evaluation of financial information through analysis of plausible relationships among financial data and non-financial data.

Q1(f) 2 marks

A company should disclose in its Annual Report, the shares in the company held by each shareholder holding more than 10 percent shares specifying the number of shares held.

Q1(g) 2 marks

As per SA 240, the primary responsibility of an auditor is to detect fraud and error in the financial statements.

Q1(h) 2 marks

Mr. T, the director of A Ltd., has purchased an old car belonging to the company against the cooling equipment belonging to the director, which is given to the company as consideration for the car. The auditor is not required to include this in his CARO report.

ICAI'S ANSWERS

Q1(a)

Incorrect: The relationship between the application controls and the General IT Controls is such that General IT Controls are needed to support the functioning of application controls, and both are needed to ensure complete and accurate information processing through IT systems. These two categories of control over IT systems are interrelated.

Q1(b)

Incorrect: Historical financial information relates to information expressed in financial terms of an entity about economic events, conditions or circumstances occurring in past periods. Whereas financial information based on assumptions about

occurrence of future events and possible actions by an entity relates to prospective financial information.

Q1(c)

Incorrect: The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.

Alternative reason: An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report.

Q1(d)

Incorrect: Where the firm is appointed as the auditor, the report is signed in the personal name of the auditor and in the name of the audit firm. The partner/proprietor signing the audit report also needs to mention the membership number assigned by the Institute of Chartered Accountants of India. They also include the registration number of the firm, wherever applicable, as allotted by ICAI, in the audit reports signed by them.

Alternative Solution:

As per section 145 of the Companies Act, 2013, the person appointed as an auditor of the company shall sign the auditor's report or sign or certify any other document of the company. Whereas if a firm is appointed as an auditor of a company, only the partners who are chartered accountants shall be authorised to act and sign on behalf of the firm.

The partner signing the audit report also needs to mention the membership number assigned by the Institute of Chartered Accountants of India. They also include the registration number of the firm, wherever applicable, as allotted by ICAI, in the audit reports signed by them.

Q1(e)

Correct: As per Standard on Auditing (SA) 520 "Analytical Procedures", the term "analytical procedures" means evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

Q1(f)

Incorrect: Schedule III to the Companies Act, 2013 requires the company to disclose- "shares in the company held by each shareholder holding more

than **5 per cent** shares specifying the number of shares held" in notes to accounts.

Q1(g)

Incorrect: As per SA 240 "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements", the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management. An auditor conducting an audit in accordance with SAs is responsible for obtaining reasonable assurance that the financial statements taken as a whole are free from material misstatement, whether caused by fraud or error.

PassBook's note: The statement names SA 240, which the new-scheme Paper 5 syllabus does not name.

Q1(h)

Incorrect: The auditor is required to report the same as per clause (xv) of Paragraph 3 of CARO, 2020, "whether the company has entered into any non-cash transactions with directors or persons connected with him and if so, whether the provisions of section 192 of Companies Act have been complied with".

ICAI · Old P6 · Nov 2022 exam · question p. 1 · answer p. 1, 2, 2-3

346 EXAM **Old P6 Nov 2022** Q2(d) 3 marks old scheme

In an automated environment, General IT controls are policies and procedures that relate to many applications and support the effective functioning of application controls. One such area is access security.

What is the objective of access security and what are the activities included in it?

ICAI'S ANSWER

Access Security in Automated Environment:

Objective of access security: The objective of Access Security is to ensure that access to programs and data is authenticated and authorized to meet financial reporting objectives.

Activities:

(i) Security Organization & Management

(ii) Security Policies & Procedures

(iii) Application Security

(iv) Data Security

(v) Operating System Security

(vi) Network Security – internal network, perimeter network

(vii) Physical Security – access controls, environment controls

(viii) System Administration & Privileged Accounts – Sysadmins, DBAs, Super users

ICAI · Old P6 · Nov 2022 exam · question p. 3 · answer p. 5

347 EXAM **Old P6 May 2022** Q6(c) 3 marks old scheme

When the company is working in an automated environment, it is not necessary for its auditor to understand its automated environment and depends upon the professional judgement of the auditor as to

whether gaining knowledge of company's IT systems is required or not. Do you agree with this statement?

ICAI'S ANSWER

Understanding and Documenting Automated Environment: When a business operates in a more automated environment it is likely that auditor will see several business functions and activities happening within the systems. Consider the following aspects instead of:

(i) Computation and Calculations are automatically carried out (for example, bank interest computation and inventory valuation).

(ii) Accounting entries are posted automatically (for example, sub-ledger to GL postings is automatic).

(iii) Business policies and procedures, including internal controls, are applied automatically (for example, delegation of authority for journal approvals, customer credit limit checks are performed automatically).

(iv) Reports used in business are produced from systems. Management and other stakeholders rely on these reports and information produced (for example, debtors ageing report).

(v) User access and security are controlled by assigning system roles to users (**for example,** segregation of duties can be enforced effectively).

Companies derive benefit from the use of IT systems as an enabler to support various business operations and activities. Auditors need to

understand the relevance of these IT systems to an audit of financial statements.

While it is true that the use of IT systems and automation benefit the business by making operations more accurate, reliable, effective and efficient, such systems also introduce certain new risks, including IT specific risks, which need to be considered, assessed and addressed by management.

To the extent that it is relevant to an audit of financial statements, even auditors are required to understand, assess and respond to such risks that arise from the use of IT systems.

From the above discussion, it is quite apparent that it is necessary for an auditor to understand the automated environment.

Alternative Solution

Understanding and Documenting Automated Environment: In an audit of financial statements, an auditor is required to understand the entity and its business, including IT as per SA 315. Understanding the entity and its automated environment involves understanding how IT department is organised, IT activities, the IT dependencies, relevant risks and controls.

Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment:

(i) Information systems being used (one or more application systems and what they are).

(ii) Their purpose (financial and non-financial).

(iii) Location of IT systems - local vs global.

(iv) Architecture (desktop based, client-server, web application, cloud based).

(v) Version (functions and risks could vary in different versions of same application).

(vi) Interfaces within systems (in case multiple systems exist).

(vii) In-house vs Packaged.

(viii) Outsourced activities (IT maintenance and support).

(ix) Key persons (CIO, CISO, Administrators).

The understanding of a company's IT environment that is obtained should be documented.

From the above discussion, it is quite apparent that it is necessary for an auditor to understand the automated environment.

ICAI · Old P6 · May 2022 exam · question p. 14 · answer p. 16-18

348 EXAM **Old P6 Dec 2021** Q2(d) 3 marks old scheme

Same question, different ICAI answer: #355 Old P6 RTP Nov 2023

When a business operates in a more automated environment, we are likely to see several business functions and activities happening within the systems. List down the business functions and activities happening within the systems.

ICAI'S ANSWER

Relevance of Information Technology in an Audit:

When a business operates in a more automated environment it is likely that we will see several business functions and activities happening within the systems. Consider the following aspects instead of:

(i) Computation and Calculations are automatically carried out (for example, bank interest computation and inventory valuation).

(ii) Accounting entries are posted automatically (for example, sub-ledger to GL postings is automatic).

(iii) Business policies and procedures, including internal controls, are applied automatically (for example, delegation of authority for journal approvals, customer credit limit checks are performed automatically).

(iv) Reports used in business are produced from systems. Management and other stakeholders rely on these reports and information produced (for example, debtors ageing report).

(v) User access and security are controlled by assigning system roles to users **(for example,** segregation of duties can be enforced effectively).

PassBook's note: The January 2027 Study Material teaches the automated environment and its key features (Risk Assessment and Internal Control) but not this list of functions.

ICAI · Old P6 · Dec 2021 exam · question p. 3 · answer p. 4-5

349 EXAM **Old P6 Jul 2021** Q3(d) 3 marks old scheme

Foreceful Limited is a company dealing in mobile spare parts and having its showrooms in almost all the states in the country. For FY 2020-21, the company transferred its accounts from manual to computerized system (SAP). PQR & Co., Chartered Accountants have specialization in the system audit and have been appointed as the system auditor. PQR & Co., at the end of the audit concludes that there are certain findings or exceptions in IT environment and IT controls of the company which needs to be assessed and reported. Mention those points of consideration.

ICAI'S ANSWER

At the conclusion of each audit, it is possible that there will be certain findings or exceptions in IT environment and IT controls of the company that need to be assessed and reported to relevant stakeholders including management and those charged with governance viz., Board of directors, Audit committee.

Some points to consider are as follows:

- Are there any weaknesses in IT controls?
- What is the impact of these weaknesses on overall audit?

- Report deficiencies to management – Internal Controls Memo or Management Letter.
- Communicate in writing any significant deficiencies to Those Charged With Governance.

The auditor needs to assess each finding or exception to determine impact on the audit and evaluate if the exception results in a deficiency in internal control.

ICAI · Old P6 · Jul 2021 exam · question p. 37 · answer p. 38-39

350 **EXAM** **Old P6 Nov 2020** Q3(d) **3 marks** **old scheme**

Also asked in Old P6 MTP Nov 2022 S-I Q3(c)

Analyse how risks in the IT system if not mitigated could have an impact on the audit.

ICAI'S ANSWER

When risks in IT systems are not mitigated, the audit impact could be as follows:

(i) First, we may not be able to rely on the reports, data obtained from systems where such risk exist. This means all forms of data, information or reports that we obtains from system for the purpose of audit has to be thoroughly tested and corroborated for completeness and accuracy.

(ii) Second, we will not be able to rely on automated controls, calculations and accounting procedures that are built into the application. Additional audit work may be required in this case.

(iii) Third, due to the regulatory requirement of auditors to report on internal financial controls of a company, the audit report also may have to be modified in some instances.

ICAI · Old P6 · Nov 2020 exam · question p. 4 · answer p. 6

351 EXAM **Old P6 Nov 2019** Q2(d) 3 marks old scheme

Also asked in Old P6 MTP May 2023 S-II Q3(c)

The auditor's responsibility includes reporting on Internal Financial Controls over Financial Reporting which includes an understanding IT environment of the company and relevant risks and controls. Mention any three situations where IT will be relevant to an audit.

ICAI'S ANSWER

With the introduction of the Companies Act 2013, there is greater emphasis given to internal financial controls (IFC) from a regulatory point of view. Directors and those charged with governance (including Board of directors, Audit committee) are responsible for the implementation of internal controls framework within the company. The auditors' responsibilities now include reporting on Internal Financial Controls over Financial Reporting which include and understanding IT environment of the company and relevant risks & controls.

Following are some situations in which IT will be relevant to an audit,

(i) Increased use of Systems and Application software in Business (for example, use of ERPs)

(ii) Complexity of transactions has increased (multiple systems, network of systems)

(iii) Hi-tech nature of business (Telecom, e-Commerce).

(iv) Volume of transactions are high (Insurance, Banking, Railways ticketing).

(v) Company Policy (Compliance).

(vi) Regulatory requirements - Companies Act 2013 IFC, IT Act 2008.

(vii) Required by Indian and International Standards - ISO, PCI-DSS, SA 315, SOC, ISAE

(viii) Increases efficiency and effectiveness of audit.

PassBook's note: The January 2027 Study Material teaches the automated environment, IT risks and internal financial controls (Risk Assessment and Internal Control) but not this list of situations where IT is relevant to an audit.

ICAI · Old P6 · Nov 2019 exam · question p. 3 · answer p. 4-5

352 RTP **May 2025** Q11

In an automated environment, General IT controls are policies and procedures that relate to many applications and support the effective functioning of application controls. It includes access security as well as program change. What are the objectives and activities included in access security and program change?

ICAI'S ANSWER

Access Security in Automated Environment:

The objective of Access Security is to ensure that access to programs and data is authenticated and authorized to meet financial reporting objectives.

Activities:

(i) Security Organization & Management

(ii) Security Policies & Procedures

(iii) Application Security

(iv) Data Security

(v) Operating System Security

(vi) Network Security

(vii) Physical Security

Program Change in Automated Environment:

The objective of program change controls is to ensure that modified systems continue to meet financial reporting objectives.

It includes activities such as change in management process, recording, managing and tracking change requests, making and testing changes etc.

ICAI · P5 · RTP May 2025 · question p. 5 · answer p. 10

353 RTP **May 2024** Q6

IT related risks can have an impact on audit. In what different ways, such risks can have an impact on audit of financial statements?

ICAI'S ANSWER

IT related risks can have an impact on audit in different ways discussed as under: -

Impact on substantive checking

Inability to address IT risks may lead to non-reliance of data obtained from systems. In such a case, all information, data, and reports would have to be tested thoroughly for their completeness and accuracy. It could lead to increased substantive checking i.e. detailed checking.

Impact on controls

It can lead to non-reliance on automated controls, system calculations and accounting procedures built into applications. It may result in additional audit work.

Impact on reporting

Due to regulatory requirements in respect of internal financial controls in case of companies, it may lead to modification of auditor's report in some instances.

ICAI · P5 · RTP May 2024 · question p. 9 · answer p. 20

354 RTP **Old P6 Nov 2023** General MCQ 4 MCQ old scheme

Which of the following is a risk that arises from the use of IT systems?

A Direct data changes (backend changes).

B Limited/Monitored access.

C Adequate segregation of duties.

D Authorized access to data.

ICAI'S ANSWER

(A) Direct data changes (backend changes).

ICAI · Old P6 · RTP Nov 2023 · question p. 9-10 · answer p. 15

355 **RTP** **Old P6 Nov 2023** Q13 old scheme

Same question, different ICAI answer: #348 Old P6 Exam Dec 2021

When a business operates in a more automated environment, we are likely to see several business functions and activities happening within the systems. List down the business functions and activities happening within the systems.

ICAI'S ANSWER

Relevance of Information Technology in an Audit: When a business operates in a more automated environment it is likely that we will see several business functions and activities happening within the systems. Following are such types of functions and activities:

(i) Computation and Calculations are automatically carried out (for example, bank interest computation and inventory valuation).

(ii) Accounting entries are posted automatically (for example, sub-ledger to GL postings is automatic).

(iii) Business policies and procedures, including internal controls, are applied automatically (for

example, delegation of authority for journal approvals, customer credit limit checks are performed automatically).

(iv) Reports used in business are produced from systems. Management and other stakeholders rely on these reports and information produced (for example, debtors ageing report).

(v) User access and security are controlled by assigning system roles to users **(for example,** segregation of duties can be enforced effectively).

PassBook's note: The January 2027 Study Material teaches the automated environment in its Risk Assessment and Internal Control chapter.

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 24

356 **RTP** **Old P6 Nov 2023 Q14** old scheme

Also asked in Old P6 RTP Nov 2022 Q13

List the points that an auditor should consider to obtain an understanding of the Company's automated environment.

ICAI'S ANSWER

Understanding of the Company's Automated Environment: Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment

- Information systems being used (one or more application systems and what they are)

- their purpose (financial and non-financial)
- Location of IT systems - local vs global
- Architecture (desktop based, client-server, web application, cloud based)
- Version (functions and risks could vary in different versions of same application)
- Interfaces within systems (in case multiple systems exist)
- In-house vs Packaged
- Outsourced activities (IT maintenance and support)
- Key persons (CIO, CISO, Administrators)

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 24-25

357 RTP **Old P6 May 2023** Case scenario · Q13(i) to Q13(v)

old scheme

CASE SCENARIO

With respect to audit in an automated environment, explain the following:

Q13(i)

CAATs

Q13(ii)

Data Analytics

Q13(iii)

Database

Q13(iv)

Information Systems

Q13(v)

Privileged access

ICAI'S ANSWERS

Q13(i)

CAATs: Computer Assisted Audit Techniques (CAATs), are a collection of computer-based tools and techniques that are used in an audit for analysing data in electronic form to obtain audit evidence.

Q13(ii)

Data Analytics: A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information.

Q13(iii)

Database: A logical subsystem within a larger information system where electronic data is stored in a predefined form and retrieved for use.

Q13(iv)

Information Systems: Refers to a collection of electronic hardware, software, networks and processes that are used in a business to carry out operations and transactions.

Q13(v)

Privileged access: A type of super user access to information systems that enforces less or no limits on using that system.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 21

358 RTP Old P6 May 2023 Q14 old scheme

The auditor's responsibility includes reporting on Internal Financial Controls over Financial Reporting which includes an understanding IT environment of the company and relevant risks and controls. Mention the situations where IT will be relevant to an audit.

ICAI'S ANSWER

With the introduction of the Companies Act 2013, there is greater emphasis given to internal financial controls (IFC) from a regulatory point of view. Directors and those charged with governance (including Board of directors, Audit committee) are responsible for the implementation of internal controls framework within the company. The auditors' responsibilities now include reporting on Internal Financial Controls over Financial Reporting which include and understanding IT environment of the company and relevant risks & controls.

Following are some situations in which IT will be relevant to an audit :

(i) Increased use of Systems and Application software in Business (for example, use of ERPs)

(ii) Complexity of transactions has increased (multiple systems, network of systems)

(iii) Hi-tech nature of business (Telecom, e-Commerce).

(iv) Volume of transactions are high (Insurance, Banking, Railways ticketing).

(v) Company Policy (Compliance).

(vi) Regulatory requirements - Companies Act 2013 IFC, IT Act 2008.

(vii) Required by Indian and International Standards - ISO, PCI-DSS, SA 315, SOC, ISAE

(viii) Increases efficiency and effectiveness of audit.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 21

359 **RTP** **Old P6 Nov 2022 Q14** old scheme

Which are specific risks to the company's internal control having IT environment?

ICAI'S ANSWER

IT poses specific risks to the Company's internal control, which include-

(i) Reliance on systems or programs that are inaccurately processing data, processing inaccurate data, or both.

(ii) Unauthorised access to data that may result in destruction of data or improper changes to data, including the recording of unauthorised or nonexistent transactions, or inaccurate recording of transactions. Particular risks may arise where multiple users access a common database.

(iii) The possibility of IT personnel gaining access privileges beyond those necessary to perform their assigned duties thereby breaking down segregation of duties.

(iv) Unauthorised changes to data in master files.

(v) Unauthorised changes to systems or programs.

(vi) Failure to make necessary changes to systems or programs. Inappropriate manual intervention.

(vii) Potential loss of data or inability to access data as required.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 24

360 RTP **Old P6 May 2022**

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

SaveLives Limited is a listed Company which deals in the manufacture of Sanitizers, floor cleaners, dish and fabric cleaners etc. In spite of spread of covid 19 in the country, the company's sales have been very high in the last financial year due to essential products it deals in. The Company is highly automated and is driven by IT systems and applications that are used in the preparation of the financial statements of the Company. The Company uses an integrated enterprise resource planning system since last five years.

KRAN & Associates has been appointed to conduct the statutory audit of the Company. The firm consists of eight partners, and CA N has been appointed as engagement partner for the audit of SaveLives Limited.

CA N briefed the team about the audit and also how IT would be relevant to the audit of SaveLives Limited. The team obtained an understanding of the entity and its automated environment which involved an understanding of how the IT department was organised, IT activities, IT dependence and the relevant risks and controls.

One of the team members wanted to understand the importance of different types of controls in an automated environment viz., General IT Controls, Application Controls and IT- Dependent Controls. Same was discussed in detail along with the relationship between different controls.

The Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on the internal controls for a company. So, CA N decided to himself evaluate and validate the design and operating effectiveness of Internal Financial Controls over Financial Reporting (IFC-FR) of the company as at the Balance Sheet date. Internal Financial Controls (IFC) refers to the policies and procedures put in place by SaveLives Limited for ensuring adequacy and also the operating effectiveness of such controls.

The audit team decided to use the tools and techniques that auditors use in applying the principles of data analytics which are known as CAATs. Data analytics could also be used in testing of electronic records and data residing in IT systems

using spreadsheets and specialised audit tools viz., IDEA and ACL to perform various functions.

MCQ 1.1

Under which situation is IT not relevant to an audit?

- A Increased complexity of transactions
- B Hi-tech nature of business
- C Volume of transactions is low
- D Company Policy (Compliance).

MCQ 1.2

Which of the following is a risk that arises from the use of IT systems?

- A Direct data changes (backend changes).
- B Limited/Monitored access.
- C Adequate segregation of duties.
- D Authorized access to data.

MCQ 1.3

The relationship between two controls is such that _____ are needed to support the functioning of _____, and both are needed to ensure complete and accurate information processing through IT systems.

- A IT Dependent Controls, General Controls
- B Application Controls, General Controls.
- C General Controls, IT Dependent Controls.

D General IT Controls, Application Controls.

MCQ 1.4

The term Internal Financial Controls (IFC) refers to the policies and procedures put in place by companies for ensuring which of the following:

A reliability of financial transactions.

B effectiveness and efficiency of operations.

C safeguarding of human resources.

D prevention and detection of errors.

MCQ 1.5

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialized audit tools viz., IDEA and ACL to perform which of the following:

A Evaluating impact of control deficiencies.

B Compliance with applicable laws and regulations.

C Authorized changes to system or programs.

D Providing latest information.

ICAI'S ANSWERS

MCQ 1.1

(C) Volume of transactions is low

MCQ 1.2

(A) Direct data changes (backend changes).

MCQ 1.3

(D) General IT Controls, Application Controls.

MCQ 1.4

(B) effectiveness and efficiency of operations.

MCQ 1.5

(A) Evaluating impact of control deficiencies.

ICAI · Old P6 · RTP May 2022 · question p. 2-3 · answer p. 12

361 RTP **Old P6 May 2022** General MCQ 1 MCQ old scheme

A type of super user access to information systems that enforces less or no limits on using that system is known as:

A Super access.

B Super user access.

C Unlimited access.

D Privileged access.

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP May 2022 · question p. 6 · answer p. 12

362 RTP **Old P6 May 2022** Q9(a) old scheme

Generally, IT benefits an entity's internal control by enabling an entity to enhance the timeliness, availability, and accuracy of information. Discuss explaining the other relevant points in the above context.

ICAI'S ANSWER

Generally, IT benefits an entity's internal control by enabling an entity to:

(i) Consistently apply predefined business rules and perform complex calculations in processing large volumes of transactions or data;

(ii) Enhance the timeliness, availability, and accuracy of information;

(iii) Facilitate the additional analysis of information;

(iv) Enhance the ability to monitor the performance of the entity's activities and its policies and procedures;

(v) Reduce the risk that controls will be circumvented; and

(vi) Enhance the ability to achieve effective segregation of duties by implementing security controls in applications, databases, and operating systems.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 20

363 RTP **Old P6 May 2022** Q13 old scheme

With respect to audit in an automated environment, explain the following:

(i) Applications

(ii) Automated

(iii) CAATs

(iv) Data Processing

(v) General (IT) Controls

ICAI'S ANSWER

(i) Applications: These are computer software programs that provide a medium for recording, storage and retrieval of business operations or transactions in electronic format.

(ii) Automated: A task or activity that is routinely performed by a computer system and does not require manual effort

(iii) CAATs: Short form for Computer Assisted Audit Techniques, are a collection of computer-based tools and techniques that are used in an audit for analysing data in electronic form to obtain audit evidence.

(iv) Data Processing: Refers to the systematic recording, storage, retrieval, modification and transformation of electronic data using information systems.

(v) General (IT) Controls: Are a type of internal controls that help in mitigating risks that arise due to use of information technology and information systems in a business.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 22-23

364 **RTP** **Old P6 Dec 2021** **Q13** old scheme

The auditor should consider relevance of IT in an audit of financial statements. Explain giving reasons.

ICAI'S ANSWER

The auditor should consider relevance of IT in an audit of financial statements for the following reasons:

(a) Since auditors rely on the reports and information generated by IT systems, there could be risk in the IT systems that could have an impact on audit.

(b) Standards on auditing SA 315 and SA 330 require auditors to understand, assess and respond to risks that arise from the use of IT systems.

(c) By relying on automated controls and using data analytics in an audit, it is possible to increase the effectiveness and efficiency of the audit process.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 135-136

365 **RTP** **Old P6 Dec 2021** Q14 old scheme

Same question, different ICAI answer: #377 Old P6 MTP May 2023 S-I

Describe how risks in IT systems, if not mitigated, could have an impact on audit.

ICAI'S ANSWER

When risks in IT systems are not mitigated the audit impact could be as follows:

(i) First, auditors may not be able to rely on the data obtained from systems where such risks exist. This means, all forms of data, information or reports that they obtain from systems for the purpose of audit

has to be thoroughly tested and corroborated for completeness and accuracy.

(ii) Second, auditors will not be able to rely on automated controls, calculations, accounting procedures that are built into the applications. Additional audit work may be required in this case.

(iii) Third, due to the regulatory requirement of auditors to report on internal financial controls of a company, the audit report also may have to be modified in some instances.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 136

366 **RTP** **Old P6 Jul 2021** **Q13** old scheme

Objective of Data Center and Network Operations is to ensure that production systems are processed to meet financial reporting objectives. Discuss the activities performed by Data Center and Network operations. Also explain the meaning of General IT Controls in detail.

ICAI'S ANSWER

"General IT controls are policies and procedures that relate to many applications and support the effective functioning of application controls. They apply to mainframe, miniframe, and end-user environments.

General IT-controls that maintain the **integrity** of information and **security of data** commonly include controls over the following:"

(i) Data center and network operations

(ii) Program change

(iii) Access security

(iv) Application system acquisition, development, and maintenance (Business Applications)

These are IT controls generally implemented to mitigate the IT specific risks and applied commonly across multiple IT systems, applications and business processes. Hence, General IT controls are known as “pervasive” controls or “indirect” controls. Let us now learn about each of the General IT controls in more detail.

Data Center and Network Operations

Objective: To ensure that production systems are processed to meet financial reporting objectives.

Activities:

1. Overall Management of Computer Operations Activities
2. Batch jobs – preparing, scheduling and executing
3. Backups – monitoring, storage & retention
4. Performance Monitoring – operating system, database and networks
5. Recovery from Failures – BCP, DRP
6. Help Desk Functions – recording, monitoring & tracking
7. Service Level Agreements – monitoring & compliance

8. Documentation – operations manuals, service reports

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 135-136

367 **RTP** **Old P6 Nov 2020** **Q13** old scheme

With the increasing adoption of information technology, business today relies on software systems and applications more than ever. Many of these IT systems generate and process data that is used in the preparation of financial statements of a company. The auditors also often rely on the data and reports that are generated from these systems. Explain stating clearly the meaning of Automated environment with example.

ICAI'S ANSWER

With the increasing adoption of information technology, business today relies on software systems and applications more than ever. Many of these IT systems generate and process data that is used in the preparation of financial statements of a company. The auditors also often rely on the data and reports that are generated from these systems. In this context, it is critical to understand the IT specific risks that could potentially impact the integrity and reliability of financial transactions and data flowing through a company's systems.

An automated environment basically refers to a business environment where the processes, operations, accounting and even decisions are carried out by using computer systems – also known

as Information Systems (IS) or Information Technology (IT) systems. Nowadays, it is very common to see computer systems being used in almost every type of business.

Example

Think about how banking transactions are carried out using ATMs (Automated Teller Machines), or how tickets can be purchased using “apps” on mobile phones, etc. In these examples, you can see how these computer systems enable us to transact business at any time and any day.

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 24

368 RTP **Old P6 Nov 2020** Q14 old scheme

Also asked in Old P6 MTP May 2022 S-II Q3(c)

When a business operates in a more automated environment it is likely that we, as auditors, will see several business functions and activities happening within the systems. Explain which of the aspect you will consider relevant as an auditor.

ICAI’S ANSWER

When a business operates in a more automated environment it is likely that we, as auditors, will see several business functions and activities happening within the systems. As an auditor, there is a need to consider the following aspects :

- Computation and Calculations are automatically carried out (for example, bank interest

computation and inventory valuation).

- Accounting entries are posted automatically (for example, sub-ledger to GL postings are automatic).
- Business policies and procedures, including internal controls, are applied automatically (for example, delegation of authority for journal approvals, customer credit limit checks are performed automatically).
- Reports used in business are produced from systems. Management and other stakeholders rely on these reports and information produced (for example, debtors ageing report).
- User access and security are controlled by assigning system roles to users (for example, segregation of duties can be enforced effectively).

PassBook's note: The January 2027 Study Material teaches the automated environment in its Risk Assessment and Internal Control chapter.

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 24-25

369 **RTP** **Old P6 May 2020**

Integrated Case Scenario-1 · Integrated Case Scenario-1, MCQ 1 to Integrated Case Scenario-1, MCQ 5

old scheme

INTEGRATED CASE SCENARIO-1

M/s NSG & Associates have been appointed as auditors of Viaan Ltd. for the financial year 2019-20. The processes, operations, accounting and decisions are carried out by using computers in Viaan Ltd. The

auditors understand that there are several aspects that they should consider to determine the level of automation and complexity in the business environment of Viaan Ltd. While planning the audit work, the engagement partners discussed with the audit staff about the various types of controls in the automated environment.

The different types of audit tests that can be used in audit of an automated business environment were also discussed within the engagement team. The responsibility regarding the Internal Financial Controls was also discussed in detail. Further the tools and techniques that can be used to deal with the enormous data and information of Viaan Ltd. were briefed to the audit staff by the engagement partners.

Based on the above facts, answer the following:-

Integrated Case Scenario-1, MCQ 1

..... are the manual controls that make use of some form of data or information or report produced from the IT systems and applications.

A Application Controls

B IT dependent Controls

C Automated Controls

D General IT Controls

Integrated Case Scenario-1, MCQ 2

Statement 1: Application controls include both manual and automated controls that operate at a business

process level.

Statement 2: General IT Controls apply to mainframe, miniframe as well as end user environment.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both Statements 1 & 2 are correct

D Both Statements 1 & 2 are incorrect

Integrated Case Scenario-1, MCQ 3

..... are also known as pervasive or indirect controls :-

A General IT Controls

B Application Controls

C IT dependent Controls

D None of the above

Integrated Case Scenario-1, MCQ 4

Which of the following are not the types of audit tests that can be used in the audit in an automated environment?

A Observation

B Inspection

C Re performance

D None of the above

Integrated Case Scenario-1, MCQ 5

..... is the combination of processes, tools and techniques that are used to tap vast amounts of

electronic data to obtain meaningful information:-

A Computer Assisted Audit Techniques

B Automated Controls

C Data Analytics

D None of the above

ICAI'S ANSWERS

Integrated Case Scenario-1, MCQ 1

(B)

Integrated Case Scenario-1, MCQ 2

(C)

Integrated Case Scenario-1, MCQ 3

(A)

Integrated Case Scenario-1, MCQ 4

(D)

Integrated Case Scenario-1, MCQ 5

(C)

ICAI · Old P6 · RTP May 2020 · question p. 1 · answer p. 10, 11

370 RTP **Old P6 May 2020** Q14 old scheme

Explain some of the commonly used methods for testing in an automated environment.

ICAI'S ANSWER

When testing in an automated environment, some of the more common methods are as follows:

- Obtain an understanding of how an automated transaction is processed by doing a walkthrough

of one end-to-end transaction using a combination of inquiry, observation and inspection.

- Observe how a user processes transactions under different scenarios.
- Inspect the configuration defined in an application.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 21

371 RTP **Old P6 Nov 2019** Q13 old scheme

Give some of the points that an auditor should consider to obtain an understanding of the company's automated environment:

ICAI'S ANSWER

Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment:

- Information systems being used (one or more application systems and what they are).
- Their purpose (financial and non-financial).
- Location of IT systems - local vs global.
- Architecture (desktop based, client-server, web application, cloud based).
- Version (functions and risks could vary in different versions of same application).
- Interfaces within systems (in case multiple systems exist).
- In-house vs Packaged.

- Outsourced activities (IT maintenance and support).
- Key persons (CIO, CISO, Administrators).

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 22

372 RTP **Old P6 Nov 2019 Q14** old scheme

Having obtained an understanding of the IT systems and the automated environment of a company, the auditor should understand the risks that arise from the use of IT systems. Explain those risks.

ICAI'S ANSWER

Having obtained an understanding of the IT systems and the automated environment of a company, the auditor should now understand the risks that arise from the use of IT systems.

Given below are some such risks that should be considered:

- Inaccurate processing of data, processing inaccurate data, or both.
- Unauthorized access to data.
- Direct data changes (backend changes).
- Excessive access / Privileged access (super users).
- Lack of adequate segregation of duties.
- Unauthorized changes to systems or programs.
- Failure to make necessary changes to systems or programs.
- Loss of data.

373 MTP **Sep 2026 S-I** Q6(c) 4 marks

M/s TKR & Associates, Chartered Accountants, were conducting the statutory audit of Digital Solutions Ltd., a company operating in a highly automated environment. During the audit, the auditors tested various IT controls relating to user access management, change management, automated processing of transactions and system-generated reports.

While performing audit procedures, the audit team identified certain exceptions, including unauthorized access rights remaining active for former employees, absence of review of privileged user activities and inadequate documentation of changes made to key applications. The engagement partner discussed these findings with the audit team and emphasized the need to evaluate their impact on the audit and determine whether they represented deficiencies in internal control.

The engagement partner further stated that identified deficiencies may require communication to management as well as those charged with governance, depending upon their significance. He also advised the audit team to assess each finding individually as well as collectively before reaching any conclusion.

In the light of the above facts, explain how audit findings and control deficiencies in an automated environment should be assessed and reported.

ICAI'S ANSWER

At the conclusion of each audit, it is possible that there will be certain findings or exceptions in IT environment and IT controls of the company that need to be assessed and reported to relevant stakeholders including management and those charged with governance viz., Board of directors, Audit committee.

Some points to consider are as follows:

- Are there any weaknesses in IT controls?
- What is the impact of these weaknesses on overall audit?
- Report deficiencies to management – Internal controls memo or Management letter.
- Communicate in writing any significant deficiencies to those Charged with governance.

The auditor needs to assess each finding or exception to determine impact on the audit and evaluate if the exception results in a deficiency in internal control.

A deficiency in internal control exists if a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis; or the control is missing. Evaluation and assessment of audit findings and control deficiencies involve applying professional judgement that include considerations for quantitative and qualitative measures. Each finding

should be looked at individually and in the aggregate by combining with other findings/deficiencies.

In the given case of Digital Solutions Ltd., the auditor should evaluate whether the identified weaknesses in user access controls, privileged user monitoring and change management controls constitute deficiencies in internal control and assess their impact on the audit. The findings should be evaluated both individually and collectively using professional judgement. Any deficiencies identified should be communicated to management through an Internal Controls Memo or Management Letter, while significant deficiencies should be communicated in writing to those charged with governance.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 17-18 · answer p. 16-17

374 MTP **May 2026 S-II** Q6(c) 4 marks

FRN Ltd. is a technology-driven company where most transactions such as sales, purchases, and inventory movements are processed through an automated ERP system. The auditor observed that the company relies heavily on system-based processing, with minimal manual intervention.

During the audit, it was noted that certain General IT Controls (GITCs), particularly relating to access controls and change management, are either not in place or are ineffective. The auditor is required to evaluate the effectiveness of controls and decide on

appropriate audit procedures in such an automated environment.

Explain the testing methods to be used by the auditor in an automated environment and the course of action where GITCs are ineffective.

ICAI'S ANSWER

There are basically four types of audit tests that should be used, namely inquiry, observation, inspection and reperformance.

Inquiry is the most efficient audit test but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient. Reperformance is most effective as an audit test and gives the best audit evidence. However, testing by reperformance could be very time consuming and least efficient most of the time. Generally, applying inquiry in combination with inspection gives the most effective and efficient audit evidence. However, which audit test to use, when and in what combination is a matter of professional judgement and will vary depending on several factors including risk assessment, control environment, desired level of evidence required, history of errors/misstatements, complexity of business, assertions being addressed etc. The auditor should document the nature of test (or combination of tests) applied along with the judgements in the audit file.

In the context of FRN Ltd., while testing in an automated environment, some of the more common methods are as follows:

- Obtain an understanding of how an automated transaction is processed by doing a walkthrough of one end-to-end transaction using a combination of inquiry, observation and inspection.
- Observe how a user processes transactions under different scenarios.
- Inspect the configuration defined in an application.

Where the general IT controls are not existing or existing but ineffective, the auditor should assess the impact of IT risks and complexity of the automated environment in which the business operations take place and plan alternative audit procedures in order to rely on the system-based information. This may include performing additional substantive procedures and reducing reliance on automated controls.

Thus, the auditor should apply an appropriate combination of audit testing methods based on professional judgement and, in case of ineffective GITCs, design alternative procedures to obtain sufficient and appropriate audit evidence.

ICAI · P5 · MTP May 2026 · Series II · question p. 15-16 · answer p. 14

375 MTP May 2024 S-I Q6(d) 3 marks

Given below is a table containing Column A and Column B. Column A contains description of certain controls in an automated environment. Complete Column B by stating appropriate type of control.

Column A (Description of control in an automated environment)	Column B (Type of control)
Reasonableness checks	?
Controls over Data centre and network operations	?
Controls over application system acquisition, development and maintenance	?
Program change controls	?

ICAI'S ANSWER

Column A (Description of control in an automated environment)	Column B (Type of control)
Reasonableness checks	Application controls
Controls over Data centre and network operations	General IT controls
Controls over application system acquisition, development and maintenance	General IT controls

Column A (Description of control in an automated environment)	Column B (Type of control)
Program change controls	General IT controls

ICAI · P5 · MTP May 2024 · Series I · question p. 13 · answer p. 11

376 MTP **Old P6 Nov 2023 S-I** Q3(c) 3 marks old scheme

Also asked in Old P6 MTP Nov 2019 S-I Q5(a)

Understanding the entity and its automated environment involves understanding how IT department is organised, IT activities, the IT dependencies, relevant risks and controls.

Explain stating the points that an auditor should consider to obtain an understanding of the company's automated environment.

ICAI'S ANSWER

Understanding and Documenting Automated Environment: Understanding the entity and its automated environment involves understanding how IT department is organised, IT activities, the IT dependencies, relevant risks and controls.

Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment

- Information systems being used (one or more application systems and what they are)
- their purpose (financial and non-financial)

- Location of IT systems - local vs global
- Architecture (desktop based, client-server, web application, cloud based)
- Version (functions and risks could vary in different versions of same application)
- Interfaces within systems (in case multiple systems exist)
- In-house vs Packaged
- Outsourced activities (IT maintenance and support)
- Key persons (CIO, CISO, Administrators)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 5

377 MTP **Old P6 May 2023 S-I** Q3(c) 3 marks old scheme

Same question, different ICAI answer: #365 Old P6 RTP Dec 2021

Describe how risks in IT systems, if not mitigated, could have an impact on audit.

ICAI'S ANSWER

When risks in IT systems are not mitigated the audit impact could be as follows:

(i) The auditor may not be able rely on the reports, data obtained, automated controls, calculations and accounting procedures in the IT system.

(ii) The auditor has to perform additional audit work by spending more time and efforts.

(iii) The auditor may have to issue a modified opinion, if necessary.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 4

378 MTP **Old P6 May 2023 S-II** General MCQ 9 1 mark
MCQ old scheme

_____ are needed to support the functioning of _____

A General IT Controls; Application Controls

B Application Controls; General IT Controls

C IT Dependent Controls; General IT Controls

D Application Controls; IT Dependent Controls

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5 · answer p. 1

379 MTP **Old P6 Nov 2022 S-II** Q3(c) 3 marks old scheme

Explain the objective and enlist the activities involved in the General IT Controls over "Program Change".

ICAI'S ANSWER

General IT Controls are IT controls generally implemented to mitigate the IT specific risks and applied commonly across multiple IT systems, applications and business processes. Hence, General IT controls are known as "pervasive" controls or "indirect" controls.

Program Change

Objective: To ensure that modified systems continue to meet financial reporting objectives.

Activities:

- Change Management Process – definition, roles & responsibilities
- Change Requests – record, manage, track
- Making Changes – analyze, design, develop
- Test Changes – test plan, test cases, UAT
- Apply Changes in Production
- Emergency & Minor Changes
- Documentation – user/technical manuals
- User Training

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 4

380 MTP **Old P6 May 2022 S-I** Q3(b) 4 marks old scheme

Explain some of the points that an auditor should consider to obtain an understanding of the company's automated environment.

ICAI'S ANSWER

Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment:

- Information systems being used (one or more application systems and what they are).
- Their purpose (financial and non-financial).
- Location of IT systems - local vs global.
- Architecture (desktop based, client-server, web application, cloud based).

- Version (functions and risks could vary in different versions of same application).
- Interfaces within systems (in case multiple systems exist).
- In-house vs Packaged.
- Outsourced activities (IT maintenance and support).
- Key persons (CIO, CISO, Administrators).

The understanding of a company's IT environment that is obtained should be documented

ICAI · Old P6 · MTP May 2022 · Series I · question p. 7 · answer p. 5

381 MTP **Old P6 Dec 2021 S-I** Q3(b) 4 marks old scheme

List any five points that an auditor should consider to obtain an understanding of the Company's automated environment.

ICAI'S ANSWER

Understanding of the Company's Automated Environment: Given below are some of the points that an auditor should consider to obtain an understanding of the company's automated environment

- Information systems being used (one or more application systems and what they are)
- their purpose (financial and non-financial)
- Location of IT systems - local vs global

- Architecture (desktop based, client-server, web application, cloud based)
- Version (functions and risks could vary in different versions of same application)
- Interfaces within systems (in case multiple systems exist)
- In-house vs Packaged
- Outsourced activities (IT maintenance and support)
- Key persons (CIO, CISO, Administrators)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 4

382 MTP **Old P6 Jul 2021 S-I** Q6(a) 4 marks old scheme

With respect to audit in an automated environment, explain the following: (any four)

(i) Data Processing

(ii) ERP (Enterprise Resource Planning)

(iii) General IT control

(iv) Automated

(v) Direct Data change

ICAI'S ANSWER

(i) Data Processing: Refers to the systematic recording, storage, retrieval, modification and transformation of electronic data using information systems.

(ii) ERP (Enterprise Resource Planning):

A type of business application software that provides an integrated platform to automate multiple interrelated business processes and operations.

(iii) General IT Control: Are a type of internal controls that help in mitigating risks that arise due to use of information technology and information systems in a business.

(iv) Automated: A task or activity that is routinely performed by a computer system and does not require manual effort.

(v) Direct Data Change: A backend modification that is made directly to data that is stored in a database bypassing business rules built-in to a business application software.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 8

383 MTP **Old P6 Jul 2021 S-II** Q6(a) 4 marks old scheme

With respect to audit in an automated environment, explain the following: (any **four**)

(i) Applications

(ii) Control Deficiency

(iii) Data Processing

(iv) Enterprise Resource Planning

(v) Software

ICAI'S ANSWER

(i) Applications: These are computer software programs that provide a medium for recording, storage and retrieval of business operations or transactions in electronic format.

(ii) Control Deficiency: It Exists when an internal control is either missing or not operating effectively to prevent or detect a misstatement in a timely manner by management.

(iii) Data Processing: It Refers to the systematic recording, storage, retrieval, modification and transformation of electronic data using information systems.

(iv) Enterprise Resource Planning: A type of business application software that provides an integrated platform to automate multiple interrelated business processes and operations.

(v) Software: A computer program or a collection of computer programs that provides an interface to a user for performing a specific activity, task, operation or transaction in electronic form through a computer or information system.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 6 · answer p. 6-7

384 MTP **Old P6 May 2020 S-I** Q6(a) 4 marks old scheme

With respect to audit in an automated environment, explain the following: (any **four**)

(i) CAATs

(ii) Data Analytics

(iii) Database

(iv) Information Systems

(v) Privileged access

ICAI'S ANSWER

(i) CAATs: Short form for Computer Assisted Audit Techniques, are a collection of computer based tools and techniques that are used in an audit for analysing data in electronic form to obtain audit evidence.

(ii) Data Analytics: A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information

(iii) Database: A logical subsystem within a larger information system where electronic data is stored in a predefined form and retrieved for use.

(iv) Information Systems: Refers to a collection of electronic hardware, software, networks and processes that are used in a business to carry out operations and transactions.

(v) Privileged access: A type of super user access to information systems that enforces less or no limits on using that system.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 7 · answer p. 9

3.7 Digital audit and data analytics

11 questions · asked in 11 ICAI documents · 5 exam papers

385 EXAM **Sep 2024** Q5(c) 3 marks

Z and Associates are the auditors of Realton Ltd., an export oriented unit, which specializes in manufacturing oil extraction plants. Since many complex processes are involved, they are digitizing their operations. They are restructuring their business models which are driven by technology. Since most of the operations of the company are automated, Z and Associates are planning to do Digital Audit. Explain the use of digital technology in the conduct of an audit.

ICAI'S ANSWER

Use of Digital Technology in the conduct of an audit: Entities are embracing digitization as part of their operations to keep pace with changing times. New technologies are helping companies revamp their operations and rethink the way business is conducted. Companies are restructuring their business models driven by technology. Automation is key to digitization.

In such a business environment, use of digital technology is being made by auditors right from planning to expression of final opinion.

- Auditors are making use of artificial intelligence, data analytics and other latest technologies to help understand business processes in a better way.

- By using such tools, auditors can conduct audits in a better way and devote more attention to areas requiring greater focus.
- Digital audit is helping auditors to better identify risks making use of technology.

ICAI · P5 · Sep 2024 exam · question p. 23 · answer p. 25

386 EXAM **Old P6 Nov 2023** Q3(c) 3 marks old scheme

Elucidate the impact on substantive audit if IT related risks are not mitigated in an automated environment.

ICAI'S ANSWER

Impact on substantive audit

1. Auditor cannot rely on the data obtained from systems where such risks exist.
2. This means, all forms of data, information or reports that we obtain from systems for the purpose of audit have to be thoroughly tested and corroborated for completeness and accuracy.
3. The auditor will be required to obtain more audit evidence and perform additional audit work.

ICAI · Old P6 · Nov 2023 exam · question p. 5 · answer p. 6

387 EXAM **Old P6 May 2023** Q2(d) 3 marks old scheme

While auditing in an automated environment, how data analytics can be used in testing electronic records and data residing in IT systems using spread sheets and specialised audit tools?

ICAI'S ANSWER

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialized audit tools viz., IDEA and ACL to perform the following:

1. Check completeness of data and population that is used in either test of controls or substantive audit tests.
2. Selection of audit samples – random sampling, systematic sampling.
3. Re-computation of balances – reconstruction of trial balance from transaction data.
4. Reperformance of mathematical calculations – depreciation, bank interest calculation.
5. Analysis of journal entries as required by SA 240.
6. Fraud investigation.
7. Evaluating impact of control deficiencies.

ICAI · Old P6 · May 2023 exam · question p. 3 · answer p. 4-5

388 **EXAM** **Old P6 Jan 2021** Q4(b) 4 marks old scheme

Discuss the common methods applied by the auditor when testing in an automated environment is done by him.

ICAI'S ANSWER

There are basically four types of audit tests that should be used. They are inquiry, observation, inspection and reperformance. Inquiry is the most efficient audit test but it also gives the least audit

evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient.

When testing in an automated environment, some of the more common methods are as follows:

- Obtain an understanding of how an automated transaction is processed by doing a walkthrough of one end-to-end transaction using a combination of inquiry, observation and inspection.
- Observe how a user processes transactions under different scenarios.
- Inspect the configuration defined in an application.
- Inspect the system logs to determine any changes made since last audit testing.
- Inspect technical manual / user manual of systems and applications.
- Carry out a test check (negative testing) and observe the error message displayed by the application.
- Conduct reperformance using raw source data and independently applying formulae, business rules or validations on the source data using CAATs.

ICAI · Old P6 · Jan 2021 exam · question p. 7 · answer p. 8

389 EXAM Old P6 Nov 2020 Q3(b) 4 marks old scheme

While it is true that companies can benefit immensely from the use of data analysis in terms of increased profitability, better customer service, etc., analyse various functions that can be performed even by the auditor also using Data Analytics tools and techniques in the audit process to obtain good results.

ICAI'S ANSWER

In today's digital age when companies rely on more and more on IT systems and networks to operate business, the amount of data and information that exists in these systems is enormous. A famous businessman recently said, "Data is the new Oil".

The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is called data analytics. While it is true that companies can benefit immensely from the use of data analytics in terms of increased profitability, better customer service, gaining competitive advantage, more efficient operations, etc., even auditors can make use of similar tools and techniques in the audit process and obtain good results. The tools and techniques that auditors use in applying the principles of data analytics are known as Computer Assisted Auditing Techniques or CAATs in short.

Data analytics can be used in testing of electronic records and data residing in IT systems using

spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that isused in either test of controls or substantive audit tests. Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data. Re performance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries as required by SA240, Fraud investigation and Evaluating impact of control deficiencies.

ICAI · Old P6 · Nov 2020 exam · question p. 4 · answer p. 5-6

390 **RTP** **Sep 2024** Q11

Companies are increasingly using data analytics for managing their operations. Auditors can also obtain good results by using data analytics. What are the tools and techniques used by auditors in applying the principles of Data Analytics and in which areas data analytics can be used by auditors?

ICAI'S ANSWER

The tools and techniques that auditors use in applying principles of data analytics are known as Computer Assisted Auditing Techniques (CAATs).

Data analytics can be used in testing of electronic records and data residing in IT systems using

spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following: -

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries of fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · P5 · RTP Sep 2024 · question p. 6 · answer p. 10

391 RTP **Old P6 May 2023** General MCQ 4 MCQ

old scheme

Tools and techniques that auditors use in applying the principles of data analytics are known as-

A Computer Aided Audit Technique

B Computer Aided Audit Tools

C Computer Accounting and Auditing Technique

D Computer Assisted Audit Technique

ICAI'S ANSWER

(D) Computer Assisted Audit Technique

ICAI · Old P6 · RTP May 2023 · question p. 7 · answer p. 12

392 RTP Old P6 Jul 2021 Q14 old scheme

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the selection of audit samples. Explain giving other relevant points also in the above context of data analytics.

ICAI'S ANSWER

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries as required by SA 240.
- Fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 136

393 RTP Old P6 May 2020 Q13 old scheme

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform check completeness of data and population that is used in either test of controls or substantive audit tests. Explain in detail stating all the relevant points.

ICAI'S ANSWER

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries as required by SA 240.
- Fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 21

394 MTP May 2025 S-II Q6(b) 5 marks

While it is true that companies can benefit immensely from the use of data analysis in terms of increased profitability, better customer service, etc. Analyse various functions that an auditor can perform using Data Analytics tools and techniques to obtain good results.

ICAI'S ANSWER

In today's digital age when companies rely on more and more on IT systems and networks to operate business, the amount of data and information that exists in these systems is enormous. The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is called data analytics. While it is true that companies can benefit immensely from the use of data analytics in terms of increased profitability, better customer service, gaining competitive advantage, more efficient operations, etc., even auditors can make use of similar tools and techniques in the audit process and obtain good results.

The tools and techniques that auditors use in applying the principles of data analytics are known as Computer Assisted Auditing Techniques or CAATs in short. Data analytics can be used in testing of electronic records and data residing in IT systems

using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries
- Fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 11-12

395 MTP **Old P6 Nov 2020 S-I** Q6(a) 4 marks old scheme

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform Fraud investigation.

Explain the other relevant points in the above context i.e. Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform.

ICAI'S ANSWER

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries as required by SA 240.
- Fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 7

3.8 SA 330: the auditor's responses to assessed risks

26 questions · asked in 17 ICAI documents · 1 exam paper

396 EXAM Old P6 Nov 2019 Q3(a) 4 marks old scheme

Discuss the various points which auditor needs to consider in determining whether it is appropriate to use audit evidence about operating effectiveness of controls obtained in previous audit, and if so, the

length of the time period that may elapse before retesting.

ICAI'S ANSWER

In determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits, and, if so, the length of the time period that may elapse before retesting a control, the auditor shall consider the following:

i. The effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls, and the entity's risk assessment process;

ii. The risks arising from the characteristics of the control, including whether it is manual or automated;

iii. The effectiveness of general IT-controls;

iv. The effectiveness of the control and its application by the entity, including the nature and extent of deviations in the application of the control noted in previous audits, and whether there have been personnel changes that significantly affects the application of the control;

v. Whether the lack of a change in a particular control poses a risk due to changing circumstances; and

vi. The risks of material misstatement and the extent of reliance on the control.

ICAI · Old P6 · Nov 2019 exam · question p. 5 · answer p. 5

397 RTP Sep 2026 Q11

PQR & Co., Chartered Accountants, are the statutory auditors of LMN Ltd. During the audit for the financial year ended 31st March, 2026, the auditor considers relying on audit evidence obtained in the previous audits regarding the operating effectiveness of certain internal controls over revenue recognition.

However, during discussions with management, it is observed that there have been some changes in personnel in the accounts department and certain IT systems have been upgraded. The auditor is evaluating whether it is appropriate to rely on audit evidence obtained in previous audits or whether fresh testing of controls is required.

In view of above, discuss the factors the auditor should consider while using audit evidence obtained in previous audits and the requirement regarding establishing its continuing relevance.

ICAI'S ANSWER

Using Audit Evidence Obtained in Previous Audits: In determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits, and, if so, the length of the time period that may elapse before retesting a control, the auditor shall consider the following:

(a) The effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls, and the entity's risk assessment process

(b) The risks arising from the characteristics of the control, including whether it is manual or automated

(c) The effectiveness of general IT-controls

(d) The effectiveness of the control and its application by the entity, including the nature and extent of deviations in the application of the control noted in previous audits, and whether there have been personnel changes that significantly affect the application of the control

(e) Whether the lack of a change in a particular control poses a risk due to changing circumstances and

(f) The risks of material misstatement and the extent of reliance on the control

If the auditor plans to use audit evidence from a previous audit about the operating effectiveness of specific controls, the auditor shall establish the continuing relevance of that evidence by obtaining audit evidence about whether significant changes in those controls have occurred subsequent to the previous audit.

Considering the given facts, the auditor should carefully evaluate the above factors, especially personnel changes and IT system upgrades, and establish whether the previous audit evidence remains relevant before deciding to rely on it or perform fresh testing.

ICAI · P5 · RTP Sep 2026 · question p. 7-8 · answer p. 15

398 RTP May 2026 Case Scenario · Q1 to Q5

CASE SCENARIO

ABC Limited is a mid-sized manufacturing company engaged in the production of electrical components and spare parts. The company maintains significant inventory across multiple warehouses. During the audit of the financial statements for the year ended 31st March 2025, the auditor noted that inventory prices were highly volatile during the year and that discrepancies in inventory records had been reported in earlier audits. Certain inventory items were also identified as slow-moving and required significant management judgement for valuation. Based on these factors, the auditor assessed the risk of material misstatement in inventory valuation as high.

In the course of the audit, the auditor performed inquiries with the stores manager, production head, and finance personnel to understand the process for identification of obsolete inventory and valuation adjustments. While management represented that adequate provisions had been made for obsolete inventory, the stores manager indicated during inquiry that certain obsolete items were still carried at cost due to pressure to meet profitability targets. This inconsistency prompted the auditor to reassess audit procedures.

Considering the high risk assessment and contradictory responses obtained during inquiry, the auditor decided to perform tests of controls relating

to approval of inventory write-downs and review of inventory ageing reports. Based on the results, the auditor concluded that controls over identification and valuation of obsolete inventory were not operating effectively throughout the period.

Accordingly, the auditor designed and performed substantive procedures, including detailed testing of inventory valuation, examination of subsequent sales prices, physical inspection of slow-moving items, and substantive analytical procedures. While designing these procedures, the auditor identified conditions that would constitute a misstatement in the relevant assertions relating to inventory.

While evaluating the audit evidence obtained, the auditor considered the management assertions made in representing that the financial statements are prepared in accordance with the applicable financial reporting framework, particularly assertions relating to existence, valuation, completeness, and presentation and disclosure of inventory.

Based on above, answer the following MCQs:

Q1

In the audit of ABC Limited, which combination of circumstances primarily justified the auditor's decision to obtain additional audit evidence for inventory valuation?

A Existence of slow-moving inventory requiring management judgement

B Prior period discrepancies, price volatility and contradictory inquiry responses regarding obsolete inventory

C Materiality of inventory balance and availability of ageing reports

D Physical dispersion of inventory across multiple warehouses

Q2

The stores manager's statement that obsolete items were carried at cost due to pressure to meet profitability targets most appropriately implies that the auditor should:

A Conclude that the issue relates only to operational inefficiency and does not affect financial reporting

B Accept management's representation regarding adequate provisioning

C Treat the information as an indicator of potential management bias and modify audit procedures accordingly

D Consider the inquiry response as sufficient appropriate audit evidence

Q3

In the audit of ABC Limited, after obtaining contradictory responses during inquiry and before designing substantive procedures, the auditor decided to test controls specifically over approval of inventory write-downs and review of ageing reports.

This decision was primarily to determine whether:

A Controls existed and operated effectively to prevent management from deferring write-downs of obsolete inventory to meet profitability targets

B Inventory quantities recorded in the system matched the physical stock across warehouses

C Substantive testing of inventory valuation could be restricted to analytical procedures only

D Management representations regarding obsolete inventory could be accepted without further corroboration

Q4

After concluding that controls over identification and valuation of obsolete inventory were not operating effectively throughout the period, the auditor performed procedures such as examining subsequent sales prices, physically inspecting slow-moving items, and performing substantive analytical procedures.

These procedures were primarily designed to:

A Determine whether inventory write-downs had been formally approved in accordance with internal policies

B Obtain direct audit evidence to evaluate whether inventory was overstated due to delayed or inadequate write-downs

C Re-assess the design of internal controls over inventory management

D Corroborate management's representations regarding profitability targets

Q5

The auditor identified that certain slow-moving and obsolete inventory items continued to be carried at cost due to pressure to meet profitability targets.

This situation most directly affects which management assertion, thereby requiring focused audit procedures in response to the identified risk?

A Existence – because slow-moving inventory may no longer physically exist

B Completeness – because obsolete inventory may not have been recorded in the inventory records

C Presentation and disclosure – because obsolete inventory requires separate classification in the financial statements

D Valuation – because inventory may be overstated as net realisable value has not been appropriately considered

ICAI'S ANSWERS

Q1

Answer key: **(B)**

Q2

Answer key: **(C)**

Q3

Answer key: **(A)**

Q4

Answer key: **(B)**

Q5

Answer key: **(D)**

399 **RTP** **Sep 2025** **Q11**

During the audit of Apex Ltd., the auditor plans to place reliance on the internal controls related to the revenue recognition process, which appear well-designed based on the preliminary assessment. However, due to materiality of revenue and the inherent risk of overstatement, the auditor concludes that more persuasive audit evidence is needed to evaluate the effectiveness of these controls. Discuss the matters the auditor may consider in determining the extent of test of controls.

ICAI'S ANSWER

When more persuasive audit evidence is needed regarding the effectiveness of a control, it may be appropriate to increase the extent of testing of the control as well as the degree of reliance on controls. Matters the auditor may consider in determining the extent of test of controls include the following:

- The frequency of the performance of the control by the entity during the period.
- The length of time during the audit period that the auditor is relying on the operating effectiveness of the control.
- The expected rate of deviation from a control.
- The relevance and reliability of the audit evidence to be obtained regarding the operating effectiveness of the control at the assertion level.

- The extent to which audit evidence is obtained from tests of other controls related to the assertion.

ICAI · P5 · RTP Sep 2025 · question p. 5 · answer p. 11

400 **RTP** **Old P6 Nov 2020** **Q8(a)** old scheme

A higher level of assurance may be sought about the operating effectiveness of controls when the approach adopted consists primarily of tests of controls. Explain and also state when will the auditor design and perform tests of controls to obtain sufficient appropriate audit evidence as to the operating effectiveness of relevant controls.

ICAI'S ANSWER

Test of controls may be defined as an audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level.

The auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to the operating effectiveness of relevant controls when:

(a) The auditor's assessment of risks of material misstatement at the assertion level includes an expectation that the controls are operating effectively (i.e., the auditor intends to rely on the operating effectiveness of controls in determining

the nature, timing and extent of substantive procedures); or

(b) Substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level.

A higher level of assurance may be sought about the operating effectiveness of controls when the approach adopted consists primarily of tests of controls, in particular where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 20

401 **RTP** **Old P6 Nov 2020** Q8(b) old scheme

Same question, different ICAI answer: #409 MTP Jan 2025 S-II

When more persuasive audit evidence is needed regarding the effectiveness of a control, it may be appropriate to increase the extent of testing of the control as well as the degree of reliance on controls. Discuss the matters the auditor may consider in determining the extent of test of controls.

ICAI'S ANSWER

When more persuasive audit evidence is needed regarding the effectiveness of a control, it may be appropriate to increase the extent of testing of the control as well as the degree of reliance on controls.

Matters the auditor may consider in determining the extent of test of controls include the following:

1. The frequency of the performance of the control by the entity during the period.
2. The length of time during the audit period that the auditor is relying on the operating effectiveness of the control.
3. The expected rate of deviation from a control.
4. The relevance and reliability of the audit evidence to be obtained regarding the operating effectiveness of the control at the assertion level.
5. The extent to which audit evidence is obtained from tests of other controls related to the assertion.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 20-21

402 RTP **Old P6 May 2020** General MCQ 1 MCQ old scheme

Also asked in Old P6 MTP Nov 2022 S-I General MCQ 6

Statement 1: Audit procedures consist of Risk Assessments Procedures and other procedures.

Statement 2: Substantive procedures consist of test of details and analytical procedures.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP May 2020 · question p. 4 · answer p. 11

403 RTP **Old P6 Nov 2019** MCQ 5 MCQ old scheme

When more persuasive audit evidence is needed regarding the effectiveness of a control,

A it may be appropriate to increase the extent of testing of the control and reduce the extent of the degree of reliance on controls.

B it may be appropriate to decrease the extent of testing of the control as well as the degree of reliance on controls.

C it may be appropriate to decrease the extent of testing of the control and increase the extent of the degree of reliance on controls.

D it may be appropriate to increase the extent of testing of the control as well as the degree of reliance on controls.

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Nov 2019 · question p. 3 · answer p. 9

404 RTP **Old P6 Nov 2019** MCQ 6 MCQ old scheme

When deviations from controls upon which the auditor intends to rely are detected,

A the auditor shall not make any inquiries to understand these matters and their potential consequences

B the auditor shall make specific inquiries to understand these matters and their potential consequences

C the auditor shall make general inquiries to understand these matters and their potential consequences

D the auditor shall make both general as well as specific inquiries to understand these matters and their potential consequences

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2019 · question p. 3 · answer p. 9

405 MTP **Sep 2026 S-I** MCQ 13 2 marks MCQ

Same question, different ICAI answer: #406 MTP May 2026 S-I

BCD Ltd. is engaged in manufacturing of electronic components. During the audit of financial statements for the year ended 31st March 2025, the auditor assessed the risk of material misstatement at the assertion level for revenue and inventory balances. While designing further audit procedures, the auditor considered whether to perform tests of details, substantive analytical procedures, or a combination of both.

The auditor noted that reliable industry data was available and the relationship between sales volume and revenue had historically been predictable. However, certain unusual fluctuations were also observed during the current year. Accordingly, the auditor exercised professional judgment while deciding the nature of substantive procedures to be performed to reduce audit risk at the assertion level to an acceptably low level.

Which of the following statements correctly explains the basis for the auditor's decision regarding substantive procedures?

A Substantive analytical procedures must always be used instead of tests of details where reliable industry data is available.

B The auditor decides whether to use tests of details, substantive analytical procedures, or a combination of both based on professional judgment regarding their expected effectiveness and efficiency in reducing audit risk at the assertion level to an acceptably low level.

C Substantive analytical procedures can only be used when control risk is assessed as low.

D Tests of details are mandatory for all material account balances irrespective of the auditor's judgment.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 8-9 · answer p. 1

406 MTP May 2026 S-I MCQ 13 2 marks MCQ

Same question, different ICAI answer: #405 MTP Sep 2026 S-I

BCD Ltd. is engaged in manufacturing of electronic components. During the audit of financial statements for the year ended 31st March 2025, the auditor assessed the risk of material misstatement at the assertion level for revenue and inventory balances. While designing further audit procedures, the auditor considered whether to perform tests of details, substantive analytical procedures, or a combination of both.

The auditor noted that reliable industry data was available and the relationship between sales volume and revenue had historically been predictable. However, certain unusual fluctuations were also observed during the current year. Accordingly, the auditor exercised professional judgment while deciding the nature of substantive procedures to be performed to reduce audit risk at the assertion level to an acceptably low level.

Which of the following statements correctly explains the basis for the auditor's decision regarding substantive procedures?

A Substantive analytical procedures must always be used instead of tests of details where reliable industry data is available.

B The auditor decides whether to use tests of details, substantive analytical procedures, or a combination of both based on professional judgment regarding their expected effectiveness and efficiency in reducing audit risk at the assertion level to an acceptably low level.

C Substantive analytical procedures can only be used when control risk is assessed as low.

D Tests of details are mandatory for all material account balances irrespective of the auditor's judgment.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · MTP May 2026 · Series I · question p. 7-8 · answer p. 1

407 MTP **Jan 2026 S-I** Q1(a) 5 marks

Raman & Suman, Chartered Accountants, are the statutory auditors of Santosh Bank Ltd. The bank uses a centralized core banking system (CBS) for processing all transactions such as deposits, withdrawals, interest calculations, and loan repayments.

The auditors identify a risk of material misstatement relating to interest income and customer deposits and conclude that substantive procedures alone cannot provide sufficient appropriate audit evidence due to the high level of automation. Therefore, they plan to rely on the operating effectiveness of controls built into the CBS, such as system-based authorizations and daily reconciliations.

(i) Explain under what circumstances should an auditor design and perform tests of controls to obtain sufficient appropriate audit evidence about the operating effectiveness of relevant controls?

(ii) Discuss the type and level of audit evidence required to support the auditor's conclusion. Also explain the level of assurance the auditor should seek regarding the operating effectiveness of these controls in this situation.

ICAI'S ANSWER

(i) The auditor should design and perform tests of controls to obtain sufficient appropriate audit evidence about the operating effectiveness of relevant controls within the core banking system. This is because:

- The auditor intends to rely on the operating effectiveness of controls for assessing risks of material misstatement; and
- Substantive procedures alone cannot provide sufficient audit evidence due to the high volume and automated nature of transactions.

(ii) In designing and performing tests of controls, the auditor shall obtain more persuasive audit evidence, the greater the reliance the auditor places on the effectiveness of controls. This includes examining system logs, testing automated interest calculations, reviewing exception reports, and observing authorization controls in operation.

A higher level of assurance may be sought about the operating effectiveness of controls when the approach adopted consists primarily of tests of controls, in particular, where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 7 · answer p. 2

408 MTP **Jan 2025 S-I** Q4(b) 5 marks

SA 330 states that auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to operating effectiveness of relevant controls. Briefly discuss when such tests are to be designed and performed in accordance with SA 330?

If an auditor intends to place greater reliance on effectiveness of a control, state its likely effect on audit evidence to be obtained as a result of such tests of controls. Why a higher level of assurance may be sought by an auditor about the operating effectiveness of controls?

ICAI'S ANSWER

The auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to the operating effectiveness of relevant controls when: -

(i) The auditor's assessment of risks of material misstatement at the assertion level includes an expectation that the controls are operating effectively (i.e., the auditor intends to rely on the

operating effectiveness of controls in determining the nature, timing and extent of substantive procedures) or

(ii) Substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level.

In designing and performing tests of controls, the auditor shall obtain more persuasive audit evidence, the greater the reliance the auditor places on the effectiveness of a control.

A higher level of assurance may be sought about the operating effectiveness of controls when the approach adopted consists primarily of tests of controls, in particular, where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 7

409 MTP **Jan 2025 S-II** Q6(a) 5 marks

Same question, different ICAI answer: #401 Old P6 RTP Nov 2020

When more persuasive audit evidence is needed regarding the effectiveness of a control, it may be appropriate to increase the extent of testing of the control as well as the degree of reliance on controls. Discuss the matters the auditor may consider in determining the extent of test of controls

ICAI'S ANSWER

Matters the auditor may consider in determining the extent of test of controls include the following:

- The frequency of the performance of the control by the entity during the period.
- The length of time during the audit period that the auditor is relying on the operating effectiveness of the control.
- The expected rate of deviation from a control.
- The relevance and reliability of the audit evidence to be obtained regarding the operating effectiveness of the control at the assertion level.
- The extent to which audit evidence is obtained from tests of other controls related to the assertion.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 9

410 MTP **Old P6 Nov 2023 S-I** General MCQ 5 1 mark MCQ old scheme

Financial statements of a company have been put up for audit before the auditor. On going through financial statements, he wants to verify some major bills debited in "Machinery repair" account. The purpose of it is to ensure that bills are entered correctly and their classification is proper.

As regards verification of bills debited in "Machinery repair" account, identify what he intends to perform?

A Tests of Controls

B Tests of transactions

C Tests of balances

D Risk assessment procedures

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 6 · answer p. 1

411 MTP **Old P6 May 2023 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

M/s SPR & Associates are appointed as auditors of XYZ Ltd. for the Financial Year 2021-22.

- The team consisted of Mr. S, Mr. P, Mr. R all Chartered Accountants and three article assistants.
- Mr. S, the engagement partner, briefed the audit staff about various items of financial statement to be checked in detail in case of XYZ Ltd and about various aspects to be covered in the audit of the company.
- Mr. S told the audit staff about audit documentation, audit evidence, audit file, completion memorandum and many other things along with relevant Standards of Auditing applicable.
- Mr. S also told the staff about the risk of material misstatement that the financial statements are

prone to and how it affects the sufficiency and appropriateness of audit evidence.

- The audit staff was also apprised about the various audit procedures to be adopted while conducting the audit of XYZ Ltd.
- Further discussions were done about various types of risks related to financial statement and the audit work, the related audit procedures, and the risk assessment procedures.
- The engagement team is also very particular about the application of various Standards on Auditing applicable in case of XYZ Ltd.

Based on the above facts, answer the following:-

MCQ 1.1 2 marks

..... is the summary of significant matters identified during audit and way they are addressed :

A Audit File

B Audit Programme

C Completion memorandum

D Checklists

MCQ 1.2 2 marks

The susceptibility of an assertion to a misstatement that could be material before consideration of any related control is.....:

A Control Risk

B Inherent Risk

C Audit Risk

D Significant Risk

MCQ 1.3 2 marks

Statement 1: Audit procedures consist of Risk Assessments Procedures and other procedures.

Statement 2: Substantive procedures consist of test of details and analytical procedures.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

MCQ 1.4 2 marks

..... refers to the audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error at the financial statement and assertion levels: -

A Analytical Procedures

B Risk Assessment Procedures

C Audit Procedures

D Substantive Analytical Procedures

MCQ 1.5 2 marks

Statement 1:- Substantive Procedures alone can provide sufficient and appropriate audit evidence at the assertion level.

Statement 2:-Test of Control is audit procedure designed to evaluate the operating effectiveness of controls in prevention, detection and correcting material misstatement at the assertion level.

- A Only Statement 1 is correct
- B Only Statement 2 is correct
- C Both 1 & 2 are correct
- D Both 1 & 2 are incorrect

ICAI'S ANSWERS

MCQ 1.1

(C) Completion Memorandum

MCQ 1.2

(B) Inherent Risk

MCQ 1.3

(C) Both 1 & 2 are correct

MCQ 1.4

(B) Risk Assessment Procedures

MCQ 1.5

(B) Only Statement 2 is correct

ICAI · Old P6 · MTP May 2023 · Series I · question p. 1 · answer p. 1

412 MTP **Old P6 May 2022 S-I** General MCQ 1 1 mark MCQ old scheme

In designing and performing test of controls, the auditor shall perform other audit procedures in combination with inquiry to obtain audit evidence

about the operating effectiveness of the controls, including:

(i) How the controls were applied at relevant times during the period under audit.

(ii) The consistency with which they were applied.

(iii) By whom or by what means they were applied.

Which of the following is correct?

A (i) and (ii)

B (ii) and (iii)

C (i),(ii) and (iii)

D (i) and (iii)

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 5 · answer p. 1

413 MTP **Old P6 Jul 2021 S-I** Q3(b) 4 marks old scheme

XYZ & Associates, Chartered Accountants, while evaluating the operating effectiveness of internal controls, detects deviation from controls. In such a situation, state the specific inquiries to be made by an auditor to understand these matters and their potential consequences.

ICAI'S ANSWER

Evaluating the Operating Effectiveness of Controls: When evaluating the operating effectiveness of relevant controls, the auditor shall evaluate whether

misstatements that have been detected by substantive procedures indicate that controls are not operating effectively. The absence of misstatements detected by substantive procedures, however, does not provide audit evidence that controls related to the assertion being tested are effective.

When deviations from controls upon which the auditor intends to rely are detected, the auditor shall make specific inquiries to understand these matters and their potential consequences, and shall determine whether:

(i) The tests of controls that have been performed provide an appropriate basis for reliance on the controls;

(ii) Additional tests of controls are necessary; or

(iii) The potential risks of misstatement need to be addressed using substantive procedures.

A material misstatement detected by the auditor's procedures is a strong indicator of the existence of a significant deficiency in internal control.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 4

CHAPTER 4

Audit Evidence

4.1 SA 500: sufficient appropriate audit evidence

80 questions · asked in 42 ICAI documents · 8 exam papers

414 EXAM **Sep 2026** Case scenario · Q2(b)(i) to Q2(b)(ii)

5 marks

CASE SCENARIO

V & Associates, Chartered Accountants, were conducting the statutory audit of ED Electronics Ltd. During the audit of revenue transactions, the auditor verified customer orders, sales invoices, proof of despatches, receipt of funds and customer confirmations to ensure that Sufficient and Appropriate audit evidence had been collected on which the audit opinion would be based.

The engagement partner directed the audit team that all details of the audit procedures performed and evidences obtained should be properly recorded in the audit file so that another experienced auditor could understand the work performed and relevance and reliability of audit evidence could be maintained.

Q2(b)(i) 2 marks

You are required to explain what is meant by Relevance and Reliability of the audit evidence ?

Q2(b)(ii) 3 marks

State the matters to be contained in the audit documentation that would be sufficient to enable an experienced auditor, having no previous connection with the audit, to understand the audit.

ICAI'S ANSWERS

Q2(b)(i)

ICAI has not published its answers to this paper yet.

Q2(b)(ii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 16

415 EXAM **May 2025** MCQ 13 2 marks MCQ

ABC Ltd. is undergoing an audit, and the auditors are evaluating the reliability of different types of audit evidence. External evidence is generally considered to be more reliable than internal evidence.

The following is NOT an example of internal evidence:

A Inspection report

B Purchase invoice

C Goods received note

D Bank reconciliation statement

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · May 2025 exam · question p. 7 · answer p. 8

416 EXAM **May 2025** Case scenario · Q1(a)(i) to Q1(a)(ii)

5 marks

CASE SCENARIO

M/s YZW & Co., Chartered Accountants, have been appointed as the statutory auditors of First Health Private Limited for the financial year 2024-25. CA Y is the engagement partner for this assignment. First Health Private Limited operates in the business of hospitals and pharmaceuticals, with 60 hospitals and 200 pharmacy stores across the country. The company has a turnover of ₹ 680 crores and PAT of ₹ 32 crores in the current year.

While verifying the assertions about book debts, CA Y was informed about the availability of the client's ledger invoices, debit notes, and credit notes as audit evidence. CA Y accepts these documents as audit evidence, considering them to be "available."

Q1(a)(i) 3 marks

Is this decision correct, based on the meaning of the term "available"?

Q1(a)(ii) 2 marks

Also, explain how an auditor should select the most appropriate evidence when testing the accuracy of any assertion to form an opinion.

ICAI'S ANSWERS

Q1(a)(i)

In the given situation, M/s YZW & Co., Chartered Accountants, have been appointed as statutory auditor of First Health Private Limited which operates in business of hospitals and

pharmaceuticals, with 60 hospitals and 200 pharmacy stores across the country. CA. Y, the engagement partner for this assignment, was informed about the availability of the client's ledger invoices, debit notes, credit notes as audit evidence. He accepted these documents as audit evidence, considering them to be "available". For verifying assertions about book debts, the client's ledger invoices, debit notes, credit notes, monthly accounts statement sent to the customers are all evidence: some of these are corroborative, other being complementary. In addition, balance confirmation procedure is often resorted to obtain greater satisfaction about the reliability of the assertion.

The word "available", does not mean that the evidence available with the client is the only available evidence. The auditor should know what normally should be available in the context of the transaction having regard to the circumstances and usage.

In view of the above, it can be concluded that decision of CA. Y to consider clients' ledger invoices, debit notes, credit notes as audit evidence, considering them to be available, is not correct.

Q1(a)(ii)

Evidence is the very basis for formulation of opinion and an audit programme is designed to provide for that by prescribing procedures and techniques. What is best evidence for testing the accuracy of any assertion is a matter of expert

knowledge and experience. Transactions are varied in nature and impact; procedures to be prescribed depend on prior knowledge of what evidence is reasonably available in respect of each transaction.

In most of the assertions much of the evidence be drawn and each one should be considered and weighed to ascertain its weight to prove or disprove the assertion. In this process, an auditor would be in a position to identify the evidence that brings the highest satisfaction to him about the appropriateness or otherwise of the assertion.

An auditor picks up evidence from a variety of fields and it is generally of the following broad types:

(i) Documentary examination

(ii) Physical examination

(iii) Statements and explanation of management, officials and employees

(iv) Statements and explanations of third parties

(v) Arithmetical calculations by the auditor

(vi) State of internal controls and internal checks

(vii) Inter-relationship of the various accounting data

(viii) Subsidiary and memorandum records

(ix) Minutes

(x) Subsequent action by the client and by others.

ICAI · P5 · May 2025 exam · question p. 9 · answer p. 10, 10-11

417 EXAM **Jan 2025** Q2(c) 4 marks

FRP & Associates are the statutory auditors of Paint Private Limited.

Company is into the business of trading and has operations across India. CA M, partner in charge of the audit, is carrying out the audit procedures with his audit team. He entrusted CA Ravi, one of the team members, the task of obtaining various audit evidences connected with the audit and submit the same to the engagement partner for finalizing the audit report. How can CA M ensure that the evidences collected by CA Ravi during the audit will be sufficient for the purpose of audit or not?

ICAI'S ANSWER

The auditor has to obtain sufficient appropriate audit evidence to draw reasonable conclusions on financial statements. Sufficiency is the measure of the quantity of audit evidence.

CA M will ensure that the evidence collected by CA Ravi will be sufficient for the purpose of audit by considering following factors:

(i) Materiality: It may be defined as the significance of classes of transactions, account balances and presentation and disclosures to the users of the financial statements. Less evidence would be required in case assertions are less material to users of the financial statements. But on the other hand, if assertions are more material to the users of the financial statements, more evidence would be required.

(ii) Risk of material misstatement: It may be defined as the risk that the financial statements are materially misstated prior to audit. This consists of two components, namely, inherent risk and control risk at the assertion level. Less evidence would be required in case assertions that have a lower risk of material misstatement. But on the other hand, if assertions have a higher risk of material misstatement, more evidence would be required.

(iii) Size of a population: It refers to the number of items included in the population. Less evidence would be required in the case of smaller, more homogeneous populations but on the other hand in case of larger, more heterogeneous populations, more evidence would be required.

ICAI · P5 · Jan 2025 exam · question p. 15 · answer p. 17-18

418 EXAM **Sep 2024** Q5(b) 4 marks

The management of D. Ltd. have engaged an actuary-expert to ascertain actuarial valuation of gratuity for provision to be made in the accounts. As an auditor of D. Ltd., you plan to use the report of the said expert as audit evidence for ascertaining appropriate valuation of provisions. As an auditor, what will you do to evaluate the competence, capabilities, objectivity and an understanding of the work of the actuary-expert who has carried out actuarial valuation of gratuity?

ICAI'S ANSWER

As per SA 500, "Audit Evidence", issued by ICAI, when using the work of a management's expert as audit evidence the auditor should evaluate the competence, capabilities and objectivity of that expert that:

- Whether the expert is employed by the entity or is an outside party.
- Whether the expert is independent in respect of the entity.
- Auditor's previous experience of the work of the expert.
- Knowledge of the expert, his qualification, membership of a professional body or industry association, etc.

The auditor should also obtain an understanding of the work of that expert that:

- Whether the auditor has expertise to evaluate the work of the expert.
- Evaluating the assumptions and methods used by the management.
- Evaluating the nature of internal or external data used by the expert.

ICAI · P5 · Sep 2024 exam · question p. 23 · answer p. 24-25

419 EXAM **Old P6 Nov 2023** Q5(a) 4 marks old scheme

You are the senior member of the engagement team of M/s BB·& Associates. Before starting the audit, you

explained to other junior assistants about the meaning of Audit evidence. One of the junior assistant is of the view that audit evidence includes only information contained in the accounting records and no other information. You are of the opinion that a combination of tests of accounting records and other information is generally used by the auditor to support his opinion on the financial statements.

In the above context, illustrate with two appropriate examples of each:

(i) Information contained in the accounting records.

(ii) Other information that authenticates the accounting records.

ICAI'S ANSWER

A combination of tests of accounting records and other information is generally used by the auditor to support his opinion on the financial statements.

Information contained in the accounting records: Accounting records include:

- the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers;
- invoices;
- contracts;
- the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and

- records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

Other information that authenticates the accounting records and also supports the auditor's rationale behind the true and fair presentation of the financial statements: Other information which the auditor may use as audit evidence includes, for example

- minutes of the meetings,
- written confirmations from trade receivables and trade payables,
- manuals containing details of internal control etc.

ICAI · Old P6 · Nov 2023 exam · question p. 9 · answer p. 10

420 EXAM **Old P6 Nov 2022** Q3(a) 4 marks old scheme

The objective of auditing is to design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion. This can be obtained by performing which procedures? Name the types of audit procedures the auditor can perform to obtain audit evidence?

ICAI'S ANSWER

Audit Procedures to Obtain Audit Evidence: Audit evidence to draw reasonable conclusions on which

to base the auditor's opinion is obtained by performing:

(I) Risk assessment procedures; and

(II) Further audit procedures, which comprise:

i. Test of controls, when required by the SAs or when the auditor has chosen to do so; and

ii. Substantive procedures, including tests of details and substantive analytical procedures.

Audit procedures to obtain audit evidence can include

(a) Inspection

(b) Observation

(c) External Confirmation

(d) Recalculation

(e) Reperformance

(f) Analytical Procedures

(g) Inquiry

ICAI · Old P6 · Nov 2022 exam · question p. 5 · answer p. 6

421 EXAM **Old P6 Dec 2021** Q5(c) 3 marks old scheme

CA K audited the books of accounts of E Ltd. for the financial year 2020-2021. The auditor used an audit procedure according to which all the documents and records maintained by the company were checked in detail to obtain audit evidence. Explain the audit procedure used by the auditor and its reliability.

ICAI'S ANSWER

Audit Procedure:

Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset. Inspection of records and documents provides audit evidence of varying degrees of reliability, depending on their nature and source and, in the case of internal records and documents, on the effectiveness of the controls over their production.

Example of inspection used as a test of controls is inspection of records for evidence of authorisation.

Some documents represent direct audit evidence of the existence of an asset, for example, a document constituting a financial instrument such as a inventory or bond. Inspection of such documents may not necessarily provide audit evidence about ownership or value. In addition, inspecting an executed contract may provide audit evidence relevant to the entity's application of accounting policies, such as revenue recognition. Inspection of tangible assets may provide reliable audit evidence with respect to their existence, but not necessarily about the entity's rights and obligations or the valuation of the assets. Inspection of individual inventory items may accompany the observation of inventory counting.

In view of above, it can be concluded that CA K used Inspection as an audit procedure.

422 EXAM **Old P6 Jan 2021** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

Explain whether the following statements are correct or incorrect, with reasons/ explanations/ examples (Answer any seven out of eight)

Q1(a) 2 marks

The Complexity of a business environment depends on the level of automation i.e., if a business environment is more automated, it is likely to be less complex.

Q1(b) 2 marks

The Auditor is expected to, reduce audit risk to zero and can therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error.

Q1(c) 2 marks

Determining materiality involves the exercise of professional judgement.

Q1(d) 2 marks

The objectives and scope of internal audit functions are restricted to activities relating to evaluation of internal control only.

Q1(e) 2 marks

If the purpose of an audit procedure is to test for understatement in the existence or valuation of accounts payable then testing the recorded accounts payable may be relevant audit procedure.

Q1(f) 2 marks out of syllabus

As per Section 139(8) of the Companies Act, 2013, any casual vacancy in the office of an auditor shall in case of a company other than a company whose accounts are subject to audit by an auditor appointed by Comptroller and Auditor General of India, be filled by the Shareholders at an Annual General Meeting within 60 days.

Q1(g) 2 marks

Sufficiency is the measure of the quantity of audit evidence.

Q1(h) 2 marks

Communicating Key Audit Matters is a substitute for the auditor expressing a modified audit opinion when required by the circumstances of a specific audit engagement in accordance with SA 705.

ICAI'S ANSWERS

Q1(a)

Incorrect: The fundamental principle of an automated environment is the ability to carry out business with less manual intervention and more system driven. The complexity of a business environment depends on the level of automation i.e., if a business environment is more automated, it is likely to be more complex. If a company uses an integrated enterprise resource planning system (ERP) viz., SAP, Oracle etc., then it is considered more complex to audit. On the other hand, if a company is using an off-the-shelf accounting

software, then it is likely to be less automated and hence less complex environment.

Q1(b)

Incorrect: As per SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit.

Q1(c)

Correct: Determining materiality involves the exercise of professional judgment. A percentage is often applied to a chosen benchmark as a starting point in determining materiality for the financial statements as a whole.

Q1(d)

Incorrect: As per SA-610, "Using the Work of an Internal Auditor", the objectives of internal audit functions vary widely and depend on the size and structure of the entity and the requirements of management and, where applicable, those charged with governance.

The objectives and scope of internal audit functions typically include assurance and consulting activities designed to evaluate and improve the effectiveness

of the entity's governance processes, risk management and internal control.

From the above, it can be concluded that the objective and scope of internal audit function are not restricted to activities relating to evaluation of control only.

Q1(e)

Incorrect: If the purpose of an audit procedure is to test for overstatement in the existence or valuation of accounts payable, testing the recorded accounts payable may be a relevant audit procedure.

On the other hand, when testing for understatement in the existence or valuation of accounts payable, testing the recorded accounts payable would not be relevant, but testing such information as subsequent disbursements, unpaid invoices, suppliers' statements, and unmatched receiving reports may be relevant.

Q1(f)

Incorrect: As per Section 139(8), any casual vacancy in the office of an auditor shall in the case of a company other than a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor-General of India, be filled by the Board of Directors within 30 days.

PassBook's note: Out of syllabus (old scheme): the filling of a casual vacancy in the office of a company's auditor under section 139(8) of the Companies Act, 2013 belonged to old Paper 6's company audit chapter (appointment of auditors).

Q1(g)

Correct: Sufficiency is the measure of the quantity of audit evidence. The quantity of audit evidence needed is affected by the auditor's assessment of the risks of misstatement (the higher the assessed risks, the more audit evidence is likely to be required).

Q1(h)

Incorrect: Communicating key audit matters in the auditor's report **is not a substitute** for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705 (Revised);

ICAI · Old P6 · Jan 2021 exam · question p. 1 · answer p. 1, 1-2, 2

423 **RTP** **Sep 2026** Q7 MCQ

An auditor wants to ensure that he has complete knowledge of all locations where a company's inventories are stored. Since all such storage locations are stated to be taken on rent, the auditor seeks an independent source of audit evidence to verify whether all inventory storage locations have been disclosed by management:

Which of the following is the most relevant audit procedure in this regard?

A Inspecting GST registration certificate downloaded from GST portal

B Visiting locations stated in rent agreements

C Verifying copies of rent agreements provided

D Inspecting certificate of incorporation of company

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · RTP Sep 2026 · question p. 5 · answer p. 12

424 **RTP** **Sep 2026** Q8 MCQ

While evaluating the reliability of audit evidence, the audit team identifies the following documents:

1. Delivery challans prepared by the company evidencing dispatch of goods to a job worker
2. Shipping bill details downloaded from the customs portal and stored in the company's system
3. Bank statements downloaded from the bank's official portal and maintained in the company's records
4. Supplier quotations received and stored in the company's official email inbox

A discussion arises among the audit team regarding classification of these documents as internal or external audit evidence, particularly considering that some documents, although generated externally, are accessed through the company's system. The engagement partner emphasizes the importance of source and reliability of evidence in accordance with Standards on Auditing.

Which of the following statements is most appropriate regarding the nature of audit evidence in the above case?

A 1, 2, 3 and 4 are in nature of external evidence.

B Only 2 and 3 are in nature of external evidence.

C Only 1, 2, and 3 are in nature of external evidence.

D Only 2, 3, 4 are in nature of external evidence.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · RTP Sep 2026 · question p. 5-6 · answer p. 12

425 **RTP** **Sep 2026** Q13

VW & Co., Chartered Accountants, are auditing GHI Ltd., a company engaged in infrastructure development. The company has recognized significant amount of provisions relating to environmental restoration costs based on a report prepared by an external environmental expert engaged by the management.

During the audit, the auditor considers using this report as audit evidence. However, the auditor is concerned about the reliability of the expert's work and the extent to which it can be relied upon without performing additional procedures.

Considering above facts, explain the factors that affect the nature, timing and extent of audit procedures when audit evidence is based on the work of a management's expert.

ICAI'S ANSWER

When information to be used as audit evidence has been prepared using the work of a management's expert, the nature, timing and extent of audit procedures may be affected by such matters:

- The nature and complexity of the matter to which the management's expert relates.
- The risks of material misstatement in the matter.
- The availability of alternative sources of audit evidence.
- The nature, scope and objectives of the management's expert's work.
- Whether the management's expert is employed by the entity, or is a party engaged by it to provide relevant services.
- The extent to which management can exercise control or influence over the work of the management's expert.
- Whether the management's expert is subject to technical performance standards or other professional or industry requirements.
- The nature and extent of any controls within the entity over the management's expert's work.
- The auditor's knowledge and experience of the management's expert's field of expertise.
- The auditor's previous experience of the work of that expert.

In view of above, the auditor should evaluate the above factors before relying on the environmental expert's report and determine the appropriate nature, timing and extent of further audit procedures to ensure the reliability of audit evidence.

ICAI · P5 · RTP Sep 2026 · question p. 8 · answer p. 16-17

426 **RTP** **May 2026** **Q12**

XYZ Limited is engaged in infrastructure development and has significant balances relating to valuation of long-term assets and environmental provisions. Environmental provisions are amounts recognised for future obligations like site restoration, environmental clean-up, or compliance with environmental laws, which also involve technical and judgmental estimates. For this purpose, the management has engaged independent experts to determine fair values and technical estimates which have been incorporated in the financial statements.

While conducting the statutory audit, the auditor considers whether and to what extent he can rely on the work performed by the management's expert for obtaining audit evidence and forming his audit opinion.

State the condition and procedures to be followed by the auditor while relying on the work of management's expert.

ICAI'S ANSWER

If the entity has employed or engaged experts, the auditor may rely on the works of experts, provided he is satisfied that sufficient and appropriate audit evidence is obtained with reasonable assurance to form an opinion on the financial statements.

When information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes;

(a) Evaluate the competence, capabilities and objectivity of that expert;

(b) Obtain an understanding of the work of that expert; and

(c) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

Thus, reliance on the work of a management's expert does not reduce the auditor's responsibility, and the auditor must exercise professional judgment to ensure that such work provides sufficient and appropriate audit evidence.

ICAI · P5 · RTP May 2026 · question p. 8 · answer p. 15-16

427 RTP **Sep 2025** Q6 MCQ

While auditing Happy Pvt. Ltd., CA M reviews a large number of invoices collected by the audit team. However, noticing that only a few have third-party confirmations, CA M reminds the team that simply

having more documents doesn't ensure strong audit evidence and explained that reliability or quality matters too. What CA M is trying to explain in the given situation?

A Sufficiency relates to quality; appropriateness relates to quantity.

B Internal documents are always sufficient and appropriate.

C More documents mean better audit evidence.

D Sufficiency refers to quantity; appropriateness refers to quality.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · RTP Sep 2025 · question p. 3 · answer p. 9

428 RTP **Sep 2025** Q13

CA Rimi is appointed as an auditor of ASI Pvt. Ltd. During the audit, she decided to use various audit procedures to gather sufficient and appropriate audit evidence such as:

i. While verifying the fixed asset, she examined factory equipment and verified the presence of each item.

ii. To verify the company's accounts receivable, she directly sends balance confirmations to some of the customers.

iii. CA Rimi examined purchase invoices, contracts, and authorisation records to assess the validity of payments

and the approval process.

iv. She independently performs the bank reconciliation that was originally carried out by the accounts department.

v. She also checked the accuracy of depreciation calculations made by the client.

Identify and explain the type of abovementioned audit procedure performed by CA Rimi in accordance with relevant SA.

ICAI'S ANSWER

As per SA 500, "Audit Evidence", auditor perform audit procedures to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.

(i) **Inspection:** Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset.

(ii) **External Confirmation:** An external confirmation represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.

(iii) **Inspection:** Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset. Inspection of records and documents provides audit evidence of varying degrees of reliability, depending on their

nature and source and, in the case of internal records and documents, on the effectiveness of the controls over their production.

(iv) **Reperformance:** Reperformance involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control.

(v) **Recalculation:** Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation may be performed manually or electronically.

ICAI · P5 · RTP Sep 2025 · question p. 6 · answer p. 12-13

429 RTP **May 2025** Q8 MCQ

CA Paras is auditing a firm's financial statements and performs detailed procedures to verify assertions. The firm is engaged in export of goods to Europe. The sales invoices raised in Euros are converted into Indian rupees as per applicable norms. He checks classification of expenses, ensures trade payables are genuine, compares current and past wages, examines title deeds for land, and check the accuracy of calculation of the conversion of foreign currency into Indian rupees for export invoices. Which audit procedure he performed to verify whether conversion of foreign currency into Indian rupees is proper or not?

A Inspection.

B Recalculation.

C Observation.

D Reperformance.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP May 2025 · question p. 4-5 · answer p. 8

430 **RTP** **Jan 2025** Case Scenario · Q1 to Q5

CASE SCENARIO

Joy Ltd., a company engaged in the business of trekking essentials, appointed CA Raj as the Statutory Auditor for the year. Due to the large volume of transactions of the company, the audit engagement team of CA Raj realized that it would not be feasible to audit each transaction separately during the financial year under audit. Therefore, Engagement Partner decided to apply following audit sampling techniques:

- Random number tables were used for selection of sample for power, telephone, and fuel charges.
- No structured method of sampling was used for office stationery.
- Transactions exceeding ₹ 8,000 were selected for travel expenses.
- The first 200 sales invoices from the sales book for the month of July were selected for sales.

Mr. Suresh, one of the team members, compared the salary expenses incurred by the company during the

current year with those of the previous five years. He noticed a significant percentage increase in the expenses. This unusual increase raised doubts in his mind. He decided to compare such an increase in salary expenses with the increase in the number of employees.

The company is having warehouse at 2 locations. CA Raj is planning to attend the physical inventory count process. The inventory includes finished products such as trekking jackets, bags, shoes etc., and raw materials like leather, cloth, chemicals, etc. Some of the inventory is also held by a third party.

During a discussion among the team members regarding the sufficiency and appropriateness of audit evidence, they agreed that sufficiency is the measure of quantity of the audit evidence and appropriateness is the measure of quality of audit evidence.

Joy Ltd. operates 100 stores on rented premises across the country and is in the process of expanding. Although the rent expenses have been accounted for, the auditor requested the management to provide all active rent agreements for the year under audit for detailed examination.

Based on above, answer the following questions: -

Q1

Which of the sampling techniques were used for the following transactions:

(i) Power, telephone and fuel charges;

(ii) Office Stationery;

(iii) Travel expenses; and

(iv) Sales.

(Answer in the given order)

A Random sampling, Systematic sampling, Monetary unit sampling, Block sampling.

B Systematic sampling, Random sampling, Block sampling, Haphazard sampling.

C Random sampling, Haphazard sampling, Monetary unit sampling and Block sampling.

D Random sampling, Haphazard sampling, Monetary unit sampling and Systematic sampling.

Q2

Which audit procedure was Mr. Suresh intended to perform by comparing salary expenses?

A Test of details.

B Test of balances.

C Test of control.

D Substantive analytical procedure.

Q3

Which of the following is not part of CA Raj's responsibility with respect to the inventories held by the third parties?

A CA Raj should request confirmation from the third party regarding the quantity and condition of the inventory held by them.

B CA Raj should perform an independent valuation of the inventory based solely on the company's internal records.

C CA Raj should request the third party to allow him to physically inspect the inventories held by them.

D CA Raj should review the terms of the agreement between the company and the third party to understand the responsibilities related to inventory management.

Q4

Which audit procedure was used by CA Raj while collecting all rent agreements?

A Inspection.

B Analytical procedure.

C Reperformance.

D Observation.

Q5

In the given case, the audit team of CA Raj discusses the sufficiency and appropriateness of audit evidence. In the context of Joy Ltd.'s audit, the team was considering various factors affecting the sufficiency of the evidence they gathered for large-volume transactions. Which of the following is not a factor that would influence the auditor's judgment on the sufficiency of audit evidence?

A Materiality of the transactions.

B Risk of material misstatement in the financial statements.

C Size and characteristics of the population being audited.

D The type of products Joy Ltd. manufactures (trekking essentials).

ICAI'S ANSWERS

Q1

Answer key: **(C)**

Q2

Answer key: **(D)**

Q3

Answer key: **(B)**

Q4

Answer key: **(A)**

Q5

Answer key: **(D)**

ICAI · P5 · RTP Jan 2025 · question p. 1-2 · answer p. 9

431 RTP **May 2024** Q7

CA Kanika audited books of accounts of Engineering Ltd. for the financial year 2022-2023. The auditor used an audit procedure according to which all the documents and records maintained by the company were checked in detail to obtain audit evidence. Explain the audit procedure used by the auditor. Comment on reliability of audit evidence obtained by performing such an audit procedure in some situations.

ICAI'S ANSWER

Audit Procedure:

Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset. In view of above, it can be concluded that CA Kanika used Inspection as an audit procedure.

Inspection of records and documents provides audit evidence of varying degrees of reliability, depending on their nature and source and, in the case of internal records and documents, on the effectiveness of the controls over their production.

Example of inspection used as a test of controls is inspection of records for evidence of authorisation.

Some documents represent direct audit evidence of the existence of an asset, for example, a document constituting a financial instrument such as a inventory or bond. Inspection of such documents may not necessarily provide audit evidence about ownership or value. In addition, inspecting an executed contract may provide audit evidence relevant to the entity's application of accounting policies, such as revenue recognition. Inspection of tangible assets may provide reliable audit evidence with respect to their existence, but not necessarily about the entity's rights and obligations or the valuation of the assets. Inspection of individual inventory items may accompany the observation of inventory counting.

ICAI · P5 · RTP May 2024 · question p. 10 · answer p. 20-21

432 RTP **Old P6 Nov 2023** Q7(b) old scheme

T Ltd has used the services of an expert for the purpose of physical verification of its inventory which is appearing in the financial statements of the company at ₹ 75 Crores. Discuss the broad parameters auditor would take into consideration while deciding about using the work performed by the Management's Expert in physical verification of company's inventory.

ICAI'S ANSWER

When information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes:

(a) Evaluate the competence, capabilities and objectivity of that expert;

(b) Obtain an understanding of the work of that expert; and

(c) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 21

433 RTP **Old P6 Nov 2023** Q8 old scheme

SA 500 – "Audit Evidence", explains what constitutes audit evidence in an audit of financial statements. A combination of tests of accounting records and other information is generally used by the auditor to support

his opinion on the financial statements. Explain and discuss the meaning of Audit Evidence in detail.

ICAI'S ANSWER

SA 500 – "Audit Evidence", explains what constitutes audit evidence in an audit of financial statements, and deals with the auditor's responsibility to design and perform audit procedures to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.

Audit evidence may be defined as the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and other information.

Explaining this further, audit evidence includes:

(1) Information contained in the accounting records: Accounting records include

- the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers;
- invoices;
- contracts;
- the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and

- records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

(2) Other information that authenticates the accounting records and also supports the auditor's rationale behind the true and fair presentation of the financial statements: Other information which the auditor may use as audit evidence includes, for example

- minutes of the meetings,
- written confirmations from trade receivables and trade payables,
- manuals containing details of internal control etc.

A combination of tests of accounting records and other information is generally used by the auditor to support his opinion on the financial statements.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 21

434 RTP **Old P6 May 2023** Q7(b) old scheme

Explain the various factors affecting the auditor's judgments as to the sufficiency of the audit evidence.

ICAI'S ANSWER

Auditor's judgement as to sufficiency of audit evidence may be affected by the factors such as:

(i) **Materiality:** It may be defined as the significance of classes of transactions, account balances and

presentation and disclosures to the users of the financial statements. Less evidence would be required in case assertions are less material to users of the financial statements. But on the other hand if assertions are more material to the users of the financial statements, more evidence would be required.

(ii) **Risk of material misstatement:** It may be defined as the risk that the financial statements are materially misstated prior to audit. This consists of two components described as follows at the assertion level:

- Inherent risk—The susceptibility of an assertion to a misstatement that could be material before consideration of any related controls.
- Control risk—The risk that a misstatement that could occur in an assertion that could be material will not be prevented or detected and corrected on a timely basis by the entity's internal control.

Less evidence would be required in case assertions that have a lower risk of material misstatement. But on the other hand, if assertions have a higher risk of material misstatement, more evidence would be required.

(iii) **Size of a population:** It refers to the number of items included in the population. Less evidence would be required in case of smaller, more homogeneous population but on the other hand in

case of larger, more heterogeneous populations, more evidence would be required.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 17-18

435 RTP **Old P6 Nov 2022** Q7(a) old scheme

An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively. Explain.

ICAI'S ANSWER

Auditing is a logical process. An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively.

Objective examination connotes critical examination and scrutiny of the accounting statements of the undertaking with a view to assessing how far the statements present the actual state of affairs in the correct context and whether they give a true and fair view about the financial results and state of affairs. An opinion founded on a rather reckless and negligent examination and evaluation may expose the auditor to legal action with consequential loss of professional standing and prestige.

He needs evidence to obtain information for arriving at his judgement.

SA 500 – "Audit Evidence", explains what constitutes audit evidence in an audit of financial statements, and deals with the auditor's responsibility to design and perform audit procedures to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 20

436 **RTP** **Old P6 Nov 2022** **Q7(b)** old scheme

Manya Textiles is manufacturer of bed sheets, curtain cloths, other handloom items etc. having its plant at Panipat. Auditors SJ & Co. is having doubts over the reliability of information given to him as audit evidence. Also, auditors observed inconsistent information while conducting audit. Guide the auditor as to how they should proceed in the given situation.

ICAI'S ANSWER

If:

(a) audit evidence obtained from one source is inconsistent with that obtained from another; or

(b) the auditor has doubts over the reliability of information to be used as audit evidence,

the auditor shall determine what modifications or additions to audit procedures are necessary to

resolve the matter, and shall consider the effect of the matter, if any, on other aspects of the audit.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 20

437 RTP **Old P6 May 2022 Q6** old scheme

While conducting the audit of Pummy Limited, the statutory auditors collected written representations from the Management. The audit was finalized in addition to other audit procedures but, without making any inquiries, as the statutory auditors were short of time. In the light of this information, state the importance of inquiry as one of the methods of collecting Audit Evidence.

ICAI'S ANSWER

Inquiry: As per SA 500 Audit Evidence: -

(i) Inquiry consists of seeking information of knowledgeable persons, financial and non-financial, within the entity or outside the entity. Inquiry is used extensively throughout the audit in addition to other audit procedures. Inquiries may range from formal written inquiries to informal oral inquiries. Evaluating responses to inquiries is an integral part of the inquiry process.

(ii) Responses to inquiries may provide the auditor with information not previously possessed or with corroborative audit evidence. Alternatively, responses might provide information that differs significantly from other information that the auditor has obtained, for example, information

regarding the possibility of management override of controls. In some cases, responses to inquiries provide a basis for the auditor to modify or perform additional audit procedures.

(iii) Although corroboration of evidence obtained through inquiry is often of particular importance, in the case of inquiries about management intent, the information available to support management's intent may be limited. In these cases, understanding management's past history of carrying out its stated intentions, management's stated reasons for choosing a particular course of action, and management's ability to pursue a specific course of action may provide relevant information to corroborate the evidence obtained through inquiry.

(iv) In respect of some matters, the auditor may consider it necessary to obtain written representations from management and, where appropriate, those charged with governance to confirm responses to oral inquiries.

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 18-19

438 RTP **Old P6 Dec 2021** General MCQ 2 MCQ old scheme

Mr. H and his team members carefully watched the whole process of counting of finished wooden doors by employees of Bottom Limited. This is an example of which audit procedure:

A External Confirmation.

B Observation.

C Inquiry.

D Inspection.

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Dec 2021 · question p. 121 · answer p. 126

439 **RTP** **Old P6 Jul 2021** Q7(a) old scheme

When information to be used as audit evidence has been prepared using the work of a management's expert and having regard to the significance of expert's work for the auditor's purposes, explain the considerations auditor would consider for the purposes of his audit.

ICAI'S ANSWER

When information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes:

(i) Evaluate the competence, capabilities and objectivity of that expert;

(ii) Obtain an understanding of the work of that expert; and

(iii) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 131

440 RTP **Old P6 Nov 2020** Q6(b) old scheme

Sufficiency is the measure of the quantity of audit evidence. The quantity of audit evidence needed is affected by the auditor's assessment of the risks of misstatement and also by the quality of such audit evidence. Obtaining more audit evidence, however, may not compensate for its poor quality. Explain also stating the factors affecting auditor's judgment as to sufficiency of audit evidence.

ICAI'S ANSWER

Sufficiency is the measure of the quantity of audit evidence. The quantity of audit evidence needed is affected by the auditor's assessment of the risks of misstatement (the higher the assessed risks, the more audit evidence is likely to be required) and also by the quality of such audit evidence (the higher the quality, the less may be required). Obtaining more audit evidence, however, may not compensate for its poor quality. **Auditor's judgement as to sufficiency may be affected by the factors such as:**

(i) Materiality

(ii) Risk of material misstatement

(iii) Size and characteristics of the population.

(a) Materiality may be defined as the significance of classes of transactions, account balances and presentation and disclosures to the users of the financial statements. Less evidence would be required in case assertions are less material to users

of the financial statements. But on the other hand if assertions are more material to the users of the financial statements, more evidence would be required.

(2) Risk of material misstatement may be defined as the risk that the financial statements are materially misstated prior to audit. This consists of two components described as follows at the assertion level (a) Inherent risk—The susceptibility of an assertion to a misstatement that could be material before consideration of any related controls. (b) Control risk—The risk that a misstatement that could occur in an assertion that could be material will not be prevented or detected and corrected on a timely basis by the entity's internal control. Less evidence would be required in case assertions that have a lower risk of material misstatement. But on the other hand if assertions have a higher risk of material misstatement, more evidence would be required.

(c) Size of a population refers to the number of items included in the population. Less evidence would be required in case of smaller, more homogeneous population but on the other hand in case of larger, more heterogeneous populations, more evidence would be required.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 18-19

441 RTP Old P6 Nov 2020 Q7(b) old scheme

The nature and timing of the audit procedures to be used may be affected by the fact that some of the accounting data and other information may be available only in electronic form or only at certain points or periods in time. Explain with the help of examples.

ICAI'S ANSWER

The nature and timing of the audit procedures to be used may be affected by the fact that some of the accounting data and other information may be available only in electronic form or only at certain points or periods in time. For example, source documents, such as purchase orders and invoices, may exist only in electronic form when an entity uses electronic commerce, or may be discarded after scanning when an entity uses image processing systems to facilitate storage and reference.

Certain electronic information may not be retrievable after a specified period of time, for example, if files are changed and if backup files do not exist. Accordingly, the auditor may find it necessary as a result of an entity's data retention policies to request retention of some information for the auditor's review or to perform audit procedures at a time when the information is available.

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 20

442 RTP **Old P6 Nov 2019** MCQ 3 MCQ old scheme

Also asked in Old P6 MTP May 2022 S-II General MCQ 3 · Old P6 MTP Nov 2019 S-I MCQ 13

Audit evidence is necessary to support the auditor's opinion and report. It is_____in nature and is primarily obtained from audit procedures performed during the course of the audit.

A cumulative

B regressive

C selective

D objective

ICAI'S ANSWER

(A)

ICAI · Old P6 · RTP Nov 2019 · question p. 2 · answer p. 9

443 RTP **Old P6 Nov 2019** Q6(a) old scheme

Auditing is a logical process. An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively. He needs evidence to obtain information for arriving at his judgment. Discuss explaining clearly the detailed meaning of audit evidence.

ICAI'S ANSWER

Auditing is a logical process. An auditor is called upon to assess the actualities of the situation,

review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively.

Objective examination connotes critical examination and scrutiny of the accounting statements of the undertaking with a view to assessing how far the statements present the actual state of affairs in the correct context and whether they give a true and fair view about the financial results and state of affairs. An opinion founded on a rather reckless and negligent examination and evaluation may expose the auditor to legal action with consequential loss of professional standing and prestige.

He needs evidence to obtain information for arriving at his judgment.

Audit evidence may be defined as the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and other information.

Explaining this further, audit evidence includes:-

(1) **Information contained in the accounting records:** Accounting records include the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers; invoices; contracts; the general and

subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.

(2) **Other information that authenticates the accounting records and also supports the auditor's rationale behind the true and fair presentation of the financial statements:** Other information which the auditor may use as audit evidence includes, for example minutes of the meetings, written confirmations from trade receivables and trade payables, manuals containing details of internal control etc. A combination of tests of accounting records and other information is generally used by the auditor to support his opinion on the financial statements.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 13

444 **RTP** **Old P6 Nov 2019** **Q6(b)** old scheme

Audit evidence is necessary to support the auditor's opinion and report. It is cumulative in nature and is primarily obtained from audit procedures performed during the course of the audit. Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. Explain

ICAI'S ANSWER

Audit evidence is necessary to support the auditor's opinion and report. It is cumulative in nature and is primarily obtained from audit procedures performed during the course of the audit. It may, however, also include information obtained from other sources such as previous audits. In addition to other sources inside and outside the entity, the entity's accounting records are an important source of audit evidence. Also, information that may be used as audit evidence may have been prepared using the work of a management's expert. Audit evidence comprises both information that supports and corroborates management's assertions, and any information that contradicts such assertions. In addition, in some cases the absence of information (for example, management's refusal to provide a requested representation) is used by the auditor, and therefore, also constitutes audit evidence.

Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. Audit procedures to obtain audit evidence can include inspection, observation, confirmation, recalculation, re-performance and analytical procedures, often in some combination, in addition to inquiry. Although inquiry may provide important audit evidence, and may even produce evidence of a misstatement, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a

material misstatement at the assertion level, nor of the operating effectiveness of controls.

As explained in SA 200, “Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing”, reasonable assurance is obtained when the auditor has obtained sufficient appropriate audit evidence to reduce audit risk (i.e., the risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated) to an acceptably low level. The sufficiency and appropriateness of audit evidence are interrelated.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 14

445 MTP **Sep 2026 S-I**

Case Scenario 1 [MCQs 1-3] · MCQ 1 to MCQ 3 6 marks

CASE SCENARIO 1 [MCQS 1-3]

Mega Industries Ltd. is a listed company engaged in manufacturing and export of industrial equipments across multiple jurisdictions. For the financial year ended 31st March 2026, the statutory audit was undertaken by DKS & Co., Chartered Accountants. Considering the complexity of operations, large volume of export transactions, significant foreign currency borrowings and extensive credit sales, the engagement partner classified revenue recognition, trade receivables and foreign currency liabilities as key focus areas of the audit.

At the planning stage, the audit team reviewed the annual reports of the company for the previous five financial years, including audited financial statements, directors' reports, management discussion and analysis reports and other published disclosures. The objective was to understand reporting trends, consistency in disclosures, movements in ratios, changes in borrowing patterns and recurring matters affecting the financial statements. During this review, the audit team noticed a substantial increase in export turnover and foreign currency financing during the current year.

Further examination revealed that the company had availed a long-term loan denominated in US Dollars for expansion of its overseas operations. Since the liability remained outstanding as at the year-end, the audit team verified the exchange rate applied by the management and independently recalculated the outstanding liability using the closing exchange rate prescribed under the applicable accounting framework to ensure proper year-end restatement of the liability.

In addition, because a substantial portion of sales comprised high-volume credit sales to overseas customers, the auditors considered trade receivables to involve significant risk of material misstatement. To obtain sufficient and appropriate audit evidence regarding the existence and accuracy of receivables, the auditors directly communicated with selected customers and sought confirmation of outstanding

balances and transaction details recorded in the books of the company.

On the basis of above, answer the following MCQs

MCQ 1 2 marks

While reviewing the annual reports and published information of the company for the previous five years in order to study reporting trends, disclosure consistency and movement in financial indicators, the audit team was primarily performing which type of audit procedure?

A Observation

B Inspection

C Inquiry

D External Confirmation

MCQ 2 2 marks

In relation to the foreign currency loan obtained by the company, the auditor independently recalculated the year-end liability using the closing exchange rate applicable at the reporting date. The auditor was primarily seeking evidence regarding which assertion?

A Completeness

B Rights and obligations

C Valuation and allocation

D Occurrence

MCQ 3 2 marks

The audit team directly communicated with selected overseas customers seeking confirmation of balances and transaction details relating to receivables arising from credit sales. In the context of the identified significant risk area, such procedure is best classified as:

A Tests of controls designed to evaluate internal approval procedures

B Substantive procedures performed to obtain direct audit evidence

C Risk assessment procedures performed only at the planning stage

D Analytical procedures relating to trend analysis of receivables

ICAI'S ANSWERS

MCQ 1

(B)

MCQ 2

(C)

MCQ 3

(B)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 1-2 · answer p. 1

446 MTP **May 2026 S-II** MCQ 13 2 marks MCQ

GHI Ltd. is engaged in investment and manufacturing activities. During audit, the auditor performed

inspection procedures in the following areas:

- Examined share certificates held by the company as evidence of investments.
- Inspected executed sales contracts to evaluate revenue recognition policies.
- Physically verified plant and machinery at the factory.
- Reviewed internally generated invoices to verify sales transactions.

Based on above, which of the following is the most appropriate audit conclusion regarding inspection as an audit procedure?

A Inspection of share certificates conclusively establishes existence, ownership, and valuation of investments.

B Inspection of executed contracts provides sufficient appropriate audit evidence regarding revenue recognition without need for further procedures.

C Physical inspection of plant and machinery provides evidence of existence, but additional procedures may be required for ownership and valuation.

D Inspection of internally generated invoices provides more reliable audit evidence than external confirmations.

ICAI'S ANSWER

Answer key: **(C)**

447 MTP **Jan 2026 S-I**

Case Scenario 1 [MCQs 1-5] · MCQ 1 to MCQ 5 10 marks

CASE SCENARIO 1 [MCQS 1-5]

CA Arun, a Chartered Accountant, is conducting the statutory audit of Preeti Textiles Ltd. for the financial year ending March 31, 2025. As part of his professional duty, he is required to express an opinion on whether the financial statements present a true and fair view of the company's financial results and state of affairs.

To form his opinion based on the conclusions drawn, CA Arun is adhering to the requirements of SA 500 – "Audit Evidence", which requires obtaining sufficient appropriate audit evidence. He obtains and assesses relevant information during the audit. This information includes:

1. Reviewing the company's General Ledger and Journal Entries.
2. Examining supplier invoices and contracts for major purchases.
3. Scrutinizing work sheets used by finance team for calculating depreciation expense.
4. Reading minutes of the Board of Directors' meetings.
5. Inspecting documented internal control manual for sales process.

The auditor acknowledges that judgments arising from a negligent examination may lead to legal consequences and adversely affect his professional reputation. Accordingly, he conducts his examination with utmost objectivity, analytical rigor, and thoroughness.

As at 31st March 2025, Preeti Textiles Ltd. reported a trade receivables balance of ₹ 45 crore. During the course of the statutory audit, the auditor, CA Arun, decided to employ direct confirmation procedures to verify the existence and accuracy of the trade receivables.

The management requests CA Arun not to seek confirmation from two overseas customers, citing ongoing disputes and confidentiality clauses in export contracts. He evaluates this request and decides to apply alternative audit procedures, such as verifying subsequent receipts and reviewing correspondence for these balances.

While auditing travel expenses, the auditor observed several travel bills submitted by a director for foreign trips undertaken with family members during the festival period. The company had reimbursed entire amount, classifying it under “Business Promotion Expenses.”

Based on above, answer the following MCQs (1-5):

MCQ 1 2 marks

As per SA 500, which of the following best defines "Audit Evidence"?

A Only information contained in general ledger and journal entries.

B Only external confirmations received from trade receivables.

C The information used by the auditor in arriving at the conclusions on which the auditor's opinion is based, including both information contained in the accounting records and other information.

D Only work sheets and spreadsheets supporting cost allocations and computations.

MCQ 2 2 marks

In the scenario of Preeti Textiles Ltd., which of the following items is classified as "Information contained in the accounting records" as per SA 500?

A Minutes of the Board of Directors' meetings.

B Written confirmations from trade receivables.

C The documented internal control manual.

D Supplier invoices and the General Ledger.

MCQ 3 2 marks

Which of the following examples of audit evidence gathered by CA Arun falls under the category of "Other information that authenticates the accounting records"?

A Reviewing the company's Journal Entries.

B Obtaining written confirmations from major trade receivables.

C Scrutinizing work sheets for depreciation calculation.

D Examining contracts for major purchases.

MCQ 4 2 marks

When the management of Preeti Textiles Ltd. requested the auditor not to seek confirmation from certain overseas customers, the auditor's most appropriate course of action should be to:

A Accept the request without further consideration, since management is responsible for customer relationships.

B Refuse the request and qualify the audit report immediately.

C Evaluate whether valid grounds exist for the request. The Auditor needs to reconsider the nature, timing and extent of his audit procedures including the degree of planned reliance on management's representations.

D Proceed with confirmations only for domestic customers.

MCQ 5 2 marks

Which of the following audit verification procedures would be most appropriate for examining the Director's foreign travel expenses?

A Auditor should verify that all bills related to foreign travel should be in the name of the company and travel related to business.

B Auditor should verify whether the expenditure qualified as revenue expenditure

C Auditor should verify that the expenditure pertains to the current audit period.

D Auditor should verify whether the expenditure had valid supporting documents

ICAI'S ANSWERS

MCQ 1

(C)

MCQ 2

(D)

MCQ 3

(B)

MCQ 4

(C)

MCQ 5

(A)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 1-2 · answer p. 1

448 MTP **Jan 2026 S-I** Q1(c) 4 marks

Sameer & Co., Chartered Accountants, are conducting the audit of ABC Ltd. for the year ended 31st March, 2025. While testing accounts payable, the audit team decided to examine the recorded balances appearing in the books to verify the existence and valuation of liabilities. However, the engagement partner pointed out that this may not be sufficient to detect possible understatement of payables. He advised the team to test

subsequent disbursements, unpaid invoices, suppliers' statements, and unmatched receiving reports instead.

(i) Explain with reference to above, concept of relevance of audit evidence.

(ii) State why the auditor should consider both the relevance and reliability of audit evidence while forming his opinion on the financial statements.

ICAI'S ANSWER

(i) Relevance deals with the logical connection between the audit procedure and the assertion under consideration. In the given case, testing the recorded accounts payable may be relevant when verifying overstatement, but not when testing for understatement. For detecting understatement of payables, procedures such as examining subsequent disbursements, unpaid invoices, suppliers' statements, and unmatched receiving reports are more relevant. Thus, the direction and purpose of testing affect the relevance of audit evidence.

(ii) The auditor must consider both the relevance and reliability of audit evidence, as the quality of evidence depends on these factors. Relevance ensures that the evidence logically relates to the assertion being tested, while reliability depends on the source, nature, and circumstances under which the information is obtained. Only evidence that is both relevant and reliable can provide a sound basis for expressing an opinion on the truth and fairness of financial statements.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 8 · answer p. 3

449 MTP Jan 2026 S-I Q3(a) 5 marks

During audit of Kavita Ltd., the auditor performs various audit procedures such as inspection, observation, confirmation, recalculation, reperformance, and analytical procedures. Some information obtained supports management's assertions, while other information appears to contradict them. The auditor also considers data obtained from the entity's accounting records and from the previous year's audit.

Explain how the auditor obtains sufficient appropriate audit evidence to form an opinion on the financial statements.

ICAI'S ANSWER

As per SA 500 on "Audit Evidence", the auditor shall design and perform audit procedures that are appropriate in the circumstances for the purpose of obtaining sufficient and appropriate audit evidence.

Audit evidence is necessary to support the auditor's opinion and report. It is cumulative in nature and is primarily obtained from audit procedures performed during the course of the audit.

It may, however, also include information obtained from other sources such as previous audits. In addition to other sources inside and outside the entity, the entity's accounting records are an important source of audit evidence.

Also, information that may be used as audit evidence may have been prepared using the work of

a management's expert.

Audit evidence comprises both information that supports and corroborates management's assertions, and any information that contradicts such assertions.

In addition, in some cases the absence of information (for example, management's refusal to provide a requested representation) is used by the auditor, and therefore, also constitutes audit evidence.

Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. The auditor uses various audit procedures to obtain audit evidence such as inspection, observation, confirmation, recalculation, reperformance and analytical procedures, often in some combination, in addition to inquiry.

Reasonable assurance is obtained when the auditor has obtained sufficient appropriate audit evidence to reduce audit risk (i.e., the risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated) to an acceptably low level.

SA 330 requires the auditor to conclude whether sufficient appropriate audit evidence has been obtained to reduce audit risk to an acceptably low level, and thereby enable the auditor to draw reasonable conclusions on which to base the

auditor's opinion, is a matter of professional judgment.

SA 200 contains discussion of such matters as the nature of audit procedures, the timeliness of financial reporting, and the balance between benefit and cost, which are relevant factors when the auditor exercises professional judgment regarding whether sufficient appropriate audit evidence has been obtained.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 9 · answer p. 5-6

450 **MTP** **Jan 2026 S-II** **Q3(a)** **5 marks**

The auditor of Global Manufacturing Ltd. is planning to use Inspection as an audit procedure to achieve various audit objectives relating to the company's financial statements.

Discuss Inspection as an audit procedure as per SA 500 "Audit Evidence". Identify the factors affecting the varying degrees of reliability of audit evidence obtained through inspection and provide an example of how inspection can be applied as a test of controls.

Also, the auditor wants to determine which assertion is reliably addressed when a tangible asset is inspected and which two assertions are not necessarily addressed. Explain.

ICAI'S ANSWER

Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical

examination of an asset. Inspection of records and documents provides audit evidence of varying degrees of reliability, depending on their nature and source and, in the case of internal records and documents, on the effectiveness of the controls over their production.

Some documents represent direct audit evidence of the existence of an asset, for example, a document constituting a financial instrument such as a stock or bond. Inspection of such documents may not necessarily provide audit evidence about ownership or value. In addition, inspecting an executed contract may provide audit evidence relevant to the entity's application of accounting policies, such as revenue recognition.

An example of inspection used as a test of controls is inspection of records for evidence of authorisation.

Inspection of tangible assets may provide reliable audit evidence with respect to their existence, but not necessarily about the entity's rights and obligations or the valuation of the assets. Inspection of individual inventory items may accompany the observation of inventory counting.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 9 · answer p. 5

451 MTP **May 2025 S-I** Q4(c) 4 marks

While conducting the audit of Pummy Limited, the statutory auditors collected written representations from the Management. The audit was finalised in

addition to other audit procedures but, without making any inquiries, as the statutory auditors were short of time. In the light of this information, elaborate “inquiry” as one of the methods of collecting Audit Evidence.

ICAI’S ANSWER

Inquiry, as a method of obtaining audit evidence, is explained in accordance with SA 500, "Audit Evidence," as follows:

- Inquiry consists of seeking information of knowledgeable persons, both financial and non-financial, within the entity or outside the entity. Inquiry is used extensively throughout the audit in addition to other audit procedures.
- Inquiries may range from formal written inquiries to informal oral inquiries. Evaluating responses to inquiries is an integral part of the inquiry process.
- Responses to inquiries may provide the auditor with information not previously possessed or with corroborative audit evidence. Alternatively, responses might provide information that differs significantly from other information that the auditor has obtained, for example, information regarding the possibility of management override of controls. In some cases, responses to inquiries provide a basis for the auditor to modify or perform additional audit procedures.
- Although corroboration of evidence obtained through inquiry is often of particular

> importance, in the case of inquiries about management intent, the information available to support management's intent may be limited. In these cases, understanding management's past history of carrying out its stated intentions, management's stated reasons for choosing a particular course of action, and management's ability to pursue a specific course of action may provide relevant information to corroborate the evidence obtained through inquiry.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 9

452 MTP **May 2025 S-II** Q1(c) 4 marks

Identify and explain briefly the audit procedure used by the auditor to obtain audit evidence in following situations:

(i) While auditing the books of accounts of ANT Limited for the financial year 2023-24, the auditor checked the complete documents and records of the company in detail to obtain audit evidence.

(ii) Mr. M, auditor of company, looks at the process of inventory counting by the entity's personnel and of the performance of control activities.

(iii) XYZ Ltd. is engaged in export of goods to Europe. The sales invoices raised in Euros are converted into Indian rupees as per applicable norms. The auditor wants to verify whether conversion of foreign currency into Indian rupees is proper or not.

(iv) CA Isha is appointed as auditor of TUV Ltd., during the initial stage of audit, she reviewed the Gross Profit Ratio of the company. She also compared GP ratio of TUV Ltd. with the other companies operating in similar industry.

ICAI'S ANSWER

(i) The audit procedure used by auditor of ANT Limited is known as Inspection because inspection is an audit procedure in which complete documents and records of a company are checked in detail for the purpose of obtaining audit evidence.

(ii) Mr. M is using Observation as audit procedure as Observation consists of looking at a process or procedure being performed by others.

(iii) The audit procedure used by auditor is Recalculation. Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation may be performed manually or electronically.

(iv) CA Isha is using Analytical Procedure to obtain audit evidence. Analytical procedures consist of evaluations of financial information made by a study of plausible relationships among both financial and non-financial data. Analytical procedures also encompass the investigation of identified fluctuations and relationships that are inconsistent with other relevant information or deviate significantly from predicted amounts.

ICAI · P5 · MTP May 2025 · Series II · question p. 9 · answer p. 2-3

453 MTP **Jan 2025 S-I** Q5(b) 5 marks

The reliability of audit evidence depends on its source, nature, and the circumstances under which it is obtained, including the controls over its preparation and maintenance. Although exceptions may exist, few generalisations can be made about reliability of audit evidence. Considering above discuss such generalisations that can be made about the reliability of audit evidence.

ICAI'S ANSWER

While recognising that exceptions may exist, the following generalisations about the reliability of audit evidence may be useful:

- The reliability of audit evidence is increased when it is obtained from independent sources outside the entity.
- The reliability of audit evidence that is generated internally is increased when the related controls, including those over its preparation and maintenance, imposed by the entity are effective.
- Audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly or by inference.
- Audit evidence in documentary form, whether paper, electronic, or other medium, is more reliable than evidence obtained orally
- Audit evidence obtained as original documents is more reliable than audit evidence obtained as photocopies or facsimiles, or documents that

have been filmed, digitised or otherwise transformed into electronic form because in these cases the reliability of which may depend on the controls over their preparation and maintenance.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 8-9

454 MTP **Sep 2024 S-I** Q1(c) 4 marks

Expert Industries Limited is engaged in petrochemical business. Due to nature of its business, the company has hired PQR Associates, a reputed firm of chartered engineers, to determine the quantity and valuation of inventories for preparation of financial statements. The auditor of Expert Industries Limited want to use the same as audit evidence. Before using the work of PQR Associates, management's expert, what aspects should be taken care by auditor?

ICAI'S ANSWER

As per SA 500, "Audit Evidence", if the entity has employed or engaged experts, the auditor may rely on the works of experts, provided he is satisfied that sufficient and appropriate audit evidence is obtained with reasonable assurance to form an opinion on the financial statements. When information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes: -

(a) Evaluate the competence, capabilities and objectivity of that expert

(b) Obtain an understanding of the work of that expert and

(c) Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

Before using the work of PQR Associates, management's expert, auditor should ensure that the criteria mentioned above are fulfilled.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 8 · answer p. 2-3

455 MTP **May 2024 S-I** Q3(a) 4 marks

Suniti, a CA student, is part of an engagement team conducting audit of a company TIM Private Limited. According to audit programme, she is responsible for verifying purchases and PPE items appearing in books of accounts from records/bills of company. Besides, she has also been entrusted responsibility to obtain written representation from management regarding carrying out of physical verification of inventories during the year. During course of her work, she finds that:

(i) One purchase bill amounting to ₹ 5.00 lacs pertaining to TIM Industries has been entered in books of TIM Private Limited.

(ii) The management has refused to provide a written representation relating to physical verification of inventories during the year. She has brought it to knowledge of engagement partner who has decided to use lack of such a representation as audit evidence.

Discuss whether each of above constitutes audit evidence. State reasoning for your answer.

ICAI'S ANSWER

Audit evidence comprises both information that supports and corroborates management's assertions, and any information that contradicts such assertions. Purchase bill of ₹ 5.00 lacs pertaining to TIM Industries has been entered in books of TIM Private Limited. Therefore, it is contradicting management's assertion relating to occurrence of such purchases. Hence, it constitutes audit evidence.

Further, the absence of information (for example, management's refusal to provide a requested representation) is used by auditor, and therefore, also constitutes audit evidence. In the given case, management has refused to provide a written representation relating to physical verification of inventories during the year. Therefore, absence of information is used by auditor and it also constitutes audit evidence.

ICAI · P5 · MTP May 2024 · Series I · question p. 10 · answer p. 5

456 MTP **May 2024 S-II** Case Scenario 3 · MCQ 3.1 to MCQ 3.3

6 marks

CASE SCENARIO 3

In accordance with requirements of Standards on Auditing, CA Tina (a freshly qualified professional) wants to obtain sufficient appropriate audit evidence in an audit engagement pertaining to financial

statements of a partnership firm for year 2022-23. The firm is trading in FMCG goods. Appointed in May, 2023, she needs evidence to obtain information for arriving at her judgment. Clearly remembering fundamentals that an auditor has to obtain sufficient appropriate audit evidence to draw reasonable conclusions on financial statements, she proceeded in accordance with audit plan prepared by her.

During the year 2022-23, firm was maintaining a current account with a branch of a public sector bank. Her audit plan had included procedure of confirming balance of current account directly from bank. As at 28th March, 2023, the firm had an urgent need to pay its utility bill amounting to ₹1.00 lacs. However, due to insufficiency of funds, it had requested branch manager to get cheque drawn on utility company cleared. Therefore, balance in current account of firm in books of bank branch stood at ₹0.92 lacs (Debit). The firm had also issued cheques in evening of 31st March,2023 in anticipation of funds on next working day i.e.3rd April, 2023. It had also certain cheques dated 27th March, 2023 from its debtors lying with it which were deposited in afternoon of 31st March,2023 in bank branch at request of debtors.

Her plan also included performance of certain procedures pertaining to verification of inventories. Inventories of FMCG goods were material to financial statements.

Her assistant, Tisha, had her own notion about understanding of sufficient appropriate audit evidence. She further feels that when audit evidence is obtained from available records of an entity, it is known as internal evidence like purchase bills of FMCG goods, debit notes issued by firm on debtors for GST short charged earlier during the year and credit notes issued by firm during the year on debtors to account for extra price charged in accordance with provisions of GST law. She is also of the view that audit evidence obtained by auditor is final and conclusive.

Based upon above, answer the following questions: -

MCQ 3.1 2 marks

As regards matter of balance in current account and related issues is concerned, which of following statements is likely to be most appropriate?

A Amount of ₹ 0.92 lac is required to be classified under cash & bank balances in financial statements of firm. Procedure of confirming balance directly from the bank alone is likely to constitute sufficient appropriate audit evidence.

B Amount of ₹ 0.92 lac is required to be classified under cash & bank balances in financial statements of firm. Procedure of confirming balance directly from the bank alone is not likely to constitute sufficient appropriate audit evidence.

C Amount of ₹ 0.92 lac is required to be classified under current liabilities in financial statements of firm. Procedure of confirming balance directly from the bank alone is likely to constitute sufficient appropriate audit evidence.

D Amount of ₹ 0.92 lac is required to be classified under current liabilities in financial statements of firm. Procedure of confirming balance directly from the bank alone is not likely to constitute sufficient appropriate audit evidence.

MCQ 3.2 2 marks

Considering matter of verification of inventories, which of following statements is based on facts described in the situation and also in essence of Standards on Auditing?

A She should verify subsequent sale invoices of inventory items lying in stocks as at year end. Besides, she should also review stock records of year 2022-23 and subsequent period. Such evidence may constitute sufficient appropriate audit evidence.

B She should verify subsequent sale invoices of inventory items lying in stocks as at year end. Besides, she should also review stock records of year 2022-23 and subsequent period. She should attend physical inventory count at year end in above situation. Such evidence may constitute sufficient appropriate audit evidence.

C She should verify purchase invoices of inventory items lying in stocks as at year end. Stock records are not required to be verified. Such evidence is likely to constitute sufficient appropriate audit evidence.

D She should verify purchase invoices of inventory items lying in stocks as at year end. She should attend physical inventory count at year end in above situation Such evidence may constitute sufficient appropriate audit evidence.

MCQ 3.3 2 marks

Identify correct statement on the basis of description provided in case scenario: -

A Purchase bills of FMCG goods, debit notes issued by firm on debtors for GST short charged earlier during the year and credit notes issued by firm during the year on debtors to account for extra price charged in accordance with provisions of GST law are all examples of internal evidence. Audit evidence obtained by auditor is final and conclusive.

B Purchase bills of FMCG goods, debit notes issued by firm on debtors for GST short charged earlier during the year and credit notes issued by firm during the year on debtors to account for extra price charged in accordance with provisions of GST law are all examples of internal evidence. Audit evidence obtained by auditor is persuasive.

C Only debit notes issued by firm on debtors for GST short charged earlier during the year and credit notes issued by firm during the year on debtors to account for extra price charged in accordance with provisions of GST law are examples of internal evidence. Audit evidence obtained by auditor is persuasive.

D Only debit notes issued by firm on debtors for GST short charged earlier during the year is an example of internal evidence. Audit evidence obtained by auditor is persuasive.

ICAI'S ANSWERS

MCQ 3.1

(D) Amount of ₹ 0.92 lac is required to be classified under current liabilities in financial statements of firm. Procedure of confirming balance directly from the bank alone is not likely to constitute sufficient appropriate audit evidence.

MCQ 3.2

(A) She should verify subsequent sale invoices of inventory items lying in stocks as at year end. Besides, she should also review stock records of year 2022-23 and subsequent period. Such evidence may constitute sufficient appropriate audit evidence.

MCQ 3.3

(C) Only debit notes issued by firm on debtors for GST short charged earlier during the year and credit notes issued by firm during the year on debtors to account for extra price charged in accordance with

provisions of GST law are examples of internal evidence. Audit evidence obtained by auditor is persuasive.

ICAI · P5 · MTP May 2024 · Series II · question p. 5-6 · answer p. 1, 1-2, 2

457 MTP **Old P6 Nov 2023 S-I** General MCQ 7 1 mark MCQ

old scheme

_____ may be defined as the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. It includes both information contained in the accounting records underlying the financial statements and other information.

A Audit procedure

B Audit evidence

C Audit plan

D Audit programme

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 6 · answer p. 1

458 MTP **Old P6 Nov 2023 S-I** General MCQ 8 1 mark MCQ

old scheme

While auditing the books of accounts of Mehra Limited for the financial year 2022-23, the auditor of the company used an audit procedure according to which complete documents and records of the company were checked in detail in order to obtain audit evidence.

Explain the audit procedure used by the auditor of company.

A Recalculation

B Analytical Procedures

C Inquiry

D Inspection

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 6-7 · answer p. 1

459 MTP **Old P6 Nov 2023 S-II** Q3(c) 4 marks old scheme

Auditing is a logical process. An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively. He needs evidence to obtain information for arriving at his judgment. Discuss explaining clearly the meaning of audit evidence in detail.

ICAI'S ANSWER

Auditing is a logical process. An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively.

Objective examination connotes critical examination and scrutiny of the accounting statements of the undertaking with a view to assessing how far the statements present the actual state of affairs in the correct context and whether they give a true and fair view about the financial results and state of affairs. An opinion founded on a rather reckless and negligent examination and evaluation may expose the auditor to legal action with consequential loss of professional standing and prestige.

He needs evidence to obtain information for arriving at his judgment.

Audit evidence may be defined as the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and other information.

Explaining this further, audit evidence includes:-

(1) **Information contained in the accounting records:** Accounting records include the records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers; invoices; contracts; the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and records such as work sheets and spreadsheets supporting cost

allocations, computations, reconciliations and disclosures.

(2) **Other information that authenticates the accounting records and also supports the auditor's rationale behind the true and fair presentation of the financial statements:** Other information which the auditor may use as audit evidence includes, for example minutes of the meetings, written confirmations from trade receivables and trade payables, manuals containing details of internal control etc. A combination of tests of accounting records and other information is generally used by the auditor to support his opinion on the financial statements.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 6 · answer p. 5

460 MTP **Old P6 May 2023 S-II** General MCQ 5 1 mark MCQ old scheme

Also asked in Old P6 MTP Jul 2021 S-II General MCQ 3 · Old P6 MTP Nov 2019 S-I MCQ 4

Audit evidence includes

A information contained in the accounting records underlying the financial statements

B both information contained in the accounting records underlying the financial statements and other information.

C other information.

D information contained in the accounting records underlying the financial statements or other information.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 4-5 · answer p. 1

461 MTP **Old P6 May 2023 S-II** Q6(e) 3 marks old scheme

What is meant by sufficiency of Audit Evidence? Explain the factors affecting the auditor's judgement as to the sufficiency of audit evidence.

ICAI'S ANSWER

Sufficiency is the measure of the quantity of audit evidence. The quantity of audit evidence needed is affected by the auditor's assessment of the risks of misstatement (the higher the assessed risks, the more audit evidence is likely to be required) and also by the quality of such audit evidence (the higher the quality, the less may be required). Obtaining more audit evidence, however, may not compensate for its poor quality.

Following are the factors affecting the auditor's judgement as to the sufficiency of audit evidence:

(i) Materiality: It may be defined as the significance of classes of transactions, account balances and presentation and disclosures to the users of the financial statements. Less evidence would be required in case assertions are less material to users of the financial statements. But on the other hand, if

assertions are more material to the users of the financial statements, more evidence would be required.

(ii) Risk of material misstatement: It may be defined as the risk that the financial statements are materially misstated prior to audit. This consists of two components described as follows at the assertion level:

- Inherent risk—The susceptibility of an assertion to a misstatement that could be material before consideration of any related controls.
- Control risk—The risk that a misstatement that could occur in an assertion that could be material will not be prevented or detected and corrected on a timely basis by the entity's internal control.

Less evidence would be required in case assertions that have a lower risk of material misstatement. But on the other hand, if assertions have a higher risk of material misstatement, more evidence would be required.

(iii) Size of a population: It refers to the number of items included in the population. Less evidence would be required in case of smaller, more homogeneous population but on the other hand in case of larger, more heterogeneous populations, more evidence would be required.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 10

462 MTP **Old P6 Nov 2022 S-I** General MCQ 4 1 mark MCQ

old scheme

Mr. H and his team members in detail checked and evaluated the books of accounts and relevant documents of WT Limited. This is an example of which audit procedure:

- A Inspection.
- B Re-performance.
- C Recalculation.
- D Observation.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 4 · answer p. 1

463 MTP **Old P6 Nov 2022 S-II** General MCQ 1 1 mark MCQ

old scheme

CA X, auditor of Green Shoots Private Ltd. is going through financial statements of the company. On perusing notes to accounts, he finds ageing of trade payables reflecting in accordance with requirements of Schedule III of Companies Act, 2013. He wants to be sure that ageing of trade payables forming part of notes of accounts is proper and carries out ageing independently to confirm its veracity.

Identify audit procedure(s) being performed by CA X.

- A Analytical procedures
- B Recalculation

C Re-performance

D Observation

ICAI'S ANSWER

Option (C)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 5 · answer p. 1

464 MTP **Old P6 Nov 2022 S-II** Q5(a) 3 marks old scheme

CA Amar is the statutory auditor of XYZ Ltd. for the FY 2021-22. During the course of audit, CA Amar found that a litigation is going against the company for which the company has hired an external legal team (management expert). CA Amar wanted to use the information as audit evidence which is prepared using the work of the management expert. What should CA Amar consider before using the work of such management expert?

ICAI'S ANSWER

When information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes:

1. Evaluate the competence, capabilities and objectivity of that expert;
2. Obtain an understanding of the work of that expert; and
3. Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

4. CA Amar should consider the above before using the work of the management's expert.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 6

465 MTP **Old P6 Dec 2021 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

A Partnership Firm of Chartered Accountants by the name of HS and Associates was appointed to audit books of accounts of WT Limited for financial year 2019-20. HS and Associates consisted of two partners CA H and CA S.

While conducting audit of WT Limited for financial year 2019-20, CA H, one of the partners of HS and Associates used different audit procedures in order to obtain audit evidence.

The different audit procedures used by CA H were as follows:

(1) As WT Limited was engaged in manufacturing business of wooden doors, CA H and his team members carefully watched the whole process of counting of finished wooden doors by employees of WT Limited. The counting of finished wooden doors was necessary for the purpose of verification of stock of finished wooden doors.

(2) In WT Limited the stock of finished wooden doors was valued manually by multiplying number of finished wooden doors with value per finished wooden door. A team member of CA H again did the

calculation in order to verify the accuracy regarding valuation of stock of wooden finished doors.

(3) CA H with the help of his team members obtained information from people (who were experienced in manufacturing business of wooden doors) about the purchase price of raw materials required in manufacturing business of wooden doors and also obtained some non-financial information.

(4) CA H and his team members while conducting the audit of WT Limited for financial year 2019-20 in detail checked and evaluated the books of accounts and relevant documents of W Limited.

(5) CA H asked for written confirmations regarding account balances from Debtors and Creditors of WT Limited.

Keeping the basic concepts about various audit procedures in mind, answer the following multiple-choice questions:

MCQ 1.1 2 marks

CA H and his team members carefully watched the whole process of counting of finished wooden doors by employees of WT Limited. This is an example of which audit procedure:

- A External Confirmation.
- B Observation.
- C Inquiry.
- D Inspection.

MCQ 1.2 2 marks

In order to verify the accuracy regarding valuation of stock of wooden finished doors, a team member of CA H again did the calculation. This is an example of which audit procedure:

- A Analytical Procedures.
- B Inquiry.
- C Inspection.
- D Recalculation.

MCQ 1.3 2 marks

CA H with the help of his team members obtained information (both financial and non-financial information) from experienced people in manufacturing business of wooden doors. These experienced people provided the required information. This whole method of obtaining information is an example of which audit procedure:

- A Inspection
- B Reperformance.
- C Inquiry.
- D Investigation.

MCQ 1.4 2 marks

CA H and his team members in detail checked and evaluated the books of accounts and relevant documents of WT Limited. This is an example of which audit procedure:

A Inspection.

B Reperformance.

C Recalculation.

D Investigation

MCQ 1.5 2 marks

Asking for written confirmations regarding account balances from Debtors and Creditors of WT Limited by CA H is an example of which audit procedure:

A Inquiry

B Inspection

C Investigation.

D External Confirmation.

ICAI'S ANSWERS

MCQ 1.1

(B)

MCQ 1.2

(D)

MCQ 1.3

(C)

MCQ 1.4

(A)

MCQ 1.5

(D)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 1 · answer p. 1

466 MTP **Old P6 Dec 2021 S-II** General MCQ 3 2 marks MCQ old scheme

Audit evidence includes

- **A** information contained in the accounting records underlying the financial statements
- **B** both information contained in the accounting records underlying the financial statements and other information.
- **C** other information.
- **D** information contained in the accounting records underlying the financial statements information.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 5 · answer p. 1

467 MTP **Old P6 Dec 2021 S-II** Q6(d) 3 marks old scheme

In the course of audit of SMP Limited for the financial year ended 31st March, 2020 you have observed as an auditor that the company has provided a sum of ₹ 20 Lakhs in the books of account as Gratuity payable to employees based on certificate obtained from an actuary. Give your comments with reference *to the Standard on Auditing.*

ICAI'S ANSWER

Certificate from a Management's Expert: In the given case, SMP Limited has provided a sum of 20 lakh in the books of accounts as gratuity payable on the basis of certificate obtained from an actuary.

The liability towards gratuity payable to the employees at the time of cessation of service should be ascertained and provided for in the accounts when the employees are in service, it is an ascertained present liability accruing over the period of service but payable upon cessation of service.

The auditor should check the quantification of the gratuity liability. He should ascertain whether the same had been actuarially determined. The auditor should treat the actuary as managements' expert and conduct procedures relevant to checking the opinion of an expert in accordance with SA 500.

As per SA 500, "Audit Evidence", when information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes:

1. Evaluate the competence, capabilities and objectivity of that expert;
2. Obtain an understanding of the work of that expert; and
3. Evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 8

468 MTP Old P6 Nov 2019 S-I MCQ 5 1 mark MCQ
old scheme

Most of the auditor's work in forming the auditor's opinion consists of :

A obtaining audit evidence.

B evaluating audit evidence.

C obtaining or evaluating audit evidence.

D obtaining and evaluating audit evidence.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 1-2 · answer p. 1

4.2 Financial statement assertions and audit procedures

66 questions · asked in 25 ICAI documents · 2 exam papers

469 EXAM Sep 2025 MCQ 14 2 marks MCQ

During the course of audit of a company CA Nitin has verified various assertions relating to Income Statement and Balance Sheet items. Consider the following statements:

Statement 1: Occurrence and Valuation are assertions relating to Balance Sheet captions.

Statement 2: Measurement and Existence are assertions relating to Income Statement captions.

Statement 3: Measurement and Completeness are assertions relating to Income Statement captions.

Statement 4: Existence and Rights & Obligations are assertions relating to Balance Sheet captions.

Choose the correct option from below:

- **A** Only 1 & 2 are correct.
- **B** Only 1 & 3 are correct.
- **C** Only 2 & 4 are correct.
- **D** Only 3 & 4 are correct.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · Sep 2025 exam · question p. 9 · answer p. 10

470 **EXAM** **Jan 2025** Case scenario · Q4(b)(i) to Q4(b)(v) **5 marks**

CASE SCENARIO

Identify and explain the assertions that the auditor will check by performing the following audit procedures-

Q4(b)(i) 1 mark

Employee benefit expenses do not include the cost of any unauthorised personnel.

Q4(b)(ii) 1 mark

All the items of inventory pertaining to the relevant year shall be included regardless of the location.

Q4(b)(iii) 1 mark

Sales are recorded correctly in the books based on the invoices. Discounts have been properly adjusted or accounted for.

Q4(b)(iv) 1 mark

The entity owns or controls the inventory recorded in the financial statements. i.e. the purchase invoices have been made in the name of the client.

Q4(b)(v) 1 mark

Inventory has been recognised at the lower of cost and net realizable value in accordance with AS 2 - Inventories.

ICAI'S ANSWERS

Q4(b)(i)

For Employee benefit expenses do not include the cost of any unauthorised personnel: The auditor will check the occurrence assertion for the same to ensure that transactions recognised in the financial statements have occurred and relate to the entity.

Q4(b)(ii)

All the items of inventory pertaining to the relevant year shall be included regardless of the location: The auditor will check the cut-off assertion to ensure that all assets and liabilities are reported in the appropriate period.

Q4(b)(iii)

Sales are recorded correctly in the books based on the invoices. Discounts have been properly adjusted or accounted for: The auditor will check measurement assertion to ensure transactions have been recorded accurately at their appropriate amounts in the financial statements. There have been no errors while preparing documents or in

posting transactions to ledger. The figures and explanations are not misstated.

Q4(b)(iv)

The entity owns or controls the inventory recorded in the financial statements. i.e., the purchase invoices have been made in the name of the client: The auditor will check rights & obligations assertion to ensure that the entity has the right to assets (i.e. whether the entity has ownership and legal title to assets), and the liabilities recognised in the financial statements represent all the entity's obligations to repayment as at a given date.

Q4(b)(v)

Inventory has been recognised at the lower of cost and net realizable value in accordance with AS 2 - Inventories: The auditor will check valuation assertion to ensure assets, liabilities and equity balances have been valued appropriately i.e. the amounts at which they are recorded are appropriate. There has been no overstatement or understatement

ICAI · P5 · Jan 2025 exam · question p. 21 · answer p. 23, 23-24, 24

471 RTP **Sep 2026** Q6 MCQ

LR & Co., Chartered Accountants, are conducting the statutory audit of Beta Exports Ltd. for the financial year ended 31st March 2026. During the audit, the engagement team is verifying the borrowings of the company.

It is observed that the company has obtained a loan denominated in foreign currency. While checking the year-end balances, the auditor verifies the closing exchange rate and recalculates the loan amount to ensure that it has been properly restated in the financial statements in accordance with applicable accounting standards.

Based on above scenario, identify the assertion that the auditor is trying to verify:

- A Completeness
- B Rights and obligations
- C Valuation
- D Existence

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · RTP Sep 2026 · question p. 4-5 · answer p. 12

472 **RTP** **Sep 2025** Q14

Identify and explain the assertions that the auditor will check by performing the following audit procedures:

(i) Employee benefit expenses recognised during the period relates to the current accounting period only.

(ii) Employee benefit expenses in respect of all personnel have been fully accounted for.

(iii) Any inventory held by the entity on behalf of another entity has not been recognised as part of inventory of the entity.

(iv) Recorded sales represent goods which were ordered by valid customers and were despatched and invoiced in the period.

ICAI'S ANSWER

(i) The auditor will check the **cut-off** assertion to ensure that whether all income and expenses are reported in the-correct accounting period. Cut-off is a separate assertion because the substantive procedures to verify it are typically different from those applied to the other components of completeness.

(ii) The auditor will check the **completeness** assertion for the same to ensure that all transactions that were supposed to be recorded have been recognised in the financial statements. Transactions have not been omitted.

(iii) The auditor will check **rights & obligations** assertion to ensure that the entity has the right to assets i.e. (whether the entity has ownership and legal title to assets) and the liabilities recognised in the financial statements represent all the entity's obligations to repayment as at a given date.

(iv) The auditor will check the **occurrence** assertion for the same to ensure that transactions recognised in the financial statements have occurred and relate to the entity.

ICAI · P5 · RTP Sep 2025 · question p. 6-7 · answer p. 13

473 RTP May 2025 Case Scenario · Q1 to Q5

CASE SCENARIO

Aditya & Co. LLP are the statutory auditors of Benuka Furniture Ltd., a company engaged in the manufacture of wide range of office furniture that suits various workspaces ranging from home offices to corporate environments. The audit team is headed by CA Aditya, being the engagement partner who is further assisted by 2 articled assistants namely Rohit and Mudit. Before starting the audit work of the company, CA Aditya briefed the engagement team about the client's business, the various audit procedures the team can perform and the Standard on Auditing that the team needs to be complied with while conducting the audit of this company. While such discussions were going on, Mudit showed no inclination towards understanding the business and business environment of the company. He was of the view that as a member of the audit team he needs to obtain an understanding about the audit procedures to be performed during the course of audit and not about the client's business.

Rohit was asked by CA Aditya to verify the trade receivables, loan and advances given by the company, amounting to ₹ 20 crore and ₹ 20 lakhs respectively. Rohit asked the concerned official of the company to provide him with the ageing of trade receivables. Rohit decided to send confirmation requests to debtors having balance as on the balance sheet date exceeding ₹ 5 lakhs. He further decided to request to the third party in the request letters to

reply positively whether the balance in their books tallies with the balance mentioned in the request letters. Also, while verifying the balance of loans and advances given by the company, Rohit selected the sample for checking without following any structured approach though he made sure to avoid any conscious biasness or predictability. Thus, he made sure that all the individual balances constituting the total of loans and advances given by the company had a chance of selection.

While checking the balances of fixed assets, Mudit asked the concerned employee of the company to provide him with various documents related to all the fixed assets appearing as on the balance sheet date. He asked for the title deeds with respect to the building owned by the company and the purchase bills for assets purchased by the company. While asking for such documents from the client company, Mudit was of the view that as a member of the audit team he can force the employee of the company to provide him with the required documents.

Further with respect to the inventory of the company, Mudit performed the audit procedures to verify that any inventory balance as at the year end does not include any element of next financial year.

Based on the above facts, answer the following MCQs:

Q1

Whether the view of Mudit regarding obtaining understanding of the client business is correct:

A The view of Mudit is correct because as a member of the audit team, he needs an understanding only about the audit procedures to be performed by him.

B The view of Mudit is not correct because while conducting an audit, the understanding of business and business environment of the client whose audit is to be conducted is very important.

C The view of Mudit is partially correct because such understanding is required only for the engagement partner and not be the members of the audit team.

D The view of Mudit is not correct because such information forms a crucial part of the audit report to be issued at the end of the audit process.

Q2

What kind of confirmation requests Rohit decided to send the debtors for verification of balances of trade receivables?

A Negative confirmation.

B Positive confirmation.

C Exception letter.

D Written Representation.

Q3

Which sample selection methods has been opted by Rohit while verifying the loans and advances given by the company?

A Interval Sampling.

B Block Sampling.

C Haphazard Sampling.

D Monetary Unit Sampling.

Q4

While verifying the inventory of the client company, which assertion is being verified by Mudit?

A Cut Off assertion.

B Valuation assertion.

C Presentation & Disclosure assertion.

D Rights & Obligations assertion.

Q5

With respect to fixed assets, which assertion does Mudit want to check.

A Valuation assertion.

B Presentation and Disclosure assertion.

C Rights and obligations assertion.

D Existence assertion.

ICAI'S ANSWERS

Q1

Answer key: **(B)**

Q2

Answer key: **(B)**

Q3

Answer key: **(C)**

Q4

Answer key: **(A)**

Q5

Answer key: **(C)**

ICAI · P5 · RTP May 2025 · question p. 1-2 · answer p. 8

474 RTP **Jan 2025** Q8 MCQ

CA Kaushal, the statutory auditor of Femo Ltd., obtained trade receivables ageing report, analysed it and identified doubtful debts during the audit of accounts receivable balances. Which Balance Sheet assertion is CA Kaushal intended to check?

A Valuation

B Rights and obligations

C Existence

D Completeness

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · RTP Jan 2025 · question p. 4-5 · answer p. 9

475 RTP **Sep 2024** Case Scenario · Q1 to Q5

CASE SCENARIO

Pluto Limited is engaged in the manufacturing and distribution of furniture. After Covid, as the number of people working from home has gone up, this customisable range home office furniture has gained

lot of importance. They were able to perform very well over the years and the same has been reflected in their financial statements.

During the year 2023-24, M/s Saha and Associates was reappointed as the auditor. The new engagement team has CA Saha (partner) and five article assistants. Given the large volume of transactions, the partner instructed the article assistants to review the financial statements and auditor's report from the previous year, 2022-23, to gain a thorough understanding.

While reviewing the summary page, one of the article Kabir noticed that few points were under discussion with the partner before finalising the audit:

The team verified the following points with respect to employee benefit expenses:

- The employee benefit expenses recorded in the books were actually incurred during the relevant period.
- The expenses in respect of all personnel have been accounted for.
- The expenses recognised during the period are pertaining to the current accounting period.

It was also noted that dividend to equity shareholders for the year 2022-23, was declared on 15.04.2023 and was recognised as liability in the year 2022-23.

Another article Krish noticed that debtors constitute a major component of the company's financial statements. As part of audit procedure, the auditor requested the client to obtain external confirmations from the parties. For this, a list of all the debtors were obtained and a random sampling was performed by the auditor. The client directly obtained the selected debtor confirmations from the customers on time.

Krish also observed addition in the assets amounting ₹ 50 lakhs during the year supported by sufficient audit evidence. However, upon scrutiny, it was found that some of the invoices were not in the name of the company. Further, Cash and cash equivalents were classified as balances with banks, cheques and drafts on hand, cash on hand and earmarked balances with banks (e.g. unpaid dividend)

Based on above, answer the following questions: -

Q1

Which among the following assertions are discussed with respect to the employee benefit expenses?

(i) Measurement

(ii) Occurrence

(iii) Cutoff

(iv) Completeness

Choose the correct combination from below:

A (i), (ii) and (iv)

B (ii), (iii) and (iv)

C (i), (iii) and (iv)

D (i), (ii) and (iii)

Q2

Whether disclosure of dividend under the liability head during the year 2022-23 is appropriate?

A Yes. It should be recognised in the same year irrespective of the year of declaration as the amount of dividend belongs to year 2022-23.

B No. The amount should be recognised equally between two financial years.

C No. The amount should not be recognised as a liability. It should be disclosed in the notes to accounts.

D No. The amount should neither be recognised as liability nor disclosure is required in the financial statements.

Q3

Krish pointed out that that the method followed to obtain debtor confirmation in the previous year was not in accordance with SA 505. Therefore, M/s Saha & Associated should reperform the same in the correct manner.

A As per SA 505, confirmation should be directly obtained by the auditor. Further, for all significant account balances as on the Balance sheet date confirmations should necessarily be collected and for the smaller outstanding balances, random sampling could be performed.

B It is ok to obtain confirmation through clients as they are in constant contact with their customers. Also, many customers may not respond to auditor's external confirmation request mail. Random selection can be done for all debtors irrespective of the amount in accordance with SA 505.

C As per SA 505, confirmation should be directly obtained by the auditor. Whereas random selection can be done for all debtors irrespective of the amount.

D Either auditor or client can obtain confirmation based on time availability. However, it is necessary to obtain confirmation for all significant account balances as on the Balance sheet date and for the remaining random sampling could be performed in accordance with SA 505.

Q4

Which assertion has been affected in the case of fixed assets?

A Existence

B Rights and obligation

C Completeness

D Measurement

Q5

Cash and cash equivalents were not properly classified by the client. Which of the following is incorrect disclosure of the same?

- A Balances with banks
- B Cheques and drafts on hand
- C Cash on hand
- D Earmarked balances with banks (e.g.: unpaid dividend)

ICAI'S ANSWERS

Q1

Answer key: **(B)**

Q2

Answer key: **(C)**

Q3

Answer key: **(A)**

Q4

Answer key: **(B)**

Q5

Answer key: **(D)**

ICAI · P5 · RTP Sep 2024 · question p. 1-2 · answer p. 8

476 RTP **May 2024** General MCQ 1 MCQ

CA Muskan is auditor of two concerns viz. Well Star Homes and Well Star Stores. The partners in both the firms are common. While auditing financial statements of Well Star Homes, she has noticed that few

expenditure bills pertaining to Well Star Stores have been entered in its books. Which assertion of Well Star Homes is disproved in above situation?

A Completeness

B Accuracy

C Occurrence

D Classification

ICAI'S ANSWER

(C) Occurrence

ICAI · P5 · RTP May 2024 · question p. 6-7 · answer p. 15

477 **RTP** **Old P6 Nov 2022** **Q19** old scheme

Name the assertions for the following audit procedures:

(i) Year end inventory verification.

(ii) Depreciation has been properly charged on all assets.

(iii) The title deeds of the lands disclosed in the Balance Sheet are held in the name of the company.

(iv) All liabilities are properly recorded in the financial statements.

(v) Related party transactions are shown properly.

ICAI'S ANSWER

(i) Year-end inventory verification: Existence Assertion.

(ii) Depreciation has been properly charged on all assets: Valuation Assertion.

(iii) Title deed of lands disclosed in the Balance Sheet are held in the name of the Company: Rights & Obligations Assertion.

(iv) All liabilities are properly recorded in the financial statements: Completeness.

(v) Related party transactions are shown properly: Presentation & Disclosure.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 26

478 RTP **Old P6 May 2020** Q19 old scheme

Companies prepare their financial statements in accordance with the framework of generally accepted accounting principles (Indian GAAP), also commonly referred to as accounting standards (AS). In preparing financial statements, Company's management makes implicit or explicit claims (i.e. assertions) regarding assets, liabilities, equity, income, expenses and disclosures in accordance with the applicable accounting standards. Explain with example stating the relevant assertions involved in this regard. Also explain financial statement audit.

ICAI'S ANSWER

Companies prepare their financial statements in accordance with the framework of generally accepted accounting principles (Indian GAAP), also commonly referred to as accounting standards (AS).

A financial statement audit comprises the examination of an entity's financial statements and accompanying disclosures by an independent auditor. The result of this examination is a report by the auditor, attesting to the truth and fairness of presentation of the financial statements and related disclosures.

In preparing financial statements, Company's management makes implicit or explicit claims (i.e. assertions) regarding:

- completeness;
- cut-off;
- existence/ occurrence;
- valuation/ measurement;
- rights and obligations; and
- presentation and disclosure

of assets, liabilities, equity, income, expenses and disclosures in accordance with the applicable accounting standards.

Example

If Company X's balance sheet shows building with carrying amount of ₹ 50 lakh, the auditor shall assume that the management has claimed/ asserted that:

- The building recognized in the balance sheet exists as at the period- end (existence assertion);

- Company X owns and controls such building (Rights and obligations assertion);
- The building has been valued accurately in accordance with the measurement principles (Valuation assertion);
- All buildings owned and controlled by Company X are included within the carrying amount of ₹ 50 lakh (Completeness assertion).

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 23

479 RTP **Old P6 May 2020** Q20 old scheme

What does the Valuation assertion mean in respect of Assets, liabilities and equity balances? Explain with the help of example in respect of Inventory.

ICAI'S ANSWER

Meaning of Valuation Assertion– Assets, liabilities, and equity interests are included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.

Example of Inventory explaining the valuation assertion is given hereunder:

Inventory has been recognized at the lower of cost and net realizable value in accordance with AS 2 - Inventories. Any costs that could not be reasonably allocated to the cost of production (e.g. general and administrative costs) and any abnormal wastage have been excluded from the cost of inventory. An

acceptable valuation basis (eg. FIFO, Weighted average etc.) has been used to value inventory as at the period-end.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 23-24

480 MTP **Sep 2025 S-II** Q2(a) 5 marks

Identify and explain the assertions that the auditor will check by performing the following audit procedures:

(i) Any inventory held by the entity on behalf of another entity has not been recognised as part of inventory of the entity.

(ii) Employee benefit expense has been incurred during the period in respect of the personnel employed by the entity.

(iii) Inventory has been recognised at the lower of cost and net realisable value in accordance with AS 2 - Inventories.

(iv) Sales shall include the despatch of goods made at the year-end as they belong to the relevant period.

(v) Any inventory held by a third party on behalf of the entity has been included as part of the inventory balance.

ICAI'S ANSWER

(i) The auditor will check Rights & Obligations assertion to ensure that the entity has the right to assets i.e. (whether the entity has ownership and legal title to assets) and the liabilities recognised in

the financial statements represent all the entity's obligations to repayment as at a given date.

(ii) The auditor will check Occurrence assertion to ensure that the transactions recognized in the financial statements have occurred and relate to the entity.

(iii) The auditor will check Valuation assertion to ensure assets, liabilities and equity balances have been valued appropriately i.e. the amounts at which they are recorded are appropriate. There has been no overstatement or understatement.

(iv) The auditor will check Cut-off assertion to ensure that all income and expenses are reported in the-correct accounting period. Cut-off is a separate assertion because the substantive procedures to verify it are typically different from those applied to the other components of completeness.

(v) The auditor will verify Completeness assertion to ensure that all assets, liabilities and equity balances that were supposed to be recorded have been recognized in the financial statements.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 8 · answer p. 4

481 MTP **May 2025 S-I** MCQ 14 2 marks MCQ

AMN Ltd. has capitalised a software as an intangible asset in its financial statements. To verify whether the software is actively in use, the auditor reviews the sale of goods and services that rely on this software during

the audit period. Which assertion regarding intangible assets is the auditor verifying?

A Completeness.

B Valuation.

C Disclosure.

D Existence.

ICAI'S ANSWER

(D)

ICAI · P5 · MTP May 2025 · Series I · question p. 7 · answer p. 1

482 MTP **May 2025 S-II** Case Scenario 1 · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO 1

Star Ltd., a leading manufacturer of windmills in India, appointed M/s Shahi & Co., LLP of Chartered Accountants, as its statutory auditors for F.Y. 2023-24. During the audit, one of the audit team members, CA Ritik, was asked by the engagement partner to verify the ownership assertion of the company's inventories. To accomplish this, CA Ritik requested the concerned official of company to arrange for the audit team to attend the physical inventory count being conducted by the company. CA Ritik believed that attending the inventory count was the only way to check the ownership assertion related to the company's inventory. He discussed the matter with another audit team member, CA Pari. She had a different perspective. According to CA Pari, the

correct course of action would be CA Ritik verifying the purchase requisition, purchase order, receiving reports, vendor invoices, inventory records, and payment files etc. as ownership assertion could not be verified simply by attending the physical inventory count.

While verifying the creditors and purchases balances, CA Pari, have been satisfied with the internal control procedures related to purchases and creditors, and decides to check the creditors balance on a sample basis. She requested the management to provide a list of all the creditors, which included a total of 550 creditors. To determine the sample, CA Pari chose a sampling interval of every 11th creditor's balance, which results in a sample size of 50 creditors balances for the audit.

During the audit, while verifying the share capital balance of the company, CA Ritik and CA Pari observed that there has been no change in the share capital raised by the company. CA Pari was of the view that since there has been no change in the share capital of the company, the audit team is not required to obtain any evidence with respect to the share capital balance. However, CA Ritik is of the opinion that they should obtain audit evidence even if there is no change in the company's capital structure during the year. According to him, such evidence can be a written confirmation from the accounts manager.

Before finalising the audit report, the engagement partner asked CA Ritik to coordinate with the client company to request a written representation from management regarding their responsibilities and the information provided. However, CA Ritik refused to accept the representation, as it contained a qualifying language to the effect that representations are made to the best of its knowledge and belief, which according to him was not reasonable to accept.

Based on the above facts, answer the following:

MCQ 1 2 marks

What is the best course of action for CA Ritik for verification of the assertion with respect to the inventory of the company, as asked by the engagement partner?

A. CA Ritik should ask the management to provide a written representation in this regard as it is in itself a sufficient and appropriate audit evidence.

B. CA Ritik should perform test count and inspection while attending the physical inventory count in order to verify the assertion as asked by the engagement partner.

C. CA Ritik should attend the physical inventory count as the only audit procedure.

D. CA Ritik should agree to CA Pari and follow the course of action as suggested by her.

MCQ 2 2 marks

While verifying the inventory as asked by the engagement partner, which specific assertion can be best verified by following the specific audit procedure considered appropriate by CA Ritik?

A Existence and Condition.

B Rights and Obligations.

C Presentation & Disclosure.

D Valuation.

MCQ 3 2 marks

Which method of sampling has CA Pari applied while selecting the sample for verification of creditors?

A Simple random sampling.

B Systematic sampling.

C Haphazard sampling.

D Stratified sampling.

MCQ 4 2 marks

Which of the following is the most appropriate, with respect to verification of share capital balance of the company?

A The point of view of CA Pari is correct.

B The point of view of CA Ritik is correct.

C The point of view of CA Pari is partly correct as no evidence is required to be obtained if the same audit firm has conducted the audit of the previous year thereby verifying the closing balance of share capital in the previous year which becomes the opening balance of the share capital for the year under audit.

D The point of view of CA Ritik is partly correct as written confirmation should be obtained from the Company Secretary.

MCQ 5 2 marks

Whether non-acceptance of the written representation by CA Ritik is correct?

A The non-acceptance of written representation by CA Ritik is not correct as management of the company has the sole discretion to decide as to what language is used or what limitations are imposed in the written representation provided to the auditor.

B The non-acceptance of written representation by CA Ritik is correct as it is not reasonable for the auditor to accept any qualifying language in the written representations given by the management.

C The non-acceptance of written representation by CA Ritik is not correct as it is reasonable for the auditor to accept such qualifying language if the auditor is satisfied that the representations are being made by those with appropriate responsibilities and knowledge of the matters included in the representations.

D The non-acceptance of written representation by CA Ritik is correct as SA 580 requires the auditor to accept the written representation only if it is in the language as used in the letter of audit engagement.

ICAI'S ANSWERS

MCQ 1

(D)

MCQ 2

(A)

MCQ 3

(B)

MCQ 4

(D)

MCQ 5

(C)

ICAI · P5 · MTP May 2025 · Series II · question p. 1-2 · answer p. 1

483 MTP **May 2025 S-II** Q2(a) 5 marks

Identify and explain the assertions that the auditor will check by performing the following audit procedures-

(i) Inventory recognised in the balance sheet actually existed as at the period end.

(ii) All the items of inventory pertaining to the relevant year shall be included regardless of the location.

(iii) All goods dispatched prior to the period/ year-end have been invoiced and included in debtors on a test check basis.

(iv) Examine client correspondence, sales and receivables records, purchase documents.

(v) Verifying that the entity has charged depreciation on all items of PPE unless any item of PPE is non-depreciable like freehold land.

ICAI'S ANSWER

(i) The auditor will check the Existence Assertion to ensure Assets, liabilities and equity balances exist as at the period end.

(ii) The auditor will check the Cut-off assertion to ensure that all assets and liabilities are reported in the appropriate period.

(iii) The auditor will check Completeness Assertion to ensure all Trade receivable balances that were supposed to be recorded have been recognized in the financial statements.

(iv) The auditor will check Rights & Obligations assertion to ensure that the entity has valid legal ownership rights over the inventories claimed to be held by the entity and recorded in the financial statements.

(v) The auditor will check Valuation assertion to ensure PPE have been valued appropriately and as per generally accepted accounting policies and practices

ICAI · P5 · MTP May 2025 · Series II · question p. 9 · answer p. 3

484 MTP **May 2025 S-II** Q6(c) 4 marks

CAR Ltd., an automotive parts manufacturer, appointed Amit & Associates as auditors for F.Y. 2023-24. During the audit, CA Amit noticed a significant rise in raw material consumption (steel and aluminium) despite a decrease in production. This discrepancy led to detailed reviews of vendors supplying these raw materials. While verifying the existence of vendors and the actual receipt of goods or raw materials by the company, which assertion is being verified by CA Amit. Explain the procedure for the same.

ICAI'S ANSWER

CA Amit is verifying Occurrence Assertion while verifying the existence of vendors and the actual receipt of goods or raw materials by the company.

The audit procedures generally required to be undertaken while verifying Occurrence Assertion:

Ensure purchases are not understated/ overstated by performing following audit procedures:

- Whether any fictitious vendors have been booked or purchases have been recorded by reviewing the vendor selection process followed by the entity and also performing procedures to ensure existence of the vendors.
- Whether the goods were received at the factory gate and whether there exists an entry in the security gate inward register.
- Whether quality inspection of goods was done.

- Whether a goods receipt note was prepared and signed by an appropriate client personnel.
- Whether the purchase invoice was approved as per delegation of authority and whether a 3 or 2-way match was done.
- Whether stock record has been updated by the stores personnel.

Special considerations during audit of purchases:

- The purchase invoice received should be the "Original" copy (and not photocopy/ carbon copy) against which the entity has recorded the purchase in its books of account.
- Purchase invoice should have been booked only once risk and reward incidental to ownership has been transferred to the entity. Specific consideration for cases where the terms of delivery as agreed with vendor are F.O.B., C.I.F. etc.
- Purchase invoice should be in the name of entity. However, in case of different branches, it should be addressed to the appropriate branch.
- Input tax component should have been booked in the input tax ledger. The auditor should obtain tax returns filed with the authorities and tally the input tax as reflected in the books to the amount disclosed in the returns.
- In case of purchases made from related parties or allied and associated concerns, the auditor needs to verify if requisite approval from Board of

Directors (appropriate authority) has been obtained and should verify the selected samples and perform analytical procedures in relation to price of goods to confirm that the price charged is at arm's length.

- The auditor should review whether purchases should be capitalized or expensed off in Statement of Profit and loss according to his professional judgement.
- Review journal entries for unusual transactions.

ICAI · P5 · MTP May 2025 · Series II · question p. 12 · answer p. 12-13

485 MTP **Jan 2025 S-I** Case Scenario 1 · MCQ 1 to MCQ 4

8 marks

CASE SCENARIO 1

While auditing ANJ Industries Private Limited, CA J has decided that it would be appropriate to examine 100% of the items comprising turnover of ₹ 30 crores as reflected in its financial statements. In this regard, he has designed tests of details for transactions forming part of company's turnover. The sales function is automated in the company's information system involving repetitive nature of calculations. Further, in respect of designing of tests of controls pertaining to turnover, he is in a fix.

While verifying turnover of the company, CA J ensures that all the sales are correctly recorded in the books of accounts based on the invoices and discounts have been properly adjusted. Similarly, in

respect of verification of employee benefit expenses reflected in the financial statements, he ensured that TDS related adjustments are correctly reconciled and accounted for.

Ankush is an article assistant who has recently joined CA J for practical training. He is also part of the team assisting seniors. Although he has read about assertions, there remain several doubts about assertions in his mind. He noted down the following points about assertions as per his understanding: -

(i) Assertions are the representations made by the auditors.

(ii) Assertions are generally explicit and not implied.

(iii) Verification of the assertions helps the auditor in finding out whether financial statements are in accordance with applicable financial reporting framework or not.

In normal course of business, the company also holds a part of goods as a consignee. While verifying assertions relating to inventories, he ensures that inventory held by the company as consignee of goods on behalf of third parties is excluded from inventories.

Based on the above facts, answer the following: -

MCQ 1 2 marks

Considering approach of CA J in respect of tests of details and tests of controls pertaining to sales, which of the following statement is most appropriate?

A The approach for both designing tests of details and tests of controls is proper.

B The approach for designing tests of details is proper. However, it is an unlikely approach for tests of controls.

C The approach for designing tests of controls is proper. However, it is an unlikely approach for tests of details.

D The approach for designing tests of details as well as tests of controls is not proper.

MCQ 2 2 marks

Which assertions are being verified by CA J for correctness of recording of sales on the basis of invoices (including adjustment of discounts) and TDS adjustments for employee benefit expenses respectively?

A Measurement, Measurement.

B Completeness, Measurement.

C Existence, Measurement.

D Measurement, Completeness.

MCQ 3 2 marks

Considering the view of Ankush, which of the following(s) is/are false?

A 1 and 2.

B 1,2 and 3.

C 1 only.

D 2 only.

MCQ 4 2 marks

As regards the matter of holding of certain inventories as consignee of goods, which type of assertion(s) is/are being verified by the auditor?

A Cut-off and Valuation.

B Completeness and Rights & Obligations.

C Completeness only.

D Rights & Obligations only.

ICAI'S ANSWERS

MCQ 1

(B)

MCQ 2

(A)

MCQ 3

(A)

MCQ 4

(B)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 1-2 · answer p. 1

486 MTP **Sep 2024 S-I** MCQ 15 2 marks MCQ

CA Raman instructed his article Raju to verify whether employee benefit expense of Prep Limited has been fairly allocated between the operating expense incurred in production activities and general expense. Which of the following assertions is being addressed by this instruction?

A Completeness

B Presentation and Disclosure

C Measurement

D Occurrence

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 7 · answer p. 1

487 MTP **May 2024 S-II** Case Scenario 1 · MCQ 1.1 to MCQ 1.5

10 marks

CASE SCENARIO 1

Pluto Limited is engaged in manufacturing and distribution of ergonomic furniture. Such kind of customisable range home office furniture has gained lot of importance in past few years. The company was able to perform well over the years and the same is reflected in their financials.

During year 2023-24, audit firm of S.J. and Associates was reappointed as their auditor. The engagement team consisted of CA Sneha (partner) and five articled assistants. One of the assistants was new to this engagement. Considering huge volume of transactions, the partner asked him to go through files of last year and auditor's report to gain an understanding of issues which arose in last year i.e. 2022-23.

While going through summary page of file of last year, he noticed that below points were under

discussion with the partner before audit finalisation:

Point 1: For employee benefit expenses, following points were verified by the team:

- The employee benefit expenses shown in the books were actually incurred during the relevant period.
- The expenses in respect of all personnel were accounted for.
- The expense recognised during year 2022-23 related to this year only.

Point 2: It was noted that dividend to equity shareholders for the year 2022-23, was declared on 15.04.2023. As the dividend related to the year 2022-23, the same was recognised as liability in the same year.

Point 3: Debtors constitute one of the major components of company's financials. As part of audit procedures, verification was made whether company had made allowance for those debtors which were doubtful. In this regard, list of debtors under litigation was also obtained and scrutinized.

Point 4: Asset additions during the year amounted to ₹ 50 lakhs. The payment in respect of these assets were made through bank account of the company. However, on scrutiny, it was found that some of invoices were not in the name of the company but in name of one of directors.

Point 5: The company was maintaining few bank accounts including one foreign currency account. There was included in previous year file a paper converting foreign currency amount held in a bank account to Indian Rupees at closing exchange rate.

Based on above, answer the following questions:

MCQ 1.1 2 marks

In point 1 relating to Employee benefits, which among the following assertions are discussed respectively (in same order as described in point 1)?

(i) Valuation

(ii) Occurrence

(iii) Cut-off

(iv) Completeness

Choose the correct combination from below: -

A (i),(ii) and (iv)

B (ii), (iv) and (iii)

C (ii), (iii) and (iv)

D (i),(ii) and (iii)

MCQ 1.2 2 marks

Do you think the amount of dividend recognised as liability in the year 2022 - 23 as given in point 2 appropriate?

A Yes. As the amount of dividend related to year 2022-23, it should be recognised in the same year irrespective of the year of declaration.

B No. The amount should be recognised equally between two financial years.

C No. The amount should not be recognised as liability in year 2022-23. But it needed to be disclosed in the notes to accounts of that year.

D No. The amount should not be recognised as liability. Further, no disclosure was needed in the financials of that year.

MCQ 1.3 2 marks

In relation to matter described in para 3 pertaining to debtors, which of the following assertions was verified by auditors?

A Valuation

B Rights and obligations

C Existence

D Completeness

MCQ 1.4 2 marks

Read Point 4 and choose which assertion is not proved in this case.

A Existence

B Rights and obligation

C Completeness

D Measurement/Valuation

MCQ 1.5 2 marks

Choose the correct statement from below pertaining to matter described in Point 5.

A The company was required to restate said amount in accordance with requirements of AS 1. By verifying it, auditor had verified existence assertion.

B The company was required to restate said amount in accordance with requirements of AS 11. By verifying it, auditor had verified completeness assertion.

C There was no responsibility of company to restate said amount. It was auditor's responsibility to restate said amount in accordance with requirements of AS 11. No assertion was, therefore, verified by auditor.

D The company was required to restate said amount in accordance with requirements of AS 11. By verifying it, auditor had verified valuation assertion.

ICAI'S ANSWERS

MCQ 1.1

(B) (ii), (iv) and (iii)

MCQ 1.2

(C) No. The amount should not be recognised as liability. But it needs to be disclosed in the notes to accounts.

MCQ 1.3

(A) Valuation

MCQ 1.4

(B) Rights and obligation

MCQ 1.5

(D) The company was required to restate said amount in accordance with requirements of AS 11. The auditor had verified valuation assertion.

ICAI · P5 · MTP May 2024 · Series II · question p. 1-2 · answer p. 1

488 MTP **Old P6 Nov 2023 S-I** General MCQ 9 1 mark MCQ old scheme

During the audit of sales, the auditor found that recorded sales represent goods which were ordered by valid customers and were dispatched and invoiced in the period. The auditor is addressing which of the following assertions:

- A Occurrence
- B Measurement
- C Cut-off
- D Accuracy

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 7 · answer p. 2

489 MTP **Old P6 Nov 2023 S-I** General MCQ 10 1 mark MCQ old scheme

ABC Ltd is engaged in manufacturing of fabrics from yarn purchased from different suppliers. Occasionally, it also manufactures fabrics tailor made in accordance with requirements of certain mills from yarn received from these mills. ABC Ltd raises bills of its labour

charges only on mills for converting yarn into fabrics. The auditor of ABC Ltd tries to ensure that stocks of the company as at year end do not include stocks pertaining to these mills. Which assertion auditor tries to verify in above situation:

- **A** completeness
- **B** Occurrence
- **C** rights and obligations
- **D** cut -off

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 7 · answer p. 2

490 MTP **Old P6 Nov 2023 S-I Q4(c)** 6 marks old scheme

State assertions that are implied in the extract of financial statement given below:

			(₹)
	Plant and Machinery (at Cost)		4,00,000
Less:	Depreciation:		
	Up to Previous year	1,40,000	
	For the year	26,000	1,66,000
			2,34,000

(i) Indicate different assertions in respect of account balances at period end.

(ii) State specific assertions relating to the above extract of financial statement.

ICAI'S ANSWER

(i) Assertions about account balances at the period end:

(a) Existence – assets, liabilities, and equity interests exist.

(b) Rights and obligations – the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.

(c) Completeness – all assets, liabilities and equity interests that should have been recorded have been recorded.

(d) Valuation and allocation – assets, liabilities, and equity interests are included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.

(ii) The specific assertions are as follows:

(1) the firm owns the plant and machinery;

(2) the historical cost of plant and machinery is ₹ 4 lacs;

(3) the plant and machinery physically exists;

(4) the asset is being utilised in the business of the company productively;

(5) total charge of depreciation on this asset is ₹ 1,66,000 to date on which ₹ 26,000 relates to the year in respect of which the accounts are drawn up; and

(6) the amount of depreciation has been calculated on recognised basis and the calculation is correct.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 6-7

491 MTP **Old P6 Nov 2023 S-II** Case scenario · Q1(i) to Q1(viii)

16 marks old scheme

CASE SCENARIO

Examine with reasons (in short) whether the following statements are correct or incorrect: (Attempt any **7** out of **8**)

Q1(i) 2 marks

Negative assertions, encountered in the financial statements, may be expressed or implied.

Q1(ii) 2 marks

While auditing the books of accounts of XYZ Ltd., the auditor of the company was involved in examining records and documents in paper form, electronic form etc. and was also conducting physical examination of assets. In the present case, audit procedure used by the auditor is known as “Observation”.

Q1(iii) 2 marks

Statistical sampling being more scientific and without personal bias will always be appropriate to use under all circumstances.

Q1(iv) 2 marks

According to 'propriety audit', the auditors try to bring out cases of improper, avoidable, or infructuous expenditure.

Q1(v) 2 marks

Collateral security refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank.

Q1(vi) 2 marks

PPE is/are depreciated when the asset is actually put to active use.

Q1(vii) 2 marks

Historical financial information relates to financial information based on assumptions about the occurrence of future events and possible actions by an entity.

Q1(viii) 2 marks

Control risk is the susceptibility of an account balance or class of transactions to misstatement that could be material either individually or, when aggregated with misstatements in other balances or classes, assuming that there were no related internal controls.

ICAI'S ANSWERS

Q1(i)

Correct: Negative assertions are also encountered in the financial statements and the same may be expressed or implied. For example, if it is stated that there is no contingent liability, it would be an expressed negative assertion. On the other hand, if

in the balance sheet there is no item as “building”, it would be an implied negative assertion that the entity did not own any building on the balance sheet date.

Q1(ii)

Incorrect: The audit procedure used by the auditor of XYZ Ltd. is known as “Inspection”. Whereas Observation consists of looking at a process or procedure being performed by others.

Q1(iii)

Incorrect: Statistical sampling is widely accepted way of sampling as it is more scientific, without personal bias and the result of sample can be evaluated and projected in more reliable way. Under some audit circumstances, statistical sampling methods may not be appropriate. The auditor should not attempt to use statistical sampling when another approach is either necessary or will provide satisfactory information in less time or with less effort. For instance, when exact accuracy is required or in case of legal requirements etc.

Q1(iv)

Correct: According to ‘propriety audit’, the auditors try to bring out cases of improper, avoidable, or ineffective expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations.

Q1(v)

Incorrect: Primary security refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. This security is the principal security for an advance.

Collateral security, on the other hand is an additional security.

Q1(vi)

Incorrect: Depreciation is a fall in value of asset due to obsolescence, usage and effluxion of time, Therefore, depreciation is charged when the asset is ready for use. Active use of asset is not a mandatory criteria for charge of depreciation.

Q1(vii)

Incorrect: Historical financial information relates to information expressed in financial terms of an entity about economic events, conditions or circumstances occurring in past periods. Whereas financial information based on assumptions about occurrence of future events and possible actions by an entity relates to prospective financial information.

Q1(viii)

Incorrect: Inherent risk is the susceptibility of an account balance or class of transactions to misstatement that could be material either individually or, when aggregated with misstatements in other balances or classes,

assuming that there were no related internal controls. **Control risk, on the other hand is** the risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 5 · answer p. 2

492 MTP **Old P6 Nov 2023 S-II** Q4(d) 4 marks old scheme

Name the assertions for the following audit procedures:

(i) Year end inventory verification.

(ii) Depreciation has been properly charged on all assets.

(iii) The title deeds of the lands disclosed in the Balance Sheet are held in the name of the company.

(iv) All liabilities are properly recorded in the financial statements.

ICAI'S ANSWER

(i) Year-end inventory verification: Existence Assertion.

(ii) Depreciation has been properly charged on all assets: Valuation Assertion.

(iii) Title deed of lands disclosed in the Balance Sheet are held in the name of the Company: Rights & Obligations Assertion.

(iv) All liabilities are properly recorded in the financial statements: Completeness.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 7 · answer p. 7

493 MTP **Old P6 May 2023 S-I** Q6(e) 3 marks old scheme

Name the assertion that the auditor will check by performing the following audit procedures.

(a) Employees benefit expense in respect of all personnel have been fully accounted for.

(b) Discounts on sales has been properly adjusted/ accounted for.

(c) Employee benefit expense recorded during the period relates to the current accounting period only.

ICAI'S ANSWER

a) Completeness

b) Measurement

c) Cut Off

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 8

494 MTP **Old P6 May 2023 S-II** General MCQ 2 1 mark MCQ old scheme

Cut-off testing is performed during audit of sales to address the following assertion:

A Occurrence

B Measurement

C Cut-off

D Accuracy

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 4 · answer p. 1

495 MTP **Old P6 Nov 2022 S-II** General MCQ 2 1 mark MCQ

old scheme

Consider the following data appearing in financial statements of a firm: -

Particulars	*Amount in ₹*	*Amount in ₹*
Machinery (at cost)	XXX	10,00,000
Less: Depreciation of earlier years	6,00,000	XXX
Less: Depreciation of year	60,000	6,60,000
WDV at end of year	XXX	3,40,000

Read the following statements on basis of above: -

(i) The firm owns machinery.

(ii) The machinery is being utilized in business of firm productively.

(iii) The machinery physically exists.

Which of following would be obvious assertions on the basis of above data?

A Only assertions (i) and (ii) can be inferred.

B Only assertions (ii) and (iii) can be inferred.

C Only assertions (i) and (iii) can be inferred.

D All assertions (i), (ii) and (iii) can be inferred.

ICAI'S ANSWER

Option (D)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 5 · answer p. 1

496 MTP **Old P6 May 2022 S-I** General MCQ 10 1 mark MCQ old scheme

Consider the following statements pertaining to nature and meaning of "assertions":-

Statement I—-Assertions are representations by the management which are present in financial statements.

Statement II —-The assertions have to be necessarily explicit.

Which of the following is correct?

A Only Statement I is true.

B Only Statement II is true.

C Both statements I and II are true.

D Both statements I and II are false.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 6-7 · answer p. 1

497 MTP **Old P6 Jul 2021 S-I** General MCQ 7 1 mark MCQ

old scheme

..... refer to representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

- A Assertions
- B Positive Confirmation
- C Written representation
- D Audit Evidence.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 5 · answer p. 1

498 MTP **Old P6 Jul 2021 S-I**

Question 2(a) · Q2(a)(i) to Q2(a)(ii) 6 marks old scheme

QUESTION 2(A)

State assertions that are implied in the extract of financial statement given below:

			(Rs.)
	Plant & Machinery (at Cost)		4,00,000
Less:	Depreciation:		

			(Rs.)
	Up to Previous year	1,40,000	
	For the year	26,000	1,66,000
			2,34,000

Q2(a)(i) 3 marks

Indicate assertions in respect of transactions and events for the period relating to PPE.

Q2(a)(ii) 3 marks

State specific assertions relating to the above extract of financial statement.

ICAI'S ANSWERS

Q2(a)(i)

Assertions about transactions and events for the period relating to PPE :

(1) Occurrence—transactions and events relating to PPE have been recorded, have occurred and pertain to the entity.

(2) Completeness—all transactions and events relating to PPE that should have been recorded have been recorded.

(3) Accuracy—amounts and other data relating to recorded transactions and events have been recorded appropriately.

(4) Cut-off—transactions and events have been recorded in the correct accounting period.

(5) Classification—transactions and events have been recorded in the proper accounts.

Q2(a)(ii)

The specific assertions are as follows:

(1) the firm owns the plant and machinery;

(2) the historical cost of plant and machinery is Rs. 4 lacs;

(3) the plant and machinery physically exists;

(4) the asset is being utilised in the business of the company productively;

(5) total charge of depreciation on this asset is Rs. 1,66,000 to date on which Rs. 26,000 relates to the year in respect of which the accounts are drawn up; and

(6) the amount of depreciation has been calculated on recognised basis and the calculation is correct.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 6 · answer p. 2, 2-3

499 MTP **Old P6 Jul 2021 S-II** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 5 marks

Name the assertions for the following audit procedures:

(i) Year end inventory verification.

(ii) Depreciation has been properly charged on all assets.

(iii) The title deeds of the lands disclosed in the Balance Sheet are held in the name of the company.

(iv) All liabilities are properly recorded in the financial statements.

(v) Related party transactions are shown properly.

Q2(b) 3 marks

Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats. Explain the guiding principles in this regard.

Q2(c) 3 marks

Expenses which are essentially of a revenue nature if incurred for creating an asset or adding to its value for achieving higher productivity are regarded as expenses of a capital nature. Describe any six such expenses.

Q2(d) 3 marks

In case of a Bank, explain the meaning of Funded loans. Also give examples.

ICAI'S ANSWERS

Q2(a)

(i) Year end inventory verification: Existence Assertion.

(ii) Depreciation has been properly charged on all assets: Valuation Assertion.

(iii) Title deeds of the lands disclosed in the Balance Sheet are held in the name of the Company: Rights & Obligations Assertion.

(iv) All liabilities are properly recorded in the financial statements: Completeness.

(v) Related party transactions are shown properly: Presentation & Disclosure.

Q2(b)

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

1. For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.
2. In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
3. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
4. When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.

5. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

Q2(c)

Expenses which are essentially of a Revenue Nature, if incurred for creating an asset or adding to its value for achieving higher productivity, are regarded as expenditure of a capital nature. Examples of capital expenditure are-

(i) Material and wages- capital expenditure when expended on the construction of a building or erection of machinery.

(ii) Legal expenses- capital expenditure when incurred in connection with the purchase of land or building.

(iii) Freight- capital expenditure when incurred in respect of purchase of plant and machinery.

(iv) Repair- Major repairs of a fixed asset that increases its productivity.

(v) Wages- Wages paid on installation costs incurred in Plant & machinery.

(vi) Interest- Interest paid for the qualification period as per AS-16 i.e. before the asset is constructed.

Whenever, therefore, a part of the expenditure, ostensibly of a revenue nature, is capitalised it is the duty of the auditor not only to examine the precise

particulars of the expenditure but also the considerations on which it has been capitalised.

Q2(d)

Funded loans are those loans where there is an actual transfer of funds from the bank to the borrower.

Advances comprise of funded amounts by way of:

- Term loans :-
- Cash credits, Overdrafts, Demand Loans
- Bills Discounted and Purchased
- Participation on Risk Sharing basis
- Interest-bearing Staff Loans

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 2, 2-3, 3

500 MTP **Old P6 Nov 2019 S-I** Q3(c) 3 marks old scheme

What are the obvious assertions in the following items appearing in the Financial Statements?

(i) Statement of Profit and Loss

Travelling Expenditure	Rs. 50,000

(ii) Balance Sheet

Trade receivable	Rs. 2,00,000

ICAI'S ANSWER

(i) Travelling Expenditure Rs. 50,000

- Expenditure has been actually incurred for the purpose of travelling.
- Travelling has been undertaken during the year under consideration.
- Total amount of expenditure incurred is Rs. 50,000 during the year.
- It has been treated as revenue expenditure and charged to Statement of Profit and Loss.

(ii) Trade receivable Rs. 2,00,000

- These include all sales transaction occurred during the year.
- These have been recorded properly and occurred during the year.
- These constitute assets of the entity.
- These have been shown at proper value, i.e. after showing the deduction on account of provision for bad and doubtful debts.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 5

4.3 SA 610: using the work of internal auditors

12 questions · asked in 11 ICAI documents · 6 exam papers

501 EXAM **Sep 2026** Case scenario · Q1(b)(i) to Q1(b)(ii)

5 marks

CASE SCENARIO

During the statutory audit of Peace Ltd., the engagement partner decided to use the direct

assistance of the internal audit function. Accordingly, the internal auditors were asked to evaluate the reasonableness of management's assumptions used in estimating the provision for pending legal claims, as this was expected to reduce the time required to complete the audit. The external auditor was also of the view that obtaining only management's written approval before assigning such work would be sufficient. With reference to SA 610 (Using the work of Internal Auditor) in the given situation –

Q1(b)(i) 3 marks

Analyse the circumstances in which the external auditor shall not use internal auditors to provide direct assistance in performing audit procedures.

Q1(b)(ii) 2 marks

State the written agreements that the external auditor is required to obtain from entity and internal auditor before using internal auditors to provide direct assistance for the purpose of audit.

ICAI'S ANSWERS

Q1(b)(i)

ICAI has not published its answers to this paper yet.

Q1(b)(ii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 15

502 EXAM Jan 2026 Q6(b) 5 marks

Yamika, an articled clerk, is conducting the audit of Durable Bags Ltd. During the course of the audit, she intends to use the work of the company's internal auditor as per SA 610 "using the work of internal auditor". State the circumstances under which Yamika shall plan to use less of the work of the internal audit function and instead perform more of the audit work directly.

ICAI'S ANSWER

Circumstances under which Yamika shall plan to use less of the work of the Internal audit function and perform more of the work directly: The external auditor shall make all significant judgments in the audit engagement, and to prevent undue use of the work of the internal audit function, shall plan to use less of the work of the function and perform more of the work directly if:

(i) The more judgment is involved in:

(a) Planning and performing relevant audit procedures; and

(b) Evaluating the audit evidence gathered.

(ii) The higher the assessed risk of material misstatement at the assertion level, with special consideration given to risks identified as significant.

(iii) The less the internal audit function's organisational status and relevant policies and procedures adequately support the objectivity of the internal auditors; and

(iv) The lower the level of competence of the internal audit function.

ICAI · P5 · Jan 2026 exam · question p. 27-28 · answer p. 29-30

503 EXAM **Jan 2025** Q4(a) 5 marks

PQR & Co., Chartered Accountants, has been appointed as statutory auditor of MGM Ltd. The financial statements of the company have material amount outstanding as debtors. Ageing of debtors is being done by the internal auditors and is given by them in their monthly report. This issue was also discussed with the management. The engagement partner from PQR & Co. decided to give the age wise debtors as per the report of internal auditor due to shortage of time. After the audit report was released, the engagement partner realized that the disclosure of the debtors is misleading and the ageing was not done by the internal auditor on correct principles due to which the provision made against old debtors was wrong. The engagement partner held the internal auditor responsible for this. Is he correct in making statement that the internal auditor is responsible for false provisioning? What considerations PQR & Co. should have undertaken before relying on the work of internal auditor?

ICAI'S ANSWER

In the given situation, the engagement partner has taken the age wise debtor report from the reports of the internal auditor due to shortage of time and provided the same in the audit report. However, after the issuance of audit report, engagement

partner felt that disclosure of debtors is misleading and ageing was not done on the basis of correct principles due to which wrong provisions are made.

Contention of the engagement partner for holding internal auditor responsible for the same is not correct as the external auditor has sole responsibility for the audit opinion expressed, and that responsibility is not reduced by the external auditor's use of the work of the internal audit function or internal auditors to provide direct assistance on the engagement.

Before relying on the work of internal auditor, PQR & Co. should consider the following:

(i) To determine whether the work of the internal audit function or direct assistance from internal auditors can be used, and if so, in which areas and to what extent; and having made that determination;

(ii) If using the work of the internal audit function, to determine whether that work is adequate for purposes of the audit; and

(iii) If using internal auditors to provide direct assistance, to appropriately direct, supervise and review their work;

(iv) The extent to which the internal audit function's organizational status and relevant policies and procedures support the objectivity of the internal auditors;

(v) The level of competence of the internal audit function; and

(vi) Whether the internal audit function applies a systematic and disciplined approach, including quality control.

ICAI · P5 · Jan 2025 exam · question p. 21 · answer p. 22-23

504 **EXAM** **May 2024** Q3(d) **3 marks**

M/s PSR & Associates are the auditors of The Saturn Hotel, a chain of five-star hotels. Since the nature of their business is prone to frauds, the company has appointed internal auditors at various locations. The company has also devised a system of effective and efficient internal controls. The auditors, M/s PSR & Associates, want to use the work of the internal auditors. In order to ensure effectiveness, what kind of coordination should be there between the external auditor and the internal audit function?

ICAI'S ANSWER

As per SA 610, "Using the Work of Internal Auditors", coordination between the external auditor and the internal audit function is effective when, for example;

(i) Discussions take place at appropriate intervals throughout the period.

(ii) The external auditor informs the internal audit function of significant matters that may affect the function.

(iii) The external auditor is advised of and has access to relevant reports of the internal audit function and is informed of any significant matters that come to the attention of the function when such matters may affect the work of the external auditor so that the external auditor is able to consider the implications of such matters for the audit engagement.

ICAI · P5 · May 2024 exam · question p. 10 · answer p. 11-12

505 EXAM **Old P6 May 2022** Q6(a) 4 marks old scheme

Internal audit not only analyses the effectiveness with which the internal control of a company is operating but also improves the effectiveness of internal control. Elucidate the statement.

ICAI'S ANSWER

Improvement in Effectiveness of Internal Control: Internal Audit means "An independent management function, which involves a continuous and critical appraisal of the functioning of an entity with a view to suggest improvements thereto and add value to and strengthen the overall governance mechanism of the entity, including the entity's strategic risk management and internal control system".

Activities Relating to Internal Control:

(i) **Evaluation of internal control:** The internal audit function may be assigned specific responsibility for reviewing controls, evaluating

their operation and recommending improvements thereto. In doing so, the internal audit function provides assurance on the control. For example, the internal audit function might plan and perform tests or other procedures to provide assurance to management and those charged with governance regarding the design, implementation and operating effectiveness of internal control, including those controls that are relevant to the audit.

(ii) **Examination of financial and operating information:** The internal audit function may be assigned to review the means used to identify, recognize, measure, classify and report financial and operating information, and to make specific inquiry into individual items, including detailed testing of transactions, balances and procedures.

(iii) **Review of operating activities:** The internal audit function may be assigned to review the economy, efficiency and effectiveness of operating activities, including non-financial activities of an entity.

(iv) **Review of compliance with laws and regulations:** The internal audit function may be assigned to review compliance with laws, regulations and other external requirements, and with management policies and directives and other internal requirements.

Therefore, one of the important aspects of internal audit is not only to evaluate internal control system

of an organization but also to suggest improvements for adding value and strengthening it.

ICAI · Old P6 · May 2022 exam · question p. 13 · answer p. 15-16

506 EXAM **Old P6 Jan 2021 Q6(c)** 3 marks old scheme

Discuss the objectives and scope of internal audit functions with respect to activities relating to internal control.

ICAI'S ANSWER

The objectives and scope of internal audit functions **relating to Internal Control are:**

(i) Evaluation of internal control: The internal audit function may be assigned specific responsibility for reviewing controls, evaluating their operation and recommending improvements thereto. In doing so, the internal audit function provides assurance on the control. For example, the internal audit function might plan and perform tests or other procedures to provide assurance to management and those charged with governance regarding the design, implementation and operating effectiveness of internal control, including those controls that are relevant to the audit.

(ii) Examination of financial and operating information: The internal audit function may be assigned to review the means used to identify, recognize, measure, classify and report financial and operating information, and to make specific

inquiry into individual items, including detailed testing of transactions, balances and procedures.

(iii) Review of operating activities: The internal audit function may be assigned to review the economy, efficiency and effectiveness of operating activities, including nonfinancial activities of an entity.

(iv) Review of compliance with laws and regulations: The internal audit function may be assigned to review compliance with laws, regulations and other external requirements, and with management policies and directives and other internal requirements.

ICAI · Old P6 · Jan 2021 exam · question p. 12 · answer p. 13

507 RTP **Jan 2025** Q12

CA Mukul is the external auditor of Beige Ltd., a large company, engaged in the manufacturing of fast-moving consumer (FMCG) goods. After assessing the internal audit function of the company, CA Mukul decided to use the internal auditor of the company to provide direct assistance. In this context, what is meant by direct assistance under relevant Standard on Auditing? Also comment whether prior to using internal auditor for direct assistance for the purpose of audit, CA Mukul is required to obtain any written agreements or not. Give examples of procedures in which CA Mukul shall not use an internal auditor to provide direct assistance.

ICAI'S ANSWER

As per SA 610, "Using the work of Internal Auditor", direct assistance refers to the use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor.

Prior to using internal auditors to provide direct assistance for purposes of the audit, CA Mukul, the external auditor shall: -

(a) Obtain written agreement from an authorized representative of the entity that the internal auditors will be allowed to follow the external auditor's instructions, and that the entity will not intervene in the work the internal auditor performs for the external auditor and

(b) Obtain written agreement from the internal auditors that they will keep confidential specific matters as instructed by the external auditor and inform the external auditor of any threat to their objectivity.

Examples of procedures in which CA Mukul shall not use internal auditor to provide direct assistance to him are: -

(a) Procedures which involve making significant judgments in the audit;

(b) Procedures relating to higher assessed risks of material misstatement where the judgment required in performing the relevant audit

procedures or evaluating the audit evidence gathered is more than limited.

(c) Procedures relating to work with which the internal auditors have been involved and which has already been, or will be, reported to management or those charged with governance by the internal audit function; or

(d) Procedures relating to decisions the external auditor makes in accordance with this SA regarding the internal audit function and the use of its work or direct assistance.

ICAI · P5 · RTP Jan 2025 · question p. 6 · answer p. 13

508 RTP **Old P6 May 2022 Q10** old scheme

Saburi Textile Ltd is an established player in the textile manufacturing sector. It has developed strong internal controls in almost every area. It has appointed you as an Internal Audit team head. Internal audit has a very strong relation with internal control of the company. Internal Audit analyses the effectiveness with which the internal control of the company is operating and also makes suggestions for improvement in that internal control. Explain stating clearly activities relating to Internal Control.

ICAI'S ANSWER

The objectives and scope of internal audit functions typically include assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance processes, risk

management and internal control such as the **activities Relating to Internal Control:**

(i) Evaluation of internal control: The internal audit function may be assigned specific responsibility for reviewing controls, evaluating their operation and recommending improvements thereto. In doing so, the internal audit function provides assurance on the control. For example, the internal audit function might plan and perform tests or other procedures to provide assurance to management and those charged with governance regarding the design, implementation and operating effectiveness of internal control, including those controls that are relevant to the audit.

(ii) Examination of financial and operating information: The internal audit function may be assigned to review the means used to identify, recognize, measure, classify and report financial and operating information, and to make specific inquiry into individual items, including detailed testing of transactions, balances and procedures.

(iii) Review of operating activities: The internal audit function may be assigned to review the economy, efficiency and effectiveness of operating activities, including nonfinancial activities of an entity.

(vi) Review of compliance with laws and regulations: The internal audit function may be assigned to review compliance with laws, regulations and other external requirements, and

with management policies and directives and other internal requirements.

Internal audit has a very strong relation with internal control of a company. Internal Audit analyzes the effectiveness with which the internal control of a company is operating and also makes suggestions for improvement in that internal control.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 21

509 MTP **Sep 2025 S-I** Q5(c) 4 marks

Dream Build Ltd. is an established player in the Real estate sector and has developed strong internal controls across most areas. You are appointed as the head of the Internal Audit team and you have a close relationship with the internal control system of the company, as it evaluates the effectiveness of internal controls and also suggests improvements in that internal control. Explain, clearly stating the activities related to internal control.

ICAI'S ANSWER

The objectives and scope of internal audit functions typically include assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance processes, risk management and internal control such as the activities Relating to Internal Control:

(i) **Evaluation of internal control:** The internal audit function may be assigned specific

responsibility for reviewing controls, evaluating their operation and recommending improvements thereto. In doing so, the internal audit function provides assurance on the control. For example, the internal audit function might plan and perform tests or other procedures to provide assurance to management and those charged with governance regarding the design, implementation and operating effectiveness of internal control, including those controls that are relevant to the audit.

(ii) **Examination of financial and operating information:** The internal audit function may be assigned to review the means used to identify, recognize, measure, classify and report financial and operating information, and to make specific inquiry into individual items, including detailed testing of transactions, balances and procedures.

(iii) **Review of operating activities:** The internal audit function may be assigned to review the economy, efficiency and effectiveness of operating activities, including nonfinancial activities of an entity.

(vi) **Review of compliance with laws and regulations:** The internal audit function may be assigned to review compliance with laws, regulations and other external requirements, and with management policies and directives and other internal requirements.

Internal audit has a very strong relation with internal control of a company. Internal Audit

analyzes the effectiveness with which the internal control of a company is operating and also makes suggestions for improvement in that internal control.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 10 · answer p. 11

510 MTP **May 2024 S-I** Q6(a) 4 marks

CA Z is appointed as statutory auditor of BETA Private Limited for the year 2023-24. There exists an internal audit function in the company headed by its Chief Internal Auditor, CA K. Valuation of trade receivables of company is assessed as area of higher risk by statutory auditor. He wants to take direct assistance of Chief Internal Auditor in respect of above matter. Discuss along with reasons whether it would be proper for statutory auditor to: -

(i) assign checking of accuracy of aging of trade receivables to Chief Internal Auditor?

(ii) assign evaluation of adequacy of provision based on aging of trade receivables to Chief Internal Auditor?

ICAI'S ANSWER

In accordance with SA 610, the external auditor shall not use internal auditors to provide direct assistance to perform procedures that relate to higher assessed risks of material misstatement where the judgment required in performing the relevant audit procedures or evaluating the audit evidence gathered is more than limited.

In the given situation, valuation of trade receivables is assigned as an area of higher risk by statutory auditor. Judgment required in checking of accuracy of aging of trade receivables is limited. Therefore, external auditor can assign the checking of the accuracy of the aging to Chief Internal Auditor providing direct assistance as it involves limited judgment.

However, because the evaluation of the adequacy of the provision based on the aging would involve more than limited judgment, it would not be appropriate to assign that latter procedure to Chief Internal Auditor providing direct assistance.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 9

511 MTP **Old P6 Nov 2022 S-II** General MCQ 9 1 mark MCQ old scheme

CA M is internal auditor of Crayon Products Limited. Which of the following is not TRUE about scope of internal audit?

A. Internal audit is an independent assurance activity.

B. Internal audit helps in improving internal control of the company.

C. Internal audit cannot review non-financial activities of company.

D. Internal audit can review compliance of company with various laws and regulations.

ICAI'S ANSWER

Option (C)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 7 · answer p. 1

4.4 Internal financial controls and ICFR

22 questions · asked in 9 ICAI documents · 4 exam papers

512 EXAM **May 2026** MCQ 14 2 marks MCQ

The engagement partner CA B, while evaluating and reporting on the designs and efficiency of internal financial controls at GHB Ltd., also highlighted to the directors, independent directors and the audit committee the manner in which the Companies Act, 2013 places greater emphasis on the effective implementation and reporting on the internal control of a company.

With reference to reporting on the internal financial controls system under the Companies Act, 2013, which of the following statements does not fall within the nature of responsibility of GHB Ltd.?

A In accordance with the terms of reference specified in writing by the Board, act of every audit committee to include evaluation of internal financial controls and risk management systems.

B Director's responsibility statement to state that the Director has laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.

C Board of Directors have to appoint an expert to state that the internal financial controls of the company are commensurate with the size and nature of its business.

D In terms of code for Independent Directors, independent directors to get themselves satisfied that financial controls and systems of risk management are robust and defensible.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · May 2026 exam · question p. 10 · answer p. 11

513 **EXAM** **May 2024** Q1(c) **3 marks**

Mr. Z, at the time of appointment as an independent director in EF Ltd. a listed company, came to know that the Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on internal controls for a listed Company. He wants to know the responsibilities as casted under Companies Act, 2013 with regards to Internal Financial Control for (1) Directors (2) Independent directors and (3) Audit committee as per section 134(5)(e), 149(8) & 177(4) (vii) respectively of the Companies Act, 2013.

ICAI'S ANSWER

Internal financial controls as per regulatory requirements: The Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on the internal controls for a company. The term "internal financial controls" is

used at some places in Companies Act, 2013 casting responsibilities as under: -

Relevant provision of Companies Act,2013	Nature of Responsibility
Section 134(5)(e)	In case of listed Companies, the Directors' responsibility statement shall state that the Directors had laid down Internal financial controls to be followed by the company and that such Internal financial controls are adequate and were operating effectively.
As per Section 149(8) of the Act	The company and independent directors shall abide by the provisions specified in Schedule IV which lays down the Code for independent Directors. As per this code, the role and functions of independent directors include that they shall satisfy themselves on the integrity of financial information and that financial controls and the systems of risk management are robust and defensible.

Relevant provision of Companies Act,2013	Nature of Responsibility
Section 177(4)(vii) of the Act	Every audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, inter alia, include - evaluation of internal financial controls and risk management systems.

ICAI · P5 · May 2024 exam · question p. 1-2 · answer p. 3-4

514 EXAM **Old P6 Jan 2021** Q3(b) 4 marks old scheme

Explain how Internal Financial Control and Internal controls over financial reporting differ?

ICAI'S ANSWER

Difference between internal financial control and internal control over financial reporting

Internal Financial Control as per Section 134(5)(e), "the policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information."

On the other hand, Internal controls over financial reporting-is required where auditors are required to express an opinion on the effectiveness of an entity's **internal controls over financial reporting**, such opinion is in addition to and distinct from the opinion expressed by the auditor on the financial statements.

ICAI · Old P6 · Jan 2021 exam · question p. 5 · answer p. 6

515 EXAM **Old P6 Nov 2019** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

Examine with reasons whether the following statements are correct or incorrect. (Answer any seven out of eight)

Q1(a) 2 marks

The auditor's reporting on internal financial control will be applicable with respect to interim financial statements.

Q1(b) 2 marks

Under a properly framed audit programme by the auditor, the danger is significantly less and audit can proceed systematically.

Q1(c) 2 marks

All entities that are under common control by a state (i.e., national, regional or local government) are considered related party.

Q1(d) 2 marks

Provision of CARO, 2016 is not applicable to ABC Pvt. Ltd., a subsidiary of XYZ Ltd. (a public company) having fully paid up Capital and Reserves & Surplus of ₹ 50 lakhs, Secured loan from bank of ₹ 90 Lakhs and Turnover of ₹ 5 Crore, for the financial year 2018-19.

Q1(e) 2 marks out of syllabus

CA K has resigned as an auditor after 2 months of his appointment in NML Ltd. He needs to file ADT-3 with the Registrar within 60 days from the date of resignation.

Q1(f) 2 marks

The non-statistical sampling is criticized on the grounds that it is neither objective nor scientific.

Q1(g) 2 marks

The auditor's substantive procedure at the assertion level means substantive analytical procedures only.

Q1(h) 2 marks

For an auditor, the Risk assessment procedure provides sufficient appropriate audit evidence to base the audit opinion.

ICAI'S ANSWERS

Q1(a)

Incorrect: Clause (i) of Sub-section 3 of Section 143 of the Act requires the auditors' report to state whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

It may be noted that auditor's reporting on internal financial controls is a requirement specified in the Act and, therefore, will apply only in case of reporting on financial statements prepared under the Act and reported under Section 143.

Accordingly, reporting on internal financial controls will not be applicable with respect to interim financial statements, such as quarterly or half-yearly financial statements, unless such reporting is required under any other law or regulation.

PassBook's note: The January 2027 Study Material teaches the auditor's reporting on internal financial controls under section 143(3)(i) but not this point on interim financial statements.

Q1(b)

Correct: Without a written and pre-determined programme, work is necessarily to be carried out on the basis of some 'mental' plan. In such a situation there is always a danger of ignoring or overlooking certain books and records.

Thus under a properly framed programme, the danger is significantly less and the audit can proceed systematically.

Q1(c)

Incorrect: Entities that are under common control by a state (i.e., a national, regional or local government) are not considered related unless they engage in significant transactions or share resources to a significant extent with one another.

Q1(d)

Incorrect: The CARO specifically **exempts** a private limited company, not being a subsidiary or holding company of a public company, having a paid up capital and reserves and surplus not more than rupees 1 crore as on the balance sheet date and which does not have total borrowings exceeding rupees 1 crore from any bank or financial institution at any point of time during the financial year and which does not have a total revenue as disclosed in Scheduled III to the Companies Act, 2013 (including revenue from discontinuing operations) exceeding rupees 10 crore during the financial year as per the financial statements.

From the above, it is clear that ABC Pvt. Ltd. is a subsidiary of XYZ Ltd. and hence not exempt from CARO, 2016 although it is satisfying the conditions that allow exemption to private limited company which is not a subsidiary or holding company of a public company

PassBook's note: The statement and ICAI's answer are on CARO 2016; The January 2027 Study Material teaches the same exemption for private limited companies (not a subsidiary or holding company of a public company.

Q1(e)

Incorrect: As per section140(2) of the Companies Act, 2013, the auditor who has resigned from the company shall file within a period of 30 days from the date of resignation, a statement in the prescribed Form ADT–3(as per Rule 8 of CAAR) with the company and the Registrar.

PassBook's note: Out of syllabus (old scheme): the resignation of a company's auditor under section 140(2) of the Companies Act, 2013 (Form ADT-3 and its time limit) was part of old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors).

Q1(f)

Correct: The non-statistical sampling is criticized on the grounds that it is neither objective nor scientific. The expected degree of objectivity cannot be assured in non-statistical sampling because the risk of personal bias in selection of sample items cannot be eliminated. The closeness of the qualities projected by the sample results with that of the whole population cannot be measured because the sample has not been selected in accordance with the mathematically based statistical techniques.

Q1(g)

Incorrect: The auditor's substantive procedures at the assertion level may be tests of details, substantive analytical procedures, or a combination of both. The decision about which audit procedures to perform, including whether to use substantive analytical procedure, is based on the audtior's judgment about the expected effectiveness and efficiency of the available audit procedures to reduce audit risk at the assertion level to an acceptably low level.

Q1(h)

Incorrect: The auditor shall perform risk assessment procedures to provide a basis for the identification and assessment of risks of material

misstatement at the financial statement and assertion levels. Risk assessment procedures by themselves, however, do not provide sufficient appropriate audit evidence on which to base the audit opinion.

ICAI · Old P6 · Nov 2019 exam · question p. 1 · answer p. 1, 2

516 RTP **Old P6 May 2022** Q14 old scheme

Explain the meaning of Internal Financial Controls clearly stating reporting requirement (with reference to audit) on adequacy of internal financial controls. Also discuss about its (reporting requirement on adequacy of internal financial controls) applicability on various types of Companies.

ICAI'S ANSWER

Explanation given in Clause (e) of Sub-section 5 of Section 134 explains the meaning of internal financial controls as, "the policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information."

From the above definition, it is clear that **internal financial controls are** the policies and procedures adopted by the company for:

1. ensuring the orderly and efficient conduct of its business, including adherence to company's policies,
2. the safeguarding of its assets,
3. the prevention and detection of frauds and errors,
4. the accuracy and completeness of the accounting records, and
5. the timely preparation of reliable financial information."

Section 143(3)(i) of the Act requires an auditor to report whether the company has adequate internal financial controls ***with reference to financial statements*** in place and the operating effectiveness of such controls.

However, it may be noted that the reporting requirement on adequacy of internal financial controls (IFCs) with reference to financial statements shall **not** be applicable to a private company which is a–

(i) One person company; or

(ii) Small company; or

(iii) Company having turnover less than ₹ 50 crore as per latest audited financial statement and having aggregate borrowings from banks or financial

institutions or anybody corporate at any point of time during the financial year less than ₹ 25 crore.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 23

517 RTP **Old P6 Dec 2021 Q10(a)** old scheme

Explain clearly the difference between Internal Financial Control and Internal Controls over financial reporting.

ICAI'S ANSWER

Internal Financial Control as per Section 134(5)(e), "the policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information."

On the other hand, Internal controls over financial reporting-is required where auditors are required to express an opinion on the effectiveness of an entity's **internal controls over financial reporting**, such opinion is in addition to and distinct from the opinion expressed by the auditor on the financial statements.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 134

518 RTP Old P6 Dec 2021 Q10(b) old scheme

Auditor's reporting on internal financial controls is a requirement specified in the Act and, therefore, will apply only in case of reporting on financial statements prepared under the Act and reported under Section 143. Explain in detail quoting specifically the Law in the above context covering each and every aspect.

ICAI'S ANSWER

Auditor's reporting on internal financial controls is a requirement specified in the Act and, therefore, will apply only in case of reporting on financial statements prepared under the Act and reported under Section 143.

Accordingly, reporting on internal financial controls will not be applicable with respect to interim financial statements, such as quarterly or half-yearly financial statements, unless such reporting is required under any other law or regulation.

Objectives of an auditor in an audit of internal financial controls over financial reporting: The auditor's objective in an audit of internal financial controls over financial reporting is, " **to express an opinion on the effectiveness of the company's internal financial controls over financial reporting." It is carried out along with an audit of the financial statements.**

Reporting under Section 143(3)(i) is dependent on the underlying criteria for internal financial controls over financial reporting adopted by the management. However, any system of internal

controls provides only a reasonable assurance on achievement of the objectives for which it has been established. Also, the auditor shall use the concept of materiality in determining the extent of testing such controls.

Rule 8(5)(viii) of the Companies (Accounts) Rules, 2014 requires the board report of all companies to state the details in respect of adequacy of internal financial controls with reference to the financial statements.

The inclusion of the matters relating to internal financial controls in the directors responsibility statement is in addition to the requirement of the directors stating that they have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the 2013 Act for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 134

519 MTP **Old P6 Nov 2023 S-I** General MCQ 4 1 mark MCQ old scheme

The term Internal Financial Controls (IFC) basically refers to the policies and procedures put in place by companies for ensuring:

(i) Reliability of financial reporting

(ii) Compliance with applicable laws and regulations

(iii) Safeguarding of assets.

(iv) Effectiveness and efficiency of operations

(v) Prevention and detection of frauds

Which statement is correct?

A (i),(ii)and (iv)

B (i),(iii) (v) and(ii)

C (i),(ii),(iii) and (iv)

D (i), (ii),(iii),(iv)and (v)

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 6 · answer p. 1

520 MTP **Old P6 Dec 2021 S-II**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

A Partnership Firm of Chartered Accountants by the name of S K and Associates were appointed as the Auditors of the Company named Big Box Ltd.

Para 1

Big Box Ltd is a Public Listed Company. The CA Firm comprised of 2 partners namely CA S and CA K. Subsequently, a close relative of CA K, acquired security having face value Rs.495000/- of Big Box Ltd. As per the provisions of Section 141 of the Companies Act 2013, an Auditor will be disqualified from appointment, if the Auditor himself or his

relative acquires the security exceeding the prescribed limit in the Company.

Para 2

Further, the Auditors, S K and Associates also had to bank on the policies and procedures adopted by the Company for ensuring the efficient conduct of its business. They have to state about the adequacy of Internal Financial Controls in the Company. The Company had a turnover of Rs. 60 Crores as per the latest Audited Balance Sheet and its Borrowings during the year were Rs. 20 Crores from Banks.

Para 3

The CFO of the Company, Mrs. Darshana felt dubious in the Accounts department of the Company. She entreated the Auditors to perform a thorough investigation of the Accounts department. Mrs. Darshana was also anticipating a fraud in this situation. Both the Auditor as well as the CFO of the Company analyzed the various risk factors. The Auditors observed that the Head Accountant of the Department has inflated the Sales amount to finish his targets. There was collusion between the Head Accountant & Employees of the Company. Employees were presented incentives on accomplishing their targets. This resulted in a fraud by the Head Accountant of amount aggregating to Rs.75 Lacs.

Para 4

Mr. X, an acquaintance of CA S, wanted to form an LLP with his distant relatives. He wanted to possess in-depth knowledge about LLP. CA S explained him that LLP is a separate legal structure and is liable to full extent of its assets but the partners are liable to the extent of their agreed contribution in LLP. Mr. X additionally wanted to know the criteria for the accounts of LLP to be audited. CA S enlightened him that the accounts of every LLP shall be audited in accordance with Rule 24 of LLP, Rules 2009.

Para 5

Big Box Ltd. is expanding its business. Consequently it requires many Computers. Purchasing computers may involve paying a huge upfront cost. Cash flow may get disrupted. Hence the Company came up with an idea of getting the Computers on lease. It will allow the businesses to have access to the latest technology without harming their cash flow.

The Auditors explained to the Directors that leasing Computers shall come under the purview of Operating Lease.

MCQ 2.1 2 marks out of syllabus

With reference to para 1, S K and Associates can take corrective actions within _____days. The relative may hold security or interest in the company of face value not exceeding _____

A 45 days, Face Value Rs.100000/-

B 60 days, Market Value Rs.500000/-

C 30 days, Face Value Rs. 500000/-

D 60 days, Face Value Rs.100000/-

MCQ 2.2 2 marks

The Auditors of S K and Associates were doubtful concerning the applicability of Internal Financial Controls in the Company Big Box Ltd. With reference to details provided in Para 2 above, please guide them in this regard.

A It will be applicable as Turnover exceeds the threshold limit of Rs.50 Crores.

B It is not applicable as the Borrowings are less than 25 Crores during the financial year.

C It will be applicable as the Company is a Public Listed Company.

D Reporting on Internal Financial Control is not under the scope of Auditors reporting. Hence, Not Applicable.

MCQ 2.3 2 marks

With reference to para 3, wherein a fraud was observed by the Auditor, what should be the course of action of the Auditor?

A The Auditor should report the fraud details to Central Government.

B The Auditor shall report the fraud to the audit Committee or to the Board within the prescribed time.

C The Auditor shall disclose it in the Audit Report and report the fraud details to RBI too.

D Both a & c above.

MCQ 2.4 2 marks

With regard to information provided in Para 4, which of the following is a CORRECT option?

A Any LLP whose turnover does not exceed, in any financial year, Rs.40 Lacs or whose contribution does not exceed Rs.25 Lacs is not required to gets its accounts audited.

B Any LLP whose turnover does not exceed, in any financial year, Rs.50 Lacs or whose contribution does not exceed Rs.20 Lacs is not required to gets its accounts audited.

C Any LLP whose turnover exceeds Rs.25 Lacs in any financial year or whose contribution exceeds Rs.10 Lacs in any financial year is required to gets its accounts audited.

D Any LLP whose turnover does not exceed, in any financial year, Rs.40 Lacs and whose contribution does not exceed Rs.25 Lacs is not required to gets its accounts audited.

MCQ 2.5 2 marks

In reference to para 5, which among the following is an INCORRECT trait about the Operating Lease?

A The Lessee does not have the option to buy the asset during the lease period.

B The Lessee cannot claim Depreciation on the leased asset.

C The Lessee generally bears the Insurance, Maintenance and Taxes.

D The Lease term generally extends to less than 75% of the projected useful life of the leased asset.

ICAI'S ANSWERS

MCQ 2.1

(D)

PassBook's note: Out of syllabus (old scheme): the disqualification of a company auditor whose relative holds securities of the company above face value ₹ 1 lakh, and the 60 days allowed to take corrective action (section 141(3)(d)(i) of the Companies Act, 2013 and Rule 10 of the Companies (Audit and Auditors) Rules, 2014), belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover section 141 (as o-p6-mtp-may2022-s2 q1ii and q1viii, o-p6-mtp-nov2022-s1 q3d), so the item carries only its nearest sub-topic (independence).

MCQ 2.2

(C)

MCQ 2.3

(B)

MCQ 2.4

(A)

MCQ 2.5

(C)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 2-3 · answer p. 1

521 MTP **Old P6 Dec 2021 S-II** Q4(a) 4 marks old scheme

Explain the meaning of internal financial controls as per the Companies Act, 2013. Also explain its objectives.

ICAI'S ANSWER

Clause (e) of Sub-section 5 of Section 134 explains the meaning of internal financial controls as, "the policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information."

From the above definition, it is clear that **internal financial controls are** the policies and procedures adopted by the company for:

1. ensuring the orderly and efficient conduct of its business, including adherence to company's policies,
2. the safeguarding of its assets,
3. the prevention and detection of frauds and errors,
4. the accuracy and completeness of the accounting records, and
5. the timely preparation of reliable financial information."

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 4-5

522 MTP Old P6 Jul 2021 S-II Q4(a) 3 marks old scheme

The auditor's reporting on internal financial control will be applicable with respect to interim financial statements. Discuss

ICAI'S ANSWER

Clause (i) of Sub-section 3 of Section 143 of the Act requires the auditors' report to state whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

It may be noted that auditor's reporting on internal financial controls is a requirement specified in the Act and, therefore, will apply only in case of reporting on financial statements prepared under the Act and reported under Section 143.

Accordingly, reporting on internal financial controls will not be applicable with respect to interim financial statements, such as quarterly or half-yearly financial statements, unless such reporting is required under any other law or regulation.

In view of above, the given statement is incorrect.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 4

4.5 SA 530: audit sampling

105 questions · asked in 40 ICAI documents · 12 exam papers

523 EXAM **May 2026** Case Scenario - I · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO - I

Shree Foods Private Ltd., engaged in the production and distribution of packaged snacks. To increase sales, it introduced volume discounts and extended credit facilities to distributors.

The statutory audit of Shree Foods Private Ltd. was assigned to CA Vivek. While planning the audit programme, CA Vivek first obtained an understanding of the company's internal control system and evaluated whether such controls were actually operating effectively. He prepared a detailed audit plan specifying procedures such as:

- Testing a sample of 100 invoices out of 1200 revenue transactions.
- Reviewing discount approvals and credit notes.

During the audit, the following issues were noted:

(i) Some invoices with incorrect revenue amounts were not included in the selected sample and hence misstatements remained undetected.

(ii) One audit team member misunderstood the bulk discount policy and treated overstated revenue as valid.

(iii) While testing invoices and trade receivables, CA Vivek identified misstatement in some transactions.

He needs to project these misstatements to the population to assess their overall impact.

(iv) Management refused to provide requested written representation required by CA Vivek relating to valuation of one of the major Trade Receivables.

(v) Additionally, while verifying trade receivables, CA Vivek performed several other audit procedures such as -

(a) Selecting few invoices from the accounts receivables ageing report and compare them with supporting documentation to see if they billed with the correct amounts, to the correct customer and on the correct dates.

(b) Matching sales invoices issued around the reporting date with the related shipping/dispatch records to ensure receivables are recorded in the correct accounting period.

(c) Reviewing the ageing analysis of receivables to identify long-outstanding balances and evaluate adequacy of provision of doubtful debts.

(d) Sending balance confirmation requests to selected distributors asking them to confirm the outstanding receivable balances as at the reporting date.

Based on the above facts, answer the following questions: (1 to 5)

MCQ 1 2 marks

CA Vivek formulates his audit programme after obtaining a satisfactory understanding of the internal control system. Which of the following statement is correct in this respect?

A. A detailed evaluation of internal control by the auditor would unnecessarily expand the scope of the audit programme and his audit programme may become unwieldy and unnecessarily heavy.

B. If the auditor does not care to study the internal control system, his audit programme may become unwieldy and unnecessarily heavy, and the object of the audit may be altogether lost in the mass of entries and vouchers.

C. If the internal control is considered strong, the auditor should introduce additional audit procedures that otherwise might not be required to ensure absolute assurance.

D. A proper understanding of the internal control system, its content and functioning, does not significantly influence the auditor's selection of audit procedure to be applied in the various areas covered in the audit programme.

MCQ 2 2 marks

During testing of 100 invoices out of 1200, some invoices with incorrect revenue amounts were not selected and the bulk discount policy was misinterpreted, and overstated revenue was treated as valid.

Which of the following combinations correctly identifies the type of risk represented in each of the respective situations?

A Detection Risk - Sampling Risk & Detection Risk - Non-Sampling Risk

B Inherent Risk & Control risk

C Detection Risk - Non-Sampling Risk & Detection Risk - Sampling Risk

D Control Risk & Detection Risk - Non-Sampling Risk

MCQ 3 2 marks

CA Vivek identified misstatements in some transactions. Some misstatements were anomalies. He needs to project these misstatements to the population to assess their overall impact.

Which of the following statement best describes the correct approach in this scenario?

A The auditor is required to project misstatement for the population to obtain a broad view of the scale of misstatement, and this projection is sufficient to determine the amount to be recorded.

B When a misstatement has been established as an anomaly, it may be excluded when projecting misstatements to the population, however, the effect of any such misstatement, if uncorrected, still needs to be considered in addition to the projection of the non-anomalous misstatements.

C For test of details, the auditor shall project misstatement found in the sample to the population, whereas for test of controls, explicit projection of deviation is always required.

D When a misstatement has been established as an anomaly, it must always be included when projecting misstatements to the population.

MCQ 4 2 marks

CA Vivek requested management to furnish a written representation relating to valuation of Trade receivable. Management failed to provide the same. In the given situation, which of the following actions should not be taken by the auditor referring SA 580?

A Re-evaluate the integrity of management and assess the impact of non-availability of written representation on the reliability of audit evidence as a whole.

B Take appropriate actions, including determining the possible effect on the opinion in the auditor's report in accordance with SA 705 having regard to the requirement of disclaimer of opinion.

C Treat the absence of written representation as a disagreement with management and issue a qualified opinion.

D Discuss the matter with management.

MCQ 5 2 marks

Based on the other audit procedures performed by CA Vivek in relation to trade receivables in the above case

study, match the audit procedures with the relevant audit assertions:

Audit Procedures		Assertions
a	i.	Existence
b	ii.	Completeness
c	iii.	Cut-off
d	iv.	Valuation

Options:

A a-ii, b-iii, c-i, d-iv

B a-iv, b-iii, c-i, d-ii

C a-i, b-ii, c-iv, d-iii

D a-ii, b-iii, c-iv, d-i

ICAI'S ANSWERS

MCQ 1

Answer key: **(B)**

MCQ 2

Answer key: **(A)**

MCQ 3

Answer key: **(B)**

MCQ 4

Answer key: **(C)**

MCQ 5

Answer key: **(D)**

524 EXAM **May 2026** Case scenario · Q1(b)(i) to Q1(b)(iii)

5 marks

CASE SCENARIO

While auditing the trade receivables of Ocean Limited, CA R plans to select 100 customer balances from a population of 1000 receivables accounts appearing in the trade receivables ledger. For this purpose, he decides to select customer account number 5th as the starting point and thereafter select every 10th account from the ledger until the required sample size is obtained.

Based on the above:

Q1(b)(i) 2 marks

Identify and briefly explain the sampling method being used by CA R in the above situation.

Q1(b)(ii) 2 marks

State the important consideration that an auditor should keep in mind while using this method and how the risk arising from such sampling can be minimized?

Q1(b)(iii) 1 mark

Further, the audit partner suggests that instead of this approach, CA R should verify the first 150 customer accounts appearing in the receivables ledger for the last month. State the sampling method suggested by the partner.

ICAI'S ANSWERS

Q1(b)(i)

Interval Sampling or Systematic Sampling:
Systematic selection is a selection method in which the number of sampling units in the population is divided by the sample size to give a sampling interval, for example; 10 is the sampling interval in given situation (1000/100) and having determined starting point with customer number 5, each 10th sampling thereafter is selected until the required sample size is obtained. Although the starting point may be determined haphazardly, the sample is more likely to be truly random if it is determined by use of a computerized random number generator or random number tables.

Q1(b)(ii)

Important considerations an auditor should keep in mind while using this method and how the risk arising from such sampling can be minimised:
When using systematic selection, the auditor would need to determine that sampling units within the population are not structured in such a way that the sampling interval corresponds with a particular pattern in the population. Therefore, systematic sampling when chosen as a method should be carefully applied to bring together every type of transaction within its purview.

To minimise the effect of the possible known buyers through a pattern in the population, more than one starting point may be taken. The multiple random starting point is taken because it minimises the risk

of interval sampling pattern with that of the population being sampled.

Q1(b)(iii)

The method selected by the partner is Block Sampling: This method involves selection of a block(s) of contiguous items from within the population.

ICAI · P5 · May 2026 exam · question p. 12 · answer p. 14, 15

525 EXAM **May 2026** Case scenario · Q3(a)(i) to Q3(a)(ii)

5 marks

CASE SCENARIO

Alpha Manufacturing Ltd. and Beta Engineering Ltd. are audited for the year ended 31 March 2026. CA Y plans to perform tests of controls over purchase transactions in both companies.

The following information is available:

Particulars	Alpha Manufacturing Ltd.	Beta Engineering Ltd.
Population of purchase invoices	12,000	12,000
Tolerable deviation rate	5%	5%

Particulars	Alpha Manufacturing Ltd.	Beta Engineering Ltd.
Reliance the auditor places on the operating effectiveness of control	Same	Same
Expected deviation rate	2%	6%

Q3(a)(i) 4 marks

Briefly explain factors to be considered by CA Y in determining the sample size for tests of controls.

Q3(a)(ii) 1 mark

Based on the above information, which company will require a larger sample size and why?

ICAI'S ANSWERS

Q3(a)(i)

The following are factors that the auditor may consider when determining the sample size for tests of controls. These factors, which need to be considered together, assume the auditor does not modify the nature or timing of tests of controls or otherwise modify the approach to substantive procedures in response to assessed risks.

(I) When there is an increase in the extent to which the auditor's risk assessment takes into account relevant controls. The more assurance the auditor

intends to obtain from the operating effectiveness of controls, the lower the auditor's assessment of the risk of material misstatement will be, and the larger the sample size will need to be. When the auditor's assessment of the risk of material misstatement at the assertion level includes an expectation of the operating effectiveness of controls, the auditor is required to perform tests of controls. Other things being equal, the greater the reliance the auditor places on the operating effectiveness of controls in the risk assessment, the greater is the extent of the auditor's tests of controls (and therefore, the sample size is increased). Thus, sample size will increase.

(II) If there is an increase in the tolerable rate of deviation, then sample size will decrease, as lower the tolerable rate of deviation, larger the sample size needs to be. Tolerable error is the maximum error in the population that auditor is ready to accept in a given sample size. Smaller the tolerable error, larger will be the sample size.

(III) When there is an increase in the expected rate of deviation of the population to be tested then sample size will increase, as higher the expected rate of deviation, larger the sample size needs to be so that the auditor is in a position to make a reasonable estimate of the actual rate of deviation. Factors relevant to the auditor's consideration of the expected rate of deviation include the auditor's understanding of the business (in particular, risk assessment procedures undertaken to obtain an

understanding of internal control), changes in personnel or in internal control, the results of audit procedures applied in prior periods and the results of other audit procedures. High expected control deviation rates ordinarily warrant little, if any, reduction of the assessed risk of material misstatement.

(IV) An increase in the auditor's desired level of assurance that the tolerable rate of deviation is not exceeded by the actual rate of deviation in the population will increase the sample size. Thus, the greater the level of assurance that the auditor desires that the results of the sample are in fact indicative of the actual incidence of deviation in the population, the larger the sample size needs to be.

(V) In case of large populations, the actual size of the population has little, if any, effect on sample size. For small populations however, audit sampling may not be as efficient as alternative means of obtaining sufficient appropriate audit evidence. Therefore, there will be negligible effect on sample size due to increase in the number of sampling units in the population.

Q3(a)(ii)

Alpha Manufacturing Ltd and Beta Engineering Ltd both have the same population of purchase invoices of 12,000, the same tolerable deviation rate of 5%, and the same level of reliance placed by the auditor on the operating effectiveness of controls. The only difference between the two companies is the

expected deviation rate, which is 2% for Alpha Manufacturing Ltd and 6% for Beta Engineering Ltd.

As discussed above, sample size increases when the expected rate of deviation increases. A higher expected deviation rate indicates that the auditor expects more control failures in the population and, therefore, needs to examine a larger number of items to make a reliable estimate of the actual deviation rate.

Accordingly, Beta Engineering Ltd will require a larger sample size because its expected deviation rate of 6% is higher than the 2% expected deviation rate of Alpha Manufacturing Ltd.

ICAI · P5 · May 2026 exam · question p. 19 · answer p. 20-21, 21-22

526 EXAM **Sep 2025** Case Scenario 1 · MCQ 1 to MCQ 6

12 marks

CASE SCENARIO 1

CA Rajesh and Co. are the statutory auditors of Ram Textiles Ltd. and are making arrangements to start the audit. CA Rajesh, planned to ensure that the work of engagement team members is properly directed, supervised and reviewed so as to conduct an effective audit by the team members. CA Rajesh understood that the nature, timing and extent of the direction and supervision of engagement team members and their review, depends on various factors relating to entity and firm. He ensured that planning of the audit is made so as to cover the scope

of audit. Enough care has been taken to ensure that the scope does not include the matters which fall outside the domain of his competence and at the same time to obtain reasonable assurance whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion. The auditor understood the entity and its environment, internal controls, the IT environment and the related risks. Considering the large volume of transactions, the auditor preferred to go for audit sampling with proper checks and controls. The engagement team members were made aware that appropriate risk assessment procedures be designed to suit the circumstances and to strike a balance between the different components of audit risk, so as to reduce the overall audit risk to acceptable low-level and to adopt appropriate audit procedures as required. The auditors wish to determine the sample size by the application of statistical techniques or through the exercise of professional judgment, as would be appropriate in the particular circumstances and also decided in appropriate cases, to examine the entire population of items that make up a class of transactions or account balance. Accordingly, CA Rajesh decided to use statistical sampling for verification of sales, and at the same time, verify all the sales transactions to related parties. The auditor considered various factors that determine the sample size for tests of control and observed that when circumstances are similar, the

effect on sample size of factors will be similar, regardless of whether a statistical or non-statistical approach is chosen. Further, he designed and performed audit procedures that are appropriate in the circumstances for the purpose of obtaining sufficient and appropriate audit evidence and thereby enable to draw reasonable conclusions on which to base the auditor's opinion. The engagement team members were given instructions, that apart from the appropriateness and relevance of audit evidence obtained, the need for sufficiency of audit evidence and the factors affecting auditor's judgment as to sufficiency of audit evidence, shall also be considered.

Based on the above facts, answer the following Q. Nos. 1 to 6.

MCQ 1 2 marks

CA Rajesh had considered all the factors affecting the supervision and review of engagement team members' work. One of the following is not a factor in deciding the nature, timing and extent of the direction and supervision of engagement team members and review of their work.

A Size and complexity of the entity

B The availability of time and trained personnel to review the work

C The capability and competence of the individual team members performing the audit work

D The area of the audit

MCQ 2 2 marks

As per the understanding of CA Rajesh, which of the below options, falls within the scope of audit of financial statements?

A Reliability and sufficiency of financial information.

B Responsibility of preparation and presentation of financial information.

C Expertise in authentication of documents.

D Duties outside scope of competence of auditor.

MCQ 3 2 marks

Suggest the audit team members of CA Rajesh and Co. to match the apt combination from the following information regarding risk and their description:

Type of Risk	Description
1. Sampling Risk	a. Sample was not representative of the population.
2. Audit Risk	b. Risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated.
3. Not an Audit Risk	c. Erroneous conclusion due to application of inappropriate audit procedure.
4. Non-sampling Risk	d. Risk that the auditor might express an opinion that the financial statements are materially misstated, when they are not.

A 1-a, 2-b, 3-c, 4-d

B 1-c, 2-a, 3-b, 4-d

C 1-b, 2-d, 3-a, 4-c

D 1-a, 2-b, 3-d, 4-c

MCQ 4 2 marks

CA Rajesh decided to go for sampling for verification of controls, transactions and for applying substantive procedures. In this regard, select a statement from the below options, which is not apt:

A It is possible to make 100% examination of test of controls.

B 100% examination may be made of a population constituting a small number of large value items.

C 100% examination is appropriate when there is a significant risk, and other means do not provide sufficient appropriate audit evidence.

D The repetitive nature of calculation or other process performed automatically by an information system, makes a 100% examination cost effective.

MCQ 5 2 marks

CA Rajesh wants to choose a sample size which enables him to make a proper risk assessment of the population. In selecting the sample size, which of the below option is not correct?

A The lower the risk the auditor is willing to accept, the greater the sample size needs to be.

B If there is an increase in the tolerable rate of deviation, then the sample size will decrease.

C Other things being equal, the greater the reliance the auditor places on the operating effectiveness of controls in the risk assessment, the greater is the extent of the auditor's tests of controls and thus the sample size will decrease.

D When there is an increase in the expected rate of deviation of the population to be tested, then sample size will increase.

MCQ 6 2 marks

The auditor's judgment as to sufficiency of audit evidence is not dependent on one of the factors mentioned below. Choose one such factor from the below options:

A Nature and source of audit evidence

B Risk of Material Misstatement

C Size and characteristics of population

D Materiality

ICAI'S ANSWERS

MCQ 1

Answer key: **(B)**

MCQ 2

Answer key: **(A)**

MCQ 3

Answer key: **(D)**

MCQ 4

Answer key: **(A)**

MCQ 5

Answer key: **(C)**

MCQ 6

Answer key: **(A)**

ICAI · P5 · Sep 2025 exam · question p. 1-2 · answer p. 10

527 EXAM **Sep 2025** Q4(c) 4 marks

An auditor while verifying the sales during the year observed that the sales transactions in that year are more than 1 lakh in number. He wants to determine the sample size and its composition on the basis of his personal experience and knowledge and do the testing on his own judgment. Kindly advise him about the scientific approach to sampling and the method of sampling to be chosen in such a situation.

ICAI'S ANSWER

Statistical Sampling – More Scientific:

1. Audit testing done through this approach is more scientific than testing based entirely on the auditor's own judgment because it involves the use of mathematical laws of probability in determining the appropriate sample size in varying circumstances.
2. Statistical sampling has reasonably wide application where a population to be tested consists of a large number of similar items, and

more in the case of transactions involving compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers. In larger organizations, with huge transactions, statistical sampling is always recommended as the samples selected are not prejudged.

3. There is no personal bias of the auditor in case of statistical sampling. Since it is scientific, the results of sample can be evaluated and projected on the whole population in a more reliable manner.

In the instant case, an auditor while verifying the sales during the year observed that the sales transactions in that year are more than one lakh in number. In such case, statistical sampling will be highly recommended in the audit program. Random Sampling is the method he can decide to choose sample in such a situation.

ICAI · P5 · Sep 2025 exam · question p. 20 · answer p. 22

528 **EXAM** **Sep 2024** Q1(b) **4 marks**

Auditors cannot normally examine all the information available to them as it would be impracticable to do so and using audit sampling will produce valid conclusions. Samples should be selected in such a manner that it is representative of the population from which the sample is being selected. Which sample selection method is used in the following two cases? Identify and explain them briefly.

(i) Auditor divided the trade receivables in three groups: balances above ₹ 20 lakhs, balances between ₹ 10 lakhs to ₹ 20 lakhs and balances below ₹ 10 lakhs. He selected different percentages of items from each group.

(ii) Auditor uses the sample of 50 consecutive cheques to test whether the cheques are signed by authorized signatories, rather than picking 50 single cheques throughout the year.

ICAI'S ANSWER

Sample Selections Methods:

(i) Stratified Sampling method involves dividing the whole population to be tested in a few separate groups called strata and taking a sample from each of them. Each stratum is treated as if it was a separate population and proportionate of items are selected from each of these stratum. The number of groups into which the whole population has to be divided is determined on the basis of auditor judgment.

In the given case, Auditor divided the trade receivables in three groups i.e. balances above ₹ 20 lakhs, balances between ₹ 10 lakhs to 20 lakhs and balances below ₹ 10 lakhs and he selected different percentages of items from each group will be considered as Stratified Sampling.

(ii) **Block Sampling:** This method involves selection of a block(s) of contiguous items from within the population. Usually, a range of continuous

transaction shall have similar characteristics, therefore, selection of a group at one time will not give a reasonable basis for opinion on the overall population as different types of transactions and unusual transactions may not be covered in the group taken all at once.

In the given case, the auditor uses the sample of 50 consecutive cheques to test whether the cheques are signed by authorized signatories, rather than picking 50 single cheques throughout the year is Block Selection Method.

ICAI · P5 · Sep 2024 exam · question p. 9 · answer p. 11-12

529 **EXAM** **Sep 2024** **Q3(d)** **3 marks**

You are the statutory auditor of NP Ltd. Looking at the huge size of similar transactions, you directed your team members to use statistical sampling. One of the team members, Mr. Q, wants to select samples based upon his personal experience & knowledge as he is not aware of statistical sampling. You are required to explain to Mr. Q why the use of statistical sampling method is more scientific and appropriate.

ICAI'S ANSWER

Statistical sampling: Statistical sampling is an approach to sampling that has the random selection of the sample units and the use of probability theory to evaluate sample results, including measurement of sampling risk characteristics.

Statistical Sampling is more scientific and appropriate as:

- Audit testing done through this approach is more scientific than testing based entirely on the auditor's own judgment because it involves use of mathematical laws of probability in determining the appropriate sample size in varying circumstances.
- Statistical sampling has reasonably wide application where a population to be tested consists of a large number of similar items and more in the case of transactions involving compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers.
- There is no personal bias of the auditor in case of statistical sampling. Since it is scientific, the results of samples can be evaluated and projected on the whole population in a more reliable manner.

In larger organisations, with huge transactions, statistical sampling is always recommended as it is unbiased, and the samples selected are not prejudged.

ICAI · P5 · Sep 2024 exam · question p. 17 · answer p. 19

530 **EXAM** **May 2024** **Q4(a)** **4 marks**

M/s KLM & Co. Chartered Accountants, a partnership firm, while designing tests of controls and tests of

details in MN Ltd. has to determine the items for testing that can be effective in meeting the purpose of the audit procedure. For this, they decided to select specific items from a population. State the factors that can be considered by the audit firm for selecting specific items from a population and also state the specific items that can be included for such testing.

ICAI'S ANSWER

The auditor may decide to select specific items from a population. In making this decision, factors that may be relevant include:

(i) the auditor's understanding of the entity,

(ii) the assessed risks of material misstatement, and

(iii) the characteristics of the population being tested.

Specific items selected may include:

- **High value or key items:** The auditor may decide to select specific items within a population because they are of high value, or exhibit some other characteristic.
- **All items over a certain amount:** The auditor may decide to examine items whose recorded values exceed a certain amount so as to verify a large proportion of the total amount of a class of transactions or account balance.
- **Items to obtain information:** The auditor may examine items to obtain information about matters such as the nature of the entity or the nature of transactions.

ICAI · P5 · May 2024 exam · question p. 12 · answer p. 13

531 EXAM **Old P6 Nov 2023** Q6(b) 4 marks old scheme

Mention any four factors that should be considered for deciding upon the extent of checking on sampling plan.

ICAI'S ANSWER

The factors that should be considered for deciding upon the extent of checking on a sampling plan are following:

(i) Size of the organisation under audit.

(ii) State of the internal control.

(iii) Adequacy and reliability of books and records.

(iv) Tolerable error range.

(v) Degree of the desired confidence.

ICAI · Old P6 · Nov 2023 exam · question p. 11 · answer p. 13

532 EXAM **Old P6 May 2023** Q2(a) 4 marks old scheme

While designing an audit sample, the auditor shall determine a sample size sufficient to reduce the sampling risk to an acceptably low level. In this context, explain sampling risk and non-sampling risk.

ICAI'S ANSWER

Sampling risk – The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure.

Sampling risk can lead to two types of erroneous conclusions:

(i) In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.

(ii) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

Non-sampling risk – The risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk.

Examples of non-sampling risk include the use of inappropriate audit procedures, misinterpretation of audit evidence, human mistakes and failure to recognise a misstatement or deviation, relying on erroneous information.

ICAI · Old P6 · May 2023 exam · question p. 2 · answer p. 3

533 EXAM Old P6 Nov 2022 Q2(c) 3 marks old scheme

What are the matters that the auditor shall consider while designing an audit sample?

ICAI'S ANSWER

Matters to be considered while designing an Audit Sample:

As per SA 530, "Audit Sampling",

(i) When designing an audit sample, the auditor shall consider the purpose of the audit procedures and the characteristics of the population from which the sample will be drawn.

(ii) When designing an audit sample, the auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level.

(iii) When designing an audit sample, the auditor shall select items for the sample in such a way that each sampling unit in the population has a chance of selection.

(iv) When designing an audit sample, the auditor shall determine that sample selected must be representative of the population.

(v) When designing an audit sample, the auditor's consideration includes the *specific purpose* to be achieved and the *combination of audit procedures* that is likely to best achieve that purpose.

(vi) When designing an audit sample, Consideration of the *nature of the audit evidence* sought and possible deviation or misstatement conditions or other

characteristics relating to that audit evidence will assist the auditor in defining what constitutes a deviation or misstatement and what population to use for sampling.

(vii) In fulfilling the requirement of **SA 500 "Audit Evidence"**, when performing audit sampling, the auditor performs audit procedures to obtain evidence that the population from which the audit sample is drawn is complete.

ICAI · Old P6 · Nov 2022 exam · question p. 3 · answer p. 4-5

534 **EXAM** **Old P6 May 2022** Q5(c) 3 marks old scheme

The approach to audit and extent of checking are undergoing a progressive change in favour of more attention towards the questions of principle and controls with a curtailment of non-consequential routine checking. Discuss the given statement.

ICAI'S ANSWER

Sampling: An Audit Procedure: No conscious effort in human society is divested of economic considerations and auditing is no exception. There is a growing realisation that the traditional approach to audit is economically wasteful because all the efforts are directed to check all transactions without any exception. This invariably leads to more emphasis on routine checking, which often is not necessary in view of the time and the cost involved. With the shift in favour of formal internal controls in the management of affairs of organisations, the

possibilities of routine errors and frauds have greatly diminished i.e., the internal controls as designed by the management are for the very purpose of Prevention, Detection and Correction of Frauds and Errors. Thus, the auditors often find extensive routine checking as nothing more than a ritual because it seldom reveals anything material. Now the approach to audit and the extent of checking are undergoing a progressive change in favour of more attention towards the questions of **principles and controls** with a curtailment of non-consequential routine checking. By routine checking, we traditionally think of extensive checking and vouching of all the entries, disregarding the concept of materiality.

The extent of the checking to be undertaken is primarily a matter of judgment of the auditor. There is nothing statutorily stated anywhere which specifies what work is to be done, how it is to be done and to what extent it has to be done. It is also not obligatory that the auditor must adopt the sampling technique. What he is to do as an auditor is to express his opinion on the financial statements and become bound by that.

To ensure good and reasonable standard of work, he should adopt standards and techniques that can lead him to an informed professional opinion. On consideration of this fact, it can be said that it is in the interest of the auditor that if he decides to form his opinion on the basis of a part checking (i.e.,

sampling), he should adopt standards and techniques which are widely followed and which have a recognised basis.

Since statistical theory of sampling is based on a scientific law, it can be relied upon to a greater extent than any arbitrary technique which lacks in basis and acceptability. This enables the auditor to make conclusions and express fair opinion without having to check all of the items within the financial statements.

ICAI · Old P6 · May 2022 exam · question p. 10 · answer p. 12

535 EXAM **Old P6 Dec 2021** Q2(c) 3 marks old scheme

With reference to SA 530 "Audit Sampling", explain briefly the following factors that the auditor may consider when determining the sample size for the Test of Details –

(i) The desired level of assurance

(ii) Stratification of the pollution.

ICAI'S ANSWER

Examples of factors influencing Sample Size for Test of Details:

(i) **Desired Level of Assurance:** An increase in the auditor's desired level of assurance that tolerable misstatement is not exceeded by actual misstatement in the population will increase the sample size. Hence, greater the level of assurance that the auditor requires that the results of the

sample are in fact indicative of the actual amount of misstatement in the population, the larger the sample size needs to be.

(ii) **Stratification of population:** When stratification of the population is appropriate then sample size will decrease as when there is a wide range (variability) in the monetary size of items in the population, it may be useful to stratify the population. When a population can be appropriately stratified, the aggregate of the sample sizes from the strata generally will be less than the sample size that would have been required to attain a given level of sampling risk, had one sample been drawn from the whole population.

ICAI · Old P6 · Dec 2021 exam · question p. 3 · answer p. 4

536 EXAM **Old P6 Jul 2021** Q2(b) 4 marks old scheme

CA B is appointed as an auditor of M/s. Divine Pharmacy, a wholesale medicine supplier. While auditing for the financial year 2020-21, CA B wants to use test checking technique. Advise CA B, what kind of precautions should be taken by him in this regard.

ICAI'S ANSWER

While auditing the accounts of Divine Pharmacy, CA B wanted to use Test Checking technique. The following Precautions should to be taken by CA B while applying test check techniques:

- Thorough study of accounting system should be done before adopting sampling

- Proper study of internal control systems.
- Areas which are not suitable for sampling should be carefully considered. eg: compliance with statutory provisions, transactions of unusual nature etc.
- Proper planning for Sampling methods to be used and explaining the staff,
- Transactions and balances have to be properly classified (stratified)
- Sample size should be appropriately determined.
- Sample should be chosen in unbiased way,
- Errors located in the sample should be analyzed properly.

ICAI · Old P6 · Jul 2021 exam · question p. 35 · answer p. 36

537 EXAM **Old P6 Jan 2021** Q4(a) 4 marks old scheme

In the context of SA 530 'Audit Sampling', explain the terms 'Sampling Risk' and 'Non-Sampling risk'.

ICAI'S ANSWER

Sampling Risk. The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions:

(i) In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is

primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.

(ii) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

Non-Sampling Risk. The risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk.

Example

Examples of non-sampling risk include use of inappropriate audit procedures, or misinterpretation of audit evidence and failure to recognize a misstatement or deviation.

Sources of Non Sampling risk are :

(i) Human Mistakes

(ii) Applying audit procedures not appropriate to the objectives of audit

(iii) Relying on erroneous information e.g. erroneous confirmation

(iv) Misinterpreting the sample results

Non sampling risk can never be mathematically measured.

ICAI · Old P6 · Jan 2021 exam · question p. 7 · answer p. 7-8

538 EXAM **Old P6 Nov 2020** Q2(c) 3 marks old scheme

Also asked in Old P6 MTP Nov 2023 S-II Q5(a)

It is imperative for the auditor to project misstatements for the population while performing audit procedures through sampling. Comment.

ICAI'S ANSWER

(i) The auditor is required to project misstatements for the population to obtain a broad view of the scale of misstatement but this projection may not be sufficient to determine an amount to be recorded.

(ii) When a misstatement has been established as an anomaly, it may be excluded when projecting misstatements to the population. However, the effect of any such misstatement, if uncorrected, still needs to be considered in addition to the projection of the non-anomalous misstatements.

(iii) For tests of details, the auditor shall project misstatements found in the sample to the population whereas for tests of controls, no explicit projection of deviations is necessary since the sample deviation rate is also the projected deviation rate for the population as a whole.

ICAI · Old P6 · Nov 2020 exam · question p. 2 · answer p. 3-4

539 RTP **Sep 2026** Q12

TUV & Co., Chartered Accountants, are appointed as statutory auditors of DEF Ltd. for the year ending on

31st March, 2026. During the audit of trade receivables, the auditors assess a high risk of material misstatement due to weak internal controls and absence of effective testing of controls.

As a result, the audit team decides to rely more on substantive procedures, particularly tests of details, to obtain sufficient appropriate audit evidence. While planning the audit sampling, a junior auditor raises a query regarding how the assessment of risk of material misstatement impacts the sample size.

In the above context, explain how the assessment of risk of material misstatement influences the sample size for tests of details.

ICAI'S ANSWER

The higher the auditor's assessment of the risk of material misstatement, the larger the sample size needs to be. The auditor's assessment of the risk of material misstatement is affected by inherent risk and control risk.

For example, if the auditor does not perform tests of controls, the auditor's risk assessment cannot be reduced for the effective operation of internal controls with respect to the particular assertion. Therefore, in order to reduce audit risk to an acceptably low level, the auditor needs a low detection risk and will rely more on substantive procedures. The more audit evidence that is obtained from tests of details (that is, the lower the detection risk), the larger the sample size will need to be. Thus, we can say that there will be an increase

in sample size in case of an increase in the auditor's assessment of the risk of material misstatement.

As per given facts, since the risk of material misstatement is high, the auditor should increase the sample size for tests of details to obtain sufficient appropriate audit evidence and reduce audit risk to an acceptably low level.

ICAI · P5 · RTP Sep 2026 · question p. 8 · answer p. 15-16

540 **RTP** **Old P6 Nov 2023**

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

CA X has accepted offer of conducting statutory audit of financial statements of DOS Solutions Private Limited. Keeping in mind requirements of Standards on Auditing including those relating to SA 300, he plans audit so that it is conducted in an effective manner. He knows that because of inherent limitations of an audit, there is audit risk in audit of financial statements even though audit is properly planned and performed in accordance with Standards on Auditing.

Considering nature of operations of the company, he has decided to use audit sampling in performing audit procedures. The various areas of his testing include testing controls over revenues, expenditures, assets and liabilities of the company. Besides, he has decided to perform tests of details in respect of all these areas of financial statements.

While verifying tests of controls over purchase orders placed by the company based on selected audit samples, he has erroneously concluded that Standard operating procedures (SOP) for placing purchase orders are not being followed strictly and controls are less effective than they actually are.

Further, while testing controls over wage payments, he has tested 20 sample wage sheets of different sections of company and finds that one wage sheet has not been signed by authorized officer of the company. The rate of deviation was earlier set by him at 3%.

During the course of designing procedures for selecting samples for verification of trade receivables, he has decided to divide trade receivable balances into groups viz. balances in excess of ₹ 10 lakh, balances in range of ₹ 7,50,001 to ₹ 10,00,000, balances in range of ₹ 5,00,001 to ₹ 7,50,000, balances in range of ₹ 2,50,001 to ₹ 5,00,000 and balances of ₹ 2,50,000 and below. He has planned to pick up different percentage of items from each of above groups. Random sample is chosen from each group using random number tables.

Some of the trade payables of the company were outstanding since long. He has decided to merely verify arithmetical accuracy of ageing schedule and its reconciliation with books of accounts.

Therefore, nature of audit procedures, nature of financial reporting itself and need for audit to be

conducted within a reasonable period of time and at a reasonable period of cost all lead to inherent limitations of audit.

MCQ 2.1

The auditor has erroneously concluded that Standard operating procedures (SOP) for placing purchase order are not being followed strictly and controls are less effective than they actually are. Which of the following statements is likely to be true in this regard?

- **A** It is a sampling risk and might lead to auditor expressing inappropriate audit opinion.
- **B** It is a sampling risk and affects audit effectiveness.
- **C** It is a sampling risk and affects audit efficiency.
- **D** It is a control risk and affects audit effectiveness.

MCQ 2.2

The auditor has tested 20 sample wage sheets in different sections of the company and finds that one wage sheet has not been signed by authorized officer of the company. It represents_____?

- **A** Tolerable misstatement
- **B** Misstatement
- **C** Tolerable rate of deviation
- **D** Actual rate of deviation

MCQ 2.3

Which method of selecting samples for verification of trade receivables has been planned by auditor?

A Simple random sampling

B Systematic sampling

C Block sampling

D Stratified sampling

MCQ 2.4

The auditor has decided to merely verify arithmetical accuracy and reconciliation of ageing schedule relating to trade payables. The use of above audit procedure can lead to _____?

A Sampling risk

B Non-sampling risk

C Inherent risk

D Control risk

MCQ 2.5

Keeping in view inherent limitations of audit of financial statements, which of following statements is likely to be most appropriate?

A Due to inherent limitations of audit, auditor obtains conclusive audit evidence.

B Due to inherent limitations of audit, auditor can be satisfied with less than persuasive evidence.

C Due to inherent limitations of audit, subsequent discovery of material misstatement in financial statements after audit, which was conducted in accordance with SAs, does not indicate a failure of audit.

D Due to inherent limitations of audit, auditor can skip a difficult, time-consuming and costly procedure.

ICAI'S ANSWERS

MCQ 2.1

(C) It is a sampling risk and affects audit efficiency.

MCQ 2.2

(D) Actual rate of deviation

MCQ 2.3

(D) Stratified sampling

MCQ 2.4

(B) Non-sampling risk

MCQ 2.5

(C) Due to inherent limitations of audit, subsequent discovery of material misstatement in financial statements after audit which was conducted in accordance with SAs does not indicate a failure of audit.

ICAI · Old P6 · RTP Nov 2023 · question p. 7-8 · answer p. 14, 15

541 RTP **Old P6 Nov 2023** Q15 old scheme

Chintamani Ltd appoints Chintan & Mani as statutory auditors for the financial year 2022-2023. Chintan & Mani seem to have different opinion on audit approach to be adopted for audit of Chintamani Ltd. Mani is of the opinion that 100% checking is not required and they can rely on Audit Sampling techniques in order to provide them a reasonable basis on which they can draw conclusions about the entire population.

Chintan is concerned whether the use of audit sampling has provided a reasonable basis for conclusions about the population that has been tested.

You are required to guide Chintan about his role if audit sampling has not provided a reasonable basis for conclusions about the population that has been tested in accordance with SA 530.

ICAI'S ANSWER

As per SA 530, "Audit Sampling", the auditor shall evaluate:

(a) The results of the sample; and

(b) Whether the use of audit sampling has provided a reasonable basis for conclusions about the population that has been tested.

If the auditor concludes that audit sampling has not provided a reasonable basis for conclusions about the population that has been tested, the auditor may:

(I) Request management to investigate misstatements that have been identified and the potential for further misstatements and to make any necessary adjustments; or

(II) Tailor the nature, timing and extent of those further audit procedures to best achieve the required assurance. For example, in the case of tests of controls, the auditor might extend the sample size, test an alternative control or modify related substantive procedures.

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 25

542 RTP **Old P6 Nov 2023** Q16 old scheme

The auditor is required to project misstatements for the population to obtain a broad view of the scale of misstatement. Explain in detail.

ICAI'S ANSWER

The auditor is required to project misstatements for the population to obtain a broad view of the scale of misstatement but this projection may not be sufficient to determine an amount to be recorded.

- When a misstatement has been established as **an anomaly**, it may **be excluded** when projecting misstatements to the population. However, the effect of any such misstatement, if uncorrected, still needs to be considered in addition to the projection of the non-anomalous misstatements.
- For tests of details, the auditor shall project misstatements found in the sample to the population whereas for tests of controls, **no explicit projection of deviations** is necessary since the sample deviation rate is also the projected deviation rate for the population as a whole.

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 25

543 RTP **Old P6 May 2023** Q15 old scheme

Random selection ensures that all items in the population or within each stratum have a known chance of selection. Random sampling includes two very popular methods. Explain.

ICAI'S ANSWER

Random selection ensures that all items in the population or within each stratum have a known chance of selection. It may involve use of *random number tables.* Random sampling includes two very popular methods which are discussed below–

(i) Simple Random Sampling: Under this method each unit of the whole population *e.g.* purchase or sales invoice has an equal chance of being selected. It is considered that random number tables are simple and easy to use and also provide assurance that the auditors' bias does not affect the selection. ***Each item in a population is selected by use of random number table either with a help of computer or picking up a number in a random way (may be randomly from a drum)***. Today random numbers are also generated using various applications on the cell phones like the random number generator.

This method is considered appropriate provided the population to be sampled consists of reasonably similar units and fall within a reasonable range i.e it is suitable for a homogeneous population having a similar range.

(ii) Stratified Sampling: This method involves dividing the whole population to be tested in a few separate groups called strata and taking a sample from each of them. Each stratum is treated as if it was a separate population and if proportionate of items are selected from each of these stratums. The number of groups into which the whole population

has to be divided is determined on the basis of auditor judgment.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 22

544 RTP **Old P6 May 2023 Q16** old scheme

While planning the audit of S Ltd. you want to apply sampling techniques. What are the risk factors you should keep in mind?

ICAI'S ANSWER

Risk Factors while applying Sampling Techniques: As per SA 530 "Audit Sampling", sampling risk is the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions-

(i) In the case of a test of controls, that controls are more effective than they actually are, or in the case of tests of details, that a material misstatement does not exists when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.

(ii) In the case of test of controls, the controls are less effective than they actually are, or in the case of tests of details, that a material misstatements exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would

usually lead to additional work to establish that initial conclusions were incorrect.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 22

545 RTP **Old P6 Nov 2022** Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

The level of sampling risk that the auditor is willing to accept will not affect the sample size.

Q1(ii)

There is no difference between “audit” and “review.”

Q1(iii)

Negative assertions, encountered in the financial statements, may be expressed or implied.

Q1(iv)

Development of an audit plan is important before the establishment of the overall audit strategy to address the various matters.

Q1(v)

An unexplained decrease in GP Ratio may result due to fictitious sales.

Q1(vi)

An auditor has to report on the matters specified in section 143(1) of the Companies Act, 2013.

Q1(vii)

There is an inverse relationship between detection risks and the combined level of inherent and control risks.

Q1(viii)

For auditor's opinion, reasonable assurance is an absolute level of assurance.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per SA 530, "Audit Sampling" the level of sampling risk that the auditor is willing to accept affects the sample size required. The lower the risk the auditor is willing to accept, the greater the sample size will need to be.

Q1(ii)

Incorrect: "Audit" and "Review" are two different terms. Audit is a reasonable assurance engagement, and its objective is reduction in assurance engagement risk to an acceptably low level in the circumstances of the engagement. However, "review" is a limited assurance engagement, and its objective is a reduction in assurance engagement risk to a level that is acceptable in the circumstances of the engagement

Q1(iii)

Correct: Negative assertions are also encountered in the financial statements and the same may be expressed or implied. For example, if it is stated that there is no contingent liability it would be an expressed negative assertion; on the other hand, if in the balance sheet there is no item as "building", it

would be an implied negative assertion that the entity did not own any building on the balance sheet date.

Q1(iv)

Incorrect: As per SA-300, "Planning an Audit of Financial Statements", the auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit, and that guides the development of the audit plan. Once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy, taking into account the need to achieve the audit objectives through the efficient use of the auditor's resources.

Q1(v)

Incorrect: A fictitious sale will increase the GP Ratio, instead of decreasing it. GP ratio normally comes down if there are unrecorded sales or reversal of fictitious sale entries recorded in the previous year or fictitious purchase or decrease in closing stock.

Q1(vi)

Incorrect: The auditor is not required to report on the matters specified in section 143(1) of the Companies Act, 2013 unless he has any special comments to make on any of the items referred to therein. If he is satisfied as a result of the inquiries, he has no further duty to report that he is so satisfied. However, the auditor should make a report

to the members in case he finds answer to any of these matters in adverse.

Q1(vii)

Correct: There is an inverse relationship between detection risks and the combined level of inherent and control risks. For example, when inherent and control risks are high. acceptable detection risks need to be low to reduce audit risk to an acceptably low level. On the other hand, when inherent and control risks are low, an auditor can accept a higher detection risks and still reduce audit risks to an acceptably low level.

Q1(viii)

Incorrect: Reasonable assurance is a high level but not an absolute level of assurance, because there are inherent limitations of an audit which result in most of the audit evidence on which the auditor draws conclusions and bases the auditor's opinion being persuasive rather than conclusive.

ICAI · Old P6 · RTP Nov 2022 · question p. 9 · answer p. 15, 15-16, 16

546 RTP **Old P6 Nov 2022** Q15 old scheme

Explain the meaning of Audit Sampling as per the relevant standard on auditing. State the requirements relating to audit sampling, sample design, sample size and selection of items for testing.

ICAI'S ANSWER

Audit Sampling: As per SA 530 on "Audit Sampling", the meaning of the term Audit Sampling is – the

application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.

The requirements relating to sample design, sample size and selection of items for testing are explained below-

- **Sample design -** When designing an audit sample, the auditor shall consider the purpose of the audit procedure and the characteristics of the population from which the sample will be drawn.
- **Sample Size -** The auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level.
- **Selection of Items for Testing -** The auditor shall select items for the sample in such a way that each sampling unit in the population has a chance of selection.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 24

547 RTP **Old P6 Nov 2022** Q16 old scheme

This method is considered appropriate provided the population to be sampled consists of reasonably similar units and fall within a reasonable range i.e. it is suitable for a homogeneous population having a similar range. Explain about that method.

ICAI'S ANSWER

Simple Random Sampling: Under this method each unit of the whole population e.g. purchase or sales invoice has an equal chance of being selected. It is considered that random number tables are simple and easy to use and also provide assurance that the auditors' bias does not affect the selection. Each item in a population is selected by use of random number table either with a help of computer or picking up a number in a random way (may be randomly from a drum). Today random numbers are also generated using various applications on the cellphones like the random number generator.

This method is considered appropriate provided the population to be sampled consists of reasonably similar units and fall within a reasonable range i.e. it is suitable for a homogeneous population having a similar range.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 25

548 RTP Old P6 May 2022 Q15 old scheme

What are the advantages of Statistical sampling technique in auditing

ICAI'S ANSWER

Advantages of Statistical Sampling in Auditing: The advantages of statistical sampling may be summarized as follows -

(i) The amount of testing (sample size) does not increase in proportion to the increase in the size of

the area (universe) tested.

(ii) The sample selection is more objective and thereby more defensible.

(iii) The method provides a means of estimating the minimum sample size associated with a specified risk and precision.

(iv) It provides a means for deriving a "calculated risk" and corresponding precision (sampling error) *i.e.* the probable difference in result due to the use of a sample in lieu of examining all the records in the group (universe), using the same audit procedures.

(v) It may provide a better description of a large mass of data than a complete examination of all the data, since non-sampling errors such as processing and clerical mistakes are not as large.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 23-24

549 RTP **Old P6 May 2022** Q16 old scheme

Sampling risk can lead to two types of erroneous conclusions. Explain clearly stating the meaning of sampling risk

ICAI'S ANSWER

Sampling Risk. The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. This risk will always be in existence when auditor uses sampling technique in conducting his audit.

Sampling risk can lead to two types of erroneous conclusions:

(i) In the case of a **test of controls**, that controls are more effective than they actually are, or in the case of a **test of details**, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion. This is because of over reliance on the internal controls.

(ii) In the case of a **test of controls**, that controls are less effective than they actually are, or in the case of a **test of details**, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect. This is because of under reliance on the test of controls and detailed substantive procedures performed by the auditor. Here risk of giving wrong opinion is minimum but it will lead to more detailed checking which is time consuming.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 24

550 RTP **Old P6 Dec 2021** Q15 old scheme

When designing an audit sample, the auditor shall consider the purpose of the audit procedure and the characteristics of the population from which the sample will be drawn. Explain in detail.

ICAI'S ANSWER

Audit sampling enables the auditor to obtain and evaluate audit evidence about some characteristic of the items selected in order to form or assist in forming a conclusion concerning the population from which the sample is drawn. Audit sampling can be applied using either non-statistical or statistical sampling approaches.

When designing an audit sample, the auditor's consideration includes the specific purpose to be achieved and the combination of audit procedures that is likely to best achieve that purpose. Consideration of the nature of the audit evidence sought and possible deviation or misstatement conditions or other characteristics relating to that audit evidence will assist the auditor in defining what constitutes a deviation or misstatement and what population to use for sampling. In fulfilling the requirement of relevant portion (paragraph 8) of SA 500, when performing audit sampling, the auditor performs audit procedures to obtain evidence that the population from which the audit sample is drawn is complete.

The auditor's consideration of the purpose of the audit procedure includes a clear understanding of what constitutes a deviation or misstatement so that all, and only, those conditions that are relevant to the purpose of the audit procedure are included in the evaluation of deviations or projection of misstatements. For example, in a test of details

relating to the existence of accounts receivable, such as confirmation, payments made by the customer before the confirmation date but received shortly after that date by the client, are not considered a misstatement. Also, a misposting between customer accounts does not affect the total accounts receivable balance. Therefore, it may not be appropriate to consider this a misstatement in evaluating the sample results of this particular audit procedure, even though it may have an important effect on other areas of the audit, such as the assessment of the risk of fraud or the adequacy of the allowance for doubtful accounts.

In considering the characteristics of a population, for tests of controls, the auditor makes an assessment of the expected rate of deviation based on the auditor's understanding of the relevant controls or on the examination of a small number of items from the population. This assessment is made in order to design an audit sample and to determine sample size. For example, if the expected rate of deviation is unacceptably high, the auditor will normally decide not to perform tests of controls. Similarly, for tests of details, the auditor makes an assessment of the expected misstatement in the population. If the expected misstatement is high, 100% examination or use of a large sample size may be appropriate when performing tests of details.

In considering the characteristics of the population from which the sample will be drawn, the auditor

may determine that stratification or value-weighted selection is appropriate.

The decision whether to use a statistical or non-statistical sampling approach is a matter for the auditor's judgment; however, sample size is not a valid criterion to distinguish between statistical and non-statistical approaches.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 136-137

551 **RTP** **Old P6 Dec 2021** **Q16** old scheme

In considering the characteristics of the population from which the sample will be drawn, the auditor may determine that stratification or value-weighted selection technique is appropriate. Guide the auditor on the use of stratification and value-weighted sampling techniques.

ICAI'S ANSWER

In considering the characteristics of the population from which the sample will be drawn, the auditor may determine that stratification or value-weighted selection technique is appropriate. SA 530 provides guidance to the auditor on the use of stratification and value-weighted sampling techniques.

Stratification: Audit efficiency may be improved if the auditor stratifies a population by dividing it into discrete sub-populations which have an identifying characteristic.

The objective of stratification is to reduce the variability of items within each stratum and

therefore allow sample size to be reduced without increasing sampling risk.

When performing *tests of details*, the population is often stratified by monetary value. This allows greater audit effort to be directed to the larger value items, as these items may contain the greatest potential misstatement in terms of overstatement.

Similarly, a population may be stratified according to a particular characteristic that indicates a higher risk of misstatement, for example, when testing the *allowance for doubtful accounts* in the valuation of accounts receivable, balances may be stratified by age.

Dividing a population into discrete sub population which have identifying characteristics is called as Stratification. Each Sub population is called as Stratum and units under those sub population are referred to as Strata.

The results of audit procedures applied to a sample of items within a stratum can only be projected to the items that make up that stratum. To draw a conclusion on the entire population, the auditor will need to consider the risk of material misstatement in relation to whatever other strata make up the entire population.

The results of samples from the units drawn under each sub population are projected to that respective stratum. In order to draw an opinion on the overall population, the auditor needs to combine the results

of all the stratum to check for possible deviation or risk of material misstatement.

Projected misstatements of each stratum will be combined together to consider the possible effect of misstatement in the account balances and class of transactions.

Example

20% of the items in a population may make up 90% of the value of an account balance. The auditor may decide to examine a sample of these items. The auditor evaluates the results of this sample and reaches a conclusion on the 90% of value separately from the remaining 10% (on which a further sample or other means of gathering audit evidence will be used, or which may be considered immaterial).

Value-Weighted Selection: When performing tests of details it may be efficient to identify the sampling unit as the individual monetary units that make up the population. Having selected specific monetary units from within the population, for example, the accounts receivable balance, the auditor may then examine the particular items, for example, individual balances, that contain those monetary units.

One benefit of this approach to defining the sampling unit is that audit effort is directed to the larger value items because they have a greater chance of selection, and can result in smaller sample sizes.

This approach may be used in conjunction with the systematic method of sample selection and is most efficient when selecting items using random selection.

In value weighted selection, the sample size, its selection and evaluation will result in a conclusion in monetary amounts.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 137-138

552 RTP **Old P6 Jul 2021** General MCQ 4 MCQ old scheme

_____ in which the auditor selects the sample without following a structured technique.

- A Haphazard selection,
- B Monetary Unit Sampling
- C Block Sampling
- D Structured Sampling

ICAI'S ANSWER

(A)

ICAI · Old P6 · RTP Jul 2021 · question p. 119 · answer p. 125

553 RTP **Old P6 Jul 2021** Case scenario · Q15(i) to Q15(iii) old scheme

CASE SCENARIO

Explain the following terms with reference to Audit Sampling :

Q15(i)

Stratification

Q15(ii)

Tolerable misstatement

Q15(iii)

Tolerable rate of deviation

ICAI'S ANSWERS

Q15(i)

Stratification – The process of dividing a population into sub-populations, each of which is a group of sampling units which have similar characteristics (often monetary value).

Q15(ii)

Tolerable misstatement – A monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population.

Q15(iii)

Tolerable rate of deviation – A rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the rate of deviation set by the auditor is not exceeded by the actual rate of deviation in the population.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 136, 136-137

554 RTP Old P6 Jul 2021 Q16 old scheme

In most of the circumstances, the evidence available is not conclusive and the auditor always takes a calculated risk in giving his opinion. Even by undertaking hundred percent checking of the transactions, the auditor does not derive absolute satisfaction. This state of uneasiness led pragmatic auditors to adopt the statistical theory of sampling to derive the necessary satisfaction about the state of affairs by checking only a part of the total population of entries. Explain in detail.

ICAI'S ANSWER

In most of the circumstances, the evidence available is not conclusive and the auditor always takes a calculated risk in giving his opinion. Even by undertaking hundred percent checking of the transactions, the auditor does not derive absolute satisfaction. This state of uneasiness led pragmatic auditors to adopt the statistical theory of sampling to derive the necessary satisfaction about the state of affairs by checking only a part of the total population of entries.

Auditors realised that they can derive good satisfaction by undertaking a much lesser checking by adoption of this technique in the auditing process. It is a mathematical truth that the sample, if picked purely on a random basis would reveal the features and characteristics of the population.

By adopting the sampling technique, the auditor only checks a part of the whole mass of transactions. The satisfaction he used to derive

earlier, by checking all the transactions, can be derived by a sample checking provided he can put reliance on the internal controls and checks within the client's organisation because they provide the reliability of the records. Sampling is used as a part of Test of controls. Auditor will check few internal controls and their operating effectiveness. Based on the conclusion derived, he can then design the sample size for test of details (i.e checking of transactions and balances)

If the internal control is satisfactory in its design and implementation, a much smaller sample can give the auditor the necessary reliability of the result he obtains.

On the other hand, if in certain areas controls are slack or not properly implemented, the auditor may have to take a much larger sample for getting satisfactory result.

Another truth about the sampling technique should be noted. It can never bring complete reliability; it cannot give precisely accurate results. It is a process of estimation. It may have some error. What error is tolerable for a particular matter under examination is a matter of the individual's judgment in that particular case.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 137

555 RTP Old P6 Nov 2020 Q15 old scheme

Sampling risk is the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk leads to erroneous conclusions. Explain in detail distinguishing it from non-sampling risk with examples.

ICAI'S ANSWER

Sampling Risk. The risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions:

(i) In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.

(ii) In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

Non-Sampling Risk. The risk that the auditor reaches an erroneous conclusion for any reason not

related to sampling risk.

Example

Examples of non-sampling risk include use of inappropriate audit procedures, or misinterpretation of audit evidence and failure to recognize a misstatement or deviation.

Sources of Non Sampling risk are :

Human Mistakes	Misinterpreting the sample results
Applying audit procedures not appropriate to the objectives of audit	
Relying on erroneous information e.g. erroneous confirmation	

Non sampling risk can never be mathematically measured.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 25

556 RTP **Old P6 Nov 2020** Q16 old scheme

Explain the factors that should be considered for deciding upon the extent of checking on a sampling plan.

ICAI'S ANSWER

The factors that should be considered for deciding upon the extent of checking on a sampling plan are

following:

(i) Size of the organisation under audit.

(ii) State of the internal control.

(iii) Adequacy and reliability of books and records.

(iv) Tolerable error range.

(v) Degree of the desired confidence.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 25

557 RTP **Old P6 May 2020** Q15 old scheme

The auditor is required to project misstatements for the population to obtain a broad view of the scale of misstatement but this projection may not be sufficient to determine an amount to be recorded. Explain

ICAI'S ANSWER

The auditor is required to project misstatements for the population to obtain a broad view of the scale of misstatement but this projection may not be sufficient to determine an amount to be recorded. When a misstatement has been established as an anomaly, it may be excluded when projecting misstatements to the population. However, the effect of any such misstatement, if uncorrected, still needs to be considered in addition to the projection of the non-anomalous misstatements.

For tests of details, the auditor shall project misstatements found in the sample to the population whereas for tests of controls, no explicit projection of deviations is necessary since the

sample deviation rate is also the projected deviation rate for the population as a whole.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 21-22

558 RTP **Old P6 May 2020** Q16 old scheme

Explain the sampling method which involves selection of a block(s) of contiguous items from within the population. Also give example.

ICAI'S ANSWER

Block Sampling: This method involves selection of a block(s) of contiguous items from within the population. Block selection cannot ordinarily be used in audit sampling because most populations are structured such that items in a sequence can be expected to have similar characteristics to each other, but different characteristics from items elsewhere in the population. Although in some circumstances it may be an appropriate audit procedure to examine a block of items, it would rarely be an appropriate sample selection technique when the auditor intends to draw valid inferences about the entire population based on the sample.

Example

Take the first 200 sales invoices from the sales day book in the month of September; alternatively take any four blocks of 50 sales invoices. Therefore, once the first item in the block is selected, the rest of the block follows items to the completion.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 22

559 RTP Old P6 Nov 2019 Q15 old scheme

Also asked in Old P6 MTP May 2022 S-II Q3(d)

There is a growing realisation that the traditional approach to audit is economically wasteful because all efforts are directed to check all transactions without exception. Explain

ICAI'S ANSWER

No conscious effort in human society is divested of economic considerations and auditing is no exception. There is a growing realisation that the traditional approach to audit is economically wasteful because all efforts are directed to check all transactions without exception. This invariably leads to more emphasis on routine checking, which often is not necessary in view of the time and the cost involved. With the shift in favour of formal internal controls in the management of affairs of organisations, the possibilities of routine errors and frauds have greatly diminished and auditors often find extensive routine checking as nothing more than a ritual because it seldom reveals anything material. Now the approach to audit and the extent of checking are undergoing a progressive change in favour of more attention towards the questions of principles and controls with a curtailment of non-consequential routine checking. By routine checking we traditionally think of extensive checking and vouching of all entries.

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 22-23

560 RTP Old P6 Nov 2019 Q16 old scheme

The extent of the checking to be undertaken is primarily a matter of judgment of the auditor. It is in the interest of the auditor that if he decides to form his opinion on the basis of a part checking, he should adopt standards and techniques which are widely followed Explain

ICAI'S ANSWER

The extent of the checking to be undertaken is primarily a matter of judgment of the auditor, there is nothing statutorily stated anywhere which specifies what work is to be done, how it is to be done and to what extent. It is also not obligatory that the auditor must adopt the sampling technique. What he is to do is to express his opinion and become bound by that.

To ensure good and reasonable standard of work, he should adopt standards and techniques that can lead him to an informed professional opinion. On a consideration of this fact, it can be said that it is in the interest of the auditor that if he decides to form his opinion on the basis of a part checking, he should adopt standards and techniques which are widely followed and which have a recognised basis. Since statistical theory of sampling is based on a scientific law, it can be relied upon to a greater extent than any arbitrary technique which lacks in basis and acceptability.

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 23

561 MTP **May 2026 S-I** Q3(a) 5 marks

Verma & Kapoor, Chartered Accountants, were appointed as the statutory auditors of Mor Components Ltd. for the financial year 2024–25. The company is engaged in manufacturing automobile spare parts and has a large number of sales transactions during the year.

While planning the audit of trade receivables amounting to ₹ 48 crore, the engagement partner decided to perform Test of Details using audit sampling in accordance with SA 530 “Audit Sampling”. The audit team observed that the population of receivables consisted of a few large balances and a large number of small balances. Further, the engagement partner emphasised that sufficient assurance must be obtained that material misstatement in receivables is not overlooked.

Accordingly, the audit team discussed certain factors that would influence the sample size to be selected for the test of details.

With reference to SA 530 “Audit Sampling”, explain briefly the following factors that the auditor may consider while determining the sample size for the Test of Details:

(i) The desired level of assurance

(ii) Stratification of the population

ICAI’S ANSWER

Examples of factors influencing Sample Size for Test

of Details:

(i) **Desired Level of Assurance:** An increase in the auditor's desired level of assurance that tolerable misstatement is not exceeded by actual misstatement in the population will increase the sample size. Hence, greater the level of assurance that the auditor requires that the results of the sample are in fact indicative of the actual amount of misstatement in the population, the larger the sample size needs to be.

(ii) **Stratification of Population:** When stratification of the population is appropriate, then sample size will decrease as when there is a wide range (variability) in the monetary size of items in the population, it may be useful to stratify the population. When a population can be appropriately stratified, the aggregate of the sample sizes from the strata generally will be less than the sample size that would have been required to attain a given level of sampling risk, had one sample been drawn from the whole population.

Thus, while determining the sample size for test of details, the auditor considers factors such as the desired level of assurance and the possibility of stratifying the population, as these directly influence the extent of sampling required.

ICAI · P5 · MTP May 2026 · Series I · question p. 12 · answer p. 7-8

562 MTP Sep 2025 S-I

Case Scenario 1 [MCQ 1-5] · MCQ 1 to MCQ 5 10 marks

CASE SCENARIO 1 [MCQ 1-5]

CA Trustworthy has accepted audit of financial statements of a company viz. Precision Industries Private Limited for year 2024-25. The company's annual turnover for year 2024-25 is approximately ₹ 250 crores. As he is conducting the audit of the company for the first time, he started gaining knowledge of the business and its internal controls to identify and assess the risk of material misstatement. In this regard, he has made inquiries from certain personnel including company's in house legal counsel and various departmental heads as such inquiries can divulge information that is likely to identify and assess risks of material misstatement due to fraud or error. The company is also having internal audit department headed by Mr. A. Precisely, he has inquired from following persons to identify and assess risks of material misstatement due to fraud or error.: -

(i) Mr. A, Head of Internal Audit Department.

(ii) Mr. John, in-house legal counsel.

(iii) Mr. I, IT Systems Head.

Later, while conducting audit, he observed application of few controls in IT systems. He also made extensive inquiries from middle level IT personnel about application of various controls.

Based on information received from inquiry of Mr. John, risk of material misstatement in litigation or claims involving the company was assessed by him. It was also decided later to issue letter of inquiry to Mr. F who is external legal counsel of company.

He has also gone through internal audit reports submitted to the management and decided to use internal auditor to provide direct assistance to perform following procedures labelled as P, Q, R and S.

(P) To vouch few expenses bills.

(Q) To trace transactions through information system.

(R) To verify accuracy of ageing of trade receivables.

(S) To evaluate appropriateness of management's use of going concern assumption.

During the course of audit, he has verified samples of sales invoices with entries recorded in books of accounts and sent external confirmation requests to selected trade receivables. There were 100 trade receivables outstanding as at 31st March, 2025 and it was decided to send external confirmation requests to 20 trade receivables. He had chosen one trade receivable balance randomly and thereafter every 5th balance was chosen. The responses to external confirmation requests were duly received.

Based on the above facts, answer the following:

MCQ 1 2 marks

In context of inquiries made by CA Trustworthy, which of following statements is true?

A Inquires from John and F are in nature of risk assessment procedures.

B Inquiries from A, John and I are in nature of substantive procedures.

C Inquiries from A, John and I are in nature of risk assessment procedures.

D Inquiries from John and F are in nature of substantive procedures.

MCQ 2 2 marks

In which of following areas, CA Trustworthy is unlikely to use internal auditor to provide direct assistance to him?

A Work as stated at P.

B Work as stated at S.

C Work as stated at Q.

D Work as stated at R.

MCQ 3 2 marks

With regards to audit evidence obtained during the audit which of following statements is incorrect as discussed in case scenario?

A Sales invoice and responses to inquiries from middle level IT systems personnel are examples of internal evidence.

B Audit evidence obtained from inquiry of middle level IT systems personnel is more reliable than observation of application of few controls by CA Trustworthy.

C Responses to external confirmation requests are examples of external evidence.

D Internal audit reports are an example of documentary evidence.

MCQ 4 2 marks

While selecting samples of trade receivables described in case scenario, which method is being used?

A Block sampling.

B Systematic sampling.

C Monetary unit sampling.

D Stratified sampling.

MCQ 5 2 marks

Choose option showing correct values of population, sampling interval and sample size respectively from description given in case scenario: -

A 100, 5, 20.

B 100, 20, 5.

C 20, 5, 20.

D 20, 5, 5.

ICAI'S ANSWERS

MCQ 1

(C)

MCQ 2

(B)

MCQ 3

(B)

MCQ 4

(B)

MCQ 5

(A)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 1-2 · answer p. 1

563 MTP **Jan 2025 S-I** Q1(b) 5 marks

CA Shubham, the auditor of Sigma Limited, is performing tests of controls and tests of details using audit sampling. During these procedures, he observed deviations in compliance with management's prescribed procedures for sales transactions of small values of a product at one location during tests of controls. Additionally, misstatements were identified in the sample related to these small-value sales transactions during tests of details. How should he proceed to analyse the nature and cause of the deviations and misstatements observed in the sample results?

ICAI'S ANSWER

In the given case, while performing tests of details on a sample in respect of sales, misstatements have been found by CA Shubham in selected sample pertaining to the sales transactions of small values.

This indicates observance of deviations and misstatements while performing tests of controls and tests of details respectively in selected samples.

As per SA 530, “Audit Sampling”, in analysing the deviations and misstatements identified, the auditor may observe that many have a common feature, for example, type of transaction, location, product line or period of time.

In such circumstances, the auditor may decide to identify all items in the population that possess the common feature, and extend audit procedures to those items. In addition, such deviations or misstatements may be intentional, and may indicate the possibility of fraud.

Therefore, the auditor shall investigate the nature and causes of any deviations or misstatements identified, and evaluate their possible effect on the purpose of the audit procedure and on other areas of the audit.

In the extremely rare circumstances when the auditor considers a misstatement or deviation discovered in a sample to be an anomaly, the auditor shall obtain a high degree of certainty that such misstatement or deviation is not representative of the population. The auditor shall obtain this degree of certainty by performing additional audit procedures to obtain sufficient appropriate audit evidence that the misstatement or deviation does not affect the remainder of the population.

564 MTP **Sep 2024 S-I** Case Scenario 2 · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO 2

Priority Limited is a large company engaged in manufacturing of terry towels making steady profits on a year-to-year basis. PMR & Associates, statutory auditors of the company since last two years, are in process of establishing audit strategy for conducting statutory audit under Companies Act, 2013 for year 2023-24.

The company has 5 branches which are audited by independent auditors appointed under Companies Act, 2013. It also has a wholly owned subsidiary company which is audited by another audit firm under name of JKL & Associates. The engagement team has noticed that company has maintained several bank accounts and there is substantial movement in fixed deposits during the year leading to risk of misstatement in cash and cash equivalents. The engagement team has planned procedures regarding the same.

(i) At planning stage, engagement partner is also trying to set materiality for financial statements as a whole. The following information extracted from financial statements is given as under: -

Particulars	(Amount in ₹ crores)
Revenue	100
Total Assets	40
Profit before Tax	8
Total Liabilities (excluding Equity)	30

(ii) While designing a sample for verifying revenues of company as part of tests of details, engagement partner has determined "tolerable misstatement" for ₹ 5.00 Lakh in order to address the risk that aggregate of individual immaterial misstatements may cause the financial statements to be materially misstated and provide a margin for possible undetected misstatements. One of the newly joined engagement team members has little conceptual understanding of "tolerable misstatement" determined by engagement partner. He also has no idea of the effect of change in tolerable misstatement on sample size.

(iii) During course of audit, while performing tests of details, engagement team has come across certain misstatements in selected sample pertaining to verification of revenues. The team has projected misstatements to population of revenues. The team wants to comply with the Standards on Auditing strictly.

Based on the above facts, answer the following: -

MCQ 6 2 marks

The auditors of company are in process of establishing audit strategy. Which of the following is not a relevant factor in establishing overall audit strategy in the given case scenario?

A Consideration of 5 branches which are audited by independent auditors

B Consideration of wholly owned subsidiary company audited by another audit firm

C Expected time of holding AGM in accordance with provisions of Companies Act, 2013

D Nature, timing and extent of planned procedures for cash and cash equivalents

MCQ 7 2 marks

For Priority limited, which benchmark would the engagement partner most likely to use for setting materiality for the financial statements as a whole?

A A percentage of Revenue

B A percentage of Total assets

C A percentage of Profit before tax

D A percentage of Total liabilities (excluding equity)

MCQ 8 2 marks

In the given case scenario, assume that the engagement partner has decided to increase tolerable misstatement

to ₹ 10.00 Lakh while designing sample described. Select the correct statement.

A. It would lead to decrease in sample size.

B. It would lead to an increase in sample size.

C. It would have no effect on sample size.

D. It is not possible to draw inference on sample size due to increase in tolerable misstatement.

MCQ 9 2 marks

While performing procedures on designed sample, the engagement team identified certain misstatements in selected sample and projected these to the entire population of revenues. According to the requirements of the Standards on Auditing, which statement is correct in this regard?

A. Anomalous misstatement is auditor's best estimate of misstatement in population.

B. The projected misstatement plus anomalous misstatement, if any, is best estimate of misstatement in population.

C. When projected misstatement exceeds tolerable misstatement, sample provides a reasonable basis for conclusion about tested population.

D. When projected misstatement plus anomalous statement, if any, exceeds tolerable misstatement, sample provides a reasonable basis for conclusion about tested population.

ICAI'S ANSWERS

MCQ 6

(D)

MCQ 7

(C)

MCQ 8

(A)

MCQ 9

(B)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 3-4 · answer p. 1

565 **MTP** **Sep 2024 S-II** **Q1(b)** **5 marks**

During the audit of a company, CA Z is using a software to select samples pertaining to sales records of the company. While performing this process, a window opens in software prompting the user to enter certain information. CA Z is in the process of entering information in this regard as given under: -

Selection Interval	?
Number of records to select	100
Starting record number to select	1
Ending record number to select	1000
File name	Sales

Going through the above fields, which method of sampling is likely being used in the software? Discuss.

Which foremost consideration should be kept in mind by auditor for selecting samples in such a manner?

Additionally, partner of CA Z suggested him to select the first 200 sales invoices from the sales book of the last month. Which method of sampling is being suggested by partner of CA Z?

ICAI'S ANSWER

In the given case, method of sampling being used in software is known as interval sampling or systematic sampling. It is a selection method in which the number of sampling units in the population is divided by the sample size to give a sampling interval.

Sampling interval = Sampling units in population/Sample size i.e 1000/100

Sampling interval = 10

Records selected = 100

Software would pick every 10th record from 1 to 1000 records.

When using this method, the auditor would need to determine that sampling units within the population are not structured in such a way that the sampling interval corresponds with a particular pattern in the population.

Further, partner of CA Z suggested him to select the first 200 sales invoices from the sales book for the last month. He is suggesting him block sampling for

sales, this method involves selection of a block(s) of contiguous items from within the population.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 8 · answer p. 2

566 MTP **May 2024 S-II** Q1(a) 4 marks

Sanjeev, an articled clerk in an audit firm, is part of an engagement team conducting audit of a company for year 2023-24. It is a small company having a turnover of about ₹25 crores. During the course of audit, he notices that senior team member has taken following approach for selecting items for testing reflected in financial statements to obtain audit evidence: -

- He has selected to test items debited under the head "Machinery repair & maintenance" as expenditure relating to it during year 23-24 has increased considerably as compared to last year.
- Out of purchases, he has selected to test purchases from related parties amounting to ₹ 5 crores.
- He has also selected to test all individual items of expenditure exceeding ₹5 lakhs.
- Besides, he has also selected amount of ₹0.50 lakhs debited under head "legal expenses" to know purpose of payment made to external legal counsel.

Sanjeev understands that senior team member is using "audit sampling" for selecting items for testing. Do you agree with him? Which risk is involved in above approach? Discuss with reasons.

ICAI'S ANSWER

Audit Sampling refers to the application of audit procedures to less than 100% of items within a population relevant under the audit such that all sampling units (i.e. all the items in the population) have an equal chance of selection.

In the given situation, senior team member is not selecting items for testing by means of audit sampling. He is only selecting **specific items from a population.** In accordance with SA 500, one of the means available to auditor for selecting items for testing is "by selecting specific items."

Specific items selected may include: -

- **High value or key items:** The auditor may decide to select specific items within a population because they are of high value, or exhibit some other characteristic, for example, items that are suspicious, unusual, particularly risk-prone or that have a history of error.
- **All items over a certain amount:** The auditor may decide to examine items whose recorded values exceed a certain amount so as to verify a large proportion of the total amount of a class of transactions or account balance.
- **Items to obtain information:** The auditor may examine items to obtain information about matters such as the nature of the entity or the nature of transactions.

Therefore, Sanjeev's understanding is not proper.

The above approach for selecting items for testing is subject to non-sampling risk. Non-sampling risk is the risk that auditor may reach an erroneous conclusion for any reason not related to sampling risk. Like, erroneous conclusion may be reached due to some inappropriate audit procedure.

ICAI · P5 · MTP May 2024 · Series II · question p. 8 · answer p. 2

567 MTP **Old P6 Nov 2023 S-I** Q5(a) 3 marks old scheme

What is tolerable misstatement and total rate of deviation?

ICAI'S ANSWER

Tolerable misstatement is a monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population.

When designing a sample, the auditor determines tolerable misstatement in order to address the risk that the aggregate of individually immaterial misstatements may cause the financial statements to be materially misstated and provide a margin for possible undetected misstatements.

Total rate of deviation / Tolerable rate of deviation - A rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the rate of deviation set by

the auditor is not exceeded by the actual rate of deviation in the population.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 7

568 MTP **Old P6 May 2023 S-II** General MCQ 3 1 mark

MCQ old scheme

The relationship between tolerable error and sample size is

A Inverse

B Direct

C Close

D There is no relationship.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 4 · answer p. 1

569 MTP **Old P6 Nov 2022 S-II** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

Confidentiality requires an auditor to be straight forward and honest in all professional and business relationships.

Q1(ii) 2 marks

If during the audit it appears as though actual financial results are likely to be substantially different from the anticipated period end financial results that were used initially to determine materiality for the financial statements as a whole, the auditor revises that materiality.

Q1(iii) 2 marks

The internal control questionnaire is a series of instructions/ questions which a member of the auditing staff must follow and/or answer.

Q1(iv) 2 marks

The higher the auditor's assessment of the risk of material misstatement, the smaller the sample size needs to be.

Q1(v) 2 marks

Systematic sampling means dividing heterogeneous population into homogeneous sub population, where samples are drawn from each sub population.

Q1(vi) 2 marks

The Auditor is expected to reduce audit risk to zero and can therefore obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error.

Q1(vii) 2 marks

Audit evidence obtained through observation of the application of a control is less reliable than audit evidence obtained by inquiry about the application of a control.

Q1(viii) 2 marks

A detailed Audit Programme once prepared for a business can be used for all business under all circumstances.

ICAI'S ANSWERS

Q1(i)

Incorrect: Integrity requires an auditor to be straight forward and honest in all professional and business relationships. It implies fair dealing and truthfulness. Confidentiality principle requires an auditor to respect the confidentiality of information acquired as a result of professional or business relationships.

Q1(ii)

Correct: Materiality for the financial statements as a whole (and, if applicable, the materiality level or levels for particular classes of transactions, account balances or disclosures) may need to be revised as a result of a change in circumstances that occurred during the audit, new information, or a change in the auditor's understanding of the entity and its operations as a result of performing further audit procedures.

Q1(iii)

Incorrect: Checklist is a series of instructions and/or questions which a member of the auditing staff must follow and/or answer. Internal control questionnaire is a comprehensive series of questions concerning internal control. The questionnaire is usually issued to the client and the

client is requested to get it filled by the concerned executives and employees.

Q1(iv)

Incorrect: The higher the auditor's assessment of the risk of material misstatement, the larger the sample size needs to be. The auditor's assessment of the risk of material misstatement is affected by inherent risk and control risk. Therefore, in order to reduce audit risk to an acceptably low level, the auditor needs a low detection risk and will rely more on substantive procedures. The more audit evidence that is obtained from tests of details (that is, the lower the detection risk), the larger the sample size will need to be.

Q1(v)

Incorrect: Stratification means dividing heterogeneous population into homogeneous sub population, where samples are drawn from each sub population. Systematic sampling is a selection method in which the number of sampling units in the population is divided by the sample size to give a sampling interval, for example 50, and having determined a starting point within the first 50, each 50th sampling unit thereafter is selected.

Q1(vi)

Incorrect: As per SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", The auditor is not expected to, and cannot, reduce audit risk to zero and cannot therefore obtain absolute

assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit.

Q1(vii)

Incorrect: Audit evidence obtained directly by the auditor (for **example**, observation of the application of a control) is more reliable than audit evidence obtained indirectly or by inference (for example, inquiry about the application of a control).

Q1(viii)

Incorrect: Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 8 · answer p. 2

570 MTP **Old P6 May 2022 S-I** Q3(c) 3 marks old scheme

ABC Ltd is a Large Company with huge purchase and sales transactions. Which sampling approach is recommended in such a company? Explain giving features of such sampling approach along with example

ICAI'S ANSWER

In larger organisations, with huge transactions, statistical sampling is always recommended as it is unbiased, and the samples selected are not prejudged.

Features/Characteristics of Statistical Sampling:

(1) Audit testing done through this approach is more scientific than testing based entirely on the auditor's own judgment because it involves use of ***mathematical laws of probability*** in determining the appropriate sample size in varying circumstances.

(2) Statistical sampling has reasonably wide application where a population to be tested consists of a large number of similar items and more in the case of transactions involving compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers.

(3) There Is no personal bias of the auditor in case of statistical sampling. Since it is scientific, the results of sample can be evaluated and projected on the whole population in a more reliable manner.

For Example: An auditor while verifying the Purchases during the year realised that the purchase transactions in that year are more than 45000 in number, then in such case, statistical sampling will be highly recommended in the audit program. Random Sampling (discussed ahead in

this topic) is the method you decide to choose sample in such a situation.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 5

571 MTP **Old P6 May 2022 S-II** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

The level of sampling risk that the auditor is willing to accept will not affect the sample size.

Q1(ii) 2 marks out of syllabus

If auditor purchased goods on credit from the company and company allowed auditor a period of credit, this does not disqualify him to be an auditor.

Q1(iii) 2 marks

Control environment can prevent, detect and correct a material misstatement.

Q1(iv) 2 marks

There is an inverse relationship between detection risks and the combined level of inherent and control risks.

Q1(v) 2 marks

R Ltd. has asked for email responses for the purpose of external confirmation. The auditor, however, feels that external confirmation received electronically involves the risk of its reliability.

Q1(vi) 2 marks

Electronic payment of Income Tax cannot be made by an assessee from the account of any other person.

Q1(vii) 2 marks

The Constitution of India contains no specific provisions regarding the appointment, salary and duties and powers of the C&AG. Moreover, the constitution does not guarantee the independence of the C&AG of India.

Q1(viii) 2 marks out of syllabus

The term "**relative**", as defined under the Companies Act, 2013, means anyone who is closely related to another.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per SA 530, "Audit Sampling" the level of sampling risk that the auditor is willing to accept affects the sample size required. The lower the risk the auditor is willing to accept, the greater the sample size will need to be.

Q1(ii)

Incorrect: Where an auditor purchases goods or services from a company audited by him on credit he is definitely indebted to the company and if at any point of time, the amount outstanding exceeds rupees five lakh he is disqualified for appointment as an auditor of the company and has to vacate his office. It will not make any difference if the company allows him the period of credit as it allows to other customers in the normal business. He, in

fact, in such a case also has become indebted to the company and consequently has to vacate his office.

PassBook's note: Out of syllabus (old scheme): the disqualification of a company auditor who is indebted to the company beyond rupees five lakh (section 141(3)(d)(ii) of the Companies Act, 2013) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

Q1(iii)

Incorrect: The control environment in itself does not prevent, or detect and correct, a material misstatement. It may, however, influence the auditor's evaluation of the effectiveness of other controls (for example, the monitoring of controls and the operation of specific control activities) and thereby, the auditor's assessment of the risks of material misstatement.

Q1(iv)

Correct: There is an inverse relationship between detection risks and the combined level of inherent and control risks. For example, when inherent and control risks are high. acceptable detection risks need to be low to reduce audit risk to an acceptably low level. On the other hand, when inherent and control risks are low, an auditor can accept a higher detection risks and still reduce audit risks to an acceptably low level.

Q1(v)

Correct: SA 505, "External Confirmations", responses received electronically, for example by facsimile or electronic mail, involve risks as to reliability because proof of origin and authority of

the respondent may be difficult to establish, and alterations may be difficult to detect. Hence R Ltd. Should avoid using email responses as evidence for external confirmation.

Q1(vi)

Incorrect: Electronic payment of taxes means payment of taxes by way of internet banking facility or credit or debit cards. The assessee can make electronic payment of taxes also from the account of any other person. However, the challan for making such payment must clearly indicate the Permanent Account Number (PAN) of the assessee on whose behalf the payment is made. It is not necessary for the assessee to make payment of taxes from his own account in an authorized bank.

Q1(vii)

Incorrect: The Constitution of India contains specific provisions regarding the appointment, salary and duties and powers of the C&AG. The constitution guarantees the independence of the C&AG of India by prescribing that he shall be appointed by the President of India and shall not be removed from office except on the ground of proven mis-behaviour or incapacity.

Q1(viii)

Incorrect: The term "**relative**", as defined under the Companies Act, 2013, means anyone who is related to another as members of a Hindu Undivided Family; husband and wife; Father (including step-father), Mother (including step-mother), Son

(including step- son), Son's wife, Daughter, Daughter's husband, Brother (including step-brother), Sister (including step-sister).

PassBook's note: Out of syllabus (old scheme): the definition of "relative" under the Companies Act, 2013 (section 2(77)) was taught in old Paper 6's company audit chapter for the disqualifications of a company auditor (a relative holding securities or being indebted).

ICAI · Old P6 · MTP May 2022 · Series II · question p. 6 · answer p. 1, 2

572 MTP **Old P6 Dec 2021 S-I** Q4(b) 4 marks old scheme

State the requirements relating to audit sampling, sample design, sample size and selection of items for testing.

ICAI'S ANSWER

Audit Sampling: As per SA 530 on "Audit Sampling", the meaning of the term Audit Sampling is – the application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population.

The requirements relating to sample design, sample size and selection of items for testing are explained below-

Sample design - When designing an audit sample, the auditor shall consider the purpose of the audit procedure and the characteristics of the population from which the sample will be drawn.

Sample Size- The auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level.

Selection of Items for Testing- The auditor shall select items for the sample in such a way that each sampling unit in the population has a chance of selection.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 6

573 MTP **Old P6 Jul 2021 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

RRM & Associates have been appointed as the statutory auditors of UVW Ltd. for the FY 2019-2020. The engagement partner is CA Raj and his engagement team consists of 2 article assistants. CA Raj briefed his audit team regarding the factors affecting the sample selection and the sample size. The team was also told that the tolerable error should be zero and sample size should be selected accordingly. CA Raj gave a detailed audit programme to his team. The audit programme with respect to the checking of accounts receivable and accounts payable consists of checking the accounts on sample basis. CA Raj asked the engagement team to divide the accounts receivables and account payable balances into separate groups and to take sample from each of them.

During the course of audit, the audit team noticed that certain internal control system with respect to the accounts receivable were not in place at few instances during the FY 2019-20.

Also while checking the payment transactions on sample basis, the engagement team noticed that on 9th and 10th of every month, the miscellaneous expense vouchers were not signed by the authorised personnel. The engagement team discussed the implications of the same on their audit procedures to be performed in this regard.

Based on the above facts, answer the following:-

MCQ 2.1 2 marks

Which of the following factors should not be considered by CA Raj in deciding the extent of checking while making the sample plan in case of UVW Ltd.?

A The size of UVW Ltd.

B The state of the internal control system of UVW Ltd.

C The tolerable error range decided in case of UVW Ltd.

D The competence of the engagement team.

MCQ 2.2 2 marks

With respect to the weakness in internal control system of accounts receivable during the FY 2019-20, the audit team:-

A Should consider a larger sample size or 100% examination of accounts receivables.

B Should consider a smaller sample size of accounts receivables.

C Should not consider applying sampling techniques.

D Should give a disclaimer of opinion.

MCQ 2.3 2 marks

Statement 1: While conducting an audit, it is obligatory for the auditor to apply sampling.

Statement 2: There may be sometimes where test checking or sampling may not be suitable.

A Only statement 1 is true

B Only statement 2 is true

C Both the statements are true

D None of the statements is true

MCQ 2.4 2 marks

With respect to selecting sample for accounts receivable and accounts payable which method of selecting of sample is advised by CA Raj to the engagement team?

A Stratified Sampling method

B Monetary Unit Sampling method

C Haphazard Sampling method

D Interval Sampling

MCQ 2.5 2 marks

With respect to the deviation identified by the auditor occurring on 9th and 10th of every month, what course of action should the audit firm adopt?

A RRM & Associates should ignore such deviation as it exists only on a very few instances during the entire year under audit.

B RRM & Associates should extend its audit procedures to such deviated transactions.

C RRM & Associates shall investigate the nature and causes of such deviations as such deviations may be intentional and may indicate the possibility of fraud.

D Both b & c

ICAI'S ANSWERS

MCQ 2.1

(D)

MCQ 2.2

(A)

MCQ 2.3

(B)

MCQ 2.4

(A)

MCQ 2.5

(D)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 3 · answer p. 1

574 MTP **Old P6 Jul 2021 S-II** Q3(b) 3 marks old scheme

"Sampling risk can lead to erroneous conclusions". Justify.

ICAI'S ANSWER

Sampling Risk is the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure. Sampling risk can lead to two types of erroneous conclusions:

i. In the case of a test of controls, that controls are more effective than they actually are, or in the case of a test of details, that a material misstatement does not exist when in fact it does. The auditor is primarily concerned with this type of erroneous conclusion because it affects audit effectiveness and is more likely to lead to an inappropriate audit opinion.

ii. In the case of a test of controls, that controls are less effective than they actually are, or in the case of a test of details, that a material misstatement exists when in fact it does not. This type of erroneous conclusion affects audit efficiency as it would usually lead to additional work to establish that initial conclusions were incorrect.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 3

575 MTP **Old P6 Nov 2020 S-I** Q6(b) 4 marks old scheme

Audit testing done through Statistical sampling is more scientific than testing based entirely on the auditor's

own judgment because it involves use of mathematical laws of probability in determining the appropriate sample size in varying circumstances. Explain and also state advantages of Statistical sampling.

ICAI'S ANSWER

Audit testing done through this approach is more scientific than testing based entirely on the auditor's own judgment because it involves use of mathematical laws of probability in determining the appropriate sample size in varying circumstances. Statistical sampling has reasonably wide application where a population to be tested consists of a large number of similar items and more in the case of transactions involving compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers.

The advantages of statistical sampling may be summarized as follows -

(1) The amount of testing (sample size) does not increase in proportion to the increase in the size of the area (universe) tested.

(2) The sample selection is more objective and thereby more defensible.

(3) The method provides a means of estimating the minimum sample size associated with a specified risk and precision.

(4) It provides a means for deriving a "calculated risk" and corresponding precision (sampling error) *i.e.* the probable difference in result due to the use of

a sample in lieu of examining all the records in the group (universe), using the same audit procedures.

(5) It may provide a better description of a large mass of data than a complete examination of all the data, since non-sampling errors such as processing and clerical mistakes are not as large.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 7-8

576 MTP **Old P6 May 2020 S-I** Q3(d) 3 marks old scheme

The sample size can be determined by the application of a statistically-based formula or through the exercise of professional judgment. When circumstances are similar, the effect on sample size of factors will be similar regardless of whether a statistical or non-statistical approach is chosen.

Explain stating the examples of factors **(any four)** that the auditor may consider when determining the sample size for tests of controls.

ICAI'S ANSWER

The level of sampling risk that the auditor is willing to accept affects the sample size required. The lower the risk the auditor is willing to accept, the greater the sample size will need to be.

The sample size can be determined by the application of a statistically-based formula or through the exercise of professional judgment. When circumstances are similar, the effect on sample size of factors will be similar regardless of

whether a statistical or non-statistical approach is chosen.

Examples of Factors Influencing Sample Size for Tests of Controls: The following are factors that the auditor may consider when determining the sample size for tests of controls. These factors, which need to be considered together, assume the auditor does not modify the nature or timing of tests of controls or otherwise modify the approach to substantive procedures in response to assessed risks.

- When there is an increase in the extent to which the auditor's risk assessment takes into account relevant controls, The more assurance the auditor intends to obtain from the operating effectiveness of controls, the lower the auditor's assessment of the risk of material misstatement will be, and the larger the sample size will need to be. When the auditor's assessment of the risk of material misstatement at the assertion level includes an expectation of the operating effectiveness of controls, the auditor is required to perform tests of controls. Other things being equal, the greater the reliance the auditor places on the operating effectiveness of controls in the risk assessment, the greater is the extent of the auditor's tests of controls (and therefore, the sample size is increased).Thus, sample size will increase.
- If there is an increase in the tolerable rate of deviation. Then sample size will decrease, as

lower the tolerable rate of deviation, larger the sample size needs to be.

- When there is an increase in the expected rate of deviation of the population to be tested then sample size will increase, as higher the expected rate of deviation, larger the sample size needs to be so that the auditor is in a position to make a reasonable estimate of the actual rate of deviation. Factors relevant to the auditor's consideration of the expected rate of deviation include the auditor's understanding of the business (in particular, risk assessment procedures undertaken to obtain an understanding of internal control), changes in personnel or in internal control, the results of audit procedures applied in prior periods and the results of other audit procedures. High expected control deviation rates ordinarily warrant little, if any, reduction of the assessed risk of material misstatement.
- An increase in the auditor's desired level of assurance that the tolerable rate of deviation is not exceeded by the actual rate of deviation in the population will increase the sample size. Thus, the greater the level of assurance that the auditor desires that the results of the sample are in fact indicative of the actual incidence of deviation in the population, the larger the sample size needs to be.

- In case of large populations, the actual size of the population has little, if any, effect on sample size. For small populations however, audit sampling may not be as efficient as alternative means of obtaining sufficient appropriate audit evidence. Therefore, there will be negligible effect on sample size due to increase in the number of sampling units in the population.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 6

577 MTP **Old P6 Nov 2019 S-I** Q5(b) 4 marks old scheme

XYZ Ltd is engaged in trading of electronic goods and having huge accounts receivables. For analysing the whole accounts receivables, auditor wanted to use sampling technique. In considering the characteristics of the population from which the sample will be drawn, the auditor determines that stratification or value-weighted selection technique is appropriate. SA 530 provides guidance to the auditor on the use of stratification and value-weighted sampling techniques. Advise the auditor in accordance with SA 530.

ICAI'S ANSWER

Stratification and Value-Weighted Selection: In considering the characteristics of the population from which the sample will be drawn, the auditor may determine that stratification or value-weighted selection technique is appropriate. SA 530 provides guidance to the auditor on the use of stratification and value-weighted sampling techniques.

Stratification: Audit efficiency may be improved if the auditor stratifies a population by dividing it into discrete sub-populations which have an identifying characteristic. The objective of stratification is to reduce the variability of items within each stratum and therefore allow sample size to be reduced without increasing sampling risk.

When performing tests of details, the population is often stratified by monetary value. This allows greater audit effort to be directed to the larger value items, as these items may contain the greatest potential misstatement in terms of overstatement. Similarly, a population may be stratified according to a particular characteristic that indicates a higher risk of misstatement, **for example, when testing the allowance for doubtful accounts in the valuation of accounts receivable, balances may be stratified by age.**

The results of audit procedures applied to a sample of items within a stratum can only be projected to the items that make up that stratum. To draw a conclusion on the entire population, the auditor will need to consider the risk of material misstatement in relation to whatever other strata make up the entire population.

For example, 20% of the items in a population may make up 90% of the value of an account balance. The auditor may decide to examine a sample of these items. The auditor evaluates the results of this sample and reaches a conclusion on the 90% of

value separately from the remaining 10% (on which a further sample or other means of gathering audit evidence will be used, or which may be considered immaterial).

If a class of transactions or account balance has been divided into strata, the misstatement is projected for each stratum separately. Projected misstatements for each stratum are then combined when considering the possible effect of misstatements on the total class of transactions or account balance.

Value-Weighted Selection: When performing tests of details it may be efficient to identify the sampling unit as the individual monetary units that make up the population. Having selected specific monetary units from within the population, **for example, the accounts receivable balance, the auditor may then examine the particular items, for example, individual balances, that contain those monetary units.** One benefit of this approach to defining the sampling unit is that audit effort is directed to the larger value items because they have a greater chance of selection, and can result in smaller sample sizes.

This approach may be used in conjunction with the systematic method of sample selection and is most efficient when selecting items using random selection.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 8-9

4.6 SA 501: inventory, litigation and segment information

39 questions · asked in 20 ICAI documents · 6 exam papers

578 EXAM Jan 2026 Case scenario · Q1(c) 1/2 to Q1(c) 2/2

4 marks

CASE SCENARIO

CA Z, the auditor of Prime Tech Industries Ltd., is conducting the audit for the financial year 2024-25. While reviewing contingent liabilities, he identifies significant litigations and legal claims that may materially affect the financial statements. The management's explanation regarding the progress and possible outcomes of these cases are inadequate and unconvincing. Anticipating that the company's external legal counsel may not respond to a general letter of enquiry. CA Z decides to seek direct communication through a letter of specific inquiry requesting the legal counsel to provide information to the auditor.

Q1(c) 1/2 3 marks

You are required to state the matters to be included in such a letter of specific enquiry as per SA 501.

Q1(c) 2/2 1 mark

Further, explain the auditor's responsibility if the management refuses to permit communication or meeting with the entity's external legal counsel.

ICAI'S ANSWERS

Q1(c) 1/2

As SA 501 - "Audit Evidence-Specific Considerations for Selected Items", a letter of specific inquiry includes:

(1) list of litigation and claims;

(2) Where available, management's assessment of the outcome of each of the identified litigation and claims and its estimate of the financial implications, including costs involved; and

(3) A request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's external legal counsel to be incomplete or incorrect.

Q1(c) 2/2

Auditor's responsibility where management refuses permission: If management refuses to permit the auditor to communicate or meet with the entity's external legal counsel, and the auditor is unable to obtain sufficient appropriate audit evidence by performing alternative audit procedures, the auditor shall modify the opinion in the auditor's report in accordance with SA 705.

ICAI · P5 · Jan 2026 exam · question p. 12-13 · answer p. 15

579 **EXAM** **Sep 2025** Q1(c) **4 marks**

ABC Limited is a large drug manufacturing unit, having units at Hyderabad and Ahmedabad. The management

has nominated an expert team from different functions of the organization, to conduct the year end verification of inventories and for finalization of accounts for the financial year 2024-25. The statutory auditors also, as a part of their audit verification, wish to attend the year end physical inventory verification planned by the management. The inventory at all the locations are considered material to the financial statements.

The auditor encountered following situations:

Hyderabad unit: Due to administrative reasons, the management had taken up the stock verification of inventory on 15th March 2025 itself.

Ahmedabad unit: The Company had taken up the inventory verification as planned on 31st March 2025. However, there was news of local disturbances in the city of Ahmedabad during the last week of March 2025, whereby the auditor cancelled his planned visit for attending inventory verification.

In the above circumstances, what additional audit procedures are to be undertaken by the statutory auditor for inventory verification?

Your answer should be in tune with relevant standards on auditing.

ICAI'S ANSWER

Hyderabad Unit: Physical Inventory Counting Conducted other than at the Date of the Financial Statements: As per SA 501, "Audit Evidence-Specific Considerations for Selected Items", if physical inventory counting is conducted at a date other than

the date of the financial statements, the auditor shall, in addition to the required procedures, perform audit procedures to obtain audit evidence about whether changes in inventory between the count date and the date of the financial statements are properly recorded/ whether the perpetual inventory records are properly adjusted.

Relevant matters for consideration when designing audit procedures to obtain evidence about whether change in inventory amounts between the count date, or dates, and the final inventory records are properly recorded include:

i. Reliability of the entity's perpetual inventory records.

ii. Reasons for significant differences between the information obtained during the physical count and the perpetual inventory records.

Ahmedabad Unit: If attendance at physical inventory counting is impracticable: As per SA 501, Audit Evidence-Specific Considerations for Selected Items", in some cases, if the auditor is unable to attend physical inventory counting due to unforeseen circumstances, the auditor shall make or observe some physical counts on an alternative date, and perform audit procedures on intervening transactions.

If attendance at physical inventory counting may be impracticable due to factors such as the nature and location of the inventory, the auditor shall perform

alternative audit procedures to obtain sufficient appropriate audit evidence regarding the existence and condition of inventory, for example inspection of documentation of the subsequent sale of specific inventory items acquired or purchased prior to the physical inventory counting, may provide sufficient appropriate audit evidence about the existence and condition of inventory.

ICAI · P5 · Sep 2025 exam · question p. 11-12 · answer p. 14-15

580 **EXAM** **May 2025** Q6(a) **5 marks**

T Ltd. has appointed NFO & Co., Chartered Accountants, as statutory auditors. Since inventory is a material component of the financial statements, CA F plans to attend the physical inventory counting.

Provide any five matters that CA F should consider when planning their attendance at the physical inventory counting.

ICAI'S ANSWER

Matters that CA F should consider when planning attendance at physical inventory counting are:

(i) Nature of inventory.

(ii) Stages of completion of work in progress.

(iii) The risks of material misstatement related to inventory.

(iv) The nature of the internal control related to inventory.

(v) Whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting.

(vi) The timing of physical inventory counting.

(vii) Whether the entity maintains a perpetual inventory system.

(viii) The locations at which inventory is held, including the materiality of the inventory and the risks of material misstatement at different locations, in deciding at which locations attendance is appropriate

(ix) Whether the assistance of an auditor's expert is needed to obtain sufficient appropriate audit evidence.

ICAI · P5 · May 2025 exam · question p. 22 · answer p. 22-23

581 EXAM **Jan 2025**

Case scenario · Q1(b), part 1 of 2 to Q1(b), part 2 of 2

5 marks

CASE SCENARIO

Fashion Garments Limited (FOL) is a company engaged in the manufacturing and sale of ready-made garments. The products manufactured by FGL cater to clothing requirements of men, women and kids section. Pearl & Associates, Chartered Accountants, is the statutory auditor of FGL. Partner CA Pearl asked her audit assistant to go through the segment information disclosed and presented in the financial statements. Assistant is new to the audit

engagements and seeks her guidance on what is the key responsibility of the auditor in relation to segment information.

Q1(b), part 1 of 2 2 marks

What should CA Pearl guide the assistant on the said matter ?

Q1(b), part 2 of 2 3 marks

What audit procedures should CA Pearl perform to ensure that methods used by the management to present segment information are in accordance with the applicable financial reporting framework ?

ICAI'S ANSWERS

Q1(b), part 1 of 2

As per SA 501, "Audit Evidence-Specific Considerations for Selected Items", the auditor shall obtain sufficient appropriate audit evidence regarding the presentation and disclosure of segment information in accordance with the applicable financial reporting framework by:

(1) Obtaining an understanding of the methods used by management in determining segment information, and

(2) Performing analytical procedures or other audit procedures appropriate in the circumstances.

The auditor's responsibility regarding the presentation and disclosure of segment information is in relation to the financial statements taken as a whole. Accordingly, the auditor is not required to perform audit procedures that would be necessary

to express an opinion on the segment information presented on a standalone basis.

Q1(b), part 2 of 2

Further, audit procedure performed by CA Pearl to ensure methods used by the management to present segment information are in accordance with the applicable financial reporting framework should include:

- Sales, transfers and charges between segments, and elimination of intersegment amounts.
- Comparisons with budgets and other expected results, for example, operating profits as a percentage of sales.
- The allocation of assets and costs among segments.
- Consistency with prior periods, and the adequacy of the disclosures with respect to inconsistencies.

ICAI · P5 · Jan 2025 exam · question p. 10 · answer p. 12, 13

582 EXAM **May 2024** Q2(b) 4 marks

CA Z, the auditor of MNO Ltd., during the course of audit, assesses a risk of material misstatements regarding the litigations and claims involving the company. CA Z is not convinced with the management's explanations regarding the status of the litigations or claims. It is considered unlikely that the entity's external legal counsel will respond appropriately to a letter of general enquiry. The auditor sent a letter of

specific enquiry requesting the entity's external legal counsel to communicate directly with the auditor. List out the inclusions in the letter of specific enquiry.

In certain circumstances the auditor may judge it necessary to meet with entity's external legal counsel to discuss the likely outcome of the litigations or claims. What will be auditor's reporting responsibility if the management refuses to give permission to the auditor to communicate or meet with the external legal counsel?

ICAI'S ANSWER

A letter of specific inquiry includes:

(i) A list of litigation and claims;

(ii) Where available, management's assessment of the outcome of each of the identified litigation and claims and its estimate of the financial implications, including costs involved; and

(iii) A request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's external legal counsel to be incomplete or incorrect.

In certain circumstances, the auditor also may judge it necessary to meet with the entity's external legal counsel to discuss the likely outcome of the litigation or claims. Further, if management refuses to give the auditor permission to communicate or meet with the entity's external legal counsel, or the entity's external legal counsel refuses to respond

appropriately to the letter of inquiry, or is prohibited from responding, and the auditor is unable to obtain sufficient appropriate evidence by performing alternate audit procedures, the auditor shall modify the opinion in the auditor's report in accordance with SA 705.

Alternatively, if the auditor is able to perform alternate audit procedures and can obtain sufficient and appropriate audit evidence to resolve the issue, then he can give an unmodified opinion.

ICAI · P5 · May 2024 exam · question p. 5-6 · answer p. 7

583 EXAM **Old P6 May 2022** Q4(c) 3 marks old scheme

SPR Ltd has been into the media business since 1990. During the F.Y 2021-2022 many notices were received by the company for hurting public sentiments and financial claims were filed against the company. As an auditor of the company, you requested the management for arranging the meeting with company's external legal counsel. Management is of the view that such meetings are necessary in some certain circumstances only. Can you list down those certain circumstances?

ICAI'S ANSWER

Circumstances when becoming necessary to meet with external legal counsel: In the given case of SPR Ltd., Auditor requested the management for meeting with SPR's external legal counsel.

In certain circumstances, the auditor also may judge it necessary to meet with the entity's external legal

counsel to discuss the likely outcome of the litigation or claims.

This may be the case, **for example**, where:

(i) The auditor determines that the matter is a significant risk.

(ii) The matter is complex.

(iii) There is disagreement between management and the entity's external legal counsel.

Ordinarily, such meetings require management's permission and are held with a representative of management in attendance.

ICAI · Old P6 · May 2022 exam · question p. 8 · answer p. 9-10

584 RTP **Sep 2025** Case scenario · Q12(a) to Q12(b)

CASE SCENARIO

Bold Ltd. supplies navy uniforms across the country. The company has 5 warehouses at different locations throughout the India and 4 warehouses at the borders. The major stocks are generally supplied from the borders. Bold Ltd. appointed M/s KPM & Co. to conduct its audit for the financial year 2024-25. Mr. P, partner of M/s KPM & Co., attended all the physical inventory counting conducted throughout the India but could not attend the same at borders due to some unavoidable reason.

You are required to advise M/s KPM & Co.,

Q12(a)

How sufficient appropriate audit evidence regarding the existence and condition of inventory may be obtained?

Q12(b)

How is an auditor supposed to deal when attendance at physical inventory counting is impracticable?

ICAI'S ANSWERS

Q12(a)

As per SA 501 "Audit Evidence- Specific Considerations for Selected Items", when inventory is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of inventory by:

(1) Attendance at physical inventory counting, unless impracticable, to:

(i) Evaluate management's instructions and procedures for recording and controlling the results of the entity's physical inventory counting;

(ii) Observe the performance of management's count procedures;

(iii) Inspect the inventory; and

(iv) Perform test counts.

(2) Performing audit procedures over the entity's final inventory records to determine whether they accurately reflect actual inventory count results.

Q12(b)

Attendance at Physical Inventory Counting Not Practicable: In some cases, attendance at physical inventory counting may be impracticable. This may be due to factors such as the nature and location of the inventory. For example - where inventory is held in a location that may pose threats to the safety of the auditor.

The matter of general inconvenience to the auditor, however, is not sufficient to support a decision by the auditor that attendance is impracticable. Further, as explained in SA 200, the matter of difficulty, time, or cost involved is not in itself a valid basis for the auditor to omit an audit procedure for which there is no alternative or to be satisfied with audit evidence that is less than persuasive.

In some cases where attendance is impracticable, alternative audit procedures, for example inspection of documentation of the subsequent sale of specific inventory items acquired or purchased prior to the physical inventory counting, may provide sufficient appropriate audit evidence about the existence and condition of inventory.

In other cases, however, it may not be possible to obtain sufficient appropriate audit evidence regarding the existence and condition of inventory by performing alternative audit procedures. In such cases, SA 705 requires the auditor to modify the

opinion in the auditor's report as a result of the scope limitation.

ICAI · P5 · RTP Sep 2025 · question p. 5-6 · answer p. 11-12, 12

585 **RTP** **Sep 2024** **Q12**

Quality Products Limited is engaged in manufacturing of bicycles. As part of manufacturing activities, it sends raw material to some business entities and procures finished components from them. As on 31st March 2024 inventories lying with such business entities are material. Being statutory auditor of Quality Products Limited, how you will obtain sufficient appropriate audit evidence regarding existence and condition of inventories lying with such business entities?

ICAI'S ANSWER

In accordance with requirements of SA 501, "Audit Evidence- Specific Considerations for Selected Items", when inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by performing one or both of the following:

(a) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(b) Perform inspection or other audit procedures appropriate in the circumstances.

Other audit procedure may include –

- Inspecting documentation regarding inventory held by third parties.
- Requesting confirmation from other parties when inventory has been pledged as collateral.
- Attending, or arranging for another auditor to attend, the third party's physical counting of inventory, if practicable.
- Obtaining another auditor's report, or a service auditor's report, on the adequacy of the third party's internal control for ensuring that inventory is properly counted and adequately safeguarded.

ICAI · P5 · RTP Sep 2024 · question p. 6 · answer p. 10-11

586 **RTP** **May 2024** **Q10**

SPR Ltd has been into the media business since 2001. During the F.Y 2022-2023, many notices were received by the company for hurting public sentiments and financial claims were filed against the company. As an auditor of the company, you requested the management for arranging the meeting with company's external legal counsel. Management is of the view that such meetings are necessary in certain circumstances only. Can you list down such circumstances?

ICAI'S ANSWER

Circumstances when it becomes necessary to meet with company's external legal counsel:

In the given case of SPR Ltd., Auditor requested the management for meeting with SPR's external legal

counsel.

In certain circumstances, the auditor also may judge it necessary to meet with the entity's external legal counsel to discuss the likely outcome of the litigation or claims.

This may be the case, **for example**, where:

(i) The auditor determines that the matter is a significant risk.

(ii) The matter is complex.

(iii) There is disagreement between management and the entity's external legal counsel.

Ordinarily, such meetings require management's permission and are held with a representative of management in attendance.

ICAI · P5 · RTP May 2024 · question p. 10 · answer p. 22-23

587 RTP **Old P6 May 2022** Q7(a) old scheme

GPS & Co, Chartered Accountants, conducting the audit of Pratibha Ltd., a listed company for the year ended 31.03.2022 is concerned with the presentation and disclosure of segment information included in Company's Annual Report. GPS & Co wanted to ensure that methods adopted by management for determining segment information have resulted in disclosure in accordance with the applicable financial reporting framework. Guide GPS & Co with 'Examples of Matters' that may be relevant when obtaining an understanding

of the methods used by the management with reference to the relevant Standards on Auditing.

ICAI'S ANSWER

The auditors, GPS & Co wanted to ensure and obtain sufficient appropriate audit evidence regarding the presentation and disclosure of segment information in accordance with the applicable financial reporting framework by obtaining an understanding of the methods used by management in determining segment information. SA 501 guides in this regard. As per SA 501- "Audit Evidence—Specific Considerations for Selected Items", example of matters that may be relevant when obtaining an understanding of the methods used by management in determining segment information and whether such methods are likely to result in disclosure in accordance with the applicable financial reporting framework include:

(i) Sales, transfers and charges between segments, and elimination of inter-segment amounts.

(ii) Comparisons with budgets and other expected results, for example, operating profits as a percentage of sales.

(iii) The allocation of assets and costs among segments.

(iv) Consistency with prior periods, and the adequacy of the disclosures with respect to inconsistencies.

ICAI · Old P6 · RTP May 2022 · question p. 8-9 · answer p. 19

588 RTP Old P6 May 2022 Q7(b) old scheme

Pachranga International Ltd is manufacturer of pickles, ginger garlic paste, jams etc having its plant at Jaipur. Being in food industry, the company is facing many litigations in various courts across India. Auditors SPV & Co. wants to identify such litigations and claims involving the company which may give rise to risk of material misstatement. Guide the auditor as to how they should proceed for the purpose.

ICAI'S ANSWER

The auditor SPV & Co. shall design and perform audit procedures in order to identify litigation and claims involving the entity (Pachranga International Ltd) which may give rise to a risk of material misstatement, including:

(i) Inquiry of management and, where applicable, others within the entity, including in-house legal counsel.

(ii) Reviewing minutes of meetings of those charged with governance and correspondence between the entity and its external legal counsel; and

(iii) Reviewing legal expense accounts.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 19

589 RTP Old P6 Nov 2020

Integrated Case Scenario-1 · Case Scenario 1 · MCQ 1 to Case Scenario 1 · MCQ 5

old scheme

INTEGRATED CASE SCENARIO-1

M/s JJ & associates having office in Chennai are statutory auditors under Companies Act, 2013 of a company viz. ***Sweet Aroma Private Limited*** engaged in business of obtaining and manufacturing rice from paddy catering to both domestic as well as international market mainly in Gulf nations. The company has a huge plant capacity for rice extraction in one of the states in Northern India. Needless to state that inventories are in huge quantity in such type of business consisting of raw material, work in progress and finished goods. The auditors want to obtain sufficient appropriate audit evidence regarding inventories.

In above context, answer the following questions: -

Case Scenario 1 · MCQ 1

Which of the following is most likely correct in relation to obtaining of sufficient appropriate audit evidence regarding existence and condition of inventory?

A It is mandatory for the auditor to attend physical inventory counting on the date of financial statements in all circumstances.

B Physical inventory counting may be attended by auditor on the date of financial statement or at a date other than date of financial statements in his discretion mandatorily in all circumstances.

C The attendance of auditors at physical inventory counting is impracticable due to time and costs involved because of auditor's office location vis-à-vis company's plant location. Hence, attendance at physical inventory counting may be skipped and alternative audit procedures may be performed to obtain sufficient appropriate evidence.

D The auditor shall attend at physical inventory counting unless impracticable. However, issue of time and costs involved because of auditor's office location vis-à-vis company's plant location is not a valid basis for skipping physical inventory counting.

Case Scenario 1 · MCQ 2

Below are given certain cluster of matters which are relevant in planning attendance of auditor at physical inventory counting. Which of the following clusters consists of a likely inappropriate combination?

A Nature of inventory, timing of physical inventory counting and stages of completion of work in progress

B Nature of inventory, timing of physical inventory counting and valuation method of inventory

C Nature of inventory, timing of physical inventory counting, considerations regarding maintenance of a perpetual inventory system

D Risks of material misstatements related to inventory, nature of internal control pertaining to inventory, considerations regarding maintenance of a perpetual inventory system

Case Scenario 1 · MCQ 3

Which of the following is the most likely logical sequence of steps in relation to attendance at physical inventory counting by auditor?

A. Observance of performance of management's count procedures, inspection of inventory, performing test counts and evaluation of management's procedures for recording and controlling results of physical inventory counting

B. Observance of performance of management's count procedures, performing test counts, inspection of inventory and evaluation of management's procedures for recording and controlling results of physical inventory counting

C. Performing test counts, inspection of inventory, Observance of performance of management's count procedures and evaluation of management's procedures for recording and controlling results of physical inventory counting

D. Evaluation of management's procedures for recording and controlling results of physical inventory counting, Observance of performance of management's count procedures, inspection of inventory and performing test counts

Case Scenario 1 · MCQ 4

During attendance at physical inventory counting, the auditor inspects inventory. Following outcomes stated as I, II & III are given below of this inspection procedure: -

Outcome I --- Existence of inventory

Outcome II ---- Ownership of inventory

Outcome III ------ Condition of inventory

Which of following statements is most likely true?

A Outcomes I, II and III are all necessarily established after inspection.

B Only Outcomes I and III are established after inspection and Outcome II is never established.

C Outcomes I and III are established after inspection. However, outcome II may not be necessarily established.

D Outcome II and III are established after inspection. However, outcome I may not be necessarily established.

Case Scenario 1 · MCQ 5

It was observed by auditors that, out of total rice physically counted on 31st March, 2020 about 67 quintals of rice belonged to M/s PQR, a proprietary concern which had sent paddy to this company's plant for extraction of rice. What would be treatment of this item in financial statements of company?

A The value of 67 quintals rice would be reflected in company's financial statements as per method of valuation adopted by the company.

B The value of 67 quintals rice would be reflected in company's financial statements as per method of valuation adopted by the proprietary concern.

C The value of 67 quintals rice would not be reflected in company's financial statements.

D The value of 67 quintals rice would be reflected in proprietary concern's financial statements as per method of valuation adopted by the company.

ICAI'S ANSWERS

Case Scenario 1 · MCQ 1

(D)

Case Scenario 1 · MCQ 2

(B)

Case Scenario 1 · MCQ 3

(D)

Case Scenario 1 · MCQ 4

(C)

Case Scenario 1 · MCQ 5

(C)

ICAI · Old P6 · RTP Nov 2020 · question p. 1 · answer p. 11

590 RTP **Old P6 May 2020** Q8(b) old scheme

Explain clearly the examples of matters relevant in planning attendance at physical inventory counting.

ICAI'S ANSWER

Matters relevant in planning attendance at physical inventory counting include, for example:

(a) Nature of inventory.

(b) Stages of completion of work in progress.

(c) The risks of material misstatement related to inventory.

(d) The nature of the internal control related to inventory.

(e) Whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting.

(f) The timing of physical inventory counting.

(g) Whether the entity maintains a perpetual inventory system.

(h) The locations at which inventory is held, including the materiality of the inventory and the risks of material misstatement at different locations, in deciding at which locations attendance is appropriate

(i) Whether the assistance of an auditor's expert is needed.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 17-18

591 **MTP** **Sep 2025 S-II**

Case Scenario 2 [MCQ 5-8] · MCQ 5 to MCQ 8 **8 marks**

CASE SCENARIO 2 [MCQ 5-8]

CA Adhya, a partner at TAK & Associates, Chartered Accountants, is conducting the statutory audit of NextGen Appliances Pvt. Ltd., a company engaged in the manufacturing and sale of consumer durables, for the year 2024-25.

During the audit, the following observations were made:

- The company conducted its year-end physical inventory count on 30th March 2025. Inventory at one of its warehouses valued at ₹ 95 lakhs was excluded from the count as the location was not visited by him due to flood in that area.
- A large debtor balance of ₹ 68 lakhs is outstanding for over 9 months. The customer has partially shut down operations and has not responded to balance confirmation requests.
- Revenue recognition is done at the point of despatch. However, CA Adhya noticed that certain despatches made on 30th March, 2025 were billed but the goods actually left the premises on 2nd April, 2025.
- The company capitalised an amount of ₹ 25 lakhs as part of machinery installation expenses which included ₹ 5 lakhs incurred on employee training and inauguration ceremony.
- A creditor balance of ₹ 20 lakhs remains not confirmed despite repeated external confirmation requests. The management contends that the amount is payable and valid.

Based on the above facts, answer the following:

MCQ 5 2 marks

What should CA Adhya do regarding the inventory at the warehouse that could not be physically verified due to flood?

A Since the inventory is below materiality threshold, ignore the same.

B Issue adverse opinion.

C Perform alternative audit procedures to obtain sufficient appropriate audit evidence.

D Accept management's written representation as sufficient audit evidence.

MCQ 6 2 marks

What should be CA Adhya's conclusion regarding revenue recognised for sales billed on 30th March but despatched on 2nd April?

A Recognise the revenue in March based on invoice date.

B Revenue should be deferred to April since ownership and control did not transfer before year-end.

C Consider it as timing difference in invoice and despatch.

D No action is required as stock is not returned.

MCQ 7 2 marks

While verifying capitalised expenses of machinery installation, CA Adhya notices ₹ 5 lakhs towards training and inauguration. What should she do?

A Recommend for reclassification of ₹ 5 lakhs as revenue expenditure.

B Accept capitalisation as the training and inauguration was part of installation.

C Ignore as it is below materiality threshold.

D Ask management for capitalisation certificate from CFO.

MCQ 8 2 marks

Which of the following is not a valid alternative audit procedure in case of non-response from a debtor or creditor?

A Examination of subsequent cash receipts or payments.

B Review of sales or purchase orders.

C Verification of Board resolution for the amount.

D Examination of related invoices and delivery documents.

ICAI'S ANSWERS

MCQ 5

(C)

MCQ 6

(B)

MCQ 7

(A)

MCQ 8

(C)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 3 · answer p. 1

592 MTP Sep 2025 S-II Q6(c) 4 marks

CA Kavita is statutory auditor of Sigma Limited. While conducting audit for financial year 2024-25, it is noticed that there is risk of material misstatement regarding identified litigation or claims. In these circumstances, it has been considered appropriate by auditor to send a "letter of specific inquiry" to external legal counsel of the company. When is an auditor likely to send a letter of specific inquiry to an entity's external legal counsel instead of a letter of general inquiry? Which matters are likely to be included in "letter of specific inquiry" sent by auditor to external legal counsel?

ICAI'S ANSWER

If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel.

The auditor shall do so through a letter of inquiry requesting the entity's external legal counsel to communicate directly with the auditor.

A letter of specific inquiry includes:

(i) A list of litigation and claims;

(ii) Where available, management's assessment of the outcome of each of the identified litigation and

claims and its estimate of the financial implications, including costs involved; and

(iii) A request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's external legal counsel to be incomplete or incorrect.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 11 · answer p. 13

593 **MTP** **May 2025 S-II** **Q3(c)** **4 marks**

Wire Limited, a company engaged in manufacturing of electric equipment, gets some part of its production processes outsourced from third parties. During the audit, the company had sent raw material to third parties for carrying out certain processes on these raw materials and such inventories worth ₹ 1.50 crores (material to financial statements) were lying with different third parties as at year end. How can auditor obtain sufficient appropriate audit evidence in respect of existence and condition of inventories lying with third parties?

ICAI'S ANSWER

When inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by performing one or both of the following: -

(i) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(ii) Perform inspection or other audit procedures appropriate in the circumstances.

Other audit procedure may include –

For example,

- Inspecting documentation regarding inventory held by third parties, example, warehouse receipts.
- Requesting confirmation from other parties when inventory has been pledged as collateral.
- Attending, or arranging for another auditor to attend, the third party's physical counting of inventory, if practicable.
- Obtaining another auditor's report, or a service auditor's report, on the adequacy of the third party's internal control for ensuring that inventory is properly counted and adequately safeguarded.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 6

594 MTP **Jan 2025 S-II** Q5(b) 5 marks

CA Kavita, auditor of Healthify Ltd., while assessing potential risks of material misstatement related to litigations at Healthify Ltd., identified a possible legal claim that could affect the financial statements. She sent a general inquiry letter to the company's external

legal counsel, Mohit & Co., seeking clarification. However, Mohit & Co. informed her that their professional rules prohibited them from responding to these general inquiries. Guide CA Kavita that what other option is available to obtain the necessary information for the audit?

ICAI'S ANSWER

If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel. The auditor shall do so through a letter of inquiry requesting the entity's external legal counsel to communicate directly with the auditor.

If law, regulation or the respective legal professional body prohibits the entity's external legal counsel from communicating directly with the auditor, the auditor shall perform alternative audit procedures.

If it is considered unlikely that the entity's external legal counsel will respond appropriately to a letter of general inquiry, for example if the professional body to which the external legal counsel belongs prohibits response to such a letter, the auditor may seek direct communication through a letter of specific inquiry. For this purpose, a letter of specific inquiry includes:

(i) A list of litigation and claims;

(ii) Where available, management's assessment of the outcome of each of the identified litigation and claims and its estimate of the financial implications, including costs involved; and

(iii) A request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's external legal counsel to be incomplete or incorrect.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 8

595 MTP **May 2024 S-I** Q4(b) 4 marks

While performing statutory audit of Contra Industries Private Limited, a company engaged in manufacturing and assembling of LED lights, CA Varun has decided to attend physical inventory count process of the company on 30th and 31st March, 2024. The inventories are lying at three different locations - two such locations A and B are in one city and third location C is in another city. Further, company also sends inventories to some service providers for quality control and testing as such facilities are not available with the company.

CA Varun is well-versed with this type of industry and has prepared a list of following matters which could be relevant to him in planning attendance at physical inventory count process for discharging his responsibilities in accordance with SAs: -

- Nature of inventories i.e. LED light components, parts, circuits, panels, body, WIP and finished packed LED lights
- Materiality of inventories at different locations A, B and C
- Stage of completion of work-in-progress
- Maintenance of perpetual inventory system by company
- Materiality of inventories lying with service providers
- Timing of physical inventory counting i.e. year end

There are two important matters which do not find place in above list. Without considering these crucial matters, it would be difficult for the auditor to properly plan his attendance at inventory count process in accordance with relevant SA. Discuss such matters.

ICAI'S ANSWER

The list given in the question does not contain following important matters: -

- Whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting. The auditor has to evaluate management's instructions for recording and controlling physical inventory counting. It is important for the auditor to know beforehand how the inventory count will be conducted so as to assess its effectiveness.
- The nature of internal control related to inventories at different locations. It is possible

that inventories at one location have unsatisfactory control leading to higher risk of material misstatement related to inventories at that particular location.

ICAI · P5 · MTP May 2024 · Series I · question p. 11 · answer p. 7

596 MTP **Old P6 Nov 2023 S-I** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect: (Attempt any **7** out of **8**)

Q1(i) 2 marks

When inventory under the custody and control of a third party is material to the financial statements, the auditor cannot obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by taking written representation from management.

Q1(ii) 2 marks

While auditing the books of accounts of XYZ Ltd., the auditor of the company was involved in examining records and documents in paper form, electronic form etc. and was also conducting physical examination of assets. In the present case, audit procedure used by the auditor is known as “Observation”.

Q1(iii) 2 marks

The overall audit strategy is more detailed than the audit plan.

Q1(iv) 2 marks

Dividends are recognized in the statement of profit and loss only when the amount of dividend can be measured reliably.

Q1(v) 2 marks

Banks recognize income on Non-Performing Assets on accrual basis.

Q1(vi) 2 marks

With reference to General IT control, the objective of Data Center and Network Operations is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

Q1(vii) 2 marks

An Auditor is considered to lack independence if the partner of the audit firm deals with shares and securities of the audited entity.

Q1(viii) 2 marks

The first auditor of a Government company can be appointed by the Board of Directors within 30 days from the date of registration of the company.

ICAI'S ANSWERS

Q1(i)

Correct: When inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence

and condition of that inventory by performing one or both of the following:

(a) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(b) Perform inspection or other audit procedures appropriate in the circumstances.

Q1(ii)

Incorrect: The audit procedure used by the auditor of XYZ Ltd. is known as “Inspection”. Whereas Observation consists of looking at a process or procedure being performed by others.

Q1(iii)

Incorrect: The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Once the overall audit strategy has been established, an audit plan can be developed to achieve the audit objectives through the efficient use of the auditor’s resources.

Q1(iv)

Incorrect: Dividends are recognised in the statement of profit and loss only when:

(i) the entity’s right to receive payment of the dividend is established;

(ii) it is probable that the economic benefits associated with the dividend will flow to the entity;

and

(iii) the amount of the dividend can be measured reliably.

Q1(v)

Incorrect: Income from non-performing assets (NPA) is not recognised on accrual basis due to its uncertainty but is booked as income only when it is actually received.

Q1(vi)

Incorrect: Objective of Data Center and Network Operations is to ensure that production systems are processed to meet financial reporting objectives.

Objective of Application system acquisition, development, and maintenance is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

Q1(vii)

Correct: As per section 141 (3)(d), a person shall not be eligible for appointment as an auditor of a company namely- a person, or his relative or partner is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company. From the above it can be concluded that if the partner deals with shares and securities of the audited entity, he would be lacking independence, hence, disqualified to be appointed as an auditor.

Further, the Code of Ethics for Professional Accountants, prepared by the International

Federation of Accountants (IFAC) identifies five types of threats and if partner of the firm deals with shares and securities of the audited firm then such threat is known as the Advocacy Threats and auditor will be lacking independence.

PassBook's note: ICAI's answer argues from section 141(3)(d) of the Companies Act, 2013 (the old company audit chapter, which the new-scheme Paper 5 syllabus no longer covers) and from the threats to independence, which the January 2027 Study Material keeps (Ethics chapter, threats to independence).

Q1(viii)

Incorrect: Section 139(7) of the Companies Act, 2013, provides that in the case of a Government company, the first auditor shall be appointed by the Comptroller and Auditor-General of India within 60 days from the date of registration of the company.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 7 · answer p. 2

597 MTP **Old P6 Jul 2021 S-I** Q5(a) 4 marks old scheme

TRM Ltd. is a company engaged in manufacture of beauty products. It has hair care segment, skin care segment and kids' beauty products. The auditor wants to obtain sufficient appropriate audit evidence regarding the presentation and disclosure of segment information in accordance with the applicable financial reporting framework. Suggest the audit procedures in the given case.

ICAI'S ANSWER

The auditor shall obtain sufficient appropriate audit evidence regarding the presentation and disclosure

of segment information in accordance with the applicable financial reporting framework by:

(1) Obtaining an understanding of the methods used by management in determining segment information. Further,

(i) Evaluating whether such methods are likely to result in disclosure in accordance with the applicable financial reporting framework; and

(ii) Where appropriate, testing the application of such methods; and

(2) Performing analytical procedures or other audit procedures appropriate in the circumstances.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7

598 MTP **Old P6 Jul 2021 S-II** Q3(d) 3 marks old scheme

Also asked in Old P6 MTP May 2020 S-I Q5(a)

"P India Ltd." is a manufacturer of various sports products. The company is having several cases of litigation pending in courts. The auditor wanted to identify litigation and claims, which may give rise to risk of material misstatements. Suggest the audit procedures in the given case.

ICAI'S ANSWER

The auditor shall design and perform audit procedures in order to identify litigation and claims

involving the entity which may give rise to a risk of material misstatement, including:

(i) Inquiry of management and, where applicable, others within the entity, including in-house legal counsel;

(ii) Reviewing minutes of meetings of those charged with governance and correspondence between the entity and its external legal counsel; and

(iii) Reviewing legal expense accounts.

If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 4

599 MTP **Old P6 May 2020 S-I** Q4(b) 4 marks old scheme

Krishna Cycles Ltd. is engaged in manufacturing of different type of Bicycles. On going through its financial statements for the past years, it is observed that inventory is material to the financial statements. You as an auditor of the company wanted to obtain sufficient appropriate audit evidence regarding the existence and condition of the inventory as appearing in the financial statements. Discuss, how would you proceed as an auditor.

ICAI'S ANSWER

When inventory is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of inventory by:

(1) Attendance at physical inventory counting, unless impracticable, to:

(i) Evaluate management's instructions and procedures for recording and controlling the results of the entity's physical inventory counting;

(ii) Observe the performance of management's count procedures;

(iii) Inspect the inventory; and

(iv) Perform test counts; and

(2) Performing audit procedures over the entity's final inventory records to determine whether they accurately reflect actual inventory count results.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 7

4.7 SA 505: external confirmations

45 questions · asked in 22 ICAI documents · 6 exam papers

600 EXAM **Sep 2025** Case Scenario - II · MCQ 7 to MCQ 12

12 marks

CASE SCENARIO - II

Ravi Chopra and Associates are statutory auditors of a steel manufacturing company. The audit for the current financial year has been started. The

engagement partner, as part of understanding and evaluating the internal controls of the company, chose to use Internal Control Questionnaire for collecting information about the existence, operation and efficiency of internal control in the organisation. Accordingly, the auditor handed over an Internal Control Questionnaire in respect of purchases, creditors, inventories and fixed assets, to the management.

In the process of verification of receivables of the company, the engagement partner performed certain Test of Controls and found them satisfactory. He then decided to use direct confirmation procedure and selected some of the parties for external confirmation, on the basis of his judgment. The partner decided to use both positive and negative confirmation request(s) depending on the circumstances, materiality and volume of transactions as would be appropriate for the class of transactions selected for verification. The responses received and the non-responses were carefully analysed for further audit procedures to be carried on, to corroborate evidence obtained from confirmation requests.

The engagement partner observed during the course of verification, that the company is facing tight working capital conditions and also availed additional cash credit limits on ad-hoc basis for six months, from its banker, to meet the stressed working capital requirements. The partner verified

whether appropriate charges were registered within the statutory time period with the Registrar of Companies and whether necessary disclosures are made in the financial statements.

Further, during the course of audit verification, the partner identified certain events or conditions that cast doubt on the entity's ability to continue as a going concern. The engagement partner held appropriate discussions with the management and those charged with governance, to resolve the matter on appropriateness of going concern assumption. The management demonstrated their plans to the satisfaction of the auditor, to dispel the doubts raised on going concern assumption.

The audit manager during the course of audit verification came across certain subsequent events but had confusion in classifying them, so as to decide on their treatment in the financial statements. The subsequent events are to be dealt, based on whether the evidence of conditions that existed on the date of the financial statements, or events providing evidence of conditions, that arose after the date of financial statements.

In the Board meeting held during the month of April, the company discussed on the settlement of certain legal claims on the company, plans for reconstruction of business by issue of new share capital and merger proposals by interested parties. The engagement partner properly analysed all such

events and ensured that they are appropriately dealt with in the financial statements.

Based on the above facts, answer the following Q. Nos. 7 to 12.

MCQ 7 2 marks

The following are a part of Internal Control Questionnaire in respect of purchases, creditors, inventories and fixed assets. Match the apt combination from the following information regarding Related part of Internal Control Questionnaire and Description of item:

Related part of Internal Control Questionnaire	Description of item
1. Are materials inspected and counted, weighed or measured in the receiving department?	a. Creditors
2. In respect of raw material and supplies, are reconciliations made of quantities and / or values received as shown by purchase invoices, with receipt into stock records?	b. Purchases
3. Are there norms for re-order level?	c. Fixed assets

Related part of Internal Control Questionnaire	Description of item
4. Is there a written procedure for periodic verification and discrepancies disclosed by such reports investigated and are the records and financial accounts corrected with appropriate authority?	d. Inventories

A 1-d, 2-a, 3-c, 4-b

B 1-b, 2-a, 3-d, 4-c

C 1-a, 2-c, 3-d, 4-b

D 1-c, 2-b, 3-d, 4-a

MCQ 8 2 marks

In respect of the confirmations from the trade receivables, choose the statement which is not correct.

A Confirmation from trade receivables should necessarily be as on the date of balance sheet.

B The requested confirmation should preferably be without mentioning the balance outstanding, wherein the debtor is requested to respond with the balance outstanding as per his records.

C The method of selection of trade receivables to be circulated, should not be revealed to the client, until the trial balance of the trade receivables ledger is handed over to the auditor.

D The auditor employs direct confirmation procedure with the consent of the entity under audit.

MCQ 9 2 marks

Some of the parties to whom the confirmation requests were sent, have replied and some did not. CA Ravi Chopra analysed the responses received and discussed with his team members, the reasons for non-response and asked them to send the reminders. Choose the statement which is not correct from the following:

A The failure to receive a response to a negative confirmation request, does not explicitly indicate receipt by the intended confirming party, of the confirmation request or verification of the accuracy of the information contained in the request.

B Failure of a confirming party to respond to a negative confirmation request, provides significantly less persuasive audit evidence, than does a response to a positive confirmation request.

C Confirming parties may be less likely to respond in the case of disagreement with a confirmation request, when the information in the request is not in their favour and more likely to respond otherwise.

D Confirming parties may be more likely to respond indicating their disagreement with a confirmation request, when the information in the request is not in their favour, and less likely to respond otherwise.

MCQ 10 2 marks

In respect of registration or satisfaction of charges created on Borrowings of the company, following information is to be disclosed in the financial statements. Choose the correct option.

A Charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period, details thereof shall be disclosed.

B Charges or satisfaction yet to be registered with Registrar of Companies beyond the statutory period, details and reasons thereof shall be disclosed.

C Charges yet to be registered with Registrar of Companies beyond 12 months from the date of creation of charge, the details and reasons thereof shall be disclosed.

D Charges or satisfaction of charges made by the company during the year.

MCQ 11 2 marks

CA Ravi Chopra had considered all the events that cast a doubt on the going concern assumption. Consider the following examples of events or conditions that may cast significant doubt on the entity's ability to continue as a going concern:

(1) Shortage of important supplies.

(2) Loss of major market share.

(3) Inability to pay creditor on due dates.

(4) Non-compliance with regulatory requirements.

(5) Arrears or discontinuance of dividends.

(6) Emergence of highly successful competitor.

(7) Pending legal proceedings which may result in claims which the entity is unlikely to be able to satisfy.

(8) Inability to obtain financing for essential requirements.

Choose the correct option which suits to events or conditions.

A 1, 3, 4-Financing events: 2, 5, 6-operating events: 7, 8-other events

B 1, 4-Financing events: 3, 2, 5-operating events: 6, 7, 8-other events

C 1, 4-Financing events: 3, 7, 6-operating events: 2, 5, 8-other events

D 3, 5, 8-Financing events: 1, 2, 6-operating events: 4, 7-other events

MCQ 12 2 marks

CA Ravi Chopra considered the subsequent events which require to be dealt with in the financial statements. Select from the below options, the one which is not an event, providing evidence of conditions that arose after the date of the financial statements:

A Settling a legal claim outside the court at a reduced amount, between the date of financial statements and the date of auditor's report, for which provision has already been made in financial statements.

B Issue of new share capital.

C Planned merger of the company.

D Destruction of substantial inventories due to fire between the date of the financial statements and the date of auditor's report.

ICAI'S ANSWERS

MCQ 7

Answer key: **(B)**

MCQ 8

Answer key: **(A)**

MCQ 9

Answer key: **(C)**

MCQ 10

Answer key: **(B)**

MCQ 11

Answer key: **(D)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · Sep 2025 exam · question p. 4-5 · answer p. 10

601 EXAM **May 2025** Case scenario · Q4(a)(i) to Q4(a)(ii)

5 marks

CASE SCENARIO

CA Pari is conducting the audit of Heavy Ltd., a company with large number of customers which are generally small retail shop owners. While verifying sundry debtors, CA Pari assesses the risk of material

misstatement (ROMM) as low and internal control is operating effectively.

With reference to SA 505 (External Confirmations):

Q4(a)(i) 1 mark

Which type of confirmation request is most likely to be used by CA Pari in this scenario?

Q4(a)(ii) 4 marks

What are the conditions necessary for using such a confirmation request effectively?

ICAI'S ANSWERS

Q4(a)(i)

CA Pari is most likely to use Negative Confirmation Request since she has assessed the risk of material misstatement as low and internal control is operating effectively.

Q4(a)(ii)

The auditor shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level unless all of the following are present:

- The auditor has assessed the risk of material misstatement as low and has obtained sufficient appropriate audit evidence regarding the operating effectiveness of controls relevant to the assertion;
- The population of items subject to negative confirmation procedures comprises a large

number of small, homogeneous, account balances, transactions or conditions;

- A very low exception rate is expected; and
- The auditor is not aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests.

ICAI · P5 · May 2025 exam · question p. 17 · answer p. 18

602 **EXAM** **Sep 2024** Q6(c) **3 marks**

During the audit of accounts for the year ended 31.03.2024, the auditor of FD Limited wanted confirmation from a Trade Receivable, which was outstanding for more than six months, amounting to ₹ 4,25,000/-. The auditor sent a Confirmation letter to the party requesting them to respond directly to him, whether or not they agree with the amount outstanding from them.

That trade receivable confirmed to the auditor of FD Limited, that they were required to pay an amount of ₹ 4,20,000 to FD Limited as per their books of accounts.

State and explain the type of Confirmation Request sent by the auditor and the course of action that he should take on the confirmation received from the trade receivable.

ICAI'S ANSWER

Positive confirmation request: A request that the confirming party respond directly to the auditor

indicating whether the confirming party agrees or disagrees with the information in the request or providing the requested information.

Exception – A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party. The exception needs to be assessed to the entire population after analyzing the reason for difference.

In the given situation, the auditor has sent the positive confirmation request for the amount of 4,25,000 to a trade receivable which was outstanding for more than 6 months, however, due to difference between information requested to be confirmed, or contained in the entity's records (i.e. 4,25,000), and information provided by the confirming party (i.e. 4,20,000) is forming situation of exception confirmation.

The auditor's evaluation, when taken into account with other audit procedures the auditor may have performed, may assist the auditor in concluding whether sufficient appropriate audit evidence has been obtained or whether performing further audit procedures is necessary, as required by SA 330 in case a response is indicating an exception.

The company should be asked to investigate and reconcile the discrepancy indicated by the confirming party.

ICAI · P5 · Sep 2024 exam · question p. 27 · answer p. 29-30

603 EXAM Old P6 May 2023 Q3(a) 4 marks old scheme

CA P is the auditor of MN Ltd. While scrutinising the accounts of MN Ltd., he observed that the company had large volume of Trade payable outstanding in the Balance sheet as on 31st March, 2023 for which external confirmations are not available, CA P wants to send external confirmation request to selected Trade payables but management of MN Ltd. refused for the same. Discuss how CA P should deal in this regard as per relevant Standard on Auditing.

ICAI'S ANSWER

If management refuses to allow the auditor to send a confirmation request, CA P should deal in this regard in the manner prescribed in SA 505 explained hereunder:

(a) Inquire as to management's reasons for the refusal and seek audit evidence as to their validity and reasonableness;

(b) Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and

(c) Perform alternative audit procedures designed to obtain relevant and reliable audit evidence.

If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable or the auditor is unable to obtain relevant and reliable audit evidence from

alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with SA 260.

The auditor shall also determine the implications for the audit and the auditor's opinion in accordance with SA 705.

ICAI · Old P6 · May 2023 exam · question p. 5 · answer p. 5

604 EXAM Old P6 Jul 2021 Q3(b) 4 marks old scheme

CA Rohit is appointed as an auditor of Grace Ltd., he wants to design a suitable confirmation request letter for a few debtors of Grace Ltd. As a senior auditor of the firm, explain to him with reference to SA 505 "External Confirmation" all the conditions that should be present to use Negative Confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level.

ICAI'S ANSWER

Negative confirmations is a request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request. Negative information provide less persuasive audit evidence than positive confirmations. Accordingly, CA Rohit, Auditor of Grace Ltd, shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material

misstatement at the assertion level unless all of the following are present:

(a) The auditor has assessed the risk of material misstatement as low and has obtained sufficient appropriate audit evidence regarding the operating effectiveness of controls relevant to the assertion;

(b) The population of items subject to negative confirmation procedures comprises a large number of small, homogeneous, account balances, transactions or conditions;

(c) A very low exception rate is expected; and

(d) The auditor is not aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests.

ICAI · Old P6 · Jul 2021 exam · question p. 37 · answer p. 38

605 EXAM **Old P6 Nov 2020** Q4(b) 4 marks old scheme

While conducting the audit of Amrit Ltd. the auditor A of ABC and Associates, Chartered Accountants observes that there are a large number of trade receivables standing in the books of account as on 31st March. The auditor wanted to send confirmation request to a few large trade receivables but the management refused the auditor to send confirmation request. How would the auditor proceed?

ICAI'S ANSWER

In the given case of Amrit Ltd, the auditor wanted to send confirmation request to a few large trade

receivables but the management did not want the auditor to send confirmation request.

If the management refuses to allow the auditor to send a confirmation request , the auditor shall-

1. Inquire as to management's reasons for the refusal and seek audit evidence as to their validity and reasonableness.
2. Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and
3. Perform alternative audit procedures designed to obtain relevant and reliable evidences.
4. If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable, or the auditor is unable to obtain relevant and reliable audit evidences from alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with SA 260.

The auditor shall also determine the implication for the audit and the auditor's opinion in accordance with SA 705.

ICAI · Old P6 · Nov 2020 exam · question p. 6 · answer p. 7

606 RTP Jan 2026 Q12

With respect to SA 505, "External Confirmations", name the appropriate term that may be used in relation to the below statements:

(a) Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.

(b) A request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.

(c) A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.

(d) A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered.

(e) A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party.

ICAI'S ANSWER

(a)	Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.	External Confirmation.

(b)	A request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.	Positive Confirmation request.
(c)	A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.	Negative confirmation request.
(d)	A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered.	Non-response.
(e)	A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party.	Exception.

ICAI · P5 · RTP Jan 2026 · question p. 6-7 · answer p. 12-13

607 RTP May 2024 Q8

CA J is conducting statutory audit of Gemini Ltd engaged in manufacturing of pharma products. The company is fairly large one and has a well-functioning internal audit department. While considering sending out external confirmation requests to trade receivables outstanding as on date of financial statements, CA J has delegated the process of choosing trade receivables, designing requests and receiving responses from customers to internal audit department. The responses are also received on the mail id of internal audit department. Is the approach of CA J proper?

ICAI'S ANSWER

When using external confirmation procedures, the auditor shall maintain control over external confirmation requests, including:

(a) Determining the information to be confirmed or requested;

(b) Selecting the appropriate confirming party;

(c) Designing the confirmation requests, including determining that requests are properly addressed and contain return information for responses to be sent directly to the auditor; and

(d) Sending the requests, including follow-up requests when applicable, to the confirming party.

In the given case, it appears that external auditor has delegated entire work of sending out external confirmation requests to internal audit department over which he has no control. Further, responses to

external confirmation requests are received on mail id of internal audit department. All these acts are not in line with requirements under SA 505.

ICAI · P5 · RTP May 2024 · question p. 10 · answer p. 21

608 RTP Old P6 Nov 2022 Q8 old scheme

External confirmation procedures frequently are relevant when addressing assertions associated with account balances and their elements but need not be restricted to these items. Apart from confirmations for bank balances and accounts receivables, what are the other situations where external confirmation procedures may provide relevant audit evidence in responding to assessed risks of material misstatement?

ICAI'S ANSWER

Other examples of situations where external confirmations may be used include the following:

- Inventories held by third parties at bonded warehouses for processing or on consignment
- Property title deeds held by lawyers or financiers for safe custody or as security
- Investments held for safekeeping by third parties, or purchases from stockbrokers but not delivered at the balance sheet date
- Amounts due to lenders, including relevant terms of repayment and restrictive covenants.
- Accounts payable balances and terms
- Long outstanding share application money.

609 RTP **Old P6 Nov 2020** Q20 old scheme

A significant and important audit activity is to contact banks/ financial institutions directly and ask them to confirm the amounts held in current accounts, deposit accounts, EEFC account, cash credit accounts, etc. as at the end of the reporting period under audit. Explain the audit procedure in this context.

ICAI'S ANSWER

Direct confirmation procedure

- A significant and important audit activity is to contact banks/ financial institutions directly and ask them to confirm the amounts held in current accounts, deposit accounts, EEFC account, cash credit accounts, restrictive use accounts like dividend, escrow accounts as of the end of the reporting period under audit. This should necessarily be done for all account balances as at the period-end.
- The Company should be asked to investigate and reconcile the discrepancies, if any, including seeking written explanations/ clarifications from the banks/ financial institutions on any unresolved queries.
- The auditor should emphasize for confirmation of 100% of bank account balances. In remote situations, where no reply is received, the auditor should perform additional testing regarding the balances. This testing could include:

- Agreeing the balance to bank statement received by the Company or internet/ online login to account in auditor's personal presence;
- Sending the audit team member to the bank branch along with the entity's personal to obtain balance confirmation from the bank directly.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 28

610 **RTP** **Old P6 May 2020** Q7(b) old scheme

When using external confirmation procedures, the auditor shall maintain control over external confirmation requests including sending the requests, including follow-up requests when applicable, to the confirming party. Explain the other points as to when using external confirmation procedures, the auditor would be required to maintain control over external confirmation requests.

ICAI'S ANSWER

When using external confirmation procedures, the auditor shall maintain control over external confirmation requests, including:

(a) Determining the information to be confirmed or requested;

(b) Selecting the appropriate confirming party;

(c) Designing the confirmation requests, including determining that requests are properly addressed

and contain return information for responses to be sent directly to the auditor; and

(d) Sending the requests, including follow-up requests when applicable, to the confirming party.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 17

611 RTP **Old P6 May 2020** Q8(a) old scheme

Define the following :

(i) Positive confirmation request

(ii) Negative confirmation request

(iii) Non-response

(iv) Exception

ICAI'S ANSWER

Positive confirmation request – A request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.

Negative confirmation request – A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.

Non-response – A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered.

Exception – A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party.

ICAI · Old P6 · RTP May 2020 · question p. 7-8 · answer p. 17

612 RTP **Old P6 Nov 2019** MCQ 9 MCQ old scheme

A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered is called-

A Negative confirmation request

B Non-response

C Exception

D Positive confirmation request

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2019 · question p. 4 · answer p. 9

613 MTP **Sep 2026 S-II** Q1(a) 5 marks

Prime Infrastructure Limited appointed K & Co., Chartered Accountants, as its statutory auditors for the year ended 31st March, 2026. During the audit, the Engagement Partner decided to obtain external confirmations from selected trade receivables to verify the outstanding balances.

The audit team received different types of responses. Some customers confirmed the balances exactly as

stated in the confirmation requests, one confirmation was received from an email address whose authenticity was doubtful, a few customers did not respond despite repeated follow-ups and one customer disputed the balance stated in the confirmation request.

While reviewing the results of the confirmation procedures, an audit assistant suggested that only the confirmations received without exception should be considered and that no further audit procedures were required in respect of the remaining cases. The Engagement Partner, however, emphasised that the results of all individual confirmation requests need to be appropriately evaluated before drawing an audit conclusion.

With reference to the above facts, explain how the auditor would evaluate the evidence obtained from external confirmation procedures. Also discuss the different categories into which the results of individual external confirmation requests may be classified and comment on the correctness of the audit assistant's view.

ICAI'S ANSWER

Evaluating the Evidence Obtained

As per SA 505 "External Confirmations", the auditor shall evaluate whether the results of the external confirmation procedures provide relevant and reliable audit evidence, or whether performing further audit procedures is necessary.

When evaluating the results of individual external confirmation requests, the auditor may categorise such results as follows:

(i) A response by the appropriate confirming party indicating agreement with the information provided in the confirmation request, or providing requested information without exception;

(ii) A response deemed unreliable;

(iii) A non-response; or

(iv) A response indicating an exception.

The auditor's evaluation, when taken into account with other audit procedures the auditor may have performed, may assist the auditor in concluding whether sufficient appropriate audit evidence has been obtained or whether performing further audit procedures is necessary, as required by SA 330.

From the given facts, it can be concluded that the audit assistant's view is not correct. The auditor is required to evaluate all results of the external confirmation procedures and not merely those received without exception. Responses that are unreliable, non-responses and responses indicating exceptions may require the performance of further audit procedures. Accordingly, the Engagement Partner's approach is in accordance with the requirements relating to the evaluation of evidence obtained through external confirmation procedures.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 10-11 · answer p. 2

614 MTP **May 2026 S-I** Q1(c) 4 marks

XYZ Limited is engaged in manufacturing activities. As at 31st March 2025, the Trade Receivables balance amounted to ₹ 8 crores. The statutory auditor selected 25 customer balances for external confirmation in accordance with the applicable Standard on Auditing relating to external confirmations.

The results of the confirmation procedure were as follows:

- 15 customers responded directly to the auditor indicating agreement with the information requested.
- 3 responses were received directly to the auditor indicating disagreement with the information provided in the request. These parties were supposed to respond only if they disagree with the information provided in the request.
- 5 customers did not respond despite follow-up requests.
- 2 customers responded stating that the balances as per their records were lower than those mentioned in the confirmation requests.

In the light of the relevant Standard on Auditing, explain how the auditor should evaluate the above responses and state whether further audit procedures are required.

ICAI'S ANSWER

As per SA 505 relating to external confirmations, the auditor shall evaluate whether the results of the

external confirmation procedures provide relevant and reliable audit evidence or whether performing further audit procedures is necessary.

When evaluating the results of individual external confirmation requests, the auditor may categorise such results as follows:

(a) Positive confirmation request

(b) Negative confirmation request;

(c) A non-response; or

(d) A response indicating an exception.

Applying the above principles to the given case:

1. 15 responses confirming balances without any difference: These fall under Positive confirmation request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.
2. 3 responses were received directly to the auditor only if they disagree with the information provided in the request: These fall under Negative confirmation request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.
3. 5 customers who did not respond despite follow-up requests: These fall under non-response. A failure of the confirming party to respond, or

fully respond, to a positive confirmation request, or a confirmation request returned undelivered. A non-response does not provide audit evidence and therefore alternative audit procedures may be required.

4. 2 responses indicating lower balances than those stated in the confirmation requests: These fall under a response indicating an exception. A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party. Such exceptions require investigation to determine whether they represent misstatements.

The auditor's evaluation of the above results, when taken into account with other audit procedures performed, shall assist in concluding whether sufficient appropriate audit evidence has been obtained, as required by SA 330.

ICAI · P5 · MTP May 2026 · Series I · question p. 10 · answer p. 4-5

615 MTP **Sep 2025 S-I** Q1(c) 4 marks

While scrutinising the accounts of XY Ltd., CA Q, the auditor of XY Ltd., observed that the company had a significant amount of trade receivables outstanding in the Balance Sheet as on 31st March, 2023 for which external confirmations are not available. CA Q wants to send external confirmation requests to selected trade receivables but the management of XY Ltd. refused the

same. Discuss how CA Q should deal in this regard as per relevant Standard on Auditing.

ICAI'S ANSWER

As per SA 505, "External Confirmations", if management refuses to allow the auditor to send a confirmation request, the auditor shall:

(i) Inquire as to management's reasons for the refusal and seek audit evidence as to their validity and reasonableness;

(ii) Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and

(iii) Perform alternative audit procedures designed to obtain relevant and reliable audit evidence.

If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable or the auditor is unable to obtain relevant and reliable audit evidence from alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with SA 260.

The auditor shall also determine the implications for the audit and the auditor's opinion in accordance with SA 705.

In the given case, CA Q wants to send external confirmation requests to selected trade receivables

but the management of XY Ltd. refused the same. Thus, CA Q shall take above actions.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 8 · answer p. 3

616 MTP **May 2025 S-I** Q6(a) 5 marks

CA T, the statutory auditor of a company, is in the process of designing external confirmation requests to be sent to trade receivables outstanding as of March 31, 2024. As properly designed confirmation requests are essential to ensure the reliability and effectiveness of the audit evidence obtained. Further, well-structured requests help in reducing the risk of misstatements, non-responses, or misunderstandings by the recipients.

In this context, explain why designing a proper confirmation request is necessary and discuss the key factors an auditor should consider when designing confirmation requests.

ICAI'S ANSWER

The design of a confirmation request may directly affect the confirmation response rate, and the reliability and the nature of the audit evidence obtained from responses. Therefore, designing a proper confirmation request by auditor is necessary.

Factors to be considered when designing confirmation requests include:

(i) The assertions being addressed.

(ii) Specific identified risks of material misstatement, including fraud risks.

(iii) The layout and presentation of the confirmation request.

(iv) Prior experience on the audit or similar engagements.

(v) The method of communication (for example, in paper form, or by electronic or other medium).

(vi) Management's authorisation or encouragement to the confirming parties to respond to the auditor. Confirming parties may only be willing to respond to a confirmation request containing management's authorisation.

(vii) The ability of the intended confirming party to confirm or provide the requested information (for example, individual invoice amount versus total balance).

ICAI · P5 · MTP May 2025 · Series I · question p. 11 · answer p. 11

617 MTP **Jan 2025 S-II Q1(b)** 5 marks

CA Rishi is appointed as an auditor of AIR Ltd. for the financial year ending on March 31, 2024. During the audit, he observed that the company's books of accounts reflect a significant number of trade payables and receivables as on the balance sheet date. To verify the accuracy of the trade receivables, CA Rishi decided to send confirmation requests to some of trade receivables. However, the management refused to permit him to send these confirmation requests to the

selected parties. How should the auditor proceed in the given situation?

ICAI'S ANSWER

As per SA 505, "External Confirmation", If management refuses to allow the auditor to send a confirmation request, the auditor shall:

(i) Inquire as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness;

(ii) Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and

(iii) Perform alternative audit procedures designed to obtain relevant and reliable audit evidence.

If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable, or the auditor is unable to obtain relevant and reliable audit evidence from alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with SA 260 "Communication with Those Charged with Governance".

The auditor also shall determine the implications for the audit and the auditor's opinion in accordance with SA 705 "Modifications to the Opinion in the Independent Auditor's Report".

ICAI · P5 · MTP Jan 2025 · Series II · question p. 8-9 · answer p. 2

618 MTP **Sep 2024 S-I** Q4(a) 5 marks

CA X is contemplating the use of negative confirmation requests as the sole substantive audit procedure to verify certain accounts payable balances reflected in financial statements of a company. Which conditions need to be met to use negative confirmation requests as stated above? Additionally, CA X is of the view that negative confirmations provide same level of persuasive audit evidence as in case of positive confirmations. Do you agree with his viewpoint? Provide reasons for your answer.

ICAI'S ANSWER

In accordance with SA 505, "External Confirmations", the auditor shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level unless all of the following are present:

(i) The auditor has assessed the risk of material misstatement as low and has obtained sufficient appropriate audit evidence regarding the operating effectiveness of controls relevant to the assertion.

(ii) The population of items subject to negative confirmation procedures comprises a large number of small, homogeneous, account balances, transactions or conditions.

(iii) A very low exception rate is expected and

(iv) The auditor is not aware of circumstances or conditions that would cause recipients of negative

confirmation requests to disregard such requests.

The failure to receive a response to a negative confirmation request does not explicitly indicate receipt by the intended confirming party of the confirmation request or verification of the accuracy of the information contained in the request.

Accordingly, a failure of a confirming party to respond to a negative confirmation request provides significantly less persuasive audit evidence than does a response to a positive confirmation request.

Therefore, view of CA X is not correct.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 9 · answer p. 5-6

619 MTP **Sep 2024 S-II** Case Scenario 1 · MCQ 1 to MCQ 4

8 marks

CASE SCENARIO 1

DLP & Associates, a firm of Chartered Accountants, are in midst of conducting audit of Twist and Spin Limited. The company is in business since last 15 years and have appointed DPL & Associates as their auditor for the first time for a term of 5 years beginning from financial year 2023-24. While identifying and assessing the risk of material misstatement at assertion level, the engagement team had assessed risk of material misstatement for revenues and trade receivables to be high.

The team is considering to send negative confirmation requests as sole substantive procedure to some business entities representing trade

receivables appearing in the financial statements of the company. The company had made sales to these business entities in January, 2024. Such business entities are few and have quite large balances as on 31st March, 2024. However, team members are not on the same page regarding sending negative confirmation requests.

Besides considering sending of confirmation requests, engagement team has planned certain audit procedures pertaining to trade receivables. These procedures include: -

1. Verification of invoices issued during last 7 days of financial year 2023-24 to verify that goods have been despatched by the company.
2. Selection of a few invoices from ageing report of the month March 2024 for verification of correctness of the billed amounts, to correct customers and on correct dates.
3. Preparation of schedule of movement of bad debts.
4. Review of the process of providing discounts to ensure that it is in accordance with company policy.

Another junior team member, S, observed that “Share Options Outstanding Account” reflected in the financial statements of the company. He started searching classification requirements of Schedule III of Companies Act, 2013 in this regard.

The engagement team wants to ensure that only the inventories held by company have been recorded in the financial statements and do not include any inventories belonging to third parties. They are keen to verify completeness assertion for inventories. The team has planned following audit procedures in this respect: -

1. Comparison of inventory turnover ratio of current period with previous years;
2. Vertical analysis of current period with previous years;
3. Comparison of budgetary expectations vis-à-vis actuals;
4. Performing purchase and sales cut-off tests

During the course of audit, R, a team member concluded that company has followed a particular accounting policy for revenue recognition during year 2023-24 which is in accordance with Accounting Standards and applicable financial reporting framework, but it was not consistently applied in preceding period having an impact upon opening balances of trade receivables of current year 2023-24. R is confused regarding the possible implications on auditor's report on this issue.

Based upon above, answer the following questions: -

MCQ 1 2 marks

The engagement team members are not able to take decision on sending negative confirmation requests to some entities described in case scenario. Which of the

following statements is in accordance with Standards on Auditing?

A It would be appropriate for engagement team to send negative confirmation requests to these business entities.

B It would be inappropriate for engagement team to send negative confirmation requests to these business entities.

C Sending negative confirmation requests depends upon auditor's professional judgment and Standards on Auditing do not spell out any confirmation requirements in this respect.

D Business entities are more likely to respond in case of disagreement. Therefore, sending negative confirmation requests always provides better qualitative audit evidence as compared to other confirmation modes.

MCQ 2 2 marks

Which of the planned audit procedure(s) pertaining to trade receivables described in case scenario is/are not related to verification of "Completeness assertion"?

A 2 only

B 2 and 3

C 3 only

D 1 and 3

MCQ 3 2 marks

Guide team member S by selecting the correct option with respect to "Share Options Outstanding Account":

A It is required to be classified under head “Current liabilities”.

B It is required to be classified under Shareholder funds under “Share Capital”. Further, it is to be classified separately under “Paid up Share Capital”.

C It is required to be classified under Shareholder funds under “Reserves & Surplus”. Further, it is to be classified separately as such under “Reserves & Surplus”.

D It is required to be classified under Shareholder funds under “Reserves & Surplus”. However, it is shown as part of Capital Reserve. No Separate disclosure is mandated under Schedule III of Companies Act, 2013.

MCQ 4 2 marks

Which of the planned audit procedures in relation to the inventories described in the case scenario is/are not in nature of analytical procedure(s)?

A 2 and 3

B 3 only

C 2 and 4

D 4 only

ICAI’S ANSWERS

MCQ 1

(B)

MCQ 2

(C)

MCQ 3

(C)

MCQ 4

(D)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 1-2 · answer p. 1

620 MTP **Old P6 May 2023 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

M/s ABC & Associates have been appointed as auditors of Venus Ltd. for the Financial Year 2020-21.

- During the course of audit, the auditors notice that certain legal expenses been charged to revenue during the financial year by Venus Ltd.
- These legal expenses are related to litigations going against the company regarding its Corporate Social Responsibility expenses incurred near its factory area.
- Further, M/s ABC & Associates noticed that there is a major change in the debtors and creditors account of Venus Ltd. during the financial year under audit. The auditors have decided to send balance confirmation requests to the debtors and creditors of Venus Ltd. Also, the auditors decide to take management representation letters wherever required.
- The auditors have noticed certain related party transactions reflected in the financial statements

of Venus Ltd. during the financial year under audit. The transaction is between Venus Ltd. and a Company owned by wife of one of the directors of Venus Ltd.

- The auditors have become aware of certain subsequent events occurring in case of Venus Ltd. These are related to the outcomes of the litigations going against Venus Ltd.
- The auditors are also concerned whether the litigations going against Venus Ltd. and their outcomes have any impact on the going concern of the company.

Based on the above facts, answer the following:-

MCQ 2.1 2 marks

Statement 1: Although Written Representations provide necessary audit evidence, they do not provide sufficient and appropriate audit evidence on their own about the matters with which they deal.

Statement 2: Written Representations do not include financial statements, the assertions within, or supporting books and records.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both Statement 1 & 2 are correct

D None of Statement 1 & 2 is correct

MCQ 2.2 2 marks

The auditor can perform the following procedures to identify litigation and claims of Venus Ltd.:-

(i) Inquiry of management including in house legal counsel.

(ii) Reviewing legal expenses account.

(iii) Reviewing of minutes of meetings of those charged to governance and correspondence between entity and external legal counsel.

A (i) & (i) are correct

B (i), (ii) & (iii) are correct

C (ii) & (iii) are correct

D only (i) is correct

MCQ 2.3 2 marks

Negative confirmation requests require the third party to respond in the following cases : -

A If there is agreement

B If there is disagreement

C In both cases of agreement as well as disagreement

D None of the above.

MCQ 2.4 2 marks

Statement 1:- A failure of the confirming party to respond, or fully respond to a positive confirmation request or a confirmation request returned undelivered is a case of Non Response.

Statement 2:- A response that indicates difference between information requested to be confirmed and contained in entity's records and information provided by the confirming part is a case of Exception.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both Statement 1 & 2 are correct

D None of Statement 1 & 2 is correct

MCQ 2.5 2 marks

Which of the following is correct so far as the related party transactions are concerned: -

(i) Many related party transactions are in the normal course of business.

(ii) Related party transactions may not be conducted under normal market term and conditions.

(iii) In some circumstances, related party transactions may give rise to higher risks of material misstatement.

A only (i) is correct

B (i) & (iii) are correct

C (i), (ii) & (iii) are correct

D (i) and (ii) are correct

ICAI'S ANSWERS

MCQ 2.1

(C) Both Statement 1 & 2 are correct

MCQ 2.2

(B) (i), (ii) & (iii) are correct

MCQ 2.3

(B) If there is disagreement

MCQ 2.4

(C) Both Statement 1 & 2 are correct

MCQ 2.5

(C) (i), (ii) & (iii) are correct

ICAI · Old P6 · MTP May 2023 · Series I · question p. 2 · answer p. 1

621 MTP **Old P6 Jul 2021 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

Ghan Shyam & Associates have been appointed as the statutory auditors of ABC Ltd. for the FY 2019-2020. The engagement partner, CA Ghan Shyam established the overall audit strategy and made the detailed plan with respect to the audit assignment of ABC Ltd. after discussing the same with the engagement team.

The strategy adopted by Ghan Shyam & Associates consisted of relying on the internal control system of the company and the audit plan and programme were developed accordingly & executed by the engagement team. During the course of audit, the engagement partner, CA Ghan Shyam found that some internal control system of the company were not in place. So, he decided not to rely on the

internal control system of the company and accordingly changed the firm's overall audit strategy, audit plan & audit programme.

While conducting audit, the engagement partner also discussed with his team regarding the audit procedures to be performed to verify the debtors' balances of ABC Ltd. CA Ghan Shyam also asked for the addresses of various debtors from the management of ABC Ltd. to send balance confirmation request to such debtors. The management provided such addresses to the audit team. However, the management of ABC Ltd. asked the debtors to send the responses to such confirmation request to General Manager of accounts department who will in turn provide such responses to the audit team. Also with respect to five random debtors, CA Ghan Shyam decided to confirm the terms of agreement also along with confirming the balance amount, by seeking responses to confirmation requests from such debtors.

During the course of audit, the auditor found that the inventory of ABC Ltd. is kept at its factories and various other locations including warehouses. The audit team is unable to attend the physical verification activity undertaken by the management at all such locations.

During the course of audit, the audit team found that legal cases have been filed against the company on account of customer complaint. CA Ghan Shyam discussed with his team regarding the audit

procedures that can be performed by the audit team in this regard. CA Ghan Shyam also briefed his engagement team regarding the documents to be included in the audit file with respect to the audit assignment of ABC Ltd.

Based on the above facts, answer the following:-

MCQ 1.1 2 marks

Is CA Ghan Shyam right in changing the overall audit strategy and plan after the audit team has started working as per the earlier strategy established & plan so developed?

A. CA Ghan Shyam is not right as once the audit team has started the audit work, it is not correct to change the audit strategy and plan.

B. CA Ghan Shyam is not right as once the overall audit strategy has been established the same cannot be changed. Audit plan however can be revised.

C. CA Ghan Shyam is right in making changes to the overall audit strategy and the audit plan.

D. CA Ghan Shyam can change the overall audit strategy and audit plan only after discussing the same with the management of ABC Ltd.

MCQ 1.2 2 marks

Which of the following audit procedures should the audit team perform with respect to verification of debtors balance?

A Ghan Shyam & Associates can compare the debtors balance reflected in financial statement with the total balance of ledgers account in the books of ABC Ltd.

B Ghan Shyam & Associates can obtain direct balance confirmation from the debtors as this is external evidence which is most reliable and relevant.

C Ghan Shyam & Associates can obtain management representations with respect to the debtors balance from the management of ABC Ltd and need not perform other audit procedure as obtaining written representation from management constitutes sufficient and appropriate audit evidence.

D Both a & b.

MCQ 1.3 2 marks

Statement 1: The reliability of information to be used as audit evidence is influenced by its source and its nature, and the circumstances under which it is obtained.

Statement 2: The audit evidence obtained from sources external to the entity are generally more reliable than the audit evidence from internal sources.

A Only statement 1 is true

B Only statement 2 is true

C Both the statements are true

D None of the statements is true

MCQ 1.4 2 marks

With respect to the inventory of ABC Ltd. kept in warehouse, which audit procedures can the audit team perform to obtain sufficient and appropriate audit evidence?

A Checking of warehouse receipt with the inventory record of ABC Ltd.

B Obtaining direct confirmation with respect to quantity & condition of inventory of ABC Ltd. from the warehouse.

C Both a & b

D Seeking a management representation regarding inventory valuation and mentioning the fact regarding inventory being kept at the warehouse in the audit report.

MCQ 1.5 2 marks

Is management correct in asking the debtors to provide the reply of confirmation request of auditor to the General Manager of accounts department of the company?

A Yes, the management has correctly asked the debtors to respond directly to the GM of accounts department.

B No, management is not correct in asking for a direct response to GM of accounts department as external confirmation is the response obtained directly by the auditor.

C Yes, the management is correct in advising direct response to the GM of accounts department as this will ensure that only correct confirmation are provided to the auditors.

D No, management is not correct as this is the option of the auditor to see if the response to external confirmation is to be obtained by management or auditor himself.

ICAI'S ANSWERS

MCQ 1.1

(C)

MCQ 1.2

(D)

MCQ 1.3

(C)

MCQ 1.4

(C)

MCQ 1.5

(B)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 1 · answer p. 1

622 MTP **Old P6 May 2020 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

- M/s TPR & Associates have been appointed as the auditors of Octopus Ltd. for the Financial Year 2019-20.

- During the course of audit, the auditor notices that there is significant change in the number of debtors of the company. The auditor decided to check the debtors account in detail.
- Further the company has made various provisions like the provisions for taxation, provision for bad & doubtful debts.
- Also during the current Financial Year, the auditor attended the physical verification of the inventory being carried out by the management.
- The auditor notices that there is no substantial change in the bifurcation of amount of items representing the liabilities side of the balance sheet of Octopus Ltd. Still the auditor understands that he needs to check the liability side in detail.
- Further the company has also recognised various income like interest income and dividend income which auditor understands need to be checked in detail.
- The auditor is of the understanding that certain matters need to be reported under Companies Auditors Report Order (CARO).

Based on the above facts, answer the following:-

MCQ 1.1 2 marks

.....is a possible obligation that arises from the past events and whose existence will be confirmed only by the occurrence/ non occurrence of one or more uncertain future events not wholly within the control of the entity:-

A Provision

B Reserve

C Contingent Liability

D Liability

MCQ 1.2 2 marks

Which of the following is not correct with respect to the inventory held by Octopus Limited:-

A All inventory units held by the company should have been recorded and recognized in the financial statements.

B Any inventory held by a third party on behalf of the company should not be included as part of the inventory balance.

C Inventory should be recognized at cost or net realizable value whichever is lower.

D Inventory balance as at the year end does not include any element of next year

MCQ 1.3 2 marks

If the management of Octopus Ltd. refuses to allow the auditor, to send the confirmation request to the debtors, the auditor should:-

A Withdraw from the engagement.

B Not listen at all to any requests of the management.

C Consider the management's request for refusal and assess its validity and decide the nature, timing, extent of his audit procedures accordingly.

D Agree to management request and proceed with audit of other items of the financial statements.

MCQ 1.4 2 marks

Which of the following statements is not true so far as the liabilities of a company are concerned:-

A Liabilities are the financial obligations of a company including owner's funds.

B Liabilities include borrowing, trade payable and other current liabilities and provisions.

C Verification of liabilities is an important as that of assets.

D All of the above.

MCQ 1.5 2 marks

Statement 1: Confirmations as well as undelivered letters should be given/ returned to the auditor and not to the client

Statement 2: When no reply is received, the auditor should perform alternate procedures regarding the balances:-

A Only statement 1 is correct

B Only statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

ICAI'S ANSWERS

MCQ 1.1

(C)

MCQ 1.2

(B)

MCQ 1.3

(C)

MCQ 1.4

(A)

MCQ 1.5

(C)

ICAI · Old P6 · MTP May 2020 · Series I · question p. 1 · answer p. 1

623 MTP **Old P6 May 2020 S-I** General MCQ 2 2 marks

MCQ old scheme

A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request is-

A Positive confirmation request

B Non-response

C Exception

D Negative confirmation request

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2020 · Series I · question p. 4 · answer p. 1

4.8 SA 510: opening balances in initial engagements

12 questions · asked in 13 ICAI documents · 1 exam paper

624 EXAM Old P6 May 2022 Q3(c) 3 marks old scheme

Also asked in RTP May 2024 Q9

The newly appointed auditor of BTN Limited wants to obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements. What audit procedures should he perform for this purpose?

ICAI'S ANSWER

Audit Procedure Regarding Opening Balances: The newly appointed auditor of BTN Ltd shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.

The auditor of BTN Ltd shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

(1) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss.

(2) Determining whether the opening balances reflect the application of appropriate accounting policies; and

(3) Performing one or more of the following:

(i) Where the prior year financial statements were audited, perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements.

(ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or

(iii) Performing specific audit procedures to obtain evidence regarding the opening balances.

ICAI · Old P6 · May 2022 exam · question p. 6 · answer p. 7

625 **RTP** **Jan 2026** Q13

SIME & Co., Chartered Accountants, have been appointed as statutory auditors of Delight & Delight, a Partnership firm, for the first time for F.Y. 2024-25. The previous year's financial statements were not subject to audit. During the audit, the new auditors noticed differences in some opening balances brought forward from previous year. With respect to relevant SA, explain the objective of Auditor with respect to opening balances.

ICAI'S ANSWER

As per SA 510, "Initial Audit Engagements – Opening Balances", in conducting an initial audit

engagement, the objective of the auditor with respect to opening balances is to obtain sufficient appropriate audit evidence about whether:

(a) Opening balances contain misstatements that materially affect the current period's financial statements; and

(b) Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.

ICAI · P5 · RTP Jan 2026 · question p. 7 · answer p. 13

626 RTP **Old P6 May 2023 Q8** old scheme

What is the objective of the auditor with respect to the opening balances when conducting an initial audit engagement as per the relevant SA?

ICAI'S ANSWER

In conducting an initial audit engagement, the objective of the auditor with respect to opening balances is to obtain sufficient appropriate audit evidence about whether:

(a) Opening balances contain misstatements that materially affect the current period's financial statements; and

(b) Appropriate accounting policies reflected in the opening balances have been consistently applied in

the current period's financial statements, or changes thereto are properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 18

627 RTP **Old P6 Nov 2019** MCQ 8 MCQ old scheme

Also asked in Old P6 MTP May 2020 S-I General MCQ 4

If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances, the auditor shall express:

A a disclaimer opinion

B a qualified opinion

C a qualified opinion or a disclaimer of opinion, as appropriate, in accordance with SA 705.

D unmodified opinion

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Nov 2019 · question p. 4 · answer p. 9

628 MTP **Sep 2026 S-II** Q2(c) 4 marks

While conducting the audit of Shree Engineering Limited for the year ended 31st March, 2026, A & Co., Chartered Accountants, were required to consider the opening balances, as the company had been audited by another firm in the previous year.

While planning the audit, the audit team considered the procedures required to obtain sufficient appropriate audit evidence regarding the opening balances. The team noted that the extent of such procedures would need to be determined having regard to the accounting policies followed by the company, the nature and significance of the opening balances, the risks of material misstatement and whether the previous year's financial statements had been audited.

With reference to the above facts, explain the factors that determine the nature and extent of audit procedures for obtaining audit evidence regarding opening balances.

ICAI'S ANSWER

Nature and Extent of Audit Procedures

The nature and extent of audit procedures necessary to obtain sufficient appropriate audit evidence regarding opening balances depend on such matters as:

- The accounting policies followed by the entity.
- The nature of the account balances, classes of transactions and disclosures and the risks of material misstatement in the current period's financial statements.
- The significance of the opening balances relative to the current period's financial statements.
- Whether the prior period's financial statements were audited and, if so, whether the predecessor auditor's opinion was modified.

629 MTP **May 2026 S-II** Q3(a) 5 marks

Raghav Mehra & Co., Chartered Accountants, were appointed as the statutory auditors of Jeep Manufacturing Limited for the financial year 2024–25. The company is engaged in large-scale production of automobile components and maintains significant opening balances relating to inventory, trade receivables, and fixed assets.

The financial statements for the previous year (2023–24) were audited by another firm, S.K. Verma & Associates, who had issued an unmodified audit opinion.

During the audit, CA Raghav Mehra decided not to perform any audit procedures on opening balances. He was of the view that since the previous year's financial statements had already been audited by a qualified auditor, reliance could be placed on the same and no further verification was necessary.

The audit manager expressed concern that such an approach may not be in accordance with the Standards on Auditing.

In the light of the above facts:

(i) Examine whether the approach of CA Raghav Mehra is correct.

(ii) State the audit procedures that should be performed regarding opening balances in such cases.

ICAI'S ANSWER

Initial audit engagement is an engagement in which either:

(i) The financial statements for the prior period were not audited; or

(ii) The financial statements for the prior period were audited by a predecessor auditor.

In the given case, since the previous year's financial statements were audited by another auditor, the present engagement is an initial audit engagement.

Therefore, the approach of CA Raghav Mehra is not correct, as reliance cannot be placed solely on the predecessor auditor's report. The current auditor is required to obtain sufficient appropriate audit evidence regarding opening balances.

Audit Procedures regarding Opening Balances: The auditor shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.

The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

(a) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period

items in the current year's Statement of Profit and Loss;

(b) Determining whether the opening balances reflect the application of appropriate accounting policies; and

(c) Performing one or more of the following:

(i) Where the prior year financial statements were audited, perusing the copies of the audited financial statements including other relevant documents relating to the prior period;

(ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or

(iii) Performing specific audit procedures to obtain evidence regarding the opening balances.

Thus, CA Raghav Mehra's approach is inappropriate. As per Standards on Auditing, even in cases of audited prior period financial statements, the incoming auditor must perform adequate procedures on opening balances to ensure that they are free from material misstatement and properly brought forward.

ICAI · P5 · MTP May 2026 · Series II · question p. 11-12 · answer p. 6-7

630 **MTP** **Jan 2026 S-II** **Q4(a)** **5 marks**

FGH Ltd. has appointed you as the auditor for the financial year 2024–25. The company had a different auditor in the previous year. While planning the audit,

you note that the opening balances include significant inventory and receivable amounts. The Manager (Accounts) informs you that accounting policies are generally consistent but the prior year auditor's report contained a qualification relating to valuation of receivables.

As statutory auditor of the company, you need to obtain sufficient appropriate audit evidence regarding the opening balances.

Explain the matters that will influence the nature and extent of audit procedures you will consider for verifying the opening balances.

ICAI'S ANSWER

The nature and extent of audit procedures necessary to obtain sufficient appropriate audit evidence regarding opening balances depend on such matters as:

- The accounting policies followed by the entity.
- The nature of the account balances, classes of transactions and disclosures and the risks of material misstatement in the current period's financial statements.
- The significance of the opening balances relative to the current period's financial statements.
- Whether the prior period's financial statements were audited and, if so, whether the predecessor auditor's opinion was modified.

In the case of FGH Ltd., the presence of significant inventory and receivable opening balances along with the prior auditor's qualification on receivables increases the risk associated with opening balances. Therefore, these factors will require you, as the new statutory auditor, to design more extensive and carefully focused audit procedures in accordance with SA 510 to obtain sufficient appropriate audit evidence before forming your opinion on the current year's financial statements.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 10 · answer p. 7-8

631 MTP **Sep 2025 S-II** Q1(c) 4 marks

M/s Dheeraj & Associates, Chartered Accountants, have been appointed as statutory auditors of SPICE Limited for the year 2024-25. CA Dheeraj relied solely on the prior year's audited financial statements and did not apply any audit procedures regarding opening balances. He is of the view that since financial statements were audited by the predecessor auditor, therefore, he is not required to verify them. Whether point of view of CA Dheeraj is correct?

ICAI'S ANSWER

As per SA 510, "Initial Audit Engagements - Opening Balances", initial audit engagement is an engagement in which either:

(i) The financial statements for the prior period were not audited; or

(ii) The financial statements for the prior period were audited by a predecessor auditor.

The auditor shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.

The auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

(A) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss;

(B) Determining whether the opening balances reflect the application of appropriate accounting policies; and

(C) Performing one or more of the following:

(i) Where the prior year financial statements were audited, perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements;

(ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or

(iii) Performing specific audit procedures to obtain evidence regarding the opening balances.

In the given case, CA Dheeraj relied solely on the prior year's audited financial statements and did not apply any audit procedures regarding opening balances. In view of above, CA Dheeraj's point of view is not correct, and he would therefore be required to consider this as an initial audit engagement and perform appropriate audit procedures regarding the opening balances.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 8 · answer p. 3-4

632 MTP **May 2024 S-II** Q2(c) 3 marks

In an initial audit engagement, in the case of inventories, the current period's audit procedures on the closing inventory balance provide little audit evidence regarding inventory on hand at the beginning of the period. Therefore, in such a case, additional audit procedures become necessary so that auditor may obtain sufficient appropriate audit evidence. Discuss those additional audit procedures.

ICAI'S ANSWER

In an initial audit engagement, in the case of inventories, the current period's audit procedures on the closing inventory balance provide little audit evidence regarding inventory on hand at the beginning of the period. Therefore, additional audit procedures may be necessary, and one or more of

the following may provide sufficient appropriate audit evidence:

- Observing a current physical inventory count and reconciling it to the opening inventory quantities.
- Performing audit procedures on the valuation of the opening inventory items.
- Performing audit procedures on gross profit and cut-off.

ICAI · P5 · MTP May 2024 · Series II · question p. 10 · answer p. 4

633 MTP **Old P6 May 2023 S-II** Q5(a) 3 marks old scheme

The newly appointed auditor of Parag Limited wants to obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements. What audit procedures should he perform for this purpose?

ICAI'S ANSWER

Audit Procedure Regarding Opening Balances: The newly appointed auditor of Parag Ltd shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures.

The auditor of Parag Ltd shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that

materially affect the current period's financial statements by:

(1) Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss.

(2) Determining whether the opening balances reflect the application of appropriate accounting policies; and

(3) Performing one or more of the following:

(i) Where the prior year financial statements were audited, perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements.

(ii) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or

(iii) Performing specific audit procedures to obtain evidence regarding the opening balances.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 7

634 MTP **Old P6 Nov 2019 S-I** MCQ 23 2 marks MCQ old scheme

If the auditor is unable to obtain sufficient appropriate audit evidence regarding the opening balances,

A the auditor shall express a qualified opinion in accordance with SA 705.

B the auditor shall express a disclaimer of opinion in accordance with SA 705.

C the auditor shall express a qualified opinion or adverse opinion, as appropriate, in accordance with SA 705.

D the auditor shall express a qualified opinion or a disclaimer of opinion, as appropriate, in accordance with SA 705.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 5 · answer p. 1

635 MTP **Old P6 Nov 2019 S-I** Q3(b) 4 marks old scheme

Auditors of M/s Tender India (P) Ltd. were changed for the accounting year 2016-17. The closing inventory of the company as on 31.3.2016 amounting to Rs. 100 lacs continued as it is and became closing inventory as on 31.3.2017. The auditors of the company propose to exclude from their audit programme the audit of closing inventory of Rs. 100 lacs on the understanding that it pertains to the preceding year which was audited by another auditor.

ICAI'S ANSWER

Verification of Inventory: As per SA 510 "Initial Audit Engagements – Opening Balances", in conducting an initial audit engagement, the

objective of the auditor with respect to opening balances is to obtain sufficient appropriate audit evidence about whether-

(i) Opening balances contain misstatements that materially affect the current period's financial statements; and

(ii) Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are properly accounted for and adequately presented and disclosed in accordance with the applicable financial reporting framework.

When the financial statements for the preceding period were audited by predecessor auditor, the current auditor may be able to obtain sufficient appropriate audit evidence regarding opening balances by perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements such as supporting schedules to the audited financial statements. Ordinarily, the current auditor can place reliance on the closing balances contained in the financial statements for the preceding period, except when during the performance of audit procedures for the current period the possibility of misstatements in opening balances is indicated.

General principles governing verification of assets require that the auditor should confirm that assets have been correctly valued as on the Balance Sheet

date. The contention of the management that the inventory has not undergone any change cannot be accepted, it forms part of normal duties of auditor to ensure that the figures on which he is expressing opinion are correct and properly valued. Moreover, it is also quite likely that the inventory lying as it is might have deteriorated and the same need to be examined. The auditor is advised not to exclude the audit of closing inventory from his audit programme.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 5

4.9 SA 550: related parties

10 questions · asked in 11 ICAI documents · 3 exam papers

636 EXAM **Sep 2026** Q5(a) 5 marks

M/s V & Co. were the statutory auditors of A Components Ltd. During the audit, the partner CA Verma observed that the company has entered into certain related party transactions involving no exchange of consideration.

Considering the nature of such transactions, the engagement partner decided to obtain an understanding of the entity's related party relationships and transactions through inquires of the management and by evaluating the control established by the management.

With reference to SA 550 (Related Parties), explain the inquiries and risk assessment procedures that the partner CA Verma should perform to obtain an

understanding of the entity's related party relationships and transactions.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 20

637 EXAM **Old P6 Nov 2023** Q3(d) 3 marks old scheme

The nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties. Explain with the help of examples.

ICAI'S ANSWER

Many related party transactions are in the normal course of business. In such circumstances, they may carry no higher risk of material misstatement of the financial statements than similar transactions with unrelated parties. However, the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties.

Examples are:

1. Related parties may operate through an extensive and complex range of relationships and structures with a corresponding increase in the complexity of related party transactions.

2. Information systems may be ineffective at identifying or summarizing transactions and outstanding balances between an entity and its related parties.
3. Related party transactions may not be conducted under normal market terms and conditions. For example, some related party transactions may be conducted with no exchange of consideration.

ICAI · Old P6 · Nov 2023 exam · question p. 5 · answer p. 6-7

638 EXAM Old P6 May 2022 Q3(a) 4 marks old scheme

P Ltd. is a company from a business group "ABCD" and is engaged in trading of garments. The promoters of the company are promoters and directors of some other group companies also. You have been appointed as an auditor of P Ltd. P Ltd has entered into various inter company transactions (within group companies) during the year which are outside its normal course of business. What will be your duties as an auditor in relation to those transactions?

ICAI'S ANSWER

Duties of Auditor in identifying Significant Related Party Transactions: For identified significant related party transactions outside the P Ltd.'s normal course of business, the auditor shall:

1. Inspect the underlying contracts or agreements, if any, and evaluate whether:
(i) The business rationale (or lack thereof) of the transactions suggests that they may have been

entered into to engage in fraudulent financial reporting or to conceal misappropriation of assets;

(ii) The terms of the transactions are consistent with management's explanations; and

(iii) The transactions have been appropriately accounted for and disclosed in accordance with the applicable financial reporting framework; and

2. Obtain audit evidence that the transactions have been appropriately authorised and approved.

ICAI · Old P6 · May 2022 exam · question p. 6 · answer p. 6

639 RTP **Old P6 Dec 2021** Q8 old scheme

Also asked in MTP May 2025 S-II Q6(a)

The auditor has a responsibility to perform audit procedures to identify, assess and respond to the risks of material misstatement arising from the entity's failure to appropriately account for related party relationships, transactions or balances.

During the audit, the auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the records or documents that may provide information about related party relationships and transactions. Explain in detail with examples.

ICAI'S ANSWER

During the audit, the auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the following records or documents that may provide information about related party relationships and transactions, **for example**:

1. Entity income tax returns.
2. Information supplied by the entity to regulatory authorities.
3. Shareholder registers to identify the entity's principal shareholders.
4. Statements of conflicts of interest from management and those charged with governance.
5. Records of the entity's investments and those of its pension plans.
6. Contracts and agreements with key management or those charged with governance.
7. Significant contracts and agreements not in the entity's ordinary course of business.
8. Specific invoices and correspondence from the entity's professional advisors.
9. Life insurance policies acquired by the entity.
10. Significant contracts re-negotiated by the entity during the period.
11. Internal auditors' reports.
12. Documents associated with the entity's filings with a securities regulator e.g, prospectuses)

640 RTP **Old P6 Nov 2020** Q7(a) old scheme

There are specific accounting and disclosure requirements for related party relationships, transactions and balances to enable users of the financial statements to understand their nature and effects on the financial statements.

Explain in detail stating clearly the auditor's responsibility in the above context.

ICAI'S ANSWER

There are specific accounting and disclosure requirements for related party relationships, transactions and balances to enable users of the financial statements to understand their nature and effects on the financial statements.

The auditor has a responsibility to perform audit procedures to identify, assess and respond to the risks of material misstatement arising from the entity's failure to appropriately account for related party relationships, transactions or balances.

The auditor needs to obtain an understanding of the entity's related party relationships and transactions sufficient to be able to conclude whether the financial statements, insofar as they are affected by those relationships and transactions:

(a) Achieve a true and fair presentation ; or

(b) Are not misleading (for compliance frameworks).

In addition, an understanding of the entity's related party relationships and transactions is relevant to the auditor's evaluation of whether fraud risk factors are present as required by SA 240. This is because fraud may be more easily committed through related parties.

Owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements of the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the SAs. In the context of related parties, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for such reasons as the following:

- Management may be unaware of the existence of all related party relationships.
- Related party relationships may present a greater opportunity for collusion, concealment or manipulation by management.

Planning and performing the audit with professional skepticism as required by SA 200 is therefore particularly important in this context, given the potential for undisclosed related party relationships and transactions. The requirements in this SA are designed to assist the auditor in identifying and assessing the risks of material misstatement associated with related party relationships and transactions, and in designing audit procedures to respond to the assessed risks.

641 RTP **Old P6 May 2020** Q7(a) old scheme

The nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties. Explain with the help of at least three examples.

ICAI'S ANSWER

Many related party transactions are in the normal course of business. In such circumstances, they may carry no higher risk of material misstatement of the financial statements than similar transactions with unrelated parties. However, the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties.

Example

- Related parties may operate through an extensive and complex range of relationships and structures, with a corresponding increase in the complexity of related party transactions.
- Information systems may be ineffective at identifying or summarising transactions and outstanding balances between an entity and its related parties.
- Related party transactions may not be conducted under normal market terms and conditions; for

example, some related party transactions may be conducted with no exchange of consideration.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 16-17

642 MTP **Sep 2026 S-I** Q3(c) 4 marks

NRS & Associates, Chartered Accountants, were conducting the statutory audit of Perry Industries Limited for the year ended 31st March, 2026. During the audit, the auditor identified several transactions entered into by the company with its related parties, including sale of goods, rendering of management services and inter-corporate financing arrangements.

The management contended that most of these transactions were undertaken in the ordinary course of business and were similar to transactions entered into with unrelated parties. However, the auditor observed that the company had a large number of group entities operating through a complex organisational structure. Further, certain transactions were not readily identifiable from the accounting system and some transactions appeared to have been entered into without adequate consideration.

The audit team discussed whether related party transactions always involve a higher risk of material misstatement and the circumstances in which such risk may increase.

In the light of the above facts, explain the risks associated with related party relationships and transactions. State whether such transactions always

involve a higher risk of material misstatement and illustrate, with examples, the circumstances in which such risk may increase.

ICAI'S ANSWER

Many related party transactions are in the normal course of business. In such circumstances, they may carry no higher risk of material misstatement of the financial statements than similar transactions with unrelated parties.

However, the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement of the financial statements than transactions with unrelated parties.

For example

(A) Related parties may operate through an extensive and complex range of relationships and structures, with a corresponding increase in the complexity of related party transactions.

(B) Information systems may be ineffective at identifying or summarising transactions and outstanding balances between an entity and its related parties.

(C) Related party transactions may not be conducted under normal market terms and conditions; for example, some related party transactions may be conducted with no exchange of consideration.

In the given case of Perry Industries Limited, although many related party transactions may have

been entered into in the normal course of business, the existence of a complex group structure, difficulties in identifying related party transactions through the information system and transactions without adequate consideration increase the risk of material misstatement. Therefore, the auditor should exercise heightened professional skepticism and perform appropriate audit procedures in relation to such related party relationships and transactions.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 14 · answer p. 9

643 MTP **Jan 2026 S-II Q1(b)** 5 marks

Bell Manufacturing Ltd. has undergone a restructuring during the current year resulting in changes in key personnel and ownership interests. The auditor observes that several new parties have become related to the entity due to these changes. During the audit, the auditor also notices a few transactions that appear unusual and possibly outside the normal course of business. Management states that all related party relationships and transactions have been properly identified and recorded.

Explain, with reference to SA 550, inquiries the auditor should make of management and the additional audit procedures to be performed in relation to related parties and related party transactions in this situation.

ICAI'S ANSWER

According to SA 550 on "Related Parties", the auditor shall inquire of management regarding:

(i) The identity of the entity's related parties, including changes from the prior period.

(ii) The nature of the relationships between the entity and these related parties; and

(iii) Whether the entity entered into any transactions with these related parties during the period and, if so, the type and purpose of the transactions.

The auditor shall inquire of management and others within the entity, and perform other risk assessment procedures considered appropriate, to obtain an understanding of the controls, if any, that management has established to -

(i) Identify, account for, and disclose related party relationships and transactions in accordance with the applicable financial reporting framework;

(ii) Authorise and approve significant transactions and arrangements with related parties; and

(iii) Authorise and approve significant transactions and arrangements outside the normal course of business.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 8 · answer p. 2

644 MTP Sep 2025 S-II Q3(a) 5 marks

The auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the records or documents that may provide information about related party relationships and transactions. List any ten documents or records that an auditor may inspect to identify related party relationships and transactions during an audit.

ICAI'S ANSWER

As per SA 550, "Related Parties", during the audit, the auditor should maintain alertness for related party information while reviewing records and documents. He may inspect the following records or documents that may provide information about related party relationships and transactions, for example:

- Entity income tax returns.
- Information supplied by the entity to regulatory authorities.
- Shareholder registers to identify the entity's principal shareholders.
- Statements of conflicts of interest from management and those charged with governance.
- Records of the entity's investments and those of its pension plans.
- Contracts and agreements with key management or those charged with governance.

- Significant contracts and agreements not in the entity's ordinary course of business.
- Specific invoices and correspondence from the entity's professional advisors.
- Life insurance policies acquired by the entity.
- Significant contracts re-negotiated by the entity during the period.
- Internal auditors' reports.
- Documents associated with the entity's filings with a securities regulator e.g, prospectuses)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 9 · answer p. 5-6

645 MTP **Sep 2024 S-I** Q6(b) 5 marks

While performing audit of financial statements of a listed company, statutory auditor needs to maintain an attitude of professional skepticism for related party information. State examples of the records or the documents that may provide information about related party relationships and transactions.

ICAI'S ANSWER

During the audit, the auditor should maintain alertness for related party information while reviewing records and documents. Examples of the records or the documents that may provide information about related party relationships and transactions are:

1. Entity income tax returns.

2 Information supplied by the entity to regulatory authorities.

3. Shareholder registers to identify the entity's principal shareholders.

4. Statements of conflicts of interest from management and those charged with governance.

5. Records of the entity's investments and those of its pension plans.

6. Contracts and agreements with key management or those charged with governance.

7. Significant contracts and agreements not in the entity's ordinary course of business.

8. Specific invoices and correspondence from the entity's professional advisors.

9. Life insurance policies acquired by the entity.

10. Significant contracts re-negotiated by the entity during the period.

11. Internal auditor's reports.

12. Documents associated with the entity's filings with a securities regulator (e.g. prospectuses).

ICAI · P5 · MTP Sep 2024 · Series I · question p. 11 · answer p. 9

4.10 SA 520: analytical procedures

95 questions · asked in 37 ICAI documents · 9 exam papers

646 EXAM **Old P6 Nov 2023** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

State with reasons whether the following statements are correct or incorrect. (Answer any seven)

Q1(a) 2 marks

The relationships between individual financial statements items traditionally considered in the audit of business entities may not always be relevant in the audit of governments or other non-business public sector entities.

Q1(b) 2 marks

NGOs registered under the Companies Act, 2013 are not allowed to maintain accounts on cash basis.

Q1(c) 2 marks

Sales invoice is an example of external evidence.

Q1(d) 2 marks out of syllabus

Any casual vacancy in the office of a Cost Auditor, due to resignation, shall be filled in Annual General Meeting within 60 days of occurrence of such vacancy and the company shall inform the central government in Form CRA-2 within 45 days of such appointment of cost auditor.

Q1(e) 2 marks

Under 'finance lease', lease term generally extends to less than 75% of the projected useful life of the leased

asset.

Q1(f) 2 marks

Block sampling does not involve judgement, does not even use the random number tables and has no structured approach.

Q1(g) 2 marks

In government expenditure audit, audit against provision of funds aims at ensuring that each item of expenditure is covered by sanction, either general or special, of the competent authority.

Q1(h) 2 marks

Internal controls over financial reporting is required where auditors are required to express an opinion on the effectiveness of an entity's internal controls over financial reporting.

ICAI'S ANSWERS

Q1(a)

Correct: In many public sector entities, there may be little direct relationship between revenue and expenditure.

In addition, because expenditure on the acquisition of assets may not be capitalized, there may be no relationship between expenditures on, for example, inventories and fixed assets and the amount of those assets reported in the financial statements. Also, industry data or statistics for comparative purposes may not be available in the public sector.

Q1(b)

Correct: NGOs registered under the Companies Act, 2013 must maintain their books of account under the accrual basis as required by the provisions of section 128 of the said Act.

If the accounts are maintained on cash basis, it would amount to non-compliance of the provisions of the Companies Act, 2013.

Q1(c)

Incorrect: Evidence which originates within the organisation being audited is called as internal evidence. The evidence that originates outside the client's organization is known as external evidence.

In view of above, sales invoice is an example of internal evidence because it originates within the organisation.

Q1(d)

Incorrect: Any casual vacancy in the office of a Cost Auditor, whether due to resignation, death or removal, shall be filled by the **Board of Directors within 30 days** of occurrence of such vacancy and the company shall inform the central government in Form CRA-2 **within 30 days** of such appointment of cost auditor.

PassBook's note: Out of syllabus (old scheme): the appointment of a cost auditor and the filling of a casual vacancy in that office (section 148 of the Companies Act, 2013 and the Companies (Cost Records and Audit) Rules, 2014, Form CRA-2) were part of old Paper 6's company audit chapter.

Q1(e)

Incorrect: Under 'Operating Lease', lease term generally extends to less than 75% of the projected useful life of the leased asset.

On the other hand, under 'Finance lease', lease term is generally more than or equal to estimated economic life of the asset under the lease arrangement.

Q1(f)

Incorrect: Haphazard sampling has no structured approach, does not involve judgment and does not even use the random number tables.

On the other hand, Block sampling involves selection of a block(s) of contiguous items from within population. Such selection has a risk of bias and of establishing a pattern of selection. Therefore, block sampling involves use of judgment.

Q1(g)

Incorrect: In Government expenditure audit, audit against sanctions aims at ensuring that each item of expenditure is covered by a sanction, either general or special, of the competent authority.

On the other hand, audit against provision of funds aims at ascertaining that the expenditure incurred has been on the purpose for which the grant and appropriation had been provided and that the amount of such expenditure does not exceed the appropriation made.

Q1(h)

Correct: Internal controls over financial reporting is required where auditors are required to express an opinion on effectiveness of an entity's internal controls over financial reporting.

Such opinion is in addition to and distinct from the opinion expressed by auditor on financial statements.

ICAI · Old P6 · Nov 2023 exam · question p. 1 · answer p. 1, 2

647 EXAM **Old P6 Nov 2023** Q5(c) 3 marks old scheme

While conducting the audit of PDP Ltd. for the financial year 2022-23, the statutory auditor identified certain inconsistencies while applying analytical procedures to the financial and non-financial data of PDP Ltd. Can statutory auditor investigate results of Analytical Procedures duly performed in accordance with SA 520? Discuss.

ICAI'S ANSWER

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

(i) Inquiring of management and obtaining appropriate audit evidence relevant to management's responses: Audit evidence relevant to management's responses may be obtained by

evaluating those responses taking into account the auditor's understanding of the entity and its environment, and with other audit evidence obtained during the course of the audit.

(ii) Performing other audit procedures as necessary in the circumstances: The need to perform other audit procedures may arise when, for example, management is unable to provide an explanation, or the explanation, together with the audit evidence obtained relevant to management's response, is not considered adequate.

ICAI · Old P6 · Nov 2023 exam · question p. 9 · answer p. 11

648 EXAM **Old P6 May 2023** Q4(c) 3 marks old scheme

The reliability of data is influenced by its source and nature and is dependent on the circumstances under which it is obtained. Explain the factors that are relevant when determining whether data is reliable for purposes of designing substantive analytical procedures.

ICAI'S ANSWER

The reliability of data is influenced by its source and nature and is dependent on the circumstances under which it is obtained.

Accordingly, the following points are relevant when determining whether data is reliable for purposes of designing substantive analytical procedures:

(i) Source of the information available. For example, information may be more reliable when it is

obtained from independent sources outside the entity;

(ii) Comparability of the information available. For example, broad industry data may need to be supplemented to be comparable to that of an entity that produces and sells specialised products;

(iii) Nature and relevance of the information available. For example, whether budgets have been established as results to be expected rather than as goals to be achieved; and

(iv) Controls over the preparation of the information that are designed to ensure its completeness, accuracy and validity. For example, controls over the preparation, review and maintenance of budgets.

ICAI · Old P6 · May 2023 exam · question p. 7 · answer p. 9

649 EXAM **Old P6 Nov 2022** Q4(d) 3 marks old scheme

As per the Standard on Auditing (SA) 520 "Analytical Procedures", what are the examples of analytical procedures having consideration of relationships?

ICAI'S ANSWER

Examples of Analytical Procedure having consideration of relationship:

As per the Standard on Auditing (SA) 520 "Analytical Procedures", examples of Analytical Procedures having consideration of relationships are:

i. Among elements of financial information that would be expected to conform to a predictable pattern based on the entity's experience, such as gross margin percentages.

ii. Between financial information and relevant non-financial information, such as payroll costs to number of employees.

ICAI · Old P6 · Nov 2022 exam · question p. 8 · answer p. 9

650 EXAM **Old P6 May 2022** Q2(b) 4 marks old scheme

Tree Limited presented its financial statements for the F.Y. 2021-2022 to its auditor for expressing an opinion thereon. The auditor while carrying out the audit started comparing various items of profit and loss account of the year under audit with previous financial years. What is auditor trying to achieve by carrying out those comparisons?

ICAI'S ANSWER

Purpose of Applying Analytical Procedure:
Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable.

The auditor of Tree Ltd. would achieve the following by carrying out the comparison stated in the question:

(i) If balances included in the Statement of Profit and Loss of an entity are compared with those contained in the Statement of Profit and Loss with that of the previous period, it would be possible to find out the reasons for increase or decrease in the amount of profits of those years.

(ii) By setting up certain expenses' ratios on the basis of balances included in the Statement of Profit and Loss, for the year under audit, comparing them with the same ratios for the previous year, it is possible to ascertain the extent of increase or decrease in various items of expenditure in relation to sales and that of trading profit in relation to sales.

(iii) If differences are found to be material, the auditor would ascertain the reasons thereof and assess whether the accounts have been manipulated to inflate or suppress profits.

(iv) It would be possible to identify the existence of unusual transactions, amounts, ratios and trends that might indicate matters that have audit implications.

ICAI · Old P6 · May 2022 exam · question p. 3 · answer p. 4

651 EXAM **Old P6 Dec 2021** Q4(d) 3 marks old scheme

Whether it is possible to independently verify the correctness of some of the items of expenses included

in the statement of profit and loss? Explain with the help of some examples.

ICAI'S ANSWER

Often it is possible to independently verify the correctness of some of the items of expenses included in the Statement of Profit and Loss.

For instance, the cost of importing goods which are subjected to an ad-valorem duty at uniform rate can be verified from the amount of duty paid. Similarly, a quantity of sugar sold by sugar mill can be verified independently from the amount of excise duty/ GST paid.

Similarly, the amount of any income or expenses which has a direct relationship with the amount of profits or that of sales can be verified independently, *e.g.,* commission paid to a manager calculated on the basis of net profits, commission paid to a selling agent as percentage of sales, etc. Such calculation of ratios, trends and comparisons is also termed as analytical review.

Thus, it is important to note that Analytical procedures may help identify the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. Unusual or unexpected relationships that are identified may assist the auditor in identifying risks of material misstatement, especially risks of material misstatement due to fraud.

ICAI · Old P6 · Dec 2021 exam · question p. 8 · answer p. 9

652 EXAM Old P6 Jul 2021 Q2(d) 3 marks old scheme

The statutory auditor of ABC Ltd., CA Raj identifies certain inconsistencies while applying analytical procedures to the financial and non-financial data of ABC Ltd. With reference to SA 520 on "Analytical Procedures", how CA Raj shall investigate such differences?

ICAI'S ANSWER

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

(i) **Inquiring of management and obtaining appropriate audit evidence relevant to management's responses:** Audit evidence relevant to management's responses may be obtained by evaluating those responses taking into account the auditor's understanding of the entity and its environment, and with other audit evidence obtained during the course of the audit.

(ii) **Performing other audit procedures as necessary in the circumstances:** The need to perform other audit procedures may arise when, for example, management is unable to provide an explanation, or the explanation, together with the audit evidence obtained relevant to management's response, is not considered adequate.

Conclusion: In the present case CA Raj identifies certain inconsistencies while applying analytical procedure to financial or non financial data of ABC Ltd. CA Raj should inquire the management of ABC Ltd, and obtain sufficient and appropriate audit evidences relevant to the management response. Further CA Raj should also perform other audit procedures, if required in the circumstances of the case to obtain further sufficient and appropriate evidence.

ICAI · Old P6 · Jul 2021 exam · question p. 35 · answer p. 36-37

653 EXAM **Old P6 Jan 2021** Q5(c) 3 marks old scheme

Explain the techniques available as Substantive Analytical procedures.

ICAI'S ANSWER

Techniques Available as Substantive Analytical Procedures

The design of a substantive analytical procedure is limited only by the availability of reliable data and the experience and creativity of the audit team. Substantive analytical procedures generally take one of the following forms:

Trend analysis – A commonly used technique is the comparison of current data with the prior period balance or with a trend in two or more prior period balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account,

or based on an understanding of factors that may cause the account to change.

Ratio analysis – Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales). Ratios can also be compared over time or to the ratios of separate entities within the group, or with the ratios of other companies in the same industry.

Reasonableness tests – Unlike trend analysis, this analytical procedure does not rely on events of prior periods, but upon non-financial data for the audit period under consideration (e.g., occupancy rates to estimate rental income or interest rates to estimate interest income or expense). These tests are generally more applicable to income statement accounts and certain accrual or prepayment accounts.

Structural modelling – A modelling tool constructs a statistical model from financial and/or non-financial data of prior accounting periods to predict current account balances (e.g., linear regression).

ICAI · Old P6 · Jan 2021 exam · question p. 9 · answer p. 10-11

654 EXAM Old P6 Nov 2020 Q2(d) 3 marks old scheme

With respect to SA 520 "Analytical procedures", explain the following factors to be considered by the auditor for substantive audit procedures.

(i) Account type (ii) Predictability (iii) Nature of Assertion.

ICAI'S ANSWER

The auditor should consider the following factors for Substantive Audit Procedures:

Account Type – Substantive analytical procedures are more useful for certain types of accounts than for others. Income statement accounts tend to be more predictable because they reflect accumulated transactions over a period, whereas balance sheet accounts represent the net effect of transactions at a point in time or are subject to greater management judgment.

Predictability – Substantive analytical procedures are more appropriate when an account balance or relationships between items of data are predictable (e.g., between sales and cost of sales or between trade receivables and cash receipts). A predictable relationship is one that may reasonably be expected to exist and continue over time.

Nature of Assertion – Substantive analytical procedures may be more effective in providing evidence for some assertions (e.g., completeness or valuation) than for others (e.g., rights and obligations). Predictive analytical procedures using

data analytics can be used to address completeness, valuation/ measurement and occurrence.

ICAI · Old P6 · Nov 2020 exam · question p. 2-3 · answer p. 4

655 EXAM **Old P6 Nov 2019** Q4(d) 3 marks old scheme

CA A, auditor of ABC Ltd. wants to design substantive analytical procedure and for that he wants to check whether the data is reliable or not. Mention the relevant points which he has to consider whether data is reliable for purpose of designing the substantive analytical procedures.

ICAI'S ANSWER

The following are the relevant points while determining whether data is reliable for purposes of designing substantive analytical procedures:

i. **Source of the information available**. For example, information may be more reliable when it is obtained from independent sources outside the entity.

ii. **Comparability of** the information available. For example, broad industry data may need to be supplemented to be comparable to that of an entity that produces and sells specialized products.

iii. **Nature and relevance** of the information available. For example, whether budgets have been established as results to be expected rather than as goals to be achieved.

iv. **Controls** over the preparation of the information that are designed to ensure its completeness, accuracy and validity. For example, controls over the preparation, review and maintenance of budgets.

ICAI · Old P6 · Nov 2019 exam · question p. 7 · answer p. 8

656 **RTP** **May 2025** Q12

Grape Limited presented its financial statements for the F.Y. 2023-24 to its auditor for expressing an opinion thereon. The auditor while carrying out the audit started comparing various items of profit and loss account of the year under audit with previous financial years. What is auditor trying to achieve by carrying out those comparisons?

ICAI'S ANSWER

Purpose of Applying Analytical Procedure: Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable.

The auditor of Grape Ltd. would achieve the following by carrying out the comparison stated in the question:

(i) If balances included in the Statement of Profit and Loss of an entity are compared with those contained in the Statement of Profit and Loss with that of the previous period, it would be possible to find out the reasons for increase or decrease in the amount of profits of those years.

(ii) By setting up certain expenses' ratios on the basis of balances included in the Statement of Profit and Loss, for the year under audit, comparing them with the same ratios for the previous year, it is possible to ascertain the extent of increase or decrease in various items of expenditure in relation to sales and that of trading profit in relation to sales.

(iii) If differences are found to be material, the auditor would ascertain the reasons thereof and assess whether the accounts have been manipulated to inflate or suppress profits.

(iv) It may help identify the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications.

ICAI · P5 · RTP May 2025 · question p. 5 · answer p. 11

657 RTP **May 2024** Case Scenario I · MCQ 1.1 to MCQ 1.5

CASE SCENARIO I

DS & Co., Chartered Accountants, are statutory auditors of SAR Industries Pvt Ltd, a company engaged in manufacturing business since 2018. The company is operating from rented premises and it does not have building of its own. It had upgraded its machinery last time in 2020. Except interest in this company, promoters, directors, key managerial persons and their relatives do not have interest or ownership in any other entity. Also, the company does not enter into any business dealings with

promoters, directors, key managerial persons and their relatives. The directors and key managerial persons get only reasonable remuneration from the company. Though company has an internal control system in place, it has not appointed internal auditor. It is also not mandatorily required to make such an appointment under the provisions of the Companies Act, 2013.

DS & Co. have accepted audit of the above company for year 2022-23 for the first time. Promoters and directors of the company are known to engagement partner only socially for quite some time. However, it is for the first time that any type of professional work related to this company has been accepted by them.

While formulating audit plan for the company, CA D (engagement partner) has planned certain risk assessment procedures and further audit procedures consisting of tests of controls and substantive procedures in relation to different areas.

The following is extract of financial information of the company: -

(figures in rupees crores)

S. No.	Particulars	Year 2022-23	Year 2021-22
1.	Turnover	30.00	15.00

S. No.	Particulars	Year 2022-23	Year 2021-22
2.	Inventories	5.00	2.00
3.	Property, plant and equipment (Gross block)	1.25	1.25
4.	Property, plant and equipment (Net block)	1.00	1.25
5.	Gross profit	6.00	3.75
6.	Trade receivables	12.50	5.00

The PPE items consist of machinery only. While planning procedures in respect of Property, Plant and Equipment, auditor has included audit procedures like inspecting and reviewing company's plan for performing physical verification of PPE, assessing depreciation method used, verifying cost of PPE items acquired during the year with purchase bills and recalculation of depreciation charged in statement of profit and loss.

Further, while performing risk assessment procedures to identify risk of material misstatements in financial statements., engagement partner has come to notice that there is considerable variation in gross profit ratio as compared to last year. During performance of substantive procedures,

he has also studied data of purchases and sales of the company during the year under audit and has also compared such data with preceding year and earlier years also.

Based on above, answer the following questions: -

MCQ 1.1

Keeping in view description provided in the case scenario, which of the following statements is likely to be most appropriate?

A. Engagement partner is known socially to promoters and directors of the company. The situation mandatorily involves advocacy threat casting a doubt on auditor's independence. Irrespective of this, detection risk in engagement is low.

B. Engagement partner is known socially to promoters and directors of the company. The situation mandatorily involves familiarity threat casting a doubt on auditor's independence. Irrespective of this, detection risk in engagement is high.

C. The situation reflected in the case scenario may not constitute threat to independence of auditor. Irrespective of this, detection risk in engagement is low.

D. The situation reflected in the case scenario may not constitute threat to independence of auditor. Irrespective of this, detection risk in engagement is high.

MCQ 1.2

CA D has included in audit plan certain procedures in respect of PPE items. Which of the following audit procedure included in audit plan is not likely to be relevant?

A Inspecting and reviewing company's plan for physical verification of PPE

B Assessing depreciation method used

C Verifying cost of PPE items acquired during the year with purchase bills

D Recalculation of depreciation charged in statement of profit and loss

MCQ 1.3

Which of the following statements is likely to be most suitable to explain the fact relating to variation in gross profit ratio as compared to last year?

A Gross profit ratio has decreased in year 2022-23 as compared to year 2021-22. It may be due to the reason that sales prices may have been reduced by the company to procure more orders.

B Gross profit ratio has increased in year 2022-23 as compared to year 2021-22. It may be due to the reason that cost of materials purchased by company could have decreased.

C Gross profit ratio has decreased in year 2022-23 as compared to year 2021-22. It may be due to the reason that office staff salary engaged in administrative functions and office maintenance expenditure could have increased.

D Gross profit ratio has decreased in year 2022-23 as compared to year 2021-22. It may be due to the reason that company has not made an allowance for obsolescence in respect of inventories during the year.

MCQ 1.4

CA D has also studied purchases and sales data of the company during the year and has also compared such data with preceding year and earlier years also. It is an example of _____?

A Ratio analysis forming part of substantive analytical procedures

B Trend analysis forming part of substantive analytical procedures

C Reasonable test forming part of substantive analytical procedures

D Structural modelling forming part of substantive analytical procedures

MCQ 1.5

Considering case scenario in totality, identify which of following combination of Standards is not proper for their likely relevance in performing and completing above engagement?

A SQC 1, SA 220, SA 501, SA 505

B SA 550, SA 510, SA 220, SA 610

C SA 700, SA 510, SA 220, SA 500

D SQC 1, SA 700

ICAI'S ANSWERS

MCQ 1.1

(D) The situation reflected in case scenario may not constitute threat to independence of auditor. Irrespective of this, detection risk in engagement is high.

MCQ 1.2

(C) Verifying cost of PPE items acquired during the year with purchase bills

MCQ 1.3

(A) Gross profit ratio has decreased in year 2022-23 as compared to year 2021-22. It may be due to the reason that sales prices may have been reduced by the company to procure more orders.

MCQ 1.4

(B) Trend analysis forming part of substantive analytical procedures

MCQ 1.5

(B) SA 550, SA 510, SA 220, SA 610

ICAI · P5 · RTP May 2024 · question p. 1-2 · answer p. 14, 14-15, 15

658 **RTP** **Old P6 Nov 2023** Q17 old scheme

Flower Limited presented its financial statements for the F.Y. 2022-2023 to its auditor for expressing an opinion thereon. The auditor while carrying out the audit started comparing various items of profit and loss account of the year under audit with previous financial years. What is auditor trying to achieve by carrying out those comparisons?

ICAI'S ANSWER

Purpose of Applying Analytical Procedure: Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable.

The auditor of Flower Ltd. would achieve the following by carrying out the comparison stated in the question:

(i) If balances included in the Statement of Profit and Loss of an entity are compared with those contained in the Statement of Profit and Loss with that of the previous period, it would be possible to find out the reasons for increase or decrease in the amount of profits of those years.

(ii) By setting up certain expenses' ratios on the basis of balances included in the Statement of Profit and Loss, for the year under audit, comparing them with the same ratios for the previous year, it is possible to ascertain the extent of increase or decrease in various items of expenditure in relation to sales and that of trading profit in relation to sales.

(iii) If differences are found to be material, the auditor would ascertain the reasons thereof and assess whether the accounts have been manipulated to inflate or suppress profits.

(iv) It would be possible to identify the existence of unusual transactions, amounts, ratios and trends that might indicate matters that have audit implications.

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 25-26

659 RTP Old P6 Nov 2023 Q18 old scheme

When designing and performing substantive analytical procedures, either alone or in combination with tests of details as substantive procedures in accordance with SA 330, the auditor shall determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions. Discuss.

ICAI'S ANSWER

Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time.

- The application of planned analytical procedures is based on the expectation that relationships among data exist and continue in the absence of known conditions to the contrary.
- However, the suitability of a particular analytical procedure will depend upon the auditor's assessment of how effective it will be in detecting a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated.
- In some cases, even an unsophisticated predictive model may be effective as an analytical procedure.

Different types of analytical procedures provide different levels of assurance. Analytical procedures

involving, for example, the prediction of total rental income on a building divided into apartments, taking the rental rates, the number of apartments and vacancy rates into consideration, can provide persuasive evidence and may eliminate the need for further verification by means of tests of details, provided the elements are appropriately verified. In contrast, calculation and comparison of gross margin percentages as a means of confirming a revenue figure may provide less persuasive evidence, but may provide useful corroboration if used in combination with other audit procedures.

The determination of the suitability of particular substantive analytical procedure is influenced by the nature of the assertion and the auditor's assessment of the risk of material misstatement. For example, if controls over sales order processing are weak, the auditor may place more reliance on tests of details rather than on substantive analytical procedures for assertions related to receivables.

Particular substantive analytical procedures may also be considered suitable when tests of details are performed on the same assertion. For example, when obtaining audit evidence regarding the valuation assertion for accounts receivable balances, the auditor may apply analytical procedures to an aging of customers' accounts in addition to performing tests of details on subsequent cash receipts to determine the collectability of the receivables.

660 RTP **Old P6 May 2023** Q17 old scheme

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences. Explain

ICAI'S ANSWER

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

(i) **Inquiring of management and obtaining appropriate audit evidence relevant to management's responses:** Audit evidence relevant to management's responses may be obtained by evaluating those responses taking into account the auditor's understanding of the entity and its environment, and with other audit evidence obtained during the course of the audit.

(ii) **Performing other audit procedures as necessary in the circumstances:** The need to perform other audit procedures may arise when, for example, management is unable to provide an explanation, or the explanation, together with the audit evidence obtained relevant to management's response, is not considered adequate.

661 **RTP** **Old P6 May 2023** Q18 old scheme

Same question, different ICAI answer: #694 Old P6 MTP May 2022 S-I

While applying the Substantive Analytical Procedures, what techniques can be used by the statutory auditor of a company to obtain sufficient and appropriate audit evidence?

ICAI'S ANSWER

While applying the Substantive Analytical Procedures, the statutory auditor of a company may use the following techniques to obtain sufficient and appropriate audit evidence

Trend analysis – Trend analysis is a commonly used technique. It is the comparison of current data with the prior period balance or with a trend in two or more prior period balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account, or based on an understanding of factors that may cause the account to change.

Ratio analysis – Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales). Ratios can also be compared over time or to the ratios of separate entities within the

group, or with the ratios of other companies in the same industry.

Reasonableness tests – Unlike trend analysis, this analytical procedure does not rely on events of prior periods, but upon non-financial data for the audit period under consideration (e.g., occupancy rates to estimate rental income or interest rates to estimate interest income or expense). These tests are generally more applicable to income statement accounts and certain accrual or prepayment accounts. In other words these tests are made by reviewing the relationship of certain account balances to other balances for reasonableness of amounts.

Structural modelling – A modelling tool constructs a statistical model from financial and/or non-financial data of prior accounting periods to predict current account balances (e.g., linear regression).

The statutory auditor may use any of the above mentioned techniques while applying substantive analytical procedures depending upon the availability of data and requirements of the case.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 23

662 RTP **Old P6 Nov 2022** Q17 old scheme

Explain the aspects to be considered by an auditor when designing and performing substantive analytical procedures, either alone or in combination with test of

details, as substantive procedures in accordance with SA 330.

ICAI'S ANSWER

Analytical procedures used as substantive tests: When designing and performing substantive analytical procedures, either alone or in combination with test of details as, substantive procedures in accordance with SA 330, the auditor shall:

(i) Determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and test of details, if any, for these assertions.

(ii) Evaluate the reliability of data from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation.

(iii) Develop an expectation of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated.

(iv) Determine the amount of any difference of recorded amounts from expected values that is acceptable without further investigation.

663 RTP **Old P6 Nov 2022** Q18 old scheme

Discuss with examples the factors that are relevant when determining whether data is reliable for purposes of designing substantive analytical procedures.

ICAI'S ANSWER

The reliability of data is influenced by its source and nature and is dependent on the circumstances under which it is obtained. Accordingly, the following are relevant when determining whether data is reliable for purposes of designing substantive analytical procedures:

(i) Source of the information available. **For example**, information may be more reliable when it is obtained from independent sources outside the entity;

(ii) Comparability of the information available. **For example**, broad industry data may need to be supplemented to be comparable to that of an entity that produces and sells specialised products;

(iii) Nature and relevance of the information available. **For example**, whether budgets have been established as results to be expected rather than as goals to be achieved; and

(iv) Controls over the preparation of the information that are designed to ensure its completeness, accuracy and validity. **For example**, controls over

the preparation, review and maintenance of budgets.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 25-26

664 RTP **Old P6 May 2022 Q17** old scheme

Also asked in Old P6 MTP Nov 2023 S-II Q5(d)

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, how would the auditor investigate such differences.

ICAI'S ANSWER

If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

(i) Inquiring of management and obtaining appropriate audit evidence relevant to management's responses: Audit evidence relevant to management's responses may be obtained by evaluating those responses taking into account the auditor's understanding of the entity and its environment, and with other audit evidence obtained during the course of the audit.

(ii) Performing other audit procedures as necessary in the circumstances: The need to perform other audit procedures may arise when, for

example, management is unable to provide an explanation, or the explanation, together with the audit evidence obtained relevant to management's response, is not considered adequate.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 24

665 RTP **Old P6 May 2022** Q18 old scheme

Discuss the matters relevant to the auditor's evaluation of whether the expectation can be developed sufficiently precisely to identify a misstatement that, when aggregated with other misstatements, may cause the financial statements to be materially misstated.

ICAI'S ANSWER

Matters relevant to the auditor's evaluation of whether the expectation can be developed sufficiently precisely to identify a misstatement that, when aggregated with other misstatements, may cause the financial statements to be materially misstated, include:

(i) The accuracy with which the expected results of substantive analytical procedures can be predicted.

For example, the auditor may expect greater consistency in comparing gross profit margins from one period to another than in comparing discretionary expenses, such as research or advertising.

(ii) The degree to which information can be disaggregated.

For example, substantive analytical procedures may be more effective when applied to financial information on individual sections of an operation or to financial statements of components of a diversified entity, than when applied to the financial statements of the entity as a whole.

(iii) The availability of the information, both financial and non-financial.

For example, the auditor may consider whether financial information, such as budgets or forecasts, and non-financial information, such as the number of units produced or sold, is available to design substantive analytical procedures. If the information is available, the auditor may also consider the reliability of the information.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 24-25

666 RTP **Old P6 Dec 2021** Q17 old scheme

For the purposes of the SAs, the term “analytical procedures” means evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Explain giving examples of both.

ICAI’S ANSWER

Analytical procedures include the consideration of comparisons of the entity’s financial information with, for example:

- Comparable information for prior periods.

- Anticipated results of the entity, such as budgets or forecasts, or expectations of the auditor, such as an estimation of depreciation.
- Similar industry information, such as a comparison of the entity's ratio of sales to accounts receivable with industry averages or with other entities of comparable size in the same industry.

Analytical procedures also include consideration of relationships, for example:

- Among elements of financial information that would be expected to conform to a predictable pattern based on the entity's experience, such as gross margin percentages.
- Between financial information and relevant non-financial information, such as payroll costs to number of employees.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 138

667 **RTP** **Old P6 Dec 2021** Q18 old scheme

Analysis by computation of ratios includes the study of relationships between financial statement amounts. State Commonly used ratios.

ICAI'S ANSWER

Analysis by computation of ratios includes the study of relationships between financial statement amounts. Commonly used ratios include:

- Elements of income or loss as a percentage of sales
- Gross profit turnover
- Accounts receivable turnover
- Inventory turnover
- Profitability, leverage, and liquidity

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 139

668 RTP **Old P6 Jul 2021** Q17 old scheme

The design of a substantive analytical procedure is limited only by the availability of reliable data and the experience and creativity of the audit team. In this context, discuss the techniques available as Substantive Analytical Procedures.

ICAI'S ANSWER

Techniques available as Substantive Analytical Procedures : The design of a substantive analytical procedure is limited only by the availability of reliable data and the experience and creativity of the audit team. Substantive analytical procedures generally take one of the following forms:

Trend analysis — A commonly used technique is the comparison of current data with the prior period balance or with a trend in two or more prior period

balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account, or based on an understanding of factors that may cause the account to change.

Ratio analysis — Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales). Ratios can also be compared over time or to the ratios of separate entities within the group, or with the ratios of other companies in the same industry.

Reasonableness tests — Unlike trend analysis, this analytical procedure does not rely on events of prior periods, but upon non-financial data for the audit period under consideration (e.g., occupancy rates to estimate rental income or interest rates to estimate interest income or expense). These tests are generally more applicable to income statement accounts and certain accrual or prepayment accounts.

Structural modelling — A modelling tool constructs a statistical model from financial and/or non-financial data of prior accounting periods to predict current account balances (e.g., linear regression).

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 137-138

669 RTP Old P6 Nov 2020 General MCQ 4 MCQ old scheme

Also asked in Old P6 MTP May 2023 S-II General MCQ 1 · Old P6 MTP May 2022 S-II General MCQ 5

Auditor Compares Gross Profit Ratio with that of Previous year and it is discovered that there has been a fall in the ratio. This is an example of :

A Analytical Procedure

B Test of Controls

C Walk Through Test

D Audit Sampling

ICAI'S ANSWER

(A)

ICAI · Old P6 · RTP Nov 2020 · question p. 6 · answer p. 12

670 RTP Old P6 Nov 2020 Case scenario · Q1(i) to Q1(viii) old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

Overall audit plan sets the scope, timing and direction of the audit, and guides the development of the more detailed audit strategy.

Q1(ii)

The Constitution of India contains no specific provisions regarding the appointment, salary and duties and powers of the C&AG. Moreover, the

constitution does not guarantee the independence of the C&AG of India.

Q1(iii)

When we are designing audit procedures to address an inherent risk or "what can go wrong", we consider the nature of the risk of material misstatement.

Q1(iv)

If an entity has a known number of employees at fixed rates of pay throughout the period, there would be more need to perform tests of details on the payroll.

Q1(v) out of syllabus

The term "relative", as defined under the Companies Act, 2013, means anyone who is closely related to another.

Q1(vi) out of syllabus

According to Section 140(1), the auditor appointed under section 139 may be removed from his office before the expiry of his term only by passing a Board resolution.

Q1(vii)

In considering the qualitative aspects of the entity's accounting practices, the auditor may not become aware of possible bias in management's judgments.

Q1(viii)

One of the key principles of accrual basis of accounting requires that an asset's cost is proportionally expensed based on the period over which the asset is expected to be used.

ICAI'S ANSWERS

Q1(i)

Incorrect: Overall audit strategy sets the scope, timing and direction of the audit, and guides the development of the more detailed audit plan.

Q1(ii)

Incorrect: The Constitution of India contains specific provisions regarding the appointment, salary and duties and powers of the C&AG. The constitution guarantees the independence of the C&AG of India by prescribing that he shall be appointed by the President of India and shall not be removed from office except on the ground of proven mis-behaviour or incapacity.

Q1(iii)

Correct : When we are designing audit procedures to address an inherent risk or "what can go wrong", we consider the nature of the risk of material misstatement in order to determine if a substantive analytical procedure can be used to obtain audit evidence. When inherent risk is higher, we may design tests of details to address the higher inherent risk. When significant risks have been identified, audit evidence obtained solely from substantive analytical procedures is unlikely to be sufficient.

Q1(iv)

Incorrect: If an entity has a known number of employees at fixed rates of pay throughout the period, it may be possible for the auditor to use this data to estimate the total payroll costs for the period

with a high degree of accuracy, thereby providing audit evidence for a significant item in the financial statements and reducing the need to perform tests of details on the payroll.

Q1(v)

Incorrect: The term "**relative**", as defined under the Companies Act, 2013, means anyone who is related to another as members of a Hindu Undivided Family; husband and wife; Father (including step-father), Mother (including step-mother), Son (including step- son), Son's wife, Daughter, Daughter's husband, Brother (including step-brother), Sister (including step-sister).

PassBook's note: Out of syllabus (old scheme): the definition of "relative" under the Companies Act, 2013 (section 2(77)) was taught in old Paper 6's company audit chapter for the disqualifications of a company auditor.

Q1(vi)

Incorrect: According to **Section 140(1),** the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per **Rule 7 of CAAR, 2014**

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term by special resolution with the Central Government's prior approval (section 140(1) of the Companies Act, 2013, Rule 7) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it. No tag. ICAI's answer ends without a full stop.

Q1(vii)

Incorrect: In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated.

Q1(viii)

correct: One of the key principles of accrual basis of accounting requires that an asset's cost is proportionally expensed based on the period over which the asset is expected to be used. Both depreciation and amortization are methods that are used to prorate the cost of a specific type of asset over its useful life. Depreciation represents systematic allocation of the depreciable value of an item of PPE over its useful life while amortisation represents systematic allocation of the depreciable amount of an intangible asset over its useful life.

ICAI · Old P6 · RTP Nov 2020 · question p. 6 · answer p. 12, 12-13, 13

671 RTP **Old P6 Nov 2020** Q17 old scheme

In the planning stage, analytical procedures assist the auditor in understanding the client's business and in identifying areas of potential risk. Explain

ICAI'S ANSWER

In the planning stage, analytical procedures assist the auditor in understanding the client's business

and in identifying areas of potential risk by indicating aspects of and developments in the entity's business of which he was previously unaware. This information will assist the auditor in determining the nature, timing and extent of his other audit procedures. Analytical procedures in planning the audit use both financial data and non-financial information, such as number of employees, square feet of selling space, volume of goods produced and similar information.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 26

672 RTP **Old P6 Nov 2020** Q18 old scheme

The decision about which audit procedures to perform, including whether to use substantive analytical procedures, is based on the auditor's judgment. Explain

ICAI'S ANSWER

The auditor's substantive procedures at the assertion level may be tests of details, substantive analytical procedures, or a combination of both. The decision about which audit procedures to perform, including whether to use substantive analytical procedures, is based on the auditor's judgment about the expected effectiveness and efficiency of the available audit procedures to reduce audit risk at the assertion level to an acceptably low level.

The auditor may inquire of management as to the availability and reliability of information needed to

apply substantive analytical procedures, and the results of any such analytical procedures performed by the entity. It may be effective to use analytical data prepared by management, provided the auditor is satisfied that such data is properly prepared.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 26

673 RTP **Old P6 May 2020** General MCQ 3 MCQ

old scheme

Also asked in Old P6 MTP Nov 2022 S-I General MCQ 7 · Old P6 MTP May 2022 S-II General MCQ 4

Statement I As per the Standard on Auditing (SA) 520 “Analytical Procedures”, the term “analytical procedures” means evaluations of financial information through analysis of plausible relationships among financial data.

Statement II Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

A Only Statement I is correct

B Only Statement II is correct

C Both statements are correct

D Both Statements are incorrect

ICAI’S ANSWER

(B)

ICAI · Old P6 · RTP May 2020 · question p. 5 · answer p. 11

674 RTP **Old P6 May 2020** General MCQ 4 MCQ

old scheme

Which of the following is not an example of Analytical Procedures having consideration of comparisons of the entity's financial information:

A Comparable information for prior periods.

B Anticipated results of the entity, such as budgets or forecasts, or expectations of the auditor, such as an estimation of depreciation.

C Similar industry information, such as a comparison of the entity's ratio of sales to accounts receivable with industry averages or with other entities of comparable size in the same industry.

D Among elements of financial information that would be expected to conform to a predictable pattern based on the entity's experience, such as gross margin percentages.

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP May 2020 · question p. 5 · answer p. 11

675 RTP **Old P6 May 2020** Q17 old scheme

Explain the commonly used technique in the comparison of current data with the prior period balance or with a trend in two or more prior period balances.

ICAI'S ANSWER

Trend analysis – A commonly used technique is the comparison of current data with the prior period **balance** or with a trend in two or more prior period balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account, or based on an understanding of factors that may cause the account to change.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 22

676 RTP **Old P6 May 2020** Q18 old scheme

When designing and performing substantive analytical procedures, either alone or in combination with tests of details, as substantive procedures in accordance with SA 330, the auditor shall determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions. Explain the other relevant points in this context.

ICAI'S ANSWER

When designing and performing substantive analytical procedures, either alone or in combination with tests of details, as substantive procedures in accordance with SA 330, the auditor shall:

(i) Determine the suitability of particular substantive analytical procedures for given

assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions;

(ii) Evaluate the reliability of data from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation;

(iii) Develop an expectation of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated; and

(iv) Determine the amount of any difference of recorded amounts from expected values that is acceptable without further investigation.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 22

677 RTP **Old P6 Nov 2019** MCQ 7 MCQ old scheme

Which of the following statement is correct :

A Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time

B Substantive analytical procedures are generally less applicable to large volumes of transactions that tend to be predictable over time

C Substantive analytical procedures are generally more applicable to small volumes of transactions that tend to be predictable over time

D None of the above

ICAI'S ANSWER

(A)

ICAI · Old P6 · RTP Nov 2019 · question p. 3 · answer p. 9

678 RTP **Old P6 Nov 2019** Q17 old scheme

Routine checks cannot be depended upon to disclose all the mistakes or manipulation that may exist in accounts, certain other procedures also have to be applied like trend and ratio analysis. Analyse and Explain stating clearly the meaning of analytical procedures.

ICAI'S ANSWER

Since routine checks cannot be depended upon to disclose all the mistakes or manipulation that may exist in accounts, certain other procedures also have to be applied like trend and ratio analysis in addition to reasonable tests. These collectively are known as overall tests. With the passage of tests, analytical procedures have acquired lot of significance as substantive audit procedure. SA-520 on Analytical Procedures discusses the application of analytical procedures during an audit.

Meaning of Analytical Procedures. As per the Standard on Auditing (SA) 520 "Analytical

Procedures", the term "analytical procedures" means evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 23

679 RTP Old P6 Nov 2019 Q18 old scheme

Give examples of Analytical Procedures having consideration of comparisons of the entity's financial information

ICAI'S ANSWER

Examples of Analytical Procedures having consideration of comparisons of the entity's financial information with are:

- Comparable information for prior periods.
- Anticipated results of the entity, such as budgets or forecasts, or expectations of the auditor, such as an estimation of depreciation.
- Similar industry information, such as a comparison of the entity's ratio of sales to accounts receivable with industry averages or with other entities of comparable size in the same industry

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 23

680 MTP Sep 2026 S-I Q1(c) 4 marks

ST & Associates, Chartered Accountants, were conducting the statutory audit of Rose Ltd. for the financial year ended 31st March, 2026. During the audit, the auditor compared various items appearing in the Statement of Profit and Loss for the current year with those of the previous year. The auditor observed significant changes in gross profit margin, selling expenses and administrative expenses as compared to the preceding year.

To obtain a better understanding of these fluctuations, the auditor computed various expense ratios and compared them with corresponding ratios of the previous year. Certain unusual trends and variations were noticed, particularly in relation to sales growth and profitability. The auditor therefore decided to investigate the reasons for such variations and evaluate whether these differences were supported by valid business reasons or indicated possible misstatements in the financial statements.

In the context of the above, explain the purpose of applying analytical procedures.

ICAI'S ANSWER

Purpose of Applying Analytical Procedure:
Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable.

The auditor of Rose Ltd. would achieve the following by carrying out the comparison stated in the question:

(i) If balances included in the Statement of Profit and Loss of an entity are compared with those contained in the Statement of Profit and Loss with that of the previous period, it would be possible to find out the reasons for increase or decrease in the amount of profits of those years.

(ii) By setting up certain expenses' ratios on the basis of balances included in the Statement of Profit and Loss, for the year under audit, comparing them with the same ratios for the previous year, it is possible to ascertain the extent of increase or decrease in various items of expenditure in relation to sales and that of trading profit in relation to sales.

(iii) If differences are found to be material, the auditor would ascertain the reasons thereof and assess whether the accounts have been manipulated to inflate or suppress profits.

(iv) It would be possible to identify the existence of unusual transactions, amounts, ratios and trends that might indicate matters that have audit implications.

In the given case of Rose Ltd., the auditor's comparison of current year and previous year figures and computation of various expense ratios would help in identifying reasons for fluctuations in profits and expenses. Further, investigation of

material differences and unusual trends would enable the auditor to detect possible manipulation of accounts and identify matters having audit implications, thereby enhancing the effectiveness of the audit.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 11 · answer p. 4

681 MTP **Sep 2026 S-II** Case Scenario 2 · MCQ 4 to MCQ 7

8 marks

CASE SCENARIO 2

PQR & Associates, Chartered Accountants, have been appointed as the statutory auditors of Star Electronics Limited.

During the planning stage, the engagement team identified trade receivables as a significant audit area due to rapid expansion of the company's dealer network during the year. Accordingly, the auditor performed analytical procedures by comparing the current year's debtor turnover ratio, ageing analysis, gross profit percentage and credit sales with those of previous years and industry averages.

The analytical procedures revealed that while credit sales had increased by only 12%, trade receivables had increased by 48%. The proportion of receivables outstanding for more than 180 days had also increased significantly compared to the previous year. On being questioned, the Finance Director explained that the increase was temporary because several customers were expected to clear their

outstanding balances shortly after the year-end. However, the engagement team observed that some long-outstanding balances related to customers whose credit limits had been repeatedly extended during the year. The auditor, therefore, decided to obtain additional audit evidence by examining subsequent collections, reviewing correspondence with customers and evaluating the adequacy of the provision for doubtful debts.

While evaluating internal controls over trade receivables, the auditor noted that new dealers were approved by the Credit Control Department before sales were made. Sales invoices were generated automatically through the ERP system, collections were handled by a separate Finance Department, and periodic ageing reports were reviewed by senior management. However, the auditor also observed that follow-up of overdue balances was inconsistent in certain regional offices and legal notices had not been issued in several long-pending cases.

Throughout the engagement, the audit team maintained detailed working papers recording the planning discussions, significant audit judgements, analytical procedures performed, audit evidence obtained, conclusions reached and the basis for additional audit procedures performed in respect of trade receivables. Audit team considers that an important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional judgement

exercised in performing the work and evaluating the results.

After the financial statements for the year ended 31 March 2026 had been prepared but before the auditor signed the audit report, one of the company's largest customers, Rajat Industries, owing approximately ₹18 crore, was declared insolvent by the National Company Law Tribunal (NCLT). The customer had been facing severe financial difficulties even before the year-end, and a substantial portion of its dues had remained outstanding for more than eight months as at 31st March 2026.

Based on above, answer the following questions (MCQs 4-7)

MCQ 4 2 marks

The auditor performed analytical procedures and identified a significant increase in trade receivables that was inconsistent with the comparatively modest growth in credit sales. What should be the auditor’s response?

A Inquire of management about the unusual fluctuation, evaluate the explanation against other evidence and perform further procedures where necessary.

B Accept management's explanation since the increase in receivables is expected to reverse after the year-end and no further audit procedures are necessary.

C Conclude that the financial statements are materially misstated because the analytical procedures identified an unexpected relationship.

D Restrict further audit procedures to obtain written representations from management confirming the recoverability of trade receivables.

MCQ 5 2 marks

Based on the facts of the case, which of the following observations most strongly indicates that the auditor should perform additional audit procedures regarding the valuation and recoverability of trade receivables?

A New dealers were approved by the Credit Control Department before sales were made, indicating that credit controls were operating appropriately.

B possibility of errors in the recording of sales transactions.

C Significant overdue balances, repeated credit extensions, inconsistent follow-up and absence of legal action indicate heightened recoverability concerns.

D Customer collections were handled by the department independent of sales, providing a degree of segregation of duties within the process.

MCQ 6 2 marks

Which of the following would be most relevant in determining the form, content and extent of audit documentation of significant matters under SA 230?

A The extent of professional judgement exercised in performing the work and evaluating the results.

B The number of audit team members involved in performing procedures and reviewing the working papers during the engagement.

C The volume of accounting records maintained by the company and the number of transactions recorded during the financial year.

D The extent to which management relies on the auditor's working papers while preparing the financial statements for subsequent periods.

MCQ 7 2 marks

Which of the following is the most appropriate auditor’s conclusion regarding Rajat Industries ?

A The insolvency provides evidence of conditions existing at the reporting date, requiring the auditor to evaluate whether the provision for doubtful debts requires adjustment.

B The insolvency provides evidence of conditions that arose after the reporting date and should only be disclosed in the notes to the financial statements.

C The insolvency is a non-adjusting event because it occurred after the reporting date, and therefore no adjustment to the financial statements is required.

D The insolvency occurred before the auditor's report was signed, and therefore the auditor should automatically modify the audit opinion without further evaluation.

ICAI'S ANSWERS

MCQ 4

Answer key: **(A)**

MCQ 5

Answer key: **(C)**

MCQ 6

Answer key: **(A)**

MCQ 7

Answer key: **(A)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 3-4 · answer p. 1

682 MTP **May 2026 S-I**

Case Scenario 2 [MCQs 4-7] · MCQ 4 to MCQ 7 8 marks

CASE SCENARIO 2 [MCQS 4-7]

During the audit of Saraswati University for the year ended 31 March 2025, the auditor examined various income streams and administrative expenses of the university.

While reviewing student fee records for the July–September term, the auditor compared the Class Registers with the Students' Fee Register. The Class Registers showed 620 students on roll, whereas the Students' Fee Register reflected fee demands raised only for 590 students. Further examination revealed that counterfoils of receipts issued during August totalled ₹ 12,40,000, while the Cash Book recorded fee collections of ₹ 11,90,000 for the same period.

The university also operates a hostel with 200 rooms. During the year, the average occupancy rate was

80%, and the hostel fee charged per student was ₹ 6,000 per month. However, the hostel income recorded in the books amounted to ₹ 1.80 crore.

During the audit of Saraswati University, the auditor applied analytical procedures to evaluate the reasonableness of certain income statement balances. Instead of relying on prior period trends, the auditor used non-financial data relating to the current audit period. To evaluate whether the recorded hostel income appeared reasonable, the auditor used the occupancy rate and hostel fee structure to estimate the expected hostel income.

While examining certain administrative expenses, the auditor analysed monthly trends for electricity and fuel expenses. However, for travel expenses and repairs, supporting documents were examined in detail. During this examination, it was noticed that ₹ 75,000 spent on purchase of an air conditioner for the administrative office had been recorded under "Repairs and Maintenance" and some travel claims were not approved according to the delegation of authority matrix.

On the basis of above, answer the following MCQs (4-7)

MCQ 4 2 marks

Based on the given facts, which of the following best explains the implication of the difference between the Class Registers (620 students) and the Students' Fee Register (590 students)?

A Fee demands may not have been raised for 30 students appearing on the rolls.

B Hostel income of the university may be understated.

C The difference indicates advance fees collected from students.

D The difference represents fines for late payment of fees.

MCQ 5 2 marks

During the audit of Saraswati University, the auditor estimated hostel income based on 200 rooms, an 80% occupancy rate, and a monthly fee of ₹ 6,000. The recorded hostel income was found to be materially higher than the auditor's estimate.

What would be the most appropriate course of action by the auditor?

A Accept the recorded income since it is reflected in the books and supported by receipts.

B Adjust the estimate to match the recorded income if minor differences exist.

C Conclude that the income is overstated solely based on the analytical comparison.

D Investigate the variance by examining supporting records, occupancy data, and assumptions used, and perform additional audit procedures as necessary.

MCQ 6 2 marks

Which of the following best describes the analytical procedure applied by the auditor to evaluate the reasonableness of hostel rent income?

- A Trend analysis comparing hostel income with the previous year.
- B Reasonableness test using non-financial data to estimate expected income.
- C Verification of hostel fee receipts with the Cash Book.
- D Test of controls over hostel fee collection.

MCQ 7 2 marks

With reference to the given facts, which aspect of examining expenses is primarily affected when ₹ 75,000 spent on purchase of an air conditioner is recorded under “Repairs and Maintenance”?

- A Whether the expenditure pertained to the current period under audit.
- B Whether the expenditure was supported by valid documents.
- C Whether the expenditure qualified as revenue and not capital expenditure.
- D Whether the expenditure related to the university’s activities.

ICAI’S ANSWERS

MCQ 4

Answer key: **(A)**

MCQ 5

Answer key: **(D)**

MCQ 6

Answer key: **(B)**

MCQ 7

Answer key: **(C)**

ICAI · P5 · MTP May 2026 · Series I · question p. 3 · answer p. 1

683 MTP **May 2026 S-II** Q1(c) 4 marks

CA A is the statutory auditor of AB Ltd., a company engaged in manufacturing high-precision industrial components used in the automobile sector. The company has experienced significant fluctuations in its gross profit ratio and raw material consumption during the current year as compared to previous years.

During the course of audit, CA A decides to apply substantive analytical procedures to evaluate the reasonableness of purchase prices, consumption levels and revenue trends. For this purpose, he plans to rely on various data sources such as internally prepared budgets, cost sheets, management reports and external industry statistics.

However, upon preliminary review, CA A observes that:

- Budgets appear to be prepared aggressively to achieve performance targets,
- Industry data relates to general manufacturing and not specifically to specialized components,

- Certain reports are generated from the entity's IT system, but adequacy of controls over such data is unclear.

Considering the above, CA A is concerned about whether such data can be relied upon for designing substantive analytical procedures.

In the given context, explain the relevant points that CA A should consider while determining the reliability of data for the purpose of designing substantive analytical procedures.

ICAI'S ANSWER

The auditor needs to ensure that the data used for substantive analytical procedures is reliable, in accordance with SA 520 – Analytical Procedures.

The following are the relevant points while determining whether data is reliable for purposes of designing substantive analytical procedures:

i. Source of the information available.

For example, information may be more reliable when it is obtained from independent sources outside the entity.

ii. Comparability of the information available.

For example, broad industry data may need to be supplemented to be comparable to that of an entity that produces and sells specialized products.

iii. Nature and relevance of the information available.

For example, whether budgets have been established as results to be expected rather than as goals to be achieved.

iv. Controls over the preparation of the information that are designed to ensure its completeness, accuracy and validity.

For example, controls over the preparation, review and maintenance of budgets.

In view of the above, CA A should critically evaluate the reliability of data by examining its source, comparability, relevance and the effectiveness of controls over its preparation before relying on it for substantive analytical procedures, so as to obtain sufficient and appropriate audit evidence.

ICAI · P5 · MTP May 2026 · Series II · question p. 10 · answer p. 3

684 MTP **May 2026 S-II** Q2(a) 5 marks

Zetta Manufacturing Ltd. is engaged in the production of textile machinery components. During the course of audit, the auditor observed fluctuations in the purchase quantity and prices of raw materials as compared to previous years. The management has provided data relating to consumption, stock composition, and turnover ratios.

The auditor intends to apply analytical procedures to evaluate the overall reasonableness of purchase quantity and price.

Discuss the audit procedures to be performed by the auditor in this regard.

ICAI'S ANSWER

The auditor needs to perform analytical procedures to obtain audit evidence as to the overall reasonableness of purchase quantity and price. Such procedures may include:

(i) **Consumption Analysis:** Auditor should scrutinize raw material consumed as per manufacturing account and compare the same with previous years along with closing stock levels. In case of any significant variations, the auditor should seek explanations from management and corroborate the same with supporting evidence.

(ii) **Stock Composition Analysis:** Auditor should obtain reports from management showing composition of stock, i.e., raw materials as a percentage of total inventory, and compare the same with previous years. Significant deviations should be investigated and appropriate explanations obtained.

(iii) **Ratio Analysis:** Auditor should compare relevant ratios such as creditors turnover ratio and stock turnover ratio of the current year with those of previous years. Any abnormal fluctuations may indicate issues relating to purchase quantity, pricing, or recording of transactions.

(iv) **Quantitative Reconciliation:** Auditor should review quantitative reconciliation of closing stock with opening stock, purchases, and consumption. This helps in verifying the completeness and accuracy of purchase quantities.

By performing the above analytical procedures and investigating significant variations, the auditor can obtain reasonable assurance regarding the correctness and overall reasonableness of purchase quantity and price, thereby supporting the audit opinion.

ICAI · P5 · MTP May 2026 · Series II · question p. 10-11 · answer p. 4

685 MTP **Jan 2026 S-I** Q4(a) 5 marks

Wonder Homes Pvt. Ltd. owns a commercial building divided into several apartments that are rented out. During the course of audit, the auditor decides to apply substantive analytical procedures to verify the rental income instead of performing detailed checking of individual rent agreements. The auditor predicts total rental income based on the number of apartments, monthly rental rate, and average vacancy rate.

(i) Explain how the auditor's approach in the above case represents the use of substantive analytical procedures.

(ii) State the circumstances where substantive analytical procedures are more applicable. Also, discuss how analytical procedures can provide persuasive audit evidence in such cases.

ICAI'S ANSWER

(i) Use of Substantive Analytical Procedures:

Substantive analytical procedures refer to analytical procedures used as substantive procedures by auditor. The term "analytical procedures" means evaluations of financial information through

analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount.

In the given case, the auditor estimates the total rental income by analysing non-financial information—such as number of apartments, rental rates, and vacancy rates—and compares it with the rental income recorded in the books. This approach reflects a logical relationship between rental income (financial data) and property details (non-financial data), and hence constitutes a substantive analytical procedure.

If a significant difference arises between the expected and actual rental income, the auditor is required to investigate the reason for the variation, which may involve errors, unrecorded transactions, or incorrect rates.

(ii) Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time.

In this case, since rental income tends to remain consistent and predictable, analytical procedures are particularly useful and efficient.

Analytical procedures involving, for example, the prediction of total rental income on a building

divided into apartments, taking the rental rates, the number of apartments and vacancy rates into consideration, can provide persuasive evidence and may eliminate the need for further verification by means of tests of details.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 10-11 · answer p. 7-8

686 MTP **Jan 2026 S-II**

Case Scenario 1 [MCQs 1-5] · MCQ 1 to MCQ 5 10 marks

CASE SCENARIO 1 [MCQS 1-5]

Samta Tools Pvt. Ltd. manufactures precision cutting tools. You are auditing the company for FY 2024–25. The company employs about 450 workers.

The auditor performs trend analysis on salary expense for the past three years:

Particulars	2022-23	2023-24	2024-25
Number of Employees	430	440	450
Salary Expense (₹ crore)	18.0	19.2	27.5
Overtime Hours	8,000	7,500	8,200

Observations by Auditor

(i) Salary expense increased by 43.2% in 2024–25 (from 19.2 to 27.5 crore).

(ii) Number of employees increased by only 2.3% (from 440 to 450).

(iii) Overtime hours increased only marginally (9%).

(iv) HR records show no major revision in pay scales.

(v) Increase is not supported by production records.

The auditor suspects:

- Possible payments to fictitious employees,
- Incorrect accounting classification (e.g., bonuses, labour subcontracting recorded as salaries), or
- Unauthorized salary revisions.

Trend analysis is applied to identify this unusual, unexplained fluctuation.

During payroll verification, the auditor identifies several salary payments that cannot be matched to any employee in the master employee list. HR confirms that these employee IDs do not belong to any current or former employee and may have been generated due to a payroll system error. This raises concerns about the occurrence of certain salary expenses, as some payments appear to be made to non-existent or fictitious employees. However, based on checks of attendance records, appointment files, and authorized HR approvals, the auditor verifies that all genuine employee benefit expenses relating to actual personnel have been recorded and no legitimate salary transactions have been omitted. The issue therefore relates to possible overstatement and not to completeness.

Based on above, answer the following MCQs (1-5):

MCQ 1 2 marks

The auditor compares salary expense for the current year with the previous two years and notes a 43% increase. This method is an example of:

- A Reasonableness test
- B Trend analysis
- C Ratio analysis
- D Substantive test of details

MCQ 2 2 marks

Despite only a small increase in employees, salary expense increased significantly. What should be the auditor's next step after identifying this unusual trend?

- A Conclude that the increase is justified
- B Ignore it as overtime hours also increased
- C Perform further audit procedures to investigate the cause
- D Reduce audit work as trend analysis provides sufficient evidence

MCQ 3 2 marks

Which of the following situations most strongly indicates a risk of fictitious employees based on the trend analysis results?

- A Salary expense increased far more than employee count

B Overtime hours increased slightly

C Production increased by 5%

D A new HR manager joined during the year

MCQ 4 2 marks

Which situation BEST tests the Occurrence assertion for employee benefit expenses?

A Ensuring all employee benefit expenses have been recorded

B Matching payroll expense with personnel records to confirm no unauthorized persons were paid

C Checking the arithmetic accuracy of payroll calculations

D Verifying that all employee benefits are presented under the correct heading

MCQ 5 2 marks

Which situation BEST reflects the Completeness assertion for employee benefit expenses?

A Confirming that no unauthorized employees have received salary payments

B Ensuring that every recorded employee benefit expense relates to a genuine employee and represents a valid transaction

C Ensuring salary expense is correctly classified in the financial statements

D Ensuring that employee benefit expenses for all personnel have been fully accounted for

ICAI'S ANSWERS

MCQ 1

(B)

MCQ 2

(C)

MCQ 3

(A)

MCQ 4

(B)

MCQ 5

(D)

ICAI · P5 · MTP Jan 2026 · Series II · question p. 1-2 · answer p. 1

687 MTP **Jan 2026 S-II**

Case Scenario 3 [MCQs 10-12] · MCQ 10 to MCQ 12 6 marks

CASE SCENARIO 3 [MCQS 10-12]

Trimurti & Co., Chartered Accountants, are appointed as the statutory auditors of Techno Industries Ltd., a medium-sized manufacturing company engaged in producing automobile parts. The audit team is led by CA Aakriti, assisted by one qualified assistant, Mr. Pradeep, and two articled trainees.

While planning the audit, the team notes that Techno Industries Ltd. recently implemented a new Inventory Management System (IMS). The management claims that the new system allows real-time tracking of raw materials, automated reorder

levels, and barcode-based issuance of materials for production.

During the preliminary review, Mr. Pradeep notices that the value of raw materials has increased by 35% compared to last year, whereas production levels increased by only 12%. He suspects possible errors in valuation or inclusion of obsolete stock. Further, the IMS allows only store managers to update inventory records. However, during walkthrough, an articled trainee observes that two production supervisors also have access to change stock quantities, without any documented authorisation.

Analytical review reveals that payments to one of the major suppliers, Alpha Metals, have doubled compared to previous year, despite no proportional increase in material purchases. To understand the functioning of the new IMS, the audit team prepares a visual diagram showing flow of material requisitions, approvals, barcode scanning, and issuance of materials to the shop floor. This helps them identify gaps in segregation of duties and authorization.

MCQ 10 2 marks

The auditor noticed a 35% increase in raw material value with only a 12% rise in production. Which audit procedure is being used here?

A Test of Controls

B Substantive Analytical Procedure

C Inquiry

D Test of Details

MCQ 11 2 marks

Unauthorized access to the Inventory Management System by production supervisors indicates which type of risk?

A Control Risk

B Business Risk

C Detection Risk

D Audit Risk

MCQ 12 2 marks

Preparing a visual diagram showing the movement of material requisitions and barcode-based issuance represents which method of internal control evaluation?

A Narrative Record

B Internal Control Questionnaire

C Checklist

D Flow Chart

ICAI'S ANSWERS

MCQ 10

(B)

MCQ 11

(A)

MCQ 12

(D)

688 MTP **Sep 2025 S-II** Q5(c) 4 marks

CA Saurabh is conducting the statutory audit of UVW Ltd. for the year 2024-25. While verifying the purchases made by the company, he decided to perform analytical procedures for obtaining audit evidence regarding the overall reasonableness of purchase quantity and price of purchases. Briefly mention the analytical procedures an auditor can perform to evaluate the overall reasonableness of raw material purchase quantity and price.

ICAI'S ANSWER

CA Saurabh should perform following analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price:

(i) Consumption Analysis: Auditor should scrutinize raw material consumed as per manufacturing account and compare the same with previous years with closing stock and ask for the reasons from the management if any significant variations are found.

(ii) Stock Composition Analysis: Auditor should collect the reports from management for composition of stock i.e. raw materials as a percentage of total stock and compare the same with previous year and ask for reasons from management in case of significant variations.

(iii) Ratios: Auditor should compare the creditors' turnover ratios and stock turnover ratios of the

current year with previous years.

Auditor should review quantitative reconciliation of closing stocks with opening stock, purchases and consumption.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 10-11 · answer p. 11

689 **MTP** **Sep 2024 S-II** Q5(c) **4 marks**

CA M, auditor of a company, has planned to use substantive analytical procedures during course of audit. In this regard, he has decided to use such procedures in following areas: -

(i) For testing relationship between sales and cost of sales

(ii) For testing rights over certain assets forming part of account balances

Comment upon his approach along with reasons.

ICAI'S ANSWER

(i) Substantive analytical procedures are more appropriate when an account balance or relationships between items of data are predictable. A predictable relationship is one that may reasonably be expected to exist and continue over time.

In the given case CA M, auditor of a company, has planned to use substantive analytical procedures for testing relationship between sales and cost of sales. Hence, auditor's approach is appropriate in this case.

(ii) Using substantive analytical procedures is also affected by nature of assertion. Substantive analytical procedures may be more effective in providing evidence for some assertions (e.g., completeness or valuation) than for others (e.g., rights and obligations).

In the given case, CA M has planned to use substantive analytical procedures for testing rights over certain assets forming part of account balances. Such procedures are likely to be less effective in this case.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10-11 · answer p. 9

690 MTP **May 2024 S-II** General MCQ 1 2 marks MCQ

CA D, during the course of audit of a company engaged in export business, notices that credit facilities taken by company during the year from a bank for ₹10 crores have almost been fully utilized during the year. On going through sanction letter provided by bank to company, it is observed that rate of interest stipulated in sanction letter is 8% p.a. Financial statements of company show bank interest amounting to ₹60.00 lacs. Which type of substantive analytical procedure is being used by CA D?

A Trend analysis

B Ratio analysis

C Reasonableness tests

D Structural modelling

ICAI'S ANSWER

(C)

ICAI · P5 · MTP May 2024 · Series II · question p. 7 · answer p. 2

691 MTP **Old P6 Nov 2022 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

Star Private Limited is a newly formed private limited company, engaged in the manufacturing of solar panels. Company has appointed Rajan Mehta and Associates, a Partnership Firm of CA Rajan Mehta and CA Piyush Mehta - as their First Auditors. Rajan Mehta and Associates accepted the assignment and CA Rajan Mehta being the engagement Partner, started their Audit.

During the course of Audit, CA Rajan Mehta asked the Management for name of the companies operating in similar business so that they can compare the Company's Figures. During this procedure, CA Rajan Mehta found that the Gross Margin of the Company is lower than the Industry Standard / Fellow Companies. He prepared an Interim Report dealing with this matter and asked the Management about the reasons for this deviation. Management asked him to give all the working along with the Working Papers as they believed it is the Company's Property. CA Rajan Mehta advised them that he can provide working but

cannot give them the working papers as they are the property of the Firm.

Management agreed to that and asked CA Rajan Mehta to go into detail and tell him about the reasons for lower Gross Margin to which he agreed. During the detailed audit, CA Rajan Mehta came to know about the fact that the company dispatched its solar panels to its distributors on delivery challans and once the goods were accepted, sales bills were raised. Checking each challan against sales invoices, CA Rajan Mehta found that there were many challans for which no invoices were raised and thus sales was grossly understated and there was no mechanism where unbilled challans were recorded or tracked. Company employed a person to reconcile all the challans and prepared a list where bills are yet to be sent to the customers. In addition, company was also asked to seek confirmation of balances from all its customers. The management assured CA Rajan Mehta that inventories are physically verified and hence there will be no impact on them.

MCQ 2.1 2 marks

CA Rajan Mehta asked about other Companies, he was intending to perform which audit procedure?

A Analytical Procedures

B Substantive Procedures

C Random Sampling

D Statistical Sampling

MCQ 2.2 2 marks

What was the initial procedure carried on by CA Rajan Mehta?

- A Trend Analysis
- B Ratio Analysis
- C Statistical Modelling
- D Random Sampling

MCQ 2.3 2 marks

Who has the right to retain the audit working papers of the Company in current case?

- A Audit Committee
- B Board of Directors
- C Auditor
- D Chairman of the Audit Committee

MCQ 2.4 2 marks

When CA Rajan Mehta decided to go in detail checking of Sales, which Audit Procedure he applied to obtain the evidence?

- A Test of Transactions
- B Test of Balances
- C Both (a) and (b)
- D Analytical Procedures

MCQ 2.5 2 marks

The impact of the exercise carried on by the Company for unbilled challans will have an impact on

A Gross Receipts and Debtors

B Gross Receipts and Inventory

C Debtors

D Inventory

ICAI'S ANSWERS

MCQ 2.1

(A) Analytical Procedures

MCQ 2.2

(B) Ratio Analysis

MCQ 2.3

(C) Auditor

MCQ 2.4

(C) Both (a) and (b)

MCQ 2.5

(A) Gross Receipts and Debtors

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 3 · answer p. 1

692 MTP **Old P6 Nov 2022 S-I** General MCQ 10 1 mark

MCQ old scheme

The auditor of Vishwas Ltd wants to know from you which of the following methods are analytical procedures

I. Comparison of client and industry data

II. Comparison of client data with similar prior period data

III. Comparison of client data with client-determined expected results

IV. Comparison of client data with auditor-determined expected results

A I, II and III only

B I &, II only

C III &, IV only

D I, II, III and IV

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 5-6 · answer p. 1

693 MTP **Old P6 May 2022 S-I** General MCQ 3 1 mark MCQ

old scheme

_____ implies analysing account fluctuations by comparing current year to prior year information and, also, to information derived over several years.

A Trend analysis

B Ratio analysis

C Structural modelling

D Account fluctuations analysis

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 5 · answer p. 1

694 MTP Old P6 May 2022 S-I Q4(b) 4 marks old scheme

Same question, different ICAI answer: #661 Old P6 RTP May 2023

While applying the Substantive Analytical Procedures what techniques can be used by the statutory auditor of a company to obtain sufficient and appropriate audit evidence?

ICAI'S ANSWER

While applying the Substantive Analytical Procedures the statutory auditor of a company may use the following techniques to obtain sufficient and appropriate audit evidence

Trend analysis – Trend analysis is a commonly used technique. It is the comparison of current data with the prior period balance or with a trend in two or more prior period balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account, or based on an understanding of factors that may cause the account to change.

Ratio analysis – Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales). Ratios can also be compared over time or to the ratios of separate entities within the group, or with the ratios of other companies in the same industry.

Reasonableness tests – Unlike trend analysis, this analytical procedure does not rely on events of prior periods, but upon non-financial data for the audit period under consideration (e.g., occupancy rates to estimate rental income or interest rates to estimate interest income or expense). These tests are generally more applicable to income statement accounts and certain accrual or prepayment accounts. In other words these tests are made by reviewing the relationship of certain account balances to other balances for reasonableness of amounts.

Structural modelling – A modelling tool constructs a statistical model from financial and/or non-financial data of prior accounting periods to predict current account balances (e.g., linear regression).

The statutory auditor may use any of the above mentioned techniques while applying substantive analytical procedures depensing upon the availability of data and requirements of the case.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 6-7

695 MTP **Old P6 May 2022 S-II** Q4(a) 4 marks old scheme

Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time. Explain

ICAI'S ANSWER

Substantive Analytical Procedure: Substantive analytical procedures are generally more applicable

to large volumes of transactions that tend to be predictable over time. The application of planned analytical procedures is based on the expectation that relationships among data exist and continue in the absence of known conditions to the contrary. However, the suitability of a particular analytical procedure will depend upon the auditor's assessment of how effective it will be in detecting a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated.

In some cases, even an unsophisticated predictive model may be effective as an analytical procedure. For example, where an entity has a known number of employees at fixed rates of pay throughout the period, it may be possible for the auditor to use this data to estimate the total payroll costs for the period with a high degree of accuracy, thereby providing audit evidence for a significant item in the financial statements and reducing the need to perform tests of details on the payroll. The use of widely recognised trade ratios (such as profit margins for different types of retail entities) can often be used effectively in substantive analytical procedures to provide evidence to support the reasonableness of recorded amounts.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 7 · answer p. 5

696 MTP Old P6 Dec 2021 S-II Q3(d) 3 marks old scheme

Explain how a statutory auditor of a company can apply analytical procedures at the planning phase of audit.

ICAI'S ANSWER

Analytical Procedures are required in the planning phase and it is often done during the testing phase. In addition these are also required during the completion phase.

Analytical Procedures in Planning the Audit

In the planning stage, analytical procedures assist the auditor in understanding the client's business and in identifying areas of potential risk by indicating aspects of and developments in the entity's business of which he was previously unaware. This information will assist the auditor in determining the nature, timing and extent of his other audit procedures. Analytical procedures in planning the audit use both financial data and non-financial information, such as number of employees, square feet of selling space, volume of goods produced and similar information.

For example, analytical procedures may help the auditor during the planning stage to determine the nature, timing and extent of audit procedures that will be used to obtain audit evidence for specific account balances or classes of transactions.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 4

697 MTP **Old P6 Dec 2021 S-II** Q4(b) 4 marks old scheme

The auditor may choose to analyse the monthly trend for Power & Fuel expense. Explain how this analysis will be performed by the auditor

ICAI'S ANSWER

Power and fuel expense -

- Obtain a month wise expense schedule along with the power bills.
- Verify if expense has been recorded for all 12 months.
- Also, compile a month wise summary of power units consumed and the applicable rate and check the arithmetical accuracy of the bill raised on monthly basis.
- In relation to the units consumed, analyse the monthly power units consumed by linking it to units of finished goods produced and investigate reasons for variance in monthly trends.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 5

698 MTP **Old P6 Jul 2021 S-II**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

Sun Private Limited is a newly formed private limited company engaged in the manufacturing of solar panels. Company has appointed M&S Associates, a Partnership Firm of Mr Meticulous and Mr Sincere as their First Auditors. M&S Associates

accepted the assignment and Mr Meticulous being the engagement Partner, started their Audit.

During the course of Audit, Mr Meticulous asked the Management for name of the companies operating in similar business so that they can compare the Company's Figures. During this procedure, Mr Meticulous found that the Gross Margin of the Company is lower than the Industry Standard / Fellow Companies. He prepared an Interim Report dealing with this matter and asked the Management about the reasons for this deviation. Management asked him to give all the working along with the Working Papers as they believed it is the Company's Property. Mr Meticulous advised them that he can provide working but cannot give them the working papers as they are the property of the Firm.

Management agreed to that and asked Mr Meticulous to go into detail and tell them the reasons for lower Gross Margin to which he agreed. During the detailed audit, Mr Meticulous came to know about the fact that the company dispatched its solar panels to its Distributors on Delivery Challans and once the goods were accepted, Sales bills were raised. Checking each Challan against Sales Invoices, Mr Meticulous found that there were many challans for which no Invoices were raised and thus Sales was grossly understated and there was no mechanism where unbilled Challans were recorded or tracked. Company employed a person to reconcile all the challans and prepared a list where Bills are yet to be

sent to the Customers. In addition, Company was also asked to seek confirmation of balances from all its customers. The Management assured Mr Meticulous that Inventories are physically verified and hence there will be no impact on them.

Multiple Choice Questions:

MCQ 2.1 2 marks

M.r Meticulous asked about other Companies, he was intending to perform which audit procedure?

- A Analytical Procedures
- B Substantive Procedures
- C Random Sampling
- D Statistical Sampling

MCQ 2.2 2 marks

What was the initial procedure carried on by Mr Meticulous?

- A Trend Analysis
- B Ratio Analysis
- C Statistical Modelling
- D Random Sampling

MCQ 2.3 2 marks

Who has the right to retain the working papers of the Company in current case?

- A Audit Committee
- B Board of Directors

C Auditor

D Chairman of the Audit Committee

MCQ 2.4 2 marks

When Mr. Meticulous decided to go in detail checking of Sales, which Audit Procedure he applied to obtain the evidence?

A Test of Transactions

B Test of Balances

C Both (a) and (b)

D Analytical Procedures

MCQ 2.5 2 marks

The impact of the exercise carried on by the Company for unbilled challans will have an impact on

A Gross Receipts and Debtors

B Gross Receipts and Inventory

C Debtors

D Inventory

ICAI'S ANSWERS

MCQ 2.1

(A)

MCQ 2.2

(B)

MCQ 2.3

(C)

MCQ 2.4

(C)

MCQ 2.5

(A)

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 2 · answer p. 1

699 MTP **Old P6 Jul 2021 S-II** Q6(d) 3 marks old scheme

CA Amar wants to verify the payments made by XYZ Ltd. on account of building rent during the FY 2020-21. The rent amounts to Rs.50,000/- per month for the year. The monthly rent payments are consistent with the rent agreement. However, the other companies in the similar industry are paying rent of Rs. 10,000/- per month for a similar location. How will applying the analytical procedures impact the verification process of such rental payments by XYZ Ltd.?

ICAI'S ANSWER

If CA Amar checks in detail the monthly rent payments, he may find that such payments are consistent with the rent agreement i.e. XYZ Ltd. paid Rs. 50,000/- per month as rent and the same is getting reflected in the rent agreement. Here, CA Amar may not be able to find out the inconsistency in the rent payment with respect to rent payment prevalent in the similar industry for rent of the similar location.

If CA Amar applies analytical procedure i.e. compares the rent payment by XYZ Ltd. with the similar payments made by companies in similar

industry and similar area, he will notice an inconsistency in such rent payments as the other companies are paying a very less monthly rent in similar industry for similar area.

However, if CA Amar does not make such comparison and only checks the monthly payments and rent agreement of XYZ Ltd., he would not have found such inconsistency and as such the misstatement may remain undetected.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 6 · answer p. 7-8

700 MTP **Old P6 Nov 2019 S-I** MCQ 12 1 mark MCQ old scheme

Which of the following is not an analytical procedure?

A Tracing of purchases recurred in the purchase book to purchase invoices.

B Comparing aggregate wages paid to number of employees

C Comparing the actual costs with standard costs

D All of them are analytical procedures

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2-3 · answer p. 1

701 MTP **Old P6 Nov 2019 S-I** MCQ 24 2 marks MCQ old scheme

which of the following is correct :

A Different types of analytical procedures provide different levels of assurance.

B Different types of analytical procedures provide similar levels of assurance.

C Similar type of analytical procedures provide different levels of assurance.

D All are correct

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 5 · answer p. 1

702 MTP **Old P6 Nov 2019 S-I** Q5(c) 3 marks old scheme

Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales).

Explain stating the techniques available as substantive analytical procedures.

ICAI'S ANSWER

Techniques available as substantive analytical procedures: The design of a substantive analytical procedure is limited only by the availability of reliable data and the experience and creativity of

the audit team. Substantive analytical procedures generally take one of the following forms:

- **Trend analysis** — A commonly used technique is the comparison of current data with the prior period balance or with a trend in two or more prior period balances. We evaluate whether the current balance of an account moves in line with the trend established with previous balances for that account, or based on an understanding of factors that may cause the account to change.
- Ratio analysis — Ratio analysis is useful for analysing asset and liability accounts as well as revenue and expense accounts. An individual balance sheet account is difficult to predict on its own, but its relationship to another account is often more predictable (e.g., the trade receivables balance related to sales). Ratios can also be compared over time or to the ratios of separate entities within the group, or with the ratios of other companies in the same industry.
  - ***For example,*** Financial ratios may include:
  - Trade receivables or inventory turnover
  - Freight expense as a percentage of sales revenue
- Reasonableness tests — Unlike trend analysis, this analytical procedure does not rely on events of prior periods, but upon non-financial data for the audit period under consideration (e.g., occupancy rates to estimate rental income or interest rates to estimate interest income or

expense). These tests are generally more applicable to income statement accounts and certain accrual or prepayment accounts.

- Structural modelling — A modelling tool constructs a statistical model from financial and/or non-financial data of prior accounting periods to predict current account balances (e.g., linear regression).

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 9

4.11 Audit trail

2 questions · asked in 2 ICAI documents · 1 exam paper

703 EXAM Old P6 Nov 2023 Q2(d) 3 marks old scheme

As per Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 auditor's report should state whether the accounting software used for maintaining its books of account has a feature of recording audit trail (edit log) facility. What are the reporting requirements under Rule 11(g)?

ICAI'S ANSWER

The auditor's report shall report on following matters in accordance with Rule 11(g) of Companies (Audit and Auditors Rules), 2014):

Whether the company has used such accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and

1. the same has been operated throughout the year for all transactions recorded in the software and
2. the audit trail feature has not been tampered with and
3. the audit trail has been preserved by the company as per the statutory requirements for record retention.

ICAI · Old P6 · Nov 2023 exam · question p. 3 · answer p. 5

704 MTP **Old P6 Nov 2023 S-II Q3(d)** 3 marks old scheme

CA E was appointed statutory auditor of XYZ Private Limited in AGM held in the month of August, 2023 for the first time for audit of financial statements of the company from year 2023-24 onwards. Since he is new to the company, he wants to be sure about integrity of accounting records. In this regard, he wants to ensure that software used by company for maintenance of its books of accounts is capable of tracking user activities and changes made to entries in books of accounts, if any, during the course of year.

What CA E is looking for in the given situation? Discuss the reporting requirements for CA E in this matter to be included in audit report to be issued under the Companies Act, 2013.

ICAI'S ANSWER

In the given situation, the auditor is looking for a feature of "audit trail" in software used by company for maintenance of books of accounts. Under

section 143(3) of Companies Act, 2013, it has to be reported by the auditor as under: -

Whether the company has used such accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 6-7 · answer p. 5

CHAPTER 5

Audit of Items of Financial Statements

5.1 Audit of revenue and other income

19 questions · asked in 16 ICAI documents · 6 exam papers

705 EXAM **Sep 2026** Case scenario · Q3(c)(i) to Q3(c)(ii)

4 marks

CASE SCENARIO

Your audit team had come across the following issues during the audit of STU Ltd. for the financial year 2025-26 :

Q3(c)(i) 2 marks

The company in which STU Ltd. holds equity investments declared a dividend of 15% at its General Meeting held on 4th September, 2025. Guide the audit team regarding the recognition criteria for the Dividend income.

Q3(c)(ii) 2 marks

During the year, a search conducted by the Income-tax authorities resulted in the detection of income that was not previously recorded in the books of account. State the additional information required to be disclosed in the financial statements in respect of undisclosed income in accordance with the Schedule III of the Companies Act, 2013.

ICAI'S ANSWERS

Q3(c)(i)

ICAI has not published its answers to this paper yet.

Q3(c)(ii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 18

706 EXAM **May 2025** Q3(a) 5 marks

LMN Ltd., a mid-sized manufacturing company, generates revenue primarily through the sale of consumer electronics in domestic and international market. The company reported sales of ₹ 2 crores in the Financial Year 2024-25. The company generates revenue through sale of standard electronics devices, customized product orders with specific delivery terms and extended warranties and after-sales services.

The auditor has to verify that all sales are accurately measured as per applicable accounting standards and correctly journalized, summarized and posted in the financial statements,

Explain the audit procedures to ensure the same.

ICAI'S ANSWER

The auditor will apply the following audit procedures to verify that all sales are accurately measured as per applicable accounting standards and correctly journalised, summarised, and posted in the financial statements are:

- Trace a few transactions from inception to completion. (Examination in depth)

- Eg: Take few sales transaction, and check from the receipt of sales order to the payment of receivable balance, every underlying document to ensure if it is properly recorded at every stage and measured accurately taking into consideration all the incentives, discounts, if any. The recognition shall be according to the revenue recognition policy of the entity.
- If the client is engaged in export sales, then compliance with AS 11 shall be ensured.
- Auditor must understand client's operations and related GAAP issues e.g. point of sale revenue recognition vs. percentage of completion, wherever applicable.
- Compare the rate of sales affected with related parties and review them for collectability, as well as whether they were properly authorised and the value of such transactions were reasonable and at arm's length.

ICAI · P5 · May 2025 exam · question p. 14-15 · answer p. 15-16

707 EXAM **Old P6 May 2023** Q3(c) 3 marks old scheme

X Ltd. is a hardware manufacturing company. At each and every stage of production processes, large amount of scrap is generated in the factory and subsequently sold. As an auditor how will you vouch/ verify the sale of scrap?

ICAI'S ANSWER

Vouching/Verification of the Sale of Scrap by Auditor would be undertaken as under:

(i) Review the internal control as regards generation, storage and disposal of scrap.

(ii) Check whether the organization is maintaining reasonable record for generation of scrap.

(iii) Analyze the raw material used, production and generation pattern of scrap and compare the same with figures of earlier year.

(iv) Check the rates at which scrap has been sold and compare the rate with previous year.

(v) Vouch sales with invoices raised, advertisement for tender, rate contract with scrap dealers.

(vi) Ensure that there exists a proper control procedure to identify scrap and good units and they are not mixed up and sold as scrap.

(vii) Make an overall assessment of the value of realization from scrap as to its reasonableness.

ICAI · Old P6 · May 2023 exam · question p. 5 · answer p. 6

708 EXAM **Old P6 Jul 2021** Q4(a) 4 marks old scheme

CA "X" while conducting an audit of Joyful Ltd. found a considerable increase in sales as compared to the previous year, he doubts that few fictitious sales have been recorded by the company to overstate its revenues. Discuss any four audit procedures to be undertaken by the auditor to ensure revenue from sales

of goods and services performed during the period is not overstated?

ICAI'S ANSWER

CA X, having doubts about fictitious sales being recorded by Joyful Ltd would ensure that revenue is not overstated by performing following audit procedures:

- Check whether a single sales invoice is recorded twice or a cancelled sales invoice could also be recorded.
- Test check few invoices with their relevant entries in sales journal.
- Obtain confirmation from few customers to ensure genuineness of sales transaction
- Whether any fictitious customers and sales have been recorded.
- Whether any shipments were done without the consent and agreement of the customer, especially at the year end to inflate the sales figure
- Whether unearned revenue recorded as earned.
- Whether any substantial uncertainty exists about collectability
- Whether customer obligations are contingent on other actions (financing, resale etc.)

ICAI · Old P6 · Jul 2021 exam · question p. 39 · answer p. 39-40

709 EXAM Old P6 Jan 2021 Q4(c) 3 marks old scheme

As a Statutory Auditor of the company list out audit procedure required to be undertaken for the recognition of following other income:

i. Interest income from fixed deposit

ii. Dividend income

iii. Gain/(loss) on sale of investment in mutual funds.

ICAI'S ANSWER

Statutory auditor would perform the following audit procedure for recognition of different items given in the question:

(1) Interest income on fixed deposits is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate.

(2) Dividends are recognised in the statement of profit and loss only when:

(i) the entity's right to receive payment of the dividend is established;

(ii) it is probable that the economic benefits associated with the dividend will flow to the entity; and

(iii) the amount of the dividend can be measured reliably.

(3) Gain/(loss) on sale of investment in mutual funds is recorded as other income on transfer of title from the entity and is determined as the difference

between the redemption price and carrying value of the investments.

ICAI · Old P6 · Jan 2021 exam · question p. 7 · answer p. 8

710 EXAM **Old P6 Nov 2020** Q4(a) 4 marks old scheme

ABC limited appointed XYZ & Company, Chartered Accountants, as a Statutory Auditor of the Company for the year 2019-20. CA X, partner of XYZ & Company, was looking after the audit of other income of the company which consists of interest income on fixed deposits. As a Statutory Auditor how would CA X verify interest income on fixed deposits for the year 2019-20?

ICAI'S ANSWER

CA X, partner of XYZ & Company, would carry out the following audit procedure for verifying interest income on fixed deposits of ABC Limited:

1. Obtain a listing of fixed deposits opened during the period under audit along with the applicable interest rate and the number of days for which the deposit was outstanding during the period. Verify the arithmetical accuracy of the interest calculation made by the entity by recomputing i.e. multiplying the deposit amount with the applicable rate and number of days during the period under audit.
2. For deposits still outstanding as at the period-end, trace the same to the direct confirmations obtained from the respective bank/ financial institution.

3. Obtain a confirmation of interest income from the bank and verify that the interest income as per bank reconciles to the calculation shared by the entity.
4. Also, obtain a copy of Form 26AS (TDS withholding by the bank/ financial institution) and reconcile the interest reflected therein to the calculation shared by client.

ICAI · Old P6 · Nov 2020 exam · question p. 6 · answer p. 7

711 EXAM **Old P6 Nov 2020** Q4(d) 3 marks old scheme

Also asked in Old P6 MTP Nov 2023 S-I Q5(c)

Discuss the audit procedures generally required to be undertaken by the auditor while auditing Goods sent out on Sale or Return Basis.

ICAI'S ANSWER

The audit procedure generally required to be undertaken by the auditor while auditing Goods sent out on Sale or Return Basis is as under:

(i) Check whether a separate memoranda record of goods sent out on sale or return basis is maintained. The party accounts are debited only after the goods have been sold and the sales account is credited.

(ii) Verify that price of such goods is unloaded from the sales account and the trade receivables record. Check the memoranda record to confirm that on the receipt of acceptance from each party, his account

has been debited and the sales account correspondingly credited.

(iii) Ensure that the goods in respect of which the period of approval has expired at the end of the year, have either been received back or customers' accounts have been debited.

(iv) Confirm that the inventory of goods sent out on approval, the period of approval in respect of which had not expired till the end of the year lying with the party, has been included in the closing inventory.

ICAI · Old P6 · Nov 2020 exam · question p. 7 · answer p. 8

712 **RTP** **May 2026** **Q14**

TUV Ltd. is engaged in the business of manufacturing and sale of electronic appliances. During the audit of the company for the year ended 31st March 2025, the auditor observed a significant increase in revenue in the last month of the financial year as compared to previous months.

Further, it was noticed that:

- Some sales invoices near year-end were cancelled subsequently.
- The sales return ratio for the current year showed wide fluctuation compared to the previous year.
- Management was under pressure to meet revenue targets to comply with loan covenants.
- Certain customers had not made payments even after an extended credit period.

The auditor is concerned about the risk of overstatement of revenue and wants to verify whether the recorded sales genuinely represent goods shipped or services performed during the period.

As an auditor, explain the audit procedures you would perform to verify the Occurrence assertion in respect of revenue transactions of TUV Ltd.

ICAI'S ANSWER

Audit Procedure – Occurrence Assertion: To verify that recorded sales represent goods actually shipped or services actually performed during the period, the auditor should perform the following audit procedures to satisfy the Occurrence assertion and ensure that revenue is not overstated:

1. Ensure revenue is not overstated by performing the following audit procedures:
    - Check whether a single sales invoice has been recorded twice or whether a cancelled sales invoice has also been recorded.
    - Test check a few sales invoices with their relevant entries in the sales journal.
    - Obtain confirmation from a few customers to ensure the genuineness of sales transactions.
    - Verify whether any fictitious customers and fictitious sales have been recorded.
    - Examine whether any shipments were made without the consent and agreement of the customer, especially at the year end, with the intention of inflating sales figures.

- Check whether any unearned revenue has been incorrectly recorded as earned.
- Evaluate whether any substantial uncertainty exists regarding the collectability of sales proceeds.
- Examine whether customer obligations are contingent upon other actions such as financing, resale, etc.

2. Review the sequence of sales invoices to identify any missing, duplicate, or irregular invoices.
3. Review journal entries for unusual or non-routine revenue transactions.
4. Calculate the ratio of sales returns to sales and compare it with the previous year and enquire into the reasons for any significant increase or decrease.
5. Verify sales returns with supporting documents such as sales invoices, challans, credit notes, and stock registers.

Based on above audit procedures, the auditor would be able to conclude whether the sales recorded during the period are genuine, relate to actual shipments or services rendered, and are free from fictitious, duplicate, or premature recognition. These procedures directly address the risks highlighted in the given question regarding overstatement of revenue, particularly at the year end, and provide reasonable assurance on the Occurrence assertion of revenue.

713 RTP **Old P6 May 2022** Case scenario · Q19(a) to Q19(d)

old scheme

Also asked in Old P6 RTP Dec 2021 Q19(a)–19(d)

CASE SCENARIO

Explain how you will verify the items given while conducting an audit of an entity:

Q19(a)

Recovery of Bad debts written off

Q19(b)

Receipt of Insurance claims

Q19(c)

Payment of Taxes

Q19(d)

Sale proceeds of scrap material

ICAI'S ANSWERS

Q19(a)

Recovery of Bad Debts written off: Recovery of bad debts written off is verified with reference to relevant correspondence and proper authorisation.

(i) Ascertain the total amount lying as bad debts and verify the relevant correspondence with the trade receivables whose accounts were written off as bad debt.

(ii) Ensure that all recoveries of bad debts have been properly recorded in the books of account.

(iii) Examine notification from the Court or from bankruptcy trustee. Letters from collecting agencies or from account receivables should also be seen.

(iv) Check Credit Manager's file for the amount received and see that the said amount has been deposited into the bank promptly.

(v) Vouch acknowledgement receipts issued to account receivables or trustees.

(vi) Review the internal control system regarding writing off and recovery of bad debts

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Q19(b)

Receipt of Insurance Claims: Insurance claims may be in respect of fixed assets or current assets. While vouching the receipts of insurance claims-

(i) The auditor should examine a copy of the insurance claim lodged with the insurance company correspondence with the insurance company and with the insurance agent should also be seen. Counterfoils of the receipts issued to the insurance company should also be seen.

(ii) The auditor should also determine the adjustment of the amount received in excess or short of the value of the actual loss as per the insurance policy.

(iii) The copy of certificate/report containing full particulars of the amount of loss should also be verified.

(iv) The accounting treatment of the amount received should be seen particularly to ensure that revenue is credited with the appropriate amount and that in respect of claim against asset, the Statement of Profit and Loss is debited with the short fall of the claim admitted against book value, if the claim was lodged in the previous year but no entries were passed, entries in the Statement of Profit and Loss should be appropriately described.

Q19(c)

Payment of Taxes:

(i) Obtain the computation of taxes prepared by the auditee and verify whether it is as per the Income Tax Act/GST Act/ Rules/ Notifications/ Circulars etc.

(ii) Examine relevant records and documents pertaining to payment of advance income tax and self assessment tax.

(iii) Payment on account of income-tax and other taxes like GST consequent upon a regular assessment should be verified by reference to the copy of the assessment order, notice of demand and the receipted challan acknowledging the amount paid.

(iv) The penal interest charged for non-payment should be debited to the interest account.

(v) Nowadays, electronic payment of taxes is also in trend. Such electronic payment of taxes by way of internet banking facility or credit or debit cards shall also be verified.

(vi) The assessee can make electronic payment of taxes also from the account of any other person. Therefore, it should be verified that the challan for making such payment is clearly indicating the PAN No./TAN No./TIN No./GSTIN etc. of the assessee on whose behalf the payment is made.

Q19(d)

Sale Proceeds of Scrap Material:

(i) Review the internal control on scrap materials, as regards its generation, storage and disposal and see whether it was properly followed at every stage.

(ii) Ascertain whether the organisation is maintaining reasonable records for the sale and disposal of scrap materials.

(iii) Review the production and cost records for determination of the extent of scrap materials that may arise in a given period.

(iv) Compare the income from the sale of scrap materials with the corresponding figures of the preceding three years.

(v) Check the rates at which different types of scrap materials have been sold and compare the same with the rates that prevailed in the preceding year.

(vi) See that scrap materials sold have been billed and check the calculations on the invoices.

(vii) Ensure that there exists a proper procedure to identify the scrap material and good quality material is not mixed up with it and sold as scrap

(viii) Make an overall assessment of the value of the realisation from the sale of scrap materials as to its reasonableness.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 25, 25-26, 26, 26-27

714 RTP **Old P6 Jul 2021 Q19** old scheme

List out the steps to be taken by auditor while vouching/ verifying the 'Refund of General Insurance premium paid'.

ICAI'S ANSWER

Refund of General Insurance Premium paid: The refund of insurance premium may be because of earlier provisional payment of premium or may be a policy might have been cancelled at a later date. The auditor should take following steps while vouching such refunds:

(i) Ascertain the reasons for refund of insurance premium.

(ii) Examine insurance policy or cover note to find out the amount of premium.

(iii) Verify advice of refund received from the insurance company. When refund is admitted, the insurance company sends the advice. This will be evidence as a covering letter to the cheque for the refund. Sometimes, a cheque is issued after a receipt is sent in advance to the insurance company.

(iv) Scrutinise correspondence between the insurance company and the client.

(v) Check entries in the bank book or the bank statement. If necessary, the counterfoil of the pay-in-slips can also be verified.

PassBook's note: The January 2027 Study Material has no section on vouching a refund of insurance premium.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 138-139

715 MTP **Jan 2026 S-II** Q5(b) 5 marks

ABC Ltd. has several fixed deposits with different banks. During audit for the year 2024–25, the auditor notices that the interest income shown in the financial statements appears significantly higher than the previous year. The management provides a working of interest earned on all fixed deposits but does not provide any bank-wise confirmation of interest. Some fixed deposits are still outstanding at the year-end.

State the audit procedures, the auditor should perform to verify interest income on fixed deposits.

ICAI'S ANSWER

Audit procedure for verifying interest income on fixed deposits:

(i) Obtain a listing of fixed deposits opened during the period under audit along with the applicable interest rate and the number of days for which the deposit was outstanding during the period.

(ii) Verify the arithmetical accuracy of the interest calculation made by the entity by recomputing i.e. multiplying the deposit amount with the applicable

rate and number of days during the period under audit.

(iii) For deposits still outstanding as at the period-end, trace the same to the direct confirmations obtained from the respective bank/ financial institution.

(iv) Obtain a confirmation of interest income from the bank and verify that the interest income as per bank reconciles with the calculation shared by the entity.

(v) Also, obtain a copy of Form 26AS (TDS withholding by the bank/ financial institution) and reconcile the interest reflected therein with the calculation shared by client.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 11 · answer p. 10

716 MTP **Sep 2025 S-I** Q2(a) 5 marks

During the audit of Venus Ltd., CA Rajveer found a considerable increase in sales as compared to the previous year. He suspected that a few fictitious sales have been recorded by the company to overstate its revenues. Discuss the audit procedures to be undertaken by the auditor to ensure revenue from sales of goods and services performed during the period is not overstated?

ICAI'S ANSWER

To ensure revenue from sales of goods and services performed during the period is not overstated, CA

Rajveer, would perform the following audit procedures:

- Check whether a single sales invoice is recorded twice or a cancelled sales invoice could also be recorded.
- Test check few invoices with their relevant entries in sales journal.
- Obtain confirmation from few customers to ensure genuineness of sales transaction
- Whether any fictitious customers and sales have been recorded.
- Whether any shipments were done without the consent and agreement of the customer, especially at the year end to inflate the sales figure
- Whether unearned revenue recorded as earned.
- Whether any substantial uncertainty exists about collectability
- Whether customer obligations are contingent on other actions (financing, resale etc.)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 8 · answer p. 3-4

717 MTP **May 2024 S-I** Q4(a) 4 marks

You are part of engagement team conducting audit of an entity engaged in manufacturing business. State few audit procedures you would undertake to perform to verify that recorded sales in financial statements represent goods actually sold during the period and recorded sales are not overstated.

ICAI'S ANSWER

Following audit procedures can be performed to perform to verify that recorded sales in financial statements represent goods actually sold during the period and recorded sales are not overstated.

- Check whether a single sales invoice is recorded twice or a cancelled sales invoice has been recorded.
- Test check few invoices with their relevant entries in sales journal.
- Obtain confirmation from few customers to ensure genuineness of sales transaction
- Check whether any fictitious customers and sales have been recorded.
- Verify whether any shipments were done without the consent and agreement of the customer, especially at the year end to inflate the sales figure
- Whether unearned revenue recorded as earned.
- Whether any substantial uncertainty exists about collectability
- Whether customer obligations are contingent on other (financing, resale, etc.).
- Review sequence of sales invoices
- Review journal entries for unusual transactions
- Calculate the ratio of sales return to sales and compare it with previous year and enquire for the reasons for unusual variation.

ICAI · P5 · MTP May 2024 · Series I · question p. 11 · answer p. 6-7

718 MTP Old P6 Nov 2022 S-II Q6(d) 3 marks old scheme

While checking sales of the client, the auditor has to ensure that all sales are accurately measured as per applicable accounting standards and correctly journalized, summarized, and posted. Explain the audit procedures to ensure the same.

ICAI'S ANSWER

While checking sales of the client, the auditor has to ensure that all sales are accurately measured as per applicable accounting standards and correctly journalized, summarized, and posted. The auditor can perform the following procedures to ensure the same.

- Trace a few transactions from inception to completion. (Examination in depth)
- E.g: Take few sales transaction, and check from the receipt of sales order to the payment of receivable balance, every underlying document to ensure if it is properly recorded at every stage and measured accurately taking into consideration all the incentives, discounts, if any. The recognition shall be according to the revenue recognition policy of the entity.
- If the client is engaged in export sales, then compliance with AS 11 shall be ensured.
- Auditor must understand client's operations and related GAAP issues e.g. point of sale revenue recognition vs. percentage of completion, wherever applicable.

- Compare the rate of sales affected with related parties and review them for collectability, as well as whether they were properly authorized and the value of such transactions were reasonable and at arm's length.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 8

719 MTP **Old P6 Jul 2021 S-I** Q5(d) 3 marks old scheme

Auditor of ABC Ltd while auditing its financial statements wants to ensure whether the disclosures regarding sales has been made as required under Schedule III (Part 1) to Companies Act, 2013. Explain such disclosure requirements.

ICAI'S ANSWER

With respect to sales of the client entity, the auditor is required to ensure whether the following disclosures as required under Schedule III (Part 1) to Companies Act, 2013 have been made:

- Whether disclosure of sales in respect of each class of goods has been made.
- Whether revenue from operations is disclosed separately in the notes as revenue arising from:
  - Sale of products (including excise duty)
  - Sale of services
  - Other operating revenues.
- Whether brokerage and discount on sales other than usual trade discount has been disclosed.

- Whether the transactions with related parties are appropriately disclosed in notes to accounts.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 8

5.2 Audit of expenses

30 questions · asked in 22 ICAI documents · 8 exam papers

720 EXAM Jan 2026 MCQ 14 2 marks MCQ

During the audit of EF Limited for the financial year 2024-25, Mr. Uday, an articled clerk was assigned the task of preparing additional information to be disclosed relating to Crypto Currency or Virtual Currency transactions in the financial statements, in accordance with the Companies Act, 2013.

As a senior auditor, help Mr. Uday to identify which of the points, out of the options given, should be included in the additional information to be disclosed relating to Crypto Currency or Virtual Currency.

I. Profit or loss on transactions involving Crypto currency or Virtual Currency.

II. Maximum amount of currency held during the financial year.

III. Market value of crypto currency at the end of the financial year.

IV. Amount of currency held as at the reporting date.

V. Deposits or advances from any person for the purpose of trading or investing in Crypto Currency/ virtual currency.

A I, II, III, V

B I, III, V

C I, II, IV

D I, IV, V

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · Jan 2026 exam · question p. 10 · answer p. 11

721 EXAM **Jan 2026** Case scenario · Q4(a) 1/2 to Q4(a) 2/2

5 marks

CASE SCENARIO

During the audit of Zenith Appliances Ltd. for the year ended 31st March 2025, you observe that expenditure on purchase of machinery parts that enhance the useful life of the machine has been charged to repairs and maintenance in the Profit and Loss Account.

Q4(a) 1/2 1 mark

As the statutory auditor, explain whether the above situation constitute misstatements in the financial statements.

Q4(a) 2/2 4 marks

Explain the meaning of Misstatement along with other examples (Any 3) that may arise in financial statements.

ICAI'S ANSWERS

Q4(a) 1/2

Charging of an item of capital expenditure to revenue: In the given situation, expenditure on purchase of machinery parts that enhance the useful life of the machine has been charged to repairs and maintenance in the Profit and Loss Account. This situation constitutes misstatement as expenditure on purchase of machinery parts that enhance the useful life of the machine is a capital expenditure, but it is treated as revenue expenditure. Charging of an item of capital expenditure to revenue is one of the examples of misstatement.

Q4(a) 2/2

Meaning of Misstatement: Misstatement refers to a difference between the amounts, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.

Examples of misstatements that may arise in financial statements:

Difference in disclosure of a financial statement item vis-à-vis its requirement in applicable financial reporting framework -

1. Selection or application of inappropriate accounting policies

2. Difference in accounting estimate of a financial statement item vis-à-vis its appropriateness in applicable financial reporting framework
3. Intentional booking of fake expenses in statement of profit and loss
4. Overstating receivables in financial statements by not writing off irrecoverable debts
5. Overstating or understating inventories

ICAI · P5 · Jan 2026 exam · question p. 21 · answer p. 22

722 **EXAM** **May 2025** Q6(c) **5 marks**

As an auditor of Star Ltd., a company covered under Section 135 of the Companies Act, 2013, what matters should auditor verify to ensure that proper disclosures regarding Corporate Social Responsibility (CSR) activities is made in Additional Information to notes to account.

Mention any four such matters.

ICAI'S ANSWER

As an auditor of Star Ltd., a company covered under Section 135 of the Companies Act, 2013, the auditor should verify the following matters to ensure that proper disclosures regarding Corporate Social Responsibility (CSR) activities is made in "Additional Information" to notes to account are:

(i) amount required to be spent by the company during the year.

(ii) amount of expenditure incurred.

(iii) shortfall at the end of the year.

(iv) total of previous years shortfall.

(v) reason for shortfall.

(vi) nature of CSR activities.

(vii) details of related party transactions, e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard.

(viii) where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year should be shown separately.

ICAI · P5 · May 2025 exam · question p. 22 · answer p. 24

723 EXAM **May 2024** Q4(d) 3 marks

XY and Associates are auditors of PQR Ltd., which provides electrical components on project basis. The purchases are huge and the auditor wants to make sure that all the purchases made during the period are recorded and there is no understatement or overstatement. For this purpose the audit team have performed procedures like cut-off tests, correct treatment of goods in transit, obtaining written representations and performing analytical procedures. What are the analytical procedures required to be performed to obtain audit evidence as to overall reasonableness of purchase quantity and price?

ICAI'S ANSWER

The auditor should perform analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price which may include:

(i) **Consumption Analysis:** Auditor should scrutinize raw material consumed as per manufacturing account and compare the same with previous years with closing stock and ask for the reasons from the management, if any significant variations are found.

(ii) **Stock Composition Analysis:** Auditor to collect the reports from management for composition of stock i.e. raw materials as a percentage of total stock and compare the same with previous year and ask for reasons from management in case of significant variations.

(iii) **Ratios:** Auditor should compare the creditors turnover ratios and stock turnover ratios of the current year with previous years.

(iv) **Quantitative Reconciliation:** Auditor should review quantitative reconciliation of closing stocks with opening stock, purchases and consumption.

ICAI · P5 · May 2024 exam · question p. 13 · answer p. 14-15

724 EXAM **Old P6 Nov 2022** Q3(b) 4 marks old scheme

M/s SS & Associates have been appointed as statutory auditors of Green Limited, a company engaged in the business of manufacturing of hardware products. They

are analyzing the monthly trends for other expenses like rent, power and fuel, repairs, etc. and are also verifying attributes of such types of expenses. List down the attributes for verifying such expenses.

ICAI'S ANSWER

Attributes for verifying other expenses like Power and Fuel, Repair etc.:

An entity in addition to making purchases and incurring employee benefit expenses, also incurs other expenditures like rent, power and fuel, repairs and maintenance, insurance, travelling, miscellaneous expenses etc., that are essential and incidental to running of business operations.

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify following attributes:

(a) Whether the expenditure pertained to current period under audit;

(b) Whether the expenditure qualified as a revenue and not capital expenditure;

(c) Whether the expenditure had a valid supporting document like travel tickets, insurance policy, third party invoice etc.;

(d) Whether the expenditure has been classified under the correct expense head;

(e) Whether the expenditure was authorised as per the delegation of authority matrix;

(f) Whether the expenditure was in relation to the entity's business and not a personal expenditure.

ICAI · Old P6 · Nov 2022 exam · question p. 5 · answer p. 6-7

725 EXAM Old P6 Nov 2022 Q3(d) 3 marks old scheme

A Ltd. has traded for 50.00 Lacs in "TETRA", a virtual currency, during the F.Y. 2021 -2022 and earned a profit of 20.00 Lacs on it. What disclosure requirements are prescribed for such type of transactions done by the company?

ICAI'S ANSWER

Disclosure of Crypto Currency or Virtual Currency:

Where the Company has traded or invested in Crypto currency or Virtual Currency during the financial year, the following shall be disclosed:

(a) profit or loss on transactions involving Crypto currency or Virtual Currency

(b) amount of currency held as at the reporting date,

(c) deposits or advances from any person for the purpose of trading or investing in Crypto Currency/ virtual currency.

PassBook's note: The January 2027 Study Material gives this Schedule III disclosure (Crypto Currency or Virtual Currency) among the additional information to the Statement of Profit and Loss, after other expenses, in Chapter 5.

ICAI · Old P6 · Nov 2022 exam · question p. 6 · answer p. 7

726 EXAM Old P6 May 2022 Q3(b) 4 marks old scheme

B Ltd. is covered u/s 135 of the Companies Act, 2013 i.e. Corporate Social Responsibility (CSR). What matters (other than the amount spent, amount not spent, amount required to be spent etc.) shall be disclosed by the company with regard to CSR activities done by the company?

ICAI'S ANSWER

Corporate Social Responsibility (CSR): Since B Ltd is covered under section 135 of the Companies Act, the following matters shall be disclosed by the B Ltd with regard to CSR activities:

(a) total of previous years shortfall,

(b) reason for shortfall,

(c) nature of CSR activities,

(d) details of related party transactions, e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard,

(e) where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year should be shown separately.

ICAI · Old P6 · May 2022 exam · question p. 6 · answer p. 6-7

727 EXAM Old P6 Dec 2021 Q3(c) 3 marks old scheme

Proft and Loss account of an organization shows various types of expenses like rent, power and fuel,

repairs and maintenance, insurance, travelling, miscellaneous expenses etc., that are essential and incidental to running of business operations. What are the attributes that an auditor generally prefers for vouching these types of expenses?

ICAI'S ANSWER

Attributes to be preferred for vouching other expenses:

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify following attributes:

(i) Whether the expenditure pertained to current period under audit;

(ii) Whether the expenditure qualified as a revenue and not capital expenditure;

(iii) Whether the expenditure had a valid supporting documents like travel tickets, insurance policy, third party invoice etc.;

(iv) Whether the expenditure has been classified under the correct expense head;

(v) Whether the expenditure was authorised as per the delegation of authority matrix;

(vi) Whether the expenditure was in relation to the entity's business and not a personal expenditure.

ICAI · Old P6 · Dec 2021 exam · question p. 5 · answer p. 6-7

728 EXAM Old P6 Jan 2021 Q3(a) 4 marks old scheme

Same question, different ICAI answer: #739 Old P6 MTP Nov 2023 S-II

Depreciation and amortisation expense generally constitute an entity's significant part of overall expenses and have direct impact on the profit/loss of the entity. What are the attributes, the Auditor needs to consider while verifying Depreciation and amortisation expense.

ICAI'S ANSWER

Depreciation and amortisation generally constitute an entity's significant part of overall expenses and have direct impact on the profit/ loss of the entity, hence auditors need to verify and ensure that such expenditure is appropriate, accurately calculated and has been accounted as per applicable provisions of Companies Act or other statutes, to the extent applicable on the respective industry and as per generally accepted accounting principles.

Auditor needs to consider the following attributes while verifying for depreciation and amortisation expenses:

- Obtain the understanding of entity's accounting policy related to depreciation and amortisation.
- Ensure the Company policy for charging depreciation and amortisation is as per the relevant provisions of Companies Act/ applicable accounting standards.

- Whether the depreciation has been calculated after making adjustment of residual value from the cost of the assets.
- Whether depreciation and amortisation charges are valid.
- Whether depreciation and amortisation charges are accurately calculated and recorded.
- Whether all depreciation and amortisation charges are recorded in the appropriate period.
- Ensure the parts (components) of each item of property, plant and equipment that are to be depreciated separately have been properly identified.
- Whether the most appropriate depreciation method for each separately depreciable component has been used.

ICAI · Old P6 · Jan 2021 exam · question p. 5 · answer p. 5-6

729 EXAM **Old P6 Nov 2019** Q3(d) 3 marks old scheme

Discuss the audit procedure to be considered by an auditor while performing analytical procedure to obtain audit evidence as to overall reasonableness of purchase quantity and price.

ICAI'S ANSWER

Auditor needs to perform analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price which may include:

(i) **Consumption Analysis:** Auditor should scrutinize raw material consumed as per manufacturing account and compare the same with previous years with closing stock and ask for the reasons from management if any significant variations found.

(ii) **Stock Composition Analysis:** Auditor to collect the reports from management for composition of stock i.e. raw materials as a percentage of total stock and compare the same with compare the same with previous years and ask for the reasons from management if any significant variations found.

(iii) **Ratios:** Auditor should compare the creditors turnover ratios and stock turnover ratios of the current year with previous years.

(iv) Auditor should review **quantitative reconciliation** of closing stocks with opening stock, purchases and consumption.

ICAI · Old P6 · Nov 2019 exam · question p. 5 · answer p. 6-7

730 RTP **Old P6 May 2023** Q20(b) old scheme

CA Saurabh is the statutory auditor of UVW Ltd. for the FY 20-21. While verifying the purchases made by UVW Ltd., CA Saurabh decided to perform analytical procedures to obtain audit evidence regarding the

overall reasonableness of purchase quantity and price of purchases. What analysis should CA Saurabh perform?

ICAI'S ANSWER

CA Saurabh should perform following analytical procedures to obtain audit evidence as to overall reasonableness of purchase quantity and price:

(i) Consumption Analysis: He should scrutinize raw material consumed as per manufacturing account and compare the same with previous years with closing stock and ask for the reasons from the management if any significant variations are found.

(ii) Stock Composition Analysis: He should collect the reports from management for composition of stock i.e. raw materials as a percentage of total stock and compare the same with previous year and ask for reasons from management in case of significant variations.

(iii) Ratios: He should compare the creditors' turnover ratios and stock turnover ratios of the current year with previous years.

He should review quantitative reconciliation of closing stocks with opening stock, purchases and consumption.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 24

731 **RTP** **Old P6 Nov 2020**

Integrated Case Scenario-2 · Case Scenario 2 · MCQ 1 to Case Scenario 2 · MCQ 5

old scheme

INTEGRATED CASE SCENARIO-2

A partnership firm of Chartered Accountants, YZ and Associates were appointed as auditor of company UV Private Limited. The financial year for which YZ and Associates were to audit books of accounts of UV Private Limited began on 1 April, 2018 and ended on 31 March, 2019.

YZ and Associates consisted of four partners namely Mr. Y, Mr. Z, Mr. G and Mr. H.

While auditing books of accounts of UV Private Limited for the period beginning on 1 April, 2018 and ending on 31 March, 2019, one of the partners of YZ and Associates namely Mr. H took up the expenses part for the purpose of audit.

The management of UV Private Limited had adopted various accounting policies and principles related to expenses which Mr. H as auditor of UV Private Limited was unable to understand. Some of the issues which Mr. H was unable to understand are mentioned as follows:

(1) Power and Fuel expenses paid for the months of April, 2019 and May, 2019 have been included and shown as Power and Fuel expenses for the period beginning 1 April, 2018 and ending 31 March, 2019.

(2) Personal Rent Expenses of the son of one of the director, Mr. T of UV Private Limited have been shown as Rent Expenses of business of UV Private Limited.

(3) Repair and Maintenance Expenses for the months of February 2019 and March 2019 were still outstanding and were not shown in Balance Sheet of UV Private Limited.

(4) Repair and Maintenance Expenses for the financial year 1 April, 2018 to 31 March, 2019 were very high as compared to financial year 1 April, 2017 to 31 March, 2018. The auditor Mr. H asked the appropriate authority about the reasons for such huge differences in amounts of two financial years.

(5) While verifying the insurance expenses, the insurance policies were not shown to auditor Mr. H.

The above mentioned five points were some of the issues which Mr. H was unable to understand.

Answer the following questions:

Case Scenario 2 · MCQ 1

As per the point number (1) mentioned in the above case, the Power and Fuel Expenses paid for the months of April 2019 and May 2019 must be shown under asset side of balance sheet of UV Private Limited as on 31 March, 2019 as:

A Outstanding Power and Fuel Expenses

B Prepaid Power and Fuel Expenses

C Power and Fuel Expenses

D Power and Fuel Expenses Payable

Case Scenario 2 · MCQ 2

As per point number (2) mentioned above in the case, the Personal Rent Expenses of the son of one of the director Mr. T were added to Rent Expenses of business of UV Private Limited. The amount of personal rent expenses of the son of the director Mr. T must be:

A Subtracted from Rent Expenses of business of UV Private Limited

B Remain Added to Rent Expenses of business of UV Private Limited

C Again Added to Rent Expenses of business of UV Private Limited

D Subtracted twice from Rent Expenses of business of UV Private Limited

Case Scenario 2 · MCQ 3

As per point number (3) mentioned above in the case, the Repair and Maintenance Expenses outstanding for the months of February 2019 and March 2019 must be shown under liability side of balance sheet of UV Private Limited as on 31 March, 2019 as:

A Prepaid Repair and Maintenance Expenses

B Repair and Maintenance Expenses

C Repair and Maintenance Expenses paid in advance

D Repair and Maintenance Expenses Payable

Case Scenario 2 · MCQ 4

As per point number (4) mentioned in the case above, the auditor Mr. H asked the appropriate authority for

reasons of huge differences in the amount of two financial years of repair and maintenance expenses. By appropriate authority Mr. H was referring to:

- A All employees of UV Private Limited
- B Management of UV Private Limited
- C Members of UV Private Limited
- D Any one director of UV Private Limited

Case Scenario 2 · MCQ 5

As per point number (5) mentioned in the case above, in verifying insurance expenses the insurance policies would provide auditor Mr. H as:

- A Invalid Supporting
- B No Supporting
- C Lack of proper Supporting
- D Valid Supporting

ICAI'S ANSWERS

Case Scenario 2 · MCQ 1

(B)

Case Scenario 2 · MCQ 2

(A)

Case Scenario 2 · MCQ 3

(D)

Case Scenario 2 · MCQ 4

(B)

Case Scenario 2 · MCQ 5

(D)

ICAI · Old P6 · RTP Nov 2020 · question p. 3-4 · answer p. 11

732 MTP **May 2026 S-I** Q2(a) 5 marks

Buildwell Limited, a manufacturing company engaged in production of industrial components, has reported total purchases of ₹ 48 crores for the year ended 31st March, 2025. During the audit, the statutory auditor noted that purchases constitute a significant portion of total expenses and directly impact inventory valuation and profitability.

During preliminary discussions, the management informed that the entity follows a centralized procurement process. However, internal audit reports indicated certain past instances of delayed Goods Receipt Notes (GRNs) and weak vendor onboarding controls.

The auditor is required to verify whether recorded purchases represent goods actually received / services availed during the period (Occurrence assertion) and ensure that purchases are neither understated nor overstated.

Explain the audit procedures (any five points) the auditor should perform to verify the occurrence of purchases.

ICAI'S ANSWER

Recorded purchases represent goods actually received/ services availed during the period (OCCURRENCE): Ensure purchases are not understated/ overstated by performing following audit procedures:

- Whether any fictitious vendors have been booked or purchases have been recorded by reviewing the vendor selection process followed by the entity and also performing procedures to ensure existence of the vendors.
- Whether the goods were received at the factory gate and whether there exists an entry in the security gate inward register.
- Whether quality inspection of goods was done.
- Whether a goods receipt note was prepared and signed by an appropriate client personnel.
- Whether the purchase invoice was approved as per delegation of authority and whether a 3 or 2-way match was done.
- Whether stock record has been updated by the stores personnel.

In the given case, since purchases form a material component of the financial statements and weaknesses in controls have been indicated, the auditor must perform detailed substantive and control procedures as above to obtain sufficient and appropriate audit evidence that purchases recorded during the year represent genuine transactions

relating to goods actually received or services availed. If these procedures provide satisfactory evidence, the occurrence assertion in respect of purchases may be considered as appropriately addressed; otherwise, appropriate modifications or reporting implications may arise.

ICAI · P5 · MTP May 2026 · Series I · question p. 10-11 · answer p. 5

733 MTP **May 2026 S-I** Q5(b) 5 marks

TSR & Associates, Chartered Accountants, are the statutory auditors of Gama Manufacturing Limited, a company engaged in manufacturing industrial equipment. The company has 650 employees working across factory and corporate office locations.

During the audit for the year ended 31st March 2025, the auditor noted the following:

- Payroll is processed through an automated payroll software based on attendance records.
- Employee benefit expenses have increased significantly compared to the previous year.
- There were substantial new recruitments and resignations during the year.
- The company provides benefits such as bonus, gratuity, leave encashment, provident fund (PF) and ESI.
- Management has represented that all statutory dues have been deposited on time.
- Year-end provisions have been made for certain employee benefits.

The engagement partner has asked the audit team to outline the audit procedures (any five points) generally required to be undertaken while auditing employee benefit expenses.

ICAI'S ANSWER

Audit procedures generally required to be undertaken while auditing employee benefits expenses:

1. Obtain an understanding of entity's process of capturing employee attendance. There is always a risk that an entity could record expense for fictitious employees. To address this risk, the auditor may choose to meet the employees in person, on a sample basis. Further, the auditor may choose to select a sample of employees and ask the payroll department to share their bank details/ identity proofs of the employees.
2. Obtain a list of employees as at the period- end along with a monthly movement split between new hires, leavers and continuing employees.
3. For a sample (selected randomly) of new hires, obtain the appointment letter and verify whether the salary for first month and subsequent months was processed as per the agreed terms.
4. For a sample (selected randomly) of resigned employees, obtain their full and final computation and verify whether all their dues including post-retirement benefits like gratuity, leave encashment have been paid and whether

the respective employee's acknowledgement on final computation has been obtained.

5. Obtain the monthly salary registers for all 12 months. Compile a monthly payroll reasonability by calculating the average salary per employee per month and compare with the previous year and preceding month and analyse the reasons for variance which could be attributable to annual increments, an employee at senior level joining/ leaving the entity, bonus pay-out etc.
6. Verify if accrual/ provision has been made for all employee benefits and obligations like bonus, gratuity, leave encashment, etc.
7. In case provident fund (PF), employee state insurance (ESI) are applicable to the entity, compile a reasonability by applying the rate to the basic wages and comparing to the amount recorded in books and analyse reasons for variance, if any. Also, obtain monthly deposit challans to verify if the month on month liability was subsequently deposited with the authorities and within the defined timelines.
8. Perform analytical procedures to obtain audit evidence as to overall reasonableness of employee benefit expenses which may include production per employee analysis. Auditor should analyse units produced per employee and compare the same with previous years and present industry trends and ask for the reasons

from the management, if any significant variations are found.

9. Where employee benefit expenses have increased significantly as compared to the previous year, perform a detailed variance analysis by obtaining a break-up of the increase into components such as increase due to headcount, annual increments, bonus payouts, change in salary structure, actuarial remeasurement losses, or change in statutory contribution rates. Correlate the increase with supporting documentation such as board approvals for increments, bonus declarations, revised employment contracts, actuarial valuation reports, etc., and obtain management explanations for any abnormal or unexplained variances.

Thus, in the given case of Gama Manufacturing Limited, considering the significant increase in employee benefit expenses, the auditor should perform the above procedures including detailed variance analysis to ensure the increase is justified and properly supported. If sufficient appropriate audit evidence is obtained and the increase is adequately explained and supported, the auditor may conclude that employee benefit expenses are fairly stated. Otherwise, the auditor shall consider the implications for reporting in accordance with the applicable Standards on Auditing.

ICAI · P5 · MTP May 2026 · Series I · question p. 15-16 · answer p. 14-15

734 MTP **May 2026 S-II** Q5(c) 4 marks

YZ Limited is engaged in the business of manufacturing electrical equipment. During the course of audit for the financial year 2024–25, CA R, the auditor, observed that while certain expenses like rent, power and fuel were subjected to monthly trend analysis, a large number of other expenses such as travelling, insurance, repairs, and miscellaneous expenses were not analysed trend-wise.

The management contended that such expenses are irregular in nature and hence trend analysis may not be meaningful. The auditor decided to verify these expenses through vouching and examination of supporting documents to ensure their correctness and appropriateness.

In the light of the above, mention the attributes that the auditor should verify while vouching such expenses.

ICAI'S ANSWER

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify the following attributes:

(i) Whether the expenditure pertained to current period under audit.

(ii) Whether the expenditure qualified as a revenue and not capital expenditure.

(iii) Whether the expenditure had valid supporting documents

(iv) Whether the expenditure has been classified under the correct expense head.

(v) Whether the expenditure was authorised as per delegation of authority.

(vi) Whether the expenditure was incurred for business purposes.

Thus, in cases where analytical procedures are not effective, the auditor should rely on detailed vouching to verify the genuineness, accuracy, classification, and business relevance of expenses to ensure that financial statements present a true and fair view.

ICAI · P5 · MTP May 2026 · Series II · question p. 15 · answer p. 12

735 MTP **Sep 2025 S-II** Q6(b) 5 marks

TED Ltd. has taken an office building on rent for its operations. The auditor wants to verify the rent expense recorded in the books. Describe the audit procedures that should be performed by you as an auditor to verify the rent expense.

ICAI'S ANSWER

Audit procedures to be performed by auditor to verify rent expenses:

- Obtain a month wise expense schedule along with the rent agreements.
- Verify if expense has been recorded for all 12 months and whether the rent amount is as per the underlying agreement.

- Specific consideration should be given to escalation clause in the agreement to verify if the rent was required to be recorded on a straight-line basis during the period under audit.
- Also, verify if the agreement is in the name of the entity and whether the expense pertains to premises used for running business operations of the entity.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 11 · answer p. 12

736 MTP **May 2025 S-II** Q5(b) 5 marks

During the audit of Grace Pvt. Ltd., CA Tanu notices that significant amount of depreciation and amortisation charges are reflected in financial statements of the company. Which attributes need to be considered by him while verifying such depreciation and amortisation charges?

ICAI'S ANSWER

Auditor needs to consider the following attributes while verifying for depreciation and amortisation expenses: -

- Obtain the understanding of entity's accounting policy related to depreciation and amortisation.
- Ensure the Company policy for charging depreciation and amortisation is as per the relevant provisions of Companies Act/ applicable accounting standards.
- The accounting policy has been applied consistently year on year. Any change in the

accounting policy has been adequately disclosed.

- Whether the depreciation has been calculated after making adjustment of residual value from the cost of the assets.
- Whether depreciation and amortisation charges are valid.
- Whether depreciation and amortisation charges are accurately calculated and recorded.
- Whether all depreciation and amortisation charges are recorded in the appropriate period.
- Whether each part of an item of PPE with a cost that is significant in relation to the total cost of the item have been depreciated separately. Example: It may be appropriate to depreciate separately the airframe and engines of an aircraft, whether owned or subject to a finance lease.
- Whether the most appropriate depreciation method for each separately depreciable component has been used.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 9-10

737 MTP **Jan 2025 S-II** Q5(a) 5 marks

M/s AR & Associates have been appointed as statutory auditors of Future Limited, a company engaged in the business of manufacturing of hardware products. They are analyzing the monthly trends for other expenses like rent, power and fuel, repairs, etc. and are also

verifying attributes of such types of expenses. List down the attributes for verifying such expenses.

ICAI'S ANSWER

Attributes for verifying other expenses like Power and Fuel, Repair etc.: An entity in addition to making purchases and incurring employee benefit expenses, also incurs other expenditures like rent, power and fuel, repairs and maintenance, insurance, travelling, miscellaneous expenses etc., that are essential and incidental to running of business operations.

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify following attributes:

(i) Whether the expenditure pertained to current period under audit;

(ii) Whether the expenditure qualified as a revenue and not capital expenditure;

(iii) Whether the expenditure had a valid supporting document like travel tickets, insurance policy, third party invoice etc.;

(iv) Whether the expenditure has been classified under the correct expense head;

(v) Whether the expenditure was authorised as per the delegation of authority matrix;

(vi) Whether the expenditure was in relation to the entity's business and not a personal expenditure.

738 MTP **May 2024 S-I** Q1(c) 3 marks

Prudent Enterprises Private Limited has incurred and fully spent for the first time Corporate Social Responsibility (CSR) expenditure amounting to ₹ 14.50 lacs in pursuance to provisions of section 135 of Companies Act, 2013. The expenditure was spent for women empowerment programmes through an implementing agency (not a related party). As per law provisions, it was required to spend ₹ 14.00 lacs during the year. Discuss how such information is required to be disclosed in accordance with requirements of Schedule III to the Companies Act, 2013 in financial statements of the company.

ICAI'S ANSWER

In the given situation, following information is required to be disclosed in accordance with requirements to Schedule III to the Companies Act, 2013:

(a)	amount required to be spent by the company during the year ₹14.00 lacs	
(b)	amount of expenditure incurred	₹ 14.50 lacs
(c)	shortfall at the end of the year	NIL
(d)	total of previous years shortfall	NA

(e)	reason for shortfall	NA
(f)	nature of CSR activities - Women empowerment activities through implementing agency	
(g)	details of related party transactions, e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard	NIL
(h)	where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year should be shown separately	NIL

ICAI · P5 · MTP May 2024 · Series I · question p. 9 · answer p. 3

739 MTP **Old P6 Nov 2023 S-II** Q4(c) 4 marks old scheme

Same question, different ICAI answer: #728 Old P6 Exam Jan 2021

Depreciation and amortisation expense generally constitute an entity's significant part of overall expenses and have direct impact on the profit/loss of the entity. What are the attributes, the Auditor needs to consider while verifying Depreciation and amortisation expense.

ICAI'S ANSWER

Depreciation and amortisation generally constitute an entity's significant part of overall expenses and have direct impact on the profit/ loss of the entity, hence auditors need to verify and ensure that such expenditure is appropriate, accurately calculated and has been accounted as per applicable provisions of Companies Act or other statutes, to the extent applicable on the respective industry and as per generally accepted accounting principles.

Auditor needs to consider the following attributes while verifying the depreciation and amortisation expense:

- Obtain the understanding of entity's accounting policy related to depreciation and amortisation.
- Ensure the Company's policy for charging depreciation and amortisation is as per the relevant provisions of Companies Act/ applicable accounting standards.
- Whether the depreciation has been calculated after making adjustment of residual value from the cost of the assets.
- Whether depreciation and amortisation charges are valid.
- Whether depreciation and amortisation charges are accurately calculated and recorded.
- Whether all depreciation and amortisation charges are recorded in the appropriate period.

- Ensure the parts (components) of each item of property, plant and equipment that are to be depreciated separately have been properly identified.
- Whether the most appropriate depreciation method for each separately depreciable component has been used.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 7 · answer p. 6-7

740 MTP **Old P6 May 2023 S-I** Q6(d) 3 marks old scheme

While verifying the legal and professional expenses of the client company, what audit procedures should the auditor perform?

ICAI'S ANSWER

While verifying the legal and professional expenses of the client company, the auditor should perform the following audit procedures

- Obtain a month-wise and consultant-wise summary.
- In case of monthly retainership agreements, verify whether the expenditure for all 12 months has been recorded correctly.
- For non- recurring expenses, select a sample and vouch for the attributes discussed above.
- The auditor should be cautious while vouching for legal expenses as the same may highlight a dispute for which the entity may not have made any provision and the matter may also not have

been discussed/ highlighted to the auditor for his specific consideration.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 8

741 MTP **Old P6 May 2023 S-II Q4(b)** 4 marks old scheme

Mayank Ltd. is covered u/s 135 of the Companies Act, 2013 i.e. Corporate Social Responsibility (CSR). What matters shall be disclosed by the company with regard to CSR activities done by the company?

ICAI'S ANSWER

Corporate Social Responsibility (CSR): Since Mayank Ltd is covered under section 135 of the Companies Act, the following matters shall be disclosed by the Mayank Ltd with regard to CSR activities:

(i) amount required to be spent by the company during the year,

(ii) amount of expenditure incurred,

(iii) shortfall at the end of the year,

(iv) total of previous years shortfall,

(v) reason for shortfall,

(vi) nature of CSR activities,

(vii) details of related party transactions, e.g., contribution to a trust controlled by the company in relation to CSR expenditure as per relevant Accounting Standard,

(viii) where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year should be shown separately.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7 · answer p. 6

742 MTP **Old P6 Nov 2022 S-I** Q6(e) 3 marks old scheme

Explain how you would verify Employee Benefit Expense incurred by a Company.

ICAI'S ANSWER

The auditor shall verify that:

(i) Employee benefit expense has been incurred during the period in respect of the personnel employed by the entity. Employee benefit expense does not include the cost of any unauthorized personnel.

(ii) Employee benefit expenses in respect of all personnel have been fully accounted for.

(iii) Employee benefit expenses recognized during the period relates to the current accounting period only.

(iv) Employee benefit expense has been measured/ calculated accurately.

Any adjustments such as tax deduction at source have been correctly reconciled and accounted for.

(v) Employee benefit expense has been fairly allocated between:

— Operating expenses incurred in production activities;

— General and administrative expenses; and

— Cost of personnel relating to any self-constructed assets other than inventory.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 10

743 MTP **Old P6 Nov 2022 S-II** Q6(e) 3 marks old scheme

Explain how you would verify rent expense incurred by a Company.

ICAI'S ANSWER

Rent expense can be verified by:

- Obtaining a month wise expense schedule along with the rent agreements.
- Verifying if expense has been recorded for all 12 months and whether the rent amount is as per the underlying agreement.
- Giving specific consideration to the escalation clause in the agreement to verify if the rent was required to be recorded on a straightline basis during the period under audit.
- Also, verifying if the agreement is in the name of the entity and whether the expense pertains to premises used for running business operations of the entity

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 9

744 MTP Old P6 Dec 2021 S-I Q6(c) 4 marks old scheme

"While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel but for other expenses, an auditor generally prefers to verify other attributes." Mention those attributes.

ICAI'S ANSWER

While the auditor may choose to analyse the monthly trends for expenses like rent, power and fuel, an auditor generally prefers to vouch for other expenses to verify following attributes:

(i) Whether the expenditure pertained to current period under audit;

(ii) Whether the expenditure qualified as a revenue and not capital expenditure;

(iii) Whether the expenditure had a valid supporting like travel tickets, insurance policy, third party invoice etc.;

(iv) Whether the expenditure has been classified under the correct expense head;

(v) Whether the expenditure was authorised as per the delegation of authority matrix;

(vi) Whether the expenditure was in relation to the entity's business and not a personal expenditure

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 9

5.3 Audit of share capital, reserves and borrowings

48 questions · asked in 27 ICAI documents · 9 exam papers

745 EXAM **May 2026** Case scenario · Q5(a)(i) to Q5(a)(ii)

5 marks

CASE SCENARIO

ZX Technologies Ltd., a listed company engaged in software development, decided to reward certain key employees and directors for their contribution towards development of proprietary technology and process improvements. Accordingly, the company decided to issue shares to selected employees at a concessional price in consideration of their technical know-how.

Q5(a)(i) 1 mark

Identify and briefly explain the type of shares the company is planning to issue.

Q5(a)(ii) 4 marks

State the conditions that the auditor should verify which must be complied with for valid issue of such shares under the Companies Act, 2013.

ICAI'S ANSWERS

Q5(a)(i)

As per the facts given in the case, the company ZX Technology Ltd. is planning to issue Sweat equity shares.

"Sweat Equity Shares" mean equity shares issued by the company to employees or directors at a

(I) discount or

(II) for consideration other than cash

for providing know-how or making available right in the nature of intellectual property rights or value additions, by whatever name called.

Q5(a)(ii)

As per Section 54 of the Companies Act, 2013 the auditor needs to verify that the following conditions have been complied with:

(I) the issue is authorized by a special resolution passed by the company;

(II) the resolution specifies the number of shares, the current market price, consideration, if any, and the class or classes of directors or employees to whom such equity shares are to be issued;

(III) where the equity shares of the company are listed on a recognised stock exchange, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with such rules as may be prescribed.

(IV) the Sweat Equity Shares issued by the company are of a class of shares already issued by them.

ICAI · P5 · May 2026 exam · question p. 27 · answer p. 28, 28-29

746 EXAM Sep 2025 Q5(b) 5 marks

Following is the extract from the Balance Sheet of Rain Pvt. Ltd.:

(i) Borrowings as on 31/03/2025	₹ 10 Cr.
(ii) Fresh borrowings from bank during the year	₹ 3 Cr.
(iii) Borrowings repaid during the year	₹ 5Cr.

Parri passu charge has been created on the assets of the company. Further, borrowing limits have not been exceeded.

From the above information, what audit procedures would you perform, to ensure that all borrowings reflected in the balance sheet, are valid claims owed to banks or other third parties?

ICAI'S ANSWER

Audit procedures performed to ensure that all borrowings reflected in the balance sheet are valid claims owed to bank or third parties are as under:

(i) Review board minutes for approval of new lending agreements. During review, ensure that new loan agreements or bond issuances were authorized. Ensure that significant debt commitments were approved by the board of directors.

(ii) Agree details of loans recorded (interest rate, nature and repayment terms) to the loan agreement.

Verify that borrowing limits, if any, imposed by agreements are not exceeded.

(iii) Roll out and obtain independent balance confirmations (SA 505) in respect of all the borrowings from the lender (banks/ financial institutions etc.).

(iv) Agree details of leases and hire purchase creditors recorded to underlying contracts/agreements.

(v) In case of Debentures, examine trust deed for terms and dates of redemption, borrowing restrictions and compliance with covenants.

(vi) When debt is retired, ensure that a discharge is received on assets securing the debt.

(vii) Obtain Written Representation that all the liabilities which have been recorded represent a valid claim by the lenders.

(viii) Auditor will ensure parri passu charge has been created on the assets of the company.

(ix) Trace the fresh borrowings of ₹ 3 crores and repayment of ₹ 5 crores to the Company's Bank statement and Account books to confirm the movement of funds.

ICAI · P5 · Sep 2025 exam · question p. 23 · answer p. 24-25

747 EXAM May 2025

Integrated Case Scenario - II · MCQ 4 to MCQ 8 10 marks

INTEGRATED CASE SCENARIO - II

M/s AB & Co., Chartered Accountants, have been appointed as the statutory auditors for Financial Year 2024-25 of PQ Ltd., which is a textile company. Mr. X, the engagement partner, assigned the task of auditing the various items of financial statements to the articled clerks. Mr. X explained to the articled clerks that financial statement purports to present something as a whole in addition to its component details. An income statement purports to present "the results of operations," whereas the balance sheet purports to present "financial position." He further clarified that the auditor's opinion is typically directed to these overall representations.

However, before formulating and providing an opinion on the overall truthfulness of these statements, the auditor must first examine the truth of various specific assertions that make up each of these statements. By evaluating these individual assertions, the auditor can then form a judgment regarding the financial statement as a whole.

To verify the assertions presented in the financial statements, the auditor must perform variety of procedures.

Articled clerks looking after different areas seek your advice as regards their different concerns.

Based on the above facts, answer the following Q. Nos 4 to 8:

MCQ 4 2 marks

Mr. B, an Articled Clerk responsible for the audit procedures concerning inventory, found that the inventory amounting to ₹ 38 lakhs, after excluding ₹ 2 lakhs of inventory that was held by PQ Ltd. as a consignee, has been recognized in the Balance Sheet. Which of the following assertions related to inventory are applicable in this situation?

(I) Occurrence

(II) Completeness

(III) Rights & Obligations

(IV) Measurement

A I & II above

B II & III above

C III & IV above

D I & IV above

MCQ 5 2 marks

Mr. C, an Articled Clerk responsible for the audit procedures regarding the share capital, found that during the year under audit, PQ Ltd. had issued sweat equity shares amounting to ₹ 10 Lakhs. Which of the following statements regarding the issue of sweat equity shares are correct?

(I) It can be issued to employees.

(II) It can be issued to directors.

(III) It can be issued at a discount.

(IV) It should be of a class of shares already issued by PQ Ltd.

A I & III above

B I, II & III above

C I, II & IV above

D I, II, III & IV above

MCQ 6 2 marks

Mr. D, an Articled Clerk, was performing audit procedures related to Reserves and Surplus in PQ Ltd. tell him that which statement are correct in respect of Reserves and Surplus?

(I) Reserves are the amounts appropriated out of profits for commitment.

(II) Securities premium is a capital reserve.

(III) A debit balance in the statement of profit and loss account shall be shown as a negative figure under the head 'surplus'.

(IV) All reserves can be used to augment the working capital of the Company.

A I & II above

B II & III above

C III & IV above

D II & IV above

MCQ 7 2 marks

Mr. E, an Articled Clerk, was not sure about which items should be considered as intangible assets in PQ

Ltd. According to AS-26, which of the following items should not be recognized as intangible assets?

(I) Internally generated Goodwill

(II) Compact disk in the case of computer software

(III) Copyrights

(IV) Computer software for computer-controlled machine tools that cannot operate without that specific software, which is an integral part of the related hardware.

A I & II above

B II & III above

C III & IV above

D I & IV above

MCQ 8 2 marks

Mr. F, an Articled Clerk, wants to know that which of the below statement is incorrect while auditing Depreciation and Amortization expenses in PQ Ltd.?

A Depreciation and amortization have been charged as per the useful life of PPE and intangible assets.

B Depreciation on the revalued amount should be accounted from the revaluation reserve.

C Depreciation should be charged on assets from the date of actual usage and not when they are ready to use.

D Depreciation and amortization should be computed prospectively whenever there is any change in useful life of PPE and intangible assets.

ICAI'S ANSWERS

MCQ 4

Answer key: **(B)**

MCQ 5

Answer key: **(D)**

MCQ 6

Answer key: **(B)**

MCQ 7

Answer key: **(D)**

MCQ 8

Answer key: **(C)**

ICAI · P5 · May 2025 exam · question p. 2-3 · answer p. 8

748 EXAM **Sep 2024** Q2(b) 4 marks

Alfa Limited has availed bank overdraft facility from a nationalized bank. The company received balance confirmation certificate for bank overdraft balance as on 31.03.2024 from the bank.

Particulars	Amount (₹)
Bank overdraft balance as per Bank Certificate	25,66,200/-
Bank overdraft balance as per Ledger	26,45,300/-

How will you vouch/verify borrowings from Bank taken by Alfa Limited?

ICAI'S ANSWER

Vouching /Verification of borrowings from Bank: The auditor is required to roll out and obtain independent balance confirmations in respect of all the borrowings from the lender (banks/ financial institutions etc.) and perform the following:

- Ascertain that the confirmation asks for all information likely to be relevant to the tests of debt and related interest balances (e.g., applicable interest rates, due dates, collateral and security interests).
- Send reminders for non-replies.
- Compare the balances as per the confirmations obtained to the books of the accounts. Ask for reconciliations, if there are any differences and test the supporting documents for the reconciling items on a test check basis.
- Reconcile the balances in the overdrafts or loan accounts with that shown in the pass book(s) and confirm the last-mentioned balance by obtaining a certificate from the bank showing the balance in the accounts as at the end of the year.
- Obtain independent balance confirmation from the bank showing balances, particulars of securities deposited with the bank as security for the loans or of the charge created on an asset and confirm that the same has been correctly disclosed and duly registered with Registrar of

Companies and recorded in the Register of charges.

- Verify the authority under which the loan or draft has been raised. In the case of a company, only the Board of Directors is authorised to raise a loan or borrow from a bank.
- Confirm, in the case of a company, that the restraint contained in Section 180 of the Companies Act, 2013 as regards the maximum amount of loan that the company can raise has not been contravened.
- Ascertain the purpose for which loan has been raised and the manner in which it has been utilised and that this has not prejudicially affected the entity.

ICAI · P5 · Sep 2024 exam · question p. 13 · answer p. 14-15

749 **EXAM** **May 2024** Q5(a) **4 marks**

PQ & Co. want to diversify its business and for that purpose they want to raise money by issuing shares to the general public. The face value of the shares is ₹ 100 but the directors of the company propose to issue the shares at a discounted rate of ₹ 95/- so as to receive more response. The statutory auditor, however, objects to the same as it is not allowed as per the Companies Act, 2013. State the provisions of Section 53 of the Companies Act, 2013 with reference to shares issued at a discount and the consequences where the company fails to comply with the provisions of this section.

ICAI'S ANSWER

Shares issued at a discount: According to Section 53 of the Companies Act, 2013,

(1) a company shall not issue shares at a discount, except in the case of an issue of sweat equity shares given under Section 54 of the Companies Act, 2013.

(2) any share issued by a company at a discounted price shall be void.

Notwithstanding anything contained in above sub-sections (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

(3) Where any company fails to comply with the provisions of this section, such company and every officer who is in default shall be liable to a penalty which may extend to an amount equal to the amount raised through the issue of shares at a discount or five lakh rupees, whichever is less, and the company shall also be liable to refund all monies received with interest at the rate of twelve per cent. per annum from the date of issue of such shares to the persons to whom such shares have been issued.

ICAI · P5 · May 2024 exam · question p. 15 · answer p. 16

750 EXAM **Old P6 Nov 2023** Q4(b) 4 marks old scheme

How is "Short Term Borrowings" disclosed in the Financial Statements as required under Part I of Schedule III to the Companies Act, 2013?

ICAI'S ANSWER

(i) **Short-term borrowings shall be classified as:**

(1) Loans repayable on demand;

(A) from banks.

(B) from other parties.

(2) Loans and advances from related parties;

(3) Deposits;

(4) Other loans and advances (specify nature).

(ii) Borrowings shall further be sub-classified as secured and unsecured. Nature of security shall be specified separately in each case.

(iii) Where loans have been guaranteed by directors or others, the aggregate amount of such loans under each head shall be disclosed.

(iv) Period and amount of default as on the balance sheet date in repayment of loans and interest shall be specified separately in each case.

(v) Current maturities of Long term borrowings shall be disclosed separately.

ICAI · Old P6 · Nov 2023 exam · question p. 7 · answer p. 8

751 EXAM Old P6 May 2023 Q3(b) 4 marks old scheme

Management of D Ltd. has issued shares at a discount to its creditors. Explain the provisions of the Companies Act, 2013 when shares are issued at a discount to creditors? As an auditor what will be your concern of checking in such a case?

ICAI'S ANSWER

According to Section 53 of the Companies Act, 2013,

(1) A company shall not issue shares at a discount, except in the case of an issue of sweat equity shares given under Section 54 of the Companies Act, 2013.

(2) Any share issued by a company at a discounted price shall be void.

(2A) Notwithstanding anything contained in sub-section (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

Concern of Checking as an Auditor : The auditor should verify that whether the company has issued shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India

under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

ICAI · Old P6 · May 2023 exam · question p. 5 · answer p. 6

752 EXAM **Old P6 Nov 2022** Q2(a) 4 marks old scheme

S& Co., Chartered Accountants, are appointed as the auditors of ABC Ltd. CA S, the engagement partner, has come across the following while verifying equity share capital of the company:

(i) He noticed that some of the equity shares are held by promoters.

(ii) Some shares are issued as sweat equity shares to the employees.

What is the meaning of sweat equity shares?

What are the disclosure requirements of such promoter's shareholding?

ICAI'S ANSWER

Meaning of Sweat Equity & Disclosure of shares held by Promotors:

Meaning Sweat Equity Shares: According to Section 54 of the Companies Act, 2013, the employees may be compensated in the form of 'Sweat Equity Shares".

"Sweat Equity Shares" mean equity shares issued by the company to **employees or directors** at a discount or for consideration other than cash for providing know-how or making available right in

the nature of intellectual property rights or value additions, by whatever name called.

Disclosure requirements of such promoter's shareholding: A company shall disclose Shareholding of Promoters* as below:

Shares held by promoters at the end of the year			% Change during the year***
S. No.	**Promoter Name**	**No. of shares**	**% of total shares****

* Promoter here means promoter as defined in the Companies Act, 2013.

** Details shall be given separately for each class of shares.

*** percentage change shall be computed with respect to the number at the beginning of the year or if issued during the year for the first time then with respect to the date of issue.]

ICAI · Old P6 · Nov 2022 exam · question p. 3 · answer p. 3-4

753 EXAM **Old P6 Nov 2019** Q3(b) 4 marks old scheme

Validity and consequence of issue of shares at discount, check with respect to the provisions of the Companies Act, 2013.

ICAI'S ANSWER

Shares issued at discount:

(i) As per section 53 of the Companies Act, 2013, a company shall not issue share at a discount, except in the case of an issue of sweat equity shares given under section 54 of the Companies Act, 2013. Any share issued by a company at a discounted price shall be void.

(ii) The auditor needs to verify that the company has not issued any of its shares at a discount by reading the minutes of meeting of its directors and shareholders authorising issue of share capital and the issue price.

(iii) Where a company contravenes the provisions of this section, the company shall be punishable with fine which shall not be less than one lakh rupees but which may extend to five lakh rupees: and

(iv) every officer who is in default shall be punishable with imprisonment for a term which may extend to six months or with fine which shall not be less than one lakh rupees, or with both.

ICAI · Old P6 · Nov 2019 exam · question p. 5 · answer p. 6

754 EXAM Old P6 Nov 2019 Q3(c) 3 marks old scheme

Explain the disclosure requirements of IND AS compliant Schedule III to Companies Act, 2013 for each component of "Other Equity."

ICAI'S ANSWER

For each component of other equity, whether the company has disclosed the following (to the extent applicable):

(i) Balance at the beginning of the reporting period

(ii) Changes in accounting policy or prior period error

(iii) Restated balance at the beginning of the reporting period

(iv) Total comprehensive income for the year end

(v) Dividends

(vi) Transfer to retained earnings

(vii) Any other change (to be specified)

(viii) Balance at the end of reporting period

PassBook's note: The January 2027 Study Material gives the Schedule III disclosures for share capital and reserves and surplus and mentions the Statement of Changes in Equity, but not this Ind AS (Division II) list for each component of other equity.

ICAI · Old P6 · Nov 2019 exam · question p. 5 · answer p. 6

755 RTP **Jan 2026** Q8 MCQ

While conducting audit of Sandhya Ltd., having turnover of ₹ 200 crores and borrowings from Banks ₹ 50 crores. Audit team is determining that the accounting policies and methods of recording debt are appropriate and applied consistently and also verifying loan balances with reference to sanction letter/ loan

agreement. By doing above, audit team is trying to satisfy about:

- A Completeness.
- B Existence.
- C Valuation.
- D Disclosure.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · RTP Jan 2026 · question p. 5 · answer p. 9

756 RTP **Sep 2024** Q13

The financial statements of XYZ Limited reflects long-term borrowings from the banks, financial institutions, leasing, and hire purchase companies. Additionally, the company has issued debentures to its 1000 members to raise funds in accordance with the provisions of the Companies Act, 2013. The money raised by issuing debentures is also reflected in long-term borrowings. As the statutory auditor of XYZ Limited, CA X wants to verify that all borrowings on the balance sheet represent valid claims by banks or other third parties. Suggest a few audit procedures in this regard.

ICAI'S ANSWER

The audit procedures required to be undertaken by CA X while auditing borrowings is as follows:

- Review board minutes for approval of new lending agreements. During review, ensure that

new loan agreements or bond issuances were authorized. Ensure that significant debt commitments are approved by the board of directors.

- Check the details of loans recorded (interest rate, nature and repayment terms) to the loan agreement. Verify that borrowing limits, if any, imposed by the agreements are not exceeded.
- Roll out and obtain independent balance confirmations (SA 505) in respect of all the borrowings from the lender (banks/ financial institutions etc.).
- Verify the details of leases and hire purchase creditors recorded to underlying contracts/agreements.
- In case of Debentures, examine trust deed for terms and dates of redemption, borrowing restrictions and compliance with covenants.
- When debt is retired, ensure that a discharge is received on assets securing the debt.
- Obtain Written Representation that all the liabilities which have been recorded represent a valid claim by the lenders.

ICAI · P5 · RTP Sep 2024 · question p. 6 · answer p. 11

757 **RTP** **May 2024** Case scenario · Q12(i) to Q12(ii)

CASE SCENARIO

Droma Shoes Private Limited was established in year 2022-23 for manufacturing of footwear. As funds

were needed to carry on its business activities - including for purchase of different raw materials, incurring of regular expenses like power and fuel and payment of wages etc., it had got sanctioned a credit facility amounting to ₹ 2 crores repayable on demand from a bank against primary security of its current assets and collateral security of residential house of one of its directors. Duly signed guarantee documents by directors in favour of bank also form part of bank's loan documentation. Account statement of above facility downloaded from bank's website shows debit balance of ₹ 1.85 crores as on 31st March, 2023. The operations in above credit facility are satisfactory. In this regard: -

Q12(i)

Identify nomenclature of such credit facility given by banks. How would above amount of ₹ 1.85 crores be reflected and classified in financial statements of company as on 31.3.23?

Q12(ii)

Also state specific disclosure requirements of Schedule III of Companies Act, 2013 in relation to above.

ICAI'S ANSWERS

Q12(i)

The type of credit facilities referred to in above situation given by banks to meet working capital requirements of business which are repayable on demand are known as "cash credit facilities/overdraft" facilities. The amount of ₹1.85 crores outstanding as on 31st March, 2023 reflects

borrowings of the company and it would be classified as “short-term borrowings” as loans repayable on demand from banks under current liabilities in balance sheet of the company. Borrowings shall further be subclassified as secured.

Q12(ii)

Specific disclosure requirements of short-term borrowings under Schedule III to Companies Act, 2013 in given situation are as under: -

- Nature of security i.e. primary security of current assets and collateral security of residential house belonging to a director shall be specified.
- As loans have been guaranteed by directors, the aggregate amount of such loans shall be disclosed.

To be disclosed as Additional Regulatory Information

Since the Company has borrowings from bank on the basis of security of current assets, it shall also disclose the following: -

(a) whether quarterly returns or statements of current assets filed by the Company with banks or financial institutions are in agreement with the books of accounts.

(b) if not, summary of reconciliation and reasons of material discrepancies, if any to be adequately

disclosed.

ICAI · P5 · RTP May 2024 · question p. 11 · answer p. 23, 23-24

758 RTP **Old P6 Nov 2023**

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

Kartik, a CA student undergoing his articled training, is part of an engagement team conducting statutory audit of MSE Auto Private Limited, a company engaged in manufacturing of automobile spare parts. The company has its manufacturing facilities located in Pimpri- Chinchwad industrial belt near Pune. It is a profit making company and one of the most sought after by banks in the area due to its good track record. The following is extract of financial information taken from its pre-audit financial statements for year 2022-23. Figures have been rounded off in ₹ 000's.

Particulars	Year 2022-23	Year 2021-22
Share capital	2500.00	2500.00
Long term borrowings	0.00	15000.00
Short term borrowings	55000.00	15000.00
Inventories	35000.00	27000.00

Particulars	Year 2022-23	Year 2021-22
Trade receivables	60000.00	25000.00
Revenue from Operations	300000.00	100000.00
Profit before tax	60000.00	18000.00

While going through schedule of long term borrowings and books of accounts, he finds that reduction of long term borrowings of the company is on account of full payment of a term loan in month of April 2022 taken from a bank in past. However, he finds that charge in respect of above term loan in favour of bank is still subsisting on MCA portal beyond statutory period due to non-registration of charge satisfaction.

He had read about assertions pertaining to balance sheet and income statement. However, he was not sure about nomenclatures assigned to assertions pertaining to balance sheet and income statement.

The team had also attended physical inventory count of the company as at year end in accordance with SA 501.

Besides, company's trade receivables have increased from ₹ 25000 in year 2021-22 to ₹ 60000 in year 2022-23 (both figs in '000s). His understanding is that increase in company's trade receivables as compared

to last year signifies longer time taken by company's customers to make their payments.

Considering substantial rise in revenue from operations of the company in the year under audit, team wants to ensure that revenues of company are not overstated.

Based on above, answer the following questions: -

MCQ 1.1

Keeping in view description regarding full payment of term loan in April 22 taken from a bank in past and non-registration of satisfaction of charge, which of following statements is correct?

A. The above fact may be disclosed by the company's management in its financial statements at its discretion along with reasons as such disclosure would bring transparency.

B. The above fact along with reasons is required to be disclosed by the company in its financial statements in accordance with requirements of Standards on Auditing.

C. The above fact along with reasons is required to be disclosed by the company in its financial statements in accordance with requirements of Schedule III of Companies Act, 2013.

D. The above fact is not required to be disclosed as term loan has already been repaid in full and there are no outstanding long term borrowings.

MCQ 1.2

The company's short-term borrowings have increased during the year 2022-23 as compared to last year. One of following assertions is not relevant to verification of short-term borrowings. Which odd one you would suggest to Kartik in this regard?

A Existence

B Occurrence

C Completeness

D Valuation

MCQ 1.3

As regards team's attendance at physical inventory count process of company's inventories in accordance with SA 501 is concerned, which of following is not a relevant audit procedure?

A Inspection of inventories

B Checking appropriateness of method employed for valuation of inventories

C Evaluating management's instructions for recording results of physical inventory count

D Performing test counts

MCQ 1.4

The company's trade receivables have increased during year 2022-23 as compared to last year. Which of following statements is most appropriate regrading understanding of Kartik on this issue?

A The view of Kartik is correct and it has led to increased audit risk pertaining to valuation of trade receivables. Therefore, team needs to go through trade receivables ageing schedule to confirm it.

B The view of Kartik is incorrect.

C The view of Kartik is correct and it has led to increased audit risk pertaining to valuation of trade receivables. Therefore, team needs to perform direct confirmation procedures to confirm it.

D The view of Kartik is correct and it has led to increased audit risk pertaining to valuation of trade receivables. Therefore, team needs to perform cut-off procedures to confirm it.

MCQ 1.5

The team wants to ensure that revenues of company are not overstated. Which of following is not likely to be a relevant audit procedure in this regard?

A Obtaining confirmations from customers

B Reviewing GST returns and their reconciliation with revenue stated in statement of profit & loss

C Reviewing credit notes issued by company post year end

D Reviewing debit notes issued by company post year end

ICAI'S ANSWERS

MCQ 1.1

(C) The above fact along with reasons is required to be disclosed by company in its financial statements in accordance with requirements of Schedule III of Companies Act, 2013.

MCQ 1.2

(B) Occurrence

MCQ 1.3

(B) Checking appropriateness of method employed for valuation of inventories

MCQ 1.4

(B) The view of Kartik is incorrect.

MCQ 1.5

(D) Reviewing debit notes issued by company post year end

ICAI · Old P6 · RTP Nov 2023 · question p. 5-6 · answer p. 14

759 **RTP** **Old P6 May 2022** Q20 old scheme

Also asked in Old P6 MTP May 2022 S-I Q3(d)

While conducting audit of Air Space Ltd, the auditor observes that it has issued shares at discount to its creditors when its debt is converted into shares in pursuance of debt restructuring scheme in accordance with any guidelines specified by the Reserve Bank of India. Discuss explaining clearly the provisions relating to discount on issue of shares and its verification by the auditor.

ICAI'S ANSWER

Shares issued at a discount

According to Section 53 of the Companies Act, 2013,

(1) a company shall not issue shares at a discount, except in the case of an issue of sweat equity shares given under Section 54 of the Companies Act, 2013.

(2) any share issued by a company at a discounted price shall be void.

(2A) Notwithstanding anything contained in sub-sections (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

(3) Where any company fails to comply with the provisions of this section, such company and every officer who is in default shall be liable to a penalty which may extend to an amount equal to the amount raised through the issue of shares at a discount or five lakh rupees, whichever is less, and the company shall also be liable to refund all monies received with interest at the rate of twelve per cent. per annum from the date of issue of such shares to the persons to whom such shares have been issued.

The auditor needs to check

(i) the movement in share capital during the year and wherever there is any issue,

(ii) he should verify that the Company has not issued any of its shares at a discount by reading the minutes of meeting of its directors and shareholders authorizing issue of share capital and the issue price.

(iii) Further, auditor should also verify that in case a company has issued shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

In the given case of Air Space Ltd, it is clear that it can issue shares to its creditors when its debt is converted into shares in accordance with approved restructuring scheme.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 27-28

760 RTP **Old P6 Dec 2021**

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

Ms. Rhea was among the promoters who set up a public company by the name "Aksham Ltd". The company appointed CA Rajendra as the auditor of

Aksham Ltd. CA Rajendra is the brother of one of the directors of Aksham Ltd. After setting up of company, the company had a dispute with one customer of the company in year 2019-20 who took the company to court. There are probable chances that company will have to shelve out ₹50 lakhs as compensation but the case will likely to be finalised in year 2021-22.

CA Rajender considers the fact that Askham Ltd has a present obligation and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and that a reliable estimate i.e. ₹ 50 Lakhs can be made of the amount of the obligation.

Aksham Ltd. declared dividend of ₹ 10 per equity share on 10th April,2021. The financial statements were approved on 30th June,2021. Askham Ltd took loan of ₹ 65 lakhs from Saksham Bank for a period of 10 years; the loan amount was guaranteed by Mr. Pramod, one of the directors of Aksham Ltd. The loan was completely secured against the fixed assets of the company. Aksham Ltd drew designs of one of the products of the company and this product constituted 90 % sales of the company. The designs of the product were such that the sale of the company will increase every year for the next 5 years. Aksham Ltd booked the designs of the company at a value of ₹ 1 crore in the books of account of the company as intangibles at its cost.

Based on the above information, answer the following questions:

MCQ 1.1 out of syllabus

State whether appointment of CA Rajendra is correct in law.

A. Yes, it is correct in law as per Companies Act, 2013

B. It is incorrect in law as per Companies Act, 2013 as the relative of director is not allowed to be appointed as an auditor of the company.

C. It is correct in law as per Companies Act, 2013 because brother is not covered under the definition of relative.

D. It is correct as appointment of auditor is not governed by any law in India.

MCQ 1.2

Advise the company regarding the course of action Aksham Ltd will have to follow for the court case for financial statements prepared for year ending 31st March, 2021

A. create provision

B. create revenue reserve

C. create capital reserve

D. to be disclosed as contingent liability

MCQ 1.3

What is the action which Aksham Ltd is supposed to take with regard to treatment of dividend declared

while preparing and finalizing financial statements for year ending 31st March,2021?

A recognise dividends as a liability

B disclose the amount of dividend

C both a and b

D none of the above.

MCQ 1.4

State the disclosures Aksham Ltd is required to make with respect to the long-term borrowings taken from Saksham Bank.

I. Secured loan from Saksham Bank.

II. The fixed assets are secured against the loan

III. The loan of ₹ 65 lakhs is guaranteed by director.

IV. Repayment terms of the loan

A I, II, III and IV

B I, II

C I, II, III

D II, III

MCQ 1.5

State which of the following statement is true with respect to recording an intangible in the books of the company.

A Intangible is correctly booked by the company.

B Intangible is wrongly booked by the company as an intangible cannot be booked as per the accounting standard of India.

C Intangible is wrongly booked by the company as an intangible cannot be booked as per the auditing standards of India.

D Intangible is wrongly booked by the company as an intangible cannot be booked as per the Companies Act, 2013.

ICAI'S ANSWERS

MCQ 1.1

(B)

PassBook's note: Out of syllabus (old scheme): whether a relative of a director may be appointed a company's auditor (the disqualification in section 141(3)(f) of the Companies Act, 2013 and the definition of "relative") belonged to old Paper 6's Company Audit chapter (qualifications and disqualifications of auditors).

MCQ 1.2

(A)

MCQ 1.3

(B)

MCQ 1.4

(A)

MCQ 1.5

(A)

ICAI · Old P6 · RTP Dec 2021 · question p. 117-118 · answer p. 126

761 MTP **Sep 2026 S-I** Q6(a) 5 marks

Zeta Manufacturing Limited, a public company, expanded its operations during the financial year 2025–26 by issuing additional equity shares. The company increased its authorised share capital by passing the necessary resolutions and subsequently made a fresh issue of equity shares to the public. A few equity shares were also allotted to promoters in consideration of technical services rendered. The company has filed various forms with the Ministry of Corporate Affairs (MCA) and complied with the applicable regulatory requirements.

While planning the audit, the engagement partner instructed the audit team to verify whether the changes in the company's share capital were duly authorised, correctly recorded, and in compliance with the provisions of the Companies Act, 2013, applicable SEBI regulations and other statutory requirements.

As the statutory auditor of Zeta Manufacturing Limited, explain the audit procedures generally required to be undertaken while auditing share capital to obtain sufficient appropriate audit evidence regarding the existence, completeness and valuation (including accuracy) of share capital and other equity balances. Also explain how these procedures help ensure that changes in the capital structure are duly authorised, correctly recorded and comply with the applicable provisions of the Companies Act, 2013 and other regulatory requirements.

ICAI'S ANSWER

The following audit procedures enable the auditor to obtain sufficient appropriate audit evidence regarding the existence, completeness and valuation (including accuracy) of share capital and other equity balances. These procedures also help ensure that changes in the capital structure are duly authorised, correctly recorded and comply with the applicable provisions of the Companies Act, 2013 and other regulatory requirements:

- Tally the period-end share capital balance- authorised, issued and paid up, to the previous year audited financial statements.
- In case there in no change during the year, obtain a written confirmation/ representation from the Company Secretary that there were no changes to entity's capital structure during the year.
- In case there is any change, verify whether the paid up capital as at the period end is within the limits of authorized capital. Authorized capital should be verified by examining MOA.
- Obtain the certified copies of relevant resolutions passed authorising the increase/ decrease in share capital.
- In case of Fresh issue made in the current year, check with compliance of the Companies Act 2013 with regard to:
  - Return of Allotment,
  - Minimum Subscription,

- minimum application money to be collected,
- maintenance of separate Bank account,
- payment of underwriting commission as per Sec 40 etc.

- No shares have been issued at Discount (Sec. 53 of the Companies Act, 2013)
- Check if Shares are issued for cash or for Consideration other than cash.

Example- To promoters for their services,Underwriters for commission payable to them etc.

- Compliance with SEBI regulations and Guidelines.
- Also, obtain and verify copies of forms filed with Ministry of Corporate Affairs (MCA) and with Reserve Bank of India and verify the number of securities issued along with the issue price.
- In case there was increase in share capital, verify whether the Company has accurately calculated the required fee and stamp duty payable to MCA.

The above audit procedures collectively enable the auditor to obtain sufficient appropriate audit evidence regarding the **existence, completeness and valuation (including accuracy) of share capital and other equity balances**. They also help ensure that changes in the capital structure are duly authorised, correctly recorded and comply with the

applicable provisions of the Companies Act, 2013 and other regulatory requirements.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 16-17 · answer p. 14-15

762 MTP **May 2026 S-II** MCQ 15 2 marks MCQ

STU Ltd., a listed company, issued Sweat Equity Shares to certain senior employees during the financial year. While verifying compliance with legal requirements, the auditor noted the following:

1. The issue was approved by an ordinary resolution passed at the AGM.

2. The resolution mentioned the number of shares and class of employees but did not specify the current market price.

3. The shares issued belonged to a new class of equity shares created specifically for employees.

4. The company complied with regulations issued by Securities and Exchange Board of India for such issuance.

Based on the above, which of the following is the most appropriate audit conclusion under Section 54 of the Companies Act, 2013?

A The issue is valid since SEBI regulations have been complied with for a listed company

B The issue is partially valid since only disclosure of market price is not mandatory

C The issue is valid as long as employees have received shares and consideration is properly recorded

D The issue is invalid as it is not approved by a special resolution and does not comply with specified disclosure requirements

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · MTP May 2026 · Series II · question p. 8-9 · answer p. 1

763 MTP **Sep 2025 S-I**

Case Scenario 3 [MCQ 10-12] · MCQ 10 to MCQ 12 6 marks

CASE SCENARIO 3 [MCQ 10-12]

Arya Ltd. is a company engaged in the manufacture of stainless-steel household items such as hot pots, pressure cookers, bottles, and cutlery sets. The company is having its corporate office in Delhi and manufacturing plant in Ajmer, Rajasthan. To meet growing demand, Arya Ltd. planned to expand its manufacturing by setting up two new plants in Raipur district and also raised ₹ 5 crore by issuing Equity Shares of face value ₹ 10 at a premium of ₹ 5.

The company had Reserves and Surplus of ₹ 2 crore, which includes securities premium and general reserve. S.K. & Associates, statutory auditors since FY 2022–23, planned the audit and assigned roles accordingly:

- Riya, an articled assistant, was asked to perform analytical procedures on raw material inventory

for obtaining evidence with respect to the overall reasonableness of purchase quantity and price of inventory. However, she collected the reports from the management for. raw materials as a percentage of total stock and compared the same with the data of the previous year. She also discussed the reasons for the variations with the management.

- Shobhit, a paid CA, was assigned the physical verification of inventory. CA Shobhit was present at the physical inventory count but did not record dates or test counts, although he took some photos were taken.
- Audit documentation gaps were also observed regarding basis of materiality, and related party transactions which were discovered during the audit but not adequately documented.

Based on the above facts, answer the following:

MCQ 10 2 marks

Which of the following statements is incorrect regarding the use of the Securities Premium Account under Section 52 of the Companies Act, 2013?

A Where a company issues shares at a premium, whether for cash or otherwise, a sum equal to the aggregate amount of the premium received on those shares shall be transferred to a securities premium account.

B The securities premium account can be applied by the company in paying up unissued equity shares of the company to be issued to members of the company as fully paid bonus shares.

C The securities premium account cannot be applied by the company in writing off the expenses of or the commission paid or discount allowed on any issue of equity shares of the company.

D The securities premium account can be used by the company for the purchase of its own shares or securities under section 68.

MCQ 11 2 marks

Which of the following should not be part of audit documentation for related party transactions?

A Management representation letter in this regard.

B Related party transaction policy of the company.

C Documentation to show that such transactions are at arm's length basis.

D Documentation to show that such transactions are at close length basis.

MCQ 12 2 marks

Which of the following analytical procedures were performed by Ms. Riya to obtain audit evidence regarding raw material inventory?

A Consumption Analysis.

B Stock Composition Analysis.

C Reasonableness test.

D Ratio analysis.

ICAI'S ANSWERS

MCQ 10

(C)

MCQ 11

(D)

MCQ 12

(B)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 5 · answer p. 1

764 MTP **May 2025 S-I** Q5(b) 5 marks

WEQ Ltd. has issued shares for cash at a premium. In accordance with section 52 of the Companies Act, 2013, the company is required to transfer the premium received from the issuance of shares to the securities premium account. What are the specific applications allowed for the funds in the securities premium account, as per the provisions of the Companies Act, 2013?

ICAI'S ANSWER

Application of Securities Premium Account: The securities premium account may be applied by the Company:

(i) towards the issue of unissued shares of the company to the members of the company as fully paid bonus shares;

(ii) in writing off the preliminary expenses of the Company;

(iii) in writing off the expenses of, or the commission paid or discount allowed on, any issue of shares or debentures of the company;

(iv) in providing for the premium payable on the redemption of any redeemable preference shares or of any debentures of the company; or

(v) for the purchase of its own shares or other securities under section 68.

The auditor needs to verify whether the premium received on shares, if any, has been transferred to a "securities premium account" and whether the application of any amount out of the said "securities premium account" is only for the purposes mentioned above.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 10

765 MTP Old P6 Nov 2023 S-I General MCQ 6 1 mark MCQ old scheme

The securities premium account may be applied by the Company for which of the following purpose:

A payment to creditors for material

B purchase of fixed assets

C repayment of loans

D writing off the preliminary expenses

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 6 · answer p. 1

766 MTP Old P6 Nov 2022 S-I Q6(d) 3 marks old scheme

Reserves are a vital source of financing by internal means. Explain and also discuss the meaning of reserves along with revenue reserve and capital reserve.

ICAI'S ANSWER

Reserves are the amounts appropriated out of profits that are not intended

- to meet any liability,
- contingency,
- commitment or
- diminution in the value of assets known to exist as at the date of the Balance Sheet.

Reserves are a vital source of financing by internal means. They are held for the purpose of distribution of dividend or financing the expansion of the company or strengthening the company financially. The company utilizes the reserves according to the nature and type of such reserve. The reserves can be segregated as **revenue or capital reserves**.

Revenue reserves represent profits that are available for distribution to shareholders or below purposes such as:

To supplement divisible profits in lean years,

to finance an extension of business,

to augment the working capital of the business or

to generally strengthen the company's financial position.

Capital Reserve represents a reserve which does not include any amount regarded as free for distribution. They can be utilized only for certain limited purposes.

Example

Securities premium, capital redemption reserve.

It may be noted that if a company appropriates revenue profit for being credited to the asset replacement reserve with the objective that these are to be used for a capital purpose, such a reserve shall also be in the nature of a capital reserve.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 9-10

767 MTP **Old P6 Nov 2022 S-II Q4(b)** 4 marks old scheme

The securities premium account may only be applied by the Company towards the issue of unissued shares of the company to the members of the company as fully paid bonus shares. Is the statement correct. Explain.

ICAI'S ANSWER

The statement is not correct.

The securities premium account may be applied by the Company for the following purposes:

(a) towards the issue of unissued shares of the company to the members of the company as fully paid bonus shares;

(b) in writing off the preliminary expenses of the Company;

(c) in writing off the expenses of, or the commission paid or discount allowed on, any issue of shares or debentures of the company;

(d) in providing for the premium payable on the redemption of any redeemable preference shares or of any debentures of the company; or

(e) for the purchase of its own shares or other securities under section 68.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 5

768 MTP Old P6 Dec 2021 S-I General MCQ 1 2 marks MCQ

old scheme

Sec. 52 of the Companies Act states that Security Premium Account can be applied by the Company for one of the purpose mentioned below. Which of the following is a CORRECT option?

A To adjust loss on revaluation of Assets

B To pay dividend to equity shareholders

C Providing for the premium payable on redemption of Preference shares

D To use it as working capital for its business.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 4 · answer p. 1

769 MTP Old P6 Dec 2021 S-II

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks old scheme

CASE SCENARIO 1

Mars Ltd. is a public limited Company incorporated during the previous financial year 2019-20. R S Shah & Associates have been appointed as the Auditors of the Company.

Para 1

Its Authorized Capital was Rs. 75 Lacs. Subsequently it increased its Share Capital. They issued Shares at a premium of Rs.25/- per share. The Company has transferred the amount received as premium to the Securities Premium Account.

Para 2

CA R recommended his Engagement Team to prepare an Audit Strategy as well as Audit plan for efficient conduct of audit. He advised to the team that they should include a series of verification procedures to be applied to Financial Statements of the Company for accomplishing the Audit objectives. CA R illustrated to his team the relationship between Audit strategy as well as Audit plan.

Para 3

Encompassed by a huge clientele, one of the Auditee firm was a LLP. It was in the name of Mangaldeep Geotech LLP. They conducted the business in a very efficient way but had allotted only the Audit and the Income Tax work to CA R S Shah & Associates. The Partners of the LLP were capable enough but

however inadvertently bypassed the ROC Compliances. They had no knowledge about the Compliances and its related penalties. Thus they approached CA R S Shah and Associates for their guidance. They were completely clueless as to filing of Annual Return with ROC.

Para 4

R S Shah and Associates have been appointed as Auditors of a large Enterprise namely Search Results Ltd. Considering the overhaul required in the Organization's Risk Management, Directors of the listed companies braced the subject of Internal Financial Control with much seriousness and rigor. The dawn of the Financial Year lays down the daunting task of establishing and implementing Internal Financial Control in an Enterprise.

Para 5

The Auditors are performing their Audit work in the Company Search Results Ltd by using CAAT's. The Company is completely automated and all the processes, operations are carried out using the Computer systems. Testing is performed in an automated environment to increase the efficiency and allow for more robust tools to be built. There are four types of testing methods in an Automated environment. They are Inquiry, Observation, Inspection and Re-performance.

MCQ 1.1 2 marks

Sec. 52 of the Companies Act states that Security Premium Account can be applied by the Company for one of the purpose mentioned below. Which of the following is an INCORRECT option?

A To write off preliminary expenses of the Company

B To pay dividend to equity shareholders

C To provide premium on redemption of Preference share capital

D To purchase its own shares or other securities under Sec 68(Buyback)

MCQ 1.2 2 marks

In reference to para 2, which of the following Statement is inappropriate?

A Once the overall audit strategy is established, an audit plan can be developed to address the various matters identified in the overall audit strategy.

B The establishment of overall audit strategy as well as detailed audit plan is a discrete and sequential process.

C Audit Strategy and Audit plan are inter-related as changes in one may result in consequential changes to the other.

D The Audit plan is more detailed than the Audit Strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members.

MCQ 1.3 2 marks

In reference to para 3, which form from the following should be filed by the Partners to avoid penalty consequences?

A Form 11 within 90 day of end of closer of financial year and Form 8 within a period of 60 days from the end of six months of the financial year.

B Form 11 within 60 days of end of closer of financial year and Form 8 within a period of 30 days from the end of six months of the financial year.

C Form 11 within 30 days of end of closer of financial year and Form 8 within a period of 60 days from the end of three months of the financial year.

D Form 11 within 60 day of end of closer of financial year and Form 8 within a period of 90 days from the end of three months of the financial year.

MCQ 1.4 2 marks

With reference to para 4, which of the following point ensures implementation of policies and procedures with regard to Internal Financial Control by the Companies?

A Reliability of Financial Reporting

B Effectiveness and efficiency of operations

C Compliance with applicable laws and regulations

D All of the above.

MCQ 1.5 2 marks

Which of the following statement is inappropriate with regard to testing methods as mentioned in Para 5 above?

A Inquiry in combination with Inspection gives the most effective and efficient audit evidence.

B Re-performance is the most effective as an audit test and gives the best audit evidence.

C Inquiry should always be used in combination with any other testing method.

D which audit test to use and in what combination does not require professional judgment.

ICAI'S ANSWERS

MCQ 1.1

(B)

MCQ 1.2

(B)

MCQ 1.3

(B)

MCQ 1.4

(D)

MCQ 1.5

(D)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 1 · answer p. 1

770 MTP **Old P6 Dec 2021 S-II** General MCQ 5 2 marks

MCQ old scheme

Statement I : A capital reserve cannot be utilised for writing down fictitious assets or losses or (subject to provisions in the Articles) for issuing bonus shares if it is realized.

Statement II : The amount of securities premium or capital redemption reserve account can be utilised only for the purposes specified in Sections 52 and 55 of the Companies Act, 2013, respectively.

A only Statement I is correct

B only Statement II is correct

C both the statements are correct

D both the statements are incorrect.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 5 · answer p. 1

771 MTP **Old P6 Nov 2020 S-I** Q6(d) 6 marks old scheme

BNP Ltd has reduced its Share Capital to a greater extent in the year for which you are conducting the audit. State how will you proceed for verifying the reduction of Capital.

ICAI'S ANSWER

Reduction of Capital

For verifying reduction of capital, the auditor needs to undertake the following procedures:

(i) Verify that the meeting of the shareholders held to pass the special resolution was properly convened and that the proposal was circularized in advance to all the shareholders;

(ii) Verify that the Articles of Association authorises reduction of capital;

(iii) Examine the order of the Tribunal confirming the reduction and verify that a copy of the order and the minutes have been registered and filed with the Registrar of Companies;

(iv) Check the Registrar's Certificate as regards to reduction of capital;

(v) Vouch the accounting entries recorded to reduce the capital and to write down the assets by reference to the resolution of shareholders and other documentary evidence; also check whether the requirements of Schedule III, Part I, have been complied with in relation to presentation;

(vi) Confirm whether the revaluation of assets has been properly disclosed in the Balance Sheet;

(vii) Verify the adjustment made in the members' accounts in the Register of Members and confirm that either the paid up amount shown on the old share certificates has been altered or new certificates have been issued in lieu of the old, and the old ones have been cancelled;

(viii) Confirm that the words “and reduced”, if required by the order of the Tribunal, have been added to the name of the company in the Balance Sheet.

(ix) Verify that the Memorandum of Association of the company has been suitably amended.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 8-9

772 MTP **Old P6 Nov 2019 S-I** Q4(d) 3 marks old scheme

What audit points are to be borne in mind in case of issue of “Sweat Equity Shares” by a limited company?

ICAI’S ANSWER

Issue of Sweat Equity Shares: As per section 54 of the Companies Act, 2013, the employees may be compensated in the form of ‘Sweat Equity Shares”.

“Sweat Equity Shares” means equity shares issued by the company to employees or directors at a discount or for consideration other than cash for providing know-how or making available right in the nature of intellectual property rights or value additions, by whatever name called.

The auditor may see that the Sweat Equity Shares issued by the company are of a class of shares already issued and following conditions are fulfilled-

(a) The issue is authorized by a special resolution passed by the company;

(b) The resolution specifies the number of shares, the current market price, consideration, if any, and the class or classes of directors or employees to whom such equity shares are to be issued;

(c) Not less than one year has, at the date of such issue, elapsed since the date on which the company had commenced business; and

(d) Where the equity shares of the company are listed on a recognized stock exchange, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with such rules as may be prescribed.

The rights, limitations, restrictions and provisions as are for the time being applicable to equity shares shall be applicable to the sweat equity shares issued under this section and the holders of such shares shall rank *paripassu* with other equity shareholders.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 7-8

5.4 Audit of trade payables, provisions and other liabilities

15 questions · asked in 13 ICAI documents · 5 exam papers

773 EXAM **May 2026** MCQ 15 2 marks MCQ

While auditing the financial statements of Triveni Manufacturing Ltd. for the year ended 31/03/2026, the auditor observed that the company had certain

transactions with MNO Trading Pvt. Ltd. During the audit, it was noted that MNO Trading Pvt. Ltd. had been struck off by the Registrar of Companies (ROC) under Sec 248 of the Companies Act, 2013. The transactions between Triveni Manufacturing Ltd. & MNO Trading Pvt. Ltd. included:

- Purchases of IT hardware during the year amounted to ₹ 18.50 lakh.
- As at 31 March 2026, ₹ 4.20 lakh remained outstanding and payable.
- One of the directors of Triveni Manufacturing Ltd. held 15% equity in MNO Trading Pvt. Ltd.

Which of the following details are required to be disclosed in the financial statements of Triveni Manufacturing Ltd.?

I. Name of the struck-off company (MNO Trading Pvt. Ltd.)

II. Nature of transactions entered into with such company

III. Balance outstanding on reporting date (₹4.20 lakh)

IV. Total purchase amount from MNO Trading Pvt. Ltd. during the year (₹ 18.50 lakh)

V. Relationship with the Struck off company, if any

VI. Date on which MNO Trading Pvt. Ltd. was struck off by the ROC.

A I, II, III and IV

B I, II, IV and V

C I, II and IV

D I, II, III and V

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · May 2026 exam · question p. 10-11 · answer p. 11

774 **EXAM** **May 2026** Q4(b) **5 marks**

While auditing the financial statements of Moon Ltd. for the year ended 31 March 2026, the auditor was verifying the disclosures relating to trade payables and other liabilities. During the course of the audit, it was noticed that the company has certain outstanding balance payable to Micro and Small Enterprises.

The auditor decided to ensure that the disclosures required under Schedule III of the Companies Act 2013, in respect of such enterprises have been appropriately made in the notes to accounts.

State the disclosures that the auditor should verify in respect of Micro and Small Enterprises while auditing trade payables and other liabilities.

ICAI'S ANSWER

The auditor should ensure whether the following disclosures as required under Schedule III (Part I) to Companies Act, 2013 have been made: Whether the Company has disclosed the following details

relating to micro and small enterprises in the notes to accounts:

(i) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year.

(ii) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during each accounting year.

(iii) the amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006.

(iv) the amount of interest accrued and remaining unpaid at the end of each accounting year.

(v) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.

(vi) The following ageing schedule shall be given for Trade payables due for payment:

Trade Payables ageing schedule

(Amount in ₹)

Particulars	Outstanding for following periods from due date of payment#				
	Less than 1 year	**1-2 years**	**2-3 years**	**More than 3 years**	**Total**
(i) **MSME**					
(ii) Others					
(iii) Disputed Dues- **MSME**					
(iv) Disputed Dues Others					

Similar information shall be given where no due date of payment is specified in that case disclosure shall be from the date of the transaction. Unbilled dues shall be disclosed separately.

ICAI · P5 · May 2026 exam · question p. 23 · answer p. 25-26

775 EXAM **Jan 2026** Q6(c) 4 marks

Sapphire Stones Ltd. has trade payables and other current liabilities of ₹ 210 crores and ₹ 58 crores respectively at the end of the financial year 2024-25. Mr. Amit, the auditor of the company, wants to ensure that

trade payables and other current liabilities reported in the balance sheet have been valued appropriately. State the audit procedures that Mr. Amit should perform to ensure that trade payables and other current liabilities are valued properly.

ICAI'S ANSWER

Mr. Amit should perform following audit procedures to ensure that trade payables and other current liabilities are valued properly:

1. Review the process followed by the Company to identify, if any, old creditor balance/ liability needs to be written back. This will include a consistency comparison with the method used in the last year and determination of whether the method is appropriate for the underlying business environment.
2. Obtain the ageing of payable balances and the list of vendors with whom the Company has disputes and any claims from customers, under litigation and compare with previous year.
3. Check that write backs in the liability balances assessed as no longer payable have been approved by an appropriate and authorized member of senior management, for example – CEO/MD.
4. Check that the restatement of foreign currency trade payables has been done properly in accordance with AS 11.
5. Understand management's process to identify the principal amount and the interest due

thereon (if any) remaining unpaid to any Micro, Small and Medium Sized Enterprises suppliers at the end of accounting year. Test check the management process to assess if the auditor could rely on the management process.

ICAI · P5 · Jan 2026 exam · question p. 28 · answer p. 30-31

776 **EXAM** **Sep 2024** **Q2(c)** **3 marks**

Schedule III of the Companies Act, 2013 prescribes disclosure of certain ratios as a part of Additional Regulatory Information. Mention any 3 ratios that should be disclosed along with the Rules relating to disclosure of these ratios.

ICAI'S ANSWER

Disclosure of Ratios as a part of Additional Regulatory Information as per Schedule III of the Companies Act 2013 and its Rules relating to disclosure are:

(1) Current Ratio,

(2) Debt-Equity Ratio,

(3) Debt Service Coverage Ratio,

(4) Return on Equity Ratio,

(5) Inventory turnover ratio,

(6) Trade Receivables turnover ratio,

(7) Trade payables turnover ratio,

(8) Net capital turnover ratio,

(9) Net profit ratio,

(10) Return on Capital employed,

(11) Return on investment.

Rules relating to disclosures of Ratios: The company shall explain the items included in the numerator and denominator for computing the above ratios.

Further explanation shall be provided for any change in the ratio by more than 25% as compared to the preceding year.

ICAI · P5 · Sep 2024 exam · question p. 13 · answer p. 15-16

777 EXAM **Old P6 May 2023** Q3(d) 3 marks old scheme

CA Q, the auditor of XYZ Ltd, while conducting audit observes that the company has made various provisions in the books of account. What are the audit procedures that CA Q will follow to verify the existence, completeness, and valuation of the provisions made?

ICAI'S ANSWER

Audit Procedures that CA Q will follow to verify the existence, completeness, and valuation of provisions made are given hereunder:

Existence

1. Obtain a list of all provisions and compare them with balances in the ledger.
2. Inspect the underlying agreements like agreements with customers to assess warranty

commitments, any legal and other claims on the entity i.e. litigations.

Valuation

3. Wherever required, obtain the expert's report, calculation and underlying working for the provision amount. For example - for warranty involving complex calculations, some entities get that valued through an actuary.

In such a case, the auditor may request the management to share the actuarial valuation report and in case of any matter under legal dispute, the auditor should request for assessment made by a legal expert in relation to likelihood of a liability devolving on the entity i.e. whether probable or possible or remote as defined above. The auditor should then verify the underlying assumptions used by the expert with the data shared by the management.

Completeness

4. Obtain the underlying working and the basis for each of the provisions made from the management and verify whether the same is complete and accurate.
5. The auditor shall obtain a written representation from the management that it has made all the provisions which were required to be made as per the recognized accounting principles.

ICAI · Old P6 · May 2023 exam · question p. 5 · answer p. 6-7

778 EXAM Old P6 May 2022 Q5(b) 4 marks old scheme

Proceedings have been initiated against False Limited for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder, but such property is not recorded in books of accounts. As a consultant to the company, what will you advice to the company as far as disclosure requirements are concerned in relation to said proceedings?

ICAI'S ANSWER

Disclosure in case of Benami Properties held by the Company: Where any proceedings have been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder, the company shall disclose the following:

(a) Details of such property, including year of acquisition,

(b) Amount thereof,

(c) Details of Beneficiaries,

(d) If property is not in the books, then the fact shall be stated with reasons,

(e) Where there are proceedings against the company under this law as an abetter of the transaction or as the transferor, then the details shall be provided,

(f) Nature of proceedings, status of same and company's view on same.

ICAI · Old P6 · May 2022 exam · question p. 10 · answer p. 11-12

779 RTP **May 2025** Q13

CA Tripti is in midst of conducting audit of a company engaged in manufacturing of range of bicycles in an industrial township located in a North Indian state. As part of its activities, the company procures bicycle components from various small and medium sized enterprises. Besides, company imports few bicycle components from China on credit terms. The auditor notices that company has huge trade payables reflected in its financial statements. He wants to be sure that all trade payables reflected in financial statements have been valued appropriately. Suggest few audit procedures to be performed in this respect.

ICAI'S ANSWER

Audit procedures to be performed to verify that all trade payables reflected in financial statements have been valued appropriately are:

- Review the process followed by the Company to identify if any old creditor balance needs to be written back. This will include a consistency comparison with the method used in the last year, and a determination of whether the method is appropriate for the underlying business environment.

- Obtain the ageing of payable balances, and the list of vendors with whom the Company has disputes and any claims from customers, under litigation and compare with previous year.
- Check that write backs in the trade payable balances assessed as no longer payable have been approved by an appropriate and authorised member of senior management, for example, CEO/MD.
- Check that the restatement of foreign currency trade payables has been done properly in accordance with AS 11.
- Understand management's process to identify the principal amount and the interest due thereon (if any) remaining unpaid to any Micro, Small and Medium Sized Enterprises suppliers at the end of accounting year. Test check the management process to assess if the auditor could rely on the management process.

ICAI · P5 · RTP May 2025 · question p. 6 · answer p. 11-12

780 **RTP** **May 2024** **Q11**

Proceedings have been initiated against False Limited for holding benami property under law relating to prohibition of benami transactions and the rules made thereunder but such property is not recorded in books of accounts. As a consultant to the company, what will you advise the company as far as disclosure requirements are concerned in financial statements in relation to said proceedings?

ICAI'S ANSWER

Disclosure in case of Benami Properties held by the Company: Where any proceedings have been initiated or pending against the company for holding any benami property under the relevant law relating to prohibition of such transactions, the company shall disclose the following: -

(a) Details of such property, including year of acquisition

(b) Amount thereof

(c) Details of Beneficiaries

(d) If property is not in the books, then the fact shall be stated with reasons

(e) Where there are proceedings against the company under this law as an abetter of the transaction or as the transferor, then the details shall be provided

(f) Nature of proceedings, status of same and company's view on same.

ICAI · P5 · RTP May 2024 · question p. 10-11 · answer p. 23

781 RTP **May 2024** Q13

Following is extract of notes to accounts of financial statements of STU Private Limited listing some ratios. Discuss, whether disclosure, given in following manner meets requirements of Schedule III of the Companies

Act, 2013. Ignore other ratios which are not listed in extract given below:

Name of ratio	31.3.2023	31.3.2022
Current ratio	2.50	2.30
Inventory turnover ratio	3.00	6.00
Trade receivables turnover ratio	1.75	5.00
Net profit ratio (in%)	13%	10%

ICAI'S ANSWER

The disclosure given in the question does not meet requirements of Schedule III to Companies Act, 2013.

Schedule III requires that the company shall explain the items included in numerator and denominator for computing the ratios. Further explanation shall be provided for any change in the ratio by more than 25% as compared to the preceding year.

In the given table, the company has not explained the items included in numerator and denominator for computing ratios. Further, variations in ratios as compared to preceding year are as under: -

Name of ratio	31.3.23	31.3.22	Variation
Current ratio	2.50	2.30	8.69%

Name of ratio	31.3.23	31.3.22	Variation
Inventory turnover ratio	3.00	6.00	50%
Trade receivables turnover ratio	1.75	5.00	65%
Net Profit ratio (in%)	13%	10%	30%

As calculated above, there is change in inventory turnover ratio, trade receivables turnover ratio and net profit ratio by more than 25% as compared to preceding year. Therefore, explanations for such changes have also to be provided where there are changes by more than 25% as compared to preceding year.

ICAI · P5 · RTP May 2024 · question p. 11 · answer p. 24

782 **RTP** **Old P6 Nov 2023** **Q19** old scheme

M/s MP & Co, Chartered Accountants, have been appointed as auditors of LMP Private Limited. The partner of the firm asked the Audit assistant to carry out the 'examination-in-depth' of the payment made to a creditor. Advise him about the documents to be verified.

ICAI'S ANSWER

Examination – in depth of the payment made to creditor: The Audit Assistant of M/s MP & Co., should verify the following documents of LMP

Private Limited in case of payment to a creditor is to be verified “in depth”:

(i) The invoice and statement of account received from the supplier.

(ii) The entry in the inventory record showing that the goods were received.

(iii) The Goods Received Note and Inspection Certificate showing that the goods on receipt were verified and inspected.

(iv) The copy of the original order and authority showing that the goods in fact were ordered by an authority which was competent to do so.

PassBook's note: The January 2027 Study Material's audit of trade payables names examination in depth of the balances.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 27

783 MTP **May 2026 S-I** Q5(c) 4 marks

ABC Ltd. is engaged in manufacturing consumer appliances. During the year ended 31st March 2025, the company has recognized the following:

- Provision for warranty amounting to ₹ 2.80 crores in respect of products sold during the year, based on past failure trends and actuarial valuation.
- Provision of ₹ 1.50 crores towards an ongoing consumer litigation filed before the National Consumer Disputes Redressal Commission.
- Disclosure of a contingent liability of ₹ 3.25 crores in respect of a tax demand under appeal before the High Court.

The auditor is required to verify provisions and contingent liabilities in accordance with the applicable financial reporting framework and auditing standards.

State the audit procedures (any five points) generally required to be undertaken while auditing provisions and contingent liabilities.

ICAI'S ANSWER

Audit procedures while auditing provisions and contingent liabilities:

1. Obtain a list of all provisions and compare them with balances in the ledger.
2. Inspect the underlying agreements like agreement with customers to assess warranty commitments, any legal and other claims on the entity i.e. litigations.
3. Obtain the underlying working and the basis for each of the provisions made, from the management and verify whether the same is complete and accurate.
4. Wherever required, obtain expert's report, calculation and underlying working for the provision amount, example for warranty involving complex calculations, some entities get that valued through an actuary.
5. In the above case, the auditor may request the management to share the actuarial valuation report and in case of any matter under legal dispute, the auditor should request for assessment made by a legal expert in relation to

likelihood of a liability devolving on the entity i.e. whether probable or possible or remote as defined above.

6. The auditor should then verify the underlying assumptions used by the expert with the data shared by the management.

ICAI · P5 · MTP May 2026 · Series I · question p. 16 · answer p. 15-16

784 MTP **Jan 2026 S-II** Q2(a) 5 marks

Ridham Enterprises, a trading firm, has shown a substantial amount under "Trade Payables and Other Current Liabilities" in its financial statements for the year ended 31st March, 2025. The auditor observes that certain purchase invoices were recorded close to the year-end. The management asserts that all liabilities have been properly recorded.

As an auditor, explain the audit procedures you would perform to establish the existence of trade payables and other current liabilities at the end of the period and state why verification of liabilities is as important as verification of assets.

ICAI'S ANSWER

Audit procedures - To establish the existence of trade payables and other current liabilities as at the period- end

(i) Check whether there are controls in place to ensure that any purchase/ expense invoice does not get recorded more than once and payable balances

are automatically recorded in the general ledger at the time of recording of expense.

(ii) Obtain accounts payable ageing report and trace its balances to the general ledger. If there are any differences, investigate reconciling items. Journal entries, specially for large amounts should be carefully examined.

(iii) An important audit activity is to contact vendors directly/independently and ask them to confirm the amounts of accounts payable as at the end of the reporting period under audit. This should necessarily be done for all significant account payable balances as at the period end and for parties from whom material purchases have been made during the period under audit even if period-end balance of such parties is not significant.

(iv) If there are any related party payables, review whether they were properly authorised and the value of such transactions were reasonable and at arm's length.

(v) Review a trend line of purchases/ expenses and accounts payable, or a comparison of the two over time, to see if there are any unusual trends. Make inquiries about reasons for changes in trends from the management.

Verification of liabilities is as important as that of assets because omission, understatement, or overstatement of liabilities would result in the

financial statements not showing a true and fair view of the entity's state of affairs.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 8 · answer p. 3

785 MTP **Sep 2024 S-II** Q5(b) 5 marks

M/s Veer and Associates is appointed as auditor of KMP limited. During the audit, auditor wants to verify that trade payables and liability balances that were supposed to be recorded have been recognized in the financial statements. Which assertion auditor wants to ensure and what audit procedures should be followed by him in this regard?

ICAI'S ANSWER

Auditor wants to ensure Completeness and the audit procedures to be followed by him to verify that trade payables and liability balances that were supposed to be recorded have been recognized in the financial statements are as follows:

- The auditor needs to perform the following cut off procedures:
  - For the last 5 invoices received/ recorded at the end of the reporting date (cut off date) and which have been included in the trade payables; the goods should have been received/ risk and rewards of ownership in goods should have been transferred in favour of the entity;
  - All goods received prior to the period/ year-end should have been booked in the form of

purchases and included in trade creditors.

- Test purchases/ expenses on a sample basis selecting the same from the accounts payable ledgers and checking their supporting documents to ensure that the purchases were recorded at the correct amounts and correct dates.
- Match purchase invoice dates to the gate entry (inward) dates to check whether the purchases are being recorded in the correct accounting period. This can include an examination of purchase/ expense invoices received subsequent to the period being audited, to see if they should have been included in the period under audit.
- Review subsequent expense vouchers. Review all material expense vouchers recorded post the balance sheet date to see if they relate to transactions from within the audit period.
- For advance received from customers/ revenue received in advance, obtain the customer wise listing along with its ageing and the nature. Enquire from the entity's management if there has been any dispute with the customer and if there is any additional liability to be recorded. For all such advances, the auditor should verify the underlying documentation based on which the entity had received the advance.
- In relation to statutory dues liability like withholding tax (TDS) payable, GST payable, luxury tax payable, professional tax payable, PF

and ESI payable etc., prepare a reasonability with respect to sales/ purchases/ employee benefit expenses. Example- GST liability for last month may be calculated by applying the applicable rate to the sales made and in case of any variance with the GST liability recorded by the entity, reasons for variance should be requested from client and in case found satisfactory, the same should be maintained as part of audit documentation.

Similarly, Provident Fund liability for last month may be calculated by applying the applicable rate to the employee benefit expense and in case of any variance with the liability recorded by the entity, reasons for variance should be requested from client and in case found satisfactory, the same should be maintained as part of audit documentation.

Further, the auditor should obtain and verify the challans for deposits made subsequent to the period-end for all statutory liabilities as at the balance sheet date and also analyse the reasons, if any, in consultation with the management for any variance between the amounts deposited subsequently vis-à-vis the liability recorded in books of account.

- He shall prepare a complete list of all statutory dues and consider his reporting requirements under CARO,2020.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 7-9

786 MTP **Old P6 May 2023 S-II** General MCQ 6 1 mark

MCQ old scheme

_____are charges against profits to provide for known liabilities for which amounts cannot be determined with accuracy

A Contingent Liabilities

B Provision

C Securities Premium Reserve.

D Liabilities

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5 · answer p. 1

787 MTP **Old P6 May 2022 S-II** Q4(b) 6 marks old scheme

While auditing the accounts of ABC Ltd, a member of audit team is not clear about :

(i) the criteria regarding classification of liability into current liability and non-current liability.

(ii) Classification of Reserves and Surplus

You being the senior member of audit team guide the member of the audit team about such criteria and classification as per general instructions for preparation of balance sheet as per Schedule III.

ICAI'S ANSWER

(i) A liability shall be classified as current when it

satisfies any of the following criteria:

(a) it is expected to be settled in the company's normal operating cycle;

(b) it is held primarily for the purpose of being traded;

(c) it is due to be settled within twelve months after the reporting date; or

(d) the company does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other liabilities shall be classified as non-current.

(ii) Reserves and Surplus shall be classified as:

(a) Capital Reserves;

(b) Capital Redemption Reserve;

(c) Securities Premium;

(d) Debenture Redemption Reserve;

(e) Revaluation Reserve;

(f) Share Options Outstanding Account;

(g) Other Reserves – (specify the nature and purpose of each reserve and the amount in respect thereof);

(h) Surplus i.e. balance in Statement of Profit & Loss disclosing allocations and appropriations such as

dividend, bonus shares and transfer to/from reserves etc.

(Additions and deductions since last balance sheet to be shown under each of the specified heads)

Note: A reserve specifically represented by earmarked investments shall be termed as a 'fund'.

Note: Debit balance of statement of profit and loss shall be shown as a negative figure under the head 'Surplus'. Similarly, the balance of 'Reserves and Surplus', after adjusting negative balance of surplus, if any, shall be shown under the head 'Reserves and Surplus' even if the resulting figure is in the negative.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 7 · answer p. 5-6

5.5 Audit of property, plant, equipment and intangibles

51 questions · asked in 30 ICAI documents · 8 exam papers

788 EXAM **Sep 2026** Q6(c) 4 marks

CA N is verifying the intangible assets of Software Solutions Limited for the year ended 31/03/2026. He has already completed the checking of the additions to intangible assets for verifying its "completeness". He is now under the process of checking the deletions of intangible assets. You are the team leader and CA N requests your guidance for the verification of the deletions of intangible assets. Which verification steps would you suggest to CA N ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 23

789 **EXAM** **Jan 2026** **Q4(b)** **5 marks**

The accounts team of Infant Garments Private Ltd., while ascertaining the cost of Property, Plant and Equipment (PPE), included various expenses such as:

- Cost of testing a machine: ₹ 1,80,000
- Cost of inauguration of the new machine: ₹ 1,00,000

As a Senior auditor, guide the team regarding the recognition criteria of PPE and the elements of costs to be included at the time of recognition.

ICAI'S ANSWER

Recognition Criteria for PPE: The cost of an item of PPE should be recognised as an asset if, and only if:

(1) It is probable that future economic benefits associated with the item will flow to the enterprise, and

(2) The cost of the item can be measured reliably.

Elements of Cost to be included at the time of recognition: The cost of an item of property, plant and equipment comprises:

(1) its purchase price, including import duties and non–refundable purchase taxes, after deducting trade discounts and rebates.

(2) any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

(3) the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located (decommissioning, restoration and similar liabilities), the obligation for which is incurred on acquisition of the asset or as a consequence of its use.

Treatment of expenses given in the question

- **Cost of testing the machine (₹ 1,80,000):** Testing costs incurred to check whether the asset is functioning properly before it is put to use are directly attributable costs and are therefore capitalised as part of the cost of PPE.
- **Cost of inauguration of the new machine (₹ 1,00,000):** Inauguration expenses are not directly attributable to bringing the asset to the condition necessary for its intended use and do not generate future economic benefits. Hence, such costs are not capitalised and should be charged to the Statement of Profit and Loss.

ICAI · P5 · Jan 2026 exam · question p. 21 · answer p. 23

790 EXAM **Jan 2025** MCQ 14 2 marks MCQ

In case any intangible asset is not in active use by the entity, the auditor should check whether: -

A The deletion with respect to the intangible asset has been recorded in the books of accounts post-approval by the entity's management.

B The amortization charge has ceased beyond the date of deletion.

C The deletion with respect to the intangible asset has been recorded in the books of accounts post-approval by the entity's management and the amortization charge shall be continued.

D The deletion with respect to the intangible asset has been recorded in the books of accounts post-approval by the entity's management and the amortisation charge has ceased beyond the date of deletion.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · Jan 2025 exam · question p. 8 · answer p. 9

791 EXAM **Jan 2025** Q3(a) 5 marks

ABC & Co., a Chartered Accountant firm, has been appointed as the statutory auditors of Pen Private Limited for the F.Y. 2023-24. During audit, one of the team members, Mr. R noticed that Pen Private Limited has purchased software amounting to ₹ 2.00 crore and the said software is not an integral part of the related hardware. Mr. R further observed that Pen Private Limited has conducted some research of an internal project work amounting to ₹ 1.00 crore. Pen Private Limited, following Indian GAAP, has presented the

aforesaid details in the Balance Sheet as on 31st March, 2024 as follows:

Property, Plant, and Equipment	₹
- Software	2.00 crore
- Research	1.00 crore

Mr. R approached the engagement partner with above details and enquired about the correctness of the presentation made by Pen Private Limited in terms of Schedule III to the Companies Act, 2013. Mr. R further wanted to ensure that all additions to Intangible assets during the year 2023-24 have been recorded appropriately in the financial statements of Pen Private Limited. Guide Mr. R.

ICAI'S ANSWER

Where the software is not an integral part of the related hardware, computer software is treated as an intangible asset. Thus, purchase of software, which is not an integral part of related hardware, amounting to ₹ 2 crore by Pen Private Limited should be presented in the Balance Sheet under the head intangible asset not under the head Fixed Asset.

Further, Expenditure on research (or on the research phase of an internal project) should be recognised as an expense when it is incurred. Therefore, presentation of research amounting to ₹ 1 crore of an integral project work by Pen Private

Limited under the head Property, Plant and Equipment as Research is not correct as it should be recognised as an expense.

Audit Procedure for ensuring all additions to Intangible assets during the year have been recorded appropriately in the financial statements of Pen Private Limited:

- For all material additions, verify whether such expenditure meets the criterion for recognition of an intangible asset as per AS 26.
- Ensure that no intangible asset arising from research (or from the research phase of an internal project) should be recognised. Expenditure on research (or on the research phase of an internal project) should be recognised as an expense when it is incurred.
- Check the certificate or report or other similar documentation maintained by the entity to verify the date of use of the intangible which could be linked to date of commencement of commercial production/ economic use to the entity, for all additions to intangible assets during the period under audit.
- Verify whether the additions (acquisitions) have been approved by appropriate entity's personnel.
- Verify whether proper internal processes and procedures like inviting competitive quotations/ proper tenders etc. were followed prior to finalizing the vendor for procuring item of

intangible assets by testing those documents on a sample basis

ICAI · P5 · Jan 2025 exam · question p. 18 · answer p. 19-20

792 **EXAM** **Sep 2024** **Q4(b)** **4 marks**

JB Limited has invested huge sums of money on establishment of new Property, Plant and Equipment during the year under audit. They have incurred an amount of ₹ 5,70,000/- on dismantling of an old plant, which had become obsolete, so that a new plant can be set up at the existing location. The Auditor is in the process of verifying the cost incurred towards addition to Property, Plant and Equipment. What should be the accounting treatment of the amount spent on dismantling of old plant in the financial statements? Which elements of cost should be considered for valuing Property, Plant and Equipment?

ICAI'S ANSWER

In the given situation, JB Limited has invested huge sums of money on establishment of new Property, Plant and Equipment and incurred an amount of ₹ 5,70,000 on dismantling of old plant which had become obsolete so that new plant can be set up at the existing location. An item of property, plant and equipment that qualifies for recognition as an asset should be measured at its cost. The costs of dismantling, removing the item and restoring the site on which it is located referred to as decommissioning will form part of the new Property, Plant and Equipment.

Elements of Cost: The cost of an item of property, plant and equipment comprises:

(i) its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.

(ii) any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

(iii) the initial estimate of the costs of dismantling, removing the item and restoring the site on which it is located, referred to as decommissioning, restoration and similar liabilities', the obligation for which an enterprise incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

ICAI · P5 · Sep 2024 exam · question p. 20 · answer p. 21

793 EXAM **May 2024** Q5(b) 4 marks

HR & Associates are the auditors of a large manufacturing company. The company has recently invested huge amount in Property, Plant and Equipment (PPE) for its new unit. They have added many incidental expenses to the cost of PPE. The junior audit team members are not sure about which costs should be excluded from the cost of PPE. Give examples of costs that should not form part of costs of PPE.

ICAI'S ANSWER

Examples of costs that are not costs of an item of property, plant and equipment are:

(i) costs of opening a new facility or business, such as, inauguration costs;

(ii) costs of introducing a new product or service (including costs of advertising and promotional activities);

(iii) costs of conducting business in a new location or with a new class of customer (including costs of staff training); and

(iv) administration and other general overhead costs.

ICAI · P5 · May 2024 exam · question p. 15 · answer p. 16-17

794 EXAM **Old P6 Nov 2023** Q6(d) 3 marks old scheme

Mention any three expenses which are revenue in nature but qualify as capital expenditure.

ICAI'S ANSWER

Certain revenue expenses also qualify as capital expenditure like:

(i) wages on installation of machinery.

(ii) legal expenses in purchase of land and building.

(iii) freight inwards on purchase of assets.

ICAI · Old P6 · Nov 2023 exam · question p. 12 · answer p. 13

795 EXAM Old P6 Dec 2021 Q3(b) 4 marks old scheme

CA R is the statutory auditor of QRS Ltd. While performing testing of additions during the year, he wanted to verify that:

(i) All PPE (property, plant and equipment) are in the name of the entity he is auditing.

(ii) For all additions to land and building in particular, the auditor desires to have concrete about the ownership.

(iii) The auditor wants to know whether the entity has valid legal ownership rights over the PPE, where it is kept as security for any borrowings.

Advise the auditor on the audit procedure to be undertaken by him to establish the Rights and Obligations of the entity over the PPE.

ICAI'S ANSWER

Audit procedure to establish Rights and Obligations of the entity over PPE:

(i) In addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, CA R, the statutory auditor of B Ltd, while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity. Verify whether the PPE additions have been approved by authorized personnel

(ii) For all additions to land, building in particular, CA R, the statutory auditor of B Ltd, should obtain copies of conveyance deed/ sale deed to establish whether the entity is mentioned to be the legal and valid owner.

(iii) The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.

(iv) n case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, CA R, the statutory auditor of B Ltd should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.

(v) In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · Old P6 · Dec 2021 exam · question p. 5 · answer p. 6

796 EXAM **Old P6 Jul 2021** Q4(c) 3 marks old scheme

The value of intangible assets may diminish due to efflux of time, use and/or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Discuss the audit procedures to be applied by the auditor to ensure that Intangible assets have been valued appropriately and as

per generally accepted accounting policies and practices.

ICAI'S ANSWER

The value of intangible assets may diminish due to efflux of time, use and/ or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Unless this cost in the form of amortization is charged to the accounts, the profit or loss would not be correctly ascertained and the values of intangible asset would be shown at higher amounts. The auditor should:

- Verify that the entity has charged amortization on all intangible assets;
- Verify that the amortization method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

The auditor should also verify whether the management has done an impairment assessment to determine whether an intangible asset is impaired. For this purpose, the auditor needs to verify whether the entity has applied AS 28 - Impairment of Assets for determining the manner of reviewing the carrying amount of its intangible asset, determining the recoverable amount of the asset to determine impairment loss, if any

ICAI · Old P6 · Jul 2021 exam · question p. 39 · answer p. 42

797 RTP Jan 2026 Q14

In the Balance Sheet of Watches Ltd., additions worth ₹ 20 Crores are appearing under Property, Plant & Equipment. Auditor of the company, in addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, while performing testing of additions also want to verify that all PPE purchase invoices are in the name of the company. Name the relevant assertion for verification of ownership and procedure to verify the same.

ICAI'S ANSWER

Relevant assertion for verification of ownership of PPE in the given situation is Rights and Obligation.

Procedure to verify the ownership rights over PPE is as under:

i. The auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity.

ii. For all additions to land and building in particular, the auditor should check the conveyance deed/ sale deed to verify whether the entity is the legal and valid owner or not.

iii. The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.

iv. In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity,

the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.

v. In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · P5 · RTP Jan 2026 · question p. 7 · answer p. 13-14

798 RTP **Old P6 May 2023** General MCQ 3 MCQ

old scheme

Same question, different ICAI answer: #820 Old P6 MTP May 2022 S-II

Which of the following is not correct:-

A AS 18 – Related Party Disclosures

B AS 10 – Property, Plant & Equipment

C AS 28 – Impairment of Assets

D AS 16 – Intangible Assets

ICAI'S ANSWER

(D) AS 16 – Intangible Assets

ICAI · Old P6 · RTP May 2023 · question p. 7 · answer p. 12

799 RTP **Old P6 May 2023** Q19 old scheme

While verifying the PPE of the client entity, the auditor also needs to consider whether the PPE has been valued

appropriately and as per the generally accepted accounting principles and practices. Explain.

ICAI'S ANSWER

While verifying the PPE of the client entity, the auditor also needs to consider whether the PPE has been valued appropriately and as per the generally accepted accounting principles and practices. The auditor should:

- Verify that the entity has charged depreciation on all items of PPE unless any item of PPE is non-depreciable like freehold land;
- Assess that the depreciation method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity. It could be Straight line method, diminishing value method, unit of production method, as applicable.
- The auditor should also verify whether the management has done an impairment assessment to determine whether an item of property, plant and equipment is impaired as per the requirements of AS 28 - Impairment of Assets.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 23-24

800 RTP **Old P6 Nov 2020** General MCQ 5 MCQ old scheme

While conducting the audit of Saraswati Ltd, a packaged water making company, it was found that a purchase of motor car was made in the name of the company. Your Article Assistant has performed the

following audit procedures. Identify which of the following procedure is incorrect.

A Ascertain whether the purchase of car has been properly authenticated.

B Check invoice of the car dealer to confirm the purchase price

C Examine registration with Transport Authorities to verify the ownership

D Ensure that the motor car has been included in the Closing inventory of goods

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Nov 2020 · question p. 6 · answer p. 12

801 RTP **Old P6 Nov 2020** Case scenario · Q19(a) to Q19(d)

old scheme

CASE SCENARIO

How will you vouch/verify the following?

Q19(a)

Trademarks and copyrights

Q19(b)

Investments income in the case of charitable institutions

Q19(c)

Contingent liabilities

Q19(d)

Leasehold rights

ICAI'S ANSWERS

Q19(a)

Trademarks and Copyrights:

(i) Obtain schedule of Trade Marks and Copyrights duly signed by the responsible officer and scrutinise the same and confirm that all of them are shown in the Balance Sheet.

(ii) Examine the written agreement in case of assignment of Copyrights and Assignment Deed in case of transfer of trade marks. Also ensure that trademarks and copyrights have been duly registered.

(iii) Verify existence of copyright by reference to contract between the author & the entity and note down the terms of payment of royalty.

(iv) See that the value has been determined properly and the costs incurred for the purpose of obtaining the trademarks and copyrights have been capitalised.

(v) Ascertain that the legal life of the trademarks and copyrights has not expired.

(vi) Ensure that amount paid for both the intangible assets is properly amortised having regard to appropriate legal and commercial considerations, as per the principles enunciated under AS 26 on Intangible Assets.

Q19(b)

Investment Income in the case of Charitable

Institution:

(i) Vouching the amounts received with the dividend and interest counterfoils.

(ii) Checking the calculations of interest received on securities bearing fixed rates of interest.

(iii) Checking that the appropriate dividend has been received where any investment has been sold ex-dividend or purchased cum-dividend.

(iv) Comparing the amounts of dividend received with schedule of investments making special enquiries into any investments held for which no dividend has been received.

PassBook's note: The January 2027 Study Material's audit of a charitable institution (Special Features of Audit of Different Types of Entities) includes the verification of investment income. Kept as printed: "Investments income in the case of charitable institutions" (question) against the answer's heading "Investment Income in the case of Charitable Institution:".

Q19(c)

Contingent liabilities:

(i) Inspect the minute books of the company to ascertain all contingent liabilities known to the company.

(ii) Examine the contracts entered into by the company and the likelihood of contingent liabilities emanating therefrom.

(iii) Scrutinise the lawyer's bills to track unreported contingent liabilities.

(iv) Examine bank letters in respect of bills discounted and not matured.

(v) Examine bank letters to ascertain guarantees on behalf of other companies or individuals.

(vi) Discuss with various functional officers of the company about the possibility of contingent liability existing in their respective field.

(vii) Obtain a certificate from the management that all known contingent liabilities have been included in the accounts and they have been properly disclosed.

(viii) Ensure that proper disclosure has been made as per Schedule III to the Companies Act, 2013 and AS 29, "Provisions, Contingent Liabilities and Contingent Assets".

Q19(d)

Leasehold Rights:

(i) Inspect the lease or assignment thereof to ascertain the amount of premium, if any, for securing the lease, and its terms and conditions; and that the lease has been duly registered. A lease exceeding one year is not valid unless it has been granted by a registered instrument.

(ii) Ascertain that all the conditions, the failure to comply with which might result in the forfeiture or cancellation of the lease, e.g., payment of ground rent on the due dates, insurance of property, its maintenance in a satisfactory state of repairs, etc.

prescribed by the lease, are being duly complied with.

(iii) Examine the counterpart of the tenants' agreements, if part of the leasehold property has been sublet.

(iv) Make certain that due provisions for any claim that might arise under the dilapidation clause on the expiry of the lease has been made, and, if no such provision has been made, draw the client's attention to the matter.

(v) Ensure that the outlay as well as any legal expenses incurred to acquire the leases which are shown as an asset in the Balance Sheet is being written off at a rate which could completely wipe off the asset over the unexpired term of the lease.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 26, 26-27, 27, 27-28

802 RTP **Old P6 Nov 2019** Q19 old scheme

Also asked in Old P6 MTP Nov 2019 S-I Q5(d)

The auditor A of ABC & Co.- firm of auditors is conducting the audit of XYZ Ltd and while performing testing of additions wanted to verify that all PPE (Property Plant and Equipment) purchase invoices are in the name of the entity he is auditing. For all additions to land, building in particular, the auditor desires to have concrete evidence about ownership. The auditor is worried about whether the entity has valid legal ownership rights over the PPE claimed to be held

by the entity and recorded in the financial statements. Advise the auditor.

ICAI'S ANSWER

In addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, the auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity. For all additions to land, building in particular, the auditor should obtain copies of conveyance deed/ sale deed to establish whether the entity is mentioned to be the legal and valid owner.

The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date. In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security. In addition, the auditor should also verify the register of charges, available with the entity to assess the PPE that has been given as security to any third parties

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 23-24

803 RTP Old P6 Nov 2019 Q20 old scheme

Explain with examples the audit procedure to establish the existence of intangible fixed assets as at the period-end.

ICAI'S ANSWER

Since an Intangible Asset is an identifiable non-monetary asset, without physical substance, for establishing the existence of such assets, the auditor should verify whether such intangible asset is in active use in the production or supply of goods or services, for rental to others, or for administrative purposes.

Example- for verifying the existence of software, the auditor should verify whether such software is in active use by the entity and for the purpose, the auditor should verify the sale of related services/ goods during the period under audit, in which such software has been used.

Example- For verifying the existence of design/ drawings, the auditor should verify the production data to establish if such products for which the design/ drawings were purchased, are being produced and sold by the entity.

In case any intangible asset is not in active use, deletion should have been recorded in the books of account post approvals by the entity's management and amortization charge should have ceased to be charged beyond the date of deletion

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 24

804 MTP Sep 2026 S-I Q2(a) 5 marks

RST & Associates, Chartered Accountants, were conducting the statutory audit of Gee Infrastructure Ltd. for the financial year ended 31st March, 2026. During the audit, the auditor noted that proceedings had been initiated against the company under the Benami Transactions (Prohibition) Act, 1988 in relation to an immovable property allegedly held in the name of another person for the benefit of the company.

The property had been acquired several years earlier and the authorities were investigating the nature of ownership, the identity of beneficiaries and the role of the company in the transaction. The auditor further observed that certain details relating to the property were not reflected in the books of account and management was required to make appropriate disclosures in the financial statements regarding the ongoing proceedings.

In the light of above facts, state the disclosures required where proceedings have been initiated or are pending against a company for holding benami property.

ICAI'S ANSWER

Disclosure in case of Benami Properties held by the Company: Where any proceedings have been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 and the rules

made thereunder, the company shall disclose the following:

(a) Details of such property, including year of acquisition,

(b) Amount thereof,

(c) Details of Beneficiaries,

(d) If property is in the books, then reference to the item in the Balance Sheet,

(e) If property is not in the books, then the fact shall be stated with reasons,

(f) Where there are proceedings against the company under this law as an abetter of the transaction or as the transferor, then the details shall be provided,

(g) Nature of proceedings, status of same and company's view on same.

In the given case of Gee Infrastructure Ltd., since proceedings have been initiated under the Benami Transactions (Prohibition) Act, 1988, the company is required to disclose complete particulars of the alleged benami property, beneficiaries, amount involved, reasons for non-recording in the books (if applicable), details of proceedings and management's view thereon, so that users of the financial statements are adequately informed about the matter.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 11 · answer p. 4-5

805 MTP Sep 2026 S-II Q1(c) 4 marks

Nimbus Digital Solutions Limited, engaged in providing technology-enabled business services, has several intangible assets recorded in its financial statements, including software and specialised designs used in its operations.

During the audit for the year ended 31st March, 2026, the audit team reviewed the intangible assets appearing in the books of account. In the course of verification, it was observed that certain software had not been used during the year, while some designs relating to products that were no longer being manufactured continued to be included in the books.

Since intangible assets do not have physical substance, the auditor considered the manner in which their existence and continuing use could be established as at the period-end.

Explain how the auditor should establish the existence of intangible assets as at the period-end, with suitable examples. Also discuss the audit considerations in respect of intangible assets that are not in active use and comment on whether mere inclusion of such assets in the books of account is sufficient to establish their existence.

ICAI'S ANSWER

To establish the Existence of intangible fixed assets as at the period-end

Audit Procedure:

Since an intangible asset is an identifiable non-monetary asset, without physical substance, for establishing the existence of such assets, the auditor should verify whether such intangible asset is in active use in the production or supply of goods or services, for rental to others or for administrative purposes.

Example: For verifying the existence of software, the auditor should verify whether such software is in active use by the entity and for the purpose, the auditor should verify the sale of related services/ goods during the period under audit, in which such software has been used.

Example: For verifying the existence of design/ drawings, the auditor should verify the production data to establish if such products for which the design/ drawings were purchased, are being produced and sold by the entity.

In case any intangible asset is not in active use, deletion should have been recorded in the books of account post approvals by the entity's management and amortization charge should have ceased beyond the date of deletion.

From the facts of the case, mere inclusion of intangible assets in the books of account is not sufficient to establish their existence. The auditor should verify whether such assets are in active use for the purposes for which they were acquired,

along with the related activities of the entity. Accordingly, the unused software and designs relating to products that were no longer being manufactured should be appropriately dealt with in the books of account after obtaining the necessary management approval, and amortisation should cease from the date of deletion.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 11-12 · answer p. 3-4

806 MTP **Jan 2026 S-I** Q5(b) 5 marks

During audit of PQR Ltd., the auditor observed that the company had incurred several types of expenditure in relation to its new manufacturing plant. These included costs for site preparation, installation of equipment, testing of machinery before use, and professional fees paid to engineers. The company had also spent amounts on staff training for operating the machinery and advertising expenses for launching a new product line.

As the auditor of PQR Ltd., explain how you would analyse these expenditures to determine whether they should be capitalised as part of Property, Plant and Equipment (PPE) or charged to revenue based on the recognition and measurement criteria.

ICAI'S ANSWER

The auditor should evaluate each expenditure with reference to the recognition and measurement principles for Property, Plant and Equipment (PPE).

According to the recognition criteria, the cost of an item of PPE should be recognised as an asset only if:

(i) It is probable that future economic benefits will flow to the enterprise; and

(ii) The cost of the item can be measured reliably.

As per measurement principles, PPE should be measured at cost, which includes:

- Purchase price,
- Costs directly attributable to bringing the asset to the location and condition necessary for it to operate as intended by management, and
- The initial estimate of dismantling or restoration costs.

Therefore, the auditor should ensure that:

- Costs such as site preparation, installation, testing, and professional fees are capitalised, as they are directly attributable to making the asset ready for use.
- Costs like staff training and advertising are charged to revenue, since they do not bring the asset to its intended working condition and are not part of the cost of PPE.

The auditor's analysis and classification of these expenditures are essential to ensure that the financial statements present a true and fair view of the valuation of Property, Plant and Equipment.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 11 · answer p. 10-11

807 MTP **Jan 2026 S-I** Q6(b) 5 marks

Hansa Airways has purchased a new aircraft for its fleet. The aircraft has an airframe and engines, both of which have significant cost in relation to total cost of the aircraft. During audit of the company's financial statements, the auditor noticed that the company applied a single depreciation rate to the total cost of the aircraft, without separating the airframe and engines. Also, the auditor observed that the company changed its amortisation method for software used for flight operations during the year but did not disclose this change in the financial statements.

Explain the attributes auditor would consider related to depreciation and amortisation in this case that need verification.

ICAI'S ANSWER

Auditor needs to consider the following attributes while verifying for depreciation and amortisation expenses:

(i) The airframe and engines are significant parts of the aircraft. The auditor needs to verify whether each part has been depreciated separately, as applying a single rate to the total cost may not reflect the true consumption of each component.

(ii) Obtain the understanding of entity's accounting policy related to depreciation and amortisation.

(iii) Ensure the Company policy for charging depreciation and amortisation is as per the relevant

provisions of the Companies Act, 2013/ applicable accounting standards.

(iv) The accounting policy has been applied consistently year on year. Any change in the accounting policy has been adequately disclosed.

(v) The change in the amortisation method for software must be checked for compliance.

(vi) Whether the depreciation has been calculated after making adjustment of residual value from the cost of the assets.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 12 · answer p. 12

808 MTP **Jan 2026 S-II Q6(b)** 5 marks

Sunrise Pharma Ltd. has incurred significant expenditure during the financial year 2024–25 on developing a new drug formula and also on purchasing certain software licences. The management has capitalised all such costs under intangible assets. During the audit, the auditor notices that the company has also written off one software package purchased two years ago, stating that it is no longer in use.

On further review, the auditor observes that no documentation has been provided to distinguish between research and development costs, and the company has capitalised certain items that may relate to the research phase. For the new software purchased, the auditor is not provided with any evidence of competitive quotations or approval from authorised personnel. For the discarded software, the entity has

not shared any disposal note, approval for deletion, or calculation of gain/loss on disposal.

Describe the audit procedures the auditor should perform for additions and deletions of intangible assets during the period under audit.

ICAI'S ANSWER

For additions during the period under audit, obtain a listing of all additions from the management and undertake the following procedures:

(i) For all material additions, verify whether such expenditure meets the criterion for recognition of an intangible asset as per AS 26.

(ii) Ensure that no intangible asset arising from research (or from the research phase of an internal project) should be recognised. Expenditure on research (or on the research phase of an internal project) should be recognised as an expense when it is incurred. Check the certificate or report or other similar documentation maintained by the entity to verify the date of use of the intangible which could be linked to date of commencement of commercial production/ economic use to the entity, for all additions to intangible assets during the period under audit.

(iii) Verify whether the additions (acquisitions) have been approved by appropriate entity's personnel.

(iv) Verify whether proper internal processes and procedures like inviting competitive quotations/ proper tenders etc. were followed prior to finalizing

the vendor for procuring item of intangible assets by testing those documents on a sample basis.

In relation to deletions of intangible assets, understand from the management the reason and rationale for deletion and the manner of disposal. Obtain the management approval and disposal note authoring disposal of the asset from its active use. Verify the process followed for sale of discarded asset, example inviting competitive quotes, tenders and the basis of calculation of sales proceeds. Verify that the management has accurately recorded the deletion of intangible asset (original cost and accumulated amortization up to the date of disposal) and the resultant gain/ loss on disposal in the entity's books of account.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 12-13 · answer p. 11-12

809 MTP **Sep 2025 S-I** Q6(c) 4 marks

CA Sohail, while conducting statutory audit of a company, has noticed that there are items such as computer software, patents appearing in its books of accounts. These are identifiable non-monetary assets, without physical substance, held for use in the production or supply of goods or services, for rental to others, or for administrative purposes. He wants to ensure that such items are properly valued in financial statements of the company. Suggest few audit procedures to be performed by him in this regard.

ICAI'S ANSWER

Computer software and patents are examples of intangible assets. The value of intangible assets may diminish due to efflux of time, use and/ or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Unless this cost in the form of amortization is charged to the accounts, the profit or loss would not be correctly ascertained, and the values of intangible asset would be shown at higher amounts.

The auditor should: -

- Verify that the entity has charged amortization on all intangible assets;
- Verify that the amortization method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity.
- The auditor should also verify whether the management has done an impairment assessment to determine whether an intangible asset is impaired. For this purpose, the auditor needs to verify whether the entity has applied AS 28 Impairment of Assets for determining the manner of reviewing the carrying amount of its intangible asset, determining the recoverable amount of the asset determine impairment loss, if any.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 11 · answer p. 13

810 MTP May 2025 S-I Q1(a) 5 marks

CA T is the statutory auditor of QRS Ltd. While performing testing of additions during the year, he wanted to verify that:

(i) All PPE (property, plant and equipment) are in the name of the entity he is auditing.

(ii) For all additions to land and building in particular, the auditor desires to have concrete about the ownership.

(iii) CA T also wants to know whether the entity has valid legal ownership rights over the PPE, where it is kept as security for any borrowings.

Advise the auditor CA T on the audit procedure to be undertaken by him to establish the Rights and Obligations of the entity over the PPE.

ICAI'S ANSWER

CA T should undertake the following audit procedure to establish Rights and Obligations of the entity over PPE:

- During the period under audit, the auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity.
- For all additions to land and building in particular, the auditor should check the conveyance deed/ sale deed to verify whether the entity is the legal and valid owner or not.

- The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.
- In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.
- In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · P5 · MTP May 2025 · Series I · question p. 8 · answer p. 1-2

811 MTP **Jan 2025 S-I** Q4(a) 5 marks

CA Karan wants to test the "completeness" assertion relating to intangible assets reflected in the financial statements of Data Solutions Private Limited. State audit procedures to be performed by CA Karan in this regard.

ICAI'S ANSWER

The audit procedures to be performed by CA Karan to test completeness assertion relating to intangible assets are as under: -

- Verify the movement in the intangible assets schedule compiled by the management i.e.

Opening balances + Additions – Deletions = Closing balances. Tally the closing balances to the entity's books of account.

- Check the arithmetical accuracy of the movement in intangible assets schedule.
- For additions during the period under audit, obtain a listing of all additions from the management and undertake the following procedures: -
  - For all material additions, verify whether such expenditure meets the criterion for recognition of an intangible asset as per AS 26.
  - Ensure that no intangible asset arising from research (or from the research phase of an internal project) should be recognised. Expenditure on research (or on the research phase of an internal project) should be recognised as an expense when it is incurred. Check the certificate or report or other similar documentation maintained by the entity to verify the date of use of the intangible which could be linked to date of commencement of commercial production/ economic use to the entity, for all additions to intangible assets during the period under audit.
  - Verify whether the additions (acquisitions) have been approved by appropriate entity's personnel.
  - Verify whether proper internal processes and procedures like inviting competitive

quotations/ proper tenders etc. were followed prior to finalizing the vendor for procuring item of intangible assets by testing those documents on a sample basis.

- In relation to deletions of intangible assets, understand from the management the reason and rationale for deletion and the manner of disposal. Obtain the management approval and disposal note authoring disposal of the asset from its active use. Verify the process followed for sale of discarded asset, for example inviting competitive quotes, tenders and the basis of calculation of sales proceeds. Verify that the management has accurately recorded the deletion of intangible asset (original cost and accumulated amortization up to the date of disposal) and the resultant gain/ loss on disposal in the entity's books of account.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 6-7

812 MTP **Jan 2025 S-I** Q5(c) 4 marks

Kyte Private Limited acquired an immovable property of substantial value during the financial year 2023-24, which is recorded in the financial statements as an addition in the Schedule of PPE. The auditor also observed that this immovable property has been mortgaged to a bank for availing credit facilities. How should the auditor verify the rights and obligations

assertion for this property to ensure the entity's legal ownership and identify any charges against it?

ICAI'S ANSWER

To verify the rights and obligations assertion regarding Property, Plant, and Equipment (PPE), the auditor must ensure the entity has valid legal ownership and identify any charges against it. The audit procedures should include the following:

- In addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, the auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity.
- For all additions to land and building in particular, the auditor should check the conveyance deed/ sale deed to verify whether the entity is the legal and valid owner or not.
- The auditor should insist and verify title deeds for immoveable property acquired.
- In case, the entity has given such immoveable property as security for any borrowings and the original title deeds are not likely to be available with the entity, the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.

- The auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 9

813 MTP **Sep 2024 S-I** Q6(c) 4 marks

BOTS is a manufacturing entity having material Property, Plant and Equipment (PPE) items in its financial statements. The auditor of the entity wants to verify that PPE items have been valued appropriately as per generally accepted accounting policies and practices. Comment on significance of such verification. Suggest a few audit procedures in this regard.

ICAI'S ANSWER

It is a common understanding that the value of fixed assets/ PPE depreciates due to efflux of time, use and obsolescence. The diminution of the value represents an item of cost to the entity for earning revenue during a given period. Unless this cost in the form of depreciation is charged to the accounts, the profit or loss would not be correctly ascertained, and the values of PPE would be shown at higher amounts. Therefore, such verification is significant.

Audit procedures that the auditor should follow to verify that the PPE items have been valued appropriately as per generally accepted accounting policies and practices are: -

- Verify that the entity has charged depreciation on all items of PPE unless any item of PPE is non-depreciable like freehold land
- Assess that the depreciation method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity. It could be Straight line method, diminishing value method, unit of production method, as applicable.
- The auditor should also verify whether the management has done an impairment assessment to determine whether an item of property, plant and equipment is impaired as per the requirements of AS 28 Impairment of Assets.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 11 · answer p. 10

814 MTP **Sep 2024 S-II** Q6(a) 5 marks

Mr. Vaayu is appointed as the auditor of PRISM Limited for the year 2023-24. He wants to ensure that the PPE has been valued appropriately and as per generally accepted accounting policies and practices and also that PRISM Limited has valid legal ownership rights over the PPE claimed to be held by the company and recorded in the financial statements. Explain how the auditor will verify the same.

ICAI'S ANSWER

PPE have been valued appropriately and as per generally accepted accounting policies and

practices:

It is a common understanding that the value of fixed assets/ PPE depreciates due to efflux of time, use and obsolescence. The diminution of the value represents an item of cost to the entity for earning revenue during a given period. Unless this cost in the form of depreciation is charged to the accounts, the profit or loss would not be correctly ascertained, and the values of PPE would be shown at higher amounts. Mr. Vaayu, the auditor should:

- Verify that the entity has charged depreciation on all items of PPE unless any item of PPE is non-depreciable like freehold land;
- Assess that the depreciation method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity. It could be Straight line method, diminishing value method, unit of production method, as applicable.
- The auditor should also verify whether the management has done an impairment assessment to determine whether an item of property, plant and equipment is impaired as per the requirements of AS 28 - Impairment of Assets.

The entity has valid legal ownership rights over the PPE claimed to be held by the entity and recorded in the financial statements (Rights and Obligation)

- In addition to the procedures undertaken for verifying completeness of additions to PPE

during the period under audit, the auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity.

- For all additions to land and building in particular, the auditor should check the conveyance deed/ sale deed to verify whether the entity is the legal and valid owner or not.
- The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.
- In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.
- In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 11 · answer p. 9-10

CASE SCENARIO 1

Dhanush, a CA student undergoing articles, is part of an engagement team conducting audit of Test Enterprises Private Limited. The company is engaged in business of conducting aptitude and language tests every fortnight at centres spread all over major cities of country for Indian students desirous of applying to foreign universities. It also sells books containing model test papers for the benefit of students.

The company has substantial number of computers at each centre to enable seamless experience for students appearing for standardized aptitude and language tests. The company has acquired new identifiable software involving substantial expenditure for conducting tests during the year which is expected to drive company's revenues in coming years. At the time of taking a test, a CD containing software is run in each system for enabling students to take tests. Cost of CD without software is nominal.

The revenue of the company during the year 2023-24 was ₹ 50 crores (₹45 crores from fees charged from students and ₹5 crores from sale of books). Besides, company has also received ₹ 10 lacs as interest on certain investments during the year. The company has a history of profitable operations.

During the course of audit, it is noticed by Dhanush that computers form significant chunk of PPE items

in financial statements of company. The company has taken useful life of computers consisting of desktops for 3 years. However, depreciation charged on computers in financial statements of the company is higher than depreciation allowable under Income tax law. It results in lower accounting income as per books of accounts of company as compared with taxable income under Income tax law.

During the course of audit, he notices that cost of CDs along with software cost is treated as an intangible asset by company. It is also part of his responsibility to verify PPE register in accordance with audit programme. On perusing details in PPE register, he finds that some computers have moved from one centre to another centre to meet business requirements. Further, many computers were disposed or scrapped in earlier years. However, proper details in relation to movement and disposal/scrapping have not been entered in PPE register. When these items were physically verified by the management during the year, it has resulted in material discrepancies. The management has properly dealt with such discrepancies in books of accounts.

Based on above, answer the following questions:

MCQ 1.1

Considering description provided in case scenario regarding accounting income as per books of accounts

and taxable income under Income tax law, choose appropriate responsibility of Dhanush:

A To verify deferred tax liability likely created in financial statements in accordance with AS 22

B To verify deferred tax asset likely created in financial statements in accordance with AS 22

C To verify deferred tax asset likely created in financial statements in accordance with AS 29

D To verify deferred tax liability likely created in financial statements in accordance with AS 29

MCQ 1.2

Keeping in view description provided in case scenario, which of following statements is likely to be correct regarding accounting treatment of cost of CDs and software acquired by company to run tests?

A The company's accounting treatment of treating cost of CDs with software costs as intangible assets is not proper. It should have treated such costs as revenue expenditure.

B The company's accounting treatment of treating cost of CDs with software costs as intangible assets is proper.

C The company's accounting treatment of treating cost of CDs with software costs as intangible assets is not proper. It should have treated cost of CDs as PPE item and software cost as intangible asset.

D The company's accounting treatment of treating cost of CDs with software costs as intangible assets is not proper. It should have treated cost of CDs as PPE item and software cost as revenue expenditure.

MCQ 1.3

As regards discrepancies noticed in computer systems on physical verification by management as described in case scenario, which of following statements is most appropriate?

A The management has properly dealt with such discrepancies. However, Dhanush should bring it to light of engagement partner as it may result in modification of auditor's opinion.

B The management has properly dealt with such discrepancies. However, Dhanush should bring it to light of engagement partner as it entails specific reporting requirement for auditor under Companies Act, 2013.

C The management has properly dealt with such discrepancies. Therefore, Dhanush should not do anything further.

D The management has properly dealt with such discrepancies. However, Dhanush should bring it to light of engagement partner as it is in nature of misstatement which needs to be communicated and documented by auditor.

MCQ 1.4

Which of following statements meets requirements of law in respect of revenue from operations of the

company?

A Revenue from operations of ₹ 50 crores should be shown in Statement of Profit and loss.

B Revenue from operations of ₹ 50.10 crores should be shown in Statement of Profit and loss. However, revenue from sale of books, fees charged from students and interest on investments should be disclosed separately in notes.

C Revenue from operations of ₹ 50.10 crores should be shown in Statement of Profit and loss.

D Revenue from operations of ₹ 50 crores should be shown in Statement of Profit and loss. However, revenue from sale of books and fees charged from students should be disclosed separately in notes.

MCQ 1.5

The company has taken useful life of desktops to be 3 years. Such a requirement is _____

A prescribed under Schedule III to Companies Act, 2013. However, a company can choose useful life different from what is prescribed under Schedule III.

B is not prescribed under Companies Act, 2013. It depends upon manufacturing specifications of desktops.

C prescribed under Schedule II to Companies Act, 2013. However, a company can choose useful life different from what is prescribed under Schedule II.

D is not prescribed under Companies Act, 2013. It needs to be arrived at mandatorily by a management expert.

ICAI'S ANSWERS

MCQ 1.1

(B) To verify deferred tax asset likely created in financial statements in accordance with AS 22

MCQ 1.2

(B) The company's accounting treatment of treating cost of CDs with software costs as intangible assets is proper.

MCQ 1.3

(B) The management has properly dealt with such discrepancies. However, Dhanush should bring it to light of engagement partner as it entails specific reporting requirement for auditor under Companies Act, 2013.

MCQ 1.4

(D) Revenue from operations of ₹ 50 crores should be shown in Statement of Profit and loss. However, revenue from sale of books and fees charged from students should be disclosed separately in notes.

MCQ 1.5

(C) prescribed under Schedule II to Companies Act, 2013. However, a company can choose useful life different from what is prescribed under Schedule II.

ICAI · P5 · MTP May 2024 · Series I · question p. 1-2 · answer p. 1

816 MTP Old P6 May 2023 S-II Q4(c) 3 marks old scheme

CA Mehta is the statutory auditor of ABC Ltd. While performing testing of additions during the year, he wanted to verify that:

(i) All PPE (property, plant and equipment) are in the name of the entity he is auditing.

(ii) For all additions to land and building in particular, the auditor desires to have concrete about the ownership.

(iii) The auditor wants to know whether the entity has valid legal ownership rights over the PPE, where it is kept as security for any borrowings.

Advise the auditor on the audit procedure to be undertaken by him to establish the Rights and Obligations of the entity over the PPE.

ICAI'S ANSWER

Audit procedure to establish Rights and Obligations of the entity over PPE:

(i) In addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, CA Mehta, the statutory auditor of ABC Ltd, while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity. Verify whether the PPE additions have been approved by authorized personnel.

(ii) For all additions to land, building in particular, CA Mehta, the statutory auditor of ABC Ltd, should obtain copies of conveyance deed/ sale deed to establish whether the entity is mentioned to be the legal and valid owner.

(iii) The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.

(iv) In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, CA Mehta, the statutory auditor of ABC Ltd should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.

(v) In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7 · answer p. 6-7

817 MTP **Old P6 May 2023 S-II Q4(d)** 3 marks old scheme

You are an auditor of Jagat Ltd. which has spent ₹ 15 lakhs on Research activities of the product during period under audit. Board of Directors want to recognize it as an internally generated intangible asset. Advise and discuss the conditions necessary to be

fulfilled to recognize the intangible assets in the financial statements.

ICAI'S ANSWER

No Intangible asset arising from research (or from the research phase of an internal project) shall be recognised. Expenditure on research shall be recognised as an expense when it is incurred since in the research phase of an internal project, an entity cannot demonstrate that an intangible asset exists that will generate probable future economic benefits. Thus, board of directors of Jagat Ltd cannot recognize the expense as internally generated intangible asset.

An intangible asset shall be recognised if, and only if:

(i) the said asset is identifiable;

(ii) the entity controls the asset i.e. the entity has the power to obtain the future economic benefits flowing from the underlying resource and to restrict the access of others to those benefits;

(iii) it is probable that future economic benefits associated with the asset will flow to the entity;

(iv) the cost of the item can be measured reliably.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7-8 · answer p. 7

818 MTP **Old P6 Nov 2022 S-I** Q4(c) 6 marks old scheme

Also asked in Old P6 MTP May 2022 S-I Q4(c)

XYZ Ltd. made huge additions to Intangible assets during the period 01-04-2021 to 31-03-2022 i.e. period under audit. You have been appointed as an auditor and you want to verify the additions made to intangible assets during the period. Suggest the audit procedure to verify the additions to intangible assets.

ICAI'S ANSWER

1. Verify the movement in the intangible assets schedule (asset class wise like software, designs/ drawings, goodwill etc.) compiled by the management i.e. Opening balances + Additions – Deletions = Closing balances. Tally the closing balances to the entity's books of account.
2. Check the arithmetical accuracy of the movement in intangible assets schedule.

For additions during the period under audit, obtain a listing of all additions from the management and undertake the following procedures:

(i) For all material additions, verify whether such expenditure meets the criterion for recognition of an intangible asset as per AS 26.

(ii) Ensure that no cost related to research (or from the research phase of an internal project) gets recognized as intangible asset.

(iii) Check the certificate or report or other similar documentation maintained by the entity to verify the date of use of the intangible which could be linked to date of commencement of commercial

production/ economic use to the entity, for all additions to intangible assets during the period under audit.

(iv) Verify whether the additions (acquisitions) have been approved by appropriate entity's personnel.

(v) Verify whether proper internal processes and procedures like inviting competitive quotations/ proper tenders etc. were followed prior to finalizing the vendor for procuring item of intangible assets by testing those documents on a sample basis.

(vi) In relation to deletions of intangible assets, understand from the management the reason and rationale for deletion and the manner of disposal. Obtain the management approval and disposal note authoring disposal of the asset from its active use. Verify the process followed for sale of discarded asset, example inviting competitive quotes, tenders and the basis of calculation of sales proceeds. Verify that the management has accurately recorded the deletion of intangible asset (original cost and accumulated amortization up to the date of disposal) and the resultant gain/ loss on disposal in the entity's books of account.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 6-7

819 MTP **Old P6 Nov 2022 S-II** Q4(c) 6 marks old scheme

The auditor has to ensure whether PPE has been valued appropriately and as per generally accepted accounting policies and practices and also the entity has valid legal

ownership rights over the PPE claimed to be held by the entity and recorded in the financial statements. Explain how the auditor will verify the same.

ICAI'S ANSWER

The auditor has to ensure whether PPE has been valued appropriately and as per generally accepted accounting policies and practices.

The value of fixed assets/ PPE depreciates due to efflux of time, use and obsolescence. The diminution of the value represents an item of cost to the entity for earning revenue during a given period. Unless this cost in the form of depreciation is charged to the accounts, the profit or loss would not be correctly ascertained, and the values of PPE would be shown at higher amounts.

- The auditor should:
  - Verify that the entity has charged depreciation on all items of PPE unless any item of PPE is non- depreciable like freehold land;
  - Assess that the depreciation method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity. It could be Straight line method, diminishing value method, unit of production method, as applicable.
  - The auditor should also verify whether the management has done an impairment assessment to determine whether an item of property, plant and equipment is impaired as

per the requirements of AS 28 - Impairment of Assets.

To verify whether the entity has valid legal ownership rights over the PPE claimed to be held by the entity and recorded in the financial statements

- In addition to the procedures undertaken for verifying completeness of additions to PPE during the period under audit, the auditor while performing testing of additions should also verify that all PPE purchase invoices are in the name of the entity that entitles legal title of ownership to the respective entity.
- For all additions to land and building in particular, the auditor should check the conveyance deed/ sale deed to verify whether the entity is the legal and valid owner or not.
- The auditor should insist and verify the original title deeds for all immoveable properties held as at the balance sheet date.
- In case the entity has given such immoveable property as security for any borrowings and the original title deeds are not available with the entity, the auditor should request the entity's management for obtaining a confirmation from the respective lenders that they are holding the original title deeds of immoveable property as security.

- In addition, the auditor should also verify the register of charges, available with the entity to assess that any charge has been created against the PPE.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 5-6

820 MTP **Old P6 May 2022 S-II** General MCQ 8 1 mark MCQ old scheme

Same question, different ICAI answer: #798 Old P6 RTP May 2023

Which of the following is not correct:-

A AS 18 – Related Party Disclosures

B AS 10 – Property, Plant & Equipment

C AS 28 – Impairment of Assets

D AS 16 – Intangible Assets

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 5-6 · answer p. 1

821 MTP **Old P6 Jul 2021 S-I** General MCQ 2 1 mark MCQ old scheme

Which of the following is an example of revenue expenditure-

A Wages on installation of Machinery

B Regular repairs incurred on PPE

C Legal expenses in purchase of land and building

D Freight inwards on purchase of PPE

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 4 · answer p. 1

822 MTP **Old P6 Jul 2021 S-I Q4(b)** 4 marks old scheme

You are an auditor of PQR Ltd. which has spent Rs. 10 lakhs on Research activities of the product during period under audit. Board of Directors want to recognize it as an internally generated intangible asset. Advise and discuss the conditions necessary to be fulfilled to recognize the intangible assets in the financial statements.

ICAI'S ANSWER

No Intangible asset arising from research (or from the research phase of an internal project) shall be recognised. Expenditure on research shall be recognised as an expense when it is incurred since in the research phase of an internal project, an entity cannot demonstrate that an intangible asset exists that will generate probable future economic benefits. Thus, board of directors of PQR Ltd cannot recognize the expense as internally generated intangible asset.

An intangible asset shall be recognised if, and only if:

(i) the said asset is identifiable;

(ii) the entity controls the asset i.e. the entity has the power to obtain the future economic benefits flowing from the underlying resource and to restrict the access of others to those benefits;

(iii) it is probable that future economic benefits associated with the asset will flow to the entity;

(iv) the cost of the item can be measured reliably.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 6

823 MTP **Old P6 Nov 2020 S-I** Case scenario · Q1(i) to Q1(viii)

16 marks old scheme

CASE SCENARIO

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

Mr. Z, a team member of auditor of Grateful and Competent Limited was of the opinion that while conducting an audit of a company no distinction is required to be made between revenue expenditure and capital expenditure.

Q1(ii) 2 marks

The audit engagement letter is sent by the client to auditor.

Q1(iii) 2 marks

A detailed Audit Programme once prepared for a business can be used for all business under all circumstances.

Q1(iv) 2 marks

Assertions refer to the representations by the auditor to consider the different types of the potential misstatements that may occur.

Q1(v) 2 marks out of syllabus

One of the directors of Very Fresh Fruits Limited was of the opinion that internal auditor to be appointed must be an employee of Very Fresh Fruits Limited.

Q1(vi) 2 marks out of syllabus

Audit committee is to be constituted by every public company to ensure better standards of corporate governance.

Q1(vii) 2 marks

The auditor has to report under section 143 of companies act, 2013 whether company has adequate internal controls in place and overall effectiveness of such internal controls.

Q1(viii) 2 marks

Tangible assets are depreciated when the asset is actually put to active use.

ICAI'S ANSWERS

Q1(i)

Incorrect: The opinion of Mr. Z is incorrect because one of the important aspects to be followed while conducting audit of a company is that a distinction is required to be made properly between revenue expenditure and capital expenditure.

Q1(ii)

Incorrect: As per SA 210 “Agreeing the Terms of Audit Engagements”, the Audit engagement letter is sent by the auditor to his client.

Q1(iii)

Incorrect. Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor are the other factors that vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all business under all circumstances is not practicable

Q1(iv)

Incorrect: Assertions refer to representations by management that are embodied in the financial statements as used by the auditor to consider the different types of the potential misstatements that may occur.

Q1(v)

Incorrect: As per section 138, the internal auditor shall either be a chartered accountant or a cost accountant (whether engaged in practice or not), or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the companies. The internal auditor may or may not be an employee of the company.

PassBook’s note: Out of syllabus (old scheme): who may be appointed as a company's internal auditor under section 138 of

the Companies Act, 2013 (a chartered accountant or cost accountant, in practice or not, or another professional decided by the Board.

Q1(vi)

Incorrect: Under Section 177 of Companies Act, 2013 read together with Rule 4 of Companies (Appointment and qualification of Directors) Rules, 2014 prescribe that audit committee is to be constituted by every listed public company and following classes of public companies only:-

(i) the Public Companies having paid up share capital of ten crore rupees or more; or

(ii) the Public Companies having turnover of one hundred crore rupees or more; or

(iii) the Public Companies which have, in aggregate, outstanding loans, debentures and deposits, exceeding fifty crore rupees:

Hence, the statement that all public companies are required to constitute audit committee is incorrect.

PassBook's note: Out of syllabus (old scheme): which companies must constitute an Audit Committee under section 177 of the Companies Act, 2013 (listed public companies and public companies above the paid-up capital, turnover or borrowing limits) was part of old Paper 6's Company Audit chapter.

Q1(vii)

Incorrect: Under provisions of Section 143 of the companies Act, 2013, auditor has to report whether the company has adequate *internal financial controls with reference to financial statements in place and operating effectiveness of such controls. The auditor has*

to report on adequacy and effectiveness of internal financial controls only and not internal controls.

Q1(viii)

Incorrect: Depreciation is a fall in value of asset due to obsolenscene, usage and effluxion of time, Therefore, depreciation is charged when the asset is ready for use . Active use of asset is not a mandatory criteria for charge of depreciation.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 4 · answer p. 1, 1-2, 2

824 MTP **Old P6 Nov 2020 S-I** Q5(d) 3 marks old scheme

You are an auditor of PQR Ltd. which has spent ₹ 50 lakhs on Research activities of the product during period under audit, Board of Directors want to recognize it as an internally generated intangible assets. Advise and discuss the conditions necessary to be fulfilled to recognize the intangible assets in the financial statements.

ICAI'S ANSWER

No Intangible asset arising from research (or from the research phase of an internal project) shall be recognised. Expenditure on research shall be recognised as an expense when it is incurred since in the research phase of an internal project, an entity cannot demonstrate that an intangible asset exists that will generate probable future economic benefits. Thus, board of directors of PQR Ltd cannot recognize the expense as internally generated intangible asset.

An intangible asset shall be recognised if, and only if:

(i) the said asset is identifiable;

(ii) the entity controls the asset i.e. the entity has the power to obtain the future economic benefits flowing from the underlying resource and to restrict the access of others to those benefits;

(iii) it is probable that future economic benefits associated with the asset will flow to the entity;

(iv) the cost of the item can be measured reliably.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 7

5.6 Audit of inventories, receivables, cash and loans and advances

58 questions · asked in 38 ICAI documents · 9 exam papers

825 EXAM Sep 2026 Q4(b) 5 marks

Seth Traders maintains cash balances at its head office, branch office and petty cash department. It also provides imprest cash advances to certain employees for routine expenses. During the audit, the auditor noticed that a separate cash books and rough cash records were maintained at different locations. The auditor decided to independently verify the existence and completeness of cash balances maintained by the entity.

State the audit procedures that the auditor should perform to verify the existence and completeness of

cash and cash equivalent balances as at the period end. (Assume no bank transactions are involved.)

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 19

826 EXAM Jan 2026 MCQ 15 2 marks MCQ

During the audit of ABC Ltd. CA P found that some of the inventories of the company are lying with third parties. Which of the following are not considered audit risks in this situation?

I. There is a risk that company will lose competitive advantage if third party delays production.

II. There is a risk that inventory will not be insured properly by the third party.

III. There is a risk that sufficient and appropriate evidence would not be available in respect of quantity and condition of inventories lying with third parties.

IV. There is a risk that sufficient and appropriate evidence would not be available for quality control in respect of inventories lying with the third parties.

A III

B I, II & III

C II & IV

D I, II & IV

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · Jan 2026 exam · question p. 10-11 · answer p. 11

827 **EXAM** **Sep 2025** Q6(a) **5 marks**

State the required disclosures for inventories as required under Schedule III (Part I) to the Companies Act, 2013.

ICAI'S ANSWER

Disclosures for inventories as required under Schedule III (Part I) to companies Act, 2013: Ensure whether the following disclosures as required under Schedule III (Part I) to the Companies Act, 2013 have been made:

(i) Whether inventory has been classified as:

- Raw materials
- Work-in-progress
- Finished goods
- Stock-in-trade (goods acquired for trading)
- Stores and spares
- Loose tools
- Others (specify nature).

(ii) Whether goods-in-transit have been disclosed separately under each sub-head of inventories.

(iii) Mode of valuation shall be stated.

ICAI · P5 · Sep 2025 exam · question p. 26 · answer p. 27

828 EXAM May 2025 Q4(c) 4 marks

While auditing the accounts of PQR Ltd., a member of the audit team wants to carry out test of controls for checking the effectiveness of internal control over sales as a part of debtor's audit procedure. State any four points that need to be considered in respect of trade receivables.

ICAI'S ANSWER

To carry out test of controls for checking the effectiveness of internal control over sales as a part of the debtors' audit procedure, following points need to be considered in respect of trade receivables by audit team of PQR Ltd:

- Only bona fide sales lead to trade receivables.
- All such sales are made to approved customers.
- All such sales are properly recorded in the books of accounts.
- Once recorded, the debtors can be settled only by receipt of cash or on the authority of a responsible official.
- Segregation of duties at every point in sales transaction. (accounting for debtors, collecting the payments, sending reminders etc.)
- Debtors are collected on time.
- In case debtors are not collected in time, sending reminders and taking legal actions if required.
- Balances are regularly reviewed.
- A proper system of follow up exists and if necessary, adequate provision for bad debt

should be made by preparing adequate ageing schedule of the debtors.

ICAI · P5 · May 2025 exam · question p. 18 · answer p. 19

829 **EXAM** **May 2024** **Q1(b)** **4 marks**

ABC & Co. are in the business of manufacturing toys. The stock taking process has been done by the company as on 31.3.2024. The company has used FIFO method for valuation of its inventories. The cost of inventory as on 31.3.24 is ₹ 25,25,000/- and the net realizable value of the inventory on the same date is ₹ 25,24,000/-.

The cost of inventory includes the following:

(1) Material purchase cost - ₹ 25,05,000/-

(2) Allocated transport cost - ₹ 18,000/-

(3) Abnormal wastage - ₹ 2,000/-

The management seeks your advice in arriving at the value of inventory to be shown in the financial statements of the company. What should be the value of inventory in accordance with AS-2?

ICAI'S ANSWER

Value of Inventory: Inventory to be recognized at the lower of cost and net realizable value in accordance with AS 2 - Inventories. Further, any costs that could not be reasonably allocated to the cost of production (e.g. general and administrative costs) and any abnormal wastage have been excluded from the cost of inventory. An acceptable

valuation basis (e.g. FIFO, Weighted average etc.) has been used to value inventory as at the period-end.

In the given situation, ABC & Co. is using FIFO method for valuation of its inventories. Further, cost of inventory as on 31.03.2024 is rupees 25,25,000 which includes material purchase cost of rupees 25,05,000, allocated cost of transport of rupees 18,000 and abnormal wastage of rupees 2,000. Net realizable value of said inventory is ₹ 25,24,000. In view of provisions of AS 2, cost allocated to transport for inventory is relating to bringing the inventory to the location, thus it will be added in cost of material. However, abnormal wastage of rupees 2000 should be excluded from cost of inventory.

Thus, cost of inventory will be ₹ 25,25,000 – ₹ 2,000 = 25,23,000 rupees and Net realizable value of inventory is ₹ 25,24,000.

For valuation in accordance with AS 2, "Inventory", lower of cost and net realizable value will be considered. Accordingly, ₹ 25,23,000 to be considered as value of inventory in the given situation.

ICAI · P5 · May 2024 exam · question p. 1 · answer p. 3

830 EXAM **May 2024** Q4(c) 3 marks

LD Ltd. has given below loans to the following borrowers during the financial year 2023-24. Mr. B an

auditor wants your guidance regarding additional regulatory information required to be provided under the Companies Act, 2013:

Borrowers	Maximum Loan granted during the year 2023-2024 (₹ in Lakh)	Outstanding Loan as at 31/03/2024 (₹ in Lakh)
X (Promoter)	20	15
Y (Director)	30	25
Z (KMP)	10	05
A (Related Party)	20	10
Others	80	65
Total	**160**	**120**

ICAI'S ANSWER

As additional regulatory requirements, following disclosures shall be made where Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013,) either severally or jointly with any other person, that are:

(a) repayable on demand or

(b) without specifying any terms or period of repayment.

Type of Borrower	Amount of loan or advance in the nature of loan outstanding (₹ In Lakhs)	Percentage to the total Loans and Advances in the nature of loans (₹ in Lakhs)
X (Promoter)	15	**12.5%** =15/120 X 100
Y (Director)	25	**20.833%** =25/120 X 100
Z (KMP)	05	**4.167%** =5/120 X 100
A (Related Party)	10	**8.333%** =10/120 X 100

ICAI · P5 · May 2024 exam · question p. 12 · answer p. 14

831 EXAM **Old P6 Nov 2023** Q3(b) 4 marks old scheme

Narrate the audit procedures to be performed by an auditor in order to ascertain that the Raw materials and consumables are valued appropriately and as per generally accepted accounting policies and practices.

ICAI'S ANSWER

Audit procedures performed by an auditor in order to ascertain that raw material and consumables are valued appropriately in

accordance with generally accepted accounting policies and practices are as under:

1. Ascertain what elements of cost are included e.g. carriage inward, non-refundable duties etc.
2. If standard costs are used, enquire into basis of standards; how these are compared with actual costs and how variances are analyzed and accounted for/ treated in accounting records.
3. Test check cost prices used with purchase invoices received in the month(s) prior to counting.
4. Follow up valuation of all damaged or obsolete inventories noted during observance of physical counting with a view to establishing a realistic net realizable value.

ICAI · Old P6 · Nov 2023 exam · question p. 5 · answer p. 6

832 EXAM **Old P6 Nov 2022** Q3(c) 3 marks old scheme

While auditing books of accounts of SOLAR Ltd., you observed that an amount due from a debtor for invoice issued on 31.03.2022 has not been recognized in the books of accounts. As an auditor, you want to ensure that all trade receivable balances that are supposed to be recorded have been recognized in the financial statements. How will you achieve the stated objective?

ICAI'S ANSWER

Audit of Trade Receivable:

All Trade receivable balances that were supposed to be recorded have been recognized in the financial statements. (COMPLETENESS): The auditor needs to satisfy himself of the cut-offs. Without a cut-off, sales could be understated or overstated, hence there is a need to perform the following cut off procedure:

(a) For the invoices issued during the last few days (last 5 days of the reporting year) i.e. cut-off date and which have been included in the debtors; check that the goods should have been dispatched and not lying with the Company;

(b) Ensure that all goods dispatched prior to the period/ year-end have been invoiced and included in debtors on a test check basis;

(c) Ensure that no goods dispatched after the year-end have been invoiced and included in debtors for the period under audit.

ICAI · Old P6 · Nov 2022 exam · question p. 5-6 · answer p. 7

833 EXAM **Old P6 Dec 2021** Q3(d) 3 marks old scheme

How is "Cash and cash equivalents" disclosed in the Financial Statements as required under Schedule III (part I) to Companies Act, 2013?

ICAI'S ANSWER

Disclosure of Cash & Cash Equivalent in the Financial Statements:

Regarding Cash and cash equivalents- Ensure whether the following disclosures as required under Schedule III (Part 1) to Companies Act, 2013 have been made:

(i) Cash and cash equivalents shall be classified as:

(a) Balances with banks;

(b) Cheques, drafts on hand;

(c) Cash on hand;

(c) Others (specify nature)

(ii) Earmarked balances with banks (for example, for unpaid dividend) shall be separately stated.

(iii) Balances with banks to the extent held as margin money or security against the borrowings, guarantees, other commitments shall be disclosed separately.

(iv) Repatriation restrictions, if any, in respect of cash and bank balances shall be separately stated.

(v) Bank deposits with more than 12 months' maturity shall be disclosed separately.

ICAI · Old P6 · Dec 2021 exam · question p. 5 · answer p. 7

834 EXAM **Old P6 Jan 2021** Q3(d) 3 marks old scheme

ABC Limited has a closing balance of work in progress of inventories aggregating ₹ 850 lakhs in their balance

sheet as at March 31, 2020.

As Statutory Auditor of ABC Limited, explain various audit procedures which need to be performed to confirm Work-in-progress of inventories have been valued appropriately and as per generally accepted accounting policies and practices.

ICAI'S ANSWER

Audit procedure which needs to be performed to confirm work in progress worth Rs.850 lakhs has been valued appropriately and as per generally accepted accounting policies and practices is given hereunder :

(1) Ascertain how the various stages of production/ value add are measured and in case estimates are made, understand the basis for such estimates.

(2) Ascertain what elements of cost are included. If overheads are included, ascertain the basis on which they are included and compare such basis with the available costing and financial data/ information maintained by the entity.

(3) Ensure that material costs exclude any abnormal wastage factors.

ICAI · Old P6 · Jan 2021 exam · question p. 5 · answer p. 6

835 **RTP** **Sep 2026** **Q14**

XYZ & Co., Chartered Accountants, are statutory auditors of JKL Ltd., a manufacturing company, for the financial year ended 31st March 2026. During the audit, the engagement partner emphasises the importance of

verifying the completeness of inventories, as inventory constitutes a significant portion of total assets.

The audit team observes that inventory is stored at multiple locations, including third-party warehouses and that the company deals in consignment goods as well. Further, there are concerns regarding cut-off errors and discrepancies between physical stock and accounting records.

Having regard to above, explain the audit procedures to establish the completeness of inventories.

ICAI'S ANSWER

Audit procedure to establish the Completeness of Inventories:

1. Perform analytical procedures (comparison tests with industry averages, budgets, prior years, trend analysis, etc.).

— Compute inventory turnover ratio (COGS/ average inventory)

— Perform vertical analysis (inventory/ total assets)

— Compare budgetary expectations vis-vis actuals

2. Examine non-financial information related to inventory, such as weights and other measurements.

3. Perform purchase and sales cut-off tests. Trace shipping documents (bills of lading and receiving reports, warehouse records, and inventory records) to accounting records immediately before and after year-end.

4. With respect to tagged inventory, perform tests for omitted transactions and tests for invalid transactions.

5. Verify the clerical and arithmetical accuracy of inventory listings.

6. Reconcile physical inventory amounts with perpetual records.

7. Reconcile physical counts with general ledger control totals.

8. Reconcile inventories which belong to client but are held with third parties like transporters, warehouses, port authorities etc.

9. Goods received on consignment basis have been properly segregated from other items of inventory.

In the given situation, by performing the above procedures, the auditor can ensure that all inventory items have been completely recorded in the books and no material items have been omitted.

ICAI · P5 · RTP Sep 2026 · question p. 8-9 · answer p. 17-18

836 **RTP** **May 2026** **Q13**

PQR Limited is engaged in trading and manufacturing activities and reports a substantial amount of inventories in its financial statements as at 31st March 2025. A portion of the inventories is held at the company's own warehouses, while some inventories are held on consignment and with third parties.

While conducting the audit, the auditor is required to obtain sufficient and appropriate audit evidence to establish the legal ownership rights over the inventories claimed to be held by the entity and recorded in the financial statements.

State the audit procedures to establish the legal ownership rights over the inventories claimed to be held by the entity.

ICAI'S ANSWER

Audit procedure to establish the legal ownership rights over the Inventories claimed to be held by the entity and recorded in the financial statements:

(i) Vouch recorded purchases to underlying documentation (purchase requisition, purchase order, receiving report, vendor invoice and cancelled cheque or payment file).

(ii) Evaluate the consigned goods.

(iii) Examine client correspondence, sales and receivables records, purchase documents.

(iv) Determine existence of collateral agreements.

(v) Review consignment agreements.

(vi) Review material purchase commitment agreements.

(vii) Examine invoices for evidence of ownership i.e. the invoices shall be in the name of the client.

(viii) Auditor shall obtain confirmation for significant items of inventory.

(ix) For instances of inventory held by third party, the auditor should insist on obtaining declaration from the third party on its business letterhead and signed by authorised personnel of that third party confirming that the items of inventory belong to the entity and are being held by such third party on behalf of and for the benefit of the entity under audit.

Thus, by performing the above procedures, the auditor can obtain sufficient and appropriate audit evidence regarding the entity's legal ownership rights over inventories reported in the financial statements.

ICAI · P5 · RTP May 2026 · question p. 8 · answer p. 16

837 **RTP** **Jan 2025** **Q13**

During the audit of Rapid Industries Private Limited, CA Akshat notices that inventories of raw materials & consumables and work-in- progress amounting ₹ 2.50 crores and ₹ 0.25 crores appear in the financial statements of the company as on March 31st, 2024. He wants to verify that the above-mentioned inventories have been valued appropriately and as per generally accepted accounting policies and practices. How should he proceed to verify the above?

ICAI'S ANSWER

To verify that inventories of raw material & consumables and work-in-progress have been valued appropriately and as per generally accepted

accounting policies and practices, the following procedures should be performed by CA Akshat:

For Raw materials and consumables:

- Ascertain what elements of cost are included e.g. carriage inward, non-refundable duties etc.
- If standard costs are used, enquire into basis of standards; how these are compared with actual costs and how variances are analysed and accounted for/ treated in accounting records.
- Test check cost prices used with purchase invoices received in the month(s) prior to counting.
- Follow up valuation of all damaged or obsolete inventories noted during observance of physical counting with a view to establishing a realistic net realizable value.

For Work in Progress:

- Ascertain how the various stages of production/ value additions are measured and in case estimates are made, understand the basis for such estimates.
- Ascertain what elements of cost are included. If overheads are included, ascertain the basis on which they are included and compare such basis with the available costing and financial data/ information maintained by the entity.
- Ensure that material costs exclude any abnormal wastage factors.

838 RTP **Old P6 Nov 2023** Q20(b) old scheme

A junior accountant of a limited company has not separated transactions of one period from those in the ensuing period. As an Auditor, state the correct procedure to be followed and the areas in which it can be applied.

ICAI'S ANSWER

Cut-off Arrangement:

1. Accounting is a continuous process because the business never comes to halt. It is, therefore, necessary that transactions of one period would be separated from those in the ensuing period so that the results of the working of each period can be correctly ascertained. The arrangement that is made for this purpose is technically known as "cut-off arrangement".
2. It essentially forms part of the internal control system of the organisation.
3. Accounts, other than sales, purchase and inventory are not usually affected by the continuity of the business and therefore, this arrangement is generally applied only to sales, purchase and inventory.
4. The auditor satisfies by examination and test-checks that the cut-off procedures are adequately followed and ensure that:
(i) Goods purchased, property in which has already been passed on to the client, have in fact

been included in the inventories and that the liability has been provided for in case credit purchase.

(ii) Goods sold have been excluded from the inventories and credit has been taken for the sales. If the value of sales is to be received, the concerned party has been debited.

5. The auditor may examine a sample of documents, evidencing the movement of inventory into and out of stores, including documents pertaining to period shortly before and after the cut-off date and check whether inventories represented by those documents were included or excluded as appropriate during inventory taking for perfect and correct presentation in the financial statements.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 27-28

839 **RTP** **Old P6 May 2023** Q20(a) old scheme

Also asked in Old P6 MTP May 2023 S-I Q4(b)

What are the required disclosures for cash & Cash equivalents to be made by the company as per Schedule III (Part I) to Companies Act, 2013?

ICAI'S ANSWER

The following are the required disclosures for cash & Cash equivalents to be made by the company as per Schedule III (Part I) to Companies Act, 2013:

Cash and cash equivalents

(i) Cash and cash equivalents shall be classified as:

(a) Balances with banks;

(b) Cheques, drafts on hand;

(c) Cash on hand;

(d) Others (specify nature)

(ii) Earmarked balances with banks (for example, for unpaid dividend) shall be separately stated.

(iii) Balances with banks to the extent held as margin money or security against the borrowings, guarantees, other commitments shall be disclosed separately.

(iv) Repatriation restrictions, if any, in respect of cash and bank balances shall be separately stated.

(v) Bank deposits with more than 12 months' maturity shall be disclosed separately.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 24

840 RTP **Old P6 Nov 2022** Q20 old scheme

PK Pvt Ltd, based in Moradabad, is engaged in export of brassware goods. The company has huge export receivables as on 31st March 2022. It is also analysed from Export Sales account of the company that large number of small shipments were almost despatched daily during month of March 2022. List out few audit procedures you would adopt as an auditor to verify completeness assertion of export trade receivables.

ICAI'S ANSWER

Completeness assertion in respect of account balances means that all balances which should have been recorded have been recorded. The auditor needs to satisfy himself about cut off so that there is no understatement or overstatement in account balances of export receivables.

In this context, while verifying completeness assertion of export trade receivables, following audit procedures are required: -

(1) Check that in respect of invoices raised in last few days nearing the cut off date, goods have been actually dispatched and not lying with the company.

(2) Check stock records, e-way bill, and transporter receipt regarding actual movement of goods. It would provide assurance that export invoices in respect of which revenue was booked have been actually moved out of company's premises.

(3) Ensure that all goods invoiced prior to cut off date/year end have been included in export receivables on test check basis.

(4) Ensure that no goods despatched after year end have been included in export receivables by tracing entries in export sales, stock records of next year. The same can be verified from e-way bills also.

(5) Match invoices to despatch/shipping details. Further match invoices dates to despatch dates to see if sales are being recorded in correct accounting period.

(6) Test invoices in receivable report. Select invoices from ageing report of export receivables and compare them with supporting documentation to ensure that these are billed with correct names, dates and amounts.

ICAI · Old P6 · RTP Nov 2022 · question p. 12 · answer p. 26

841 RTP **Old P6 May 2022**

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

You are a partner in ABC & Company, a Chartered Accountant firm based in New Delhi. ABC & Company has been appointed as the statutory auditor of onetime Limited, a public limited company which manufactures and sells wall and table clocks and has many branches all over India. onetime Limited has been exporting the clocks since past two years. However, the domestic sales have contributed towards major source of revenue for the Company.

You being the engagement partner have started the audit for the year ended 31.03.2021 along with your five team members. One of the team members, CA B started verification of inventory. In addition to other procedures, he also checked that valuation of Inventory had been recognised in accordance with AS -2. During detailed checking, he noticed that the amount spent on salary of administrative employees and normal wastage on production of the clocks, had not been added to the valuation of Inventory. The

contention of XYZ Limited was that since the cost was not directly related to the production cost and so not added to the cost of inventory.

CA B also noticed that one of the suppliers of onetime Limited, Mr AM had sent some raw material to the Company for storage in their warehouse in March 2021. Due to renovation going on at his warehouse, his stock could be damaged and so he had requested Onetime Limited to keep the same in their warehouse. onetime Limited contended that since the raw material was anyway billed to the Company the next month, so the same had been included in the valuation of stock, since physically the stock was present in the warehouse of Onetime Limited as on 31.03.2021.

The Company had issued shares at premium, and the premium received on the shares had been transferred to a “securities premium account”. The same was then applied in writing off the expenses of selling the clocks, writing off the preliminary expenses of the Company and also writing off the commission paid to the sales agents. You have verified the same in detail.

While verifying debtors, team member C noticed that there were a few trade receivables pertaining to export sales mainly to England. Mr. C verified the same with respect to the invoices issued and other supporting documents. The amount booked as on 31.03.2021 was based on the exchange rate as on the date of the invoice.

Mr. T, another team member verified the fixed assets of the Company. onetime Limited had purchased few cars for its directors during the year of audit. The same were appearing in the fixed assets schedule of the Company. Mr T verified the same with respect to the invoices as well as physically verified the assets in the Company's premises. Since the cars were for the official use of the Directors, they were purchased in the name of the Directors of the Company. Mr. T verified the amount with the Invoice and checked the registration and insurance documents.

One of the article clerks was assigned the work of verification of "Provisions" appearing in the Balance sheet. He wanted to understand from you the circumstances in which a provision is recognised in the books of account. You explained him the situations in which an entity recognises Provisions in its books.

Onetime Limited has invested in the shares of other companies. One of the Companies has declared dividend on its shares. Onetime Limited has not recognised the same in the profit & loss account. Team Member R has asked you to look into the matter since she is unable to understand the reasons for the same.

The Company had spent a huge amount on repair and maintenance of the machinery used for the production of the clocks. The amount was accounted for in two parts: repairs were booked as a revenue expenditure and annual maintenance charges were

capitalised and added to the machinery cost. Ms. R has verified the same in detail and raised her observations.

MCQ 2.1

Is the raw material lying in the warehouse of onetime Limited accounted for correctly in its books of account?

- **A** No, since the same belongs to Mr. AM and should appear in his books.
- **B** Yes, since the same is in possession of onetime Limited and was billed to it the following month.
- **C** It should be shown in the books of both onetime Limited and Mr. AM.
- **D** It should not appear in the books of onetime Limited or Mr. AM and the raw material should be disclosed as a note in the final accounts of both the entities.

MCQ 2.2

Which exchange rate is considered for accounting of foreign debtors at the year end?

- **A** Exchange Rate on the date of the invoice.
- **B** Exchange Rate on the last day of the financial year.
- **C** Exchange Rate on the date of shipment of the products to the customer.
- **D** Exchange Rate on the date of delivery of the products to the customer.

MCQ 2.3

Which of the following assertions with respect to fixed assets has not been complied with by the Company?

- **A** Existence
- **B** Valuation
- **C** Cut-Off
- **D** Rights and Obligations

MCQ 2.4

Which of the following condition is not required to be met for recognizing a provision?

- **A** When a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.
- **B** When an entity has a present obligation (legal or constructive) as a result of a past event.
- **C** A reliable estimate can be made of the amount of the obligation.
- **D** When it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

MCQ 2.5

Dividends are recognized in the statement of profit and loss only on fulfilment of which condition:

- **A** the entity's right to receive payment of the dividend is established.

B it is probable that the economic benefits associated with the dividend will flow to the entity.

C the amount of the dividend can be measured reliably.

D All of the above

ICAI'S ANSWERS

MCQ 2.1

(A) No, since the same belongs to Mr. AM and should appear in his books.

MCQ 2.2

(B) Exchange Rate on the last day of the financial year.

MCQ 2.3

(D) Rights and Obligations

MCQ 2.4

(A) When a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

MCQ 2.5

(D) All of the above

ICAI · Old P6 · RTP May 2022 · question p. 3-4 · answer p. 12

842 **RTP** **Old P6 Dec 2021 Q20** old scheme

APQ Ltd. deals in real estate and classifies all of its land holding under current assets as inventory. The same is, therefore valued at cost or market value whichever is

less. How would you verify profit or loss arising on sale of plots of land by such a dealer?

ICAI'S ANSWER

Verification of Profit & Loss Arising on sale of Plots by real estate dealer: The land holding in the case of real estate dealer will be a current asset and not a fixed asset. The same should, therefore, be valued at cost or market value whichever is less. The amount of profit or loss arising on sale of plots of land by such a dealer should be verified as follows:

(i) Each property account should be examined from the beginning of the development with special reference to the nature of charges so as to find out that only the appropriate cost and charges have been debited to the account and the total cost of the property has been set off against the price realised for it.

(ii) This basis of distribution of the common charges between different plots of land developed during the period, and basis for allocation of cost to individual properties comprised in a particular piece of land should be scrutinised.

(iii) If land price lists are available, these should be compared with actual selling prices obtained. And it should be verified that contracts entered into in respect of sale have been duly sanctioned by appropriate authorities.

(iv) Where part of the sale price is intended to reimburse taxes or expenses, suitable provisions

should be maintained for the purpose.

(v) The prices obtained for various plots of land sold should be checked with the plan map of the entire tract and any discrepancy or unreasonable price variations should be inquired into. The sale price of different plots of land should be verified on a reference to certified copies of sale deeds executed.

(vi) Out of the sale proceeds, provision should be made for the expenditure incurred on improvement of land, which so far has been accounted for.

ICAI · Old P6 · RTP Dec 2021 · question p. 125 · answer p. 141

843 **RTP** **Old P6 Jul 2021** Q18 old scheme

Also asked in Old P6 MTP Dec 2021 S-I Q5(a)

Mention the Analytical Review procedures that may be useful as a means of obtaining audit evidence regarding various assertions relating to Trade receivables, loans and advances.

ICAI'S ANSWER

Analytical Review Procedures: The following analytical review procedures may often be helpful as a means of obtaining audit evidence regarding the various assertions relating to trade receivables, loans and advances-

(i) comparison of closing balances of trade receivables, loans and advances with the corresponding figures for the previous year;

(ii) comparison of the relationship between current year trade receivable balances and the current year sales with the corresponding budgeted figures, if available;

(iii) comparison of actual closing balances of trade receivables, loans and advances with the corresponding budgeted figures, if available;

(iv) comparison of current year's ageing schedule with the corresponding figures for the previous year;

(v) comparison of significant ratios relating to trade receivables, loans and advances with similar ratios for other firms in the same industry, if available;

(vi) comparison of significant ratios relating to trade receivables, loans and advances with the industry norms, if available.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 138

844 **RTP** **Old P6 Jul 2021** Q20 old scheme

Also asked in Old P6 MTP Jul 2021 S-II Q5(d) · Old P6 MTP May 2020 S-I Q5(d)

Newton Ltd. has made loans and advances on the basis of following securities to various borrowers. As an auditor what type of documents can be verified to ensure that the company holds a legally enforceable security?

(i) Shares and Debentures

(ii) Life Insurance Policy

(iii) Hypothecation of goods.

ICAI'S ANSWER

Documents to be seen in case of Securities:

(i)

Types of Security
Shares and debentures

Documents etc. to be seen
The scrip and the endorsement thereon of the name of the transferee, in the case of transfer.

(ii)

Types of Security
Life Insurance Policy.

Documents etc. to be seen
Assignment of policy in favour of the lender, duly registered with the insurer

(iii)

Types of Security
Hypothecation of goods

Documents etc. to be seen
Deed of hypothecation or other document creating the charge, together with a statement of inventories held at the Balance Sheet date

PassBook's note: ICAI's (i)-(iii) are the securities of one question, answered in one table. The January 2027 Study Material does not list these documents for a company's loans and advances.

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 139

845 MTP **Sep 2026 S-I** MCQ 15 2 marks MCQ

Same question, different ICAI answer: #850 MTP May 2026 S-I

A Ltd. is engaged in manufacturing operations and has significant Work-in-Progress (WIP) inventory at year end. During the audit, the auditor evaluates measurement of stages of production, basis of estimates, inclusion of cost elements, allocation of overheads, and treatment of abnormal wastage.

Which of the following audit observations indicates inappropriate valuation of Work-in-Progress?

A. Various stages of production/value additions are measured and where estimates are made, the basis for such estimates is understood.

B. Overheads included in WIP are based on a method consistent with costing and financial data maintained by the entity.

C. Auditor has ascertained what elements of cost are included in WIP.

D. Material costs included in WIP include abnormal wastage factors.

ICAI'S ANSWER

(D)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 9 · answer p. 1

846 MTP **Sep 2026 S-I** Q5(b) 5 marks

Sunshine Electronics Limited manufactures and sells consumer electronic products on credit to dealers across the country. During the statutory audit for the

year ended 31st March 2026, the auditor observed that trade receivables had increased significantly as compared to the previous year. The company follows a credit approval process before making sales and has established procedures for recording sales, collecting outstanding dues, issuing reminders for overdue balances and reviewing the ageing of receivables periodically.

However, the auditor intends to evaluate whether these internal controls are operating effectively before placing reliance on them. The engagement partner also emphasized that ineffective controls over trade receivables may result in fictitious sales, delayed collections, unauthorized write-offs and inadequate provision for bad debts.

As the auditor of Sunshine Electronics Limited, explain the important points to be considered while carrying out Test of Controls for checking the effectiveness of internal control over sales as a part of the audit procedure relating to trade receivables.

ICAI'S ANSWER

Trade receivables are an essential part of any organisation's balance sheet, often referred to as debtors. Typically, an invoice is raised and issued to the customer with the invoice amount being recorded as a debtor balance. Until the invoice is paid, the invoice amount is recorded in the organization's balance sheet as accounts receivable. If these balances are not recoverable later on, then

these amounts need to be written off as bad and charged in the statement of profit and loss.

It is important to carry out Test of Controls for checking the effectiveness of internal control over sales as a part of the debtors' audit procedure. Following points need to be considered in respect of trade receivables:

- Only bona fide sales lead to trade receivables.
- All such sales are made to approved customers.
- All such sales are properly recorded in the books of accounts.
- Once recorded, the debtors can be settled only by receipt of cash or on the authority of a responsible official.
- Segregation of duties at every point in sales transaction. (accounting for debtors, collecting the payments, sending reminders etc.)
- Debtors are collected on time.
- In case debtors are not collected in time, sending reminders and taking legal actions if required.
- Balances are regularly reviewed.
- A proper system of follow up exists and if necessary, adequate provision for bad debt should be made by preparing adequate ageing schedule of the debtors.

In the given facts, the auditor should evaluate whether the internal controls over trade receivables are designed and operating effectively. An effective

system of controls helps ensure that receivables arise only from genuine sales, are recovered on time, and are appropriately monitored and provided for, thereby reducing the risk of material misstatement in the financial statements.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 15-16 · answer p. 13-14

847 MTP **Sep 2026 S-II** MCQ 14 2 marks MCQ

While auditing the valuation of finished goods, the auditor examines the basis used by management for determining cost. The accountant provides costing sheets prepared for sample carpets, which were originally developed for obtaining customer orders. These costing details include higher design, development, and trial overheads, and the same basis has been used for valuing the finished goods inventory.

The auditor evaluates whether such costing is appropriate for inventory valuation in accordance with applicable principles.

Based on the above scenario, which of the following statements is most appropriate?

A. The costing provided by the accountant is likely to be accepted by the auditor.

B. The costing provided by the accountant is likely to be overstated, resulting in a misstatement of inventory.

C. The costing provided by the accountant is likely to be understated, resulting in a misstatement of inventory.

D The costing is appropriate since it is based on management estimates supported by internal records.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 9-10 · answer p. 1

848 MTP **Sep 2026 S-II** Q2(a) 5 marks

During the statutory audit of Very Good Electricals Limited for the year ended 31st March, 2026, S & Co., Chartered Accountants, considered the company's inventory records and related verification procedures.

As part of the year-end audit, the audit team reviewed the procedures followed by the company for determining and recording its inventories. The company maintained substantial inventories at its own premises, while certain inventories owned by it were lying with transporters, warehouses and port authorities. In addition, the company had received certain goods on consignment basis.

The audit team noted that the company had conducted a physical count of inventories at the year-end and had prepared inventory records based on the quantities physically counted. During the review, however, the auditors considered whether the physical count alone would identify all inventories that should have been included in the financial statements, particularly inventories held by third parties and transactions occurring immediately before and after the year-end.

The auditors also considered the need to distinguish goods received on consignment from inventories owned by the company.

Accordingly, the audit team planned to perform analytical procedures, examine relevant non-financial information, carry out purchase and sales cut-off tests, verify inventory listings, reconcile physical inventory records with perpetual records and general ledger control totals, and obtain appropriate evidence regarding inventories held by third parties. The team also considered whether goods received on consignment had been properly segregated.

Explain the audit procedures to be performed to establish the completeness of inventories recorded in the financial statements. In the light of the above circumstances, discuss the significance of the procedures considered by the audit team.

ICAI'S ANSWER

Completeness of Inventories

Only the inventories held by entity have been recorded in the financial statements and do not include any inventories that belong to third parties but does include inventories owned by the entity and lying with a third party.

The auditor should perform the following procedures:

(1) Perform analytical procedures (comparison tests with industry averages, budgets, prior years, trend analysis, etc.).

(i) Compute inventory turnover ratio (COGS/ average inventory).

(ii) Perform vertical analysis (inventory/ total assets).

(iii) Compare budgetary expectations vis-à-vis actuals.

(2) Examine non-financial information related to inventory, such as weights and other measurements.

(3) Perform purchase and sales cut-off tests. Trace shipping documents (bills of lading and receiving reports, warehouse records, and inventory records) to accounting records immediately before and after year-end.

(4) With respect to tagged inventory, perform tests for omitted transactions and tests for invalid transactions.

(5) Verify the clerical and arithmetical accuracy of inventory listings.

(6) Reconcile physical inventory amounts with perpetual records.

(7) Reconcile physical counts with general ledger control totals.

(8) Reconcile inventories which belong to client but are held with third parties like transporters, warehouses, port authorities etc.

(9) Verify goods received on consignment basis have been properly segregated from other items of inventory.

From the above circumstances, physical counting of inventories at the year-end alone is not sufficient to establish their completeness. The auditor should perform analytical procedures, examine relevant non-financial information and carry out purchase and sales cut-off tests. Inventory records should be reconciled with perpetual records and general ledger control totals. The auditor should also verify inventories owned by the entity but held by third parties and ensure that goods received on consignment are properly segregated.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 12 · answer p. 4-5

849 MTP **Sep 2026 S-II** Q3(a) 5 marks

During the statutory audit of Gala Retail Limited for the year ended 31st March, 2026, the Bank Reconciliation Statements (BRS) prepared for the company's bank accounts contained several reconciling items. These included cheques issued but not presented for payment, cheques deposited but not credited, and bank charges and other amounts debited or credited by the bank but not recorded in the books. Certain cheques were subsequently cleared, while some had become stale.

The auditors also considered the company's process and periodicity of preparing the BRS and the need to verify material reconciling items and make appropriate adjustments where necessary.

Explain the appropriate audit procedures for verifying the Bank Reconciliation Statements, including the

examination of the above reconciling items. Also discuss the importance of understanding the company's process and periodicity of preparing BRS and the treatment of material items requiring adjustment.

ICAI'S ANSWER

Verification of Bank Reconciliation Statement (BRS)

The auditor needs to obtain Bank Reconciliation Statements (BRS) for all bank accounts maintained by the entity as at the reporting period. In addition, the auditor needs to understand the client's process and periodicity of preparing the BRS.

The auditor should ensure that the BRS is signed by the authorised personnel so that responsibility can be assigned in case of any errors.

Verification of BRS shall entail the following:

(1) Tallying the Bank Balance: Tally the balance as per the bank book with the bank confirmation/statement.

(2) Checking of Cheques Issued but not Presented for Payment

(i) Check all material reconciling items included under 'Cheques Issued but not Presented' with the underlying bank book forming part of the books of account.

(ii) Obtain bank statements for the subsequent period and verify whether the cheques have subsequently been cleared by the bank.

(iii) Where cheques have become stale (i.e., three months or more have elapsed since the date of issue), the same should not appear in the BRS and should instead be taken back to liabilities.

(3) Checking of Cheques Deposited but not Credited by Bank

(i) Check all material reconciling items included under 'Cheques Deposited but not Credited' by obtaining bank deposit slips duly acknowledged by the bank.

(ii) Verify from the subsequent period's bank statements whether such cheques have subsequently been credited by the bank.

(iii) Where cheques remain uncleared beyond a reasonable period, obtain explanations from the management.

(iv) If such explanations are found to be unsatisfactory, verify whether the related revenue has been recognised in accordance with the Company's revenue recognition policy.

(4) Checking of Amounts or Charges Debited/Credited by Bank but not Accounted for

(i) Check all material reconciling items relating to amounts or charges debited/credited by the bank but not recorded in the books by obtaining the relevant bank statements.

(ii) If the amounts are material, ensure that the management records the necessary adjustments in

the books of account.

(iii) If the management does not make the required adjustments, the auditor shall consider qualifying the audit report.

The auditor should obtain BRS for all bank accounts and verify the material reconciling items with the underlying records and subsequent bank statements. Cheques issued but not presented, cheques deposited but not credited, and amounts or charges debited or credited by the bank but not recorded in the books should be appropriately examined. Stale cheques should be appropriately dealt with, and necessary adjustments should be considered for material items. Thus, verification of BRS involves detailed examination of reconciling items rather than merely agreeing the closing bank balances.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 13-14 · answer p. 6-8

850 MTP **May 2026 S-I** MCQ 15 2 marks MCQ

Same question, different ICAI answer: #845 MTP Sep 2026 S-I

A Ltd. is engaged in manufacturing operations and has significant Work-in-Progress (WIP) inventory at year end. During the audit, the auditor evaluates measurement of stages of production, basis of estimates, inclusion of cost elements, allocation of overheads, and treatment of abnormal wastage.

Which of the following audit observations indicates inappropriate valuation of Work-in-Progress?

A Various stages of production/value additions are measured and where estimates are made, the basis for such estimates is understood.

B Overheads included in WIP are based on a method consistent with costing and financial data maintained by the entity.

C Auditor has ascertained what elements of cost are included in WIP.

D Material costs included in WIP include abnormal wastage factors.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · MTP May 2026 · Series I · question p. 8-9 · answer p. 1

851 MTP **May 2026 S-II** Q5(b) 5 marks

CD Manufacturing Ltd., engaged in the production and trading of consumer goods, has significant inventories comprising finished goods and goods held for resale. During the course of audit for the financial year ended 31st March 2025, the auditor observed that inventory includes certain slow-moving and obsolete items. Further, there were variations noted in cost allocation and selling prices in recent months.

The auditor is required to ensure that inventories are valued appropriately in accordance with applicable accounting standards.

Discuss the audit procedures to be performed by the auditor for verifying valuation of finished goods and

goods for resale.

ICAI'S ANSWER

The auditor should perform the following audit procedures for valuation of finished goods and goods for resale:

1. Enquire as to what costs are included, how these have been established and ensure that the overheads included have been determined based on normal costs and appear reasonable in relation to the information disclosed in the financial statements.

2. Ensure that inventories are valued at net realizable value if they are likely to fetch a value lower than their cost. For any such items, also verify if the relevant semi/partly processed inventories (work in progress) and raw materials have also been written down.

3. Follow up for items that are obsolete, damaged, slow moving and ascertain the possible realizable value of such items. Carefully examine the valuation of obsolete and damaged inventory. For this purpose, request the client to provide inventory ageing analysis and follow up for any inventories which were noted as damaged or obsolete during physical verification.

4. Compare recorded costs with replacement costs to identify any significant variations.

5. Examine vendor price lists to determine if recorded cost is less than current prices.

6. Calculate inventory turnover ratio. Obsolete inventory may be indicated if the ratio is significantly lower.

7. In manufacturing environments, test overhead allocation rates and ensure that only direct labour, direct material and appropriate overheads have been included.

8. Verify the correct application of the principle of lower of cost or net realizable value.

Thus, the auditor should ensure that inventory is properly valued at lower of cost or net realizable value and that adequate provisions are made for obsolete, damaged and slow-moving items to present a true and fair view of the financial statements.

ICAI · P5 · MTP May 2026 · Series II · question p. 14 · answer p. 11-12

852 MTP **Jan 2026 S-I** Q2(a) 5 marks

WXY Ltd. is a trading company that maintains a large quantity of inventory in its warehouse. During the year, some inventory items belonging to the company were stored with a third-party transporter due to space constraints. At the same time, the warehouse also contained goods received on consignment basis from another entity. The auditor wants to verify whether the inventory balance included in the financial statements is complete and does not include inventories that do not belong to WXY Ltd.

In context of above, explain what the completeness assertion for inventory requires and state the audit procedures the auditor should perform to verify the completeness of inventories.

ICAI'S ANSWER

Completeness Assertion for Inventory requires that only inventories held by entity have been recorded in the financial statements and do not include any inventories that belong to third parties but does include inventories owned by the entity and lying with a third party

Audit Procedures to Verify Completeness of Inventories

(i) Perform analytical procedures (comparison tests with industry averages, budgets, prior years, trend analysis, etc.).

- Compute inventory turnover ratio (COGS/ average inventory)
- Perform vertical analysis (inventory/ total assets)
- Compare budgetary expectations vis-à-vis actuals

(ii) Examine non-financial information related to inventory, such as weights and other measurements.

(iii) Perform purchase and sales cut-off tests. Trace shipping documents (bills of lading and receiving reports, warehouse records, and inventory records) to accounting records immediately before and after year-end.

(iv) With respect to tagged inventory, perform tests for omitted transactions and tests for invalid transactions.

(v) Verify the clerical and arithmetical accuracy of inventory listings.

(vi) Reconcile physical inventory amounts with perpetual records.

(vii) Reconcile physical counts with general ledger control totals.

(viii) Reconcile inventories which belong to client but are held with third parties like transporters, warehouses, port authorities etc.

(ix) Goods received on consignment basis have been properly segregated from other items of inventory.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 8 · answer p. 3-4

853 MTP **Sep 2025 S-I** Q5(a) 5 marks

During the audit of Quick Productions Private Limited, CA Naitik notices that inventories of raw materials & consumables and work-in- progress amounting ₹ 3.50 crores and ₹ 0.35 crores appear in the financial statements of the company as on March 31st, 2025. He wants to verify that the above-mentioned inventories have been valued appropriately and as per generally accepted accounting policies and practices. How should he proceed to verify the above?

ICAI'S ANSWER

To verify that inventories of raw material & consumables and work-in-progress have been valued appropriately and as per generally accepted accounting policies and practices, the following procedures should be performed by CA Naitik:

For Raw materials and consumables:

- Ascertain what elements of cost are included e.g. carriage inward, non-refundable duties etc.
- If standard costs are used, enquire into basis of standards; how these are compared with actual costs and how variances are analysed and accounted for/ treated in accounting records.
- Test check cost prices used with purchase invoices received in the month(s) prior to counting.
- Follow up valuation of all damaged or obsolete inventories noted during observance of physical counting with a view to establishing a realistic net realizable value.

For Work in Progress:

- Ascertain how the various stages of production/ value additions are measured and in case estimates are made, understand the basis for such estimates.
- Ascertain what elements of cost are included. If overheads are included, ascertain the basis on which they are included and compare such basis

with the available costing and financial data/ information maintained by the entity.

- Ensure that material costs exclude any abnormal wastage factors.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 10 · answer p. 9

854 MTP **May 2025 S-I** Q6(c) 4 marks

SRT Pvt. Ltd., based in Mumbai, is engaged in export of brassware goods. The company has huge export receivables as on 31st March 2024. It is also analysed from Export Sales account of the company that large number of small shipments were almost despatched daily during the month of March 2024.The auditor is ensuring that all goods despatched prior to the year-end have been invoiced. Which assertion concerning trade receivables is being verified by auditor? List out few audit procedures you would adopt as an auditor to verify this assertion.

ICAI'S ANSWER

In the given situation, the auditor is verifying Completeness assertion by ensuring that all goods dispatched prior to the year-end have been invoiced.

Audit procedures to be adopted by the auditor to verify the Completeness assertion are as under:

- Check that in respect of invoices raised in last few days nearing the cut-off date, goods have been actually dispatched and not lying with the company.

- Test invoices listed in receivable report. Select few invoices from the accounts receivable ageing report and compare them to supporting documentation to see if they were billed with the correct amounts, to the correct customers, and on the correct dates.
- Match invoices to shipping/ dispatch log. Match invoice dates to the shipment dates for those items in the shipping/ dispatch log, to see if sales are being recorded in the correct accounting period. This can include an examination of invoices issued subsequent to the period being audited, to see if they should have been included in the period under audit.
- Assess bill and hold sales. If there is a situation where the Company is billing customers for sales despite still retaining the goods on-site (known as “bill and hold”), examine supporting documentation to determine whether a sale has actually taken place or not.
- Review the receiving log to see if the Company has recorded an inordinately large amount of customer returns after the audit period, which would suggest that the Company may have shipped more goods near the end of the audit period than what the customers had authorized to inflate the profits of the company.
- Review the process of giving discounts/ incentives and check whether the same were

given as per the Company's policy/ general industry trends.

ICAI · P5 · MTP May 2025 · Series I · question p. 11 · answer p. 13

855 MTP **Jan 2025 S-I** Case Scenario 3 · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO 3

Vama & Associates were appointed as auditors for Royal Constructions Ltd. for the financial year 2023-2024. During the audit, the auditors observed a significant amount of work-in-progress inventory. Instead of attending the physical inventory count, they relied on alternative procedures. These included reviewing production reports, reconciling them with recorded inventory levels, and analysing variance trends to assess the accuracy of the work-in-progress balance.

The auditor also noticed that the company has obsolete inventory of ₹1,75,000, which had an estimated realisable value of ₹ 50,000, and the company has valued it at cost in its financial statements.

During the review of Property Plan and Equipment (PPE), the audit team noted that the company included ₹ 1,05,000 for employee benefits related to the acquisition of PPE and ₹ 1,25,000 for testing the functionality of the equipment, offset by ₹ 35,000 received from the sale of samples produced during testing.

Vama & Associates derive a significant portion of their income from Royal Constructions Ltd., amounting to ₹ 10,00,000, which represents 65% of their total annual revenue. Despite finding financial discrepancies of ₹ 3,00,000 in the company's accounts, the partners decided to overlook these issues to maintain their lucrative relationship with the client.

Based on the above facts, answer the following: -

MCQ 10 2 marks

Royal Constructions Ltd. should value the obsolete inventory at:

A ₹ 50,000.

B ₹ 1,25,000 .

C ₹ 1,75,000.

D It should be written off completely.

MCQ 11 2 marks

What amount should be included in the cost of PPE in the financial statements of Royal Constructions Ltd.?

A ₹ 1,95,000.

B ₹ 2,30,000.

C ₹ 2,65,000.

D ₹ 1,05,000.

MCQ 12 2 marks

What potential threat to the independence of Vama & Associates arises from receiving fees of ₹ 10,00,000

from Royal Constructions Ltd.?

A Self-interest threat.

B Self-review threat.

C Intimidation threat.

D Familiarity threat.

ICAI'S ANSWERS

MCQ 10

(A)

MCQ 11

(A)

MCQ 12

(A)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 5 · answer p. 1

856 MTP **Jan 2025 S-I** Q6(c) 4 marks

As the statutory auditor of Ginni Ltd., you need to verify if the company has valid legal ownership rights over the inventories recorded in the balance sheet as on March 31, 2024. What audit procedures should you perform to verify the company's ownership of the inventories, including items stored at third-party locations?

ICAI'S ANSWER

The statutory auditor of Ginni Ltd. should perform the following audit procedures to verify if the company has valid legal ownership rights over the

inventories recorded in the balance sheet as on March 31st, 2024.

- Vouch recorded purchases to underlying documentation (purchase requisition, purchase order, receiving report, vendor invoice and cancelled cheque or payment file).
- Evaluate the consigned goods.
- Examine client correspondence, sales and receivables records, purchase documents.
- Determine existence of collateral agreements.
- Review consignment agreements.
- Review material purchase commitment agreements.
- Examine invoices for evidence of ownership i.e. the invoices shall be in the name of the client.
- Obtain confirmation for significant items of inventory.
- For instances of inventory held by third party, the auditor should insist on obtaining declaration from the third party on its business letterhead and signed by an authorized personnel of that third party confirming that the items of inventory belong to the entity and are being held by such third party on behalf of and for the benefit of the entity under audit.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 10 · answer p. 11

857 MTP **Jan 2025 S-II** Q4(a) 5 marks

During the audit of HST Ltd., CA Mukund, the auditor, observed a significant volume of unsold electronic parts as inventory that had remained stagnant for more than two years. He noted that the company was facing difficulty selling these items due to the changes in the market. Additionally, some parts were damaged, and others were discontinued models. CA Mukund also ensured that the inventory was accurately valued to ensure proper financial reporting. You are required to outline the detailed audit procedures that are generally undertaken when auditing such inventories which at the time of observance of physical counting were noted as being damaged or obsolete.

ICAI'S ANSWER

Follow up for items that are obsolete, damaged, slow moving and ascertain the possible realizable value of such items. Carefully examine the valuation of obsolete and damaged inventory.

For the purpose, request the client to provide inventory ageing split and follow up for any inventories which at time of observance of physical counting were noted as being damaged or obsolete.

- Compare recorded costs with replacement costs.
- Examine vendor price lists to determine if recorded cost is less than current prices.
- Calculate inventory turnover ratio. Obsolete inventory may be revealed if ratio is significantly lower.

- In manufacturing environments, test overhead allocation rates and ensure that only direct labour, direct material and overhead have been included.
- Verify the correct application of lower-of- cost-or-net realizable value principles.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 10 · answer p. 6

858 MTP **Sep 2024 S-I** Q3(b) 5 marks

Zed Limited is engaged in the manufacturing and export of shoes. The statutory auditor of the company wants to reasonably ensure that only the inventories recorded in the financial statements are exclusively owned by the company and do not include any inventories that belong to third parties but includes inventories owned by the company but lying with third party. Advise the auditor on the audit procedures to be performed to achieve this assurance.

ICAI'S ANSWER

Audit procedures to be followed by the statutory auditor of Zed Limited to ensure that only the inventories held by entity have been recorded in the financial statements and do not include any inventories that belong to third parties but does include inventories owned by the entity and lying with a third party are as under: -

- Perform analytical procedures (comparison tests with industry averages, budgets, prior years, trend analysis, etc.).

    - Compute inventory turnover ratio (COGS/ average inventory)
    - Perform vertical analysis (inventory/ total assets)
    - Compare budgetary expectations vis-à-vis actuals
- Examine non-financial information related to inventory, such as weights and other measurements.
- Perform purchase and sales cut-off tests. Trace shipping documents (bills of lading and receiving reports, warehouse records, and inventory records) to accounting records immediately before and after year-end.
- With respect to tagged inventory, perform tests for omitted transactions and tests for invalid transactions.
- Verify the clerical and arithmetical accuracy of inventory listings.
- Reconcile physical inventory amounts with perpetual records.
- Reconcile physical counts with ledger control totals.
- Reconcile inventories which belong to client but are held with third parties like transporters, warehouses, port authorities etc.
- Goods received on a consignment basis have been properly segregated from other items of inventory.

859 MTP **Sep 2024 S-I** Q4(c) 4 marks

While verifying cash and cash equivalents of a company, CA D engagement partner, is very particular that Bank reconciliation statement (BRS) prepared by the management in respect of bank account maintained by the company is proper to rule out misstatements in cash and cash equivalents reflected in the financial statements of the company. The company does not use net banking and prefers to issue cheques to its creditors and receives substantial payments locally through account payee cheques. Which aspects need to be taken care of and verified by CA D in respect of BRS?

ICAI'S ANSWER

CA D should ensure that BRS is signed by the authorized personnel so that he is able to assign responsibility in case of any errors.

Verification of BRS shall entail the following: -

- Tallying the balance as per bank book to the bank confirmation/ statement.
- Checking of all material reconciling items included under cheques issued but presented for payment to the underlying bank book forming part of books of account. In addition, the auditor should request for bank statements of subsequent period and should verify if the cheques issued have subsequently been cleared by the bank. For all cases where cheques have become stale i.e. 3 months or more have lapsed

since the issue date, the same should not appear in the BRS and should instead be taken back to liabilities.

- Checking of all material reconciling items included under cheques deposited but not credited by bank by requesting for bank deposit slips, duly acknowledged by bank and verifying if the balances were credited by bank subsequently by tallying to the bank statement of subsequent period. For any instances related to cheques not cleared beyond reasonable time, the auditor should seek brief descriptions from the management and in case such explanations are found to be unsatisfactory, the auditor should verify the revenue recognition related to such parties was in order and as per the Company's revenue recognition policy.
- Checking of all material reconciling items included under amounts or charges debited/ credited by bank but not accounted for by requesting for bank statements for the period under audit and tallying the same. If the amounts are found to be material, the auditor should ensure that the management records the adjustments for the same in its books of account.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 10 · answer p. 6-7

860 MTP **Sep 2024 S-II** Q4(a) 5 marks

CA J is appointed as statutory auditor of Sigma and Beta Limited for the year 2023-24. During the audit he

observed trade receivables amounting to ₹ 50 crores are reflected in the financial statements of the company. He wants to obtain sufficient appropriate evidence to conclude that trade receivables have been valued appropriately. Suggest few audit procedures in this regard.

ICAI'S ANSWER

Few audit procedures to obtain sufficient appropriate audit evidence to conclude that trade receivables have been valued appropriately are as under: -

- Review the process followed by the Company to derive an allowance for doubtful accounts. This will include a consistency comparison with the method used in the last year, and a determination of whether the method is appropriate for the underlying business environment.
- Obtain the ageing report receivable (both Dr/Cr balance).
- Also, obtain the list of debtors under litigation and compare with previous year.
- Scrutinize the analysis and identify those debtors which appear doubtful; discuss with management about reasons as to why these debtors are not included in the provision for bad debts. Perform further testing where any disputes exist.
- He should check if provisions are made at appropriate rates considering recoverability of

amounts due.

- Prepare schedule of movements of bad debts – Provision accounts and debts written off and compare the proportion of bad debt expense to sales for the current year in comparison to prior years to see if the current expense appears reasonable.
- Check that write-offs of the receivable balances have been authority appropriate approved by an appropriate authority i.e. the Board of Directors in case of a company.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 6

861 MTP **May 2024 S-I** Q5(a) 4 marks

WTE Private Limited is engaged in business of manufacturing a product liable to GST @ 5%. The input raw materials for manufacturing this product are liable to GST @ 12% and 18%. As a result, at the end of financial year, ITC on inputs amounting to ₹ 60 lacs is accumulated in Electronic Credit ledger and refundable to company under provisions of GST law. How would above amount of ₹ 60 lacs be reflected and classified in balance sheet of company? State few audit procedures to be performed by you for verification of abovesaid balance.

ICAI'S ANSWER

In the given situation, ₹ 60 lacs is accumulated in Electronic credit ledger of WTE Private Limited as finished product is liable to lower GST rate whereas

input raw materials for manufacturing carry higher GST rate. It is refundable to company by virtue of provisions of GST law. The above balance would be reflected and classified under current assets. Within current assets, it would be classified into “Other current assets”.

Few audit procedures to be performed for verification of above balance are:

- In relation to balances with statutory authorities like GST input credit, prepare a reasonability analysis with respect to purchases by applying the applicable rate to the purchases and in case of any variance with the asset recorded by the entity, reasons for variance should be requested from the entity.
- Obtain copies of statutory GST returns filed on GST portal.
- In case refundable amount as on balance sheet date is still outstanding, verify whether the amount recorded as per books of account tallies with the claim made with the authorities subsequently by going to GST portal.
- In case refundable amount as on balance sheet date is received subsequently, verify it from Bank statement.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 7-8

862 MTP **May 2024 S-II** Q3(a) 4 marks

Tisa Industries Private Limited has prepared its financial statements for year 2023-24. The financial statements and notes to accounts show following information and disclosure in respect of trade receivables of the company: -

S. No.	Particulars	Amount (in ₹ lacs)
1.	Trade Receivables	240.00

Trade receivables ageing schedule.

Outstandings for following periods from due date of payment

(in ₹ lacs)

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
MSME	150.00	30.00	10.00	XXX	190.00
Others	40.00	XXX	XXX	XXX	40.00
Disputed dues-MSME	XXX	XXX	XXX	XXX	XXX
Disputed dues-others	10.00	XXX	XXX	XXX	10.00

You are part of engagement team conducting audit of the company. Point out discrepancies including

omissions in above disclosure. (Do not prepare another table).

ICAI'S ANSWER

The above disclosure is not in accordance with requirements of Division I of Schedule III of Companies Act, 2013. The discrepancies are as under: -

(1) The Company has wrongly disclosed information for trade receivables in a manner which is applicable for trade payables.

(2) No distinction between MSME and other trade receivables is required.

(3) Trade receivables are to be categorised into undisputed and disputed trade receivables as under: -

- Undisputed trade receivables considered good
- Undisputed trade receivables considered doubtful
- Disputed trade receivables considered good
- Disputed trade receivables considered doubtful

(4) Aging is to be reflected for each of above categories in respect of outstandings for the following periods from due date of payment

- for less than 6 months
- 6 months-1 year
- 1- 2 years
- 2-3 years

- more than 3 years

(5) Following information is also required to be disclosed: -

Trade receivables shall be sub-classified as:

(a) Secured, considered good

(b) Unsecured, considered good

(c) Doubtful.

(6) Allowance for bad and doubtful debts shall be disclosed under the relevant heads separately.

(7) Debts due by

- directors or other officers of the company or any of them either severally or jointly with any other person or
- firms or private companies respectively in which any director is a partner or a director or a member should be separately stated.

ICAI · P5 · MTP May 2024 · Series II · question p. 10 · answer p. 5-6

863 MTP **May 2024 S-II** Q3(b) 4 marks

Being statutory auditor of JAL Limited, a company engaged in manufacturing of chemicals, CA Gopika has understood that company is expected to have material work-in-progress as on 31st March, 2024. State few audit procedures to verify existence and valuation assertions for work-in-progress.

ICAI'S ANSWER

Audit procedures to verify existence and valuation assertions for work-in-progress are as under: -

- Attend inventory count in accordance with SA 501 and understand how work in progress is arrived at.
- Evaluate work of management expert, if any, in this regard.
- Ascertain how the various stages of production/ value additions are measured and in case estimates are made, understand the basis for such estimates.
- Ascertain what elements of cost are included. If overheads are included, ascertain the basis on which they are included and compare such basis with the available costing and financial data/ information maintained by the entity.
- Ensure that material costs exclude any abnormal wastage factors.

ICAI · P5 · MTP May 2024 · Series II · question p. 10-11 · answer p. 6

864 MTP **May 2024 S-II** Q4(a) 4 marks

It is important to carry out the Tests of Controls for checking effectiveness of internal control over sales as a part of the debtors' audit procedure. In above context, state the points which need to be considered in respect of trade receivables.

ICAI'S ANSWER

It is important to carry out Tests of Controls for checking the effectiveness of internal control over sales as a part of the debtors' audit procedure. Following points need to be considered in respect of trade receivables:

- Only bona fide sales lead to trade receivables.
- All such sales are made to approved customers.
- All such sales are properly recorded in the books of accounts.
- Once recorded, the debtors can be settled only by receipt of cash or on the authority of a responsible official.
- Segregation of duties at every point in sales transaction. (accounting for debtors, collecting the payments, sending reminders etc.)
- Debtors are collected on time.
- In case debtors are not collected in time, sending reminders and taking legal actions if required.
- Balances are regularly reviewed.
- A proper system of follow up exists and if necessary, adequate provision for bad debt should be made by preparing adequate ageing schedule of the debtors.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 7

865 MTP Old P6 Nov 2023 S-II

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO - 2

You are a partner in ABC & Company, a firm of Chartered Accountants based in New Delhi. ABC & Company have been appointed as the statutory auditors of Onetime Limited, a public company which manufactures and sells wall and table clocks and has many branches all over India. Onetime Limited has been exporting the clocks since past two years. However, the domestic sales have contributed towards major source of revenue for the Company.

One of the team members, CA B noticed that one of the suppliers of Onetime Limited, Mr AM had sent some raw material to the Company for storage in their warehouse in March 2023. Due to renovation going on at his warehouse, his stock could be damaged and so he had requested Onetime Limited to keep the same in their warehouse. Onetime Limited contended that since the raw material was anyway billed to the Company the next month, so the same had been included in the valuation of stock, since physically the stock was present in the warehouse of Onetime Limited as on 31.03.2023.

While verifying the debtors, team member C noticed that there were a few trade receivables pertaining to export sales mainly to England. Mr. C verified the same with respect to the invoices issued and other supporting documents. The amount booked as on

31.03.2023 was based on the exchange rate as on the date of the invoice.

Mr. T, another team member verified the PPE of the Company. Onetime Limited had purchased few cars for its directors during the year of audit. The same were appearing in the PPE schedule of the Company. Mr T verified the same with respect to the invoices as well as physically verified the assets in the Company's premises. Since the cars were for the official use of the Directors, they were purchased in the name of the Directors of the Company. Mr. T verified the amount with the Invoice and checked the registration and insurance documents. Besides, all items appearing in the PPE schedule were verified and he was satisfied that all PPE items that should have been recorded have, in fact, been recorded.

One of the articled clerks was assigned the work of verification of "Provisions" appearing in the Balance sheet. He wanted to understand from you the circumstances in which a provision is recognised in the books of accounts. You explained him the situations in which an entity recognises Provisions in its books.

Onetime Limited has invested in the shares of other companies. One of the Companies has declared dividend on its shares. Onetime Limited has not recognised the same in the profit & loss account. Team Member R has asked you to look into the matter since she is unable to understand the reasons for the same.

MCQ 2.1 2 marks

Is the raw material lying in the warehouse of Onetime Limited accounted for correctly in its books of account?

A. No, since the same belongs to Mr. AM and should appear in his books.

B. Yes, since the same is in possession of Onetime Limited and was billed to it the following month.

C. It should be shown in the books of both Onetime Limited and Mr. AM.

D. It should not appear in the books of Onetime Limited or Mr. AM and the raw material should be disclosed as a note in the final accounts of both the entities.

MCQ 2.2 2 marks

Which exchange rate is considered for accounting of foreign debtors at the year end?

A. Exchange Rate on the date of the invoice.

B. Exchange Rate on the last day of the financial year.

C. Exchange Rate on the date of shipment of the products to the customer.

D. Exchange Rate on the date of delivery of the products to the customer.

MCQ 2.3 2 marks

Which of the following management assertions is not satisfied with respect to Cars included in the PPE items by the company :

A. Existence

B Valuation

C Completeness

D Rights and Obligations

MCQ 2.4 2 marks

Which of the following condition is not required to be met for recognizing a provision?

A When a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

B When an entity has a present obligation (legal or constructive) as a result of a past event.

C A reliable estimate can be made of the amount of the obligation.

D When it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

MCQ 2.5 2 marks

Which of the following conditions is not necessary for recognising dividends in the statement of profit and loss of Onetime Ltd.:

A the entity's right to receive payment of the dividend is established.

B it is probable that the economic benefits associated with the dividend will flow to the entity.

C the amount of the dividend can be measured reliably.

D payment of income tax on dividends received

ICAI'S ANSWERS

MCQ 2.1

(A) No, since the same belongs to Mr. AM and should appear in his books

MCQ 2.2

(B) Exchange Rate on the last day of the financial year.

MCQ 2.3

(D) Rights and Obligations.

MCQ 2.4

(A) When a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

MCQ 2.5

(D) payment of income tax on dividends received

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 2-3 · answer p. 1

866 MTP **Old P6 Nov 2023 S-II** Q5(c) 4 marks old scheme

The auditor of Saturn Ltd. wants to verify whether the company has valid legal ownership rights over the inventories recorded in the balance sheet as on 31.03.2023. What audit procedures should the statutory auditor of the company perform?

ICAI'S ANSWER

The statutory auditor of Saturn Ltd. should perform the following audit procedures to verify if the company has valid legal ownership rights over the inventories recorded in the balance sheet as on 31.03.2023. The auditor should:

- vouch recorded purchases to underlying documentation (purchase requisition, purchase order, receiving report, vendor invoice and cancelled cheque or payment file).
- evaluate the consigned goods.
- examine client correspondence, sales and receivables records, purchase documents.
- determine existence of collateral agreements.
- review consignment agreements.
- review material purchase commitment agreements.
- examine invoices for evidence of ownership i.e. the invoices shall be in the name of the client.
- obtain confirmation for significant items of inventory.

For instances of inventory held by third party, the auditor should insist on obtaining declaration from the third party on its business letterhead and signed by an authorized personnel of that third party confirming that the items of inventory belong to the entity and are being held by such third party on behalf of and for the benefit of the entity under audit.

867 MTP **Old P6 May 2023 S-I** Q4(c) 6 marks old scheme

Studymate Limited is a company engaged in the manufacture of stationery items. The company sells its goods on credit. The debtors as on 31.03.2022, amounted to ₹ 10 crores. What is the disclosure requirement for the company with respect to the ageing schedule of the trade receivables in terms of Schedule III (Part I) to the Companies Act, 2013?

ICAI'S ANSWER

The following is the disclosure requirement for Studymate Limited with respect to the ageing schedule of the trade receivables in terms of Schedule III (Part I) to the Companies Act, 2013

Trade Receivables ageing schedule

(Amount in ₹)

Particulars	Outstanding for following periods from due date of payment#
Less than 6 months	
6 months-1 year	
1-2 years	
2-3 years	
More than 3 years	
Total	

Particulars

(i) Undisputed Trade receivables – considered good

Outstanding for following periods from due date of payment#

Particulars

(ii) Undisputed Trade Receivables – considered doubtful

Outstanding for following periods from due date of payment#

Particulars

(iii) Disputed Trade Receivables considered good

Outstanding for following periods from due date of payment#

Particulars

(iv) Disputed Trade Receivables considered doubtful

Outstanding for following periods from due date of payment#

similar information shall be given where no due date of payment is specified, in that case disclosure shall be from the date of the transaction.

Unbilled dues shall be disclosed separately.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 5-6

868 MTP **Old P6 May 2022 S-I** General MCQ 5 1 mark MCQ old scheme

Obtaining trade receivables ageing report and analysis and identification of doubtful debts is performed during audit of accounts receivable balances to address the following balance sheet assertion:

- A Valuation
- B Rights and obligations
- C Existence
- D Completeness

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 6 · answer p. 1

869 MTP **Old P6 Dec 2021 S-I** Q4(a) 4 marks old scheme

While conducting audit of Vee Ltd, CA Aman, auditor of the company, found that some goods are lying with third party for a long period. Advise Aman how will he verify them.

ICAI'S ANSWER

Goods Lying with Third Party: The auditor should check that the materiality of the item under this caption included in inventories.

(i) He should obtain confirmation of the amount of goods lying with them. The confirmation may be directly obtained by auditor or be produced by client depending upon the situation.

(ii) He should inquire into the necessity of sub contractor retaining the inventory. He should ensure the process that they do are related to the business requirement and there is no ground for suspicion on this score.

(iii) The goods lying with them for the very long period would merit auditors' special attention for making provision.

(iv) The records, voucher/slips for the regulating the movement of inventory into and out of entity for sub-contracting work be reviewed by vouching for few transaction for ensuring existence and working of internal control system for them.

(v) The excise gate pass, entry in such records, information in returns, be also cross-verified.

(vi) The valuation of inventories should be correctly made for including material cost on appropriate inventory valuation formulae and also for inclusion of proportionate processing charges for the work in process with the contractors.

(vii) The provision should be created for work done, billed for processing and also for incidence of any applicable levy like service tax payable.

(viii) Evaluate condition of goods and see whether adequate provision has been made.

(ix) Check whether subsequently the goods lying with third party were sold or received back after the expiry of stipulated time period.

(x) Ensure that the goods have been included in the closing inventory though lying with third party.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 5

870 MTP **Old P6 Dec 2021 S-II Q4(c)** 6 marks old scheme

Write the audit Procedure for verification of existence of Trade Receivables.

ICAI'S ANSWER

For Verification of Existence of Trade Receivables, the auditor should check the following :

i. Check whether there are controls in place to ensure that invoices cannot be recorded more than once and receivable balances are automatically recorded in the general ledger from the original invoice.

Ask for a period-end accounts receivable aging report and trace the balance as per the report to the general ledger.

ii. Check whether realization is recorded invoice-wise or not. If not, check that money received from debtors is adjusted chronologically invoice-wise and on FIFO basis i.e. previous bill is adjusted first.

iii. If any large balance is due for a long time, auditor should ask for reasons and justification for the same.

iv. A list of trade receivables selected for confirmation should be given to the entity for

preparing request letters for confirmation which should be properly addressed.

v. The auditor should maintain strict control to ensure the correctness and proper despatch of request letters. It should be ensured that confirmations as well as any undelivered letters are returned to the auditor and not to the client.

vi. Any discrepancies revealed by the confirmations received or by the additional tests carried out by the auditor may have a bearing on other accounts not included in the original sample. The Com

vii. Where no reply is received, the auditor should perform alternate procedures regarding the balances. This could include:

viii. Agreeing the balance to cash received subsequently;

ix. Preparing a detailed analysis of the balance, ensuring it consists of identifiable transactions and confirming that these revenue transactions actually occurred. (examination in depth for those balances)

x. If there are any related party receivables, review them for collectability as well as whether they were properly authorized and the value of such transactions were reasonable and at arm's length.

xi. Check that receivables for other than sales or services are not included in the list.

xii. Review a trend line of sales and accounts receivable, or a comparison of the two over time, to

check if there are any unusual trends i.e. perform Analytical procedures. Make inquiries about reasons for changes in trends with the management and document the same in audit work papers

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 5-6

871 MTP **Old P6 Dec 2021 S-II** Q5(a) 4 marks old scheme

Management of Z Ltd. wants to include all the cost incurred by the Company in valuing the cost of its inventories. The Accountant is, however, of the view that certain costs should be excluded from the cost of inventories and should be recognised as expenses for the period in which they are incurred. What are such costs that should be excluded while determining the cost of inventories?

ICAI'S ANSWER

Examples of costs to be excluded in determining cost of Inventory:

In determining the cost of inventories, it is appropriate to exclude certain costs and recognise them as expenses in the period in which they are incurred. Examples of such costs are:

(i) abnormal amounts of wasted materials, labour, or other production costs;

(ii) storage costs, unless those costs are necessary in the production process prior to a further production stage;

(iii) administrative overheads that do not contribute to bringing the inventories to their present location and condition; and

(iv) selling and distribution costs.

In the given situation, contention of Z Ltd. is not correct to include all the cost of its inventories while determining the cost of inventory. However, contention of accountant is correct that certain cost should be excluded from the cost of inventories and to be recognised as expenses in period in which they are incurred.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 6

872 MTP **Old P6 May 2020 S-I** Q6(d) 6 marks old scheme

Write the audit procedures to be performed as an auditor for valuation (assertion) of following:

(i) Loans and Advances and other current assets.

(ii) Finished goods and goods for resale.

ICAI'S ANSWER

(i) Audit procedure for valuation of Loans and Advances and other current assets

- Assess the allowance for doubtful accounts. Review the process followed by the Company to derive an allowance for doubtful accounts. This will include a consistency comparison with the method used in the last year, and a determination of whether the method is

appropriate for the underlying business environment.

- Obtain the ageing report of loans and advances, split between not currently due, 30 days old, 30-60 days old, 60-180 days old, 180-365 days old and more than 365 days old. Also, obtain the list of loans and advances under litigation and compare with previous year.
- Scrutinize the analysis and identify those loans and advances that appear doubtful; Discuss with management their reasons, if any of these loans/ advances are not included in the provision for bad recoverable; Perform further testing where any disputes exist; Reach a final conclusion regarding the adequacy of the bad and doubtful loans/ advances provision.
- Assess bad loans/ advances write-offs. Prepare schedule of movements on Bad loans/ advances – Provision Accounts and loans/ advances written off.
- Check that write-offs or other reductions in the recoverable balances have been approved by an appropriate and authorised member of senior management, for example the financial controller or finance director.
- Check that the restatement of foreign currency loans and advances/ other current assets has been done properly.

(ii) Audit procedure for valuation of finished goods and goods for resale

- Enquire into what costs are included, how these have been established and ensure that the overheads included have been determined based on normal costs and appear reasonable in relation to the information disclosed in the draft financial statements.
- Ensure that inventories are valued at net realizable value if they are likely to fetch a value lower than their cost. For any such items, also verify if the relevant semi/ partly processed inventories (work in progress) and raw materials have also been written down.
- Follow up for items that are obsolete, damaged, slow moving and ascertain the possible realizable value of such items. For the purpose, request the client to provide inventory ageing split between less than 30 days, 30-60 days old, 60-90 days old, 90-180 days old, 180-385 days old and more than 365 days old (refer screenshot below).
- Follow up any inventories which at time of observance of physical counting were noted as being damaged or obsolete.
- Compare recorded costs with replacement costs. Examine vendor price lists to determine if recorded cost is less than current prices.
- Calculate inventory turnover ratio. Obsolete inventory may be revealed if ratio is significantly

lower.

- In manufacturing environments, test overhead allocation rates and ensure that only direct labor, direct material and overhead have been included.
- Verify the correct application of lower-of-cost-or-net realizable value principles.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 7 · answer p. 10-11

5.7 Audit of contingent liabilities

4 questions · asked in 7 ICAI documents

873 RTP Old P6 Nov 2023 General MCQ 5 MCQ old scheme

ABC Limited is engaged in manufacturing of electric two-wheelers. During the year, a customer has gone to court due to incident of fire in battery-operated vehicle. The damages claimed are to tune of ₹5 lakhs. The company insists that this incident was due to improper charging of battery and has nothing to do with manufacturing design of vehicle. The company's lawyers advise that it is probable that company is not likely to be held liable. It is likely to be reflected in financial statements of company under_____?

A Provisions

B Reserves

C Contingent liabilities

D Other current Liabilities

ICAI'S ANSWER

(C) Contingent liabilities

ICAI · Old P6 · RTP Nov 2023 · question p. 10 · answer p. 15

874 RTP **Old P6 Jul 2021** General MCQ 1 MCQ old scheme

Also asked in Old P6 MTP Nov 2022 S-I General MCQ 1 · Old P6 MTP May 2022 S-II General MCQ 1 · Old P6 MTP Nov 2020 S-I General MCQ 4

.....is a possible obligation that arises from the past events and whose existence will be confirmed only by the occurrence/ non occurrence of one or more uncertain future events not wholly within the control of the entity:-

A Provisions

B Reserves

C Contingent Liabilities

D Liability

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Jul 2021 · question p. 119 · answer p. 125

875 MTP **Old P6 May 2022 S-II** Q4(c) 4 marks old scheme

Proceedings have been initiated against the company ABC Ltd for holding one of its property as benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder. State the disclosure requirements to be complied with

by ABC Ltd as per Schedule III to the Companies Act, 2013.

ICAI'S ANSWER

Details of Benami Property held

Where any proceedings have been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and the rules made thereunder, the company shall disclose the following:-

(a) Details of such property, including year of acquisition,

(b) Amount thereof,

(c) Details of Beneficiaries,

(d) If property is in the books, then reference to the item in the Balance Sheet,

(e) If property is not in the books, then the fact shall be stated with reasons,

(f) Where there are proceedings against the company under this law as an abetter of the transaction or as the transferor then the details shall be provided,

(g) Nature of proceedings, status of same and company's view on same.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 7 · answer p. 6

876 MTP Old P6 Jul 2021 S-I Q6(e) 3 marks old scheme

Also asked in Old P6 MTP Jul 2021 S-II Q5(a)

From the auditing point of view, the auditor should verify that a proper disclosure about contingent liabilities is made in financial statements as required by AS 29. What type of disclosures should be made for each class of contingent liability as at the balance sheet date?

ICAI'S ANSWER

Disclosure for each class of Contingent Liability: From the auditing point of view, the auditor should verify that a proper disclosure about contingent liabilities is made in financial statement as required by AS 29. As per, AS 29 an enterprise should disclose for each class of contingent liability at the balance sheet date.

(i) A brief description of the nature of the contingent liability and where practicable.

(ii) An estimate of the amount as per measurement principle as prescribed for provision in AS 29.

(iii) Indication of the uncertainty relating to outflow.

(iv) The possibility of any reimbursement.

Where any of the information as required above is not disclosed because it is not practicable to do so, that fact should be stated.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 8 · answer p. 10

CHAPTER 6

Audit Documentation

6.1 SA 230: audit documentation

78 questions · asked in 46 ICAI documents · 8 exam papers

877 EXAM **May 2026** Q3(c) 4 marks

During the audit of a manufacturing company, the engagement team encountered several complex areas requiring careful evaluation. The audit senior reminded the team that matters involving higher judgement must be documented more thoroughly.

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional judgement exercised in performing the work and evaluating the results. Explain, stating clearly the examples of significant matters (referring SA 230).

ICAI'S ANSWER

Examples of significant matters include: Matters that give rise to significant risks.

(i) Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.

(ii) Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.

(iii) Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter Paragraph in the auditor's report.

ICAI · P5 · May 2026 exam · question p. 20 · answer p. 22-23

878 EXAM Jan 2026 Case Scenario - III · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO - III

MN & Co., a firm of Chartered Accountants, was engaged to conduct the statutory audit of OP Ltd., a manufacturer of ready-made garments, for the financial year 2024-25. The audit was conducted with different team members assigned to specific areas of responsibilities:

(1) Ms. Nishi was responsible for audit documentation and the assembly of the audit file.

(2) Mr. Paras was handling the auditor's responsibilities related to the assessment of going concern and he noticed that OP Ltd.'s use of the going concern basis of accounting is appropriate but a material uncertainty exists.

(3) Mr. Sanjay was focusing on the auditor's responsibilities concerning deficiencies in internal control.

Each team member was tasked with ensuring compliance with applicable auditing standards in their respective areas to facilitate a thorough and effective audit process.

Based on above facts, answer the following questions: (10 to 12)

MCQ 10 2 marks

Which of the following statements are correct regarding audit documentation and the assembly of the final audit file carried out by Ms. Nishi?

(i) The auditor shall prepare audit documentation after auditor's report but within 90 days after the date of the auditor's report.

(ii) Changes of any type can be made to the audit documentation during the final assembly process.

(iii) After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

(iv) The retention period for audit documentation ordinarily is no shorter than seven years from the date of the auditor's report.

A (i), (ii)

B (ii), (iii)

C (iii), (iv)

D (iv), (i)

MCQ 11 2 marks

During the audit of OP Ltd. Mr. Paras concludes that the financial statements do not provide adequate disclosure of a material uncertainty related to going

concern. What action should Mr. Paras take in this situation?

A The auditor shall express an unmodified opinion.

B The auditor shall express a qualified opinion or adverse opinion, as appropriate, in accordance with SA 705.

C The auditor shall express a qualified opinion or a disclaimer of opinion in the auditor's report that may be appropriate, in accordance with SA 705.

D Auditor shall disclose the matter in EOM paragraph of the auditor's report.

MCQ 12 2 marks

Mr. Sanjay considers the following as examples of indicators of significant deficiencies in internal control. Which of the following items would actually indicate a significant deficiency?

I. Misstatements detected by the auditor's procedures that were not prevented, or detected and corrected, by the entity's internal control.

II. Disclosure of a material misstatement due to error or fraud as prior period items in the current year's Statement of Profit and Loss.

III. Evidence of management's inability to oversee the preparation of the financial statements.

IV. Presence of a risk assessment process within the entity where such a process would ordinarily be expected to have been established.

V. Evidence of an effective response to identified significant risks.

A I, II, III, IV, V

B I, II, III, IV

C I, II, II

D I, II

ICAI'S ANSWERS

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(B)**

MCQ 12

Answer key: **(C)**

PassBook's note: ICAI prints option (C) as "I, II, II" and keys (C) in its Answer Key.

ICAI · P5 · Jan 2026 exam · question p. 7 · answer p. 11

879 EXAM **Jan 2026** Case scenario · Q3(b) 1/2 to Q3(b) 2/2

5 marks

CASE SCENARIO

Mr. Uttam, an articled clerk at RQP & Associates, is auditing AB Pharma Ltd. and has collected various papers and documents during the course of the audit. However, he is unsure about which of these papers and documents should be maintained as part of audit documentation and which should not be included. Later, AB Pharma Ltd. has also requested

certain audit documentation from RQP & Associates. Advise him –

Q3(b) 1/2 3 marks

Which items need not to be included in the audit documentation?

Q3(b) 2/2 2 marks

Whether RQP & Associates is obliged to provide their audit documentation to the client?

ICAI'S ANSWERS

Q3(b) 1/2

Items which need not be included in audit documentation: As per SA 230, "Audit Documentation", the auditor need not include in audit documentation -

1. superseded drafts of working papers and financial statements
2. Notes that reflect incomplete or preliminary thinking.
3. Previous copies of documents corrected for typographical or other errors
4. Duplicates of documents.

Q3(b) 2/2

Whether RQP & Associates is obliged to provide audit documentation to the client: As per Standard on Quality Control (SQC) 1, unless otherwise specified by law or regulation, audit documentation is the property of the auditor. The auditor is not obliged to provide audit documentation to the

client. However, he may, at his discretion, make portions of, or extracts from, audit documentation available to clients, provided such disclosure does not undermine the validity of the work performed or, in the case of assurance engagements, the independence of the auditor or of his personnel.

Thus, RQP & Associates is not obliged to provide audit documentation to AB Pharma Ltd., since such documentation is the property of the auditor; however, at its discretion, limited extracts may be shared provided such disclosure does not impair audit validity or auditor independence.

ICAI · P5 · Jan 2026 exam · question p. 18 · answer p. 19, 20

880 **EXAM** **Sep 2025** Case scenario · Q4(a)(i) to Q4(a)(ii)

5 marks

CASE SCENARIO

Takur and Co; Chartered Accountants were conducting an audit of an LLP. They have verified the Receivables and concluded that all the Receivables are genuine and recoverable. However, before the final completion of the audit, the auditors came to know of severe financial crisis of one of the Receivables, M/s. Raj Enterprises, whose outstanding account balance was material to the overall Receivables figure as on the date of financial statements. CA Takur had discussions with the appropriate level of management to address the issue, and the management finally agreed to make provision for the same, as suggested by the auditor.

You are required to -

Q4(a)(i) 3 marks

Ensure how the auditor can fulfil the "Documentation" part of this matter.

Q4(a)(ii) 2 marks

Mention any four different examples of "Audit Documentation".

ICAI'S ANSWERS

Q4(a)(i)

The auditor shall document discussions of significant matters with management, those charged with governance, and others, including the nature of the significant matters discussed and when and with whom the discussions took place.

If the auditor identified information that is inconsistent with the auditor's final conclusion regarding a significant matter, the auditor shall document how the auditor addressed the inconsistency.

Considering the above, the auditor shall document the minutes of the discussions with the management, regarding the financial crisis of M/s Raj enterprises, the matters discussed, the persons representing the management and the auditor, the amount recommended for provision by the auditor and the amount of provision finally accepted and provided by the management and any other relevant data in support of the same.

Q4(a)(ii)

Examples of Audit Documentation:

- Audit programmes.
- Analyses.
- Issues memoranda.
- Summaries of significant matters.
- Letters of confirmation and representation.
- Checklists.
- Correspondence (including e-mail) concerning significant matters.

ICAI · P5 · Sep 2025 exam · question p. 20 · answer p. 21

881 EXAM **May 2025** Case scenario · Q1(c)(i) to Q1(c)(ii)

4 marks

CASE SCENARIO

M/s BPA & Associates, Chartered Accountants, was appointed as the auditors of Nissan Ltd., a company with PAN-India presence, for the financial year 2023-24. The audit report was issued on August 20, 2024. Following the issuance of audit report, CA P instructed junior team member Mr. Y to assemble the final audit file and prepare the Completion Memorandum.

Q1(c)(i) 2 marks

Explain the meaning and significance of a Completion Memorandum.

Q1(c)(ii) 2 marks

Team Member Y completed the assembly of the final audit file in March 2025 and handed it over to CA P. Was team member Y correct in his approach?

ICAI'S ANSWERS

Q1(c)(i)

Meaning and Significance of Completion Memorandum: The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes-

- the significant matters identified during the audit and
- how they were addressed.

Such a summary may facilitate effective and efficient review and inspection of the audit documentation, particularly for large and complex audits. Further, the preparation of such a summary may assist auditor's consideration of the significant matters. It may also help the auditor to consider whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor.

Q1(c)(ii)

Assembly of the Final Audit File: As per SQC 1, "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", the auditor

shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report. An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report.

In the given case, the audit report was issued on August 20, 2024 and CA P instructed team member Mr. Y to assemble the final audit file and to prepare completion memorandum. However, Mr. Y completed the assembly of the final audit file in the month of March 2025, i.e. more than 60 days, is non-compliance of SQC 1. Thus, the approach of team member Y is not correct.

ICAI · P5 · May 2025 exam · question p. 9-10 · answer p. 12

882 **EXAM** **Sep 2024** Q3(b) **4 marks**

M/s. PK & Company, Chartered Accountants, are the statutory auditors of JC Limited. CA Tarun, partner of M/s. PK & Company, was entrusted to supervise and verify the inventory items as on 31.03.2024. During the process of verification, a large chunk of draft inventory sheets were accumulated and then a final inventory sheet was prepared. The audit assistant has kept all these drafts and the final inventory sheet in the audit file. Is the approach of the audit assistant correct? Which papers/ documents may not be included in the audit documentation?

ICAI'S ANSWER

In the given case, the audit assistant has kept a large chunk of draft inventory sheets and the final inventory sheet in the audit file which is not correct as the auditor is not required to document draft inventory sheets. Auditor should ensure that only final inventory sheets will form part of the audit documentation. Thus, approach of the audit assistant of filing draft and final inventory sheet is not correct.

As per SA 230, "Audit documentation", audit documentation may be recorded on paper or on electronic or other media.

The auditor need not include in audit documentation:

- superseded drafts of working papers and financial statements,
- notes that reflect incomplete or preliminary thinking,
- previous copies of documents corrected for typographical or other errors, and
- duplicates of documents.

ICAI · P5 · Sep 2024 exam · question p. 16-17 · answer p. 18

883 EXAM **May 2024** Q1(d) 3 marks

Same question, different ICAI answer: #915 MTP May 2026 S-II

CA B, an auditor, after the completion of busy audit season, was occupied in assembling of final audit files

of one of his client. First of all, he started preparing various documents of that client and then kept those documents in various folders. He was preparing documents as well as audit file in paper form because he believed that it is mandatory. He could complete documentation as well as assembling of final audit file of that client after three months from the date of audit report. Generally, he retains audit file of the clients for 4 years from the date of audit report. Check the validity of the action of CA B.

ICAI'S ANSWER

Assembly of the Final Audit File:

Audit documentation may be recorded on paper or on electronic or other media. Audit file may be defined as one or more folders or other storage media, in physical or electronic form, containing the records that comprise the audit documentation for a specific engagement. Hence the views of CA B that audit documentation should be maintained mandatorily in paper form is not correct.

The auditor shall prepare audit documentation on timely basis. Preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed.

Completing the audit Documentation by CA B not on timely basis is not proper.

An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. In the given situation, CA. B, after completion of audit season, is completing the audit file as well as assembling of final audit files of his client after three months of the date of audit report which is not valid as per SQC 1.

SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and Related Services", requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report. He retains audit file of the client for 4 years from the date of audit report is also non-compliance of SQC 1.

ICAI · P5 · May 2024 exam · question p. 2 · answer p. 4-5

884 EXAM Old P6 Nov 2022 Q5(c) 3 marks old scheme

CAM is the engagement partner of S Ltd. He has instructed his audit team to maintain proper audit documentation. The audit team members are not sure about the purpose for which the documentation should be made. Explain the various purposes of audit documentation with reference to SA 230.

ICAI'S ANSWER

Purpose of Audit Documentation: As per SA 230, "Audit Documentation", the following are the purpose of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

ICAI · Old P6 · Nov 2022 exam · question p. 9-10 · answer p. 10-11

885 EXAM **Old P6 Nov 2019** Q5(c) 3 marks old scheme

Briefly explain the policies and procedures of assembling the final audit file on a timely basis after the date of auditor's report under SQC-1.

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative

process of assembling the final audit file on a timely basis after the date of the auditor's report.

SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files. An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report.

The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · Old P6 · Nov 2019 exam · question p. 8 · answer p. 10

886 RTP Sep 2026 Q15

ABC & Co., Chartered Accountants, have completed the audit of PQR Ltd., a large and complex entity, for the financial year ended 31st March, 2026. During the audit, several significant matters were identified, including revenue recognition issues and valuation of financial instruments.

Before finalising the audit file, the engagement partner suggests preparing a structured summary highlighting all key issues identified during the audit and how they were resolved. Mr. D, audit assistant queries the purpose and usefulness of such a document in audit documentation.

With reference to the above situation, explain the concept of Completion Memorandum (Audit Documentation Summary) and its significance in audit.

ICAI'S ANSWER

Completion Memorandum or Audit Documentation Summary: The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes-

- the significant matters identified during the audit and
- how they were addressed.

Such a summary may facilitate effective and efficient review and inspection of the audit documentation, particularly for large and complex

audits. Further, the preparation of such a summary may assist auditor's consideration of the significant matters. It may also help the auditor to consider whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor.

In light of the above, a completion memorandum will help systematically document significant audit issues and their resolution, thereby facilitating efficient review of the audit file and providing a clear summary of important audit conclusions reached during the audit.

ICAI · P5 · RTP Sep 2026 · question p. 9 · answer p. 18

887 **RTP** **May 2026** Q15

ABC & Co., Chartered Accountants is conducting the statutory audit of a listed company having multiple locations and a large engagement team. The audit involves extensive planning, supervision, review of work performed by assistants and is also subject to quality control review by the firm as well as possible inspection by regulatory authorities.

During the audit, the engagement partner emphasises the need for proper and comprehensive audit documentation.

With reference to above, explain the purpose served by audit documentation for the auditor and the engagement team.

ICAI'S ANSWER

The following are the purpose of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

Thus, in the given case, audit documentation supports effective audit planning, supervision, accountability, and compliance with quality control and regulatory inspection requirements.

ICAI · P5 · RTP May 2026 · question p. 9 · answer p. 18

888 **RTP** **Jan 2026** Q15

FSY & Co., Chartered Accountants, completed the statutory audit of HIMMAT Ltd. for the year ended 31st March 2025. The audit partner instructed the audit team to finalize and assemble the audit documentation immediately after signing the auditor's report on 15th

September 2025. However, audit team took this instruction lightly and forgot to assemble the audit documentation. After six months, audit team started assembling the file and completed its documentation. When audit partner became aware of this, he called a meeting of staff and discussed policies and procedures for timely completion of audit files, changes to audit documentation and period of retention of engagement documentation.

Explain various points discussed by audit partner with reference to relevant standard on auditing.

ICAI'S ANSWER

As per SA 230, "Audit Documentation", the auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

SQC 1, "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files.

An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the

performance of new audit procedures or the drawing of new conclusions.

Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

Examples of such changes include:

- Deleting or discarding superseded documentation.
- Sorting, collating and cross-referencing working papers.
- Signing off on completion checklists relating to the file assembly process.
- Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.

After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · P5 · RTP Jan 2026 · question p. 7-8 · answer p. 14-15

889 RTP Sep 2025 Q15

CA Shilpi, the engagement partner at MN Associates, is assigned the audit of following two companies:

- Zed Ltd., a small family-run business with straightforward operations, minimal internal controls, and low transaction volume.
- Ted Ltd., a large multinational corporation with complex operations, multiple subsidiaries, high transaction volumes.

During the audit planning stage, CA Shilpi highlights that the form, content, and extent of audit documentation must be customised for each client based on specific factors. Discuss those factors on which form, content, and extent of audit documentation depends.

ICAI'S ANSWER

The form, content and extent of audit documentation depend on factors such as:

(i) The size and complexity of the entity.

(ii) The nature of the audit procedures to be performed.

(iii) The identified risks of material misstatement.

(iv) The significance of the audit evidence obtained.

(v) The nature and extent of exceptions identified.

(vi) The need to document a conclusion or the basis for a conclusion not readily determinable from the

documentation of the work performed or audit evidence obtained.

(vii) The audit methodology and tools used.

ICAI · P5 · RTP Sep 2025 · question p. 7 · answer p. 14

890 **RTP** **May 2025** **Q6** **MCQ**

CA Rocky is a recently qualified Chartered Accountant. He is appointed as an auditor of Sky Ltd. for the current Financial Year 2023-24. CA Rocky is of the view that he shall record all the matters related to audit i.e., audit procedures to be performed, audit evidence obtained and conclusions reached. Thus, he maintained a file and recorded each and every finding during the audit. His audit file, also includes audit programmes, notes reflecting preliminary thinking, letters of confirmation, e-mails concerning significant matters, etc. State which of the following need not be included in the audit documentation?

- **A** Audit programmes.
- **B** E-mails concerning significant matters.
- **C** Letters of confirmation.
- **D** Notes reflecting preliminary thinking.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · RTP May 2025 · question p. 3-4 · answer p. 8

891 **RTP** **May 2025** **Q14**

CA Piku has prepared audit documentation of an entity describing nature, timing and extent of audit procedures performed during the course of audit. In documenting nature, time and extent of audit procedures performed, which matters shall be recorded? He is also of the view that such documentation alone as described above meets requirements of Standards on Auditing. Comment upon validity of his views.

ICAI'S ANSWER

In documenting the nature, timing and extent of audit procedures performed, the auditor shall record:

(a) The identifying characteristics of the specific items or matters tested.

(b) Who performed the audit work and the date such work was completed; and

(c) Who reviewed the audit work performed and the date and extent of such review.

The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand:

(a) The nature, timing and extent of the audit procedures performed.

(b) The results of the audit procedures performed, and the audit evidence obtained; and

(c) Significant matters arising during the audit and the conclusions reached thereon and significant professional judgements made in reaching those conclusions.

Thus, all above matters shall be recorded to meet requirements of SA 230. Documenting nature, time and extent of audit procedures performed alone does not meet the requirements of SA 230. Therefore, CA Piku's views are not valid.

ICAI · P5 · RTP May 2025 · question p. 6 · answer p. 12

892 RTP **Jan 2025** Q6 MCQ

CA Sumit, during the process of assembling the audit file after the completion of the audit, briefed his team on the changes to be made in the audit documentation. Which of the following changes can be made during the audit file assembly stage?

A. Sorting, collating and cross referencing of working papers.

B. Deleting or discarding superseded documents.

C. Recalculation of depreciation.

D. Recalculation of Interest on loans.

E. Signing off of completion checklist relating to file assembly.

A. A, B and E

B. C and D

C. A, C and D

D A, C, D and E

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · RTP Jan 2025 · question p. 4 · answer p. 9

893 **RTP** **Jan 2025** Q14

CA Ripun completed the audit of a listed company, and the audit report was issued on July 17th, 2024. However, he had not properly organized the audit working papers, including records of discussions with management, audit procedures performed, and conclusions reached. More than six months after issuing the report, he received a letter from the regulator in connection with audit of the company requesting him to share copy of audit file. In a hurry, CA Ripun quickly assembled the audit file, adding some papers he thought were necessary, but he used the current date on these newly added documents. He then sent the audit file to the regulator. Discuss the issues involved related to "audit documentation" and assembling of the final audit file in this case.

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

- SQC 1, "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related

services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files.

- An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.
- Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

Further, preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed.

In the given case, even after passage of more than six months, CA Ripun has not assembled an audit file. Besides, he has put in some papers with the current date which is not permissible at all. It shows that part of the audit documentation has been

prepared afterwards putting a question mark on the quality of audit.

ICAI · P5 · RTP Jan 2025 · question p. 6-7 · answer p. 14-15

894 RTP **Sep 2024** Q14

Same question, different ICAI answer: #908 Old P6 RTP Nov 2020

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional judgment exercised in performing the work and evaluating the results. Explain stating clearly the examples of significant matters.

ICAI'S ANSWER

As per SA 230, "Audit documentation" judging the significance of a matter requires an objective analysis of the facts and circumstances.

Examples of significant matters include:

- Matters that give rise to significant risks.
- Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.

- Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter Paragraph in the auditor's report.

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional judgement exercised in performing the work and evaluating the results.

Documentation of the professional judgements made, where significant, explains the auditor's conclusions and reinforces the quality of the judgement.

Such matters are of particular interest to those responsible for reviewing audit documentation, including those carrying out subsequent audits, when reviewing matters of continuing significance (for example, when performing a retrospective review of accounting estimates).

ICAI · P5 · RTP Sep 2024 · question p. 6 · answer p. 12

895 **RTP** **May 2024** **Q14**

Rajni, a CA student, has understood that SA 230 requires auditor to prepare audit documentation on a timely basis. While reading about SQC 1, she notices that time limit for completion of final audit file is ordinarily not more than 60 days after the date of auditor's report. She finds it to be puzzling. Unable to comprehend, she seeks your guidance. Guide her.

ICAI'S ANSWER

SA 230 requires that the auditor shall prepare audit documentation on a timely basis. Preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized.

SQC 1, however, requires auditor to complete assembly of final audit file in ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is only an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.

Therefore, auditor shall prepare documentation on a timely basis. However, for completion of assembly of final audit file which is an administrative process, time period of 60 days after the date of auditor's report has been required in SQC 1.

ICAI · P5 · RTP May 2024 · question p. 11-12 · answer p. 24-25

896 **RTP** **May 2024** Q15

Discussing meaning of completion memorandum, elaborate upon its importance.

ICAI'S ANSWER

Completion memorandum is a summary that describes the significant matters identified during the audit and how they were addressed.

Such a summary may facilitate effective and efficient review and inspection of the audit documentation, particularly for large and complex audits. Further, the preparation of such a summary may assist auditor's consideration of the significant matters. It may also help the auditor to consider whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor.

ICAI · P5 · RTP May 2024 · question p. 12 · answer p. 25

897 **RTP** **Old P6 Nov 2023** Q6(b) old scheme

Audit Documentation refers to the record of three items. Explain stating clearly the objective and nature of audit documentation.

ICAI'S ANSWER

Audit Documentation refers to the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached.

The objective of the auditor is to prepare documentation that provides:

(i) A sufficient and appropriate record of the basis for the auditor's report; and

(ii) Evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

Nature of Audit Documentation

Audit documentation provides:

(a) evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and

(b) evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 19-20

898 RTP **Old P6 Nov 2023** Q7(a) old scheme

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis. Explain in detail.

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

- SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and

procedures for the timely completion of the assembly of audit files.

- An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.
- Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.
  Examples of such changes include:
  - Deleting or discarding superseded documentation.
  - Sorting, collating and cross-referencing working papers.
  - Signing off on completion checklists relating to the file assembly process.
  - Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.
- After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

- SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 20

899 RTP **Old P6 May 2023**

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

CA Rajan Pillai is heading the engagement team conducting audit of a company. While audit is in progress, consider following issues regarding audit documentation: -

(A) Audit programme was prepared assigning responsibilities for different types of works to be performed by team members. The engagement team consists of 4 members Mohit (CA final student), Rohit (CA final student), Shobhit (Paid CA) and CA Rajan Pillai (partner of audit firm).

(B) The team has determined materiality for financial statements as a whole.

(C) The team has assessed risks of material misstatements to be low.

(D) CA Shobhit is responsible for attending inventory count process and putting down its documentation part.

(E) During the course of audit, many related party transactions have come to notice.

On the basis of above, answer the following questions: -

MCQ 2.1

Work relating to verification of revenue was assigned to Mohit in audit programme. However, it is being performed by Rohit actually. Verification of trade receivables was planned to be carried out by Rohit in audit programme. However, it being performed by CA Rajan Pillai due to last minute practical issues. Which of the following statements is most appropriate in this regard relating to audit documentation?

A. Audit programme contains names of persons and work to be performed. It is immaterial whether work assigned to one person is performed by another person.

B. Audit programme was already prepared. Only persons assigned specific responsibilities can perform those duties.

C. It is necessary that audit programme be suitably updated or notes are given in working papers to this effect so that planned duties are in accordance with actual work performance.

D. Changes in audit programme or notes clarifying the matter are required only when a person not forming part of engagement team is deputed to perform a duty. Otherwise, this issue of inter-shuffling of team members is frivolous.

MCQ 2.2

As regards materiality, which of the following statements is most appropriate in context of audit documentation?

- **A** Materiality has already been determined. There is no need to put it into working papers.
- **B** Materiality depends upon professional judgment of auditor. Whatever amount has been determined can be documented in working papers.
- **C** Materiality arrived on basis of professional judgment along with factors considered in the determination has to be documented.
- **D** Materiality has been arrived upon professional judgment. It also depends upon professional judgment of auditor whether he wants to document it or not.

MCQ 2.3

As regards team's assessment that risk of material misstatements is low, which of the following statements is odd one relating to documentation of risk?

- **A** Discussion amongst engagement team members and detail of significant decisions reached has to be documented.
- **B** Details of risk assessment procedures have to be documented.
- **C** Details about how understanding of each component of internal control was obtained has to be documented.

D Precise calculation of risk of material misstatements has to be documented.

MCQ 2.4

CA Shobhit is responsible for attending physical inventory count of the company. Which of the following is usually not true in this regard relating to audit documentation?

A Dates on which physical inventory count process was attended by him should be documented. It may also include photographs of that date showing his attendance of inventory counting process at a particular location.

B Detail of test counting undertaken should form part of audit documentation.

C Detail of obsolete goods found should form part of audit documentation.

D Reports showing that stocks conform to quality control standards in accordance with law are essential part of audit documentation.

MCQ 2.5

As regards related party transactions, which of the following should not be part of audit documentation?

A Management representation letter in this regard

B Related party transaction policy of the company

C Documentation to show that such transactions are at arm's length basis

D Documentation to show that such transactions are at close length basis.

ICAI'S ANSWERS

MCQ 2.1

(C) It is necessary that audit programme be suitably updated or notes are given in working papers to this effect so that planned duties are in accordance with actual work performance.

MCQ 2.2

(C) Materiality arrived on basis of professional judgment along with factors considered in the determination has to be documented.

MCQ 2.3

(D) Precise calculation of risk of material misstatements has to be documented

MCQ 2.4

(D) Reports showing that stocks conform to quality control standards in accordance with law are essential part of audit documentation.

MCQ 2.5

(D) Documentation to show that such transactions are at close length basis.

ICAI · Old P6 · RTP May 2023 · question p. 4-5 · answer p. 11-12, 12

900 **RTP** **Old P6 May 2023** Q6(a) old scheme

M/s Samar Amar & Associates are the statutory auditors of Ganga Ltd. for FY 2020-21. CA Samar is the engagement partner for such assignment. While discussing with the engagement team, CA Samar briefed his team that "the auditor shall assemble the audit documentation in an audit file and complete the

administrative process of assembling the final audit file on a timely basis after the date of the auditor's report. SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation." Explain.

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

- SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files.
- An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.
- Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

Examples of such changes include:

- Deleting or discarding superseded documentation.
- Sorting, collating and cross-referencing working papers.
- Signing off on completion checklists relating to the file assembly process.
- Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.

- After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.
- SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 16-17

901 **RTP** **Old P6 May 2023** Q6(b) old scheme

SA 230, "Audit Documentation" deals with the auditor's responsibility to prepare audit documentation for an audit of financial statements. Such audit documentation serves various purposes. Explain.

ICAI'S ANSWER

The following are the purposes of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 17

902 **RTP** **Old P6 Nov 2022** Q6(a) old scheme

CA R comes to know some very critical information with regards to the business cycle of an entity for which he has issued the audit report, which become known to him as an auditor after the date of the auditor's report but which existed at that date and which, if known at that date, might have caused the financial statements to be amended or the auditor to modify the opinion in the auditor's report. He wants to perform additional audit procedures to satisfy himself. As an auditor what he

shall document, on the matters arising after the date of audit report?

ICAI'S ANSWER

As per SA 230, "Audit Documentation", if, in exceptional circumstances, the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report, the auditor shall document:

(i) The circumstances encountered;

(ii) The new or additional audit procedures performed, audit evidence obtained, and conclusions reached, and their effect on the auditor's report; and

(iii) When and by whom the resulting changes to audit documentation were made and reviewed.

ICAI · Old P6 · RTP Nov 2022 · question p. 10-11 · answer p. 19

903 RTP **Old P6 Nov 2022** Q6(b) old scheme

The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor to understand significant matters arising during the audit. Explain the above statement and also give examples of significant matters.

ICAI'S ANSWER

The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand significant matters arising during the

audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions.

Judging the significance of a matter requires an objective analysis of the facts and circumstances. Examples of significant matters include:

- Matters that give rise to significant risks.
- Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter paragraph in the auditor's report.

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 20

904 RTP **Old P6 May 2022** General MCQ 3 MCQ old scheme

_____requires firms to establish policies and procedures for the retention of_____. The retention period for audit engagements ordinarily is no shorter than _____from the date of the auditor's report, or, if later, the date of the group auditor's report

A SA 220, audit evidence, six years

B SA 200, audit documentation, seven years

C SQC 1, engagement documentation, seven years

D SA 230, documentation, six years

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP May 2022 · question p. 6 · answer p. 12

905 RTP **Old P6 May 2022** Q8 old scheme

TRS & Associates, Chartered Accountants, having completed the audit of Genuine Leathers Ltd has started the assembling of final audit file. TRS & Associates has established policies and procedures for the timely completion of the assembly of audit files. Explain the various aspects related to final audit file discussed in SA 230 giving specific reference to SQC 1, wherever required.

ICAI'S ANSWER

The auditor TRS & Associates, Chartered Accountants shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

(i) SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and

procedures for the timely completion of the assembly of audit files.

(ii) An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.

(iii) Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

Examples of such changes include:

(i) Deleting or discarding superseded documentation.

(ii) Sorting, collating and cross-referencing working papers.

(iii) Signing off on completion checklists relating to the file assembly process.

(iv) Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.

(v) After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

(vi) SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 19-20

906 RTP **Old P6 Jul 2021** Q6(a) old scheme

A new team member of GSR & Co., the auditors of Esteem Limited, was of the view that Audit Documentation would not serve any purpose at any stage of Audit. Explain.

ICAI'S ANSWER

The following are the purpose of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.

6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

From the above, it can be concluded that Audit documentation serves a number of purposes and hence it would be incorrect to say that audit documentation would not serve any purpose at any stage of audit.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 130

907 **RTP** **Old P6 Jul 2021** **Q6(b)** old scheme

While documenting the nature, timing and extent of audit procedures performed in case of audit of PQR Ltd, explain the important matters its auditor should record.

ICAI'S ANSWER

In documenting the nature, timing and extent of audit procedures performed, the auditor of PQR Ltd shall record:

(i) The identifying characteristics of the specific items or matters tested.

(ii) Who performed the audit work and the date such work was completed; and

(iii) Who reviewed the audit work performed and the date and extent of such review.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 131

908 RTP Old P6 Nov 2020 Q6(a) old scheme

Same question, different ICAI answer: #894 RTP Sep 2024

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional judgment exercised in performing the work and evaluating the results. Explain stating clearly the examples of significant matters.

ICAI'S ANSWER

Judging the significance of a matter requires an objective analysis of the facts and circumstances.

Examples of significant matters include:

- Matters that give rise to significant risks.
- Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter Paragraph in the auditor's report.

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of professional

judgement exercised in performing the work and evaluating the results. Documentation of the professional judgements made, where significant, serves to explain the auditor's conclusions and to reinforce the quality of the judgement. Such matters are of particular interest to those responsible for reviewing audit documentation, including those carrying out subsequent audits, when reviewing matters of continuing significance (for example, when performing a retrospective review of accounting estimates).

ICAI · Old P6 · RTP Nov 2020 · question p. 8 · answer p. 18

909 RTP **Old P6 Nov 2019** MCQ 1 MCQ old scheme

Also asked in Old P6 MTP May 2022 S-II General MCQ 2

Judging the significance of a matter requires _____of the facts and circumstances.

A objective analysis

B subjective analysis

C Both subjective and objective analysis

D qualitative analysis

ICAI'S ANSWER

(A)

ICAI · Old P6 · RTP Nov 2019 · question p. 2 · answer p. 9

910 RTP **Old P6 Nov 2019** MCQ 2 MCQ old scheme

An important factor in determining the form, content and extent of audit documentation of significant matters is the extent of _____exercised in performing the work and evaluating the results.

A professional skepticism

B professional integrity

C professional judgment

D Professional sincerity

ICAI'S ANSWER

(C)

ICAI · Old P6 · RTP Nov 2019 · question p. 2 · answer p. 9

911 RTP **Old P6 Nov 2019** Q7(a) old scheme

SQC 1 requires firms to establish policies and procedures for the timely completion of the assembly of audit files. Explain

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and

procedures for the timely completion of the assembly of audit files. An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report.

The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

Examples of such changes include:

- Deleting or discarding superseded documentation.
- Sorting, collating and cross referencing working papers.
- Signing off on completion checklists relating to the file assembly process.
- Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.

After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 14-15

912 RTP Old P6 Nov 2019 Q8(a) old scheme

Discuss the meaning and nature of Audit Documentation.

ICAI'S ANSWER

Audit documentation: SA 230 on "Audit Documentation", audit documentation refers to the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached. (terms such as "working papers" or "work papers" are also sometimes used.)

Nature of Audit Documentation

Audit documentation provides:

(a) evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and

(b) evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 15-16

913 MTP **Sep 2026 S-I** Q6(c) 4 marks

MP Infrastructure Limited for the financial year ended 31st March, 2026. The company had multiple manufacturing units, several ongoing projects and complex financing arrangements. During the course of audit, the audit team performed various audit procedures and obtained audit evidence relating to significant estimates, contractual obligations and project costs.

The engagement partner instructed the audit team to maintain comprehensive working papers recording the audit plan, nature, timing and extent of audit procedures performed and the conclusions reached. Certain exceptions were identified during verification of project expenditure and management estimates, requiring detailed documentation of the basis of conclusions. The audit firm was also using specialised audit software and electronic documentation tools for maintaining audit files.

In the light of the above facts, explain the factors determining the form, content and extent of audit documentation.

ICAI'S ANSWER

Working papers should provide a sufficient and appropriate record of the basis for the auditor's report and should record the audit plan, the nature, timing and extent of audit procedures performed, the audit evidence obtained, and the conclusions reached thereon.

The form, content and extent of working papers depend on factors such as:

- The size and complexity of the entity.
- The nature of the audit procedures to be performed.
- The identified risks of material misstatement.
- The significance of the audit evidence obtained.
- The nature and extent of exceptions identified.
- The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
- The audit methodology and tools used.

In the given case of MP Infrastructure Limited, the auditor is required to maintain appropriate working papers recording the audit plan, procedures performed and conclusions reached. Since the entity is large and complex, significant audit evidence has been obtained, exceptions have been identified and specialised audit tools are being used, the form, content and extent of audit documentation should be sufficiently detailed to support the auditor's conclusions and the audit opinion.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 18 · answer p. 17-18

914 MTP **May 2026 S-I** Q6(c) 4 marks

Bee Ltd. is a listed manufacturing company. The statutory auditor, CA P, conducted the audit of the financial statements for the year ended 31st March 2025. During the course of audit, CA P and his audit team performed various audit procedures relating to revenue recognition, inventory valuation and verification of fixed assets. However, while reviewing the audit files, it was observed that the working papers prepared by the audit team were incomplete and lacked clear documentation explaining the basis for certain conclusions reached by the auditor.

A junior member of the audit team questioned CA P regarding the purpose and objective of maintaining proper audit documentation and how such documentation supports the auditor's report and compliance with auditing standards.

In context of the above, explain the objective of the auditor in preparing audit documentation and describe the nature of audit documentation as per the relevant Standards on Auditing.

ICAI'S ANSWER

Objective of the Auditor:

The objective of the auditor is to prepare documentation that provides:

(a) A sufficient and appropriate record of the basis for the auditor's report; and

(b) Evidence that the audit was planned and performed in accordance with SAs and applicable

legal and regulatory requirements.

Nature of Audit Documentation

Audit documentation provides:

(a) Evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and

(b) Evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

Therefore, in the given case, CA P is required to ensure that the audit working papers properly document the procedures performed, evidence obtained and conclusions reached. Proper audit documentation enables the auditor to support the auditor's report and demonstrate that the audit was conducted in accordance with the Standards on Auditing and applicable legal and regulatory requirements.

ICAI · P5 · MTP May 2026 · Series I · question p. 17-18 · answer p. 18

915 MTP **May 2026 S-II** Q6(c) 4 marks

Same question, different ICAI answer: #883 Exam May 2024

CA B, an auditor, after the completion of busy audit season, was occupied in assembling of final audit files of one of his client. First of all, he started preparing various documents of that client and then kept those documents in various folders. He was preparing documents as well as audit file in paper form because

he believed that it is mandatory. He could complete documentation as well as assembling of final audit file of that client after three months from the date of audit report. Generally, he retains audit file of the clients for 4 years from the date of audit report. Check the validity of the action of CA B.

ICAI'S ANSWER

Assembly of the Final Audit File: Audit documentation may be recorded on paper or on electronic or other media. Audit file may be defined as one or more folders or other storage media, in physical or electronic form, containing the records that comprise the audit documentation for a specific engagement. Hence the views of CA B that audit documentation should be maintained mandatorily in paper form is not correct.

The auditor shall prepare audit documentation on timely basis. Preparing sufficient and appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed. Completing the audit Documentation by CA B not on timely basis is not proper.

An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not

more than 60 days after the date of the auditor's report. In the given situation, CA. B, after completion of audit season, is completing the audit file as well as assembling of final audit files of his client after three months of the date of audit report which is not valid as per SQC 1.

SQC 1 "Quality Control for Firms that perform Audits and Reviews of Historical Financial Information, and other Assurance and Related Services Engagements", requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report. He retains audit file of the client for 4 years from the date of audit report is also non-compliance of SQC 1.

ICAI · P5 · MTP May 2026 · Series II · question p. 16 · answer p. 15

916 MTP **Jan 2026 S-I** Q6(c) 4 marks

Explain the factors that determine the form, content, and extent of audit documentation as per the Standards on Auditing.

ICAI'S ANSWER

As per SA 230 – 'Audit Documentation', the form, content and extent of audit documentation depend on factors such as:

1. The size and complexity of the entity.

2. The nature of the audit procedures to be performed.
3. The identified risks of material misstatement.
4. The significance of the audit evidence obtained.
5. The nature and extent of exceptions identified.
6. The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
7. The audit methodology and tools used.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 12 · answer p. 13

917 MTP **Sep 2025 S-II**

Case Scenario 1 [MCQ 1-4] · MCQ 1 to MCQ 4 **8 marks**

CASE SCENARIO 1 [MCQ 1-4]

Patrika & Co., Chartered Accountants, has been appointed as the statutory auditor of AVR Retails Pvt. Ltd., a company engaged in business of electronics, for the financial year 2024–25. The firm is auditing financial statements of AVR Retails Pvt. Ltd. for the first time During the audit, the auditor made the following observations:

- The company operates through multiple retail outlets with heavy volumes of cash and card sales.
- Store managers are allowed to approve cash discounts and product returns independently.

- Reconciliations between POS records and bank deposits are not done regularly.
- The IT system used by AVR does not log any changes to inventory records, making it difficult to track adjustments.
- The company has an internal auditor, but this auditor does not report directly to senior management.
- During internal audit, it was found that the automated system failed to charge 12% interest on overdue customer payments due to a technical glitch.
- During audit documentation, an audit assistant saved working files in unsecured folders and did not mention the reviewer's name in the file.
- After signing the audit report, a senior audit team member altered the inventory sampling sheet to reflect a different method, without recording the reason or the date of change.

Based on the above facts, answer the following:

MCQ 1 2 marks

Which of the following is a clear non-compliance committed by the audit assistant in accordance with relevant Standard on Auditing?

A Completing documentation within 60 days of the audit report.

B Using standard templates for work papers.

C Omitting reviewer's name and saving files in unsecured folders.

D Preparing working papers electronically.

MCQ 2 2 marks

Which of the following is the most appropriate response for the change in the inventory testing sheet?

A Permit the change as it will improve the audit quality.

B Permit the change as the outcome is not changed.

C Such changes should not be permitted unless reason and date are recorded.

D Delete both versions and prepare a fresh sheet.

MCQ 3 2 marks

The internal auditor discovered that the software failed to charge 12% interest on overdue payments due to a technical glitch. Does reporting this situation fall under the scope of internal audit?

A No, as it involves customer transactions.

B Yes, as it relates to internal control failures.

C No, this is part of financial statement audit.

D Only if management asks them to review it.

MCQ 4 2 marks

Whether statutory auditor can rely extensively on the internal auditor's work in the given situation where internal auditor does not report to higher management and risk of material misstatement seems high.

A No, the independence and objectivity are compromised.

B Yes, internal auditor always assists external audit.

C Yes, if external auditor documents reasons for reliance.

D Yes, if previous experience with internal auditor is good.

ICAI'S ANSWERS

MCQ 1

(C)

MCQ 2

(C)

MCQ 3

(B)

MCQ 4

(A)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 1-2 · answer p. 1

918 MTP **May 2025 S-I** Q3(c) 4 marks

During an audit of MNT Ltd., CA Shubh, the auditor discovers an issue with stock valuation. To ensure the accuracy and reliability of his observations, CA Shubh needs to document the audit procedures, evidence collected, and his observations thoroughly.

In this situation, how does audit documentation help CA Shubh support his findings in audit in accordance with Standards on Auditing?

ICAI'S ANSWER

During the audit of MNT Ltd., CA Shubh identifies an issue with stock valuation. To ensure the accuracy and reliability of his observations, it is crucial for him to document the audit procedures performed, the evidence obtained, and his findings in a structured manner.

Audit documentation plays a vital role in supporting CA Shubh's findings in accordance with the Standards on Auditing. Its key purposes include:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

ICAI · P5 · MTP May 2025 · Series I · question p. 9-10 · answer p. 7

919 MTP **Jan 2025 S-I** Q5(a) 5 marks

M/s KSJS & Associates are the statutory auditors of Moon Ltd. for the financial year 2023-24. During an

audit briefing, CA Sanket, the engagement partner, explained that the auditor must assemble the audit documentation in an audit file and complete the administrative process of finalising the audit file on a timely basis after the date of the auditor's report. He also highlighted the requirements of SQC 1 regarding establishment of policies and procedures for the retention of engagement documentation in a firm. Explain the requirements related to the timely assembly and retention of audit files in accordance with relevant Engagement and Quality Control Standards.

ICAI'S ANSWER

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

- SQC 1 "Quality Control for Firms that perform Audits and Review of Historical Financial Information, and other Assurance and related services", requires firms to establish policies and procedures for the timely completion of the assembly of audit files.
- An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new

audit procedures or the drawing of new conclusions.

- Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.**Examples of such changes include:**
  - Deleting or discarding superseded documentation.
  - Sorting, collating and cross-referencing working papers.
  - Signing off on completion checklists relating to the file assembly process.
  - Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.
- After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.
- SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 9 · answer p. 8

920 MTP Jan 2025 S-II Q1(c) 4 marks

CA Tanuj, the auditor of Kiran Ltd., completed the audit work and issued the auditor's report on 18th August 2024 for the financial year ended on 31st March 2024. During the final assembly of the audit file, he discarded some supporting schedules as same were outdated and corrected cross-referencing errors of working papers. No new audit conclusions were drawn, and the final audit file was assembled on 10th October 2024.

On the basis of Standards on Auditing regarding audit documentation, comment on the action taken by CA Tanuj.

ICAI'S ANSWER

As per SA 230, "Audit Documentation", the auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

- An appropriate time limit within which to complete the assembly of the final audit file is ordinarily not more than 60 days after the date of the auditor's report. The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions.
- Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature.

- After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period.

In the given situation, the auditor CA Tanuj has issued the auditor's report on 18th August 2024 for the financial year ended on 31st March 2024. However, he discarded some supporting schedules and corrected cross-referencing errors of working papers during the final assembly of the audit file by 10th October 2024 which is under prescribed time-limit of 60 days from the issuance of auditors report. Further, no new audit conclusions were drawn. Thus, CA Tanuj can make said changes to the audit documentation during the final assembly process.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9 · answer p. 2-3

921 MTP **Sep 2024 S-II** Q3(c) 4 marks

CA N, statutory auditor of Rock Limited, is in the process of final assembly of audit file. Under what circumstances, a statutory auditor can make changes to audit documentation during final assembly process of audit file? Give a few examples of such changes.

ICAI'S ANSWER

Changes may be made to the audit documentation during the final assembly process, if they are administrative in nature.

Examples of such changes include: -

- Deleting or discarding superseded documentation.
- Sorting, collating and cross-referencing working papers.
- Signing off on completion checklists relating to the file assembly process.
- Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 5-6

922 MTP **Sep 2024 S-II** Q6(c) 4 marks

CA N, statutory auditor of QST Limited, appointed for a term of 5 years has completed audit for the first financial year ending on 31st March 2024. In compliance with requirements of professional standards, an audit file has been assembled. After about a period of six months from date of issue of audit report, he gets a call from CFO of the company to share complete audit file so that financial reporting of company can be improved upon in coming periods. Is it mandatory for statutory auditors to share audit files with client? What are the requirements for making audit documentation available to clients?

ICAI'S ANSWER

Standard on Quality Control 1 (SQC 1),"Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other

Assurance and Related Services Engagements", provides that, unless otherwise specified by law or regulation, audit documentation is the property of the auditor. Therefore, it is not mandatory for CA N to share audit file with client.

He may at his discretion, make portions of, or extracts from, audit documentation available to clients, provided such disclosure does not undermine the validity of the work performed, or, in the case of assurance engagements, the independence of the auditor or of his personnel.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 11 · answer p. 11

923 MTP **May 2024 S-I** Q3(d) 3 marks

What is meant by audit documentation? What are objectives of an independent auditor in accordance with SA 230?

ICAI'S ANSWER

Audit documentation refers to the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached.

The objective of the auditor in accordance with SA 230 is to prepare documentation that provides: -

(i) A sufficient and appropriate record of the basis for the auditor's report and

(ii) Evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

924 MTP **May 2024 S-II** Q3(d) 3 marks

One of the factors affecting the form, content and extent of audit documentation relates to size and complexity of the entity. State six other factors in this respect.

ICAI'S ANSWER

One of the factors affecting the form, content and extent of audit documentation relates to size and complexity of audit. Other factors are:

1. The nature of the audit procedures to be performed.
2. The identified risks of material misstatement.
3. The significance of the audit evidence obtained.
4. The nature and extent of exceptions identified.
5. The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
6. The audit methodology and tools used.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 6-7

925 MTP **Old P6 Nov 2023 S-I** General MCQ 2 1 mark MCQ old scheme

Which of the following is not a likely purpose of audit documentation?

A It helps to show that audit was conducted in accordance with requirements of SQC 1.

B It serves as a record of matters of continuing significance to future audits.

C It assists engagement team to plan and perform the audit.

D It can directly help auditor in expanding client base.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 5 · answer p. 1

926 MTP Old P6 Nov 2023 S-II General MCQ 3 1 mark MCQ old scheme

A company has started its manufacturing operations from a newly constructed building. CA Z is statutory auditor of company. Which of following is not likely to be an example of audit documentation?

A E-mail correspondence with CFO of company concerning significant matters

B Audit programme

C Response to external confirmation requests

D Structural engineer's report on strength of building

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 4 · answer p. 1

927 MTP **Old P6 May 2023 S-I** General MCQ 2 1 mark MCQ

old scheme

CA Amar is the statutory auditor of XYZ Ltd. for the FY 2020-21. During the process of assembling the audit file, CA Amar briefed his team as to what all changes can be made to the audit documentation at that stage. Which of the following changes cannot be made to the audit documentation during the final assembly process?

A Sorting, collating & cross referencing of working papers.

B Signing off completion checklists relating to the file assembly process.

C Deleting or discarding superseded documents.

D Recalculation of Depreciation.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 4 · answer p. 1

928 MTP **Old P6 May 2023 S-I** General MCQ 7 1 mark MCQ

old scheme

_____refers to the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached.

A Audit Techniques

B Audit evidence

C Audit Documentation

D Audit Procedures record

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 5 · answer p. 1

929 MTP **Old P6 May 2023 S-II** General MCQ 10 1 mark

MCQ old scheme

The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes -

A evidence identified during the audit

B the significant matters identified during the audit and how they were addressed

C the significant evidence identified during the audit

D the significant matters identified during the audit

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5 · answer p. 1

930 MTP **Old P6 Dec 2021 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

RM & Associates have been appointed as Auditors of Techblocks Consulting Ltd. for the year 2020-21. CA R and CA M were the Engagement partners.

Para 1

The Firm has freshly appointed 2 Article Clerks who had no practical knowledge in the area of Auditing. They had to work to tight hard-headed factual issues and were baffling to understand the various terms and their objectives in the field of Auditing.

Para 2

To make sure that the Article Clerk do not misplace or mis-handle the Working Papers, CA M also described the relevance of Audit File and clarified that working papers are the property of Auditor. Such Audit file should be preserved for a period of seven years.

Para 3

CA R while scrutinizing Books of Accounts suspected some fictitious sales as a result of which he anticipated inflated Debtors. Management was reluctant to give the details. As CA R could not gather more evidence from the Management, he sought to obtain details from the third party.

Para 4

On further perusal of Opening Balances, it is essential to perceive that Accounting Policies have been consistently applied in the current period's financial statements and whether any changes have been properly accounted for and disclosed. CA M assigned this duty to his article clerk. The Article clerk explained to CA M about how he had observed that Accounting policies were not consistently applied in relation to opening balances in

accordance with the financial reporting framework or a change is not properly accounted or not adequately disclosed.

Para 5

Subsequently, the Auditors gathered from the Management that there was a fire in the Factory premises after the Balance Sheet date, as a result of which the company suffered loss of Inventories. It did not provide any conditions on the Balance Sheet date. SA 560 deals with such type of transactions.

MCQ 2.1 2 marks

The Auditor explained his Audit team the purpose of Audit Documentation. Which of the following is incorrect with respect to the purpose of Audit Documentation?

A. It enables the conduct of quality control reviews and inspections in accordance with SQC-1.

B. It helps in preparation of Financial Statements.

C. It retains a record of matters of continuing significance to future audits.

D. It enables the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

MCQ 2.2 2 marks

An auditor strictly ensured that the audit team should document / assemble all the working papers in Audit file. The completion of assembling the Audit File is an administrative process and should be done in :

A It should be within 30 days from the date of Audit Report.

B It should be within 60 days from the completion of Audit.

C It should not be more than 60 days from the date of Audit Report.

D It should be before 90 days from the completion of Audit.

MCQ 2.3 2 marks

With reference to para 3 of Case scenario, this is a case of obtaining External Confirmation by the Auditor. Which of the following is inappropriate with regard to External Confirmation?

A External Confirmations are restricted to Account balances only.

B It is also used in a case to obtain Audit evidence about the absence of certain conditions say, Side Agreement.

C It can be also effective in obtaining Audit evidence about verification of Inventories held by third parties at bonded warehouses for processing or on consignment.

D External Confirmation is also functional in case of Investments held for safekeeping by third parties, or purchased from stockbrokers but not delivered at the Balance Sheet date.

MCQ 2.4 2 marks

With reference to para 4, in such a situation CA M shall express a :

A A Disclaimer Opinion

B A qualified opinion

C A qualified opinion or an adverse opinion in accordance with SA 705

D An unmodified opinion

MCQ 2.5 2 marks

In respect to subject matter mentioned in Para 5, what procedures should Auditor perform to identify such events?

Statement 1: Obtain an understanding of any procedures management has established as well as Inquiry with Management and those charged with governance procedures for identification of such subsequent events.

Statement 2: Inspection of Minutes of the meetings of the entity's owners, management and those charged with governance that have been held after the date of the financial statements and inquiring about the matters discussed at any such meetings for which minutes are not yet available.

Statement 3: The Auditor should not read the entity's latest subsequent interim financial statements, if any.

A Only Statement 1 is correct

B Only Statement 2 is correct

C Both Statements 1 and 2 are correct

D Only Statement 3 is correct

ICAI'S ANSWERS

MCQ 2.1

(B)

MCQ 2.2

(C)

MCQ 2.3

(A)

MCQ 2.4

(C)

MCQ 2.5

(C)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 2-3 · answer p. 1

931 MTP **Old P6 Dec 2021 S-I** Q3(a) 4 marks old scheme

Audit documentation provides evidence that the audit complies with SAs. However, it is neither necessary nor practicable for the auditor to document every matter considered. Further, it is unnecessary for the auditor to document separately compliance with matters for which compliance is demonstrated by documents included within the audit file. Explain giving examples.

ICAI'S ANSWER

Audit documentation provides evidence that the audit complies with SAs. However, it is neither necessary nor practicable for the auditor to

document every matter considered, or professional judgment made, in an audit. Further, it is unnecessary for the auditor to document separately (as in a checklist, for example) compliance with matters for which compliance is demonstrated by documents included within the audit file. For example:

- The existence of an adequately documented audit plan demonstrates that the auditor has planned the audit.
- The existence of a signed engagement letter in the audit file demonstrates that the auditor has agreed the terms of the audit engagement with management, or where appropriate, those charged with governance.
- An auditor's report containing an appropriately qualified opinion demonstrates that the auditor has complied with the requirement to express a qualified opinion under the circumstances specified in the SAs.
- In relation to requirements that apply generally throughout the audit, there may be a number of ways in which compliance with them may be demonstrated within the audit file:
    - For example, there may be no single way in which the auditor's professional skepticism is documented. But the audit documentation may nevertheless provide evidence of the auditor's exercise of professional skepticism in accordance with SAs. Such evidence may

include specific procedures performed to corroborate management's responses to the auditor's inquiries.

- Similarly, that the engagement partner has taken responsibility for the direction, supervision and performance of the audit in compliance with the SAs may be evidenced in a number of ways within the audit documentation. This may include documentation of the engagement partner's timely involvement in aspects of the audit, such as participation in the team discussion required by SA 315.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 3-4

932 MTP **Old P6 Dec 2021 S-II** General MCQ 2 2 marks

MCQ old scheme

Also asked in Old P6 MTP Jul 2021 S-II General MCQ 2

Audit documentation provides:

A evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; or evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

B evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

C evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor

D evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 5 · answer p. 1

933 MTP **Old P6 Jul 2021 S-I** Q3(d) 3 marks old scheme

The working papers of the branch auditor are also the property of the Principal Auditor and the Management of the Company, so they have right to access them. State the relevant SA and comment.

ICAI'S ANSWER

Ownership of Working Papers: As per SA 230 "Audit Documentation", working papers are the property of the auditor. He may at his discretion, make available portions or extracts from his working paper to his client. The auditor should adopt reasonable procedures for custody and confidentiality of his working papers.

An auditor is not required to provide the management/ clients or other auditors' access to his working papers. Main auditor of the company does not have right of access to the working papers of the branch auditor.

In the case of a company, the main auditor has to consider the report of the branch auditor and has a right to seek clarification and to visit the branch but cannot ask for the copy of working paper and therefore, the branch auditor is under no compulsion to give photocopies of his working paper to the principal auditor.

From above, it is clear that working papers of the branch auditor are his property only and neither the Principal auditor not management has right to access that. Therefore, statement given in the question is incorrect.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 5

934 MTP **Old P6 Jul 2021 S-I** Q5(c) 3 marks old scheme

Audit documentation serves a number of purposes. List such purposes.

ICAI'S ANSWER

The following are the purpose of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.

4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7-8

935 MTP **Old P6 Nov 2020 S-I** Q5(c) 3 marks old scheme

Give some examples of circumstances in which it is appropriate to prepare audit documentation relating to the use of professional judgment where the matters and judgments are significant.

ICAI'S ANSWER

Some examples of circumstances in which it is appropriate to prepare audit documentation relating to the use of professional judgment include, where the matters and judgments are significant:

- The rationale for the auditor's conclusion when a requirement provides that the auditor 'shall consider' certain information or factors, and that consideration is significant in the context of the particular engagement.
- The basis for the auditor's conclusion on the reasonableness of areas of subjective judgments (for example, the reasonableness of significant accounting estimates).

- The basis for the auditor's conclusions about the authenticity of a document when further investigation (such as making appropriate use of an expert or of confirmation procedures) is undertaken in response to conditions identified during the audit that caused the auditor to believe that the document may not be authentic.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 7

936 MTP **Old P6 May 2020 S-I** Q5(c) 3 marks old scheme

"Completion Memorandum" is helpful as part of the audit documentation. Explain.

ICAI'S ANSWER

Completion Memorandum or Audit Documentation Summary.

The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes-

(i) the significant matters identified during the audit.

(ii) how they were addressed.

Such a summary may facilitate effective and efficient review and inspection of the audit documentation, particularly for large and complex audits. Further, the preparation of such a summary may assist auditor's consideration of the significant matters. It may also help the auditor to consider

whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 9

937 MTP **Old P6 Nov 2019 S-I** MCQ 2 1 mark MCQ old scheme

Which of the following is correct :

A The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report.

B The auditor shall assemble the audit documentation in an audit file and shall not complete the administrative process of assembling the final audit file.

C The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis before the date of the auditor's report.

D The auditor shall not assemble the audit documentation in an audit file.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 1 · answer p. 1

938 MTP Old P6 Nov 2019 S-I MCQ 3 1 mark MCQ

old scheme

Standard on Quality Control (SQC) 1 provides that,

A unless otherwise specified by law or regulation, audit documentation is the property of the management.

B unless otherwise specified by law or regulation, audit documentation is the property of those charged with governance.

C unless otherwise specified by law or regulation, audit documentation is the property of the management or those charged with governance.

D unless otherwise specified by law or regulation, audit documentation is the property of the auditor.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 1 · answer p. 1

CHAPTER 7

Completion and Review

7.1 SA 560: subsequent events

31 questions · asked in 23 ICAI documents · 4 exam papers

939 EXAM Sep 2026 Case scenario · Q2(a)(i) to Q2(a)(iii)

5 marks

CASE SCENARIO

M/s K & Associates, Chartered Accountants were the statutory auditors of N Industries Ltd. for the financial year 2025-26. Before the financial statements were issued, the auditor became aware of a subsequent event involving a major fire accident, which, in his opinion, required amendment of the financial statements. However, the management refused to make the necessary amendments. With reference to SA 560 explain the auditor's responsibilities where :

Q2(a)(i) 1 mark

The auditor's report has not yet been provided to the entity;

Q2(a)(ii) 2 marks

The auditor's report has already been provided to the entity.

Q2(a)(iii) 2 marks

Also explain the meaning of "Date the financial statements are issued".

ICAI'S ANSWERS

Q2(a)(i)

ICAI has not published its answers to this paper yet.

Q2(a)(ii)

ICAI has not published its answers to this paper yet.

Q2(a)(iii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 16

940 **EXAM** **Jan 2026** Q5(a) **5 marks**

You are the auditor of LMN Ltd. The company's financial statements for the year ended 31st March, 2025, along with your audit report, were issued on 30th June, 2025. Two months after the issue of auditor's report, you become aware of a fact that existed as on the date of your audit report but was not known to you at that time. Had this fact been known earlier, it would have required a modification of your audit opinion.

Give the Overview of the Auditor's responsibilities in the given facts and situation in line with SA 560 "Subsequent Events".

ICAI'S ANSWER

SA 560 "Subsequent Events" - The auditor has no obligation to perform any audit procedures regarding such financial statements after the financial statements have been issued.

However, when, after the financial statements have been issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of

the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall: -

(i) Discuss the matter with management and, where appropriate, those charged with governance.

(ii) Determine whether the financial statements need amendment and, if so,

(iii) Inquire how management intends to address the matter in the financial statements.

(iv) If the management amends the financial statements, the auditor shall carry out the audit procedures necessary in the circumstances on the amendment.

(v) Review the steps taken by management to ensure that anyone in receipt of the previously issued financial statements together with the auditor's report thereon is informed of the situation.

(vi) Extend the audit procedures, already referred, to the date of the new auditor's report and provide a new auditor's report on the amended financial statements.

(vii) Include in the new auditor's report Modified opinion as applicable/ an Emphasis of Matter paragraph or Other Matter(s) paragraph referring to a note to the financial statements that more extensively discusses the reason for the amendment of the previously issued financial statements and to the earlier report provided by the auditor.

(viii) If management does not take the necessary steps to ensure that anyone in receipt of the previously issued financial statements is informed of the situation and does not amend the financial statements in circumstances where the auditor believes they need to be amended, the auditor shall notify management that the auditor will seek to prevent future reliance on the auditor's report.

(ix) If, despite such notification, management or those charged with governance do not take these necessary steps, the auditor shall take appropriate action to seek to prevent reliance on the auditor's report.

ICAI · P5 · Jan 2026 exam · question p. 24 · answer p. 25-26

941 EXAM **Sep 2024** Q1(a) 4 marks

CA Rashmi is the auditor of ABC Ltd. for the financial year ending 31/03/2024. The audit report for the year was signed by her on 19/04/2024. On 25/4/2024, the company received a communication from the Central Government that an incentive amount of ₹ 5 crores pertaining to financial year 2023-24 was approved. It was paid to the company before the end of April 2024. The financial statements of the company were not yet issued to the shareholders.

The Board of Directors wished to include the incentive amount in the financial statements and requested the auditor to issue a fresh audit report for the year ended 31/03/2024.

Analyze the issue involved and give an overview of the auditor's responsibility in such a situation.

ICAI'S ANSWER

Facts Which Become Known to the Auditor After the Date of the Auditor's Report but Before the Date the Financial Statements are Issued: As per SA 560, "Subsequent Events", the auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report.

However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall

(i) Discuss the matter with management and, where appropriate, those charged with governance.

(ii) Determine whether the financial statements need amendment and, if so,

(iii) Inquire how management intends to address the matter in the financial statements.

If management amends the financial statements, the auditor shall carry out the audit procedures necessary in the circumstances on the amendment.

Further, the auditor shall extend the audit procedures and provide a new auditor's report on the amended financial statements. However, the new auditor's report shall not be dated earlier than

the date of approval of the amended financial statements.

In the instant case, ABC Ltd. received an amount of ₹ 5 crore on account of incentives pertaining to year 2023-24 in the month of April 2024 i.e. after finalisation of financial statements and signing of audit report but before the issuance of Financial Statements to stakeholders. The Board of Directors of ABC Ltd. wished to amend the financial statements and requested the CA. Rashmi (auditor) to consider this event and issue a fresh audit report on the financial statements for the year ended on 31.03.2024.

After applying the conditions given in SA 560, CA. Rashmi can issue new audit report subject to date of audit report which should not be earlier than the date of approval of the amended financial statements.

ICAI · P5 · Sep 2024 exam · question p. 9 · answer p. 10-11

942 EXAM **Old P6 Jul 2021** Q3(a) 4 marks old scheme

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report, that requires adjustment of, or disclosure in, the financial statements have been identified. With reference to SA 560, what are the audit procedures included in the auditor's risk assessment?

ICAI'S ANSWER

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified.

The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The auditor shall perform the procedures required above so that they cover the period from the date of the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor shall take into account the auditor's risk assessment which shall include the following:

(a) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(b) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(c) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about

matters discussed at any such meetings for which minutes are not yet available.

(d) Reading the entity's latest subsequent interim financial statements, if any.

ICAI · Old P6 · Jul 2021 exam · question p. 37 · answer p. 37-38

943 RTP **Jan 2026** Q7 MCQ

The auditor of XYZ Ltd. performed audit procedures to obtain sufficient appropriate audit evidence covering each and every area impacting the financial statements of the company by 20th July 2025. Before signing the auditor's report on 16th September 2025, the auditor became aware of a fire accident at the company's Yarn Factory on 10th August 2025, destroying a large part of inventory. Auditor's responsibilities in such a situation are:

(i) Perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of financial statements and the date of auditor's report that require adjustment or disclosure in the financial statements have been identified.

(ii) If such subsequent events that require adjustment or disclosure in the financial statements have been identified, it shall be determined whether each such event is appropriately reflected in those financial statements.

(iii) Obtain a written representation from management that all events occurring subsequent to the date of

financial statements and for which appropriate adjustment has been done or required disclosure has been made.

A (i)

B (i) and (ii)

C (i) and (iii)

D (i), (ii) and (iii)

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P5 · RTP Jan 2026 · question p. 4-5 · answer p. 9

944 RTP **Sep 2025** Q7 MCQ

As per SA 560, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall:

A Modify the opinion in accordance with SA 705 and provide the amended auditor's report.

B Discuss the matter with management and determine whether the financial statements need amendment.

C Notify shareholders directly to prevent reliance on the auditor's report.

D Withdraw from the engagement and disclaim an opinion.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP Sep 2025 · question p. 4 · answer p. 9

945 **RTP** **Sep 2025** Q16

During the audit of Cryst Ltd. for the financial year ended 31st March 2025, the auditor, CA Z was in the process of finalising the audit report dated 30th May 2025. The engagement partner emphasised that CA Z shall perform audit procedure designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report, that requires adjustment of, or disclosure in, the financial statements have been identified. What audit procedures, in accordance with SA 560, should the auditor CA. Z perform based on risk assessment to identify events occurring between the date of the financial statements and the date of the auditor's report that require adjustment or disclosure?

ICAI'S ANSWER

Audit procedures relating to events occurring between the date of the financial statements and the date of the auditor's report:

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or

disclosure in, the financial statements have been identified. The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The auditor shall perform the procedures required above so that they cover the period from the date of the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor shall take into account the auditor's risk assessment in determining the nature and extent of such audit procedures, which shall include the following: -

(i) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(ii) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(iii) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(iv) Reading the entity's latest subsequent interim financial statements, if any.

ICAI · P5 · RTP Sep 2025 · question p. 7 · answer p. 14-15

946 RTP May 2024 Q16

CA K is statutory auditor of DEMA Private Limited for the year 2022-23. The company has three plants in India. He is nearing completion of audit procedures relating to financial statements for the year under audit and has yet to sign audit report. Meanwhile, a huge fire had broken out in one of plants of the company located near Nashik on 25th June, 2023 damaging substantial part of machinery and work-in-process resulting in loss of about ₹ 5 crores. Unaware of the incident, he is in process of finalizing his report in first fortnight of July 2023. State few audit procedures to be performed by him to obtain sufficient appropriate evidence for identifying such events. Also explain auditor's responsibilities in this situation.

ICAI'S ANSWER

In the given situation, a huge fire had broken out in one of plants of company on 25th June, 2023 destroying substantial part of machinery and work-in-process resulting in loss of ₹ 5 crores. The auditor has yet to sign audit report.

Before signing audit report, he should perform following audit procedures to obtain sufficient appropriate audit evidence that all such events have been identified and are appropriately reflected in financial statements: -

- Inquiry of management whether any subsequent events have occurred
- Reading minutes of the meetings of owners, management that have been held after date of

financial statements and inquiring about matters discussed at such meetings for which minutes are not available

- Reading entity's latest subsequent interim financial statements
- Obtaining Written representations from management in accordance with SA 580

The situation is an example of subsequent event occurring between date of financial statements and date of audit report requiring disclosure in financial statements. The auditor has a responsibility to obtain sufficient appropriate audit evidence whether such an event requiring disclosure in financial statements is appropriately reflected in financial statements.

ICAI · P5 · RTP May 2024 · question p. 12 · answer p. 25-26

947 RTP **Old P6 Dec 2021** Q7(b) old scheme

SA 560, "Subsequent Events" deals with the auditor's responsibilities relating to subsequent events in an audit of financial statements. Financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Explain those events and also define subsequent events

ICAI'S ANSWER

SA 560, "Subsequent Events" deals with the auditor's responsibilities relating to subsequent events in an audit of financial statements.

Financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Such financial reporting frameworks ordinarily identify two types of events:

(a) Those that provide evidence of conditions that existed at the date of the financial statements; and

(b) Those that provide evidence of conditions that arose after the date of the financial statements.

SA 700 explains that the date of the auditor's report informs the reader that the auditor has considered the effect of events and transactions of which the auditor becomes aware and that occurred up to that date.

Subsequent events refer to events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

ICAI · Old P6 · RTP Dec 2021 · question p. 123 · answer p. 132

948 **RTP** **Old P6 May 2020** Q6(b) old scheme

Also asked in Old P6 MTP Dec 2021 S-II Q3(c)

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known

to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report. Explain the auditor's obligation in the above situation.

ICAI'S ANSWER

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall:

(a) Discuss the matter with management and, where appropriate, those charged with governance.

(b) Determine whether the financial statements need amendment and, if so,

(c) Inquire how management intends to address the matter in the financial statements.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 16

949 MTP **Sep 2026 S-I** Q3(b) 5 marks

CA Arvind Kapoor is conducting the statutory audit of Chem Energy Limited for the year ended 31st March, 2026. The audit is substantially complete and the auditor proposes to sign the audit report on 20th May, 2026. During the period between 31st March, 2026 and the proposed date of the auditor's report, certain

significant events occurred, including settlement of a major lawsuit, issue of debentures, and destruction of inventory by fire at one of the company's warehouses.

While planning the completion stage of the audit, CA Arvind Kapoor seeks to ensure that all events occurring after the reporting date that may require adjustment of or disclosure in the financial statements have been appropriately identified and considered.

Discuss the audit procedures that the auditor should perform in relation to events occurring between the date of the financial statements and the date of the auditor's report in accordance with SA 560, "Subsequent Events".

ICAI'S ANSWER

Audit procedures relating to events occurring between the date of the financial statements and the date of the auditor's report

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified. The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The auditor shall perform the procedures required above so that they cover the period from the date of

the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor shall take into account the auditor's risk assessment in determining the nature and extent of such audit procedures, which shall include the following: -

(a) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(b) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(c) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(d) Reading the entity's latest subsequent interim financial statements, if any.

The auditor should perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report requiring adjustment of, or disclosure in, the financial statements have been identified. Such procedures should cover the period up to the date of the auditor's report, or as near as practicable thereto, and should include obtaining an

understanding of management's procedures for identifying subsequent events, making inquiries of management and those charged with governance, reading minutes of relevant meetings, and reviewing the latest interim financial statements, if any.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 13-14 · answer p. 8-9

950 MTP **May 2026 S-I** Q3(b) 5 marks

Mindset Appliances Limited, a listed company engaged in manufacturing electrical equipment, closed its books of account for the year ended 31st March 2025. The statutory audit is in progress and the auditor proposes to sign the audit report on 30th June 2025.

During the period between 31st March 2025 and 30th June 2025, the following events occurred:

1. A major debtor owing ₹ 8 crores as on 31st March 2025 was declared insolvent on 15th April 2025. No specific provision had been made against this debtor as at year-end.
2. A legal case for product liability, for which a provision of ₹ 3 crores was created as on 31st March 2025, was settled out of court on 10th May 2025 for ₹ 1.80 crores.
3. On 20th May 2025, the company issued fresh equity shares through a qualified institutional placement.
4. On 25th May 2025, the Board approved a plan to merge with another listed entity, subject to regulatory approvals.

5. On 5th June 2025, a major fire destroyed finished goods inventory worth ₹ 6 crores stored in a warehouse. The loss is expected to be fully covered by insurance.

The management has not made any adjustments in the financial statements but has disclosed all the above events in the Notes to Accounts.

(a) Classify the above events into appropriate categories of subsequent events.

(b) State the auditor's considerations and implications on the financial statements in each case with reasons.

(c) Conclude whether the management's treatment is appropriate.

ICAI'S ANSWER

Financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Such financial reporting frameworks ordinarily identify two types of events:

- Those that provide evidence of conditions that existed at the date of the financial statements; and
- Those that provide evidence of conditions that arose after the date of the financial statements.

Classification and Application to the Case

1. **Events providing evidence of conditions that existed at the date of the financial statements:**

Examples of events providing evidence of conditions that existed at the date of the financial statements -

- Declaration of insolvency of a major debtor of the entity between the date of financial statements and the date of auditor's report providing evidence on the recoverability of the money due from debtor as on date of the financial statements.
  In the present case, insolvency of the debtor owing ₹ 8 crores indicates that the financial difficulty existed as at 31st March 2025. Therefore, this is an adjusting event. The financial statements require adjustment by creating appropriate provision / writing off the debtor. Mere disclosure is not sufficient.
- Settling a legal claim outside the court at a reduced amount between the date of financial statements and the date of auditor's report for which provision has already been made in financial statements. It provides evidence on adjustment in provision amount already made in financial statements, if any.
  In the present case, settlement at ₹ 1.80 crores provides evidence regarding the best estimate of liability as at 31st March 2025. Therefore, the excess provision of ₹ 1.20 crores should be reversed. This is also an adjusting event.

2. **Events providing evidence of conditions that arose after the date of the financial statements:**

Examples of events providing evidence of conditions that arose after the date of the financial statements

- Issue of new share capital.
- Planned merger of the company.
- Destruction of substantial inventories due to fire between the date of the financial statements and the date of auditor's report.

In the present case:

- Issue of fresh equity shares is a non-adjusting event. It does not affect financial position as at 31st March 2025 but requires disclosure if material.
- Approval of merger plan is also a non-adjusting event requiring disclosure.
- Destruction of inventory due to fire occurred after the reporting date and relates to a new condition. Hence, it is a non-adjusting event. Only disclosure is required, unless it affects going concern assumption.

In the given case, management has merely disclosed all events without making adjustments.

- Non-provision for insolvent debtor and
- Non-reversal of excess legal provision

constitute material misstatements since they are adjusting events requiring modification of figures in the financial statements.

Therefore, unless management makes necessary adjustments, the auditor should modify the audit opinion in accordance with SA 705.

Disclosure alone is sufficient for issue of share capital, planned merger, and destruction of inventory due to fire, as they are non-adjusting events.

Accordingly, management's treatment is partially incorrect, and necessary adjustment is required.

ICAI · P5 · MTP May 2026 · Series I · question p. 12-13 · answer p. 8-9

951 **MTP** **May 2026 S-II** **Q3(b)** **5 marks**

Arvind & Associates, Chartered Accountants, were appointed as auditors of Stellar Appliances Ltd. for the financial year ended 31st March 2025. During the course of audit in June 2025, the auditor observed that the company operates in a rapidly changing market environment and there were frequent post year-end developments.

Further examination revealed the following:

- The company renegotiated a major long-term supply contract in April 2025, significantly reducing future purchase commitments.
- A legal case pending as at year-end was settled in May, 2025 with a substantial out-of-court settlement.
- Internal audit reports for April and May 2025 highlighted certain irregularities in revenue recognition practices.

- The company had circulated draft financial results for the first quarter to key lenders before finalisation.

The auditor is concerned about whether all relevant subsequent events have been properly identified and considered in the financial statements.

With reference to relevant Standard on Auditing, explain the audit procedures the auditor should perform as part of risk assessment to identify subsequent events.

ICAI'S ANSWER

As per SA 560 "Subsequent Events", the auditor shall perform audit procedures to obtain sufficient appropriate audit evidence that all events occurring between the date of financial statements and the date of auditor's report requiring adjustment or disclosure have been identified.

The auditor shall take into account the risk assessment and perform the following procedures:

(i) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(ii) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(iii) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged

with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(iv) Reading the entity's latest subsequent interim financial statements, if any.

Considering the dynamic environment and significant post year-end developments, the auditor must carefully perform the above procedures to ensure proper identification and treatment of subsequent events. Failure to do so may result in material misstatements in the financial statements.

ICAI · P5 · MTP May 2026 · Series II · question p. 12-13 · answer p. 7

952 MTP **Jan 2026 S-I** Q6(c) 4 marks

XYZ Ltd. finalized its financial statements for the year ended 31st March 2025. Audit is in progress and the auditor is expected to issue the report in July, 2025. On 10th April 2025, a major debtor of the company was declared insolvent and the company realised that the amount due from this debtor as on 31st March 2025 was not recoverable. In the month of May, 2025, the management also initiated discussions for a possible merger with another company. Auditors understand that financial statements may be affected by certain events that occur after the date of the financial statements. Auditors of XYZ Ltd. consider that financial reporting frameworks ordinarily identify two types of events. Explain how you would classify and deal with these subsequent events.

ICAI'S ANSWER

As per SA 560 on "Subsequent Events", financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Such financial reporting frameworks ordinarily identify two types of events:

(a) Those that provide evidence of conditions that existed at the date of the financial statements and

(b) Those that provide evidence of conditions that arose after the date of the financial statements.

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified. The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The insolvency of the major debtor declared after 31st March 2025 provides evidence of conditions that existed at the date of the financial statements. This event affects the recoverability of the amount due as on 31st March 2025, therefore, it requires adjustment in the financial statements to reflect the correct realisable value.

On the other hand, the planned merger of the company provides evidence of conditions that arose after the date of the financial statements. Such an event does not require adjustment in the financial statements but should be disclosed if it is of such importance that non-disclosure would affect the ability of users to make proper evaluations or decisions.

Hence, the auditor should ensure that appropriate adjustments or disclosures are made in accordance with the nature of each subsequent event.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 12 · answer p. 12-13

953 **MTP** **Jan 2026 S-II** **Q6(c)** **4 marks**

State the auditor's responsibilities in relation to facts that become known to the auditor after the date of the auditor's report but before the date the financial statements are issued. The question should be answered in terms of steps the auditor is required to take when such facts may have led to an amendment in the auditor's report.

ICAI'S ANSWER

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of the auditor's

report, may have caused the auditor to amend the auditor's report, the auditor shall:

(i) Discuss the matter with management and, where appropriate, those charged with governance.

(ii) Determine whether the financial statements need amendment and, if so,

(iii) Inquire how management intends to address the matter in the financial statements.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 13 · answer p. 12

954 MTP **Sep 2025 S-II** MCQ 15 2 marks MCQ

CA Raj is in the completion phase of the audit of Happy Private Limited, a manufacturing company, for the financial year 2024-25. On 26th May 2025, he becomes aware that a fire had occurred on 15th April 2025 at one of the company's premises. As a result of the fire, all inventories stored at that location, amounting to ₹ 2 crores, were destroyed. However, these inventories were insured with Insure Goods Limited for ₹ 75 lakhs, and the company has lodged a claim, which is yet to be settled. This issue remains uncorrected in the financial statements. Which of the following statements is most appropriate regarding the fire incident?

A The auditor should ask management to disclose it in notes to accounts.

B The auditor should ask management to adjust financial statements for period under audit and book a loss of ₹ 75 lakhs in its Statement of Profit and Loss.

C The auditor should ask management to adjust financial statements for period under audit and book a loss of ₹ 2 crores in its Statement of Profit and Loss.

D The auditor has no responsibility regarding described fire incident.

ICAI'S ANSWER

(A)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 7 · answer p. 1

955 MTP **May 2025 S-I Q1(c)** 4 marks

CA Yash is conducting audit of a company for year 2023-24. The company is engaged in export of ethnic rugs to buyers in Europe. The audit is nearing completion in month of July 2024. However, it becomes known to the auditor that one of overseas buyers has made a legal claim against the company on 1st June 2024 for injury caused to a customer of one European buyer due to sub-standard dyes used in rugs of one lot of order shipped in August, 2023. The management of company has decided to agree to an out of court settlement of ₹ 5 crore to protect its reputation. The financial statements of the company are silent on this issue. Discuss, how, CA Yash should proceed to deal with above issue.

ICAI'S ANSWER

In the given case, the auditor has come to know of legal claim against the company before issue of audit report. It has also come to his knowledge that management of the company has agreed to an out of

court settlement of Rs.5 crore. It is an example of subsequent event between the date of the financial statements and the date of the auditor's report as per SA 560.

Auditor's responsibilities regarding subsequent events between the date of the financial statements and the date of the auditor's report are as under:

- Perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified.
- If such subsequent events that require adjustment of, or disclosure in, the financial statements have been identified, it shall be determined whether each such event is appropriately reflected in those financial statements.
- Obtain a written representation from management or those charged with governance that all events occurring subsequent to the date of the financial statements and for which the applicable financial reporting framework requires adjustment or disclosure have been adjusted or disclosed.

ICAI · P5 · MTP May 2025 · Series I · question p. 8 · answer p. 3

956 MTP **May 2025 S-II** Q4(c) 4 marks

During the audit of Jimjam Ltd., CA Arjun, the auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report, that requires adjustment of, or disclosure in, the financial statements have been identified. With reference to Standards on Auditing, what specific audit procedures should CA Arjun include in his risk assessment to address subsequent events effectively?

ICAI'S ANSWER

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified.

The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The auditor shall perform the procedures required above so that they cover the period from the date of the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor

shall take into account the auditor's risk assessment which shall include the following:

(i) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(ii) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(iii) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(iv) Reading the entity's latest subsequent interim financial statements, if any.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 7-8

957 MTP **Jan 2025 S-II** Case Scenario 3 · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO 3

M/s MCP Associates are having 3 partners namely CA Mahavir, CA Chandana and CA Prabha. CA Mahavir is about to conclude audit of a company. During the audit, he noticed that there is a shortage of important raw material supplies being imported from China due to prevailing geopolitical situation. The company has shared with him its plan to deal

with the situation. He is satisfied with assessment of the company for dealing with the matter. The issue is disclosed in financial statements and considering management's assessment, it is felt that use of going concern assumption by company in preparation of financial statements is appropriate. He also verifies that all subsequent events have been accounted for and requests written representations from management, although the representations include qualifying language. Significant findings were communicated both orally and in writing to those charged with governance, with relevant communications documented.

CA Chandana is conducting an audit of a manufacturing company dealing in towels and bedspreads. The company's inventory is spread across its own locations and third-party premises. As part of audit procedures, she is performing many audit procedures required by different Standards on Auditing. She attends the physical inventory count, sends confirmation requests for trade receivables, and assesses controls. She relies on sampling extensively while auditing transactions, balances, and controls.

CA Prabha is auditing a firm's financial statements and performs detailed procedures to verify assertions. The firm is engaged in export of goods to Europe. The sales invoices raised in Euros are converted into Indian rupees as per applicable norms. She checks classification of expenses,

ensures trade payables are genuine, compares current and past wages, examines title deeds for land, and check the accuracy of calculation of the conversion of foreign currency into Indian rupees for export invoices.

Based on the above facts, answer the following: -

MCQ 10 2 marks

Which of the following best describes CA Mahavir's responsibility for subsequent events as per SA 560?

A. He has no obligation to perform audit procedures for events occurring between date of financial statements and date of auditor's report.

B. He should perform necessary audit procedures to know about events occurring between the date of financial statements and date of auditor's report.

C. He has no obligation to perform audit procedures after signing of auditor's report, even if he comes to know of an event, which if known to him earlier would have caused him to amend the audit report.

D. He has to only rely upon written representation of management regarding subsequent events. He has no other means to know about such events.

MCQ 11 2 marks

Which is the most appropriate action CA Chandana should take for verifying inventories held at third-party premises?

A Request confirmation of the inventory's quantity and condition from third parties or inspect the inventory at their premises.

B Inspect all inventories at third-party premises without requesting confirmation.

C Rely on management's written representation regarding inventories at third-party locations.

D Confirm the inventory's value along with its quantity and condition from third parties.

MCQ 12 2 marks

Which audit procedure CA Prabha performed to verify whether conversion of foreign currency into Indian rupees is proper or not?

A Inspection

B Recalculation

C Observation

D Reperformance

ICAI'S ANSWERS

MCQ 10

(B)

MCQ 11

(A)

MCQ 12

(B)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 5-6 · answer p. 1

958 MTP Sep 2024 S-II Case Scenario 2 · MCQ 5 to MCQ 8

8 marks

CASE SCENARIO 2

CA J is nearing completion of audit of Cheap Cost Private Limited, a manufacturing company for the year 2023-24. The draft financial statements of the company show a profit before tax of ₹ 5 crores. Materiality for financial statements as a whole has been determined @ 5% of Profit before Tax. At the end of June 2024, he is considering following issues flagged during the course of audit which remain uncorrected: -

- A fire took place in one of the premises of the company on 1st May, 2024 resulting in damages to all the inventories lying there amounting to ₹ 1 crores. The inventories of affected premises are insured with Quick Bima Limited for ₹ 50 lakhs and company has also lodged a claim with it which is still to be settled.
- The company has debited ₹ 10 lakhs under "Machinery Account" whereas expenditure relates to normal wear and tear of high-speed automated machinery. The amount has been wrongly capitalised under "Machinery account". (Ignore depreciation effect)
- The company has not properly accounted for necessary elements of cost in arriving at work in progress. Further, estimates regarding various stages of production have not been made properly. All such factors have resulted in

overstatement of work in progress inventories by ₹ 20 lakhs.

No other issues except as stated above merit attention. Besides, written representation letter has also been obtained on matters concerning management's responsibilities regarding fulfilment of responsibilities for preparation of financial statements and providing access to all information to CA J. However, written representation provided to CA J begins in the below stated manner:

"This representation letter is provided in connection with your audit of the financial statements of Cheap Cost Private Limited for the year ended March 31, 2024, for the purpose of expressing an opinion as to whether the financial statements give a true and fair view in accordance with the applicable accounting standards in India. We confirm that (to the best of our knowledge and belief, having made such inquiries as we considered necessary for the purpose of appropriately informing ourselves) ....."

Based upon above, answer the following questions: -

MCQ 5 2 marks

Which of following statements is most appropriate as regards to fire incident?

A The auditor should ask management to adjust financial statements for period under audit and book a loss of ₹ 50 lakhs in its Statement of Profit and Loss.

B The auditor should ask management to adjust financial statements for period under audit and book a loss of ₹ 1 crores in its Statement of Profit and Loss.

C The auditor should ask management to disclose it in notes to accounts.

D The auditor has no responsibility regarding described fire incident.

MCQ 6 2 marks

Identify the correct option regarding materiality of uncorrected misstatements relating to wrong capitalisation under "Machinery Account" and overstatement of inventories of work in progress.

A The uncorrected misstatements are not material in context of audit of financial statements as a whole as these are below materiality level determined by auditor.

B The uncorrected misstatements are material in context of audit of financial statements as a whole and their effect on opinion should be considered by auditor.

C The uncorrected misstatements are not material in context of audit of financial statements as a whole as these are in nature of management's judgment.

D The uncorrected misstatements are material in context of audit of financial statements as a whole and auditor should correct these.

MCQ 7 2 marks

The auditor has performed certain audit procedures described in case scenario relating to inventories of work in progress. Such procedures are related to verification of _____ assertion.

- A Completeness
- B Valuation
- C Existence
- D Rights and obligations

MCQ 8 2 marks

Which of the following statements is correct in respect to manner of providing written representations by management?

- A The extract of written representations provided in case scenario is proper.
- B The use of words “having made such enquiries” is not permitted.
- C The use of words “to the best of our knowledge and belief” is not permitted.
- D The use of both kind of words “having made such enquiries” and “to the best of our knowledge and belief” is not permitted.

ICAI’S ANSWERS

MCQ 5

(C)

MCQ 6

(B)

MCQ 7

(B)

MCQ 8

(A)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 3-4 · answer p. 1

959 MTP **Sep 2024 S-II** Q6(c) 4 marks

As per SA 560, when after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that had it been known to the auditor at the date of the auditor's report, it may have caused the auditor to amend the auditor's report. In this context, what is meant by "Date the financial statements are issued"? Can it be later than the date of providing auditor's report to the entity?

ICAI'S ANSWER

"Date the financial statements are issued" reflects the date on which the auditor's report and audited financial statements are made available to the third parties. The date the financial statements are issued generally depends on the regulatory environment of the entity.

In some circumstances, the date the financial statements are issued may be the date that they are filed with a regulatory authority. Since audited financial statements cannot be issued without an auditor's report, the date that the audited financial statements are issued must not only be at or later than the date of the auditor's report but must also be

at or later than the date the auditor's report is provided to the entity.

Therefore, "date the financial statements are issued" can be later than date of providing auditor's report to the entity.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 11 · answer p. 11

960 MTP **May 2024 S-II Q1(c)** 3 marks

CA J is working as internal auditor in JKL Limited, a non-listed company. The responsibilities of internal auditor include reviewing financial information and performing detailed tests on transactions and balances. He is also responsible for compliance with laws, regulations and external requirements.

During the year 2022-23, services of an employee of company were terminated. The said employee had filed a suit against the company in respect of certain compensation dues amounting to ₹ 10 lakhs which were not paid to him. Based upon advice of legal counsel, the company had made a provision of ₹ 10 lacs in financial statements for year 2022-23. However, somewhere in June 2023, there is an out of court settlement between company and employee for ₹ 6 lakhs. The statutory audit of company is under progress and audit report has not yet been finalized. How internal auditor should have proceeded in situation?

ICAI'S ANSWER

Subsequent events are events occurring between the date of financial statements and the date of the

auditor's report and facts that become known to the auditor after the date of the auditor's report.

In the given case, the company had already made provision of ₹ 10 lakhs in financial statements for year 2022-23. However, there is an out of court settlement between the company and employee for ₹ 6 lakhs.

It is an example of event which provides evidence of conditions that existed at the date of financial statements i.e. 31st March, 2023. It provides evidence on adjustment in provision amount already made in financial statements. Therefore, internal auditor should ask management to revise provision downwards to ₹ 6 lakhs so that financial statements are in accordance with applicable accounting standards.

ICAI · P5 · MTP May 2024 · Series II · question p. 9 · answer p. 3

961 MTP **Old P6 May 2023 S-I** General MCQ 3 1 mark MCQ old scheme

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall:

A Discuss the matter with management and, where appropriate, those charged with governance.

B Determine whether the financial statements need amendment.

C Inquire how management intends to address the matter in the financial statements.

D All of the above

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 4 · answer p. 1

962 MTP **Old P6 Nov 2019 S-I** Q3(a) 4 marks old scheme

"The auditors should consider the effect of subsequent events on the financial statement and on auditor's report"– Comment according to SA 560.

ICAI'S ANSWER

Effect of Subsequent Events: SA 560 "Subsequent Events", establishes standards on the auditor's responsibility regarding subsequent events.

According to it, 'subsequent events' refer to those events which occur between the date of financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report. It lays down the standard that the auditor should consider the effect of subsequent events on the financial statements and on the auditor's report.

The auditor should obtain sufficient appropriate evidence that all events upto the date of the auditor's report requiring adjustment or disclosure

have been identified and to identify such events , **the auditor should-**

(i) obtain an understanding of any procedures management has established to ensure that subsequent events are identified.

(ii) inquire of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

Examples of inquiries of management on specific matters are:

- Whether new commitments, borrowings or guarantees have been entered into.
- Whether sales or acquisitions of assets have occurred or are planned.
- Whether there have been increases in capital or issuance of debt instruments, such as the issue of new shares or debentures, or an agreement to merge or liquidate has been made or is planned.
- Whether there have been any developments regarding contingencies.
- Whether there have been any developments regarding risk areas and contingencies.
- Whether any unusual accounting adjustments have been made or are contemplated.
- Whether any events have occurred or are likely to occur which will bring into question the appropriateness of accounting policies used in

the financial statements as would be the case, for example, if such events call into question the validity of the going concern assumption.

- Whether any events have occurred that are relevant to the measurement of estimates or provisions made in the financial statements.
- Whether any events have occurred that are relevant to the recoverability of assets.

(iii) Read minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(iv) Read the entity's latest subsequent interim financial statements, if any.

(v) Read the entity's latest available budgets, cash flow forecasts and other related management reports for periods after the date of the financial statements.

(vi) Inquire, or extend previous oral or written inquiries, of the entity's legal counsel concerning litigation and claims.

(vii) Consider whether written representations covering particular subsequent events may be necessary to support other audit evidence and thereby obtain sufficient appropriate audit evidence.

When the auditor identifies events that require adjustment of, or disclosure in, the financial statements, the auditor shall determine whether each such event is appropriately reflected in those financial statements. If such events have not been considered by the management and which in the opinion of the auditor are material, the auditor shall modify his report accordingly.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 4-5

7.2 SA 570: going concern

40 questions · asked in 29 ICAI documents · 6 exam papers

963 EXAM Sep 2026 Q1(c) 4 marks

During the audit of ZAB Ltd., the auditor Mr. A, did not identify any material uncertainty relating to the entity's ability to continue as a going concern and accordingly the auditor's report did not include any reference to such uncertainty. With reference to SA 570, state the auditor's responsibilities relating to going concern in the audit of financial statements.

In another audit of XYZ Limited, Mr. A identified a material uncertainty relating to going concern which was not disclosed in the financial statements. Guide the auditor as to what should be done in such circumstances as per SA 570 ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 15

964 EXAM May 2025 Q2(b) 5 marks

Give five examples of operating events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

ICAI'S ANSWER

As per SA 570, "Going Concern", the following are examples of operating events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

- Management intentions to liquidate the entity or to cease operations.
- Loss of key management without replacement.
- Loss of a major market, key customer(s), franchise, license, or principal supplier(s).
- Labour difficulties.
- Shortages of important supplies.
- Emergence of a highly successful competitor.

ICAI · P5 · May 2025 exam · question p. 13 · answer p. 14

965 EXAM Jan 2025 MCQ 15 2 marks MCQ

Management of ECX Systems Limited acknowledged that going concern assumption will not be suitable while preparing financial statements and informs the auditor that the fact of uncertainty related to going concern would suitably be disclosed in the notes of accounts. How should the auditor address this while preparing Independent Auditor's Report?

A To include a separate section under the heading "Material uncertainty related to Going Concern" in the auditor's report as per the requirement of SA 570.

B To include a separate section under the heading "Key Audit Matters" in the auditor's report as per the requirement of SA 701.

C To include a sub section under the heading "Material uncertainty related to Going Concern" under separate section of "Key Audit Matters" in the auditor's report as per the requirement of SA 705.

D To include a separate section under the heading "Key Audit Matters" in the auditor's report as per the requirement of SA 570.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · Jan 2025 exam · question p. 8-9 · answer p. 9

966 EXAM **Jan 2025** Case scenario · Q3(b)(i) to Q3(b)(ii)

5 marks

CASE SCENARIO

Projects India Limited (PIL) is engaged in manufacturing and trading of disposable glasses and plates used in social gatherings/functions. XYZ & Co., Chartered Accountants, is the statutory auditor of PIL for the F.Y. 2023-24. Analytical procedures carried out by the audit team, headed by CA Z, indicate that company's business is going downward

and PIL could achieve only 50% of total revenue of F.Y. 2022-23. Management has not taken any steps to increase the revenue or add new products or customers to stabilize the revenue and profitability. Also the suppliers are demanding cash payment at the time of purchase of raw material. Before finalizing the audit report, audit in charge asked for a cash flow forecast from management for the next 12 months from the end date of financial statements. Keeping in view the above facts, answer the following:

Q3(b)(i) 3 marks

What can be the likely purpose of CA Z in the above situation?

Q3(b)(ii) 2 marks

State any two audit procedures in relation to the cash flow forecast likely to be performed by CA Z.

ICAI'S ANSWERS

Q3(b)(i)

In the given situation, CA Z indicated that the company's business is going downward and 50% of total revenue is also being achieved, further, no steps are being taken by the management to stabilize the revenue and profitability. Accordingly, auditor in-charge asked for a cash flow forecast from management for the next 12 months to analyse as it is a significant factor in considering the future outcome of events or conditions in the evaluation of

management's plans for future actions. Thus, likely purpose of CA Z in the given situation are:

(1) to obtain sufficient appropriate audit evidence regarding and conclude on the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements;

(2) to conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern; and

(3) to report in accordance with SA 570.

Q3(b)(ii)

Audit procedures in relation to the cash flow forecast, and analysis likely to be performed by CA Z are:

(1) Evaluating the reliability of the underlying data generated to prepare the forecast; and

(2) Determining whether there is adequate support for the assumptions underlying the forecast.

ICAI · P5 · Jan 2025 exam · question p. 18-19 · answer p. 20, 20-21

967 **EXAM** **Sep 2024** Case Scenario 3 · MCQ 10 to MCQ 12

CASE SCENARIO 3

Mega Power Ltd. is a manufacturer of solar lanterns, which are used in remote villages where there is no reliable supply of electricity. However, due to power

projects undertaken by the government, the demand for their solar lanterns has significantly declined over the past few years.

The company was in need of ₹ 2 crores for working capital and other expenses but was not able to fund this amount Consequently, their suppliers were paid much later than usual and hence some of them withdrew the credit terms, meaning the company had to pay cash on delivery. This created a severe cash crunch and the auditor feels that other than the cash crunch, there are several other financial indicators that cast a significant doubt on the company's ability to continue as a going concern.

The management of the company, however, assures the auditor that this is temporary and the situation will change soon as they are planning to diversify their business. They are ready to provide written representation for the same. The auditor feels that a material uncertainty still exists. The auditor wants the management to make adequate disclosure about this in the financial statements. The auditor wants to include a separate section about this in his audit report. He is also contemplating about the kind of audit report that should be issued.

The auditor has concerns about ethical values and diligence of management. He is concerned about the reliability of the representations made by the management and the audit evidence in general. The auditor is of the opinion that the written representations from management are not reliable.

Based on the above facts, answer the following Q. Nos. 10 to 12.

MCQ 10

Financial events or conditions that may cast significant doubt on the entity's ability to continue as a going concern does not include

A. Inability to comply with the terms of loan agreements.

B. Inability to pay creditors on due dates.

C. Shortage of important supplies.

D. Substantial operating losses.

MCQ 11

Which kind of audit report will the auditor issue, if the use of going concern basis of accounting is appropriate, but a material uncertainty exists and adequate disclosure of the material uncertainty is made in the financial statements by the management?

A. Adverse opinion

B. Disclaimer of opinion

C. Unmodified opinion

D. Qualified opinion

MCQ 12

If the auditor is of the opinion that the written representations are not reliable, what kind of audit opinion should be issued by him?

A. Disclaimer of opinion

B Adverse opinion

C Unmodified opinion and mention the facts in Other Matters Paragraph

D Unmodified opinion and mention the facts in Emphasis of Matter Paragraph

ICAI'S ANSWERS

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(C)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · Sep 2024 exam · question p. 5-6 · answer p. 8

968 EXAM **Old P6 May 2023** Q5(a) 4 marks old scheme

S Ltd., a large textile manufacturing company, due to heavy recession in the market was unable to collect amount of huge receivables in time and also holding large amounts of stock of raw materials and finished goods since last 9 months of the Financial Year 2022-23.

From your primary observations of audit evidence, you feel that there is a material uncertainty existing about going concern.

How will you deal in your audit report?

What will be the effect on your audit opinion in the following situations?

(i) If adequate disclosure of such material uncertainty is already made in the financial statements.

(ii) If adequate disclosure of such material uncertainty is not made in the financial statements.

ICAI'S ANSWER

The Auditor of S Ltd shall deal in the following manner in his Audit Report:

Use of the Going Concern Basis of Accounting is Appropriate but a Material Uncertainty Exists

The identification of a material uncertainty is a matter that is important to users' understanding of the financial statements. The use of a separate section with a heading that includes reference to the fact that a material uncertainty related to going concern exists alerts users to this circumstance.

(1) Adequate Disclosure of a Material Uncertainty is made in the Financial Statements

If adequate disclosure about the material uncertainty is made in the financial statements, the auditor shall express an unmodified opinion and the auditor's report shall include a separate section under the heading "Material Uncertainty Related to Going Concern."

(2) Adequate Disclosure of a Material Uncertainty is Not Made in the Financial Statements

If adequate disclosure about the material uncertainty is not made in the financial statements, the auditor shall:

(a) Express a qualified opinion or adverse opinion, as appropriate, in accordance with SA 705 (Revised); and

(b) In the Basis for Qualified (Adverse) Opinion section of the auditor's report, state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter

ICAI · Old P6 · May 2023 exam · question p. 10 · answer p. 11

969 EXAM **Old P6 Jan 2021** Q5(a) 4 marks old scheme

Management's assessment of the entity's ability to continue as a going concern involves making a judgement about inherently uncertain future outcomes of events or conditions. What are relevant factors to that judgement?

ICAI'S ANSWER

Management's assessment of the entity's ability to continue as a going concern involves making a judgment, at a particular point in time, about inherently uncertain future outcomes of events or conditions. The following factors are relevant to that judgment:

- The degree of uncertainty associated with the outcome of an event or condition increases

significantly the further into the future an event or condition or the outcome occurs. For that reason, most financial reporting frameworks that require an explicit management assessment specify the period for which management is required to take into account all available information.

- The size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors affect the judgment regarding the outcome of events or conditions.
- Any judgment about the future is based on information available at the time at which the judgment is made. Subsequent events may result in outcomes that are inconsistent with judgments that were reasonable at the time they were made.

ICAI · Old P6 · Jan 2021 exam · question p. 9 · answer p. 9

970 **RTP** **Sep 2026** **Q16**

EF & Co., Chartered Accountants, are the appointed statutory auditors of UVW Ltd. for the financial year ended 31st March, 2026. During the audit, the auditor reviews management's assessment of the company's ability to continue as a going concern. The company has a consistent history of profitability and easy access to bank finance. However, management has not prepared a detailed analysis to support its assessment.

In a separate case, EF & Co. are auditing XYZ Ltd. The auditor notices that management's assessment of the

entity's ability to continue as a going concern covers only 9 months from the date of the financial statements.

Explain how the auditor should evaluate management's assessment of the entity's ability to continue as a going concern in the above cases.

ICAI'S ANSWER

Evaluating management's assessment: The auditor shall evaluate management's assessment of the entity's ability to continue as a going concern. Management's assessment of the entity's ability to continue as a going concern is a key part of the auditor's consideration of management's use of the going concern basis of accounting.

In the case of UVW Ltd., it is not the auditor's responsibility to rectify the lack of analysis by management. In some circumstances, however, the lack of detailed analysis by management to support its assessment may not prevent the auditor from concluding whether management's use of the going concern basis of accounting is appropriate in the circumstances.

For example, when there is a history of profitable operations and a ready access to financial resources, as in the case of UVW Ltd., management may make its assessment without detailed analysis. In this case, the auditor's evaluation of the appropriateness of management's assessment may be made without performing detailed evaluation procedures if the auditor's other audit procedures are sufficient to enable the auditor to conclude whether

management's use of the going concern basis of accounting in the preparation of the financial statements is appropriate in the circumstances.

However, in circumstances where the entity does not have strong financial indicators or where uncertainty exists, evaluating management's assessment of the entity's ability to continue as a going concern, may include an evaluation of the process management followed to make its assessment, the assumptions on which the assessment is based and management's plans for future action and whether management's plans are feasible in the circumstances.

In the separate case of XYZ Ltd., while evaluating management's assessment of the entity's ability to continue as a going concern, the auditor shall cover the same period as that used by management to make its assessment as required by the applicable financial reporting framework, or by law or regulation if it specifies a longer period. If management's assessment of the entity's ability to continue as a going concern covers less than twelve months from the date of the financial statements, the auditor shall request management to extend its assessment period to at least twelve months from that date.

Accordingly, in the case of UVW Ltd., the auditor may conclude that management's use of the going concern basis of accounting is appropriate even without detailed analysis, provided sufficient

appropriate audit evidence is available from other audit procedures and the company continues to demonstrate profitable operations and access to financial resources. However, in the case of XYZ Ltd., management's assessment is inadequate as it covers only 9 months from the date of the financial statements. Therefore, the auditor should request management to extend the assessment period to at least twelve months and thereafter evaluate the appropriateness of the going concern assumption in accordance with SA 570 (Revised).

ICAI · P5 · RTP Sep 2026 · question p. 9-10 · answer p. 18-20

971 **RTP** **Jan 2025** **Q15**

During the audit of a company, CA Kartik has noticed that company's turnover has fallen drastically as compared to last three years due to loss of its major markets and key customers. The company is in need of funds for new product development, but bankers are not willing to lend financial support. Which additional audit procedures need to be performed by CA Kartik in accordance with SA 570 when such events or conditions are identified?

ICAI'S ANSWER

Loss of major markets, key customers and inability to obtain financing for new product development are examples of events or conditions that may cast a significant doubt on the entity's ability to continue as going concern.

If events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern through performing additional audit procedures, including consideration of mitigating factors. These procedures shall include:

(a) Where management has not yet performed an assessment of the entity's ability to continue as a going concern, requesting management to make its assessment.

(b) Evaluating management's plans for future actions in relation to its going concern assessment, whether the outcome of these plans is likely to improve the situation and whether management's plans are feasible in the circumstances.

(c) Where the entity has prepared a cash flow forecast, and analysis of the forecast is a significant factor in considering the future outcome of events or conditions in the evaluation of management's plans for future actions: -

(i) Evaluating the reliability of the underlying data generated to prepare the forecast; and

(ii) Determining whether there is adequate support for the assumptions underlying the forecast.

(d) Considering whether any additional facts or information have become available since the date on which management made its assessment.

(e) Requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans.

ICAI · P5 · RTP Jan 2025 · question p. 7 · answer p. 15-16

972 **RTP** **Sep 2024** **Q16**

While conducting audit of BYN Limited, CA Y notices that company has lost one of its key markets along with important customers. Additionally, several highly successful competitors have emerged, impacting business of the company. Despite the existence of material uncertainty, CA Y finds the use of going concern basis of accounting appropriate for preparation of financial statements. The company has also disclosed material uncertainty in notes to accounts adequately. How should he deal with the matter in auditor's report?

ICAI'S ANSWER

As per SA 570, "Going concern", If adequate disclosure about the material uncertainty is made in the financial statements, the auditor shall express an unmodified opinion and the auditor's report shall include a separate section under the heading "Material Uncertainty Related to Going Concern" to:

-

(a) Draw attention to the note in the financial statements that discloses such matters.

(b) State that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is not modified in respect of the matter.

ICAI · P5 · RTP Sep 2024 · question p. 7 · answer p. 13

973 RTP **May 2024** General MCQ 2 MCQ

CA X is nearing completion of audit procedures during course of audit of a company. He has found nothing unusual till now. The company is earning handsome profits since last many years and there is little debt burden on it. It is also in the process of expanding its business by taking loan from a bank. The bank has also granted "in-principle" approval for lending money to the company. Which of the following statements is most appropriate in evaluation of going concern assumption being followed by management?

A Appropriateness of management's assessment in relation to going concern assumption may be made by auditor without performing detailed evaluation procedures.

B Appropriateness of management's assessment in relation to going concern assumption would be made by auditor by performing detailed evaluation procedures.

C Appropriateness of going concern assumption would be made by auditor directly by skipping management's assessment.

D Appropriateness of going concern assumption would be made by auditor by necessarily examining cash flow forecast.

ICAI'S ANSWER

(A) Appropriateness of management's assessment in relation to going concern assumption may be made by auditor without performing detailed evaluation procedures.

ICAI · P5 · RTP May 2024 · question p. 7 · answer p. 15

974 **RTP** **May 2024** Case scenario · Q17(i) to Q17(ii)

CASE SCENARIO

Kundan, a CA student, is part of an engagement team conducting audit of an entity. The audit procedures are nearing completion. He notices that engagement partner has asked for a cash flow forecast from management for next twelve months from date of financial statements. Keeping in view above, answer the following: -

Q17(i)

Discuss likely purpose of engagement partner in the above situation. Elaborate upon significance of such testing being performed by engagement partner.

Q17(ii)

State any two audit procedures in relation to cash flow forecast likely to be performed by engagement partner.

ICAI'S ANSWERS

Q17(i)

In the given situation, the engagement partner has asked for a cash flow forecast from management for next twelve months from date of financial statements. The audit procedures are also nearing completion.

Therefore, purpose of engagement partner in requiring a cash flow forecast is to obtain sufficient appropriate audit evidence regarding and to conclude on appropriateness of management's use of going concern basis of accounting in preparation of its financial statements. Further, his purpose is also to conclude on basis of audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast a significant doubt on ability to entity to continue as a going concern, and to report in accordance with SA 570.

The significance of testing going concern assumption is due to its effect on preparation of financial statements. When the use of going concern is considered as appropriate, assets and liabilities are recorded on the basis that entity will be able to realize its assets and discharge liabilities in normal course of business. In case it is not so viewed, financial statements are prepared on liquidation basis. Hence, testing such an assumption provides evidence to auditor whether use of such assumption is appropriate or not.

Q17(ii)

Two audit procedures in relation to cash flow forecast likely to be performed

- Evaluate reliability of underlying data generated to prepare the forecast
- Determine whether there is adequate support for assumptions underlying the forecast

ICAI · P5 · RTP May 2024 · question p. 12 · answer p. 26, 26-27

975 RTP **Old P6 Nov 2022** General MCQ 4 MCQ old scheme

A company is engaged in business of obtaining eggs from one day old chicks. Which of the following is NOT an example of an event or condition that may cast significant doubt on the ability of the company to continue as a going concern?

A. Mortality of 90% of livestock of the company

B. Decision by govt to ban commercial rearing of birds amidst protests by activists for preventing cruelty to animals

C. Shifting of farm labour to respective villages due to MGNREGA scheme of Govt causing acute scarcity throughout the year

D. Increase in cost of feed of chicks by 20% during the year

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Nov 2022 · question p. 9 · answer p. 15

976 RTP Old P6 Dec 2021 Q6 old scheme

While doing audit of ABC Pvt Ltd, on the basis of sufficient and appropriate evidence, auditor comes to a conclusion that use of the Going Concern Basis of Accounting is appropriate, but a material uncertainty exists. Discuss the implications for auditor's report if:

(a) Adequate Disclosure of a Material Uncertainty is Made in the Financial Statements

(b) Adequate Disclosure of a Material Uncertainty is Not Made in the Financial Statements

ICAI'S ANSWER

Use of the Going Concern Basis of Accounting is Appropriate but a Material Uncertainty Exists

The identification of a material uncertainty is a matter that is important to users' understanding of the financial statements. The use of a separate section with a heading that includes reference to the fact that a material uncertainty related to going concern exists alerts users to this circumstance.

(a) Adequate Disclosure of a Material Uncertainty is Made in the Financial Statements

If adequate disclosure about the material uncertainty is made in the financial statements, the auditor shall express an unmodified opinion and the auditor's report shall include a separate section under the heading "Material Uncertainty Related to Going Concern."

(b) Adequate Disclosure of a Material Uncertainty is Not Made in the Financial Statements

If adequate disclosure about the material uncertainty is not made in the financial statements, the auditor shall:

(a) Express a **qualified opinion or adverse opinion**, as appropriate, in accordance with SA 705 (Revised); and

(b) In the Basis for Qualified (Adverse) Opinion section of the auditor's report, state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter.

ICAI · Old P6 · RTP Dec 2021 · question p. 123 · answer p. 131

977 RTP **Old P6 Dec 2021** Q7(a) old scheme

Give examples of financial events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

ICAI'S ANSWER

The following are examples of **Financial** events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern :

- Net liability or net current liability position.
- Fixed-term borrowings approaching maturity without realistic prospects of renewal or

repayment; or excessive reliance on short-term borrowings to finance long-term assets.

- Indications of withdrawal of financial support by creditors.
- Negative operating cash flows indicated by historical or prospective financial statements.
- Adverse key financial ratios.

ICAI · Old P6 · RTP Dec 2021 · question p. 123 · answer p. 131-132

978 RTP **Old P6 Jul 2021** Q7(b) old scheme

When performing risk assessment procedures as required by SA 315, the auditor shall consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a going concern. In so doing, the auditor has determined that management of XYZ Ltd has already performed a preliminary assessment of the entity's ability to continue as a going concern. Explain how would auditor of XYZ Ltd proceed in the above case.

Also explain how would the auditor proceed if such an assessment has not yet been performed by the management.

ICAI'S ANSWER

When performing risk assessment procedures as required by SA 315, the auditor shall consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a going concern.

In so doing, the auditor shall determine whether management has already performed a preliminary assessment of the entity's ability to continue as a going concern, and:

(i) If such an assessment has been performed, the auditor shall discuss the assessment with management and determine whether management has identified events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern and, if so, management's plans to address them; or

(ii) If such an assessment has not yet been performed, the auditor shall discuss with management the basis for the intended use of the going concern basis of accounting, and inquire of management whether events or conditions exist that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

ICAI · Old P6 · RTP Jul 2021 · question p. 121 · answer p. 131

979 **RTP** **Old P6 Jul 2021** Q8(a) old scheme

Also asked in Old P6 MTP May 2022 S-II Q3(b)

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future. Explain. Also discuss the objectives of an auditor regarding Going concern as per relevant standard on auditing.

ICAI'S ANSWER

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future.

General purpose financial statements are prepared using the going concern basis of accounting, unless management either

(i) intends to liquidate the entity or to cease operations,

(ii) or has no realistic alternative but to do so.

When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.

The objectives of the auditor regarding Going Concern are:

(1) To obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements;

(2) To conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern; and

(3) To report in accordance with this SA.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 131-132

980 RTP **Old P6 Jul 2021 Q8(b)** old scheme

as described in SA 200, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for future events or conditions that may cause an entity to cease to continue as a going concern. Explain stating the auditor's responsibilities with regard to going concern.

ICAI'S ANSWER

The auditor's responsibilities are:

(1) to obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements, and

(2) to conclude, based on the audit evidence obtained, whether a material uncertainty exists about the entity's ability to continue as a going concern.

However, as described in SA 200, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for future events or conditions that may cause an entity to cease to continue as a going concern. The auditor cannot predict such future events or conditions. Accordingly, the absence of any reference to a material uncertainty about the

entity's ability to continue as a going concern in an auditor's report cannot be viewed as a guarantee as to the entity's ability to continue as a going concern.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 132

981 RTP **Old P6 Nov 2019** Q7(b) old scheme

When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business. Explain stating also the objective of the auditor regarding going concern.

ICAI'S ANSWER

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future. When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.

Objectives of the auditor regarding going concern

The objectives of the auditor are:

(a) To obtain written representations from management and, where appropriate, those charged with governance that they believe that they have fulfilled their responsibility for the preparation of

the financial statements and for the completeness of the information provided to the auditor;

(b) To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations, if determined necessary by the auditor or required by other SAs; and

(c) To respond appropriately to written representations provided by management and, where appropriate, those charged with governance, or if management or, where appropriate, those charged with governance do not provide the written representations requested by the auditor.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 15

982 MTP **Sep 2026 S-I** Q5(c) 4 marks

CA Ananya Sharma was appointed as the statutory auditor of Vertex Textiles Limited for the financial year 2025-26. During the audit, the company reported recurring operating losses, significant cash flow constraints and difficulties in meeting repayment obligations to lenders. While evaluating the financial statements, management prepared them on a going concern basis after assessing the company's future viability and funding arrangements.

The Audit Committee sought clarification from the auditor regarding her responsibilities in relation to the going concern assumption and whether an unmodified

audit report would guarantee that the company would continue its operations in the future.

Discuss the responsibilities of the auditor in relation to going concern under SA 570 (Revised). Also comment on whether the absence of any reference to a material uncertainty relating to going concern in the auditor's report can be regarded as a guarantee of the entity's future viability.

ICAI'S ANSWER

Responsibilities of the auditor

The auditor's responsibilities are to obtain sufficient appropriate audit evidence regarding and conclude on the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements and to conclude, based on the audit evidence obtained, whether a material uncertainty exists about the entity's ability to continue as a going concern. These responsibilities exist even if the financial reporting framework used in the preparation of the financial statements does not include an explicit requirement for management to make a specific assessment of the entity's ability to continue as a going concern.

However, as described in SA 200, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for future events or conditions that may cause an entity to cease to continue as a going concern. The auditor cannot predict such future events or conditions. Accordingly, the absence of any

reference to a material uncertainty about the entity's ability to continue as a going concern in an auditor's report cannot be viewed as a guarantee as to the entity's ability to continue as a going concern.

The auditor is responsible for obtaining sufficient appropriate audit evidence regarding the appropriateness of management's use of the going concern basis of accounting and for concluding whether a material uncertainty exists regarding the entity's ability to continue as a going concern. These responsibilities apply even where the applicable financial reporting framework does not expressly require management to perform a going concern assessment. However, because of the inherent limitations of an audit and the uncertainty associated with future events and conditions, the auditor cannot predict future outcomes. Therefore, the absence of any reference to a material uncertainty relating to going concern in the auditor's report should not be construed as a guarantee that the entity will continue as a going concern in the future.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 16 · answer p. 14

983 MTP **May 2026 S-II**

Case Scenario 3 [MCQs 8-12] · MCQ 8 to MCQ 12 10 marks

CASE SCENARIO 3 [MCQS 8-12]

DEF InfraTech Ltd. is a capital-intensive infrastructure company engaged in construction and leasing of transport assets. The company has

recently faced liquidity stress due to delayed government payments and cost overruns in ongoing projects.

CA R has been appointed as the statutory auditor for the financial year 2024–25, which is also the first year of audit engagement.

During the course of audit, the auditor observed that the company has incurred continuous losses for the last two years and has also breached major loan covenants. The management has prepared the financial statements on going concern basis supported by projected cash flows and expected restructuring of loans. However, these projections are based on assumptions of future government contracts which are yet to be finalised.

During discussions with management regarding the financial statements, the audit team raised concerns about the adequacy of disclosures relating to the company's ability to continue as a going concern, particularly in light of recurring losses, breach of loan covenants, and dependence on uncertain future cash inflows. However, the management strongly asserted that preparation of financial statements on a going concern basis was appropriate and that no additional disclosures were necessary. They argued that since the company had not initiated any formal insolvency proceedings, nor had any lender formally recalled loans or initiated recovery actions, there was no explicit requirement under the applicable

financial reporting framework to disclose uncertainties relating to going concern.

Management further supported its position by referring to internally prepared cash flow projections and ongoing negotiations with lenders for restructuring of borrowings, expressing confidence that the company would be able to meet its obligations in the normal course of business. They also indicated that making such disclosures in the financial statements could adversely affect stakeholder confidence, lender relationships and future business prospects. Accordingly, management advised the audit team to rely on their assessment and avoid insisting on additional disclosures, emphasising that the absence of a specific rule mandating disclosure in such circumstances justified their position.

Being the first year of audit, the auditor noted that opening balances include capitalised project costs from prior years. No prior period auditor's working papers were available. Further, certain accounting policies relating to capitalisation of borrowing costs appeared to have been changed during the current year without adequate disclosure.

The engagement team assessed inherent risk as high considering financial stress and complexity of estimates. However, management representations appeared overly optimistic, leading to internal debate within the audit team regarding reliance on measurable indicators versus professional judgment.

Further examination revealed that the company owns aircraft used for leasing, which are depreciated as a single unit instead of separating significant components such as engines and airframe. Residual values have not been deducted while computing depreciation. Additionally, the method of depreciation was changed during the year without proper disclosure.

On the basis of the above, answer the following MCQs (8–12):

MCQ 8 2 marks

Considering the auditor's responsibilities in relation to going concern as described in the facts, which of the following should be the auditor's primary focus?

A. To obtain sufficient appropriate audit evidence regarding appropriateness of going concern basis and assess material uncertainty based on assumptions used

B. To conclude only on the existence of losses and loan defaults

C. To verify only whether management has prepared projections supporting going concern

D. To report only if liquidation is certain

MCQ 9 2 marks

In the context of management's assertion that no disclosure is required unless insolvency is certain, which of the following approaches should the auditor adopt?

A Follow rules strictly and avoid disclosure

B Rely only on legal opinion

C Accept management's view to maintain client relationship

D Apply principles-based approach and exercise professional judgment considering substance over form

MCQ 10 2 marks

Considering that this is the first year of audit and prior period auditor's working papers are not available, along with change in accounting policy, what should the auditor primarily ensure?

A Opening balances need not be verified

B Only current year transactions should be verified

C Obtain sufficient appropriate audit evidence regarding opening balances and consistency of accounting policies

D Rely completely on management representations

MCQ 11 2 marks

Given the presence of optimistic management assumptions and high inherent risk, how should the auditor approach risk assessment?

A Base risk assessment only on quantifiable metrics

B Apply professional judgment based on audit evidence and auditor expertise

C Treat risk assessment as a precise calculation ignoring subjective factors

D Rely solely on management representations

MCQ 12 2 marks

Based on the depreciation issues identified in the case, which of the following is the most appropriate audit conclusion?

A Multiple issues exist including non-component depreciation, ignoring residual value and lack of disclosure of change in method

B Only change in method requires verification

C Depreciation is acceptable if total expense appears reasonable

D Depreciation errors are immaterial due to long-term nature of assets

ICAI'S ANSWERS

MCQ 8

Answer key: **(A)**

MCQ 9

Answer key: **(D)**

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(B)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · MTP May 2026 · Series II · question p. 5-6 · answer p. 1

984 MTP **Jan 2026 S-I** MCQ 15 2 marks MCQ

During audit of FAN Pvt. Ltd., the auditor finds that the company has defaulted on loan repayments and is unable to pay creditors on time. The auditor is having doubts over going concern status of the company. The management refuses to make any assessment of its going concern status. Auditor is unable to obtain sufficient appropriate audit evidence regarding management's use of the going concern basis of accounting in the preparation of the financial statements. What implication does this have on the auditor's report?

A Issue an unmodified opinion as auditor cannot predict future events.

B Issue a disclaimer or qualified opinion.

C No impact as management is responsible for assessment.

D Mention it only in the "Key Audit Matters" section.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 7 · answer p. 1

985 MTP **Jan 2026 S-II** Q3(b) 5 marks

AB Ltd. is facing a temporary decline in sales due to adverse market conditions. However, the management has prepared future cash flow projections showing that the company will be able to continue its operations and discharge its liabilities in the normal course of

business. The financial statements have been prepared on the assumption that the entity is a going concern. In such a situation, the auditor is also required to evaluate this assumption in line with the objectives of SA 570.

Explain the concept of going concern and its significance in the preparation of financial statements, linking it with the objectives of SA 570 regarding the auditor's evaluation of the going concern assumption.

ICAI'S ANSWER

Going concern is one of the fundamental accounting assumptions. The enterprise is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the enterprise has neither the intention nor the necessity of liquidation or of curtailing materially the scale of the operations.

SA 570 requires the auditor to obtain sufficient appropriate audit evidence regarding and conclude on the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future. General purpose financial statements are prepared using the going concern basis of accounting, unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so. Based on the audit

evidence obtained, the auditor also has to conclude whether any material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern

The significance of Going Concern is due to its effect on preparation of financial statements. Ability or otherwise of an enterprise to be viewed as going concern affects its preparation of financial statements.

When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realize its assets and discharge its liabilities in the normal course of business.

When an enterprise is not viewed as a going concern, the financial statements are prepared on liquidation basis. For example, inventories may need to be written down as these may be sold for a lower price. Assets may have to be recorded at the likely prices they will fetch.

The auditor must report appropriately as required by SA 570, depending on whether the going concern basis is appropriate, whether adequate disclosures are made, and whether a material uncertainty exists.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 9 · answer p. 5-6

986 MTP **Sep 2025 S-I** Q3(b) 5 marks

During course of audit of a company, CA NP has noticed that company's financial position is precarious. The management is unable to pay creditors in agreed timelines and bankers are also not enhancing its credit facilities as key financial ratios are adverse. He is of the view that events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern. He wants to obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. Which additional procedures need to be performed by him in this regard in accordance with SA 570?

ICAI'S ANSWER

As per SA 570, "Going Concern", if events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern through performing additional audit procedures, including consideration of mitigating factors. These procedures shall include:

(i) Where management has not yet performed an assessment of the entity's ability to continue as a

going concern, requesting management to make its assessment.

(ii) Evaluating management's plans for future actions in relation to its going concern assessment, whether the outcome of these plans is likely to improve the situation and whether management's plans are feasible in the circumstances.

(iii) Where the entity has prepared a cash flow forecast, and analysis of the forecast is a significant factor in considering the future outcome of events or conditions in the evaluation of management's plans for future actions: -

(I) Evaluating the reliability of the underlying data generated to prepare the forecast; and

(II) Determining whether there is adequate support for the assumptions underlying the forecast.

(iv) Considering whether any additional facts or information have become available since the date on which management made its assessment.

(v) Requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 9 · answer p. 6-7

987 MTP **May 2025 S-I** MCQ 13 2 marks MCQ

PQR Ltd., a manufacturing company, has been facing operational challenges. Recently, they struggled to find

essential raw materials due to supply chain disruptions. This shortage has significantly impacted production, leading to delays in fulfilling customer orders. The company's financial health has also deteriorated, with declining cash flows leading to inability to pay creditors on time. Additionally, key financial ratios have worsened, and the company has stopped paying dividends to shareholders due to liquidity concerns.

Given this situation, which of the following is not a financial event or condition that may cast significant doubt on the entity's ability to continue as a going concern?

- **A** Adverse key financial ratios.
- **B** Inability to pay creditors on time.
- **C** Shortages of important supplies.
- **D** Arrears or discontinuance of dividends.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP May 2025 · Series I · question p. 6-7 · answer p. 1

988 MTP **Jan 2025 S-I** Q6(c) 4 marks

During the audit of a company, CA Atul noticed that company is facing significant skilled labour shortages resulting in hampering operations of the company. The company's manufacturing is dependent upon skilled labour coming from villages in certain districts of Eastern UP. However, due to job opportunities available

near villages now, many are not interested in leaving their native villages.

The company failed to keep its commitments due to such situation, consequently lost orders and faced decrease in its revenues. The fixed costs of the company remain at a high level. As a result, the company is facing a liquidity crunch and is not able to pay its creditors on time. The bankers of the company are also not willing to help the company to tide over liquidity crisis. The auditor has doubts over going concern status of the company. How should management of the company try to address auditor's concerns? What audit procedures may be performed by auditors in such a situation?

ICAI'S ANSWER

Significant shortage of skilled labour, inability to pay creditors on time and overall liquidity crisis faced by the company are examples of events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

In such a situation, management should try to address auditor's concerns by preparing its future plan of action including preparation of cash flow forecast showing inflow and outflow of cash. Such a cash flow forecast should address auditor's concerns regarding liquidity crisis being faced by the company.

The auditor should perform audit procedures to evaluate the reliability of the underlying data to

> prepare the forecast and determining whether there is adequate support for the assumptions underlying the forecast. The auditor should also consider whether any additional facts or information have become available since the date on which management made its assessment.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 10 · answer p. 11

989 **MTP** **Jan 2025 S-II** **Q1(a)** **5 marks**

ABC Pvt. Ltd., a manufacturing company, is facing significant financial difficulties due to downfall in market and increase in cost of production. CA Ram, the auditor of ABC Pvt. Ltd. has identified the following conditions:

- The company has defaulted on a major loan repayment.
- Current liabilities exceed current assets by 50%.
- Sales revenue has declined by 30% compared to the previous year.

Management has not yet performed an assessment of the company's ability to continue as a going concern, but they provided assurance for implementing corrective measures, including cost-cutting initiatives and discussions with creditors for restructuring the loan.

Which additional audit procedures need to be performed by CA Ram in accordance with SA 570 when such events or conditions are identified?

ICAI'S ANSWER

SA 570, "Going Concern", deals with the auditor's responsibilities in the audit of financial statements relating to going concern and the implications for the auditor's report.

If events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern through performing additional audit procedures, including consideration of mitigating factors. These procedures shall include:

(i) Where management has not yet performed an assessment of the entity's ability to continue as a going concern, requesting management to make its assessment.

(ii) Evaluating management's plans for future actions in relation to its going concern assessment, whether the outcome of these plans is likely to improve the situation and whether management's plans are feasible in the circumstances.

(iii) Where the entity has prepared a cash flow forecast, and analysis of the forecast is a significant factor in considering the future outcome of events

or conditions in the evaluation of management's plans for future actions:

(I) Evaluating the reliability of the underlying data generated to prepare the forecast; and

(II) Determining whether there is adequate support for the assumptions underlying the forecast.

(iv) Considering whether any additional facts or information have become available since the date on which management made its assessment.

(v) Requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 8 · answer p. 1-2

990 MTP **Sep 2024 S-I** Q2(a) 5 marks

Stay fit Private Limited is a start-up that has been in business for about two years. It runs an application which provides valuable information pertaining to nutrition and helps its clients to access customized healthy food. The company's revenues are expected to grow in the coming period. Although company has reflected net losses in its financial statements for the last two years, it has managed to meet its financial commitments. The financial statements for last two years were prepared on going concern basis of accounting. The management of company wants to follow the same basis of accounting for the current year. Is the view of management appropriate? How does

the “going concern” affect the preparation of financial statements?

ICAI'S ANSWER

As per SA 570, “Going Concern”, going concern is one of the fundamental accounting assumptions. The enterprise is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the enterprise has neither the intention nor the necessity of liquidation or of curtailing materially the scale of the operations.

Under the going concern basis of accounting, the financial statements are prepared on the assumption that the entity is a going concern and will continue its operations for the foreseeable future. General purpose financial statements are prepared using the going concern basis of accounting, unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

In the given situation, company has reflected net losses in financial statements of last two years but is able to meet its financial commitments signifying its ability to carry on business/trade. The revenue of company is also expected to grow in the coming period. It shows that management has neither the intention nor the necessity of liquidation or of curtailing materially the scale of operations. Therefore, view of the management for following

going concern basis of accounting in current year is appropriate.

Further, the significance of going concern is due to its effect on the preparation of financial statements. Ability or otherwise of an enterprise to be viewed as going concern affects its preparation of financial statements. When the use of the going concern basis of accounting is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realise its assets and discharge its liabilities in the normal course of business. When an enterprise is not viewed as a going concern, the financial statements are prepared on liquidation basis. For example, inventories may need to be written down as these may be sold for a lower price. Assets may have to be recorded at the likely prices they will fetch.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 8 · answer p. 3

991 MTP **May 2024 S-I** Q2(a) 4 marks

Mention any four financial events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as going concern.

ICAI'S ANSWER

Financial events or conditions that may cast significant doubt on the entity's ability to continue as going concern:

(i) Net liability or net current liability position.

(ii) Fixed-term borrowings approaching maturity without realistic prospects of renewal or repayment; or excessive reliance on short term borrowings to finance long term assets.

(iii) Indications of withdrawal of financial support by trade payables.

(iv) Negative operating cash flows indicated by historical or prospective financial statements.

(v) Adverse key financial ratios.

(vi) Substantial operating losses or significant deterioration in the value of assets used to generate cash flows.

(vii) Arrears or discontinuance of dividends.

(viii) Inability to pay trade payables on due dates.

(ix) Inability to comply with terms of loan agreements.

(x) Change from credit to cash-on-delivery transactions with suppliers.

(xi) Inability to obtain financing for essential new product development or other essential investments.

ICAI · P5 · MTP May 2024 · Series I · question p. 10 · answer p. 4

992 MTP **May 2024 S-I** Q3(b) 4 marks

CA B is statutory auditor of Boom Payments Bank for year 2023-24. During the year, banking regulator has imposed restrictions on Bank from accepting new

deposits due to non-compliance in conducting KYC in large number of accounts and violation of rules aimed at preventing money laundering. There is material uncertainty regarding probable outcome of such restrictions on ability of Bank to continue as going concern. However, for year 2023-24, auditor has concluded that use of going concern basis of accounting is appropriate. The financial statements of Bank do not make adequate disclosure of material uncertainty due to above events in financial statements. What are implications for auditor's report for year 2023-24 in view of above?

ICAI'S ANSWER

As described in the situation given in the question, banking regulator has imposed restrictions due to non-compliance with regulatory requirements and there is material uncertainty of such events or conditions which may cast a significant doubt on ability of Bank to continue as going concern. However, the financial statements of Bank do not make adequate disclosure of material uncertainty due to above events in financial statements.

If adequate disclosure about the material uncertainty is not made in the financial statements, the auditor shall:

(i) Express a qualified opinion or adverse opinion, as appropriate, in accordance with SA 705.

(ii) In the Basis for Qualified (Adverse) Opinion section of the auditor's report, state that a material uncertainty exists that may cast significant doubt on

the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter.

ICAI · P5 · MTP May 2024 · Series I · question p. 10-11 · answer p. 5-6

993 MTP **Old P6 Nov 2023 S-II** General MCQ 4 1 mark MCQ

old scheme

Following are examples of events or conditions that may cast significant doubt on an entity's ability to continue as a going concern. Which of following is an example of operating event/conditions?

A Adverse key financial ratios

B Inability to pay creditors on due dates

C Indications of withdrawal of financial support by creditors

D Shortages of important supplies

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 4 · answer p. 1

994 MTP **Old P6 May 2022 S-I** General MCQ 2 1 mark MCQ

old scheme

Also asked in Old P6 MTP Dec 2021 S-I General MCQ 4 · Old P6 MTP Nov 2020 S-I General MCQ 1

Which of the following is not an example of an event or condition that may cast significant doubt on entity's ability to continue as a going concern:

A Loss of key management without replacement

B Adverse key financial ratios

C Inability to pay creditors on due date

D Current year profit turns to loss after providing depreciation

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 5 · answer p. 1

7.3 SA 450: evaluating misstatements

6 questions · asked in 6 ICAI documents · 1 exam paper

995 **EXAM** **May 2024** Q6(c) **3 marks**

Mr. D an auditor, while auditing ACE Ltd., identified certain misstatements in relation to particular class of transactions and account balances. He had communicated same to those charged with governance and also taken written representation for the same. State the audit documentation required by the auditor regarding misstatements identified during the audit.

ICAI'S ANSWER

Documentation regarding misstatements identified during audit: The audit documentation shall include:

(i) The amount below which misstatements would be regarded as clearly trivial;

(ii) All misstatements accumulated during the audit and whether they have been corrected; and

(iii) The auditor's conclusion as to whether uncorrected misstatements are material, individually or in aggregate, and the basis for that conclusion.

ICAI · P5 · May 2024 exam · question p. 18 · answer p. 21

996 MTP Sep 2025 S-II Q6(c) 4 marks

CA Sandeep has identified certain misstatements during course of audit of an entity. Except two misstatements, all were corrected by management. He wants to obtain written representation from management regarding effects of these uncorrected misstatements. Describe matter contained in such written representations.

Also discuss documentation requirements regarding misstatements identified during the course of audit in accordance with relevant SA.

ICAI'S ANSWER

In the given case, all except two misstatements have been corrected by management.

The auditor shall request a written representation from management and, where appropriate, those charged with governance whether they believe the effects of uncorrected misstatements are immaterial, individually and in aggregate, to the financial statements as a whole. A summary of such

items shall be included in or attached to the written representation.

The documentation requirements regarding misstatements identified during the course of audit in accordance with SA 450 are as under: -

(a) The amount below which misstatements would be regarded as clearly trivial

(b) All misstatements accumulated during the audit and whether they have been corrected and

(c) The auditor's conclusion as to whether uncorrected misstatements are material, individually or in aggregate, and the basis for that conclusion.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 11 · answer p. 12-13

997 MTP **Sep 2024 S-II** Q1(a) 5 marks

CDE Private Limited, a manufacturing company, had made investment in shares of some blue-chip companies. Additionally, it had temporarily deposited some of its extra funds in fixed deposits with a scheduled bank. Dividend from shares amounting to ₹ 1.80 lakhs (net of TDS, TDS = ₹ 0.20 lakhs) and bank interest of ₹ 2.70 lakhs (net of TDS, TDS = ₹ 0.30 lakhs) were credited in bank account of the company. During the year 2023-24, it has also sold some shares resulting in net gain of ₹ 5 lakhs. The company has shown above incomes under head "Other income" for consolidated amount of ₹ 9.50 lakhs in the statement of Profit and Loss. No other information is furnished in the financial

statements put up for audit. As the auditor of the company, discuss whether the above situation constitutes “misstatement” in the financial statements of the company. Also state, few examples of misstatements.

ICAI’S ANSWER

Misstatement refers to a difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework.

In the given situation, there is a difference in amount to be recorded as well as in disclosure of a financial statement item from what is required in accordance with applicable financial reporting framework. The company should have recorded gross amount of dividend and interest amounting to ₹ 2.00 lakhs and ₹ 3.00 lakhs respectively in its financial statements in accordance with AS 13. Therefore, amount recorded under head “Other income” should have been for ₹ 10 lakhs (2 lakhs+3 lakhs+5 lakhs).

Further, in accordance with disclosure requirements of Schedule III of the Companies Act, 2013, other income shall be classified in the above situation as: -

(a) Interest Income of ₹ 3 lakhs

(b) Dividend Income of ₹ 2 lakhs

(c) Net gain on sale of investments of ₹ 5 lakhs

Few examples of misstatements are:

- Charging of an item of capital expenditure to revenue or vice-versa.
- Difference in disclosure of a financial statement item vis-à-vis its requirement in applicable financial reporting framework.
- Selection or application of inappropriate accounting policies.
- Difference in accounting estimate of a financial statement item vis-à-vis its appropriateness in applicable financial reporting framework.
- Intentional booking of fake expenses in statement of profit and loss.
- Overstating of receivables in the financial statements by not writing off irrecoverable debts.
- Overstating or understating inventories.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 8 · answer p. 1-2

998 MTP **May 2024 S-I** Q1(b) 4 marks

Up and High Private Limited has started its export business during the year 2023-24. The company was catering to domestic market only in past years. CA H, statutory auditor of the company, is of the view that the company has understated its revenue by ₹ 50.00 lacs in the year 2023-24 by not complying with requirements of AS 9 relating to revenue recognition.

(i) Discuss responsibilities of statutory auditor to communicate with management in the above situation in accordance with SA 450. Also explain the usefulness of such communication.

(ii) If management refuses to correct misstatement as communicated by the statutory auditor, how should he proceed?

ICAI'S ANSWER

The above situation is an example of misstatement relating to non-compliance with requirements of AS 9 identified during audit. In accordance with requirements of SA 450, the auditor shall communicate on a timely basis all misstatements accumulated during the audit with the appropriate level of management, unless prohibited by law or regulation. The auditor shall request management to correct those misstatements.

Timely communication of misstatements to the appropriate level of management is important as it enables management to evaluate whether the items are misstatements, inform the auditor if it disagrees and take action as necessary. The correction by management of all misstatements, including those communicated by the auditor, enables management to maintain accurate accounting books and records and reduces the risks of material misstatement of future financial statements because of the cumulative effect of immaterial uncorrected misstatements related to prior periods.

If management refuses to correct some or all of the misstatements communicated by the auditor, the auditor shall obtain an understanding of management's reasons for not making the corrections and shall take that understanding into account when evaluating whether the financial statements as a whole are free from material misstatement.

ICAI · P5 · MTP May 2024 · Series I · question p. 9 · answer p. 2-3

999 MTP **May 2024 S-II** General MCQ 3 2 marks MCQ

During course of audit of a company, it is noticed by auditor that Profit before tax of company is Rs. 5 lakhs. Depreciation on building reflected in Schedule of PPE forming part of financial statements has been computed for Rs.10 lacs. The correct depreciation, according to him, should be Rs.25 lacs. The above description as a whole is an example of _____?

A Misstatement

B Assertion

C Sampling method

D Audit risk

ICAI'S ANSWER

(A)

ICAI · P5 · MTP May 2024 · Series II · question p. 8 · answer p. 2

1000 MTP **Old P6 Nov 2019 S-I** MCQ 6 1 mark MCQ

old scheme

A difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework is :

- A Misstatement
- B Error
- C fraud
- D Any of the above

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 2 · answer p. 1

7.4 SA 580: written representations

34 questions · asked in 23 ICAI documents · 6 exam papers

1001 EXAM **May 2026** Q1(c) 4 marks

During the statutory audit of Orion Manufacturing Ltd., the auditor, CA Raghav Mehta, observed that the company's management had changed during the financial year. The earlier management resigned midway through the year, and a new management team assumed charge thereafter.

While completing the audit, the auditor requested written representations from the management

regarding their responsibilities for the preparation of financial statements and other audit-related matters. However, the new management stated that they could provide written representations only for the period from the date they assumed office and not for the earlier period when the previous management was in charge.

Examine the above situation and explain with reference to SA 580, the appropriate date of the written representation and the period that should be covered by such representation.

ICAI'S ANSWER

As per SA 580 "Written Representations", the date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements. The written representations shall be for all financial statements and period(s) referred to in the auditor's report.

Because written representations are necessary audit evidence, the auditor's opinion cannot be expressed, and the auditor's report cannot be dated, before the date of the written representations. Furthermore, because the auditor is concerned with events occurring up to the date of the auditor's report that may require adjustment to or disclosure in the financial statements, the written representations are dated as near as practicable to, but not after, the date of the auditor's report on the financial statements.

The written representations are for all periods referred to in the auditor's report because management needs to reaffirm that the written representations it previously made with respect to the prior periods remain appropriate.

Situations may arise where current management were not present during all periods referred to in the auditor's report. Such persons may assert that they are not in a position to provide some or all of the written representations because they were not in place during the period. This fact, however, does not diminish such persons' responsibilities for the financial statements as a whole. Accordingly, the requirement for the auditor to request from them written representations that cover the whole of the relevant period(s) still applies.

In the given case, CA Raghav Mehta should obtain written representations from the current management as near as practicable to, but not after, the date of the auditor's report. Further, such written representations must cover the entire financial year referred to in the auditor's report, including the period during which the previous management was in charge. The inability of the current management to have been present during the earlier period does not reduce its responsibility for the financial statements as a whole. Therefore, the auditor is still required to request written representations covering the whole relevant period in accordance with SA 580.

1002 EXAM **Jan 2026** Q2(a) 5 marks

You are the Chief Financial Officer (CFO) of Fortune Hotels Ltd., a company operating in the hospitality sector with multiple hotels across India. The company has recently completed its accounting and financial reporting for the financial year 2024-25, which includes preparation of the balance sheet, profit and loss account, and notes to accounts. As a Key Managerial Personnel (KMP), you are required to provide a written representation letter to the statutory auditors.

Illustrate the matters you would include in the Written Representation letter (in accordance with SA 580 "Written Representations") relating to the Financial Statements.

ICAI'S ANSWER

Matters to be included in Written Representation Letter– Relating to Financial Statements: As management and Key Managerial Personnel, we acknowledge and represent to you that:

1. We have fulfilled our responsibilities, as set out in the terms of the audit engagement dated _____, for the preparation of the financial statements in accordance with financial reporting Standards in particular, the financial statements give a true and fair view in accordance with the applicable accounting standards in India.

2. Significant assumptions used by us in making accounting estimates, including those measured at fair value, are reasonable.
3. Related party relationships and transactions have been appropriately accounted for and disclosed in accordance with the requirements of applicable accounting standards in India. (SA 550)
4. All events subsequent to the date of the financial statements and for which applicable accounting standards in India require adjustment or disclosure have been adjusted or disclosed. (SA 560)
5. The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)

ICAI · P5 · Jan 2026 exam · question p. 15-16 · answer p. 16-17

1003 **EXAM** **May 2025** MCQ 14 **2 marks** MCQ

Which of the following statement is incorrect with regard to written representations?

A Written representations are an important source of audit evidence.

B Written representations are necessary information that the auditor requires in connection with the audit of the entity's financial statements.

C Written representations not only provide necessary audit evidence, but also provide sufficient appropriate audit evidence on their own about any of matters with which they deal.

D Written representations only provide necessary audit evidence but do not provide sufficient appropriate audit evidence on their own about any of matters with which they deal.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · May 2025 exam · question p. 7 · answer p. 8

1004 **EXAM** **May 2025** Q5(b) **5 marks**

The Management of Sun Shine Ltd. has provided the auditor with a written representation regarding its. responsibilities for the preparation of the financial statements. In addition to this, the auditor may request other written representations about the financial statements.

Mention such other representations which may supplement but do not form part of the written representation relating to management's responsibilities regarding preparation of financial statements.

ICAI'S ANSWER

As per SA 580, "Written Representations", in addition to the written representation about management's responsibilities regarding preparation of financial statements, the auditor may

consider it necessary to request other written representations about the financial statements.

Other representations which may supplement, but do not form part of the written representation relating to management's responsibilities regarding preparation of financial statements are the following:

(i) Whether the selection and application of accounting policies are appropriate; and

(ii) Whether matters such as the following, where relevant under the applicable financial reporting framework, have been recognized, measured, presented or disclosed in accordance with that framework:

1. Plans or intentions that may affect the carrying value or classification of assets and liabilities;
2. Liabilities, both actual and contingent;
3. Title to, or control over, assets, the liens or encumbrances on assets, and assets pledged as collateral; and
4. Aspects of laws, regulations and contractual agreements that may affect the financial statements, including non-compliance.

ICAI · P5 · May 2025 exam · question p. 19-20 · answer p. 21

1005 **EXAM** **May 2024** **Q3(b)** **4 marks**

The management of PQ Ltd. changed during the period under audit. Mr. G an auditor, at the time of receiving

written representation on the management responsibilities from the management, was in a dilemma related to the date of and period(s) covered by the written representation. Further, new management was of the view that they can give written representation from the date they took over and not for the prior period when old management were managing affairs of the company. Guide the auditor & the management in this respect.

ICAI'S ANSWER

As per SA 580, "Written Representations", the date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements. The written representations shall be for all financial statements and period(s) referred to in the auditor's report.

Furthermore, because the auditor is concerned with events occurring up to the date of the auditor's report that may require adjustment to or disclosure in the financial statements, the written representations are dated as near as practicable to, but not after, the date of the auditor's report on the financial statements.

The written representations are for all periods referred to in the auditor's report because management needs to reaffirm that the written representations it previously made with respect to the prior periods remain appropriate.

Situations may arise where current management were not present during all periods referred to in

the auditor's report. Such persons may assert that they are not in a position to provide some or all of the written representations because they were not in place during the period. This fact, however, does not diminish such persons' responsibilities for the financial statements as a whole. Accordingly, the requirement for the auditor to request from them written representations that cover the whole of the relevant period(s) still applies. In view of above, management is required to provide the written representation for all the periods even when current management were not present during all periods referred to in the auditor's report.

ICAI · P5 · May 2024 exam · question p. 9 · answer p. 10-11

1006 EXAM **Old P6 Dec 2021** Q3(a) 4 marks old scheme

CA K is re-appointed as the auditor of B Ltd. He wants to re-confirm certain matters and has asked the management to give written representations for the same. Under what circumstances can an auditor ask the management to reconfirm its acknowledgement and understanding of responsibilities in written representation?

ICAI'S ANSWER

Other Written Representation: Other SAs require the auditor to request written representations. If, in addition to such required representations, the auditor determines that it is necessary to obtain one or more written representations to support other audit evidence relevant to the financial statements

or one or more specific assertions in the financial statements, the auditor shall request such other written representations.

The written representations draw on the agreed acknowledgement and understanding of management of its responsibilities by requesting confirmation that it has fulfilled them. **The auditor, CA K of B Ltd,** may also ask **management of B Ltd** to reconfirm its acknowledgement and understanding of those responsibilities in written representations. This is particularly appropriate when:

(i) Those who signed the terms of the audit engagement on behalf of the entity no longer have the relevant responsibilities;

(ii) The terms of the audit engagement were prepared in a previous year;

(iii) There is any indication that management misunderstands those responsibilities; or

(iv) Changes in circumstances make it appropriate to do so.

ICAI · Old P6 · Dec 2021 exam · question p. 5 · answer p. 5-6

1007 EXAM **Old P6 Jan 2021** Q2(d) 3 marks old scheme

Also asked in Old P6 MTP Dec 2021 S-II Q6(e)

Explain the objectives of the auditor regarding written representations.

ICAI'S ANSWER

The objectives of the auditor regarding written representation:

(i) To obtain written representations

To obtain written representations from management. Also that management believes that it has fulfilled its responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor;

(ii) To support other evidence

To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations; and

(iii) To respond appropriately

To respond appropriately to written representations provided by management or if management does not provide the written representations requested by the auditor.

ICAI · Old P6 · Jan 2021 exam · question p. 3 · answer p. 4

1008 RTP Jan 2026 Q16

GEM Ltd has appointed GSP & Co., Chartered Accountants as its Statutory Auditors. While conducting its audit, the audit partner requested the management to provide a written representation that it has fulfilled its responsibility for the preparation of financial statements in accordance with the applicable financial

reporting framework. The Manager (Finance) is of the view that since all records and evidence have already been given, a separate written representation is not required. Explain.

ICAI'S ANSWER

In the given case, GSP & Co., auditor of GEM Ltd. requested the management to provide written representation that it has fulfilled its responsibility for the preparation of financial statements in accordance with the applicable financial reporting framework. The Manager (Finance) is of the view that since all records and evidence have already been given, a separate written representation is not required. View of Manager (Finance) is not correct because written representations about management responsibilities are necessary due to the following reasons:

Audit evidence obtained during the audit that management has fulfilled its responsibilities regarding preparation of financial statements and about information provided and completeness of transactions is not sufficient without obtaining confirmation from management that it believes that it has fulfilled those responsibilities. This is because the auditor is not able to judge solely on other audit evidence whether management has prepared and presented the financial statements and provided information to the auditor on the basis of the agreed acknowledgement and understanding of its responsibilities.

For example, the auditor could not conclude that management has provided the auditor with all relevant information agreed in terms of the audit engagement without asking it whether, and receiving confirmation that, such information has been provided.

The written representations requiring fulfilment of management responsibilities in relation to above draw on the agreed acknowledgement and understanding of management of its responsibilities in the terms of the audit engagement by requesting confirmation that it has fulfilled them. The auditor may also ask management to reconfirm its acknowledgement and understanding of those responsibilities in written representations.

This is particularly appropriate when: -

- Those who signed the terms of the audit engagement on behalf of the entity no longer have the relevant responsibilities;
- The terms of the audit engagement were prepared in a previous year;
- There is any indication that management misunderstands those responsibilities; or
- Changes in circumstances make it appropriate to do so.

ICAI · P5 · RTP Jan 2026 · question p. 8 · answer p. 15-16

1009 RTP Sep 2024 Q15

CA Manoj is the statutory auditor of a company. He has completed the audit and issued the audit report dated June 30, 2024. Before signing the audit report, written representations dated June 29, 2024, were obtained from the management of the company. Discuss the significance of the date of written representations. Also state whether the written representations obtained on June 29, 2024 is appropriate or not.

ICAI'S ANSWER

As per SA 580, "Written Representations" the date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements.

Since written representations are necessary audit evidence, the auditor's opinion cannot be expressed, and the auditor's report cannot be dated before the date of the written representations. Furthermore, because the auditor must consider events occurring up to the date of the auditor's report that might require adjustment to or disclosure in the financial statements, the written representations are dated as near as practicable to, but not after, the date of the auditor's report on the financial statements.

In the given situation, CA Manoj obtained written representations dated June 29, 2024, from the management of the company before signing the audit report on June 30, 2024.

From the above is can be concluded that written representations have been obtained appropriately.

1010 RTP **Old P6 Nov 2023 Q6(a)** old scheme

Written representations are to be provided by the management to the auditor when requested. Explain

ICAI'S ANSWER

Management from Whom Written Representations Requested: SA-580, "Written Representations", the auditor shall request written representations from management with appropriate responsibilities for the financial statements and knowledge of the matters concerned.

Written representations are requested from those responsible for the preparation and presentation of the financial statements. Those individuals may vary depending on the governance structure of the entity, and relevant law or regulation; however, management (rather than those charged with governance) is often the responsible party. Written representations may therefore be requested from the entity's chief executive officer and chief financial officer, or other equivalent persons in entities that do not use such titles. In some circumstances, however, other parties, such as those charged with governance, are also responsible for the preparation and presentation of the financial statements.

If management does not provide one or more of the requested written representations, the auditor shall-

(i) discuss the matter with management;

(ii) re-evaluate the integrity of management and evaluate the effect that this may have on the reliability of representations (oral or written) and audit evidence in general; and

(iii) take appropriate actions, including determining the possible effect on the opinion in the auditor's report.

The auditor shall disclaim an opinion on the financial statements if management does not provide the written representations.

ICAI · Old P6 · RTP Nov 2023 · question p. 11 · answer p. 19

1011 RTP **Old P6 May 2023** Q7(a) old scheme

M/s Suraj & Associates are the statutory auditors of Yuvraj Ltd. for the FY 2020-21. During the course of audit, CA Suraj, the engagement partner requested the management of the company to provide written representation with respect to valuation of a transaction. The management, however, did not provide the same to CA Suraj. What course of action should CA Suraj follow in such a situation?

ICAI'S ANSWER

If management does not provide one or more of the requested written representations, the auditor shall:

(a) Discuss the matter with management;

(b) Re-evaluate the integrity of management and evaluate the effect that this may have on the

reliability of representations (oral or written) and audit evidence in general; and

(c) Take appropriate actions, including determining the possible effect on the opinion in the auditor's report in accordance with SA 705.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 17

1012 RTP **Old P6 Dec 2021** Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

One of the objectives of the written representation is to support other audit evidence relevant to the financial statements

Q1(ii)

computer software which is the integral part of the related hardware should be treated as fixed asset/tangible asset.

Q1(iii) out of syllabus

The auditor appointed under section 139 may be removed from his office before the expiry of his term by Board resolution only.

Q1(iv)

The matter of difficulty, time, or cost involved is in itself a valid basis for the auditor to omit an audit procedure for which there is no alternative.

Q1(v)

The auditor must include in audit documentation superseded drafts of working papers and financial statements, notes that reflect incomplete or preliminary thinking etc.

Q1(vi)

If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, the auditor need not seek direct communication with the entity's external legal counsel.

Q1(vii)

Collateral security refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. This security is the principal security for an advance.

Q1(viii)

The first auditor or auditors of a Multi-State co-operative society shall be appointed by the board within one month of the date of registration of such society

ICAI'S ANSWERS

Q1(i)

Correct: One of the objectives of the written representation is to support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representation. Written representations cannot be a substitute for other evidence that the auditor could expect to be reasonably available.

Q1(ii)

Correct: As per AS-26 on Intangible Assets, computer software for a computer controlled machine tool that cannot operate without that specific software is an integral part of the related hardware and it is treated as a fixed asset. Therefore, computer software which is the integral part of the related hardware should be treated as fixed asset/tangible asset.

Q1(iii)

Incorrect: According to **Section 140(1),** the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per **Rule 7 of CAAR, 2014.**

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term only by special resolution with the Central Government's prior approval (section 140(1) of the Companies Act, 2013 and Rule 7 of the Companies (Audit and Auditors) Rules, 2014) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors).

Q1(iv)

Incorrect: The matter of difficulty, time, or cost involved is not in itself a valid basis for the auditor to omit an audit procedure for which there is no alternative.

Appropriate planning assists in making sufficient time and resources available for the conduct of the audit. Notwithstanding this, the relevance of

information, and thereby its value, tends to diminish over time, and there is a balance to be struck between the reliability of information and its cost.

Q1(v)

Incorrect: The auditor need not include in audit documentation superseded drafts of working papers and financial statements, notes that reflect incomplete or preliminary thinking, previous copies of documents corrected for typographical or other errors, and duplicates of documents.

Q1(vi)

Incorrect: If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel.

Q1(vii)

Incorrect: Primary security refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. This security is the principal security for an advance.

Collateral security is an additional security. Security can be in any form i.e. tangible or intangible asset, movable or immovable asset.

Q1(viii)

Correct: Section 70 of the Multi-State Co-operative Societies Act, 2002 provides that the first auditor or auditors of a Multi-State co-operative society shall be appointed by the board within one month of the date of registration of such society and the auditor or auditors so appointed shall hold office until the conclusion of the first annual general meeting. If the board fails to exercise its powers under this sub-section, the Multi-State co-operative society in the general meeting may appoint the first auditor or auditors.

ICAI · Old P6 · RTP Dec 2021 · question p. 121 · answer p. 127, 128

1013 RTP **Old P6 Jul 2021**

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

RS & Associates have been appointed as the statutory auditors of MNO Ltd. for the Financial Year 2019-20. CA Ramesh is the engagement partner for the assignment. The management of MNO Ltd. has duly given a written representation letter to CA Ramesh regarding acknowledgement of its responsibility for the implementation and operation of accounting system and the internal control system of the company. The management has assured the audit firm that such accounting and internal control systems are designed and implemented to prevent and detect any misstatement on account of fraud or error.

During the course of audit, the auditor found that the wages cost has increased substantially as compared to the last year. On detailed checking CA Ramesh found that many new workers have been added to the workers list which appear to be dummy workers to CA Ramesh.

Further the auditor found that there was a fraud amounting to Rs. 2 crores committed during the year under audit by an officer of the company. Such fraud has already been reported by the Cost Accountant of the company, Mr. Sudesh, to the Central Government. The statutory auditors are considering their reporting responsibilities in this regard.

The audit team also realized that there is inadequate Internal Control System with respect to the following:

- The system of authorization and approval of transactions specially in the process of making purchases.
- The system of record keeping with respect to the assets.

Based on the above facts, answer the following:-

MCQ 2.1

As the management of MNO Ltd. has given a written representation regarding its responsibility for prevention and detection of misstatement on account of fraud and error, M/s RS & Associates:-

A Should rely on such management representation and conduct its audit procedures without wasting much time and resources towards detection of fraud and error.

B Should not consider such management representation as a substitute for obtaining sufficient and appropriate audit evidence and design its audit procedures accordingly.

C Should not rely on such management representation and should obtain written representation from those charged with governance.

D Should concentrate on audit of accounting system and accounting policies so used by the company as the prevention and detection of fraud and error is the responsibility of the management.

MCQ 2.2 out of syllabus

The inclusion of dummy workmen in the workmen list by the management of MNO Ltd. as noticed by CA Ramesh amounts to:-

A Suppressing cash receipts

B Casting wrong total in cash book

C Inflating cash payment

D Misappropriation of goods

MCQ 2.3 out of syllabus

With respect to the fraud which has already been reported by The Cost accountant of the company, Mr.

Sudesh, what is the responsibility of M/s RS & Associates in this regard?

A Since the reporting has been done to the Central Government by the cost accountant of the company, the statutory auditor has no responsibility for such fraud and its reporting.

B The cost accountant has detected and reported the fraud to the Central Government. The statutory auditor should not interfere in the work of the Cost Accountant.

C CA Ramesh should review the steps taken by the management with respect to the reported fraud and if he is not satisfied with such steps, he should request the management to perform additional procedures to enable him to satisfy himself that the matter has been appropriately addressed.

D CA Ramesh should obtain written representation from the management that once the matter is appropriately addressed, he will be duly informed by the management.

MCQ 2.4 out of syllabus

.....refers to events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud:-

A Fraud Risk Factors

B Misappropriation of assets

C Incentives/ Pressures

D Fraud

MCQ 2.5 out of syllabus

Statement 1: The risk of auditor not detecting a material misstatement resulting from employee fraud is greater than for management fraud.

Statement 2: The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error.

A Only statement 1 is correct

B Only statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

ICAI'S ANSWERS

MCQ 2.1

(B)

MCQ 2.2

(C)

PassBook's note: Out of syllabus (old scheme): the kinds of misappropriation of cash (inflating cash payments, here through dummy workmen in the wages list, against suppressing cash receipts or casting wrong totals) belonged to old Paper 6's vouching and errors and frauds content (SA 240).

MCQ 2.3

(C)

PassBook's note: Out of syllabus (old scheme): the statutory auditor's duty for a fraud already reported under section 143(12) by the cost auditor (review the steps management has taken and ask for additional procedures if not satisfied, ICAI's Guidance Note on Reporting on Fraud) was taught in old Paper 6.

MCQ 2.4

(A)

PassBook's note: Out of syllabus (old scheme): fraud risk factors (events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit it) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

MCQ 2.5

(B)

PassBook's note: Out of syllabus (old scheme): comparing the risk of not detecting employee fraud with that of management fraud, and fraud with error, is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240, and the January 2027 Study Material has only Statement 2's sentence (in the auditor's report wording of its Audit Report chapter), not Statement 1's comparison, so the item carries only the nearest sub-topic (inherent limitations of an audit).

ICAI · Old P6 · RTP Jul 2021 · question p. 117 · answer p. 125

1014 RTP **Old P6 May 2020** Q6(a) old scheme

Audit evidence is all the information used by the auditor in arriving at the conclusions on which the audit opinion is based. Written representations are necessary information that the auditor requires in connection with the audit of the entity's financial statements. Accordingly, similar to responses to inquiries, written representations are audit evidence. Explain stating clearly objectives of the auditor regarding written representation.

ICAI'S ANSWER

Audit evidence is all the information used by the auditor in arriving at the conclusions on which the audit opinion is based. Written representations are necessary information that the auditor requires in connection with the audit of the entity's financial statements. Accordingly, similar to responses to inquiries, written representations are audit evidence.

Written representations are requested from those responsible for the preparation and presentation of the financial statements.

Although written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal. Furthermore, the fact that management has provided reliable written representations does not affect the nature or extent of other audit evidence that the auditor obtains about the fulfillment of management's responsibilities, or about specific assertions.

The objectives of the auditor regarding written representation

The objectives of the auditor are:

(a) To obtain written representations

To obtain written representations from management. Also that management believes that it has fulfilled its responsibility for the preparation of

the financial statements and for the completeness of the information provided to the auditor;

(b) To support other evidence

To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations; and

(c) To respond appropriately

To respond appropriately to written representations provided by management or if management does not provide the written representations requested by the auditor.

ICAI · Old P6 · RTP May 2020 · question p. 7 · answer p. 15-16

1015 RTP **Old P6 Nov 2019** Q8(b) old scheme

Explain clearly objective of the auditor regarding written representation.

ICAI'S ANSWER

The objectives of the auditor regarding written representation

The objectives of the auditor are:

(a) **To obtain written representations**

To obtain written representations from management. Also that management believes that it has fulfilled its responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor;

(b) **To support other evidence**

To support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representations; and

(c) **To respond appropriately**

To respond appropriately to written representations provided by management or if management does not provide the written representations requested by the auditor.

ICAI · Old P6 · RTP Nov 2019 · question p. 6 · answer p. 16

1016 MTP **Sep 2026 S-II Q4(b)** 5 marks

Zene Investments Limited, an investment company, held a significant portfolio of investments as at 31st March, 2026. During the audit, the Engagement Partner noted that the valuation of certain investments depended significantly upon management's stated intention regarding whether the investments would be held for the long term or disposed of in the near future.

The Audit Assistant stated that management's oral explanation regarding its intention should be sufficient, particularly because management had followed similar investment strategies in earlier years. The Engagement Partner, however, considered management's past actions, the reasons for choosing the proposed course of action, its ability to pursue that course of action and other audit evidence that might be inconsistent with management's stated intention. He also considered

obtaining a written representation from management regarding its specific intention.

Explain the matters that an auditor may consider when obtaining evidence about, or evaluating, management's judgments and intentions. Also explain when written representations about specific assertions may be considered necessary, with a suitable example, and discuss whether such representations, by themselves, provide sufficient appropriate audit evidence.

ICAI'S ANSWER

Written representations about specific assertions: When obtaining evidence about, or evaluating, judgments and intentions, the auditor may consider one or more of the following:

(i) The entity's past history in carrying out its stated intentions.

(ii) The entity's reasons for choosing a particular course of action.

(iii) The entity's ability to pursue a specific course of action.

(iv) The existence or lack of any other information that might have been obtained during the course of the audit that may be inconsistent with management's judgment or intent.

In addition, the auditor may consider it necessary to request management to provide written representations about specific assertions in the financial statements, in particular, to support an understanding that the auditor has obtained from

other audit evidence of management's judgment or intent in relation to, or the completeness of, a specific assertion.

Example: If the intent of management is important to the valuation basis for investments, it may not be possible to obtain sufficient appropriate audit evidence without a written representation from management about its intentions.

Although such written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own for that assertion.

The Audit Assistant's view is not appropriate. The auditor should evaluate management's intentions using relevant audit evidence and may obtain written representations where necessary. However, such representations cannot by themselves constitute sufficient appropriate audit evidence for the relevant assertion.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 15 · answer p. 10-11

1017 MTP **May 2026 S-I** Q6(a) 5 marks

OPQ Infrastructure Ltd. is engaged in the construction of large industrial projects. The company has significant estimates in its financial statements such as actuarial valuation of employee benefits, environmental restoration liabilities, and provisions relating to ongoing legal disputes.

CA R has been appointed as the statutory auditor of the company for the year ended 31 March 2025. During the course of the audit, the auditor noted that the preparation of the financial statements involved inputs from several specialists, including an actuary for employee benefit obligations, staff engineers for estimating environmental liabilities, and the company's internal legal counsel for assessing provisions relating to pending litigations.

While completing the audit, the auditor requested the management to provide written representations confirming that it has fulfilled its responsibilities for the preparation and presentation of the financial statements in accordance with the applicable financial reporting framework. Management agreed to provide such representations but proposed to include qualifying language stating that the representations are made "to the best of its knowledge and belief."

In the above circumstances, explain the written representation that the auditor may obtain from management regarding its responsibilities for the preparation of financial statements. Also comment on whether the auditor can accept representations containing such qualifying language.

ICAI'S ANSWER

Written representation about management's responsibilities involves confirmation of fulfilment of management's responsibilities in the preparation of the financial statements: The auditor shall request management to provide a

written representation that it has fulfilled its responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation, as set out in the terms of the audit engagement.

Due to its responsibility for the preparation and presentation of the financial statements and its responsibilities for the conduct of the entity's business, management would be expected to have sufficient knowledge of the process followed by the entity in preparing and presenting the financial statements and the assertions therein on which to base the written representations.

In some cases, however, management may decide to make inquiries of others who participate in preparing and presenting the financial statements and assertions therein, including individuals who have specialized knowledge relating to the matters about which written representations are requested. Such individuals may include:

- An actuary responsible for actuarially determined accounting measurements.
- Staff engineers who may have responsibility for and specialized knowledge about environmental liability measurements.
- Internal counsel who may provide information essential to provisions for legal claims.

In some cases, management may include in the written representations qualifying language to the effect that representations are made to the best of its knowledge and belief. It is reasonable for the auditor to accept such wording if the auditor is satisfied that the representations are being made by those with appropriate responsibilities and knowledge of the matters included in the representations.

To reinforce the need for management to make informed representations, the auditor may request that management include in the written representations confirmation that it has made such inquiries as it considered appropriate to place it in the position to be able to make the requested written representations.

In the given case, the auditor may obtain written representations from management confirming that it has fulfilled its responsibility for the preparation and fair presentation of the financial statements. The inclusion of the phrase “to the best of its knowledge and belief” in the written representation may be accepted by the auditor, provided the auditor is satisfied that the representation is being made by management having appropriate responsibility and adequate knowledge of the matters concerned.

ICAI · P5 · MTP May 2026 · Series I · question p. 16-17 · answer p. 16-17

1018 MTP **May 2026 S-II** Q6(a) 5 marks

YZ & Co., Chartered Accountants, were appointed as auditors of Shree Ltd. for the financial year 2024–25. The auditor proposed to sign the audit report on 30th June 2025.

Management provided written representations dated 10th June 2025 and refused to update them closer to the date of the auditor's report, stating that no material changes had occurred.

Further, the present management took charge from 1st October 2024 and declined to give written representations for the period April to September 2024 on the ground that they were not in position during that period.

In the above context, explain the requirements relating to the date of written representations in relation to the auditor's report and the period(s) to be covered by such representations. Also, comment on the validity of management's stand.

ICAI'S ANSWER

Date of and Period(s) covered by Written Representations: The date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements. The written representations shall be for all financial statements and period(s) referred to in the auditor's report.

Because written representations are necessary audit evidence, the auditor's opinion cannot be expressed,

and the auditor's report cannot be dated, before the date of the written representations. Furthermore, because the auditor is concerned with events occurring up to the date of the auditor's report that may require adjustment to or disclosure in the financial statements, the written representations are dated as near as practicable to, but not after, the date of the auditor's report on the financial statements.

The written representations are for all periods referred to in the auditor's report because management needs to reaffirm that the written representations it previously made with respect to the prior periods remain appropriate.

Situations may arise where current management were not present during all periods referred to in the auditor's report. Such persons may assert that they are not in a position to provide some or all of the written representations because they were not in place during the period. This fact, however, does not diminish such persons' responsibilities for the financial statements as a whole. Accordingly, the requirement for the auditor to request from them written representations that cover the whole of the relevant period(s) still applies.

The management is required to provide written representations dated as near as practicable to the date of the auditor's report and covering the entire period under audit. In case of refusal, the auditor

should consider appropriate modification in the audit report.

ICAI · P5 · MTP May 2026 · Series II · question p. 15 · answer p. 12-13

1019 MTP **Sep 2025 S-I** Q4(c) 4 marks

CA Keshav has been re-appointed as the auditor of PKT Ltd. In order to re-confirm certain matters, he has requested the management to provide written representations. Under what circumstances can an auditor request the management to reconfirm its acknowledgement and understanding of its responsibilities through written representations?

ICAI'S ANSWER

Other Written Representation: As per SA 580, "Written Representations", the written representations requiring fulfilment of management responsibilities in relation to above draw on the agreed acknowledgement and understanding of management of its responsibilities in the terms of the audit engagement by requesting confirmation that it has fulfilled them. The auditor, CA Keshav of PKT Ltd, may also ask management of PKT Ltd to reconfirm its acknowledgement and understanding of those responsibilities in written representations. This is particularly appropriate when:

(i) Those who signed the terms of the audit engagement on behalf of the entity no longer have the relevant responsibilities;

(ii) The terms of the audit engagement were prepared in a previous year;

(iii) There is any indication that management misunderstands those responsibilities; or

(iv) Changes in circumstances make it appropriate to do so.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 10 · answer p. 8-9

1020 **MTP** **Jan 2025 S-I** **Q1(a)** **5 marks**

During the audit of a company, CA Jack obtained written representations from management regarding all known instances of non-compliance with laws and regulations that should be considered in the preparation of the financial statements. However, during the audit, he observed that the information provided in this regard was incomplete, and the audit evidence indicating such non-compliance contradicted the written representations, casting doubt on their reliability.

How should CA Jack proceed in this situation?

ICAI'S ANSWER

In the given situation, company's management has not provided complete information regarding instances of non-compliance with laws & regulations. If the auditor has concerns about the competence, integrity, ethical values or diligence of management, or about its commitment to or enforcement of these, the auditor shall determine the effect that such concerns may have on the

reliability of representations and audit evidence in general.

The above situation highlights that auditor has obtained audit evidence relating to non-compliance with laws which is inconsistent with written representations in this respect casting a doubt about reliability of written representations.

As per SA 580, “Written Representation”, if written representations are inconsistent with other audit evidence, the auditor shall perform audit procedures to attempt to resolve the matter. If the matter remains unresolved, the auditor shall reconsider the assessment of the competence, integrity, ethical values or diligence of management, or of its commitment to or enforcement of these, and shall determine the effect that this may have on the reliability of representations and audit evidence in general.

If the auditor concludes that the written representations are not reliable, the auditor shall take appropriate actions, including determining the possible effect on the opinion in the auditor’s report in accordance with SA 705, “Modifications to the Opinion in the Independent Auditor’s Report” having regard to the requirement of disclaimer of opinion.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 7 · answer p. 1-2

1021 **MTP** **Jan 2025 S-II** Q6(c) **4 marks**

The management of PQ Ltd. changed during the period under audit. Mr. Govind, an auditor, at the time of receiving written representation on the management responsibilities from the management, was in a dilemma related to the date of and period(s) covered by the written representation. Further, new management was of the view that they can give written representation from the date they took over and not for the prior period when old management were managing affairs of the company. Guide the auditor and the management in this respect.

ICAI'S ANSWER

As per SA 580, "Written Representations", the date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report on the financial statements. The written representations shall be for all financial statements and period(s) referred to in the auditor's report.

Furthermore, because the auditor is concerned with events occurring up to the date of the auditor's report that may require adjustment to or disclosure in the financial statements, the written representations are dated as near as practicable to, but not after, the date of the auditor's report on the financial statements.

The written representations are for all periods referred to in the auditor's report because management needs to reaffirm that the written

representations it previously made with respect to the prior periods remain appropriate.

Situations may arise where current management were not present during all periods referred to in the auditor's report. Such persons may assert that they are not in a position to provide some or all of the written representations because they were not in place during the period. This fact, however, does not diminish such persons' responsibilities for the financial statements as a whole. Accordingly, the requirement for the auditor to request from them written representations that cover the whole of the relevant period(s) still applies. In view of above, management is required to provide the written representation for all the periods even when current management were not present during all periods referred to in the auditor's report.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 9-10

1022 MTP **May 2024 S-II** Q2(a) 4 marks

Written representation about management's responsibilities involves confirmation of fulfilment of management's responsibilities in the preparation of the financial statements providing the relevant information and also informing about completeness of transactions. Explain.

ICAI'S ANSWER

Written representation about management's responsibilities involves confirmation of fulfilment

of management's responsibilities in following areas: -

(I) Preparation of the financial statements

The auditor shall request management to provide a written representation that it has fulfilled its responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation, as set out in the terms of the audit engagement.

Due to its responsibility for the preparation and presentation of the financial statements and its responsibilities for the conduct of the entity's business, management would be expected to have sufficient knowledge of the process followed by the entity in preparing and presenting the financial statements and the assertions therein on which to base the written representations.

(II) Information provided and completeness of transactions

The auditor shall request management to provide a written representation that: -

(i) It has provided the auditor with all relevant information and access as agreed in the terms of the audit engagement and

(ii) All transactions have been recorded and are reflected in the financial statements.

ICAI · P5 · MTP May 2024 · Series II · question p. 9 · answer p. 3-4

1023 MTP **Old P6 May 2023 S-I** Q5(a) 3 marks old scheme

Akash & Associates are the statutory auditors of Deluxe Ltd. for the FY 2020-21. During the course of audit, CA Akash, the engagement partner requested the management of the company to provide written representation with respect to valuation of a transaction. The management, however does not provide the same to CA Akash. What course of action should CA Akash follow in such situation?

ICAI'S ANSWER

If management of Deluxe Ltd. does not provide one or more of the requested written representations, CA Akash should:

(a) Discuss the matter with management;

(b) Re-evaluate the integrity of management and evaluate the effect that this may have on the reliability of representations (oral or written) and audit evidence in general; and

(c) Take appropriate actions, including determining the possible effect on the opinion in the auditor's report in accordance with SA 705.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 6

7.5 SA 260 and SA 265: communicating with those charged with governance

19 questions · asked in 19 ICAI documents · 4 exam papers

1024 **EXAM** **May 2026** Q5(c) **4 marks**

ABC Ltd. is a listed company with an annual turnover of ₹ 1,000 crores. The company has appointed three joint auditors, ST and Associates, TR and Associates and PQ and Associates, to conduct the statutory audit for the financial year 2025-26.

Since ABC Ltd. is a listed entity, the joint auditors are required to comply with ethical requirements relating to independence. Before commencing the audit, the audit firms held a meeting with the Audit Committee and submitted written communications regarding their independence. During the meeting, the Audit Committee asked the auditors to clarify the specific matters that must be included in such communication to ensure compliance with professional requirements.

With reference to SA 260, explain the matters that should be included in the communication regarding auditor's independence to those charged with governance in case of listed entities.

ICAI'S ANSWER

As per SA 260 "Communication with Those Charged with Governance", in case of listed entities, the auditor shall include following matters in the

communication regarding auditor's independence to those charged with governance:

(I) A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence and

(II) (i) All relationships and other matters between the firm, network firms, and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence. This shall include total fees charged during the period covered by the financial statements for audit and non-audit services provided by the firm and network firms to the entity and components controlled by the entity. These fees shall be allocated to categories that are appropriate to assist those charged with governance in assessing the effect of services on the independence of the auditor and

(ii) The related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level.

ICAI · P5 · May 2026 exam · question p. 28 · answer p. 30

1025 EXAM Sep 2025 Q2(a) 5 marks

What do you mean by 'Deficiency in internal control' and 'Significant deficiency in internal control'?

ICAI'S ANSWER

SA 265 "Communicating Deficiencies in Internal Control to Those Charged with Governance and Management", defines the deficiency in internal control and significant deficiency in internal control.

Deficiency in internal control – This exists when: -

(i) A control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis or

(ii) A control necessary to prevent, or detect and correct, misstatements in the financial statements on a timely basis is missing.

Significant deficiency in internal control – A deficiency or combination of deficiencies in internal control that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance.

The significance of a deficiency or a combination of deficiencies in internal control depends not only on whether a misstatement has actually occurred, but also on the likelihood that a misstatement could occur and the potential magnitude of the misstatement. Significant deficiencies may, therefore, exist even though the auditor has not identified misstatements during the audit.

ICAI · P5 · Sep 2025 exam · question p. 15 · answer p. 15-16

1026 EXAM Jan 2025 Q5(b) 5 marks

SRP Limited appointed M/s JK & Co. as its statutory auditors. Auditors while carrying out the audit observed that company has entered into a complex transaction having material effect on the financial statements. In order to have realistic information on the said transaction (relevant to the audit), audit team decided to take assistance from those charged with governance. Two of the team members were discussing as to who can be "Those charged with governance" but could not get a fair idea of the same. Can you guide them by explaining the same?

ICAI'S ANSWER

Who are "Those Charged with Governance":

- The person(s) or organization(s) (e.g., a corporate trustee) with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process.
- For some entities, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager.
- Governance structures vary by entities, reflecting influences such as different cultural and legal backgrounds, and size and ownership characteristics. For example, in some entities, a

supervisory board exists that is separate from executive board.

- In other entities, both supervisory and executive functions are performed by a single board. In some entities, those charged with governance hold positions that are an integral part of the entity's legal structure. For example, company directors. In some cases, some or all of those charged with governance are involved in managing the entity. In others, those charged with governance and management comprise different persons.
- In most entities, governance is the collective responsibility of a governing body, such as a board of directors, a supervisory board, partners, proprietors, a committee of management, trustees, or equivalent persons.
- In some smaller entities, however, one person may be charged with governance, for example, the owner-manager where there are no other owners, or a sole trustee.
- Such diversity means that it is not possible to specify for all audits the persons with whom the auditor is to communicate particular matters. Also, in some cases, the appropriate persons with whom to communicate may not be clearly identifiable from the applicable legal framework or other engagement circumstances, for example, entities where the governance structure is not formally defined, such as some family-

owned entities and some not-for-profit organizations.

- In such cases, the auditor may need to discuss and agree with the engaging party the relevant persons with whom to communicate. In deciding with whom to communicate, the auditor's understanding of an entity's governance structure and processes obtained in accordance with SA 315 is relevant. The appropriate persons with whom to communicate may vary depending on the matter to be communicated.

ICAI · P5 · Jan 2025 exam · question p. 25-26 · answer p. 27-28

1027 **EXAM** **Sep 2024** **Q6(a)** **4 marks**

CA Vasu was appointed as the statutory auditor of M/s. Pizza Limited for the financial year 2023-24. While reviewing the internal controls, he observed that the company has entered into many transactions with firms in which the directors are interested. The company's specified procedure was by-passed in such transactions. CA Vasu considered it as a significant deficiency in internal control over related party transactions. He communicated this deficiency to Those Charged With Governance (TCWG) as under, "Controls over significant transactions with related parties are weak." In view of the above, please explain:

(i) What is meant by deficiency in internal control?

(ii) As per SA 265, whether the significant deficiency communicated by CA Vasu to TCWG is appropriate?

Explain.

ICAI'S ANSWER

(i) **Meaning of Deficiency in internal control:** This exists when -

(1) A control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis or

(2) A control necessary to prevent, or detect and correct, misstatements in the financial statements on a timely basis is missing.

(ii) As per SA 265, While pointing out significant deficiencies in internal control, auditor has not only to communicate significant deficiencies giving their description but also explain the potential effects and sufficient information to those charged with governance and management to understand context of communication.

Therefore, the above communication is not proper. Not only significant deficiency has to be communicated, it should also be explained to management the potential effects of transactions with firm in which the directors are interested. It should explain that such a significant deficiency can lead to misstatement of transactions with related party. Highlighting importance of such a control, it should be stated that responsibility be fixed for concerned persons for adhering to such an important control.

1028 **RTP** **May 2026** **Q16**

During the audit of LMN Limited, the auditor identified certain significant deficiencies in the internal control system which could adversely affect the reliability of financial reporting. The auditor is required to communicate such deficiencies to those charged with governance and also to management on a timely basis.

Further, the auditor is required to ensure that the written communication clearly specifies the nature and implications of such deficiencies.

With reference to above, explain:

(i) the auditor's responsibility for communication of significant deficiencies in internal control to those charged with governance and management; and

(ii) the matters that the auditor shall include in the written communication of such significant deficiencies.

ICAI'S ANSWER

The auditor shall communicate in writing significant deficiencies in internal control identified during the audit to those charged with governance on a timely basis.

The auditor shall also communicate to management at an appropriate level of responsibility on a timely basis: –

(a) In writing, significant deficiencies in internal control that the auditor has communicated or

intends to communicate to those charged with governance, unless it would be inappropriate to communicate directly to management in the circumstances; and

(b) Other deficiencies in internal control identified during the audit that have not been communicated to management by other parties and that, in the auditor's professional judgment, are of sufficient importance to merit management's attention.

The auditor shall include in the written communication of significant deficiencies in internal control:

(a) A description of the deficiencies and an explanation of their potential effects; and

(b) Sufficient information to enable those charged with governance and management to understand the context of the communication.

In particular, the auditor shall explain that:

(i) The purpose of the audit was for the auditor to express an opinion on the financial statements;

(ii) The audit included consideration of internal control relevant to the preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of internal control; and

(iii) The matters being reported are limited to those deficiencies that the auditor has identified during

the audit and that the auditor has concluded are of sufficient importance to merit being reported to those charged with governance.

Thus, proper written communication of significant deficiencies along with their implications and context, enables timely corrective action and enhances the effectiveness of governance and internal control systems.

ICAI · P5 · RTP May 2026 · question p. 9-10 · answer p. 18-19

1029 **RTP** **May 2025** **Q15**

On reviewing internal control over inventories as part of statutory audit of a company, auditor finds that physical verification is not being conducted at regular intervals as stipulated by the management. The auditor finds it to be significant deficiency in internal control over inventories.

He points it out to the management in a one-liner as under: -

"Physical verification of inventories is not being conducted at regular intervals as stipulated by management."

Is above communication by auditor proper? Ignore statutory reporting requirements, if any in this regard.

ICAI'S ANSWER

As per SA 265, "Communicating Deficiencies in Internal Control to Those Charged with Governance and Management", while pointing out significant

deficiencies in internal control, auditor has not only to communicate significant deficiencies giving their description but also explain the potential effects and sufficient information to those charged with governance and management to understand context of communication.

In the given situation, auditor noticed significant deficiency in internal control over inventories and he pointed out the same to management i.e. "Physical verification of inventories is not being conducted at regular intervals as stipulated by management."

Therefore, the above communication is not proper. Not only significant deficiency has to be communicated, it should also be explained to management the potential effects of not carrying out physical verification of inventories at regular intervals as stipulated by management. It should explain that such a significant deficiency can lead to misstatement of inventories impacting profits of the company. Highlighting the importance of such a control, it should be stated that responsibility be fixed for concerned person(s) for adhering to such an important control.

ICAI · P5 · RTP May 2025 · question p. 6 · answer p. 13

1030 RTP **May 2024** Case Scenario - 2 · MCQ 2.1 to MCQ 2.4

CASE SCENARIO - 2

CA M. Raja has accepted offer of appointment of auditor of an entity. As business carried on by the entity is new to him, he wants to gain an understanding about the entity and its environment including its internal control. In this regard, he has performed procedures to obtain audit evidence about design and implementation of relevant controls. He has performed various procedures like inquiry, inspection and observation in this regard.

He wants reasonable assurance that accounting system is adequate and that all accounting information which should be recorded has, in fact, been recorded.

Further, during the course of audit, he has noticed as under: -

- As required by the management, bank reconciliation is required to be performed monthly. However, the same is not carried out as stipulated due to time constraints faced by accountant.
- The entity has a system of procuring its raw material supplies on the basis of valid purchase orders issued by the entity. However, purchase orders are not numbered in a sequence properly.
- Wage sheets are not verified by a responsible official as required by management.

- Staff of the entity is responsible for bringing cash from centers in nearby areas to entity's premises from where it is deposited into entity's bank account. However, concerned officer has not renewed insurance for cash in transit.

Based on above, answer the following questions: -

MCQ 2.1

The auditor has performed procedures to obtain audit evidence about design and implementation of controls. Which of the following procedures is more reliable to obtain audit evidence relating to application of a control?

A Observing application of control

B Inspecting documentation pertaining to control

C Inquiry about application of control

D Studying design of control

MCQ 2.2

Examination and evaluation of internal control is indispensable for CA M. Raja. It provides him necessary comfort relating to completeness of accounting information. However, review of internal controls of the entity will not enable him to know_____

A whether errors or frauds are likely to be located in ordinary course of operations of business

B whether an effective internal audit department is operating

C whether his opinion needs modification

D whether any administrative control has bearing on his work

MCQ 2.3

As regards weaknesses identified by the auditor in control system, which of the following represent(s) significant deficiencies in internal control?

A Not performing bank reconciliation timely and not verifying wage sheets by responsible official only

B Not performing bank reconciliation timely and lack of proper sequence in purchase orders only

C Not performing bank reconciliation timely, lack of proper sequence in purchase orders, not verifying wage sheets by responsible official and lack of insurance for cash in transit

D Lack of insurance for cash in transit only

MCQ 2.4

Which of the following is most appropriate regarding auditor's responsibility in accordance with SA 265?

A To communicate significant deficiencies in internal control to management

B To communicate significant deficiencies in internal control along with explanation of their potential effects to management

C To communicate significant deficiencies in internal control along with explanation of their potential effects, to provide sufficient information to understand context of communication to management and express opinion on effectiveness of internal control

D To communicate significant deficiencies in internal control along with explanation of their potential effects and to provide sufficient information to understand context of communication to management

ICAI'S ANSWERS

MCQ 2.1

(A) Observing application of control.

MCQ 2.2

(C) whether his opinion needs modification

MCQ 2.3

(C) Not performing bank reconciliation timely, lack of proper sequence in purchase orders, not verifying wage sheets by responsible official and lack of insurance for cash in transit

MCQ 2.4

(D) To communicate significant deficiencies in internal control along with explanation of their potential effects and to provide sufficient information to understand context of communication to management.

ICAI · P5 · RTP May 2024 · question p. 4-5 · answer p. 15

1031 RTP **Old P6 Nov 2023** General MCQ 3 MCQ

old scheme

Same question, different ICAI answer: #1032 Old P6 RTP Dec 2021

The persons with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity are:

- A management
- B those charged with governance
- C audit committee
- D board of directors

ICAI'S ANSWER

(B) those charged with governance

ICAI · Old P6 · RTP Nov 2023 · question p. 9 · answer p. 15

1032 RTP **Old P6 Dec 2021** General MCQ 5 MCQ

old scheme

Also asked in Old P6 RTP Jul 2021 General MCQ 5 · Old P6 MTP Nov 2023 S-II General MCQ 1 · Old P6 MTP Jul 2021 S-I General MCQ 8

Same question, different ICAI answer: #1031 Old P6 RTP Nov 2023

The persons with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity are :

- A management
- B those charged with governance
- C audit committee
- D board of directors

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Dec 2021 · question p. 121 · answer p. 127

1033 MTP **Sep 2026 S-II** Q5(b) 5 marks

Nova Industries Limited, a listed company engaged in the manufacture of industrial equipment, appointed KR & Co., Chartered Accountants, as its statutory auditors for the year ended 31st March, 2026.

During the audit, the Engagement Partner identified certain significant matters that required communication to those charged with governance. The auditor had concerns regarding the appropriateness of certain significant accounting estimates and financial statement disclosures adopted by the company. The audit team also faced significant difficulties in obtaining certain records from the management, which resulted in delays in completing the audit procedures.

Further, certain significant matters arising during the audit had been discussed with management and were also the subject of correspondence between the auditor and management. The auditor also requested written representations from management in relation to certain matters. The Engagement Partner was of the view that these matters were relevant to the oversight of the financial reporting process by those charged with governance.

Explain the significant findings from the audit that are required to be communicated by the auditor to those

charged with governance under the applicable requirements.

ICAI'S ANSWER

Significant findings from the audit: The auditor shall communicate with those charged with governance:

(i) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting practice, that is acceptable under the applicable financial reporting framework, not to be most appropriate to the particular circumstances of the entity.

(ii) Significant difficulties, if any, encountered during the audit.

(iii) Unless all of those charged with governance are involved in managing the entity:

(1) Significant matters arising during the audit that were discussed, or subject to correspondence, with management.

(2) Written representations the auditor is requesting.

(iv) Circumstances that affect the form and content of the auditor's report, if any.

(v) Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 16 · answer p. 12-13

1034 MTP **Jan 2026 S-I** Q3(b) 5 marks

During statutory audit of Orient Chemicals Ltd., the auditor, CA Raj, obtained an understanding of the company's internal control system as part of identifying and assessing risks of material misstatement.

During the audit, the auditor observed the following:

i. The same employee was responsible for recording supplier invoices and authorising payments.

ii. Inventory counts were conducted without independent verification.

iii. Certain purchase approvals were bypassed due to system overrides.

Auditor considers these deficiencies as significant deficiencies. As per SA 265, explain:

(i) The auditor's objective in respect of such deficiencies.

(ii) Auditor's responsibilities regarding communicating deficiencies in internal control to those charged with governance and management.

ICAI'S ANSWER

(i) Auditor's Objective

- As per SA 265, the auditor's objective is to communicate appropriately to those charged with governance and management the deficiencies in internal control identified during the audit.
- The auditor uses professional judgment to determine which deficiencies are of sufficient importance to merit the attention of management and those charged with governance.

(ii) Auditor's responsibilities regarding communicating deficiencies in internal control to those charged with governance and management are: Determine whether, on the basis of the audit work performed, one or more deficiencies in internal control have been identified.

If one or more deficiencies in internal control have been identified, determine, on the basis of the audit work performed, whether, individually or in combination, they constitute significant deficiencies.

Communication in writing significant deficiencies in internal control identified during the audit to those charged with governance on a timely basis giving their description, explanation of potential effects and sufficient information to those charged

with governance and management to understand context of communication.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 10 · answer p. 6-7

1035 MTP **Jan 2026 S-II** MCQ 15 2 marks MCQ

During the audit of JKL Industries, the auditor identified certain significant deficiencies in the company's internal control system. Senior management acknowledged these issues but suggested that an oral briefing would be sufficient. The auditor, however, was required to determine the appropriate method and timing of communication.

Which action is the auditor required to take?

A Provide only an oral communication to management since they have acknowledged the deficiencies.

B Communicate in writing the significant deficiencies in internal control to those charged with governance on timely basis.

C Delay the communication until the audit is completed to avoid disturbing the management's ongoing activities while the audit is still in progress.

D Communicate only if the deficiencies are expected to materially misstate the financial statements.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2026 · Series II · question p. 7 · answer p. 1

1036 MTP Sep 2025 S-II Q3(b) 5 marks

CA Ritu is conducting the statutory audit of KLM Ltd. During the audit, she encountered significant difficulties in obtaining certain information from the company's finance team. She also noted that one of the accounting practices, although acceptable under the applicable financial reporting framework, may not be the most appropriate considering the company's circumstances. With reference to SA 260, what significant findings from the audit should an auditor communicate to those charged with governance?

ICAI'S ANSWER

As per SA 260, "Communication with Those Charged with Governance", significant findings from the audit that the auditor shall communicate with those charged with governance are as follows:

(i) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting practice, that is acceptable under the applicable financial reporting framework, not to be most appropriate to the particular circumstances of the entity

(ii) Significant difficulties, if any, encountered during the audit;

(iii) Unless all of those charged with governance are involved in managing the entity: -

(I) Significant matters arising during the audit that were discussed, or subject to correspondence, with management;

(II) Written representations the auditor is requesting

(iv) Circumstances that affect the form and content of the auditor's report, if any and

(v) Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 9 · answer p. 6-7

1037 MTP **May 2025 S-II Q3(b)** 5 marks

Auditors are required to obtain an understanding of internal control relevant to the audit when identifying and assessing its effectiveness and risk of material misstatement. PDC Ltd. appointed CA Nikhil as auditor for the F.Y. 2023-24. During the audit, he observed that significant deficiency exists in the internal control system and he wants to ascertain the same. Elucidate the various indicators of significant deficiencies which will help you in assessing the efficiency of internal control system of the organisation.

ICAI'S ANSWER

As per SA 265, "Communicating Deficiencies in Internal Control to Those Charged with Governance and Management", Indicators of significant

deficiencies in internal control include, for example:

(i) Evidence of ineffective aspects of the control environment, such as: -

- Indications that significant transactions in which management is financially interested are not being appropriately scrutinised by those charged with governance.
- Identification of management fraud, whether or not material, that was not prevented by the entity's internal control.
- Management's failure to implement appropriate remedial action on significant deficiencies previously communicated.

(ii) Absence of a risk assessment process within the entity where such a process would ordinarily be expected to have been established.

(iii) Evidence of an ineffective entity risk assessment process, such as management's failure to identify a risk of material misstatement that the auditor would expect the entity's risk assessment process to have identified.

(iv) Evidence of an ineffective response to identified significant risks (e.g., absence of controls over such a risk).

(v) Misstatements detected by the auditor's procedures that were not prevented, or detected and corrected, by the entity's internal control.

(vi) Disclosure of a material misstatement due to error or fraud as prior period items in the current year's Statement of Profit and Loss.

(vii) Evidence of management's inability to oversee the preparation of the financial statements.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 5-6

1038 MTP **Sep 2024 S-I** Q5(a) 5 marks

CA Sumit has been appointed as statutory auditor of Core Limited. List out some matters that he may consider in determining whether a deficiency or combination of deficiencies in internal control constitutes a "significant deficiency".

ICAI'S ANSWER

Examples of matters that the auditor may consider in determining whether a deficiency or combination of deficiencies in internal control constitutes a significant deficiency

- The likelihood of the deficiencies leading to material misstatements in the financial statements in the future.
- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts, such as fair value accounting estimates.
- The financial statement amounts exposed to the deficiencies.

- The volume of activity that has occurred or could occur in the account balance or class of transactions exposed to the deficiency or deficiencies.
- The importance of the controls to the financial reporting process, for example:
  - General monitoring controls (such as oversight of management).
  - Controls over the prevention and detection of fraud.
  - Controls over the selection and application of significant accounting policies.
  - Controls over significant transactions with related parties.
  - Controls over significant transactions outside the entity's normal course of business.
  - Controls over the period-end financial reporting process (such as controls over non-recurring journal entries).
- The cause and frequency of the exceptions detected as a result of the deficiencies in the controls.
- The interaction of the deficiency with other deficiencies in internal control.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 10 · answer p. 7-8

1039 **MTP** **May 2024 S-II** **Q6(b)** **4 marks**

On reviewing internal control over accounting for sales as part of statutory audit of A Ltd, auditor finds certain

deficiencies in segregation of duties, authorization of sales orders, preparation of invoices, preparation and authorization of debit/credit notes etc. and non-following of standard procedures as stipulated by the management. The auditor finds these lapses to be significant deficiencies in internal control over sales.

He points it out to the management in a one-liner as under: -

"Instructions on internal control related to sales are not properly followed by the staff."

Is above communication by the auditor proper?

ICAI'S ANSWER

While pointing out significant deficiencies in internal control, auditor has not only to communicate significant deficiencies giving their description but also explain the potential effects and sufficient information to those charged with governance and management to understand context of communication.

Therefore, the above communication is not proper. Not only significant deficiency has to be communicated, it should also be explained to management the potential effects of not following the standard instructions/ procedures specified in relation to various aspects of sales as stipulated by the management. It should explain that such a significant deficiency can lead to misstatement of revenue and trade receivables impacting profits of the company. Highlighting importance of such a

control, it should be stated that responsibility be fixed for concerned persons for adhering to such an important control.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 10-11

CHAPTER 8

Audit Report

8.1 SA 700: forming an opinion and the auditor's report

45 questions · asked in 30 ICAI documents · 5 exam papers

1040 EXAM May 2026 Case scenario · Q3(b)(i) to Q3(b)(ii)

5 marks

CASE SCENARIO

During the statutory audit of Moon Ltd., the auditor finalized the auditor's report. While reviewing the draft, the audit team was unsure about where the "Basis for Opinion" section should be placed in the auditor's report and what it should contain as per auditing standards. As a senior auditor, explain:

Q3(b)(i) 1 mark

Where should the "Basis for Opinion" section be included in the auditor's report?

Q3(b)(ii) 4 marks

What are the key elements included in this section?

ICAI'S ANSWERS

Q3(b)(i)

Basis for Opinion: The auditor's report shall include a section, directly following the Opinion section, with the heading "Basis for Opinion"

Q3(b)(ii)

Key elements included in this section are:

(I) States that the audit was conducted in accordance with Standards on Auditing;

(II) Refers to the section of the auditor's report that describes the auditor's responsibilities under the SAs;

(III) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

(IV) States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

ICAI · P5 · May 2026 exam · question p. 20 · answer p. 22

1041 EXAM **Sep 2024** MCQ 15 MCQ

The Board of Directors of a company wanted the auditor to certify Export sales during the year for submitting to the authorities. The auditor also signed the Confirmation letters to be sent to various debtors and creditors for confirming their balances as on 31.03.2024.

UDIN is required to be generated by the auditor for:

A Export sales during the year certificate only.

B Confirmation letters only.

C Both Export sales during the year certificate and Confirmation letters.

D No UDIN is required to be generated.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · Sep 2024 exam · question p. 8 · answer p. 8

1042 **EXAM** **Sep 2024** Q4(c) **3 marks**

CA Ayush has recently qualified and has joined a CA Firm. On going through various audit reports, he observed that different phrases were used to express an unmodified opinion on the financial statements. On enquiring with a senior, he got to know that all those phrases can be regarded as being equivalent. Which phrases are appropriate and which phrases are inappropriate while drafting an unmodified opinion?

ICAI'S ANSWER

Appropriate and Inappropriate Phrases while drafting an Unmodified Opinion: When expressing an unmodified opinion on financial statements, the auditor's opinion shall, unless otherwise required by law or regulation, use one of the following phrases, which are regarded as being equivalent:

(i) In our opinion, the accompanying financial statements **present fairly, in all material respects**, [...] in accordance with [the applicable financial reporting framework]; or

(ii) In our opinion, the accompanying financial statements **give a true and fair view of** [...] in accordance with [the applicable financial reporting framework].

The phrases “present fairly, in all material respects,” and “give a true and fair view” are regarded as being equivalent.

Inappropriate Phrases: When the auditor expresses an unmodified opinion, it is not appropriate to use phrases such as “with the foregoing explanation” or “subject to” in relation to the opinion, as these suggest a conditional opinion or a weakening or modification of opinion.

ICAI · P5 · Sep 2024 exam · question p. 20 · answer p. 22

1043 EXAM **Old P6 Nov 2023** Q5(b) 4 marks old scheme

The auditor's report shall include a section with a heading “Responsibilities of Management for the Financial Statements.” Give a brief description about management's responsibilities in the auditor's report as it helps to explain the users the premise on which an audit is conducted.

Also state the requirement specified in Standard on Auditing 210 for the auditor to agree management's responsibilities.

ICAI’S ANSWER

“Responsibilities of Management for the Financial Statements” section of the auditor’s report shall

describe management's responsibility for:

(i) Preparing the financial statements in accordance with the applicable financial reporting framework, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error and

(ii) Assessing the entity's ability to continue as a going concern and whether the use of the going concern basis of accounting is appropriate as well as disclosing, if applicable, matters relating to going concern. The explanation of management's responsibility for this assessment shall include a description of when the use of the going concern basis of accounting is appropriate.

SA 210 requires the auditor to agree the management's responsibilities in an engagement letter or other suitable form of written agreement.

ICAI · Old P6 · Nov 2023 exam · question p. 9 · answer p. 10

1044 EXAM **Old P6 Dec 2021** Q5(a) 4 marks old scheme

M/s S & Associates are the Statutory Auditors of Real Ltd., a company engaged in the business of manufacturing of garments. The auditor has completed the audit and is in the process of forming an opinion on the financial statements for the F.Y. 2020-2021. CA K, the engagement partner, wants to conclude that whether the financial statements as a whole are free from

material misstatements, whether due to fraud or error. What factors he should consider to reach that conclusion?

ICAI'S ANSWER

Factors to be considered to form an opinion:

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

In order to form that opinion, the auditor shall conclude as to whether the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion shall take into account:

(a) The auditor's conclusion, in accordance with SA 330, whether sufficient appropriate audit evidence has been obtained

(b) The auditor's conclusion, in accordance with SA 450, whether uncorrected misstatements are material, individually or in aggregate.

(c) The evaluations required

(i) The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

(ii) This evaluation shall include consideration of the qualitative aspects of the entity's accounting

practices, including indicators of possible bias in management's judgments.

ICAI · Old P6 · Dec 2021 exam · question p. 9-10 · answer p. 10

1045 EXAM **Old P6 Jan 2021** Q5(b) 4 marks old scheme

What an auditor should state in "Basis for opinion" section of auditor's report and when the auditor modifies the opinion on the financial statements, what amendments he should make in this section ?

ICAI'S ANSWER

An auditor should state in "Basis for Opinion" section of Auditor's Report as under:

Basis for Opinion:

The auditor's report shall include a section, directly following the Opinion section, with the heading **"Basis for Opinion",** that:

(i) States that the audit was conducted in accordance with Standards on Auditing;

(ii) Refers to the section of the auditor's report that describes the auditor's responsibilities under the SAs;

(iii) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

(iv) States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

Amendments an Auditor should make :

When the auditor modifies the opinion on the financial statements, the auditor shall, in addition to the specific elements required by SA 700 (Revised):

(i) Amend the heading "Basis for Opinion" required by para of SA 700 (Revised) to "Basis for Qualified Opinion," "Basis for Adverse Opinion," or "Basis for Disclaimer of Opinion," as appropriate; and

(ii) Within this section, include a description of the matter giving rise to the modification.

ICAI · Old P6 · Jan 2021 exam · question p. 9 · answer p. 10

1046 **RTP** **Jan 2025** **Q17**

Kiran, a CA student, was reviewing an audit report of the company when she noticed an 18-digit alphanumeric code below the auditor's signature and membership number. She wants to understand the purpose and importance of this randomly generated number as unique code. Is this code required for audit reports only?

ICAI'S ANSWER

The 18-digit alpha numeric number noticed by her at the end of the audit report is Unique Document

Identification number (UDIN). It is a system generated unique number. It was noticed that financial documents/ certificates attested by third persons misrepresenting themselves as CA Members were misleading the Authorities and Stakeholders. ICAI also received number of complaints of signatures of CAs being forged by non CAs. To curb the malpractices, ICAI implemented the concept of UDIN i.e. Unique Document Identification Number. Chartered Accountants having full-time Certificate of Practice can register on UDIN Portal and generate UDIN by registering the certificates attested/certified by them. An auditor is required to mention the UDIN with respect to each audit report being signed by him, along with his membership number while signing an audit report and Certificates.

It is required to be stated in case of audit reports and certificates.

ICAI · P5 · RTP Jan 2025 · question p. 7 · answer p. 17

1047 **RTP** **Old P6 Nov 2023** Q25 old scheme

What an auditor should state in the "Basis for opinion" section of auditor's report ? When the auditor modifies the opinion on the financial statements, explain the amendments he should make in this section?

ICAI'S ANSWER

An auditor should state in "Basis for Opinion"

section of Auditor's Report as under:

Basis for Opinion:

The auditor's report shall include a section, directly following the Opinion section, with the heading **"Basis for Opinion",** that:

(i) States that the audit was conducted in accordance with Standards on Auditing;

(ii) Refers to the section of the auditor's report that describes the auditor's responsibilities under the SAs;

(iii) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

(iv) States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

Amendments an Auditor should make:

When the auditor modifies the opinion on the financial statements, the auditor shall, in addition to the specific elements required by SA 700 (Revised):

(i) Amend the heading "Basis for Opinion" required by para of SA 700 (Revised) to "Basis for Qualified

Opinion," "Basis for Adverse Opinion," or "Basis for Disclaimer of Opinion," as appropriate; and

(ii) Within this section, include a description of the matter giving rise to the modification.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 31

1048 RTP **Old P6 May 2023** Q24 old scheme

The description of management's responsibilities in the auditor's report includes reference to management's responsibilities as it helps to explain to users the premise on which an audit is conducted. Explain

ICAI'S ANSWER

Responsibilities of Management for the Financial Statements: The auditor's report shall include a section with a heading "Responsibilities of Management for the Financial Statements."

SA 200 explains the premise, relating to the responsibilities of management and, where appropriate, those charged with governance, on which an audit in accordance with SAs is conducted. Management and, where appropriate, those charged with governance accept responsibility for the preparation of the financial statements. Management also accepts responsibility for such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The description of management's responsibilities in the auditor's report includes

reference to both responsibilities as it helps to explain to users the premise on which an audit is conducted.

This section of the auditor's report shall describe management's responsibility for:

(a) **Preparing the financial statements** in accordance with the applicable financial reporting framework, **and for such internal control** as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error;[because of the possible effects of fraud on other aspects of the audit, materiality does not apply to management's acknowledgement regarding its responsibility for the design, implementation, and maintenance of internal control (or for establishing and maintaining effective internal control over financial reporting) to prevent and detect fraud.] and

(b) **Assessing the entity's ability to continue as a going concern** and whether the use of the going concern basis of accounting is appropriate as well as disclosing, if applicable, matters relating to going concern. The explanation of management's responsibility for this assessment shall include a description of when the use of the going concern basis of accounting is appropriate.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 26-27

1049 RTP Old P6 May 2023 Q25 old scheme

In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgements. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated. Explain and analyse the indicators of lack of neutrality with examples, wherever required.

ICAI'S ANSWER

In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgements. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated. Indicators of a lack of neutrality include the following:

(i) The selective correction of misstatements brought to management's attention during the audit.

Example

- Correcting misstatements with the effect of increasing reported earnings, but not correcting misstatements that have the effect of decreasing reported earnings.
- The combination of several deficiencies affecting the same significant account or disclosure (or the same internal control component) could amount

to a significant deficiency (or material weakness if required to be communicated in the jurisdiction). This evaluation requires judgement and involvement of audit executives.

(ii) Possible management bias in the making of accounting estimates.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 27

1050 RTP **Old P6 Nov 2022**

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

SAM & Company, a Chartered Accountant firm, is in the process of finalising the audit of Health is Wealth Limited which is a Company listed on the Bombay Stock Exchange. Health is Wealth Limited has made its presence felt in over 10 countries, including India, making it a leader in the global fitness industry. It runs a chain of fitness centres that offers energetic group workouts and multiple workout formats to choose from. It also offers the best equipment, knowledgeable staff and personal advice in a welcoming environment.

SAM & Company being a very reputed firm, was appointed for the statutory audit of Health is Wealth Limited. The Engagement Partner CA A and her team of 8 members have conducted the audit in an efficient and effective manner. The senior manager in the team, CA K is of the opinion that they have obtained sufficient appropriate audit evidence,

which concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements. One of the articled clerks, Mr. N, is a fresher and this audit is his first experience as an auditor in a limited company. He is a sharp boy and has grasped all the concepts and techniques very well. However, the term “pervasive” confused him so CA K patiently explained to Mr. N the pervasive effects on the financial statements as per the auditor’s judgement. He explained that - Pervasive effects on the financial statements are those that, in the auditor’s judgement:

(i) Are not confined to specific elements, accounts or items of the financial statements;

(ii) If so confined, represent or could represent a substantial proportion of the financial statements; or

(iii) In relation to disclosures, are fundamental to users’ understanding of the financial statements.

(iv) Are confined to specific elements, accounts or items of the financial statements.

Mr. N understood the term well and thanked CA K for clearing all his doubts.

CA A disagreed with CA K that they have obtained sufficient appropriate audit evidence, which concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements. So, the entire team held various meetings and discussions, and finally reached to a conclusion. They concluded that they have obtained

reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion took into account:

(a) Whether sufficient appropriate audit evidence had been obtained.

(b) Whether uncorrected misstatements were material, individually or in aggregate.

(c) The evaluations.

The Auditor's Report was prepared in writing and it was decided that an unmodified opinion would be expressed. The first section of the auditor's report included the auditor's opinion and had the heading "Opinion". Following the Opinion section was a section with the heading "Basis for Opinion". When expressing an unmodified opinion on financial statements, the auditor's opinion used the following phrase,

"In our opinion, the accompanying financial statements give a true and fair view of [...] in accordance with [the applicable financial reporting framework]."

During the audit, the audit team had observed that there was uncertainty in Health is Wealth Limited relating to the future outcome of a regulatory action. So, a paragraph was included in the auditor's report that referred to this matter which was appropriately disclosed in the financial statements and that, in the auditor's judgment, was of such importance that it

was fundamental to users' understanding of the financial statements.

CA A also determined whether the financial statements included the comparative information required by the applicable financial reporting framework and whether such information was appropriately classified. One team member, Mr R was curious to know whether the auditor's opinion referred to the corresponding figures or not, whenever the corresponding figures are presented. CA A explained the circumstances to Mr R in which, when the corresponding figures are presented, auditor's opinion referred to the corresponding figures.

Based on the above information, answer the following questions:

MCQ 1.1

CA K explained to Mr. N the pervasive effects on the financial statements in the auditor's judgement. Which of the following combination best answers as explained by CA K ?

A (i) and (ii)

B (ii) and (iii)

C (iii) and (iv)

D (i), (ii) and (iii)

MCQ 1.2

When expressing an unmodified opinion on financial

statements, SAM & Company used the following phrase:

“In our opinion, the accompanying financial statements **give a true and fair view of** [...] in accordance with [the applicable financial reporting framework].”

Which is the other phrase which is regarded as being equivalent to the above phrase and could also be used by SAM & Company?

- **A** In our opinion, the accompanying financial statements give a true and correct view of [...] in accordance with [the applicable financial reporting framework];
- **B** In our opinion, the accompanying financial statements present correctly, in all material respects, [...] in accordance with [the applicable financial reporting framework];
- **C** In our opinion, the accompanying financial statements present fairly, in all material respects, [...] in accordance with [the applicable financial reporting framework];
- **D** In our opinion, the accompanying financial statements give a correct and fair view of [...] in accordance with [the applicable financial reporting framework].

MCQ 1.3

Which of the following statements is not included in the section with the heading “Basis for Opinion” in the Auditor’s Report?

- **A** Audit was conducted in accordance with the Accounting Standards.

B Auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

C Description of the auditor's responsibilities under the SAs.

D States whether the auditor believes that the audit evidence the auditor has obtained, is sufficient and appropriate to provide a basis for the auditor's opinion.

MCQ 1.4

A paragraph was included in the Auditor's Report of Health is Wealth Limited that referred to a matter which was appropriately disclosed in the financial statements that, in the auditor's judgment, was of such importance that it was fundamental to users' understanding of the financial statements. What is this section of the Auditor's Report called?

A Other Matters.

B Emphasis of Matters.

C Key Audit Matters.

D Auditor's Responsibilities for the Audit of the Financial Statements.

MCQ 1.5

CA A explained the circumstances to Mr. R in which, when the corresponding figures are presented,

auditor's opinion referred to the corresponding figures. Which of these circumstances did he mention to Mr. R?

A If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which a modified opinion has been previously issued.

B If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is resolved.

C Prior Period Financial Statements are audited by another auditor.

D Prior Period Financial Statements not audited.

ICAI'S ANSWERS

MCQ 1.1

(D) (i), (ii) and (iii)

MCQ 1.2

(C) In our opinion, the accompanying financial statements present fairly, in all material respects, [...] in accordance with [the applicable financial reporting framework];

MCQ 1.3

(A) Audit was conducted in accordance with the Accounting Standards.

MCQ 1.4

(B) Emphasis of Matters.

MCQ 1.5

(D) Prior Period Financial Statements not audited.

ICAI · Old P6 · RTP Nov 2022 · question p. 3-4 · answer p. 14

1051 RTP **Old P6 Nov 2022** Q25 old scheme

While drafting auditor's report of LK Ltd., what are the matter to be included by auditor in Opinion Section paragraph?

ICAI'S ANSWER

The first section of the auditor's report shall include the auditor's opinion, and shall have the heading "Opinion".

Opinion Section of the Auditor's report shall also:

(i) Identify the entity whose financial statements have been audited;

(ii) State that the financial statements have been audited;

(iii) Identify the title of each statement that comprises the financial statements;

(iv) Refer to the summary of significant accounting policies and other explanatory information; and

(v) Specify the date or period covered by each financial statement comprising the financial statements.

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 28

1052 RTP Old P6 May 2022 Q24 old scheme

The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework. Explain stating clearly specific evaluations made by the auditor.

ICAI'S ANSWER

The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgements.

In particular, the auditor shall evaluate whether:

(a) The financial statements adequately disclose the significant accounting policies selected and applied;

(b) The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

(c) The accounting estimates made by management are reasonable;

(d) The information presented in the financial statements is relevant, reliable, comparable, and understandable;

(e) The financial statements provide adequate disclosures to enable the intended users to

understand the effect of material transactions and events on the information conveyed in the financial statements; and

(f) The terminology used in the financial statements, including the title of each financial statement, is appropriate.

Further, when the financial statements are prepared in accordance with a fair presentation framework, the evaluation mentioned above shall also include an evaluation by the auditor as to whether the financial statements achieve fair presentation which shall include consideration of:

(a) The overall presentation, structure and content of the financial statements; and

(b) Whether the financial statements, including the related notes, represent the underlying transactions and events in a manner that achieves fair presentation.

The auditor shall evaluate whether the financial statements adequately refer to or describe the applicable financial reporting framework.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 30

1053 RTP **Old P6 Jul 2021 Q24** old scheme

The Auditor is fully satisfied with the audit of an entity in respect of its systems and procedures and wants to issue a report without any hesitation. Discuss the type of opinion that can be given and state giving reasoning.

ICAI'S ANSWER

Unqualified Opinion:

1. An unqualified opinion should be expressed when the auditor concludes that the financial statements give a true and fair view in accordance with the financial reporting framework used for the preparation and presentation of the financial statements.
2. An unqualified opinion indicates, implicitly, that any changes in the accounting principles or in the method of their application, and the effects thereof, have been properly determined and disclosed in the financial statements.
3. An unqualified opinion also indicates that:
   (i) the financial statements have been prepared using the generally accepted accounting principles, which have been consistently applied;

   (ii) the financial statements comply with relevant statutory requirements and regulations; and

   (iii) there is adequate disclosure of all material matters relevant to the proper presentation of the financial information, subject to statutory requirements, where applicable.

PassBook's note: The January 2027 Study Material calls it the unmodified opinion (SA 700).

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 141

1054 RTP **Old P6 Jul 2021** Q25 old scheme

The requirements of SA 700 are aimed at addressing an appropriate balance between the need for consistency and comparability in auditor reporting globally. Explain

ICAI'S ANSWER

The requirements of SA 700 are aimed at addressing an appropriate balance between the need for consistency and comparability in auditor reporting globally and the need to increase the value of auditor reporting by making the information provided in the auditor's report more relevant to users. This SA promotes consistency in the auditor's report but recognizes the need for flexibility to accommodate particular circumstances of individual jurisdictions. Consistency in the auditor's report, when the audit has been conducted in accordance with SAs, promotes credibility in the global marketplace by making more readily identifiable those audits that have been conducted in accordance with globally recognized standards. It also helps to promote the user's understanding and to identify unusual circumstances when they occur.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 142

1055 RTP **Old P6 Nov 2020** Q25 old scheme

Also asked in Old P6 RTP Nov 2019 Q25 · Old P6 MTP Nov 2023 S-II Q4(a)

The auditor's report shall include a section, directly following the Opinion section, with the heading "Basis

for Opinion". Explain what is included in this "Basis for Opinion" section.

ICAI'S ANSWER

Basis for Opinion: The auditor's report shall include a section, directly following the Opinion section, with the heading **"Basis for Opinion"**, that:

(a) States that the audit was conducted in accordance with Standards on Auditing;

(b) Refers to the section of the auditor's report that describes the auditor's responsibilities under the SAs;

(c) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

(d) States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 30

1056 **RTP** **Old P6 May 2020** **Q24** old scheme

In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial

statements to be materially misstated. Explain and analyse the indicators of lack of neutrality with examples, wherever required.

ICAI'S ANSWER

In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated. Indicators of a lack of neutrality include the following:

(i) The selective correction of misstatements brought to management's attention during the audit.

Example

- Correcting misstatements with the effect of increasing reported earnings, but not correcting misstatements that have the effect of decreasing reported earnings.
- The combination of several deficiencies affecting the same significant account or disclosure (or the same internal control component) could amount to a significant deficiency (or material weakness if required to be communicated in the jurisdiction). This evaluation requires judgment and involvement of audit executives.

(ii) Possible management bias in the making of accounting estimates.

1057 RTP **Old P6 May 2020** Q25 old scheme

The first section of the auditor's report shall include the auditor's opinion, and shall have the heading "Opinion." The Opinion section of the auditor's report shall also Identify the entity whose financial statements have been audited. Apart from the above, explain the other relevant points to be included in opinion section.

ICAI'S ANSWER

The first section of the auditor's report shall include the auditor's opinion, and shall have the heading "Opinion."

The Opinion section of the auditor's report shall also:

(a) Identify the entity whose financial statements have been audited;

(b) State that the financial statements have been audited;

(c) Identify the title of each statement comprising the financial statements;

(d) Refer to the notes, including the summary of significant accounting policies; and

(e) Specify the date of, or period covered by, each financial statement comprising the financial statements.

1058 MTP Sep 2026 S-I Q5(a) 5 marks

Explain how SA 700 (Revised) seeks to achieve a balance between global uniformity in auditor reporting and the need to provide more useful information to the users of financial statements. In this context, explain how the Standard promotes both consistency in auditor reporting and flexibility to accommodate jurisdiction-specific and entity-specific circumstances. Also state the objective of the auditor under SA 700 (Revised).

ICAI'S ANSWER

SA 700 (Revised)- "Forming an Opinion and Reporting on Financial Statements", deals with the auditor's responsibility to form an opinion on the financial statements. It also deals with the form and content of the auditor's report issued as a result of an audit of financial statements.

The requirements of this SA are aimed at addressing an appropriate balance between the need for consistency and comparability in auditor reporting globally and the need to increase the value of auditor reporting by making the information provided in the auditor's report more relevant to users. This SA promotes consistency in the auditor's report, but recognizes the need for flexibility to accommodate particular circumstances of individual jurisdictions. Consistency in the auditor's report, when the audit has been conducted in accordance with SAs, promotes credibility in the global marketplace by making more readily identifiable those audits that have been conducted

in accordance with globally recognized standards. It also helps to promote the user's understanding and to identify unusual circumstances when they occur.

Objective of the Auditor: The objectives of the auditor as per **SA 700 (Revised)** are:

1. To form an opinion on the financial statements based on an evaluation of the conclusions drawn from the audit evidence obtained; and
2. To express clearly that opinion through a written report that also describes the basis for that opinion.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 15 · answer p. 12-13

1059 MTP **Sep 2026 S-II** MCQ 13 2 marks MCQ

An audit firm is engaged to audit a company for the financial year 2025–26. The financial statements prepared by management reflect a profit before tax of ₹1 crore.

As the audit is nearing completion, CA Y instructs his staff to prepare a draft audit report with a proposed date of 4th July, 2026. Meanwhile, certain audit evidence and events come to his notice:

A response to a pending external confirmation is received on 5th July, 2026 and it agrees with the balances recorded in the books.

On 3rd July, 2026, through local vernacular newspapers, CA Y becomes aware that one of the company's major customers—owing ₹50 lakhs—has fled the country after

becoming insolvent. An FIR has been filed on the same date.

Written representations from management are received on 10th July, 2026.

The engagement partner now needs to determine the appropriate date to sign the audit report.

Based on the above scenario, on which date should the auditor sign the audit report?

- **A** 10th July, 2026 or any date thereafter
- **B** 3rd July, 2026 or any date thereafter
- **C** 5th July, 2026 or any date thereafter
- **D** 4th July, 2026 or any earlier date

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 9 · answer p. 1

1060 **MTP** **Sep 2026 S-II** Q6(b) **5 marks**

Explain the matters that are required to be stated in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of the auditor's report. Also explain the additional matter required to be stated regarding the division of responsibility for financial information in a group audit engagement when SA 600 applies.

ICAI'S ANSWER

The Auditor's Responsibilities for the Audit of the Financial Statements section of the auditor's

report shall further:

(1) State that, as part of an audit in accordance with SAs, the auditor exercises professional judgement and maintains professional skepticism throughout the audit; and

(2) Describe an audit by stating that the auditor's responsibilities are:

(i) To identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error; to design and perform audit procedures responsive to those risks; and to obtain audit evidence that is sufficient and appropriate to provide a basis for the auditor's opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

(ii) To obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.

(iii) To evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

(iv) To conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence

obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern.

(v) When the financial statements are prepared in accordance with a fair presentation framework, to evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

(3) When SA 600 applies, further describe the auditor's responsibilities in a group audit engagement by stating:

The division of responsibility for the financial information of the entity by indicating the extent to which the financial information of components is audited by the other auditors have been included in the financial information of the entity, e.g., the number of divisions /branches/subsidiaries or other components audited by other auditors

ICAI · P5 · MTP Sep 2026 · Series II · question p. 17 · answer p. 14-15

1061 MTP **May 2026 S-I** Q5(a) 5 marks

While forming an opinion on the financial statements, the auditor is required to evaluate various aspects relating to the presentation and disclosures in the financial statements.

Explain the specific evaluations that the auditor is required to perform while evaluating the financial statements. Further, state the additional evaluation required when the financial statements are prepared in accordance with a fair presentation framework.

ICAI'S ANSWER

Specific Evaluations by the Auditor: In particular, the auditor shall evaluate whether:

(a) The financial statements adequately disclose the significant accounting policies selected and applied;

(b) The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

(c) The accounting estimates made by management are reasonable;

(d) The information presented in the financial statements is relevant, reliable, comparable, and understandable;

(e) The financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements; and

(f) The terminology used in the financial statements, including the title of each financial statement, is appropriate.

Further, when the financial statements are prepared in accordance with a fair presentation framework,

the evaluation mentioned above shall also include an evaluation by the auditor as to whether the financial statements achieve fair presentation, which shall include consideration of:

(a) The overall presentation, structure and content of the financial statements; and

(b) Whether the financial statements, including the related notes, represent the underlying transactions and events in a manner that achieves fair presentation.

The auditor shall evaluate whether the financial statements adequately refer to or describe the applicable financial reporting framework.

ICAI · P5 · MTP May 2026 · Series I · question p. 15 · answer p. 13-14

1062 **MTP** **Jan 2026 S-I** **Q4(c)** **4 marks**

Describe the essential contents of the "Basis for Opinion" section in an auditor's report and explain why this section is important as per the requirements of SA 700 (Revised).

ICAI'S ANSWER

SA 700 (Revised), "Forming an Opinion and Reporting on Financial Statements", requires that the auditor's report shall include a section, directly following the Opinion section, with the heading "Basis for Opinion", that:

(i) States that the audit was conducted in accordance with Standards on Auditing;

(ii) Refers to the section of the auditor's report that describes the auditor's responsibilities under the SAs;

(iii) Includes a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

(iv) States whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

Thus, the Basis for opinion section provides important context about the auditor's opinion.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 11 · answer p. 9

1063 **MTP** **May 2025 S-I** **Q4(a)** **5 marks**

Also asked in Old P6 MTP May 2023 S-II Q5(b) · Old P6 MTP Jul 2021 S-II Q6(c) · Old P6 MTP May 2020 S-I Q6(c)

The auditor's report shall include a section with a heading "Responsibilities of Management for the Financial Statements." SA 200 explains the premise, relating to the responsibilities of management and, where appropriate, those charged with governance, on which an audit in accordance with SAs is conducted. Explain.

ICAI'S ANSWER

Responsibilities for the Financial Statements: The auditor's report shall include a section with a heading "Responsibilities of Management for the Financial Statements."

SA 200 explains the premise, relating to the responsibilities of management and, where appropriate, those charged with governance, on which an audit in accordance with SAs is conducted. Management and, where appropriate, those charged with governance accept responsibility for the preparation of the financial statements. Management also accepts responsibility for such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The description of management's responsibilities in the auditor's report includes reference to both responsibilities as it helps to explain to users the premise on which an audit is conducted.

This section of the auditor's report shall describe management's responsibility for:

(i) **Preparing the financial statements** in accordance with the applicable financial reporting framework, **and for such internal control** as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error;[because of the possible effects of fraud on

other aspects of the audit, materiality does not apply to management's acknowledgement regarding its responsibility for the design, implementation, and maintenance of internal control (or for establishing and maintaining effective internal control over financial reporting) to prevent and detect fraud.] and

(ii) **Assessing the entity's ability to continue as a going concern** and whether the use of the going concern basis of accounting is appropriate as well as disclosing, if applicable, matters relating to going concern. The explanation of management's responsibility for this assessment shall include a description of when the use of the going concern basis of accounting is appropriate.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 7-8

1064 MTP **May 2024 S-II Q4(b)** 4 marks

M/s S R & Associates are the Statutory Auditors of Vanee Textile and Garments Ltd., a company engaged in the business of manufacturing of various textile products. The auditor has completed the audit and is in the process of forming an opinion on the financial statements for the F.Y. 2023-2024. CA S, the engagement partner, wants to conclude whether the financial statements as a whole are free from material misstatements, whether due to fraud or error. Guide him about the factors he should consider to reach that conclusion.

ICAI'S ANSWER

Factors to be considered to form an opinion:

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

In order to form that opinion, the auditor shall conclude as to whether the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion shall take into account:

(1) whether sufficient appropriate audit evidence has been obtained

(2) whether uncorrected misstatements are material, individually or in aggregate.

(3) The evaluations required

(i) The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

(ii) This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 7-8

1065 MTP Old P6 Nov 2023 S-I Q5(b) 4 marks old scheme

G & Associates are the Statutory Auditors of R Ltd., a company engaged in the business of manufacturing of blankets. The auditor has completed the audit and is in the process of forming an opinion on the financial statements for the F.Y. 2022-2023. CA L, the engagement partner, wants to conclude that whether the financial statements as a whole are free from material misstatements, whether due to fraud or error. What factors he should consider to reach that conclusion?

ICAI'S ANSWER

Factors to be considered to form an opinion: The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

In order to form that opinion, the auditor shall conclude as to whether the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion shall take into account:

(a) The auditor's conclusion, in accordance with SA 330, whether sufficient appropriate audit evidence has been obtained

(b) The auditor's conclusion, in accordance with SA 450, whether uncorrected misstatements are material, individually or in aggregate.

(c) The evaluations required

(i) The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

(ii) This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 7

1066 MTP **Old P6 Nov 2023 S-II** General MCQ 5 1 mark

MCQ old scheme

Which of following is not an element of audit report in accordance with SA 700?

A Title

B Addressee

C Audit strategy

D Auditor's opinion

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 4 · answer p. 1

1067 MTP **Old P6 Nov 2023 S-II** General MCQ 7 1 mark

MCQ old scheme

UDIN (Unique Document Identification Number) is required to be stated by practising Chartered Accountant on: -

A Each audit report only

B Each audit report and each certificate

C Each audit report issued under Companies Act, 2013 only

D Each audit report issued under Companies Act, 2013 only and each certificate

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 5 · answer p. 1

1068 MTP **Old P6 May 2023 S-I** Q5(b) 4 marks old scheme

"An auditor is required to make specific evaluations while forming an opinion in an audit report." State those evaluations.

ICAI'S ANSWER

Specific Evaluations by the auditor: In particular, the auditor shall evaluate whether :

(i) The financial statements adequately disclose the significant accounting policies selected and applied;

(ii) The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

(iii) The accounting estimates made by management are reasonable;

(iv) The information presented in the financial statements is relevant, reliable, comparable, and understandable;

(v) The financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements; and

(vi) The terminology used in the financial statements, including the title of each financial statement, is appropriate.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 6

1069 MTP **Old P6 Nov 2022 S-II** General MCQ 3 1 mark

MCQ old scheme

Which of the following is FALSE regarding UDIN? (Unique document identification number)

A It is to be generated on UDIN portal.

B Its basic objective is to help ICAI in keeping and maintaining an online registry of different services provided by all of its members.

C It has to be generated and stated for each audit report signed by a Chartered Accountant.

D It has to be generated and stated for each certificate signed by a Chartered Accountant.

ICAI'S ANSWER

Option (B)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 5-6 · answer p. 1

1070 MTP **Old P6 May 2022 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

SAM & Company, a Chartered Accountant firm, is in the process of finalising the audit of Health is Wealth Limited which is a Company listed on the Bombay Stock Exchange. Since the past decade, Health is Wealth Limited has made its presence felt in over 10 countries, including India, making it a leader in the global fitness industry. It runs a chain of fitness centres that offers energetic group workouts and multiple workout formats to choose from. It also offers the best equipment, knowledgeable staff and personal advice in a welcoming environment.

SAM & Company being a very reputed firm, was appointed for the statutory audit of Health is Wealth Limited. The Engagement Partner CA A and her team of 8 members have conducted the audit in an efficient and effective manner. The senior manager in the team, CA K is of the opinion that they have obtained sufficient appropriate audit evidence, which concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements. One of the article clerks, Mr N, is a fresher and this audit is his first experience as an auditor in a limited company. He is a sharp boy and has grasped all the concepts and techniques very well. However, the term “pervasive” confused him so CA K patiently explained to Mr N the pervasive effects on the financial statements as per the auditor’s judgement. Mr. N understood the term well and thanked CA K for clearing all his doubts.

CA A disagreed with CA K that they have obtained sufficient appropriate audit evidence, which concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements. So, the entire team held various meetings and discussions, and finally reached to a conclusion. They concluded that they have obtained reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion took into account:

(a) Whether sufficient appropriate audit evidence had been obtained;

(b) Whether uncorrected misstatements were material, individually or in aggregate;

(c) The evaluations.

The Auditor's Report was prepared in writing and it was decided that an unmodified opinion would be expressed. The first section of the auditor's report included the auditor's opinion, and had the heading "Opinion". Following the Opinion section, was a section with the heading "Basis for Opinion". When expressing an unmodified opinion on financial statements, the auditor's opinion used the following phrase,

"In our opinion, the accompanying financial statements give a true and fair view of [...] in accordance with [the applicable financial reporting framework]."

During the audit, the audit team had observed that there was uncertainty in Health is Wealth Limited relating to the future outcome of a regulatory action. So, a paragraph was included in the auditor's report that referred to this matter which was appropriately disclosed in the financial statements and that, in the auditor's judgment, was of such importance that it was fundamental to users' understanding of the financial statements.

CA A also determined whether the financial statements included the comparative information required by the applicable financial reporting framework and whether such information was appropriately classified. One team member, Mr R was curious to know whether the auditor's opinion referred to the corresponding figures or not, whenever the corresponding figures are presented. CA A explained the circumstances to Mr R in which, when the corresponding figures are presented, auditor's opinion referred to the corresponding figures.

Based on the above information, answer the following questions:

MCQ 2.1 2 marks

CA K explained to Mr. N the pervasive effects on the financial statements in the auditor's judgement. Pervasive effects on the financial statements are those that, in the auditor's judgement:

(i) Are not confined to specific elements, accounts or items of the financial statements;

(ii) If so confined, represent or could represent a substantial proportion of the financial statements; or

(iii) In relation to disclosures, are fundamental to users' understanding of the financial statements.

Which of the following is correct?

A (i), (iii)

B (ii),(iii)

C (i), (ii)

D (i), (ii) and (iii)

MCQ 2.2 2 marks

When expressing an unmodified opinion on financial statements, SAM & Company used the following phrase:

"In our opinion, the accompanying financial statements give a true and fair view of [...] in accordance with [the applicable financial reporting framework]."

Which is the other phrase which is regarded as being equivalent to the above phrase and could also be used by SAM & Company?

A In our opinion, the accompanying financial statements give a true and correct view of [...] in accordance with [the applicable financial reporting framework];

B In our opinion, the accompanying financial statements present correctly, in all material respects, [...] in accordance with [the applicable financial reporting framework];

C In our opinion, the accompanying financial statements present fairly, in all material respects, [...] in accordance with [the applicable financial reporting framework];

D In our opinion, the accompanying financial statements give a correct and fair view of [...] in accordance with [the applicable financial reporting framework].

MCQ 2.3 2 marks

Which of the following statements is not included in the section with the heading "Basis for Opinion" in the Auditor's Report?

A Audit was conducted in accordance with the Accounting Standards.

B Auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.

C Description of the auditor's responsibilities under the SAs.

D States whether the auditor believes that the audit evidence the auditor has obtained, is sufficient and appropriate to provide a basis for the auditor's opinion.

MCQ 2.4 2 marks

A paragraph was included in the Auditor's Report of Health is Wealth Limited that referred to a matter which was appropriately disclosed in the financial

statements that, in the auditor's judgment, was of such importance that it was fundamental to users' understanding of the financial statements. What is this section of the Auditor's Report called?

- **A** Other Matters.
- **B** Emphasis of Matters.
- **C** Key Audit Matters.
- **D** Auditor's Responsibilities for the Audit of the Financial Statements.

MCQ 2.5 2 marks

CA A explained the circumstances to Mr. R in which, when the corresponding figures are presented, auditor's opinion referred to the corresponding figures. Which of these circumstances did he mention to Mr. R?

- **A** If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which a modified opinion has been previously issued.
- **B** If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is resolved.
- **C** Prior Period Financial Statements are audited by another auditor.
- **D** Prior Period Financial Statements not audited.

ICAI'S ANSWERS

MCQ 2.1

(D)

MCQ 2.2

(C)

MCQ 2.3

(A)

MCQ 2.4

(B)

MCQ 2.5

(D)

PassBook's note: ICAI's key for this MCQ is (d) "Prior Period Financial Statements not audited", as printed in the answers file (p.1).

ICAI · Old P6 · MTP May 2022 · Series I · question p. 2-3 · answer p. 1

1071 MTP **Old P6 Dec 2021 S-I** Q5(d) 3 marks old scheme

"An auditor is required to make specific evaluations while forming an opinion in an audit report." State those specific evaluations.

ICAI'S ANSWER

Specific Evaluations by the auditor: The auditor shall evaluate whether the financial statements are prepared, in all material respects, in accordance with the requirements of the applicable financial reporting framework. This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

In particular, the auditor shall evaluate whether :

(i) The financial statements adequately disclose the significant accounting policies selected and applied;

(ii) The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

(iii) The accounting estimates made by management are reasonable;

(iv) The information presented in the financial statements is relevant, reliable, comparable, and understandable;

(v) The financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements; and

(vi) The terminology used in the financial statements, including the title of each financial statement, is appropriate.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 7-8

1072 MTP **Old P6 Jul 2021 S-II** Q3(c) 4 marks old scheme

"An auditor is required to make specific evaluations while forming an opinion in an audit report." State them.

ICAI'S ANSWER

Specific Evaluations by the auditor: In particular,

the auditor shall evaluate whether :

(i) The financial statements adequately disclose the significant accounting policies selected and applied;

(ii) The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

(iii) The accounting estimates made by management are reasonable;

(iv) The information presented in the financial statements is relevant, reliable, comparable, and understandable;

(v) The financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements; and

(vi) The terminology used in the financial statements, including the title of each financial statement, is appropriate.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 3-4

1073 MTP **Old P6 Nov 2019 S-I** MCQ 20 1 mark MCQ old scheme

An Audit report is :

A an opinion drawn on the entity's financial statements to make sure that the records are true and correct representation of the transactions they claim to represent.

B an opinion drawn on the entity's books of accounts to make sure that the records are true and fair representation of the transactions they claim to represent.

C an opinion drawn on the entity's financial statements to make sure that the records are true and fair representation of the transactions they claim to represent.

D an opinion drawn on the entity's books of accounts to make sure that the records are true and correct representation of the transactions they claim to represent.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 4 · answer p. 1

1074 MTP **Old P6 Nov 2019 S-I** MCQ 21 2 marks MCQ old scheme

Which of the following is not a Specific Evaluations by the Auditor :

A The financial statements adequately disclose the significant accounting policies selected and applied;

B The accounting policies selected and applied are consistent with the applicable financial reporting framework and are appropriate;

C The accounting estimates made by management are reasonable;

D The sufficient appropriate audit evidence has been obtained;

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 4 · answer p. 1

1075 MTP **Old P6 Nov 2019 S-I** Q6(a) 4 marks old scheme

The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

Advise about qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

ICAI'S ANSWER

Evaluations by the Auditor: The auditor shall evaluate whether the financial statements are prepared in accordance with the requirements of the applicable financial reporting framework.

This evaluation shall include consideration of the qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments.

Qualitative Aspects of the Entity's Accounting Practices

1. Management makes a number of judgments about the amounts and disclosures in the financial statements.
2. SA 260 (Revised) contains a discussion of the qualitative aspects of accounting practices.
3. In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated. Indicators of a lack of neutrality include the following:

(i) The selective correction of misstatements brought to management's attention during the audit

Example

- Correcting misstatements with the effect of increasing reported earnings, but not correcting misstatements that have the effect of decreasing reported earnings.
- The combination of several deficiencies affecting the same significant account or disclosure (or the same internal control component) could amount to a significant deficiency (or material weakness if required to be communicated in the jurisdiction). This evaluation requires judgment and involvement of audit executives.

(ii) Possible management bias in the making of accounting estimates.

4. SA 540 addresses possible management bias in making accounting estimates.

Indicators of possible management bias do not constitute misstatements for purposes of drawing conclusions on the reasonableness of individual accounting estimates. They may, however, affect the auditor's evaluation of whether the financial statements as a whole are free from material misstatement.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 10

8.2 SA 701: key audit matters

12 questions · asked in 12 ICAI documents · 4 exam papers

1076 EXAM **Sep 2025** Case scenario · Q2(b)(i) to Q2(b)(ii)

5 marks

CASE SCENARIO

CA Student Ravi is learning the concept of "Key Audit Matters". However, he is confused between modification of audit report and reporting of key audit matters.

You are required to guide him in explaining the following:

Q2(b)(i) 2 marks

Purpose of communicating Key Audit Matters

Q2(b)(ii) 3 marks

Communicating Key Audit Matters is not a substitute for disclosure in financial statements.

ICAI'S ANSWERS

Q2(b)(i)

Purpose of Communicating Key Audit Matters: As per SA 701, "Communicating Key Audit Matters in the Auditor's Report", the purpose of communicating key audit matters is to enhance the communicative value of the auditor's report by providing greater transparency about the audit that was performed. Communicating key audit matters provides additional information to intended users of the financial statements to assist them in understanding those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period. Communicating key audit matters may also assist intended users in understanding the entity and areas of significant management judgement in the audited financial statements.

Q2(b)(ii)

Communicating Key Audit Matters- not a substitute for disclosure in the Financial Statements: Communicating key audit matters in the auditor's report is in the context of the auditor having formed an opinion on the financial

statements as a whole. Communicating key audit matters in the auditor's report is not:

(1) A substitute for disclosures in the financial statements that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation.

(2) A substitute for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705 (Revised);

(3) A substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern; or

(4) A separate opinion on individual matters.

ICAI · P5 · Sep 2025 exam · question p. 15 · answer p. 16, 16-17

1077 **EXAM** **May 2025** **Q3(b)** **5 marks**

SA 701 "Communicating Key Audit Matters in the Auditor's Report" deals with the auditor's responsibility to communicate key audit matters in the auditor's report.

Explain the definition of Key Audit Matter and how an auditor will determine the Key Audit Matters?

ICAI'S ANSWER

Definition of Key Audit Matter: Key Audit Matters are those matters that, in the auditor's professional judgement were of most significance in the audit of the financial statements of the current period. Key audit matters are selected from matters communicated with those charged with governance.

Determining Key Audit Matters: The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

- Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315.
- Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.
- The effect on the audit of significant events or transactions that occurred during the period.

ICAI · P5 · May 2025 exam · question p. 15 · answer p. 16

1078 **EXAM** **Old P6 Nov 2023** Q5(d) **3 marks** **old scheme**

The auditor shall determine, from the matters communicated with those charged with governance,

those matters that required significant auditor attention in performing the audit. In making this determination, explain the areas of concern that an auditor should take into account.

ICAI'S ANSWER

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315.

(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(iii) The effect on the audit of significant events or transactions that occurred during the period.

ICAI · Old P6 · Nov 2023 exam · question p. 9-10 · answer p. 11

1079 **EXAM** **Old P6 Nov 2020** Q5(c) 3 marks old scheme

How would an auditor determine Key Audit Matters as per SA - 701, "Communicating Key Audit Matters in the Independent Auditor's Report"?

ICAI'S ANSWER

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit.

In making this determination, the auditor shall take into account the following:

(a) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA315.

(b) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(c) The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined in accordance with above stated para were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

ICAI · Old P6 · Nov 2020 exam · question p. 9 · answer p. 10

1080 **RTP** **Jan 2026** **Q17**

SA 701 deals with the auditor's responsibility to communicate key audit matters in the auditor's report. It is intended to address both the auditor's judgement as

to what to communicate in the auditor's report and the form and content of such communication.

In the above context, explain the purpose of communicating key audit matters.

ICAI'S ANSWER

Purpose of Communicating Key Audit Matters: As per SA 701, "Communicating Key Audit Matters in the Auditor's Report", the purpose of communicating key audit matters is to enhance the communicative value of the auditor's report by providing greater transparency about the audit that was performed. Communicating key audit matters provides additional information to intended users of the financial statements to assist them in understanding those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period. Communicating key audit matters may also assist intended users in understanding the entity and areas of significant management judgement in the audited financial statements.

ICAI · P5 · RTP Jan 2026 · question p. 8 · answer p. 16-17

1081 **RTP** **May 2025** **Q16**

As per SA 701, the objectives of the auditor are to determine key audit matters and having formed an opinion on the financial statements, communicate those matters by describing them in the auditor's report. Which factors are taken into account by auditor

while determining Key Audit Matters? How Key Audit Matters are communicated in audit report?

ICAI'S ANSWER

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

- Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315.
- Significant auditor judgements relating to areas in the financial statements that involved significant management judgement, including accounting estimates that have been identified as having high estimation uncertainty.
- The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined, as stated above, were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

The auditor shall describe each key audit matter, using an appropriate subheading, in a separate section of the auditor's report under the heading

"Key Audit Matters". The introductory language in this section of the auditor's report shall state that:

(a) Key audit matters are those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements [of the current period]; and

(b) These matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and the auditor does not provide a separate opinion on these matters.

ICAI · P5 · RTP May 2025 · question p. 6-7 · answer p. 13-14

1082 RTP **Old P6 Nov 2023** Q24 old scheme

Also asked in Old P6 MTP May 2022 S-II Q5(d)

Communicating key audit matters in the auditor's report is in the context of the auditor having formed an opinion on the financial statements as a whole. Communicating key audit matters in the auditor's report is not considered as a substitute or alternative for a number of important items. What are those items?

ICAI'S ANSWER

As per SA 701, "Communicating Key Audit Matters in the Auditor's Report", communicating key audit matters in the auditor's report is in the context of the auditor having formed an opinion on the

financial statements as a whole. Communicating key audit matters in the auditor's report is not:

(i) A substitute for disclosures in the financial statements that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation;

(ii) A substitute for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705, "Modifications to the Opinion in the Independent Auditor's Report";

(iii) A substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern; or

(iv) A separate opinion on individual matters.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 30-31

1083 RTP **Old P6 Dec 2021** Q24 old scheme

Same question, different ICAI answer: #1086 Old P6 MTP Dec 2021 S-I

As an auditor of listed company, what are the matters that the auditor should keep in mind while determining "Key Audit Matters".

ICAI'S ANSWER

Determining Key Audit Matters: As per SA 701, "Communicating Key Audit Matters in the Independent Auditor's Report", the auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315, Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment.

(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(iii)

(iv) The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined in accordance with above were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

ICAI · Old P6 · RTP Dec 2021 · question p. 125 · answer p. 142-143

1084 RTP Old P6 Nov 2019 Q24 old scheme

Communicating Key Audit Matter is not a substitute for disclosure in the Financial Statements rather Communicating key audit matters in the auditor's report is in the context of the Auditor having formed an opinion on the financial statements as a whole. Analyse.

ICAI'S ANSWER

Communicating key audit matters in the auditor's report is not:

(i) A substitute for disclosures in the financial statements that the applicable Financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation;

(ii) A substitute for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705 (Revised);

(iii) A substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern; or

(iv) A separate opinion on individual matters

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 25

1085 MTP May 2025 S-II Q6(c) 4 marks

Communicating key audit matters in the auditor's report is in the context of the auditor having formed an opinion on the financial statements as a whole. Communicating key audit matters in the auditor's report is not considered as a substitute or alternative for a number of important items. What are those items in view of above?

ICAI'S ANSWER

As per SA 701, "Communicating Key Audit Matters in the Auditor's Report", communicating key audit matters in the auditor's report is in the context of the auditor having formed an opinion on the financial statements as a whole. Communicating key audit matters in the auditor's report is not:

(i) A substitute for disclosures in the financial statements that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation;

(ii) A substitute for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement in accordance with SA 705, "Modifications to the Opinion in the Independent Auditor's Report";

(iii) A substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern; or

(iv) A separate opinion on individual matters.

ICAI · P5 · MTP May 2025 · Series II · question p. 12 · answer p. 12

1086 MTP **Old P6 Dec 2021 S-I Q6(d)** 3 marks old scheme

Same question, different ICAI answer: #1083 Old P6 RTP Dec 2021

As an auditor of listed company, what are the matters that the auditor should keep in mind while determining "Key Audit Matters".

ICAI'S ANSWER

Determining Key Audit Matters: As per SA 701, "Communicating Key Audit Matters in the Independent Auditor's Report", the auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with SA 315, Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment.

(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.

(iii) The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined in accordance with above were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 9-10

8.3 SA 705: qualified, adverse and disclaimer of opinion

40 questions · asked in 20 ICAI documents · 7 exam papers

1087 EXAM Jan 2025 Q3(c) 4 marks

Singh & Associates, while carrying out statutory audit of Rubber Industries Limited, observed that debtors are not making payments invoice wise. As the debtors constitute sixty percent of the total assets, so auditors requested management to provide external confirmations of all the debtors outstanding for an amount exceeding ₹ 1.00 Lac. However, management resisted and no external confirmations were made available. Auditor firm has decided to disclaim an opinion on the financial statements and seek your guidance on amendments that should be made in the "Basis for Opinion" section and elements required by SA 700 (Revised) which need not to be included in the auditor's report. Guide them suitably.

ICAI'S ANSWER

In the given situation, since the audit firm has decided to disclaim an opinion on the financial statements, the auditor shall, in addition to the specific elements required by SA 700 (Revised) amend the heading "Basis for Opinion" to "Basis for Disclaimer of Opinion; and within this section, include a description of the matter giving rise to the modification.

Further, when the auditor disclaims an opinion on the financial statements, the auditor's report shall not include the following elements required by SA 700 (Revised):

(i) A reference to the section of the auditor's report where the auditor's responsibilities are described; and

(ii) A statement about whether the audit evidence obtained is sufficient and appropriate to provide a basis for the auditor's opinion.

ICAI · P5 · Jan 2025 exam · question p. 19 · answer p. 21

1088 **EXAM** **Sep 2024** Case Scenario 1 · MCQ 1 to MCQ 5

CASE SCENARIO 1

GHB Ltd., a listed company, having its registered office at New Delhi, is in the business of blending, processing, packing and selling various brands of Tea. BPP & Co. LLP, Chartered Accountants, are appointed as the statutory auditors of the company

for the financial year 2023-24, CA B is the engagement partner for the assignment.

The company has a centralised warehouse near the border of Himachal Pradesh. CA B's attendance, on 31 March, 2024, at the physical inventory counting in aspect of the said warehouse became impracticable on account of natural calamity in that area. It also became impossible for CA B to perform alternative audit procedures to obtain sufficient appropriate audit evidence regarding the existence and condition of the inventory.

The company had spent huge amount on employee benefits. Hence, CA B instructed his assistants to test the controls that the company had set around the employee benefit expenses. After being satisfied with the controls maintained by the company, he instructed his team to bifurcate the employee benefit expenses into salaries and wages, contribution to PF, expenses on ESOP/ ESPP and staff welfare expenses.

The engagement partner CA B, while evaluating, validating and reporting on the design and efficiency of internal financial controls at GHB Ltd., also impressed upon the directors, independent directors and the audit committee the way in which the Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on the internal controls of a company.

Due to time constraints, CA B is under pressure to issue a clean report in the limited time frame. He has

insufficient time to properly perform or complete the relevant duties and issue appropriate audit report.

The Board of Directors want CA B to certify the debtors to be sent to the bank without checking. CA B agrees, as most of the professional income of BPP & 4 Co. LLP comes from GHB Ltd. They have undue dependence on the fees from GHB Ltd. hence; they are concerned about losing the engagement.

Based on the above facts, answer the following Q. Nos. 1 to 5

MCQ 1

Since it became impracticable for CA B, on 31 March, 2024, to attend physical inventory counting at the warehouse and also became impossible to perform alternative audit procedures to obtain sufficient appropriate audit evidence regarding the existence and conditions of inventory, CA B shall:

A. Take Management Representation regarding the existence and valuation of inventory and mention in Emphasis of Matter paragraph.

B. Rely on GHB Ltd.'s perpetual inventory records as audit evidence and express unmodified opinion.

C. Omit altogether the audit procedure of physical inventory counting from the audit programme because of impracticability.

D. Modify the opinion in the auditor's report in accordance with SA 705 as a result of the scope limitation.

MCQ 2

Which assertion concerning the bifurcation of employee expenses into various heads is being verified by CA B?

- A Occurrence
- B Measurement
- C Completeness
- D Disclosures

MCQ 3

With reference to reporting on the internal financial controls system under the Companies Act, 2013, which of the following does not fall within the nature of responsibility of GHB Ltd?

- A In accordance with the terms of reference specified in writing by the Board, act of every audit committee to include evaluation of internal financial controls and risk management systems.
- B Directors' responsibility statement to state that the Directors had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
- C Board of Directors have to appoint an expert to state that the internal financial controls of the company are commensurate with the size and nature of its business.

D In terms of code for Independent Directors, independent directors to get themselves satisfied that financial controls and systems of risk management are robust and defensible.

MCQ 4

Due to tight deadlines, CA B has insufficient time to properly perform or complete the relevant duties and he has to sign off clean audit report. Which fundamental principle governing professional ethics is disregarded by him ?

A Professional competence and due care

B Professional behaviour

C Integrity

D Objectivity

MCQ 5

Undue dependence on the fees from GHB Ltd. creates which threat of independence for the auditors?

A Intimidation threat

B Familiarity threat

C Self-interest threat

D Advocacy threat

ICAI'S ANSWERS

MCQ 1

Answer key: **(D)**

MCQ 2

Answer key: **(D)**

MCQ 3

Answer key: **(C)**

MCQ 4

Answer key: **(A)**

MCQ 5

Answer key: **(C)**

ICAI · P5 · Sep 2024 exam · question p. 1-2 · answer p. 8

1089 **EXAM** **Old P6 Nov 2023** Q2(a) **4 marks** **old scheme**

M/s ABC & Associates, statutory auditors of Opaque Ltd., are in the process of finalizing the audit report of the company but in view of their inability to obtain sufficient appropriate audit evidence, they would like to disclaim their opinion on the financial statements. Explain reporting responsibilities of M/s ABC & Associates pursuant to SA 700 (Revised). How they will address key audit matters section in accordance with SA 701 when they are expressing disclaimer of an opinion on the financial statements?

ICAI'S ANSWER

SA 700 requires that if the auditor is unable to obtain sufficient appropriate audit evidence to conclude that financial statements as a whole are free from material misstatements, the auditor shall modify opinion in accordance with requirements of SA 705.

SA 705 requires that when the auditor disclaims an opinion on the financial statements due to an

inability to obtain sufficient appropriate audit evidence, the auditor shall:

(i) State that the auditor does not express an opinion on the accompanying financial statements;

(ii) State that, because of the significance of the matters described in the Basis for Disclaimer of Opinion section, the auditor has not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements; and

(iii) Amend the statement required by SA 700 (Revised), which indicates that the financial statements have been audited, to state that the auditor was engaged to audit the financial statements.

SA 705 requires that unless required by law or regulation, when the auditor disclaims an opinion on the financial statements, the auditor's report shall not include a Key Audit Matters section in accordance with SA 701.

Alternative Solution

(a) **When an auditor disclaims an opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence,** the auditor shall amend the description of the auditor's responsibilities required by SA 700 (Revised) to include only the following:

(i) A statement that the auditor's responsibility is to conduct an audit of the entity's financial statements

in accordance with Standards on Auditing and to issue an auditor's report;

(ii) A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements; and

(iii) The statement about auditor independence and other ethical responsibilities required by SA 700 (Revised).

Unless required by law or regulation, when the auditor disclaims an opinion on the financial statements, the auditor's report shall not include a Key Audit Matters section in accordance with SA 701.

ICAI · Old P6 · Nov 2023 exam · question p. 3 · answer p. 3-4

1090 EXAM **Old P6 May 2023** Q5(c) 3 marks old scheme

Elucidate the circumstances when a modification to the Auditor's opinion is required. Also state the factors for making the decision regarding which type of modified opinion is appropriate.

ICAI'S ANSWER

Circumstances When a Modification to the Auditor's Opinion Is Required

The auditor shall modify the opinion in the auditor's report in the following circumstances:

1. The auditor concludes that, based on the audit evidence obtained, the financial statements as a whole are not free from material misstatement; or
2. The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

The decision regarding which type of modified opinion is appropriate depends upon:

(a) The nature of the matter giving rise to the modification, that is, whether the financial statements are materially misstated or, in the case of an inability to obtain sufficient appropriate audit evidence, may be materially misstated; and

(b) The auditor's judgement about the pervasiveness of the effects or possible effects of the matter on the financial statements.

ICAI · Old P6 · May 2023 exam · question p. 10 · answer p. 12-13

1091 EXAM **Old P6 May 2022** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

State with reasons whether the following statements are correct or incorrect. (Answer any seven).

Q1(a) 2 marks

Pervasive is a term used, in the context of misstatements, to describe the effects on the financial statements of misstatements or the possible effects on the financial statements of misstatements, if any, that are detected by obtaining sufficient appropriate audit evidence.

Q1(b) 2 marks

Audit findings and control deficiencies can be evaluated or assessed arbitrarily.

Q1(c) 2 marks

Inappropriate management can override internal controls of any organization.

Q1(d) 2 marks

Once the audit plan has been drafted and communicated, it is obligatory on the auditor to follow the same.

Q1(e) 2 marks

According to CARO 2020, the company auditor is required to state that whether the title deeds of all immovable properties held in the name of the company are disclosed in its financial statements.

Q1(f) 2 marks

SA 520 deals with the auditor's use of analytical procedures as substantive procedures ("substantive analytical procedures"), and as procedures near the end of the audit, that assist the auditor in preparation of the financial statements.

Q1(g) 2 marks out of syllabus

Misappropriation of assets is often accompanied by false or misleading records or documents in order to conceal the fact that the assets are missing or have been pledged with proper authorization.

Q1(h) 2 marks

Materiality is not a matter of size.

ICAI'S ANSWERS

Q1(a)

Incorrect: Pervasive is a term used, in the context of misstatements, to describe the effects on the financial statements of misstatements or the possible effects on the financial statements of misstatements, if any, that are undetected due to an inability to obtain sufficient appropriate audit evidence.

Q1(b)

Incorrect: Evaluation and assessment of audit findings and control deficiencies involves applying professional judgement that include considerations for quantitative and qualitative measures. Each finding should be looked at individually and in the aggregate by combining with other findings/deficiencies.

Q1(c)

Correct: Controls can be circumvented by the collusion of two or more people or inappropriate management override of internal control. **For example**, management may enter into side agreements with customers that alter the terms and

conditions of the entity's standard sales contracts, which may result in improper revenue recognition. Also, edit checks in a software program that are designed to identify and report transactions that exceed specified credit limits may be overridden or disabled.

Q1(d)

Incorrect: The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures.

Q1(e)

Incorrect: According to CARO, 2020, the company auditor is required to state whether the title deeds of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company.

Q1(f)

Incorrect: SA 520 deals with the auditor's use of analytical procedures as substantive procedures ("substantive analytical procedures"), and as procedures near the end of the audit that assist the auditor when forming an overall conclusion on the financial statements.

Q1(g)

Incorrect: Misappropriation of assets is often accompanied by false or misleading records or documents in order to conceal the fact that the assets are missing or have been pledged without proper authorization.

PassBook's note: Out of syllabus (old scheme): misappropriation of assets and its concealment are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment), as o-p6-pyq-nov2023 does for SA 240.

Q1(h)

Incorrect: Financial statements should disclose all 'material items', i.e., the items the knowledge of which might influence the decisions of the user of the financial statement. Materiality is not always a matter of relative size. For example -a small amount lost by fraudulent practices of certain employees can indicate a serious flaw in the enterprise's internal control system requiring immediate attention to avoid greater losses in future. In certain

cases, quantitative limits of materiality are specified.

ICAI · Old P6 · May 2022 exam · question p. 1 · answer p. 1, 1-2, 2

1092 **EXAM** **Old P6 Jul 2021 Q5(d)** **3 marks** **old scheme**

CA Guru is in the process of preparing the final audit report of JPA Private Limited and would like to disclaim his opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence. How CA Guru shall amend the description of the auditor's responsibilities as required by SA 700 (Revised)?

ICAI'S ANSWER

Since the auditor, CA Guru, disclaims an opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence of JPA Pvt Ltd, the auditor (CA Guru) shall amend the description of the auditor's responsibilities required by SA 700 (Revised) to include only the following:

(a) A statement that the auditor's responsibility is to conduct an audit of the entity's financial statements in accordance with Standards on Auditing and to issue an auditor's report;

(b) A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements , and

(c) The statement about auditor independence and other ethical responsibilities required by SA 700 (Revised)

ICAI · Old P6 · Jul 2021 exam · question p. 43 · answer p. 44-45

1093 EXAM **Old P6 Jan 2021** Q6(d) 3 marks old scheme

XYZ Ltd. which is in the business of trading of automobile components is following Cash Basis of Accounting for sale of spare parts. As Statutory Auditor of XYZ Ltd. explain the reporting requirements, manner of qualification and disclosure, if any, to be made in the auditor's report in line with AS-1 'Disclosure of Accounting Policies'.

ICAI'S ANSWER

Reporting requirements, Manner of qualification and disclosure to be made in the auditor's report in line with AS 1, "Disclosure of Accounting Policies" are given hereunder :

In the case of a company, members should qualify their audit reports in case –

(a) accounting policies required to be disclosed under Schedule III or any other provisions of the Companies Act, 2013 have not been disclosed, or

(b) accounts have not been prepared on accrual basis, or

(c) the fundamental accounting assumption of going concern has not been followed and this fact has not been disclosed in the financial statements, or

(d) proper disclosures regarding changes in the accounting policies have not been made.

Where a company has been given a specific exemption regarding any of the matters stated above but the fact of such exemption has not been adequately disclosed in the accounts, the member should mention the fact of exemption in his audit report without necessarily making it a subject matter of audit qualification.

In view of the above, the auditor will have to consider different circumstances whether the audit report has to be qualified or only disclosures have to be given.

In making a qualification / disclosure in the audit report, the auditor should consider the materiality of the relevant item. Thus, the auditor need not make qualification / disclosure in respect of items which, in his judgement, are not material.

A disclosure, which is not a subject matter of audit qualification, should be made in the auditor's report in a manner that it is clear to the reader that the disclosure does not constitute an audit qualification. The paragraph containing the auditor's opinion on true and fair view should not include a reference to the paragraph containing the aforesaid disclosure.

PassBook's note: ICAI answers from the guidance on audit qualifications for AS 1 'Disclosure of Accounting Policies', which the January 2027 Study Material does not reproduce.

ICAI · Old P6 · Jan 2021 exam · question p. 12 · answer p. 14

1094 RTP Sep 2025 Q17

Auditors do not always issue an unmodified opinion on financial statements. In cases where there are material misstatements or limitations in obtaining sufficient audit evidence, a modified opinion may be necessary.

Discuss the types of modified audit opinions an auditor can issue? Explain how these opinions differ based on the concepts of materiality and pervasiveness of the issue.

ICAI'S ANSWER

There are three types of modified opinions, namely:

(i) A qualified opinion.

(ii) An adverse opinion.

(iii) A disclaimer of opinion.

Qualified Opinion:

The auditor shall express a qualified opinion when:

(a) The auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements; or

(b) The auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive.

Adverse Opinion: The auditor shall express an adverse opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are both material and pervasive to the financial statements.

Disclaimer of Opinion: The auditor shall disclaim an opinion when the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive.

The auditor shall disclaim an opinion when, in extremely rare circumstances involving multiple uncertainties, the auditor concludes that, notwithstanding having obtained sufficient appropriate audit evidence regarding each of the individual uncertainties, it is not possible to form an opinion on the financial statements due to the potential interaction of the uncertainties and their possible cumulative effect on the financial statements.

ICAI · P5 · RTP Sep 2025 · question p. 7 · answer p. 15-16

1095 **RTP** **May 2024** **Q19**

CA. S, while conducting audit of an entity is facing the following issues: -

(i) He has not been provided with necessary support for attending inventory count process of entity as at year end.

(ii) Accounts Manager is not providing him present addresses of customers as well as suppliers for sending external confirmations. Even mail ids have not been provided on the pretext of business confidentiality.

(iii) He was not able to verify revenues of entity due to lack of complete details.

(iv) He has been asking for bills on a sample basis for the purpose of verifying expenses, but staff has been making lame excuses.

The matter was brought to knowledge of higher management, but of no avail. The auditor, CA S has come to the conclusion that the possible effects on the financial statements of undetected misstatements would be material and affecting many aspects of financial statements and in such a case, a qualification of the opinion would be inadequate to communicate the gravity of the situation.

How should the auditor proceed in such a situation?

ICAI'S ANSWER

In the given case, auditor has not been able to obtain sufficient appropriate audit evidence relating to inventories, debtors, creditors, revenues and expenses. The matter was brought to the knowledge of management but no result has been achieved. In such circumstances, auditor should proceed as given here under: -

If the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive so that a qualification of the opinion would be inadequate to communicate the gravity of the situation, the auditor shall:

(i) Withdraw from the audit, where practicable and possible under applicable law or regulation; or

(ii) If withdrawal from the audit before issuing the auditor's report is not practicable or possible, disclaim an opinion on the financial statements.

If auditor withdraws from such an engagement, before withdrawing, auditor shall communicate to those charged with governance any matters regarding misstatements identified during the audit that would have given rise to a modification of the opinion.

ICAI · P5 · RTP May 2024 · question p. 12-13 · answer p. 27-28

1096 **RTP** **Old P6 May 2022** Q25 old scheme

When the auditor disclaims an opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence, the auditor shall amend the description of the auditor's responsibilities required by SA 700. Explain

ICAI'S ANSWER

When the auditor disclaims an opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence, the auditor

shall amend the description of the auditor's responsibilities required by SA 700 (Revised) to include only the following:

(a) A statement that the auditor's responsibility is to conduct an audit of the entity's financial statements in accordance with Standards on Auditing and to issue an auditor's report;

(b) A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements; and

(c) The statement about auditor independence and other ethical responsibilities required by SA 700 (Revised).

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 31

1097 RTP **Old P6 Dec 2021** Q25 old scheme

Delightful Ltd. is a company engaged in the production of smiley balls. During the FY 2020-21 the company transferred its accounts to computerised system (SAP) from manual system of accounts. Since the employees of the company were not well versed with the SAP system, there were many errors in the accounting during the transition period. As such the statutory auditors of the company were not able to extract correct data and reports from the system. Such data was not available manually also. Further, the

employees and the management of the company were not supportive in providing the requisite information to the audit team. The auditor believes that the possible effects on the financial statements of undetected misstatements could be both material and pervasive.

Explain the kind of audit report that the statutory auditor of the company should issue in this case.

ICAI'S ANSWER

The auditor shall disclaim an opinion when the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive.

The auditor shall disclaim an opinion when, in extremely rare circumstances involving multiple uncertainties, the auditor concludes that, notwithstanding having obtained sufficient appropriate audit evidence regarding each of the individual uncertainties, it is not possible to form an opinion on the financial statements due to the potential interaction of the uncertainties and their possible cumulative effect on the financial statements.

In the present case Delightful Ltd, the statutory auditor of the company is unable to extract correct data and reports from the SAP system for conduct of audit. Also, such data and reports are not available manually. Moreover, the auditor believes that the

possible effects on the financial statements of undetected misstatements could be both material and pervasive.

As such, the statutory auditor of Delightful Ltd. should give a disclaimer of opinion.

ICAI · Old P6 · RTP Dec 2021 · question p. 125 · answer p. 143

1098 **MTP** **Sep 2026 S-II** Q5(c) **4 marks**

Explain the factors that determine the type of modified opinion to be expressed by the auditor. In this context, explain how the nature of the matter giving rise to the modification and the auditor's judgement regarding the pervasiveness of its effects or possible effects on the financial statements determine whether a qualified opinion, adverse opinion or disclaimer of opinion is appropriate.

ICAI'S ANSWER

Which type of opinion is appropriate?

The decision regarding which type of modified opinion is appropriate depends upon:

(1) The nature of the matter giving rise to the modification, that is, whether the financial statements are materially misstated or, in the case of an inability to obtain sufficient appropriate audit evidence, may be materially misstated; and

(2) The auditor's judgement about the pervasiveness of the effects or possible effects of the matter on the financial statements.

The table below illustrates how the auditor's judgement about the nature of the matter giving rise to the modification, and the pervasiveness of its effects or possible effects on the financial statements, affects the type of opinion to be expressed.

Nature of Matter Giving Rise to the Modification	Auditor's Judgement about the Pervasiveness of the Effects or Possible Effects on the Financial Statements
Material but not Pervasive	**Material and Pervasive**
Financial statements are materially misstated	Qualified opinion / Adverse opinion
Inability to obtain sufficient appropriate audit evidence	Qualified opinion / Disclaimer of opinion

ICAI · P5 · MTP Sep 2026 · Series II · question p. 16 · answer p. 13

1099 **MTP** **May 2026 S-II** Q5(a) **5 marks**

Explain the objective of the auditor to express an appropriately modified opinion as per SA 705 –

Modifications to the Opinion in the Independent Auditor's Report. Also, discuss the circumstances under which the auditor is required to issue a qualified opinion.

ICAI'S ANSWER

Objective of the Auditor - To Express Clearly an Appropriately Modified Opinion: As per Standard on Auditing (SA) 705 "Modifications To The Opinion In The Independent Auditor's Report", the objective of the auditor is to express clearly an appropriately modified opinion on the financial statements that is necessary when:

(i) The auditor concludes, based on the audit evidence obtained, that the financial statements as a whole are not free from material misstatement; or

(ii) The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

Qualified Opinion

The auditor shall express a qualified opinion when:

(i) The auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements; or

(ii) The auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible

effects on the financial statements of undetected misstatements, if any, could be material but not pervasive.

ICAI · P5 · MTP May 2026 · Series II · question p. 14 · answer p. 10-11

1100 MTP **Jan 2026 S-I** Q6(a) 5 marks

During an audit, the auditor becomes aware that management has imposed a limitation on the scope of the audit after the engagement was accepted. Explain the steps the auditor should take and possible implications on the auditor's report if sufficient appropriate audit evidence cannot be obtained as per the requirements of SA 705.

ICAI'S ANSWER

As per the requirements of SA 705, "Modifications to the Opinion in the Independent Auditor's Report" -

- If, after accepting the engagement, the auditor becomes aware that management has imposed a limitation on the scope of the audit that the auditor considers is likely to result in the need to express a qualified opinion or to disclaim an opinion on the financial statements, the auditor shall request that management remove the limitation.
- If management refuses to remove the limitation referred above, the auditor shall communicate the matter to those charged with governance, unless all of those charged with governance are involved in managing the entity and determine

whether it is possible to perform alternative procedures to obtain sufficient appropriate audit evidence.

- If the auditor is unable to obtain sufficient appropriate audit evidence, the auditor shall determine the implications as follows:
  - (I) If the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive, the auditor shall qualify the opinion; or
  - (II) If the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive so that a qualification of the opinion would be inadequate to communicate the gravity of the situation, the auditor shall:
    - (i) Withdraw from the audit, where practicable and possible under applicable law or regulation; or
    - (ii) If withdrawal from the audit before issuing the auditor's report is not practicable or possible, disclaim an opinion on the financial statements.
- If the auditor withdraws as contemplated by point (b)(i) above, before withdrawing, the auditor shall communicate to those charged with governance any matters regarding misstatements

identified during the audit that would have given rise to a modification of the opinion.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 12 · answer p. 11-12

1101 **MTP** **Jan 2026 S-II** **Q4(c)** **4 marks**

SA 705, "Modifications to the Opinion in the Independent Auditor's Report," deals with circumstances in which the auditor is required to modify the opinion on the financial statements. Explain this statement and also state the objective of the auditor under SA 705 when forming a modified opinion.

ICAI'S ANSWER

Standard on Auditing (SA) 705 "Modifications to the Opinion in the Independent Auditor's Report" deals with the auditor's responsibility to issue an appropriate report in circumstances when, in forming an opinion in accordance with SA 700 (Revised) "Forming an Opinion and Reporting on Financial Statements", the auditor concludes that a modification to the auditor's opinion on the financial statements is necessary. This SA also deals with how the form and content of the auditor's report is affected when the auditor expresses a modified opinion.

The objective of the auditor is to express clearly an appropriately modified opinion on the financial statements that is necessary when:

(i) The auditor concludes, based on the audit evidence obtained, that the financial statements as a

whole are not free from material misstatement; or

(ii) The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 10-11 · answer p. 8-9

1102 MTP **Jan 2025 S-I** Q2(b) 5 marks

"When the auditor modifies the audit opinion, the auditor shall use the heading "Qualified Opinion," "Adverse Opinion," or "Disclaimer of Opinion," as appropriate, for the Opinion section." Briefly explain when the auditor should express:

(i) Qualified Opinion.

(ii) Adverse Opinion and

(iii) Disclaimer of Opinion.

ICAI'S ANSWER

"When the auditor modifies the audit opinion, the auditor shall use the heading "Qualified Opinion," "Adverse Opinion," or "Disclaimer of Opinion," as appropriate, for the Opinion section." The auditor should consider the following while expressing the opinion in accordance with SA 705, "Modifications to the Opinion in the Independent Auditor's Report".

(i) **Qualified Opinion**

- The auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, are material, but not pervasive or

- The auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive.

(ii) **Adverse Opinion:** The auditor shall express an adverse opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are both material and pervasive to the financial statements.

(iii) **Disclaimer of Opinion:** The auditor shall disclaim an opinion when he is unable to obtain sufficient appropriate audit evidence on which to base the opinion, and he concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 3-4

1103 MTP **May 2024 S-II** Q4(d) 3 marks

Discuss the objective of the auditor as per Standard on Auditing (SA) 705 “Modifications to The Opinion in The Independent Auditor’s Report”.

ICAI’S ANSWER

As per Standard on Auditing (SA) 705 “Modifications to the Opinion In The Independent Auditor’s Report”, the objective of the auditor is **to express**

clearly an appropriately modified opinion on the financial statements that is necessary when:

(a) The auditor concludes, based on the audit evidence obtained, that the financial statements as a whole are not free from material misstatement; or

(b) The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 8

1104 MTP **Old P6 Nov 2023 S-II** General MCQ 6 1 mark

MCQ old scheme

An auditor disclaims opinion when_____?

A He is unable to obtain audit evidence and concludes that possible effects on financial statements of undetected misstatements could be material.

B He is unable to obtain audit evidence and concludes that possible effects on financial statements of undetected misstatements could be both material and adverse.

C He is unable to obtain audit evidence and concludes that possible effects on financial statements of undetected misstatements could be both material and pervasive.

D He is unable to obtain audit evidence and concludes that possible effects on financial statements of undetected misstatements could be both material and perverse.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 4-5 · answer p. 1

1105 MTP **Old P6 Nov 2023 S-II** Q5(b) 4 marks old scheme

Distinguish between an adverse opinion and a qualified opinion. Also draft an opinion paragraph for both types of opinion.

ICAI'S ANSWER

An auditor shall express an adverse opinion, when the auditor having obtained sufficient and appropriate audit evidence, concludes that misstatements, individually or in aggregate are both material and pervasive.

Whereas, when the auditor, having obtained sufficient and appropriate audit evidence, concludes that misstatements are material but not pervasive, shall express a qualified opinion.

SA705 – "Modifications to the Opinion in the Independent Auditor's Report" deals with the form and content of both types of report. The following are the draft of the opinion paragraphs of the reports.

(i) Adverse Opinion

We have audited the accompanying consolidated financial statements of ABC Company Limited (hereinafter referred to as the “Holding Company”) and its subsidiaries (the Holding Company and its subsidiaries together referred to as “the Group”), its associates and jointly controlled entities, which comprise the consolidated balance sheet as at March 31, 2023, the consolidated statement of profit and Loss, (consolidated statement of changes in equity) and the consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies (hereinafter referred to as the “consolidated financial statements”). In our opinion and to the best of our information and according to the explanations given to us, because of the significance of the matter discussed in the Basis for Adverse Opinion section of our report, the accompanying consolidated financial statements do not give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group, its associates and jointly controlled entities, as at March 31, 2023, of its consolidated profit/loss, (consolidated position of changes in equity) and the consolidated cash flows for the year then ended.

(ii) Qualified Opinion

We have audited the standalone financial statements of ABC Company Limited (“the

Company"), which comprise the balance sheet as at March 31, 2023, and the statement of Profit and Loss, (statement of changes in equity) and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (in which are included the Returns for the year ended on that date audited by the branch auditors of the Company's branches located at (location of branches)) . In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the aforesaid financial statements give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31st, 2023 and profit/loss, (changes in equity) and its cash flows for the year ended on that date.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 7 · answer p. 7-8

1106 MTP **Old P6 May 2022 S-I** Q5(c) 4 marks old scheme

While conducting audit of VED Ltd., you as an auditor are not only prevented in completing certain audit procedures but also are not able to obtain audit evidence even by performing alternative procedures. How you will deal with this situation?

ICAI'S ANSWER

As per SA 705, "Modifications to the Opinion in the Independent Auditor's Report", if, after accepting the engagement, the auditor becomes aware that management has imposed a limitation on the scope of the audit that the auditor considers likely to result in the need to express a qualified opinion or to disclaim an opinion on the financial statements, the auditor shall request that management remove the limitation.

If management refuses to remove the limitation, the auditor shall communicate the matter to those charged with governance, unless all of those charged with governance are involved in managing the entity and determine whether it is possible to perform alternative procedures to obtain sufficient appropriate audit evidence.

If the auditor is unable to obtain sufficient appropriate audit evidence, the auditor shall determine the implications as follows:

(1) If the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be material but not pervasive, the auditor shall qualify the opinion; or

(2) If the auditor concludes that the possible effects on the financial statements of undetected misstatements, if any, could be both material and pervasive so that a qualification of the opinion

would be inadequate to communicate the gravity of the situation, the auditor shall:

(i) Withdraw from the audit, where practicable and possible under applicable law or regulation; or

(ii) If withdrawal from the audit before issuing the auditor's report is not practicable or possible, disclaim an opinion on the financial statements.

If the auditor withdraws, before withdrawing, the auditor shall communicate to those charged with governance any matters regarding misstatements identified during the audit that would have given rise to a modification of the opinion.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 9

1107 MTP **Old P6 Nov 2019 S-I** MCQ 16 1 mark MCQ old scheme

A company did not disclose accounting policies required to be disclosed under Schedule III or any other provisions of the Companies Act, 2013, the auditor should issue–

A a qualified opinion

B an adverse opinion

C a disclaimer of opinion

D emphasis of matter paragraph.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 3 · answer p. 1

1108 MTP Old P6 Nov 2019 S-I Case scenario · Q1(i) to Q1(viii)

16 marks old scheme

CASE SCENARIO

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any 7 out of 8)

Q1(i) 2 marks

If financial statements are misstated, and in the auditor's judgment such misstatement is material and pervasive, he should issue a qualified opinion.

Q1(ii) 2 marks

'Test of Control' may be defined as an audit procedure designed to detect material misstatements at the assertion level

Q1(iii) 2 marks

The method which involves dividing the population into groups of items is knows as block sampling.

Q1(iv) 2 marks

It is necessary for the auditor to maintain professional skepticism throughout the audit.

Q1(v) 2 marks out of syllabus

Teeming and lading is one of the techniques of inflating cash payments.

Q1(vi) 2 marks out of syllabus

Managing director of A Ltd. himself appointed the first auditor of the company.

Q1(vii) 2 marks

The scope of work of an internal auditor may extend even beyond the financial accounting.

Q1(viii) 2 marks

There is no relation between Inherent risk, Control risk and Detection risk.

ICAI'S ANSWERS

Q1(i)

Incorrect: As per SA 705 "Modifications to the Opinion in the Independent Auditor's Report", the auditor shall express an adverse opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are both material and pervasive to the financial statements. However, the auditor shall express qualified opinion when he concludes that misstatement, individually or in aggregate are material but not pervasive.

Q1(ii)

Incorrect: 'Substantive procedure' may be defined as an audit procedure designed to detect material misstatements at the assertion level whereas 'tests of controls' is an audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level.

Q1(iii)

Incorrect. The method which involves dividing the population into groups of items is known as cluster

sampling whereas block sampling involves the selection of a defined block of consecutive items.

Q1(iv)

Correct. As per SA 200, "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", professional skepticism is an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence. Thus, it is necessary for the auditor to maintain professional skepticism throughout the audit.

Q1(v)

Incorrect: Teeming and Lading is one of the techniques of suppressing cash receipts and not of inflating cash payments. Money received from one customer is misappropriated and the account is adjusted with the subsequent receipt from another customer and so on.

PassBook's note: Out of syllabus (old scheme): teeming and lading and the other ways cash receipts are suppressed were part of old Paper 6's vouching and internal control content.

Q1(vi)

Incorrect: As per section 139(6) of the Companies Act, 2013, the first auditor of a company, other than a government company, shall be appointed by the Board of directors within 30 days from the date of registration of the company.

Therefore, the appointment of first auditor made by the managing director of A Ltd. is in violation of the

provisions of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the appointment of the first auditor of a non-Government company by the Board of Directors within 30 days of registration (section 139(6) of the Companies Act, 2013) belonged to old Paper 6's Company Audit chapter.

Q1(vii)

Correct. The scope of work of an internal auditor may extend even beyond the financial accounting and may include cost investigation, inquiries relating to losses and wastages, production audit, performance audit, etc.

Q1(viii)

Incorrect: There is an inverse relationship between detection risks and the combined level of inherent and control risks. When inherent and control risks are high, acceptable detection risk needs to be low to reduce audit risk to an acceptably low level. When inherent and control risks are low, an auditor can accept a higher detection risk and still reduce audit risks to an acceptably low level.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 5 · answer p. 2

8.4 SA 706: emphasis of matter and other matter paragraphs

13 questions · asked in 12 ICAI documents · 3 exam papers

1109 **EXAM** **Jan 2026** Case scenario · Q3(a) 1/2 to Q3(a) 2/2

5 marks

CASE SCENARIO

During the audit of STU Ltd., the auditor concludes that the financial statement is true and fair, requiring no modification. However, the notes to accounts disclose that a major fire occurred shortly after year end causing significant effect on entity's financial position. The disclosure is complete and no adjustment is needed, but the auditor believes that user should be specifically alerted to this important matter in his audit report.

Q3(a) 1/2 1 mark

Identify the type of paragraph the auditor should include in audit report in this situation.

Q3(a) 2/2 4 marks

Explain its meaning and state other circumstances in which such a paragraph may be necessary.

ICAI'S ANSWERS

Q3(a) 1/2

In the present case there is a need to add "Emphasis of Matter Paragraph (EOM)" in the Auditor's Report as per SA 706 (Revised).

Q3(a) 2/2

Meaning of EOM- It is a paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to the users' understanding of the financial statements.

Some examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph are:

1 An uncertainty relating to the future outcome of exceptional litigation or regulatory action.

2 A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.

3 Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.

4 A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · P5 · Jan 2026 exam · question p. 18 · answer p. 19

1110 **EXAM** **Jan 2025** Q4(c) **4 marks**

NHG & Co., Chartered Accountants, is statutory auditor of M/s Backlog Private Limited (BPL) for the F.Y. 2023-24. BPL is engaged in providing telecom services and received a notice from telecom regulator to deposit fee for violating norms. BPL went into litigation and filed

an appeal with telecom appellate authority and the matter is pending for decision as at the end of the financial year. However, the company has disclosed the same in financial statements. Audit team members have completed the audit procedures for the year 2023-24 and are in the process of drafting the audit report. Audit team leader knows that matter of norms violation and pending appeal need to be included in the audit report and seeks your guidance on how to report the matter in the auditor's report. Guide him suitably.

ICAI'S ANSWER

As per SA 501 if the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel.

Further, as per SA 706 (Revised) on "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report", the auditor shall report an uncertainty relating to the future outcome of exceptional litigation or regulatory action.

In addition to above, the auditor's report shall also state whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement as per Section 143(3) of the Companies Act, 2013.

In the given case, M/s BPL received a notice to deposit fee for violating norms. It went into litigation and filed an appeal which is pending for decision as at the end of the financial year. The company has disclosed the same in the financial statements. The auditor should assess that pending appeal requires adjustment in financial statements. He should ask company management to make necessary adjustment to the financial statements. If adjustment is not made by management, he should consider the impact on auditor's report and report accordingly.

Alternative Solution:

As per SA 706 (Revised) on "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report", the auditor shall report an uncertainty relating to the future outcome of exceptional litigation or regulatory action under Emphasis of Matter paragraph.

When the auditor includes an Emphasis of Matter paragraph in the auditor's report, the auditor shall:

(i) Include the paragraph within a separate section of the auditor's report with an appropriate heading that includes the term "Emphasis of Matter";

(ii) Include in the paragraph a clear reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph

shall refer only to information presented or disclosed in the financial statements; and

(iii) Indicate that the auditor's opinion is not modified in respect of the matter emphasised.

ICAI · P5 · Jan 2025 exam · question p. 22 · answer p. 24-25

1111 EXAM **Old P6 May 2022** Q6(a) 4 marks old scheme

D Ltd. is a company engaged in publishing business magazines. CA P is the statutory auditor of the company. The company takes property in the barter deal from its real estate customers against publication of their advertisements. The properties obtained during the year through such barter deals have been considered in the books of accounts on the basis of possession letter only and have been included in PPE in the financial statements. Considering this matter of such importance that is fundamental to the users understanding, CA P has decided to communicate the same in his report. CA P seeks your guidance in reporting this matter in his audit report.

ICAI'S ANSWER

Emphasis of Matter Paragraphs in the Auditor's Report: If the auditor considers it necessary to draw users' attention to a matter presented or disclosed in the financial statements that, in the auditor's judgement, is of such importance that it is fundamental to users' understanding of the financial statements, the auditor shall include an

Emphasis of Matter paragraph in the auditor's report provided:

(i) The auditor would not be required to modify the opinion in accordance with SA 705 as a result of the matter; and

(ii) When SA 701 applies, the matter has not been determined to be a key audit matter to be communicated in the auditor's report.

In the given case as the properties obtained during the year through barter deals and included in the PPE in the books of accounts on the basis of possession letter only, hence there is a need to add Emphasis on Matter Paragraph in the Auditor's Report.

The draft of the same is as under:

Emphasis of Matter – Effect of Properties obtained through barter deals by the company

We draw attention to Note (Y) of the financial statements, which describes the effects of the properties obtained through barter by the company. Our opinion is not modified in respect of this matter.

Alternative Solution:

In the given case as the properties obtained during the year through barter deals and included in the PPE in the books of accounts on the basis of possession letter only, hence there is a need to

report the same under Clause i(c) of Paragraph 3 Companies (Auditor's Report) Order,2020.

Matters to be included in auditor's report - The auditor's report on the accounts of a company to which this Order applies shall include a statement on the following matter, namely:

(i) (c) whether the title deeds of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company,

if not, provide the details thereof in the format below:

Description of property	Gross carrying value	Held in name of	Whether promoter, director or their relative or employee	Period held– indicate range, where appropriate	Reason for not being held in name of company* *also indicate if in dispute
1	2	3	4	5	6

The auditor should state in the Reason (column 6) for not being held in name of company as follows

“Properties obtained during the year through barter deals and included in the PPE in the books of accounts on the basis of possession letter only”

ICAI · Old P6 · May 2022 exam · question p. 13 · answer p. 14-15

1112 RTP **May 2024** Q18

Mention some examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

ICAI'S ANSWER

Examples of circumstances to include Emphasis of Matter Paragraph:

As per SA 706 (Revised) on "Emphasis of Matter Paragraphs and Other Matter Paragraphs In The Independent Auditor's Report", the examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph are: -

(a) An uncertainty relating to the future outcome of an exceptional litigation or regulatory action.

(b) A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.

(c) Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.

(d) A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · P5 · RTP May 2024 · question p. 12 · answer p. 27

1113 RTP **Old P6 Nov 2022** Q24 old scheme

Also asked in Old P6 MTP Dec 2021 S-II Q5(d)

Mention the examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

ICAI'S ANSWER

Examples of circumstances to include Emphasis of Matter Paragraph: As per SA 706 (Revised) on "Emphasis of Matter Paragraphs and Other Matter Paragraphs In The Independent Auditor's Report", the examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph are;

(a) An uncertainty relating to the future outcome of an exceptional litigation or regulatory action.

(b) A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.

(c) Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.

(d) A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 28

1114 **RTP** **Old P6 Nov 2020** **Q24** old scheme

Define Emphasis of Matter Paragraph and how it should be disclosed in the Independent Auditor's Report?

ICAI'S ANSWER

Emphasis of Matter paragraph: A paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

When the auditor includes an Emphasis of Matter paragraph in the auditor's report, the auditor shall:

(i) Include the paragraph within a separate section of the auditor's report with an appropriate heading that includes the term "Emphasis of Matter";

(ii) Include in the paragraph a clear reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph shall refer only to information presented or disclosed in the financial statements; and

(iii) Indicate that the auditor's opinion is not modified in respect of the matter emphasized.

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 30

1115 MTP **Jan 2026 S-II Q6(a)** 5 marks

SA 706 "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report" requires the auditor to include an Emphasis of Matter paragraph in the auditor's report when the auditor considers it necessary to draw users' attention

to a matter presented or disclosed in the financial statements, which is of such importance that it is fundamental to users' understanding of the financial statements.

Give examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph in the auditor's report.

ICAI'S ANSWER

Some examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
- A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.
- Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 12 · answer p. 11

1116 **MTP** **Sep 2024 S-II** Q2(b) **5 marks**

Pure Services Limited is into the litigation relating to some legal action initiated by the industry regulator. The matter has reached jurisdictional High Court. Keeping in view uncertainty related to future outcome

of matter, statutory auditor of the company has decided to include Emphasis of Matter (EOM) Paragraph in auditor's report.

(i) Briefly discuss the considerations to be taken care of by the statutory auditor when EOM paragraph is included in auditor's report.

(ii) State any two examples of circumstances where the auditor may consider it necessary to include an EOM paragraph.

ICAI'S ANSWER

(i) When the auditor includes an Emphasis of Matter (EOM) paragraph in the auditor's report, the auditor shall:-

(a) include the paragraph within a separate section of the auditor's report with an appropriate heading that includes the term "Emphasis of Matter"

(b) include in the paragraph a clear reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph shall refer only to information presented or disclosed in the financial statements and

(c) indicate that the auditor's opinion is not modified in respect of the matter emphasized.

(ii) Examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter (EOM) paragraph are:

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
- A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.
- Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 9 · answer p. 4

1117 MTP **Old P6 Nov 2023 S-I** Q4(a) 4 marks old scheme

Discuss any four examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph in his report.

ICAI'S ANSWER

Examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
- A significant subsequent event that occurs between the date of the financial statements and

the date of the auditor's report.

- Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 6

1118 MTP **Old P6 Nov 2022 S-II** Q5(b) 4 marks old scheme

What is meant by Emphasis of Matter Paragraph? Give some examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

ICAI'S ANSWER

Emphasis of Matter Paragraph is a paragraph included in the auditor's report that refers to a matter appropriately presented and disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to the user's understanding of the financial statements.

Some examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph.

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
- A significant subsequent event that occurs between the date of the financial statements and

the date of the auditor's report.

- Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 6

1119 MTP **Old P6 Nov 2020 S-I** General MCQ 2 2 marks MCQ old scheme

Which of the following is not correct:

A SA 700- Forming an Opinion and Reporting on Financial Statements

B SA 705- Modified Opinion

C SA 701- Communicating Key Audit Matters

D SA 706-Comparative Information

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 4 · answer p. 1

1120 MTP **Old P6 Nov 2020 S-I** Q4(b) 4 marks old scheme

State clearly the objective of the Auditor as per SA 706. Also define emphasis of matter paragraph and other matter paragraph.

ICAI'S ANSWER

As per SA 706 (Revised) on "Emphasis of Matter Paragraphs and Other Matter Paragraphs In The Independent Auditor's Report", the objective of the auditor, having formed an opinion on the financial statements, is to draw users' attention, when in the auditor's judgment it is necessary to do so, by way of clear additional communication in the auditor's report, to:

(a) A matter, although appropriately presented or disclosed in the financial statements, that is of such importance that it is fundamental to users' understanding of the financial statements; or

(b) As appropriate, any other matter that is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

Emphasis of Matter paragraph – A paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

Other Matter paragraph – A paragraph included in the auditor's report that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 4-5

8.5 SA 710: comparative information

13 questions · asked in 11 ICAI documents · 6 exam papers

1121 EXAM **May 2026** Case scenario · Q6(b)(i) to Q6(b)(ii)

5 marks

CASE SCENARIO

The financial statements of SUN Ltd. for the year ended 31st March, 2026 include corresponding figures for the year ended 31st March, 2025. The prior period financial statements were audited by a predecessor auditor. The current auditor is permitted by law and regulation to refer to the predecessor auditor's report on the corresponding figures and decides to do so.

Q6(b)(i) 2 marks

State and briefly explain the type of paragraph that the auditor should include in the auditor's report in the above circumstances.

Q6(b)(ii) 3 marks

With reference to SA 710, list the information that should be included in this paragraph regarding the prior period financial statements.

ICAI'S ANSWERS

Q6(b)(i)

As per SA 710 "Comparative Information - Corresponding Figures and Comparative Financial Statements", If the financial statements of the prior period were audited by a predecessor auditor and the auditor is permitted by law or regulation to refer to the predecessor auditor's report on the

corresponding figures and decides to do so, the auditor shall include “Other Matter paragraph” in the auditor’s report.

Other Matter Paragraphs in the Auditor’s Report: Other Matter paragraph is a paragraph included in the auditor’s report that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor’s judgement, is relevant to users’ understanding of the audit, the auditor’s responsibilities or the auditor’s report.

Q6(b)(ii)

List of information that should be included in Other Matter paragraph regarding the prior periods financial statements are as follows:

(I) That the financial statements of the prior period were audited by the predecessor auditor;

(II) The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and

(III) The date of that report.

ICAI · P5 · May 2026 exam · question p. 31 · answer p. 33

1122 EXAM Jan 2025 Q6(b) 5 marks

Oval Enterprises Limited (OEL) is under legal obligation to represent its current year's financial statements along with the previous year's financial statements (comparative financial statements). Karan & Associates, Chartered Accountants, has been appointed as the statutory auditor for the year. CA Karan noticed that the

last year's financial statements contain an adverse opinion for the financial statement as a whole due to a misstatement in the evaluation and disclosure of the debtors. Guide CA Karan for his duty regarding the treatment and addressing the issue while drafting his audit report. What disclosures he is required to make in this regard?

ICAI'S ANSWER

In the given case, CA Karan noticed that the last year's financial statements contain an adverse opinion for the financial statement whole due to a misstatement in the evaluation and disclosure of the debtors. If the auditor's report on the prior period, as previously issued, included an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:

(i) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

(ii) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

Further, when comparative financial statements are presented, the auditor's opinion shall refer to each period for which financial statements are presented and on which an audit opinion is expressed. If the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, the auditor shall state in an Other Matter paragraph:

(i) That the financial statements of the prior period were audited by a predecessor auditor;

(ii) The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and

(iii) The date of that report,

ICAI · P5 · Jan 2025 exam · question p. 28-29 · answer p. 30-31

1123 EXAM **Old P6 Nov 2023** Q4(d) 3 marks old scheme

The nature of the comparative information that is presented in an entity's financial statements, depends on the requirements of the applicable financial reporting framework. There are two broad approaches to the auditor's reporting responsibilities in respect of such comparative information. Mention those two approaches and also mention the essential audit reporting differences between the two.

ICAI'S ANSWER

The nature of the comparative information that is presented in an entity's financial statements

depends on the requirements of the applicable financial reporting framework.

There are two different broad **approaches** to the auditor's reporting responsibilities in respect of such comparative information:

(1) Corresponding figures and

(2) Comparative financial statements.

The approach to be adopted is often specified by law or regulation but may also be specified in the terms of engagement.

The essential audit reporting **differences** between the approaches are:

(i) For corresponding figures, the auditor's opinion on the financial statements refers to the current period only;

(ii) Whereas for comparative financial statements, the auditor's opinion refers to each period for which financial statements are presented.

ICAI · Old P6 · Nov 2023 exam · question p. 7 · answer p. 9

1124 EXAM **Old P6 Nov 2022** Q5(a) 4 marks old scheme

NG Ltd. appointed CA N as the statutory auditor for the F.Y. 2021-2022. Previous year's auditor gave a qualified opinion on the Comparative Financial Statements for the year ended 31.03.2021. What will be the reporting responsibility casted on CA N when he forms an opinion and prepares audit report on the Comparative Financial Statements for the F.Y. 2021-2022?

ICAI'S ANSWER

Prior Period Financial Statements Audited by a Predecessor Auditor: As per SA 710, if the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, CA. N, the auditor of NG Limited shall state in an Other Matter paragraph:

(a) That the financial statements of the prior period were audited by a predecessor auditor;

(b) The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefor; and

(c) The date of that report, unless the predecessor auditor's report on the prior period's financial statements is revised with the financial statements.

ICAI · Old P6 · Nov 2022 exam · question p. 9 · answer p. 10

1125 EXAM **Old P6 May 2022** Q6(b) 4 marks old scheme

The senior member of the firm Kaur & Associates, Chartered Accountants, informed to its auditing staff that at the time of audit reporting regarding corresponding figures, when corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in specified circumstances. What are those exceptional circumstances?

ICAI'S ANSWER

Audit reporting Regarding Corresponding Figures:

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstances:

1. **If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion** and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:
   (a) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

   (b) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

2. **If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements** on which an unmodified opinion has been previously issued, the auditor shall verify whether the

misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified.

3. **Prior Period Financial Statements Not Audited-** If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph in the auditor's report that the corresponding figures are unaudited. Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

ICAI · Old P6 · May 2022 exam · question p. 13-14 · answer p. 16

1126 **EXAM** **Old P6 Nov 2019** Q5(a) 4 marks old scheme

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures. Discuss the exceptions of the above statement when the prior period financial statements are audited.

ICAI'S ANSWER

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstance.

1. If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify auditor's report opinion on the current period's financial statements. In the basis for modification paragraph in the auditor's report the auditor shall either:

(i) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figure are material; or

(ii) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

2. If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which an unmodified opinion has been previously issued, the auditor shall verify whether the misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified.

1127 RTP **Jan 2025** Q16

The nature of the comparative information that is presented in an entity's financial statements depends on the requirements of the applicable financial reporting framework. There are two different broad approaches to the auditor's reporting responsibilities in respect of such comparative information: corresponding figures and comparative financial statements.

Explain clearly the differences between the approaches stating the essential audit reporting. Also define comparative information and audit procedures regarding comparative information.

ICAI'S ANSWER

The nature of the comparative information that is presented in an entity's financial statements depends on the requirements of the applicable financial reporting framework. There are two different broad approaches to the auditor's reporting responsibilities in respect of such comparative information: corresponding figures and comparative financial statements. The approach to be adopted is often specified by law or regulation but may also be specified in terms of engagement.

The essential audit reporting differences between the approaches are:

(a) For corresponding figures, the auditor's opinion on the financial statements refers to the current period only; whereas

(b) For comparative financial statements, the auditor's opinion refers to each period for which financial statements are presented.

Definition of Comparative Information – The amounts and disclosures included in the financial statements in respect of one or more prior periods in accordance with the applicable financial reporting framework.

Audit Procedures regarding comparative information

The auditor shall determine whether the financial statements include the comparative information required by the applicable financial reporting framework and whether such information is appropriately classified. For this purpose, the auditor shall evaluate whether:

(a) The comparative information agrees with the amounts and other disclosures presented in the prior period; and

(b) The accounting policies reflected in the comparative information are consistent with those applied in the current period or, if there have been changes in accounting policies, whether those

changes have been properly accounted for and adequately presented and disclosed.

ICAI · P5 · RTP Jan 2025 · question p. 7 · answer p. 16-17

1128 MTP **Sep 2026 S-I** Q4(c) 4 marks

State the circumstances in which, while reporting on financial statements containing corresponding figures, the auditor is required to refer to the corresponding figures in the auditor's report. Explain the auditor's reporting responsibilities in each such circumstance in accordance with SA 710, 'Comparative Information—Corresponding Figures and Comparative Financial Statements'."

ICAI'S ANSWER

Audit reporting Regarding Corresponding Figures: When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstances:

1. If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:

(a) Refer to both the current period's figures and the corresponding figures in the description of the

matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

(b) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

2. If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which an unmodified opinion has been previously issued, the auditor shall verify whether the misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified.

3. Prior Period Financial Statements Not Audited- If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph in the auditor's report that the corresponding figures are unaudited. Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 15 · answer p. 11-12

1129 MTP **Sep 2025 S-II Q4(a)** 5 marks

Delightful Limited is required to present comparative financial statements for the year 2023-24 and 2024-25. CA Mohit has been appointed as the statutory auditor for the year 2024-25. While reviewing the financial statements of year 2023-24, he notices that the last year's financial statements contain an adverse opinion for the financial statement as a whole due to a misstatement in the evaluation and disclosure of the debtors. Guide CA Mohit for his duty regarding the treatment and addressing the issue while drafting his audit report. What disclosures he is required to make in this regard?

ICAI'S ANSWER

In the given case, CA Mohit noticed that the last year's financial statements contain an adverse opinion for the financial statement whole due to a misstatement in the evaluation and disclosure of the debtors. If the auditor's report on the prior period, as previously issued, included an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:

(i) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

(ii) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

Further, when comparative financial statements are presented, the auditor's opinion shall refer to each period for which financial statements are presented and on which an audit opinion is expressed. If the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, the auditor shall state in an Other Matter paragraph:

(i) That the financial statements of the prior period were audited by a predecessor auditor;

(ii) The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and

(iii) The date of that report.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 9 · answer p. 7-8

1130 MTP **May 2025 S-II** Q4(a) 5 marks

The senior member of the firm Soni & Associates, Chartered Accountants, informed to its auditing staff that at the time of audit reporting regarding corresponding figures, when corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in specified

circumstances. What are those exceptional circumstances?

ICAI'S ANSWER

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstances:

1. If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:
   (a) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

   (b) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.
2. If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which an unmodified opinion has been previously issued, the auditor

shall verify whether the misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified with respect to the corresponding figures included therein.

3. Prior Period Financial Statements Not Audited - If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph in the auditor's report that the corresponding figures are unaudited. Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 6-7

1131 MTP **Old P6 Nov 2022 S-I** Q5(a) 3 marks old scheme

If the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, what is required to be stated by the auditor in an Other Matter paragraph

ICAI'S ANSWER

If the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, the auditor shall state in an Other Matter paragraph:

(i) That the financial statements of the prior period were audited by a predecessor auditor;

(ii) The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefor; and

(iii) The date of that report, unless the predecessor auditor's report on the prior period's financial statements is revised with the financial statements.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 7

1132 MTP **Old P6 Nov 2022 S-I** Q5(b) 4 marks old scheme

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in certain circumstances. Explain those circumstances.

ICAI'S ANSWER

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstances:

1. **If the auditor's report on the prior period,** as previously issued, included a qualified opinion, a

disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements. In the Basis for Modification paragraph in the auditor's report, the auditor shall either:
(a) Refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or

(b) In other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and the corresponding figures.

2. **If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements** on which an unmodified opinion has been previously issued, the auditor shall verify whether the misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified.
3. **Prior Period Financial Statements Not Audited -** If the prior period financial statements were not

audited, the auditor shall state in an Other Matter paragraph in the auditor's report that the corresponding figures are unaudited. Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 7

8.6 Company auditor's reporting under the Companies Act, 2013

45 questions · asked in 20 ICAI documents · 4 exam papers

1133 EXAM **Sep 2026** Q3(a) 5 marks

While finalizing the audit report of PQR Garments Limited. for the year ended 31/03/2026, the auditor obtained management representations that no funds had been advanced, loaned, invested or received through intermediaries for the benefit of any ultimate beneficiaries, except as disclosed in the notes to accounts. The auditor performed appropriate audit procedures and found no material misstatement in these representations.

Discuss the other matters (excluding the above) on which the auditor is required to report under Section 143(3)(j) of the Companies Act, 2013 read with Rule 11 of the Companies (Audit and Auditors) Rules, 2014.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 17

1134 EXAM **Sep 2025** Case scenario · Q3(a)(i) to Q3(a)(ii)

5 marks

CASE SCENARIO

CA Student Manoj is studying on the exemptions available to a private limited company in respect of certain reporting requirements. You are required to guide Manoj on the following:

Q3(a)(i) 2 marks

Applicability of Reporting requirements on adequacy of Internal Financial Controls (IFCs) with reference to financial statements to a private limited company.

Q3(a)(ii) 3 marks

Applicability of Companies (Auditor's Report) Order, 2020 to a private limited company.

ICAI'S ANSWERS

Q3(a)(i)

Applicability of Reporting requirements on adequacy of IFC w.r.t to financial statements to a Private Limited Company: The auditor's report shall state whether the company has adequate Internal financial controls with reference to financial statements in place and also on the operating effectiveness of such controls. This requirement shall not apply to a private company which –

(I) is a One Person Company or a small company; or

(II) has turnover less than ₹ 50 crore as per the latest audited Financial Statements, and which has aggregate borrowings from banks or financial institutions or any body corporate at any point of time during the financial Year less than ₹ 25 crore.

Q3(a)(ii)

Applicability of CARO to a Private Limited Company: Companies (Auditor's Report) Order, 2020 shall not apply to a private limited company, not being a subsidiary or holding company of a public company:

(I) having a paid-up capital and reserves and surplus not more than one crore rupees as on the balance sheet date and

(II) does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year and

(III) does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

ICAI · P5 · Sep 2025 exam · question p. 17 · answer p. 18, 18-19

1135 EXAM **Old P6 May 2023** Q5(b) 4 marks old scheme

During the course of audit of PQR Ltd, the statutory auditor CA G came across payments made to various creditors aggregating to ₹ 75 lakhs. On verifying the

same it is found that the accounts manager had accounted for fake invoices of credit purchases for ₹ 25 lakhs in the books of account in the name of one bogus creditor Mr. X.

Discuss the duties of auditor with reference to the provisions of Companies Act, 2013 and also the disclosure requirements in the Board's Report.

ICAI'S ANSWER

The auditor shall report under clause (xi) of the CARO, 2020 that:

Whether any fraud by the company or any fraud on the company has been noticed or reported during the year, if yes, the nature and the amount involved is to be indicated;

Reporting to the Audit Committee or Board: Sub-section (12) of section 143 of the Companies Act, 2013 further prescribes that in case of a fraud involving lesser than the specified amount [i.e. less than ₹ 1 crore], the auditor shall report the matter to the audit committee constituted under section 177 or to the Board in other cases within such time and in such manner as may be prescribed.

In this regard, sub-rule (3) of Rule 13 of the Companies (Audit and Auditors) Rules, 2014 states that in case of a fraud involving lesser than the amount specified in sub- rule (1) **[i.e. less than ₹ 1 crore]**, the auditor shall report the matter to Audit Committee constituted under section 177 or to the Board immediately but not later than 2 days of his

knowledge of the fraud and he shall report the matter specifying the following:

(i) Nature of Fraud with description;

(ii) Approximate amount involved; and

(iii) Parties involved.

Disclosure in the Board's Report: Sub-section (12) of section 143 of the Companies Act, 2013 furthermore prescribes that the companies, whose auditors have reported frauds under this sub-section (12) to the audit committee or the Board, but not reported to the Central Government, shall disclose the details about such frauds in the Board's report in such manner as may be prescribed.

In this regard, sub-rule (4) of Rule 13 of the Companies (Audit and Auditors) Rules, 2014 states that in the Board's Report the following details of each of the fraud reported to the Audit Committee or the Board under sub- rule (3) during the year:

(i) Nature of Fraud with description;

(ii) Approximate Amount involved;

(iii) Parties involved, if remedial action not taken; and

(iv) Remedial actions taken.

PassBook's note: ICAI prints this question's (4 Marks) once, after its OR alternative (q5b-or). Ours: the auditor's duties (section 143(12) and Rule 13(3), CARO 2020 clause (xi)) are in the January 2027 Study Material.

ICAI · Old P6 · May 2023 exam · question p. 10 · answer p. 11-12

1136 EXAM Old P6 Dec 2021 Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

State with reasons whether the following statements are correct or incorrect. (Answer any **seven**)

Q1(a) 2 marks

Internal control cannot eliminate risk of material misstatements in the financial statements.

Q1(b) 2 marks

When Profit before tax from continuing operations is non-volatile, other benchmarks will be appropriate.

Q1(c) 2 marks

When inventory under the custody and control of a third party is material to the financial statements, the auditor can obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by taking written representation from management.

Q1(d) 2 marks

While auditing the books of accounts of ABC Ltd., the auditor of the company looked at the inventory counting process to obtain audit evidence. In the present case, audit procedure used by the auditor is known as “Inspection”.

Q1(e) 2 marks

Statistical sampling being more scientific and without personal bias bias will always be appropriate to use under all circumstances.

Q1(f) 2 marks

As per section 139(5) of the Companies Act, 2013, in the case of a government company, board of directors shall appoint the subsequent auditor within a period of 60 days from the commencement of the financial year.

Q1(g) 2 marks

Auditor has to disclose the impact, if any, of the pending litigations on the financial position of the auditee in his audit report.

Q1(h) 2 marks

Reporting of fraud of INR 150 Lakhs by auditor will be done within three days of the fraud coming to the knowledge of the auditor to the Board or the Audit Committee along with remedial action taken.

ICAI'S ANSWERS

Q1(a)

Correct: Control risk is a function of the effectiveness of the design, implementation and maintenance of internal control by management. However, internal control can only reduce but not eliminate risks of material misstatement in the financial statements. This is because of the inherent limitations of internal control.

There is possibility of human errors or mistakes, or of controls being circumvented by collusion. Accordingly, some control risk will always exist.

Q1(b)

Incorrect: Profit before tax from continuing operations is often used for profit-oriented entities.

When profit before tax from continuing operations is volatile, other benchmarks may be more appropriate, such as gross profit or total revenues.

Q1(c)

Incorrect: When inventory under the custody and control of a third party is material to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding the existence and condition of that inventory by performing one or both of the following:

(a) Request confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity.

(b) Perform inspection or other audit procedures appropriate in the circumstances.

Q1(d)

Incorrect: The audit procedure used by the auditor of ABC Ltd. is known as “observation”. Whereas inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset.

Q1(e)

Incorrect: Statistical sampling is widely accepted way of sampling as it is more scientific, without personal bias and the result of sample can be evaluated and projected in more reliable way.

Under some audit circumstances, statistical sampling methods may not be appropriate. The

auditor should not attempt to use statistical sampling when another approach is either necessary or will provide satisfactory information in less time or with less effort. For instance, when exact accuracy is required or in case of legal requirements etc.

Q1(f)

Incorrect : As per **section 139(5),** in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor-General of India shall, in respect of a financial year, appoint an auditor duly qualified to be appointed as an auditor of companies under this Act, within a period of 180 days from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting.

PassBook's note: The January 2027 Study Material (Government audit, audit of Government companies) says that the C&AG appoints the auditor of a Government company under section 139(5) or 139(7), which answers the statement.

Q1(g)

Incorrect: Rule 11 of the Companies (Audit and Auditors) Rules, 2014 prescribes the other matters to be included in auditor's report. The auditor's report shall also include their views and comments on - whether the company has disclosed the impact, if

any, of pending litigations on its financial position in its financial statement.

Q1(h)

Incorrect: The auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days. Company is bound to disclose remedial action taken in Board's report.

PassBook's note: The January 2027 Study Material teaches the auditor's reporting of frauds under section 143(12) read with Rule 13 (to the Central Government for ₹ 1 crore or above, to the Audit Committee or Board below it) but not the time limits of ICAI's answer (2 days, 45 days).

ICAI · Old P6 · Dec 2021 exam · question p. 1 · answer p. 1, 2

1137 **EXAM** **Old P6 Dec 2021** Q5(d) **3 marks** old scheme

Same question, different ICAI answer: #1138 Old P6 RTP Nov 2023

As per Sec 143(3)(j) of the Companies Act, 2013, the auditor's report shall also include such other matters as may be prescribed by Rule 11 of the Companies (Audit and Auditors) Rule, 2014. Discuss those matters on which views and comments of the auditor are required.

ICAI'S ANSWER

Others Matters prescribed by Rule 11 to include in Auditor's Report:

As per **section 143(3)(j)**- the auditor's report shall also state such other matters as may be prescribed. Rule 11 of the Companies (Audit and Auditors)

Rules, 2014 prescribes the other matters to be included in auditor's report. The auditor's report shall also include their views and comments on the following matters, namely:-

(i) whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement;

(ii) whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long term contracts including derivative contracts;

(iii) whether there has been any delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company.

(iv) **(1)** Whether the management has represented that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(2) Whether the management has represented, that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(3) Based on such audit procedures that the auditor has considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (i) and (ii) contain any material mis-statement.

(iv) Whether the dividend declared or paid during the year by the company is in compliance with section 123 of the Companies Act, 2013.

ICAI · Old P6 · Dec 2021 exam · question p. 10 · answer p. 11-12

1138 RTP **Old P6 Nov 2023** Q22 old scheme

Same question, different ICAI answer: #1137 Old P6 Exam Dec 2021

As per Sec 143(3)(j) of the Companies Act, 2013, the auditor's report shall also include such other matters as may be prescribed by Rule 11 of the Companies (Audit

and Auditors) Rule, 2014. Discuss those matters on which views and comments of the auditor are required.

ICAI'S ANSWER

Rule 11 of the Companies (Audit and Auditors) Rules, 2014 prescribes the other matters to be included in auditor's report. The auditor's report shall also include their views and comments on the following matters, namely:

(i) whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement;

(ii) whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long term contracts including derivative contracts;

(iii) whether there has been any delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company.

(iv) (1) Whether the management has represented that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether,

directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(2) Whether the management has represented, that, to the best of it's knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(3) Based on such audit procedures that the auditor has considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (1) and (2) contain any material misstatement.

(v) Whether the dividend declared or paid during the year by the company is in compliance with section 123 of the Companies Act, 2013.

(vi) Whether the company has used such accounting software for maintaining its books of account which has a feature of recording audit trail (edit log)

facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 29-30

1139 **RTP** **Old P6 May 2022** **Q11** old scheme

CA Dev of D R Sanduja & Co., statutory auditor of company, Girija Fabs Ltd, in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud to the tune of Rs 1.25 Crores has been committed in the company by its employees. CA Dev, the auditor wanted to report the matter to the Central Government as per Law. He refers to Rule 13 of the Companies (Audit and Auditors) Rules, 2014. Sub-rule (1) of the said rule states that if an auditor of a company, in the course of the performance of his duties as statutory auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of ₹ 1 crore or above, is being or has been committed against the company by its officers or employees, the auditor shall report the matter to the Central Government.

In the above context, explain the manner of reporting the matter to the Central Government.

ICAI'S ANSWER

The manner of reporting the matter to the Central Government is as follows:

(a) the auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;

(b) on receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within 15 days from the date of receipt of such reply or observations;

(c) in case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations;

(d) the report shall be sent to the Secretary, Ministry of Corporate Affairs in a sealed cover by Registered Post with Acknowledgement Due or by Speed Post followed by an e-mail in confirmation of the same;

(e) the report shall be on the letter-head of the auditor containing postal address, e-mail address

and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number; and

(f) the report shall be in the form of a statement as specified in Form ADT-4.

ICAI · Old P6 · RTP May 2022 · question p. 9 · answer p. 21-22

1140 RTP **Old P6 Nov 2020 Q12** old scheme

As per sub-section (12) of section 143 of the Companies Act, 2013, if an auditor of a company in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud involving such amount or amounts as may be prescribed, is being or has been committed in the company by its officers or employees, the auditor shall report the matter to the Central Government within such time and in such manner as may be prescribed.

In this regard, Rule 13 of the Companies (Audit and Auditors) Rules, 2014 has been prescribed. Sub-rule (1) of the said rule states that if an auditor of a company, in the course of the performance of his duties as statutory auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of ₹ 1 crore or above, is being or has been committed against the company by its officers or employees, the auditor shall report the matter to the Central Government.

Explain the manner of reporting the matter to the Central Government in the above context.

ICAI'S ANSWER

The manner of reporting the matter to the Central Government is as follows:

(a) the auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;

(b) on receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within 15 days from the date of receipt of such reply or observations;

(c) in case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations;

(d) the report shall be sent to the Secretary, Ministry of Corporate Affairs in a sealed cover by Registered Post with Acknowledgement Due or by Speed Post followed by an e-mail in confirmation of the same;

(e) the report shall be on the letter-head of the auditor containing postal address, e-mail address

and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number; and

(f) the report shall be in the form of a statement as specified in Form ADT-4.

PassBook's note: The auditor's reporting of fraud under section 143(12) and Rule 13 is in the January 2027 Study Material (Audit Report chapter), which does not list these steps of Rule 13(1).

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 23-24

1141 RTP **Old P6 May 2020** Q11 old scheme

Auditor of A Ltd while conducting audit in the course of the performance of his duties as auditor, believes with reasons that "an offence of fraud involving such amount or amounts as may be prescribed, is being or has been committed in the company by its officers or employees, the auditor shall report the matter to the Central Government within such time and in such manner as may be prescribed". Analyse and also explain the manner of reporting the matter to the Central Government.

ICAI'S ANSWER

Reporting to the Central Government: As per sub-section (12) of section 143 of the Companies Act, 2013, if an auditor of a company in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud involving such amount or amounts as may be prescribed, is being or has been committed in the company by its officers or employees, the auditor shall report the

matter to the Central Government within such time and in such manner as may be prescribed.

In this regard, Rule 13 of the Companies (Audit and Auditors) Rules, 2014 has been prescribed. Sub-rule (1) of the said rule states that if an auditor of a company, in the course of the performance of his duties as statutory auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of **₹ 1 crore or above**, is being or has been committed against the company by its officers or employees, the auditor shall report the matter to the Central Government.

The manner of reporting the matter to the Central Government is as follows:

(a) the auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;

(b) on receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within 15 days from the date of receipt of such reply or observations;

(c) in case the auditor fails to get any reply or observations from the Board or the Audit

Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations;

(d) the report shall be sent to the Secretary, Ministry of Corporate Affairs in a sealed cover by Registered Post with Acknowledgement Due or by Speed Post followed by an e-mail in confirmation of the same;

(e) the report shall be on the letter-head of the auditor containing postal address, e-mail address and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number; and

(f) the report shall be in the form of a statement as specified in Form ADT-4.

PassBook's note: The Study Material (January 2027) covers reporting on frauds under section 143(12) and Rule 13 (aud.report.companies).

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 20

1142 RTP **Old P6 May 2020** Q23 old scheme

The head accountant of a company entered fake invoices of credit purchases in the books of account aggregate of ₹ 50 lakh and cleared all the payments to such bogus creditor. How will you deal as an auditor ?

ICAI'S ANSWER

Here, the auditor of the company is required to report the fraudulent activity to the Board or Audit Committee (as the case may be) within 2 days of his knowledge of fraud. Further, the company is also required to disclose the same in Board's Report. It may be noted that the auditor need not to report the central government as the amount of fraud involved is less than ₹ 1 crore, however, reporting under CARO, 2016 is required.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 24

1143 RTP **Old P6 Nov 2019** Q23 old scheme

Also asked in Old P6 MTP May 2023 S-I Q3(b)

The auditor shall make a report to the members of the company on the accounts examined by him. Explain with reference to relevant provisions of the Companies Act, 2013.

ICAI'S ANSWER

Right to report to the members of the company on the accounts examined by him – The auditor shall make a report to the members of the company on the accounts examined by him and on every financial statements which are required by or under this Act to be laid before the company in general meeting and the report shall after taking into account the provisions of this Act, the accounting and auditing standards and matters which are required to be included in the audit report under

the provisions of this Act or any rules made there under or under any order made under this section and to the best of his information and knowledge, the said accounts, financial statements give a true and fair view of the state of the company' s affairs as at the end of its financial year and profit or loss and cash flow for the year and such other matters as may be prescribed.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 25

1144 **MTP** **Sep 2025 S-I** **Q4(a)** **5 marks**

The auditor is not required to report on the matters specified in sub-section (1) of Section 143 of the Companies Act, 2013 unless he has any special comments to make on any of the items referred to therein. If he is satisfied as a result of the inquiries, he has no further duty to report that he is so satisfied. Explain clearly stating the matters for which the auditor has to perform his duty of inquiry under this section.

ICAI'S ANSWER

The auditor has to make inquires on following matters under section 143(1) of the Companies Act, 2013:-

(i) whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;

(ii) whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company;

(iii) where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company;

(iv) whether loans and advances made by the company have been shown as deposits;

(v) whether personal expenses have been charged to revenue account;

(vi) where it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 9-10 · answer p. 7-8

1145 MTP **Sep 2024 S-II** Q5(a) 5 marks

Section 143(1) of Companies Act, 2013 states that every auditor of a company shall have access to books of accounts and vouchers of company and shall be entitled to require from officers of company such information and explanation as considered necessary

and shall inquire into certain matters. State those matters to be inquired.

ICAI'S ANSWER

Under section 143(1) of the Companies Act, 2013 auditor shall inquire into following matters given as under: -

(a) whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members

(b) whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company

(c) where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company

(d) whether loans and advances made by the company have been shown as deposits

(e) whether personal expenses have been charged to revenue account

(f) where it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as

stated in the account books and the balance sheet is correct, regular and not misleading.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 7

1146 MTP **May 2024 S-II** General MCQ 2 2 marks MCQ

An auditor of a company has found that accountant of a company has entered bogus purchase bills for ₹50 lacs in its books of accounts. Which of following is most appropriate regarding auditor's duty as far as reporting is concerned under Companies Act, 2013?

- A Report the matter to jurisdictional ROC
- B Report the matter to Secretary, MCA
- C Report the matter to Board of Directors of company
- D Report the matter to jurisdictional ROC as well as GST authority

ICAI'S ANSWER

(C)

ICAI · P5 · MTP May 2024 · Series II · question p. 7-8 · answer p. 2

1147 MTP **Old P6 May 2023 S-I** General MCQ 8 1 mark MCQ old scheme

In case of Frauds involving amount less than INR 1 crores , the auditor should report to the :-

- A Central Government
- B Reserve Bank of India
- C Bank's Board/Audit Committee

D Comptroller & Audit General

ICAI'S ANSWER

(C)

PassBook's note: The January 2027 Study Material teaches reporting of frauds under section 143(12) read with Rule 13 (below ₹ 1 crore to the audit committee or the Board) in the Audit Report chapter, and repeats it for bank auditors in Audit of Banks.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 5 · answer p. 1

1148 MTP **Old P6 Nov 2022 S-II** General MCQ 8 1 mark

MCQ old scheme

During the course of audit of a listed company, CA P finds that solar power generating plant capitalized in books for ₹5.00 crore during the year does not exist. It became known that only bills were arranged and no assets were actually procured. Besides, financial statements also reflect depreciation of ₹1.50 core on above. The bills of capitalized asset were approved by procurement head. The matter was reported to audit committee by CA P. However, no response was received. Considering above, choose the most appropriate option: -

A The matter needs to be reported to MCA in ADT-4. It also requires reporting under CARO,2020.

B The matter needs to be reported to MCA in ADT-4. It does not require reporting under CARO,2020.

C The matter need not be reported to MCA. However, it requires reporting under CARO,2020.

D The matter needs neither reporting to MCA nor under CARO,2020.

ICAI'S ANSWER

Option (A)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 7 · answer p. 1

1149 MTP **Old P6 May 2022 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks

old scheme

CASE SCENARIO 1

Honest Limited is a listed Company engaged in the construction business. The Company constructs residential buildings after purchasing vacant land and then sells ready flats to customers. The Company has not been earning good profits and so no dividend was declared in the last financial year for which the statutory audit is to be conducted.

XYZ & Company has been appointed as the statutory auditor of Honest Limited. The audit firm has seven partners and is a reputed firm with the partners having expert knowledge in various areas.

While conducting the audit, the engagement partner, CA Z suspects some fraudulent activities undertaken by the officers and employees of the Company. CA Z is aware that for the purpose of SAs, the auditor is concerned with fraud that causes a material misstatement in the financial statements. He understands that misstatements in the financial statements can arise from either fraud or error.

On detailed verification by the audit team, it was observed that accounts were manipulated with a view to presenting a false state of affairs. The fraud was committed to avoid incidence of income-tax and withhold declaration of dividend. There was also an incidence of cash receipts being suppressed which came to the notice of the audit team.

CA Z had enough reasons to believe that the offence of fraud, involved individually an amount of Rs.1 crore, and had been committed against the company by its officers or employees. The audit team discussed the reporting requirements of the fraud committed.

One of the audit team members puts forward his recommendations on reporting which includes disclosure in the Board's Report. He states that sub-section (12) of section 143 of the Companies Act, 2013 prescribes that the companies, whose auditors have reported frauds under this sub-section (12) to the audit committee or the Board, but not reported to the Central Government, shall disclose the details about such frauds in the Board's report in such manner as may be prescribed.

CA Z discusses the reporting under Companies (Auditor's Report) Order, 2020 [CARO, 2020] wherein the auditor is required to report under clause (xi) of paragraph 3 of Companies (Auditor' s Report) Order,2020, about fraud by the company or any fraud on the Company.

Based on the above information, answer the following questions:

MCQ 1.1 2 marks out of syllabus

Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is:

A. Fraud causes a material misstatement in the financial statements.

B. Fraud is an intentional act.

C. Fraud is easier to detect than error.

D. Fraud can be committed by only the management, those charged with governance, and the employees.

MCQ 1.2 2 marks out of syllabus

Which of the following is not a technique of suppressing cash receipts?

A. Writing down asset values in entirety, selling them subsequently and misappropriating the proceeds.

B. Adjusting unauthorized or fictitious rebates, allowances, discounts,etc. to customer' accounts and misappropriating amount paid by them.

C. Manipulating totals of wage rolls either by including therein names of dummy workers or by inflating them in any other manner.

D. Writing off as debts in respect of such balances against which cash has already been received but has been misappropriated.

MCQ 1.3 2 marks

To whom should XYZ & Company report the fraud committed in Honest Limited?

A Report the matter only to the Audit Committee constituted under section 177 since the amount of fraud has not exceeded 1 crore.

B Report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days and on receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within 15 days from the date of receipt of such reply or observations.

C Report the matter only to the Board since the amount of fraud is not less than 1 crore.

D Report the matter either to the audit committee constituted under section 177 or the Central Government since the amount of fraud is neither less nor more than 1 crore.

MCQ 1.4 2 marks

Sub-rule (4) of Rule 13 of the Companies (Audit and Auditors) Rules,2014 states that the auditor is required to disclose in the Board's Report details of each of the fraud reported to the Audit Committee or the Board under sub-rule (3) during the year. Which of the

following details is not required to be disclosed in the Board's Report?

- (A) Nature of Fraud with description.
- (B) Parties involved, if remedial action taken.
- (C) Approximate Amount involved
- (D) Remedial actions taken.

MCQ 1.5 2 marks

For reporting under clause (xi) of paragraph 3 of Companies (Auditor's Report) Order,2020, which of the following points the auditor may consider?

- (A) Fraud by the company or on the company by its officers, employees or third parties to be reported.
- (B) Only suspected frauds shall be included here and not the noticed frauds.
- (C) Principles of materiality outlined in Standards on Auditing.
- (D) The auditor's withdrawal from the engagement and the reasons for the withdrawal.

ICAI'S ANSWERS

MCQ 1.1

(B)

PassBook's note: Out of syllabus (old scheme): the distinction between fraud and error (fraud is an intentional act) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material speaks of misstatements due to fraud or error (SA 200) without defining them, so the item

carries only its nearest chapter (nature, objective and scope of audit).

MCQ 1.2

(C)

PassBook's note: Out of syllabus (old scheme): the techniques of suppressing cash receipts (fictitious rebates and discounts, writing off debts already collected, writing down assets and selling them) were part of old Paper 6's vouching and internal control content.

MCQ 1.3

(B)

PassBook's note: The January 2027 Study Material teaches reporting of frauds under section 143(12) read with Rule 13 (₹ 1 crore or above to the Central Government.

MCQ 1.4

(B)

PassBook's note: The details of frauds a company discloses in its Board's report (Rule 13(4) of the Companies (Audit and Auditors) Rules, 2014) are not listed in the January 2027 Study Material, which teaches the auditor's reporting of frauds under section 143(12).

MCQ 1.5

(C)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 1 · answer p. 1

1150 MTP **Old P6 May 2022 S-I** Q5(b) 4 marks old scheme

Under provisions of Section 143(2), the auditor shall make a report to the members of the company on the accounts examined by him. Explain along with relevant rule of The Companies (Audit and Auditors) Rules, 2014

ICAI'S ANSWER

Under provisions of Section 143(2), the auditor shall make a report to the members of the company on the accounts examined by him and on every financial statements which are required by or under this Act to be laid before the company in general meeting and the report shall after taking into account the provisions of this Act, the accounting and auditing standards and matters which are required to be included in the audit report under the provisions of this Act or any rules made thereunder or under any order made under sub-section (11).

Further, auditor has to report whether to best of his information and knowledge, the said accounts, financial statements give a true and fair view of ***the state of the company's affairs as at the end of its financial year and profit or loss and cash flow for the year and following matters as prescribed under relevant rules (Rule 11):-***

(i) whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement;

(ii) whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long term contracts including derivative contracts;

(iii) whether there has been any delay in transferring amounts, required to be transferred, to

the Investor Education and Protection Fund by the company.

(iv) (1) Whether the management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(2) Whether the management has represented, that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

(3) Based on such audit procedures that the auditor has considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under sub-clause (i) and (ii) contain any material mis-statement.

(v) Whether the dividend declared or paid during the year by the company is in compliance with section 123 of the Companies Act, 2013

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 8-9

1151 MTP **Old P6 Dec 2021 S-I** General MCQ 5 2 marks

MCQ old scheme

M/s PQR & Associates is appointed as the new auditors of M/s Prince Ltd. On conducting the audit, the firm found that the accountant has entered fake invoices of credit purchases in the books of accounts aggregated of ₹ 75 Lakhs and cleared all the payments to the fake creditor.

The auditor M/s PQR & Associates should report such fraud to :

A Central Government

B Reserve Bank of India

C Board of Directors/Audit Committee

D Comptroller & Auditor General

ICAI'S ANSWER

(C)

1152 MTP **Old P6 Jul 2021 S-I Q3(a)** 4 marks old scheme

Mr. A is appointed as statutory auditor of a company for the Financial Year ended 31st March, 2020. During the course of audit, it was found that few doubtful transactions had been committed by finance manager who retired in March, 2020. The fraud was going on since last 2-3 years and the total amount misappropriated exceeding Rs. 100 lakhs. As a statutory auditor, what would be reporting responsibilities of Mr. A?

ICAI'S ANSWER

Reporting to the Central Government- As per section 143(12) of the Companies Act, 2013 read with Rule 13 of the Companies (Audit and Auditors) Rules, 2014, if an auditor of a company in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of Rs. 1 crore or above, is being or has been committed in the company by its officers or employees, the auditor shall report the matter to the Central Government within such time and in such manner as prescribed.

The manner of reporting the matter to the Central Government is as follows:

(1) the auditor shall report the matter to the Board or the Audit Committee, as the case may be, immediately but not later than 2 days of his

knowledge of the fraud, seeking their reply or observations within 45 days;

(2) on receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments (on such reply or observations of the Board or the Audit Committee) to the Central Government within 15 days from the date of receipt of such reply or observations;

(3) in case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply or observations;

(4) the report shall be sent to the Secretary, Ministry of Corporate Affairs in a sealed cover by Registered Post with Acknowledgement Due or by Speed Post followed by an e-mail in confirmation of the same;

(5) the report shall be on the letter-head of the auditor containing postal address, e-mail address and contact telephone number or mobile number and be signed by the auditor with his seal and shall indicate his Membership Number; and

(6) the report shall be in the form of a statement as specified in Form ADT-4.

The auditor is also required to report under clause (x) of paragraph 3 of Companies (Auditor's Report) Order, 2016 [CARO, 2016], whether any fraud by the company or any fraud on the Company by its officers or employees has been noticed or reported during the year. If yes, the nature and the amount involved is to be indicated.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 6-7 · answer p. 4

1153 MTP **Old P6 Nov 2020 S-I**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks

old scheme

CASE SCENARIO 1

Integrated case study

Mr. Laxman is appointed as statutory auditor of Best Limited for the Financial Year ended 31st March, 2020.

During the course of audit, it was found that few doubtful transactions had been committed by finance manager who retired in March, 2020.

The fraud was going on since last 4-5 years and the total amount misappropriated is approximately ₹ 75 lacs.

Balance sheet of Best Ltd. reflected a cash balance of ₹ 7 crores. The company has taken a loan of ₹ 2 crores from the bank despite of the huge cash balance with the company.

Also, Companies Act bestows some duties on auditors to report matters to Central Government in case of fraud.

On the basis of above facts answer below questions in relation to Mr. Laxman's role and duties while conducting statutory audit of Best Limited.

MCQ 1.1 2 marks

Mr. Laxman shall obtain _____ that the financial statements are free from fraud and misstatement.

- A Absolute assurance
- B Reasonable assurance
- C Management's assurance
- D Chief Financial Officer assurance

MCQ 1.2 2 marks out of syllabus

Mr. Laxman suspects that cash payments were inflated. Out of the below which could be probable reason for such inflated cash payments.

- A Not accounting for cash sales completely
- B Making payments against purchase vouchers
- C Making payments against inflated vouchers
- D Teeming and Lading

MCQ 1.3 2 marks

As per Section 143 (12) of Companies Act, 2013 & Rule 13 of CAAR, 2014; Mr. Laxman shall

A report the matter to the audit committee constituted under section 177 or to the Board in other cases within such time and in such manner as prescribed.

B report the matter to the audit committee constituted under section 177 within such time and in such manner as prescribed.

C report the matter to the audit committee constituted under section 177 and also to the Board within such time and in such manner as prescribed.

D report the matter to the Board within such time and in such manner as prescribed.

MCQ 1.4 2 marks

Owing to the _____ limitations of an audit, there is _____ risk that some material misstatements of the financial statements will not be detected, even though the audit is properly planned and performed in accordance with the SAs.

A Inherent, unavoidable

B Inherit, complete

C Management, unavoidable

D Regulatory, control

MCQ 1.5 2 marks

As an auditor what conclusion can Mr Laxman draw looking at the huge cash reserve of the company and corresponding bank loan?

A Report this matter to the Central Government u/s 143(12) as there is a possibility of fraud

B Obtain sufficient and appropriate audit evidence of existence of fraud

C Report the matter under CARO, 2020

D There is nothing to report as it's a normal financial decision.

ICAI'S ANSWERS

MCQ 1.1

(B)

MCQ 1.2

(C)

PassBook's note: Out of syllabus (old scheme): how cash payments are inflated to misappropriate cash (payments against inflated vouchers, beside the options of unrecorded cash sales and teeming and lading) belonged to old Paper 6's vouching and errors and frauds content (SA 240).

MCQ 1.3

(A)

MCQ 1.4

(A)

MCQ 1.5

(B)

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 1 · answer p. 1

1154 MTP **Old P6 Nov 2020 S-I** Q3(a) 6 marks old scheme

The auditor has to make inquires on certain matters under section 143(1) of Companies Act, 2013. Discuss

those matters.

ICAI'S ANSWER

The auditor has to make inquires on following matters under section 143(1) of Companies Act, 2013:-

(a) whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;

(b) whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company;

(c) where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company;

(d) whether loans and advances made by the company have been shown as deposits;

(e) whether personal expenses have been charged to revenue account;

(f) where it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as

stated in the account books and the balance sheet is correct, regular and not misleading.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 3

1155 MTP **Old P6 May 2020 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

ABC Ltd. is a company dealing in products namely chocolate and coffee. ABC Ltd. approached audit firm XYZ & Associates for the statutory audit of its financial statements for the year ended 31.03.2019. The Gross turnover of the company is Rs.105 crores, out of which turnover from one of its product namely coffee is of Rs.95 crores during the immediate preceding Financial Year.

During the course of Audit, XYZ & Associates found certain delay in the payment of the Employees Provident Fund by ABC Ltd. They understand that the same need to be reported under the relevant provisions of Companies (Auditors Report) Order 2016.

During the FY 2018-2019, Mrs. X wife of CA Mr. X who is partner in XYZ & Associates acquires certain shares of ABC Ltd. The audit firm is of the opinion that this may call for a disqualification for the firm for being working as the auditor of the company under the relevant provisions of the Companies Act 2013.

Further, ABC Ltd. also approached the auditors to provide them the Investment Banking service to which the auditors denied as per the provisions of Companies Act 2013.

During the course of audit, XYZ & Associates has reason to believe that an offence of fraud involving some amount has been committed in the ABC Ltd. by its General Manager. The auditors understand that there is a requirement for reporting of fraud by the auditors under the Companies Act and the relevant rules.

Based on the above facts, answer the following:-

MCQ 2.1 2 marks out of syllabus

After the appointment of XYZ & Associates, ABC Ltd. should inform the auditor and file a notice of such appointment with registrar within:-

- A 60 days
- B 30 days
- C 15 days
- D 20 days

MCQ 2.2 2 marks out of syllabus

If Mrs. X acquires security exceeding the prescribed limit in the ABC Ltd., then XYZ & Associates shall take corrective actions within.....days. What is the prescribed limit:-

- A 100 days, Market Value Rs 1,00,000
- B 60 days, Face value Rs 1,00,000

C 90 days, Face value Rs 1,00,000

D 15 days, Market Value Rs 1,00,000

MCQ 2.3 2 marks

Under which section reporting of fraud by an auditor to the Central Government is required and what is the amount of fraud:-

A Section 143(12), 1 crore & above

B Section 139(12), 1 crore & above

C Section 143(12), 2 crore & above

D None of the above

MCQ 2.4 2 marks out of syllabus

What is the requirement for ABC Ltd as per the relevant provisions regarding maintenance of cost records:-

A Maintenance of cost records is mandatory, in form CRA 1.

B Maintenance of cost records is mandatory, in form CRA 2.

C Maintenance of cost records is mandatory, in any general format.

D No requirement of maintenance of cost records.

MCQ 2.5 2 marks

Under relevant clause of CARO,2016, XYZ & Associates is required to report the extent of arrears of Employees Provident Fund as at the balance sheet date:-

A Exceeding 9 months

B Exceeding 3 months

C Exceeding 6 months

D Exceeding 12 months

ICAI'S ANSWERS

MCQ 2.1

(C)

PassBook's note: Out of syllabus (old scheme): the company's notice of the auditor's appointment to the Registrar within 15 days (section 139(1) of the Companies Act, 2013 and Rule 4 of the Companies (Audit and Auditors) Rules, 2014, Form ADT-1) belonged to old Paper 6's company audit chapter (appointment of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover it (as o-p6-mtp-nov2022-s1 q3b), so the item carries only its nearest chapter.

MCQ 2.2

(B)

PassBook's note: Out of syllabus (old scheme): the disqualification of a company auditor whose relative holds securities of the company above face value ₹ 1 lakh, and the 60 days allowed to take corrective action (section 141(3)(d)(i) of the Companies Act, 2013 and Rule 10 of the Companies (Audit and Auditors) Rules, 2014), belonged to old Paper 6's company audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover section 141 (as o-p6-mtp-may2022-s2 q1ii, o-p6-mtp-dec2021-s2 m2-1), so the item carries only its nearest sub-topic (independence).

MCQ 2.3

(A)

MCQ 2.4

(A)

PassBook's note: Out of syllabus (old scheme): which companies must maintain cost records and in which form (Rule 3 and Rule 5 of the Companies (Cost Records and Audit) Rules,

2014, Form CRA-1) belonged to old Paper 6's company audit content on cost records and cost audit.

MCQ 2.5

(C)

PassBook's note: The MCQ is on CARO 2016 (clause (vii) of paragraph 3); CARO 2020, which the January 2027 Study Material teaches, keeps the same "more than six months from the date they became payable" in its clause (vii), so the item stays in the syllabus.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 2-3 · answer p. 1

1156 MTP Old P6 Nov 2019 S-I MCQ 17 1 mark MCQ old scheme

Which of the following is correct as per section 143(10) of the Companies Act, 2013 :

A IFAC may prescribe the standards of auditing as recommended by the Institute of Chartered Accountants of India, in consultation with and after examination of the recommendations made by the National Financial Reporting Authority.

B the International Auditing Standards Board may prescribe the standards of auditing as recommended by the Institute of Chartered Accountants of India, in consultation with and after examination of the recommendations made by the National Financial Reporting Authority.

C the MCA may prescribe the standards of auditing as recommended by the Institute of Chartered Accountants of India, in consultation with and after examination of the recommendations made by the National Financial Reporting Authority.

D the Central Government may prescribe the standards of auditing as recommended by the Institute of Chartered Accountants of India, in consultation with and after examination of the recommendations made by the National Financial Reporting Authority.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 3-4 · answer p. 1

1157 MTP **Old P6 Nov 2019 S-I** MCQ 18 1 mark MCQ old scheme

Which of the following is not a duty of auditor to report under section 143 (1)

A whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;

B whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company;

C where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company;

D whether the report on the accounts of any branch office of the company audited under sub-section (8) by a person other than the company's auditors has been sent to him under the proviso to that sub-section and the manner in which he has dealt with it in preparing his report;

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 4 · answer p. 1

8.7 CARO 2020

53 questions · asked in 40 ICAI documents · 13 exam papers

1158 **EXAM** **Sep 2026** Q5(c) **4 marks**

M/s D & Associates are the statutory auditors of H Limited for the FY 2025-26. The previous statutory auditors had resigned during the year due to some personal reasons. Subsequent to their resignation, M/s D & Associates were appointed as statutory auditors. The Company was required to conduct an internal audit and hence had an internal audit system. Further, during the audit, CA David, the engagement partner, observed that the Company had incurred cash losses in the financial year. How should the above matters be reported in CARO 2020 by M/s D & Associates ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 21

1159 EXAM May 2026 Case scenario · Q2(c)(i) to Q2(c)(ii)

4 marks

CASE SCENARIO

You are appointed as the auditor of JK Apparels Ltd., a public limited company. The company entered into an arrangement during the financial year 2025-26 with one of its promoters Mr. K whose son is a director in JK Apparels Ltd. Under this arrangement, the company acquired an immovable property owned by the promoter. As consideration for the purchase, the company allotted 2% of its equity share capital to the promoter instead of making payment in cash. The title deed of the property has been duly transferred and held in the name of the company.

Q2(c)(i) 2 marks

Discuss the reporting requirements of the auditor under CARO, 2020.

Q2(c)(ii) 2 marks

Discuss the disclosure requirements of Shareholding of Promoters under Schedule III (Part I) of the Companies Act, 2013.

ICAI'S ANSWERS

Q2(c)(i)

Disclosure requirements of shareholding of promoters under Schedule III (Part I) of the Companies Act, 2013: As per clause (xv) of Paragraph 3 of CARO, 2020, the auditor is required to report - whether the company has entered into any non-cash transactions with directors or persons

connected with him and if so, whether the provisions of section 192 of the Companies Act, 2013 have been complied with.

Q2(c)(ii)

A company shall disclose Shareholding of Promoters* as below:

Shares held by promoters at the end of the year			% Change during the year***
S. No.	**Promoter Name**	**No. of shares**	**% of total shares****
Total			

* Promoter here means promoter as defined in the Companies Act, 2013.

** Details shall be given separately for each class of shares

***percentage change shall be computed with respect to the number at the beginning of the year or if issued during the year for the first time then with respect to the date of issue.

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1160 EXAM **Jan 2026** Q2(c) 4 marks

During the audit of Alpha Components Ltd., the management informs the auditor that the company has

implemented a sophisticated ERP system that tracks all movements of raw materials and finished goods in real time. Based on this system, they have stopped conducting any physical verification of inventories, claiming that the system itself ensures accuracy and control over stock levels.

As the auditor, explain reporting requirement under CARO, 2020.

ICAI'S ANSWER

Reporting requirement under CARO 2020: As per Clause 3(ii)(a) of CARO, 2020, the auditor is required to report whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedures of such verification by the management is appropriate. The auditor is also required to report whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and, if so, whether the same have been properly dealt with in the books of account.

Auditor must Report on the non-conduct of physical verification

In the present case, the management of Alpha Components Ltd. has stated that it has discontinued physical verification of inventories on the ground that a sophisticated ERP system tracks inventory movement in real time. However, the existence of an ERP system does not replace the requirement of physical verification, as CARO, 2020 specifically

requires reporting on physical verification conducted by management.

Therefore, in compliance with Clause 3(ii)(a) of CARO, 2020, the auditor must report the non-conduct of physical verification of inventory, notwithstanding the use of an ERP system, and suitably reflect this matter in the CARO report.

ICAI · P5 · Jan 2026 exam · question p. 16 · answer p. 17-18

1161 **EXAM** **May 2025** Q2(c) **4 marks**

TS Ltd. has raised funds by issuing fully convertible. debentures. These funds were raised for the expansion and diversification of the business. The company had clearly outlined in its board resolution that these funds will be used for business expansion and diversification purposes only.

However, the company utllised these funds for repayment of long-term loans and advances rather than for the intended purpose of business growth and expansion.

State the reporting responsibility of the auditor under paragraph 3, clause (x) of the Companies Auditor's Report Order, 2020 (CARO 2020).

ICAI'S ANSWER

The auditor is required to report under Clause (x) of Paragraph 3 of CARO 2020 that:

(a) whether moneys raised by way of initial public offer or further public offer (including debt

instruments) during the year were applied for the purposes for which those are raised, if not, the details together with delays or default and subsequent rectification, if any, as may be applicable, be reported.

(b) whether the company has made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year and if so, whether the requirements of section 42 and section 62 of the Companies Act, 2013 have been complied with and the funds raised have been used for the purposes for which the funds were raised, if not, provide details in respect of amount involved and nature of noncompliance.

ICAI · P5 · May 2025 exam · question p. 13 · answer p. 14

1162 **EXAM** **Sep 2024** **Q1(d)** **3 marks**

M/s. PQ Limited has a turnover of ₹ 807 crores during the financial year 2023-24. It has outstanding dues towards Goods and Services Tax (GST) of ₹ 10 lakhs since June 2023. When enquired by the auditor, the company's management informed him that they have filed an objection letter for the said demand with the GST Authorities, however, no response is received from the GST Department. State the reporting responsibility of the auditor under paragraph 3, clause (vii) of the Companies Auditor's Report Order, 2020 [CARO, 2020].

ICAI'S ANSWER

Reporting responsibility of the auditor under paragraph 3 of CARO, 2020: The auditor is required to report as per clause (vii) (a) of Paragraph 3 of CARO, 2020 that whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

Further, the auditor is also required to report as per Clause (vii) (b) of Paragraph 3 of CARO, 2020, where statutory dues referred to in sub-clause (a) have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned (a mere representation to the concerned Department shall not be treated as a dispute).

ICAI · P5 · Sep 2024 exam · question p. 10 · answer p. 12-13

1163 EXAM **May 2024** Q5(d) 3 marks

You have been appointed as the statutory auditor of a limited company. The company is registered as a Nidhi company. What are the reporting requirements of a

Nidhi company under the Companies Auditor's Report Order, 2020?

ICAI'S ANSWER

Reporting requirements of a Nidhi Company under the CARO 2020: The auditor is required to report under clause (xii) of Paragraph 3 of CARO 2020:

(a) whether the Nidhi Company has complied with the Net Owned Funds to Deposits in the ratio of 1:20 to meet out the liability;

(b) whether the Nidhi Company is maintaining ten per cent. unencumbered term deposits as specified in the Nidhi Rules, 2014 to meet out the liability;

(c) whether there has been any default in payment of interest on deposits or repayment thereof for any period and if so, the details thereof.

ICAI · P5 · May 2024 exam · question p. 16 · answer p. 18

1164 EXAM **Old P6 Nov 2023** Q3(a) 4 marks old scheme

UVW Ltd. a biopharma company and global manufacturers of select critical care medical products has been sanctioned working capital limits of ₹ 5.99 crores from a nationalized bank on the basis of security of current assets. During the year under audit, the statutory auditor of UVW Ltd. considers that inventory is material to the financial statements and performs audit procedures over the company's final inventory records to determine whether they accurately reflect actual inventory count and without any major

discrepancies for each class of inventory. What are the reporting requirements under CARO 2020 in this case?

ICAI'S ANSWER

The auditor's report, pursuant to CARO 2020, in respect of physical verification of inventory and in respect of sanctioned working capital, shall include the statements as follows:

(a) Whether physical verification of inventory has been conducted at reasonable intervals by the management and whether in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate: whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so whether such discrepancies have been properly dealt within the books of account.

(b) whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details.

ICAI · Old P6 · Nov 2023 exam · question p. 5 · answer p. 6

1165 EXAM Old P6 May 2023 Q4(b) 4 marks old scheme

ABC Ltd. is a public company, which has availed various loans and cash credit facilities from Banks and other financial institutions. The company has defaulted in repayments of such borrowings during the year under audit. What are the reporting requirements in this regard under the Companies (Auditor's Report) Order, 2020?

ICAI'S ANSWER

As per Clause (ix) of CARO, 2020, reporting requirements in case of default by the company in repayments of borrowings would be:

(a) Whether the company has defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender, if yes, the period and the amount of default to be reported as per the format below:-

Nature of borrowing, including debt securities
Name of lender
Lender-wise details to be provided in case of defaults to banks, financial institutions and Government.
Amount not paid on due date
Whether principal or interest
No. of days delay or unpaid
Remarks, if any

(b) Whether the company is a declared wilful defaulter by any bank or financial institution or other lender;

(c) Whether term loans were applied for the purpose for which the loans were obtained; if not, the amount of loan so diverted and the purpose for which it is used may be reported;

(d) Whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated;

ICAI · Old P6 · May 2023 exam · question p. 7 · answer p. 8-9

1166 **EXAM** **Old P6 Nov 2022** Q6(a) 4 marks old scheme

TS Ltd. has raised funds by issuing fully convertible debentures. These funds were raised for the expansion and diversification of the business. However, the company utilised these funds for repayment of long-term loans and advances. What are the reporting requirements under CARO 2020 in this case?

ICAI'S ANSWER

Reporting Requirements under CARO 2020 for raising funds: As per clause (x)(b) of Para 3 of CARO, 2020, the auditor of a company has to report whether the company has made any preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year and if so, whether the requirements of section 42 and section 62 of the Companies Act, 2013 have been complied with and the funds raised have been used for the purposes for which the funds were raised, if not, provide details

in respect of amount involved and nature of non-compliance.

In the present case, TS Ltd. has raised funds by issuing fully convertible debentures for expansion and diversification of the business. However, the company used the funds for repayment of long-term loans and advances instead of utilisation of the same for the purpose for which the funds were raised i.e. expansion and diversification of business.

Here, the auditor should report the fact in his report that the funds were used for the purpose other than the purpose for which the funds were raised, as per clause (x)(b) of Para 3 of CARO, 2020.

ICAI · Old P6 · Nov 2022 exam · question p. 11 · answer p. 12

1167 EXAM **Old P6 May 2022** Q2(a) 4 marks old scheme

G Pvt. Ltd. had fully paid up Capital and Reserves of ₹ 1.20 crore as at the end of F.Y. 2020-2021. During the F.Y 2021-2022, business was interrupted due to Covid restrictions and therefore the company incurred losses to the tune of ₹ 25 lacs. During the year, the company also borrowed ₹ 55 lakh each from a bank and a financial institution independently. It had a turnover of ₹ 850 lakh (other than revenue of ₹ 250 lakh from discontinuing operations). Ascertain whether CARO, 2020 is applicable to the company.

ICAI'S ANSWER

Applicability of CARO, 2020 in case of Private Ltd. Company: CARO, 2020 shall apply to every company

including a foreign company **except**– a private limited company, not being a subsidiary or holding company of a public company,

(i) having a paid-up capital and reserves and surplus not more than one crore rupees as on the balance sheet date; and

(ii) which does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year; and

(iii) which does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

Applying the above to the given case, G Pvt. Ltd., its paid-up capital and reserves are ₹ 95 Lakh (₹ 120 Lakh - ₹ 25 Lakh), borrowings from a Bank and financial institution are (₹ 55 Lakh + ₹ 55 Lakh) i.e., ₹ 1.10 Crore, turnover {including discontinuing operations (₹ 850 lakh + ₹ 250 Lakh)} ₹ 1100 Lakh i.e., ₹ 11 Crore.

Since its borrowings and turnover are exceeding the specified limit and therefore it is not exempt from the applicability of CARO, 2020.

Solution for HINDI Medium Students

(a) Applicability of CARO, 2020 in case of Private Ltd. Company: CARO, 2020 shall apply to every company including a foreign company **except**– a

private limited company, not being a subsidiary or holding company of a public company,

(i) having a paid-up capital and reserves and surplus not more than one crore rupees as on the balance sheet date; and

(ii) which does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year; and

(iii) which does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

Applying the above to the given case, G Pvt. Ltd., its paid-up capital and reserves are ₹ 95 Lakh (₹ 120 Lakh - ₹ 25 Lakh), Borrowings from a Bank and financial institution are (₹ 55 Lakh + ₹ 55 Lakh) i.e., ₹ 1.10 Crore, turnover {including discontinuing operations (₹ 850 Lakh + ₹ 250) 8,50,00,250} is ₹ 850,00,250 Lakh.

Since its borrowings are exceeding the specified limit and therefore it is not exempt from the applicability of CARO, 2020.

ICAI · Old P6 · May 2022 exam · question p. 2 · answer p. 3-4

1168 EXAM **Old P6 Dec 2021 Q4(b)** 4 marks old scheme

State the auditor's reporting responsibilities under CARO 2016 when –

(i) The company has raised money by public issue.

(ii) The company has made private placement of shares.

ICAI'S ANSWER

Auditor's reporting responsibilities under CARO 2016:

(i) **Clause (ix) para 3 of CARO, 2016 states** - whether moneys raised by way of initial public offer or further public offer (including debt instruments) and term loans were applied for the purposes for which those are raised. If not, the details together with delays or default and subsequent rectification, if any, as may be applicable, be reported.

(ii) **Clause (xiv) para 3 of CARO, 2016 states** - whether the company has made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year under review and if so, as to whether the requirement of section 42 of the Companies Act, 2013 have been complied with and the amount raised have been used for the purposes for which the funds were raised. If not, provide the details in respect of the amount involved and nature of non-compliance.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clauses (ix) and (xiv) of paragraph 3), which CARO 2020 superseded.

ICAI · Old P6 · Dec 2021 exam · question p. 7 · answer p. 8-9

1169 **EXAM** **Old P6 Nov 2020** Q4(c) **3 marks** **old scheme**

The auditor's requirement to report under clause (X) of paragraph 3 of the Companies (Auditor's Report) Order,

2016 is restricted to frauds noticed or reported during the year. Explain what auditors may consider for reporting under this clause?

ICAI'S ANSWER

The auditor is required to report under clause (x) of paragraph 3 of Companies (Auditor's Report) Order,2016,

Where the auditor notices that any fraud by the company or on the company by its officers or employees has been noticed by or reported during the year, the auditor should, apart from reporting the existence of fraud, also required to report, the nature of fraud and amount involved. For reporting under this clause, the auditor may consider the following:

(i) This clause requires all frauds noticed or reported during the year shall be reported indicating the nature and amount involved. As specified, the fraud by the company or on the company by its officers or employees are only covered.

(ii) Of the frauds covered under section 143(12) of the Act, only noticed frauds shall be included here and not the suspected frauds.

(iii) While reporting under this clause with regard to the nature and the amount involved of the frauds notice do reported, the auditor may also consider the principles of materiality outlined in Standards on Auditing.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clause (x) of paragraph 3), which CARO 2020 superseded.

ICAI · Old P6 · Nov 2020 exam · question p. 7 · answer p. 8

1170 **EXAM** **Old P6 Nov 2019** Q5(b) **4 marks** **old scheme**

Also asked in Old P6 MTP Jul 2021 S-I Q4(d)

M Ltd. has given certain loans to related parties and also has accepted certain deposits. As an auditor, how will you include the above items in paragraph 3 of CARO, 2016?

ICAI'S ANSWER

1. Clause (iii) of paragraph 3 of CARO, 2016 states

Whether the company has granted any loans, secured or unsecured to companies, firms, Limited Liability Partnerships or other parties covered in the register maintained under section 189 of the Companies Act, 2013. If so,

(i) Whether the terms and conditions of the grant of such loans are not prejudicial to the company's interest;

(ii) Whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments or receipts are regular;

(iii) if the amount is overdue, state the total amount overdue for more than ninety days, and whether reasonable steps have been taken by the company for recovery of the principal and interest;

2. Further, Clause (v) of paragraph 3 of CARO, 2016 states in case the company has accepted deposits,

(i) whether the directives issued by the Reserve Bank of India and the provisions of sections 73 to 76 or any: ether relevant provisions of the Companies Act, 2013 and the rules framed there under, where applicable, have been complied with? If not, the nature of such contraventions be stated;

(ii) If an order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other tribunal, whether the same has been complied with or not?

In the given situation, M Ltd. has given certain loans to related parties and also has accepted certain deposits. Thus, the auditor is required to report the same as per clause (iii) and (v) of Paragraph 3 of CARO, 2016.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clauses (iii) and (v) of paragraph 3), which CARO 2020 superseded.

ICAI · Old P6 · Nov 2019 exam · question p. 8 · answer p. 9-10

1171 **RTP** **Sep 2024** Case scenario · Q17(i) to Q17(ii)

CASE SCENARIO

Discuss the reporting requirements as per CARO, 2020, regarding:

Q17(i)

Statutory Dues

Q17(ii)

Transactions with Related Parties

ICAI'S ANSWERS

Q17(i)

Reporting under CARO,2020 regarding statutory Dues [Para 3(vii)]

(a) whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

(b) where statutory dues referred to in sub-clause (a) have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned (a mere representation to the concerned Department shall not be treated as a dispute);

Q17(ii)

Reporting under CARO,2020 regarding transactions with related parties [Para 3(xiii)]

Whether all transactions with the related parties are in compliance with sections 177 and 188 of Companies Act where applicable and the details

have been disclosed in the financial statements, etc., as required by the applicable accounting standards.

ICAI · P5 · RTP Sep 2024 · question p. 7 · answer p. 13-14, 14

1172 RTP **Old P6 Nov 2023** Case scenario · Q23(i) to Q23(ii)

old scheme

CASE SCENARIO

State the matters to be included in the auditor's report as per CARO, 2020 regarding:

Q23(i)

Nidhi Company.

Q23(ii)

Transactions with related parties.

ICAI'S ANSWERS

Q23(i)

As per clause (xii) of CARO, 2020, the following matters are required to be included in the auditor's report relating to Nidhi Company

(a) whether the Nidhi Company has complied with the Net Owned Funds to Deposits in the ratio of 1:20 to meet out the liability;

(b) whether the Nidhi Company is maintaining ten per cent. unencumbered term deposits as specified in the Nidhi Rules, 2014 to meet out the liability;

(c) whether there has been any default in payment of interest on deposits or repayment thereof for any period and if so, the details thereof;

Q23(ii)

As per clause (xiii) of CARO, 2020, the following matter is required to be included in the auditor's report relating to transactions with the related parties:

whether all transactions with the related parties are in compliance with sections 177 and 188 of Companies Act where applicable and the details have been disclosed in the financial statements, etc., as required by the applicable accounting standards;

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 30

1173 RTP **Old P6 May 2022** Q23 old scheme

Explain the Reporting requirements the auditor should ensure under CARO 2020 related to PPE and Intangible assets.

ICAI'S ANSWER

Reporting for PPE and Intangible assets - Clause (i) of Para 3 of CARO ,2020, requires the auditor to include a statement in the auditor's report on the following matters, namely-

(i) (a) (A) whether the company is maintaining proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment;

(B) whether the company is maintaining proper records showing full particulars of intangible assets;

(b) whether these Property, Plant and Equipment have been physically verified by the management at reasonable intervals; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account;

(c) whether the title deeds of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company, if not, provide the details thereof in the format below:-

Description of property
Gross carrying value
Held in name of
Whether promoter, director or their relative or employee
Period held –indicate range, where appropriate
Reason for not being held in name of company*

*also indicate if in dispute

(d) whether the company has revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year and, if so, whether the revaluation is based on the valuation by a Registered Valuer; specify the amount of change, if change is 10% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment or intangible assets;

(e) whether any proceedings have been initiated or are pending against the company for holding any

benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder, if so, whether the company has appropriately disclosed the details in its financial statements.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 29-30

1174 RTP **Old P6 Dec 2021** Q23 old scheme

Explain the Reporting requirements the auditor should ensure under CARO 2016 related to fixed assets.

ICAI'S ANSWER

Reporting for Fixed Assets- Clause (i) of Para 3 of CARO ,2016, requires the auditor to include a statement in the auditor's report on the following matters, namely-

(i) whether the company is maintaining proper records showing full particulars, including quantitative details and situation of fixed assets;

(ii) whether these fixed assets have been physically verified by the management at reasonable intervals; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account;

(iii) whether the title deeds of immovable properties are held in the name of the company. If not, provide the details thereof;

PassBook's note: The question and ICAI's answer are on CARO 2016 (clause (i) of paragraph 3, fixed assets), which CARO 2020 superseded.

1175 RTP **Old P6 Jul 2021** Q11 old scheme

Where the auditor notices that any fraud by the company or on the company by its officers or employees has been noticed by or reported during the year, the auditor should, apart from reporting the existence of fraud, also report under clause (x) of paragraph 3 of Companies (Auditor's Report) Order, 2016, the nature of fraud and amount involved. Explain the considerations an auditor would keep in mind for reporting under this clause.

ICAI'S ANSWER

Where the auditor notices that any fraud by the company or on the company by its officers or employees has been noticed by or reported during the year, the auditor should, apart from reporting the existence of fraud, also required to report under clause (x) of paragraph 3 of Companies (Auditor's Report) Order, 2016, the nature of fraud and amount involved. For reporting under this clause, the auditor may consider the following:

(i) This clause requires all frauds noticed or reported during the year shall be reported indicating the nature and amount involved. As specified the fraud by the company or on the company by its officers or employees are only covered.

(ii) Of the frauds covered under section 143(12) of the Act, only noticed frauds shall be included here

and not the suspected frauds.

(iii) While reporting under this clause with regard to the nature and the amount involved of the frauds noticed or reported, the auditor may also consider the principles of materiality outlined in Standards on Auditing.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clause (x) of paragraph 3, fraud noticed or reported during the year), which CARO 2020 superseded.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 134-135

1176 MTP **May 2026 S-I Q4(c)** 4 marks

Parmarth Ltd. is engaged in manufacturing and holds significant inventory. The management conducts physical verification of inventory at periodic intervals, but certain discrepancies were noticed during the year. The company has also been sanctioned working capital limits in excess of ₹5 crore from banks based on stock statements submitted periodically.

State the auditor's reporting requirements under Clause (ii) of Paragraph 3 of CARO, 2020 in the above situation.

ICAI'S ANSWER

As per Clause (ii) of Paragraph 3 of the Companies (Auditor's Report) Order, 2020, the auditor's report shall include a statement on the following matters relating to inventory:

(a) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the

auditor, the coverage and procedure of such verification by the management is appropriate; whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account;

(b) whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details;

ICAI · P5 · MTP May 2026 · Series I · question p. 15 · answer p. 13

1177 MTP **Sep 2025 S-I** Q6(c) 4 marks

You have been appointed as the statutory auditor of AMRO Ltd., a listed entity. During the audit for the year ended 31st March 2025, you noticed that there are undisputed dues relating to GST and Provident Fund which have been outstanding for more than six months. Additionally, the company has not deposited certain amounts of income tax and excise duty which are under litigation before various appellate authorities. Discuss the reporting requirements of the auditor under Clause (vii) of CARO, 2020.

ICAI'S ANSWER

The auditor is required to report under Clause (vii) of Paragraph 3 of CARO 2020 that:

(a) whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

(b) where statutory dues referred to in sub-clause (a) have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned (a mere representation to the concerned Department shall not be treated as a dispute).

ICAI · P5 · MTP Sep 2025 · Series I · question p. 11 · answer p. 13

1178 MTP **Sep 2025 S-II** Q6(a) 5 marks

Money Ltd. is a listed company engaged in the business of manufacturing. During the financial year 2024–25, the company has given loans to its subsidiary and provided a corporate guarantee on behalf of a related party.

State the reporting responsibilities of the auditor under Clause (iii) of Paragraph 3 of CARO, 2020.

ICAI'S ANSWER

Clause (iii) of Para 3 of CARO, 2020, requires the auditor to report whether during the year the company has made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties, if so,-

(a) whether during the year the company has provided loans or provided advances in the nature of loans, or stood guarantee, or provided security to any other entity [not applicable to companies whose principal business is to give loans], if so, indicate-

(A) the aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans or advances and guarantees or security to subsidiaries, joint ventures and associates;

(B) the aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans or advances and guarantees or security to parties other than subsidiaries, joint ventures and associates;

(b) whether the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans and guarantees provided are not prejudicial to the company's interest;

(c) in respect of loans and advances in the nature of loans, whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments or receipts are regular;

(d) if the amount is overdue, state the total amount overdue for more than ninety days, and whether reasonable steps have been taken by the company for recovery of the principal and interest;

(e) whether any loan or advance in the nature of loan granted which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to the same parties, if so, specify the aggregate amount of such dues renewed or extended or settled by fresh loans and the percentage of the aggregate to the total loans or advances in the nature of loans granted during the year [not applicable to companies whose principal business is to give loans];

(f) whether the company has granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment, if so, specify the aggregate amount, percentage thereof to the total loans granted, aggregate amount of loans granted to Promoters, related parties as defined in clause (76) of section 2 of the Companies Act, 2013;

ICAI · P5 · MTP Sep 2025 · Series II · question p. 11 · answer p. 11-12

1179 MTP May 2025 S-I Q6(c) 4 marks

SKN Ltd. a biopharma company and global manufacturers of select critical care medical products has been sanctioned working capital limits of ₹ 5.99 crores from a nationalized bank on the basis of security of current assets. During the year under audit, the statutory auditor of SKN Ltd. considers that inventory is material to the financial statements and performs audit procedures over the company's final inventory records to determine whether they accurately reflect actual inventory count and without any major discrepancies for each class of inventory. What are the reporting requirements regarding physical verification of inventory under CARO 2020 in this case?

ICAI'S ANSWER

As per clause (ii) of Paragraph 3 of CARO, 2020 the auditor is required to report, in respect of physical verification of inventory and in respect of sanctioned working capital, that:

(i) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate; whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account.

(ii) whether during any point of time of the year, the company has been sanctioned working capital

limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details.

ICAI · P5 · MTP May 2025 · Series I · question p. 11 · answer p. 12-13

1180 MTP **Jan 2025 S-I** Q3(c) 4 marks

During the audit of a limited company as a statutory auditor you discovered that a fraud amounting to ₹ 5 lakh has been committed by the company. What are the reporting requirements regarding fraud under the Companies Auditor's Report Order, 2020?

ICAI'S ANSWER

Reporting requirements of a fraud under the CARO 2020: The auditor is required to report the fraud under clause (xi) of Paragraph 3 of CARO 2020:

(a) whether any fraud by the company or any fraud on the company has been noticed or reported during the year, if yes, the nature and the amount involved is to be indicated;

(b) whether any report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government;

(c) whether the auditor has considered whistle-blower complaints, if any, received during the year by the company;

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 6

1181 MTP **Jan 2025 S-II Q2(b)** 5 marks

CARO, 2020 shall apply to every company including foreign company. However, it specifically exempts certain class of companies. State which class of companies are specifically exempt from the applicability of CARO, 2020?

ICAI'S ANSWER

CARO, 2020 shall apply to every company including a foreign company as defined in clause (42) of section 2 of the Companies Act, 2013, except:

(i) a banking company as defined in clause (c) of section 5 of the Banking Regulation Act, 1949 (10 of 1949);

(ii) an insurance company as defined under the Insurance Act,1938 (4 of 1938);

(iii) a company licensed to operate under section 8 of the Companies Act;

(iv) a One Person Company as defined in clause (62) of section 2 of the Companies Act and a small company as defined in clause (85) of section 2 of the Companies Act; and

(v) a private limited company, not being a subsidiary or holding company of a public

company, having a paid up capital and reserves and surplus not more than one crore rupees as on the balance sheet date and which does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year and which does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9 · answer p. 4

1182 MTP **Sep 2024 S-I** Q3(a) 5 marks

Mr. Chetan is appointed as an auditor of Spot Limited, a small company. Mr. Chetan is aware that CARO 2020 is not applicable to small company. List out the classes of companies that are specifically exempt from the applicability of CARO 2020.

ICAI'S ANSWER

CARO 2020 shall apply to every company including a foreign company as defined in clause (42) of section 2 of the Companies Act, 2013, except–

(i) a banking company as defined in clause (c) of section 5 of the Banking Regulation Act, 1949;

(ii) an insurance company as defined under the Insurance Act,1938;

(iii) a company licensed to operate under section 8 of the Companies Act;

(iv) a One Person Company as defined in clause (62) of section 2 of the Companies Act and a small company as defined in clause (85) of section 2 of the Companies Act; and

(v) a private limited company, not being a subsidiary or holding company of a public company, having a paid up capital and reserves and surplus not more than one crore rupees as on the balance sheet date and which does not have total borrowings exceeding one crore rupees from any bank or financial institution at any point of time during the financial year and which does not have a total revenue as disclosed in Scheduled III to the Companies Act (including revenue from discontinuing operations) exceeding ten crore rupees during the financial year as per the financial statements.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 9 · answer p. 4

1183 MTP **May 2024 S-I Q1(a)** 4 marks

DOX Limited, a service provider company engaged in providing courier services pan-India as well as internationally, has appointed an internal auditor, Mr. G, in accordance with requirements of the Companies Act, 2013 during financial year 2023-24. The company's annual turnover during year 2022-23 and 2023-24 has been about ₹ 300 crores during each of above years. Business of the company has been profitable. Mr. G heads internal audit department of the company assessing governance activities, assisting in improving

risk management activities and reviewing controls. Discuss reporting responsibility of statutory auditor of the company under the Companies Act, 2013 specifically in relation to internal audit and related matters for the year 2023-24.

ICAI'S ANSWER

DOX Limited is in business of providing courier services. As name of the company and given facts suggest: -

- It is not a small company under section 2(85) of Companies Act, 2013.
- It is not a private company.
- It is not a one person company.
- It is not a banking or insurance company.
- It is not a Section 8 company as it does not has charitable objects etc.

Therefore, it does not qualify for any exemption from applicability of CARO, 2020. Hence, reporting requirements under CARO, 2020 are applicable. While reporting under CARO, 2020, statutory auditor is required to report under clause (xiv) of paragraph 3 as under:

(a) whether the company has an internal audit system commensurate with the size and nature of its business

(b) whether the reports of the internal auditors for the period under audit were considered by the statutory auditor

1184 MTP **May 2024 S-II Q6(e)** 3 marks

CA. Ravi Patnaik is conducting audit of a company for which reporting requirements under CARO, 2020 are applicable. He finds that cash credit facilities amounting to ₹ 4 crores were released to the company by branch of a bank for meeting its working capital requirements. He finds that out of above funds, ₹ 1 crore have been used by company for installing effluent treatment plant to meet State pollution control Board requirements.

Is there any reporting obligation upon him under CARO,2020?

ICAI'S ANSWER

Clause (ix) (d) of CARO, 2020 whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated.

In the given situation, funds have been raised for meeting working capital requirements for ₹ 4 crores. Cash credit facilities for meeting working capital requirements are, by their very nature, short term borrowings. Out of above, ₹ 1 crore have been used by the company for investment in effluent treatment plant which is ostensibly for a long-term purpose. Hence, the matter needs to be reported in accordance with requirements of Clause (ix) (d) of CARO, 2020.

ICAI · P5 · MTP May 2024 · Series II · question p. 13 · answer p. 12

1185 MTP Old P6 Nov 2023 S-I

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks

old scheme

CASE SCENARIO 1

Following is the extract of information taken from financial statements of AAF Private Limited for the financial year 2022-23: -

(All Figs in tables are in ₹ 000s)

Particulars	31/03/23	31/03/22
Paid up share capital	75000	75000
Long term borrowings	24500	30000
Short term borrowings	55000	50000
Other current liabilities	350	550
Property, Plant and Equipment	48500	56000
Depreciation	7500	9500
Profit/(Loss) after tax	(5000)	(6000)

Assume that there are no taxation adjustments.

The schedule of short-term borrowings reflects as under: -

Particulars	31/03/23	31/03/22
Loans repayable on demand from MMT Bank (secured) *(Cash credit limit against hypothecation of stocks guaranteed by all directors)*	55000	50000

It has been further noticed during the course of audit that quarterly statements filed by company with its bank for availing cash credit facilities of ₹5.50 crores during the year vis-à-vis books of accounts reflect following details: -

Period ending	Value of stocks as per quarterly statements	Value of stocks per Books of accounts
30.6.22	80000	70000
30.9.22	70000	65000
31.12.22	85000	70000
31.3.23	80000	80000

It has also been noticed that long term borrowings consist of a term loan from MMT Bank. Term loan outstanding has reduced in comparison to last year. However, during the year 2022-23, company has not paid one instalment of ₹ 5 lakhs on time which is overdue for 65 days as on balance sheet date. The credit facilities have been classified as Standard

assets by the Bank in accordance with prudential guidelines of RBI.

Other current liabilities as on 31/3/23 include TDS payable of ₹ 1.00 lac (out of which ₹ 0.60 lac for month of Feb 23 was due for deposit on 7.3.23). The balance Rs 0.40 lac pertains to month of March 2023.

You are part of engagement team conducting audit of AAF Private Limited. As part of assigned work, you are also responsible for providing information/input to your senior for reporting under CARO, 2020 for financial year 2022-23.

Based on above, answer the following questions:

MCQ 1.1 2 marks

Considering description about short-term borrowings in the case study, which of following statements is in accordance with CARO, 2020?

A. The statutory auditor is required to provide details of differences in quarterly statements filed with bankers with its books of accounts.

B. The statutory auditor is required to provide details of differences only in respect of those quarterly statements where there is discrepancy of more than 10% as compared to its books of accounts.

C. The statutory auditor is not required to provide details of differences as reporting requirement is triggered only when working capital limits have been sanctioned in excess of ₹ 10 crore during any point of time of the year.

D The statutory auditor is not required to provide details of differences, as at end of year, books of accounts are in agreement with quarterly statement filed.

MCQ 1.2 2 marks

The company has not paid one instalment of ₹ 5 lakhs on time which is overdue for more than 65 days as on balance sheet date. Identify likely correct statement in this regard in relation to reporting under CARO, 2020: -

A The account has not become NPA as on 31.3.23. Hence, there is no reporting requirement.

B The reporting requirement is necessary only when company is declared a wilful defaulter by Bank. In the given situation, there is no reporting requirement.

C Amount of default along with period of default is required to be reported.

D The reporting requirement is necessary only when company has diverted amount of term loan for some other purpose. In the given situation, there is no reporting requirement.

MCQ 1.3 2 marks

As regards TDS payable of ₹ 1.00 lakh included in other current liabilities, what input would be provided by you to your senior for reporting under CARO, 2020?

A TDS payable of ₹ 1.00 lac in financial statements shall not be reported as it does not meet necessary reporting requirements.

B It is in nature of undisputed statutory dues. Hence, outstanding amount of ₹ 1.00 lac not deposited is to be reported.

C It is in nature of undisputed statutory dues. However, only outstanding amount of ₹ 0.60 lac not deposited is to be reported.

D TDS payable of ₹ 1.00 lac does not fall under meaning of "undisputed statutory dues". Hence there is no question of reporting.

MCQ 1.4 2 marks

Which of following is not a reporting duty of statutory auditor regarding Property, Plant and Equipment reflected in company's financial statements under CARO, 2020?

A whether the company is maintaining proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment

B whether Property, Plant and Equipment have been physically verified by the management at reasonable intervals; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account

C whether Property, Plant and Equipment have been physically verified by the auditor during the year; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account

D whether tittle deeds of all immovable properties (other than properties where company is lessee and lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company

MCQ 1.5 2 marks

The company has reflected losses in its financial statements for year 2022-23 and 2021-22. Which of following statements is likely to be correct in this regard while reporting under CARO, 2020 for year 2022-23?

A Losses reflected in statement of profit and loss for year 2022-23 and 2021-22 are required to be reported under CARO, 2020.

B Loss reflected in statement of profit and loss for year 2022-23 is alone required to be reported under CARO, 2020.

C There is no requirement to report losses reflected in statement of profit and loss under CARO, 2020.

D The company's losses reflected in statement of profit and loss in financial year 2022-23 and 2021-22 are less than prescribed percentage threshold limit of paid- up capital. Hence, these are not required to be reported.

ICAI'S ANSWERS

MCQ 1.1

(A) The statutory auditor is required to provide details of differences in quarterly statements filed with bankers with its books of accounts.

MCQ 1.2

(C) Amount of default along with period of default is required to be reported.

MCQ 1.3

(A) TDS payable of ₹1.00 lac in financial statements shall not be reported as it does not meet necessary reporting requirements.

MCQ 1.4

(C) whether Property, Plant and Equipment have been physically verified by the auditor during the year; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account

MCQ 1.5

(C) There is no requirement to report losses reflected in statement of profit and loss under CARO, 2020.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 1-2 · answer p. 1

1186 MTP **Old P6 Nov 2023 S-II** General MCQ 8 1 mark

MCQ old scheme

For which of following company, provisions of CARO,2020 would be applicable?

A Boost Up Training (OPC) Private Limited

B RCI Bank Limited

C PST Industries Limited

D Moon Insurance Limited

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 5 · answer p. 1

1187 MTP **Old P6 Nov 2023 S-II** General MCQ 9 1 mark MCQ old scheme

While reporting under CARO, 2020, it is duty of statutory auditor of company to report: -

A Fraud of less than ₹ 1 crore committed by officers or employees of company during the year

B Fraud of ₹1 crore or more committed by officers or employees of company during the year

C Fraud of ₹5 crore or more committed by officers or employees of company during the year

D Any fraud by the company or on the company noticed or reported during the year

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 5 · answer p. 1

1188 MTP **Old P6 May 2023 S-I** Q4(a) 4 marks old scheme

Discuss the reporting requirements as per CARO, 2020, regarding:

(i) disputed and undisputed statutory dues and

(ii) internal audit system of the company

ICAI'S ANSWER

Matters to be included as per CARO, 2020 :

Undisputed and Disputed Statutory dues

Clause (vii)

(a) whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

(b) where statutory dues referred to in sub-clause (a) have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned (a mere representation to the concerned Department shall not be treated as a dispute).

Internal audit system

Clause (xiv)

(a) whether the company has an internal audit system commensurate with the size and nature of its business;

(b) whether the reports of the Internal Auditors for the period under audit were considered by the

statutory auditor.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 4-5

1189 MTP **Old P6 Nov 2022 S-I** Q4(a) 4 marks old scheme

Discuss the reporting requirements regarding statutory dues and Internal Audit as per CARO, 2020.

ICAI'S ANSWER

Matters to be included as per CARO, 2020 :

Statutory dues

Clause (vii) (a) whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

(b) where statutory dues referred to in sub-clause (a) have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned (a mere representation to the concerned Department shall not be treated as a dispute);

Internal Audit

Clause (xiv) (a) whether the company has an internal audit system commensurate with the size and nature of its business.

(b) whether the reports of the Internal Auditors for the period under audit were considered by the statutory auditor;

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 5-6

1190 MTP **Old P6 Nov 2022 S-II** Q4(a) 4 marks old scheme

Discuss the reporting requirements as per CARO, 2020, regarding:

(i) Inventory and

(ii) Deposits accepted by company or amounts which are deemed to be deposits.

ICAI'S ANSWER

Matters to be included as per CARO, 2020 :

Inventory

Clause (ii)

(a) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate; whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account;

(b) whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details;

Deposits accepted by company or amounts which are deemed to be deposits

Clause (v)

In respect of deposits accepted by the company or amounts which are deemed to be deposits, whether the directives issued by the Reserve Bank of India and the provisions of sections 73 to 76 or any other relevant provisions of the Companies Act and the rules made thereunder, where applicable, have been complied with, if not, the nature of such contraventions be stated; if an order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other tribunal, whether the same has been complied with or not;

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 5

1191 MTP **Old P6 May 2022 S-I** Q5(a) 3 marks old scheme

State the matters to be included in auditor's report as per CARO, 2020 regarding “Default in repayment of loan

or borrowing to a financial institution, bank etc."

ICAI'S ANSWER

The auditor is required to report as per clause (ix) **of paragraph 3 of CARO 2020**

(a) whether the company has defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender, if yes, the period and the amount of default to be reported as per the format below:-

Nature of borrowing, including debt securities
Name of lender lender wise details to be provided in case of defaults to banks, financial institutions and Government.
Amount not paid on due date
Whether principal or interest
No. of days delay or unpaid
Remarks, if any

(b) whether the company is a declared wilful defaulter by any bank or financial institution or other lender;

(c) whether term loans were applied for the purpose for which the loans were obtained; if not, the amount of loan so diverted and the purpose for which it is used may be reported;

(d) whether funds raised on short term basis have been utilised for long term purposes, if yes, the nature and amount to be indicated;

(e) whether the company has taken any funds from any entity or person on account of or to meet the

obligations of its subsidiaries, associates or joint ventures, if so, details thereof with nature of such transactions and the amount in each case;

(f) whether the company has raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies, if so, give details thereof and also report if the company has defaulted in repayment of such loans raised;

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 7-8

1192 MTP **Old P6 May 2022 S-II** Q5(c) 3 marks old scheme

State the matters to be included in auditor's report as per CARO, 2020 regarding - Verification of inventory and working capital limits.

ICAI'S ANSWER

Matters to be included in Auditor's report as per CARO 2020:

(i) Clause (ii) of Para 3 of CARO, 2020, requires the auditor to report

(a) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate; whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account;

(b) whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company, if not, give details;

ICAI · Old P6 · MTP May 2022 · Series II · question p. 8 · answer p. 7-8

1193 MTP **Old P6 Dec 2021 S-I** Q5(c) 3 marks old scheme

"The company has raised funds by issuing fully convertible debentures. These funds were raised for the expansion and diversification of the business. However, the company utilized these funds for repayment of long term loans and advances." Advise the auditor regarding reporting requirements under CARO, 2016.

ICAI'S ANSWER

The auditor is required to report as per clause xiv of paragraph 3 of CARO 2016, whether the company has made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year under review and if so, as to whether the requirement of section 42 of the Companies Act, 2013 have been complied with and the amount raised have been used for the purposes for which the funds were raised. If not, provide the details in respect of the amount involved and nature of non-compliance;

In view of the above clause, the auditor would report that funds raised by the company for expansion and diversification of business have not been used for the said purpose rather the company has utilised these funds for repayment of long term loans and advance.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clause (xiv) of paragraph 3), which CARO 2020 superseded.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 7

1194 **MTP** **Old P6 Dec 2021 S-II** Q5(c) **3 marks** **old scheme**

Also asked in Old P6 MTP Jul 2021 S-II Q3(a)

State the matters to be included in auditor's report as per CARO, 2016 regarding:

(i) Default in repayment of loan or borrowing to a financial institution, bank etc.

(ii) Fraud by the company or on the company by its officers or employees.

ICAI'S ANSWER

Matters to be included in Auditor's report as per CARO 2016:

(i) Clause (viii) of Para 3 of CARO, 2016, requires the auditor to report whether the company has defaulted in repayment of loans or borrowing to a financial institution, bank, Government or dues to debenture holders? If yes, the period and the amount of default to be reported (in case of defaults

to banks, financial institutions, and Government, lender wise details to be provided).

(ii) Clause (x) of Para 3 of CARO, 2016, requires the auditor to report whether any fraud by the company or any fraud on the Company by its officers or employees has been noticed or reported during the year; If yes, the nature and the amount involved is to be indicated;

PassBook's note: The question and ICAI's answer are on CARO 2016 (clauses (viii) and (x) of paragraph 3), which CARO 2020 superseded; The January 2027 Study Material teaches the same two matters under CARO 2020, clause (ix) (default in repayment of loans or other borrowings) and clause (xi) (fraud by the company or on the company) of paragraph 3, so the item stays in the syllabus; Read ICAI's clause numbers and wording as those of CARO 2016.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 6-7

1195 MTP **Old P6 Jul 2021 S-II**

Case Scenario 1 · MCQ 1.1 to MCQ 1.5 10 marks

old scheme

CASE SCENARIO 1

- Mars Ltd is a public company having a turnover exceeding Rs 50 crores in the last 3 financial years including the current financial year which is FY 2019-20
- The company comes under the class of companies specified under item (A) Regulated Sectors.
- M/s XYZ & Associates have been appointed as the auditors of Mars Ltd for FY 2019-20.

- Mars Ltd has a branch office in Dubai for which a separate auditor has been appointed.
- M/s XYZ & Associates understand that they need to communicate with the another auditor appointed for the branch office in Dubai.
- Further Mars Ltd has taken a loan from a nationalized bank in 2015 amounting to Rs 1 crore payable in 8 equal instalments of Rs. 12.50 lakhs each starting from 31st March 2016 onwards. It has repaid its 4 instalments, however the company has defaulted in the current financial year. Mars Ltd has sought re-scheduling of loan from the bank.
- The auditors, XYZ & Associates understand that they have certain reporting requirements under Companies (Auditor's Report) Order, 2016.
- Further, the auditors also attended the physical verification of inventory conducted by the management at the year end.

Based on the above facts, answer the following:-

MCQ 1.1 2 marks out of syllabus

With respect to the forms specified by companies (Cost Records & Audit) Rule 2014, which of the following is incorrect combination:-

A Form CRA 1- Maintenance of cost records by the Company.

B Form CRA 2- Intimation of appointment of another cost auditor to Central Government.

C Form CRA 3- Submission of Cost Audit Report to the Board of Directors of the company.

D Form CRA 4- Submission of Cost Audit Report by the company to the Registrar.

MCQ 1.2 2 marks out of syllabus

Within how many days of the receipt of the copy of Cost Audit Report. Mars Ltd is required to forward the report to the Central Government:-

A 30 days

B 60 days

C 15 days

D 90days

MCQ 1.3 2 marks

Whether reporting about maintenance of cost records required by Companies (Auditors Report) Order, 2016. If yes, then under which clause and which is the relevant section under the Companies Act 2013: -

A Yes, Clause vi, Section 148(1)

B No, - , Section 148(1)

C Yes, clause v, Section 143(1)

D No, - , section 143(1)

MCQ 1.4 2 marks

With respect to the branch office of Mars Ltd In Dubai, what is the duty of M/s XYZ & Associates: -

A M/s XYZ & Associates might discuss with the branch auditor the audit procedures applied by the branch auditor.

B M/s XYZ & Associates may also visit the branch auditor.

C M/s XYZ & Associates cannot advise the other auditor of accounting, auditing/ reporting requirement as the other auditor is well versed with such provisions.

D Both a & b

MCQ 1.5 2 marks

Which of the following is incorrect:-

A SA 200- Overall objectives of Independent Auditor

B SA 230- Audit Documentation

C SA 299- Joint Audit of Financial Statements

D SA 600- Subsequent Events

ICAI'S ANSWERS

MCQ 1.1

(D)

PassBook's note: Out of syllabus (old scheme): the forms under the Companies (Cost Records and Audit) Rules, 2014 (CRA-1 to CRA-4) belonged to old Paper 6's company audit content on cost records and cost audit.

MCQ 1.2

(A)

PassBook's note: Out of syllabus (old scheme): the time within which a company forwards the cost audit report to the Central Government (Companies (Cost Records and Audit) Rules, 2014) belonged to old Paper 6's cost audit content, which the new-

scheme Paper 5 syllabus and the January 2027 Study Material do not cover.

MCQ 1.3

(A)

PassBook's note: The question is on CARO 2016 (clause (vi) of paragraph 3, cost records under section 148(1)), which CARO 2020 superseded.

MCQ 1.4

(D)

MCQ 1.5

(D)

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 1 · answer p. 1

1196 MTP **Old P6 Jul 2021 S-II** Q4(b) 3 marks old scheme

Provision of CARO, 2016 is not applicable to ABC Pvt. Ltd., a subsidiary of XYZ Ltd. (a public company) having fully paid up Capital and Reserves & Surplus of Rs. 50 lakhs, Secured loan from bank of Rs. 90 Lakhs and Turnover of Rs. 5 Crore, for the financial year 2018-19.

ICAI'S ANSWER

The CARO specifically **exempts** a private limited company, not being a subsidiary or holding company of a public company, having a paid up capital and reserves and surplus not more than rupees 1 crore as on the balance sheet date and which does not have total borrowings exceeding rupees 1 crore from any bank or financial institution at any point of time during the financial year and

which does not have a total revenue as disclosed in Scheduled III to the Companies Act, 2013 (including revenue from discontinuing operations) exceeding rupees 10 crore during the financial year as per the financial statements.

From the above, it is clear that ABC Pvt. Ltd. is a subsidiary of XYZ Ltd. and hence not exempt from CARO, 2016 although it is satisfying the conditions that allow exemption to private limited company which is not a subsidiary or holding company of a public company.

PassBook's note: The statement and ICAI's answer are on CARO 2016; The January 2027 Study Material teaches the same exemption for private limited companies (not a subsidiary or holding company of a public company.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 4

1197 MTP **Old P6 May 2020 S-I**

Question 3(a) · Q3(a)(i) to Q3(a)(ii) 4 marks old scheme

QUESTION 3(A)

State the matters to be included in the auditor's report as per CARO, 2016, regarding:

Q3(a)(i) 2 marks

Fixed Assets

Q3(a)(ii) 2 marks

Statutory Dues.

ICAI'S ANSWERS

ICAI's working for this case

Matters to be included in the Auditor's Report under CARO, 2016: The auditor's report on the accounts of a company to which CARO applies shall include a statement on the following matters, namely-

Q3(a)(i)

Fixed Assets-

(1) whether the company is maintaining proper records showing full particulars, including quantitative details and situation of fixed assets;

(2) whether these fixed assets have been physically verified by the management at reasonable intervals; whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account;

(3) whether the title deeds of immovable properties are held in the name of the company. If not, provide the details thereof.

PassBook's note: The question and ICAI's answer are on CARO 2016 (clauses (i) and (vii) of paragraph 3), which CARO 2020 superseded; The January 2027 Study Material teaches the same matters under CARO 2020, clause (i) (property, plant and equipment, now with more sub-clauses) and clause (vii) (statutory dues, reworded to include goods and services tax), so both parts stay in the syllabus; Read ICAI's wording as that of CARO 2016.

Q3(a)(ii)

As per clause (vii) of CARO, 2016, reporting

requirements in respect of statutory dues are:

(1) whether the company is regular in depositing undisputed statutory dues including provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable, shall be indicated;

(2) where dues of income tax or sales tax or service tax or duty of customs or duty of excise or value added tax have not been deposited on account of any dispute, then the amounts involved and the forum where dispute is pending shall be mentioned. (A mere representation to the concerned Department shall not be treated as a dispute).

ICAI · Old P6 · MTP May 2020 · Series I · question p. 5 · answer p. 4

1198 MTP **Old P6 Nov 2019 S-I** Q4(c) 3 marks old scheme

Discuss which class of companies are specifically exempt from the applicability of CARO 2016.

ICAI'S ANSWER

CARO 2016 specifically exempts the following class of companies:

(i) A banking company as defined in clause (c) of section 5 of the Banking Regulation Act, 1949;

(ii) An insurance company as defined under the Insurance Act,1938;

(iii) A company licensed to operate under section 8 of the Companies Act;

(iv) A One Person Company as defined under clause (62) of section 2 of the Companies Act;

(v) A small company as defined under clause (85) of section 2 of the Companies Act; and

(vi) A private limited company, not being a subsidiary or holding company of a public company, having a paid up capital and reserves and surplus not more than rupees one crore as on the balance sheet date and which does not have total borrowings exceeding rupees one crore from any bank or financial institution at any point of time during the financial year and which does not have a total revenue as disclosed in Scheduled III to the Companies Act, 2013 (including revenue from discontinuing operations) exceeding rupees ten crores during the financial year asper the financial statements.

PassBook's note: The question and ICAI's answer are on CARO 2016, which CARO 2020 superseded.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 7

8.8 Branch audit and joint audit

26 questions · asked in 20 ICAI documents · 6 exam papers

1199 EXAM **May 2025** Q5(a) 5 marks

As per SA 299 "Joint Audit of Financial Statements", joint audit basically implies pooling together the resources and expertise of more than one firm of auditors to render an expert job in a given time period which may be difficult to accomplish acting individually. Explain by stating any five advantages of joint audit.

ICAI'S ANSWER

As per SA 299, "Joint Audit of Financial Statements", the advantages of Joint Audit are:

(i) Sharing of expertise.

(ii) Advantage of mutual consultation.

(iii) Lower workload.

(iv) Better quality of performance.

(v) Improved service to the client.

(vi) In respect of multi-national companies, the work can be spread using the expertise of the local firms which are in a better position to deal with detailed work and the local laws and regulations.

(vii) Lower staff development costs.

(viii) Lower costs to carry out the work.

ICAI · P5 · May 2025 exam · question p. 19 · answer p. 20

1200 EXAM Sep 2024 Case Scenario 2 · MCQ 6 to MCQ 9

CASE SCENARIO 2

M/s KRISH & Company is a firm of Chartered Accountants based in Punjab, CA K, CA R, CA I, and CA SH are the partners of the firm. The firm is engaged in various audit assignments. The engagement partners, who were handling their respective assignments for the financial year 2023-24, dealt with the following issues raised during the course of their respective audits.

M/s KRISH & Co. is appointed as the joint auditor along with M/s. PK. and Associates and M/s. RS and Associates for the audit of a large manufacturing company for the financial year 2023-24. CA K is in charge of this audit. They have divided their audit areas and have also identified the common audit areas, which will be applicable to all the joint auditors. While forming the opinion, CA K had a different opinion whereas, the other two audit firms shared the same opinion. Both of them contended that as they were forming a majority, M/s KRISH & Co. will have to agree with their opinion.

CA R is conducting the statutory audit of PAWAN Ltd. He observed that, during the year, the company has issued shares at premium and has transferred the amount received as premium to securities premium account. He wants to ensure that PAWAN Ltd. has utilised the amount available in the securities premium amount for the purposes permitted under the Companies Act, 2013.

Registrar of Co-operative Societies has appointed M/s KRISH & Co. as the statutory auditor of NAND Co-operative Society for the financial year 2023-24. CA I is looking after the audit of the said registered society. During the year, in terms of Section 34 of the Cooperative Societies Act, with the sanction of the Registrar, Society has contributed for charitable purposes as defined in section 2 of the Charitable Endowments Act, 1890. CA I is ensuring whether requirements, as regards contribution made, have been complied with.

All the engagement partners and the audit team of M/s KRISH & Co. have deliberations and discussions every week through google meet to review the progress of their respective assignments. During last such meet, CA SH, the managing partner, briefed to the team about the form, content, and extent of audit documentation in terms of SA 230, while citing examples of records to be excluded as well as to be included as a part of audit documentation.

Based on the above facts, answer the following Q. Nos. 6 to 9.

MCQ 6

In case of difference of opinion between the joint auditors, what course of action can M/s. KRISH & Co. take while issuing the audit report?

A They will have to agree with the opinion formed by the majority of auditors.

B They will have to agree with the opinion formed by the majority auditors, but they can mention their view in the Emphasis of Matter Paragraph.

C They can add a separate audit opinion paragraph in the common audit report.

D They can issue a separate audit report and the audit reports issued by the joint auditors shall make a reference to each other's audit report.

MCQ 7

The securities premium account of PAWAN Ltd. cannot be applied for which of the following purposes ?

A In writing off the debit balance in the Profit & Loss account.

B In writing off the expenses of, or the commission paid or discount allowed on any issue of equity shares of the company.

C For the purchase of its own shares or other securities under section 68.

D In paying up unissued equity shares of the company to be issued to the members of the company as fully paid bonus shares.

MCQ 8

CA I, who is in charge of audit of NAND Co-operative Society, wants to ensure that the society has contributed for charitable purposes within the limits prescribed. How much is the society allowed to contribute for charitable purposes ?

A contribute an amount not exceeding 10% of the net profits remaining after the compulsory transfer to the reserve fund.

B contribute an amount at the appropriate rate as per class of the society.

C contribute an amount not exceeding 20% of the net profits remaining after the compulsory transfer to the reserve fund.

D contribute annually at prescribed percentage of the profits as approved by the General body of the society.

MCQ 9

Which of the following need not be included by the audit team as a part of audit documentation during handling of their respective assignments?

A Significant and specific contracts and agreements.

B Draft audit engagement letter.

C Summaries of significant matters.

D Checklists.

ICAI'S ANSWERS

MCQ 6

Answer key: **(D)**

MCQ 7

Answer key: **(A)**

MCQ 8

Answer key: **(A)**

MCQ 9

Answer key: **(B)**

ICAI · P5 · Sep 2024 exam · question p. 3-4 · answer p. 8

1201 **EXAM** **May 2024** Q4(b) **4 marks**

Mr. L is a principal auditor of OP Ltd. There are several divisions of OP Ltd. that are audited by other auditors. State the procedures Mr. L should ordinarily perform to obtain sufficient and appropriate audit evidence that the work of other auditors is adequate for the principal auditor's purpose in the context of this assignment.

ICAI'S ANSWER

The principal auditor should perform procedures to obtain sufficient appropriate audit evidence, that the work of the other auditor is adequate for the principal auditor's purposes, in the context of the specific assignment. When using the work of another auditor, the principal auditor should ordinarily perform the following procedures:

(i) Advise the other auditor of the use that is to be made of the other auditor's work and report and make sufficient arrangements for co-ordination of their efforts at the planning stage of the audit. The principal auditor would inform the other auditor of matters such as are as requiring special consideration, procedures for the identification of inter -component transactions that may require disclosure and the time-table for completion of audit; and

(ii) advise the other auditor of the significant accounting, auditing and reporting requirements and obtain representation as to compliance with them.

(iii) The principal auditor might discuss with the other auditor the audit procedures applied or review a written summary of the other auditor's procedures and findings which may be in the form of a completed questionnaire or check-list. The principal auditor may also wish to visit the other auditor.

ICAI · P5 · May 2024 exam · question p. 12 · answer p. 13-14

1202 EXAM **Old P6 Nov 2022** Q4(b) 4 marks old scheme

HMB Limited's business has grown from one state of India to various countries of the world. Since the business has increased manifold, the management decided to appoint joint auditors for conducting the statutory audit of the company. They appointed three CA firms for it. For which audit work the joint auditors will be jointly & severally responsible?

ICAI'S ANSWER

Joint Audit of Financial Statements:

As per SA 299, "Joint Audit of Financial Statements", all the joint auditors shall be jointly and severally responsible for:

i. the audit work which is not divided among the joint auditors and is carried out by all joint auditors;

ii. decisions taken by all the joint auditors under audit planning in respect of common audit areas;

iii. matters which are brought to the notice of the joint auditors by any one of them and there is an agreement among the joint auditors on such matters;

iv. examining that the financial statements of the entity comply with the requirements of the relevant statutes;

v. presentation and disclosure of the financial statements as required by the applicable financial reporting framework;

vi. ensuring that the audit report complies with the requirements of the relevant statutes, applicable Standards on Auditing and other relevant pronouncements issued by ICAI.

ICAI · Old P6 · Nov 2022 exam · question p. 7-8 · answer p. 8-9

1203 EXAM **Old P6 Nov 2020** Q5(d) 3 marks old scheme

RJ Limited is in the business of trading of cycles having Head Office at Delhi and branch at Mumbai. Statutory audit of Head Office was to be done by CA D and statutory audit of branch at Mumbai was to be done by CA M. During the course of audit by CA D at head office, CA D Wanted to visit branch at Mumbai and verify the inventory records at Mumbai. The management of RJ Limited did not allow CA D to visit Mumbai office and verify the inventory records as the branch audit of

Mumbai was already being undertaken by another CA M.

In the above situation, discuss the rights available with CA D in terms of the Companies Act, 2013.

ICAI'S ANSWER

Section 143(1) of the Act provides that the auditor of a company, at all times, shall have a right of access to the books of account and vouchers of the company, whether kept at the registered office of the company or at any other place and he is entitled to require from the officers of the company such information and explanation as he may consider necessary for the performance of his duties as auditor.

The right of access is not limited to those books and records maintained at the registered or head office so that in the case of a company with branches, the right also extends to the branch records, if the auditor considers it necessary to have access thereto as per Section143(8).

In the given case where CA D was appointed as Statutory Auditor of Head office of RJ Ltd and CA M was appointed to conduct Statutory Audit of Branch office of RJ Ltd., CA D wanted to visit Mumbai Branch to verify the inventory records at Mumbai but management of RJ Ltd did not allow CA D to verify the inventory records at its Mumbai Branch on the ground that branch audit was already being undertaken by another CA M.

Keeping in view the above provisions of the Companies Act and facts of the case, it can be concluded that CA D has a right to visit the branch for verifying inventory records at Mumbai even if the branch accounts are audited by another auditor CA M, if he considers it necessary to do so for the performance of his duties as an auditor.

PassBook's note: The January 2027 Study Material teaches section 143(8) (the company's auditor and the branch auditor) in its Audit Report chapter.

ICAI · Old P6 · Nov 2020 exam · question p. 9 · answer p. 10-11

1204 **EXAM** **Old P6 Nov 2019** Q4(b) **4 marks** **old scheme**

Also asked in MTP May 2026 S-II Q4(c)

"Before the commencement of audit, the joint auditors should discuss and develop a joint audit plan." Discuss the points to be considered in developing the joint audit plan by the joint auditors.

ICAI'S ANSWER

Before the commencement of the audit, the joint auditors should discuss and develop a joint audit plan. In developing the joint audit plan, the joint auditors should:

(i) Identify division of audit areas and common audit areas;

(ii) Ascertain the reporting objectives of the engagement;

(iii) Consider and communicate among all joint auditors the factors that are significant in directing

the engagement team's efforts;

(iv) Consider the results of preliminary engagement activities, or similar engagements performed earlier.

(v) Ascertain the nature, timing and extent of resources necessary to accomplish the engagement.

ICAI · Old P6 · Nov 2019 exam · question p. 7 · answer p. 7-8

1205 **RTP** **Sep 2026** Q17

Same question, different ICAI answer: #1206 RTP May 2026

"Using the Work of Another Auditor" is a critical area in the audit of entities having branches or components audited by auditors other than the principal auditor.

With reference to SA 600 – Using the Work of Another Auditor, explain:

1. The need for coordination and proper understanding between the principal auditor and the other auditor; and
2. The procedures to be performed by the principal auditor to evaluate and use the work of the other auditor, including circumstances where the principal auditor may need to visit the component or examine its records.

ICAI'S ANSWER

Using the Work of another Auditor: When the accounts of the branch are audited by a person other than the company's auditor (or principal auditor), there is need for a clear understanding of

the role of such other auditor and the company's auditor in relation to the audit of the accounts of the branch and the audit of the company as a whole; also, there is great necessity for a proper rapport between these two auditors for the purpose of an effective audit. In recognition of these needs, the Council of the Institute of Chartered Accountants of India has dealt with these issues in SA 600, "Using the Work of another Auditor". It makes clear that in certain situations, the statute governing the entity may confer a right on the principal auditor to visit a component and examine the books of account and other records of the said component, if he thinks it necessary to do so. Where another auditor has been appointed for the component, the principal auditor would normally be entitled to rely upon the work of such auditor unless there are special circumstances to make it essential for him to visit the component and/or to examine the books of account and other records of the said component. Further, it requires that the principal auditor should perform procedures to obtain sufficient appropriate audit evidence, that the work of the other auditor is adequate for the principal auditor's purposes, in the context of the specific assignment.

When using the work of another auditor, the principal auditor should ordinarily perform the following procedures:

(a) advise the other auditor of the use that is to be made of the other auditor's work and report and

make sufficient arrangements for co-ordination of their efforts at the planning stage of the audit. The principal auditor would inform the other auditor of matters such as are as requiring special consideration, procedures for the identification of inter-component transactions that may require disclosure and the time-table for completion of audit; and

(b) advise the other auditor of the significant accounting, auditing and reporting requirements and obtain representation as to compliance with them.

The principal auditor might discuss with the other auditor the audit procedures applied or review a written summary of the other auditor's procedures and findings which may be in the form of a completed questionnaire or check-list. The principal auditor may also wish to visit the other auditor. The nature, timing and extent of procedures will depend on the circumstances of the engagement and the principal auditor's knowledge of the professional competence of the other auditor. This knowledge may have been enhanced from the review of the previous audit work of the other auditor.

ICAI · P5 · RTP Sep 2026 · question p. 10 · answer p. 20-21

1206 RTP **May 2026** Q17

Same question, different ICAI answer: #1205 RTP Sep 2026

"Using the Work of Another Auditor" is a critical area in the audit of entities having branches or components audited by auditors other than the principal auditor.

With reference to SA 600 – Using the Work of Another Auditor, explain:

1. The need for coordination and proper understanding between the principal auditor and the other auditor; and
2. The procedures to be performed by the principal auditor to evaluate and use the work of the other auditor, including circumstances where the principal auditor may need to visit the component or examine its records.

ICAI'S ANSWER

Using the Work of another Auditor:

1. Need for Coordination and Proper Understanding between the Principal Auditor and the Other Auditor

When the accounts of the branch are audited by a person other than the company's auditor (principal auditor), there is need for a clear understanding of the role of such other auditor and the company's auditor in relation to the audit of the accounts of the branch and the audit of the company as a whole. There is also great necessity for a proper rapport between these two auditors for the purpose of an effective audit.

In recognition of these needs, SA 600 makes it clear that:

- The principal auditor should advise the other auditor of the use that is to be made of the other auditor's work and report and make sufficient arrangements for coordination of their efforts at the planning stage of the audit.
- The principal auditor would inform the other auditor of matters requiring special consideration, procedures for the identification of inter-component transactions that may require disclosure, and the time-table for completion of audit.
- The principal auditor should advise the other auditor of the significant accounting, auditing and reporting requirements and obtain representation as to compliance with them.

2. Procedures to be Performed by the Principal Auditor to Evaluate and Use the Work of the Other Auditor

SA 600 requires that the principal auditor should perform procedures to obtain sufficient appropriate audit evidence that the work of the other auditor is adequate for the principal auditor's purposes in the context of the specific assignment.

The principal auditor might:

- Discuss with the other auditor the audit procedures applied; or

- Review a written summary of the other auditor's procedures and findings, which may be in the form of a completed questionnaire or checklist.

The principal auditor may also wish to visit the other auditor. The nature, timing and extent of such procedures will depend on the circumstances of the engagement and the principal auditor's knowledge of the professional competence of the other auditor. This knowledge may have been enhanced from the review of the previous audit work of the other auditor.

Further, in certain situations, the statute governing the entity may confer a right on the principal auditor to visit a component and examine the books of account and other records of the said component, if he thinks it necessary to do so. Where another auditor has been appointed for the component, the principal auditor would normally be entitled to rely upon the work of such auditor unless there are special circumstances making it essential for him to visit the component and/or examine its books of account and other records.

ICAI · P5 · RTP May 2026 · question p. 10 · answer p. 19-21

1207 RTP **Old P6 Dec 2021** General MCQ 1 MCQ old scheme

To jointly audit books of accounts of WZ Limited for the financial year 2020-21 two different firms of Chartered Accountants namely MH and Associates and NR and Associates were appointed. MH and Associates and NR and Associates can together be called as:

A Principal Auditors of WZ Limited.

B Branch Auditors of WZ Limited.

C Individual Auditors of WZ Limited.

D Joint Auditors of WZ Limited.

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Dec 2021 · question p. 120-121 · answer p. 126

1208 RTP **Old P6 May 2020** Q21 old scheme

ABC Ltd is a company incorporated in India. It has branches within and outside India. Explain who can be appointed as an auditor of these branches within and outside India. Also explain to whom branch auditor is required to report.

ICAI'S ANSWER

Sub-section (8) of section 143 of the Companies Act, 2013, prescribes the duties and powers of the company's auditor with reference to the audit of the branch and the branch auditor. Where a company has a branch office, the accounts of that office shall be audited either by the auditor appointed for the company (herein referred to as the company's auditor) under this Act or by any other person qualified for appointment as an auditor of the company under this Act and appointed as such under section 139, or where the branch office is situated in a country outside India, the accounts of the branch office shall be audited either by the

company's auditor or by an accountant or by any other person duly qualified to act as an auditor of the accounts of the branch office in accordance with the laws of that country and the duties and powers of the company' s auditor with reference to the audit of the branch and the branch auditor, if any, shall be such as may be prescribed:

It may be noted that the branch auditor shall prepare a report on the accounts of the branch examined by him and send it to the auditor of the company who shall deal with it in his report in such manner as he considers necessary.

Further as per rule 12 of the Companies (Audit and Auditors) Rules, 2014, the branch auditor shall submit his report to the company's auditor and reporting of fraud by the auditor shall also extend to such branch auditor to the extent it relates to the concerned branch.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 24

1209 **RTP** **Old P6 May 2020** Q22 old scheme

Before the commencement of the audit, the joint auditors should discuss and develop a joint audit plan. In developing the joint audit plan, the joint auditors should identify division of audit areas and common audit areas. Explain stating the other relevant considerations in this regard.

ICAI'S ANSWER

Before the commencement of the audit, the joint auditors should discuss and develop a joint audit plan. In developing the joint audit plan, the joint auditors should:

(a) identify division of audit areas and common audit areas;

(b) ascertain the reporting objectives of the engagement;

(c) consider and communicate among all joint auditors the factors that are significant

(d) in directing the engagement team's efforts;

(e) consider the results of preliminary engagement activities, or similar engagements performed earlier.

(f) ascertain the nature, timing and extent of resources necessary to accomplish the engagement.

ICAI · Old P6 · RTP May 2020 · question p. 9 · answer p. 24

1210 **RTP** **Old P6 Nov 2019** Q21 old scheme

Also asked in Old P6 MTP May 2023 S-II Q4(a)

The practice of appointing Chartered Accountants as joint auditors is quite widespread in big companies and corporations. Explain stating the advantages of the joint audit.

ICAI'S ANSWER

Joint Audit: The practice of appointing Chartered Accountants as joint auditors is quite widespread in big companies and corporations. Joint audit basically implies pooling together the resources and expertise of more than one firm of auditors to render an expert job in a given time period which may be difficult to accomplish acting individually. It essentially involves sharing of the total work. This is by itself a great advantage.

In specific terms the **advantages** that flow may be the following:

(i) Sharing of expertise.

(ii) Advantage of mutual consultation.

(iii) Lower workload.

(iv) Better quality of performance.

(v) Improved service to the client.

(vi) Displacement of the auditor of the company taken over in a takeover often obviated.

(vii) In respect of multi-national companies, the work can be spread using the expertise of the local firms which are in a better position to deal with detailed work and the local laws and regulations.

(viii) Lower staff development costs.

(ix) Lower costs to carry out the work.

(x) A sense of healthy competition towards a better performance

1211 MTP **Sep 2025 S-I** Q3(c) 4 marks

RJ Limited has expanded its operations from a single Indian state to multiple countries worldwide. Due to this significant growth, the management has decided to appoint joint auditors for the statutory audit and has engaged three chartered accountant firms. In this context, for which audit responsibilities will the joint auditors be jointly and severally liable?

ICAI'S ANSWER

As per SA 299, "Joint Audit of Financial Statements", in respect of audit work divided among the joint auditors, each joint auditor shall be responsible only for the work allocated to such joint auditor including proper execution of the audit procedures. On the other hand, all the joint auditors shall be jointly and severally responsible for:

(i) the audit work which is not divided among the joint auditors and is carried out by all joint auditors;

(ii) decisions taken by all the joint auditors under audit planning in respect of common audit areas;

(iii) matters which are brought to the notice of the joint auditors by any one of them and there is an agreement among the joint auditors on such matters;

(iv) examining that the financial statements of the entity comply with the requirements of the relevant statutes;

(v) presentation and disclosure of the financial statements as required by the applicable financial reporting framework;

(vi) ensuring that the audit report complies with the requirements of the relevant statutes, applicable Standards on Auditing and other relevant pronouncements issued by ICAI.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 9 · answer p. 7

1212 MTP **Jan 2025 S-II** Q6(b) 5 marks

ASD Limited's business has grown from one state of India to various countries of the world. Since the business has increased manifold, the management decided to appoint joint auditors for conducting the statutory audit of the company. They appointed three CA firms for it. For which audit work the joint auditors will be jointly & severally responsible?

ICAI'S ANSWER

Joint Audit of Financial Statements: As per SA 299, "Joint Audit of Financial Statements", all the joint auditors shall be jointly and severally responsible for:

(i) the audit work which is not divided among the joint auditors and is carried out by all joint auditors;

(ii) decisions taken by all the joint auditors under audit planning in respect of common audit areas;

(iii) matters which are brought to the notice of the joint auditors by any one of them and there is an

agreement among the joint auditors on such matters;

(iv) examining that the financial statements of the entity comply with the requirements of the relevant statutes;

(v) presentation and disclosure of the financial statements as required by the applicable financial reporting framework;

(vi) ensuring that the audit report complies with the requirements of the relevant statutes, applicable Standards on Auditing and other relevant pronouncements issued by ICAI.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 9

1213 MTP **Sep 2024 S-I** Q2(b) 5 marks

PQR & Associates and MNO & Co., both firms of Chartered Accountants, have been appointed as joint auditors of Gama and Beta Limited. Before the commencement of the audit, the joint auditors should discuss and develop a joint audit plan. In developing the joint audit plan, the joint auditors should identify division of audit areas and common audit areas. Explain stating the other relevant considerations in this regard with reference to the Standards on Auditing.

ICAI'S ANSWER

In accordance with SA 299, "Joint Audit of financial statements", before the commencement of the audit, the joint auditors should discuss and develop a joint

audit plan. In developing the joint audit plan, PQR & Associates and MNO & Co., the joint auditors should:

(a) identify division of audit areas and common audit areas;

(b) ascertain the reporting objectives of the engagement;

(c) consider and communicate among all joint auditors the factors that are significant in directing the engagement team's efforts;

(d) consider the results of preliminary engagement activities, or similar engagements performed earlier

(e) ascertain the nature, timing and extent of resources necessary to accomplish the engagement.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 8-9 · answer p. 3-4

1214 MTP **May 2024 S-I**

Case Scenario 2 · MCQ 2.1 to MCQ 2.4

CASE SCENARIO 2

CDL Limited, a company dealing in FMCG goods, is having 50 branches in India. SKC & Associates (referred to as company's auditor) are appointed as statutory auditors of the company for year 2023-24. Further, company has also appointed Mr. D as branch auditor for 5 of its branches.

Since Mr. D is conducting audit of only 5 branches of company, he has not arrived at materiality level in respect of auditee branches. On the same lines, identification and assessment of risk of material

misstatement has not been performed. He is of the view that determination of materiality and identifying & assessing risks of material misstatement is done for financial statements of company as a whole. He has mainly performed substantive audit procedures in respect of financial statements of auditee branches like verification of PPE items, inventories, trade receivables, cash, bank balances and trade payables at auditee branches and maintained documentation of the same.

During the course of audit at two branches dealing in same kind of goods, Mr. D has performed analytical procedures pertaining to inventories. He has arrived at and compared inventory turnover ratio (Cost of goods sold/Average inventory) over a period of years of two branches. The results of analytical procedures are summarized in Table I below:

Table 1

Particulars	Branch	Year 2021-22	Year 2022-23	Year 2023-24
Inventory turnover ratio	I	15	14	12
Inventory turnover ratio	II	4	6	10

The company's auditor has also decided to use work of Mr. D with respect to financial information of 5 branches included in financial information of the company. During the course of audit, company's auditor has advised Mr. D by way of email certain significant accounting, auditing and reporting requirements and has asked him to provide representation as to compliance with them. Irritated and surprised, Mr. D is of the view that such an email is beyond the rights of the company's auditor.

Based on above, answer the following questions:

MCQ 2.1

As regards audit of a branch of CDL Limited as referred to in case scenario is concerned, which of following statements is most appropriate?

A. The accounts of a branch shall be audited either by the company's auditor or by any other person qualified for appointment as an auditor of the company and appointed as such under section 139 of the Companies Act, 2013. In case branch accounts are audited by a person other than company's auditor, branch audit report is sent by branch auditor to company's auditor.

B. The accounts of a branch shall only be audited by any other person qualified for appointment as an auditor of the company and appointed as such under section 139 of Companies Act, 2013 except company's auditor. In such a case, branch audit report is sent by branch auditor to members of company.

C The accounts of a branch shall only be audited by any other person qualified for appointment as an auditor of the company and appointed as such under section 139 of Companies Act, 2013 except company's auditor. In such a case, branch audit report is sent by branch auditor to company's auditor.

D The accounts of a branch shall be audited either by the company's auditor or by any other person qualified for appointment as an auditor of the company and appointed as such under section 139 of Companies Act, 2013. In case branch accounts are audited by a person other than company's auditor, branch audit report is sent by branch auditor to members of company.

MCQ 2.2

After reading methodology for carrying out branch audits by Mr. D, which of following statements is likely to be most appropriate?

A Separate determination of materiality and identifying & assessing risk of material misstatement is not required in respect of each of the branches. He is required to perform only substantive procedures as described in the case scenario in respect of auditee branches and maintain documentation of the same.

B Separate determination of materiality and identifying & assessing risk of material misstatement is required in respect of each of branches. However, documentation for these matters regarding branches is not required. He is required to perform substantive procedures as described in case scenario in respect of auditee branches and also maintain documentation of the same.

C Separate determination of materiality and identifying & assessing risk of material misstatement is required along with documentation thereof in respect of each of branches. He is required to perform substantive procedures as described in case scenario in respect of auditee branches and also maintain documentation of the same.

D Identifying & assessing risk of material misstatement is required along with documentation in respect of each of branches. However, materiality is required to be arrived at for financial statements of company as a whole. He is required to perform substantive procedures as described in case scenario in respect of auditee branches and also maintain documentation of the same.

MCQ 2.3

Choose the correct statement regarding results of analytical procedures performed by Mr. D summarized in Table 1 in case scenario.

A During year 2023-24, inventories of Branch I have moved faster in comparison to Branch II.

B During year 2023-24, inventories of Branch II have moved faster in comparison to Branch I.

C Comparison of inventory turnover ratio of Branch II over a period of years may indicate that branch's sales have likely been weak with higher inventory holdings in year 2023-24 as compared to previous years.

D Comparison of inventory turnover ratio of Branch I over a period of years may indicate that branch's sales have likely been strong with lower inventory holdings in year 2023-24 as compared to previous years.

MCQ 2.4

Considering contents of email sent by company's auditor to Mr. D, which of following statements is likely to be in accordance with Standards on Auditing?

A Company's auditor can advise Mr. D regarding certain significant accounting, auditing and reporting requirements and ask him to provide representation as to compliance with them.

B Company's auditor can advise Mr. D certain significant accounting, auditing and reporting requirements. However, asking him to provide representation as to compliance with them is breach of Mr. D's independence.

C Company's auditor cannot advise Mr. D certain significant accounting, auditing and reporting requirements. It is breach of Mr. D's independence.

D Company's auditor can advise Mr. D regarding certain significant accounting, auditing and reporting requirements only when Mr. D makes such a request.

ICAI'S ANSWERS

MCQ 2.1

(A) The accounts of a branch shall be audited either by the company's auditor or by any other person qualified for appointment as an auditor of the company and appointed as such under section 139 of Companies Act, 2013. In case branch accounts are audited by a person other than company's auditor, branch audit report is sent by branch auditor to company's auditor.

MCQ 2.2

(C) Separate determination of materiality and identifying & assessing risk of material misstatement is required along with documentation thereof in respect of each of branches. He is required to perform substantive procedures as described in case study in respect of auditee branches and also maintain documentation of same.

MCQ 2.3

(A) During year 2023-24, inventories of Branch I have moved faster in comparison to Branch II.

MCQ 2.4

(A) Company's auditor can advise Mr. D regarding certain significant accounting, auditing and reporting requirements and ask him to provide representation as to compliance with them.

ICAI · P5 · MTP May 2024 · Series I · question p. 3-4 · answer p. 1, 2

1215 MTP **Old P6 Jul 2021 S-I** General MCQ 6 1 mark MCQ old scheme

Which of the following is correct, in case of joint audit, where there is disagreement with regard to the opinion or any matters to be covered by the audit report.

A The auditors shall express their opinion in separate audit report.

B The audit report(s) issued by the joint auditor(s) shall make a reference to each other's audit report(s).

C Both (a) and (b) are correct

D The auditor who is having a separate opinion is bound by the opinion of the majority of the auditors and needs to issue a common audit report.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 5 · answer p. 1

1216 MTP **Old P6 Nov 2020 S-I** Q6(c) 4 marks old scheme

When the accounts of the branch are audited by a person other than the company's auditor, there is need

for a clear understanding of the role of such auditor and the company's auditor in relation to the audit of the accounts of the branch and the audit of the company as a whole. Explain.

ICAI'S ANSWER

Using the Work of another Auditor: When the accounts of the branch are audited by a person other than the company's auditor, there is need for a clear understanding of the role of such auditor and the company's auditor in relation to the audit of the accounts of the branch and the audit of the company as a whole; also, there is great necessity for a proper rapport between these two auditors for the purpose of an effective audit. In recognition of these needs, the Council of the Institute of Chartered Accountants of India has dealt with these issues in **SA 600, "Using the Work of another Auditor"**. It makes clear that in certain situations, the statute governing the entity may confer a right on the principal auditor to visit a component and examine the books of account and other records of the said component, if he thinks it necessary to do so. Where another auditor has been appointed for the component, the principal auditor would normally be entitled to rely upon the work of such auditor unless there are special circumstances to make it essential for him to visit the component and/or to examine the books of account and other records of the said component. Further, it requires that the principal auditor should perform procedures to obtain sufficient appropriate audit

evidence, that the work of the other auditor is adequate for the principal auditor's purposes, in the context of the specific assignment. When using the work of another auditor, the principal auditor should ordinarily perform the following procedures:

(a) advise the other auditor of the use that is to be made of the other auditor's work and report and make sufficient arrangements for co-ordination of their efforts at the planning stage of the audit. The principal auditor would inform the other auditor of matters such as are as requiring special consideration, procedures for the identification of inter-component transactions that may require disclosure and the time-table for completion of audit; and

(b) advise the other auditor of the significant accounting, auditing and reporting requirements and obtain representation as to compliance with them.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 8

1217 MTP **Old P6 Nov 2019 S-I** MCQ 15 1 mark MCQ old scheme

Which of the following is not an advantage of Joint Äudit :

A Sharing of expertise.

B General superiority complexes of some auditors.

C Lower workload.

D Displacement of the auditor of the company taken over in a take - over often obviated.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 3 · answer p. 1

1218 MTP **Old P6 Nov 2019 S-I** MCQ 19 1 mark MCQ

old scheme

Which of the following is correct :

A Under section 128 of the Act, books of account of a company must be kept at the registered office.

B Under section 128 of the Act, books of account of a company must be kept at the corporate office.

C Under section 128 of the Act, books of account of a company must be kept at the Head office of the company.

D Under section 128 of the Act, books of account of a company must be kept at the usual place of business.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 4 · answer p. 1

CHAPTER 9

Special Features of Audit of Different Types of Entities

9.1 Government audit and the C&AG

73 questions · asked in 36 ICAI documents · 8 exam papers

1219 EXAM Sep 2026 MCQ 15 2 marks MCQ

While conducting the Expenditure audit of a Government entity, the audit team carried out the following procedures :

(i) Examined whether expenditure incurred by the entity was in accordance with the applicable laws, regulations and administrative instructions;

(ii) Verified whether expenditure had been incurred for the purpose for which the grant and appropriation had been provided; and

(iii) Evaluated whether the schemes were being implemented economically and were achieving the intended results.

With reference to the above three procedures performed by the audit team, the basic standards applicable to (i),(ii) and (iii) respectively are;

A Audit against Rules and Orders, Audit against Provision of Funds, Performance Audit

B Audit against Rules and Orders, Audit of Sanction, Performance Audit

C Audit of Sanction, Audit against Rules and Orders, Performance Audit

D Audit against Rules and Orders, Audit of Sanction, Propriety Audit

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P5 · Sep 2026 exam · question p. 13

1220 **EXAM** **Jan 2026** Q6(c) **4 marks**

In Audit against Rules & Orders of government expenditure audit, the executive government frames various rules, regulations and orders that are to be observed by sub-ordinate authorities. It is the function of audit to see that these rules, regulations and orders are applied properly by the sub-ordinate authorities.

State the important points that an auditor must ensure while carrying out the examination of various rules, regulation and orders issued by the executive authorities.

ICAI'S ANSWER

While carrying out the examination of the various rules, regulations and orders issued by the executive authorities, the auditor must ensure that:

(i) they are not inconsistent with any provisions of the Constitution, or any laws made thereunder;

(ii) they are consistent with the essential requirements of audit and accounts as determined

by the C&AG;

(iii) they do not come in conflict with the orders of, or rules made by, any higher authority; and

(iv) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

ICAI · P5 · Jan 2026 exam · question p. 28 · answer p. 30

1221 **EXAM** **Sep 2025** **Q6(b)** **5 marks**

A government department conducted an inventory audit and discovered that several items in inventory were found to be either damaged or obsolete, but they had not been removed from the records. There were no periodic physical verification reports of inventory, and the valuation of the materials in stock was outdated.

Explain, how the audit of stores and inventories, as part of the expenditure audit, under the duties and responsibilities entrusted to the Comptroller and Auditor General (C&AG), can help address these issues.

ICAI'S ANSWER

Audit of Stores and Inventories: The issues faced by government department given in the question would be addressed in C&AG audit. The audit of Stores and Inventories is conducted:

(i) to ascertain whether the Regulations governing purchase, receipt and issue, custody, sale and inventory taking of stores are well devised and properly carried out.

(ii) to bring to the notice of the government any deficiencies in quantities of stores held or any defects in the system of control.

(iii) to verify that the purchases are properly sanctioned, made economical and in accordance with the Rules for purchase laid down by the competent authority.

(iv) to ensure that the prices paid are reasonable and are in agreement with those shown in the contract for the supply of stores, and that the certificates of quality and quantity are furnished by the inspecting and receiving units. Cases of uneconomical purchase of stores and losses attributable to defective or inferior quality of stores are specifically brought by the audit.

(v) to check the accounts of receipts, issues and balances regarding accuracy, correctness and reasonableness of balances in inventories with particular reference to the specified norms for level of consumption of inventory holding. Any excess or idle inventory is specifically mentioned in the report and periodical verification of inventory is also conducted to ensure their existence. When priced accounts are maintained, the auditor should see that the prices charged are reasonable and have been reviewed from time to time. The valuation of the inventories is seen carefully so that the value accounts tally with the physical accounts and that adjustment of profits or losses due to revaluation, inventory taking or other causes is carried out.

1222 **EXAM** **May 2025**

Integrated Case Scenario - I · MCQ 1 to MCQ 3 **6 marks**

INTEGRATED CASE SCENARIO - I

M/s Rama & Associates, Chartered Accountants, have been appointed as the statutory auditors of a Government company H Ltd. by the Comptroller & Auditor General of India for F.Y. 2024-25. H Ltd. is engaged in the manufacturing of metro train coaches.

CA Rama, the engagement partner, had to conduct audit of expenditure as well of receipts.

During the course of the audit, CA Rama also found that the company has constructed its new stockyard for parking its metro coaches and maintenance of its metro coaches. However, the newly constructed stockyard was not being used by the company for the designated purpose and the company continued using the rented stockyard. CA Rama considered such expenditure as infructuous and avoidable expenditure.

The engagement partner also discussed with his team regarding the areas to be covered while conducting the audit of receipts. The reporting responsibilities of the engagement team were also discussed by the engagement partner with his team.

Based on the above facts, answer the following Q. Nos 1 to 3:

MCQ 1 2 marks

_____ is conducted to ensure that the various programmes, schemes, and projects where large financial expenditure have been incurred are run economically and are yielding results expected of them.

A Propriety Audit

B Audit against Rules and Orders

C Performance Audit

D Audit against Provision of funds

MCQ 2 2 marks

While conducting an audit against provision of funds, the statutory auditors, M/s Rama & Associates must check

A that each item of expenditure is covered by a sanction either general or special of a competent authority.

B that the expenditure incurred has been on the purpose for which the grant and appropriation has been provided and the amount of such expenditure does not exceed the appropriation made.

C that the expenditure conforms to the relevant provision of the constitution and of the laws and rules made thereunder.

D that the expenditure is in accordance with the financial rules, regulations and orders issued by the competent authority.

MCQ 3 2 marks

Which type of the expenditure audit covers the scrutiny of the expenditure incurred on the construction of stockyard by the company which is considered as infructuous and avoidable by CA Rama?

A Propriety Audit

B Audit against provision of funds

C Audit of sanctions

D Performance Audit

ICAI'S ANSWERS

MCQ 1

Answer key: **(C)**

MCQ 2

Answer key: **(B)**

MCQ 3

Answer key: **(A)**

ICAI · P5 · May 2025 exam · question p. 1 · answer p. 8

1223 **EXAM** **Old P6 May 2023** Q6(b) 4 marks old scheme

SK & Co, a Chartered Accountant firm has been appointed an auditor of Metro Rail project in City A. Since the project is on large scale, it involves a high volume of resources (financial, human and physical resources). The appointing authority C&AG requires an objective examination of the financial and operational performance of the Metro Rail project. Explain the nature and scope of audit that SK & Co will undertake.

ICAI'S ANSWER

Performance audit - The scope of the audit has been extended to cover efficiency, economy and effectiveness audit or performance audit, or **full scope audit.**

Efficiency audit looks into whether the various schemes/projects are executed and their operations conducted economically and whether they are yielding the results expected of them, *i.e.,* the relationship between goods and services produced and resources used to produce them; and examination aimed to find out the extent to which operations are carried out in an economical and efficient manner.

Economy audit looks into whether the government has acquired the financial, human and physical resources in an economical manner, and whether the sanctioning and spending authorities have observed economy.

Effectiveness audit is an appraisal of the performance of programmes, schemes, projects with reference to the overall targeted objectives as well as efficiency of the means adopted for the attainment of the objectives.

Efficiency- cum-performance audit, wherever used, is an objective examination of the financial and operational performance of an organisation, programme, authority or function and is oriented towards identifying opportunities for greater economy, and effectiveness.

1224 EXAM **Old P6 Dec 2021** Q6(c) 3 marks old scheme

In case of Government entities, audit of accounts of stores and inventories has been developed as a part of expenditure audit. Discuss about the duties and responsibilities entrusted to C&AG.

ICAI'S ANSWER

Audit of Accounts of Stores and Inventories in Government Companies:

Audit of the accounts of stores and inventories has been developed as a part of expenditure audit with reference to the duties and responsibilities entrusted to C&AG. Audit is conducted:-

(i) to ascertain whether the Regulations governing purchase, receipt and issue, custody, sale and inventory taking of stores are well devised and properly carried out.

(ii) to bring to the notice of the government any deficiencies in quantities of stores held or any defects in the system of control.

(iii) to verify that the purchases are properly sanctioned, made economical and in accordance with the Rules for purchase laid down by the competent authority.

(iv) to ensure that the prices paid are reasonable and are in agreement with those shown in the contract for the supply of stores, and that the certificates of quality and quantity are furnished by the inspecting

and receiving units. Cases of uneconomical purchase of stores and losses attributable to defective or inferior quality of stores are specifically brought by the audit.

(v) to check the accounts of receipts, issues and balances regarding accuracy, correctness and reasonableness of balances in inventories with particular reference to the specified norms for level of consumption of inventory holding. Any excess or idle inventory is specifically mentioned in the report and periodical verification of inventory is also conducted to ensure their existence. When priced accounts are maintained, the auditor should see that the prices charged are reasonable and have been reviewed from time to time. The valuation of the inventories is seen carefully so that the value accounts tally with the physical accounts and that adjustment of profits or losses due to revaluation, inventory taking or other causes is carried out.

ICAI · Old P6 · Dec 2021 exam · question p. 13 · answer p. 15

1225 **EXAM** **Old P6 Jul 2021** Q6(a) 4 marks old scheme

Define Government Audit and explain its objectives.

ICAI'S ANSWER

Government auditing is

- the objective, systematic, professional and independent examination
- of financial, administrative and other operations
- of a public entity

- made subsequently to their execution
- for the purpose of evaluating and verifying them,
- presenting a report containing explanatory comments on audit findings together with conclusions and recommendations for future actions
- by the responsible officials
- and in the case of examination of financial statements, expressing the appropriate professional opinion regarding the fairness of the presentation.

OBJECTIVES of Govt Audit are:

(a) **Accounting for Public Funds:** Government audit serves as a mechanism or process for public accounting of government funds.

(b) **Appraisal of Government policies:** It also provides public accounting of the operational, management, programme and policy aspects of public administration as well as accountability of the officials administering them.

(c) **Base for Corrective actions:** Audit observations based on factual data collection also serve to highlight the lapses of the lower hierarchy, thus helping supervisory level officers to take corrective measures.

(d) **Administrative Accountability:** The main objective of audit is a combination of ensuring

accountability of administration to legislature and functioning as an aid to administration.

ICAI · Old P6 · Jul 2021 exam · question p. 45 · answer p. 46

1226 EXAM **Old P6 Nov 2020** Q6(b)(ii) 4 marks old scheme

The audit of receipts of government is not as old as audit of expenditure but with the rapid growth of public enterprises audit of receipts tax or non-tax has come to stay. Discuss audit of receipts with respect to Government Audit.

ICAI'S ANSWER

Government auditing in India as elsewhere was primarily expenditure- oriented. Gradually, audit of receipts-tax and non-tax was taken up.

The audit of receipts is neither all pervasive nor as old as audit of expenditure but has come to stay in some countries. Such an audit provides for checking;

(i) whether all revenues or other debts due to government have been correctly assessed, realised and credited to government account by the designated authorities;

(ii) whether adequate regulations and procedures have been framed by the department/agency concerned to secure an effective check on assessment, collection and proper allocation of cases;

(iii) whether such regulations and procedures are actually being carried out;

(iv) whether adequate checks are imposed to ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud or wilful omission or negligence to levy or collect taxes or to issue refunds; and

(v) review of systems and procedures to see that the internal procedures adequately secure correct and regular accounting of demands collection and refunds and pursuant of dues up to final settlement and to suggest improvement. The basic principle of audit of receipts is that it is more important to look at the general than on the particular, though individual cases of assessment, demand, collection, refund, etc. Are important within the area of test check. A review of the judicial decisions taken by tax authorities is done to judge the effectiveness of the assessment procedure.

(vi) The extent and quantum of audit required to be done under each category of audit are determined by the C&AG. These are neither negotiable nor questioned. The prescribed extent and quantum of audit are structured in accordance with the design of test check, random sampling, general review ,in-depth study of specified areas, etc .as may be warranted by the nature of transactions, its importance in the scheme of activities of a department and the totality of its transactions, the

frequency of check and total plan of audit to be executed during a period.

(vii) Institutional mechanism provides for primary check by the auditor, test check by the supervisor and control and direction by the group leader. Planning, executing and reporting of work is directed and monitored at middle and top levels of the audit hierarchy. There are built –in arrangements within the C&AG to ensure that the work assigned to each employee is carried out as prescribed.

(viii) The audit is conducted both centrally where accounts and original vouchers are kept and locally where the drawing and disbursing functions are performed depending on the organisational and institutional arrangements obtaining.

ICAI · Old P6 · Nov 2020 exam · question p. 11 · answer p. 12-13

1227 **EXAM** **Old P6 Nov 2020** Q6(d) **3 marks** **old scheme**

What is the function of audit while examining various rules, regulations and orders with regard to Audit against Rules & Orders by C&AG?

ICAI'S ANSWER

Audit against Rules & Orders – Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made there under. It also seeks to satisfy that the expenditure is

in accordance with the financial rules, regulations and orders issued by a competent authority.

It is the function of the executive government to frame rules, regulations and orders, which are to be observed by its subordinate authorities. The job of audit is to see that these rules, regulations and orders are applied properly by the subordinate authorities. It is, however, not the function of audit to prescribe what such rules, regulations and orders shall be. But, it is the function of audit to carry out examination of the various rules, regulations and orders issued by the executive authorities to see that:

(a) they are not inconsistent with any provisions of the Constitution or any laws made there under;

(b) they are consistent with the essential requirements of audit and accounts as determined by the C&AG;

(c) they do not come in conflict with the orders of, or rules made by, any higher authority; and

(d) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

ICAI · Old P6 · Nov 2020 exam · question p. 11 · answer p. 13-14

1228 **RTP** **May 2025** **Q17**

A government department has been allocated a budget for infrastructure development. During the audit, the

auditor observes the following:

(i) Some payments were processed without proper approval from the competent authority.

(ii) A large-scale project was implemented, but no assessment has been made regarding the expected benefits were achieved or not.

(iii) Funds were utilised from an account for which no budgetary provision was made.

(iv) Certain expenditures were made without following the prescribed financial regulations.

(v) There were instances of unnecessary spending that did not align with financial propriety.

Identify the different types of audits applicable to each of these observations.

ICAI'S ANSWER

The audit of government expenditure is one of the major components of government audit. The basic standards set for audit of expenditure are to ensure that there is provision of funds authorised by competent authority fixing the limits within which expenditure can be incurred.

(i) When payments are processed without proper approval from the competent authority, an Audit of Sanctions is required. This ensures that there is sanction, either special or general, accorded by competent authority authorising the expenditure.

(ii) In cases where a large-scale project has been implemented without any assessment of whether

the expected benefits were achieved, a Performance Audit is necessary. This type of audit ensures that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them.

(iii) When funds were utilised from an account for which no budgetary provision was made, an Audit Against Provision of Funds is conducted. This ensures that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority.

(iv) If expenditures are made without adhering to the prescribed financial regulations, an Audit Against Rules and Orders is applicable. This audit ensures that the expenditure incurred conforms to the relevant provisions of the statutory enactment and in accordance with the Financial Rules and Regulations framed by the competent authority.

(v) Instances of unnecessary spending that do not align with financial propriety fall under the scope of a Propriety Audit. It ensures that the expenditure is incurred with due regard to broad and general principles of financial propriety.

ICAI · P5 · RTP May 2025 · question p. 7 · answer p. 14-15

1229 RTP **Sep 2024** Q8 MCQ

Sagar Finance Corporation Limited is a government company. The audit of the company is conducted by

statutory auditors appointed by Comptroller and Auditor General of India (C&AG). Who is empowered to conduct “supplementary audit” of Sagar Finance Corporation Ltd.?

- **A** Central Government
- **B** C&AG
- **C** Another independent auditor appointed by C&AG
- **D** Another independent auditor appointed by Ministry of Corporate Affairs

ICAI’S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP Sep 2024 · question p. 5 · answer p. 8

1230 **RTP** **Old P6 Nov 2023** Case scenario · Q21(i) to Q21(ii)

old scheme

CASE SCENARIO

Provisions regarding appointment of Auditors -

Q21(i)

First auditor of a Government company and a Non-Government company.

Q21(ii)

Subsequent auditor of a Government company and a Non- Government company.

ICAI’S ANSWERS

Q21(i)

Appointment of First Auditor of a Government Company: Section 139(7) of the Companies Act, 2013

provides that in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by the Comptroller and Auditor-General of India within 60 days from the date of registration of the company.

In case the Comptroller and Auditor-General of India does not appoint such auditor within the above said period, the Board of Directors of the company shall appoint such auditor within the next 30 days. Further, in the case of failure of the Board to appoint such auditor within next 30 days, it shall inform the members of the company who shall appoint such auditor within 60 days at an extraordinary general meeting. Auditors shall hold office till the conclusion of the first annual general meeting.

Appointment of First Auditor of a Non-Government Company: As per Section 139(6) of the Companies Act, 2013, the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within 30 days from the date of registration of the company.

In the case of failure of the Board to appoint the auditor, it shall inform the members of the company.

The members of the company shall within 90 days at an extraordinary general meeting appoint the

auditor. Appointed auditor shall hold office till the conclusion of the first annual general meeting.

PassBook's note: The non-Government company's first auditor (section 139(6)) belonged to old Paper 6's Company Audit chapter and is not in the new-scheme syllabus. ICAI's answer prints "Companies Act, 2013" with two spaces in its first sentence.

Q21(ii)

Appointment of Subsequent Auditor of a Government Company: As per Section 139(5) of the Companies Act, 2013, in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor-General of India shall, in respect of a financial year, appoint an auditor duly qualified to be appointed as an auditor of companies under this Act, within a period of 180 days from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting.

Appointment of Subsequent Auditor of a Non-Government Company: As per section 139(1) of the Companies Act, 2013, every company shall, at the first annual general meeting appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting and thereafter till the conclusion of every sixth meeting.

PassBook's note: The non-Government company's auditor appointed at the AGM (section 139(1)) belonged to old Paper 6's Company Audit chapter and is not in the new-scheme syllabus. Kept as printed: "a Non- Government company" (with a space, in the question).

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 28, 29

1231 **RTP** **Old P6 Nov 2023** Q28(a) old scheme

"Public moneys should not be utilised for the benefit of a particular person or section of the community". List out the exceptions to this rule while conducting audit against propriety.

ICAI'S ANSWER

Exceptions to the rule – Audit Against Propriety: Public moneys should not be utilised for the benefit of a particular person or section of the community unless:

(i) the amount of expenditure involved is insignificant; or

(ii) a claim for the amount could be enforced in a Court of law; or

(iii) the expenditure is in pursuance of a recognised policy or custom; and

(iv) the amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

ICAI · Old P6 · RTP Nov 2023 · question p. 14 · answer p. 32

1232 RTP **Old P6 May 2023** General MCQ 2 MCQ

old scheme

_____aims at ascertaining that the expenditure incurred has been on the purpose for which the grant and appropriation had been provided and that the amount of such expenditure does not exceed the appropriation made.

A Audit against provision of funds

B Propriety audit

C Audit of sanctions

D Audit against rules and orders

ICAI'S ANSWER

(A) Audit against provision of funds

ICAI · Old P6 · RTP May 2023 · question p. 6-7 · answer p. 12

1233 RTP **Old P6 May 2023** Q28(a) old scheme

Also asked in MTP May 2024 S-I Q6(b)

The audit of Government expenditure is one of the major components of Government audit. Briefly explain the basic standards set in relation to audit of Government expenditure.

ICAI'S ANSWER

Expenditure Audit: The audit of government expenditure is one of the major components of government audit. The basic standards set for audit of expenditure are to ensure that there is provision of funds authorized by competent authority fixing

the limits within which expenditure can be incurred. These standards are—

(i) that the expenditure incurred conforms to the relevant provisions of the statutory enactment and in accordance with the Financial Rules and Regulations framed by the competent authority. Such an audit is called as the audit against 'rules and orders'.

(ii) that there is sanction, either special or general, accorded by competent authority authorising the expenditure. Such an audit is called as the audit of sanctions.

(iii) that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority. Such an audit is called as audit against provision of funds.

(iv) that the expenditure is incurred with due regard to broad and general principles of financial propriety. Such an audit is also called as propriety audit.

(v) that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them. Such an audit is termed as the performance audit.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 28-29

1234 RTP Old P6 Jul 2021

Case Scenario - 1 · MCQ 1.1 to MCQ 1.5 old scheme

CASE SCENARIO - 1

Suresh Rana & Associates have been appointed as the statutory auditors of HAIL Ltd. by the Comptroller & Auditor General for the FY 2019-20. HAIL Ltd. is a Government company engaged in the manufacture of metro train coaches. During the course of audit, CA Suresh extended his scope of audit to cover efficiency, effectiveness and economy audit. CA Suresh Rana also asked his audit team to conduct expenditure audit as part of the audit engagement of HAIL Ltd.

During the course of audit, CA Suresh also found that the company has constructed its new stockyard for parking its metro coaches and maintenance of its metro coaches. However, the stockyard was not being used by the company for the designated purpose and the company continued using the rented stockyard. Suresh considered such expenditure as infructuous and avoidable expenditure.

The engagement partner also discussed with his team regarding the areas to be covered while conducting the audit of receipts. The reporting responsibilities of the engagement team were also discussed by the engagement partner with his team.

Based on the above facts, answer the following:-

MCQ 1.1

Statement 1: Government audit provides public accounting of operational, management programme and policy aspects of public administration as well as accountability of officials administering them.

Statement 2: Government audit is equipped and intended to function as an investigating agency, to pursue every irregularity or misdemeanour to its logical end.

A Only statement 1 is correct

B Only statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

MCQ 1.2

..... is conducted to ensure that the various programmes, schemes, and projects where large financial expenditure have been incurred are run economically and are yielding results expected of them:-

A Propriety audit

B Audit against Rules and orders

C Performance Audit

D Audit against Provision of funds

MCQ 1.3

While conducting audit against provision of funds, the statutory auditors, M/s Suresh Rana & Associates must check:-

A That each item of expenditure is covered by a sanction either general or special of a competent authority.

B That the expenditure incurred has been on the purpose for which the grant and appropriation has been provided and the amount of expenditure does not exceed the appropriation made.

C That the expenditure conforms to the relevant provision of the constitution.

D That the expenditure is in accordance with the financial rules, regulations and orders issued by the competent authority.

MCQ 1.4

Which part of expenditure audit covers the scrutiny of the expenditure incurred on the construction of stockyard by the company which is considered as infructuous and avoidable by CA Suresh Rana?

A Propriety Audit

B Audit against provision of funds

C Audit of sanctions

D Performance Audit

MCQ 1.5

While conducting the audit of receipts of HAIL Ltd., which of the following area is to be covered as part of Audit of Receipts?

1. Whether all revenues or other debts due to government have been correctly assessed, realised

and credited to government account by the designated authorities of HAIL Ltd.

2. Whether adequate checks are imposed to ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud or wilful omission or negligence to levy or collect taxes or to issue refunds.
3. Whether the expenditure incurred has been on the purpose for which the grant and appropriation had been provided and that the amount of such expenditure does not exceed the appropriation made.
4. Whether the various schemes/projects are executed and their operations conducted economically and whether they are yielding the results expected of them.

A Only statement 1 is correct

B Statements 1 & 2 are correct

C Statements 1,2,3,4 are correct

D Statements 1,2,3 are correct

ICAI'S ANSWERS

MCQ 1.1

(A)

MCQ 1.2

(C)

MCQ 1.3

(B)

MCQ 1.4

(A)

MCQ 1.5

(B)

ICAI · Old P6 · RTP Jul 2021 · question p. 115 · answer p. 125

1235 RTP **Old P6 Jul 2021** Case scenario · Q23(i) to Q23(ii)

old scheme

CASE SCENARIO

Discuss the Provisions regarding appointment of Auditors -

Q23(i)

First auditor of a Government company and a Non-Government company.

Q23(ii)

Subsequent auditor of a Government company and a Non- Government company.

ICAI'S ANSWERS

Q23(i)

Appointment of First Auditor of a Government Company: Section 139(7) of the Companies Act, 2013 provides that in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by

the Comptroller and Auditor-General of India within 60 days from the date of registration of the company.

In case the Comptroller and Auditor-General of India does not appoint such auditor within the above said period, the Board of Directors of the company shall appoint such auditor within the next 30 days. Further, in the case of failure of the Board to appoint such auditor within next 30 days, it shall inform the members of the company who shall appoint such auditor within 60 days at an extraordinary general meeting. Auditors shall hold office till the conclusion of the first annual general meeting.

Appointment of First Auditor of a Non-Government Company: As per Section 139(6) of the Companies Act, 2013, the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within 30 days from the date of registration of the company.

In the case of failure of the Board to appoint the auditor, it shall inform the members of the company.

The members of the company shall within 90 days at an extraordinary general meeting appoint the auditor. Appointed auditor shall hold office till the conclusion of the first annual general meeting.

PassBook's note: The other half, the first auditor of a non-Government company (section 139(6)), belonged to old Paper 6's Company Audit chapter and is not in the new-scheme syllabus, as noted for the same question elsewhere in the bank.

Q23(ii)

Appointment of Subsequent Auditor of a Government Company: As per Section 139(5) of the Companies Act, 2013, in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor-General of India shall, in respect of a financial year, appoint an auditor duly qualified to be appointed as an auditor of companies under this Act, within a period of 180 days from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting.

Appointment of Subsequent Auditor of a Non-Government Company: As per section 139(1) of the Companies Act, 2013, every company shall, at the first annual general meeting appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting and thereafter till the conclusion of every sixth meeting.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 140-141, 141

1236 **RTP** **Old P6 Jul 2021** Q28(a) old scheme

Also asked in Old P6 MTP May 2022 S-II Q6(c)

Government audit has not only adopted the basic essentials of auditing as known and practised in the

profession to suit the requirements of governmental transactions but has also added new concepts, techniques and procedures to the audit profession. Explain stating clearly the definition of Government auditing as discussed in U.N. Handbook on Govt Auditing and Developing Countries and also state Objectives of Govt audit.

ICAI'S ANSWER

Government audit has not only adopted the basic essentials of auditing as known and practised in the profession to suit the requirements of governmental transactions but has also added new concepts, techniques and procedures to the audit profession.

The U.N. Handbook on Government Auditing and Developing Countries defines government auditing in a comprehensive manner which is as follows:

Government auditing is

- the objective, systematic, professional and independent examination
- of financial, administrative and other operations
- of a public entity
- made subsequently to their execution
- for the purpose of evaluating and verifying them,
- presenting a report containing explanatory comments on audit findings together with conclusions and recommendations for future actions
- by the responsible officials

- and in the case of examination of financial statements, expressing the appropriate professional opinion regarding the fairness of the presentation.

OBJECTIVES :-

(a) Accounting for Public Funds:-Government audit serves as a mechanism or process for public accounting of government funds.

(b) Appraisal of Government policies:-It also provides public accounting of the operational, management, programme and policy aspects of public administration as well as accountability of the officials administering them.

(c) Base for Corrective actions:-Audit observations based on factual data collection also serve to highlight the lapses of the lower hierarchy, thus helping supervisory level officers to take corrective measures.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 143

1237 **RTP** **Old P6 Jul 2021** Q28(b) old scheme

Government audit is neither equipped nor intended to function as an investigating agency, to pursue every irregularity or misdemeanour to its logical end. Explain

ICAI'S ANSWER

Government audit is neither equipped nor intended to function as an investigating agency, to pursue every irregularity or misdemeanour to its logical

end. The main objective of audit is a combination of ensuring accountability of administration to legislature and functioning as an aid to administration. In India, the function of Government Audit is discharged by the independent statutory authority of the **Comptroller and Auditor General** through the agency of the **Indian Audit and Accounts Department**. Audit is a necessary function to ensure accountability of the executive to Parliament, and within the executives of the spending agencies to the sanctioning or controlling authorities. The purpose or objectives of audit need to be tested at the touchstone of public accountability. The Comptroller and Auditor General (C&AG), in the discharge of his functions, watches that the various authorities act in regard to financial matters in accordance with the Constitution and the laws made by Parliament, and conform to the rules or orders made thereunder.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 144

1238 **RTP** **Old P6 Nov 2020** Q28(a) old scheme

Also asked in Old P6 MTP May 2022 S-II Q6(b)

Same question, different ICAI answer: #1247 MTP May 2025 S-I

Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. The job of audit is to see that these rules, regulations and orders are applied properly by the subordinate authorities. It is, however, not the function

of audit to prescribe what such rules, regulations and orders shall be. Analyse and Explain

ICAI'S ANSWER

Audit against Rules & Orders - Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. It also seeks to satisfy that the expenditure is in accordance with the financial rules, regulations and orders issued by a competent authority. These rules, regulations and orders against which regularity audit is conducted mainly fall under the following categories:

(i) Rules and orders regulating the powers to incur and sanction expenditure from the Consolidated Fund of India or of a State (and the Contingency Fund of India or of a State);

(ii) Rules and orders dealing with the mode of presentation of claims against government, withdrawing moneys from the Consolidated Fund, Contingency Fund and Public Accounts of the Government of the India and of the States, and in general the financial rules prescribing the detailed procedure to be followed by government servants in dealing with government transactions; and

(iii) Rules and orders regulating the conditions of service, pay and allowances, and pensions of government servants.

It is the function of the executive government to frame rules, regulations and orders, which are to be observed by its subordinate authorities. The job of audit is to see that these rules, regulations and orders are applied properly by the subordinate authorities. It is, however, not the function of audit to prescribe what such rules, regulations and orders shall be. But, it is the function of audit to carry out examination of the various rules, regulations and orders issued by the executive authorities to see that:

(a) they are not inconsistent with any provisions of the Constitution or any laws made thereunder;

(b) they are consistent with the essential requirements of audit and accounts as determined by the C&AG;

(c) they do not come in conflict with the orders of, or rules made by, any higher authority; and

(d) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

Audit of expenditure against regularity is of a quasi-judicial type of work performed by the audit authorities. It involves interpretation of the Constitution, statutes, rules, regulations and orders. The final power of interpretation of these, however, does not vest with the C&AG.

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 32-33

1239 RTP **Old P6 Nov 2020** Q28(b) old scheme

The auditor of a Govt Company has to ensure that each item of expenditure is covered by a sanction, either general or special, of the competent authority. Explain

ICAI'S ANSWER

Audit of sanctions - The auditor has to ensure that each item of expenditure is covered by a sanction, either general or special, of the competent authority. The audit of sanctions is directed both in respect of ensuring that the expenditure is properly covered by a sanction, and also to satisfy that the authority sanctioning it is competent for the purpose by virtue of the powers vested in it by the provisions of the Constitution and of the law, rules or orders made thereunder, or by the rules of delegation of financial powers made by an authority competent to do so.

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 33

1240 RTP **Old P6 Nov 2019** Q27(a) old scheme

Same question, different ICAI answer: #1260 Old P6 MTP May 2022 S-I

Audit of government expenditure is one of the major components of government audit conducted by the office of C&AG. The basic standards set for audit of expenditure are to ensure that there is provision of funds authorised by competent authority fixing the limits within which expenditure can be incurred. Explain those standards.

ICAI'S ANSWER

Government Expenditure Audit: Audit of government expenditure is one of the major components of government audit conducted by the office of C&AG. The basic standards set for audit of expenditure are to ensure that there is provision of funds authorised by competent authority fixing the limits within which expenditure can be incurred. **Briefly, these standards are explained below:**

(i) **Audit against Rules & Orders:** The auditor has to see that the expenditure incurred conforms to the relevant provisions of the statutory enactment and is in accordance with the financial rules and regulations framed by the competent authority.

(ii) **Audit of Sanctions:** The auditor has to ensure that each item of expenditure is covered by a sanction, either general or special, accorded by the competent authority, authorising such expenditure.

(iii) **Audit against Provision of Funds:** It contemplates that there is a provision of funds out of which expenditure can be incurred and the amount of such expenditure does not exceed the appropriations made.

(iv) **Propriety Audit:** It is required to be seen that the expenditure is incurred with due regard to broad and general principles of financial propriety. The auditor aims to bring out cases of improper, avoidable, or in fructuous expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations. Audit aims

to secure a reasonably high standard of public financial morality by looking into the wisdom, faithfulness and economy of transactions.

(v) **Performance Audit:** This involves that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them. Efficiency-cum-performance audit, wherever used, is an objective examination of the financial and operational performance of an organisation, programme, authority or function and is oriented towards identifying opportunities for greater economy, and effectiveness.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 27

1241 RTP **Old P6 Nov 2019** Q27(b) old scheme

Explain in detail the duties of Comptroller and Auditor General of India.

ICAI'S ANSWER

Duties of C&AG: The Comptroller & Auditor General's (Duties, Powers and Conditions of Service) Act, 1971 lays down duties of the C&AG as under-

(i) **Compile and submit Accounts of Union and States -** The C&AG shall be responsible for compiling the accounts of the Union and of each State from the initial and subsidiary accounts rendered to the audit and accounts offices under his

control by treasuries, offices or departments responsible for the keeping of such account.

(ii) **General Provisions Relating to Audit - It shall be the duty of the C&AG –**

(a) to audit and report on all expenditure from the Consolidated Fund of India and of each State and of each Union Territory having a Legislative Assembly and to ascertain whether the moneys shown in the accounts as having been disbursed were legally available for and applicable to the service or purpose to which they have been applied or charged and whether the expenditure conforms to the authority which governs it;

(b) to audit and report all transactions of the Union and of the States relating to Contingency Funds and Public Accounts;

(c) to audit and report on all trading, manufacturing profit and loss accounts and balance-sheets and other subsidiary accounts kept in any department of the Union or of a State.

(iii) **Audit of Receipts and Expenditure -** Where any body or authority is substantially financed by grants or loans from the Consolidated Fund of India or of any State or of any Union Territory having a Legislative Assembly, the Comptroller and Auditor General shall, subject to the provisions of any law for the time being in force applicable to the body or authority, as the case may be, audit all receipts and

expenditure of that body or authority and to report on the receipts and expenditure audited by him.

(iv) **Audit of Grants or Loans** - Where any grant or loan is given for any specific purpose from the Consolidated Fund of India or of any State or of any Union Territory having a Legislative Assembly to any authority or body, not being a foreign State or international organisation, the Comptroller and Auditor General shall scrutinise the procedures by which the sanctioning authority satisfies itself as to the fulfillment of the conditions subject to which such grants or loans were given and shall for this purpose have right of access, after giving reasonable previous notice, to the books and accounts of that authority or body.

(v) **Audit of Receipts of Union or States** - It shall be the duty of the Comptroller and Auditor General to audit all receipts which are payable into the Consolidated Fund of India and of each State and of each Union Territory having a Legislative Assembly and to satisfy himself that the rules and procedures in that behalf are designed to secure an effective check on the assessment, collection and proper allocation of revenue and are being duly observed and to make this purpose such examination of the accounts as he thinks fit and report thereon.

(vi) **Audit of Accounts of Stores and Inventory** - The Comptroller and Auditor General shall have authority to audit and report on the accounts of

stores and inventory kept in any office or department of the Union or of a State.

(vii) **Audit of Government Companies and Corporations -** The duties and powers of the Comptroller and Auditor General in relation to the audit of the accounts of government companies shall be performed and exercised by him in accordance with the provisions of the Companies Act, 2013. The comptroller and Auditor - General of India shall appoint the auditor under sub-section (5) or sub-section (7) of section 139 (i.e. appointment of First Auditor or Subsequent Auditor) and direct such auditor the manner in which the accounts of the Government company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor-General of India which, among other things, include the directions, if any, issued by the Comptroller and Auditor-General of India, the action taken thereon and its impact on the accounts and financial statement of the company.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 28-29

1242 MTP **Sep 2026 S-II** Q6(a) 5 marks

The State Government sanctioned expenditure for various public welfare and administrative activities during the year 2025–26. During the course of audit, the auditor came across the following transactions:

(i) A Government department purchased high-end office furniture at substantially higher prices than

those prevailing in the market, although furniture of adequate quality was available at considerably lower prices.

(ii) The head of a department sanctioned a special expenditure for a facility that directly benefited a business entity in which a close relative of the sanctioning authority had a financial interest.

(iii) Public funds were used to provide a financial benefit to a particular group of persons. The expenditure was not insignificant, no legal claim existed against the Government for such payment and the expenditure was not covered by any recognised policy or established practice.

(iv) Certain officials were paid travelling allowances at rates substantially higher than the actual expenditure ordinarily incurred by them, resulting in the allowances becoming a source of profit rather than merely compensating them for expenditure incurred.

Examine the above transactions in the light of the principles of financial propriety and state whether the expenditure in each case satisfies the standards expected in the use of public money. Give reasons for your conclusions.

ICAI'S ANSWER

Principles of Financial Propriety: Audit against propriety seeks to ensure that expenditure conforms to certain recognised standards of

financial propriety. These principles may be stated as follows:

(i) Expenditure should not be prima facie more than the occasion demands: The expenditure should not be prima facie more than the occasion demands. Every public officer is expected to exercise the same vigilance in respect of expenditure incurred from public moneys as a person of ordinary prudence would exercise in respect of expenditure of his own money.

Accordingly, the purchase of high-end furniture at substantially higher prices, when adequate furniture was available at considerably lower prices, would not satisfy this principle.

(ii) Authority should not sanction expenditure to its own advantage: No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.

Accordingly, sanctioning expenditure that directly benefits a business entity in which a close relative of the sanctioning authority has a financial interest would be inconsistent with this principle.

(iii) Public money should not ordinarily be used for the benefit of a particular person or section: Public moneys should not be utilised for the benefit

of a particular person or section of the community unless:

(1) the amount of expenditure involved is insignificant; or

(2) a claim for the amount could be enforced in a Court of law; or

(3) the expenditure is in pursuance of a recognised policy or custom.

Accordingly, the expenditure referred to in the case would not satisfy this principle since the amount is not insignificant, there is no enforceable legal claim and the expenditure is not pursuant to any recognised policy or custom.

(iv) Allowances should not become a source of profit: The amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

Accordingly, payment of travelling allowances substantially exceeding the expenditure ordinarily incurred, resulting in a profit to the officials, would not conform to this principle.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 17 · answer p. 13-14

1243 MTP Jan 2026 S-I

Case Scenario 2 [MCQs 6-9] · MCQ 6 to MCQ 9 8 marks

CASE SCENARIO 2 [MCQS 6-9]

The Comptroller and Auditor General of India (C&AG) deputed Mr. V. Sarkar, Chief Audit Officer, to conduct propriety audit of various departments of the State Government of Punjab for the financial year 2024-25. During the course of audit, the following instances were observed:

1. While auditing a government department's festival celebration expenses, the auditor notices that the department spent ₹ 10 lakh on decorations and gifts, which appears excessive considering the scale of the event.
2. The Chief Engineer of PWD Department sanctioned repair work worth ₹ 20 lakh on his residential quarters using departmental funds, justifying it as "official convenience."
3. Health Department purchased luxury office furniture worth ₹ 75 lakh when the existing furniture was still in usable condition.
4. ₹ 3 lakh spent on community welfare donations to a private housing society in which several officers of a department resided, citing "public relations improvement."

Mr. V Sarkar noted that while all expenditures were technically sanctioned and approved under existing rules, many appeared improper, avoidable, or not in public interest. He referred to principles of financial

propriety laid down in the principles of financial propriety prescribed in Government Audit Guidelines.

Based on above, answer the following MCQs (6-9):

MCQ 6 2 marks

The case of department spending ₹ 10 lakh on decorations and gifts represents which breach under the principles of financial propriety?

- A Expenditure for the benefit of a particular section of the community.
- B Expenditure prima facie more than the occasion demands
- C Expenditure sanctioned to one's own advantage
- D Expenditure not authorised under any rule

MCQ 7 2 marks

The Chief Engineer's sanction of repair work worth ₹ 12 lakh on his personal residential quarter using departmental funds violates which propriety principle?

- A Exercise of powers for personal advantage
- B Expenditure not in conformity with recognised policy
- C Expenditure resulting in profit to recipients
- D Expenditure lacking documentary evidence

MCQ 8 2 marks

Purchase of luxury office furniture when existing furniture was in usable condition primarily indicates a

failure to exercise:

- **A** Regularity audit compliance.
- **B** Control over documentary evidence.
- **C** Disciplinary control over subordinates
- **D** Prudence expected in spending public money.

MCQ 9 2 marks

Spending ₹ 3 lakh on community welfare donations to a private housing society where several officials reside violates propriety because:

- **A** It is not sanctioned under regularity audit
- **B** It benefits a specific section of the community without policy backing
- **C** It breaches limits on administrative expenses
- **D** It lacks internal control documentation

ICAI'S ANSWERS

MCQ 6

(B)

MCQ 7

(A)

MCQ 8

(D)

MCQ 9

(B)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 3-4 · answer p. 1

1244 MTP Jan 2026 S-I Q3(c) 4 marks

ABC Ltd. is a government company whose statutory audit is being carried out by auditors appointed on the advice of the Comptroller and Auditor General of India (C&AG). During the audit, the C&AG considered it necessary to conduct a test audit of the company's accounts. He issued specific directions to the statutory auditors regarding the system of book-keeping and internal control. After completion of the statutory audit, the auditors submitted a copy of their report to the C&AG, who added certain comments and supplementary observations to it. The Board of Directors of ABC Ltd., however, decided not to provide any explanation or reply to the comments made by the C&AG.

Based on above, explain the powers of the C&AG in relation to the test audit of a government company and whether the Board of Directors is required to provide any explanation on the C&AG's comments.

ICAI'S ANSWER

Without prejudice to the provisions relating to audit and auditor, the Comptroller and Auditor- General of India may, in case of any company covered under sub-section (5) or sub-section (7) of section 139, if he considers necessary, by an order, cause test audit to be conducted of the accounts of such company and the provisions of section 19A of the Comptroller and Auditor- General's (Duties, Powers and Conditions of Service) Act, 1971, shall apply to the report of such test audit.

The C&AG shall direct the manner in which the company's accounts shall be audited by the statutory auditors and give such auditors instructions in regard to any matter relating to the performance of his functions as such. The directions under section 143(6) broadly cover the system of book-keeping and accounts, internal control etc.

The C&AG has power to conduct a supplementary or test audit of the company's accounts by such person as he may authorise in this behalf and for the purposes of such audit require information or additional information to be furnished to any person or persons so authorised on such matters by such person or persons and in such form as the C&AG may by general or special order, direct.

The statutory auditors shall submit a copy of their audit report to C&AG who shall have a right to comment upon or supplement the audit report submitted by the statutory auditors in such manner as he may think fit. Section 134(3) of the Companies Act, 2013 imposes a duty on the board of directors of a company to give an explanation or comments on every reservation, or adverse remarks or disclaimer contained in the auditors' report and secretarial audit report of the Company Secretary in practice. In the absence of similar provisions requiring the company to give reply on the reservation made by the C&AG, the board of directors of such a company

is not bound to give information or explanation in respect of such comments.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 10 · answer p. 7

1245 MTP **Jan 2026 S-II Q3(c)** 4 marks

The office of the Comptroller and Auditor General (C&AG) undertook an Audit of Receipts in the Department of Indirect Taxes. During the audit, it was observed that although all taxes collected were credited to the Government account, several procedural deficiencies existed. There were delays in detecting double refunds, weak internal checks on assessments and absence of a proper mechanism to review judicial decisions taken by tax authorities. The audit team also noted that the extent of audit was predetermined by the C&AG based on test checks and in-depth studies of specified areas, which were not open to negotiation by the department.

Explain the main checks carried out in the audit of government receipts.

ICAI'S ANSWER

Audit of Receipts: The audit of receipts is neither all pervasive nor as old as audit of expenditure but has come to stay in some countries. Such an audit provides for checking;

(i) whether all revenues or other debts due to government have been correctly assessed, realised and credited to government account by the designated authorities;

(ii) whether adequate regulations and procedures have been framed by the department/agency concerned to secure an effective check on assessment, collection and proper allocation of cases;

(iii) whether such regulations and procedures are actually being carried out;

(iv) whether adequate checks are imposed to ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud or willful omission or negligence to levy or collect taxes or to issue refunds; and

(v) review of systems and procedures to see that the internal procedures adequately secure correct and regular accounting of demands collection and refunds and pursuant of dues up to final settlement and to suggest improvement. The basic principle of audit of receipts is that it is more important to look at the general than on the particular, though individual cases of assessment, demand, collection, refund, etc. are important within the area of test check. A review of the judicial decisions taken by tax authorities is done to judge the effectiveness of the assessment procedure.

(vi) The extent and quantum of audit required to be done under each category of audit are determined by the C&AG. These are neither negotiable nor questioned. The prescribed extent and quantum of audit are structured in accordance with the design

of test check, random sampling, general review, in-depth study of specified areas, etc. as may be warranted by the nature of transactions, its importance in the scheme of activities of a department and the totality of its transactions, the frequency of check and total plan of audit to be executed during a period.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 10 · answer p. 6-7

1246 MTP **May 2025 S-I** Case Scenario 3 · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO 3

A government department was allocated a specific budget for infrastructure development projects during the current financial year. During the audit process, the auditor reviewed the department's expenditure and management of funds and found several discrepancies that raised significant concerns regarding the management and utilisation of the allocated funds.

The key findings from the audit were as follows:

- Several payments were processed without obtaining the necessary approval from the competent authority.
- The department implemented a large-scale project. However, the audit found no record of assessment being conducted to determine whether the project achieved the expected benefits.

- Another serious concern identified during the audit was the utilisation of funds from an account that had no budgetary provision was made.

The auditor now needs to determine which type of audit would be most effective in addressing each of these concerns.

Based on the above facts, answer the following: -

MCQ 10 2 marks

Which type of audit is most likely to identify payments processed without proper approval from the competent authority?

A Audit against Rules & Orders.

B Audit of Sanctions.

C Audit against Provision of Funds.

D Propriety Audit.

MCQ 11 2 marks

Identify the type of audit to evaluate whether the expected benefits of a large-scale infrastructure project were achieved or not.

A Propriety Audit.

B Audit against Rules & Orders.

C Audit of Sanctions.

D Performance Audit.

MCQ 12 2 marks

Which type of audit addresses the issue of funds being used from an account without a budgetary provision?

- A Audit against Provision of Funds.
- B Audit of Sanctions.
- C Performance Audit.
- D Audit against Rules & Orders.

ICAI'S ANSWERS

MCQ 10

(B)

MCQ 11

(D)

MCQ 12

(A)

ICAI · P5 · MTP May 2025 · Series I · question p. 5-6 · answer p. 1

1247 MTP **May 2025 S-I** Q3(a) 5 marks

Same question, different ICAI answer: #1238 Old P6 RTP Nov 2020

Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. The job of audit is to see that these rules, regulations and orders are applied properly by the subordinate authorities. It is, however, not the function of audit to prescribe what such rules, regulations and orders shall be. Analyse and Explain.

ICAI'S ANSWER

Audit against Rules & Orders - Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. It also seeks to satisfy that the expenditure is in accordance with the financial rules, regulations and orders issued by a competent authority. Audit of expenditure against regularity is of a quasi-judicial type of work performed by the audit authorities. It involves interpretation of the Constitution, statutes, rules, regulations and orders. The final power of interpretation of these, however, does not vest with the C&AG.

These rules, regulations and orders against which regularity audit is conducted mainly fall under the following categories:

(i) Rules and orders regulating the powers to incur and sanction expenditure from the Consolidated Fund of India or of a State (and the Contingency Fund of India or of a State);

(ii) Rules and orders dealing with the mode of presentation of claims against government, withdrawing moneys from the Consolidated Fund, Contingency Fund and Public Accounts of the Government of the India and of the States, and in general the financial rules prescribing the detailed procedure to be followed by government servants in dealing with government transactions; and

(iii) Rules and orders regulating the conditions of service, pay and allowances, and pensions of government servants.

It is the function of the executive government to frame rules, regulations and orders, which are to be observed by its subordinate authorities. The job of audit is to see that these rules, regulations and orders are applied properly by the subordinate authorities. It is, however, not the function of audit to prescribe what such rules, regulations and orders shall be.

But, it is the function of audit to carry out examination of the various rules, regulations and orders issued by the executive authorities to see that:

(a) they are not inconsistent with any provisions of the Constitution or any laws made thereunder;

(b) they are consistent with the essential requirements of audit and accounts as determined by the C&AG;

(c) they do not come in conflict with the orders of, or rules made by, any higher authority; and

(d) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

ICAI · P5 · MTP May 2025 · Series I · question p. 9 · answer p. 5-6

1248 MTP May 2025 S-II MCQ 15 2 marks MCQ

While conducting the audit of receipts of Government Company, which of the following area is to be covered as part of Audit of Receipts?

1. Whether all revenues or other debts due to government have been correctly assessed, realised and credited to government account by the designated authorities of Government Company.
2. Whether adequate checks are imposed to ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud or wilful omission or negligence to levy or collect taxes or to issue refunds.
3. Whether the expenditure incurred has been on the purpose for which the grant and appropriation had been provided and that the amount of such expenditure does not exceed the appropriation made.
4. Whether the various schemes/projects are executed and their operations conducted economically and whether they are yielding the results expected of them.

A Only statement 1 is correct.

B Statements 1 & 2 are correct.

C Statements 1, 2, 3, 4 are correct.

D Statements 1, 2, 3 are correct.

ICAI'S ANSWER

(B)

ICAI · P5 · MTP May 2025 · Series II · question p. 7-8 · answer p. 1

1249 MTP **Sep 2024 S-II** MCQ 15 2 marks MCQ

The audit of government expenditure is one of the major components of government audit. In this regard, what is meant by "Audit against rules and orders"?

A That the expenditure is incurred with due regard to broad and general principles of financial propriety.

B That there is sanction, either special or general, accorded by competent authority authorising the expenditure.

C That there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority.

D That the expenditure incurred conforms to the relevant provisions of the statutory enactment and in accordance with the financial rules and regulations framed by the competent authority.

ICAI'S ANSWER

(D)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 7 · answer p. 1

1250 MTP **May 2024 S-I** Q2(d) 3 marks

Goods and Services Tax Network (GSTN) is a not for profit, limited by shares, company. Its 50% shareholding is with Union Government and 50% with

different State Governments. The company provides IT infrastructure and services to various stakeholders including governments and tax payers. The company is in operation since past few years and subsequent auditor needs to be appointed during financial year 2023-24. Who appoints statutory auditor of such a company described above in accordance with provisions of Companies Act, 2013? Can any directions be issued to statutory auditors of above company?

ICAI'S ANSWER

The above company is a government company. Section 143(5) of the Companies Act,2013 states that, in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the comptroller and Auditor-General of India shall appoint the auditor under sub-section (5) of section 139 i.e. appointment of subsequent auditor and direct such auditor the manner in which the accounts of the Government company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor-General of India which, among other things, include the directions, if any, issued by the Comptroller and Auditor-General of India, the action taken thereon and its impact on the accounts and financial statements of the company.

ICAI · P5 · MTP May 2024 · Series I · question p. 10 · answer p. 5

1251 **MTP** **May 2024 S-II** **Q6(c)**

Audit against propriety seeks to ensure that expenditure conforms to certain principles which have for long been recognised as standards of financial propriety. Explain those principles.

ICAI'S ANSWER

Some general principles have been laid down in the Audit Code, which have for long been recognised as standards of financial propriety. Audit against propriety seeks to ensure that expenditure conforms to these principles which have been stated as follows:

(a) The expenditure should not be prima facie more than the occasion demands. Every public officer is expected to exercise the same vigilance in respect of expenditure incurred from public moneys as a person of ordinary prudence would exercise in respect of expenditure of his own money.

(b) No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.

(c) Public moneys should not be utilised for the benefit of a particular person or section of the community unless:

(i) the amount of expenditure involved is insignificant; or

(ii) a claim for the amount could be enforced in a Court of law; or

(iii) the expenditure is in pursuance of a recognised policy or custom; and

(iv) the amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 11

1252 MTP Old P6 Nov 2023 S-II Q6(d) 4 marks old scheme

The Comptroller and Auditor General's (Duties, Powers and Conditions of Service) Act, 1971 provides certain powers to the C & AG in connection with performance of his duties. Discuss.

ICAI'S ANSWER

Powers of C & AG in performance of his duties: The Comptroller and Auditor General's (Duties, Powers and Condition of Service) Act, 1971 gives the following powers to the C&AG in connection with the performance of his duties:

(i) To inspect any office accounts under the control of the union or a State Government including office responsible for creation of initial or subsidiary accounts.

(ii) To require that any accounts, books, papers and other documents which deal with or are otherwise relevant to the transactions under audit be sent to specified places.

(iii) To put such questions or make such observations as he may consider necessary to the person in charge of the office and to call for such information as he may require for preparation of any account or report, which is his duty to prepare.

In carrying out the audit, the C&AG has the power to dispense with any part of detailed audit of any accounts or class of transactions and to apply such limited checks in relation to such accounts or transaction as he may determine.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 8 · answer p. 9-10

1253 MTP **Old P6 May 2023 S-I** General MCQ 10 1 mark

MCQ old scheme

After a Government expenditure has been incurred and the accounts are closed, the Appropriation Accounts are prepared which are scrutinised by the

A CAG

B President

C Public Accounts Committee

D Parliament

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 5 · answer p. 1

1254 MTP **Old P6 May 2023 S-II** General MCQ 8 1 mark

MCQ old scheme

Public enterprises are required to maintain commercial accounts and are generally classified under three categories. Which of the following is not a category relating to above:

A departmental enterprises engaged in commercial and trading operations, which are subject to the same laws, financial and other regulations as other government departments and agencies;

B statutory bodies, corporations, created by specific statutes mostly financed by government in the form of loans, grants, etc.; and

C government companies set up under the Companies Act, 2013.

D Charitable Trusts.

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5 · answer p. 1

1255 MTP **Old P6 May 2023 S-II** Q5(d) 3 marks old scheme

Discuss the powers of C & AG in Government audit.

ICAI'S ANSWER

Powers of C&AG

The C&AG Act gives the following powers to the C&AG in connection with the performance of his duties-

i. To inspect any office of accounts under the control of the Union or a State Government including office responsible for the creation of the initial or subsidiary accounts.

ii. To require that any accounts, books, papers and other documents which deal with or are otherwise relevant to the transactions under audit, be sent to specified places.

iii. To put such questions or make such observations as he may consider necessary to the person in charge of the office and to call for such information as he may require for the preparation of any account or report which is his duty to prepare.

iv. In carrying out the audit, the C&AG has the power to dispense with any part of detailed audit of any accounts or class of transactions and to apply such limited checks in relation to such accounts or transactions as he may determine.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 8

1256 MTP **Old P6 Nov 2022 S-I** Q6(c) 4 marks old scheme

Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. These rules, regulations and orders against which regularity audit is conducted fall under various categories. Explain.

ICAI'S ANSWER

Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made thereunder. It also seeks to satisfy that the expenditure is in accordance with the financial rules, regulations and orders issued by a competent authority. Audit of expenditure against regularity is of a quasi-judicial type of work performed by the audit authorities. It involves interpretation of the Constitution, statutes, rules, regulations and orders. The final power of interpretation of these, however, does not vest with the C&AG.

These rules, regulations and orders against which regularity audit is conducted mainly fall under the following categories:

(i) Rules and orders regulating the powers to incur and sanction expenditure from the Consolidated Fund of India or of a State (and the Contingency Fund of India or of a State);

(ii) Rules and orders dealing with the mode of presentation of claims against government, withdrawing moneys from the Consolidated Fund, Contingency Fund and Public Accounts of the Government of the India and of the States, and in general the financial rules prescribing the detailed procedure to be followed by government servants in dealing with government transactions; and

(iii) Rules and orders regulating the conditions of service, pay and allowances, and pensions of

government servants.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 9

1257 MTP **Old P6 Nov 2022 S-II** General MCQ 7 1 mark

MCQ old scheme

The office of C&AG conducted audit in state of Gujarat to assess whether system for enforcement of the provisions of the Air (Prevention and Control of Pollution) Act,1981 was efficient and effective. It also evaluated whether various schemes and initiatives taken by state government for abatement for air pollution were adequate. Besides, it also assessed adequacy of human resources in State pollution control Board to regulate and monitor air pollution.

Which of the following terms best exemplifies such audit carried out by C&AG?

A Propriety audit

B Audit of sanctions

C Audit against rules and orders

D Performance audit

ICAI'S ANSWER

Option (D)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 7 · answer p. 1

1258 MTP **Old P6 Nov 2022 S-II** Q6(c) 4 marks old scheme

Explain the meaning of Government Audit and also discuss its objectives.

ICAI'S ANSWER

The U.N. Handbook on Government Auditing and Developing Countries defines government auditing in a comprehensive manner which is as follows:

Government Audit is the objective, systematic, professional and independent examination of financial, administrative and other operations of a public entity ,made subsequently to their execution for the purpose of evaluating and verifying them, presenting a report containing explanatory comments on audit findings together with conclusions and recommendations for future action by the responsible officials and in the case of examination of financial statements, expressing the appropriate professional opinion regarding the fairness of the presentation.

OBJECTIVES of the Govt Audit are :

1. Accounting for Public Funds: It serves as a mechanism or process for public accounting of government funds.
2. Appraisal of Govt. Policies: It also provides public accounting of the operational, management, programme and policy aspects of public administration as well as accountability of the officials administering them.
3. Corrective Actions: Audit observations based on factual data collection also serve to highlight the lapses of the lower hierarchy, thus helping

supervisory level officers to take corrective measures.

4. Administrative Accountability: The main objective of audit is a combination of ensuring accountability of administration to legislature and functioning as an aid to administration

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 8

1259 MTP **Old P6 May 2022 S-I** Q4(a) 4 marks old scheme

Discuss the provisions regarding appointment of First auditors of a Government company and a Non-Government company.

ICAI'S ANSWER

Appointment of First Auditor of a Government Company: Section 139(7) of the Companies Act, 2013 provides that in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by the Comptroller and Auditor-General of India within 60 days from the date of registration of the company.

In case the Comptroller and Auditor-General of India does not appoint such auditor within the above said period, the Board of Directors of the company shall appoint such auditor within the next 30 days. Further, in the case of failure of the Board to appoint such auditor within next 30 days, it shall

inform the members of the company who shall appoint such auditor within 60 days at an extraordinary general meeting. Auditors shall hold office till the conclusion of the first annual general meeting.

Appointment of First Auditor of a Non-Government Company: As per Section 139(6) of the Companies Act, 2013, the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within 30 days from the date of registration of the company.

In the case of failure of the Board to appoint the auditor, it shall inform the members of the company.

The members of the company shall within 90 days at an extraordinary general meeting appoint the auditor. Appointed auditor shall hold office till the conclusion of the first annual general meeting.

PassBook's note: The other half, the first auditor of a non-Government company (section 139(6)), belonged to old Paper 6's company audit chapter and is not in the new-scheme syllabus or Study Material.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 6

1260 **MTP** **Old P6 May 2022 S-I** Q6(b) **4 marks** **old scheme**

Same question, different ICAI answer: #1240 Old P6 RTP Nov 2019

Audit of government expenditure is one of the major components of government audit conducted by the office of C & AG. The basic standards set for audit of expenditure are to ensure that there is provision of

funds authorised by competent authority fixing the limits within which expenditure can be incurred. Explain those standards.

ICAI'S ANSWER

Expenditure Audit: The audit of government expenditure is one of the major components of government audit. The basic standards set for audit of expenditure are to ensure that there is provision funds authorised by competent authority fixing the limits within which expenditure can be incurred. These standards are—

(i) that the expenditure incurred conforms to the relevant provisions of the statutory enactment and in accordance with the Financial Rules and Regulations framed by the competent authority. Such an audit is called as the audit against 'rules and orders'.

(ii) that there is sanction, either special or general, accorded by competent authority authorising the expenditure. Such an audit is called as the audit of sanctions.

(iii) that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority. Such an audit is called as audit against provision of funds.

(iv) that the expenditure is incurred with due regard to broad and general principles of financial propriety. Such an audit is also called as propriety audit.

(v) that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them. Such an audit is termed as the performance audit.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 10-11

1261 MTP **Old P6 May 2022 S-II**

Case Scenario 2 · Case Scenario 2 · MCQ 1 to Case Scenario 2 · MCQ 5

10 marks old scheme

CASE SCENARIO 2

Suresh Rana & Associates have been appointed as the statutory auditors of HAIL Ltd. by the Comptroller & Auditor General for the FY 2021-22. HAIL Ltd. is a Government company engaged in the manufacture of metro train coaches. During the course of audit, CA Suresh extended his scope of audit to cover efficiency, effectiveness and economy audit. CA Suresh Rana also asked his audit team to conduct expenditure audit as part of the audit engagement of HAIL Ltd.

During the course of audit, CA Suresh also found that the company has constructed its new stockyard for parking its metro coaches and maintenance of its metro coaches. However, the stockyard was not being used by the company for the designated purpose and the company continued using the rented stockyard. Suresh considered such

expenditure as infructuous and avoidable expenditure.

The engagement partner also discussed with his team regarding the areas to be covered while conducting the audit of receipts. The reporting responsibilities of the engagement team were also discussed by the engagement partner with his team.

Based on the above facts, answer the following:-

Case Scenario 2 · MCQ 1 2 marks

Statement 1: Government audit provides public accounting of operational, management programme and policy aspects of public administration as well as accountability of officials administering them.

Statement 2: Government audit is equipped and intended to function as an investigating agency, to pursue every irregularity or misdemeanour to its logical end.

A Only statement 1 is correct

B Only statement 2 is correct

C Both 1 & 2 are correct

D Both 1 & 2 are incorrect

Case Scenario 2 · MCQ 2 2 marks

_____ is conducted to ensure that the various programmes, schemes, and projects where large financial expenditure have been incurred are run economically and are yielding results expected of them:-

A Propriety audit

B Audit against Rules and orders

C Performance Audit

D Audit against Provision of funds

Case Scenario 2 · MCQ 3 2 marks

While conducting audit against provision of funds, the statutory auditors, M/s Suresh Rana & Associates must check:-

A That each item of expenditure is covered by a sanction either general or special of a competent authority.

B That the expenditure incurred has been on the purpose for which the grant and appropriation has been provided and the amount of expenditure does not exceed the appropriation made.

C That the expenditure conforms to the relevant provision of the constitution.

D That the expenditure is in accordance with the financial rules, regulations and orders issued by the competent authority.

Case Scenario 2 · MCQ 4 2 marks

Which part of expenditure audit covers the scrutiny of the expenditure incurred on the construction of stockyard by the company which is considered as infructuous and avoidable by CA Suresh Rana?

A Propriety Audit

B Audit against provision of funds

C Audit of sanctions

D Performance Audit

Case Scenario 2 · MCQ 5 2 marks

While conducting the audit of receipts of HAIL Ltd., which of the following area is to be covered as part of Audit of Receipts?

1. Whether all revenues or other debts due to government have been correctly assessed, realised and credited to government account by the designated authorities of HAIL Ltd.
2. Whether adequate checks are imposed to ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud or willful omission or negligence to levy or collect taxes or to issue refunds.
3. Whether the expenditure incurred has been on the purpose for which the grant and appropriation had been provided and that the amount of such expenditure does not exceed the appropriation made.
4. Whether the various schemes/projects are executed and their operations conducted economically and whether they are yielding the results expected of them.

A Only statement 1 is correct

B Statements 1 & 2 are correct

C Statements 1,2,3,4 are correct

D Statements 1,2,3 are correct

ICAI'S ANSWERS

Case Scenario 2 · MCQ 1

(A)

Case Scenario 2 · MCQ 2

(C)

Case Scenario 2 · MCQ 3

(B)

Case Scenario 2 · MCQ 4

(A)

Case Scenario 2 · MCQ 5

(B)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 3 · answer p. 1

1262 MTP **Old P6 May 2022 S-II** General MCQ 6 1 mark

MCQ old scheme

Article 151 requires that the reports of the C&AG relating to the accounts of the Union/State shall be submitted to the _____ who shall cause them to be laid before House of Parliament/State Legislature

A President/Governor

B Prime Minister/ Chief Minister

C Union Finance Minister/State Finance Minister

D Union Cabinet

ICAI'S ANSWER

(A)

1263 MTP **Old P6 Dec 2021 S-I** Q3(c) 6 marks old scheme

Provisions regarding appointment of Auditors -

(i) First auditor of a Government company and a Non-Government company.

(ii) Subsequent auditor of a Government company and a Non- Government company.

ICAI'S ANSWER

(i) Appointment of First Auditor of a Government Company: Section 139(7) of the Companies Act, 2013 provides that in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government, or Governments, or partly by the Central Government and partly by one or more State Governments, the first auditor shall be appointed by the Comptroller and Auditor-General of India within 60 days from the date of registration of the company.

In case the Comptroller and Auditor-General of India does not appoint such auditor within the above said period, the Board of Directors of the company shall appoint such auditor within the next 30 days. Further, in the case of failure of the Board to appoint such auditor within next 30 days, it shall inform the members of the company who shall appoint such auditor within 60 days at an extraordinary general meeting. Auditors shall hold

office till the conclusion of the first annual general meeting.

Appointment of First Auditor of a Non-Government Company: As per Section 139(6) of the Companies Act, 2013, the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within 30 days from the date of registration of the company.

In the case of failure of the Board to appoint the auditor, it shall inform the members of the company.

The members of the company shall within 90 days at an extraordinary general meeting appoint the auditor. Appointed auditor shall hold office till the conclusion of the first annual general meeting.

(ii) Appointment of Subsequent Auditor of a Government Company: As per Section 139(5) of the Companies Act, 2013, in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor-General of India shall, in respect of a financial year, appoint an auditor duly qualified to be appointed as an auditor of companies under this Act, within a period of 180 days from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting.

Appointment of Subsequent Auditor of a Non-Government Company: As per section 139(1) of the Companies Act, 2013, every company shall, at the first annual general meeting appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting and thereafter till the conclusion of every sixth meeting.

PassBook's note: The Study Material gives neither the time limits of ICAI's answer nor the non-Government company's appointment under section 139(6) and 139(1), which belonged to old Paper 6's Company Audit chapter and are not in the new-scheme syllabus. ICAI's answer prints "Companies Act, 2013" with extra spaces in (i).

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 4-5

1264 MTP **Old P6 Dec 2021 S-I Q6(e)** 3 marks old scheme

"Public moneys should not be utilised for the benefit of a particular person or section of the community". List out the exceptions to this rule while audit against propriety.

ICAI'S ANSWER

Exceptions to the rule – Audit Against Propriety: Public moneys should not be utilised for the benefit of a particular person or section of the community unless:

(i) the amount of expenditure involved is insignificant; or

(ii) a claim for the amount could be enforced in a Court of law; or

(iii) the expenditure is in pursuance of a recognised policy or custom; and

(iv) the amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 10

1265 MTP **Old P6 Dec 2021 S-II** Question 2 · Q2(a) to Q2(d)
14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

The Comptroller and Auditor General's (Duties, Powers and Conditions of Service) Act, 1971 provides certain powers to the C & AG in connection with performance of his duties. Discuss.

Q2(b) 4 marks out of syllabus

Fraud in the form of misappropriation of goods is still more difficult to detect. Explain.

Q2(c) 3 marks

Describe how risks in IT systems, if not mitigated, could have an impact on audit.

Q2(d) 3 marks

CA X is not sure about the kind of Sampling method to be used for audit of a company. Advise him about the choice of methods (name of methods only) of Sampling

to be used in various circumstances. Also explain briefly the advantages of the Sampling to be used by him in auditing.

ICAI'S ANSWERS

Q2(a)

Powers of C & AG in performance of his duties: The Comptroller and Auditor General's (Duties, Powers and Condition of Service) Act, 1971 gives the following powers to the C&AG in connection with the performance of his duties:

(i) To inspect any an office accounts under the control of the union or a State Government including office responsible for creation of initial or subsidiary accounts.

(ii) To require that any accounts, books, papers and other documents which deal with or are otherwise relevant to the transactions under audit, be sent to specified places.

(iii) To put such questions or make such observations as he may consider necessary to the person- in charge of the office and to call for such information as he may require for preparation of any account or report, which is his duty to prepare.

In carrying out the audit, the C&AG has the power to dispense with any part of detailed audit of any accounts or class of transactions and to apply such limited checks in relation to such accounts or transaction as he may determine.

Q2(b)

Fraud in the form of misappropriation of goods is still more difficult to detect; for this, management has to rely on various measures. Apart from the various requirements of record keeping about the physical quantities and their periodic checks, there must be rules and procedures for allowing persons inside the area where goods are kept. In addition there should be external security arrangements to see that no goods are taken out without proper authority. Goods can be anything in the premises; it may be machinery. It may even be the daily necessities of the office like stationery. The goods may be removed by subordinate employees or even by persons quite higher up in the management. Auditors can detect this by undertaking a thorough and strenuous checking of records followed by physical verification process. Also, by resorting to intelligent ratio analysis, auditors may be able to form an idea whether such fraud exists.

PassBook's note: Out of syllabus (old scheme): how misappropriation of goods is committed, prevented and detected belonged to old Paper 6's errors and frauds content (SA 240, The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements); The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material does not teach the kinds of fraud and their detection (as o-p6-mtp-may2023-s2 q3a, o-p6-pyq-jan2021 q2c), so the item carries only its nearest chapter.

Q2(c)

When risks in IT systems are not mitigated the audit

impact could be as follows:

(i) The auditor may not be able rely on the reports, data obtained, automated controls, calculations and accounting procedures in the IT system.

(ii) The auditor has to perform additional audit work by spending more time and efforts.

(iii) The auditor may have to issue a modified opinion, if necessary.

Q2(d)

Sample Selection:

CA. X should obtain the knowledge before using the sampling methods. The principal methods are as follows:

(1) Random selection.

(2) Systematic selection.

(3) Monetary Unit sampling.

(4) Haphazard selection.

(5) Block selection.

Advantages of Statistical Sampling in Auditing:

(i) The amount of testing (sample size) does not increase in proportion to the increase in the size of the area (universe) tested.

(ii) The sample selection is more objective and thereby more defensible.

(iii) The method provides a means of estimating the minimum sample size associated with a specified

risk and precision.

(iv) It provides a means for deriving a "calculated risk" and corresponding precision (sampling error) i.e. the probable difference in result due to the use of a sample in lieu of examining all the records in the group (universe), using the same audit procedures.

(v) It may provide a better description of a large mass of data than a complete examination of all the data, since non-sampling errors such as processing and clerical mistakes are not as large.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 2, 3

1266 MTP **Old P6 Dec 2021 S-II Q6(b)** 4 marks old scheme

What is the function of audit while examining various rules, regulations and orders with regard Audit against Rules & Orders by C&AG?

ICAI'S ANSWER

Audit against Rules & Orders – Audit against rules and orders aims to ensure that the expenditure conforms to the relevant provisions of the Constitution and of the laws and rules made there under. It also seeks to satisfy that the expenditure is in accordance with the financial rules, regulations and orders issued by a competent authority.

It is the function of the executive government to frame rules, regulations and orders, which are to be observed by its subordinate authorities. The job of audit is to see that these rules, regulations and

orders are applied properly by the subordinate authorities. It is, however, not the function of audit to prescribe what such rules, regulations and orders shall be. But, it is the function of audit to carry out examination of the various rules, regulations and orders issued by the executive authorities to see that:

(a) they are not inconsistent with any provisions of the Constitution or any laws made there under;

(b) they are consistent with the essential requirements of audit and accounts as determined by the C&AG;

(c) they do not come in conflict with the orders of, or rules made by, any higher authority; and

(d) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 7

1267 MTP **Old P6 Dec 2021 S-II** Q6(c)(ii) 2 marks old scheme

PQR Ltd., a government company, constructed a building in conformity with rules and regulations for installing a telephone exchange but not used for the same purpose resulting in the infructuous expenditure.

Considering the above case, explain the type of expenditure audit to be performed to curb the situation.

ICAI'S ANSWER

Propriety audit: According to 'propriety audit', the auditors try to bring out cases of improper, avoidable, or infructuous expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations. Further, it may so happen that a transaction may satisfy all the requirements of regularity audit insofar as the various formalities regarding rules and regulations are concerned but may still be highly wasteful.

In the given situation, PQR Ltd. being a government company, constructed a building in conformity with rules and regulations for installing a telephone exchange but not used for the same purpose resulting in an infructuous expenditure.

Thus, propriety audit should be done for PQR Ltd. to bring out improper, avoidable, or infructuous expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations to the notice of the proper authorities of wastefulness in public administration.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 8

1268 MTP **Old P6 Jul 2021 S-I** Q5(b) 4 marks old scheme

The audit of government expenditure is one of the major components of government audit. Explain the basic standards set for such audit of expenditure.

ICAI'S ANSWER

The audit of government expenditure is one of the major components of government audit. The basic standards set for audit of expenditure are to ensure that there is provision funds authorised by competent authority fixing the limits within which expenditure can be incurred. These standards are—

(i) that the expenditure incurred conforms to the relevant provisions of the statutory enactment and in accordance with the Financial Rules and Regulations framed by the competent authority. Such an audit is called as the audit against 'rules and orders'.

(ii) that there is sanction, either special or general, accorded by competent authority authorising the expenditure. Such an audit is called as the audit of sanctions.

(iii) that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority. Such an audit is called as audit against provision of funds.

(iv) that the expenditure is incurred with due regard to broad and general principles of financial propriety. Such an audit is also called as propriety audit.

(v) that the various programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are

yielding results expected of them. Such an audit is termed as the performance audit.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7

1269 MTP **Old P6 Nov 2020 S-I** Q5(b) 4 marks old scheme

The Comptroller and Auditor General shall be responsible for compiling the accounts of the Union and of each State from the initial and subsidiary accounts rendered to the audit and accounts offices under his control by treasuries, offices or departments responsible for the keeping of such account. Explain.

ICAI'S ANSWER

Compile and submit Accounts of Union and States - The Comptroller and Auditor General shall be responsible for compiling the accounts of the Union and of each State from the initial and subsidiary accounts rendered to the audit and accounts offices under his control by treasuries, offices or departments responsible for the keeping of such account. The Comptroller and Auditor General shall, from the accounts compiled by him or [by the Government or any other person responsible in that behalf] prepare in each accounts (including, in the case of accounts compiled by him, appropriation accounts) showing under the respective heads the annual receipts and disbursements for the purpose of the Union, of each State and of each Union Territory having a Legislative Assembly, and shall submit those accounts to the President or the Governor of a State or Administrator of the Union

Territory having a Legislative Assembly, as the case may be, on or before such dates as he may, with the concurrence of the Government concerned, determine.

The C&AG Act of 1971 has provisions for relieving him of this responsibility to give information and render assistance to the Union and States: The Comptroller and Auditor General shall, in so far as the accounts, for the compilation or keeping of which he is responsible, enable him so to do, give to the Union Government, to the State Government or to the Governments of Union Territories having Legislative Assemblies, as the case may be, such information as they may, from time to time, require and render such assistance in the preparation of the annual financial statements as they may reasonably ask for.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 6

1270 MTP **Old P6 May 2020 S-I** Q5(b) 4 marks old scheme

The C&AG Act gives powers to the C&AG in connection with the performance of his duties. Explain.

ICAI'S ANSWER

Powers of C&AG: The C&AG Act gives the following powers to the C&AG in connection with the performance of his duties-

i. To inspect any office of accounts under the control of the Union or a State Government including office

responsible for the creation of the initial or subsidiary accounts.

ii. To require that any accounts, books, papers and other documents which deal with or are otherwise relevant to the transactions under audit, be sent to specified places.

iii. To put such questions or make such observations as he may consider necessary to the person in charge of the office and to call for such information as he may require for the preparation of any account or report which is his duty to prepare.

In carrying out the audit, the C&AG has the power to dispense with any part of detailed audit of any accounts or class of transactions and to apply such limited checks in relation to such accounts or transactions as he may determine

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 8

1271 MTP **Old P6 Nov 2019 S-I** Q4(b) 4 marks old scheme

Audit against the propriety seeks to ensure that expenditure confirms to certain principles. Explain

ICAI'S ANSWER

Audit against propriety: Audit against propriety seeks to ensure that expenditure conforms to these principles which have been stated as follows:

(1) The expenditure should not be *prima facie* more than the occasion demands. Every public officer is expected to exercise the same vigilance in respect of

expenditure incurred from public moneys as a person of ordinary prudence would exercise in respect of expenditure of his own money.

(2) No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.

(3) Public moneys should not be utilized for the benefit of a particular person or section of the community unless:

(i) The amount of expenditure involved is insignificant; or

(ii) A claim for the amount could be enforced in a Court of law; or

(iii) The expenditure is in pursuance of a recognized policy or custom; and

(iv) The amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 7

9.2 Audit of local bodies

8 questions · asked in 8 ICAI documents · 3 exam papers

1272 EXAM Old P6 Nov 2022 Q6(c) 3 marks old scheme

CA Sevak is appointed as an auditor of a Municipal Corporation of a big smart city. He wants to verify

various expenditures of the Municipality. Define the term "Municipality" and state what are the heads under which expenditures incurred by the Municipalities and Corporations can be broadly classified?

ICAI'S ANSWER

Definition of Municipality & Expenditure incurred by it: Definition: A **Municipality** can be defined as a unit of local self-government in an urban area. By the term 'local self-government' is ordinarily understood the administration of a locality – a village, a town, a city or any other area smaller than a state – by a body representing the local inhabitants, possessing fairly large autonomy, raising at least a part of its revenue through local taxation and spending its income on services which are regarded as local and, therefore, distinct from state and central services.

Expenditure incurred by the municipalities and corporations can be broadly classified under the following heads:

(a) general administration and revenue collection,

(b) public health,

(c) public safety,

(d) education,

(e) public works, and

(f) others such as interest payments, etc.

ICAI · Old P6 · Nov 2022 exam · question p. 12 · answer p. 14

1273 EXAM Old P6 Dec 2021 Q6(a)(ii) 4 marks old scheme

Local Fund Audit Wing of a State of a State Government has appointed you to audit the accounts of one of the Local body governed by it. As an auditor, what will be your reporting areas?

ICAI'S ANSWER

Reporting areas in audit of Local Fund:

The external control of municipal expenditure is exercised by the state governments through the appointment of auditors to examine municipal accounts. However, the municipal corporations of Delhi, Mumbai and a few others have powers to appoint their own auditors for regular external audit.

The important objectives of audit are:

(a) reporting on the fairness of the content and presentation of financial statements;

(b) reporting upon the strengths and weaknesses of systems of financial control;

(c) reporting on the adherence to legal and/or administrative requirements;

(d) reporting upon whether value is being fully received on money spent; and

(e) detection and prevention of error, fraud and misuse of resources.

ICAI · Old P6 · Dec 2021 exam · question p. 13 · answer p. 14

1274 EXAM **Old P6 Nov 2020** Q6(c) 3 marks old scheme

Explain the different types of revenue grants which local bodies may receive.

ICAI'S ANSWER

Local bodies may receive different types of grants from the state administration as well. Broadly, the revenue grants are of three categories:

(a) *General purpose grants:* These are primarily intended to substantially bridge the gap between the needs and resources of the local bodies.

(b) *Specific purpose grants:* These grants which are tied to the provision of certain services or performance of certain tasks.

(c) *Statutory and compensatory grants:* These grants, under various enactments, are given to local bodies as compensation on account of loss of any revenue on taking over a tax by state government from local government.

ICAI · Old P6 · Nov 2020 exam · question p. 11 · answer p. 13

1275 RTP **Old P6 May 2023** Q28(b) old scheme

State the important objectives of Local bodies Audit.

ICAI'S ANSWER

Objective of Audit of Local Bodies: The important objectives of audit of local bodies are:

(a) reporting on the fairness of the content and presentation of financial statements;

(b) reporting upon the strengths and weaknesses of systems of financial control;

(c) reporting on the adherence to legal and/or administrative requirements;

(d) reporting upon whether value is being fully received on money spent; and

(e) detection and prevention of error, fraud and misuse of resources.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 29

1276 **RTP** **Old P6 Dec 2021** Q28(a) old scheme

The external control of municipal expenditure is exercised by the state governments through the appointment of auditors to examine municipal accounts. Explain stating important objectives of audit of such bodies.

ICAI'S ANSWER

The external control of municipal expenditure is exercised by the state governments through the appointment of auditors to examine municipal accounts. However, the municipal corporations of Delhi, Mumbai and a few others have powers to appoint their own auditors for regular external audit.

The important objectives of audit are:

(a) reporting on the fairness of the content and presentation of financial statements;

(b) reporting upon the strengths and weaknesses of systems of financial control;

(c) reporting on the adherence to legal and/or administrative requirements;

(d) reporting upon whether value is being fully received on money spent; and

(e) detection and prevention of error, fraud and misuse of resources.

ICAI · Old P6 · RTP Dec 2021 · question p. 126 · answer p. 144-145

1277 **MTP** **Sep 2026 S-II** Q5(a) **5 marks**

Riverdale Municipal Corporation incurred substantial expenditure during the year 2025–26 on various civic services and development projects. During the external audit of its accounts, the auditor noticed certain weaknesses in the financial control system. Some expenditure had also been incurred without following prescribed legal and administrative requirements. Further, certain projects appeared to have involved substantial expenditure without corresponding benefits to the public. The auditor also came across certain instances indicating possible errors, fraud and misuse of municipal resources.

Explain the important objectives of audit of municipal accounts and apply them to the circumstances described above.

ICAI'S ANSWER

The external control of municipal expenditure is exercised by the state governments through the appointment of auditors to examine municipal accounts. However, the municipal corporations of Delhi, Mumbai and a few others have powers to appoint their own auditors for regular external audit.

The important objectives of audit are:

(i) reporting on the fairness of the content and presentation of financial statements;

(ii) reporting upon the strengths and weaknesses of systems of financial control;

(iii) reporting on the adherence to legal and/or administrative requirements;

(iv) reporting upon whether value is being fully received on money spent; and

(v) detection and prevention of error, fraud and misuse of resources.

From the facts of the case, it can be concluded that the audit of Riverdale Municipal Corporation should address all the above objectives. The weaknesses in financial controls, non-adherence to prescribed requirements, inadequate value from expenditure and indications of error, fraud or misuse of resources are matters relevant to the objectives of municipal audit.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 16 · answer p. 12

1278 MTP Old P6 Nov 2023 S-I Q6(b) 4 marks old scheme

Before commencing the Audit of Local Bodies, a Chartered Accountant employee in firm of XYZ & Co., firm of Chartered Accountants seeks assistance of Mr. X, partner, in preparation of audit programme for local bodies. How Mr. X should advise to him in this connection?

ICAI'S ANSWER

Audit Programme for local bodies

(i) The Local Fund Audit Wing of the State Government is generally in-charge of the audit of municipal accounts. Sometimes bigger municipal corporations e.g. Delhi, Mumbai etc have power to appoint their own auditors for regular external audit. So the auditor should ensure his appointment.

(ii) The auditor while auditing the local bodies should report on the fairness of the contents and presentation of financial statements, the strengths and weaknesses of system of financial control, the adherence to legal and/or administrative requirements; whether value is being fully received on money spent. His objective should be to detect errors and fraud and misuse of resources.

(iii) The auditor should ensure that the expenditure incurred conforms to the relevant provisions of the law and is in accordance with the financial rules and regulations framed by the competent authority.

(iv) He should ensure that all types of sanctions, either special or general, accorded by the competent authority.

(v) He should ensure that there is a provision of funds and the expenditure is incurred from the provision and the same has been authorized by the competent authority.

(vi) The auditor should check that the different schemes, programmes and projects, where large financial expenditure has been incurred, are running economically and getting the expected results.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 10 · answer p. 8-9

1279 MTP **Old P6 Dec 2021 S-II** Q6(c)(i) 2 marks

old scheme

List out the types of Revenue Grants received by local bodies from the State.

ICAI'S ANSWER

Revenue grants received by Local Bodies:

Local bodies may receive different types of grants from the state administration. Broadly the revenue grants are of three types:

(1) *General purpose grants*: These are primarily intended to substantially bridge the gap between the needs and resources of the local bodies.

(2) *Specific purpose grants*: These grants which are tied to the provision of certain services or

performance of certain tasks.

(3) *Statutory and compensatory grants*: These grants, under various enactments, are given to local bodies as compensation on account of loss of any revenue on taking over a tax by state government from local government.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 7 · answer p. 7-8

9.3 Not-for-profit organisations, trusts and societies

18 questions · asked in 17 ICAI documents · 7 exam papers

1280 **EXAM** **Jan 2026** Q5(b) **5 marks**

XYZ Sewa Foundation a registered NGO receives income from various sources such as foreign grants, membership fees, subscription etc. As the audit assistant you are assigned to verify the receipt of income of the NGO for the year.

You are required to describe the audit procedures you would perform to verify the receipt of income of an NGO.

ICAI'S ANSWER

The receipt of income of NGO may be checked on the following lines:

(i) Contributions and Grants for projects and programmes: Check agreements with donors and grants letters to ensure that funds received have been accounted for. Check that all foreign

contribution receipts are deposited in the foreign contribution bank account as notified under the Foreign Contribution (Regulation) Act, 2010

(ii) Receipts from fund raising programmes: Verify in detail the internal control system and ascertain who are the persons responsible for collection of funds and mode of receipt. Ensure that collections are counted and deposited in the bank daily.

(iii) Membership Fees: Check fees received with Membership Register. Ensure proper classification is made between entrance and annual fees and life membership fees. Reconcile fees received with fees to be received during the year.

(iv) Subscriptions: Check with subscription register and receipts issued. Reconcile subscription received with printing and dispatch of corresponding magazine / circulars / periodicals. Check the receipts with subscription rate schedule.

(v) Interest and Dividends: Check the interest and dividends received and receivable with investments held during the year.

ICAI · P5 · Jan 2026 exam · question p. 24 · answer p. 26

1281 **EXAM** **May 2024** **Q6(a)** **4 marks**

Sanskar Foundation is a Non-Governmental Organisation (NGO) for orphan children. They have received voluntary contribution of ₹ 50 lacs from the promoters, specifying that ₹ 20 lacs are towards the Corpus contribution and ₹ 30 lacs are towards

Revolving fund. Explain the terms "Corpus contribution" and "Revolving fund".

ICAI'S ANSWER

A contribution made towards the capital or the corpus of an NGO is known as corpus contribution. The donors are generally required to specify whether the donation/grant given by him shall form part of the corpus of the NGO. Such contributions are generally given with reference to the total funds required by an NGO.

The objective of a contribution or grant towards a Revolving Fund is to rotate the amount by giving temporary loans from the fund to other NGO or beneficiaries for their projects and then recover the loan so as to give temporary loans again and so on. However, any interest earned from the beneficiary on such temporary loans from the revolving fund could be either added back to the fund or credited to the Income and Expenditure Account depending on restrictions laid down by the authority providing the contribution (for the revolving fund) or by the rules and regulations laid down by the concerned NGO in this regard.

ICAI · P5 · May 2024 exam · question p. 18 · answer p. 19-20

1282 **EXAM** **Old P6 Nov 2023** Q6(a) **4 marks** **old scheme**

On 1st May 2022, NGO has been founded with the objective of disaster relief registered under section 8 of the Companies Act, 2013. In addition to corpus contribution, substantial foreign contributions also

have been received by NGO. You have been appointed as the first auditor of the said NGO for the F.Y. 2022-23. While planning the audit of NGO, which points you will focus upon? Mention any four such points.

ICAI'S ANSWER

While planning the audit, the auditor may concentrate on the following:

(i) Knowledge of the NGO's work, its mission and vision, areas of operations and environment in which it operate.

(ii) Updating knowledge of relevant statutes especially with regard to recent amendments, circulars, judicial decisions viz. Foreign Contribution (Regulation) Laws, Societies Registration Act, 1860, Income Tax Act 1961 etc. and the Rules related to the statutes.

(iii) Reviewing the legal form of the Organisation and its Memorandum of Association, Articles of Association, Rules and Regulations.

(iv) Reviewing the NGO's Organisation chart, then Financial and Administrative Manuals, Project and Programme Guidelines, Funding Agencies Requirements and formats, budgetary policies if any.

(v) Examination of minutes of the Board/Managing Committee/Governing Body/ Management and Committees thereof to ascertain the impact of any decisions on the financial records.

(vi) Study the accounting system, procedures, internal controls and internal checks existing for the NGO and verify their applicability.

(vii) Setting of materiality levels for audit purposes.

(viii) The nature and timing of reports or other communications.

(ix) The involvement of experts and their reports.

ICAI · Old P6 · Nov 2023 exam · question p. 11 · answer p. 12-13

1283 EXAM **Old P6 May 2023** Q6(d) 3 marks old scheme

CA B is appointed as the auditor of a Public Charitable Trust. Guide him the focus area of attention relating to the vouching and verification of expenditure of charitable institution.

ICAI'S ANSWER

Focus area of attention relating to vouching and verification of Expenditure of charitable institution

(i) Vouching payment of grants, also verifying that the grants have been paid only for a charitable purpose or purposes falling within the purview of the objects for which the charitable institution has been set up and that no trustee, director or member of the Managing Committee has benefited there from either directly or indirectly.

(ii) Verifying the schedules of securities held, as well as inventories of properties both movable and immovable by inspecting the securities and title

deeds of property and by physical verification of the movable properties on a test- basis.

(iii) Verifying the cash and bank payments.

(iv) Ascertaining that any funds contributed for a special purpose have been utilised for the purpose.

ICAI · Old P6 · May 2023 exam · question p. 14 · answer p. 15

1284 EXAM Old P6 Dec 2021 Q6(d) 3 marks old scheme

CA A is appointed as the auditor of a charitable institutions. Discuss the audit procedure undertaken by him while auditing the Subscription and Donation received by the charitable institution.

ICAI'S ANSWER

Audit Procedure in audit of Subscriptions & donations:

Audit Procedure to be undertaken by CA A in respect of Subscriptions and donations received by a Charitable Institution is:

(i) Ascertaining, if any, the changes made in amount of annual or life membership subscription during the year.

(ii) Whether official receipts are issued;

(a) confirming that adequate control is imposed over unused receipt books;

(b) obtaining all receipt books covering the period under review;

(c) test checking the counterfoils with the cash book; any cancelled receipts being specially looked into;

(d) obtaining the printed list of subscriptions and donations and agreeing them with the total collections shown in the accounts;

(e) examining the system of internal check regarding moneys received from box collections, flag days, etc. and checking the amount received from representatives, with the correspondence and the official receipts issued; paying special attention to the system of control exercised over collections and the steps taken to ensure that all collections made have been accounted for; and

(f) verifying the total subscriptions and donations received with any figures published in reports, etc. issued by the charity.

ICAI · Old P6 · Dec 2021 exam · question p. 13 · answer p. 16

1285 EXAM Old P6 Jan 2021 Q6(a) 4 marks old scheme

As an Auditor of NGO, how do you check/verify atleast four receipts of income during the year?

ICAI'S ANSWER

The receipt of income of NGO may be checked on the following lines:

(i) Contributions and Grants for projects and programmes: Check agreements with donors and grants letters to ensure that funds received have

been accounted for. Check that all foreign contribution receipts are deposited in the foreign contribution bank account as notified under the Foreign Contribution (Regulation) Act, 1976.

(ii) Receipts from fund raising programmes: Verify in detail the internal control system and ascertain who are the persons responsible for collection of funds and mode of receipt. Ensure that collections are counted and deposited in the bank daily.

(iii) Membership Fees: Check fees received with Membership Register. Ensure proper classification is made between entrance and annual fees and life membership fees. Reconcile fees received with fees to be received during the year.

(iv) Subscriptions: Check with subscription register and receipts issued. Reconcile subscription received with printing and dispatch of corresponding magazine/ circulars/periodicals. Check the receipts with subscription rate schedule.

(v) Interest and Dividends: Check the interest and dividends received and receivable with investments held during the year.

ICAI · Old P6 · Jan 2021 exam · question p. 11 · answer p. 12

1286 EXAM **Old P6 Nov 2019** Q6(b) 4 marks old scheme

In the case of audit of a charitable institution, what attentions should be paid by the auditor regarding audit of expenditure items?

ICAI'S ANSWER

Audit of Expenditure of Charitable Institution:

(i) Vouching payment of grants also verifying that the grants have been paid only for a charitable purpose or purposes falling within the purview of the objects for which the charitable institution has been set up and that no trustee, director or member of the management committee has benefited there from either directly or indirectly.

(ii) Verifying the schedules of securities held, as well as inventories of properties both movable and immovable by inspecting the securities and title deeds of property and by physical verification of the movable properties on a test basis.

(iii) Check payment along with supporting documents in regard to salary and other expenses. Verify that all payments are made after proper sanction by appropriate authority.

(iv) Ascertaining that any funds contributed for a special purpose have been utilised for the purpose.

(v) Verifying the cash and bank balances/payments.

ICAI · Old P6 · Nov 2019 exam · question p. 11 · answer p. 12

1287 RTP **Sep 2026** Q18

You have been appointed as the statutory auditor of a society "Bright Future Welfare Society", registered for promoting educational and social welfare activities in rural areas. The society receives donations from public, grants from government agencies and contributions

from foreign donors for conducting awareness programs and skill development camps.

During audit for the financial year 2025-26, you observe that society has incurred substantial expenditure on welfare activities, administrative expenses and purchase of educational materials. Certain expenditures were later reimbursed by specific donors based on utilisation certificates submitted by society. Further, a few complaints alleging improper utilisation of funds were filed before the Registrar of Societies and an inquiry was initiated regarding the financial condition and functioning of the governing body.

The management has also claimed exemption under the Income Tax Act and informed that the society is registered under the Foreign Contribution (Regulation) Act, 2010 for receiving overseas donations. As an auditor, explain the various audit considerations and procedures relevant in the audit of a society.

ICAI'S ANSWER

The auditor's considerations and procedures relevant in the audit of a society:

(a) The auditor should ascertain governing legislation of society i.e. Societies Registration Act, 1860 or any applicable state law under which it has been registered.

(b) Object of society needs to be ascertained from its memorandum of association/bye laws. Its activities may include charitable, social, cultural or educational activities.

(c) Ascertain whether society has obtained registration under Foreign Contribution (Regulation) Act, 2010 in case foreign contributions are received.

(d) Ascertain whether it is also registered under relevant provisions of Income Tax Act which may make it eligible for tax exemption on its income.

(e) Obtain an understanding of internal control to design audit procedures with special reference to donations and various expenditures incurred in relation to achievements of objects of society.

(f) Evaluate appropriateness of accounting policies with special reference to donations and grants. Also evaluate accounting policies in relation to specific grants.

(g) In case some expenses incurred by society are reimbursed by donors, ascertain how these are recognised in financial statements.

(h) Ascertain, if any inquiry has been held by Registrar under applicable law in the working or financial condition of society and its implications for auditor's opinion.

(i) Ascertain all cases of irregular, illegal or improper expenditure or failure or omission to recover monies or other property belonging to society or of loss or waste of money or other property thereof.

(j) Ascertain whether such expenditure or waste was caused in consequence of breach of trust or

misapplication or any other misconduct on the part of governing body.

Thus, in the audit of *Bright Future Welfare Society*, the auditor should ensure that the financial affairs and activities of the society are carried out in accordance with its stated objectives and the applicable legal and regulatory framework. Considering the receipt of grants, public donations, foreign contributions, reimbursement-based funding arrangements and the inquiry initiated by the Registrar of Societies, the auditor should exercise professional skepticism while evaluating the utilization of funds and governance practices of the society.

The auditor should also evaluate the effect of any adverse findings, non-compliance, or irregularities in the financial statements and determine the consequential impact on the audit report, including the need for suitable reporting or modification, wherever necessary.

ICAI · P5 · RTP Sep 2026 · question p. 10-11 · answer p. 21-22

1288 **RTP** **May 2026** Q8 MCQ

While auditing a charitable trust for the year ended 31 March 2025, the auditor obtained a list of books and records maintained by the trust and verified them with the mandatory records prescribed. Based on his evaluation of internal controls, he applied test checks, complied with the applicable Accounting Standards and Standards on Auditing, considered materiality

while performing audit procedures and maintained detailed working papers documenting the audit evidence relied upon for forming his opinion.

Which of the following actions of the auditor in the above case is most appropriate as per generally accepted auditing practices?

A Using professional judgment to determine audit tests, applying test checks based on internal control evaluation, considering materiality and maintaining working papers to support the audit opinion.

B Applying test checks irrespective of internal control evaluation, since trust audits are not governed by internal control considerations.

C Restricting compliance to Accounting Standards only, as Standards on Auditing are recommendatory in case of trust audits.

D Maintaining working papers only for material items, as immaterial matters do not require audit documentation.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P5 · RTP May 2026 · question p. 5-6 · answer p. 12

1289 **RTP** **May 2026** Q18

Hope Foundation, a registered non-governmental organisation (NGO), is engaged in social welfare activities across multiple states and receives funds from domestic as well as foreign donors. The

organisation is governed by a Managing Committee and is required to comply with various statutes and funding agency requirements.

While planning the statutory audit of the NGO, the auditor is required to obtain a thorough understanding of the organisation, its regulatory environment, internal systems and prior audit findings in order to design appropriate audit procedures.

With reference to above, state the matters on which the auditor may concentrate while planning the audit of an NGO.

ICAI'S ANSWER

While planning the audit, the auditor may concentrate on the following:

(i) Knowledge of the NGO's work, its mission and vision, areas of operations and environment in which it operates.

(ii) Updating knowledge of relevant statutes especially with regard to recent amendments, circulars, judicial decisions viz. Foreign Contribution (Regulation) Act 2010, Societies Registration Act, 1860, Income Tax Act 1961 etc. and the Rules related to the statutes.

(iii) Reviewing the legal form of the Organisation and its Memorandum of Association, Articles of Association, Rules and Regulations.

(iv) Reviewing the NGO's Organisation chart, then Financial and Administrative Manuals, Project and Programme Guidelines, Funding Agencies

Requirements and formats, budgetary policies if any.

(v) Examination of minutes of the Board/Managing Committee/ Governing Body/Management and Committees thereof to ascertain the impact of any decisions on the financial records.

(vi) Study the accounting system, procedures, internal controls and internal checks existing for the NGO and verify their applicability.

(vii) Setting of materiality levels for audit purposes.

(viii) The nature and timing of reports or other communications.

(ix) The involvement of experts and their reports.

(x) Review the previous year's Audit Report.

Thus, a comprehensive understanding of the NGO's objectives, regulatory framework, governance structure and internal systems enables the auditor to plan the audit effectively and perform it in accordance with applicable auditing standards.

ICAI · P5 · RTP May 2026 · question p. 10 · answer p. 21-22

1290 **RTP** **Jan 2025** **Q18**

An NGO based in Kolkata collected significant donations for flood victims in Bihar. The funds were distributed to various NGOs operating in Bihar to support relief efforts. You have been appointed as the auditor for this NGO's accounts for the year in which it collected and disbursed these donations. Draft an audit

program to audit the receipts of donations and the remittance of the collected funds to different NGOs.

ICAI'S ANSWER

Receipt of Donations:

(i) Internal Control System: Existence of internal control system particularly with reference to division of responsibilities in respect of authorised collection of donations, custody of receipt books and safe custody of money.

(ii) Custody of Receipt Books: Existence of system regarding issue of receipt books, whether unused receipt books are returned and the same are verified physically including checking of number of receipt books and sequence of numbering therein.

(iii) Receipt of Cheques: Receipt Book should have carbon copy for duplicate receipt and signed by a responsible official. All details relating to date of cheque, bank's name, date, amount, etc. should be clearly stated.

(iv) Bank Reconciliation: Reconciliation of bank statements with reference to all cash deposits not only with reference to date and amount but also with reference to receipt book.

(v) Cash Receipts: Register of cash donations to be vouched more extensively. If addresses are available of donors who had given cash, the same may be cross-checked by asking entity to post thank you letters mentioning amount, date and receipt number.

(vi) Foreign Contributions, if any, to receive special attention to compliance with applicable laws and regulations.

Remittance of Donations to Different NGOs:

(i) Mode of Sending Remittance: All remittances are through account payee cheques. Remittances through Demand Draft would also need to be scrutinised thoroughly with reference to recipient.

(ii) Confirming Receipt of Remittance: All remittances are supported by receipts and acknowledgements.

(iii) Identity: Recipient NGO is a genuine entity. Verify address, 80G Registration Number, etc.

(iv) Direct Confirmation Procedure: Send confirmation letters to entities to whom donations have been paid.

(v) Donation Utilisation: Utilisation of donations for providing relief to Tsunami victims and not for any other purpose.

(vi) System of NGOs' Selection: System for selecting NGO to whom donations have been sent.

ICAI · P5 · RTP Jan 2025 · question p. 7 · answer p. 18-19

1291 RTP **Old P6 Dec 2021** Q28(b) old scheme

Same question, different ICAI answer: #1294 MTP May 2025 S-II

While planning the audit of an NGO, the auditor may focus on Knowledge of the NGO's work, its mission and vision, Updating knowledge of relevant statutes

especially with regard to recent amendments, circulars etc. Explain the other relevant points the auditor needs to focus while planning the audit of NGO.

ICAI'S ANSWER

While planning the audit, the auditor may concentrate on the following:

(i) Knowledge of the NGO's work, its mission and vision, areas of operations and environment in which it operate.

(ii) Updating knowledge of relevant statutes especially with regard to recent amendments, circulars, judicial decisions viz. Foreign Contribution (Regulation) Act 1976, Societies Registration Act, 1860, Income Tax Act 1961 etc. and the Rules related to the statutes.

(iii) Reviewing the legal form of the Organisation and its Memorandum of Association, Articles of Association, Rules and Regulations.

(iv) Reviewing the NGO's Organisation chart, then Financial and Administrative Manuals, Project and Programme Guidelines, Funding Agencies Requirements and formats, budgetary policies if any.

(v) Examination of minutes of the Board/Managing Committee/Governing Body/ Management and Committees thereof to ascertain the impact of any decisions on the financial records.

(vi) Study the accounting system, procedures, internal controls and internal checks existing for

the NGO and verify their applicability.

(vii) Setting of materiality levels for audit purposes.

(viii) The nature and timing of reports or other communications.

(ix) The involvement of experts and their reports.

(x) Review the previous year's Audit Report.

ICAI · Old P6 · RTP Dec 2021 · question p. 126 · answer p. 145

1292 MTP **Sep 2026 S-I** Q3(a) 5 marks

Helping Hands Charitable Institution is a registered charitable institution engaged in providing free education and healthcare services. During the statutory audit for the year ended 31st March, 2026, the auditor noted the following:

- The Trust Deed was amended during the year, but the amendments were not reviewed by the audit team.
- The trust receives income through annual membership subscriptions, life membership fees, donations, charity boxes and fundraising events.
- Receipt books are maintained manually. However, no register of unused receipt books is maintained, and several cancelled receipts were found without proper authorisation.
- Amounts collected through donation boxes and fundraising events are deposited into the bank after considerable delay.

- The total donations reported in the annual report issued by the institution do not agree with the amount recorded in the books of account.
- The institution has expanded its charitable activities during the year, but no verification was carried out to ascertain whether such activities are in accordance with the objects and governing provisions of the institution.

As the statutory auditor of Helping Hands Charitable Institution, explain the audit procedures you would perform while auditing the institution, with particular reference to the following:

- the legal and constitutional framework governing the institution;
- the governance and management of the institution
- the adequacy of internal control over receipts and collections; and the audit of income, subscriptions and donations.

ICAI'S ANSWER

In the case of audit of Helping Hands Charitable institution, attention should be paid to the following matters-

(1) General

(i) Studying the **constitution** under which the charitable institution has been set up.

(ii) Verifying whether the institution is being managed in the manner contemplated by the law under which it has been set up.

(iii) Examining the **system of internal check**, especially as regards accounting of amounts collected.

(iv) Verifying in detail the income and confirming that the amounts received have been deposited in the bank regularly and promptly.

(v) Examine the Trust Deed or the Regulations as laid down.

(2) Subscriptions and donations

(i) Ascertaining, if any, the changes made in amount of **annual or life membership** subscription during the year.

(ii) Whether **official receipts** are issued;

(a) confirming that adequate control is imposed over unused receipt books;

(b) obtaining all receipt books covering the period under review;

(c) test checking the counterfoils with the cash book; any cancelled receipts being specially looked into;

(d) obtaining the printed list of subscriptions and donations and agreeing them with the total collections shown in the accounts;

(e) examining the system of internal check regarding moneys received from box collections, flag days, etc. and checking the amount received from representatives, with the correspondence and the official receipts issued; paying special attention

to the system of control exercised over collections and the steps taken to ensure that all collections made have been accounted for; and

(f) verifying the total subscriptions and donations received with any figures published in reports, etc. issued by the charity.

The auditor should obtain sufficient and appropriate audit evidence to conclude whether the charitable institution is functioning in accordance with its governing documents and applicable laws, whether adequate internal controls exist over collections, and whether all income, subscriptions and donations have been completely accounted for, promptly deposited and properly disclosed in the financial statements.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 13 · answer p. 7-8

1293 MTP **Sep 2025 S-I** Q5(b) 5 marks

Serving Fingers Foundation, a registered NGO based in Delhi, launched a nationwide donation drive during the year 2024–25 to support victims of a flood in Assam. The NGO received substantial donations from individuals, corporates, and international donors. These funds were then sent to to different NGOs operating in Assam, who were actively involved in flood relief work. Serving Fingers Foundation has appointed you to audit its accounts for the year in which it collected and remitted donations for flood victims. Draft audit programme for audit of receipts of donations and remittance of the collected amount to different NGOs. Mention three

points each, peculiar to the situation, which you will like to incorporate in your audit programme for audit of said receipts and remittances of donations.

ICAI'S ANSWER

In the given situation, the audit programme should include the following specific points for audit of receipts and remittances of donation.

Receipt of Donations:

(i) **Internal Control System:** Existence of internal control system particularly with reference to division of responsibilities in respect of authorised collection of donations, custody of receipt books and safe custody of money.

(ii) **Custody of Receipt Books:** Existence of system regarding issue of receipt books, whether unused receipt books are returned and the same are verified physically including checking of number of receipt books and sequence of numbering therein.

(iii) **Receipt of Cheques:** Receipt Book should have carbon copy for duplicate receipt and signed by a responsible official. All details relating to date of cheque, bank's name, date, amount, etc. should be clearly stated.

(iv) **Bank Reconciliation:** Reconciliation of bank statements with reference to all cash deposits not only with reference to date and amount but also with reference to receipt book.

(v) **Cash Receipts:** Register of cash donations to be vouched more extensively. If addresses are available

of donors who had given cash, the same may be cross-checked by asking entity to post thank you letters mentioning amount, date and receipt number.

(vi) **Foreign Contributions,** if any, to receive special attention to compliance with applicable laws and regulations.

Remittance of Donations to Different NGOs:

(i) **Mode of Sending Remittance:** All remittances are through account payee cheques. Remittances through Demand Draft would also need to be scrutinised thoroughly with reference to recipient.

(ii) **Confirming Receipt of Remittance:** All remittances are supported by receipts and acknowledgements.

(iii) **Identity:** Recipient NGO is a genuine entity. Verify address, 80G Registration Number, etc.

(iv) **Direct Confirmation Procedure:** Send confirmation letters to entities to whom donations have been paid.

(v) **Donation Utilisation:** Utilisation of donations for providing relief to Tsunami victims and not for any other purpose.

(vi) **System of NGOs' Selection:** System for selecting NGO to whom donations have been sent.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 10 · answer p. 10-11

1294 MTP **May 2025 S-II** Q2(b) 5 marks

Same question, different ICAI answer: #1291 Old P6 RTP Dec 2021

While planning the audit of an NGO, the auditor may focus on knowledge of the NGO's work, its mission and vision, updating knowledge of relevant statutes especially with regard to recent amendments, circulars etc. Explain the other relevant points the auditor needs to focus while planning the audit of NGO.

ICAI'S ANSWER

While planning the audit, the auditor may concentrate on the following:

(i) Knowledge of the NGO's work, its mission and vision, areas of operations and environment in which it operate.

(ii) Updating knowledge of relevant statutes especially with regard to recent amendments, circulars, judicial decisions viz. The Foreign Contribution (Regulation) Act 1976, The Societies Registration Act, 1860, The Income-tax Act 1961 etc. and the Rules related to the statutes.

(iii) Reviewing the legal form of the Organisation and its Memorandum of Association, Articles of Association, Rules and Regulations.

(iv) Reviewing the NGO's Organisation chart, then Financial and Administrative Manuals, Project and Programme Guidelines, Funding Agencies Requirements and formats, budgetary policies if any.

(v) Examination of minutes of the Board/Managing Committee/Governing Body/ Management and Committees thereof to ascertain the impact of any decisions on the financial records.

(vi) Study the accounting system, procedures, internal controls and internal checks existing for the NGO and verify their applicability.

(vii) Setting of materiality levels for audit purposes.

(viii) The nature and timing of reports or other communications.

(ix) The involvement of experts and their reports.

(x) Review the previous year's Audit Report.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 3-4

1295 MTP **Old P6 Nov 2023 S-I** Q6(d) 3 marks old scheme

As an auditor, how would you check and verify the receipt of income of NGO?

ICAI'S ANSWER

The receipt of income of NGO may be checked on the following lines:

(i) **Contributions and Grants for projects and programmes:** Check agreements with donors and grants letters to ensure that funds received have been accounted for. Check that all foreign contribution receipts are deposited in the foreign contribution bank account as notified under the Foreign Contribution (Regulation) Act, 1976.

(ii) **Receipts from fund raising programmes:** Verify in detail the internal control system and ascertain who are the persons responsible for collection of funds and mode of receipt. Ensure that collections are counted and deposited in the bank daily.

(iii) **Membership Fees:** Check fees received with Membership Register. Ensure proper classification is made between entrance and annual fees and life membership fees. Reconcile fees received with fees to be received during the year.

(iv) **Subscriptions:** Check with subscription register and receipts issued. Reconcile subscription received with printing and dispatch of corresponding magazine /circulars/ periodicals. Check the receipts with subscription rate schedule.

(v) **Interest and Dividends:** Check the interest and dividends received and receivable with investments held during the year.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 10 · answer p. 9

1296 MTP **Old P6 May 2023 S-II** Q6(c) 4 marks old scheme

As an Auditor of NGO, how do you check/verify at least four receipts of income during the year?

ICAI'S ANSWER

The receipt of income of NGO may be checked on the following lines:

(i) Contributions and Grants for projects and programmes: Check agreements with donors and

grants letters to ensure that funds received have been accounted for. Check that all foreign contribution receipts are deposited in the foreign contribution bank account as notified under the Foreign Contribution (Regulation) Act, 1976.

(ii) Receipts from fund raising programmes: Verify in detail the internal control system and ascertain who are the persons responsible for collection of funds and mode of receipt. Ensure that collections are counted and deposited in the bank daily.

(iii) Membership Fees: Check fees received with Membership Register. Ensure proper classification is made between entrance and annual fees and life membership fees. Reconcile fees received with fees to be received during the year.

(iv) Subscriptions: Check with subscription register and receipts issued. Reconcile subscription received with printing and dispatch of corresponding magazine/ circulars/periodicals. Check the receipts with subscription rate schedule.

(v) Interest and Dividends: Check the interest and dividends received and receivable with investments held during the year.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 9-10

1297 MTP **Old P6 Jul 2021 S-I** Q6(c) 3 marks old scheme

The audit programme of NGO should include in a sequential order all assets, liabilities, income and

expenditure ensuring that no material item is omitted. Explain.

ICAI'S ANSWER

The audit programme should include in a sequential order all assets, liabilities, income and expenditure ensuring that no material item is omitted.

(i) Corpus Fund: The contributions / grants received towards corpus be vouched with special reference to the letters from the donor(s). The interest income be checked with Investment Register and Physical Investments in hand.

(ii) Reserves: Vouch transfers from projects / programmes with donors letters and board resolutions of NGO. Also check transfer of gross value of asset sold from capital reserve to general reserve and adjustments during the year.

(iii) Ear-marked Funds: Check requirements of donors institutions, board resolution of NGO, rules and regulations of the schemes of the ear-marked funds.

(iv) Project / Agency Balances: Vouch disbursements and expenditure as per agreements with donors for each of the balances.

(v) Loans: Vouch loans with loan agreements, counterfoil of receipt issued.

(vi) Fixed Assets: Vouch all acquisitions / sale or disposal of assets including depreciation and the authorisations for the same. Also check donor's

letters/ agreements for the grant. In the case of immovable property check title, etc.

(vii) Investments: Check Investment Register and the investments physically ensuring that investments are in the name of the NGO. Verify further investments and dis- investments for approval by the appropriate authority and reference in the bank accounts for the principal amount and interest.

(viii) Cash in Hand: Physically verify the cash in hand and imprest balances, at the close of the year and whether it tallies with the books of account.

(ix) Bank Balance: Check the bank reconciliation statements and ascertain details for old outstanding and unadjusted amounts.

(x) Inventory: Verify inventory in hand and obtain certificate from the management for the quantities and valuation of the same.

(xi) Programme and Project Expenses: Verify agreement with donor/contributor(s) supporting the particular programme or project to ascertain the conditions with respect to undertaking the programme/project and accordingly, in the case of programmes/projects involving contracts, ensure that income tax is deducted, deposited and returns filed and verify the terms of the contract.

(xii) Establishment Expenses: Verify that provident fund, life insurance premium, employees state insurance and their administrative charges are

deducted, contributed and deposited within the prescribed time. Also check other office and administrative expenses such as postage, stationery, travelling, etc.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 8 · answer p. 9

9.4 Educational institutions, hotels, clubs and hospitals

42 questions · asked in 30 ICAI documents · 7 exam papers

1298 EXAM **Sep 2026** Case scenario · Q5(b)(i) to Q5(b)(iii) 5 marks

CASE SCENARIO

Tannish & Co., Chartered Accountants are statutory auditors of H Resorts Ltd. which has a Club and attached Hotel. In this regard, specify the audit procedures to be performed to obtain sufficient and appropriate audit evidence in respect of following items in the financial statements :

Q5(b)(i) 1 mark

Irrecoverable Member dues in the case of club.

Q5(b)(ii) 1 mark

Margins earned in the case of club.

Q5(b)(iii) 3 marks

Room sales & Hall bookings of the Hotel.

ICAI'S ANSWERS

Q5(b)(i)

ICAI has not published its answers to this paper yet.

Q5(b)(ii)

ICAI has not published its answers to this paper yet.

Q5(b)(iii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 21

1299 EXAM Jan 2025 Q6(a) 5 marks

CA P was consulted by one of his friends, Mr. Robin. Robin informed him that he wants to enter in education sector and invest in one of the schools being operated in the city. The operations of the school will be managed by Robin only and the proposed investment will be made once CA P confirms the revenue figures given to him (Robin) by existing management of the school. CA P said that main source of revenue to school is fee from students and that will be verified.

What special steps are involved in the verification of fees collected from students?

ICAI'S ANSWER

Steps involved in the verification of fees collected from students:

(i) Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.

(ii) Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

(iii) Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.

(iv) Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.

(v) See that free studentship and concessions have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.

(vi) Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.

(vii) Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

ICAI · P5 · Jan 2025 exam · question p. 28 · answer p. 29-30

1300 EXAM Old P6 Nov 2023 Q6(a) 4 marks old scheme

CA Z is appointed as the auditor of Chanakya Open University which offers higher learning educational courses through the Distance Mode of Education. Discuss four steps involved in his audit of other receipts/grants and donations received by the University.

ICAI'S ANSWER

Audit of Other Receipts/Grants & Donations by CA Z would involve the following steps:

1. Verify rental income from landed property with the rent rolls, etc.
2. Vouch income from endowments and legacies, as well as interest and dividends from investment; also inspect the securities in respect of investments held.
3. Verify any Government or local authority grant with the memo of grant.
4. If any expense has been disallowed for purposes of grant, ascertain the reasons thereof.

ICAI · Old P6 · Nov 2023 exam · question p. 11 · answer p. 12

1301 EXAM Old P6 May 2022 Q5(d) 3 marks old scheme

M/s T & Co. Chartered Accountants, a partnership firm, is appointed as an auditor of Treatment Hospital run by Smile Foundation, a charitable trust. Over and above the receipts of treatment of patients, during the year trust has received donations from various donors to treat COVID-19 patients and also incurred some capital

expenditure for further development of the hospital. On some of the investment income, income tax has been deducted. What are the special points to be considered by M/s T & Co. while auditing such transactions of Treatment Hospital?

ICAI'S ANSWER

Audit of a Hospital:

(A) Receipts from treatment of patients

1. **Register of Patients:** Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.
2. **Collection of Cash from patients**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patient's bills.

(B) Donations from donors to treat the patients: Ascertain those legacies and donation received for a specific purpose have been applied in the manner agreed upon.

(C) Capital Expenditure Incurred: Verify the Capital Expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee.

(D) Where income-tax has been deducted from the Investment income, it should be seen that a refund thereof has been obtained since charitable institutions are exempt from payment of Income-tax. This involves:

(i) vouching the Income-tax refund with the correspondence with the Income-tax Department; and

(ii) checking the calculation of the repayment of claims/refund claim.

ICAI · Old P6 · May 2022 exam · question p. 10-11 · answer p. 13

1302 EXAM **Old P6 Jul 2021** Q4(b) 4 marks old scheme

You have been appointed as an auditor of a health care service provider. Briefly discuss the special points that should be kept in mind as an auditor for developing an audit programme.

ICAI'S ANSWER

The special points to be kept in mind as an auditor for developing an audit programme of healthcare service provider are:

1. **Register of Patients:** Auditors to vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

2. **Collection of Cash**: Auditor to check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills, etc.
3. **Income from Investments, Rent etc**: See by reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends, and interest on securities have been collected.
4. **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.
5. **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).
6. **Authorisation and Sanctions**: Vouch all purchases and expenses and verify that the capital expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee and that appointments and increments to staff have been duly authorised.
7. **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in

respect of taxes deducted at source has been claimed.

8. **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.
9. **Internal Check**: Examine the internal check as regards the receipt and issue of stores; medicines, linen, apparatus, clothing, instruments, etc. so as to insure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.
10. **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.
11. **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.
12. **Inventories**: Obtain inventories, especially of stocks and stores as at the end of the year and check a percentage of the items physically; also compare their total values with respective ledger balances.
13. **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

Alternative Answer

(b) Developing the Audit Programme

1. **Written Audit Programme:** The auditor should prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.
2. **Audit Objective and Instruction to Assistants:** The programme may also contain the audit objectives for each area and should have sufficient details to serve as a set of instructions to the assistants involved in the audit and as a means to control the proper execution of the work.
3. **Reliance on Internal Controls:** In preparing the audit programme, the auditor, having an understanding of the accounting system and related internal controls, may wish to rely on certain internal controls in determining the nature, timing and extent of required auditing procedures. The auditor may conclude that relying on certain internal controls is an effective and efficient way to conduct his audit. However, the auditor may decide not to rely on internal controls when there are other more efficient ways of obtaining sufficient appropriate audit evidence. The auditor should also consider the timing of the procedures, the coordination of any assistance expected from the client, the availability of assistants, and the involvement of other auditors or experts.

4. **Timings of Performance of Audit Procedures:** The auditor normally has flexibility in deciding when to perform audit procedures. However, in some cases, the auditor may have no discretion as to timing, for example, when observing the taking of inventories by client personnel or verifying the securities and cash balances at the year-end.
5. **Audit Planning:** The audit planning ideally commences at the conclusion of the previous year's audit, and along with the related programme, it should be reconsidered for modification as the audit progresses. Such consideration is based on the auditor's review of the internal control, his preliminary evaluation thereof, and the results of his compliance and substantive procedures.

ICAI · Old P6 · Jul 2021 exam · question p. 39 · answer p. 40-42

1303 **EXAM** **Old P6 Jul 2021** Q6(b) **4 marks** **old scheme**

You have been appointed as an auditor of VJM Schools. Discuss the points which merit your consideration as an auditor while verifying Assets and Liabilities of VJM Schools.

ICAI'S ANSWER

Verification of Assets & Liabilities of VJM Schools:

1. Report any old heavy arrears on account of fees, dormitory rents, etc. to the Managing Committee.

2. Confirm that caution money and other deposits paid by students on admission, have been shown as liability in the balance sheet and not transferred to revenue, unless they are not refundable.
3. See that the investments representing endowment funds for prizes are kept separate and any income in excess of the prizes has been accumulated and invested along with the corpus.
4. Ascertain that the system ordering inspection on receipt and issue of provisions, food stuffs, clothing and other equipment is efficient and all bills are duly authorised and passed before payment.
5. Verify the inventories of furniture, stationery, clothing, provision and all equipment etc. These should be checked by reference to Inventory Register or corresponding inventories of the previous year and values applied to various items should be test checked.

ICAI · Old P6 · Jul 2021 exam · question p. 45 · answer p. 46-47

1304 EXAM **Old P6 Jan 2021** Q6(b) 4 marks old scheme

You have been appointed as internal auditor of 'City Club' in Delhi. The receipts of the club were 50 lakhs during the previous year ending 2019-20. You are required to mention special points of consideration while auditing such receipts of the club.

ICAI'S ANSWER

The special steps involved, to be considered by the Internal Auditor of City Club in conducting the audit of receipts of the club are stated below-

(1) Vouch the receipt on account of entrance fees with members' applications, counterfoils issued to them, as well as on a reference to minutes of the Managing Committee.

(2) Vouch members' subscriptions with the counterfoils of receipt issued to them, trace receipts for a selected period to the Register of Members; also reconcile the amount of total subscriptions due with the amount collected and that outstanding.

(3) Ensure that arrears of subscriptions for the previous year have been correctly brought over and arrears for the year under audit and subscriptions received in advance have been correctly adjusted.

(4) Check totals of various columns of the Register of members and tally them across.

(5) See the Register of Members to ascertain the Member's dues which are in arrear and enquire whether necessary steps have been taken for their recovery; the amount considered irrecoverable should be mentioned in the Audit Report.

(6) Verify the internal check as regards members being charged with the price of foodstuffs and drinks provided to them and their guests, as well as, with the fees chargeable for the special services rendered, such as billiards, tennis, etc.

1305 EXAM **Old P6 Nov 2019** Q6(b) 4 marks old scheme

You have been appointed auditor of M/s. Divine Children Hospital. Discuss any four important points that would attract your attention while audit.

ICAI'S ANSWER

AUDIT OF HOSPITAL

The important points involved in such an audit are stated below-

(i) **Register of patients**: Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

(ii) **Collection of Cash**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence. For eg. copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills etc.

(iii) **Income from Investments, Rent etc.**: See by reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends and interest on securities have been collected.

(iv) **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have

been applied in the manner agreed upon.

(v) **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

(vi) **Authorisation and sanctions**: Vouch all purchases and expenses and verify that the capital expenditure incurred only with the prior sanction of the trustees of the Managing Committee and that appointments and increments to staff have been duly authorised.

(vii) **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

(viii) **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.

(ix) **Internal Check**: Examine the internal check as regards the receipt and issue of stores, medicines, linen, apparatus, clothing, instruments, etc. so as to ensure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.

(x) **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.

(xi) **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.

(xii) **Inventories**: Obtain inventories, especially of stocks and stores as at the end of the year and check the percentage of the items physically, also compare their total values with respective ledger balances.

(xiii) **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

ICAI · Old P6 · Nov 2019 exam · question p. 11 · answer p. 12-13

1306 **RTP** **Jan 2026** Q18

You are appointed as an auditor of Great Eastern Hotel, a Five Star hotel, for Financial Year 2024-25. As an auditor what are the special points that need to be considered in verifying the Inventories in the nature of food and beverages?

ICAI'S ANSWER

Verification of inventories in the nature of food and beverages:

The inventories in any hotel are both readily portable and saleable particularly the food and

beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores' areas and sales point. The auditor should carry out tests to ensure that all such documentation is accurately processed. Therefore, following points may be noted in this regard:

(a) Areas where inventories are kept must be kept locked and the key retained by the departmental manager.

(b) The key should be released only to trusted personnel and unauthorized persons should not be permitted in the stores area.

(c) Many hotels use specialized professional valuers to count and value the inventories on a continuous basis throughout the year.

(d) The auditor should ensure that all inventories are valued at the year end and that he should himself be present at the year-end physical verification, to the extent practicable, having regard to materiality consideration and nature and location of inventories

ICAI · P5 · RTP Jan 2026 · question p. 8 · answer p. 17

1307 **RTP** **May 2024** Q20

Same question, different ICAI answer: #1309 Old P6 RTP May 2022 · #1320 Old P6 MTP Nov 2023 S-II

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. Explain.

ICAI'S ANSWER

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. It is the responsibility of management to introduce controls which will minimize the leakage as far as possible. Evidence of their success is provided by the preparation of regular perhaps weekly, trading accounts for each sales point and a detailed scrutiny of the resulting profit percentages, with any deviation from the anticipated form being investigated. The auditor should obtain these regular trading accounts for the period under review, examine them and obtain explanations for any apparent deviations.

The auditor should verify a few restaurant bills by reference to K.O.T.s (Kitchen Order Tickets) or basic record. This would enable the auditor to ensure that controls regarding revenue cycle are in order.

The auditor should satisfy himself that all taxes collected from occupants on food and occupation have been paid over to the proper authorities. If the internal control in a hotel is weak or perhaps breaks down, then a very serious problem exists for the auditor. As a result of the transient nature of many of his clients' records, the auditor must rely to a very large extent on the gross margin shown by the accounts. As a result, the scope of his audit tests will

necessarily be increased and, in the event of a material margin discrepancy being unexplained, he will have to consider qualifying his audit report.

ICAI · P5 · RTP May 2024 · question p. 13 · answer p. 28

1308 RTP **Old P6 Nov 2022 Q28(a)** old scheme

You have been appointed as an auditor of ABC Hotel, a three star hotel, for Financial Year 2021-22. As an auditor what are the special points that need to be considered in verifying the Inventories in the nature of food and beverages?

ICAI'S ANSWER

Verification of inventories in the nature of food and beverages: The inventories in any hotel are both readily portable and saleable particularly the food and beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores' areas and sales point. The auditor should carry out tests to ensure that all such documentation is accurately processed. Therefore, following points may be noted in this regard:

(a) All movement and transfer of inventories must be properly documented.

(b) Areas where inventories are kept must be kept locked and the key retained by the departmental manager.

(c) The key should be released only to trusted personnel and unauthorized persons should not be permitted in the stores area.

(d) Many hotels use specialized professional valuers to count and value the inventories on a continuous basis throughout the year.

(e) The auditor should ensure that all inventories are valued at the year end and that he should himself be present at the year-end physical verification, to the extent practicable, having regard to materiality consideration and nature and location of inventories.

ICAI · Old P6 · RTP Nov 2022 · question p. 14 · answer p. 29-30

1309 **RTP** **Old P6 May 2022** Q28(a) old scheme

Same question, different ICAI answer: #1307 RTP May 2024 · #1320 Old P6 MTP Nov 2023 S-II

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. Explain.

ICAI'S ANSWER

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. It is the responsibility of management to introduce controls which will minimise the leakage as far as possible. Evidence of their success is provided by the preparation of regular perhaps weekly, trading accounts for each sales point and a detailed scrutiny of the resulting profit percentages,

with any deviation from the anticipated form being investigated. The auditor should obtain these regular trading accounts for the period under review, examine them and obtain explanations for any apparent deviations.

The auditor should verify a few restaurant bills by reference to K.O.T.s (Kitchen Order Tickets) or basic record. This would enable the auditor to ensure that controls regarding revenue cycle are in order.

The auditor should satisfy himself that all taxes collected from occupants on food and occupation have been paid over to the proper authorities. If the internal control in a hotel is weak or perhaps breaks down, then a very serious problem exists for the auditor. As a result of the transient nature of many of his clients' records, the auditor must rely to a very large extent on the gross margin shown by the accounts. As a result, the scope of his audit tests will necessarily be increased and, in the event of a material margin discrepancy being unexplained, he will have to consider qualifying his audit report.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 32-33

1310 **RTP** **Old P6 Nov 2019** **Q28** old scheme

What are the special steps involved in conducting the audit of an Educational Institution?

ICAI'S ANSWER

The Special Steps Involved in the Audit of an

Educational Institution are the following:

(i) Examine the Trust Deed, or Regulations in the case of school or college and note all the provisions affecting accounts. In the case of a university, refer to the Act of Legislature and the Regulations framed thereunder.

(ii) Read through the minutes of the meetings of the Managing Committee or Governing Body, noting resolutions affecting accounts to see that these have been duly complied with, specially the decisions as regards the operation of bank accounts and sanctioning of expenditure.

(iii) Check names entered in the Students' Fee Register for each month or term, with the respective class registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.

(iv) Check fees received by comparing counterfoils of receipts granted with entries in the cash book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

(v) Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.

(vi) Check admission fees with admission slips signed by the head of the institution and confirm that the amount had been credited to a Capital Fund, unless the Managing Committee has taken a decision to the contrary.

(vii) See that free studentship and concessions have been granted by a person authorised to do so, having regard to the prescribed Rules.

(viii) Confirm that fines for late payment or absence, etc., have either been collected or remitted under proper authority.

(ix) Confirm that hostel dues were recovered before students' accounts were closed and their deposits of caution money refunded.

(x) Verify rental income from landed property with the rent rolls, etc.

(xi) Vouch income from endowments and legacies, as well as interest and dividends from investment; also inspect the securities in respect of investments held.

(xii) Verify any Government or local authority grant with the relevant papers of grant. If any expense has been disallowed for purposes of grant, ascertain the reasons and compliance thereof.

(xiii) Report any old heavy arrears on account of fees, dormitory rents, etc, to the Managing Committee.

(xiv) Confirm that caution money and other deposits paid by students on admission have been shown as liability in the balance sheet and not transferred to revenue.

(xv) See that the investments representing endowment funds for prizes are kept separate and any income in excess of the prizes has been accumulated and invested along with the corpus.

(xvi) Verify that the Provident Fund money of the staff has been invested in appropriate securities.

(xvii) Vouch donations, if any, with the list published with the annual report. If some donations were meant for any specific purpose, see that the money was utilised for the purpose.

(xviii) Vouch all capital expenditure in the usual way and verify the same with the sanction for the Committee as contained in the minute book.

(xix) Vouch in the usual manner all establishment expenses and enquire into any unduly heavy expenditure under any head.

(xx) See that increase in the salaries of the staff have been sanctioned and minuted by the Committee.

(xxi) Ascertain that the system ordering inspection on receipt and issue of provisions, foodstuffs, clothing and other equipment is efficient and all bills are duly authorised and passed before payment.

(xxii) Verify the inventories of furniture, stationery, clothing, provision and all equipment, etc. These should be checked by reference to Inventory Register and values applied to various items should be test checked.

(xxiii) Confirm that the refund of taxes deducted from the income from investment (interest on securities, etc.) has been claimed and recovered since the institutions are generally exempted from the payment of income-tax.

(xxiv) Verify the annual statements of accounts and while doing so see that separate statements of account have been prepared as regards Poor Boys Fund, Games Fund, Hostel and Provident Fund of Staff, etc.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 29-31

1311 MTP **May 2026 S-II**

Case Scenario 2 [MCQs 4-7] · MCQ 4 to MCQ 7 8 marks

CASE SCENARIO 2 [MCQS 4-7]

During the audit of MNO Hospitality Ltd., a large chain of luxury hotels, for the financial year 2024–25, the statutory auditor examined revenue streams from restaurants, rooms and banquet operations.

While reviewing restaurant operations, it was noted that the entity prepares weekly trading accounts, however, significant fluctuations in gross profit margins were observed in two outlets. Management attributed these variations to “seasonal factors,” but

no supporting evidence was provided. Further, Kitchen Order Tickets (KOTs) were not consistently preserved and only selective bills could be traced to supporting records.

In respect of room revenue, the auditor observed that discounted room rates were frequently applied without documented approval. Additionally, housekeeping occupancy reports were not retained and reconciliation between guest register and bills could be performed only for limited dates.

Due to the absence of primary records such as Kitchen Order Tickets (KOTs), housekeeping occupancy reports and complete guest-wise billing trails, the audit team was unable to obtain sufficient appropriate audit evidence through direct verification. Consequently, the auditor was compelled to place significant reliance on management-generated reports, including system-based occupancy summaries, revenue analytics and consolidated outlet-wise performance statements.

However, it was observed that these reports were internally generated and not supported by effective underlying controls over their preparation and maintenance. Further, many of the explanations regarding fluctuations in revenue, occupancy levels, and discounting practices were obtained through oral representations from hotel staff and management personnel, without adequate documentary corroboration.

In several instances, only photocopies or system extracts of records were made available in place of original documents and no alternative audit procedures could fully compensate for the lack of reliable primary evidence. This situation significantly impacted the reliability and sufficiency of audit evidence, thereby increasing audit risk and requiring the auditor to exercise heightened professional skepticism.

In the banquet segment, it was observed that several events were conducted before the year-end, but the related invoices were raised only after the year-end due to delays in finalising settlements. The auditor noted inconsistency in accounting treatment, as in some cases revenue for such events was recognised in the current year without raising invoices, raising concerns regarding the existence of trade receivables. In other cases, invoices raised after year-end were included in receivables as at the reporting date without adequate supporting documentation.

Further, proper cut-off procedures were not followed, as there was no reconciliation between event records and invoicing data around year-end. This created ambiguity regarding completeness of revenue and existence of receivables, indicating a potential cut-off error and risk of material misstatement in the financial statements.

On the basis of above, answer the following MCQs (4–7):

MCQ 4 2 marks

Considering the absence of KOTs, unexplained GP fluctuations and weak internal controls in restaurant operations, what is the most appropriate audit implication?

A. Increase substantive procedures and consider modification if discrepancies remain unexplained

B. Rely on management explanations since periodic trading accounts are prepared

C. Ignore fluctuations as hotel industry margins are inherently volatile

D. Restrict audit scope to test checks due to practical limitations

MCQ 5 2 marks

Given that discounted room rates lacked approval and occupancy records were not retained, what is the most critical audit concern?

A. Risk of overstatement of room revenue due to duplicate billing

B. Risk of revenue leakage due to unauthorised discounts and inability to verify completeness and accuracy

C. Risk of minor timing differences in recording room revenue due to delayed reconciliation

D. Risk of misclassification between room revenue and other operating income

MCQ 6 2 marks

Where the auditor relied on internally generated reports and oral explanations due to missing primary records, how is the reliability of audit evidence best evaluated?

A Oral explanations are sufficient when supported by internal summaries

B Internally generated reports are always reliable

C Evidence is less reliable due to weak controls and reliance on oral representations

D Copies and summaries are equivalent to original records

MCQ 7 2 marks

Considering facts of the case and that banquet invoices for pre year-end events were raised after year-end but included in receivables, what is the most appropriate audit conclusion?

A Receivables are understated due to delayed invoicing

B There is a cut-off error affecting revenue recognition for the period

C There is a cut-off error leading to potential misstatement of trade receivables

D There is a cut-off error leading to potential misstatement of revenue and receivables

ICAI'S ANSWERS

MCQ 4

Answer key: **(A)**

MCQ 5

Answer key: **(B)**

MCQ 6

Answer key: **(C)**

MCQ 7

Answer key: **(D)**

ICAI · P5 · MTP May 2026 · Series II · question p. 3-4 · answer p. 1

1312 **MTP** **May 2026 S-II** Q3(c) **4 marks**

Nature Charitable Trust runs a multi-specialty hospital in Noida. The hospital earns revenue from patients, donations, subscriptions, government grants and income from investments.

During the audit for the year ended 31st March 2025, the auditor, CA A, observed the following:

- The hospital maintains a patient register, billing system, and cash collection records.
- Donations and legacies are received, some of which are earmarked for specific purposes like construction of wards.
- The hospital owns investments and rental properties.
- There are inventory items such as medicines, surgical instruments, linen, etc.

- Budgetary controls exist but significant variations were noticed in certain expense heads.
- Internal controls over issue of medicines and stores appear weak.
- Capital expenditures were incurred during the year.

As an auditor, explain the important audit procedures you would perform while auditing such a hospital.

ICAI'S ANSWER

In the audit of a hospital run by a charitable trust, the auditor should consider the following important audit procedures:

1. **Register of Patients:** Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

2. **Collection of Cash**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills, etc.

3. **Income from Investments, Rent etc**: See with reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends, and interest on securities have been collected.

4. **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.

5. **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

6. **Authorisation and Sanctions**: Vouch all purchases and expenses and verify that the capital expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee and that appointments and increments to staff have been duly authorised.

7. **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

8. **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.

9. **Internal Check**: Examine the internal check as regards the receipt and issue of stores; medicines, linen, apparatus, clothing, instruments, etc. so as to ensure that purchases have been properly recorded

in the Inventory Register and that issues have been made only against proper authorisation.

10. **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.

11. **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.

12. **Inventories**: Obtain inventories, especially stocks and stores as at the end of the year and check a percentage of the items physically; also compare their total values with respective ledger balances.

13. **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

By performing the above procedures, the auditor can obtain sufficient and appropriate audit evidence regarding completeness of income, proper utilisation of funds, existence of assets, and effectiveness of internal controls, thereby forming a reliable opinion on the financial statements of the hospital.

ICAI · P5 · MTP May 2026 · Series II · question p. 13 · answer p. 7-9

1313 MTP **Jan 2026 S-II** Q5(c) 4 marks

Sunrise Degree College appointed you as the auditor for the FY 2024–25. During audit, you observed the

following:

(i). The Students' Fee Register showed several names for whom no fees were recorded for certain months. On inquiry, the accountant stated that "the class attendance register itself acts as evidence of students on roll," and no independent check was performed to ensure that fee demands were correctly raised.

(ii) You noticed that receipt counterfoils were not being compared with Cash Book entries regularly. Further, while the college normally issued receipts through its regular system/pre-numbered receipt books, in some cases handwritten manual receipts were issued. These manual receipts were outside the normal control process and, in several instances, were not traced or posted to the Fee Register, indicating a risk of unrecorded or misappropriated collections.

(iii) Few students had paid fees for the next term in advance, but the entire amount was recorded as income for the current year.

(iv) Admission fees collected at the beginning of the session were credited to the General Fund instead of the Capital Fund, without any resolution of the Managing Committee.

(v) There were cases where concessions and free studentships were granted by the clerk without written approval from the Principal or any authorised person.

As the auditor of Sunrise Degree College, explain the audit procedures you would perform regarding fees from students.

ICAI'S ANSWER

Fee from Students:

(i) Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.

(ii) Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

(iii) Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.

(iv) Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.

(v) See that free studentship and concessions have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.

(vi) Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.

(vii) Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 11-12 · answer p. 10-11

1314 MTP **Sep 2025 S-I** Q3(a) 5 marks

Lifeline Hospital, a charitable healthcare institution, provides medical services at subsidised rates. During the audit for the financial year 2024–25, the auditor observed the following:

- Bills had not been issued to some patients even though they were recorded in the patient register.
- Certain donations received for setting up a dialysis unit were utilised for general administrative expenses.
- Grants received from a government health scheme were recorded, but supporting documentation or correspondence were missing.
- The hospital maintained a large stock of medicines and medical supplies, however, there were no proper records or controls over their issue and use.
- There were significant deviations between budgeted and actual expenditures, particularly in staff salaries and equipment maintenance, but no explanation was documented by the management.

In view of above, discuss the special step or audit procedures an auditor should apply while auditing the transactions of hospital?

ICAI'S ANSWER

The special step or audit procedures an auditor should apply while auditing the transactions of hospital are:

(i) **Register of Patients:** Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

(ii) **Collection of Cash**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills, etc.

(iii) **Income from Investments, Rent etc**: See with reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends, and interest on securities have been collected.

(iv) **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.

(v) **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the

Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

(vi) **Authorisation and Sanctions**: Vouch all purchases and expenses and verify that the capital expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee and that appointments and increments to staff have been duly authorised.

(vii) **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

(viii) **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.

(ix) **Internal Check**: Examine the internal check as regards the receipt and issue of stores; medicines, linen, apparatus, clothing, instruments, etc. so as to ensure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.

(x) **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.

(xi) **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.

(xii) **Inventories**: Obtain inventories, especially of stocks and stores as at the end of the year and check a percentage of the items physically; also compare their total values with respective ledger balances.

(xiii) **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 9 · answer p. 5-6

1315 MTP **Sep 2025 S-II** Q5(a) 5 marks

Shiksha Public School maintains a Fee Register and issues receipts to students for fee collection. During the audit, the auditor observed that some students were granted concessions, and some fee payments were pending. As an auditor, what procedures would you perform to verify the student fee collections in such an institution?

ICAI'S ANSWER

Procedures to be performed by the auditor to verify student fee collections are as follows:

(i) Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there

operates a system of internal check which ensures that demands against the students are properly raised.

(ii) Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

(iii) Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.

(iv) Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.

(v) See that free studentship and concessions have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.

(vi) Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.

(vii) Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

1316 MTP **May 2025 S-II Q3(a)** 5 marks

While auditing a renowned four-star hotel in Pune, CA Shrey observes a gift shop operating within the hotel premises. On further enquiries, he comes to know that stocks in gift shop belong to gift shop owner and hotel receives rent for letting out this space. Discuss, how, auditor can verify payment of common amenities used by gift shop owner to the hotel.

ICAI'S ANSWER

While auditing a renowned four-star hotel in Pune, CA Shrey observes that a gift shop is operating within the hotel premises. Upon further enquiry, he finds that the stock in the gift shop belongs to gift shop owner and the hotel receives rental income for letting out the space. In this context, to verify the payment of common amenities used by the gift shop owner to hotel, the auditor may adopt the following audit procedures:

- The auditor should obtain and examine the rental/lease agreement entered into between the hotel and the gift shop owner.
- The auditor should verify rent receipts. This would enable the auditor to ensure that controls regarding revenue cycle are in order.
- The auditor should satisfy himself that all taxes collected from gift shop have been paid over to the proper authorities.

- Evaluate internal controls related to monitoring of utility consumption and collection of recoveries from tenants or concessionaires (like gift shops).
- Verify the hotel's utility bills (electricity bill, water bill etc.) and assess whether cost sharing with the gift shop is proportionate and reasonable.
- The auditor should verify that amounts charged for such amenities have been appropriately recorded in the hotel's books and that collections are reconciled with receipts.
- The auditor should see that costs of repairs and minor renovation and redecoration are treated as revenue expenditure, where as costs of major alterations and additions to the hotel building and facilities capitalised.

ICAI · P5 · MTP May 2025 · Series II · question p. 10 · answer p. 4-5

1317 MTP **Jan 2025 S-I** Q3(b) 5 marks

You are appointed as an auditor of "The Prestigious Township Club". As the auditor of "The Prestigious Township Club" for the financial year 2023-24, what are the key points you would consider while auditing the income and expenditure items of the club?

ICAI'S ANSWER

The following points need to be considered while auditing income and expenditure items of a club: -

(1) Entrance Fee: Vouch the receipt on account of entrance fees with members' applications, counterfoils issued to them, as well as on a reference to minutes of the Managing Committee.

(2) Subscriptions: Vouch members' subscriptions with the counterfoils of receipt issued to them, trace receipts for a selected period to the Register of Members; also reconcile the amount of total subscriptions due with the amount collected and that outstanding.

(3) Arrears of Subscriptions: Ensure that arrears of subscriptions for the previous year have been correctly brought over and arrears for the year under audit and subscriptions received in advance have been correctly adjusted.

(4) Arithmetical accuracy: - Check totals of various columns of the Register of members and tally them across.

(5) Irrecoverable Member Dues :- See the Register of Members to ascertain the Member's dues which are in arrear and enquire whether necessary steps have been taken for their recovery; the amount considered irrecoverable should be mentioned in the Audit Report.

(6) Pricing: Verify the internal check as regards members being charged with the price of foodstuffs and drinks provided to them and their guests, as well as, with the fees chargeable for the special services rendered, such as billiards, tennis, etc.

(7) Member Accounts: Trace debits for a selected period from subsidiary registers maintained in respect of supplies and services to members to confirm that the account of every member has been debited with amounts recoverable from him.

(8) Purchases: Vouch purchase of sports items, furniture, crockery, etc. and trace their entries into the respective inventory registers.

(9) Margins earned: Vouch purchases of foodstuffs, cigars, wines, etc., and test their sale price so as to confirm that the normal rates of gross profit have been earned on their sales. The inventory of unsold provisions and stores, at the end of year, should be verified physically and its valuation checked.

(10) Management Powers: Examine the financial powers of the secretary and, if these have been exceeded, report specific case for confirmation by the Managing Committee.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 5

1318 MTP **May 2024 S-I** Q5(c) 3 marks

Same question, different ICAI answer: #1321 Old P6 MTP Nov 2023 S-II

You have been appointed as an auditor of ABC Hotel, a three star hotel, for Financial Year 2022-23. As an auditor what are the special points that need to be considered in verifying the Inventories in the nature of food and beverages?

ICAI'S ANSWER

Verification of inventories in the nature of food and beverages: The inventories in any hotel are both readily portable and saleable particularly the food and beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores' areas and sales point. The auditor should carry out tests to ensure that all such documentation is accurately processed. Therefore, following may be noted in this regard:

(a) All movement and transfer of inventories must be properly documented.

(b) Areas where inventories are kept must be kept locked and the key retained by the departmental manager.

(c) The key should be released only to trusted personnel and unauthorized persons should not be permitted in the stores area.

(d) Many hotels use specialized professional valuers to count and value the inventories on a continuous basis throughout the year.

(e) The auditor should ensure that all inventories are valued at the year end and that he should himself be present at the year-end physical verification, to the extent practicable, having regard to materiality consideration and nature and location of inventories.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 8-9

1319 MTP **May 2024 S-II** Q5(c) 3 marks

You are auditor of a college running different courses operating in your city. During audit of a year, it is noticed that fees concessions to students have been provided in substantial number of cases. Discuss, how, you as an auditor, would proceed to verify the same and also explain two other points to verify fees from students.

ICAI'S ANSWER

Fee from Students:

The fees concessions have to be under proper authority of college management. The auditor would verify internal controls in this regard. Besides, detailed checking of few cases needs to be undertaken to ensure genuineness of fees concessions and proper management approvals.

Other points to verify fee from students are :

1. Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal control which ensures that demands against the students are properly raised.
2. Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

3. Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.
4. Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.
5. Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.
6. Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 9-10

1320 MTP **Old P6 Nov 2023 S-II** Q6(b) 4 marks old scheme

Same question, different ICAI answer: #1307 RTP May 2024 · #1309 Old P6 RTP May 2022

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. Explain.

ICAI'S ANSWER

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. It is the responsibility of management

to introduce controls which will minimise the leakage as far as possible. Evidence of their success is provided by the preparation of regular perhaps weekly, trading accounts for each sales point and a detailed scrutiny of the resulting profit percentages, with any deviation from the anticipated form being investigated. The auditor should obtain these regular trading accounts for the period under review, examine them and obtain explanations for any apparent deviations.

The auditor should verify a few restaurant bills by reference to K.O.T.s (Kitchen Order Tickets) or basic record. This would enable the auditor to ensure that controls regarding revenue cycle are in order.

The auditor should satisfy himself that all taxes collected from occupants on food and occupancy have been paid over to the proper authorities. If the internal control in a hotel is weak or perhaps breaks down, then a very serious problem exists for the auditor. As a result of the transient nature of many of his clients' records, the auditor must rely to a very large extent on the gross margin shown by the accounts. As a result, the scope of his audit tests will necessarily be increased and, in the event of a material margin discrepancy being unexplained, he will have to consider qualifying his audit report.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 7 · answer p. 9

1321 MTP **Old P6 Nov 2023 S-II** Q6(c) 4 marks old scheme

Same question, different ICAI answer: #1318 MTP May 2024 S-I

You have been appointed as an auditor of ABC Hotel, a three-star hotel, for Financial Year 2022-23. As an auditor, what are the special points that need to be considered in verifying the Inventories in the nature of food and beverages?

ICAI'S ANSWER

Verification of inventories in the nature of food and beverages: The inventories in any hotel are both readily portable and saleable particularly the food and beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores' areas and sales point. The auditor should carry out tests to ensure that all such documentation is accurately processed. Therefore, following points may be noted in this regard:

(i) All movement and transfer of inventories must be properly documented.

(ii) Areas where inventories are kept must be kept locked and the key retained by the departmental manager.

(iii) The key should be released only to trusted personnel and unauthorized persons should not be permitted in the stores area.

(iv) Many hotels use specialized professional valuers to count and value the inventories on a continuous basis throughout the year.

(v) The auditor should ensure that all inventories are valued at the year end and that he should himself be present at the year-end physical verification, to the extent practicable, having regard to materiality consideration and nature and location of inventories.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 8 · answer p. 9

1322 MTP **Old P6 May 2023 S-I**

Question 5(c) · Q5(c)(i) to Q5(c)(ii) 7 marks old scheme

QUESTION 5(C)

Explain and also state the role of auditor with respect to the following in case of a hotel:

Q5(c)(i) 4 marks

Inventories

Q5(c)(ii) 3 marks

Travel agents & shops

ICAI'S ANSWERS

Q5(c)(i)

Inventories

The inventories in any hotel are both readily portable and saleable particularly the food and beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores areas and sales point. The auditor should carry out tests to ensure that all such documentation is accurately processed.

Areas where large quantities of inventory are held should be kept locked, the key being retained by the departmental manager. The key should be released only to trusted personnel and unauthorised persons should not be permitted in the stores areas except under constant supervision. In particular, any movement of goods in or out of the stores should be checked. Many hotels use specialised professional valuers to take and value the inventories on a continuous basis throughout the year. Such a valuation is then almost invariably used as the basis of the balance sheet inventory figure at the year end. Although such valuers are independent of the audit client, it is important that the auditor satisfies himself that the amounts included for such inventories are reasonable. In order to satisfy himself of this, the auditor should consider attending the physical inventory taking and carrying out certain pricing and calculation tests. The extent of such tests could well be limited since the figures will have been prepared independently of the hotel.

Q5(c)(ii)

Travel agents & shops:

(i) For ledgers coming through travel agents or other booking agencies the bills are usually made on the travel agents or booking agencies. The auditor should ensure that money are recovered from the travel agents or booking agencies as per the terms of credit allowed.

(ii) Commission, if any, paid to travel agents or booking agents should be checked by reference to the agreement on that behalf.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 6-7, 7

1323 MTP **Old P6 May 2023 S-I** Q6(c) 4 marks old scheme

State the points which merit consideration in the audit of a CLUB w.r.t its members.

ICAI'S ANSWER

The points which merit consideration in the audit of a CLUB w.r.t its members:

(1) **Entrance Fee:** Vouch the receipt on account of ***entrance fees*** with –

- members' applications and counterfoils issued to them,
- on a reference to minutes of the Managing Committee.

(2) **Member Subscriptions:** Vouch members' subscriptions with –

- the counterfoils of receipt issued to them,
- trace receipts for a selected period to the Register of Members;
- also reconcile the amount of total subscriptions due with the amount collected and that outstanding.

(3) **Subscription Arrears/in Advance:** Ensure that –

- **arrears** of subscriptions for the previous year have been correctly brought over,
- **arrears** for the year under audit and subscriptions received in advance have been correctly adjusted.
- Subscriptions received in advance should have been properly accounted for.

(4) **Arithmetical accuracy:** Check totals of various columns of the Register of members and tally them across.

(5) **Register of Members:** See the ***Register of Members*** to ascertain –

- the Member's dues which are in arrear and
- enquire whether necessary steps have been taken for their recovery;
- the amount considered irrecoverable should be mentioned in the Audit Report.

(6) **Member Accounts :-** Trace debits for a selected period from subsidiary registers maintained in respect of supplies and services to members to confirm that the account of every member has been debited with amounts recoverable from him.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 7-8

1324 MTP **Old P6 May 2023 S-II** Q5(c) 4 marks old scheme

As an auditor, explain the areas of consideration while auditing the element of ROOM SALES during the audit of a 5-Star Hotel.

ICAI'S ANSWER

Following points merit consideration while auditing the element of ROOM SALES during the audit of a Hotel:-

(1) The charge for room sales is normally posted to guest bills by the receptionist/ front office or in the case of large hotels by the night auditor.

(2) The source of these entries is the guest register and audit tests should be carried out to ensure that the correct numbers of guests are charged for the correct period.

(3) Any difference between the charged rates used on the guests' bills and the standard room rate should be investigated to ensure that they have been properly authorised.

(4) In many hotels, the housekeeper prepares a daily report of the rooms which were occupied the previous night and the number of beds kept in each room. This report tends not to be permanently retained and the auditor should ensure that a sufficient number of reports are available for him to test both with the guest register and with the individual guest's bill.

(5) Ensure compliance with the provisions of FEMA and RBI if receipts are in foreign currency. Ensure application of proper Conversion rate.

(6) Special emphasis to be laid on receipts through Credit Cards.

(7) The auditor should ensure that proper valuation of occupancy-in-progress at the balance sheet date is made and included in the accounts.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 8

1325 MTP **Old P6 Nov 2022 S-I**

Case scenario · Q5(c)(i) to Q5(c)(ii) 7 marks old scheme

CASE SCENARIO

Explain and also state the role of auditor with respect to the following in case of a hotel:

Q5(c)(i) 3 marks

Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined.

Q5(c)(ii) 4 marks

The inventories in any hotel are both readily portable and saleable. Areas where large quantities of inventory are held should be kept locked.

ICAI'S ANSWERS

Q5(c)(i)

Internal control: Pilfering is one of the greatest problems in any hotel and the importance of internal control cannot be undermined. It is the responsibility of management to introduce controls which will minimise the leakage as far as possible. Evidence of their success is provided by the preparation of regular perhaps weekly, trading accounts for each sales point and a detailed scrutiny of the resulting profit percentages, with any

deviation from the anticipated form being investigated. The auditor should obtain these regular trading accounts for the period under review, examine them and obtain explanations for any apparent deviations.

The auditor should verify a few restaurant bills by reference to K.O.T.s (Kitchen Order Tickets) or basic record. This would enable the auditor to ensure that controls regarding revenue cycle are in order. The auditor should satisfy himself that all taxes collected from occupants on food and occupation have been paid over to the proper authorities. If the internal control in a hotel is weak or perhaps breaks down, then a very serious problem exists for the auditor. As a result of the transient nature of many of his clients' records, the auditor must rely to a very large extent on the gross margin shown by the accounts. As a result, the scope of his audit tests will necessarily be increased and, in the event of a material margin discrepancy being unexplained, he will have to consider qualifying his audit report.

Q5(c)(ii)

Inventories: The inventories in any hotel are both readily portable and saleable particularly the food and beverage inventories. It is therefore extremely important that all movements and transfers of such inventories should be properly documented to enable control to be exercised over each individual stores areas and sales point. The auditor should

carry out tests to ensure that all such documentation is accurately processed.

Areas where large quantities of inventory are held should be kept locked, the key being retained by the departmental manager. The key should be released only to trusted personnel and unauthorised persons should not be permitted in the stores areas except under constant supervision. In particular, any movement of goods in or out of the stores should be checked. Many hotels use specialised professional valuers to take and value the inventories on a continuous basis throughout the year. Such a valuation is then almost invariably used as the basis of the balance sheet inventory figure at the year end. Although such valuers are independent of the audit client, it is important that the auditor satisfies himself that the amounts included for such inventories are reasonable. In order to satisfy himself of this, the auditor should consider attending the physical inventory taking and carrying out certain pricing and calculation tests. The extent of such tests could well be limited since the figures will have been prepared independently of the hotel.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 7-8, 8

1326 MTP Old P6 Nov 2022 S-II

Case scenario · Q5(c)(i) to Q5(c)(ii) 7 marks old scheme

CASE SCENARIO

Explain and also state the role of auditor with respect to the following in case of a school:

Q5(c)(i) 4 marks

The fees from the students.

Q5(c)(ii) 3 marks

Other Receipts/Grants & Donations

ICAI'S ANSWERS

Q5(c)(i)

Fee from Students :-

1. Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.
2. Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.
3. Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been

written off under the sanction of an appropriate authority.

4. Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.
5. See that free studentship and concessions have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.
6. Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.
7. Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

Q5(c)(ii)

Other Receipts/Grants & Donations :-

1. Verify rental income from landed property with the rent rolls, etc.
2. Vouch income from endowments and legacies, as well as interest and dividends from investment; also inspect the securities in respect of investments held.
3. Verify any Government or local authority grant with the memo of grant. If any expense has been disallowed for purposes of grant, ascertain the reasons thereof.

1327 MTP **Old P6 May 2022 S-I** Q6(d) 6 marks old scheme

You have been appointed auditor of M/s. BLK Hospital. Discuss important points that would attract your attention while audit.

ICAI'S ANSWER

AUDIT OF HOSPITAL

The important points involved in such an audit are stated below-

(i) **Register of patients**: Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

(ii) **Collection of Cash**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence. For eg. copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills etc.

(iii) **Income from Investments, Rent etc.**: See by reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends and interest on securities have been collected.

(iv) **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have

been applied in the manner agreed upon.

(v) **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

(vi) **Authorisation and sanctions**: Vouch all purchases and expenses and verify that the capital expenditure incurred only with the prior sanction of the trustees of the Managing Committee and that appointments and increments to staff have been duly authorised.

(vii) **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

(viii) **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.

(ix) **Internal Check**: Examine the internal check as regards the receipt and issue of stores, medicines, linen, apparatus, clothing, instruments, etc. so as to ensure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.

(x) **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.

(xi) **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.

(xii) **Inventories**: Obtain inventories, especially of stocks and stores as at the end of the year and check the percentage of the items physically, also compare their total values with respective ledger balances.

(xiii) **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 11-12

1328 MTP **Old P6 May 2022 S-II** Q6(d) 6 marks old scheme

What are the special steps involved in conducting the audit of an Educational Institution? (Write any 12 points)

ICAI'S ANSWER

The Special Steps Involved in the Audit of an Educational Institution are the following:

(i) Examine the Trust Deed, or Regulations in the case of school or college and note all the provisions affecting accounts. In the case of a university, refer

to the Act of Legislature and the Regulations framed thereunder.

(ii) Read through the minutes of the meetings of the Managing Committee or Governing Body, noting resolutions affecting accounts to see that these have been duly complied with, specially the decisions as regards the operation of bank accounts and sanctioning of expenditure.

(iii) Check names entered in the Students' Fee Register for each month or term, with the respective class registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.

(iv) Check fees received by comparing counterfoils of receipts granted with entries in the cash book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.

(v) Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.

(vi) Check admission fees with admission slips signed by the head of the institution and confirm that the amount had been credited to a Capital

Fund, unless the Managing Committee has taken a decision to the contrary.

(vii) See that free studentship and concessions have been granted by a person authorised to do so, having regard to the prescribed Rules.

(viii) Confirm that fines for late payment or absence, etc., have either been collected or remitted under proper authority.

(ix) Confirm that hostel dues were recovered before students' accounts were closed and their deposits of caution money refunded.

(x) Verify rental income from landed property with the rent rolls, etc.

(xi) Vouch income from endowments and legacies, as well as interest and dividends from investment; also inspect the securities in respect of investments held.

(xii) Verify any Government or local authority grant with the relevant papers of grant. If any expense has been disallowed for purposes of grant, ascertain the reasons and compliance thereof.

(xiii) Report any old heavy arrears on account of fees, dormitory rents, etc, to the Managing Committee.

(xiv) Confirm that caution money and other deposits paid by students on admission have been shown as liability in the balance sheet and not transferred to revenue.

(xv) See that the investments representing endowment funds for prizes are kept separate and any income in excess of the prizes has been accumulated and invested along with the corpus.

(xvi) Verify that the Provident Fund money of the staff has been invested in appropriate securities.

(xvii) Vouch donations, if any, with the list published with the annual report. If some donations were meant for any specific purpose, see that the money was utilised for the purpose.

(xviii) Vouch all capital expenditure in the usual way and verify the same with the sanction for the Committee as contained in the minute book.

(xix) Vouch in the usual manner all establishment expenses and enquire into any unduly heavy expenditure under any head.

(xx) See that increase in the salaries of the staff have been sanctioned and minuted by the Committee.

(xxi) Ascertain that the system ordering inspection on receipt and issue of provisions, foodstuffs, clothing and other equipment is efficient and all bills are duly authorised and passed before payment.

(xxii) Verify the inventories of furniture, stationery, clothing, provision and all equipment, etc. These should be checked by reference to Inventory Register and values applied to various items should be test checked.

(xxiii) Confirm that the refund of taxes deducted from the income from investment (interest on securities, etc.) has been claimed and recovered since the institutions are generally exempted from the payment of income-tax.

(xxiv) Verify the annual statements of accounts and while doing so see that separate statements of account have been prepared as regards Poor Boys Fund, Games Fund, Hostel and Provident Fund of Staff, etc.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 8 · answer p. 10-11

1329 MTP **Old P6 Dec 2021 S-I Q6(b)** 4 marks old scheme

You have been appointed auditor of Dr. Prem Ratan Hospital. Discuss any eight important points that would attract your attention while audit.

ICAI'S ANSWER

AUDIT OF HOSPITAL

The important points involved in such an audit are stated below-

(i) Register of patients: Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

(ii) Collection of Cash: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence. For eg. copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills etc.

(iii) Income from Investments, Rent etc.: See by reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends and interest on securities have been collected.

(iv) Legacies and Donations: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.

(v) Reconciliation of Subscriptions: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

(vi) Authorisation and sanctions: Vouch all purchases and expenses and verify that the capital expenditure incurred only with the prior sanction of the trustees of the Managing Committee and that appointments and increments to staff have been duly authorised.

(vii) Grants and TDS: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

(viii) Budgets: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.

(ix) Internal Check: Examine the internal check as regards the receipt and issue of stores, medicines, linen, apparatus, clothing, instruments, etc. so as to ensure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.

(x) Depreciation: See that depreciation has been written off against all the assets at the appropriate rates.

(xi) Registers: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.

(xii) Inventories: Obtain inventories, especially of stocks and stores as at the end of the year and check the percentage of the items physically, also compare their total values with respective ledger balances.

(xiii) Management Representation and Certificate: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 8-9

1330 MTP Old P6 Jul 2021 S-I Q6(b) 3 marks old scheme

GSR & Co. has been appointed as an auditor of Tagore School. Engagement team wants to verify Fees from students in detail. Advise the audit procedure to be followed by the engagement team .

ICAI'S ANSWER

Fee from Students :-

1. Check names entered in the Students Fee Register for each month or term, with the respective Class Registers, showing names of students on rolls and test amount of fees charged; and verify that there operates a system of internal check which ensures that demands against the students are properly raised.
2. Check fees received by comparing counterfoils of receipts granted with entries in the Cash Book and tracing the collections in the Fee Register to confirm that the revenue from this source has been duly accounted for.
3. Total up the various columns of the Fees Register for each month or term to ascertain that fees paid in advance have been carried forward and that the arrears that are irrecoverable have been written off under the sanction of an appropriate authority.
4. Check admission fees with admission slips signed by the head of the institution and confirm that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary.

5. See that free studentship and concessions have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.
6. Confirm that fines for late payment or absence, etc. have been either collected or remitted under proper authority.
7. Confirm that hostel dues were recovered before student's accounts were closed and their deposits of caution money refunded.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 8 · answer p. 8

1331 MTP **Old P6 Nov 2019 S-I** Q6(c) 4 marks old scheme

The general transactions of a hospital include patient treatment, collection of receipts, donations, capital expenditures. You are required to mention special points of consideration while auditing such transactions of a hospital?

ICAI'S ANSWER

Special points of consideration while auditing certain transactions of a hospital are stated below-

(i) **Register of Patients:** Vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.

(ii) **Collection of Cash**: Check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills, etc.

(iii) **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.

(iv) **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).

(v) **Authorisation and Sanctions**: Vouch all purchases and expenses and verify that the capital expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee and that appointments and increments to staff have been duly authorised.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 11

9.5 Sole traders, partnership firms, LLPs and co-operative societies

42 questions · asked in 27 ICAI documents · 10 exam papers

1332 EXAM May 2026 Q6(c) 4 marks

SP Co-operative Ltd. is a large co-operative organisation engaged in multiple activities. During audit, the auditor

observed that although the entity maintained few primary books of accounts such as the cash book and general ledger, several subsidiary books and registers maintained were either incomplete or not maintained.

The management contended that for co-operative organisation, maintenance of the subsidiary books and registers is not necessary.

As an auditor, you are required to guide the management about the important subsidiary books and registers that should normally be maintained by a large co-operative organisation.

ICAI'S ANSWER

In case of large scale co-operative organisation, different subsidiary books and registers shall be maintained and the daily summary totals will be transferred to main Cash Book. For example:

(i) Daily cash sales summary register.

(ii) A register of collection from debtors if credit sales are allowed by bye-laws of society.

(iii) A register of recovery of loans from salaries and directly by receipts from members in case of credit society.

(iv) Loan disbursement register in case of credit society.

(v) Any other columnar subsidiaries depending upon the nature and functions of society.

ICAI · P5 · May 2026 exam · question p. 31 · answer p. 33-34

1333 EXAM Jan 2026 Case Scenario 1 · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO 1

Skill Edge Learning Pvt. Ltd. is a fast growing company providing online learning and digital testing solutions to schools and colleges. The company conducts computer- based exams and offers interactive e-learning content.

For the financial year 2024-25, Skill Edge decided to appoint M/s T & Associates as its new statutory auditor, replacing the previous auditor, CA S. As per the professional requirement M/s T & Associates sent a formal communication to CA S before accepting the engagement. However, CA S did not respond to the communication.

During the audit planning phase, the engagement partner CA T fixed the tolerable misstatement limit at ₹ 1,00,000 for verifying the company's revenue from online courses. Later, after reassessing the overall materiality, the partner increased the limit to ₹ 2,00,000. A newly joined audit assistant was unsure how this change will affect the sample size for testing revenue transactions.

While examining "Intangible Assets" in Skill Edge's books, the auditor reviewed the following expenditures:

(i) ₹ 6 lakhs spent on in-house research to create a unique student performance database intended to enhance marketing effectiveness.

(ii) ₹ 5 lakhs paid for software integrated with a computerized learning device - the device cannot function without this software.

(iii) ₹ 3 lakh spent on standalone accounting software used by the finance department.

The auditor had to evaluate whether the accounting treatment of these items complied with AS-26 Intangible Assets.

Meanwhile, the promoters of Skill Edge set up a new venture, Smart Trade LLP, to trade in refurbished computers and digital devices sourced from Skill Edge's old test centres. Before registration, they consulted CA S to understand the difference between a traditional partnership, an LLP, and a private Ltd company. He explained that an LLP provides limited liability to its partners, functions as a separate legal entity, and must be registered under the Limited Liability Partnership Act, 2008 with the appropriate authority.

In August 2025, Mr. Piyush, the partner in-charge of finance at Smart Trade LLP contacted CA S to conduct the audit for FY 2024-25 and complete the statutory filings-unaware about the prescribed due dates for filings.

Based on the above facts, answer the following questions: (1 to 5)

MCQ 1 2 marks

CA S has failed to respond to incoming auditors. In this regard, choose the most appropriate option.

A It was unethical on the part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of the principle of objectivity governing professional ethics.

B It was unethical on the part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of the principle of professional behaviour governing professional ethics.

C The outgoing auditor is not required to respond unless the client asks.

D It was unethical on the part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of the principle of professional competence and due care governing professional ethics.

MCQ 2 2 marks

In the given case scenario, if the tolerable misstatement is increased to ₹ 2,00,000 how will it affect the audit sample size?

A Sample size will increase.

B Sample size will decrease.

C Sample size will remain unchanged.

D No relationship exists between the two.

MCQ 3 2 marks

Which of the following conclusions about Skill Edge's intangible asset expenditure is most appropriate under AS 26?

A All three items should be recognized as intangible assets.

B Only items (i) and (iii) qualify as intangible assets.

C Item (i) should be expensed, item (ii) treated as part of fixed assets; item (iii) recognized as an intangible asset.

D Item (i) should be expensed; items (ii) and (iii) recognized as intangible assets.

MCQ 4 2 marks

Which of the following correctly describes the statutory framework applicable to Smart Trade LLP?

A An LLP must have at least two designated partners who must obtain a Director Identification Number (DIN), and it is registered with the Registrar of firms.

B An LLP must have at least two partners, of which one must be designated and it is registered with the Ministry of Corporate Affairs (MCA).

C An LLP must have at least two designated partners who must obtain a Designated Partner Identification Number (DPIN), and it is registered with the Registrar of Companies.

D An LLP must have a minimum of three partners, and only one is required to hold a Designated Partner Identification Number (DPIN) and it is registered with the Registrar of Companies.

MCQ 5 2 marks

If Piyush approaches CA S in August 2025 for the audit and filings of FY 2024-25, which outcome is correct?

A Annual Return filing will be delayed as every LLP would be required to file annual return in FORM 11 with ROC within 60 days of closure of financial year.

B Annual Return filing will be delayed as every LLP would be required to file annual return in FORM 11 with ROC within 30 days of closure of financial year.

C Annual Return filing will not be delayed as every LLP would be required to file annual return in FORM 11 with ROC within 6 months of closure of financial year.

D No delay since filings can be done anytime.

ICAI'S ANSWERS

MCQ 1

Answer key: **(B)**

MCQ 2

Answer key: **(B)**

MCQ 3

Answer key: **(C)**

MCQ 4

Answer key: **(C)**

MCQ 5

Answer key: **(A)**

ICAI · P5 · Jan 2026 exam · question p. 2-3 · answer p. 11

1334 EXAM Sep 2025 Q5(c) 4 marks

State the auditor's duty regarding audit of LLP.

ICAI'S ANSWER

Auditor's Duty Regarding Audit of LLP

1. **Engagement Letter**: The auditor should get definite instructions in writing as to the work to be performed by him.

2. **Minutes Book**: If partners maintain minute book he shall refer it for any resolution passed regarding the accounts

3. **LLP Agreement**: The auditor should read the LLP agreement & note the following provisions:

(i) Nature of the business of the LLP.

(ii) Amount of capital contributed by each partner.

(iii) Interest – in respect of additional capital contributed.

(iv) Duration of partnership.

(v) Drawings allowed to the partners.

(vi) Salaries, commission etc. payable to partners.

(vii) Borrowing powers of the LLP.

(viii) Rights & duties of partners.

(ix) Method of settlement of accounts between partners at the time of admission, retirement, admission etc.

(x) Any loans advanced by the partners.

(xi) Profit sharing ratio

4. **Reporting**: The auditor should mention:

(i) Whether the records of the firm appear to be correct & reliable.

(ii) Whether he was able to obtain all information & explanation necessary for his work.

(iii) Whether any restriction was imposed upon him.

ICAI · P5 · Sep 2025 exam · question p. 23 · answer p. 25-26

1335 EXAM Jan 2025 MCQ 13 2 marks MCQ

Which of the following statements is not correct about Limited Liability Partnership (LLP)?

A An LLP is required to maintain Statements of costs of goods purchased, inventories, work-in-progress, finished goods and costs of goods sold.

B An LLP is called small LLP, the Turnover of which, as per the Statement of Accounts and Solvency for the immediately preceding financial year, does not exceed forty lakh rupees (₹ 40,00,000) or such higher amount, not exceeding fifty crore rupees, as may be prescribed;

C Every LLP would be required to file annual return in Form 11 with ROC within 30 days of closer of financial year. The annual return will be available for public inspection on payment of prescribed fees to Registrar.

D The auditor may be appointed by the designated partners of the LLP at any time for the first financial year but before the end of first financial year.

ICAI'S ANSWER

Answer key: **ICAI accepts (B) or (C).**

PassBook's note: ICAI's Answer Key gives "(B)/(C)" for MCQ 13: either option is accepted.

ICAI · P5 · Jan 2025 exam · question p. 7-8 · answer p. 9

1336 **EXAM** **Jan 2025** Q5(c) **4 marks**

Helping Hands Co-operative society is working for the welfare of its members since last 10 years. Governing body observed that the society had some idle funds during the F.Y. 2023-24 and considering the equity markets growth, decided to invest the same in blue chip mutual funds. Decision brought fortune and society earned handsome return on the investment made. Auditor of the society however gave a qualified opinion. Management has hired you to guide where they went wrong. Give your comments considering section 32 of the Central Act?

ICAI'S ANSWER

According to section 32 of the Central Act, a society may invest its funds in any one or more of the following:

(i) In the Central or State Co-operative Bank.

(ii) In any of the securities specified in section 20 of the Indian Trusts Act, 1882.

(iii) In the shares, securities, bonds or debentures of any other society with limited liability.

(iv) In any co-operative bank, other than a Central or State co-operative bank, as approved by the Registrar on specified terms and conditions.

(vi) In any other moneys permitted by the Central or State Government.

In the given case, Helping Hands Co-operative society invested the funds in blue chip mutual funds due to which auditor gave a qualified opinion. Helping Hands Co-operative society should invest the funds in accordance with Section 32 of Central Act as investment in blue chip mutual funds is not permissible.

ICAI · P5 · Jan 2025 exam · question p. 26 · answer p. 28

1337 **EXAM** **Sep 2024** **Q4(d)** **3 marks**

You have been appointed as an auditor of Co-operative society. During the course of audit, you have noticed some serious irregularities in the working of the society. Enumerate those special matters for reporting to the Registrar.

ICAI'S ANSWER

Special report to the Registrar: During the course of audit, if the auditor notices that there are some serious irregularities in the working of the society he may report these special matters to the Registrar, drawing his specific attention to the points. The Registrar on receipt of such a special report may

take necessary action against the society. In the following cases, for instance, a special report may become necessary:

(i) Personal profiteering by members of managing committee in transactions of the society, which are ultimately detrimental to the interest of the society.

(ii) Detection of fraud relating to expenses, purchases, property and stores of the society.

(iii) Specific examples of mis-management. Decisions of management against co-operative principles.

(iv) In the case of urban co-operative banks, disproportionate advances to vested interest groups, such as relatives of management, and deliberate negligence about the recovery thereof. Cases of reckless advancing, where the management is negligent about taking adequate security and proper safeguards for judging the credit worthiness of the party.

ICAI · P5 · Sep 2024 exam · question p. 20 · answer p. 22-23

1338 EXAM **Old P6 May 2023** Q5(b) 4 marks old scheme

CA. Z. a Chartered Accountant is the Senior manager of a Multi-State Co-operative Society in Mumbai. He is proposed to be appointed as an auditor of the said Multi-State Co-operative Society. Analyse the provisions of the Multi-State Co-operative Societies Act, 2002 and comment on validity of proposed appointment.

ICAI'S ANSWER

Section 72 of the Multi-State Co-operative Societies Act, 2002 states that a person who is a Chartered Accountant within the meaning of the Chartered Accountants Act, 1949 can only be appointed as auditor of Multi-State co-operative society.

Considering the facts given in the question, the following persons are not eligible for appointment as auditors of a Multi-State co-operative society-

(a) An officer or employee of the Multi-State co-operative society.

(b) A person who is a member or who is in the employment, of an officer or employee of the Multi-State co-operative society.

In view of above, CA, Z being officer of Multi State Co-operative Society is not eligible for appointment as Auditor and therefore proposed appointment of CA Z is not valid.

ICAI · Old P6 · May 2023 exam · question p. 10 · answer p. 12

1339 EXAM **Old P6 Nov 2022** Q6(d) 3 marks old scheme

Ban LLP is formed during the year 2021-22. They are not sure about the type of books of accounts to be maintained. What are the books of accounts that the LLP is required to maintain?

ICAI'S ANSWER

Books of Accounts Ban LLP is required to maintain: An LLP shall be under obligation to maintain annual

accounts reflecting true and fair view of its state of affairs. LLPs are required to maintain books of accounts which shall contain-

1. Particulars of all sums of money received and expended by the LLP and the matters in respect of which the receipt and expenditure takes place,
2. A record of the assets and liabilities of the LLP,
3. Statements of costs of goods purchased, inventories, work-in-progress, finished goods and costs of goods sold,
4. Any other particulars which the partners may decide.

ICAI · Old P6 · Nov 2022 exam · question p. 12 · answer p. 15

1340 **EXAM** **Old P6 Jul 2021** Q6(c) **3 marks** **old scheme**

Tomo Construction Engineering LLP approached CA K to understand various returns to be maintained and filed by them. Guide/Discuss the various returns to be maintained and filed by them.

ICAI'S ANSWER

Returns to be maintained and filed by an LLP:

- Every LLP would be required to file annual return in Form 11 with ROC within 60 days of closer of financial year. The annual return will be available for public inspection on payment of prescribed fees to Registrar.
- Every LLP is also required to submit Statement of Account and Solvency in Form 8 which shall be

filed within a period of thirty days from the end of six months or the financial year to which the Statement of Account and Solvency relates.

ICAI · Old P6 · Jul 2021 exam · question p. 45 · answer p. 47

1341 **EXAM** **Old P6 Nov 2020** **Q6(b)(i)** **4 marks** **old scheme**

You are appointed as an auditor of co-operative society. State the special features of the co-operative audit to be borne in mind by the auditor, concerning:

(1) Audit classification of society.

(2) Discussion of draft audit report with the management committee.

ICAI'S ANSWER

(1) **Audit classification of society** - After a judgement of an overall performance of the society, the auditor has to award a class to the society. This judgement is to be based on the criteria specified by the Registrar. It may be noted here that if the management of the society is not satisfied about the award of audit class, it can make an appeal to the Registrar, and the Registrar may direct to review the audit classification. The auditor should be very careful, while making a decision about the class of society.

(2) **Discussion of draft audit report with managing committee** – On conclusion of the audit, the auditor should ask the Secretary of the society to convene the managing committee meeting to discuss the

audit draft report. The audit report should never be finalised without discussion with the managing committee. Minor irregularities may be got settled and rectified. Matters of policy should be discussed in detail.

ICAI · Old P6 · Nov 2020 exam · question p. 11 · answer p. 12

1342 EXAM Old P6 Nov 2019 Q6(d) 3 marks old scheme

There are certain points which are required to be considered specially in the audit of accounts of a partnership. Discuss any three points briefly.

ICAI'S ANSWER

Matters which should be specially considered in the audit of accounts of a partnership:

(i) Confirming that the letters of appointment, signed by a partner, duly authorized, clearly states the nature and scope of audit contemplated by the partners, specially the limitation, if any, under which the auditor shall have to function.

(ii) Studying the minute book, if any, maintained to record the policy decision taken by partners specially the minutes relating to authorisation of extraordinary and capital expenditure, raising of loans, purchase of assets, extraordinary contracts entered into and other such matters as are not of a routine nature.

(iii) Verifying that the business in which the partnership is engaged is authorised by the

partnership agreement or by any extension or modification thereof agreed to subsequently.

(iv) Examining whether books of account appear to be reasonable and are considered adequate in relation to the nature of the business of the partnership.

(v) Verifying generally that the interest of no partner has suffered prejudicially by an activity engaged in by the partnership which, it was not authorised to do under the partnership deed or by any violation of a provision in the partnership agreements.

(vi) Confirming that a provision for the firm's tax payable by the partnership has been made in the accounts before arriving at the amount of profit divisible among the partners.

(vii) Verifying that the profits and losses have been divided among the partners in their agreed profit sharing ratio.

ICAI · Old P6 · Nov 2019 exam · question p. 11 · answer p. 14

1343 **RTP** **Sep 2025** **Q18**

You are appointed as an auditor of M/s Shine & Co., a partnership firm. During your review, you observed that:

- The audit appointment was informal and not documented properly.
- The firm started a new business activity which is not covered in the partnership deed.

- Major financial decisions were made without proper records.

As an auditor, briefly explain the matters that should be specially considered by you while auditing the accounts of the partnership firm, M/s Shine & Co.

ICAI'S ANSWER

While auditing the accounts of M/s Shine & Co., a partnership firm, it is important to ensure that they have formal appointment. Further, deviation from the partnership deed, and absence of documentation for key decisions raise concerns about the validity, transparency, and legal compliance of the firm's operations. Thus, the auditor should specially consider the following matters in the audit of accounts of a partnership:

(i) **Letter of Appointment:** Confirming that the letter of appointment, signed by a partner, duly authorised, clearly states the nature and scope of audit contemplated by the partners, specially the limitation, if any, under which the auditor shall have to function.

(ii) **Partnership Documents:** Studying the minute book, if any, maintained to record the policy decision taken by partners specially the minutes relating to authorisation of extraordinary and capital expenditure, raising of loans; purchase of assets, extraordinary contracts entered into and other such matters as are not of a routine nature.

(iii) **Objects of Partnership:** Verifying that the business in which the partnership is engaged is authorised by the partnership agreement; or by any extension or modification thereof agreed to subsequently.

(iv) **Books of Account:** Examining whether books of account appear to be reasonable and are considered adequate in relation to the nature of the business of the partnership.

(v) **Mutual Interest:** Verifying generally that the interest of no partner has suffered prejudicially by an activity engaged in by the partnership which, it was not authorised to do under the partnership deed or by any violation of a provision in the partnership agreements.

(vi) **Provision for Taxes:** Confirming that a provision for the firm's tax payable by the partnership has been made in the accounts before arriving at the amount of profit divisible among the partners.

(vii) **Division of Profits:** Verifying that the profits and losses have been divided among the partners in their agreed profit-sharing ratio.

ICAI · P5 · RTP Sep 2025 · question p. 8 · answer p. 16-17

1344 **RTP** **Sep 2024** Q18

Section 77 of Multi-State Cooperative Societies Act, 2002 states that the Central Government may at any time by order direct that a special audit of the Multi-State Co-

Operative Society's accounts for such period or periods as may be specified in the order, shall be conducted. Further, it may by the same or a different order appoint either a Chartered Accountant or the Multi-State Co-Operative Society's auditor himself to conduct special audit. Under which circumstances such power can be exercised by the Central Government?

ICAI'S ANSWER

The Central government has power to order special audit of Multi-State Cooperative Society's Accounts where it is of the opinion -

(a) that the affairs of any multi-state co-operative society are not being managed in accordance with self-help and mutual deed and co-operative principles or prudent commercial practices or with sound business principles or ;

(b) that any multi-state co-operative society is being managed in a manner likely to cause serious injury or damage to the interests of the trade industry or business to which it pertains or ;

(c) that the financial position of any multi-state co-operative society is such as to endanger its solvency.

ICAI · P5 · RTP Sep 2024 · question p. 7 · answer p. 14

1345 RTP **Old P6 Nov 2023** Q28(b) old scheme

State six important advantages of audit of accounts of a Partnership firm.

ICAI'S ANSWER

Advantages of Audit of Accounts of a Partnership: On broad considerations, the advantages of audit of accounts of a partnership could be stated as follows:

(1) Audited accounts provide a convenient and reliable means of settling accounts between the partners and, thereby, the possibility of occurrence of a dispute among them is mitigated. On this consideration, it is usually provided in and accepted by the partners, shall be binding upon them, unless some manifest error is brought to light within a specified period subsequent to the accounts having been signed.

(2) On the retirement or death of a partner, audited accounts, which have been accepted by the partners, constitute a reliable evidence for computing the amounts due to the retiring partner or to the representative of the deceased partner in respect of his share of capital, profits and goodwill.

(3) The accounts of a partnership, which have been audited, are generally accepted by the Income Tax Department as the basis for computing the assessable income of the partners.

(4) Audited statement of accounts are relied upon by the banks when advancing loans, as well as by prospective purchasers of the business, as evidence of the profitability of the concern and its financial position.

(5) Audited statements of account can be helpful in the negotiations to admit a person as a partner, especially when they are available for a number of past years.

(6) An audit is an effective safeguard against any undue advantage being taken by a working partner or partners especially in the case of those partners who are not actively associated with the working of the firm.

ICAI · Old P6 · RTP Nov 2023 · question p. 14 · answer p. 32-33

1346 **RTP** **Old P6 May 2022** **Q28(b)** old scheme

No inspection under Section 79 of Multi-State Co-operative Societies Act, 2002 shall be made unless a notice has been given to the multi-state co-operative society. Explain stating clearly when and how such inspection can be made. Also state the powers available with the Central Registrar in this regard along with provisions relating to communication of the inspection report under the said section.

ICAI'S ANSWER

Inspection of Multi-State Co-operative societies under Section 79

1. **When:** The Central Registrar may, on a request from

(i) federal co-operative to which a Multi-State Co-operative society is affiliated or a creditor or

(ii) not less than one-third of the members of the board or

(iii) not less than one-fifth of the total number of members of a Multi-State co-operative society

2. **How:** By general or special order in writing in this behalf inspect or direct any person authorized by him by order in writing in this behalf to make an inspection into the constitution, working and financial condition of a Multi-State co-operative society.
3. **Opportunity of Being heard:** No inspection shall be made unless a notice of not less than fifteen days has been given to the multi-state co-operative society.
4. **Powers available:** The Central Registrar or the person authorized by him shall have the following powers:

(a) He shall at all times have access to all books, accounts, papers, vouchers, securities, stock and other property of that society and may, in the event of serious irregularities discovered during inspection, take them into custody and shall have power to verify the cash balance of the society and subject to the general or special order of the central registrar to call a meeting of the society where such general meeting is, in his opinion necessary.

(b) Every officer or member of a Multi-State Co-operative society shall furnish such information with regard to the working of the society as the

central registrar or the person making such inspection may require.

5. **Inspection Report:** A copy of the report of inspection under this section shall be communicated to the Multi-State Co-operative society within a period of three months from the date of completion of such inspection.

ICAI · Old P6 · RTP May 2022 · question p. 12 · answer p. 33

1347 RTP **Old P6 Dec 2021**

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

Best Tea House is a Co-operative society formed as per the provisions of the Co-operative Societies Act, 1912. It runs a chain of restaurants serving mainly tea and snacks in Delhi. RAS & Associates, a Chartered Accountant firm, has been appointed to conduct the statutory audit of the society. None of the partners of the firm, CA R, CA A and CA S have ever conducted a Co-operative Society audit before and so familiarise themselves with the provisions of the particular Act governing the society before starting the audit.

During the audit, Best Tea House informs the auditors that they have been in operation for the last five years, and no audit was required earlier since their turnover had not exceeded the prescribed limit.

While examining the books of account of Best Tea House, RAS & Associates notice that as stated under section 43(h) of the Central Act, certain rules were framed prescribing the books and accounts to be kept by Best Tea House.

The auditors also understand that according to section 5 of the Central Act, in the case of a society where the liability of a member of the society is limited, no member of a society other than a registered society can hold such portion of the share capital of the society as would exceed a maximum of a certain percentage of the total number of shares or of the value of shareholding to a specified amount. RAS & Associates were concerned with this provision so as to watch any breach relating to holding of shares.

While examining the loans of Best Tea House, the auditors notice that the society has given a loan to a relative named Mr. P, of a member of the society, Mr. T, of an amount not exceeding ₹ 1000.

RAS & Associates examined the overdue debts and checked its classification which they are required to report.

During the audit, RAS & Associates notice few transactions for personal profiteering by members of the management committee, which are ultimately detrimental to the interest of the society. RAS & Associates report this matter to the required authority to take necessary action.

After the conclusion of the audit, in addition to the audit certificate in the prescribed form and various schedules, RAS & Associates also answered two sets of questionnaires called audit memos. The auditors also submitted the audit report in a narrative form addressed to the Chairman of the society which was divided into two parts styled as part I and part II.

Based on the above information, answer the following questions:

MCQ 2.1

According to section 5 of the Central Act, what is maximum percentage of the total number of shares and what is the maximum value of shareholding that RAS & Associates were concerned with, so as to watch any breach relating to holding of shares?

- **A** Twenty-five percent of the total number of shares or of the value of shareholding upto ₹ 5,000
- **B** Twenty percent of the total number of shares or of the value of shareholding upto ₹ 5,000
- **C** Twenty-five percent of the total number of shares or of the value of shareholding upto ₹ 1,000
- **D** Twenty percent of the total number of shares or of the value of shareholding upto ₹ 1,000

MCQ 2.2

As per Section 29 of the Central Act, Best Tea House cannot give a loan to any person other than:

A. A member and with the special sanction of the Registrar, relatives of the member not exceeding an amount of ₹ 1000.

B. A member and with the special sanction of the Registrar, another registered society.

C. A member and with the special sanction of the Registrar, relatives of the member.

D. A member and with the special sanction of the Registrar, another registered society not exceeding an amount of ₹ 1000.

MCQ 2.3

Overdue debts for a period from _____to_____ and more than _____ were classified and reported by RAS & Associates.

A. 3 months to 6 months and more than 6 months.

B. 6 months to 3 years and more than 3 years.

C. 6 months to 5 years and more than 5 years.

D. 3 months to 5 years and more than 5 years.

MCQ 2.4

To whom does RAS & Associates report the few transactions noticed during audit?

A. Registrar of Co-operative Societies

B. Secretary of Best Tea House.

C. State Government

D. Management Committee of Best Tea House

MCQ 2.5 out of syllabus

Mistakes having an impact on the profitability of society were pointed out by RAS & Associates as it had a consequential effect on the financial position of society. In which of the following submissions was this information included?

A Part I of the audit report

B Part II of the audit report

C Schedules to the audit report

D Audit memos

ICAI'S ANSWERS

MCQ 2.1

(D)

MCQ 2.2

(B)

MCQ 2.3

(C)

MCQ 2.4

(A)

MCQ 2.5

(B)

PassBook's note: Out of syllabus (old scheme): the form of a co-operative society's audit report (the audit certificate, schedules, audit memos and the narrative report in Part I and Part II, and what goes into each part) was taught in old Paper 6's chapter on the audit of co-operative societies.

ICAI · Old P6 · RTP Dec 2021 · question p. 118-119 · answer p. 126

1348 RTP **Old P6 Dec 2021** General MCQ 3 MCQ

old scheme

Under section 43(h) of the Central Act, who can frame rules prescribing the books and accounts to be kept by a co-operative society?

- A Central Government
- B State Government
- C Management Committee of the Society.
- D Secretary of the Co-operative Society.

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Dec 2021 · question p. 121 · answer p. 126

1349 RTP **Old P6 May 2020** Q28(a) old scheme

Same question, different ICAI answer: #1354 MTP May 2025 S-II

As per Multi-state Co-operative Societies Act, 2002, the auditor shall make a report to the members of the Multi-State co-operative society on the accounts examined by him and on every balance-sheet and profit and loss account and on every other document required to be part of or annexed to the balance-sheet or profit and loss account. Explain

ICAI'S ANSWER

As per sub-section (3) & (4) of section 73 of Multi-state Co-operative Societies Act, 2002, the auditor shall make a report to the members of the Multi-State co-operative society on the accounts examined

by him and on every balance-sheet and profit and loss account and on every other document required to be part of or annexed to the balance-sheet or profit and loss account, which are laid before the Multi-State co-operative society in general meeting during his tenure of office, and the report shall state whether, in his opinion and to the best of his information and according to the explanation given to him, the said account give the information required by this act in the manner so required, and give a true and fair view:

(a) In the case of the balance-sheet, of the state of the Multi-State co-operative society's affairs as at the end of its financial year; and

(b) In the case of the profit and loss account, of the profit or loss for its financial year. The auditor's report shall also state:

(i) Whether he has obtained all the information and explanation which to the best of his knowledge and belief were necessary for the purpose of his audit.

(ii) Whether, in his opinion, proper books of account have been kept by the Multi- State co-operative society so far as appears from his examination of these books and proper returns adequate for the purpose of his audit have been received from branches or offices of the Multi-State co-operative society not visited by him.

(iii) Whether the report on the accounts of any branch office audited by a person other than the

Multi-State co-operative society's auditor has been forwarded to him and how he has dealt with the same in preparing the auditor's report.

(iv) Whether the Multi-State co-operative society's balance sheet and profit and loss account dealt with by the report are in agreement with the books of account and return.

Where any of the matters referred to in sub-section (3) or (4) is answered in the negative or with a qualification, the auditor's report shall state the reason for the answer.

ICAI · Old P6 · RTP May 2020 · question p. 10 · answer p. 27

1350 RTP **Old P6 May 2020** Q28(b) old scheme

Explain the powers and duties of auditors under the Multi-State Co-operative Societies Act, 2002.

ICAI'S ANSWER

Section 73 of the Multi-State Co-operative Societies Act, 2002 discusses the powers and duties of auditors. According to this, every auditor of a Multi-State co-operative society shall have a right of access at all times to the books accounts and vouchers of the Multi-State co-operative society, whether kept at the head office of the Multi-State co-operative society or elsewhere, and shall be entitled to require from the officers or other employees of the Multi- State co-operative society such information and explanation as the auditor may

think necessary for the performance of his duties as an auditor.

As per section 73(2), the auditor shall make following inquiries:

(a) Whether loans and advances made by the Multi-State co-operative society on the basis of security have been properly secured and whether the terms on which they have been made are not prejudicial to the interests of the Multi-State co-operative society or its members,

(b) Whether transactions of the Multi-State co-operative society which are represented merely by book entries are not prejudicial to the interests of the Multi-State co-operative society,

(c) Whether personal expenses have been charged to revenue account, and

(d) Where it is Stated in the books and papers of the Multi-State co-operative society that any shares have been allotted for cash, whether cash has actually, been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet as correct regular and not misleading.

ICAI · Old P6 · RTP May 2020 · question p. 10 · answer p. 27-28

1351 MTP **May 2026 S-I Q3(c)** 4 marks

GreenGrow Multi-State Co-operative Society Ltd. (GMSCSL) is engaged in procurement and export of agricultural produce and operates across 6 states in

India. The Society has reported continuous expansion in turnover over the past 4 years. However, during the financial year 2024–25, the following issues came to the notice of the Ministry of Cooperation:

1. Large advances were granted to related parties without adequate security.
2. Procurement contracts were awarded without competitive bidding.
3. Internal audit reports highlighting diversion of funds were ignored by the management.
4. The debt-equity ratio increased abnormally due to heavy borrowings.
5. There were persistent cash flow mismatches and short-term loans were being used for long-term capital projects.
6. Trade associations complained that the Society's pricing practices were distorting the agricultural export market.

On the basis of preliminary inquiry, the Central Government is considering to direct a special audit of the Society.

(a) Examine whether the Central Government is empowered to order a special audit in the above case.

(b) State the statutory provisions governing such power.

(c) Conclude whether invocation of Section 77 is justified in the given case.

ICAI'S ANSWER

Power of Central Government to direct special audit in certain cases – Under Section 77 of the Multi-State Co-operative Societies Act, 2002, where the Central Government is of the opinion:

(a) that the affairs of any Multi-State co-operative society are not being managed in accordance with self-help and mutual aid and co-operative principles or prudent commercial practices or with sound business principles; or

(b) that any Multi-State co-operative society is being managed in a manner likely to cause serious injury or damage to the interests of the trade, industry or business to which it pertains; or

(c) that the financial position of any Multi-State co-operative society is such as to endanger its solvency,

the Central Government may, by order, direct that a special audit of the accounts of the society shall be conducted and may appoint a Chartered Accountant or such other qualified person as may be prescribed to conduct such audit.

Application to the Given Case: In the present case, the following circumstances are observed:

- Granting unsecured advances to related parties and ignoring internal audit findings indicate deviation from prudent commercial practices and sound business principles.
- Awarding procurement contracts without competitive bidding reflects non-adherence to

co-operative principles and transparency.

- Abnormal increase in borrowings and use of short-term funds for long-term assets indicates weak financial discipline.
- Persistent cash flow mismatch and solvency concerns suggest that the financial position may endanger its solvency.
- Complaints from trade associations regarding market distortion indicate management in a manner likely to cause serious injury to the trade or industry concerned.

Thus, the facts satisfy clauses (a), (b), and (c) of Section 77.

Considering the above statutory provisions and the facts of the case, the Central Government is legally empowered under Section 77 of the Multi-State Co-operative Societies Act, 2002 to order a special audit of GreenGrow Multi-State Co-operative Society Ltd.

The invocation of special audit provisions is fully justified as the management practices, financial instability, and potential harm to trade clearly fall within the scope of Section 77.

ICAI · P5 · MTP May 2026 · Series I · question p. 13-14 · answer p. 10-11

1352 MTP **Jan 2026 S-I** Q5(a) 5 marks

Sun and Moon Credit Co-operative Society Ltd., a large scale cooperative organisation operates in Maharashtra and engages in providing small loans to its members. During the audit, the auditor observed that the society

maintains a Cash Book and Ledger but has not maintained separate registers for loan disbursement and recovery of loans from members' salaries. The management contends that since they maintain the main Cash Book, there is no need to maintain other subsidiary records. As an auditor, explain whether the society's practice is appropriate and what records should be maintained.

ICAI'S ANSWER

In Maharashtra, the co-operative societies are required to maintain books of account in terms of the instructions of the Registrar as following:

(i) All sums of money received and expended by the society and the matters in respect of which receipts and expenditure take place.

(ii) All sales and purchases of goods by the society.

(iii) Assets and liabilities of the society.

In order to maintain proper financial accounting records so as to disclose full financial results of working of the society, the statutory or mandatory provisions provide a directive, but they are not conclusive. The society is at liberty to maintain such additional records according to its convenience and which it thinks more useful for clarity and detailed explanation. Ultimately the financial transactions and the results thereof must be presented very clearly and in the best possible manner.

Depending upon the nature and object of the society, different kinds of books and registers will

be maintained, so as to disclose a proper and fair picture of financial transactions. In case of large scale co-operative organisation, different subsidiary books and registers shall be maintained and the daily summary totals will be transferred to main Cash Book. For example:

(a) Daily cash sales summary register.

(b) A register of collection from debtors if credit sales are allowed by bye-laws of society.

(c) A register of recovery of loans from salaries and directly by receipts from members in case of credit society.

(d) Loan disbursement register in case of credit society.

(e) Any other columnar subsidiaries depending upon the nature and functions of society.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 11 · answer p. 9-10

1353 MTP **May 2025 S-I** Q2(b) 5 marks

No inspection under Section 79 of Multi-State Co-operative Societies Act, 2002 shall be made unless a notice has been given to the multi-state co-operative society. Explain clearly when and how such inspection can be made. Also state the powers available with the Central Registrar in this regard along with provisions relating to communication of the inspection report under the said section.

ICAI'S ANSWER

Inspection of Multi-State Co-operative societies under Section 79

When: The Central Registrar may, on a request from

- federal co-operative to which a Multi- State Co-operative society is affiliated or a creditor or
- not less than one-third of the members of the board or
- not less than one-fifth of the total number of members of a Multi-State co-operative society

How: By general or special order in writing in this behalf inspect or direct any person authorized by him by order in writing in this behalf to make an inspection into the constitution, working and financial condition of a Multi-State co-operative society.

Opportunity of Being heard: No inspection shall be made unless a notice of not less than fifteen days has been given to the multi-state co-operative society.

Powers available: The Central Registrar or the person authorized by him shall have the following powers:

(i) He shall at all times have access to all books, accounts, papers, vouchers, securities, stock and other property of that society and may, in the event of serious irregularities discovered during inspection, take them into custody and shall have

power to verify the cash balance of the society and subject to the general or special order of the central registrar to call a meeting of the society where such general meeting is, in his opinion necessary.

(ii) Every officer or member of a Multi-State Co-operative society shall furnish such information with regard to the working of the society as the central registrar or the person making such inspection may require.

Inspection Report: A copy of the report of inspection under this section shall be communicated to the Multi-State Co-operative society within a period of three months from the date of completion of such inspection.

ICAI · P5 · MTP May 2025 · Series I · question p. 9 · answer p. 4

1354 MTP **May 2025 S-II Q5(a)** 5 marks

Same question, different ICAI answer: #1349 Old P6 RTP May 2020

As per Multi-state Co-operative Societies Act, 2002, the auditor shall make a report to the members of the multi-state co-operative society on the accounts examined by him and on every balance sheet and profit and loss account and on every other document required to be part of or annexed to the balance sheet or profit and loss account. Explain.

ICAI'S ANSWER

As per sub-section (3) & (4) of section 73 of the Multi-state Co-operative Societies Act, 2002, the auditor shall make a report to the members of the Multi-

State Co-operative society on the accounts examined by him and on every balance-sheet and profit and loss account and on every other document required to be part of or annexed to the balance-sheet or profit and loss account, which are laid before the Multi-State co-operative society in general meeting during his tenure of office, and the report shall state whether, in his opinion and to the best of his information and according to the explanation given to him, the said account give the information required by this act in the manner so required, and give a true and fair view:

(i) In the case of the balance-sheet, of the state of the Multi-State co-operative society's affairs as at the end of its financial year; and

(ii) In the case of the profit and loss account, of the profit or loss for its financial year.

The auditor's report shall also state:

(i) Whether he has obtained all the information and explanation which to the best of his knowledge and belief were necessary for the purpose of his audit.

(ii) Whether, in his opinion, proper books of account have been kept by the Multi - State co-operative society so far as appears from his examination of these books and proper returns adequate for the purpose of his audit have been received from branches or offices of the Multi-State co-operative society not visited by him.

(iii) Whether the report on the accounts of any branch office audited by a person other than the Multi - State co-operative society's auditor has been forwarded to him and how he has dealt with the same in preparing the auditor's report.

(iv) Whether the Multi - State co-operative society's balance sheet and profit and loss account dealt with by the report are in agreement with the books of account and return.

Where any of the matters referred to in sub-section (3) or (4) is answered in the negative or with a qualification, the auditor's report shall state the reason for the answer.

ICAI · P5 · MTP May 2025 · Series II · question p. 11 · answer p. 8-9

1355 MTP **Jan 2025 S-I** Case Scenario 2 · MCQ 5 to MCQ 9

10 marks

CASE SCENARIO 2

Revanth, Manohar and Piyush are planning to set up a new business for trading of electronic goods. They have heard in business circles that many entrepreneurs are setting up their organisations as Limited Liability Partnerships (LLPs). However, they lack knowledge about such legal structures. So, they decided to approach CA S for understanding the difference between a partnership firm, an LLP and a private company.

They also want to gain the knowledge of legal provisions regarding number of partners and the

paperwork involved in forming an LLP. Further, they also have doubts regarding maintenance of books of accounts and the audit requirement for such organisations. Revanth, being cost conscious, specifically asks CA S regarding requirement of audit of LLPs. During the discussion, he shares that they are expecting a turnover of ₹ 5 crores in the first year of their business and funds amounting to ₹ 50 lakhs would be brought by partners as their contribution.

Manohar is concerned about the rules regarding the maintenance of accounts in software with an audit trail feature. He has a vague understanding, gained through social media, that such rules have recently come into effect. Moreover, he believes that these features are useful only for auditors. To address his concerns, CA S attempts to explain these matters to him.

After resolving their doubts, they decided to constitute an LLP named Blitz Products LLP with the professional assistance of CA S, who helped them in completing the necessary paper formalities. After constituting an LLP, they acquired dealerships of few reputed companies and received a good response from market due to prominent location of their showroom and are confident of achieving their turnover expectation within the first year of business.

They plan to get their accounts audited after closure of the financial year 2023-24 from CA S. The finance and accounts function of business is being headed

by Piyush and he plans to contact him somewhere around August 2024 for getting audit of financial statements conducted, filing income tax return and making necessary regulatory compliances on behalf of LLP.

Based on the above facts, answer the following: -

MCQ 5 2 marks

Which of the following is correct regarding the difference in types of organisational structures and connected matters?

A LLP gives the benefit of flexibility of limited liability of a partnership and good governance of a company. A Minimum of two individuals are required to form an LLP and at least 2 partners are required to take DIN. The regulatory authority in the case of LLPs is Registrar of firms of the respective state where the LLP is located.

B LLP gives the benefit of limited liability of a company and flexibility of partnership. A minimum of two individuals are required to form an LLP and at least 2 partners are required to take DPIN. The regulatory authority in the case of LLPs is Registrar of Companies (ROC).

C LLP gives the benefits of limited liability of a company and flexibility of partnership. A minimum of two individuals are required to form an LLP and at least 2 partners are required to take DIN. The regulatory authority in the case of LLPs is Registrar of Companies (ROC).

D LLP gives the benefits of limited liability of a company and flexibility of partnership. A minimum of three individuals are required to form an LLP and at least 2 partners are required to take DPIN. The regulatory authority in the case of LLPs is Registrar of Companies (ROC).

MCQ 6 2 marks

Which advice would have been provided by CA S to Revanth regarding audit of financial statements of LLP considering description provided in case scenario?

A There is no provision for compulsory audit of LLPs under the LLP Act, 2008 and relevant Rules. However, partners may choose to get accounts audited due to advantages associated with an audit.

B Every LLP is compulsorily required to get its accounts audited under the LLP Act, 2008 and relevant Rules.

C There exist provisions under the LLP Act, 2008 and relevant Rules for audit of LLPs based upon twin criteria of turnover and contribution thresholds. However, the proposed business doesn't meet thresholds and would not be required to get its accounts audited.

D There exist provisions under the LLP Act, 2008 and relevant Rules for audit of LLPs based upon twin criteria of turnover and contribution thresholds. The proposed business meets thresholds and would be required to get its accounts audited.

MCQ 7 2 marks

Which of the following statement is correct regarding Manohar's point of view?

A Audit trails are useful only for auditors. However, maintenance of accounts in software having feature of audit trail is not compulsory for LLPs.

B Audit trails are useful for businesses as well as auditors. However, maintenance of accounts in software having feature of audit trail is not compulsory for LLPs.

C Audit trails are useful for businesses as well as auditors. Maintenance of accounts in a software having feature of audit trail is compulsory for LLPs.

D Audit trails are useful for businesses as well as auditors. Maintenance of accounts in a software having feature of audit trail is compulsory for LLPs having certain turnover thresholds.

MCQ 8 2 marks

Which of the following statement is correct regarding Piyush's plan?

A Auditor is required to be appointed at least 30 days prior to March 31st, 2024. Therefore, Piyush's plan to approach CA S is not in accordance with the relevant rules and regulations.

B Auditor is required to be appointed at least 60 days prior to March 31st, 2024. Therefore, Piyush's plan to approach CA S is not in accordance with the relevant rules and regulations.

C Auditor is required to be appointed at any time before March 31st, 2024. Therefore, Piyush's plan to approach CA S is not in accordance with the relevant rules and regulations.

D Piyush's plan is proper and there are no specific provisions for appointment of auditor of an LLP in accordance with relevant rules and regulations.

MCQ 9 2 marks

Considering Piyush's plan to contact CA S in August 2024 for making necessary regulatory compliances could lead to_____

A Default by LLP in filing its annual return.

B Default by LLP in filing its Statement of account and solvency.

C Default by LLP in filing its annual return as well as statement of account and solvency.

D No default by LLP in making necessary compliances.

ICAI'S ANSWERS

MCQ 5

(B)

MCQ 6

(D)

MCQ 7

(B)

MCQ 8

(C)

MCQ 9

(A)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 2-3 · answer p. 1

1356 MTP **Jan 2025 S-II Q3(b)** 5 marks

Aman Cooperative Society appointed FAB & Associates as an auditor for the financial year 2023-2024. During the audit, the auditors noted the following details:

Number of shares	1000 shares @ ₹ 10/- each
Net Profit before compulsory transfer to reserve fund	₹ 10,000/-
Net Profit after compulsory transfer to reserve fund	₹ 8000/-

(I) Mr. Dhairya, a member of society, holds 200 shares amounting to ₹ 2000 from the previous year.

(II) Upon verifying the society's borrowings, the auditors found that Cooperative Society had accepted a loan from Mr. Shivam, a non-member. The auditors did not find any restrictions regarding this in the society's bye laws.

Comment on the above transactions of the society with reference to the Co-operative Societies Act, 1912.

ICAI'S ANSWER

Restrictions on share holdings: - According to section 5 of the Central Act, in the case of a society

where the liability of a member of the society is limited, no member of a society other than a registered society can hold such portion of the share capital of the society as would exceed a maximum of twenty percent of the total number of shares or of the value of shareholding to ₹ 1,000/-.

Restrictions on borrowings - Section 30 of the Central Act further puts restriction on borrowings. According to this section, a registered society shall accept loans and deposits from persons who are not members subject to the restrictions and limits of the bye-laws of the society. The auditor will have to examine the bye-laws in this respect."

In the given situation, Mr. Dhairya, a member of the society, is holding 200 shares amounting to ₹ 2000 from the previous year. In view of the aforementioned restriction on shareholding by a member, Mr. Dhairya is allowed to hold a maximum of 100 shares according to the Act.

Further, Aman Co-operative Society had accepted a loan from Mr. Shivam, a non-member. Since, there are no restrictions regarding the acceptance of loan received from non-member in the society's bye-laws, the loan received from Mr. Shivam is permissible.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9-10 · answer p. 5-6

1357 MTP **Sep 2024 S-I** Q5(c) 4 marks

Section 72(1) of the Multi-State Co-operative Societies Act, 2002 states that only a person who is a Chartered Accountant within the meaning of the Chartered Accountants Act, 1949 can be appointed as an auditor of a multi-state co-operative society. Who, according to Section 72(2), is disqualified from being appointed as auditors of a multi-state co-operative society?

ICAI'S ANSWER

As per section 72 of the Multi-State Co-operative Society Act, 2002 following persons are not qualified for appointment as auditors of a multi-state co-operative society: -

(a) A body corporate

(b) An officer or employee of the multi-state co-operative society

(c) A person who is a member or who is in employment, of an officer or employee of the multi-state co-operative society.

(d) A person who is indebted to the multi-state co-operative society or who has given any guarantee or provided any security in connection with the indebtedness of any third person to the multi-state co-operative society for an amount exceeding one thousand rupees.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 10 · answer p. 8

1358 MTP **Sep 2024 S-II Q3(b)** 5 marks

While auditing the financial statements of Bro Traders LLP, CA L is carefully going through LLP agreement. Briefly discuss the key points CA L should pay attention in the LLP agreement and the reporting responsibilities of CA L concerning the financial statements of Bro Traders LLP?

ICAI'S ANSWER

The auditor, CA L should read the LLP agreement & note the following provisions: -

(a) Nature of the business of the LLP.

(b) Amount of capital contributed by each partner.

(c) Interest – in respect of additional capital contributed.

(d) Duration of partnership.

(e) Drawings allowed to the partners.

(f) Salaries, commission etc. payable to partners.

(g) Borrowing powers of the LLP.

(h) Rights & duties of partners.

(i) Method of settlement of accounts between partners at the time of admission, retirement, admission etc.

(j) Any loans advanced by the partners.

(k) Profit sharing ratio

Reporting Responsibilities of CA L/ concerning the financial statements of Bro Traders LLP is as

follows:

The auditor should mention

(a) Whether the records of the firm appear to be correct & reliable.

(b) Whether he was able to obtain all information & explanation necessary for his work.

(c) Whether any restriction was imposed upon him.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 10 · answer p. 5

1359 MTP **Old P6 May 2023 S-II** Q6(d) 3 marks old scheme

Central Govt. holds 55% of the paid up share Capital in Kisan Credit Co-operative Society, which is incurring huge losses. Advise when the Central Government can direct Special Audit under Section 77 of the Multi State Co-operative Society Act.

ICAI'S ANSWER

Central Government shall order for special audit only if that Government or the State Government either by itself or both hold fifty-one percent or more of the paid-up share capital in such Multi-State co-operative society. Under section 77 of the Multi-State Co-operative Societies Act, 2002, where the Central Government is of the opinion:

i. that the affairs of any Multi-State co-operative society are not being managed in accordance with self-help and mutual deed and co-operative principles or prudent commercial practices or with sound business principles; or

ii. that any Multi-State co-operative society is being managed in a manner likely to cause serious injury or damage to the interests of the trade industry or business to which it pertains; or

iii. that the financial position of any Multi-State co-operative society is such as to endanger its solvency.

Thus, in the given case since Central Govt is holding 55% shares and financial position of Kisan Credit co-operative society is in danger, Central government can direct for special audit.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 10

1360 MTP **Old P6 May 2022 S-II** General MCQ 7 1 mark

MCQ old scheme

The Auditor of a Sole Proprietor Concern is appointed by

A CAG

B Bank

C Sole Proprietor himself

D District Administration

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2022 · Series II · question p. 5 · answer p. 1

1361 MTP **Old P6 Jul 2021 S-II** Q5(b) 4 marks old scheme

Briefly explain the provisions for qualification and appointment of Auditors under the Multi-State Co-

operative Societies Act, 2002.

ICAI'S ANSWER

Qualification of Auditors - Section 72 of the Multi-State Co-operative Societies Act, 2002 states that a person who is a Chartered Accountant within the meaning of the Chartered Accountants Act, 1949 can only be appointed as auditor of Multi-State co-operative society.

However, the following persons are not eligible for appointment as auditors of a Multi-State co-operative society-

(i) A body corporate.

(ii) An officer or employee of the Multi-State co-operative society.

(iii) A person who is a member or who is in the employment, of an officer or employee of the Multi-State co-operative society.

(iv) A person who is indebted to the Multi-State co-operative society or who has given any guarantee or provided any security in connection with the indebtedness of any third person to the Multi-State co-operative society for an amount exceeding one thousand rupees.

If an auditor becomes subject, after his appointment, to any, of the disqualifications specified above, he shall be deemed to have vacated his office as such.

Appointment of Auditors - Section 70 of the Multi-State Co-operative Societies Act, 2002 provides that the first auditor or auditors of a Multi-State co-operative society shall be appointed by the board within one month of the date of registration of such society and the auditor or auditors so appointed shall hold office until the conclusion of the first annual general meeting. If the board fails to exercise its powers under this sub-section, the Multi-State co-operative society in the general meeting may appoint the first auditor or auditors.

The subsequent auditor or auditors are appointed by Multi-State co-operative society, at each annual general meeting. The auditor or auditors so appointed shall hold office from the conclusion of that meeting until the conclusion of the next annual general meeting.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 5-6

9.6 Cinemas and hire purchase and leasing companies

16 questions · asked in 13 ICAI documents · 5 exam papers

1362 EXAM **May 2026** Case scenario · Q5(b)(i) to Q5(b)(ii)

5 marks

CASE SCENARIO

STP Ltd. has entered into lease arrangements for two different categories of equipment from the same

lessor. The key terms of the arrangements are summarised below:

Particulars	Manufacturing equipment	Specialised Manufacturing Equipment
Lease period	5 years	8 years
Estimated economic life	10 years	8 years
Transfer of ownership	NO	NO
Insurance and major maintenance	Borne by lessor	Borne by STP Ltd.
Alternative use after lease period	Available	Not Available

Q5(b)(i) 1 mark

Analyse the above arrangements and determine the appropriate classification of lease in case of Manufacturing Equipment and Specialised Manufacturing Equipment.

Q5(b)(ii) 4 marks

As a senior auditor of STP Ltd., suggest the accounting treatment and Tax benefits for:

- Manufacturing Equipment
- Specialised Manufacturing Equipment

ICAI'S ANSWERS

Q5(b)(i)

In case of Manufacturing Equipment, Lease is classified as Operating Lease due to following reasons:

- Lease term extends to less than 75% of the projected useful life of the leased asset. In the given case, estimated economic life is 10 years and lease period is 5 years which is significantly less than 75%.
- Lessee pays only the monthly lease payments. Insurance and major maintenance are borne by lessor.

In case of Specialised Manufacturing Equipment, Lease is classified as Finance Lease, due to following reasons:

- Lease term is equal to estimated economic life of the asset under the lease arrangement.
- Lessee bears insurance and major maintenance.

Q5(b)(ii)

In case of Manufacturing Equipment: Accounting treatment: Operating lease is generally treated like a renting arrangement. That means, the lease payments are treated as operating expenses and the asset does not appear as an asset on lessee's balance sheet.

Tax Benefit: Since operating lease is as good as renting, lease payment is considered as expense. No depreciation can be claimed by the lessee.

In case of Specialised Manufacturing Equipment: Accounting treatment: Finance lease is treated like loan arrangement. Hence, the asset ownership is considered of that of the lessee and thus appears on the balance sheet of the lessee.

Tax Benefit: Lessee can claim both interest and depreciation expense as financial lease is treated like a loan.

ICAI · P5 · May 2026 exam · question p. 27 · answer p. 29, 29-30

1363 **EXAM** **May 2025** Q6(b) **5 marks**

M/S PQ & Co., Chartered Accountants have been appointed as statutory auditors of CBD Multiplex Cinema Ltd. The audit team started the audit and verified the ledger and other books of accounts for the F.Y. 2024-2025. However, one of the team members is of the view that the internal control mechanism of the company should also be verified.

Can you guide the audit team about the areas that will be covered in verifying the internal control mechanism?

ICAI'S ANSWER

Areas that will be covered in verifying the internal control mechanism of CBD Multiplex Cinema Ltd. are:

(i) that entrance to the cinema-hall during show is only through printed tickets;

(ii) that they are serially numbered and bound into books;

(iii) that the number of tickets issued for each show and class, are different though the numbers of the same class for the show on the same day, each week, run serially;

(iv) that for advance booking a separate series of tickets is issued; and

(v) that the inventory of tickets is kept in the custody of a responsible official.

ICAI · P5 · May 2025 exam · question p. 22 · answer p. 23

1364 **EXAM** **Sep 2024** **Q6(d)** **3 marks**

P Financial Services Ltd. (PFSL) is a leasing & hire purchase company. You, as an auditor of PFSL, are in the process of examining finance lease agreements executed by them for equipment given on lease. Which points shall be noted by you while examining a particular finance lease agreement entered into by PFSL in respect of a leasing transaction?

ICAI'S ANSWER

The lease agreement should be examined, and the following points may be noted:

(i) the description of the lessor, the lessee, the equipment and the location where the equipment is to be installed. (The stipulation that the equipment shall not be removed from the described location except for repairs. For the sake of identification, the

lessor may also require plates or markings to be attached to the equipment).

(ii) the amount of tenure of lease, dates of payment, late charges, deposits or advances etc. should be noted.

(iii) whether the equipment shall be returned to the lessor on termination of the agreement and the cost shall be borne by the lessee.

(iv) whether the agreement prohibits the lessee from subletting the equipment and authorises the lessor to do so.

ICAI · P5 · Sep 2024 exam · question p. 27 · answer p. 30

1365 **EXAM** **May 2024** **Q6(d)** **3 marks**

JK Ltd. has opened a new manufacturing unit and for that they want plant & machinery. Since the capital outflow will be huge, they are considering of taking it on lease. They have approached several parties and have shortlisted one of them who is ready to give the plant on lease for 11 years, which is approximately the estimated economic life of the asset. As per the agreement, JK Ltd. will bear the insurance and maintenance expenses of the asset. Which kind of lease agreement have JK Ltd. entered into and what is the ownership status, the accounting treatment and the tax benefits of the same?

ICAI'S ANSWER

In the given situation, JK Ltd. has opened a new manufacturing unit and for that they want plant &

machinery. They have taken the plant on lease for 11 years, which is approximately the estimated economic life of the asset. As per the agreement, JK Ltd. will bear the insurance and maintenance expenses of the asset.

Same will be considered as Finance Lease as per AS-19 since the lease term is for a major part of the economic life of the asset even if title is not transferred.

Status of Ownership: Ownership transfer option at the end of the lease period is with the lessee. Title may or may not be eventually transferred.

Accounting treatment: Finance lease is treated like loan arrangement. Hence, the asset ownership is considered of that of the lessee and thus appears on the balance sheet of the lessee.

Tax benefit: Lessee can claim both interest and depreciation expense as financial lease is treated like a loan.

ICAI · P5 · May 2024 exam · question p. 19 · answer p. 21

1366 EXAM **Old P6 Nov 2022** Q6(a) 4 marks old scheme

M/s PQ & Co., Chartered Accountants have been appointed as statutory auditor of CBD Multiplex Cinema Ltd. The audit team started the audit and verified the ledger and other books of accounts for the F.Y 2021-2022. However, one of the team members is of the view that the internal control mechanism of the company should also be verified. Can you guide the

audit team about the areas that will be covered in verifying the internal control mechanism?

ICAI'S ANSWER

Areas to be covered while verifying the Internal Control Mechanism in Multiplex: Audit Team of M/s PQ & Co. should cover the following areas to verify the internal control mechanism of CBD Multiplex Cinema Ltd.-

i. that entrance to the cinema-hall during show is only through printed tickets;

ii. that they are serially numbered and bound into books;

iii. that the number of tickets issued for each show and class, are different though the numbers of the same class for the show on the same day, each week, run serially;

iv. that for advance booking a separate series of tickets is issued; and

v. that the inventory of tickets is kept in the custody of a responsible official.

ICAI · Old P6 · Nov 2022 exam · question p. 11 · answer p. 12

1367 **RTP** **May 2024** Q21

From a lessee's perspective, highlight main differences between an operating lease and finance lease only in relation to accounting treatment and tax benefits.

ICAI'S ANSWER

Accounting treatment

Operating lease is generally treated like a renting arrangement. Lease payments are treated as operating expenses and asset does not appear as asset in lessee's balance sheet. Finance lease is treated like a loan arrangement Hence, asset ownership is considered of that of lessee and thus appears on the balance sheet of the lessee.

Tax benefits

Operating lease payment is considered like an expense just as in case of renting. However, no depreciation can be claimed by lessee. In case of finance lease, lessee can claim both interest and depreciation as it is treated like a loan.

ICAI · P5 · RTP May 2024 · question p. 13 · answer p. 28-29

1368 RTP **Old P6 Nov 2023** Q20(a) old scheme

As an auditor, how will you verify the hire purchase transaction in the case of an entity engaged in the business of hire purchase?

ICAI'S ANSWER

Verification of Hire-purchase transactions: While checking the hire-purchase transaction, the auditor may examine the following:

1. Hire purchase agreement is in writing and is signed by all parties.
2. Hire purchase agreement specifies clearly -
(i) The hire-purchase price of the goods to which the agreement relates;

(ii) The cash price of the goods, that is to say, the price at which the goods may be purchased by the hirer for cash;

(iii) The date on which the agreement shall be deemed to have commenced;

(iv) The number of instalments by which the hire-purchase price is to be paid, the amount of each of those instalments, and the date, or the mode of determining the date, upon which it its payable, and the person to whom and the place where it is payable; and

(v) The goods to which the agreement relates, in a manner sufficient to identify them.

3. Ensure that payments are being received regularly as per the agreement.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 27

1369 RTP **Old P6 Nov 2022** Q28(b) old scheme

Same question, different ICAI answer: #1371 MTP May 2024 S-I · #1373 Old P6 MTP Jul 2021 S-II

Cinescreen Multiplex Ltd. is operating cinemas in different locations in Mumbai and has appointed you as an internal auditor. What are the areas that need to be verified in relation to receipts from sale of Tickets?

ICAI'S ANSWER

Audit of Cinema: The special steps involved in the audit of receipts from sale of tickets are stated below-

(i) Verify that entrance to the cinema-hall during show is only through printed tickets;

(ii) Verify that they are serially numbered and bound into books;

(iii) Verify that the number of tickets issued for each show and class, are different though the numbers of the same class for the show on the same day, each week, run serially;

(iv) Verify that for advance booking a separate series of tickets is issued;

(v) Verify that the inventory of tickets is kept in the custody of a responsible official.

(vi) Confirm that at the end of show, a statement of tickets sold is prepared and cash collected is agreed with it.

(vii) Verify that a record is kept of the 'free passes' and that these are issued under proper authority.

(viii) Reconcile the amount of Entertainment Tax collected with the total number of tickets issued for each class.

(ix) Vouch the entries in the Cash Book in respect of cash collected on sale of tickets for different shows on a reference to Daily Statements which have been test checked as aforementioned with record of tickets issued for the different shows held.

ICAI · Old P6 · RTP Nov 2022 · question p. 14 · answer p. 30

1370 **MTP** **Jan 2026 S-II**

CASE SCENARIO 2 [MCQS 6-9]

Madan Leasing Co. Ltd. is a non-banking leasing company that leases industrial machinery and consumer durables. During the current year, Madan Leasing entered into a lease agreement with Sulekha Engineering Pvt. Ltd. for a Textile machine valued at ₹ 10 Crore.

Facts gathered by the audit team from the lease files are:

(i) The company's object clause in the memorandum authorises leasing of capital goods but is silent about undertaking financing activities.

(ii) A credit appraisal file exists for Sulekha Engineering containing their past credit record, capitalisation details and proposed collateral.

(iii) The lease agreement describes lessor, lessee, equipment and location. It states that the equipment must not be removed from the location except for repairs and contains timelines for payments and late charges. It does not expressly state who will bear the cost of returning the equipment on termination.

(iv) The lease proposal form from Sulekha Engineering is present in the file.

(v) The original invoice for the Textile machine is filed in the lease folder.

(vi) There is no acceptance letter from the lessee on file confirming the equipment was received in order.

(vii) A Board resolution authorising the execution of the lease on behalf of Sulekha Engineering is included.

(viii) Copies of the insurance policy for the machine are not found in the lessor's records.

Based on above, answer the following MCQs (6-9):

MCQ 6 2 marks

Which audit procedure confirms whether Madan Leasing Co. is legally permitted to transact the lease of the Textile machine?

A. Check the object clause of the leasing company to verify permitted activities.

B. Examine the lease proposal form submitted by the lessee.

C. Examine the lease agreement for description of equipment and location.

D. Verify that copies of insurance policies have been obtained.

MCQ 7 2 marks

Which missing document in the lease file creates an audit issue about whether the lessee accepted delivery in good order?

A. Invoice retained safely in the file.

B. Board resolution authorising execution of lease.

C. Acceptance letter obtained from the lessee.

D. Lease proposal form submitted by the lessee.

MCQ 8 2 marks

Which procedure would the auditor perform to evaluate the lessee's ability to meet lease commitments?

- **A** Ensure that the invoice is retained safely.
- **B** See that copies of the insurance policies have been obtained.
- **C** Check whether the agreement prohibits subletting.
- **D** Verify whether there exists a procedure to ascertain credit analysis of lessee.

MCQ 9 2 marks

Given the facts, which control deficiency should the auditor report as missing in Madan Leasing Co.'s records?

- **A** The invoice for the machine is not retained.
- **B** The Board resolution authorising lease execution is absent.
- **C** Copies of insurance policies for the leased asset are not obtained.
- **D** The lease agreement does not describe equipment and location.

ICAI'S ANSWERS

MCQ 6

(A)

MCQ 7

(C)

MCQ 8

(D)

MCQ 9

(C)

ICAI · P5 · MTP Jan 2026 · Series II · question p. 3-4 · answer p. 1

1371 **MTP** **May 2024 S-I** **Q6(c)** **4 marks**

Same question, different ICAI answer: #1369 Old P6 RTP Nov 2022 · #1373 Old P6 MTP Jul 2021 S-II

Cinescreen Multiplex Ltd. is operating cinemas in different locations in Mumbai and has appointed you as an internal auditor. What are the areas that need to be verified in relation to receipts from sale of Tickets?

ICAI'S ANSWER

The special steps involved in the audit of receipts from sale of tickets are stated below-

(i) Verify that entrance to the cinema-hall during show is only through printed tickets;

(ii) Verify that they are serially numbered and bound into books. In case bookings are made online, verify the system for online booking;

(iii) Verify that the number of tickets issued for each show and class, are different though the numbers of the same class for the show on the same day, each week, run serially;

(iv) Verify that for advance booking a separate series of tickets is issued;

(v) Verify that the inventory of tickets is kept in the custody of a responsible official.

(vi) Confirm that at the end of show, a statement of tickets sold is prepared and cash collected is agreed with it.

(vii) Verify that a record is kept of the 'free passes' and that these are issued under proper authority.

(viii) Reconcile the amount of Tax collected with the total number of tickets issued for each class.

(ix) Vouch the entries in the Cash Book in respect of cash collected on sale of tickets for different shows on a reference to Daily Statements which have been test checked as aforementioned with record of tickets issued for the different shows held.

ICAI · P5 · MTP May 2024 · Series I · question p. 13 · answer p. 10

1372 MTP **Old P6 Nov 2023 S-I Q6(c)** 4 marks old scheme

ABC Ltd. wants to buy some equipment on lease and hence is required to sign lease agreement with the supplier of the equipment. What are the important points to be considered in the lease agreement?

ICAI'S ANSWER

The important points to be examined in the lease agreement are:

(i) the description of the lessor, the lessee, the equipment and the location where the equipment is to be installed. (The stipulation that the equipment shall not be removed from the described location

except for repairs. For the sake of identification, the lessor may also require plates or markings to be attached to the equipment).

(ii) the amount of tenure of lease, dates of payment, late charges, deposits or advances etc. should be noted.

(iii) whether the equipment shall be returned to the lessor on termination of the agreement and the cost shall be borne by the lessee.

(iv) whether the agreement prohibits the lessee from assigning the subletting the equipment and authorises the lessor to do so.

PassBook's note: ICAI prints "OR" between Q6(b) and Q6(c), so (c) is the alternative to (b) and Q6 carries 4 + 4 + 3 + 3 = 14 marks like Q2-Q5. The points to examine in a lease agreement are in the January 2027 Study Material's audit of leasing companies (chapter on special entities).

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 10 · answer p. 9

1373 MTP **Old P6 Jul 2021 S-II Q6(b)** 4 marks old scheme

Also asked in Old P6 MTP May 2020 S-I Q6(b)

Same question, different ICAI answer: #1369 Old P6 RTP Nov 2022 · #1371 MTP May 2024 S-I

Cinescreen Multiplex Ltd. is operating cinemas in different locations in Mumbai and has appointed you as an internal auditor. What are the areas that need to be verified in relation to receipts from sale of Tickets?

ICAI'S ANSWER

Audit of Cinema: The special steps involved in its audit are stated below-

(i) Verify that entrance to the cinema-hall during show is only through printed tickets;

(ii) Verify that they are serially numbered and bound into books;

(iii) Verify that the number of tickets issued for each show and class, are different though the numbers of the same class for the show on the same day, each week, run serially;

(iv) Verify that for advance booking a separate series of tickets is issued;

(v) Verify that the inventory of tickets is kept in the custody of a responsible official.

(vi) Confirm that at the end of show, a statement of tickets sold is prepared and cash collected is agreed with it.

(vii) Verify that a record is kept of the 'free passes' and that these are issued under proper authority.

(viii) Reconcile the amount of Entertainment Tax collected with the total number of tickets issued for each class.

(ix) Vouch the entries in the Cash Book in respect of cash collected on sale of tickets for different shows on a reference to Daily Statements which have been test checked as aforementioned with record of tickets issued for the different shows held.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 6 · answer p. 7

CHAPTER 10

Audit of Banks

10.1 Bank accounting system and audit approach

9 questions · asked in 9 ICAI documents · 3 exam papers

1374 EXAM Old P6 Jul 2021 Q6(d) 3 marks old scheme

Discuss the advantages of engagement team discussion done at the planning stage of the bank audit.

ICAI'S ANSWER

Advantages of engagement team discussion done at the planning stage of Bank audit are:

- Specific emphasis should be provided to the susceptibility of the bank's financial statements to material misstatement due to fraud, that enables the engagement team to consider an appropriate response to fraud risks, including those related to engagement risk, pervasive risks, and specific risks.
- It further enables the audit engagement partner to delegate the work to the experienced engagement team members, and to determine the procedures to be followed when fraud is identified.
- Further, audit engagement partner may review the need to involve specialists to address the issues relating to fraud.

ICAI · Old P6 · Jul 2021 exam · question p. 45 · answer p. 47

1375 EXAM Old P6 Jan 2021 Q3(c) 3 marks old scheme

As an Auditor of XYZ Bank Limited, how would you assess the Risk of Fraud including Money Laundering in line with SA 240 ?

ICAI'S ANSWER

As an Auditor of XYZ Bank Limited, risk of fraud including money laundering would be assessed as explained hereunder which is in line with SA 240.

As per **SA 240 "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements"**, the auditor's objective is to identify and assess the risks of material misstatement in the financial statements due to fraud, to obtain sufficient appropriate audit evidence on those identified misstatements and to respond appropriately. The attitude of professional skepticism should be maintained by the auditor so as to recognise the possibility of misstatements due to fraud.

The RBI has framed specific guidelines that deal with prevention of money laundering and "Know Your Customer (KYC)" norms. The RBI has from time to time issued guidelines ("Know Your Customer Guidelines – Anti Money Laundering Standards"), requiring banks to establish policies, procedures and controls to deter and to recognise and report money laundering activities.

ICAI · Old P6 · Jan 2021 exam · question p. 5 · answer p. 6

1376 EXAM Old P6 Nov 2019 Q6(c) 3 marks old scheme

The discussion between members of the engagement team members and the audit engagement partner should be done on the susceptibility of the bank's financial statements to material misstatements. Briefly discuss the points ordinarily included in discussion of the engagement team.

ICAI'S ANSWER

The engagement team discussion ordinarily includes a discussion of the following matters:

(i) Errors that may be more likely to occur;

(ii) Errors which have been identified in prior years;

(iii) Method by which fraud might be perpetrated by bank personnel or others within particular account balances and / or disclosure;

(iv) Audit responses to engagement risk, pervasive risks and specific risks;

(v) Need to maintain professional skepticism throughout the audit engagement,

(vi) Need to alert for information or other conditions that indicates that a material misstatement may have occurred (e.g. the bank's application of accounting policies in the given facts and circumstances).

ICAI · Old P6 · Nov 2019 exam · question p. 11 · answer p. 13-14

1377 RTP Old P6 May 2023 Q27 old scheme

Mr Rishikesh, the Bank Manager develops controls to assist in managing key business and financial risks. Discuss the various requirements for an effective risk management system in a bank.

ICAI'S ANSWER

An effective risk management system in a bank generally requires the following:

(i) **Oversight and involvement in the control process by those charged with governance:** Those charged with governance (BOD/Chief Executive Officer) should approve written risk management policies. The policies should be consistent with the bank's business objectives and strategies, capital strength, management expertise, regulatory requirements and the types and amounts of risk it regards as acceptable.

(ii) **Identification, measurement and monitoring of risks:** Risks that could significantly impact the achievement of bank's goals should be identified, measured and monitored against pre-approved limits and criteria.

(iii) **Control activities:** A bank should have appropriate controls to manage its risks, including effective segregation of duties (particularly, between front and back offices), accurate measurement and reporting of positions, verification and approval of transactions, reconciliation of positions and results, setting of limits, reporting and approval of

exceptions, physical security and contingency planning.

(iv) **Monitoring activities:** Risk management models, methodologies and assumptions used to measure and manage risk should be regularly assessed and updated. This function may be conducted by the independent risk management unit.

(v) **Reliable information systems:** Banks require reliable information systems that provide adequate financial, operational and compliance information on a timely and consistent basis. Those charged with governance and management require risk management information that is easily understood and that enables them to assess the changing nature of the bank's risk profile.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 28

1378 RTP **Old P6 Dec 2021** Q26 old scheme

The engagement team discussion ordinarily includes a discussion of the matters such as - Errors that may be more likely to occur; Errors which have been identified in prior years; Method by which fraud might be perpetrated by bank personnel or others within particular account balances and/or disclosures; etc.

In the above context, explain the advantages of such a discussion.

ICAI'S ANSWER

Advantages of such a discussion :-

- Specific emphasis should be provided to the susceptibility of the bank's financial statements to material misstatement due to fraud, that enables the engagement team to consider an appropriate response to fraud risks, including those related to engagement risk, pervasive risks, and specific risks.
- It further enables the audit engagement partner to delegate the work to the experienced engagement team members, and to determine the procedures to be followed when fraud is identified.
- Further, audit engagement partner may review the need to involve specialists to address the issues relating to fraud.

ICAI · Old P6 · RTP Dec 2021 · question p. 125-126 · answer p. 143

1379 **MTP** **Jan 2025 S-II** **Q3(a)** **5 marks**

During the audit of Smile Bank, CA Sweety focused on understanding the risk management process of the bank. She reviewed how management developed controls and used performance indicators to monitor key business and financial risks. CA Sweety also assessed whether the risk management system effectively identified and mitigated risks in required areas. How should CA Sweety evaluate the adequacy of the bank's risk management controls?

ICAI'S ANSWER

Understanding the Risk Management Process: Management develops controls and uses performance indicators to aid in managing key business and financial risks. An effective risk management system in a bank generally requires the following:

(i) Oversight and involvement in the control process by those charged with governance: Those charged with governance (Board of Directors/Managing Director) should approve written risk management policies. The policies should be consistent with the bank's business objectives and strategies, capital strength, management expertise, regulatory requirements and the types and amounts of risk it regards as acceptable.

(ii) Identification, measurement and monitoring of risks: Risks that could significantly impact the achievement of bank's goals should be identified, measured and monitored against pre-approved limits and criteria.

(iii) Control activities: A bank should have appropriate controls to mitigate its risks including effective segregation of duties (particularly between front and back offices), accurate measurement and reporting of positions, verification and approval of transactions, reconciliation of positions and results, setting up limits, reporting and approval of exceptions, physical security and contingency planning.

(iv) Monitoring activities: Risk management models, methodologies and assumptions used to measure and mitigate risk should be regularly assessed and updated. This function may be conducted by the independent risk management unit.

(v) Reliable information systems: Banks require reliable information systems that provide adequate financial, operational and compliance information on a timely and consistent basis. Those charged with governance and management require risk management information that is easily understood and that enables them to assess the changing nature of the bank's risk profile.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9 · answer p. 5

1380 MTP **Old P6 Nov 2023 S-I** General MCQ 1 1 mark MCQ

old scheme

Which of the following statements is true regarding financial statements of a bank?

A Financial statements of a bank are to be prepared in accordance with Third Schedule to Banking Regulation Act, 1949.

B Financial statements of a bank are to be prepared in accordance with Schedule III of Companies Act, 2013.

C Financial statements of a bank are to be prepared in accordance with Schedule II of Reserve Bank of India Act, 1934.

D Financial statements of a bank are to prepared in accordance with format prescribed by Comptroller and Auditor General of India.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 5 · answer p. 1

1381 MTP **Old P6 Nov 2022 S-I** Q6(b) 4 marks old scheme

What are the general requirements of an effective Risk Management System in Banks?

ICAI'S ANSWER

Understanding the Risk Management Process: Management develops controls and uses performance indicators to aid in managing key business and financial risks. An effective risk management system in a bank generally requires the following:

(i) **Oversight and involvement in the control process by those charged with governance:** Those charged with governance (Board of Directors/Managing Director) should approve written risk management policies. The policies should be consistent with the bank's business objectives and strategies, capital strength, management expertise, regulatory requirements and the types and amounts of risk it regards as acceptable.

(ii) **Identification, measurement and monitoring of risks:** Risks that could significantly impact the

achievement of bank's goals should be identified, measured and monitored against pre-approved limits and criteria.

(iii) **Control activities:** A bank should have appropriate controls to mitigate its risks including effective segregation of duties (particularly between front and back offices), accurate measurement and reporting of positions, verification and approval of transactions, reconciliation of positions and results, setting up limits, reporting and approval of exceptions, physical security and contingency planning.

(iv) **Monitoring activities:** Risk management models, methodologies and assumptions used to measure and mitigate risk should be regularly assessed and updated. This function may be conducted by the independent risk management unit.

(v) **Reliable information systems:** Banks require reliable information systems that provide adequate financial, operational and compliance information on a timely and consistent basis. Those charged with governance and management require risk management information that is easily understood and that enables them to assess the changing nature of the bank's risk profile.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 8-9

1382 MTP Old P6 Jul 2021 S-I Q6(d) 4 marks old scheme

There are different types of banks prevailing in India. Explain giving examples of such banks.

ICAI'S ANSWER

There are different types of banking institutions prevailing in India which are as follows:

Commercial Banks	Regional Rural Banks
Co-operative Banks.	Payment Banks.
Development Banks (more commonly known as 'Term-Lending Institutions').	Small Finance Banks.

1. ***Commercial banks*** are the most wide spread banking institutions in India, that provide a number of products and services to general public and other segments of economy. Two of its main functions are:-
   (a) accepting deposits and

   (b) granting advances.

2. ***Regional Rural Banks*** known as RRBs are the banks that have been set up in rural areas in different states of the country to cater to the basic banking and financial needs of the rural communities. Examples are :- Punjab Gramin Bank , Tripura Gramin Bank , Allahabad UP Gramin Bank , Andhra Pradesh Grameen Vikas Bank, etc.

3. ***Co-operative Banks*** function like Commercial Banks only but are set up on the basis of Cooperative Principles and registered under the Cooperative Societies Act of the respective state or the Multistate Cooperative Societies Act and usually cater to the needs of the agricultural and rural sectors. Examples are :- The Gujarat State Co-operative Bank Ltd. , Chhatisgarh Rajya Sahakari Bank Maryadit , etc.
4. ***Payments Banks*** are a new type of banks which have been recently introduced by RBI. They are allowed to accept restricted deposits but they cannot issue loans and credit cards. However , customers can open Current & Savings accounts and also avail the facility of ATM cum Debit cards , Internet-banking & Mobilebanking. Examples are :- Airtel Payments Bank , India Post Payments Bank, Paytm Payments Bank , etc.
5. ***Development Banks*** had been conceptualized to provide funds for infrastructural facilities important for the economic growth of the country. Examples are:- Industrial Finance Corporation of India (IFCI), Industrial Development Bank of India (IDBI), Small Industries Development Bank of India (SIDBI) , etc.
6. ***Small Finance Banks*** have been set up by RBI to make available basic financial and banking facilities to the unserved and unorganised sectors like small marginal farmers, small &

micro business units, etc. Examples are:- Equitas Small Finance Bank , AU Small Finance Bank , etc.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 8 · answer p. 9-10

10.2 Appointment, powers and report of a bank's auditor

5 questions · asked in 5 ICAI documents · 1 exam paper

1383 EXAM Jan 2026 MCQ 13 2 marks MCQ

Mr. Saurabh, a Chartered Accountant, has been appointed as the Statutory Auditor of GM Bank, a nationalized bank, for the financial year 2024-25. Before commencing the audit, Mr. Saurabh conducted an orientation session for his audit team, to familiarize them with the Long Form Audit Report (LFAR) - its applicability, contents, and submission requirements.

Which of the following statements are correct in respect of the Long Form Audit Report (LFAR)?

I. Besides the audit report, as per the statutory requirements, the terms of appointment of auditors of public sector banks, private sector banks and foreign banks including their branches, require the auditors to also furnish a long form audit report.

II. The matters which the banks require their auditors to deal with in the long form audit report have been specified by RBI.

III. The Statutory Central Auditors are required to submit the LFAR to the banks at the latest by 31st July

every year.

IV. The format of LFAR mandatorily requires an executive summary to be given, where members must provide the same to bring out the key observations from the whole document.

A I, II, III, IV

B I, IV

C I, II

D III, IV

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · Jan 2026 exam · question p. 9 · answer p. 11

1384 RTP **Old P6 Jul 2021** Q26 old scheme

Your firm of auditors, SRG & Co., has been appointed as Statutory Central Auditors of Reliable Bank. Explain the reporting requirements of the Statutory Central Auditors (SCAs) in addition to their main audit report.

ICAI'S ANSWER

Presently, the Statutory Central Auditors (SCAs) have to furnish the following reports in addition to their main audit report:

(a) Report on adequacy and operating effectiveness of Internal Controls over Financial Reporting in case of banks which are registered as companies under the Companies Act in terms of Section 143(3)(i) of the Companies Act, 2013 which is normally to

be given as an Annexure to the main audit report as per the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the ICAI.

(b) Long Form Audit Report. (LFAR)

(c) Report on compliance with SLR requirements.

(d) Report on whether the treasury operations of the bank have been conducted in accordance with the instructions issued by the RBI from time to time.

(e) Report on whether the income recognition, asset classification and provisioning have been made as per the guidelines issued by the RBI from time to time.

(f) Report on whether any serious irregularity was noticed in the working of the bank which requires immediate attention.

(g) Report on status of the compliance by the bank with regard to the implementation of recommendations of the Ghosh Committee relating to frauds and malpractices and of the recommendations of Jilani Committee on internal control and inspection/credit system.

(h) Report on instances of adverse credit-deposit ratio in the rural areas.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 142

1385 MTP **Old P6 Nov 2023 S-II** Q6(a) 3 marks old scheme

CA X is acting as concurrent auditor of a branch of KLT Bank (a nationalized bank) located in Delhi during the year 2022-23. The assignment started from 1st October 2022 and is for a period of one year. By virtue of this assignment, he is required to issue monthly reports on different aspects of the functioning of branch including deposits, advances and housekeeping to controlling authorities of Bank.

At the end of March, 2023, he has got an offer to conduct statutory audit of two branches of KLT Bank located in the State of Rajasthan for the year 2022-23. Can he accept the above offer? Discuss.

ICAI'S ANSWER

In the given situation, CA X has undertaken concurrent audit assignment of KLT Bank which is in the nature of internal assignments.

In accordance with RBI guidelines, statutory audit assignments should not be undertaken by auditors while being associated with internal assignments in bank during the same year like concurrent audits (Internal audits of banks conducted monthly during the year).

As CA X is associated with KLT Bank as concurrent auditor, he should not accept statutory audit assignment of same bank even though it relates to different branches of the bank.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 7 · answer p. 8

1386 MTP **Old P6 May 2023 S-II** General MCQ 4 1 mark MCQ old scheme

The LFAR is to be submitted before _____every year

A 30th April

B 31st May

C 30th June

D 30th September

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 4 · answer p. 1

1387 MTP **Old P6 Nov 2019 S-I** MCQ 22 2 marks MCQ old scheme

Which of the following is correct :

A Sub-section (1) of section 30 of the Banking Regulations Act, 1949 requires that the balance sheet and profit and loss account of a banking company should be audited by a Firm of Chartered Accountants only.

B Sub-section (1) of section 30 of the Banking Regulations Act, 1949 requires that the balance sheet and profit and loss account of a banking company should be audited by a person duly qualified under any law for the time being in force to be an auditor of companies.

C Sub-section (1) of section 30 of the Banking Regulations Act, 1949 requires that the balance sheet and profit and loss account of a banking company should be audited by a CAG Auditor only.

D Sub-section (1) of section 30 of the Banking Regulations Act, 1949 requires that the balance sheet and profit and loss account of a banking company should be audited by a by a person duly qualified under Banking Law.

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 5 · answer p. 1

10.3 Audit of advances, NPAs and drawing power

146 questions · asked in 57 ICAI documents · 16 exam papers

1388 EXAM **Sep 2026** Case scenario · Q6(a)(i) to Q6(a)(ii)

5 marks

CASE SCENARIO

While conducting the statutory audit of advances of XYZ bank, CA P noted that a borrower had been sanctioned a cash credit limit of ₹ 12 crores. Based on the latest stock statement, the drawing power was ₹ 9 crores, whereas the outstanding balance in the account was ₹ 10 crores. The borrower's funded exposure was ₹ 10 crores. The account was under a consortium arrangement in which XYZ Bank was not the lead bank.

The branch manager contended that the account was regular since the outstanding balance was within the sanctioned limit. He further stated that, since XYZ Bank was not the lead bank, there was no requirement to review the stock audit report.

In the above context :

Q6(a)(i) 3 marks

Briefly explain the concepts of Sanctioned Limit and Drawing Power and comment on the branch manager's view that the account is regular.

Q6(a)(ii) 2 marks

State whether stock audit is required in the given case and comment on the branch manager's view that there is no requirement to review the stock audit report.

ICAI'S ANSWERS

Q6(a)(i)

ICAI has not published its answers to this paper yet.

Q6(a)(ii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 21-22

1389 EXAM **May 2026** Case Scenario - III · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO - III

XYZ bank, a scheduled commercial bank, is preparing its financial statements for the financial year ended on 31st March, 2026.

During the financial year, the bank undertook various lending and investment transactions in the ordinary course of its banking operations. These transactions involved secured advances and bill discounting activities, giving rise to income recognition considerations at the year-end.

In respect of its lending portfolio, the bank accounted for interest income amounting to ₹ 1.07 crores on advances secured by term deposits, National Savings Certificates (NSCs), and life insurance policies, even though the amounts had not been received as of the balance sheet date.

Further, on 01/01/2026, the bank purchased six-month bills and earned a total discount of ₹ 2.4 crores. Since half of the bill period extended beyond 31st March 2026, part of the discount is related to the subsequent accounting period. Additionally, rediscounting charges of ₹ 0.5 crores were netted off against the discount income in the books of account. These transactions require examination to determine whether income has been recognised in accordance with accrual principles and applicable banking guidelines.

XYZ bank is also a co-lender in a consortium arrangement where several banks jointly advanced a term loan of ₹ 150 crore to a corporate borrower. ABC Bank Limited acts as the lead bank and is responsible for collecting and distributing borrower remittances among the consortium members.

At the year-end, it was observed that XYZ bank had not received its share of repayment from the lead bank, although the borrower had been remitting payments to the lead bank. The auditor must evaluate the correct asset classification and income recognition in respect of XYZ Bank's share of the consortium advance.

In addition, the bank monitors its loan portfolio in accordance with RBI prudential norms relating to asset classification. As of March 2026, certain borrowers had overdue instalments as follows:

Borrower A - 20 days, Borrower B - 30 days, Borrower C - 85 days. The bank follows Special Mention Account (SMA) framework to identify incipient stress before accounts become Non-Performing Assets (NPAs).

Based on the above, answer the following: (10 to 12)

MCQ 10 2 marks

Since, XYZ Bank recognised interest on advances secured by term deposits, NSCs, and life insurance policies and earned discount on Purchased bills where Rediscounting charges were netted off against the discount income.

Which of the following statements correctly reflects the appropriate accounting treatment?

A Interest on secured advances and the entire discount on bills purchased may both be recognised immediately, and rediscounting charges may be netted off under accrual principles.

B Interest on secured advances may be recognised on an accrual basis where an adequate margin exists; however on bills purchased only the portion of discount earned up to 31st March should be recognised, and rediscounting charges should not be netted off from the discount earned.

C Interest on secured advances may be recognised on an accrual basis where an adequate margin exists; however on bills purchased only the portion of discount earned up to 31st March should be recognised, and rediscounting charges should be netted off from the discount earned.

D Both interest and discount income should be deferred until actual receipt, and rediscounting charges must be adjusted against discount income.

MCQ 11 2 marks

In the consortium lending arrangement where ABC Bank Ltd. is the lead bank, how should XYZ Bank classify its portion of the loan?

A Classify as standard, since the borrower has remitted payment to the lead bank.

B Classify as standard, provided the overall consortium exposure is being serviced.

C Classify as NPA until XYZ Bank actually receives its share of repayment from the lead bank.

D Recognize interest income on an accrual basis irrespective of receipt from the lead bank.

MCQ 12 2 marks

Based on RBI guidelines for Special Mention Accounts (SMA), how should the borrowers be classified?

A Borrower A-SMA 0, Borrower B-SMA 0, Borrower C-SMA 2

B Borrower A-SMA 0, Borrower B-SMA 1, Borrower C-SMA 2

C Borrower A-Standard Regular, Borrower B-SMA 1, Borrower C-SMA 2

D Borrower A-SMA 0, Borrower B-SMA 2, Borrower C-SMA 2

ICAI'S ANSWERS

MCQ 10

Answer key: **(B)**

MCQ 11

Answer key: **(C)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · May 2026 exam · question p. 7-8 · answer p. 11

1390 **EXAM** **Jan 2026** Case scenario · Q6(a)(i) to Q6(a)(ii)

5 marks

CASE SCENARIO

CA Mini was appointed as the statutory branch auditor of DFC Bank Ltd., for the financial year 2024-25. While verifying advances, she observed the following cases:

Q6(a)(i) 3 marks

A term loan to JT Mills Ltd. with an outstanding balance of ₹ 140 lakh and security valued at ₹ 80 lakh was classified by the branch as Doubtful-Category D1 (doubtful upto 1 year) with a provision of ₹ 70 lakh created.

Q6(a)(ii) 2 marks

A Loan to Z Pvt. Ltd. with an outstanding balance of ₹ 65 lakh and realizable security value of ₹ 6 lakh (as per approved valuer) was classified by the branch as a Doubtful Asset and provision for doubtful debts was made accordingly.

You are required to examine whether the asset classification and provisioning made by the branch in both cases are in accordance with the RBI Prudential Norms on Income Recognition, Asset Classification and Provisioning.

ICAI'S ANSWERS

Q6(a)(i)

Case (i) – Term Loan to JT Mills Ltd.: The outstanding balance of the term loan to JT Mills Ltd. is ₹140 lakh and the realizable value of security is ₹ 80 lakh. The branch has classified the advance as Doubtful – D1 (up to one year) and created a provision of ₹ 70 lakh.

As per RBI Prudential Norms, in case of a doubtful asset up to one year, provisioning is required at 25% of the secured portion and 100% of the unsecured portion.

In the present case, the secured portion is ₹ 80 lakh and the unsecured portion is ₹ 60 lakh. Accordingly, the required provision is ₹ 20 lakh i.e., (25% of ₹ 80 lakh) plus ₹ 60 lakh (100% of ₹ 60 lakh), aggregating to ₹ 80 lakh.

The classification of the advance as Doubtful – D1 is appropriate, however, the provision of ₹ 70 lakh is inadequate. As per RBI norms, a provision of ₹ 80 lakh should be made.

Q6(a)(ii)

Case (ii) – Loan to Z Pvt. Ltd.: If the realisable value of the security, as assessed by the bank/approved valuers/ RBI is less than 10 per cent of the outstanding in the borrower accounts, the existence of security should be ignored, and the asset should be straight-away classified as loss asset. It may be either written off or fully provided for by the bank.

The loan to Z Pvt. Ltd. has an outstanding balance of ₹ 65 lakh and realisable security value of ₹ 6 lakh. The realisable value of security is less than 10% of the outstanding amount.

As per RBI guidelines on erosion in the value of security, where the realizable value of security is less than 10% of the outstanding balance, the existence of security should be ignored, and the asset should be straight-away classified as a Loss Asset. Such an asset should be either written off or fully provided for by the bank. Therefore, classification of this advance merely as a doubtful asset is not in accordance with RBI norms.

The asset should be straight-away classified as a Loss Asset and 100% provision should be made. The classification and provisioning made by the branch are not in accordance with RBI Prudential Norms.

ICAI · P5 · Jan 2026 exam · question p. 27 · answer p. 28-29, 29

1391 EXAM **Sep 2025** MCQ 13 2 marks MCQ

CA Student Ajay learnt the concept of classification of advances as per RBI prudential norms for agricultural advances. As per the prudential norms, agricultural advances shall be treated as NPA:

A. If instalment of principal or interest thereon remains overdue for one crop season in case of short duration crop and two crop seasons in case of long duration crops.

B. If instalment of principal or interest thereon remains overdue for two crop seasons in case of short duration crop and one crop season in case of long duration crops.

C. If instalment of principal and interest thereon remains overdue for two crop seasons in case of short duration crop and one crop season in case of long duration crops.

D. If instalment of principal and interest thereon remains overdue for one crop season in case of short duration crop and two crop seasons in case of long duration crops.

ICAI'S ANSWER

Answer key: **(B)**

1392 EXAM Sep 2025 MCQ 15 2 marks MCQ

A Limited company has certain borrowings from a consortium of banks. classified into Funded loan and Non-funded facilities. The description of the facilities is as under -

i. Letters of credit

ii. Cash credits

iii. Bank guarantees

iv. Overdrafts

v. Standby Letter of credit (SBLC)

vi. Bills discounted and purchased

vii. Participation on Risk sharing basis

Choose the correct option with regard to Funded loans.

A i, ii, vi, vii

B ii, iv, vi, vii

C ii, iii, iv, vi

D i, v, vi, vii

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · Sep 2025 exam · question p. 9-10 · answer p. 10

1393 EXAM Sep 2025 Q3(c) 4 marks

XYZ Developers, a property development firm, has secured a short-term construction loan from ABC Bank to finance a residential project. Upon completion of the project, XYZ Developers plan to refinance this loan with a long-term takeout loan from DEF Financial Institution. However, due to delays in the project's completion, XYZ Developers face difficulties in repaying the loan, and the bank classifies the loan as a Non-Performing Asset (NPA).

What is the meaning and primary objective of takeout finance in property development, and how does the classification of a loan as a Non-Performing Asset (NPA) impact income recognition by the lending bank?

ICAI'S ANSWER

Meaning of Take-out finance in property development: A takeout loan is a method of financing whereby a loan that is procured later is used to replace the initial loan. More specifically, a takeout loan, or takeout financing, is long-term financing that the lender promises to provide at a particular date or when particular criteria for completion of a project are met. Takeout loans are commonly used in property development.

Objective of Take-out finance in property development:

(I) To expand sources of Finance for infrastructure projects by facilitating participation of new entities.

(II) To address sectoral/group/entity exposure issues and asset liability in mis-match concerns of tenders.

(III) To boost the availability of longer tenor debt finance for projects.

Impact of classification of loan as NPA on income recognition by lending bank: In the case of take-out finance, if based on record of recovery, the account is classified by the lending bank as NPA, it should not recognize income unless realised from the borrower/taking-over institution (if the arrangement so provides).

ICAI · P5 · Sep 2025 exam · question p. 18 · answer p. 19-20

1394 **EXAM** **May 2025** **Q5(c)** **4 marks**

Compute the Drawing power for Cash Credit limit granted to S Ltd. by Trust Bank for the month of March 2025 from the following information:

Particulars	Amount in (₹)
Value of stocks	50,000
Value of debtors (including debtors of 5,000 for an invoice dated 17.11.2024)	45,000
Value of creditors for goods	15,000
Sanctioned limit	45,000

Margin on stock is 20% and on debtors is 50%.

Note: Debtors older than 3 months are ineligible for calculation of D.P.

ICAI'S ANSWER

Computation of Drawing power of S Ltd. for the month of March 2025:

Value of stocks	₹ 50,000
Less: creditors for goods	₹ 15,000
Value of Paid stocks	₹ 35,000
Less: Margin @ 20%	₹ 7,000
Drawing power (A)	**₹ 28,000**
Value of debtors	₹ 45,000
Less: debtors exceeding 90 days	₹ 5,000
	₹ 40,000
Less: Margin @ 50%	₹ 20,000
Drawing Power (B)	**₹ 20,000**
Drawing Power (A+B)	**₹ 48,000**

The sanctioned limit given in the question is ₹ 45000 whereas drawing power as per the above working is ₹ 48000. Accordingly, drawing power for Cash Credit Limit granted to S Ltd. by Trust Bank for the month of March 2025 would be restricted to sanctioned limit i.e., ₹ 45000.

1395 EXAM **Jan 2025** Case Scenario 3 · MCQ 9 to MCQ 12

8 marks

CASE SCENARIO 3

GNH & Co., Chartered Accountants, has been appointed as the statutory branch auditors of Chandigarh branch of HFC Bank, a nationalized bank. While carrying out the audit, the following key issues were identified:

Issue 1: Consortium Cash Credit Facility granted to X Ltd.: HFC Bank is a consortium member providing cash credit facilities of ₹ 50 crores to X Ltd., with HFC's share being ₹ 10 crores. Over the past two quarters, interest amounting to ₹ 1.75 crores have been debited in cash credit account of X Ltd., while credits in the account amounts to only ₹ 1.25 crores. Despite this shortfall, the account has been classified as performing asset, based on a certificate from the lead bank (UNC Bank Limited).

Issue 2: Asset Classification of SJ Ltd.: SJ Ltd.'s account has seen no recovery for the past 18 months. However, the bank has not applied NPA norms or income recognition norms to this account. The management justifies this by stating that the account is guaranteed by the Central Government and that NPA and income recognition norms are not applicable. Government has not invoked the guarantee.

Issue 3: Loan Application from ABC Traders: ABC Traders has applied for a cash credit limit from HFC Bank for supporting working capital requirements on account of business expansion. In discussions with ABC Traders, HFC Bank has requested different forms of security, depending on the nature of the assets offered, which includes immovable property (warehouse), goods in stock, accounts receivable, and insurance policies. Borrower provided the security and was sanctioned cash credit limit of ₹ 4.50 Crores.

Issue 4: Precision Engineering (one of the borrowers of the branch) has utilized the entire sanctioned cash credit limit of ₹ 300.00 Lacs. Outstanding balance as on 31 March, 2024 is ₹ 308.00 Lacs. Bank classified the account as Substandard Asset. One fine day DGM (Inspection) of Bank was passing through the area in which borrower is located and observed that building occupied by the borrower is damaged and there is no machinery, stock and other assets available in the premises. Borrower was not available telephonically and no contact could be made with him. He ordered independent verification of assets and report was submitted that no security mortgaged with bank is available. Report has been accepted by the bank authorities. Only a piece of land with realizable value ₹ 25 Lacs is available as of now. Bank made a provision in its books of accounts considering the account as Substandard Asset.

Based on the above facts, answer the following Q. Nos. 9 to 12.

MCQ 9 2 marks

Whether the asset classification of account of X Limited is correct?

A. Classification is correctly done on the basis of certificate provided by UNC Bank Limited.

B. Classification is correctly done subject to confirmation from the Central statutory auditor of the bank.

C. Classification is correctly done subject to confirmation from the Central statutory auditor of the bank and also other parameters specified in the RBI guidelines have been followed.

D. Classification is not in order as classification has to be done on the basis of record of recovery of the HFC Bank only.

MCQ 10 2 marks

Is the bank's decision not to apply NPA and income recognition norms to account of SJ Ltd. valid under regulatory guidelines?

A. The bank is correct to the extent of not applying the NPA norms for provisioning purposes. However, this exemption is not available in respect of income recognition norms.

B The bank is not correct for not applying the NPA norms for provisioning purposes. But this exemption is available in respect of income recognition norms.

C The bank is correct in not applying the NPA norms and income recognition norms as both are not applicable.

D The bank is not correct in not applying the NPA norms and income recognition norms as both are applicable.

MCQ 11 2 marks

ABC Traders offered its warehouse as security for the loan. HFC Bank created a charge on the warehouse. Which form of security has been created and whether bank is required to get stock audit done of cash credit account of ABC Traders ?

A Security created is Pledge and bank is required to get stock audit done of cash credit account of ABC Traders.

B Security created is Mortgage and bank is required to get stock audit done of cash credit account of ABC Traders.

C Security created is Pledge and bank is not mandatorily required to get stock audit done of cash credit account of ABC Traders.

D Security created is Mortgage and bank is not mandatorily required to get stock audit done of cash credit account of ABC Traders.

MCQ 12 2 marks

Whether correct classification and provisioning norms have been applied in the account of Precision Engineering?

A. The account is correctly classified but provision should be made for hundred percent of the unsecured portion besides making specified provision on secured portion.

B. The account should have been classified as Doubtful asset and besides making required provision on secured portion, provision should have been made for hundred percent of the unsecured portion.

C. The account should have been classified as loss asset and full provision should have been made in the books of accounts.

D. The account should have been classified as Doubtful asset and full provision should have been made in the books of accounts.

ICAI'S ANSWERS

MCQ 9

Answer key: **(D)**

MCQ 10

Answer key: **(A)**

MCQ 11

Answer key: **(D)**

MCQ 12

Answer key: **(C)**

ICAI · P5 · Jan 2025 exam · question p. 5-6 · answer p. 9

1396 EXAM Sep 2024 Q3(c) 3 marks

K Ltd. is availing cash credit limit of ₹ 25 crores from LMN Bank Ltd. The drawing power of the company range between ₹ 22 crores and ₹ 25 crores during the year 2023-24. The limit availed by the company remained less than ₹ 20 crores during all the days of the financial year 2023-24. The company has not deposited any amount in the cash credit account and there are no other credits to this account during the last two quarters. How will this account be classified in the books of LMN Bank Ltd. as on 31-03-2024? Explain.

ICAI'S ANSWER

An account should be treated as 'out of order' if: -

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

In the given case, K Ltd. is availing cash credit limit of ₹ 25 crores from LMN Bank Ltd and the drawing power of the company range between ₹ 22 crores and ₹ 25 crores during the year 2023-24. The limit availed by K Ltd. remained less than ₹ 20 crores during all the days of the financial year 2023-24 and

the company has not deposited any amount in the cash credit account and there are no other credits to this account during the last two quarters.

Thus, account should be treated as out of order in the books of LMN Bank Ltd. as the outstanding balance in the principal operating account (₹ 20 crore) is less than the sanctioned limit/drawing power (₹ 22 cores and ₹ 25 crores), but there are no credits continuously for 90 days as on the date of Balance Sheet.

ICAI · P5 · Sep 2024 exam · question p. 17 · answer p. 18-19

1397 **EXAM** **May 2024** **Q6(b)** **4 marks**

MNB bank advanced certain loans guaranteed by government. State the prudential norms for asset classification and income recognition of such loans.

ICAI'S ANSWER

Government Guaranteed Advances (In case of accounts overdue for more than 90 days): Central Government. Guaranteed Advances, where the guarantee is not invoked/ repudiated would be classified as Standard Assets, but regarded as NPA for Income Recognition purpose.

The situation would be different if the advance is guaranteed by State Government, where advance is to be considered NPA if it remains overdue for more than 90 days for both Provisioning and Income recognition purposes.

Alternative Solution:

Government Guaranteed Advances (In case of accounts overdue for not more than 90 days):

Asset Classification: In case of advances guaranteed by both Central Government and State Government, they would be classified as Standard Advances in the following manner:

Classification of Advances	Particulars
Standard Regular	Accounts not overdue
Special Mention Accounts:	
1. SMA 0	Accounts showing stress signals
2. SMA 1	Accounts overdue between 31 to 60 days
3. SMA 2	Accounts overdue between 61 to 90 days

Income Recognition

Income would be recognised for all the accounts which are not overdue for more than 90 days, on accrual basis, in case of advances guaranteed by both Central Government and State Government.

ICAI · P5 · May 2024 exam · question p. 18 · answer p. 20-21

1398 EXAM Old P6 May 2023 Q6(c) 3 marks old scheme

A Ltd. has availed Cash Credit facilities against Stock and Book Debt, Term Loan for machineries and Bank Guarantee from Big Bank Ltd. A Ltd. furnishes stock statements and age wise list of debtors to Big Bank Ltd. on regular basis. Concurrent Auditors of Big Bank Ltd. mentioned about wrong calculation of Drawing Power by the Bank Branch along with sanctioned limit, and balances overdrawn due to wrong calculation of Drawing Power (DP) in the monthly report. Explain the meaning of drawing power and how it differs from sanctioned limit? What is to be ensured while computing Drawing Power (DP)?

ICAI'S ANSWER

Meaning of Drawing Power generally addressed as "DP" is an important concept for Cash Credit (CC) facility availed from banks and financial institutions. Drawing power is the limit up to which a firm or company can withdraw from the working capital limit sanctioned.

Different from Sanctioned Limit: The Sanctioned limit is the total exposure that a bank can take on a particular client for facilities like cash credit, overdraft, export packing credit, non-funded exposures etc. On the other hand, Drawing Power refers to the amount calculated based on primary security less margin as on a particular date.

Computation of DP: It needs to be ensured that the drawing power is calculated as per the extant guidelines formulated by the Board of Directors of

the respective bank and agreed upon by the concerned statutory auditors. Special consideration should be given to proper reporting of sundry creditors for the purposes of calculating drawing power.

ICAI · Old P6 · May 2023 exam · question p. 13 · answer p. 15

1399 EXAM **Old P6 Nov 2022** Q6(b) 4 marks old scheme

CARD Ltd. is into the banking business and handles large amount of loans and advances of different kinds. Non-performing assets are on the rise since last two quarters. The management is concerned with correct provisioning for the same. CA R is appointed to check whether correct provisioning of NPA's is being made by the bank or not. What are the aspects that will be verified by CA R for this purpose?

ICAI'S ANSWER

Provisioning of Non-performing Assets: CA R should verify that the classification of NPAs into sub-standard assets, doubtful assets and loss assets is done depending upon prudential norms as per the RBI Guidelines. Further he should also ensure that

provision is being made for the same in accordance with the given table:

Categories of Non-Performing Assets:	Provision required
Substandard Assets: Would be one, which has remained NPA for a period less than or equal to 12 months.	15%
Doubtful Assets: Would be one, which has remained in the substandard category for a period of 12 months. **Sub-categories**: • Doubtful up to 1 Year (D1) • Doubtful 1 to 3 Years (D2) • Doubtful more than 3 Years (D3)	(Secured + Unsecured) 25% + 100% 40% + 100% 100% + 100%
Loss Assets: Would be one, where loss has been identified by the bank or internal or external auditors or the RBI inspection but the amount has not been written off wholly.	100%

Alternative Answer 1:

Aspects to be verified by CA R to check correct provisioning of NPAs: CA R should verify following aspects while checking whether correct provisioning of NPAs is being made by bank: -

1. It should be verified whether classification of NPAs is in accordance with RBI guidelines. Such

guidelines require classification of NPAs into sub-standard assets, doubtful assets and loss assets depending upon different criteria. Each classification requires different percentage of provisions. Therefore, proper classification of NPAs would ensure that provisioning is correct.

2. It should be verified that doubtful assets have been further properly classified in D1, D2 and D3 categories. These three different categories require provision of 25%, 40% and 100% respectively of secured portions of outstanding amount.
3. It should be verified that secured and unsecured portion in doubtful assets have been arrived at properly. Unsecured portion of liability entails provision of 100%. Therefore, it is important to verify that break-up of doubtful assets into secured and unsecured portions is proper.
4. As different kinds of loans and advances are handled by the bank, it should be ensured that loan classification according to its purpose is properly made in the system. NPA norms vary for cash credit accounts, term loans, bills purchased and agricultural loans. Any wrong classification can lead to incorrect provisioning. For example, if an agricultural loan is wrongly classified, it would lead to incorrect provisions.

Alternative Answer 2:

Aspects to be verified by CA R to check correct provisioning of NPAs:

1. For audit of Provisions, the auditor should ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled.
2. The auditor should obtain an understanding as to how the bank computes provision on standard assets and non-performing assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets.
3. The auditor may verify the loan classification on a sample basis.
4. The auditor should obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger.

ICAI · Old P6 · Nov 2022 exam · question p. 11-12 · answer p. 13-14

1400 **EXAM** **Old P6 May 2022** Q2(d) 3 marks old scheme

Compute the Drawing Power for Cash Credit A/c of S Limited for the month of March 2022 with following

information:

	(Amount in ₹)
Stock	50,000
Debtors (Including Debtor of ₹ 5,000 for an invoice dated 17.11.2021)	45,000
Sundry creditors	15,000
Sanctioned Limit	45,000

Margin on stock is 20% and on debtors is 50%.

Note: Debtors older than 3 months are ineligible for calculation of DP.

ICAI'S ANSWER

Computation of Drawing Power:

Computation of Drawing Power for CC A/c of S Ltd.

Particulars of current assets		Amount (₹)	DP Amt (₹)
(A) Stocks:			
Stocks at realizable value		50,000	
Less: Unpaid stocks:			
- Sundry creditors	15000	15000	

Particulars of current assets	Amount (₹)	DP Amt (₹)
Paid for stocks	35000	
Margin @ 20%	7000	28000
(B) Debtors:		
Total Debtors	45000	
Less: Ineligible debtors	5000	
Eligible debtors	40000	
Margin @ 50%	20000	20000
Total Drawing Power		**48000**

The sanctioned limit given in the question is ₹ 45000 whereas drawing power as per the above working is ₹ 48000. So, drawing power would be restricted to sanctioned limit i.e., ₹ 45000

ICAI · Old P6 · May 2022 exam · question p. 3 · answer p. 5

1401 **EXAM** **Old P6 May 2022** **Q4(d)** **3 marks** **old scheme**

After becoming Chartered Accountant, you have got your first assignment as an auditor of a bank branch dealing in various types of advances. What are the areas which you will be looking for obtaining sufficient

appropriate evidence (for advances) besides studying and evaluating internal controls?

ICAI'S ANSWER

Audit Procedure in Audit of Advances in case of Bank Audit: The auditor can obtain sufficient appropriate audit evidence about advances by study and evaluation of internal controls relating to advances, and by:

(i) examining the validity of the recorded amounts;

(ii) examining loan documentation.

(iii) reviewing the operation of the accounts;

(iv) examining the existence, enforceability and valuation of the security;

(v) checking compliance with RBI norms including appropriate classification and provisioning; and

(vi) carrying out appropriate analytical procedures.

ICAI · Old P6 · May 2022 exam · question p. 8 · answer p. 10

1402 **EXAM** **Old P6 Dec 2021** Q6(b) **4 marks** old scheme

Same question, different ICAI answer: #1459 Old P6 MTP May 2023 S-II

In a bank, all accounts should be kept within the drawing power and the sanctioned limit. The accounts which exceed the sanctioned limit or drawing power should be brought to the notice of the management regularly. Analyse the following points to be considered in the computation of drawing power in case of bank audit.

(i) Bank's Duties

(ii) Auditor's concern

(iii) Computation of DP

(iv) Stock audit

ICAI'S ANSWER

Computation of Drawing Power:

(i) **Bank's Duties:** Banks should ensure that drawings in the working capital account are covered by the adequacy of the current assets. Drawing power is required to be arrived at based on current stock statement. However, considering the difficulties of large borrowers, stock statements relied upon by the banks for determining drawing power should not be older than three months. The outstanding in the account based on drawing power calculated from stock statements older than three months is deemed as irregular.

(ii) **Auditor's Concern:** The stock statements, quarterly returns and other statements submitted by the borrower to the bank should be scrutinized in detail. The audited Annual Report submitted by the borrower should be scrutinized properly. The monthly stock statement of the month for which the audited accounts are prepared and submitted should be compared and the reasons for deviations, if any, should be ascertained.

(iii) **Computation of DP:** It needs to be ensured that the drawing power is calculated as per the extant guidelines formulated by the Board of Directors of

the respective bank and agreed upon by the concerned statutory auditors. Special consideration should be given to proper reporting of sundry creditors for the purposes of calculating drawing power.

(iv) **Stock Audit:** The stock audit should be carried out by the bank for all accounts having funded exposure of more than I 5 crores. Auditors can also advise for stock audit in other cases if the situation warrants the same. Branches should obtain the stock audit reports from lead bank in the cases where the Bank is not leader of the consortium of working capital. The report submitted by the stock auditors should be reviewed during the course of the audit and special focus should be given to the comments made by the stock auditors on valuation of security and calculation of drawing power.

ICAI · Old P6 · Dec 2021 exam · question p. 13 · answer p. 14-15

1403 EXAM **Old P6 Jul 2021** Q6(a) 4 marks old scheme

N Ltd. has been sanctioned a Cash Credit Facility by XYZ Bank Ltd. for INR 1 crore and drawing power as per the stock statements furnished for the last quarter is INR 80 Lakh. Outstanding balance in the account is INR 75 lakh. Interest charged to the account is INR 3.5 Lakh and total credit into the account for the quarter is INR 2.5 Lakh. As an auditor how will you report this account in your report.

ICAI'S ANSWER

Out of Order: An account should be treated as 'out of order' if:

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- Credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

Applying the above to the given case of N Ltd, its Drawing power is ₹ 80 Lakhs, although outstanding balance in the account is ₹ 75 Lakhs, but still the account would be reported as out of order because credits in the account are not sufficient to cover the interest debited during the same period

ICAI · Old P6 · Jul 2021 exam · question p. 45 · answer p. 45

1404 **EXAM** **Old P6 Jan 2021** Q6(b) **4 marks** **old scheme**

Also asked in Old P6 MTP Dec 2021 S-II Q6(a)

Explain "Advances under Consortium" in the context of Prudential Norms on Income Recognition, Asset Classification and Provisioning pertaining to Advances.

ICAI'S ANSWER

Advances under Consortium: Consortium advances should be based on the record of recovery of the respective individual member banks and other aspects having a bearing on the recoverability of the advances. Where the remittances by the borrower under consortium lending arrangements are pooled with one bank and/or where the bank receiving remittances is not parting with the share of other member banks, the account should be treated as not serviced in the books of the other member banks and therefore, an NPA.

The banks participating in the consortium, therefore, need to arrange to get their share of recovery transferred from the lead bank or to get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their respective books.

ICAI · Old P6 · Jan 2021 exam · question p. 11 · answer p. 13

1405 **EXAM** **Old P6 Nov 2020** Q6(a) 4 marks old scheme

You are appointed as Statutory Auditor of DEF Bank Limited for the year 2019-20. As an Auditor how will you verify Provisions created by DEF Bank Limited?

ICAI'S ANSWER

For audit of Provisions, the auditor should ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled. The auditor

should obtain an understanding as to how the bank computes provision on standard assets and non-performing assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets. The auditor may verify the loan classification on a sample basis.

The auditor should obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger. The auditor should obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation. The other provisions for expenses should be examined vis-à-vis the circumstances warranting the provisioning and the adequacy of the same by discussing and obtaining the explanations from the bank's management .

ICAI · Old P6 · Nov 2020 exam · question p. 11 · answer p. 11-12

1406 **EXAM** **Old P6 Nov 2019** Q6(a) 4 marks old scheme

"There is no difference in provisioning of NPA as regards to categories of NPA, whether the debt is secured or unsecured." Critically evaluate the statement on the basis of provisioning norms of NPA of nationalised bank.

ICAI'S ANSWER

Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise. Further, asset classification would be borrower-wise and not facility-wise. All facilities including investments in securities would be termed as NPA.

There are different provisioning requirements as regards to categories of NPA such as Sub-standards assets, Doubtful assets and loss assets which are given below:

Categories of Non-Performing Assets:	Provision required
• **Substandard Assets:** Would be one, which has remained NPA for a period less than or equal to 12 months.	15%
• **Doubtful Assets:** Would be one, which has remained in the substandard category for a period of 12 months.	Secured+ Unsecured
• **Sub-categories**: Doubtful up to 1 Year (D1) Doubtful 1 to 3 Years (D2) Doubtful more than 3 Years (D3)	25% + 100% 40% + 100% 100% + 100%

Categories of Non-Performing Assets:	Provision required
• **Loss Assets:** Would be one, where loss has been identified by the bank or internal or external auditors or the RBI inspection but the amount has not been written off wholly.	100%

ICAI · Old P6 · Nov 2019 exam · question p. 11 · answer p. 11-12

1407 RTP **Sep 2026** Q19

During the statutory audit of Pragati Bank Ltd. for the financial year ended 31st March, 2026, CA Nikhil examined the advances portfolio and noticed several irregular loan accounts. A cash credit facility granted to M/s Aarav Traders amounting to ₹ 80 lakhs had remained non-performing for 8 months.

Another loan granted to M/s Bright Metals amounting to ₹ 120 lakhs, secured by assets valued at ₹ 90 lakhs, had remained in the doubtful category for 6 months.

A term loan of ₹ 200 lakhs granted to M/s Crest Infrastructure, secured to the extent of ₹ 120 lakhs, continued as doubtful for 30 months.

Further, a loan of ₹ 150 lakhs granted to M/s Delta Exports, having security value of only ₹ 40 lakhs, had remained doubtful for more than 5 years.

In another case, an advance of ₹ 50 lakhs granted to M/s Eagle Industries was identified by the internal auditor

as irrecoverable, though the same had not yet been written off by the bank.

The management, however, made provisions that were substantially lower than the prudential requirements prescribed by the RBI. Comment on the classification of these assets and the adequacy of provisions required to be made by the bank.

ICAI'S ANSWER

As per prudential norms applicable to banks in India, an asset which remains non-performing for a period less than or equal to 12 months is classified as a Substandard Asset and requires provision at 15% of the outstanding amount. Accordingly, the advance granted to M/s Aarav Traders, which remained NPA for 8 months, should be classified as a Substandard Asset and provision should be made at 15% of ₹ 80 lakhs, i.e., ₹ 12 lakhs.

The advance granted to M/s Bright Metals amounting to ₹ 120 lakhs, secured to the extent of ₹ 90 lakhs, had remained doubtful for 6 months. Since the doubtful period is less than 1 year, it should be classified as Doubtful Asset – up to 1 year (D1). Provision is required at 25% on the secured portion and 100% on the unsecured portion. Therefore, provision on secured portion of ₹ 90 lakhs would amount to ₹ 22.5 lakhs, while unsecured portion of ₹ 30 lakhs would require full provision of ₹ 30 lakhs, resulting in total provision requirement of ₹ 52.5 lakhs.

The advance granted to M/s Crest Infrastructure amounting to ₹ 200 lakhs, secured by assets valued at ₹ 120 lakhs, had remained doubtful for 30 months. Since the doubtful period is more than 1 year but less than 3 years, the asset should be classified as Doubtful Asset – 1 to 3 years (D2). Provision is required at 40% on the secured portion and 100% on the unsecured portion. Therefore, provision on secured portion of ₹ 120 lakhs would amount to ₹ 48 lakhs, while unsecured portion of ₹ 80 lakhs would require full provision of ₹ 80 lakhs. Hence, the total provision required would be ₹ 128 lakhs.

The advance granted to M/s Delta Exports remained doubtful for more than 5 years and therefore falls under Doubtful Asset – more than 3 years (D3). In such cases, provision is required at 100% on both secured and unsecured portions. Hence, the entire outstanding amount of ₹ 150 lakhs requires provision.

Further, where loss has been identified by the bank, internal auditor, external auditor, or regulator but the amount has not yet been written off, the asset is treated as a Loss Asset requiring 100% provision. Therefore, the advance of ₹ 50 lakhs granted to M/s Eagle Industries should be classified as a Loss Asset and fully provided for.

Thus, the bank is required to make adequate provisions in accordance with prudential norms relating to income recognition, asset classification

and provisioning, failing which profits and advances would be overstated in the financial statements.

ICAI · P5 · RTP Sep 2026 · question p. 11 · answer p. 22-23

1408 **RTP** **May 2026** **Q19**

ABC Bank Limited has a substantial portfolio of advances comprising term loans, cash credit facilities and overdrafts. As at the balance sheet date, significant amounts of advances are outstanding and are required to be valued, classified and disclosed in accordance with applicable accounting standards, RBI norms and regulatory requirements.

While carrying out the audit of advances, the auditor is required to obtain sufficient and appropriate audit evidence to ensure that the advances reported in the balance sheet are properly recorded, supported, valued and disclosed.

With reference to the above, state the primary matters with respect to which the auditor should obtain audit evidence while carrying out the audit of advances.

ICAI'S ANSWER

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(a) Amounts included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(b) Advances represent amount due to the bank.

(c) Amounts due to the bank are appropriately supported by loan documents and other documents as applicable to the nature of advances.

(d) There are no unrecorded advances.

(e) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.

(f) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(g) Appropriate provisions towards advances have been made as per the per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · P5 · RTP May 2026 · question p. 10-11 · answer p. 22

1409 **RTP** **Jan 2026** **Q19**

While verifying provisions of advances of a branch of HFC Bank as part of statutory branch audit, CA Mini notices that credit facilities consisting of term loan to JT Mills have been classified under doubtful asset (D2) category. The outstanding balance in above term loan account as on 31.3.2025 is ₹ 150 lakhs. Value of security held in account is ₹ 100 lakhs. The branch has made provision of ₹ 75 lakhs. Is provision made by branch proper? Discuss.

ICAI'S ANSWER

The provision for advances falling in D2 category is required @ 40% of secured portion and 100% of unsecured portion.

Therefore, provision in above case is arrived as under: -

Outstanding balance as on 31.3.25	150 lakhs
Less: Value of security	100 lakhs
Unsecured portion	50 lakhs

Therefore, outstanding balance of ₹ 150 lakhs is secured to the extent of ₹ 100 lakhs and balance ₹ 50 lakhs is unsecured.

Provision calculation	₹
40% of secured part i.e., 40% of ₹ 100 lakhs	40 lakhs
100% of unsecured part i.e.,100% of ₹ 50 lakhs	50 lakhs
Required provision	90 lakhs

In view of above, provision made by branch is not proper. It should have made provision of ₹ 90 lakhs instead of ₹ 75 lakhs.

ICAI · P5 · RTP Jan 2026 · question p. 8 · answer p. 17-18

1410 RTP **Sep 2025** Q8 MCQ

Supriya has taken a loan from a bank by pledging her NSC (National Savings Certificate), which is eligible for surrender. The loan account currently shows no signs of repayment delay, and the bank confirms that an adequate margin is available in the accounts. However, the loan has technically become overdue. How should the bank classify this loan account?

A The account must be classified as an NPA due to overdue status.

B The account should not be classified as an NPA since the adequate margin is available in the accounts.

C The account must be written off immediately.

D The account classification depends on the borrower's repayment history.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP Sep 2025 · question p. 4 · answer p. 9

1411 RTP **Sep 2025** Q19

M/s JKL & Associates, Chartered Accountants, are the statutory auditors of M/s IBS Bank Limited for the financial year 2024-25. During the audit, they observed the following items included under interest income in the financial statements of the bank:

- An amount of ₹ 5 lakh relating to a short-term crop loan, where the instalment was overdue for one crop

season.

- An amount of ₹ 7 lakh relating to an advance guaranteed equally by the Government of India and the Government of Tamil Nadu, where the instalment has been overdue for more than six months.

From the above facts and details, what should be the correct treatment of the above interest income in the bank's financial statements? State the amount that can be recognised as interest income with appropriate reasoning. Also, determine the amount to be classified as Non-Performing Asset (NPA), with reference to applicable RBI norms.

ICAI'S ANSWER

(b) Classification of Non-Performing Asset (NPA) & Treatment of Interest Income:

(i) Short-Term Crop Loan: As per RBI norms, a loan granted for short-duration crops is to be classified as NPA only if the installment remains overdue for two crop seasons.

In the given case, the installment is overdue for only one crop season, hence, the account is not classified as NPA. Therefore, the interest income of ₹ 5 lakh can be recognised in the financial statements.

(ii) Advance Guaranteed Equally by Government of India and Government of Tamil Nadu: If an advance is guaranteed by the Central Government, it need not be classified as NPA until the guarantee is invoked and repudiated. Thus, Central

Government guaranteed Advances, where the guarantee is not invoked/ repudiated would be classified as Standard Assets but regarded as NPA for Income Recognition purpose. The situation would be different if the advance is guaranteed by the State Government, where advance is to be considered NPA if it remains overdue for more than 90 days for both Provisioning and Income recognition purposes.

In the given case, since the guarantee is shared equally between the Central Government and the State Government (Tamil Nadu), and the installment is overdue for more than 6 months, the portion of loan guaranteed by the Central Government (50%) is not to be classified as NPA unless the guarantee is invoked and repudiated. The remaining 50%, guaranteed by the State Government, must be classified as NPA as the installment is overdue for more than 90 days.

Thus, Amount to be classified as NPA will be ₹ 3.5 lakh (i.e., 50% of ₹ 7 lakh) and amount of interest income to be recognised will be ₹ 5 lakh.

ICAI · P5 · RTP Sep 2025 · question p. 8 · answer p. 17-18

1412 **RTP** **Jan 2025** **Q19**

Agrim, a CA student, is part of an engagement team conducting audit of Madurai branch of ARB Bank. CA Bhuvan, engagement partner, has asked him to verify provision made by branch as on March 31st, 2024 in respect of the following non-performing assets: -

Name of Account	NPA classification	Outstanding amount as on March 31st, 2024 (In ₹ lakhs)	Amount of provision made (In ₹ lakhs)
AK Industries	Doubtful (D1)	10.00	5.00
Jupiter Traders	Substandard asset	50.00	7.50
VT & Co.	Doubtful (D2)	30.00	30.00
ASD & Sons	Loss	1.00	1.00

The engagement partner has already verified NPA classification. Outstanding amounts as on March 31st, 2024, relating to each NPA account listed above (except ASD & Sons) are fully secured. However, only personal guarantee of proprietor (Net worth of proprietor ₹50 lakhs) is available in account of ASD & Sons. Comment on the correctness of the above provisions.

Agrim is in dilemma regarding classification of above accounts as NPA although these are fully secured or guaranteed. Guide him.

ICAI'S ANSWER

The auditor is required to ensure that provision for NPA is made as per its classification in different

categories which are given as under:

Categories of Non-Performing Assets:	Provision required
• **Substandard Assets:** Would be one, which has remained NPA for a period less than or equal to 12 months.	15%
• **Doubtful Assets:** Would be one which has remained in the substandard category for a period of 12 months.	
Sub-categories:	(Secured + Unsecured)
Doubtful up to 1 Year (D1)	25% + 100%
Doubtful 1 to 3 Years (D2)	40% + 100%
Doubtful more than 3 Years (D3)	100% + 100%
• **Loss Assets**	100%

From the above provision, it can be concluded that in case of:

AK Industries- It has been classified as Doubtful (D1) category. Therefore, it requires provision of 25% of secured amount. That is provision of Rs 2.50 lakh (i.e 25% of ₹10 lakh) should be made instead of ₹ 5 lakh.

Jupiter Traders- It has been classified as Substandard asset. It requires provision of 15% of outstanding amount (i.e 15% of ₹ 50 lakhs) which comes to ₹ 7.50 lakh. Therefore, provision made by the branch is correct.

VT & Co.- It has been classified as Doubtful (D2) category. It requires provision of 40% of secured amount. That is provision of ₹ 12.00 lakh (40% of ₹ 30 lakhs) should be made instead of ₹ 30 lakh.

ASD & Sons- It has been classified as a loss asset which requires provision of 100% of outstanding amount. Therefore, the provision made by the branch is correct.

Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise. Hence, these accounts have been classified as NPA on the record of recovery although these are fully secured or guaranteed.

ICAI · P5 · RTP Jan 2025 · question p. 8 · answer p. 19-20

1413 RTP **Sep 2024** Q7 MCQ

CA Sargun is conducting statutory audit of branch of KBC Bank. During the course of audit, it is noticed that one borrower has availed a housing loan and a car loan from the branch. Housing loan EMIs are overdue for 120 days as on date of Balance sheet. Car loan EMIs are

overdue for 60 days as on date of Balance sheet. Which of the following statements is appropriate?

A Housing Loan should be classified as "Non-Performing Asset" in accordance with RBI norms on asset classification. However, Car loan should be classified as Standard asset.

B Car Loan should be classified as "Non-Performing Asset" in accordance with RBI norms on asset classification. However, Housing Loan should be classified as Standard asset.

C Both Housing loan as well as car loan should be classified as "Non-Performing Assets" in accordance with RBI norms on asset classification.

D Both Housing as well as car loans should be classified as Standard assets.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · RTP Sep 2024 · question p. 4-5 · answer p. 8

1414 **RTP** **Sep 2024** **Q19**

Compute the Drawing Power for Cash Credit A/c of Kirpa Limited for the month of March 2024 with following information:

	(Amount in ₹)
Stock	60,000
Debtors	55,000

	(Amount in ₹)
(Including Debtor of ₹ 15,000 for an invoice dated 20.10.2023)	
Sundry creditors	10,000
Sanctioned Limit	48,000

Margin on stock is 30% and on debtors is 40%.

Note: Debtors older than 3 months are ineligible for calculation of DP.

ICAI'S ANSWER

Computation of Drawing Power (DP) for CC A/c of Kirpa Ltd.

Particulars of current assets		Amount (₹)	DP Amt (₹)
(A) Stocks:			
Stocks at realizable value		60,000	
Less: Unpaid stocks:			
- Sundry creditors	10,000	10,000	
Paid for stocks		50,000	
Margin @ 30%		15,000	35,000

Particulars of current assets	Amount (₹)	DP Amt (₹)
(B) Debtors:		
Total Debtors	55,000	
Less: Ineligible debtors	15,000	
Eligible debtors	40000	
Margin @ 40%	16,000	24,000
Total Drawing Power		59,000

The sanctioned limit given in the question is ₹ 48,000 whereas drawing power as per the above working is ₹ 59,000. So, drawing power would be restricted to sanctioned limit i.e., ₹ 48,000/-.

ICAI · P5 · RTP Sep 2024 · question p. 7-8 · answer p. 14-15

1415 **RTP** **May 2024** Q22

Also asked in Old P6 MTP Nov 2023 S-II Q6(e)

While conducting statutory audit of branch of a nationalized bank, it is noticed by CA Z that credit facilities granted to a borrower consisting solely of term loan have been classified as “Sub-standard Asset” during the year 2022-23 due to failure of borrower to pay EMIs on time. Such EMIs were outstanding for more than 90 days and account was, therefore,

classified as “Sub-Standard Asset”. CA Z has also agreed to above asset classification made by branch management.

What are CA Z’s responsibilities regarding verification of compliance with income recognition norms by branch in respect of above credit facilities?

ICAI’S ANSWER

RBI norms stipulate that if any advance account becomes NPA as at close of any year, the entire interest accrued or credited to income account in past periods should be reversed or provided for, if the same is not realized.

Further, in respect of NPAs, fees, commission and other similar income that have accrued should cease to accrue in the current period and should be reversed or provided for with respect to past periods, if uncollected.

In the given case, account has turned Sub-standard asset which is a type of NPA. Therefore, auditor should make compliance of above norms relating to income recognition.

ICAI · P5 · RTP May 2024 · question p. 13 · answer p. 29

1416 **RTP** **May 2024** Q23

Also asked in Old P6 MTP Nov 2023 S-I Q6(a)

While verifying provisions of advances of a branch of MCO Bank as part of statutory branch audit, CA Z notices that credit facilities consisting of term loan to KRT Enterprises have been classified under doubtful

asset (D1) category. The outstanding balance in above term loan account as on 31.3.2023 is ₹ 50 lakhs. Value of security held in account is ₹ 40 lakhs. The branch has made provision of ₹ 7.50 lakhs. Is provision made by branch proper? Discuss.

ICAI'S ANSWER

The provision for advances falling in D1 category is required @ 25% of secured portion and 100% of unsecured portion. Therefore, provision in above case is arrived as under: -

Outstanding balance as on 31.3.23	50 lakhs
Less: Value of security	40 lakhs
Unsecured portion	10 lakhs

Therefore, outstanding balance of ₹ 50 lakhs is secured to the tune of ₹40 lakhs and balance ₹ 10 lakhs is unsecured.

Provision calculation

25% of secured part	i.e., 25% of ₹ 40 lakhs	₹ 10 lakhs
100% of unsecured part	i.e.,100% of ₹ 10 lakhs	₹ 10 lakhs
Required provision		₹ 20 lakhs

Therefore, provision made by branch is not proper. It should have made provision of ₹20 lakhs instead

of ₹ 7.50 lakhs.

ICAI · P5 · RTP May 2024 · question p. 14 · answer p. 29-30

1417 RTP **Old P6 Nov 2023 Q26** old scheme

Your firm has been appointed as branch auditor of SP Bank Ltd. Discuss about the primary evidence you will look into while carrying out verification of advances.

ICAI'S ANSWER

Verification of Advances: Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(i) Amounts included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(ii) Advances represent amount due to the bank.

(iii) Amounts due to the bank are appropriately supported by Loan documents and other documents as applicable to the nature of advances.

(iv) The stated basis of valuation of advances is appropriate and properly applied, and that the recoverability of advances is recognised in their valuation.

(v) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(vi) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

(vii) There are no unrecorded advances.

ICAI · Old P6 · RTP Nov 2023 · question p. 13 · answer p. 31-32

1418 RTP **Old P6 Nov 2023** Q27 old scheme

TEP Industries Private Limited, a company engaged in obtaining rice from paddy, is enjoying a cash credit facility against hypothecation of paid stocks and book debts (eligible up to 90 days only) from LMV Bank for ₹ 4.00 crore. The letter sanctioning the above credit facility stipulates margin @ 25% on stocks and @ 40% on eligible book debts up to 90 days.

While preparing stock statement as on 30.6.23, accountant of the company calculates value of stocks for ₹ 5 crore (including ₹ 1 crore of rice which was lying in a low lying godown and was completely damaged during recent floods caused by river Yamuna). Debtors outstanding as on 30.6.23 are ₹ 3 crore (including ₹ 50 lacs outstanding for last 6 months). Trade creditors outstanding as on date are ₹ 2 crore. He calculates DP as on 30.6.23 for ₹ 3.30 crore. Is he correct? Justify with your workings.

What does drawing power calculated by you signify to the borrower company?

ICAI'S ANSWER

The calculation of DP is as under:

Value of stocks as on 30.6.23	₹ 5.00 crore
Less: value of damaged stocks	₹ 1.00 crore
Value of stocks considered as on 30.6.23	₹ 4.00 crore
Less: Trade creditors	₹ 2.00 crore
Paid stocks	₹ 2.00 crore
Less: Margin @ 25%	₹ 0.50 crore
Drawing power for stocks [A]	₹ 1.50 crore
Value of Trade debtors	₹ 3.00 crore
Less: Debtors outstanding for more than 90 days	₹ 0.50 crore
	₹ 2.50 crore

Less: Margin @ 40%	₹ 1.00 crore
Drawing power for Book debts [B]	₹ 1.50 crore
Total drawing power [A+ B]	₹ 3.00 crore

Accountant's DP calculation is not correct. The drawing power of ₹ 3.00 crore signifies that company can utilize funds to the tune of ₹3.00 crore only against sanctioned cash credit limit of ₹ 4.00 crore.

ICAI · Old P6 · RTP Nov 2023 · question p. 13-14 · answer p. 32

1419 RTP **Old P6 May 2023** General MCQ 1 MCQ

old scheme

Same question, different ICAI answer: #1460 Old P6 MTP Nov 2022 S-I

The term "Drawing Power" is associated with which of the following facilities as sanctioned by any Bank:

A Letter of Credit

B Term Loan

C Staff Advances

D Cash Credit Limit

ICAI'S ANSWER

(D) Cash Credit Limit

ICAI · Old P6 · RTP May 2023 · question p. 6 · answer p. 12

1420 RTP Old P6 Nov 2022

Case Scenario - 2 · MCQ 2.1 to MCQ 2.5 old scheme

CASE SCENARIO - 2

Bharat Bank, a nationalised bank, has branches all over India and has been the most popular public sector bank in India for the past few years. The bank is governed by the Banking Regulations Act, 1949 and the Central Statutory Auditors of the bank, ABC & Associates, were appointed according to the provisions of the relevant enactments. The engagement partner CA C commenced the audit with his team of seven members so that the audit is completed on time and all the documents are submitted before the due date. The audit at all the branches also started simultaneously and ABC & Associates was in constant touch with all the branch auditors to ensure timely completion of the audit.

As per the audit strategy and plan, CA Q along with Ms. R and Mr. P were assigned the audit of the advances of Bharat Bank. Advances constituted the largest item on the assets side of the balance sheet of the bank. Since audit of advances is one of the most important areas covered by auditors in a bank audit, it was assigned to CA Q since he was aware of the various functional areas of the bank/branches, its processes, procedures, systems and prevailing internal controls with regard to advances.

CA Q started with verifying whether the advances were classified as per RBI Prudential Norms. There were five categories of advances which were

available to CA Q for verification. They were: Standard Regular, Sub Standard, Doubtful, Loss and Special Mention Accounts. An ageing analysis was available for doubtful advances and Special Mention Accounts which was examined in detail by CA Q.

Ms. R, on being instructed by CA Q, verified the securities offered by the borrowers for the bank finance. For a particular customer named Aquabrass Pvt Ltd., the security was in the form of delivery of goods by Aquabrass to Bharat Bank with the intention of creating a charge thereon as security for the advance. The legal ownership of the goods remained with Aquabrass. In case of another customer named Prism Works, there was a transfer of a life insurance policy in favour of the bank as security. The bank had absolute right over the policy.Ms. R examined all the relevant documents for the above two cases in detail. She continued with her examination of other securities based on the sample selected by her.

While checking the classification of NPA, Mr. P came across a customer named Trustworthy whose term loan instalment was overdue for 90 days at the year-end, but it was 100% secured against the office building. The same was classified as a Substandard asset. There was another customer named Super40, who had a cash credit account and a term loan with the bank. Super40 had been paying the instalments on the term loan as well as the interest on the cash credit account regularly and there was no overdue

amount. Mr. P verified the drawing power of Super40 and found it to be less than the sanctioned limit throughout the year. The outstanding balance of Super40 during the whole year exceeded the drawing power but was less than the sanctioned limit. Both the advances to Super40 were classified as Standard Advances since the recoveries were regular and outstanding balance in the cash credit was less than the sanctioned limit.

On examination of large advances, CA Q noticed that a customer named Stylish N Smart Private Limited had one funded loan (term loan) and one non funded loan (bank guarantee) sanctioned from the bank. CA Q checked in detail whether commission earned by the bank on the bank guarantee was provided for on accrual basis.

CA Q along with Ms. R and Mr. P verified the advances in detail and also recommended a few changes in the classification/provisions based on the examination of the sample selected by them.

Based on the above information, answer the following questions:

MCQ 2.1

What are the sub categories of the special mention accounts?

A SMA 0 (accounts showing stress signals), SMA 1 (Overdue between 31-60 days) and SMA 2 (Overdue between 61-90 days)

B SMA 0 (accounts showing stress signals), SMA 1 (Overdue between 0-45 days) and SMA 2 (Overdue between 46-90 days)

C SMA 0 (accounts not yet due for payment), SMA 1 (Overdue between 31 -60 days) and SMA 2 (Overdue between 61-90 days)

D SMA 0 (accounts not yet due for payment), SMA 1 (Overdue between 0-45 days) and SMA 2 (Overdue between 46-90 days)

MCQ 2.2

Creation of security of Aquabrass Private Ltd. and Prism Works was in the form of:

A Mortgage and Hypothecation.

B Lien and Set-off.

C Hypothecation and Pledge.

D Pledge and Assignment.

MCQ 2.3

In your opinion is Trustworthy a standard asset or a substandard asset?

A Though it is due for 90 days, it is 100% secured so it is a standard asset.

B Since it is due for 90 days, it is a substandard asset irrespective of the security.

C Since it is not due for more than 90 days, it is a standard asset irrespective of the security.

D Since it is not due for more than 90 days **and** it is 100 % secured, it is a standard asset.

MCQ 2.4

Is Super40 correctly classified as a standard asset?

A Yes, since the recoveries in both term loan and cash credit were regular and outstanding balance in the cash credit was less than the sanctioned limit.

B No, since the outstanding balance of the cash credit facility exceeded the drawing power for more than 90 days, so both the advances, that is, the term loan and cash credit facility will be classified as NPA.

C No, since the outstanding balance of the cash credit facility exceeded the drawing power for more than 90 days, the cash credit facility will be classified as NPA and term loan as standard.

D Yes, since the recoveries in both term loan and cash credit were regular, there is no relevance of sanctioning power/drawing power.

MCQ 2.5

Which among the following is a non- funded loan?

A Demand Loans

B Bills Discounted and Purchased

C Letter of Credit

D Participation on Risk Sharing basis

ICAI'S ANSWERS

MCQ 2.1

(A) SMA 0 (accounts showing stress signals), SMA 1 (Overdue between 31-60 days) and SMA 2 (Overdue

between 61-90 days)

MCQ 2.2

(D) Pledge and Assignment.

MCQ 2.3

(C) Since it is not overdue for more than 90 days, it is a standard asset irrespective of the security.

PassBook's note: ICAI's answer key reads "Since it is not overdue for more than 90 days" where option (c) reads "not due".

MCQ 2.4

(B) No, since the outstanding balance of the cash credit facility exceeded the drawing power for more than 90 days, so both the advances, that is, the term loan and cash credit facility will be classified as NPA.

MCQ 2.5

(C) Letter of Credit

ICAI · Old P6 · RTP Nov 2022 · question p. 6-7 · answer p. 14

1421 RTP **Old P6 Nov 2022** General MCQ 5 MCQ

old scheme

"Letters of credit" and "Foreign bills purchased and discounted" are examples of respectively:

A Funded facility and non- funded facility

B Non-funded facility and funded facility

C Funded facility and funded facility

D Non-funded facility and Non-funded facility

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2022 · question p. 9 · answer p. 15

1422 RTP **Old P6 Nov 2022** Case scenario · Q26(a) to Q26(b)

old scheme

CASE SCENARIO

CA. Puranjay is appointed as statutory branch auditor of two branches of a nationalized bank for year 2021-22. During the course of audit, he came across the following:

Q26(a)

While verifying advances of one semi-urban branch, he noticed substantial number of accounts categorized as SMA (Special mention accounts). In this context, explain the nature and significance of SMA.

Q26(b)

While verifying interest income of a mid-corporate branch of an urban centre having advances consisting of only cash credit limits for large borrowers, it was noticed that advances of ₹ 300 crores were outstanding as on balance sheet date carrying average interest rate @8% p.a.

One articled clerk in audit team makes quick back of the envelope calculations of interest income of ₹ 24 crores on advances. However, schedule of profit & loss a/c shows interest income on advances for ₹ 10 crores. Discuss any two probable reasons for such variation.

ICAI'S ANSWERS

Q26(a)

Special Mention accounts (SMA) are those accounts which are resulting signs of incipient stress leading to the possibility that borrowers may default on debt obligations. These are in the nature of warning system to alert the banks about probable NPAs so that remedial action can be taken before accounts actually turn NPAs. Therefore, their significance lies in the fact that proper and timely identification of SMAs can help in preventing turning potential NPAs into actual NPAs.

Q26(b)

The probable reasons for difference in interest calculation could be due to following:

(i) Cash credit accounts, by their very nature, are running accounts and their utilization depends upon needs of business. Further, interest on cash credit account is charged on the extent of funds utilized by the borrower. It could be possible that all cash credit limits were not fully utilized during the year which resulted in lower interest income.

(ii) Some large accounts may have been sanctioned during later part of the year resulting in lower interest income on advances for whole year.

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 28, 28-29

1423 **RTP** **Old P6 Nov 2022** Q27 old scheme

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about

amounts included in balance sheet in respect of advances which are outstanding. Explain stating clearly all the considerations in this context.

ICAI'S ANSWER

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(a) Amounts included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(b) Advances represent amount due to the bank.

(c) Amounts due to the bank are appropriately supported by loan documents and other documents as applicable to the nature of advances.

(d) There are no unrecorded advances.

(e) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.

(f) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(g) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 29

1424 RTP **Old P6 May 2022** Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

No entry is passed for cheques received by the auditee on the last day of the year and not yet deposited with the Bank.

Q1(ii)

Written representation from management can be a substitute for other evidence that the auditor could expect to be reasonably available.

Q1(iii)

According to Para 3(1)(d) of CARO, 2020, an auditor needs to report whether the company has revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year and, if so, whether the revaluation is based on the valuation by a Registered Valuer; specify the amount of change, if change is 5% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment or intangible assets

Q1(iv)

Communicating key audit matters in the auditor's report is a substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern

Q1(v)

A loan granted for short duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for one crop season.

Q1(vi)

It needs to be ensured that the drawing power is calculated as per the extant guidelines formulated by the RBI and agreed upon by the concerned statutory auditors. Special consideration need not be given to proper reporting of sundry creditors for the purposes of calculating drawing power.

Q1(vii)

The duties and powers of the Comptroller and Auditor General in relation to the audit of the accounts of government companies shall be performed and exercised by him in accordance with the provisions of the The Comptroller & Auditor General's (Duties, Powers and Conditions of Service) Act, 1971

Q1(viii)

Before holding inquiry by the Central Registrar thirty days' notice must be given to the Multi-State co-operative society.

ICAI'S ANSWERS

Q1(i)

Incorrect: The person who is controlling the trade receivables should ensure that proper accounting entries have been passed by crediting respective trade receivables account. The balance of cheque in hand should be disclosed along with the cash and bank balances in the financial statements.

Q1(ii)

Incorrect: One of the objectives of the written representation is to support other audit evidence relevant to the financial statements or specific assertions in the financial statements by means of written representation. So it is clear that written representations cannot be a substitute for other evidence that the auditor could expect to be reasonably available.

Q1(iii)

Incorrect: According to Para 3(1)(d) of CARO, 2020, an auditor needs to report whether the company has revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year and, if so, whether the revaluation is based on the valuation by a Registered Valuer; specify the amount of change, if change is 10% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment or intangible assets

Q1(iv)

Incorrect: Communicating key audit matters in the auditor's report is not a substitute for reporting in accordance with SA 570 when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern

Q1(v)

Incorrect: A loan granted for short duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for two crop seasons.

A loan granted for long duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for one crop season.

Q1(vi)

Incorrect: It needs to be ensured that the drawing power is calculated as per the extant guidelines formulated by the Board of Directors of the respective bank and agreed upon by the concerned statutory auditors. Special consideration should be given to proper reporting of sundry creditors for the purposes of calculating drawing power.

Q1(vii)

Incorrect The duties and powers of the Comptroller and Auditor General in relation to the audit of the accounts of government companies shall be

performed and exercised by him in accordance with the provisions of the Companies Act, 2013

Q1(viii)

Incorrect: Before holding inquiry by the Central Registrar fifteen days' notice must be given to the Multi-State co-operative society.

ICAI · Old P6 · RTP May 2022 · question p. 7 · answer p. 13

1425 RTP **Old P6 May 2022** Q26 old scheme

There are different provisioning requirements as regards to categories of NPA such as Sub-standards assets, Doubtful assets and loss assets. Explain in detail.

ICAI'S ANSWER

Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise. Further, asset classification would be borrower-wise and not facility-wise. All facilities including investments in securities would be termed as NPA.

There are different provisioning requirements as regards to categories of NPA such as Sub-standards

assets, Doubtful assets and loss assets which are given below:

Categories of Non-Performing Assets:	Provision required
(i) **Substandard Assets:** Would be one, which has remained NPA for a period less than or equal to 12 months.	15%
(ii) **Doubtful Assets:** Would be one, which has remained in the substandard category for a period of 12 months.	Secured+ Unsecured
(i) **Sub-categories**:	
Doubtful up to 1 Year (D1)	25% + 100%
Doubtful 1 to 3 Years (D2)	40% + 100%
Doubtful more than 3 Years (D3)	100% + 100%
(ii) **Loss Assets:** Would be one, where loss has been identified by the bank or internal or external auditors or the RBI inspection but the amount has not been written off wholly.	100%

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 31

1426 RTP Old P6 Jul 2021 Case scenario · Q1(i) to Q1(viii)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i)

Familiarity threats, which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. Basically, these could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees.

Q1(ii)

The auditor's opinion helps determination of the true and correct view of the financial position and operating results of an enterprise.

Q1(iii)

When establishing the overall audit strategy, the auditor need not determine materiality for the financial statements as a whole.

Q1(iv)

The policy of income recognition, in case of a Bank, should be subjective.

Q1(v)

The assignment is the creation of an equitable charge which is created in favor of the lending bank by execution of hypothecation agreement in respect of the moveable securities belonging to the borrower.

Q1(vi)

As per SA 240 the primary responsibility for the prevention and detection of fraud rests with Auditors.

Q1(vii)

Article 151 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.

Q1(viii)

In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments.

ICAI'S ANSWERS

Q1(i)

Incorrect: Intimidation threats, which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. Basically, these could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees.

Familiarity threats are self-evident, and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests.

Q1(ii)

Incorrect: The auditor's opinion helps determination of the true and fair view of the

financial position and operating results of an enterprise.

Q1(iii)

Incorrect : When establishing the overall audit strategy, the auditor shall determine materiality for the financial statements as a whole.

Q1(iv)

Incorrect: The policy of income recognition should be objective and based on record of recovery rather than on any subjective considerations. Income from non-performing assets (NPA) is not recognized on accrual basis but is booked as income only when it is actually received.

Q1(v)

Incorrect: The hypothecation is the creation of an equitable charge (i.e., a charge created not by an express enactment but by equity and reason), which is created in favor of the lending bank by execution of hypothecation agreement in respect of the moveable securities belonging to the borrower.

Assignment represents a transfer of an existing or future debt, right or property belonging to a person in favor of another person.

Q1(vi)

Incorrect: As per SA 240 the primary responsibility for the prevention and detection of fraud rests with management. An auditor conducting an audit in accordance with SAs is responsible for obtaining reasonable assurance that the financial statements

are free from material misstatement, whether caused by fraud or error.

PassBook's note: The statement and ICAI's answer cite SA 240, which the new-scheme Paper 5 syllabus does not name.

Q1(vii)

Incorrect: Article 150 of the Constitution provides that the accounts of the Union and of the States shall be kept in such form as the President may on the advice of the C&AG prescribe.

Article 151 requires that the reports of the C&AG relating to the accounts of the Union/State shall be submitted to the President/Governor who shall cause them to be laid before House of Parliament/State Legislature.

Q1(viii)

Correct: In considering the qualitative aspects of the entity's accounting practices, the auditor may become aware of possible bias in management's judgments. The auditor may conclude that lack of neutrality together with uncorrected misstatements causes the financial statements to be materially misstated.

ICAI · Old P6 · RTP Jul 2021 · question p. 120 · answer p. 125, 126

1427 RTP **Old P6 Jul 2021** Q27 old scheme

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors. Explain the broad considerations

about which the auditor is primarily concerned with obtaining evidence in carrying out audit of advances.

ICAI'S ANSWER

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(a) Amounts included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(b) Advances represent amount due to the bank.

(c) Amounts due to the bank are appropriately supported by loan documents and other documents as applicable to the nature of advances.

(d) There are no unrecorded advances.

(e) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.

(f) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(g) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 142-143

1428 RTP **Old P6 Nov 2020 Q26** old scheme

Distinguish between Primary Security and Collateral Security with reference to audit of Banks. Also give examples of most common types of securities accepted by the Banks.

ICAI'S ANSWER

A. **Primary security** refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. This security is the principal security for an advance.

B. **Collateral security** is an additional security. Security can be in any form i.e. tangible or intangible asset, movable or immovable asset.

Examples of most common types of securities accepted by banks are the following:

- Personal Security of Guarantor
- Goods/Stocks/Debtors/Trade Receivables
- Gold Ornaments and Bullion
- Immovable Property
- Plantations (For Agricultural Advances)
- Third Party Guarantees

- Banker's General Lien
- Life Insurance Policies
- Stock Exchange Securities and Other Instruments

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 31

1429 **RTP** **Old P6 Nov 2020** Q27 old scheme

Depending on the nature of the item concerned, creation of security may take the form of a mortgage, pledge, hypothecation, assignment, set-off or lien. Explain with specific reference to Audit of Banks.

ICAI'S ANSWER

Depending on the nature of the item concerned, creation of security may take the form of a mortgage, pledge, hypothecation, assignment, set-off or lien.

(i) **Mortgage:** Mortgage are of several kinds but the most important are the Registered Mortgage and the Equitable Mortgage.

- **Registered Mortgage** can be affected by a registered instrument called the 'Mortgage Deed' signed by the mortgagor. It registers the property to the mortgagee as a security.
- **Equitable mortgage**, on the other hand, is effected by a mere delivery of title deeds or other documents of title with intent to create security thereof.

(ii) **Pledge:** A pledge thus involves bailment or delivery of goods by the borrower to the lending

bank with the intention of creating a charge thereon as security for the advance. The legal ownership of the goods remains with the pledger while the lending banker gets certain defined interests in the goods. The pledge of goods constitutes a specific (or fixed) charge.

(iii) **Hypothecation:** The hypothecation is the creation of an equitable charge (i.e., a charge created not by an express enactment but by equity and reason), which is created in favour of the lending bank by execution of hypothecation agreement in respect of the moveable securities belonging to the borrower.

Neither ownership nor possession is transferred to the bank. However, the borrower holds the physical possession of the goods as an agent/trustee of the bank.

The borrower periodically submits statements regarding quantity and value of hypothecated assets (stocks, debtors, etc.) to the lending banker on the basis of which the drawing power of the borrower is fixed.

(iv) **Assignment:** Assignment represents a transfer of an existing or future debt, right or property belonging to a person in favour of another person. Only actionable claims (i.e., claim to any debt other than a debt secured by a mortgage of immovable property or by hypothecation or pledge of moveable property) such as book debts and life insurance

policies are accepted by banks as security by way of assignment.

An assignment gives the assignee absolute right over the moneys/debts assigned to him.

(v) **Set-off** Set-off is a statutory right of a creditor to adjust, wholly or partly, the debit balance in the debtor's account against any credit balance lying in another account of the debtor. The right of set-off enables a bank to combine two accounts (a deposit account and a loan account) of the same person provided both the accounts are in the same name and same right (i.e., the capacity of the account holder in both the accounts should be the same).

For the purpose of set-off, all the branches of a bank are treated as one single entity. The right of set-off can be exercised in respect of time-barred debts also.

(vi) **Lien:** Lien is creation of a legal charge with consent of the owner, which gives lender a legal right to seize and dispose / liquidate the asset under lien.

ICAI · Old P6 · RTP Nov 2020 · question p. 11 · answer p. 31-32

1430 **RTP** **Old P6 Nov 2019** **Q26(a)** old scheme

Same question, different ICAI answer: #1442 MTP Sep 2025 S-II

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention

from the auditors. In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about, among other points, the amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet. Explain

ICAI'S ANSWER

Audit of Advances: Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(a) Amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet.

(b) Advances represent amount due to the bank.

(c) Amounts due to the bank are appropriately supported by Loan documents and other documents as applicable to the nature of advances.

(d) There are no unrecorded advances.

(e) The stated basis of valuation of advances is appropriate and properly applied, and that the recoverability of advances is recognised in their valuation.

(f) The advances are disclosed, classified and described in accordance with recognised

accounting policies and practices and relevant statutory and regulatory requirements.

(g) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 26

1431 **RTP** **Old P6 Nov 2019** Q26(b) old scheme

The auditor can obtain sufficient appropriate audit evidence about advances by study and evaluation of internal controls relating to advances. Explain in the context of Audit of Banks.

ICAI'S ANSWER

The auditor can obtain sufficient appropriate audit evidence about advances by study and evaluation of internal controls relating to advances, and by:

- examining the validity of the recorded amounts;
- examining loan documentation;
- reviewing the operation of the accounts;
- examining the existence, enforceability and valuation of the security;
- checking compliance with RBI norms including appropriate classification and provisioning; and
- carrying out appropriate analytical procedures.

In carrying out his substantive procedures, the auditor should examine all large advances while

other advances may be examined on a sampling basis. The accounts identified to be problem accounts however need to be examined in detail unless the amount involved is insignificant.

Advances which are sanctioned during the year or which are adversely commented by RBI inspection team, concurrent auditors, bank's internal inspection, etc. should generally be included in the auditor's review.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 26-27

1432 MTP **Sep 2026 S-I**

Case Scenario 3 [MCQs 8-12] · MCQ 8 to MCQ 12 10 marks

CASE SCENARIO 3 [MCQS 8-12]

Ardent Precision Components Ltd. has been sanctioned a Cash Credit (CC) limit of ₹ 10 crore by a bank to finance its working capital requirements. As per the sanction terms, the borrower is required to submit monthly stock statements, on the basis of which the bank computes the Drawing Power (DP) after applying margin on eligible current assets such as stock and receivables.

During the branch audit as on 31st March, the auditor observed that the branch had computed the drawing power at ₹ 8.20 crore based on the stock statement dated 30th November submitted by the borrower. However, the outstanding balance in the CC account as on 31st March was ₹ 8.60 crore. Further examination of the account revealed that the

outstanding balance had remained continuously above the drawing power for more than 90 days preceding the balance sheet date.

While reviewing the borrower's records, the auditor compared the stock value appearing in the audited financial statements for the year ended 31st March with the stock value reported in the stock statement submitted to the bank and noticed a significant difference, indicating possible overstatement of stock in the statement submitted to the bank.

Further examination revealed that inventory worth ₹ 2 crore, which had been considered by the branch while computing drawing power, was stated to be lying at a third-party warehouse. However, the branch had not obtained any confirmation from the warehouse operator regarding ownership of such inventory.

After accumulating the differences between the stock reported to the bank and the stock appearing in the audited financial statements, the auditor observed that the aggregate misstatement was approaching the materiality level determined for the audit.

When the matter was discussed with the borrower's management, they stated that the difference arose due to variations in valuation methods used for internal reporting and expressed the view that no adjustment was necessary in the financial statements. Consequently, the identified

misstatements remained uncorrected as on the reporting date.

During discussions on these matters, the branch manager informally suggested that the auditor should avoid highlighting these irregularities in the audit report, as doing so might adversely affect the borrower's banking relationship.

On the basis of above, answer the following MCQs

MCQ 8 2 marks

Considering the facts given in the case regarding the relationship between the outstanding balance in the CC account and the drawing power determined by the branch, how should the auditor evaluate the status of the account as on the reporting date?

A. The account is regular since the sanctioned limit has not been exceeded.

B. The account should be treated as out of order since the outstanding balance has remained continuously in excess of the drawing power.

C. The account is regular because the borrower had submitted stock statements earlier during the year.

D. The account cannot be evaluated until audited financial statements are finalized.

MCQ 9 2 marks

While evaluating the security position of the CC account as on the reporting date, the auditor noted that the drawing power had been computed using stock information that was not available as of the reporting

date, and that the borrowings in the account were already close to the level determined on the basis of primary security.

Considering these facts together, which of the following conclusions would be most appropriate?

A. The borrowing position may not be reliable since it is being evaluated on the basis of outdated information regarding primary security.

B. The account should be treated as regular because the sanctioned limit itself has not been exceeded.

C. The drawing power computation can be accepted since the borrower had submitted a stock statement earlier during the year.

D. The auditor should rely only on the audited financial statements while evaluating the security position.

MCQ 10 2 marks

During the audit, the auditor noted that a portion of the inventory considered while determining drawing power was stated to be lying at a third-party warehouse and also observed differences between the stock reported to the bank and the stock appearing in the audited financial statements.

Considering these facts together, which of the following audit procedures would most effectively address the risk arising in this situation?

A. Rely on the stock statements submitted by the borrower to the bank.

B Accept management representation regarding the existence of inventory held outside the entity's premises.

C Obtain confirmation from the third-party warehouse operator regarding the inventory held on behalf of the borrower.

D Restrict verification only to purchase invoices relating to inventory.

MCQ 11 2 marks

The auditor accumulated the differences identified between the stock reported to the bank and the stock appearing in the audited financial statements and noted that the aggregate misstatement was approaching the materiality level determined for the audit. Management, however, decided not to make any adjustment in the financial statements.

In light of these facts, what should the auditor primarily consider while evaluating the implications for the audit?

A Conclude that the financial statements are materially misstated without further evaluation.

B Evaluate whether the uncorrected misstatements are material individually or in aggregate and consider the implications for the auditor's report.

C Accept management's explanation since the difference arose due to valuation methods.

D Ignore the misstatement since it does not exceed the materiality threshold.

MCQ 12 2 marks

During discussions on the above matters, the branch manager suggested that the auditor should avoid reporting the irregularities so that the borrower's banking relationship is not affected.

Considering this situation described in the case, which of the following ethical principles should primarily guide the auditor's response?

A Integrity and Objectivity.

B Confidentiality.

C Professional Behaviour.

D Professional Competence and Due Care.

ICAI'S ANSWERS

MCQ 8

(B)

MCQ 9

(A)

MCQ 10

(C)

MCQ 11

(B)

MCQ 12

(A)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 5-6 · answer p. 1

1433 MTP Sep 2026 S-I Q2(b) 5 marks

KLM & Co., Chartered Accountants, were appointed as statutory auditors of S Ltd. During the audit of bank borrowings, the auditors examined the Cash Credit (CC) facility sanctioned by a bank to the company. The sanctioned limit of the CC account was ₹ 45,000.

As per the latest stock statement submitted to the bank, the company reported stocks having a realizable value of ₹ 50,000. Out of these stocks, ₹ 15,000 represented unpaid stocks financed by sundry creditors. The bank stipulated a margin of 20% on eligible stocks.

The company also reported debtors of ₹ 45,000, out of which debtors amounting to ₹ 5,000 were considered ineligible for the purpose of computing drawing power. The bank prescribed a margin of 50% on eligible debtors.

The auditor was required to verify the correctness of the drawing power computed for the CC account and determine the amount that could actually be drawn by the company. Compute the drawing power available to S Ltd. and comment thereon.

ICAI'S ANSWER

Computation of Drawing Power for CC A/c of S Ltd.

Particulars of current assets	Amount (₹)	DP Amt (₹)
(A) Stocks:		

Particulars of current assets		Amount (₹)	DP Amt (₹)
Stocks at realizable value		50,000	
Less: Unpaid stocks:			
- Sundry creditors	15000	15000	
Paid for stocks		35000	
Margin @ 20%		7000	28000
(B) Debtors:			
Total Debtors		45000	
Less: Ineligible debtors		5000	
Eligible debtors		40000	
Margin @ 50%		20000	20000
Total Drawing Power			**48000**

The sanctioned limit given in the question is ₹ 45000 whereas drawing power as per the above working is ₹ 48000. So, drawing power would be restricted to sanctioned limit i.e., ₹ 45000.

In the given case, although the drawing power computed on the basis of eligible stocks and debtors amounts to ₹ 48,000, S Ltd. cannot avail credit beyond the sanctioned CC limit of ₹ 45,000. Therefore, the effective drawing power available to the company would be restricted to ₹ 45,000.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 12 · answer p. 5-6

1434 MTP **Sep 2026 S-II** Case Scenario 3 · MCQ 8 to MCQ 12

10 marks

CASE SCENARIO 3

RKS & Associates, Chartered Accountants, were appointed as statutory auditors of National Prosperity Bank Ltd. for the financial year ended 31st March, 2026. The auditors were also appointed as the statutory auditors of Shiksha Jyoti Educational Society, one of the bank's major institutional borrowers.

During branch audit of the bank, the audit team examined a cash credit facility of ₹40 crore sanctioned to Sunrise Industries Ltd. against hypothecation of raw materials, finished goods and trade receivables. As additional comfort, the bank had also obtained an equitable mortgage over the company's factory land and building, together with the personal guarantee of the Managing Director.

While reviewing the loan account, the audit team observed that the account had remained irregular for almost three months. However, three days before

the balance sheet date, the borrower deposited ₹ 8 crore, making the account appear regular. On verification of transactions immediately after the year-end, the auditors noticed that almost the entire amount had been withdrawn through fresh drawings and transferred to another group company. Similar year-end transactions had also occurred in the previous financial year.

The engagement partner directed the audit team to perform additional audit procedures to determine whether the apparent regularisation represented genuine recovery or merely an arrangement to avoid classification of the account as a Non-Performing Asset (NPA).

During the audit of Shiksha Jyoti Educational Society, the auditors observed that income tax had been deducted at source from interest earned on Government securities and fixed deposits. Although the Society was eligible for exemption under the Income-tax provisions, no refund claim had been filed. The auditors also noticed that separate statements of account had not been prepared for the Hostel Fund, Games Fund and Staff Provident Fund, all these transactions having been merged with the general accounts.

When the audit team insisted on extending audit procedures in both assignments, the Executive Director of the bank stated that if the auditors continued questioning the asset classification or insisted on additional audit work, the bank would

recommend another audit firm next year, substantially reduce future professional fees and consider initiating legal proceedings for delaying the audit report. The engagement partner refused to modify the audit approach under such pressure, documented the matter, consulted the firm's Ethics Partner and instructed the audit team to continue performing all audit procedures necessary to obtain sufficient appropriate audit evidence before expressing an opinion.

Based on above, answer the following questions (MCQs 8-12)

MCQ 8 2 marks

With reference to the cash credit facility sanctioned to Sunrise Industries Ltd., which of the following constitutes the primary security for the advance?

A Factory land and building mortgaged to the bank.

B Personal guarantee of the Managing Director.

C Raw materials, finished goods and trade receivables hypothecated to the bank.

D Both the mortgage and the personal guarantee.

MCQ 9 2 marks

Considering the pattern of transactions in Sunrise Industries Ltd.'s account, which audit conclusion is most appropriate?

A The account should be treated as a Standard Asset because ₹ 8 crore deposit made before year-end resulted in the account appearing regular on the reporting date.

B The auditor should examine transactions immediately before and after the balance sheet date to determine whether the regularisation was merely an arrangement to prevent the account from slipping into the NPA category.

C The auditor should disregard the subsequent withdrawals and transfers because such transactions relate to the next accounting period and cannot affect year-end classification.

D The account need not be examined further for NPA classification because the bank holds sufficient collateral in the form of hypothecated assets and mortgaged property.

MCQ 10 2 marks

Which of the following should the auditors verify while auditing Shiksha Jyoti Educational Society?

A Whether the Society is eligible for income-tax exemption and, accordingly, whether no further verification is required in respect of tax deducted from its investment income.

B Whether separate statements of account have been prepared only for the Hostel Fund, Games Fund and Staff Provident Fund maintained by the Educational Society.

C Whether the tax deducted from interest income has been refunded to the Society and whether the amount has been correctly credited to its general fund.

D Whether refund of tax deducted from investment income has been claimed and recovered, and whether separate statements of account have been prepared for Hostel Fund, Games Fund and Staff Provident Fund.

MCQ 11 2 marks

With reference to the conduct of the Executive Director towards the auditors, which of the following ethical threats is primarily involved?

A Self-interest threat.

B Familiarity threat.

C Advocacy threat.

D Intimidation threat.

MCQ 12 2 marks

After evaluating all matters arising during both audits, the engagement partner instructed the audit team to obtain sufficient appropriate audit evidence before expressing an opinion. Which of the following best describes the Further Audit Procedures to be performed?

A The auditor should perform substantive analytical procedures alone to obtain sufficient appropriate audit evidence regarding the identified risks.

B The auditor should perform tests of controls alone where controls have been identified as relevant to the audit and appear to be operating effectively.

C The auditor should perform tests of controls where required or where reliance on controls is intended, together with substantive procedures comprising tests of details and substantive analytical procedures.

D The auditor should perform inquiries of management and obtain written representations from management to address the identified risks and support the audit opinion.

ICAI'S ANSWERS

MCQ 8

Answer key: **(C)**

MCQ 9

Answer key: **(B)**

MCQ 10

Answer key: **(D)**

MCQ 11

Answer key: **(D)**

MCQ 12

Answer key: **(C)**

ICAI · P5 · MTP Sep 2026 · Series II · question p. 6-7 · answer p. 1

1435 MTP **Sep 2026 S-II** Q4(a) 5 marks

PQR Ltd. has been sanctioned a cash credit facility of ₹30 crores by ABC Bank Ltd. During the financial year

2025-26, the drawing power available to PQR Ltd. varied between ₹26 crores and ₹29 crores. However, the amount outstanding in the cash credit account remained below ₹24 crores throughout the year. No amount was credited by PQR Ltd. to the cash credit account during the year, and there were no other credits in the account during the last two quarters of the financial year.

How should the cash credit account of PQR Ltd. be classified in the books of ABC Bank Ltd. as on 31st March 2026? Give reasons.

ICAI'S ANSWER

A cash credit account should be treated as 'out of order' if:

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power; or
- where the outstanding balance in the principal operating account is within the sanctioned limit/drawing power, there are no credits continuously for 90 days as on the date of the Balance Sheet; or
- credits are present but are not sufficient to cover the interest debited during the same period.

In the given case, PQR Ltd. has been sanctioned a cash credit limit of ₹30 crores by ABC Bank Ltd. The drawing power available to the company ranged between ₹26 crores and ₹29 crores during the financial year 2025-26. The outstanding balance remained below ₹24 crores throughout the year

and, therefore, did not exceed the sanctioned limit/drawing power.

The amount outstanding in the cash credit account remained below ₹24 crores throughout the year. However, there were no credits continuously for 90 days as on 31st March 2026. Thus, although the outstanding balance was within the sanctioned limit/drawing power, there were no credits continuously for 90 days as at the Balance Sheet date.

Therefore, the cash credit account of PQR Ltd. should be classified as an 'out of order' account in the books of ABC Bank Ltd. as on 31st March 2026. Hence, it would be considered NPA

ICAI · P5 · MTP Sep 2026 · Series II · question p. 15 · answer p. 9-10

1436 MTP **May 2026 S-I**

Case Scenario 3 [MCQs 8-12] · MCQ 8 to MCQ 12 10 marks

CASE SCENARIO 3 [MCQS 8-12]

Ardent Precision Components Ltd. has been sanctioned a Cash Credit (CC) limit of ₹ 10 crore by a bank to finance its working capital requirements. As per the sanction terms, the borrower is required to submit monthly stock statements, on the basis of which the bank computes the Drawing Power (DP) after applying margin on eligible current assets such as stock and receivables.

During the branch audit as on 31st March, the auditor observed that the branch had computed the

drawing power at ₹ 8.20 crore based on the stock statement dated 30th November submitted by the borrower. However, the outstanding balance in the CC account as on 31st March was ₹ 8.60 crore. Further examination of the account revealed that the outstanding balance had remained continuously above the drawing power for more than 90 days preceding the balance sheet date.

While reviewing the borrower's records, the auditor compared the stock value appearing in the audited financial statements for the year ended 31st March with the stock value reported in the stock statement submitted to the bank and noticed a significant difference, indicating possible overstatement of stock in the statement submitted to the bank.

Further examination revealed that inventory worth ₹ 2 crore, which had been considered by the branch while computing drawing power, was stated to be lying at a third-party warehouse. However, the branch had not obtained any confirmation from the warehouse operator regarding ownership of such inventory.

After accumulating the differences between the stock reported to the bank and the stock appearing in the audited financial statements, the auditor observed that the aggregate misstatement was approaching the materiality level determined for the audit.

When the matter was discussed with the borrower's management, they stated that the difference arose due to variations in valuation methods used for internal reporting and expressed the view that no adjustment was necessary in the financial statements. Consequently, the identified misstatements remained uncorrected as on the reporting date.

During discussions on these matters, the branch manager informally suggested that the auditor should avoid highlighting these irregularities in the audit report, as doing so might adversely affect the borrower's banking relationship.

On the basis of above, answer the following MCQs (8-12)

MCQ 8 2 marks

Considering the facts given in the case regarding the relationship between the outstanding balance in the CC account and the drawing power determined by the branch, how should the auditor evaluate the status of the account as on the reporting date?

A The account is regular since the sanctioned limit has not been exceeded.

B The account should be treated as out of order since the outstanding balance has remained continuously in excess of the drawing power.

C The account is regular because the borrower had submitted stock statements earlier during the year.

D The account cannot be evaluated until audited financial statements are finalized.

MCQ 9 2 marks

While evaluating the security position of the CC account as on the reporting date, the auditor noted that the drawing power had been computed using stock information that was not contemporaneous with the reporting date, and that the borrowings in the account were already close to the level determined on the basis of primary security.

Considering these facts together, which of the following conclusions would be most appropriate?

A The borrowing position may not be reliable since it is being evaluated on the basis of outdated information regarding primary security.

B The account should be treated as regular because the sanctioned limit itself has not been exceeded.

C The drawing power computation can be accepted since the borrower had submitted a stock statement earlier during the year.

D The auditor should rely only on the audited financial statements while evaluating the security position.

MCQ 10 2 marks

During the audit, the auditor noted that a portion of the inventory considered while determining drawing power was stated to be lying at a third-party warehouse and also observed differences between the stock

reported to the bank and the stock appearing in the audited financial statements.

Considering these facts together, which of the following audit procedures would most effectively address the risk arising in this situation?

A Rely on the stock statements submitted by the borrower to the bank.

B Accept management representation regarding the existence of inventory held outside the entity's premises.

C Obtain confirmation from the third-party warehouse operator regarding the inventory held on behalf of the borrower.

D Restrict verification only to purchase invoices relating to inventory.

MCQ 11 2 marks

The auditor accumulated the differences identified between the stock reported to the bank and the stock appearing in the audited financial statements and noted that the aggregate misstatement was approaching the materiality level determined for the audit. Management, however, decided not to make any adjustment in the financial statements.

In light of these facts, what should the auditor primarily consider while evaluating the implications for the audit?

A Conclude that the financial statements are materially misstated without further evaluation.

B Evaluate whether the uncorrected misstatements are material individually or in aggregate and consider the implications for the auditor's report.

C Accept management's explanation since the difference arose due to valuation methods.

D Ignore the misstatement since it does not exceed the materiality threshold.

MCQ 12 2 marks

During discussions on the above matters, the branch manager suggested that the auditor should avoid reporting the irregularities so that the borrower's banking relationship is not affected.

Considering this situation described in the case, which of the following ethical principles should primarily guide the auditor's response?

A Integrity and Objectivity.

B Confidentiality.

C Professional Behaviour.

D Professional Competence and Due Care.

ICAI'S ANSWERS

MCQ 8

Answer key: **(B)**

MCQ 9

Answer key: **(A)**

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(B)**

MCQ 12

Answer key: **(A)**

ICAI · P5 · MTP May 2026 · Series I · question p. 4-5 · answer p. 1

1437 MTP **May 2026 S-II** Q2(b) 5 marks

N Ltd., a manufacturing company, has availed a Cash Credit Facility of ₹ 1 crore from XY Bank Ltd. As per the latest stock statements submitted for the quarter ended 31st March 2025, the Drawing Power (DP) is ₹ 80 lakh. The outstanding balance in the cash credit account as on the balance sheet date is ₹ 75 lakh.

During the last two quarters, the bank has debited interest amounting to ₹ 7 lakh to the account. However, the total credits deposited by the company in the same period amount to only ₹ 5 lakh. The account has otherwise remained within the sanctioned limit and drawing power throughout the period.

The statutory auditor, while reviewing the loan account, is required to classify the asset as per prudential norms.

As an auditor, how will you report/classify this account? Give reasons with reference to applicable norms.

ICAI'S ANSWER

As per prudential norms for classification of advances, a cash credit account is treated as **"Out of**

Order" if:

- The outstanding balance remains continuously in excess of sanctioned limit/drawing power; or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

In the given case:

- Sanctioned limit = ₹ 1 crore
- Drawing power = ₹ 80 lakh
- Outstanding balance = ₹ 75 lakh (within DP)
- Interest debited = ₹ 7 lakh
- Credits during two quarters = ₹ 5 lakh

Although the outstanding balance is within the drawing power, the credits in the account are not sufficient to cover the interest debited during the same period.

Therefore, applying prudential norms, the cash credit account of N Ltd. shall be classified and reported as "Out of Order", since the servicing of interest is inadequate, indicating potential stress in the account.

As per the definition of Non-Performing Asset (NPA):

- In respect of OD/CC accounts, an account is treated as NPA when it remains “out of order”.

Since the cash credit account of N Ltd. is out of order, the same shall be classified as a Non-Performing Asset (NPA) as at the balance sheet date.

ICAI · P5 · MTP May 2026 · Series II · question p. 11 · answer p. 4-5

1438 **MTP** **Jan 2026 S-I** Q2(b) **5 marks**

During the audit of SITU Bank Ltd, the auditor reviews the loan portfolio and comes across the account of M/s Neem Tree Infrastructure Ltd., which has an outstanding balance of ₹ 10 crore. The latest valuation report by an RBI approved valuer indicates that the realisable value of the security available against this loan is only ₹ 80 lakh. The value of the same security during the previous RBI inspection was ₹ 6 crore.

Additionally, in another borrower account, M/s Gayatri Textiles Pvt. Ltd., with an outstanding balance of ₹ 5 crore, the realisable value of security is estimated to be ₹ 40 lakh.

As an auditor, how should these two accounts be classified as per RBI’s prudential norms on income recognition and asset classification? What would be the appropriate provisioning treatment in each case?

ICAI'S ANSWER

Erosion means the gradual destruction or diminution of something not prudent to follow stages of asset classification. It should be straight-away classified as doubtful or loss asset as appropriate as follows:

(i) Erosion in the value of security can be reckoned as significant when the realisable value of the security is less than 50% of the value assessed by the bank or accepted by RBI at the time of last inspection, as the case may be. Such NPAs may be straight-away classified under doubtful category and provisioning should be made as applicable to doubtful assets.

(ii) If the realisable value of the security, as assessed by the bank/ approved valuers/ RBI is less than 10% of the outstanding in the borrower accounts, the existence of security should be ignored and the asset should be straight-away classified as loss asset. It may be either written off or fully provided for by the bank.

Based on above, the two accounts can be classified as per RBI norms as under :

M/s Neem Tree Infrastructure Ltd.

- The realizable value of the security (₹ 0.8 crore) is less than 50% of the value assessed at the time of last inspection (₹ 6 crore).
- This represents significant erosion in the value of security.

- Hence, the account should be straight-away classified as a Doubtful Asset, and provisioning should be made as applicable to doubtful assets.

M/s Gayatri Textiles Pvt. Ltd.

- The realizable value of security (₹ 0.4 crore) is less than 10% of the outstanding balance (₹ 5 crore).
- This means the security is practically non-existent.
- Therefore, the account should be classified as a Loss Asset, which may be written off or fully provided for by the bank.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 9 · answer p. 4

1439 MTP **Sep 2025 S-I**

Case Scenario 2 [MCQ 6-9] · MCQ 6 to MCQ 9 **8 marks**

CASE SCENARIO 2 [MCQ 6-9]

CA Mahaveer, a partner at ANJ & Co., is conducting the statutory audit of a branch of Fair Bank for the year 2024-25. During the course of the audit, he made the following observations:

(i) A loan of ₹ 12 lakhs was sanctioned to a farmer for cultivation of sugarcane, a crop that typically has a harvesting cycle of 10–12 months under the Kisan Credit Card (KCC) scheme. The account had no transactions since last 120 days, however, the branch continued to classify the loan as a Standard Asset as on 31st March 2025.

(ii) The branch had taken over a term loan of ₹ 60 lakhs from another bank. However, the branch manager approved the proposal, even though such limits require sanction by the Zonal Credit Committee, as per the "Manual of Delegation of Powers" of Bank.

(iii) It is noticed that head office of bank has flagged a saving account maintained in branch in which interest was wrongly paid at higher rate due to wrong data feeding entry. Now, situation has been rectified by debiting excess interest paid in the account. Since there was little balance in saving account, a debit balance of ₹ 1.35 lac was created in the said saving account due to above reversal. The matter was immediately informed to account holder. However, he has not turned up for payment since matter was informed to him about six months ago.

(iv) Due to time constraints, CA Mahaveer is under pressure to issue an unmodified audit report in the limited time frame. He has insufficient time to properly perform or complete the relevant duties and issue appropriate audit report.

Based on the above facts, answer the following:

MCQ 6 2 marks

Which of the following is most appropriate regarding the sugarcane KCC loan?

A The account is overdue beyond 90 days and must be classified as Sub-standard.

B The loan must be treated as NPA since no transaction has occurred for 90 days.

C Since the crop cycle exceeds 6 months, the account can still be Standard despite no transaction for 120 days.

D The account should be reported as “Doubtful”.

MCQ 7 2 marks

Regarding the term loan takeover of ₹ 60 lakhs from another bank, which of the following is most appropriate?

A It is a routine matter and auditor need not intervene.

B It reflects breach of sanctioning authority and should be reported in audit findings.

C The manager can exercise discretion up to ₹ 75 lakhs, so it is valid.

D Since the account was performing, the sanctioning irregularity is immaterial.

MCQ 8 2 marks

As regards debit balance of ₹ 1.35 lacs in Savings account, which of the following is correct from point of view of an auditor?

A The debit balance of ₹ 1.35 lacs should be classified as NPA.

B The situation does not attract RBI norms on asset classification.

C The situation does not attract RBI norms on asset classification as no credit facility was granted.

D The bank cannot demand excess interest paid to account holder.

MCQ 9 2 marks

Which fundamental principle governing professional ethics is disregarded by CA Mahaveer by issuing unmodified audit report?

A Professional competence and due care.

B Professional behaviour.

C Integrity.

D Objectivity.

ICAI'S ANSWERS

MCQ 6

(C)

MCQ 7

(B)

MCQ 8

(A)

MCQ 9

(A)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 3-4 · answer p. 1

1440 **MTP** **Sep 2025 S-I** Q2(b) 5 marks

CA Govind is conducting stock audit of a borrower availing cash credit facility of ₹ 120 lacs from branch of

a bank. The cash credit facility is against security of paid stocks and debtors up to 90 days. Margin stipulated is 30% for stocks and 40% for debtors. Following further information is available as on 31.12.24: -

Particulars	Amount (₹)
Value of stocks	150 lacs
Value of stocks (fully damaged) included in above	30 lacs
Value of debtors	55 lacs
Value of debtors exceeding 90 days included in above	15 lacs
Value of creditors for goods	60 lacs

Compute the amount of drawing power.

ICAI'S ANSWER

The computation of Drawing power is as under: -

Particulars	Amount (₹)
Value of stocks as on 31.12.24	150 lacs
Less: value of damaged stocks	30 lacs
	120 lacs
Less: creditors for goods as on 31.12.24	60 lacs

Particulars	Amount (₹)
Value of Paid stocks	60 lacs
Less: Margin @ 30%	18 lacs
Drawing power (A)	**42 lacs**
Value of debtors as on 31.12.24	55 lacs
Less: debtors exceeding 90 days	15 lacs
	40 lacs
Less: Margin @ 40%	16 lacs
Drawing Power (B)	**24 lacs**
Drawing Power (A+B)	**66 lacs**

Conclusion: Drawing Power should be ₹ 66 lacs.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 8 · answer p. 4

1441 MTP **Sep 2025 S-II**

Case Scenario 3 [MCQ 9-12] · MCQ 9 to MCQ 12 8 marks

CASE SCENARIO 3 [MCQ 9-12]

Maya & Associates, a Chartered Accountant firm is appointed as an auditor of ABC Pvt. Ltd. CA Maya, partner of the firm, has recently bought stock in ABC Pvt. Ltd. She believes that the company's goodwill will increase after the audit report is finalised, which could lead to a rise in stock price. As she reviews the

company’s financial statements, Maya decides to give unmodified opinion to help her investment.

Puneet, the CEO of ABC Pvt. Ltd., has requested them to modify certain disclosures in the financial statements in a way that could mislead stakeholders. He argues that a more favourable presentation will help the company secure additional investments. Ashi, another Partner of Firm, feels that complying with this request would compromise ethical standards and worries about potential conflicts with the client.

Maya & Associates has also been appointed as the statutory branch auditors of Delhi branch of CIC Bank. While carrying out the audit, the following key issues were identified:

Issue 1: PV Ltd.'s account has seen no recovery for the past 18 months. However, the bank has not applied NPA norms or income recognition norms to this account. The management justifies this by stating that the account is guaranteed by the Central Government and that NPA and income recognition norms are not applicable. Government has not invoked the guarantee.

Issue 2: CWP Traders has applied for a cash credit limit from CIC Bank for supporting working capital requirements on account of business expansion. In discussions with CWP Traders, CIC Bank has requested different forms of security, depending on the nature of the assets offered, which includes

immovable property (warehouse), goods in stock, accounts receivable, and insurance policies. Borrower provided the security and was sanctioned cash credit limit of ₹ 4.50 Crores.

Based on the above facts, answer the following MCQs:

MCQ 9 2 marks

CA Maya has bought stock in ABC Pvt. Ltd., and her investment could benefit from issuance of unmodified opinion in her audit report. This indicates existence of:

A Self-interest Threat.

B Self-review Threat.

C Advocacy Threat.

D Familiarity threat.

MCQ 10 2 marks

Puneet, the CEO, is requesting the Ashi and Maya to modify the financial statement disclosures in a misleading manner. Which fundamental principle of professional ethics would be violated if they agree to do so?

A Integrity.

B Objectivity.

C Confidentiality.

D Professional Competence and Due Care.

MCQ 11 2 marks

Is the bank's decision not to apply NPA and income recognition norms to account of PV Ltd. valid under regulatory guidelines?

A The bank is correct to the extent of not applying the NPA norms for provisioning purposes. However, this exemption is not available in respect of income recognition norms.

B The bank is not correct for not applying the NPA norms for provisioning purposes. But this exemption is available in respect of income recognition norms.

C The bank is correct in not applying the NPA norms and income recognition norms as both are not applicable.

D The bank is not correct in not applying the NPA norms and income recognition norms as both are applicable.

MCQ 12 2 marks

CWP Traders offered its warehouse as security for the loan. CIC Bank created a charge on the warehouse. Which form of security has been created and whether bank is required to get stock audit done of cash credit account of CWP Traders?

A Security created is Pledge and bank is required to get stock audit done of cash credit account of CWP Traders.

B Security created is Mortgage and bank is required to get stock audit done of cash credit account of CWP Traders.

C Security created is Pledge and bank is not mandatorily required to get stock audit done of cash credit account of CWP Traders.

D Security created is Mortgage and bank is not mandatorily required to get stock audit done of cash credit account of CWP Traders.

ICAI'S ANSWERS

MCQ 9

(A)

MCQ 10

(A)

MCQ 11

(A)

MCQ 12

(D)

ICAI · P5 · MTP Sep 2025 · Series II · question p. 4-5 · answer p. 1

1442 **MTP** **Sep 2025 S-II** Q2(b) **5 marks**

Same question, different ICAI answer: #1430 Old P6 RTP Nov 2019

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors. In carrying out audit of advances, the auditor is primarily concerned with obtaining

evidence about, among other points, the amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet. Explain.

ICAI'S ANSWER

Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(i) Amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet.

(ii) Advances represent amount due to the bank.

(iii) Amounts due to the bank are appropriately supported by Loan documents and other documents as applicable to the nature of advances.

(iv) There are no unrecorded advances.

(v) The stated basis of valuation of advances is appropriate and properly applied, and that the recoverability of advances is recognised in their valuation.

(vi) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(vii) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 8-9 · answer p. 4-5

1443 MTP **Sep 2025 S-II Q3(c)** 4 marks

Fair Ltd. has been sanctioned a Cash Credit facility of ₹ 1.50 crores by Worthy Bank. Based on the monthly stock statements submitted for the last quarter, the drawing power is calculated at ₹ 1.45 crores. The outstanding balance in the cash credit account at the end of the quarter is ₹ 1.40 crores. Interest charged to the account is ₹ 6 Lakh and total credit into the account for the quarter is ₹ 4 Lakh. As an auditor, how would you examine and report the account if it is classified as 'out of order' by the bank?

ICAI'S ANSWER

An account should be treated as 'out of order' if:

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- Credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

Applying the above to the given case of Fair Ltd, its Drawing power is ₹ 1.45 crores, although outstanding balance in the account is ₹ 1.40 crores , but still the account would be reported as out of order because credits in the account are not sufficient to cover the interest debited during the same period

Therefore, classification of account made by the bank for the account as 'out of order' is in order.

ICAI · P5 · MTP Sep 2025 · Series II · question p. 9 · answer p. 7

1444 **MTP** **May 2025 S-I** **Q5(a)** **5 marks**

Advances generally constitute a major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors. Explain the broad considerations about which the auditor is primarily concerned with obtaining evidence in carrying out audit of advances.

ICAI'S ANSWER

Advances generally constitute a major part of the assets of the bank. There are large number of borrowers to whom variety of advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

(i) Amounts included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(ii) Advances represent amount due to the bank.

(iii) Amounts due to the bank are appropriately supported by loan documents and other documents as applicable to the nature of advances.

(iv) There are no unrecorded advances.

(v) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.

(vi) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(vii) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · P5 · MTP May 2025 · Series I · question p. 10 · answer p. 9-10

1445 MTP May 2025 S-II Case Scenario 3 · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO 3

CA Misha is appointed as the statutory audit of a branch of FDH Bank. During the audit, the following issues were observed:

The bank provides "Kisan Credit Card" loans to farmers to meet their short-term credit needs for crop cultivation. One such loan, with an outstanding balance of ₹ 20 lakh at the year end, had no transactions for the past 90 days. The loan was granted for paddy cultivation, which typically takes 3-4 months from sowing to harvest. The branch has classified the loan as a "Standard Asset".

It was also noted that the account of a borrower with a cash credit limit of ₹ 50 lakh, which was taken over from another bank, was sanctioned by the branch manager instead of the immediate higher authority, as required in bank's "Manual of Delegation of Powers".

CA Misha also served as the statutory auditor for a multiplex cinema. During the audit, CA Misha observed that the revenue of company has fallen from ₹ 50 crore in last year to ₹ 5 crore in current year (for which financial statements have been received for audit) due to lack of demand in the market for company's products.

Based on the above facts, answer the following:

MCQ 10 2 marks

As regards description of agricultural advance, which of the following statements is most appropriate in this regard?

A. The branch has erred in making classification as per RBI norms. It is a “Sub-standard” asset.

B. The classification made by branch is proper. However, there are no transactions in account since last 90 days, it is SMA.

C. The classification made by branch is proper.

D. The branch has erred in making classification as per RBI norms. It is a “doubtful” asset.

MCQ 11 2 marks

Regarding taken over account from another bank, which of the following statements is most appropriate?

A. It is a serious violation of laid down procedures of bank for sanction of advances and should be reported by auditor without fail.

B. It is an internal issue of Bank. However, the auditor may, at his discretion, report it.

C. It is an internal issue of Bank and auditor is not concerned with it.

D. There is no issue involved as credit facility was properly sanctioned.

MCQ 12 2 marks

Regarding drastic fall in revenue of the company, which of the following is an audit risk?

A Fall in revenue would result in fall of profits for the company.

B Drastic fall in revenue may imply that company is not able to carry out its operations in foreseeable future due to lack of demand in the market for company's products. There is a risk that going concern disclosure is omitted to be made in financial statements.

C The company can explore some new line of activity, if demand of its products is falling.

D Fall in revenue would mean lower tax liabilities for the company.

ICAI'S ANSWERS

MCQ 10

(C)

MCQ 11

(A)

MCQ 12

(B)

ICAI · P5 · MTP May 2025 · Series II · question p. 5-6 · answer p. 1

1446 **MTP** **Jan 2025 S-I** **Q3(a)** **5 marks**

Mahavir and Associates is appointed as the statutory auditor of KBC Bank for the financial year 2023-2024. During the audit, Ms. Chandana, an article trainee, noticed that Sidharth Industries had an outstanding loan of ₹ 50,00,000 as on March 31, 2024. On March 29, 2024, the company made a payment of ₹ 10,00,000,

reducing the outstanding loan balance to ₹ 40,00,000. However, on April 4, 2024, Sidharth Industries initiated a reversal transaction of ₹ 8,00,000, increasing the outstanding loan balance back to ₹ 48,00,000. The payment and subsequent reversal occurred within a short period, with the final outstanding balance remaining ₹ 48,00,000 after the reversal.

Considering this scenario, what should be the response of Mahavir and Associates to this matter, particularly regarding the classification of the borrower's account and the potential risk of it slipping into the NPA category?

ICAI'S ANSWER

Accounts regularized near the Balance Sheet Date:The asset classification of borrower accounts where a solitary or a few credits are recorded before the balance sheet date should be handled with care and without scope for subjectivity. Where the account indicates inherent weakness on the basis of the data available, the account should be deemed as NPA.

The auditor should check for sample transactions immediately before the closing of the financial year and immediately after the closing of the financial year to get a knowledge of the objective behind the transactions if they have any relation to each other in the borrower accounts or if any/some transactions are being reversed during the first few days after closing which might show an

arrangement to prevent the Borrower account(s) from slipping into the NPA category.

In the given case of Sidharth Industries, a payment of ₹10,00,000 was made on March 29, 2024 reducing the outstanding loan balance to ₹40,00,000. and subsequently reversed by ₹8,00,000 on April 4, 2024. Thus, Mahavir and Associates should carefully assess the classification of Sidharth Industries' Account, and determine if the payment and reversal transactions indicate an attempt to prevent the account from slipping into the NPA category. If yes, the account should be classified as an NPA in compliance with regulatory guidelines.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 4-5

1447 MTP **Jan 2025 S-II** Case Scenario 2 · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO 2

Shreyansh, a Chartered Accountancy student, is part of an engagement team conducting audit of the Coimbatore branch of XYZ Bank under the guidance of CA Dilip, the Engagement Partner. Shreyansh has been assigned the task of verifying provisions made for the branch's non-performing assets (NPAs) and

classification of certain loans as on March 31, 2024, of which details are as under:

Non-Performing Assets (NPAs):

Name of Account	NPA classification	Outstanding amount as on March 31st, 2024 (In ₹ lakhs)	Amount of provision made (In ₹ lakhs)	Security Available
AB Industries	Doubtful (D1)	10.00	5.00	Fully secured
Mars Traders	Substandard asset	50.00	7.50	Fully secured
RS Enterprises	Doubtful (D2)	30.00	30.00	Fully secured
NPS & Sons	Loss	1.00	1.00	Only personal guarantee of proprietor (Net worth ₹50 lakhs)

Housing Loan and Car Loan

A borrower Mr. Shyam has availed following two loans from the branch:

- Housing Loan: EMIs are overdue for 120 days as on March 31, 2024.
- Car Loan: EMIs are overdue for 60 days as on March 31, 2024.

Agricultural Advances

The branch has provided a loan of ₹20 lakhs under the Kisan Credit Card (KCC) scheme to a farmer for the cultivation of paddy, which has a harvest period of 3–4 months. There has been no transaction in the account for the last 90 days. The branch has classified the loan as a Standard Asset.

CA Dilip has clarified that the NPA classification has been verified and is in accordance with RBI guidelines. He instructed Shreyansh to focus on evaluating the adequacy of the provisions, considering RBI Guidelines mandate specific percentages for provisioning based on the NPA classification and the nature of the security.

Based on the above facts, answer the following: -

MCQ 6 2 marks

Is the provision made for AB Industries (Doubtful—D1) appropriate?

A Yes, as it exceeds the required 25% provisioning for secured assets.

B No, as it should be 40% of the outstanding amount.

C No, as the required provision is ₹ 2.50 lakhs (25% of ₹ 10.00 lakhs).

D Yes, as provisions for Doubtful assets can exceed the minimum requirement.

MCQ 7 2 marks

Considering the Housing Loan and Car Loan availed by the borrower Shyam, which of the following statements is appropriate?

A Both Housing Loan and Car Loan should be classified as “Non-Performing Assets” in accordance with RBI norms on asset classification.

B Housing Loan should be classified as “Non-Performing Asset” in accordance with RBI norms. However, Car Loan should be classified as Standard Asset.

C Car Loan should be classified as “Non-Performing Asset.” However, Housing Loan should be classified as Standard Asset.

D Both Housing Loan and Car Loan should be classified as Standard Assets.

MCQ 8 2 marks

What is the minimum provision required for RS Enterprises (Doubtful—D2), considering the account is fully secured?

A ₹30.00 lakhs

B ₹12.00 lakhs

C ₹15.00 lakhs

D ₹25.00 lakhs

MCQ 9 2 marks

As regards the description of the agricultural advance under Kisan Credit Card, which of the following statements is most appropriate?

A The branch has erred in making classification as per RBI norms. It is a “Sub-standard” asset.

B The classification made by the branch is proper. However, since there are no transactions in the account for 90 days, it is an SMA (Special Mention Account).

C The classification made by the branch is proper.

D The branch has erred in making classification as per RBI norms. It is a “Doubtful” asset.

ICAI’S ANSWERS

MCQ 6

(C)

MCQ 7

(A)

MCQ 8

(B)

MCQ 9

(C)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 3-4 · answer p. 1

1448 MTP **Sep 2024 S-I** Case Scenario 1 · MCQ 1 to MCQ 5

10 marks

CASE SCENARIO 1

M/s Vishwacharya and Associates, a CA firm based in Orissa, is appointed as an auditor of CBF Bank for the financial year 2023-24. During the course of audit, it came to notice that CBF Bank has sanctioned an overdraft facility of ₹ 75 lakh to Times Ltd. However, as per the stock statement furnished for the last quarter, the drawing power was calculated to be ₹ 50

lakh. It was observed that few advances were guaranteed by the:

(i) Central Government as part of 'Make in India' initiative. However, the guarantee was not invoked, and the advances were overdue by 95 days. These advances were classified as standard assets and were regarded as NPA for income recognition purpose.

(ii) State Government as part of power generation initiative. However, the guarantee was not invoked, and the advances were overdue by 80 days. These advances were also classified as standard assets and were regarded as NPA for income recognition purpose.

Additionally, XYZ Ltd., is a borrower availing cash credit facility of ₹ 110 Lakh against security of paid stocks and debtors up to 90 days. Margin stipulated was 25% of stock as and 40% for debtors. Bank has calculated drawing power based on following information provided by XYZ Ltd.

Particulars	Amount (₹)
Value of Stocks (as on 31.12.2023)	130 Lakh
Value of Debtors (as on 31.12.2023)	75 Lakh
Value of stocks (Fully damaged and included in (i) above)	7 Lakh

Particulars	Amount (₹)
Value of Debtors (exceeding 90 days included in (ii) above)	10 Lakh
Value of creditors for goods	60 Lakh

Also, the outstanding balance in one of the Loan accounts was ₹ 25 Lakh and the realisable value of the security as assessed by the bank / approved valuers was ₹ 2.25 Lakh. Bank identified the same as erosion in the value of security. It was classified as doubtful category and provision was made for the doubtful assets. A discussion also took place among the team members regarding issuance of the audit reports after completion of the bank audit and annexure to the same such as Long Form Audit Report, Report on compliance with SLR Requirements, Report on Treasury Operations – as per RBI guidelines, Report on compliance as per Ghosh committee recommendations and Report on adverse credit - lending ratio in the rural areas, etc.

Based on the above facts, answer the following: -

MCQ 1 2 marks

With respect to the overdraft facility sanctioned to Times Ltd., the account would be termed as out of order if:

(i) The outstanding balance remains continuously in excess of ₹ 75 Lakh.

(ii) The outstanding balance remains continuously in excess of ₹ 50 Lakh.

(iii) The outstanding balance in the account is less than ₹ 75 Lakh but there are no credits or payments deposited into the account continuously for 90 days as on balance sheet date

(iv) The outstanding balance is less than ₹ 50 Lakh.

Choose the correct option from below:

A (i), (ii) and (iii)

B (i), (iii) and (iv)

C (ii),(iii) and (iv)

D (iii) and (iv)

MCQ 2 2 marks

Which of the treatment by the bank on the provisioning and income recognition is correct in case of bank guarantee given by the Central Government and State Government?

A Both (i) and (ii) are correct

B Only (ii) is correct

C Only (i) is correct

D Both (i) and (ii) are incorrect.

MCQ 3 2 marks

In the given case drawing power of the borrower XYZ Limited should be:

A ₹ 86.25 Lakh

B ₹ 76.35 Lakh

C ₹ 96.25 Lakh

D ₹ 85.45 Lakh

MCQ 4 2 marks

The Bank has identified an erosion in the value of security and made provision for doubtful assets. Whether the treatment by bank for the doubtful asset is correct?

A Yes. The security should be classified under doubtful category. It may be either written off or fully provided by the bank.

B No. The existence of such security should be ignored, and the asset should straight away be classified as loss asset. It may be either written off or fully provided by the bank.

C Yes. The security should be classified under doubtful category and provisioning should be made as applicable for doubtful assets.

D No. The existence of the security should be ignored, and the asset should straight away be classified as loss asset. Provisioning should be made for doubtful assets.

MCQ 5 2 marks

The Statutory Central Auditors of a bank must furnish, in addition to the main audit report, various other audit reports. From the options, choose the audit reports that M/s Vishwacharya and Associates shall furnish.

(i) Long Form Audit Report

(ii) Report on compliance with SLR Requirements

(iii) Report on Treasury Operations – as per RBI guidelines

(iv) Report on compliance as per Ghosh committee recommendations

(v) Report on adverse credit - lending ratio in the rural areas.

Choose the correct answer:

A (i), (ii),(iii),(iv) and(v)

B Only (i),(ii),(iii) and (iv)

C Only (i),(ii) and (iii)

D Only (i),(ii) and (v)

ICAI'S ANSWERS

MCQ 1

(A)

MCQ 2

(C)

MCQ 3

(A)

MCQ 4

(B)

MCQ 5

(B)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 1-2 · answer p. 1

1449 MTP Sep 2024 S-I Q6(a) 5 marks

National Bank has advanced cash credit facility of ₹ 25 Lakh to Sun Industries. Following is the extract of account of Sun Industries reflecting in CBS of Bank from December 1, 2023 to March 31, 2024: -

Date	Particulars	Dr.	Cr.	Balance (Dr.)
01/12/2023	To Transfer	45,000		24,75,000
31/12/2023	By Clearing		1,00,000	23,75,000
31/12/2023	To Interest	25,000		24,00,000
31/01/2024	To Interest	24,700		24,24,700
29/02/2024	To Interest	24,800		24,49,500
31/03/2024	To Inspection charges	1,000		24,50,500
31/03/2024	To Interest	24,900		24,75,400

Drawing power during the above period was consistent at ₹ 25 Lakh. The account was classified as “Standard asset” as on 31.12.2023 in books of Bank. The security charged with the bank remains intact throughout this period.

Comment on “asset classification” of above account as on 31st March 2024 in books of Bank in accordance with RBI norms.

ICAI'S ANSWER

In accordance with RBI norms on asset classification, a non-performing asset is a loan or advance where the account remains "out of order" in respect of an Overdraft/Cash Credit.

An account should be treated as 'out of order' if:

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- credits are there but are not enough to cover the interest debited during the same period.

In the given case, although outstanding balance in account is less than sanctioned limit/drawing power of ₹ 25 lacs, there are no credits continuously for 90 days as on the date of Balance sheet. Therefore, it has become out of order and is required to be classified as NPA.

Under non-performing assets, it would be classified as "Sub-Standard Asset" as it has remained NPA for a period of less than or equal to 12 months.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 10-11 · answer p. 8-9

1450 MTP Sep 2024 S-II Case Scenario 3 · MCQ 9 to MCQ 12

8 marks

CASE SCENARIO 3

MPM & Associates, a firm of Chartered Accountants, have received offer letter from PST Bank for carrying out statutory audit of their Chandigarh branch for the financial year 2023-24. The offer letter, inter alia, requests audit firm to give an undertaking in writing that firm is not disqualified under Section 141(3)(d)(ii) of Companies Act, 2013. Such provision relates to disqualification of a person as auditor of a company if he, his relative or partner is indebted to the company subject to certain prescribed conditions. Before accepting the said audit, the firm checks out whether it complies with law requirements. However, there is a difference of opinion among firm personnel whether such an undertaking can be given in case of banks.

The offer letter also contains following declaration to be signed by the auditors in case they choose to accept the appointment: -

"We declare that we will not communicate or allow to be communicated to any person, not legally entitled thereto, any information relating to the affairs of PST Bank or to the affairs of the person having any dealing with the Bank, nor will we allow any such person to inspect or have access to any books or documents belonging to or in possession of the Bank relating to the business of any person having any dealing with the Bank."

The audit firm has also received a document kit provided by Statutory Central Auditors of Bank. It relates to scope of audit, areas of special consideration while performing audit and requires audit firm to confirm certain matters like adherence to RBI Master Circulars for income recognition, asset classification & provisioning and adequacy of checking of books of accounts based on sample etc. to them by way of a letter.

The document kit received also requires MPM & Associates to consider adverse comments made by stock auditors of borrowers enjoying cash credit facilities in their reports for purpose of reporting. It also contains specific instructions to check foreign letter of credits (FLCs) issued during the year in compliance with sanction terms of the respective borrowers and to verify income recognized in respect of FLCs.

MCQ 9 2 marks

Which of the following statements is likely to be most appropriate regarding required undertaking in accordance with the Companies Act, 2013?

A The referred provision mainly addresses self-interest threats to independence of auditors. The audit firm can give such an undertaking after verifying if it complies with such requirements.

B The referred provision mainly addresses self-review threats to independence of auditors. The audit firm can give such an undertaking after verifying if it complies with such requirements.

C The referred provision mainly addresses self-interest threats to independence of auditors. However, the audit firm can't give such an undertaking as such provisions are applicable to companies and not to banks.

D The referred provision mainly addresses self-review threats to independence of auditors. However, the audit firm can't give such an undertaking as such provisions are applicable to companies and not to banks.

MCQ 10 2 marks

The declaration relating to non-communication of information related to affairs of Bank is related to adherence to which fundamental principle governing professional ethics?

A Objectivity

B Confidentiality

C Independence

D Professional Competence and due care

MCQ 11 2 marks

MPM & Associates are required to report on adverse comments made by stock auditors of borrowers of branch enjoying cash credit facilities. Which of the following statements is most appropriate in this regard?

A Stock auditors make comments in their reports on valuation of security and calculation of drawing power.

B Stock auditors make comments in their reports on valuation of security only. However, no comments are made on calculation of drawing power.

C Stock auditors make comments in their reports on valuation of security, documentation made by bank in respect of sanctioned credit facilities, leakage of revenue and calculation of drawing power only.

D Stock auditors make comments in their reports on calculation of drawing power only.

MCQ 12 2 marks

Keeping in view matter of foreign letters of credits (FLCs) described in case scenario, consider following statements: -

1. Foreign letter of credit issued by branch is a non-funded loan.
2. Branch earns interest on issuance of foreign letter of credit which is credited in interest earned account of profit and loss account of branch.
3. The bank which receives foreign letter of credit is known as beneficiary bank.

Which of following statement(s) is/are true?

A Only statement 1 is correct.

B Only statements 1 and 3 are correct.

C Only statements 1 and 2 are correct.

D Only statements 2 and 3 are correct.

ICAI'S ANSWERS

MCQ 9

(A)

MCQ 10

(B)

MCQ 11

(A)

MCQ 12

(A)

ICAI · P5 · MTP Sep 2024 · Series II · question p. 5 · answer p. 1

1451 **MTP** **Sep 2024 S-II** **Q3(a)** **5 marks**

During the course of statutory branch audit of a nationalized bank, CA Amrish is performing audit procedures in relation to the advances. He has verified the selected sample of borrower accounts representing advances and found nothing unusual. In a banking environment, there exist documentary evidence containing observations/comments on advances which can be useful to the statutory branch auditor in performing an effective audit. List out few such documentary evidence which can be made use of by CA Amrish.

ICAI'S ANSWER

In a banking environment, there exist documentary evidence containing observations/comments on advances which can be useful to the statutory branch auditor in performing an effective audit. CA Amrish, the auditor should take into account the

adverse comments, if any, on advances appearing in the following:-

- Previous year's audit reports.
- Latest internal inspection reports of bank officials.
- Reserve Bank's latest inspection report.
- Concurrent / Internal audit report.
- Report on verification of security.
- Any other internal reports specially related to particular accounts.
- Manager's charge-handing-over report when incumbent is changed.

ICAI · P5 · MTP Sep 2024 · Series II · question p. 9 · answer p. 4-5

1452 MTP **May 2024 S-I**

Case Scenario 3 · MCQ 3.1 to MCQ 3.3

CASE SCENARIO 3

CA B is conducting statutory audit of branch of a nationalized bank. Saurabh, a CA student, is also part of engagement team conducting statutory branch audit. The field of bank branch audit is new to him and he is following instructions as required by engagement partner.

The engagement partner has asked him to prepare a summary of non-funded credit facilities outstanding as on balance sheet date. The following information

is appearing in branch's CBS data/records as on 31st March, 2023:

Serial number	Particulars in CBS (Core Banking solution)/records	Amount in ₹ crores
1.	Agricultural term loans	15.00
2.	Staff housing loans	3.50
3.	Staff vehicle loans	0.20
4.	Housing loans-General public	10.00
5.	Letters of credit issued	2.50
6.	Education loans	1.50
7.	Guarantees issued (Fully secured by 100% margin)	1.00
8.	Bills purchased and discounted	2.00
9.	Bills for collection	0.10

On going through listing of housing loans to general public, CA B notices that branch has sanctioned many housing loans of small ticket size ranging between ₹10.00 to ₹ 20 lakhs. Therefore, he has assessed risk of material misstatements to be high. As a consequence, he has designed procedures to perform tests of controls as well as substantive tests.

Saurabh has been further asked to go through SMA (Special Mention Accounts) jotting as on 30th November, 2022. Such reports are available from system on monthly frequency. Being new to such type of assignment, he is unable to understand relevance of above audit procedure mandated by engagement partner.

Based on above, answer the following questions:

MCQ 3.1

Considering table given in the case scenario, which of the following combinations is appropriate example of non- funded credit facilities provided by branch to its customers?

A Bills purchased and discounted; bills for collection

B Bills for collection; staff housing loans; letters of credit issued

C Bills purchased and discounted; letters of credit issued; guarantees issued (fully secured by 100% margin)

D Letters of credit issued, guarantees issued (fully secured by 100% margin)

MCQ 3.2

CA B's decision to perform both tests of controls as well as substantive tests was taken after he had assessed risk of material misstatement in financial statements to be high due to large number of small ticket size loans. Which Standard on Auditing deals with auditor's responsibility to design such tests?

A SA 500

B SA 330

C SA 300

D SA 315

MCQ 3.3

Saurabh is unable to understand relevance of going through SMA jotting as on 30th November, 2022. Which of following statements is most appropriate in this context?

A It would necessarily help auditor in identifying accounts with significant lending exposure.

B It would help auditor in identifying accounts which may involve downgrading from Sub-standard asset category to doubtful category.

C It would help auditor in identifying accounts where substantial recoveries have been received during the year.

D It would help auditor in identifying accounts which may involve downgrading from standard category to non-performing asset.

ICAI'S ANSWERS

MCQ 3.1

(D) Letters of credit issued; guarantees issued (fully secured by 100% margin)

MCQ 3.2

(B) SA 330

MCQ 3.3

(D) It would help auditor in identifying accounts which may involve downgrading from standard category to non-performing asset.

ICAI · P5 · MTP May 2024 · Series I · question p. 6-7 · answer p. 2

1453 MTP **May 2024 S-II** Q1(b) 4 marks

Following is the extract from Schedule no. 10 of Advances as appearing in financial statements of branch of a nationalized bank for year ending 31st March, 2024.

Schedule 10 - Advances

S. No.	Particulars	Amount (In ₹ Crores) rounded off
1.	Bills Purchased and Discounted	50.00
2.	Cash credits, overdrafts and loans repayable on demand	150.00
3.	Term Loans	75.00
	Total	**275.00**

In carrying out audit of above advances as part of statutory audit of branch, a statutory auditor would obtain evidence about certain matters. State those matters.

ICAI'S ANSWER

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following: -

(i) Amounts are included in balance sheet in respect of advances which are outstanding at the date of the balance sheet.

(ii) Advances represent amount due to the bank branch.

(iii) Amounts due to the bank branch are appropriately supported by loan documents and other documents as applicable to the nature of advances.

(iv) There are no unrecorded advances.

(v) The stated basis of valuation of advances is appropriate and properly applied and the recoverability of advances is recognised in their valuation.

(vi) The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

(vii) Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

ICAI · P5 · MTP May 2024 · Series II · question p. 8-9 · answer p. 2-3

1454 **MTP** **May 2024 S-II** Q5(a) **4 marks**

Column A describes description of certain terms used in banking industry. Complete Column B by suggesting term appropriate to description given.

Column A	Column B
Audit of borrower client of bank carried out at bank's request to verify borrower's current assets	?
Limit up to which an entity can withdraw from sanctioned working capital limit	?
Statutory right of a creditor to adjust debit balance in debtor's account against any credit balance lying in another account of debtor	?
Creation of security in a bank branch by mere delivery of title deeds by a prospective borrower of funds	?

ICAI'S ANSWER

Audit of borrower client of bank carried out at bank's request to verify borrower's current assets- **Stock audit**

Limit up to which an entity can withdraw from sanctioned working capital limit- **Drawing power**

Statutory right of a creditor to adjust debit balance in debtor's account against any credit balance lying in another account of debtor- **Set-off**

Creation of security in a bank branch by mere delivery of title deeds by a prospective borrower of funds- **Equitable Mortgage**

ICAI · P5 · MTP May 2024 · Series II · question p. 11 · answer p. 8

1455 MTP **Old P6 Nov 2023 S-I** Q6(e) 3 marks old scheme

Explain treatment of "Advances under Consortium" in the context of Prudential Norms on Asset Classification pertaining to Advances.

ICAI'S ANSWER

Advances under Consortium: Asset Classification of Consortium Advances should be based on the record of recovery of the respective individual member banks and other aspects having a bearing on the recoverability of the advances. Where the remittances by the borrower under consortium lending arrangements are pooled with one bank and/or where the bank receiving remittances is not parting with the share of other member banks, the account should be treated as not serviced in the books of the other member banks and therefore, an NPA.

The banks participating in the consortium, therefore, need to arrange to get their share of recovery transferred from the lead bank or to get an express consent from the lead bank for the transfer of their share of recovery, to ensure proper asset classification in their respective books.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 10 · answer p. 9

1456 MTP **Old P6 May 2023 S-I** General MCQ 9 1 mark

MCQ old scheme

Mrs. Reema has availed a Personal Loan for her Boutique of INR 5 lakhs and a Vehicle Loan to purchase an Activa Scooter for INR 60,000. She is regular in depositing EMI of the Activa Loan but has not made any payments towards the Personal Loan due to low business during the year. In this case, which of the following facilities should be categorized as NPA ?

A Activa Loan

B Personal Loan

C Higher of the two

D Both the Activa Loan & the Personal Loan

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP May 2023 · Series I · question p. 5 · answer p. 1

1457 MTP **Old P6 May 2023 S-I** Q6(a) 4 marks old scheme

When are following considered as non performing as per the RBI guidelines?

(i) Government guaranteed advances

(ii) Advances to staff

ICAI'S ANSWER

Government Guaranteed advances:

- Central Govt. guaranteed Advances, where the guarantee is not invoked/ repudiated would be

classified as Standard Assets, but regarded as NPA for Income Recognition purpose.

- The situation would be different if the advance is guaranteed by State Government, where advance is to be considered NPA if it remains overdue for more than 90 days for both Provisioning and Income recognition purposes.

Advances to Staff

Interest-bearing staff advances as a banker should be included as part of advances portfolio of the bank. In the case of housing loan or similar advances granted to staff members where interest is payable after recovery of principal, interest need not be considered as overdue from the first quarter onwards. Such loans/advances should be classified as NPA only when there is a default in repayment of installment of principal or payment of interest on the respective due dates. The staff advances by a bank as an employer and not as a banker are required to be included under the sub-head 'Others' under the schedule of Other Assets.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 7

1458 MTP **Old P6 May 2023 S-I** Q6(b) 4 marks old scheme

Explain pledge and set off as the modes of creation of security with respect to advance granted by a bank.

ICAI'S ANSWER

Pledge: A pledge involves bailment or delivery of goods by the borrower to the lending bank with the

intention of creating a charge thereon as security for the advance. The legal ownership of the goods remains with the pledger while the lending banker gets certain defined interests in the goods. The pledge of goods constitutes a specific (or fixed) charge.

Set-off: Set-off is a statutory right of a creditor to adjust, wholly or partly, the debit balance in the debtor's account against any credit balance lying in another account of the debtor. The right of set-off enables a bank to combine two accounts (a deposit account and a loan account) of the same person provided both the accounts are in the same name and same right (i.e., the capacity of the account holder in both the accounts should be the same).

For the purpose of set-off, all the branches of a bank are treated as one single entity. The right of set-off can be exercised in respect of time-barred debts also.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 7

1459 MTP **Old P6 May 2023 S-II** Q6(b) 4 marks old scheme

Same question, different ICAI answer: #1402 Old P6 Exam Dec 2021

In a bank, all accounts should be kept within the drawing power and the sanctioned limit. The accounts which exceed the sanctioned limit or drawing power should be brought to the notice of the management regularly. Analyse the following points to be considered

in the computation of drawing power in case of bank audit.

(i) Bank's Duties

(ii) Auditor's concern

(iii) Computation of DP

(iv) Stock audit

ICAI'S ANSWER

Computation of Drawing Power:

(i) Bank's Duties: Banks should ensure that drawings in the working capital account are covered by the adequacy of the current assets. Drawing power is required to be arrived at based on current stock statement. However, considering the difficulties of large borrowers, stock statements relied upon by the banks for determining drawing power should not be older than three months. The outstanding in the account based on drawing power calculated from stock statements older than three months is deemed as irregular.

(ii) Auditor's Concern: The stock statements, quarterly returns and other statements submitted by the borrower to the bank should be scrutinized in detail. The audited Annual Report submitted by the borrower should be scrutinized properly. The monthly stock statement of the month for which the audited accounts are prepared and submitted should be compared and the reasons for deviations, if any, should be ascertained.

(iii) Computation of DP: It needs to be ensured that the drawing power is calculated as per the extant guidelines formulated by the Board of Directors of the respective bank and agreed upon by the concerned statutory auditors. Special consideration should be given to proper reporting of sundry creditors for the purposes of calculating drawing power.

(iv) Stock Audit: The stock audit should be carried out by the bank for all accounts having funded exposure of more than 15 crores. Auditors can also advise for stock audit in other cases if the situation warrants the same. Branches should obtain the stock audit reports from lead bank in the cases where the Bank is not leader of the consortium of working capital. The report submitted by the stock auditors should be reviewed during the course of the audit and special focus should be given to the comments made by the stock auditors on valuation of security and calculation of drawing power.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 9

1460 MTP Old P6 Nov 2022 S-I General MCQ 9 1 mark

MCQ old scheme

Same question, different ICAI answer: #1419 Old P6 RTP May 2023

The term “Drawing Power” is associated with which of the following facilities as sanctioned by any Bank:

A Letter of Credit

B Term Loan

C Staff Advances

D Cash Credit Limit

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 5 · answer p. 1

1461 MTP **Old P6 Nov 2022 S-II**

Case Scenario 2 · MCQ 2.1 to MCQ 2.5 10 marks

old scheme

CASE SCENARIO 2

Rohan is part of an engagement team conducting statutory audit of branch of a nationalized bank. The financial statements to be audited include Balance sheet and Profit & Loss account of the branch drawn up in accordance with Form A and Form B respectively of the Third Schedule to the Banking Regulation Act, 1949. Besides, various advances and other returns are also to be verified as part of audit.

Rohan was part of all audit work pertaining to verification of deposits, advances, income and expenditure of the branch.

While verifying different items of profit and loss account, it was noticed that income included income on account of interest earned and other income.

The team also verified system of branch prior to sanction of advances like verifying creditworthiness of borrower etc. It was also verified whether there exists system for bringing to the notice of higher

authorities, accounts which exceed the sanctioned limits or drawing power. Besides, the team also verified whether there exists a system for review of operations in accounts once a year and more frequently in case of large advances.

During the course of audit, it was noticed that one advance, consisting of a term loan, having outstanding balance of ₹ 20 crore as on balance sheet date has been guaranteed by Uttar Pradesh government. The interest of term loan has remained overdue for more than 90 days. The branch has classified advance as non-performing asset and made applicable provision and reversed unrealized income. Rohan is perplexed as to whether classification, provisioning and reversal of unrealized income made by branch is proper.

The auditee branch is a CBS branch and uses FINACLE software. The core banking system (CBS) is the set of basic software components that manage the services provided by a bank to its customers through its branches. The bank's customers can execute their transactions from any branch, ATM, Service Outlets, Internet, Phone at their disposal. It helps banks to reduce risk that can result from manual data entry and out of date information. It also helps banks to improve service delivery quality and time to its customer. The software is accessed from different branches of bank via communication lines like telephones, satellite , internet, etc.

The engagement team has kept record of audit documentation in accordance with SA 230.

MCQ 2.1 2 marks

Which of the following does not constitute "Other income" in the profit and loss account of branch of a bank?

- A Discount on Bills purchased
- B Commission on Bills sent for collection
- C Loan processing fees
- D Credit card fees

MCQ 2.2 2 marks

Identify what the engagement team is trying to do in respect to advances of the branch.

- A The engagement team is carrying out analytical procedures in respect of advances.
- B The engagement team is carrying out substantive procedures in respect of advances.
- C The engagement team is evaluating internal control over advances.
- D The engagement team is trying to select samples for verification of advances.

MCQ 2.3 2 marks

Considering state government guaranteed advance of ₹20 crore and its NPA classification made by branch, which of the following statements is most appropriate?

A The branch has correctly classified account as NPA and has rightly made provisioning and reversal of unrealized income in this regard. Uttar Pradesh government guarantee has no effect on provisioning and income recognition.

B The branch has correctly classified account as NPA and has rightly made provisioning. However, unrealized income should not have been reversed due to Uttar Pradesh government guarantee.

C The branch should have classified account as Standard asset due to Uttar Pradesh government guarantee without having recourse to provisioning and reversal of un realized income.

D The branch should have classified account as Standard asset due to Uttar Pradesh government guarantee. No provisioning is required. However, for purposes of income recognition, it should be treated as NPA and unrealized income should be reversed.

MCQ 2.4 2 marks

The branch is operating in CBS environment. In view of above, which of the following statements is most appropriate?

A Due to CBS environment, substantive procedures alone are effective to reduce audit risk to an acceptably low level.

B In CBS environment, in most situations, the auditors' ability to reduce audit risk to an acceptably low level would be affected by the internal control systems established by the management.

C The extensive use of IT systems in CBS environment substantially reduces need to assess inherent and control risks.

D Low level of branch staff sensitisation to the control expectations of management requires fewer audit procedures.

MCQ 2.5 2 marks

With regards to audit documentation, consider the following: -

(P) NOC from previous auditor

(Q) Management certified trial balance of branch for year under consideration

(R) KYC verification details

(S) Latest RBI master directions/circulars

Which of the following statements is correct as regards to audit documentation?

A Only documents stated at Q and R form part of audit documentation.

B Only documents stated at Q, R and S form part of audit documentation.

C Only documents stated at Q and S form part of audit documentation.

D All documents stated at P, Q, R and S form part of audit documentation.

ICAI'S ANSWERS

MCQ 2.1

(A) Discount on Bills purchased

MCQ 2.2

(C) The engagement team is evaluating internal control over advances.

MCQ 2.3

(A) The branch has correctly classified account as NPA and has rightly made provisioning and reversal of unrealized income in this regard. Uttar Pradesh government guarantee has no effect on provisioning and income recognition.

MCQ 2.4

(B) In CBS environment, in most situations, the auditors' ability to reduce audit risk to an acceptably low level would be affected by the internal control systems established by the management.

MCQ 2.5

(D) All documents stated at P, Q, R and S form part of audit documentation.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 3-4 · answer p. 1

1462 MTP **Old P6 Nov 2022 S-II** General MCQ 5 1 mark

MCQ old scheme

You are part of an engagement team conducting statutory audit of branch of a nationalized bank. It is noticed that branch has sanctioned a cash credit limit

for meeting working capital requirements to a proprietary firm. The proprietor has also mortgaged his residential house in the city by depositing title deed with branch. Keeping in view above, consider the following table: -

Column X	Column Y
(1) Stocks of firm	(A) Primary Security
(2) Residential house	(B) Secondary security
(3) Mode of security creation for residential house	(C) Registered Mortgage
(4) Debtors of firm	(D) Equitable Mortgage
(5) Mode of security creation for stocks and debtors	(E) Collateral security
	(F) Hypothecation

Identify the most appropriate combination by matching Column X with Column Y: -

A 1-A, 2-B,3-D,4-A,5-C

B 1-A,2-E,3-D,4-A,5-F

C 1-A,2-B,3-C,4-B,5-D

D 1-A,2-E,3-D,4-B,5-D

ICAI'S ANSWER

Option (B)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 6 · answer p. 1

1463 MTP **Old P6 Nov 2022 S-II** Q6(a) 4 marks old scheme

When is an agricultural advance considered as non performing as per the RBI guidelines?

ICAI'S ANSWER

As per the guidelines, Agricultural Advances are of two types:

(1) Agricultural Advances for "long duration" crops; and

(2) Agricultural Advances for "short duration" crops.

The "long duration" crops would be crops with crop season longer than one year and crops, which are not "long duration" crops would be treated as "short duration" crops.

The crop season for each crop, which means the period up to harvesting of the crops raised, would be as determined by the State Level Bankers' Committee in each State.

The following NPA norms would apply to agricultural advances (including Crop Term Loans):

- A loan granted for short duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for two crop seasons; and

- A loan granted for long duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for one crop season.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 7

1464 MTP **Old P6 Nov 2022 S-II Q6(b)** 4 marks old scheme

Explain hypothecation and assignment as the modes of creation of security with respect to advance granted by a bank.

ICAI'S ANSWER

Hypothecation:

The hypothecation is the creation of an equitable charge (i.e., a charge created not by an express enactment but by equity and reason), which is created in favor of the lending bank by execution of hypothecation agreement in respect of the moveable securities belonging to the borrower.

Neither ownership nor possession is transferred to the bank. However, the borrower holds the physical possession of the goods as an agent/trustee of the bank. The borrower periodically submits statements regarding quantity and value of hypothecated assets (stocks, debtors, etc.) to the lending banker on the basis of which the drawing power of the borrower is fixed.

Assignment:

Assignment represents a transfer of an existing or future debt, right or property belonging to a person in favor of another person. Only actionable claims (i.e., claim to any debt other than a debt secured by a mortgage of immovable property or by hypothecation or pledge of moveable property) such as book debts and life insurance policies are accepted by banks as security by way of assignment. An assignment gives the assignee absolute right over the moneys/debts assigned to him.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 7-8

1465 MTP **Old P6 May 2022 S-I** General MCQ 6 1 mark

MCQ old scheme

The auditors should classify Credit card accounts as NPA, if _____ amount due, as mentioned in the credit card statement is not paid fully within _____ days from next statement date.

A Total, 90

B Minimum, 90

C Minimum, 30

D Minimum, 60

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 6 · answer p. 1

1466 MTP **Old P6 May 2022 S-I** General MCQ 8 1 mark
MCQ old scheme

Also asked in Old P6 MTP Nov 2020 S-I General MCQ 3

A Ltd. has been assigned a Cash Credit limit of INR 20 lacs as against its Book Debts furnished as security. What kind of Security creation is it?

A Pledge

B Mortgage

C Assignment

D Set-off

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 6 · answer p. 1

1467 MTP **Old P6 May 2022 S-I** Q6(a) 4 marks old scheme

The auditor should examine the efficacy of various internal controls over advances to determine the nature, timing and extent of his substantive procedures. Explain this statement.

ICAI'S ANSWER

The auditor should examine the efficacy of various internal controls over advances to determine the nature, timing and extent of his substantive procedures. In general, the internal controls over advances should include, *inter alia*, the following:

- The bank should make an advance only after satisfying itself as to the credit worthiness of the

borrower and after obtaining sanction from the appropriate authorities of the bank.

- All the necessary documents (e.g., agreements, demand promissory notes, letters of hypothecation, etc.) should be executed by the parties before advances are made.
- The compliance with the terms of sanction and end use of funds should be ensured.
- Sufficient margin as specified in the sanction letter should be kept against securities taken so as to cover for any decline in the value thereof. The availability of sufficient margin needs to be ensured at regular intervals.
- If the securities taken are in the nature of shares, debentures, etc., the ownership of the same should be transferred in the name of the bank and the effective control of such securities be retained as a part of documentation.
- All securities requiring registration should be registered in the name of the bank or otherwise accompanied by documents sufficient to give title to the bank.
- In the case of goods in the possession of the bank, contents of the packages should be test checked at the time of receipt. The godowns should be frequently inspected by responsible officers of the branch concerned, in addition to the inspectors of the bank.
- Drawing Power Register should be updated every month to record the value of securities

hypothecated. These entries should be checked by an officer.

- The accounts should be kept within both the drawing power and the sanctioned limit.
- All the accounts which exceed the sanctioned limit or drawing power or are otherwise irregular should be brought to the notice of the controlling authority regularly.
- The operation of each advance account should be reviewed at least once a year and at more frequent intervals in the case of large advances.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 10

1468 MTP **Old P6 May 2022 S-I** Q6(c) 4 marks old scheme

Explain the categories of Agricultural Advances in case of Banks and related NPA norms.

ICAI'S ANSWER

As per the guidelines, Agricultural Advances are of two types:

(1) Agricultural Advances for "long duration" crops; and

(2) Agricultural Advances for "short duration" crops.

The "long duration" crops would be crops with crop season longer than one year and crops, which are not "long duration" crops would be treated as "short duration" crops.

The crop season for each crop, which means the period up to harvesting of the crops raised, would

be as determined by the State Level Bankers' Committee in each State.

The following NPA norms would apply to agricultural advances (including Crop Term Loans):

- A loan granted for short duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for two crop seasons; and
- A loan granted for long duration crops will be treated as NPA, if the instalment of principal or interest thereon remains overdue for one crop season.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 11

1469 MTP **Old P6 Dec 2021 S-I Q6(a)** 4 marks old scheme

"There is no difference in provisioning of NPA as regards to categories of NPA, whether the debt is secured or unsecured." Critically evaluate the statement on the basis of provisioning norms of NPA of nationalised bank stating clearly the provision percent required.

ICAI'S ANSWER

Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise. Further, asset classification would be borrower-wise and not facility-wise. All facilities

including investments in securities would be termed as NPA.

There are different provisioning requirements as regards to categories of NPA such as Sub-standards assets, Doubtful assets and loss assets which are given below:

Categories of Non-Performing Assets:	Provision required
• **Substandard Assets:** Would be one, which has remained NPA for a period less than or equal to 12 months.	15%
• **Doubtful Assets:** Would be one, which has remained in the substandard category for a period of 12 months.	Secured+ Unsecured
• **Sub-categories**:	
Doubtful up to 1 Year (D1)	25% + 100%
Doubtful 1 to 3 Years (D2)	40% + 100%
Doubtful more than 3 Years (D3)	100% + 100%

Categories of Non-Performing Assets:	Provision required
• **Loss Assets:** Would be one, where loss has been identified by the bank or internal or external auditors or the RBI inspection but the amount has not been written off wholly.	100%

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 8

1470 MTP **Old P6 Jul 2021 S-II** Q6(e) 3 marks old scheme

Banks ask Security or Collateral while lending to assure that the Borrower will return the money to bank in prescribed time. Explain stating clearly the concept of Primary and Collateral Security. Also give examples of most common types of securities accepted by banks.

ICAI'S ANSWER

Banks ask Security or Collateral while lending to assure that the Borrower will return the money to bank in prescribed time else the Banks have legal authority to sell the collateral to recover its money.

Nature of Security

A. Primary security refers to the security offered by the borrower for bank finance or the one against which credit has been extended by the bank. This security is the principal security for an advance.

B. Collateral security is an additional security. Security can be in any form i.e. tangible or

intangible asset, movable or immovable asset.

Examples of most common types of securities accepted by banks are the following:

- Personal Security of Guarantor
- Goods/Stocks/Debtors/Trade Receivables
- Gold Ornaments and Bullion
- Immovable Property
- Plantations (For Agricultural Advances)
- Third Party Guarantees
- Banker's General Lien
- Life Insurance Policies
- Stock Exchange Securities and Other Instruments

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 6 · answer p. 8

1471 MTP **Old P6 Nov 2019 S-I Q6(b)** 4 marks old scheme

Your firm of Chartered Accountants has been appointed as the Auditor of two branches of OBC which are located in the Industrial area. Considering that the location of the branches of bank in industrial area, these would be "advances oriented branches and audit of advances would require the major attention of the auditors. Advise how would you proceed to obtain evidence in respect of audit of advances.

ICAI'S ANSWER

Audit of Advances: Advances generally constitute the major part of the assets of the bank. There are large number of borrowers to whom variety of

advances are granted. The audit of advances requires the major attention from the auditors.

In carrying out audit of advances, the auditor is primarily concerned with obtaining evidence about the following:

a. Amounts included in balance sheet in respect of advances are outstanding at the date of the balance sheet.

b. Advances represent amount due to the bank.

c. Amounts due to the bank are appropriately supported by Loan documents and other documents as applicable to the nature of advances.

d. There are no unrecorded advances.

e. The stated basis of valuation of advances is appropriate and properly applied, and that the recoverability of advances is recognised in their valuation.

f. The advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements.

g. Appropriate provisions towards advances have been made as per the RBI norms, Accounting Standards and generally accepted accounting practices.

The auditor can obtain sufficient appropriate audit evidence about advances by study and evaluation of internal controls relating to advances, and by:

- examining the validity of the recorded amounts;
- examining loan documentation;
- reviewing the operation of the accounts;
- examining the existence, enforceability and valuation of the security;
- checking compliance with RBI norms including appropriate classification and provisioning; and
- carrying out appropriate analytical procedures.

In carrying out his substantive procedures, the auditor should examine all large advances while other advances may be examined on a sampling basis. The accounts identified to be problem accounts however need to be examined in detail unless the amount involved is insignificant.

Advances which are sanctioned during the year or which are adversely commented by RBI inspection team, concurrent auditors, bank's internal inspection, etc. should generally be included in the auditor's review.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 10-11

10.4 Audit of revenue items in banks

15 questions · asked in 13 ICAI documents · 2 exam papers

1472 EXAM **Sep 2026** MCQ 13 2 marks MCQ

CA D, one of the partners of DEF & Co., along with his audit team commenced the audit of LMN Bank for the year ending 31.03.2026. Advances which constituted a high risk and high materiality area, was handled by CA D himself. The other areas were distributed amongst the various team members.

One of the team members, Ms. Naina was assigned the job of verifying the interest expenses of Bank. Which of the following points noted by Ms. Naina are incorrect while verifying calculation of interest ?

(i) Interest has been accurately provided on all deposits upto the date of maturity of the deposit irrespective of the financial year.

(ii) Interest rates are in accordance with the bank's internal regulations, the RBI directives and agreements with the respective deposit holder.

(iii) Interest on savings accounts are in accordance with the rules framed by the bank/RBI in this behalf.

(iv) No Interest should be provided on inter-branch balances since the accounts are consolidated at the head office.

A (i) and (iv)

B (ii) and (iii)

C (ii) and (iv)

D only (i)

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P5 · Sep 2026 exam · question p. 11

1473 **EXAM** **Sep 2024** Q6(a) **4 marks**

You are the auditor of Plus Bank Limited. The bank has made following provisions for the year ended on 31.03.2024:

Particulars	Amount (₹ in crores)
Provision for Bad Debts	66
Provision for Sub-standard Assets	78
Provision for Expenses	24
Provision for Income Tax	55

You are in the process of verifying the provisions and contingencies of the bank. What audit approach and procedures will you adopt to verify the above?

ICAI'S ANSWER

For audit of provisions and contingencies the auditor should:

- ensure that the compliances for various regulatory requirements for provisioning as

contained in the various circulars have been fulfilled.

- obtain an understanding as to how the bank computes provision on standard assets and non-performing assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets. The auditor may verify the loan classification on a sample basis.
- obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger.
- obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation.
- examine the other provisions for expenses vis-a-vis the circumstances warranting the provisioning and the adequacy of the same by discussing and obtaining the explanations from the bank's management.

ICAI · P5 · Sep 2024 exam · question p. 26 · answer p. 27-28

1474 **RTP** **May 2025** **Q18**

While conducting the statutory audit of a large branch of KNB Bank for the year 2023-24, CA Hema observed that Profit and Loss account of branch reflects interest

income of ₹ 80 crores and other income of ₹ 5 crores. She also noticed that few borrower accounts at branch have slipped into NPA category in past periods as well as in current year. Which audit procedures should be performed by her to verify reversal of income in the books of branch?

ICAI'S ANSWER

The following audit procedures should be performed to verify reversal of income in books of branch:

- If any advance, including bills purchased and discounted, becomes NPA as at the close of any year, the entire interest accrued and credited to income account in the past periods, should be reversed or provided for if the same is not realised. This will apply to Government guaranteed accounts also.
- In respect of NPAs, fees, commission and similar income that have accrued should cease to accrue in the current period and should be reversed or provided for with respect to past periods, if uncollected.
- Further, in case of banks which have wrongly recognised income in the past should reverse the interest if it was recognised as income during the current year or make a provision for an equivalent amount if it was recognised as income in the previous year(s).
- Furthermore, the auditor should enquire if there are any large debits in the Interest Income

account that have not been explained. It should be enquired whether there are any communications from borrowers pointing out differences in interest charge and whether appropriate action has been taken in this regard.

ICAI · P5 · RTP May 2025 · question p. 7 · answer p. 15

1475 **RTP** **May 2025** **Q19**

CBC Bank Ltd. has multiple loan accounts classified as Non-Performing Assets (NPAs). During the financial year, some borrowers made partial payments towards their outstanding dues. However, there was no explicit agreement between the bank and the borrowers regarding the appropriation of these recoveries i.e., whether they should be adjusted against principal or interest.

The bank's finance team decided to recognise the recovered amount as interest income in its financial statements. However, during the statutory audit, the auditors raised concerns about the treatment of these recoveries.

Discuss the appropriate accounting treatment of partial recoveries in NPAs. Also, explain the principles that banks should follow in recognising interest income from NPAs.

ICAI'S ANSWER

Appropriate accounting treatment of partial

recoveries in NPAs:

In the absence of a clear agreement between the bank and the borrower for the purpose of appropriation of recoveries in NPAs (i.e., towards principal or interest due), banks are required to adopt an accounting policy and exercise the right of appropriation of recoveries in a uniform and consistent manner.

The appropriate policy to be followed is to recognise income as per AS 9, “Revenue Recognition”, when certainty attaches to realisation and accordingly amount reversed/derecognised or not recognised in the past should be accounted.

Interest partly/fully realised in NPAs can be taken to income. However, it should be ensured that the credits towards interest in the relevant accounts are not out of fresh/additional credit facilities sanctioned to the borrowers concerned.

ICAI · P5 · RTP May 2025 · question p. 7-8 · answer p. 15-16

1476 **RTP** **Old P6 May 2023** Q26 old scheme

Same question, different ICAI answer: #1482 Old P6 MTP May 2023 S-II · #1483 Old P6 MTP Nov 2022 S-I

Explain the audit approach you would follow to check the Operating Expenses of a Bank.

ICAI’S ANSWER

Auditing the Operating Expenses of a Bank:-

(a) **Internal Controls:** The auditor should study and evaluate the system of internal control relating to expenses, including authorization procedures in order to determine the nature, timing and extent of his other audit procedures.

(b) **Divergent Trends:** The auditor should examine whether there are any divergent trends in respect of major items of expenses.

(c) **Substantive analytical Procedures:** The auditor should perform substantive analytical procedures in respect of these expenses. eg. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years.

(d) **Vouching & Verification:** The auditor should also verify expenses with reference to supporting documents and check the calculations wherever required.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 27

1477 RTP **Old P6 May 2022** Case scenario · Q27(a) to Q27(b)

old scheme

CASE SCENARIO

Explain the following in the context of Bank audit:

Q27(a)

For audit of operating expenses, the auditor should study and evaluate the system of internal control relating to expenses.

Q27(b)

For audit of Provisions and contingencies, the auditor should ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled.

ICAI'S ANSWERS

Q27(a)

For audit of operating expenses, the auditor should study and evaluate the system of internal control relating to expenses, including authorization procedures in order to determine the nature, timing and extent of his other audit procedures. The auditor should examine whether there are any divergent trends in respect of major items of expenses. The auditor should perform substantive analytical procedures in respect of these expenses. e.g. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years. The auditor should also verify expenses with reference to supporting documents and check the calculations wherever required.

Q27(b)

For audit of Provisions and contingencies, the auditor should ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled. The auditor should obtain an understanding as to how the bank computes provision on standard assets and non-performing

assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets. The auditor may verify the loan classification on a sample basis.

The auditor should obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger. The auditor should obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation. The other provisions for expenses should be examined vis-a-vis the circumstances warranting the provisioning and the adequacy of the same by discussing and obtaining the explanations from the bank's management.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 32

1478 **RTP** **Old P6 Dec 2021** Q27 old scheme

Also asked in Old P6 RTP May 2020 Q26

In carrying out an audit of interest expense, the auditor is primarily concerned with assessing the overall reasonableness of the amount of interest expense. Analyse and explain stating the audit approach and procedure in regard to interest expense.

ICAI'S ANSWER

In carrying out an audit of interest expense, the auditor is primarily concerned with assessing the overall reasonableness of the amount of interest expense by analysing ratios of interest paid on different types of deposits and borrowings to the average quantum of the respective liabilities during the year. In modern day banking, the entries for interest expenses are automatically generated through a batch process in the CBS system.

The auditor should obtain from the bank an analysis of various types of deposits outstanding at the end of each quarter. From such information, the auditor may work out a weighted average interest rate. The auditor may then compare this rate with the actual average rate of interest paid on the relevant deposits as per the annual accounts and enquire into the difference, if material.

The auditor should also compare the average rate of interest paid on the relevant deposits with the corresponding figures for the previous years and analyse any material differences.

The auditor should obtain general ledger break-up for the interest expense incurred on deposits (savings and term deposits) and borrowing each month/quarter. The auditor should analyse month on month (or quarter on quarter) cost analysis and document the reasons for the variances as per the benchmark stated. He should examine whether the interest expense considered in the cost analysis

agrees with the general ledger. The auditor should understand the process of computation of the average balance and re-compute the same on sample basis.

The auditor should, on a test check basis, verify the calculation of interest and ensure that:

(a) Interest has been provided on all deposits upto the date of the balance sheet;

(b) Interest rates are in accordance with the bank's internal regulations, the RBI directives and agreements with the respective deposit holder;

(c) Interest on savings accounts are in accordance with the rules framed by the bank/RBI in this behalf.

(d) Interest on inter–branch balances has been provided at the rates prescribed by the head office/RBI.

The auditor should ascertain whether there are any changes in interest rate on saving accounts and term deposits during the period. The auditor should obtain the interest rate card for various types of deposits and analyse the interest cost for the period accordingly.

The auditor should examine the completeness that interest has been accrued on the entire borrowing portfolio and the same should agree with the general ledgers. The auditor should re-compute the interest accrual i.e., by referring to the parameters like frequency of payment of interest amount, rate

of interest, period elapsed till the date of balance sheet, etc. from the term sheet, deal ticket, agreements, etc. and ensure that the recomputed amount is tallying with the amount as per books of accounts without any significant difference.

ICAI · Old P6 · RTP Dec 2021 · question p. 126 · answer p. 143-144

1479 RTP **Old P6 May 2020** Q27 old scheme

In view of the significant uncertainty regarding ultimate collection of income arising in respect of non-performing assets, the guidelines require that banks should not recognize income on non-performing assets until it is actually realised. When a credit facility is classified as non-performing for the first time, interest accrued and credited to the income account in the corresponding previous year which has not been realized should be reversed or provided for. This will apply to Government guaranteed accounts also. Analyse and Explain.

ICAI'S ANSWER

Reversal of Income:

If any advance, including bills purchased and discounted, becomes NPA as at the close of any year, the entire interest accrued and credited to income account in the past periods, should be reversed or provided for if the same is not realised. This will apply to Government guaranteed accounts also.

In respect of NPAs, fees, commission and similar income that have accrued should cease to accrue in

the current period and should be reversed or provided for with respect to past periods, if uncollected.

Further, in case of banks which have wrongly recognised income in the past should reverse the interest if it was recognised as income during the current year or make a provision for an equivalent amount if it was recognized as income in the previous year(s).

Furthermore, the auditor should enquire if there are any large debits in the Interest Income account that have not been explained. It should be enquired whether there are any communications from borrowers pointing out differences in interest charge and whether appropriate action has been taken in this regard.

ICAI · Old P6 · RTP May 2020 · question p. 10 · answer p. 26-27

1480 MTP **Sep 2026 S-II** Q6(c) 4 marks

You are the auditor of a bank. During the audit, you are required to verify the provisions and contingencies recognised by the bank for the year.

What audit approach and procedures would you adopt for verifying the provisions and contingencies of the bank?

ICAI'S ANSWER

For audit of provisions and contingencies the

auditor should:

- ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled.
- obtain an understanding as to how the bank computes provision on standard assets and non-performing assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets. The auditor may verify the loan classification on a sample basis.
- obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger.
- obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation.
- examine the other provisions for expenses vis-a-vis the circumstances warranting the provisioning and the adequacy of the same by discussing and obtaining the explanations from the bank's management.

ICAI · P5 · MTP Sep 2026 · Series II · question p. 17 · answer p. 16

1481 MTP **May 2026 S-I** Q2(b) 5 marks

You are the statutory auditor of ABC Bank Ltd., a scheduled commercial bank having 350 branches across India. During the audit for the year ended 31st March 2025, you observe the following:

- Operating expenses have increased by 28% compared to the previous year, whereas total income has increased only by 10%.
- Significant increase is noted in Staff Welfare Expenses, IT Maintenance Charges and Rent.
- Certain branch managers have discretionary powers to incur expenses up to specified limits.
- The Bank has recently migrated to a centralised expense processing system.
- Internal audit reports indicate delays in submission of supporting documents in few regional offices.

As the statutory auditor, explain the audit procedures you would perform in respect of Operating Expenses of the Bank.

ICAI'S ANSWER

In the given case of ABC Bank Ltd., there is a substantial increase in operating expenses disproportionate to growth in income, along with system changes and decentralised authorisation. Accordingly, the auditor needs to design audit procedures addressing both control and substantive aspects.

The auditor should:

- study and evaluate the system of internal control relating to expenses, including authorisation procedures in order to determine the nature, timing and extent of his other audit procedures. (Considering that branch managers have discretionary powers and the bank has migrated to a centralised expense system, special attention should be given to approval hierarchies, maker-checker controls, system-based authorization limits, and monitoring controls.)
- examine whether there are any divergent trends in respect of major items of expenses.
  (In the present case, abnormal increase in staff welfare expenses, IT maintenance charges and rent requires detailed trend analysis branch-wise and region-wise to identify unusual patterns.)
- perform substantive analytical procedures in respect of these expenses. e.g. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years.
  (The auditor may also compare expense ratios with industry averages of other scheduled commercial banks and correlate expenses with number of branches, employee strength and business volume.)
- verify expenses with reference to supporting documents and check the calculations wherever

required.
(Particular emphasis should be placed on high-value payments, year-end provisions, related party transactions and expenses incurred at branches where internal audit observations were adverse.)

In view of the significant increase in operating expenses and control weaknesses indicated by internal audit reports, the auditor should adopt a risk-based approach combining evaluation of internal controls, analytical procedures and detailed substantive testing. If adequate audit evidence is obtained and no material misstatements are found, the auditor may conclude that operating expenses are fairly stated. However, any material weakness in internal controls or unexplained abnormal trends may require appropriate reporting in the audit report or Long Form Audit Report (LFAR), as applicable to banks.

ICAI · P5 · MTP May 2026 · Series I · question p. 11 · answer p. 5-6

1482 MTP **Old P6 May 2023 S-II** Q6(a) 4 marks old scheme

Same question, different ICAI answer: #1476 Old P6 RTP May 2023 · #1483 Old P6 MTP Nov 2022 S-I

Explain the audit approach you would follow to check the Operating Expenses of a Bank.

ICAI'S ANSWER

Audit Approach while Auditing the Operating

Expenses of a Bank:

(i) Internal Controls: The auditor should study and evaluate the system of internal control relating to expenses, including authorization procedures in order to determine the nature, timing and extent of his other audit procedures.

(ii) Divergent Trends: The auditor should examine whether there are any divergent trends in respect of major items of expenses.

(iii) Substantive analytical Procedures: The auditor should perform substantive analytical procedures in respect of these expenses. eg. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years.

(iv) Vouching & Verification: The auditor should also verify expenses with reference to supporting documents and check the calculations wherever required.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 8 · answer p. 9

1483 MTP **Old P6 Nov 2022 S-I** Q6(a) 4 marks old scheme

Same question, different ICAI answer: #1476 Old P6 RTP May 2023 · #1482 Old P6 MTP May 2023 S-II

Explain the audit approach you would follow to check the Operating Expenses of a Bank.

ICAI'S ANSWER

Auditing the Operating Expenses of a Bank:

(i) **Internal Controls:** The auditor should study and evaluate the system of internal control relating to expenses, including authorization procedures in order to determine the nature, timing and extent of his other audit procedures.

(ii) **Divergent Trends:** The auditor should examine whether there are any divergent trends in respect of major items of expenses.

(iii) **Substantive analytical Procedures:** The auditor should perform substantive analytical procedures in respect of these expenses. eg. assess the reasonableness of expenses by working out their ratio to total operating expenses and comparing it with the corresponding figures for previous years.

(iv) **Vouching & Verification:** The auditor should also verify expenses with reference to supporting documents and check the calculations wherever required.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 8

1484 MTP **Old P6 May 2022 S-II** Q6(a) 4 marks old scheme

In carrying out audit of income, the auditor is primarily concerned with obtaining reasonable assurance that the recorded income arose from transactions, which took place during the relevant period and pertained to the bank, there is no unrecorded income and the income is recorded at appropriate amount. Explain the

Audit Approach and Procedures regarding following points in the above context :

(i) RBI's Directions

(ii) Materiality

(iii) Revenue Certainty

(iv) Revenue Uncertainty

ICAI'S ANSWER

Audit Approach and Procedures

- **Auditor's Concern:** In carrying out audit of income, the auditor is primarily concerned with obtaining reasonable assurance that the recorded income arose from transactions, which took place during the relevant period and pertained to the bank, there is no unrecorded income and the income is recorded at appropriate amount.
- **RBI's Directions:** RBI has advised that in respect of any income which exceeds one percent of the total income of the bank if the income is reckoned on a gross basis or one percent of the net profit before taxes if the income is reckoned net of costs, should be considered on accrual as per Accounting Standard 9.
- **Materiality:** If any item of income is not considered to be material as per the above norms, it may be recognised when received and the auditors need not qualify their report in that situation.

- **Revenue Certainty:** Banks recognise income (such as interest, fees and commission) on accrual basis, i.e., as it is earned. It is an essential condition for accrual of income that it should not be unreasonable to expect its ultimate collection. In modern day banking, the entries for interest income on advances are automatically generated through a batch process in the CBS system.
- **Revenue Uncertainty:** In view of the significant uncertainty regarding ultimate collection of income arising in respect of non-performing assets, the guidelines require that banks should not recognize income on non-performing assets until it is actually realised. When a credit facility is classified as non-performing for the first time, interest accrued and credited to the income account in the corresponding previous year which has not been realized should be reversed or provided for. This will apply to Government guaranteed accounts also.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 8 · answer p. 8-9

1485 MTP **Old P6 Nov 2020 S-I** Q4(a) 4 marks old scheme

Your firm of Chartered Accountants has been appointed as auditor of a Nationalised bank. Explain how will you proceed to carry out audit of provisions and contingencies.

ICAI'S ANSWER

For audit of Provisions and contingencies, the auditor should ensure that the compliances for various regulatory requirements for provisioning as contained in the various circulars have been fulfilled. The auditor should obtain an understanding as to how the bank computes provision on standard assets and non-performing assets. It will primarily include checking the basis of classification of loans and receivables into standard, sub-standard, doubtful, loss and non-performing assets. The auditor may verify the loan classification on a sample basis.

The auditor should obtain the detailed break up of standard loans, non-performing loans and agree the outstanding balances with the general ledger. The auditor should obtain the tax provision computation from the bank's management and verify the nature of items debited and credited to profit and loss account to ascertain that the same are appropriately considered in the tax provision computation. The other provisions for expenses should be examined vis-a-vis the circumstances warranting the provisioning and the adequacy of the same by discussing and obtaining the explanations from the bank's management.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 4

CHAPTER 11

Ethics and Terms of Audit Engagements

11.1 Professional ethics and the fundamental principles

25 questions · asked in 14 ICAI documents · 4 exam papers

1486 EXAM Jan 2025 Case scenario · Q6(c)(i) to Q6(c)(ii) 4 marks

CASE SCENARIO

Identify and explain the fundamental principles being referred to in the following cases.

Q6(c)(i) 2 marks

Professional accountants should act diligently and in accordance with applicable technical and professional standards while providing professional services.

Q6(c)(ii) 2 marks

A professional accountant shall not knowingly be associated with reports where he believes that the information contains a materially false or misleading statement.

ICAI'S ANSWERS

ICAI's working for this case

Fundamental Principles:

Q6(c)(i)

Act diligently and in accordance with applicable technical and professional standards: In the given

case, professional competence and due care fundamental principle is being referred to since a professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and act diligently and in accordance with applicable technical and professional standards.

Q6(c)(ii)

A professional accountant shall not knowingly be associated with reports where he believes that the information contains a materially false or misleading statement: In the given case, integrity fundamental principle is being referred to, it prescribes that a professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. Integrity implies fair dealing and truthfulness.

ICAI · P5 · Jan 2025 exam · question p. 29 · answer p. 31

1487 **EXAM** **Sep 2024** **Q6(b)** **4 marks**

CA P is a professional accountant in service. In terms of employment and professional relationships with employer he has to be alert to the possibility of

inadvertent disclosure of any information outside the employing organization. However, in view of disclosure required by law, CAP had to divulge the information and documents as evidence in course of legal proceedings. Whether CA P has violated any fundamental principle governing professional ethics in this case? Explain.

ICAI'S ANSWER

Confidentiality principle requires a professional accountant to respect the confidentiality of information acquired as a result of professional or business relationships. Confidentiality serves the public interest because it facilitates the free flow of information from the professional accountant's client or employing organization to the accountant with the understanding that the information will not be disclosed to a third party.

However, such confidential information may be disclosed, for example, when it is required by law, when it is permitted by law and is authorised by the client or employer or there is a professional duty or right to disclose when not prohibited by law.

In the given situation, CA P, who is a professional accountant in service, and in terms of employment and professional relationships with the employer he is alert to the possibility of inadvertent disclosures of any information outside the employing organization. However, CA P had to divulge the information and documents as evidence in the course of legal proceedings and same was required

by law. Therefore, CA. P will not be held responsible for violation of fundamental principle of "Confidentiality" governing professional ethics.

ICAI · P5 · Sep 2024 exam · question p. 27 · answer p. 29

1488 **EXAM** **May 2024** Q5(c) **3 marks**

A professional accountant is expected to comply with the fundamental principles of professional ethics at all times. Explain which fundamental principle governing professional ethics is violated in the following situations?

(1) A chartered accountant in practice accepted the appointment as an auditor of a firm in which his sister was a partner.

(2) A chartered accountant in practice was approached by his friend to seek some insider information about a company, which was a client of the chartered accountant. He could not refuse his friend's request.

(3) A chartered accountant in practice failed to inform his client about the change in laws applicable to his client.

ICAI'S ANSWER

Fundamental Principles:

(1) **Objectivity:** The principle of objectivity requires that a professional accountant shall not undertake a professional activity if a circumstance or relationship unduly influences the accountant's professional judgment regarding that activity.

Objectivity principle will be violated in the given situation where a chartered accountant in practice accepted the appointment as an auditor of a firm in which his sister was a partner.

(2) **Confidentiality:** Confidentiality principle requires a professional accountant to respect the confidentiality of information acquired as a result of professional or business relationships. Confidentiality principle will be violated in the given situation where a chartered accountant in practice could not refuse his friends requested to seek some insider information about a client company of the chartered accountant.

(3) **Professional Competence and Due care:** A professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and act diligently and in accordance with applicable technical and professional standards. Professional Competence and Due Care principle will be violated in the situation where a chartered accountant in practice failed to inform his client about the change in laws applicable to his client.

ICAI · P5 · May 2024 exam · question p. 15-16 · answer p. 17

1489 EXAM Old P6 Jan 2021 Q2(a) 4 marks old scheme

Explain the fundamental principles of professional ethics relevant to the auditor when conducting an audit of financial statements in accordance with Code of Ethics issued by ICAI.

ICAI'S ANSWER

The auditor is subject to relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements. Relevant ethical requirements ordinarily comprise the Code of Ethics issued by the Institute of Chartered Accountants of India.

The Code establishes the following as the fundamental principles of professional ethics relevant to the auditor when conducting an audit of financial statements and provides a conceptual framework for applying those principles;

(a) Integrity;

(b) Objectivity;

(c) Professional competence and due care;

(d) Confidentiality; and

(e) Professional behaviour.

ICAI · Old P6 · Jan 2021 exam · question p. 2 · answer p. 3

1490 RTP Sep 2026

Integrated Case Scenario (MCQs 1–5) · Q1 to Q5

INTEGRATED CASE SCENARIO (MCQS 1–5)

CA Arjun, the statutory auditor of XYZ Ltd., was engaged to conduct the audit of the financial statements for the financial year 2025-26. During the year, the company undertook a complex cross-border restructuring involving overseas subsidiaries, extensive import-export transactions and compliance with applicable foreign exchange regulations. Before accepting and continuing the engagement, CA Arjun ensured that the engagement team possessed the necessary professional competence, industry expertise and updated technical knowledge required for auditing such specialised transactions and regulatory matters.

During the course of the audit, CA Arjun identified instances of delayed realisation of export proceeds and related non-compliances with applicable foreign exchange regulations.

Management represented that the delays were temporary and expected to be resolved through ongoing negotiations with overseas customers. Management further requested that these matters should not be specifically highlighted in the audit documentation or communications with those charged with governance. Considering the company's long-standing relationship with his firm and the possibility of losing future assignments, CA Arjun intentionally avoided adequately documenting

and communicating these identified non-compliances, although he continued to perform other audit procedures in accordance with the Standards on Auditing.

While auditing trade receivables arising largely from overseas operations affected by restructuring, CA Arjun obtained an ageing analysis which showed that more than 60% of receivable balances were outstanding for more than 180 days. Management explained that the delays were industry-wide and assured the auditor that the amounts were fully recoverable based on ongoing restructuring negotiations and expected settlement arrangements. The auditor, however, neither obtained external confirmations from major debtors nor examined subsequent receipts after the reporting date and instead relied primarily upon management representations and past recovery trends while concluding that the provision for bad and doubtful debts was adequate.

During the audit, CA Arjun also noted an ongoing income-tax litigation relating to disallowance of certain cross-border transaction expenses. Although the first appellate authority had ruled in favour of the company, the Income Tax Department had filed a further appeal before the High Court. While the amount involved (₹ 10 lakhs) was individually below materiality level, the auditor remained concerned about the appropriateness of management's assessment and disclosure of the contingent liability.

Management relied upon a legal opinion obtained from its external legal counsel to support its conclusion that the matter would likely be decided in the company's favour. Accordingly, CA Arjun considered the procedures required under SA 501 regarding litigation and claims.

In the audit of purchases and imported raw materials, CA Arjun observed a substantial increase of nearly 40% compared to the previous year, along with concentration of procurement from a limited number of overseas vendors following the restructuring exercise. To understand these fluctuations, he performed analytical procedures including trend analysis and category-wise comparison of purchases. He also verified inward gate entry records with corresponding purchase invoices; however, such testing was restricted to selected months during the year and excluded transactions recorded close to the year-end. No additional substantive procedures were designed to specifically address the identified risk of incorrect cut-off assertion or improper recording of purchases around the reporting date.

Further, during the year XYZ Ltd. underwent several significant changes including replacement of senior management personnel, transition from the previous financial reporting framework to Ind AS, and introduction of new regulatory compliance requirements affecting financial reporting and disclosures. Despite these developments materially

affecting the scope and reporting considerations of the audit engagement, CA Arjun decided to continue the engagement under the original terms agreed at the commencement of the audit without formally revising or documenting changes in the engagement letter.

On the basis of above, answer the following MCQs (1-5)

Q1

Which of the following best describes CA Arjun's conduct regarding the identified foreign exchange non-compliances?

A. He has complied with ethical requirements since substantive audit procedures were otherwise performed properly

B. Only professional competence is affected since the issue relates to technical interpretation of regulations

C. His conduct results in violation of professional behaviour and ethical responsibilities despite performing audit procedures

D. There is no ethical violation since management assumed responsibility for the non-compliances

Q2

Based on audit procedures performed for trade receivables, which of the following represents the most significant audit concern?

A Risk that receivables may not exist due to fictitious sales entries

B Risk that receivables are understated due to incomplete recording

C Risk that receivables are overstated due to inadequate provision for bad and doubtful debts

D Risk that receivables are incorrectly classified between current and non-current assets

Q3

In relation to the pending tax litigation and legal opinion obtained by management, which of the following procedures would be most appropriate under SA 501?

A Meet the external legal counsel directly without involving management

B Send a direct inquiry letter independently to the external legal counsel

C Meet the external legal counsel only after obtaining management representation letter

D Send a letter of inquiry to the external legal counsel with management's permission

Q4

Which of the following is the most significant deficiency in the audit procedures performed for purchases and imported raw materials?

A Inadequate audit procedures around year-end transactions resulting in cut-off risk

B Excessive reliance on tests of details instead of analytical procedures

C Failure to perform analytical procedures for purchases

D Failure to verify legal existence of overseas vendors

Q5

Considering the significant changes during the year, which of the following best evaluates CA Arjun's decision regarding the engagement terms?

A No revision was necessary since audit procedures could be modified internally by the auditor

B Revision of engagement terms was necessary due to significant changes affecting scope of audit and reporting requirements

C Revision of engagement terms becomes necessary only if management formally requests such revision

D No revision was required since the auditor had audited the company in earlier years as well

ICAI'S ANSWERS

Q1

Answer key: **(C)**

Q2

Answer key: **(C)**

Q3

Answer key: **(D)**

Q4

Answer key: **(A)**

Q5

Answer key: **(B)**

ICAI · P5 · RTP Sep 2026 · question p. 1-3 · answer p. 12

1491 **RTP** **Jan 2026** Q20

CA Jatin is auditor of XYZ Pharma, his brother-in-law's Partnership Firm. His family relationship creates a conflict of interest that could unduly influence his professional judgment, making it difficult for him to provide an unbiased opinion on the firm's financial statements.

In another assignment of Tax Audit of a company, CA Jatin is also required to prepare the company's tax return. He fails to check the latest provision of the Income-tax Act which allows for a major new deduction resulting in the client overpaying income tax.

CA Jatin is also preparing GST returns of one of his clients. The client instructs him to intentionally understate the sales figures to reduce the tax liability.

Identify and explain the fundamental principles of professional ethics involved in above situations.

ICAI'S ANSWER

(i) In the given case, CA Jatin's family relationship creates a conflict of interest that could unduly influence his professional judgment. This indicates that "Objectivity" principle is being violated.

The principle of objectivity requires an auditor not to compromise professional judgment because of bias, conflict of interest or undue influence of others.

It requires that a professional accountant shall not undertake a professional activity if a circumstance or relationship unduly influences the accountant's professional judgment regarding that activity.

(ii) In the instant case, CA Jatin did not check the latest provision of the Income-tax Act while preparing return of income-tax, which allows for a major new deduction resulting in the client overpaying income tax. This indicates "Professional competence and due care" principle is being violated. A professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and act diligently and in accordance with applicable technical and professional standards.

Diligence includes responsibility to act carefully, thoroughly and on a timely basis in accordance with requirements of an assignment.

(iii) In the given situation, CA Jatin's client instructs him to intentionally understate the sales figures to reduce the tax liability. It violates "integrity"

principle. A professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. Integrity implies fair dealing and truthfulness.

A professional accountant shall not knowingly be associated with reports, returns, communications or other information where the accountant believes that the information contains a materially false or misleading statement; contains statements or information provided negligently or omits or obscures required information where such omission or obscurity would be misleading.

ICAI · P5 · RTP Jan 2026 · question p. 9 · answer p. 18-19

1492 RTP **Old P6 Nov 2022** General MCQ 2 MCQ

old scheme

An auditor signs a false audit report knowingly. Which of the following fundamental principles of professional ethics is violated in such a case?

A Objectivity

B Integrity

C Professional Competence and due care

D Professional behaviour

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2022 · question p. 8 · answer p. 15

1493 RTP Old P6 May 2022 Q2(a) old scheme

The IESBA Code establishes the fundamental principles of professional ethics relevant to the auditor when conducting an audit of financial statements. Discuss and also explain the meaning of ethics.

ICAI'S ANSWER

The auditor shall comply with relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements. Relevant ethical requirements ordinarily comprise the Code of Ethics for Professional Accountants (IESBA Code) related to an audit of financial statements.

First, broadly understand what are ethics? "Ethics" are the principles of conduct governing an individual or group. Professions like law, medicine have their code of ethics. Auditing profession is no exception. Rather, in profession of auditing, importance of ethics is manifold.

The IESBA Code establishes the following as the fundamental principles of professional ethics relevant to the auditor when conducting an audit of financial statements. We shall understand broad meaning and intent of these fundamental principles as under:-

(a) Integrity

Integrity requires auditor to be straight forward and honest in all professional and business relationships. It implies fair dealing and

truthfulness. It effectively means that he shall not be associated with reports, returns, communications or other information which he believes contains a materially false or misleading statement; contains statements or information provided recklessly or omits required information where such omission could be misleading.

(b) Objectivity

The principle of objectivity requires an auditor not to compromise professional judgment because of bias, conflict of interest or undue influence of others.

(c) Professional competence and due care

It requires that auditor attains and maintains professional knowledge and skill at the level required to render competent professional service based on current technical and professional standards and legislation and also to act diligently and in accordance with technical and professional standards. Diligence includes responsibility to act carefully, thoroughly and on a timely basis in accordance with requirements of an assignment.

(d) Confidentiality

Confidentiality principle requires an auditor to respect the confidentiality of information acquired as a result of professional or business relationships.

and

(e) Professional behaviour

It requires an auditor to comply with relevant laws and regulations and avoid any conduct that he knows or should know might discredit the profession.

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 13-14

1494 MTP **Jan 2026 S-II** MCQ 13 2 marks MCQ

A newly qualified Chartered Accountant, CA Riya is handling an assignment where no specific ethical rule is prescribed for a particular unusual transaction. She decides to evaluate the situation based on her knowledge, skills and expertise to determine the most ethical course of action, even though there is no detailed rule guiding her.

Which approach is Riya following?

A Rules-based approach

B Principles-based approach

C Statutory compliance approach

D Disciplinary approach

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2026 · Series II · question p. 6 · answer p. 1

1495 MTP May 2025 S-II Case Scenario 2 · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO 2

Raavi & Co., a Chartered Accountants firm, has been appointed as auditor of XYZ Ltd., a prospective new client. CA Sukanya, one of the firm's partner, is handling the potential client. During a meeting with the company's officers, she discovers that Sushant, the company's CFO, is a former classmate. They had both started their Chartered Accountancy (CA) journey together, but Sushant left the program halfway due to repeated failures and later pursued an MBA in finance from a prestigious institution.

During initial discussions, the company reveals plans to launch a new service in the "weather-forecasting" sector. These services will be available on website of company, and users can access micro weather information for a fee. The company requests that the audit firm be visibly associated with their marketing efforts.

Assuming the firm accepts the offer, they send a letter to the previous auditor, Royal & Co., requesting any professional reasons that might prevent them from taking on the assignment. However, Royal & Co. does not respond to the inquiry.

While planning the audit, Raavi & Co. also learn that the company has acquired all shares of another company, which requires the financial statements of both companies to be consolidated and audited, according to applicable laws. Despite this

information, Raavi & Co. fails to advise the client on the necessity of auditing the consolidated financial statements.

Firm is also reviewing internal controls of XYZ Ltd. He verifies following things:

- Are tenders called before placing orders?
- Are the purchases made on the basis of a written order?
- Is the purchase order form standardised?
- Are purchase order forms pre-numbered?

Based on the above facts, answer the following:

MCQ 6 2 marks

Keeping in view request of the company to be visibly associated with company's new services, identify which type of threat is being faced by audit firm.

A Self-interest threat.

B Familiarity threat.

C Self-review threat.

D Advocacy threat.

MCQ 7 2 marks

The previous auditors, Royal & Co., have not replied to communication of Raavi & Co. Which fundamental principle of professional ethics is not followed by them?

A Objectivity.

B Professional behaviour.

C Professional competence and due care.

D Integrity.

MCQ 8 2 marks

Raavi & Co. have failed to advise the company regarding audit of consolidated financial statements. Which fundamental principle of professional ethics is being violated by Raavi & Co.?

A Professional behaviour.

B Integrity.

C Objectivity.

D Professional competence and due care.

MCQ 9 2 marks

Which method is Raavi & Co. using to facilitate the accumulation of the information necessary for the proper review and evaluation of internal controls?

A Narrative record.

B Flow chart.

C Check List.

D Internal Control questionnaire.

ICAI'S ANSWERS

MCQ 6

(D)

MCQ 7

(B)

MCQ 8

(D)

MCQ 9

(C)

ICAI · P5 · MTP May 2025 · Series II · question p. 4 · answer p. 1

1496 MTP **Sep 2024 S-I** Q4(b) 5 marks

CA H has been offered audit of financial statements of a society engaged in promoting social causes, such as setting up of drug de-addiction centres for misguided youth and rehabilitating such young people by helping them find avenues of gainful employment. However, CA H failed to send audit engagement letter to the society's governing body and proceeded to conduct the audit. In the absence of this letter, the governing body is of the view that purpose of such an audit is to provide absolute assurance against probable errors and frauds in the financial statements. Does it constitute violation of fundamental principles governing professional ethics? State reasons for the same.

ICAI'S ANSWER

As per SA 210, "Agreeing the Terms of Audit Engagements", the auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate. The agreed terms of the audit engagement shall be recorded in an audit engagement letter or other suitable form of written agreement. Such a letter includes, inter alia, objective and scope of audit of

financial statements. The absence of such a letter leads to misunderstanding between auditor and management. As auditor has failed to send engagement letter, the governing body has formed an improper view of objective and scope of audit of financial statements.

By not following requirements of SA 210, CA H is not acting ethically. He has violated principle of professional competence and due care governing professional ethics. This principle requires an accountant to attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation and act diligently and in accordance with applicable technical and professional standards. Maintaining professional competence requires awareness of current technical and professional standards. Non sending of engagement letter shows lack of such awareness on part of CA H. Therefore, he has violated said fundamental principle governing professional ethics.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 9 · answer p. 6

1497 MTP **May 2024 S-I** Q5(d) 3 marks

Professional Behaviour is one of the fundamental principles governing professional ethics. Explain its meaning. Also, give example of a situation where a Chartered Accountant fails to follow this principle.

ICAI'S ANSWER

The Principle of Professional Behaviour requires an accountant to comply with relevant laws and regulations and avoid any conduct that the accountant knows or should know might discredit the profession. A professional accountant shall not knowingly engage in any employment, occupation or activity that impairs or might impair the integrity, objectivity or good reputation of the profession, and as a result would be incompatible with the fundamental principles.

Example

A Chartered Accountant has conducted audit of accounts of an entity for a particular year. ICAI has issued a letter to him relating to certain matters concerning audit. He didn't even bother to reply to the letter despite reminders. Failure to reply to professional body smacks of lack of courtesy and professional responsibility. In the given case, Chartered accountant has not followed principle of Professional Behaviour.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 9

1498 MTP **Old P6 Dec 2021 S-I** General MCQ 3 2 marks MCQ old scheme

The Firm R K & Associates has an extensive understanding of Code of Ethics that underlies the fundamental principles relevant to the Auditor when conducting an Audit of Financial Statements and provides a conceptual framework for applying these

principles. Which of the following does not form part of the fundamental principle?

A Integrity

B Professional Competence and due care

C Professional Skepticism

D Professional behaviour

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 4 · answer p. 1

1499 MTP **Old P6 May 2020 S-I** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 3 marks

The auditor shall comply with relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements. Relevant ethical requirements ordinarily comprise the Code of Ethics for Professional Accountants (IESBA Code) related to an audit of financial statements. The Code establishes the fundamental principles of professional ethics relevant to the auditor when conducting an audit of financial statements. Explain.

Q2(b) 4 marks

Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats. Explain the guiding principles in this regard.

Q2(c) 4 marks

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work. Explain the factors due to which above varies.

Q2(d) 3 marks

The Auditor is fully satisfied with the audit of an entity in respect of its systems and procedures and wants to issue a report without any hesitation. What type of opinion can be given and give reasoning.

ICAI'S ANSWERS

Q2(a)

Ethical Requirements Relating to an Audit of Financial Statements: The auditor shall comply with relevant ethical requirements, including those pertaining to independence, relating to financial statement audit engagements. Relevant ethical requirements ordinarily comprise the Code of Ethics for Professional Accountants (IESBA Code) related to an audit of financial statements.

The Code establishes the following as the fundamental principles of professional ethics

relevant to the auditor when conducting an audit of financial statements :

(i) Integrity;

(ii) Objectivity;

(iii) Professional competence and due care;

(iv) Confidentiality; and

(v) Professional behavior.

Q2(b)

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

1. For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.
2. In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
3. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
4. When such threats exist, the auditor should either desist from the task or put in place

safeguards that eliminate them.

5. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

Q2(c)

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work.

The nature, timing and extent of the direction and supervision of engagement team members and review of their work vary depending on many factors, including:

1. The size and complexity of the entity.
2. The area of the audit.
3. The assessed risks of material misstatement

Example

An increase in the assessed risk of material misstatement for a given area of the audit ordinarily requires a corresponding increase in the extent and timeliness of direction and supervision of engagement team members, and a more detailed review of their work.

4. The capabilities and competence of the individual team members performing the audit work.

Example

We may have identified a problem related to the production process that raised concerns about inventory obsolescence. After obtaining an understanding of the entity's process that raised concerns about inventory obsolescence (which we had identified as a significant class of transactions), we concluded that additional tests of details were required. Therefore, the senior will likely take part, alongwith the team, in the discussions with management about the provision for obsolescence and examine related documentation supporting the provision, rather than just reading the memo on file. These procedures should be completed as the work is being performed rather than as an after the fact review. The extent of the senior's involvement requires judgment, taking into consideration the complexity of the area and the experience of the team.

Q2(d)

Unqualified Opinion:

1. An unqualified opinion should be expressed when the auditor concludes that the financial statements give a true and fair view in accordance with the financial reporting framework used for the preparation and presentation of the financial statements.
2. An unqualified opinion indicates, implicitly, that any changes in the accounting principles or in the method of their application, and the effects

thereof, have been properly determined and disclosed in the financial statements.

3. An unqualified opinion also indicates that:

(i) the financial statements have been prepared using the generally accepted accounting principles, which have been consistently applied;

(ii) the financial statements comply with relevant statutory requirements and regulations; and

(iii) there is adequate disclosure of all material matters relevant to the proper presentation of the financial information, subject to statutory requirements, where applicable.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 5 · answer p. 2, 2-3, 3, 3-4

11.2 Independence, threats and safeguards

55 questions · asked in 30 ICAI documents · 5 exam papers

1500 EXAM Sep 2026 Q2(c) 4 marks

During the audit of M Power Ltd. the engagement partner came to know that one member of the audit team had a close business relationship with a senior executive of the client company. The engagement partner immediately discussed the matter with senior officials of the audit firm and reviewed the firm's independence policies.

What is meant by "Independence" in an audit engagement ?

State the responsibilities of the engagement partner regarding compliance with independence requirements in the above case and how the audit partner should deal with the matter ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 17

1501 **EXAM** **Sep 2026** Case scenario · Q3(b)(i) to Q3(b)(iii)

5 marks

CASE SCENARIO

Self interest threat, Self review threat and Advocacy threat are some of the threats to the independence of an auditor. There are other threats as well.

Q3(b)(i) 1 mark

If the same audit firm is allowed to continue forever as an auditor of a listed company, identify and explain the threat caused in this situation.

Q3(b)(ii) 1 mark

What are the safeguards that the Companies Act, 2013 provides for in this regard ?

Q3(b)(iii) 3 marks

What are the general situations when this threat occurs ?

ICAI'S ANSWERS

Q3(b)(i)

ICAI has not published its answers to this paper yet.

Q3(b)(ii)

ICAI has not published its answers to this paper yet.

Q3(b)(iii)

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 18

1502 **EXAM** **Jan 2026** Case Scenario - II · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO - II

Fresh Farm Foods Ltd., a reputed food processing company, engaged Ravi & Mehta Chartered Accountants, to provide limited assurance on its Social Responsibility Report for the year ended 31st March 2025.

The report prepared covered the company's initiatives on waste reduction, water conservation and community welfare. As part of the engagement, the assurance team visited multiple factory locations, reviewed internal sustainability data and interviewed employees and local community representatives. The engagement was carried out in accordance with the Standard on Assurance Engagements (SAEs) to evaluate whether the report was free from material misstatement.

While reviewing team behaviour during the engagement, the partner noted concerns regarding ethical and independence compliance, one team member had accepted significant gift and hospitality from the client and another had taken loan from the

client. The partner decided to assess these matters in light of the ethical requirements.

Simultaneously, Ravi and Mehta were conducting the statutory audit of Fresh Farm Foods Ltd. for the same year. The company has finalized its financial statements for the year ended 31-03-2025, and in the board meeting held on 15th April 2025, the directors declared a dividend for the financial year 2024-25. During the audit, it was noted that the accountant had recognized the dividend as a liability as at 31st March 2025, on the reasoning that the dividend belongs to the year 2024-25.

The auditor must now determine whether recording such a dividend as a liability in the financial statement for the year ended 31st March 2025 is appropriate.

Based on the case study, answer the following questions: (6 to 9)

MCQ 6 2 marks

Which of the following best represents the three party relationship in this assurance engagement?

A Ravi & Mehta, internal audit staff and the CSR department.

B Ravi & Mehta, management of Fresh Farm Foods Ltd., and the intended users of the report.

C Ravi & Mehta, the company's board of directors and its external auditors

D Ravi & Mehta, employees interviewed during site visits and the intended users of the report.

MCQ 7 2 marks

Which actions should the Ravi & Mehta engagement partner take as per compliance with professional ethical requirements and independent principles?

(i) Obtain information from the firm to identify and evaluate the threats.

(ii) Evaluate whether the action create threats to independence.

(iii) Apply safeguards or eliminate threats to an acceptable level.

(iv) Report the issue directly to the client's CSR Committee for their resolution.

(v) Consider withdrawal from the engagement if threats remain unacceptable.

A (i), (ii) and (iii) only

B (i), (ii) (iii) and (v)

C (ii), (iii) and (v) only

D (i), (iv) and (v) only

MCQ 8 2 marks

Whether the dividend should be recognized as a liability in the financial statements of Fresh Farm Foods Ltd., as at 31st March 2025?

A Yes, it must be recognized in the same year irrespective of the date of declaration.

B No, the amount should be recognized equally between the two financial years.

C No, the dividend should not be recognized as a liability, instead the amount of proposed dividend should be appropriately disclosed.

D No, it should neither be recognized nor disclosed.

MCQ 9 2 marks

Acceptance of significant gift and hospitality from the client and loan taken from the client creates which type of ethical threats?

A Advocacy and self-review threats respectively.

B Familiarity threats and Self Interest threats respectively.

C Intimidation and Advocacy threats respectively.

D Self Interest and Familiarity threats respectively.

ICAI'S ANSWERS

MCQ 6

Answer key: **(B)**

MCQ 7

Answer key: **(B)**

MCQ 8

Answer key: **(C)**

MCQ 9

Answer key: **(B)**

ICAI · P5 · Jan 2026 exam · question p. 5 · answer p. 11

1503 **EXAM** **Sep 2025** Q6(c) 4 marks

Mentioned below are the threats to independence of auditors. Classify them, with reasons, into the appropriate type of threats viz. Advocacy threat, Intimidation threat, Familiarity threat, Self-review threat, Self-interest threat.

(ANY FOUR)

(i) Close business relationship with an audit client;

(ii) Auditors perform services that are themselves subject-matter of audit;

(iii) Auditor deals with shares or securities of the audited company;

(iv) Long association between specific auditors and their specific client counterparts;

(v) Auditor deterred from acting objectively with an adequate degree of professional skepticism.

ICAI'S ANSWER

(i) Close business relationship with an audit client would be classified as Self-interest threat.

Reason: Self-interest threats occur when an auditing firm, its partner or associate could benefit from a financial interest in an audit client.

(ii) Auditors perform services that are themselves subject-matter of audit would be classified as Self-review threat.

Reason: Self-review threats occur when during a review of any judgement or conclusion reached in a previous audit or non-audit engagement, or when a

member of the audit team was previously a director or senior employee of the client.

(iii) Auditor deals with shares or securities of the audited company would be classified as Advocacy threat.

Reason: Advocacy threats occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised.

(iv) Long association between specific auditors and their specific client counterparts would be classified as Familiarity threat.

Reason: Familiarity threats are self-evident and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests.

(v) Auditor deterred from acting objectively with an adequate degree of professional skepticism would be classified as Intimidation threat.

Reason: Intimidation threats could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees or being threatened with litigation.

ICAI · P5 · Sep 2025 exam · question p. 26-27 · answer p. 28-29

1504 **EXAM** **Jan 2025**

Case scenario · Q2(b), part 1 of 2 to Q2(b), part 2 of 2

5 marks

CASE SCENARIO

CA H is managing partner of HK & Co., a Chartered Accountant firm, having registered office at Delhi. With the annual task of reviewing whether any threat to independence is observed in the firm, CA H noted down the following observations received from the staff and partners of the firm for the F.Y. 2023-24 :

(i) CA J, partner of the firm, performed statutory audit as well as non - audit engagement for M/s. Take Away Private Limited.

(ii) CA M, partner of the firm, who has done income tax audit for M/s. Happy Associates where in CA M has material significant indirect financial interest.

(iii) The costs of air travel and stay accommodation of family members of audit team for audit of Chennai was borne by the client stationed at Chennai.

(iv) One of the clients, M/s. Chalk Limited, threatened to replace them as auditors because the audit team insisted to make provision for expected credit loss which the company was not willing to provide.

(v) CA N, partner of the firm, who audited M/s. NM Private Limited became arbitrator for dispute between M/s. NM Private Limited and one of its vendors.

(vi) CA N accepted the assignment of Tax audit (on behalf of firm) of TRF Industries. Management agreed to pay him contingent fee for tax audit.

Q2(b), part 1 of 2 3 marks

You are requested to help CA H in classifying the type of threats to independence in each of the above observation received from the staff and partners of the firm.

Q2(b), part 2 of 2 2 marks

In case such threats exist, what should the auditor do?

ICAI'S ANSWERS

Q2(b), part 1 of 2

Type of Threats to Independence

S. No.
(i)

Situation
CA J, partner of the firm, performed statutory audit as well as non- audit engagement for Take Away Private Limited.

Threat to Independence
Self-review threats

S. No.
(ii)

Situation
CA M, partner of the firm, who has done income tax audit for M/s. Happy Associates where in CA M has material significant indirect financial interest.

Threat to Independence
Self-interest threats

S. No.

(iii)

Situation

The costs of air travel and stay accommodation of family members. of audit team for audit Chennai was borne by the client stationed at Chennai.

Threat to Independence

Familiarity threats

S. No.

(iv)

Situation

One of the clients, Chalk Limited, threatened to replace them as auditors because the audit team insisted to make provision for expected credit loss which the company was not willing to provide.

Threat to Independence

Intimidation threats

S. No.

(v)

Situation

CA N, partner of the firm, who audited NM Private Limited became arbitrator for dispute between. NM Private Limited and one of its vendors.

Threat to Independence

Advocacy threats

S. No.
(vi)

Situation
CA N accepted the assignment of Tax audit (on behalf of firm) of TRF Industries. Management agreed to pay him contingent fee for tax audit.

Threat to Independence
Self-interest threats

Q2(b), part 2 of 2

When such threats exist, the auditor should –

(1) Either desist from the task or eliminate the threat or at the very least, put in place safeguards which reduce the threats to an acceptable level. All such safeguards' measures need to be recorded in a form that can serve as evidence of compliance with due process.

(2) If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

ICAI · P5 · Jan 2025 exam · question p. 14 · answer p. 16-17, 17

1505 EXAM **Old P6 Nov 2020** Q2(a) 4 marks old scheme

Describe the guiding principles which the auditor should take into account which serves as the safeguards to eliminate the threats to independence.

ICAI'S ANSWER

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to

independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

1. For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.
2. In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
3. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence. When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.
4. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

ICAI · Old P6 · Nov 2020 exam · question p. 2 · answer p. 3

1506 **RTP** **Sep 2026** Q20

During the statutory audit of Cee Manufacturing Ltd. for the financial year ended 31st March 2026, CA Karan, the engagement partner of Karan & Co., observed several circumstances affecting independence of auditors. One of the partners of the audit firm held

shares in the company. The audit firm had also granted a loan to one of the directors of the company. Further, fees received from Cee Manufacturing Ltd. constituted a major portion of the firm's annual revenue and the firm was concerned that adverse reporting might result in loss of the engagement.

It was also noticed that the audit firm undertook internal audit and management consultancy services for the company during the year and these areas were now subject to statutory audit. In addition, one of the audit team members recently served as Finance Manager of the company before joining the audit firm. Identify the threats to independence arising in the above case and explain their implications.

ICAI'S ANSWER

In the given case, both self-interest threats and self-review threats to auditor's independence are present.

Self-interest threats occur when an auditing firm, its partner or associate could benefit from a financial interest in an audit client. In the present case, holding shares in Cee Manufacturing Ltd. by a partner of the audit firm creates a direct financial interest in the client and therefore constitutes a self-interest threat. Similarly, granting a loan to a director of the company also creates a financial relationship affecting auditor independence. Further, undue dependence on the fees received from the client gives rise to a self-interest threat because the auditor may become reluctant to issue

adverse findings due to fear of losing the engagement.

Self-review threats occur when during a review of any judgement or conclusion reached in a previous audit or non-audit engagement, or when a member of the audit team was previously a director or senior employee of the client. In the given case, the audit firm had undertaken internal audit and management consultancy services for the company, which are now subject matters of statutory audit. Thus, the auditor would be reviewing work performed by the firm itself, resulting in a self-review threat. Further, one of the audit team members had recently served as Finance Manager of the company. Since such person may be required to examine accounting records and decisions made during his own tenure, a self-review threat also arises in this situation.

Accordingly, these circumstances impair the independence and objectivity of the auditor and appropriate safeguards should be implemented to reduce the threats to an acceptable level.

ICAI · P5 · RTP Sep 2026 · question p. 11-12 · answer p. 23-24

1507 RTP **May 2025** Q7 MCQ

CA Ramesh has been the auditor of XYZ Ltd. for the past 10 years. Over these years, he has built a personal relationship with Mr. Rajan, CEO of the company. During the audit, CA Ramesh discovers several discrepancies, but he feels uncomfortable reporting

these issues due to his personal relationship with Mr. Rajan. He has also accepted gifts from the company on several occasions. As a result, CA Ramesh is concerned about the impact of his long-standing relationship with Mr. Rajan on the audit report. Which threat to independence exists in the given case?

A Self-interest threat.

B Familiarity threat.

C Self-review threat.

D Advocacy threat.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP May 2025 · question p. 4 · answer p. 8

1508 **RTP** **Jan 2025** **Q7** **MCQ**

CA Rao is conducting an audit for ABC Ltd., a large client. He is informed by the client's CFO that if they report certain deficiencies, the auditor's firm may not be considered for future engagements. Which type of threat does this scenario represent?

A Familiarity Threat

B Intimidation Threat

C Self-interest Threat

D Advocacy Threat

ICAI'S ANSWER

Answer key: **(B)**

1509 **RTP** **Jan 2025** **Q20**

CA Sudhakar has been appointed as the auditor of AMRO Ltd. Before accepting the appointment, he learns that his cousin, who held shares in the company and recently passed away without children, named him as the nominee for these shares, which have substantial value. Although holding such shares through a distant relative does not violate legal provisions or affect his independence, this unexpected inheritance places him in a dilemma. Advise CA Sudhakar on how he should deal with this situation and safeguard his independence.

ICAI'S ANSWER

In the given situation, holding shares by CA Sudhakar involves financial interest in the company and is in nature of self-interest threat. Though he has come to hold shares due to nomination made by his distant relative before accepting the appointment.

Chartered Accountants have a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to address the threats.

Safeguards are actions, individually or in combination, that the professional accountant takes that effectively reduce threats to comply with the fundamental principles to an acceptable level.

To address the issue, the following guiding principles are to be applied: -

- For the public to have confidence in the quality of audit, it is essential that auditors should always be and appear to be independent of the entities that they are auditing.
- Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
- When such threats exist, the auditor should either desist from the task or eliminate the threat or at the very least, put in place safeguards which reduce the threats to an acceptable level. All such safeguard measures need to be recorded in a form that can serve as evidence of compliance with due process.
- If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

Considering above, holding of shares of the same company for which he is offered appointment as auditor constitutes threat to his independence. Therefore, CA Sudhakar should take steps to eliminate the threat by selling shares immediately before accepting the appointment and in the absence of same, he should not accept the appointment as an auditor.

ICAI · P5 · RTP Jan 2025 · question p. 8 · answer p. 20-21

1510 RTP **Sep 2024** Q6 MCQ

CA Chatur provides accounting and book keeping services to Shiv Ganga Limited. He is also offered an audit of the accounts to the Shiv Ganga Limited. Which threat to independence may be involved in accepting such an engagement?

- A Self-interest threats
- B Self-review threats
- C Familiarity threats
- D Advocacy threats

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P5 · RTP Sep 2024 · question p. 4 · answer p. 8

1511 RTP **May 2024** General MCQ 3 MCQ

CA Piyush is offered appointment as statutory auditor of branch of a bank. He has also taken housing loan of ₹75 lakhs from the same bank. Identify threat to independence involved.

- A Advocacy threat
- B Self-interest threat
- C Self-review threat
- D Familiarity threat

ICAI'S ANSWER

(B) Self-interest threat

ICAI · P5 · RTP May 2024 · question p. 7 · answer p. 15

1512 RTP **Old P6 Nov 2023** General MCQ 1 MCQ

old scheme

Same question, different ICAI answer: #1521 Old P6 RTP Nov 2020

Mr. A, auditor and Mr. B, Finance Manager of XYZ Pvt Ltd are friends. Mr. A prepares the audit report according to the wishes and directions of Mr. B. In this situation which essential quality of the auditor has been compromised:

A Professional Competence

B Independence

C Professional Skepticism

D Due care

ICAI'S ANSWER

(B) Independence

ICAI · Old P6 · RTP Nov 2023 · question p. 9 · answer p. 15

1513 RTP **Old P6 Nov 2023** General MCQ 2 MCQ

old scheme

_____ occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests.

A Familiarity threats

B Advocacy threats

C Self Review threats

D Intimidation threats

ICAI'S ANSWER

(A) Familiarity threats

ICAI · Old P6 · RTP Nov 2023 · question p. 9 · answer p. 15

1514 **RTP** **Old P6 May 2023** Q2(a) old scheme

Professional integrity and independence are considered essential characteristics of all the professions. There are two interlinked perspectives of independence of auditors, one, independence of mind and two, independence in appearance. Explain.

ICAI'S ANSWER

Professional integrity and independence are considered essential characteristics of all the professions but are more so in the case of accountancy profession. Independence implies that the judgement of a person is not subordinate to the wishes or direction of another person who might have engaged him.

It is not possible to define "independence" precisely. Rules of professional conduct dealing with independence are framed primarily with a certain objective. The rules themselves cannot create or ensure the existence of independence. Independence is a condition of mind as well as personal character. It should not be confused with the superficial and visible standards of independence which are sometimes imposed by law.

There are two interlinked perspectives of independence of auditors, one, independence of mind; and two, independence in appearance. The Code of Ethics for Professional Accountants issued by International Federation of Accountants (IFAC) defines the term 'Independence' as follows:

"Independence is:

(i) Independence of mind – the state of mind that permits the provision of an opinion without being affected by influences allowing an individual to act with integrity, and exercise objectivity and professional skepticism; and

(ii) Independence in appearance – the avoidance of facts and circumstances that are so significant that a third party would reasonably conclude an auditor's integrity, objectivity or professional skepticism had been compromised."

Independence of the auditor has not only to exist in fact, but also appear to so exist to all reasonable persons.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 13-14

1515 **RTP** **Old P6 May 2023** **Q2(b)** **old scheme**

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats. Explain the guiding principles in the above context.

ICAI'S ANSWER

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

1. For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.
2. In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
3. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
4. When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.
5. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 14

1516 RTP **Old P6 May 2022** General MCQ 4 MCQ

old scheme

..... is the threat which occurs when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised

- A Familiarity threat
- B Advocacy threat
- C Self Review threat
- D Intimidation threat

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP May 2022 · question p. 6-7 · answer p. 12

1517 RTP **Old P6 May 2022** Q3 old scheme

The Code of Ethics for Professional Accountants, prepared by the International Federation of Accountants (IFAC) identifies five types of threats. Explain those threats in detail giving examples.

ICAI'S ANSWER

The Code of Ethics for Professional Accountants, prepared by the International Federation of Accountants (IFAC) identifies five types of threats. These are:

1. **Self-interest threats,** which occur when an auditing firm, its partner or associate could benefit from a financial interest in an audit

client. Examples include (i) direct financial interest or materially significant indirect financial interest in a client, (ii) loan or guarantee to or from the concerned client, (iii) undue dependence on a client's fees and, hence, concerns about losing the engagement, (iv) close business relationship with an audit client, (v) potential employment with the client, and (vi) contingent fees for the audit engagement. ***Like, in case an audit firm unduly relies on fees from a client, it may result in threat to self interest of auditor and he may not work objectively for the fear of losing client.***

2. **Self-review threats**, which occur when during a review of any judgement or conclusion reached in a previous audit or non-audit engagement (Non audit services include any professional services provided to an entity by an auditor, other than audit or review of the financial statements. These include management services, internal audit, investment advisory service, design and implementation of information technology systems etc.), or when a member of the audit team was previously a director or senior employee of the client. Instances where such threats come into play are (i) when an auditor having recently been a director or senior officer of the company, and (ii) when auditors perform services that are themselves subject matters of audit.

3. **Advocacy threats,** which occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised, e.g. when an auditor deals with shares or securities of the audited company, or becomes the client's advocate in litigation and third party disputes. ***In such situations, auditor can be perceived as backing and championing causes of auditee client and it may lead to belief that auditor is not acting and working objectively. Remember that auditor has not only to be independent but also appear to be acting so.***
4. **Familiarity threats** are self-evident, and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. This can occur in many ways: (i) close relative of the audit team working in a senior position in the client company, (ii) former partner of the audit firm being a director or senior employee of the client, (iii) long association between specific auditors and their specific client counterparts, and (iv) acceptance of significant gifts or hospitality from the client company, its directors or employees. ***Provisions in Companies Act, 2013 regarding rotation of auditors mainly address these very familiarity threats. Such provisions prescribe that auditor is rotated after a certain number of years so that auditors do not become too familiar with their clients.***

5. **Intimidation threats,** which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. Basically, these could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees ***or being threatened with litigation. Such threats attempt to intimidate auditors to deter them from acting objectively.***

ICAI · Old P6 · RTP May 2022 · question p. 8 · answer p. 15-16

1518 RTP **Old P6 Dec 2021** General MCQ 4 MCQ

old scheme

Also asked in Old P6 MTP Jul 2021 S-I General MCQ 1

..... is the threat which occurs when auditors are deterred from acting objectively with an adequate degree of professional skepticism.

A Familiarity threat

B Advocacy threat

C Self Review threat

D Intimidation threat

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Dec 2021 · question p. 121 · answer p. 127

1519 RTP Old P6 Dec 2021 Q2(b) old scheme

Discuss few guiding principles which are behind safeguards to eliminate threats to auditor's independence.

ICAI'S ANSWER

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

(i) For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.

(ii) In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.

(iii). Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.

(iv) When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.

(v) If the auditor is unable to fully implement credible and adequate safeguards, then he must not

accept the work.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 128

1520 RTP **Old P6 Jul 2021 Q2(b)** old scheme

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats. Explain the guiding principles in this regard.

ICAI'S ANSWER

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

(i). For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.

(ii). In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.

(iii). Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.

(iv). When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.

(v). If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

ICAI · Old P6 · RTP Jul 2021 · question p. 120 · answer p. 127

1521 RTP **Old P6 Nov 2020** General MCQ 2 MCQ

old scheme

Also asked in Old P6 MTP May 2023 S-II General MCQ 12 · Old P6 MTP Nov 2022 S-I General MCQ 8

Same question, different ICAI answer: #1512 Old P6 RTP Nov 2023

Mr. A, auditor and Mr. B, Finance Manager of XYZ Pvt Ltd are friends. Mr. A prepares the audit report according to the wishes and directions of Mr. B. In this situation which essential quality of the auditor has been compromised:

A Professional Competence

B Independence

C Professional Skepticism

D Due care

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2020 · question p. 5 · answer p. 12

1522 RTP Old P6 Nov 2019 Q3(a) old scheme

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

In the above context, explain the guiding principles.

ICAI'S ANSWER

The Chartered Accountant has a responsibility to remain independent by taking into account the context in which they practice, the threats to independence and the safeguards available to eliminate the threats.

The following are the guiding principles in this regard: -

1. For the public to have confidence in the quality of audit, it is essential that auditors should always be and appears to be independent of the entities that they are auditing.
2. In the case of audit, the key fundamental principles are integrity, objectivity and professional skepticism, which necessarily require the auditor to be independent.
3. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
4. When such threats exist, the auditor should either desist from the task or put in place safeguards that eliminate them.

5. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 11

1523 RTP **Old P6 Nov 2019 Q3(b)** old scheme

Write a note on "Self-review threats"

ICAI'S ANSWER

Self-review threats, which occur when during a review of any judgement or conclusion reached in a previous audit or non-audit engagement (Non audit services include any professional services provided to an entity by an auditor, other than audit or review of the financial statements. These include management services, internal audit, investment advisory service, design and implementation of information technology systems etc.), or when a member of the audit team was previously a director or senior employee of the client. Instances where such threats come into play are (i) when an auditor having recently been a director or senior officer of the company, and (ii) when auditors perform services that are themselves subject matters of audit.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 11

1524 MTP **May 2026 S-II Q4(b)** 5 marks

RS & Co., Chartered Accountants, were appointed as statutory auditors of Zifi Infra Ltd., a listed company

engaged in infrastructure development. During the course of audit, it was observed that:

- The audit partner, CA R, had a close personal relationship with the CFO of the company.
- The firm had also provided consultancy services for designing internal financial controls of Zifi Infra Ltd. during the same financial year.
- Additionally, a substantial portion of the firm's total revenue was dependent on fees received from Zifi Infra Ltd.

A minority shareholder raised concerns that although the auditor may be acting objectively, the circumstances create doubt regarding the auditor's independence.

In the light of the above, explain whether the independence of the auditor is compromised. Also, discuss the concept of independence of mind and independence in appearance.

ICAI'S ANSWER

"Independence" implies that the judgment of a person is not subordinate to the wishes or direction of another person who might have engaged him. The auditor should be independent of the entity subject to the audit.

There are two interlinked perspectives of independence of auditors, one, independence of mind and two, independence in appearance.

Independence is:

(i) **Independence of mind** – the state of mind that permits the provision of an opinion without being affected by influences that compromise professional judgment, allowing an individual to act with integrity, and exercise objectivity and professional skepticism; and

(ii) **Independence in appearance** – the avoidance of facts and circumstances that are so significant that a reasonable and informed third party, having knowledge of all relevant information, including any safeguards applied, would reasonably conclude a firm's, or a member of the assurance team's, integrity, objectivity or professional skepticism had been compromised.

Independence of the auditor has not only to exist in fact, but also appear to so exist to all reasonable persons. The relationship between the auditor and his client should be such that firstly, he is himself satisfied about his independence and secondly, no unbiased person would be forced to the conclusion that, on an objective assessment of the circumstances, there is likely to be an abridgement of the auditors' independence.

In the given case, although the auditor may be maintaining objectivity (independence of mind), the following factors raise serious concerns regarding independence in appearance:

- Close personal relationship with the CFO

- Provision of consultancy services (self-review threat)
- Economic dependence on a single client

These circumstances may lead a reasonable third party to conclude that the auditor's independence is compromised.

ICAI · P5 · MTP May 2026 · Series II · question p. 14 · answer p. 9-10

1525 MTP **May 2026 S-II Q6(b)** 5 marks

"Familiarity threats are a significant concern affecting the independence of auditors."

Explain the meaning of familiarity threats and discuss the circumstances in which such threats may arise. Also, briefly state how the provisions of the Companies Act, 2013 help in addressing such threats.

ICAI'S ANSWER

Familiarity threats are self-evident and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. This can occur in many ways including:

(i) close relative of the audit team working in a senior position in the client company

(ii) former partner of the audit firm being a director or senior employee of the client

(iii) long association between specific auditors and their specific client counterparts and

(iv) acceptance of significant gifts or hospitality from the client company, its directors or employees.

Provisions in the Companies Act, 2013 regarding rotation of auditors mainly address these very familiarity threats. Such provisions prescribe that auditor is rotated after a certain number of years so that auditors do not become too familiar with their clients.

Familiarity threats may arise in situations involving close relationships, long tenure of auditors, or undue benefits received from the client, all of which may impair professional judgment and objectivity.

Therefore, familiarity threats can impair the independence of the auditor and appropriate safeguards such as auditor rotation and avoiding close relationships or undue benefits must be implemented to ensure compliance with ethical requirements.

ICAI · P5 · MTP May 2026 · Series II · question p. 15 · answer p. 13-14

1526 MTP **Jan 2026 S-I** MCQ 13 2 marks MCQ

CA Meena is the statutory auditor of GLOW Ltd. Her husband has recently joined the company as CFO. CA Meena has undue dependence on professional fees from the company. She is also providing investment advisory service to GLOW Ltd. Which combination of threats to independence exists in this situation?

A Only familiarity threat

B Self-interest, advocacy threats and self-review threats

C Advocacy and intimidation threats

D Familiarity, Self-interest, and self-review threats

ICAI'S ANSWER

(D)

ICAI · P5 · MTP Jan 2026 · Series I · question p. 6 · answer p. 1

1527 MTP **May 2025 S-I** Case Scenario 2 · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO 2

MA & Associates, a Chartered Accountant firm is appointed as an auditor of XYZ Pvt. Ltd. Amit, partner of the firm, has recently bought stock in XYZ Pvt. Ltd. He believes that the company's goodwill will increase after the audit report is finalised, which could lead to a rise in stock price. As he reviews the company's financial statements, Amit decides to give unmodified opinion to help his investment.

During the audit of trade receivables, Amit selects a sample using a technique that ensures larger balances have a higher chance of being selected. However, this approach results in the exclusion of many smaller balances, potentially overlooking some crucial misstatements.

Meera, another Partner of Firm, is reviewing calculation of software development costs method adopted by XYZ Pvt. Ltd. Meera helped in creating

this method earlier. She worries that her previous involvement in this method might affect her ability to review it.

Meanwhile, Raj, the CEO of XYZ Pvt. Ltd., has requested them to modify certain disclosures in the financial statements in a way that could mislead stakeholders. He argues that a more favourable presentation will help the company secure additional investments. Meera feels that complying with this request would compromise ethical standards and worries about potential conflicts with the client.

Based on the above facts, answer the following: -

MCQ 6 2 marks

Amit has bought stock in XYZ Pvt. Ltd., and his investment could benefit from issuance of unmodified opinion in his audit report. This indicate existence of:

A Self-interest Threat.

B Self-review Threat.

C Advocacy Threat.

D Familiarity threat.

MCQ 7 2 marks

In the given case, Amit is selecting a sample to verify the trade receivables balances where larger balances have a higher chance of being included, causing smaller balances to be overlooked. This method is known as:

A Random Sampling.

B Systematic Sampling.

C Block Sampling.

D Monetary Unit Sampling.

MCQ 8 2 marks

Meera is reviewing a method for calculating software development costs that she helped in creating while working at XYZ Pvt. Ltd. This may involve:

A Advocacy Threat.

B Self-interest Threat.

C Familiarity Threat.

D Self-review Threat.

MCQ 9 2 marks

Raj, the CEO, is requesting the Meera and Amit to modify the financial statement disclosures in a misleading manner. Which fundamental principle of professional ethics would be violated if they agree to do so?

A Integrity.

B Objectivity.

C Confidentiality.

D Professional Competence and Due Care.

ICAI'S ANSWERS

MCQ 6

(A)

MCQ 7

(D)

MCQ 8

(D)

MCQ 9

(A)

ICAI · P5 · MTP May 2025 · Series I · question p. 4 · answer p. 1

1528 MTP **Jan 2025 S-II** MCQ 13 2 marks MCQ

CA Kamal, a partner at KPS & Co., is conducting an audit of Ridhi Ltd., a manufacturing company. During the audit it was found that KPS & Co. generates 72% of its total revenue from Ridhi Ltd., raising concerns about the firm's financial dependence on this single client. Identify the kind of threat to independence that may be involved in this case.

A Familiarity threat

B Self-interest threat

C Self-review threat

D Advocacy threat

ICAI'S ANSWER

(B)

ICAI · P5 · MTP Jan 2025 · Series II · question p. 7 · answer p. 1

1529 MTP Jan 2025 S-II Q5(c) 4 marks

Familiarity threats are self-evident, and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. Explain.

ICAI'S ANSWER

Familiarity threats: Familiarity threats are self-evident and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. This can occur in many ways including:

(i) close relative of the audit team working in a senior position in the client company;

(ii) former partner of the audit firm being a director or senior employee of the client;

(iii) long association between specific auditors and their specific client counterparts; and

(iv) acceptance of significant gifts or hospitality from the client company, its directors or employees.

Provisions in Companies Act, 2013 regarding rotation of auditors mainly address these very familiarity threats. Such provisions prescribe that auditor is rotated after a certain number of years so that auditors do not become too familiar with their clients.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 11 · answer p. 8-9

1530 **MTP** **May 2024 S-I** **Q1(d)** **3 marks**

CA Tripad (engagement partner) based at New Delhi is external auditor of Lap of Nature, a firm, since last three years. The firm is engaged in business of providing tourism services including holiday packages to its club members. It has also provided auditor including his team members free holiday for a week every year in one of its premium resorts in Ooty in the State of Tamil Nadu. The company has also booked free air travel for engagement team members during all these years. Discuss why Chartered Accountant is not acting ethically. How are familiarity threats created in above situation?

ICAI'S ANSWER

The firm is providing free hospitality to engagement team members including engagement partner. In such circumstances, fundamental principles governing professional ethics are violated. Such acts of free hospitality are capable of impairing objectivity of auditor.

The situation given in the question signifies that auditors have formed relationships with client where they may end up being too sympathetic to the client's interests. Due to free hospitality enjoyed by engagement team members, they may take a sympathetic view to issues which may have arisen during course of audit. In this way, familiarity threats are created in the situation.

ICAI · P5 · MTP May 2024 · Series I · question p. 9 · answer p. 3-4

1531 MTP Old P6 Nov 2023 S-I Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence. The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated. Explain giving examples.

Q2(b) 4 marks

As per SA-315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment", the auditor shall obtain an understanding of the relevant industry, regulatory and other external factors including the applicable financial reporting framework. Explain giving examples.

Q2(c) 3 marks

SA 560, "Subsequent Events" deals with the auditor's responsibilities relating to subsequent events in an audit of financial statements. Financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Explain those events and also define subsequent events.

Q2(d) 3 marks

While it is true that companies can benefit immensely from the use of data analysis in terms of increased profitability, better customer service, etc., analyse various functions that can be performed even by the auditor also using Data Analytics tools and techniques in the audit process to obtain good results.

ICAI'S ANSWERS

Q2(a)

The auditor shall plan and perform an audit with professional skepticism recognising that circumstances may exist that cause the financial statements to be materially misstated.

Professional skepticism includes being alert to, for example:

- Audit evidence that contradicts other audit evidence obtained.
- Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.
- Conditions that may indicate possible fraud.
- Circumstances that suggest the need for audit procedures in addition to those required by the SAs.
- Maintaining professional skepticism throughout the audit is necessary if the auditor is to reduce the risks of:
- Overlooking unusual circumstances.

- Over generalising when drawing conclusions from audit observations.
- Using inappropriate assumptions in determining the nature, timing, and extent of the audit procedures and evaluating the results thereof.

Q2(b)

As per SA-315, "Identifying and Assessing the Risk of Material Misstatement through Understanding the Entity and Its Environment", the auditor shall obtain an understanding of the relevant industry, regulatory and other external factors including the applicable financial reporting framework. **For Example**

- The competitive environment, including demand, capacity, product and price competition as well as cyclical or seasonal activity.
- Supplier and customer relationships, such as types of suppliers and customers (e.g., related parties, unified buying groups) and the related contracts with those entities.
- Technological developments, such as those related to the entity's products
- Energy supply and cost.
- The effect of regulation on entity operations.

Q2(c)

SA 560, "Subsequent Events" deals with the auditor's responsibilities relating to subsequent events in an audit of financial statements.

Financial statements may be affected by certain events that occur after the date of the financial statements. Many financial reporting frameworks specifically refer to such events. Such financial reporting frameworks ordinarily identify two types of events:

(a) Those that provide evidence of conditions that existed at the date of the financial statements; and

(b) Those that provide evidence of conditions that arose after the date of the financial statements.

SA 700 explains that the date of the auditor's report informs the reader that the auditor has considered the effect of events and transactions of which the auditor becomes aware and that occurred up to that date.

Subsequent events refer to events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

Q2(d)

In today's digital age when companies rely on more and more on IT systems and networks to operate business, the amount of data and information that exists in these systems is enormous.

The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is called data analytics. While it is true that companies can benefit

immensely from the use of data analytics in terms of increased profitability, better customer service, gaining competitive advantage, more efficient operations, etc., even auditors can make use of similar tools and techniques in the audit process and obtain good results. The tools and techniques that auditors use in applying the principles of data analytics are known as Computer Assisted Auditing Techniques or CAATs in short.

Data analytics can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz., IDEA and ACL to perform the following:

- Check completeness of data and population that is used in either test of controls or substantive audit tests.
- Selection of audit samples – random sampling, systematic sampling.
- Re-computation of balances – reconstruction of trial balance from transaction data.
- Reperformance of mathematical calculations – depreciation, bank interest calculation.
- Analysis of journal entries as required by SA 240.
- Fraud investigation.
- Evaluating impact of control deficiencies.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 8 · answer p. 2-3, 3, 3-4

1532 MTP **Old P6 Nov 2023 S-II** General MCQ 10 1 mark

MCQ old scheme

Which of following is not a threat to independence of auditor?

A Self-interest threats

B Self- review threats

C Advocacy threats

D Peer group threats

ICAI'S ANSWER

(D)

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 5 · answer p. 1

1533 MTP **Old P6 May 2023 S-I** Question 1 · Q1(i) to Q1(viii)

16 marks old scheme

QUESTION 1

Examine with reasons (in short) whether the following statements are correct or incorrect : (Attempt any **7** out of **8**)

Q1(i) 2 marks

Advocacy threat, is the threat which occur when an auditing firm, its partner or associate could benefit from a financial interest in an audit client.

Q1(ii) 2 marks

According to 'Audit of sanctions', the auditors try to bring out cases of improper, avoidable, or infructuous expenditure even though the expenditure has been

incurred in conformity with the existing rules and regulations.

Q1(iii) 2 marks

Understanding the Internal Control of a company will not help the auditor in developing an Audit Programme.

Q1(iv) 2 marks

Assertions refer to the representations by the auditor to consider the different types of the potential misstatements that may occur.

Q1(v) 2 marks

Low acceptable sampling risk requires larger sample size.

Q1(vi) 2 marks

The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements.

Q1(vii) 2 marks

Narrative record is a series of instructions and/or questions which a member of the auditing staff must follow and/or answer.

Q1(viii) 2 marks

Planning is a discrete phase of an audit.

ICAI'S ANSWERS

Q1(i)

Incorrect: Self-interest threat is the threat which occur when an auditing firm, its partner or associate could benefit from a financial interest in

an audit client. Further, Advocacy threat is the threat which occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised, e.g. when an auditor deals with shares or securities of the audited company, or becomes the client's advocate in litigation and third party disputes.

Q1(ii)

Incorrect. According to 'propriety audit', the auditors try to bring out cases of improper, avoidable, or infructuous expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations. According to 'Audit of sanctions', the auditor has to ensure that each item of expenditure is covered by a sanction, either general or special, of the competent authority.

Q1(iii)

Incorrect: Understanding the Internal Control of a company will help in developing an Audit Programme because it will assist the auditor and his team to understand as to how much they can rely on internal control of the company and what audit procedures would be appropriate to be used during the course of audit.

Q1(iv)

Incorrect: Assertions refer to representations by management that are embodied in the financial statements as used by the auditor to consider the

different types of the potential misstatements that may occur.

Q1(v)

Correct: Sampling risk arises from possibility that the auditor's conclusion based upon sample may be different from conclusion that would have been reached if same audit procedures were applied on the entire population. If acceptable sampling risk is low, large sample size is needed.

Q1(vi)

Correct: As per SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", the purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

Q1(vii)

Incorrect: Check list is a series of instructions and/or questions which a member of the auditing staff must follow and/or answer. Narrative record is a complete and exhaustive description of the system as found in operation by the auditor.

Q1(viii)

Incorrect. Planning is not a discrete phase of an audit, but rather a continual and iterative process

that often begin shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement. Planning, however, includes consideration of the timing of certain activities and audit procedures that need to be completed prior to the performance of further audit procedures

ICAI · Old P6 · MTP May 2023 · Series I · question p. 6 · answer p. 1-2, 2

1534 MTP Old P6 Nov 2022 S-II General MCQ 10 1 mark

MCQ old scheme

Which of the following is not in accordance with spirit of "Professional Skepticism"?

A Being alert to conditions that may indicate possible fraud

B Overlooking unusual circumstances

C Using appropriate assumptions in determining nature, timing and extent of audit procedures and evaluating results

D Being alert to circumstances that suggest need for audit procedures in addition to those required by Standards on Auditing

ICAI'S ANSWER

Option (B)

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 7 · answer p. 1

1535 MTP Old P6 May 2020 S-I General MCQ 3 2 marks
MCQ old scheme

Direct financial interest or materially significant indirect financial interest in a client is an example of

A Self-review threats

B Self-interest threats

C Advocacy threats

D Intimidation threats

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2020 · Series I · question p. 4 · answer p. 1

11.3 SA 210: agreeing the terms of audit engagements

70 questions · asked in 31 ICAI documents · 9 exam papers

1536 EXAM Sep 2026 Q1(a) 5 marks

M Private Limited appointed a Chartered Accountant firm to conduct the statutory audit for the year ended 31/03/26. During the course of audit, after significant audit procedures had been performed, the auditor identified serious inconsistencies in inventory records and requested additional supporting documents from management. A week later, management informed the auditor that due to "time constraints" and "cost considerations," the company no longer wanted a statutory audit and instead requested the auditor to change the audit engagement to a review engagement.

Analyse, what the auditor should consider before agreeing to change the audit engagement to an engagement providing lower level of assurance in accordance with SA 210 (Agreeing the terms of Audit Engagements) ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P5 · Sep 2026 exam · question p. 14

1537 **EXAM** **May 2026** **Q6(a)** **5 marks**

M/s PJ Shrimali & Co., Chartered Accountants, were appointed as the statutory auditors of Pristine Limited. Before commencing the audit, the auditors issued an engagement letter to the Board of Directors confirming the terms of the audit engagement.

The letter described the objective of the audit, the scope of work to be performed, and certain matters relating to the conduct of the audit. It also contained a specific section explaining the responsibilities of the auditor while performing the audit of financial statements.

With reference to the above situation, illustrate the responsibilities of the auditor (Any 5) that are generally included in an engagement letter in accordance with SA 210.

ICAI'S ANSWER

The responsibilities of the auditors that are generally included in an engagement letter in

accordance with SA 210 “Agreeing the Terms of Audit Engagements” are as follows:

(i) Conducting audit in accordance with Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India (ICAI). These Standards require compliance with ethical requirements. As part of an audit in accordance with SAs, exercise professional judgment and maintain professional skepticism throughout the audit.

(ii) Identifying and assessing the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for auditor’s opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

(iii) Obtaining an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the company’s internal control. Communicating in writing any significant deficiencies in internal control relevant to the audit of the financial statements that have been identified during the audit.

(iv) Evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

(v) Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If the auditor concludes that a material uncertainty exists related to going concern, the auditor is required to draw attention in the auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify the auditor's opinion. Such conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

(vi) Evaluating the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

(vii) Because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some

material misstatements may not be detected, even though the audit is properly planned and performed in accordance with SAs.

ICAI · P5 · May 2026 exam · question p. 30-31 · answer p. 31-33

1538 **EXAM** **Sep 2025** Q3(b) **5 marks**

Enumerate the factors that may make it appropriate to revise the terms of the audit engagement or to remind the entity of existing terms.

ICAI'S ANSWER

As per SA 210 "Agreeing the Terms of Audit Engagements", the auditor may decide not to send a new audit engagement letter or other written agreement each period. However, the following factors may make it appropriate to revise the terms of the audit engagement or to remind the entity of existing terms:

(i) Any indication that the entity misunderstands the objective and scope of the audit.

(ii) Any revised or special terms of the audit engagement.

(iii) A recent change of senior management.

(iv) A significant change in ownership.

(v) A significant change in nature or size of the entity's business.

(vi) A change in legal or regulatory requirements.

(vii) A change in the financial reporting framework adopted in the preparation of the financial statements.

(viii) A change in other reporting requirements.

ICAI · P5 · Sep 2025 exam · question p. 18 · answer p. 19

1539 **EXAM** **May 2025** **Q3(c)** **4 marks**

Luck Ltd., a mid-sized manufacturing company, has approached CA S, a qualified Chartered Accountant, to conduct the audit for the financial year ended March 31, 2025. The company requests CA S to give acceptance for the audit so that audit can be commenced within time.

With reference to SA 210, how the auditor will establish that whether the preconditions for an audit are present?

ICAI'S ANSWER

In order to establish whether the preconditions for an audit are present, CA S shall:

(I) Determine whether the financial reporting framework is acceptable and

(II) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework including where relevant their fair representation;

(ii) For such internal control as management considers necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and

(iii) To provide the auditor with:

- Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

ICAI · P5 · May 2025 exam · question p. 15 · answer p. 16-17

1540 EXAM Jan 2025 Case Scenario 1 · MCQ 1 to MCQ 4

8 marks

CASE SCENARIO 1

PKH & Associates, a Chartered accountant firm, is practicing in Mumbai since last two decades. Rahul got the opportunity to work as an article clerk with PKH & Associates. After completion of formalities of article clerk registration, Rahul is placed in the statutory audit team of the firm. CA P, the partner heading audit team, planned to take Rahul in the audit work of M/s Fox India Limited for the financial year 2023-24. Till last year, CA K was the head of the

audit team for audit of M/s Fox India Limited. As it is the first assignment of Rahul, he was instructed by the partner to go through the audit file of M/s Fox India Limited for the financial year 2022-23 and familiarize himself with audit procedures and methodology to be followed for upcoming audit assignment.

On-going through the audit file of F.Y. 2022-23, Rahul found revised engagement letter, other working papers relating to MAT & Deferred tax calculations and the following extract on verification of expenses:

Name of concern	M/s. Fox India Limited
Financial Year	2022-23
Prepared by	D (05.05.2023)
Reviewed by	F (06.05.2023)
Approved by	CA K (07.05.2023)

Sr. No.	Nature of Procedure	Extent of Check	Basis of Sample	Done by
1.	Vouch few expense invoices available in record of concern	10%	Random Sampling	D

Sr. No.	Nature of Procedure	Extent of Check	Basis of Sample	Done by
2.	Trace these invoices into the account books of the concern.	10%	Random Sampling	D
3.	Verify few invoices with the GST data of the concern	10%	Random Sampling	D

Rahul immediately drafted a revised engagement letter for the financial year 2023-24 and also specified the scope of audit to include the following statements:

Statement I: reliability and sufficiency of financial information

Statement II: proper disclosure of financial information,

Statement III: responsibility of an auditor to prepare the financial statements, and

Statement IV: coverage of all aspects of entity relevant to the financial statements being audited.

He thought that it is mandatory to obtain engagement letter every year and handed over revised draft to CA P. CA P is surprised as to why Rahul drafted the same and explained him the situations under which it is necessary to obtain a revised engagement letter.

Before finalizing the audit report of M/s. Fox India Limited for the F.Y. 2023-24, Rahul performed the following procedures regarding subsequent events:

(i) Obtained an understanding of procedures established by the company to ensure that subsequent events are identified.

(ii) Inquired management of the company as to whether any subsequent events have occurred which affects the financial statements as on 31.03.2024.

(iii) Read the entity's latest subsequent interim financial statements.

(iv) Read the minutes of meetings of M/s. Fox India Limited that have been held up to 31.03.2024.

Based on the above facts, answer the following Q. Nos. 1 to 4.

MCQ 1 2 marks

Which of the following would not form part of the explanation given by CA P to Rahul?

A. A recent change of senior management

B. A significant change in nature or size of the entity's business

C Replacement of CA K by CA P

D A change in legal or regulatory requirements

MCQ 2 2 marks

Which of the statements included by Rahul in revised draft engagement letter is incorrect?

A Statement 1

B Statement II

C Statement III

D Statement IV

MCQ 3 2 marks

How will you categorize the information pertaining to F.Y. 2022-23 in relation to extract found?

A The same was a part of Audit plan

B The same was a part of Audit programme

C The same was a part of Audit guidelines

D The same was a part of Audit procedures

MCQ 4 2 marks

Which of the audit procedure performed (before finalizing the audit report of M/s. Fox India Limited) by Rahul is not as per SA 560?

A Procedure (i)

B Procedure (ii)

C Procedure (iii)

D Procedure (iv)

ICAI'S ANSWERS

MCQ 1

Answer key: **(C)**

MCQ 2

Answer key: **(C)**

MCQ 3

Answer key: **(B)**

MCQ 4

Answer key: **(D)**

ICAI · P5 · Jan 2025 exam · question p. 1-2 · answer p. 9

1541 **EXAM** **Sep 2024** Q5(d) **3 marks**

Mr. J is an articled clerk with a big Chartered Accountants' firm. He is a part of the engagement team which is conducting the audit of a company for the first time. They are assigned with the work of preparing the draft audit engagement letter. Mr. J is not sure how to go about with this work. Explain what is Audit Engagement Letter and what are its contents?

ICAI'S ANSWER

Audit Engagement Letter: The auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate. The agreed terms of the audit engagement are recorded in a letter or other the suitable form of written agreement. Such an agreement is known as Audit Engagement Letter. The audit engagement letter is sent by the auditor to his client. It is in the interest of both the auditor and

the client to issue an engagement letter so that the possibility of misunderstanding is reduced to a great extent.

Audit Engagement letter includes: -

(1) The objective and scope of the audit of the financial statements

(2) The responsibilities of the auditor

(3) The responsibilities of management

(4) Identification of the applicable financial reporting framework for the preparation of the financial statements and

(5) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.

If law or regulation prescribes in sufficient detail the terms of the audit engagement, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies, and that management acknowledges and understands its responsibilities.

ICAI · P5 · Sep 2024 exam · question p. 23 · answer p. 25-26

1542 EXAM **Old P6 Nov 2022** Q2(b) 4 marks old scheme

CA P is appointed as an auditor of XYZ Limited for the F.Y. 2021-22. The management of XYZ Limited has requested the auditor to change the terms of original

engagement as the company has diversified its business and few new products have been introduced by the company. Can CA P agree to the request made by the management? Under which circumstances can the client make a request to the auditor for a change in the terms of engagement?

ICAI'S ANSWER

Acceptance of a Change in Engagement:

The auditor may decide not to send a new audit engagement letter or other written agreement each period. However, **a significant change in nature or size of the entity's business is one of the factors** which may make it appropriate to revise the terms of the audit engagement.

In the given situation, XYZ Limited has diversified its business and few new products have also been introduced by the Company which is indicative of significant change in nature or size of the entity's business. In view of above, CA. P can agree to the request made by the management to change the terms of the audit engagement. Therefore, request of Management to change the terms of audit engagement is appropriate.

A request from the client for the auditor to change the engagement may result from-

1. a change in circumstances affecting the need for the service,
2. a misunderstanding as to the nature of an audit or related service originally requested.

3. a restriction on the scope of the engagement, whether imposed by management or caused by circumstances.

ICAI · Old P6 · Nov 2022 exam · question p. 3 · answer p. 4

1543 EXAM Old P6 Dec 2021 Q2(a) 4 marks old scheme

CA S is requested to accept the appointment as an auditor of Luck Ltd. With reference to SA 210, what should the auditor determine in order to establish whether the preconditions for an audit are present?

ICAI'S ANSWER

SA 210 – Agreeing the Terms of Audit Engagements:

In order to establish whether the preconditions for an audit are present, the auditor of Luck Ltd, CA S shall:

(1) Determine whether the financial reporting framework is acceptable; and

(2) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework;

(ii) For the internal control as management considers necessary; and

(iii) To provide the auditor with:

- Access to all information such as records, documentation and other matters;
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

ICAI · Old P6 · Dec 2021 exam · question p. 3 · answer p. 3

1544 **EXAM** **Old P6 Nov 2020** Case scenario · Q1(a) to Q1(h)

16 marks old scheme

CASE SCENARIO

Examine with reasons whether the following statements are correct or incorrect. (Answer any seven out of eight)

Q1(a) 2 marks

Even if law or regulation prescribes sufficient details of the terms of the audit engagement the auditor should record them in a written agreement.

Q1(b) 2 marks

It is not necessary for the auditor to periodically review the audit programme.

Q1(c) 2 marks

Dividends are recognized in the statement of profit and loss only when the amount of dividend can be measured reliably.

Q1(d) 2 marks

Every LLP is required to submit Statement of Account and Solvency in Form 8, which shall be filed within a period of sixty days from the end of three months of the financial year to which the Statement of Account and Solvency relates.

Q1(e) 2 marks

Classification as NPA should be based on the availability of security and asset classification would be facility wise and not borrower wise.

Q1(f) 2 marks

The audit plan is more detailed than the overall audit strategy.

Q1(g) 2 marks

Risks of material misstatement may be greater for significant judgmental matters that require the development of accounting estimates.

Q1(h) 2 marks

External confirmation procedures are restricted to the items of addressing assertions associated with account balances & their elements only.

ICAI'S ANSWERS

Q1(a)

Incorrect: If law or regulation prescribes in sufficient detail the terms of the audit engagement, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities.

Q1(b)

Incorrect: There should be periodic review of the audit programme to assess whether the same continues to be adequate for obtaining requisite knowledge and evidence about the transactions. Unless this is done, any change in the business policy of the client may not be adequately known, and consequently, audit work may be carried on, on the basis of an obsolete programme and for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences.

Q1(c)

Incorrect: Dividends are recognised in the statement of profit and loss only when:

(i) the entity's right to receive payment of the dividend is established;

(ii) it is probable that the economic benefits associated with the dividend will flow to the entity; and

(iii) the amount of the dividend can be measured reliably.

Q1(d)

Incorrect: Every LLP is required to submit Statement of Account and Solvency in Form 8 which shall be filed within a period of thirty days from the end of six months of the financial year to which the Statement of Account and Solvency relates.

Q1(e)

Incorrect: Classification as NPA should be based on the record of recovery. Availability of security or net worth of borrower/guarantor is not to be taken into account for purpose of treating an advance as NPA or otherwise.

Asset classification would be borrower-wise and not facility-wise. All facilities including investments in securities would be termed as NPA.

Q1(f)

Correct: The audit plan is more detailed than the overall audit strategy that includes the nature, timing and extent of audit procedures to be performed by engagement team members. Once the overall audit strategy has been established, an audit plan can be developed to achieve the audit objectives through the efficient use of the auditor's resources.

Q1(g)

Correct: Risks of material misstatement may be greater for significant judgmental matters that require the development of accounting estimates, arising from matters such as the following:

- Accounting principles for accounting estimates or revenue recognition may be subject to differing interpretation.
- Required judgment may be subjective or complex, or require assumptions about the

effects of future events, for example, judgment about fair value.

Q1(h)

Incorrect: External confirmation procedures frequently are relevant when addressing assertions associated with certain account balances and their elements. However, external confirmation need not be restricted to account balances only.

ICAI · Old P6 · Nov 2020 exam · question p. 1 · answer p. 1, 1-2, 2

1545 **RTP** **Sep 2025** Q20

CA Rohit is conducting the audit of Taste Ltd., a food production company, for the last two years. Before commencing the audit for the year, he observed that the company has undergone a major shift in its product line by expanding into pharmaceuticals. Besides this, the company is now subject to new regulatory reporting requirements. These developments were not present at the time of accepting the initial audit engagement. CA Rohit is of the view that there is no need to issue a new audit engagement letter. Examine whether the viewpoint of CA Rohit is appropriate in accordance with the relevant Standards on Auditing.

ICAI'S ANSWER

As per SA 210, "Agreeing the terms of audit engagements", recurring audit is an audit which is performed by an auditor over years. In case of recurring audits, the auditor shall assess whether circumstances require the terms of the audit

engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit engagement.

The auditor may decide not to send a new audit engagement letter or other written agreement each period. However, the following factors may make it appropriate to revise the terms of the audit engagement or to remind the entity of existing terms:

(i) Any indication that the entity misunderstands the objective and scope of the audit.

(ii) Any revised or special terms of the audit engagement.

(iii) A recent change of senior management.

(iv) A significant change in ownership.

(v) A significant change in nature or size of the entity's business.

(vi) A change in legal or regulatory requirements.

(vii) A change in the financial reporting framework adopted in the preparation of the financial statements.

(viii) A change in other reporting requirements.

In the given case, Taste Ltd., a food production company, has undergone a major shift in its product line by expanding into Pharmaceuticals and the company is also subject to new regulatory reporting requirements. In view of the abovementioned factors, it is appropriate to revise the terms of the

audit engagement in accordance with SA 210. Thus, the viewpoint of CA Rohit regarding no need for issuance of a new engagement letter is not correct, CA Rohit is required to send the revise audit engagement letter.

ICAI · P5 · RTP Sep 2025 · question p. 8-9 · answer p. 18

1546 **RTP** **May 2025** **Q20**

CA Puneet is appointed as an auditor of Kamla Limited for the F.Y. 2023-24. The management of Kamla Limited has requested the auditor to change the terms of original engagement as the company has diversified its business and a few new products have been introduced by the company. Whether CA Puneet can agree to the request made by the management? Under which circumstances can the client make a request to the auditor for a change in the terms of engagement?

ICAI'S ANSWER

The auditor may decide not to send a new audit engagement letter or other written agreement each period. However, a significant change in nature or size of the entity's business is one of the factors which may make it appropriate to revise the terms of the audit engagement.

In the given situation, Kamla Limited has diversified its business, and few new products have also been introduced by the company which is indicative of significant change in nature or size of the entity's business. In view of the above, CA. Puneet can agree

to the request made by the management to change the terms of the audit engagement. Therefore, the request of Management to change the terms of audit engagement is appropriate.

A request from the client for the auditor to change the engagement may result from:

1. a change in circumstances affecting the need for the service.
2. a misunderstanding as to the nature of an audit or related service originally requested.
3. a restriction on the scope of the engagement, whether imposed by management or caused by circumstances.

ICAI · P5 · RTP May 2025 · question p. 8 · answer p. 16

1547 **RTP** **May 2024** **Q24**

CA X has been offered audit of financial statements of TDK Industries, a partnership firm. Prior to accepting proposed offer, he insists upon obtaining an agreement of management regarding acknowledgment of its responsibility of having a proper process in place to ensure that financial statements prepared are free from material misstatements. However, management is of the view that it is auditor's duty to detect material misstatements in financial statements and such an insistence by auditor is totally uncalled for. Whose view is proper? Also discuss reasons for arriving at your conclusion. What should be likely proper course of action for CA X in above situation?

ICAI'S ANSWER

SA 210 deals with the auditor's responsibilities in agreeing the terms of the audit engagement with management and, where appropriate, those charged with governance. This includes establishing that certain preconditions for an audit, responsibility for which rests with management and, where appropriate, those with governance, are present.

The objective of the auditor is to accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through:

(A) Establishing whether the preconditions for an audit are present and

(B) Confirming that there is a common understanding between the auditor and management and, where appropriate, those charged with governance of the terms of the audit engagement.

One of the preconditions for an audit is to obtain the agreement of management that it acknowledges and understands its responsibility for preparation of financial statements and for such internal control as is necessary to enable preparation of financial statements that are free from material misstatements.

In the given situation, CA X is insisting only upon obtaining agreement of management regarding acknowledgment of its responsibility for internal

control to enable preparation of financial statements that are free from material misstatements in accordance with SA 210. Design, implementation and maintenance of internal control to ensure preparation of reliable financial statements that are free from material misstatements is management's responsibility. He is insisting on obtaining agreement of management regarding acknowledgment of its responsibility. Therefore, CA X's view is proper.

In case management does not provide such agreement acknowledging its responsibility, the auditor shall not accept proposed audit engagement unless required by law or regulation.

ICAI · P5 · RTP May 2024 · question p. 14 · answer p. 30

1548 RTP **Old P6 Nov 2023 Q2(a)** old scheme

"An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance should consider the appropriateness of doing so." Discuss.

ICAI'S ANSWER

Acceptance of a Change in Engagement: An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so.

A request from the client for the auditor to change the engagement may result from a change in

circumstances affecting the need for the service, a misunderstanding as to the nature of an audit or related service originally requested or a restriction on the scope of the engagement, whether imposed by management or caused by circumstances. The auditor would consider carefully the reason given for the request, particularly the implications of a restriction on the scope of the engagement, especially any legal or contractual implications.

If the auditor concludes that there is reasonable justification to change the engagement and if the audit work performed complied with the SAs applicable to the changed engagement, the report issued would be appropriate for the revised terms of engagement. In order to avoid confusion, the report would not include reference to-

(i) the original engagement; or

(ii) any procedures that may have been performed in the original engagement, except where the engagement is changed to an engagement to undertake agreed-upon procedures and thus reference to the procedures performed is a normal part of the report.

The auditor should not agree to a change of engagement where there is no reasonable justification for doing so.

If the terms of the audit engagement are changed, the auditor and management shall agree on and record the new terms of the engagement in an

engagement letter or other suitable form of written agreement.

If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall-

(i) Withdraw from the audit engagement where possible under applicable law or regulation; and

(ii) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

ICAI · Old P6 · RTP Nov 2023 · question p. 10 · answer p. 16-17

1549 RTP **Old P6 Nov 2022** General MCQ 1 MCQ

old scheme

As per SA-210, preconditions for an audit do not include which of the following?

A Acceptability of financial reporting framework

B Responsibility of management regarding preparation of financial statements

C Making available records to the auditor

D Integrity of key management personnel

ICAI'S ANSWER

(D)

ICAI · Old P6 · RTP Nov 2022 · question p. 8 · answer p. 15

1550 RTP **Old P6 Nov 2022** Q3(b) old scheme

An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so. Explain the circumstances which may contribute towards a request from the client for the auditor to change the engagement.

ICAI'S ANSWER

An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so.

A request from the client for the auditor to change the engagement may result from -

1. a change in circumstances affecting the need for the service,
2. a misunderstanding as to the nature of an audit or related service originally requested.
3. a restriction on the scope of the engagement, whether imposed by management or caused by circumstances.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 18

1551 RTP **Old P6 Jul 2021** Q2(a) old scheme

On recurring audits, the auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit

engagement. The auditor may decide not to send a new audit engagement letter or other written agreement each period. Explain the factors an auditor considers to be appropriate to revise the terms of the audit engagement or to remind the entity of existing terms.

ICAI'S ANSWER

On recurring audits, the auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit engagement.

The auditor may decide not to send a new audit engagement letter or other written agreement each period. However, the following factors may make it appropriate to revise the terms of the audit engagement or to remind the entity of existing terms:

- Any indication that the entity misunderstands the objective and scope of the audit.
- Any revised or special terms of the audit engagement.
- A recent change of senior management.
- A significant change in ownership.
- A significant change in nature or size of the entity's business.
- A change in legal or regulatory requirements.
- A change in the financial reporting framework adopted in the preparation of the financial statements.

- A change in other reporting requirements.

ICAI · Old P6 · RTP Jul 2021 · question p. 120 · answer p. 126-127

1552 **RTP** **Old P6 Jul 2021** **Q3(a)** old scheme

Discuss preconditions for an audit as per SA 210. Explain how would an auditor proceed to establish the presence of pre conditions for an audit.

ICAI'S ANSWER

As per SA 210 "Agreeing the Terms of Audit Engagements", preconditions for an audit may be defined as the use by management of an acceptable financial reporting framework in the preparation of the financial statements and the agreement of management and, where appropriate, those charged with governance to the premise on which an audit is conducted.

In order to establish whether the preconditions for an audit are present, the auditor shall:

(a) Determine whether the financial reporting framework is acceptable; and

(b) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework;

(ii) For the internal control as management considers necessary; and

(iii) To provide the auditor with:

- Access to all information such as records, documentation and other matters;
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

ICAI · Old P6 · RTP Jul 2021 · question p. 120 · answer p. 127-128

1553 RTP **Old P6 May 2020** Case scenario · Q1(i) to Q1(x)

old scheme

CASE SCENARIO

State with reason (in short) whether the following statements are true or false:

Q1(i) out of syllabus

all public companies, having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding hundred crore rupees or more shall constitute an Audit Committee.

Q1(ii) out of syllabus

According to Section 140(1), the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a general resolution of the company.

Q1(iii) out of syllabus

As per sub-section (5) of the section 140, the Tribunal cannot direct the company to change its auditors.

Q1(iv)

SA 210 does not require the auditor to agree management's responsibilities in an engagement letter or other suitable form of written agreement.

Q1(v)

Government audit does not serve as a mechanism or process for public accounting of government funds.

Q1(vi)

An account should be treated as 'out of order' if the outstanding balance remains continuously in excess of the sanctioned limit/drawing power. In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 180 days as on the date of Balance Sheet or credits are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

Q1(vii)

An Audit report is an opinion drawn on the entity's financial statements to make sure that the records are true and correct representation of the transactions they claim to represent.

Q1(viii)

In the planning stage, analytical procedures would not in any way assist the auditor.

Q1(ix)

Statistical sampling has narrower application where a population to be tested consists of a large number of similar items.

Q1(x)

Risk assessment procedures are not performed to obtain an understanding of the entity and its environment.

ICAI'S ANSWERS

Q1(i)

Incorrect: all public companies, having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more shall constitute an Audit Committee.

PassBook's note: Out of syllabus (old scheme): which companies must constitute an Audit Committee (section 177 of the Companies Act, 2013 and its rule) belonged to old Paper 6's company audit chapter.

Q1(ii)

Incorrect: According to Section 140(1), the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per Rule 7 of CAAR, 2014.

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term by special resolution with the Central Government's prior approval (section 140(1) of the Companies Act, 2013, Rule 7) belonged to old Paper 6's company audit chapter.

Q1(iii)

Incorrect: As per sub-section (5) of the section 140, the Tribunal either *suo motu* or on an application made to it by the Central Government or by any person concerned, if it is satisfied that the auditor of a company has, whether directly or indirectly, acted in a fraudulent manner or abetted or colluded in any fraud by, or in relation to, the company or its directors or officers, it may, by order, direct the company to change its auditors.

PassBook's note: Out of syllabus (old scheme): the Tribunal's power to direct a company to change its auditors (section 140(5) of the Companies Act, 2013) belonged to old Paper 6's company audit chapter (removal and change of auditors).

Q1(iv)

Incorrect: SA 210 requires the auditor to agree management's responsibilities in an engagement letter or other suitable form of written agreement.

Q1(v)

Incorrect: Government audit serves as a mechanism or process for public accounting of government funds. It also provides public accounting of the operational, management, programme and policy aspects of public administration as well as accountability of the officials administering them.

Q1(vi)

Incorrect: An account should be treated as 'out of order' if the outstanding balance remains continuously in excess of the sanctioned

limit/drawing power. In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet or credits are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

Q1(vii)

Incorrect: The purpose of an audit is to enhance the degree of confidence of intended users of the financial statements. The aforesaid purpose is achieved by the expression of an independent reporting by the auditor as to whether the financial statements exhibit a true and fair view of the affairs of the entity.

Thus, an Audit report is an opinion drawn on the entity's financial statements to make sure that the records are true and fair representation of the transactions they claim to represent.

Q1(viii)

Incorrect: In the planning stage, analytical procedures assist the auditor in understanding the client's business and in identifying areas of potential risk by indicating aspects of and developments in the entity's business of which he was previously unaware. This information will assist the auditor in determining the nature, timing and extent of his other audit procedures. Analytical procedures in planning the audit use both financial

data and non-financial information, such as number of employees, square feet of selling space, volume of goods produced and similar information.

Q1(ix)

Incorrect: Statistical sampling has reasonably wide application where a population to be tested consists of a large number of similar items and more in the case of transactions involving compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers.

Q1(x)

Incorrect: Risk assessment procedures refer to the audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels.

ICAI · Old P6 · RTP May 2020 · question p. 5 · answer p. 11, 11-12, 12

1554 RTP **Old P6 Nov 2019** Q2(a) old scheme

An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so. Explain stating the factors based on which client can request the auditor to change the engagement.

ICAI'S ANSWER

An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so.

A request from the client for the auditor to change the engagement may result from -

1. a **change in circumstances** affecting the need for the service,
2. **a misunderstanding** as to the nature of an audit or related service originally requested.
3. **a restriction on the scope of the engagement**, whether imposed by management or caused by circumstances.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 10

1555 MTP **Sep 2026 S-I**

Case Scenario 2 [MCQs 4-7] · MCQ 4 to MCQ 7 8 marks

CASE SCENARIO 2 [MCQS 4-7]

Spectrum Media Network Ltd. is a listed company engaged in diversified media operations comprising television broadcasting, FM radio channels, digital streaming platforms and print publishing activities across India and overseas markets. Due to expansion in operations during the financial year ended 31st March 2026, the company witnessed substantial growth in advertising revenue, acquisition of new broadcasting rights and increased investments in regional operations.

The statutory audit of the company was assigned to RKA & Associates. Before accepting the engagement, the engagement partner held detailed discussions with the Managing Director, Chief Financial Officer and Audit Committee regarding compliance with the Standards on Auditing relating to pre-conditions for audit. During these discussions, management confirmed that the financial statements would be prepared in accordance with the applicable financial reporting framework prescribed under law and acknowledged its responsibility for preparation and fair presentation of the financial statements, maintenance of adequate accounting records and internal controls. Management further assured the auditors that unrestricted access would be provided to books of account, supporting documents, minutes, agreements and other information required for the audit.

However, during one of the meetings, the Chief Financial Officer also stated that the company had not experienced any fraud during the year and therefore the auditors “need not spend significant time” in evaluating fraud-related matters. The engagement partner clarified internally that such a statement by management does not reduce the auditor’s responsibilities under the Standards on Auditing and is not relevant for determining whether the audit engagement can be accepted.

After acceptance of the engagement, the audit team commenced planning and risk assessment

procedures. Since the company operated through multiple business divisions such as television broadcasting, radio services, digital media and print publications, the company was required to present segment information in the financial statements. Management prepared segment disclosures by allocating revenues, assets and liabilities among different reportable segments. Assets such as studios, broadcasting equipment and regional offices were allocated based on operational usage and geographical deployment, whereas liabilities were allocated based on the nature of segment operations and funding arrangements.

While reviewing segment disclosures, the audit team compared the basis of allocation with prior years, analysed unusual fluctuations in segment margins and verified whether inter-segment revenues and balances had been appropriately eliminated on consolidation. During discussions within the audit team, an audit assistant questioned whether the auditor was also required to ensure that every item of revenue, asset and liability appearing in the financial statements must necessarily be allocated to a reportable segment without any exception.

Simultaneously, the substantive audit team was verifying cash and bank balances appearing in the balance sheet. During examination of supporting records, it was noticed that fixed deposits amounting to ₹ 50 lakhs had been disclosed properly. Since the amount was material, the engagement partner

instructed the audit staff to physically inspect the original fixed deposit receipts kept in the company's custody and compare them with the details appearing in the ledger and bank confirmations. The audit assistant involved in the verification process asked the audit senior about the specific financial statement assertion that was being tested through physical examination of the fixed deposit receipts.

Towards the conclusion of the audit, the engagement partner conducted a final review meeting with the audit team. The audit documentation included the overall audit strategy, audit planning memorandum, risk assessment procedures, substantive procedures, analytical procedures, external confirmations and final review procedures carried out before issuance of the audit report. During the discussion, a newly recruited audit assistant observed that considerable time had been spent on planning and review activities and therefore questioned whether planning and final review procedures formed the principal basis for the auditor's opinion on the financial statements. The engagement partner explained that although planning and review are essential components of an audit, the auditor's opinion is fundamentally based on the process of obtaining and evaluating sufficient appropriate audit evidence throughout the audit engagement.

On the basis of above, answer the following MCQs

MCQ 4 2 marks

With reference to discussions held between the engagement partner and management before acceptance of the audit engagement, which of the following statements made by management would not constitute a valid pre-condition for accepting the audit of financial statements?

A Management represented that no fraud had occurred during the financial year and therefore extensive fraud-related audit procedures would not be necessary.

B Management assured the auditor of unrestricted access to accounting records, supporting documents and other information necessary for the audit.

C Management acknowledged responsibility for preparation and fair presentation of financial statements in accordance with the applicable financial reporting framework.

D Management agreed that the financial statements would be prepared using an acceptable financial reporting framework prescribed under law.

MCQ 5 2 marks

During audit of segment disclosures, the audit team compared segment allocations with prior years, analysed unusual trends in segment profitability and verified elimination of inter-segment balances. In the context of the audit assistant's query regarding allocation of segment information, which of the following would not form part of the auditor's duties

relating to presentation and disclosure of segment information?

A Examining consistency in basis of segment disclosures with previous financial periods

B Performing analytical procedures on segment-wise financial information

C Verifying elimination of inter-segment revenues and balances

D Ensuring that every item of revenue, asset and liability appearing in the financial statements is compulsorily allocated to reportable segments without exception

MCQ 6 2 marks

While verifying bank balances, the audit team physically inspected the original fixed deposit receipts relating to deposits amounting to ₹50 lakhs appearing in the balance sheet. In the context of the audit assistant's query, the primary assertion being verified through this procedure is:

A Occurrence

B Cut-off

C Existence

D Accuracy

MCQ 7 2 marks

At the final review meeting, the audit assistant questioned whether audit planning and overall review procedures constitute the principal basis for forming

the auditor's opinion. Considering the audit procedures performed throughout the engagement, which of the following statements is most appropriate?

A Most of the auditor's work in forming the audit opinion consists of establishing audit strategy and planning procedures.

B Most of the auditor's work in forming the audit opinion consists of obtaining and evaluating sufficient appropriate audit evidence.

C Most of the auditor's work in forming the audit opinion consists primarily of discussions and inquiries with management personnel.

D Most of the auditor's work in forming the audit opinion consists of overall review procedures performed immediately before issuance of the audit report.

ICAI'S ANSWERS

MCQ 4

(A)

MCQ 5

(D)

MCQ 6

(C)

MCQ 7

(B)

ICAI · P5 · MTP Sep 2026 · Series I · question p. 3-4 · answer p. 1

1556 MTP Sep 2026 S-I Q6(b) 5 marks

CA Neha Arora was appointed as the statutory auditor of Stellar Healthcare Limited for the financial year 2025-26. During the course of audit, she found that a substantial portion of the company's trade receivables were outstanding for a long period. The management was unable to provide direct confirmations from several major customers, nor could it furnish adequate alternative audit evidence regarding the recoverability and existence of such receivables.

On being informed that the lack of sufficient appropriate audit evidence could result in a modified audit opinion, the management requested CA Neha Arora to convert the audit engagement into a review engagement, stating that a review would be more suitable for the company's current requirements.

Examine whether the request made by the management is justified. Discuss the circumstances under which a request from an entity to change the terms of an audit engagement may be considered reasonable and the situations where such a request may not be acceptable.

ICAI'S ANSWER

Request from Entity to change the Terms of Audit Engagement-When Reasonable Justification Exists: A request from the entity for the auditor to change the terms of the audit engagement may result from a change in circumstances affecting the need for the service, a misunderstanding as to the nature of an audit as originally requested or a restriction on the

scope of the audit engagement, whether imposed by management or caused by other circumstances. The auditor considers the justification given for the request, particularly the implications of a restriction on the scope of the audit engagement.

A change in circumstances that affects the entity's requirements or a misunderstanding concerning the nature of the service originally requested may be considered a reasonable basis for requesting a change in the audit engagement.

In contrast, a change may not be considered reasonable if it appears that the change relates to information that is incorrect, incomplete or otherwise unsatisfactory.

An example might be where the auditor is unable to obtain sufficient appropriate audit evidence regarding receivables and the entity asks for the audit engagement to be changed to a review engagement to avoid a qualified opinion or a disclaimer of opinion.

In the given case, the request of the management is not justified. The proposed change in engagement has been sought after the auditor was unable to obtain sufficient appropriate audit evidence regarding trade receivables and a modified opinion was likely. Such a request appears to be an attempt to avoid the consequences of a qualified opinion or disclaimer of opinion. Therefore, the auditor should not regard the request as having a reasonable justification merely because the available audit

evidence is incorrect, incomplete or otherwise unsatisfactory.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 17 · answer p. 16

1557 MTP **May 2026 S-I Q6(b)** 5 marks

Meet Electronics Ltd., a manufacturing company, is planning to appoint statutory auditor for the financial year 2024–25. The Board has approached CA S for accepting the audit engagement. During the preliminary discussions, the management informed CA S that the financial statements will be prepared using an internally designed accounting framework tailored to the company's reporting requirements.

Further, while discussing the audit engagement, management expressed reluctance in formally acknowledging its responsibilities regarding preparation of financial statements and internal control and indicated that certain internal records and personnel may be made available to the auditor only if considered necessary by management.

Before accepting the appointment, CA S intends to evaluate whether the preconditions for an audit are present as required under the relevant auditing standard.

With reference to the requirements of SA 210 – Agreeing the Terms of Audit Engagements, explain the matters CA S should determine before accepting the audit engagement in order to establish whether the preconditions for an audit are present.

ICAI'S ANSWER

SA 210 – Agreeing the Terms of Audit Engagements: In order to establish whether the preconditions for an audit are present, the auditor of Meet Electronics Ltd., CA S shall:

(1) Determine whether the financial reporting framework is acceptable; and

(2) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework;

(ii) For the internal control as management considers necessary; and

(iii) To provide the auditor with:

- Access to all information such as records, documentation and other matters;
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Therefore, CA S should accept the audit engagement only after determining that an acceptable financial reporting framework is used and after obtaining management's acknowledgement and understanding of its responsibilities relating to

preparation of financial statements, internal control and providing necessary access and information required for the audit.

ICAI · P5 · MTP May 2026 · Series I · question p. 17 · answer p. 17-18

1558 MTP **Jan 2026 S-II Q4(b)** 5 marks

Wing Ltd. has appointed CA G as its statutory auditor for FY 2024–25. During preliminary discussions, CA G observes that the company prepares financial statements using the prescribed financial reporting framework, but management is unwilling to give a formal acknowledgment of its responsibilities for preparing the financial statements, maintaining necessary internal controls, and providing unrestricted access to records and personnel. Management also states that certain documents will be provided only on request and interviews of staff will require prior approval.

Based on SA 210, evaluate whether the preconditions for an audit are present and how CA G should proceed.

ICAI'S ANSWER

As per SA 210 "Agreeing the Terms of Audit Engagements", in order to establish whether the preconditions for an audit are present, the auditor of Wing Ltd, CA G shall:

(1) Determine whether the financial reporting framework is acceptable; and

(2) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework;

(ii) For the internal control as management considers necessary; and

(iii) To provide the auditor with:

- Access to all information such as records, documentation and other matters;
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Since the management of Wing Ltd. has not acknowledged its responsibilities and is restricting access to information and personnel, the preconditions for an audit are not present as per SA 210. Therefore, CA G should decline the engagement, unless the management agrees to fulfil all obligations required under SA 210 before the audit begins.

ICAI · P5 · MTP Jan 2026 · Series II · question p. 10 · answer p. 8

1559 MTP **Sep 2025 S-I** MCQ 14 2 marks MCQ

CA Meenal is approached by River Pvt. Ltd. to conduct the audit for F.Y. 2024–25. During the pre-engagement discussions, the management informs her that the scope of audit should exclude verification of inventory, as its already being reviewed by their internal audit team. Management also expects CA Meenal to rely on their reports. She agrees verbally to the engagement and begins planning, but no formal audit engagement letter is issued or signed. Choose the most appropriate option.

A The auditor may proceed with the audit as its scope is discussed verbally.

B Auditor can accept internal audit verification as a substitute for her own work.

C The auditor shall not accept audit where management imposes limitation on scope before the audit.

D The audit report can be issued with a disclaimer if issues arise later.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP Sep 2025 · Series I · question p. 6-7 · answer p. 1

1560 MTP **Sep 2025 S-I** Q4(b) 5 marks

CA Mira, before accepting audit of an educational society, wants to ensure that management of society acknowledges and understands its responsibility in respect of certain matters. Not only this, but she also

wants to confirm that management is in agreement with these matters required in connection with Standards on Auditing. Discuss such matters.

ICAI'S ANSWER

SA 210, "Agreeing the Terms of Audit Engagement", requires the auditor to obtain the agreement of management that it acknowledges and understands its responsibility: -

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework including where relevant their fair representation.

(ii) For such internal control as management considers necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and

(iii) To provide the auditor with:

- Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters
- Additional information that the auditor may request management for the purpose of the audit and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

ICAI · P5 · MTP Sep 2025 · Series I · question p. 10 · answer p. 8

1561 MTP Jan 2025 S-I MCQ 13 2 marks MCQ

M/s RJ & Associates, Chartered Accountants, has been auditing the books of GP Resorts Private Limited for the past two years. GP Resorts Private Limited has experienced a significant increase in visitors due to a successful marketing campaign. This increase in number of visitors has prompted the Resort to introduce new services, such as event hosting, which contribute to higher revenue. Whether M/s RJ & Associates should issue a revised audit engagement letter to the GP Resorts Private Limited?

A No, since M/s RJ & Associates has been auditing the GP Resorts Private Limited for the past two years, new audit engagement letter is not required.

B Yes, the auditor is required to issue a new audit engagement letter for each period.

C Yes, a new engagement letter is required due to significant changes in the nature and size in the business of the GP Resorts Private Limited.

D No, M/s RJ & Associates is not required to provide a new engagement letter, as GP Resorts Private Limited will send new engagement letter to M/s RJ & Associates.

ICAI'S ANSWER

(C)

ICAI · P5 · MTP Jan 2025 · Series I · question p. 6 · answer p. 1

1562 MTP Jan 2025 S-I Q2(a) 5 marks

CA Paras has accepted audit of financial statements of an entity. According to the Standards on Auditing, the auditor is required to send an audit engagement letter to the entity. What are the key areas that should be included in the audit engagement letter? Under what circumstances is the auditor not required to record the terms of engagement in such a written agreement?

ICAI'S ANSWER

Key areas that should be included in Audit engagement letter are:

(i) The objective and scope of the audit of the financial statements;

(ii) The responsibilities of the auditor;

(iii) The responsibilities of management;

(iv) Identification of the applicable financial reporting framework for the preparation of the financial statements and

(v) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.

If law or regulation prescribes in sufficient detail the terms of the audit engagement, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies and that

management acknowledges and understands its responsibilities.

ICAI · P5 · MTP Jan 2025 · Series I · question p. 8 · answer p. 3

1563 MTP **Jan 2025 S-II Q2(a)** 5 marks

Deepa Ltd., initially requested an audit engagement for the financial year 2023-2024. However, midway through the audit process, the management claims that they are unable to provide complete supporting documentation for a significant portion of their receivables. As a result, the management asks the auditor to change the audit engagement to a review engagement, arguing that it would prevent the issuance of a qualified opinion.

The auditor is now facing challenge in determining whether this change is justified or not. Comment in accordance with relevant SA.

ICAI'S ANSWER

As per SA 210, "Agreeing the Terms of Audit Engagements", a request from the entity for the auditor to change the terms of the audit engagement may result from a change in circumstances affecting the need for the service, a misunderstanding as to the nature of an audit as originally requested or a restriction on the scope of the audit engagement, whether imposed by management or caused by other circumstances.

The auditor considers the justification given for the request, particularly the implications of a restriction on the scope of the audit engagement. A

change in circumstances that affects the entity's requirements or a misunderstanding concerning the nature of the service originally requested may be considered a reasonable basis for requesting a change in the audit engagement.

In contrast, a change may not be considered reasonable if it appears that the change relates to information that is incorrect, incomplete or otherwise unsatisfactory. An example might be where the auditor is unable to obtain sufficient appropriate audit evidence regarding receivables and the entity asks for the audit engagement to be changed to a review engagement to avoid a qualified opinion or a disclaimer of opinion.

Hence Deepa Ltd.'s request for the audit engagement to be changed to a review engagement to avoid a qualified opinion or a disclaimer of opinion is not reasonable.

ICAI · P5 · MTP Jan 2025 · Series II · question p. 9 · answer p. 3

1564 MTP **Sep 2024 S-I** Case Scenario 3 · MCQ 10 to MCQ 12

6 marks

CASE SCENARIO 3

Bandhu Charitable Trust is considering appointment of MNO & Associates, Chartered Accountants, as independent auditors of its financial statements. The Trust is engaged in providing affordable healthcare services. It is in interest of both auditor and client to issue an engagement letter so that the possibility of

misunderstanding is reduced to a great extent. It is, therefore, important that each party should be clear about nature of engagement. It should exactly specify the scope of work. Such an "engagement letter" is exchanged between Trust management and auditors.

While performing audit procedures, it is noticed by auditors that bills of two vehicles are not in name of Trust but in name of trustees. However, payment of these vehicles was made from bank account of Trust. The said vehicles are used for activities of Trust.

It is also noticed that a sum of ₹ 50.00 Lakh is reflected in Trust's financial statements in name of Gamma Instrument and Equipment in schedule of creditors. The said amount is outstanding since two years. The auditors sent confirmation request to the said supplier and seek management's co-operation in this regard. However, management of the Trust informs the auditor regarding certain dispute going on with the supplier of equipment due to some quality issues. It is further informed that dispute is near settlement and it would not be proper to send confirmation request as it can affect negotiation process.

Based on the above facts, answer the following: -

MCQ 10 2 marks

As regards exchange of engagement letter between Trust management and auditors is concerned, which of following statements is likely to be true?

A Engagement letter is sent by MNO & Associates to Bandhu Charitable Trust. It includes reference to the expected form and content of report to be issued by them and a statement that there may be circumstances in which such report may differ from its expected form and content.

B Engagement letter is sent by Bandhu Charitable Trust to MNO & Associates. It includes reference to the expected form and content of report to be issued by auditors. However, it does not include a statement that such report may differ from its expected form and content.

C Engagement letter is sent by MNO & Associates to Bandhu Charitable Trust. It includes reference to expected form and content of report to be issued by them. However, it does not include a statement that such a report may differ from its expected form and content.

D Engagement letter is sent by MNO & Associates to Bandhu Charitable Trust. It does not include reference to the expected form and content of report to be issued by them.

MCQ 11 2 marks

Considering the issues related to vehicles as described in the case study, identify the most appropriate statement.

A Auditors have identified misstatement concerning “Existence” assertion made by Trust management.

B Auditors have identified misstatement concerning "Rights and Obligations" assertion made by Trust management.

C Auditors have identified misstatement concerning "Accuracy" assertion made by Trust management.

D Auditors have identified misstatement concerning "Completeness" assertion made by Trust management.

MCQ 12 2 marks

What course of action should the auditor take regarding the amount payable to the equipment supplier when management has communicated that sending a confirmation request could negatively impact the negotiation process?

A The auditor should issue adverse opinion in auditor's report.

B The auditor should seek audit evidence as to the validity and reasonableness of the reasons for refusal and perform alternative audit procedures.

C The auditor should withdraw from engagement as Trust management's refusal is a limitation on scope of independent audit.

D The auditor should disclaim opinion in auditor's report.

ICAI'S ANSWERS

MCQ 10

(A)

MCQ 11

(B)

MCQ 12

(B)

ICAI · P5 · MTP Sep 2024 · Series I · question p. 5 · answer p. 1

1565 MTP **May 2024 S-II**

Case Scenario 2 · MCQ 2.1 to MCQ 2.4 8 marks

CASE SCENARIO 2

Watch IT India Private Limited is a company engaged in business of manufacturing smart watches. The company had a slow start in the beginning as company's products were gaining traction with customers. However, momentum has picked up during the year. The company wants to appoint M/s Tripati & Associates, a CA firm as their auditor for year 2023-24 by replacing their existing auditors M/s Sreepath and Co. M/s Tripati & Associates are willing to accept the engagement. They communicated with previous auditors before accepting the engagement. However, M/s Sreepath and Co. have failed to respond.

CA Kishan, partner of M/s Tripati & Associates explained to his team members about importance of Engagement letter. He also arranged a team discussion on matters relating to acceptance of terms of engagement.

First point of consideration was concerning preconditions for an audit. Mr. Arun, a team member

could recollect few of them. Those included determining whether financial reporting framework used in the preparation of financial statement is acceptable, management providing auditor with access to all relevant information and additional information upon auditor's request. It was further elaborated by Arun that management has to provide unrestricted access to employees within entity as may be required by auditor for obtaining audit evidence. Team members were asked to list factors that may necessitate revision of Engagement letter in case of recurring audits. Mr. Kumar, another team member replied that revision may be required in cases involving significant change in ownership, recent changes in senior management, change in financial reporting framework adopted in preparation of financial Statements, modest change in nature or size of the entity's business, change in legal and regulatory requirements etc.

Mr. Ram, one of the team members raised a doubt. He enquired regarding recourse available to incoming auditor in case management makes it clear before acceptance of engagement by auditor regarding its inability in providing support to him in respect of certain procedures expected to be performed during course of audit. In this respect, specific question was raised relating to sending of confirmation requests to material trade payables reflecting in financial statements of a company. Trade payables pertain to material input and input services acquired and utilised by company during

the year. Lack of support by management in such a case would, in effect, signify management's refusal to allow auditor to send confirmation requests at the outset before engagement is accepted by auditor.

Based on above, answer the following questions:

MCQ 2.1 2 marks

As regards doubt of Mr. Ram described in last para of case scenario, which of the following statements is likely to be in accordance with Standards on Auditing?

A. The auditor needs to inquire into management's reasons for the refusal and perform alternative audit procedures to obtain relevant and reliable audit evidence.

B. The auditor needs to evaluate implications of management's refusal on auditor's assessment of risk of material misstatement and perform alternative audit procedures to obtain relevant and reliable audit evidence.

C. The auditor should not accept such an engagement.

D. The auditor needs to evaluate implications of management's refusal on risk of fraud and perform alternative audit procedures to obtain relevant and reliable audit evidence.

MCQ 2.2 2 marks

When CA Kishan, the partner, asked about preconditions for an audit, Mr. Arun could recollect only few of them. Read the passage and find out which among the following points were missed.

(i) Obtaining management responsibility on specific legal aspects governing the organisation.

(ii) Obtaining management responsibility on Standards on Auditing applicable to the organisation.

(iii) Obtaining management responsibility for the preparation of financial statements as per applicable financial reporting framework.

(iv) Obtaining management responsibility on necessary Internal controls to enable preparation of financial statements which are free from material misstatement whether due to error or fraud.

Choose the correct answer from below options.

- A (i), (ii) and (iii)
- B (ii), (iii) and (iv)
- C (iii) and (iv)
- D (i) and (iv)

MCQ 2.3 2 marks

From what Mr. Kumar replied about the factors requiring a revision of Engagement letter one point was incorrect. Read the passage and find that incorrect factor.

- A A significant change in ownership
- B A recent change in management
- C A change in financial reporting framework adopted in preparation of Financial Statements

D A modest change in nature or size of the entity's business

MCQ 2.4 2 marks

M/s Sreepath & Co. have failed to respond to incoming auditors. In this regard, choose the most appropriate option: -

A It was unethical on part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of principle of objectivity governing professional ethics.

B It was ethical on part of outgoing auditors for failing to respond to communication made by incoming auditors. It does not involve violation of any of fundamental principles governing professional ethics.

C It was unethical on part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of principle of Professional competence and due care governing professional ethics.

D It was unethical on part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of principle of professional behaviour governing professional ethics.

ICAI'S ANSWERS

MCQ 2.1

(C) The auditor should not accept such an engagement.

MCQ 2.2

(C) (iii) and (iv)

MCQ 2.3

(D) A modest change in nature or size of the entity's business

MCQ 2.4

(D) It was unethical on part of outgoing auditors for failing to respond to communication made by incoming auditors. It is violation of principle of professional behaviour governing professional ethics.

ICAI · P5 · MTP May 2024 · Series II · question p. 3-4 · answer p. 1

1566 MTP **May 2024 S-II** Q5(d) 3 marks

The auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate. The agreed terms of the audit engagement shall be recorded in an audit *engagement letter* or other suitable form of written agreement. Who gives engagement letter to whom and what is included in such a letter?

ICAI'S ANSWER

The audit engagement letter is sent by the auditor to his client. It is in the interest of both the auditor and the client to issue an engagement letter so that the

possibility of misunderstanding is reduced to a great extent. Such a letter includes:

(a) The objective and scope of the audit of the financial statements

(b) The responsibilities of the auditor

(c) The responsibilities of management

(d) Identification of the applicable financial reporting framework for the preparation of the financial statements and

(e) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.

ICAI · P5 · MTP May 2024 · Series II · question p. 12 · answer p. 10

1567 MTP **Old P6 May 2023 S-II** General MCQ 7 1 mark

MCQ old scheme

If the auditor concludes that there is reasonable justification to change the engagement and if the audit work performed complied with the SAs applicable to the changed engagement, the report issued would be appropriate for the revised terms of engagement. In order to avoid confusion, the report would not include reference to:

A the original engagement; or any procedures that may have been performed in the original engagement.

B the original engagement;

C any procedures that may have been performed in the original engagement

D SAs applicable in revised engagement.

ICAI'S ANSWER

(A)

ICAI · Old P6 · MTP May 2023 · Series II · question p. 5 · answer p. 1

1568 MTP **Old P6 Nov 2022 S-I** Case scenario · Q2(a) to Q2(d)
14 marks old scheme

CASE SCENARIO

Discuss the following:

Q2(a) 4 marks

CA Raj, an engagement partner wants to establish whether the preconditions for an audit are present. Guide CA Raj in this context.

Q2(b) 4 marks

"An adequate planning benefits the audit of financial statements." Discuss.

Q2(c) 3 marks

The risk assessment procedures shall include the Inquiries of management and of others within the entity who in the auditor's judgment may have information that is likely to assist in identifying risks of material misstatement due to fraud or error. Explain giving at least three examples.

Q2(d) 3 marks

The auditor should consider relevance of IT in an audit of financial statements. Explain giving reasons.

ICAI'S ANSWERS

Q2(a)

In order to establish whether the preconditions for an audit are present, the auditor shall:

(1) Determine whether the financial reporting framework is acceptable; and

(2) Obtain the agreement of management that it acknowledges and understands its responsibility:

(i) For the preparation of the financial statements in accordance with the applicable financial reporting framework.

(ii) For the internal control as management considers necessary; and

(iii) To provide the auditor with:

- Access to all information such as records, documentation and other matters.
- Additional information that the auditor may request from management for the purpose of the audit; and
- Unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Q2(b)

Benefits of Planning in the audit of financial statements: Planning an audit involves establishing

the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways, including the following:

1. Helping the auditor to devote appropriate attention to important areas of the audit.
2. Helping the auditor identify and resolve potential problems on a timely basis.
3. Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
5. Facilitating the direction and supervision of engagement team members and the review of their work.
6. Assisting, where applicable, in coordination of work done by auditors of components and experts.

Q2(c)

Inquiries of Management and Others Within the Entity: Much of the information obtained by the auditor's inquiries is obtained from management and those responsible for financial reporting. However, the auditor may also obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others

within the entity and other employees with different levels of authority.

Examples

- Inquiries directed towards those charged with governance may help the auditor understand the environment in which the financial statements are prepared.
- Inquiries directed toward internal audit personnel may provide information about internal audit procedures performed during the year relating to the design and effectiveness of the entity's internal control and whether management has satisfactorily responded to findings from those procedures.
- Inquiries of employees involved in initiating, processing or recording complex or unusual transactions may help the auditor to evaluate the appropriateness of the selection and application of certain accounting policies.
- Inquiries directed toward in-house legal counsel may provide information about such matters as litigation, compliance with laws and regulations, knowledge of fraud or suspected fraud affecting the entity, warranties, post-sales obligations, arrangements (such as joint ventures) with business partners and the meaning of contract terms.
- Inquiries directed towards marketing or sales personnel may provide information about changes in the entity's marketing strategies, sales

trends, or contractual arrangements with its customers.

- Inquiries directed to the risk management function (or those performing such roles) may provide information about operational and regulatory risks that may affect financial reporting.
- Inquiries directed to information systems personnel may provide information about system changes, system or control failures, or other information system - related risks.

Q2(d)

The auditor should consider relevance of IT in an audit of financial statements for the following reasons:

(i) Since auditors rely on the reports and information generated by IT systems, there could be risk in the IT systems that could have an impact on audit.

(ii) Standards on auditing SA 315 and SA 330 require auditors to understand, assess and respond to risks that arise from the use of IT systems.

(iii) By relying on automated controls and using data analytics in an audit, it is possible to increase the effectiveness and efficiency of the audit process.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 6 · answer p. 2-3, 3, 3-4, 4

1569 MTP **Old P6 May 2022 S-I** General MCQ 4 1 mark

MCQ old scheme

The agreed terms of the audit engagement shall be recorded in an audit engagement letter or other suitable form of written agreement and shall include:

(i) The objective and scope of the audit of the financial statements;

(ii) The responsibilities of the auditor;

(iii) The responsibilities of management;

(iv) Identification of the applicable financial reporting framework for the preparation of the financial statements; and

(v) Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.

Which of the following is correct?

A (i),(ii),(iii)

B (i),(ii),(iii), (iv), (v)

C (i),(ii), (iv), (v)

D (i),(ii),(iii), (iv)

ICAI'S ANSWER

(B)

ICAI · Old P6 · MTP May 2022 · Series I · question p. 5 · answer p. 1

1570 MTP Old P6 May 2022 S-I Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

As an auditor of XYZ Ltd, how would you consider the acceptance of a change in audit engagement?

Q2(b) 4 marks

CA Vikas Jain discussed with his audit team about advantages and disadvantages of audit programme. He explained to his team that –"work may become mechanical" as disadvantage of the audit programme. Discuss explaining the disadvantages of an audit programme

Q2(c) 3 marks

The reliability of information to be used as audit evidence, and therefore of the audit evidence itself, is influenced by its source, its nature and the circumstances under which it is obtained. Explain and elucidate the guiding principles which are useful in assessing the reliability of audit evidence.

Q2(d) 3 marks

Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as materiality, size of the entity etc. Explain the other relevant considerations in the above context.

ICAI'S ANSWERS

Q2(a)

Acceptance of a Change in Engagement:

1. An auditor who, before the completion of the engagement, is requested to change the engagement to one which provides a lower level of assurance, should consider the appropriateness of doing so.
2. A request from the client for the auditor to change the engagement may result from a change in circumstances affecting the need for the service, a misunderstanding as to the nature of an audit or related service originally requested or a restriction on the scope of the engagement, whether imposed by management or caused by circumstances. The auditor would consider carefully the reason given for the request, particularly the implications of a restriction on the scope of the engagement, especially any legal or contractual implications.
3. If the auditor concludes that there is reasonable justification to change the engagement and if the audit work performed complied with the SAs applicable to the changed engagement, the report issued would be appropriate for the revised terms of engagement. In order to avoid confusion, the report would not include reference to:

(1) the original engagement; or

(2) any procedures that may have been performed in the original engagement, except where the engagement is changed to an engagement to undertake agreed-upon procedures and thus reference to the procedures performed is a normal part of the report.

4. The auditor should not agree to a change of engagement where there is no reasonable justification for doing so.
5. If the terms of the audit engagement are changed, the auditor and management shall agree on and record the new terms of the engagement in an engagement letter or other suitable form of written agreement.
6. If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall:

(a) Withdraw from the audit engagement where possible under applicable law or regulation; and

(b) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

Q2(b)

Some disadvantages are there in the use of audit programme. The disadvantages are:

(i) The work may become mechanical and particular parts of the programme may be carried out without

any understanding of the object of such parts in the whole audit scheme.

(ii) The programme often tends to become rigid and inflexible following set grooves; the business may change in its operation of conduct, but the old programme may still be carried on. Changes in staff or internal control may render precaution necessary at points different from those originally decided upon.

(iii) Inefficient assistants may take shelter behind the programme i.e. defend deficiencies in their work on the ground that no instruction in the matter is contained therein.

(iv) A hard and fast audit programme may kill the initiative of efficient and enterprising assistants.

Q2(c)

Reliability of Audit Evidence: As per SA 500 on "Audit Evidence", the reliability of information to be used as audit evidence, and therefore of the audit evidence itself, is influenced by its source and its nature, and the circumstances under which it is obtained, including the controls over its preparation and maintenance where relevant. Therefore, generalisations about the reliability of various kinds of audit evidence are subject to important exceptions.

While recognising that exceptions may exist, the following guiding principles about the reliability of audit evidence may be useful:

(i) The reliability of audit evidence is increased when it is obtained from independent sources outside the entity.

(ii) The reliability of audit evidence that is generated internally is increased when the related controls, including those over its preparation and maintenance, imposed by the entity are effective.

(iii) Audit evidence obtained directly by the auditor (for example, observation of the application of a control) is more reliable than audit evidence obtained indirectly or by inference (for example, inquiry about the application of a control).

(iv) Audit evidence in documentary form, whether paper, electronic, or other medium, is more reliable than evidence obtained orally (for example, a contemporaneously written record of a meeting is more reliable than a subsequent oral representation of the matters discussed).

(v) Audit evidence provided by original documents is more reliable than audit evidence provided by photocopies or facsimiles, or documents that have been filmed, digitized or otherwise transformed into electronic form, the reliability of which may depend on the controls over their preparation and maintenance.

Q2(d)

Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as the following:

- Materiality.
- The significance of the related risk.
- The size of the entity.
- The nature of the entity's business, including its organisation and ownership characteristics.
- The diversity and complexity of the entity's operations.
- Applicable legal and regulatory requirements.
- The circumstances and the applicable component of internal control.
- The nature and complexity of the systems that are part of the entity's internal control, including the use of service organisations.
- Whether, and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatement.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 7 · answer p. 2-3, 3, 3-4, 4

1571 MTP **Old P6 Dec 2021 S-II** General MCQ 1 2 marks

MCQ old scheme

Also asked in Old P6 MTP Jul 2021 S-II General MCQ 1

If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall:

A Withdraw from the audit engagement where possible under applicable law or regulation;

B Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

C Withdraw from the audit engagement where possible under applicable law or regulation and determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

D Withdraw from the audit engagement where possible under applicable law or regulation or determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 4 · answer p. 1

1572 MTP Old P6 Nov 2019 S-I MCQ 25 2 marks MCQ old scheme

According to SA 210 “Agreeing the Terms of Audit Engagements”, The auditor shall agree the terms of the audit engagement with :

A management

B those charged with governance

C management or those charged with governance, as appropriate.

D Audit committee

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 5 · answer p. 1

11.4 SQC 1 and SA 220: quality control

47 questions · asked in 29 ICAI documents · 8 exam papers

1573 EXAM Sep 2026 MCQ 14 2 marks MCQ

Before accepting the engagement of SAM Ltd., the Engagement partner decided to evaluate the integrity of the prospective client in accordance with the firm’s quality control policies relating to the acceptance and continuance of client relationships and specific engagements. Which of the following statements are correct while evaluating the Integrity of client as per SQC 1 ?

(i) The nature of the client’s operations, including its business practices, is a matter considered for

determining client's integrity.

(ii) Information concerning the client's attitude towards aggressive interpretation of accounting standards is not relevant for determining the client's integrity.

(iii) The reasons for non-reappointment of the previous firm need not be considered, for determining client's integrity.

(iv) Whether the client is aggressively concerned with maintaining the firm's fees as low as possible is a relevant factor for determining client's integrity.

Options :

A Only (i), (ii) and (iv)

B Only (i) and (iv)

C Only (i), (iii) and (iv)

D Only (iii) and (iv)

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P5 · Sep 2026 exam · question p. 12

1574 EXAM **May 2026** Case Scenario - II · MCQ 6 to MCQ 9

8 marks

CASE SCENARIO - II

Green Peak Ltd., a leading producer of sustainable packaging material manufactures a range of products including corrugated boxes and paper products.

For the financial year 2025-26, LMN & Co., Chartered Accountants, were appointed as the statutory auditors of the company. The audit was led by CA Aman Verma. The engagement partner CA Verma ensures that the audit team follows the firm's policies, supervises audit work, and ensures compliance with professional standards.

CA Verma obtained an understanding of the company's operations and documented audit plan activities including matters relevant to the overall audit strategy and audit programme.

During the audit, the audit team performed procedures relating to property, plant and equipment, including examination of accounting records, supporting documents, fixed asset register, and depreciation calculations in the financial statements.

Additionally the auditor carried out the following substantive analytical procedures to collect various other evidences-

(i) The auditor compares the current year's administrative expenses with the expenses of the previous four years and analysed the fluctuations.

(ii) He noticed, that the company pays sales commission at 4% of total sales. Based on total sales recorded during the year, the auditor estimates the expected commission and compares it with the commission expense recorded in the books.

(iii) He compared the inventory turnover ratio of the current year with that of previous years.

(iv) Using historical data of production volume and power consumption, the auditor develops a statistical model to estimate expected electricity expenses for the current year.

Based on the above facts, answer the following: (6 to 9)

MCQ 6 2 marks

Which of the following statements relating to the firm's system of quality control is/are correct in accordance with SQC 1?

(I) The firm's system of quality control consists of policies designed to be established separately for each audit engagement.

(II) It is designed to provide reasonable assurance that the firm and its personnel comply with professional standards and legal requirements.

(III) The responsibility for establishing the firm's system of quality control lies with the engagement partner of each audit engagement.

(IV) The firm's system of quality control consists of policies designed to achieve its objectives.

A (I) and (II) only

B (I) and (III) only

C (II) only

D (II) and (IV) only

MCQ 7 2 marks

Suggest the audit team members of LMN & Co. to match the apt combination from the following information as per SA 300.

(a)

Description

Evaluating compliance with ethical requirement, including independence

(i)

Elements of Planning

Audit Programme

(b)

Description

Detailed plan of applying audit procedures

(ii)

Elements of Planning

Preliminary engagement activity

(c)

Description

Determination of materiality

(iii)

Elements of Planning

Audit Strategy

(d)

Description

Consideration of number and location of branches for audit

(iv)

Elements of Planning

Audit Plan

A (a)-(iv), (b)-(iii), (c)-(ii), (d)-(i)

B (a)-(ii), (b)-(i), (c)-(iv), (d)-(iii)

C (a)-(iii), (b)-(iv), (c)-(ii), (d)-(i)

D (a)-(ii), (b)-(iv), (c)-(i), (d)-(iii)

MCQ 8 2 marks

As per the understanding of CA Verma, which of the following options, falls outside the scope of audit of financial statements?

(I) Assessing the physical condition of industrial buildings and heavy & sophisticated machinery.

(II) Examining the reliability and sufficiency of financial information for audit purposes.

(III) Determining the suitability of buildings for continued use and estimating their remaining useful life.

(IV) Ensuring proper disclosure of property, plant and equipment in the financial statements.

A (I) and (III)

B (II) and (IV)

C (I), (II) and (III)

D (I) and (II)

MCQ 9 2 marks

CA Verma performed various substantive analytical procedures in the above case study. Which type of procedure is being performed in each of the given four circumstances?

Procedures		Type
(i)	(a)	Ratio Analysis
(ii)	(b)	Structural modelling
(iii)	(c)	Reasonableness Tests
(iv)	(d)	Trend Analysis

A (i)-(c), (ii)-(d), (iii)-(a), (iv)-(b)

B (i)-(d), (ii)-(b), (iii)-(a), (iv)-(c)

C (i)-(a), (ii)-(c), (iii)-(b), (iv)-(d)

D (i)-(d), (ii)-(c), (iii)-(a), (iv)-(b)

ICAI'S ANSWERS

MCQ 6

Answer key: **(D)**

MCQ 7

Answer key: **(B)**

MCQ 8

Answer key: **(A)**

MCQ 9

Answer key: **(D)**

ICAI · P5 · May 2026 exam · question p. 4-5 · answer p. 11

1575 **EXAM** **May 2026** MCQ 13 **2 marks** **MCQ**

As part of a firm's system of quality control for audits of financial statements, a monitoring process is designed to provide reasonable assurance that the firm's policies and procedures are relevant, adequate, and operating effectively.

Which of the following matter, the engagement partner need not to document as part of the monitoring element of quality control?

A. Issues identified with respect to compliance with relevant ethical requirements and how they were resolved.

B. Conclusions on compliance with independence requirements that apply to the audit engagement.

C. Observations about the efficiency of audit procedures performed or suggestions for improving audit team productivity.

D. Conclusions reached regarding the acceptance and continuance of client relationships and audit engagements.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P5 · May 2026 exam · question p. 9 · answer p. 11

1576 EXAM Jan 2026 Q1(a) 5 marks

M/s RS & Co. has been appointed as the statutory auditor of Blue Sky Ltd., a listed company, for the financial year 2024-25. CA R is the engagement partner for this assignment. During the audit, the firm decided that an Engagement Quality Control Review (EQCR) is required for Blue Sky Ltd.

CA T appointed as the engagement quality control reviewer raised concerns regarding the adequacy of documentation for related party transactions and inventory valuation.

However, the management is pressuring CA R to issue the auditor's report before the board meeting, even though the EQCR process is not yet complete. There is also a disagreement between CA R and CA T regarding the extent of further audit procedures.

As per SA 220, "Quality Control for an Audit of Financial Statements," discuss the responsibilities of CA R as the engagement partner in relation to overall direction and review of the audit and the specific responsibilities relating the EQCR.

ICAI'S ANSWER

Responsibilities of CA R as the engagement partner in relation to overall direction and review of the audit: As per SA 220 - "Quality Control for an audit of financial statements",

(i) Engagement partner has the responsibility for direction, supervision and performance of audit

engagement in accordance with professional standards and regulatory and legal requirements.

(ii) He is responsible for auditor's report being appropriate in circumstances.

(iii) Review of audit documentation before issue of audit report is his responsibility.

(iv) It has to be ensured that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for issuance of auditor's report.

(v) Engagement partner is also responsible for ensuring undertaking appropriate consultation on difficult or contentious matters by engagement team not only within the team but also with others at appropriate level within or outside the firm.

Specific responsibilities relating to EQCR: For audits of financial statements of listed entities, and those other audit engagements, if any, for which the firm has determined that an engagement quality control review is required, the engagement partner shall:

(i) Determine that an engagement quality control reviewer has been appointed.

(ii) Discuss significant matters arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer.

(iii) Not date the auditor's report until the completion of the engagement quality control review.

(iv) If differences of opinion arise within the engagement team, with those consulted or, where applicable, between the engagement partner and the engagement quality control reviewer, the engagement team shall follow the firm's policies and procedures for dealing with and resolving differences of opinion.

Accordingly, CA R must ensure that the audit is properly directed, reviewed and completed, and that the auditor's report is not issued until the EQCR is completed and all significant matters and differences of opinion are resolved in accordance with SA 220, notwithstanding management pressure.

ICAI · P5 · Jan 2026 exam · question p. 12 · answer p. 13-14

1577 EXAM **Jan 2026** Case scenario · Q4(c)(i) to Q4(c)(iii)

4 marks

CASE SCENARIO

Ms. Shalini, an articled clerk in Namrata & Co. LLP, has the following questions while going through SQC-1. Guide her on the following:

Q4(c)(i) 2 marks

Can the firm have a mechanism to ensure compliance with independence requirements?

Q4(c)(ii) 1 mark

Is engagement quality review mandatory for all engagements?

Q4(c)(iii) 1 mark

Can the firm obtain from Ms. Shalini a written confirmation of compliance with the firm's policies and procedures on independence?

ICAI'S ANSWERS

Q4(c)(i)

There should exist a mechanism in the firm by which engagement partners provide the firm with relevant information about client engagements and personnel of firm promptly notify firm of circumstances and relationships that create a threat to independence. All breaches of independence should be promptly notified to firm for appropriate action. Its objective is to ensure that independence requirements are satisfied.

Q4(c)(ii)

Engagement quality control review is mandatory for all audits of financial statements of listed entities. In respect of other engagements, firm should devise criteria to determine cases requiring performance of engagement quality control review.

Q4(c)(iii)

At least annually, the firm should obtain written confirmation of compliance with its policies and procedures on independence from all firm personnel required to be independent in terms of the requirements of the Code.

1578 EXAM **Sep 2025** Q4(b) 5 marks

RK Associates, a leading Chartered Accountant firm were approached by SK Group, for appointment as statutory auditors for their new start-up company. It was learnt that some companies of the group faced raids by the Enforcement Directorate, in the recent past. The firm follows the SQC 1 and the firm's Quality control policy requires it to obtain vital information about the client before accepting an engagement. Specify the matters which the firm would consider for verifying the integrity of the client, to decide on acceptance of the engagement. Your answer should be in line with SQC 1.

ICAI'S ANSWER

As per SQC 1, matters RK Associates would consider for verifying the integrity of SK Group to decide on acceptance of the engagement are as under:

(i) The identity and business reputation of the client's principal owners, key management, related parties and those charged with its governance.

(ii) The nature of the client's operations, including its business practices.

(iii) Information concerning the attitude of the client's principal owners, key management and those charged with its governance towards such

matters as aggressive interpretation of accounting standards and the internal control environment.

(iv) Whether the client is aggressively concerned with maintaining the firm's fees as low as possible.

(v) Indications of an inappropriate limitation in the scope of work.

(vi) Indications that the client might be involved in money laundering or other criminal activities.

(vii) The reasons for the proposed appointment of the firm and non-reappointment of the previous firm.

ICAI · P5 · Sep 2025 exam · question p. 20 · answer p. 21-22

1579 **EXAM** **May 2025** **Q4(b)** **5 marks**

M/S ABC & Co., Chartered Accountants, have been appointed as the statutory auditors of DEF Ltd., which is a listed company, for the Financial Year 2024-25. CA X, a seasoned Chartered Accountant with over 15 years of experience has been assigned as the engagement partner for this audit. CA X takes responsibility for maintaining overall quality on this audit engagement in accordance with SA 220.

What do the actions of engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on audit engagement emphasize?

ICAI'S ANSWER

As per SA 220, "Quality Control for an audit of Financial Statements", leadership responsibility of an engagement partner is to take responsibility for the overall quality on each audit engagement. The actions of the engagement partner CA X and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise on:

(I) The importance to audit quality of:

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals.

(II) The fact that quality is essential in performing audit engagements.

ICAI · P5 · May 2025 exam · question p. 17 · answer p. 18-19

1580 **EXAM** **May 2024** Q6(a) **4 marks**

CA M is the engagement partner of the firm M/s Y2Z LLP and he is auditing the financial statements of a listed entity ABC Ltd. The audit firm has determined that an engagement quality control review is required

for this assignment. Discuss the responsibilities of CA M as an engagement partner for engagement quality control review as per SA-220.

ICAI'S ANSWER

Engagement Performance: As per SA 220, for audits of financial statements of listed entities, and those other audit engagements, if any, for which the firm has determined that an engagement quality control review is required, the engagement partner shall:

(i) Determine that an engagement quality control reviewer has been appointed.

(ii) Discuss significant matters arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer.

(iii) Not date the auditor's report until the completion of the engagement quality control review.

(iv) If differences of opinion arise within the engagement team, with those consulted or, where applicable, between the engagement partner and the engagement quality control reviewer, the engagement team shall follow the firm's policies and procedures for dealing with and resolving differences of opinion.

ICAI · P5 · May 2024 exam · question p. 18 · answer p. 19

1581 EXAM Old P6 Nov 2023 Q2(c) 3 marks old scheme

The engagement partner shall form a conclusion on compliance with independence requirements that apply to an audit engagement. State the relevant requirements as per relevant SA 220- Quality control for an audit of Financial Statements.

ICAI'S ANSWER

As per SA 220, the engagement partner shall form a conclusion on compliance with independence requirements that apply to the audit engagement. In doing so, the engagement partner shall:

(a) Obtain relevant information from the firm to identify and evaluate circumstances and relationships that create threats to independence.

(b) Evaluate information on identified breaches, if any, of the firm's independence policies and procedures to determine whether they create a threat to independence for the audit engagement; and

(c) Take appropriate action to eliminate such threats or reduce them to an acceptable level by applying safeguards, or, if considered appropriate, to withdraw from the audit engagement, where withdrawal is permitted by law or regulation. The engagement partner shall promptly report to the firm any inability to resolve the matter for appropriate action.

ICAI · Old P6 · Nov 2023 exam · question p. 3 · answer p. 4-5

1582 EXAM **Old P6 Nov 2023** Q6(c) 3 marks old scheme

An auditing firm should monitor compliance with quality control policies and procedures. Discuss the purpose of this.

ICAI'S ANSWER

The purpose of monitoring compliance with quality control policies and procedures is to provide an evaluation of:

(i) Adherence to professional standards and regulatory and legal requirements;

(ii) Whether the quality control system has been appropriately designed and effectively implemented; and

(iii) Whether the firm's quality control policies and procedures have been appropriately applied so that reports that are issued by the firm or engagement partners are appropriate in the circumstances.

ICAI · Old P6 · Nov 2023 exam · question p. 12 · answer p. 13

1583 EXAM **Old P6 Nov 2019** Q2(c) 3 marks old scheme

The engagement partner shall take the responsibility for the overall 'quality on each audit engagement to which that partner is assigned. Discuss with reference to SA 220 "Quality Control for an audit of financial statements".

ICAI'S ANSWER

As per SA 220 "Quality Control for an Audit of Financial Statements", the engagement partner shall

take responsibility for the overall quality on each audit engagement to which that partner is assigned. The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise:

(a) The importance to audit quality of:

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals; and

(b) The fact that quality is essential in performing audit engagements

ICAI · Old P6 · Nov 2019 exam · question p. 3 · answer p. 4

1584 **RTP** **May 2026** **Q20**

ABC & Co., Chartered Accountants, was appointed as the statutory auditor of Kimi Manufacturing Ltd. for the financial year ended 31st March 2025. CA Arjun, a senior partner of the firm, was designated as the Engagement Partner for the audit engagement.

In accordance with SA 220, "Quality Control for an Audit of Financial Statements", CA Arjun took active

steps to demonstrate leadership and responsibility for the overall quality of the audit. He communicated to the engagement team the importance of complying with professional standards, regulatory and legal requirements, and adherence to the firm's quality control policies and procedures.

He also emphasised that the auditor's report should be appropriate in the circumstances and should be issued only after obtaining sufficient and appropriate audit evidence. Further, CA Arjun encouraged open communication within the engagement team and assured members that they could raise professional concerns or doubts without fear of reprisals. Throughout the engagement, he consistently highlighted that audit quality is essential in performing audit engagements.

With reference to SA 220, explain how the actions and messages conveyed by the engagement partner demonstrate leadership responsibilities for ensuring overall audit quality on an audit engagement.

ICAI'S ANSWER

Leadership responsibility of an engagement partner is to take responsibility for the overall quality on each audit engagement. The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise:

(a) The importance to audit quality of: -

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals.

(b) The fact that quality is essential in performing audit engagements.

Thus, in line with SA 220 – "Quality Control for an Audit of Financial Statements", the engagement partner, CA Arjun, has demonstrated effective leadership by taking responsibility for the overall quality of the audit engagement. Through his actions and communications, he emphasised the importance of compliance with professional standards, regulatory and legal requirements, adherence to the firm's quality control policies and procedures, issuance of an appropriate auditor's report, and fostering an environment where engagement team members can raise concerns without fear of reprisals. These actions clearly reinforce the fundamental principle that quality is essential in performing audit engagements, thereby fulfilling the leadership responsibilities of the engagement partner as required under SA 220.

ICAI · P5 · RTP May 2026 · question p. 11 · answer p. 22-23

1585 **RTP** **Sep 2024** **Q10**

CA N, engagement partner of LPS & Associates, is planning for audit of a large company. As part of preliminary engagement activities being performed in this regard, he wants to ensure that compliance with independence requirements is adhered. How shall he form a conclusion that audit firm complies with independence requirements?

ICAI'S ANSWER

The engagement partner, CA N shall form a conclusion on compliance with independence requirements that apply to the audit engagement. In doing so, CA N shall: -

(i) Obtain relevant information from the firm to identify and evaluate circumstances and relationships that create threats to independence

(ii) Evaluate information on identified breaches, if any, of the firm's independence policies and procedures to determine whether they create a threat to independence for the audit engagement and

(iii) Take appropriate action to eliminate such threats or reduce them to an acceptable level by applying safeguards, or, if considered appropriate, to withdraw from the audit engagement, where withdrawal is permitted by law or regulation. The engagement partner shall promptly report to the firm any inability to resolve the matter for appropriate action.

ICAI · P5 · RTP Sep 2024 · question p. 5-6 · answer p. 9-10

1586 **RTP** **Sep 2024** Q20

ABC & Associates, an audit firm, has been approached by a prospective company client that has been in business for about 10 years to conduct an audit of its financial statements. Before accepting the audit engagement, the firm wants to access the integrity of prospective client. With regard to the assessment of integrity, which matters should be considered by the audit firm?

ICAI'S ANSWER

With regard to the integrity of a client, matters that ABC & Associates should considers include, for example:

- The identity and business reputation of the client's principal owners, key management, related parties and those charged with its governance.
- The nature of the client's operations, including its business practices.
- Information concerning the attitude of the client's principal owners, key management and those charged with its governance towards such matters as aggressive interpretation of accounting standards and the internal control environment.
- Whether the client is aggressively concerned with maintaining the firm's fees as low as possible.

- Indications of an inappropriate limitation in the scope of work.
- Indications that the client might be involved in money laundering or other criminal activities.

ICAI · P5 · RTP Sep 2024 · question p. 8 · answer p. 15

1587 **RTP** **May 2024** **Q25**

"SA 220 is premised on the basis that the firm is subject to SQC 1". What do you understand by given statement in context of audit quality?

ICAI'S ANSWER

Audit quality is essential to maintain confidence in the independent assurance provided by the auditors. It is responsibility of auditor to maintain high audit quality. SQC 1 and SA 220 both deal with quality control. SQC 1 applies to entire firm. However, SA 220 applies to a particular audit engagement.

Based upon quality control system of firm established in accordance with requirements of SQC 1, quality control policies pertaining to audit engagements are decided by engagement teams. Engagement partner of a team is responsible for quality control procedures of a particular audit engagement in accordance with SA 220.

Therefore, SA 220 is premised on the basis that the firm is subject to SQC 1. Within the context of the firm's system of quality control, engagement teams have a responsibility to implement quality control

procedures that are applicable to the audit engagement.

ICAI · P5 · RTP May 2024 · question p. 14 · answer p. 31

1588 RTP **Old P6 May 2023** Q3(a) old scheme

The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise the importance to audit quality. Explain w.r.t SA 220

ICAI'S ANSWER

As per SA 220 "Quality Control for an Audit of Financial Statements", the engagement partner shall take responsibility for the overall quality on each audit engagement to which that partner is assigned.

The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise:

(1) The importance to audit quality of:

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals; and

(2) The fact that quality is essential in performing audit engagements.

ICAI · Old P6 · RTP May 2023 · question p. 8 · answer p. 14-15

1589 RTP **Old P6 Nov 2022** Q3(a) old scheme

The firm should establish policies and procedures designed to provide it with reasonable assurance that it has sufficient personnel with the capabilities, competence, and commitment to ethical principles. Explain stating clearly personnel issues addressed by such policies and procedures.

ICAI'S ANSWER

The firm should establish **policies and procedures** designed to provide it with reasonable assurance that it has sufficient personnel with the capabilities, competence, and commitment to ethical principles necessary to perform its engagements in accordance with professional standards and regulatory and legal requirements, and to enable the firm or engagement partners to issue reports that are appropriate in the circumstances.

Such policies and procedures address the following personnel issues:

(a) Recruitment.

(b) Performance evaluation.

(c) Capabilities.

(d) Competence.

(e) Career development.

(f) Promotion;

(g) Compensation; and

(h) Estimation of personnel needs.

ICAI · Old P6 · RTP Nov 2022 · question p. 10 · answer p. 17-18

1590 RTP **Old P6 Dec 2021** Q3(a) old scheme

The firm should establish policies and procedures designed to provide it with reasonable assurance that it has sufficient personnel with the capabilities, competence, and commitment to ethical principles. Discuss the personnel issues addressed by such policies and procedures. Also explain how addressing the personnel issues would empower the firm.

ICAI'S ANSWER

The firm should establish policies and procedures designed to provide it with reasonable assurance that it has sufficient personnel with the capabilities, competence, and commitment to ethical principles necessary to perform its engagements in accordance with professional standards and regulatory and legal requirements, and to enable the firm or engagement partners to issue reports that are appropriate in the circumstances.

Such policies and procedures address the following personnel issues:

(a) Recruitment;

(b) Performance evaluation;

(c) Capabilities;

(d) Competence;

(e) Career development;

(f) Promotion;

(g) Compensation; and

(h) Estimation of personnel needs.

Addressing these issues enables the firm to ascertain the number and characteristics of the individuals required for the firm's engagements. The firm's recruitment processes include procedures that help the firm select individuals of integrity as well as the capacity to develop the capabilities and competence necessary to perform the firm's work.

ICAI · Old P6 · RTP Dec 2021 · question p. 122 · answer p. 129

1591 RTP **Old P6 Jul 2021** General MCQ 2 MCQ old scheme

Also asked in Old P6 MTP Nov 2022 S-I General MCQ 2 · Old P6 MTP Jul 2021 S-I General MCQ 4

In relation to completed engagements, procedures designed to provide evidence of compliance by engagement teams with the firm's quality control policies and procedures is known as :

A Monitoring

B Inspection

C Subsequent Audit procedures

D Compliance procedures

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Jul 2021 · question p. 119 · answer p. 125

1592 RTP **Old P6 Jul 2021** Q3(b) old scheme

Through its policies and procedures, the firm seeks to establish consistency in the quality of engagement performance. This is often accomplished **through written or electronic manuals**, software tools or other forms of standardized documentation, and industry or subject matter-specific guidance materials. Explain the matters to be addressed in this context.

ICAI'S ANSWER

The firm should establish **policies and procedures** designed to provide it with reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements, and that the firm or the engagement partner issues reports that are appropriate in the circumstances.

Through its policies and procedures, the firm seeks to establish consistency in the quality of engagement performance. This is often accomplished **through written or electronic manuals**, software tools or other forms of standardized documentation, and industry or

subject matter-specific guidance materials. Matters addressed include the following:

- How engagement teams are briefed on the engagement to obtain an understanding of the objectives of their work.
- Processes for complying with applicable engagement standards.
- Processes of engagement supervision, staff training and coaching.
- Methods of reviewing the work performed, the significant judgments made and the form of report being issued.
- Appropriate documentation of the work performed and of the timing and extent of the review.
- Processes to keep all policies and procedures current.

ICAI · Old P6 · RTP Jul 2021 · question p. 120-121 · answer p. 128

1593 RTP **Old P6 Nov 2020** General MCQ 3 MCQ

old scheme

Mr. Salman, is an engagement partner of Khan & co. chartered accountants for an audit of Lava Ltd., he died of a stroke on 30.09.2019 after completing the entire routine audit work of Lava Ltd. Mr. Shoaib, one of the partners of Khan & Co. will be signing the accounts of Lava Ltd. What is the course of action to be taken by Mr. Shoaib?

A Sign the accounts of Lava Ltd without reviewing the work of his partner

B Sign the balance sheet after reviewing the work of his partner

C Withdraw the audit as the person who has performed the audit is no more

D Issue an adverse report

ICAI'S ANSWER

(B)

ICAI · Old P6 · RTP Nov 2020 · question p. 5-6 · answer p. 12

1594 RTP **Old P6 Nov 2020** Q3(a) old scheme

As per SA 220 "Quality Control for an Audit of Financial Statements", the engagement partner shall take responsibility for the overall quality on each audit engagement to which that partner is assigned. Explain clearly stating the meaning of engagement partner and also the actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement.

ICAI'S ANSWER

As per SA 220 "Quality Control for an Audit of Financial Statements", the engagement partner shall take responsibility for the overall quality on each audit engagement to which that partner is assigned.

The actions of the engagement partner and appropriate messages to the other members of the

engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise:

(a) The importance to audit quality of:

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals; and

(b) The fact that quality is essential in performing audit engagements.

Engagement partner refers to the partner or other person in the firm who is responsible for the audit engagement and its performance, and for the auditor's report that is issued on behalf of the firm, and who, where required, has the appropriate authority from a professional, legal or regulatory body.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 14

1595 RTP **Old P6 Nov 2020** Q3(b) old scheme

The firm should establish policies and procedures designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, operating

effectively and complied with in practice. Such policies and procedures should include an ongoing consideration and evaluation of the firm's system of quality control, including a periodic inspection of a selection of completed engagements.

Explain the purpose of monitoring compliance with quality control policies and procedures

ICAI'S ANSWER

The purpose of monitoring compliance with quality control policies and procedures is to provide an evaluation of:

(a) Adherence to professional standards and regulatory and legal requirements;

(b) Whether the quality control system has been appropriately designed and effectively implemented; and

(c) Whether the firm's quality control policies and procedures have been appropriately applied, so that reports that are issued by the firm or engagement partners are appropriate in the circumstances.

Follow-up by appropriate firm personnel so that necessary modifications are promptly made to the quality control policies and procedures.

ICAI · Old P6 · RTP Nov 2020 · question p. 7 · answer p. 14

1596 **RTP** **Old P6 Nov 2019** **Q2(b)** **old scheme**

The firm should **establish policies and procedures** designed to provide it with reasonable assurance that

the policies and procedures relating to the system of quality control are relevant, adequate, operating effectively and complied with in practice. Such policies and procedures should include an ongoing consideration and evaluation of the firm's system of quality control, including a periodic inspection of a selection of completed engagements. Explain in the above context the purpose of monitoring compliance with quality control policies and procedures.

ICAI'S ANSWER

The firm should **establish policies and procedures** designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, operating effectively and complied with in practice. Such policies and procedures should include an ongoing consideration and evaluation of the firm's system of quality control, including a periodic inspection of a selection of completed engagements.

The purpose of monitoring compliance with quality control policies and procedures is to provide an evaluation of:

(a) Adherence to professional standards and regulatory and legal requirements;

(b) Whether the quality control system has been appropriately designed and effectively implemented; and

(c) Whether the firm's quality control policies and procedures have been appropriately applied, so that

reports that are issued by the firm or engagement partners are appropriate in the circumstances.

Follow-up by appropriate firm personnel so that necessary modifications are promptly made to the quality control policies and procedures.

ICAI · Old P6 · RTP Nov 2019 · question p. 5 · answer p. 10-11

1597 **MTP** **Sep 2026 S-I** **Q4(b)** **5 marks**

Explain the responsibilities of the engagement partner under SA 220, Quality Control for an Audit of Financial Statements in relation to:

(i) Leadership responsibilities for quality on audits; and

(ii) Relevant ethical requirements.

ICAI'S ANSWER

SA 220 is modelled on the lines of SQC 1. It describes the responsibilities of the engagement partner in relation to various matters. In the context of the question, the responsibilities relating to leadership responsibilities for quality on audits and relevant ethical requirements are explained below:

A. **Leadership responsibilities for quality on audits:** Leadership responsibility of an engagement partner is to take responsibility for the overall quality on each audit engagement. The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise

(I) The importance to audit quality of: -

(i) Performing work that complies with professional standards and regulatory and legal requirements;

(ii) Complying with the firm's quality control policies and procedures as applicable;

(iii) Issuing auditor's reports that are appropriate in the circumstances; and

(iv) The engagement team's ability to raise concerns without fear of reprisals.

(II) The fact that quality is essential in performing audit engagements.

B. **Relevant ethical requirements:** The responsibilities of an engagement partner in relation to ethical requirements in an audit engagement are as under:

- Identifying a threat to independence regarding the audit engagement that safeguards may not be able to eliminate or reduce to an acceptable level.
- Reporting by engagement partner to the relevant persons within the firm to determine appropriate action, which may include eliminating the activity or interest that creates the threat, or withdrawing from the audit engagement, where withdrawal is legally permitted.

ICAI · P5 · MTP Sep 2026 · Series I · question p. 15 · answer p. 10-11

1598 MTP Sep 2026 S-II Q6(c) 4 marks

What matters should a firm consider with regard to the integrity of a client while evaluating whether to accept or continue an engagement, as required under SQC 1?

ICAI'S ANSWER

With regard to the integrity of a client, matters that the firm considers include, for example:

- The identity and business reputation of the client's principal owners, key management, related parties and those charged with its governance.
- The nature of the client's operations, including its business practices.
- Information concerning the attitude of the client's principal owners, key management and those charged with its governance towards such matters as aggressive interpretation of accounting standards and the internal control environment.
- Whether the client is aggressively concerned with maintaining the firm's fees as low as possible.
- Indications of an inappropriate limitation in the scope of work.
- Indications that the client might be involved in money laundering or other criminal activities.
- The reasons for the proposed appointment of the firm and non-reappointment of the previous firm.

1599 MTP **May 2026 S-I Q4(b)** 5 marks

SRT & Co., Chartered Accountants, are the statutory auditors of Dee Infra Projects Ltd., a listed company engaged in large infrastructure contracts.

During the audit for the year ended 31st March 2025, the Engagement Partner, Mr. A, came to know of the following matters:

1. The spouse of one of the senior members of the engagement team holds substantial equity shares in Dee Infra Projects Ltd.
2. The firm has recently provided consultancy services relating to internal financial controls implementation to the same client.
3. A partner of the firm has been offered a position on the advisory board of a group company of Dee Infra Projects Ltd.

Mr. A believes that certain situations may create threats to independence. However, due to the significance of the client, some partners of the firm are reluctant to consider withdrawal.

As per SA 220 “Quality Control for an Audit of Financial Statements”, discuss the responsibilities of the Engagement Partner in relation to ethical requirements in the above circumstances.

ICAI'S ANSWER

In the given case, issues relating to independence and ethical requirements have arisen during the audit engagement. As per SA 220, the Engagement Partner is responsible for forming a conclusion on compliance with relevant ethical requirements, including independence.

The responsibilities of an engagement partner in relation to ethical requirements in an audit engagement are as under: -

- **Identifying a threat to independence regarding the audit engagement that safeguards may not be able to eliminate or reduce to an acceptable level.**
  In the present case, financial interest held by the spouse of a team member, provision of consultancy services, and offer of advisory position may create self-interest, self-review, and familiarity threats. The Engagement Partner must evaluate whether these threats are significant and whether available safeguards (such as removal of the concerned team member, independent review, or discontinuation of non-audit services) can reduce the threats to an acceptable level.
- **Reporting by engagement partner to the relevant persons within the firm to determine appropriate action, which may include eliminating the activity or interest that creates the threat, or withdrawing from the audit**

engagement, where withdrawal is legally permitted.

Accordingly, Mr. A must communicate these matters to the appropriate authority within the firm (such as the Ethics Partner or Managing Partner). If safeguards are not sufficient to mitigate the threats, appropriate action must be taken. This may include:

- Disposal of the financial interest,
- Removal of affected personnel from the engagement,
- Discontinuation of conflicting services, or
- Withdrawal from the audit engagement, where withdrawal is legally permitted.

In the given case, the Engagement Partner is duty-bound under SA 220 to evaluate the identified threats to independence, ensure compliance with ethical requirements, and take appropriate corrective action. If the threats cannot be eliminated or reduced to an acceptable level through safeguards, the firm must either eliminate the underlying cause or withdraw from the engagement, as permitted by law. Failure to do so would amount to non-compliance with SA 220 and compromise the quality and credibility of the audit.

ICAI · P5 · MTP May 2026 · Series I · question p. 14-15 · answer p. 12-13

1600 MTP Jan 2026 S-I Q4(b) 5 marks

As per SQC 1 - "The firm's system of quality control should include policies and procedures addressing each element." In this context, describe the essential elements that a firm's system of quality control should include and explain the importance of communicating these quality control policies and procedures to the firm's personnel.

ICAI'S ANSWER

As per SQC 1 – "Quality Control for firms that perform audits and reviews of historical financial Information, and other assurance and related services engagements", the firm's system of quality control should include policies and procedures addressing each of the following elements: -

(A) Leadership responsibilities for quality within the firm

(B) Ethical requirements

(C) Acceptance and continuance of client relationships and specific engagements

(D) Human resources

(E) Engagement performance

(F) Monitoring

Quality control policies and procedures should be documented and communicated to the firm's personnel. By communicating, the firm recognizes the importance of obtaining feedback on its quality control system from its personnel. Therefore, the

firm encourages its personnel to communicate their views or concerns on quality control matters.

ICAI · P5 · MTP Jan 2026 · Series I · question p. 11 · answer p. 8-9

1601 MTP **May 2025 S-I Q1(b)** 5 marks

Sigma Ltd. has approached CJK & Associates to appoint them as their auditor for a period of 5 years in accordance with provisions of the Companies Act, 2013. The prospective client company is new to audit firm. SQC 1 requires that a firm before accepting engagement should inquire vital information about the client which helps firm to decide about integrity of client. Apart from integrity, obtaining such vital information about client is helpful to audit firm in deciding about which other matters? Which matters would be considered by audit firm with regard to integrity of client?

ICAI'S ANSWER

A firm before accepting an engagement should acquire vital information about the client. Such an information should help firm to decide about:

- Integrity of Client
- Competence (including capabilities, time and resources) to perform engagement
- Compliance with ethical requirements

With regard to the integrity of a client, matters that the firm considers include, for example:

- The identity and business reputation of the client's principal owners, key management,

related parties and those charged with its governance.

- The nature of the client's operations, including its business practices.
- Information concerning the attitude of the client's principal owners, key management and those charged with its governance towards such matters as aggressive interpretation of accounting standards and the internal control environment.
- Whether the client is aggressively concerned with maintaining the firm's fees as low as possible.
- Indications of an inappropriate limitation in the scope of work.
- Indications that the client might be involved in money laundering or other criminal activities.
- The reasons for the proposed appointment of the firm and non-reappointment of the previous firm.

ICAI · P5 · MTP May 2025 · Series I · question p. 8 · answer p. 2

1602 MTP **Sep 2024 S-I** Q3(c) 4 marks

SQC 1 requires assumption of leadership responsibilities for quality within firm. Are such leadership responsibilities required for audit engagements only? Who assumes such leadership responsibilities within firm? How it is important for audit quality?

ICAI'S ANSWER

SQC 1 requires firms to establish policies and procedures designed to promote an internal culture based on the recognition that quality is essential in performing engagements. Therefore, such leadership responsibilities are required for all engagements and not for audit engagements only.

Such policies and procedures should require the firm's chief executive officer or the firm's managing partners to assume ultimate responsibility for the firm's system of quality control. The example set by firm's leadership encourages an inner culture that recognizes high quality audit work. Further, persons assigned operational responsibilities for the firm's quality control system by the firm's chief executive officer or managing partners should have sufficient and appropriate experience, ability and the necessary authority to assume that responsibility.

ICAI · P5 · MTP Sep 2024 · Series I · question p. 9 · answer p. 5

1603 MTP **May 2024 S-I Q4(d)** 3 marks

SQC 1 dwells upon engagement quality control review (EQCR) as part of system of quality control in a firm. Why is such a review required? For which type of engagements EQCR is mandatory?

What should be approach of firm for engagements for which EQCR is not mandatory?

ICAI'S ANSWER

Significant judgments made in an engagement should be reviewed by an engagement quality control reviewer for taking an objective view before the report is issued. Engagement quality control review is mandatory for all audits of financial statements of listed entities.

In respect of other engagements, firm should devise criteria to determine cases requiring performance of engagement quality control review.

ICAI · P5 · MTP May 2024 · Series I · question p. 12 · answer p. 7

1604 MTP **May 2024 S-I** Q6(e) 3 marks

An engagement partner takes overall responsibility for maintaining audit quality in an audit engagement in accordance with SA 220. What are his objectives in taking and emphasizing such responsibility?

ICAI'S ANSWER

Leadership responsibility of an engagement partner is to take responsibility for the overall quality on each audit engagement. The actions of the engagement partner and appropriate messages to the other members of the engagement team, in taking responsibility for the overall quality on each audit engagement, emphasise-

(a) The importance to audit quality of:

(i) Performing work that complies with professional regulatory and legal requirements

(ii) Complying with the firm's quality control policies and procedures as applicable

(iii) Issuing auditor's reports that are appropriate in the circumstances and

(iv) The engagement team's ability to raise concerns without fear of reprisals.

(b) The fact that quality is essential in performing audit engagements.

ICAI · P5 · MTP May 2024 · Series I · question p. 13 · answer p. 11

1605 MTP **Old P6 May 2023 S-I** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

The firm should establish **policies and procedures** designed to provide it with reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements, and that the firm or the engagement partner issues reports that are appropriate in the circumstances. Explain.

Q2(b) 4 marks

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways. Explain such benefits of planning in the audit of financial statements.

Q2(c) 3 marks

The division of internal control into five components provides a useful framework for auditors to consider how different aspects of an entity's internal control may affect the audit. Mention those components of internal control.

Q2(d) 3 marks

With respect to audit in an automated environment, explain the following:

(i) General (IT) Controls

(ii) Material Weakness

(iii) Data Processing

ICAI'S ANSWERS

Q2(a)

The firm should establish policies and procedures designed to provide it with reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements, and that the firm or the engagement partner issues reports that are appropriate in the circumstances.

Through its policies and procedures, the firm seeks to establish consistency in the quality of engagement performance. This is often accomplished through written or electronic manuals, software tools or other forms of standardized documentation, and industry or

subject matter-specific guidance materials. Matters addressed include the following:

- How engagement teams are briefed on the engagement to obtain an understanding of the objectives of their work.
- Processes for complying with applicable engagement standards.
- Processes of engagement supervision, staff training and coaching.
- Methods of reviewing the work performed, the significant judgments made and the form of report being issued.
- Appropriate documentation of the work performed and of the timing and extent of the review.
- Processes to keep all policies and procedures current.

Q2(b)

Planning an audit involves establishing the overall audit strategy for the engagement and developing an audit plan. Adequate planning benefits the audit of financial statements in several ways, including the following:

(a) Helping the auditor to devote appropriate attention to important areas of the audit.

(b) Helping the auditor identify and resolve potential problems on a timely basis.

(c) Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.

(d) Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.

(e) Facilitating the direction and supervision of engagement team members and the review of their work.

(f) Assisting, where applicable, in coordination of work done by auditors of components and experts.

Q2(c)

Division of Internal Control into Components: The division of internal control into the following five components provides a useful framework for auditors to consider how different aspects of an entity's internal control may affect the audit:

(i) The control environment;

(ii) The entity's risk assessment process;

(iii) Monitoring of controls.

(iv) Control activities; and

(v) The information system, including the related business processes, relevant to financial reporting, and communication.

Q2(d)

(i) General (IT) Controls: Are a type of internal controls that help in mitigating risks that arise due to use of information technology and information systems in a business.

(ii) Material Weakness: A control deficiency or a combination of deficiencies in internal controls that is important enough to merit the attention of those charged with governance since there is a reasonable possibility that a material misstatement will not be prevented or detected in a timely manner by management.

(iii) Data processing: Refers to the systematic recording, storage, retrieval, modification and transformation of electronic data using information systems.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 6 · answer p. 2, 3

1606 MTP **Old P6 Nov 2022 S-II** Question 2 · Q2(a) to Q2(d)

14 marks old scheme

QUESTION 2

Discuss the following:

Q2(a) 4 marks

The firm should establish policies and procedures designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, operating effectively and complied with in practice. Explain the

purpose of monitoring compliance with quality control policies and procedures.

Q2(b) 4 marks

XYZ & associates are appointed as the statutory auditors of Fisco Ltd. for the FY 2021-22. While constructing the audit programme, the engagement partner, CA X, should keep in mind various points. List such points.

Q2(c) 3 marks

Explain what understanding should an auditor obtain regarding an entity's risk assessment process (one of the components of the internal control of the entity).

Q2(d) 3 marks

With respect to audit in an automated environment, explain the following:

(i) CAATs

(ii) Data Analytics

(iii) Database

ICAI'S ANSWERS

Q2(a)

The firm should **establish policies and procedures** designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, operating effectively and complied with in practice. Such policies and procedures should include an ongoing consideration and evaluation of the firm's system of quality control, including a periodic inspection of a selection of completed engagements.

The purpose of monitoring compliance with quality control policies and procedures is to provide an evaluation of:

(1) Adherence to professional standards and regulatory and legal requirements;

(2) Whether the quality control system has been appropriately designed and effectively implemented; and

(3) Whether the firm's quality control policies and procedures have been appropriately applied, so that reports that are issued by the firm or engagement partners are appropriate in the circumstances.

Follow-up by appropriate firm personnel so that necessary modifications are promptly made to the quality control policies and procedures.

Q2(b)

For the purpose of audit programme construction, CA X should keep in mind the following points:

(1) Stay within the scope and limitation of the assignment.

(2) Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.

(3) Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.

(4) Apply only those steps and procedures which are useful in accomplishing the verification purpose in

the specific situation.

(5) Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.

(6) Consider all possibilities of error.

(7) Co-ordinate the procedures to be applied to related items.

Q2(c)

The Entity's Risk Assessment Process– Component of Control Environment

The auditor shall obtain an understanding of whether the entity has a process for:

(a) Identifying business risks relevant to financial reporting objectives;

(b) Estimating the significance of the risks;

(c) Assessing the likelihood of their occurrence; and
(d) Deciding about actions to address those risks.

The entity's risk assessment process forms the basis for the risks to be managed. If that process is appropriate, it would assist the auditor in identifying risks of material misstatement. Whether the entity's risk assessment process is appropriate to the circumstances is a matter of judgment.

Q2(d)

(i) CAATs: Short form for Computer Assisted Audit Techniques, are a collection of computer based tools

and techniques that are used in an audit for analysing data in electronic form to obtain audit evidence.

(ii) Data Analytics: A combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information

(iii) Database: A logical subsystem within a larger information system where electronic data is stored in a predefined form and retrieved for use.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 8 · answer p. 2-3, 3

1607 MTP **Old P6 Dec 2021 S-II Q3(a)** 4 marks old scheme

As per SA 220, "Quality Control for an Audit of Financial Statements" the auditor should obtain information considered necessary in the circumstances before accepting an engagement with a new client. Explain stating clearly the information that would assist the auditor in accepting and continuing of relationship with the client.

ICAI'S ANSWER

Information which assist the Auditor in accepting and continuing of relationship with Client: As per SA 220, "Quality Control for an Audit of Financial Statements" the auditor should obtain information considered necessary in the circumstances before accepting an engagement with a new client, when deciding whether to continue an existing engagement and when considering acceptance of a

new engagement with an existing client. The following information would assist the auditor in accepting and continuing of relationship with the client:

(i) The integrity of the principal owners, key management and those charged with governance of the entity;

(ii) Whether the engagement team is competent to perform the audit engagement and has the necessary capabilities, including time and resources;

(iii) Whether the firm and the engagement team can comply with relevant ethical requirements; and

(iv) Significant matters that have arisen during the current or previous audit engagement, and their implications for continuing the relationship.

ICAI · Old P6 · MTP Dec 2021 · Series II · question p. 6 · answer p. 3-4

1608 MTP **Old P6 Jul 2021 S-I** General MCQ 5 1 mark MCQ old scheme

As per SQC 1 the retention period for audit engagements ordinarily is no shorter than ..... from the date of the auditor's report.

A ten years

B five years

C seven years

D four years

ICAI'S ANSWER

(C)

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 4-5 · answer p. 1

APPENDIX

Out of syllabus

Old-scheme questions on topics the January 2027 syllabus no longer has, and items ICAI itself marks out of syllabus. Skip them unless you are curious.

A.1 Near Chapter 3: Risk Assessment and Internal Control

37 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1609 EXAM Old P6 Nov 2023 Q2(b) 4 marks old scheme

Strained relationship between management and the current or predecessor auditor is one of the risk factors relating to misstatements arising from Fraudulent Financial Reporting. Mention such circumstances.

ICAI'S ANSWER

Strained relationship between management and the current or predecessor auditor is one of the risk factors relating to misstatements arising from fraudulent financial reporting, as exhibited by the following:

1. Frequent disputes with the current or predecessor auditor on accounting, auditing, or reporting matters.
2. Unreasonable demands on the auditor, such as unrealistic time constraints regarding the completion of the audit or the issuance of the auditor's report.

3. Restrictions on the auditor that inappropriately limit access to people or information or the ability to communicate effectively with those charged with governance.
4. Domineering management behavior in dealing with the auditor, especially involving attempts to influence the scope of the auditor's work or the selection or continuance of personnel assigned to or consulted on the audit engagement.

PassBook's note: Out of syllabus (old scheme): fraud risk factors relating to fraudulent financial reporting are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment).

ICAI · Old P6 · Nov 2023 exam · question p. 3 · answer p. 4

1610 EXAM **Old P6 Nov 2023** Q4(c) 3 marks old scheme

Discrepancies in the accounting records, including transactions that are not recorded in a complete or timely manner or are improperly recorded as to amount, accounting period, classification or entity policy is one of the circumstances that indicate the possibility of fraud. Give four other examples relating to discrepancies in the accounting records which indicate the possibility of fraud.

ICAI'S ANSWER

The following are other examples of discrepancies in accounting records which indicate possibility of

fraud:

1. Unsupported or unauthorized balances or transactions.
2. Last-minute adjustments that significantly affect financial results.
3. Evidence of employees' access to systems and records inconsistent with that necessary to perform their authorized duties.
4. Tips or complaints to the auditor about alleged fraud.

PassBook's note: Out of syllabus (old scheme): circumstances that indicate the possibility of fraud (discrepancies in the accounting records) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment).

ICAI · Old P6 · Nov 2023 exam · question p. 7 · answer p. 8

1611 **EXAM** **Old P6 Nov 2022** Q5(d) **3 marks** **old scheme**

You notice a misstatement resulting from fraud or suspected fraud during the audit and conclude that it is not possible to continue the performance of audit. As a Statutory Auditor, how you will deal with this situation?

ICAI'S ANSWER

Inability of auditor to continue the engagement: If, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's

ability to continue performing the audit, the auditor shall:

(a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities;

(b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and

(c) If the auditor withdraws:

i. Discuss with the appropriate level of management and those charged with governance the auditor's withdrawal from the engagement and the reasons for the withdrawal; and

ii. Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal.

PassBook's note: Out of syllabus (old scheme): what the auditor shall do when a misstatement resulting from fraud or suspected fraud brings into question the ability to continue the audit (determine responsibilities, consider withdrawal, communicate it) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · Nov 2022 exam · question p. 10 · answer p. 11

1612 EXAM Old P6 May 2022 Q4(b) 4 marks old scheme

The auditor of RMP Limited has identified a fraud that, in his opinion, causes a material misstatement in the financial statements. Management personnel in higher management cadre are associated with manipulation of accounts of the company. But the auditor has not been able to understand as to why this type of fraud is generally committed. Guide him with some reasons.

ICAI'S ANSWER

Fraudulent Financial reporting – Manipulation of Accounts: In the given case of RMP Ltd, the auditor identified fraud causing material misstatement in the financial statements. Auditor did not understand the reasons of the type of fraud given in the case of RMP Ltd.

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(1) to avoid incidence of income-tax or other taxes;

(2) for declaring a dividend when there are insufficient profits;

(3) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to

make it possible for selected persons to acquire shares at a lower cost); and

(4) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

PassBook's note: Out of syllabus (old scheme): the reasons for manipulating accounts (fraudulent financial reporting) were taught in old Paper 6 under errors and frauds and SA 240; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material has no section on why accounts are manipulated, so the item carries only its nearest chapter (risk assessment), as o-p6-pyq-nov2023 does for SA 240.

ICAI · Old P6 · May 2022 exam · question p. 8 · answer p. 9

1613 EXAM **Old P6 Dec 2021** Q4(a) 4 marks old scheme

Statutory Auditors of TRB Ltd. observed various instances when either the TDS required to be deducted has not been deducted or deducted at lower than prescribed rates resulting in non-compliance of Income Tax provisions. Besides this, non-compliance under other acts like Labour Laws was also noticed by the auditor. What type of policies and procedures will you implement to assist in prevention and detection of non-compliance with laws and regulations?

ICAI'S ANSWER

Types of polices and procedures to assist prevention and detection of non-compliance with laws & regulation:

The following are examples of the types of policies and procedures, TRB Ltd may implement to assist in

the prevention and detection of non-compliance with laws and regulations:

(i) Monitoring legal requirements and ensuring that operating procedures are designed to meet these requirements.

(ii) Instituting and operating appropriate systems of internal control.

(iii) Developing, publicizing and following a code of conduct.

(iv) Ensuring employees are properly trained and understand the code of conduct.

(v) Monitoring compliance with the code of conduct and acting appropriately to discipline employees who fail to comply with it.

(vi) Engaging legal advisors to assist in monitoring legal requirements.

(vi) Maintaining a register of significant laws and regulations with which the entity has to comply within its particular industry and a record of complaints.

PassBook's note: Out of syllabus (old scheme): the policies and procedures an entity may implement to prevent and detect non-compliance with laws and regulations are SA 250 (Consideration of Laws and Regulations in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 250 and the January 2027 Study Material mentions it only in passing (Audit of Banks), so the item carries only its nearest chapter (risk assessment and internal control). ICAI's answer heading reads "Types of polices and procedures" and its list numbers the last two points "(vi)".

ICAI · Old P6 · Dec 2021 exam · question p. 7 · answer p. 8

1614 EXAM Old P6 Jan 2021 Q2(c) 3 marks old scheme

"Theft of an entity's assets is often perpetrated by employees in relatively small and immaterial amounts." Explain the various ways in which the same can be accomplished?

ICAI'S ANSWER

Misappropriation of Assets involves the theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management who are usually more able to disguise or conceal misappropriations in ways that are difficult to detect. Misappropriation of assets can be accomplished in a variety of ways including :

- Embezzling receipts (for example, misappropriating collections on accounts receivable or diverting receipts in respect of written-offaccounts to personal bank accounts).
- Stealing physical assets or intellectual property (for example, stealing inventory for personal use or for sale, stealing scrap for resale, colluding with a competitor by disclosing technological data in return for payment).
- Causing an entity to pay for goods and services not received (for example, payments to fictitious vendors, kickbacks paid by vendors to the entity's purchasing agents in return for inflating prices, payments to fictitious employees).
- Using an entity's assets for personal use (for example, using the entity's assets as collateral for

a personal loan or a loan to a related party).

PassBook's note: Out of syllabus (old scheme): the ways in which misappropriation of assets is accomplished are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment).

ICAI · Old P6 · Jan 2021 exam · question p. 3 · answer p. 4

1615 EXAM **Old P6 Jan 2021 Q4(d)** 3 marks old scheme

Explain any three ways where cash receipts are suppressed.

ICAI'S ANSWER

Few techniques of how receipts are suppressed are:

(1) ***Teeming and Lading:*** Amount received from a customer being misappropriated; also to prevent its detection the money received from another customer subsequently being credited to the account of the customer who has paid earlier. Similarly, moneys received from the customer who has paid thereafter being credited to the account of the second customer and such a practice is continued so that no one account is outstanding for payment for any length of time, which may lead the management to either send out a statement of account to him or communicate with him.

(2) Adjusting unauthorised or fictitious rebates, allowances, discounts, etc. to customer' accounts

and misappropriating amount paid by them.

(3) Writing off as debts in respect of such balances against which cash has already been received but has been misappropriated.

(4) Not accounting for cash sales fully.

(5) Not accounting for miscellaneous receipts, *e.g.*, sale of scrap, quarters allotted to the employees, etc.

(6) Writing down asset values in entirety, selling them subsequently and misappropriating the proceeds.

PassBook's note: Out of syllabus (old scheme): the ways in which cash receipts are suppressed (teeming and lading, fictitious rebates and write-offs) were part of old Paper 6's vouching and internal control content; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover them, so the item carries only its nearest chapter (risk assessment and internal control).

ICAI · Old P6 · Jan 2021 exam · question p. 7 · answer p. 8-9

1616 EXAM **Old P6 Nov 2020** Q5(a) 4 marks old scheme

As an auditor of PQR Ltd., you came across a misstatement resulting from fraud or suspected fraud which brings into question your ability to continue performing the audit. Explain the courses of actions available to you.

ICAI'S ANSWER

In the given case of PQR Ltd, the auditor came across a misstatement resulting from fraud or suspected fraud that brought into question the

auditor's ability to continue performing the audit. In such a situation, the auditor shall :

(a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities;

(b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and

(c) If the auditor withdraws:

(i) Discuss with the appropriate level of management and those charged with governance the auditor's withdrawal from the engagement and the reasons for the withdrawal.

(ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal.

PassBook's note: Out of syllabus (old scheme): what the auditor shall do when a misstatement resulting from fraud or suspected fraud brings into question the ability to continue the audit (determine responsibilities, consider withdrawal, communicate it) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · Nov 2020 exam · question p. 8 · answer p. 9

1617 EXAM Old P6 Nov 2019 Q5(d) 4 marks old scheme

"Inadequate internal control over assets may increase the susceptibility of misappropriation of those assets." State any three examples of such occurrence of misappropriation of such assets.

ICAI'S ANSWER

Inadequate internal control over assets may increase the susceptibility of misappropriation of those assets. For example, misappropriation of assets may occur because there is the following:

(i) Inadequate segregation of duties or independent checks.

(ii) Inadequate oversight of senior management expenditures, such as travel and other reimbursements

(iii) Inadequate record keeping with respect to assets.

(iv) Inadequate system of authorization and approval of transactions (for example, in purchasing).

(v) Inadequate physical safeguards over cash, investments, inventory, or fixed assets.

(vi) Lack of complete and timely reconciliations of assets.

(vii) Lack of timely and appropriate documentation of transactions, for example, credits for merchandise returns.

(viii) Lack of mandatory vacations for employees performing key control functions.

(ix) Inadequate management understanding of information technology, which enables information technology employees to perpetrate a misappropriation.

(x) Inadequate access controls over automated records, including controls over and review of computer systems event logs.

ICAI · Old P6 · Nov 2019 exam · question p. 8 · answer p. 10-11

1618 RTP **Old P6 Nov 2023** Q11 old scheme

Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Illustrate any three techniques by which fraud can be committed by management overriding controls.

ICAI'S ANSWER

Techniques of fraud committed by Management: Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Fraud can be committed by management overriding controls using such techniques as:

(1) Recording fictitious journal entries, particularly close to the end of an accounting period, to manipulate operating results or achieve other objectives

(2) Inappropriately adjusting assumptions and changing judgments used to estimate account balances

(3) Omitting, advancing or delaying recognition in the financial statements of events and transactions that have occurred during the reporting period

(4) Concealing, or not disclosing, facts that could affect the amounts recorded in the financial statements

(5) Engaging in complex transactions that are structured to misrepresent the financial position or financial performance of the entity

(6) Altering records and terms related to significant and unusual transactions.

PassBook's note: Out of syllabus (old scheme): the techniques by which management overrides controls to commit fraud are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught in its chapter "Fraud and Responsibilities of the Auditor in this Regard"; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions management override only in passing, so the item carries only its nearest chapter (risk assessment), as the same question in o-p6-mtp-may2022-s2 Q2(d) does. ICAI's techniques (1) to (5) end without a full stop, as printed.

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 23

1619 RTP **Old P6 Nov 2023** Q12 old scheme

Write the circumstances that indicate the possibility of fraud due to problematic or unusual relationship between the auditor and management.

ICAI'S ANSWER

Problematic or unusual relationships between the auditor and management, including:

1. Denial of access to records, facilities, certain employees, customers, vendors, or others from whom audit evidence might be sought.
2. Undue time pressures imposed by management to resolve complex or contentious issues.
3. Complaints by management about the conduct of the audit or management intimidation of engagement team members, particularly in connection with the auditor's critical assessment of audit evidence or in the resolution of potential disagreements with management.
4. Unusual delays by the entity in providing requested information.
5. Unwillingness to facilitate auditor access to key electronic files for testing through the use of computer-assisted audit techniques.
6. Denial of access to key IT operations staff and facilities, including security, operations, and systems development personnel.
7. An unwillingness to add or revise disclosures in the financial statements to make them more complete and understandable.
8. An unwillingness to address identified deficiencies in internal control on a timely basis.
9. Unwillingness by management to permit the auditor to meet privately with those charged with

governance

10. Accounting Policy that appears to be variance with industry norms
11. Frequent changes in accounting estimates that do not appear to result from changed circumstances
12. Tolerance of variations in the entity's code of conduct

PassBook's note: Out of syllabus (old scheme): the circumstances that indicate the possibility of fraud (problematic or unusual relationships between the auditor and management) are SA 240's Appendix 3 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment), as other old Paper 6 items on such circumstances do. Kept as printed: "Accounting Policy that appears to be variance with industry norms" (point 10).

ICAI · Old P6 · RTP Nov 2023 · question p. 12 · answer p. 23-24

1620 RTP **Old P6 May 2023** General MCQ 5 MCQ

old scheme

_____refers to events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud:-

A Fraud Risk Factors

B Misappropriation of assets

C Incentives/ Pressures

D Fraud

ICAI'S ANSWER

(A) Fraud Risk Factors

PassBook's note: Out of syllabus (old scheme): fraud risk factors (events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit it) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · RTP May 2023 · question p. 7 · answer p. 12

1621 **RTP** **Old P6 May 2023** **Q11** old scheme

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence. Explain stating clearly the objective behind committing this type of fraud.

ICAI'S ANSWER

Manipulation of Accounts: Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(a) to avoid incidence of income-tax or other taxes;

(b) for declaring a dividend when there are insufficient profits;

(c) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to

make it possible for selected persons to acquire shares at a lower cost); and

(d) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

PassBook's note: Out of syllabus (old scheme): the manipulation of accounts (fraudulent financial reporting by management) and the reasons it is committed were taught in old Paper 6's chapter on fraud and the auditor's responsibilities (SA 240).

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 20

1622 RTP **Old P6 May 2023** Q12 old scheme

In an audit of Financial statements of PQR Ltd., CA Vikas Khemka finds that the Cash receipts have been suppressed. Give examples of such techniques which may have led him suspect this.

ICAI'S ANSWER

(1) ***Teeming and Lading:*** Amount received from a customer being misappropriated; also to prevent its detection the money received from another customer subsequently being credited to the account of the customer who has paid earlier. Similarly, moneys received from the customer who has paid thereafter being credited to the account of the second customer and such a practice is continued so that no one account is outstanding for payment for any length of time, which may lead the management to either send out a statement of account to him or communicate with him.

(2) Adjusting unauthorised or fictitious rebates, allowances, discounts, etc. to customer' accounts and misappropriating amount paid by them.

(3) Writing off as debts in respect of such balances against which cash has already been received but has been misappropriated.

(4) Not accounting for cash sales fully.

(5) Not accounting for miscellaneous receipts, *e.g.*, sale of scrap, quarters allotted to the employees, etc.

(6) Writing down asset values in entirety, selling them subsequently and misappropriating the proceeds.

PassBook's note: Out of syllabus (old scheme): the techniques of suppressing cash receipts (teeming and lading, fictitious rebates and discounts, writing off debts already collected, writing down assets and selling them) were part of old Paper 6's fraud and internal control content.

ICAI · Old P6 · RTP May 2023 · question p. 9 · answer p. 20-21

1623 RTP **Old P6 Nov 2022 Q11** old scheme

Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Illustrate techniques by which fraud can be committed by management overriding controls.

ICAI'S ANSWER

Techniques of frauds committed by Management: Fraudulent financial reporting often involves management override of controls that otherwise

may appear to be operating effectively. Fraud can be committed by management overriding controls using such techniques as:

(1) Recording fictitious journal entries, particularly close to the end of an accounting period, to manipulate operating results or achieve other objectives

(2) Inappropriately adjusting assumptions and changing judgments used to estimate account balances

(3) Omitting, advancing or delaying recognition in the financial statements of events and transactions that have occurred during the reporting period

(4) Concealing, or not disclosing, facts that could affect the amounts recorded in the financial statements

(5) Engaging in complex transactions that are structured to misrepresent the financial position or financial performance of the entity

(6) Altering records and terms related to significant and unusual transactions.

PassBook's note: Out of syllabus (old scheme): the techniques by which management commits fraud by overriding controls are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), old Paper 6's Chapter 5 (Fraud and Responsibilities of the Auditor in this Regard); The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter, Risk Assessment and Internal Control (as o-p6-pyq-nov2023 and o-p6-pyq-jan2021).

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 22-23

1624 RTP Old P6 Nov 2022 Q12 old scheme

Write the examples of circumstances that indicate the possibility of fraud due to problematic or unusual relationship between the auditor and management.

ICAI'S ANSWER

Examples of circumstances that indicate the possibility of fraud due to problematic or unusual relationship between the auditor and management are:

1. Denial of access to records, facilities, certain employees, customers, vendors, or others from whom audit evidence might be sought.
2. Undue time pressures imposed by management to resolve complex or contentious issues.
3. Complaints by management about the conduct of the audit or management intimidation of engagement team members, particularly in connection with the auditor's critical assessment of audit evidence or in the resolution of potential disagreements with management.
4. Unusual delays by the entity in providing requested information.
5. Unwillingness to facilitate auditor access to key electronic files for testing through the use of computer-assisted audit techniques.
6. Denial of access to key IT operations staff and facilities, including security, operations, and systems development personnel.

7. An unwillingness to add or revise disclosures in the financial statements to make them more complete and understandable.
8. An unwillingness to address identified deficiencies in internal control on a timely basis.
9. Unwillingness by management to permit the auditor to meet privately with those charged with governance
10. Accounting Policy that appears to be variance with industry norms
11. Frequent changes in accounting estimates that do not appear to result from changed circumstances
12. Tolerance of variations in the entity's code of conduct

PassBook's note: Out of syllabus (old scheme): the circumstances indicating a possibility of fraud from a problematic or unusual relationship between the auditor and management are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements, its Appendix 3), old Paper 6's Chapter 5; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter, Risk Assessment and Internal Control (as q11). Kept as printed: "appears to be variance with industry norms" (point 10).

ICAI · Old P6 · RTP Nov 2022 · question p. 11 · answer p. 23

1625 RTP **Old P6 May 2022** General MCQ 2 MCQ

old scheme

Which of the following is not an example of inflation of payments:

A Making payments against fictitious vouchers.

B Adjusting unauthorized or fictitious rebates, allowances, discounts, etc. to customer' accounts and misappropriating amount paid by them.

C Making payments against vouchers, the amounts whereof have been inflated.

D Manipulating totals of wage rolls either by including therein names of dummy workers or by inflating them in any other manner.

ICAI'S ANSWER

(B)

PassBook's note: Out of syllabus (old scheme): the ways payments are inflated to misappropriate cash (fictitious or inflated vouchers, dummy workers on wage rolls), against the suppression of receipts through fictitious rebates in option (B), belonged to old Paper 6's vouching and errors and frauds content (SA 240).

ICAI · Old P6 · RTP May 2022 · question p. 6 · answer p. 12

1626 RTP **Old P6 May 2022** Q12 old scheme

While conducting audit of Always Best Company Ltd, auditor B of B L Kapur & Co. observes lot of intentional misstatements, e.g. fake invoices etc., and considers these encounters as exceptional circumstances and this brings into question his ability to continue performing the audit. Advise B as to what should he do?

ICAI'S ANSWER

If, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters

exceptional circumstances that bring into question the auditor's ability to continue performing the audit, the auditor shall:

(a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities;

(b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and

(c) If the auditor withdraws:

(i) Discuss with the appropriate level of management and those charged with governance the auditor's withdrawal from the engagement and the reasons for the withdrawal; and

(ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal.

PassBook's note: Out of syllabus (old scheme): what the auditor shall do when a misstatement resulting from fraud or suspected fraud brings into question the ability to continue the audit (determine responsibilities, consider withdrawal, communicate it) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · RTP May 2022 · question p. 10 · answer p. 22

1627 RTP Old P6 Dec 2021 Q11 old scheme

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. Explain why such frauds are committed.

ICAI'S ANSWER

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(a) to avoid incidence of income-tax or other taxes;

(b) for declaring a dividend when there are insufficient profits;

(c) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to make it possible for selected persons to acquire shares at a lower cost); and

(d) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

PassBook's note: Out of syllabus (old scheme): the reasons for manipulating accounts (fraudulent financial reporting by management) were taught in old Paper 6's chapter "Fraud and

Responsibilities of the Auditor in this Regard" (SA 240), the chapter ICAI's heading names; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material has no section on why accounts are manipulated, so the item carries only its nearest chapter (risk assessment), as o-p6-mtp-dec2021-s1 Q5(b) does.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 135

1628 **RTP** **Old P6 Dec 2021** Q12 old scheme

Also asked in Old P6 MTP Nov 2023 S-II Q4(b)

Misappropriation of assets involves the theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management who are usually more able to disguise or conceal misappropriations in ways that are difficult to detect.

Misappropriation of assets can be accomplished in a variety of ways. Explain those particular ways.

ICAI'S ANSWER

Misappropriation of assets involves the theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management who are usually more able to disguise or conceal misappropriations in ways that are difficult to detect. Misappropriation of assets can be accomplished in a variety of ways including:

- Embezzling receipts (for example, misappropriating collections on accounts

receivable or diverting receipts in respect of written-off accounts to personal bank accounts).

- Stealing physical assets or intellectual property (for example, stealing inventory for personal use or for sale, stealing scrap for resale, colluding with a competitor by disclosing technological data in return for payment).
- Causing an entity to pay for goods and services not received (for example, payments to fictitious vendors, kickbacks paid by vendors to the entity's purchasing agents in return for inflating prices, payments to fictitious employees).
- Using an entity's assets for personal use (for example, using the entity's assets as collateral for a personal loan or a loan to a related party).

Misappropriation of assets is often accompanied by false or misleading records or documents in order to conceal the fact that the assets are missing or have been pledged without proper authorization.

PassBook's note: Out of syllabus (old scheme): the ways in which misappropriation of assets is accomplished are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught in the chapter ICAI's heading names; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment), as o-p6-mtp-may2023-s2 Q3(a) does. ICAI's arrow bullets (➢) are written as a list.

ICAI · Old P6 · RTP Dec 2021 · question p. 124 · answer p. 135

1629 RTP Old P6 Jul 2021 Q12 old scheme

The primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management. Explain.

ICAI'S ANSWER

The primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management. It is important that management, with the oversight of those charged with governance, place a strong emphasis on fraud prevention, which may reduce opportunities for fraud to take place, and fraud deterrence, which could persuade individuals not to commit fraud because of the likelihood of detection and punishment. This involves a commitment to creating a culture of honesty and ethical behavior which can be reinforced by an active oversight by those charged with governance. In exercising oversight responsibility, those charged with governance consider the potential for override of controls or other inappropriate influence over the financial reporting process, such as efforts by management to manage earnings in order to influence the perceptions of analysts as to the entity's performance and profitability.

PassBook's note: Out of syllabus (old scheme): the primary responsibility of those charged with governance and management for the prevention and detection of fraud (fraud prevention, fraud deterrence and their oversight) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught in its chapter on fraud; The new-scheme Paper 5 syllabus does not name SA 240

and the January 2027 Study Material does not set this out (it mentions a culture of honesty only within the control environment), so the item carries only its nearest chapter.

ICAI · Old P6 · RTP Jul 2021 · question p. 122 · answer p. 135

1630 RTP **Old P6 Nov 2020 Q11** old scheme

Explain what an auditor is expected to do if, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's ability to continue performing the audit.

ICAI'S ANSWER

If, as a result of a misstatement resulting from fraud or suspected fraud, the auditor encounters exceptional circumstances that bring into question the auditor's ability to continue performing the audit, the auditor shall:

(a) Determine the professional and legal responsibilities applicable in the circumstances, including whether there is a requirement for the auditor to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities;

(b) Consider whether it is appropriate to withdraw from the engagement, where withdrawal is possible under applicable law or regulation; and

(c) If the auditor withdraws:

(i) Discuss with the appropriate level of management and those charged with governance

the auditor's withdrawal from the engagement and the reasons for the withdrawal; and

(ii) Determine whether there is a professional or legal requirement to report to the person or persons who made the audit appointment or, in some cases, to regulatory authorities, the auditor's withdrawal from the engagement and the reasons for the withdrawal.

PassBook's note: Out of syllabus (old scheme): what the auditor shall do when a misstatement resulting from fraud or suspected fraud brings into question his ability to continue performing the audit (determine responsibilities, consider withdrawal, communicate) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught in its chapter on fraud; The new-scheme Paper 5 syllabus does not name SA 240, so the item carries only its nearest chapter (risk assessment), as o-p6-pyq-nov2022 Q5(d) and o-p6-mtp-may2020-s1 MCQ 5 do.

ICAI · Old P6 · RTP Nov 2020 · question p. 9 · answer p. 23

1631 RTP **Old P6 May 2020** Q12 old scheme

Discrepancies in the accounting records, including transactions that are not recorded in a complete or timely manner or are improperly recorded as to amount, accounting period, classification, or entity policy is one of the example of circumstances that indicate the possibility of fraud. Explain at least four other such examples relating to discrepancies in the accounting records.

ICAI'S ANSWER

Discrepancies in the accounting records, including:

- Transactions that are not recorded in a complete or timely manner or are improperly recorded as to amount, accounting period, classification, or entity policy.
- Unsupported or unauthorized balances or transactions.
- Last-minute adjustments that significantly affect financial results.
- Evidence of employees' access to systems and records inconsistent with that necessary to perform their authorized duties.
- Tips or complaints to the auditor about alleged fraud.

PassBook's note: Out of syllabus (old scheme): circumstances that indicate the possibility of fraud (discrepancies in the accounting records) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · RTP May 2020 · question p. 8 · answer p. 21

1632 RTP **Old P6 Nov 2019** Q12 old scheme

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence. Explain stating clearly how this type of fraud is generally committed.

ICAI'S ANSWER

Manipulation of Accounts: Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(a) to avoid incidence of income-tax or other taxes;

(b) for declaring a dividend when there are insufficient profits;

(c) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to make it possible for selected persons to acquire shares at a lower cost); and

(d) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

PassBook's note: Out of syllabus (old scheme): the manipulation of accounts by management and the purposes behind it belonged to old Paper 6's Chapter 5, Fraud and Responsibilities of the Auditor in this Regard (SA 240); The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter, Risk Assessment and Internal Control (as o-p6-rtp-nov2022 q11 and q12).

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 21

1633 MTP Old P6 Nov 2023 S-I Q4(b) 4 marks old scheme

Bansal Yarns Ltd is engaged in manufacturing and trading of yarns of different types. Its huge funds are locked up in account receivables. Moreover, Management of Bansal Yarns Ltd is worried about its Internal Control system over receipts from account receivables and other receipts. Management wants to understand from you as an auditor few techniques as to how receipts can be suppressed resulting into frauds and finally incurring losses.

ICAI'S ANSWER

Few Techniques of how receipts are suppressed are:

(1) *Teeming and Lading*: Amount received from a customer being misappropriated; also to prevent its detection the money received from another customer subsequently being credited to the account of the customer who has paid earlier. Similarly, moneys received from the customer who has paid thereafter being credited to the account of the second customer and such a practice is continued so that no one account is outstanding for payment for any length of time, which may lead the management to either send out a statement of account to him or communicate with him.

(2) Adjusting unauthorised or fictitious rebates, allowances, discounts, etc. to customer' accounts and misappropriating amount paid by them.

(3) Writing off as debts in respect of such balances against which cash has already been received but

has been misappropriated.

(4) Not accounting for cash sales fully.

(5) Not accounting for miscellaneous receipts, *e.g.*, sale of scrap, quarters allotted to the employees, etc.

(6) Writing down asset values in entirety, selling them subsequently and misappropriating the proceeds.

PassBook's note: Out of syllabus (old scheme): the ways in which receipts are suppressed (teeming and lading, fictitious rebates and write-offs, unrecorded cash sales and miscellaneous receipts) were part of old Paper 6's vouching and internal control content.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 6

1634 MTP **Old P6 May 2023 S-II** Q3(a) 4 marks old scheme

"Theft of an entity's assets is often perpetrated by employees in relatively small and immaterial amounts." Explain and also state the various ways in which the misappropriation of assets can be accomplished?

ICAI'S ANSWER

Misappropriation of Assets involves the theft of an entity's assets and is often perpetrated by employees in relatively small and immaterial amounts. However, it can also involve management who are usually more able to disguise or conceal misappropriations in ways that are difficult to

detect. Misappropriation of assets can be accomplished in a variety of ways including :

- Embezzling receipts (for example, misappropriating collections on accounts receivable or diverting receipts in respect of written-off accounts to personal bank accounts).
- Stealing physical assets or intellectual property (for example, stealing inventory for personal use or for sale, stealing scrap for resale, colluding with a competitor by disclosing technological data in return for payment).
- Causing an entity to pay for goods and services not received (for example, payments to fictitious vendors, kickbacks paid by vendors to the entity's purchasing agents in return for inflating prices, payments to fictitious employees).
- Using an entity's assets for personal use (for example, using the entity's assets as collateral for a personal loan or a loan to a related party).

PassBook's note: Out of syllabus (old scheme): the ways in which misappropriation of assets is accomplished are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7 · answer p. 4

1635 MTP **Old P6 Nov 2022 S-I** General MCQ 5 1 mark

MCQ old scheme

Also asked in Old P6 MTP May 2022 S-I General MCQ 7

The auditor finds that there is something unusual about the balances outstanding in the receivables. Date wise

verification of the bank reconciliation performed by the auditor has resulted in mismatch in dates in most of the receivable ledger. The auditor has identified a pattern in the mismatches. He suspects that there might be a misappropriation of cash and the detection of this misappropriation is being prevented by crediting the amount received subsequently to the account of customer who paid earlier.

What is the kind of fraud that the auditor has faced in the above case?

- A Teeming and Lading
- B Cash skimming
- C Defalcation of cash by inflating cash payment
- D Misappropriation of receivables

ICAI'S ANSWER

(A)

PassBook's note: Out of syllabus (old scheme): teeming and lading and the other ways receipts are suppressed were part of old Paper 6's vouching and internal control content; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover them, so the item carries only its nearest chapter (risk assessment and internal control), as o-p6-mtp-nov2023-s1 Q4(b) does.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 4-5 · answer p. 1

1636 MTP **Old P6 Nov 2022 S-I Q4(b)** 4 marks old scheme

Bansal Yarns Ltd is engaged in manufacturing and trading of yarns of different types. Its huge amount is locked up in account receivables. Moreover,

Management of Bansal Yarns Ltd. is worried about its Internal Control system over receipts from account receivables and other receipts. Management wants to understand from you as an auditor few techniques as to how receipts can be suppressed resulting into frauds and finally incurring losses.

ICAI'S ANSWER

Few Techniques of how receipts are suppressed are:

(1) Teeming and Lading: Amount received from a customer being misappropriated; also to prevent its detection the money received from another customer subsequently being credited to the account of the customer who has paid earlier. Similarly, moneys received from the customer who has paid thereafter being credited to the account of the second customer and such a practice is continued so that no one account is outstanding for payment for any length of time, which may lead the management to either send out a statement of account to him or communicate with him.

(2) Adjusting unauthorised or fictitious rebates, allowances, discounts, etc. to customer' accounts and misappropriating amount paid by them.

(3) Writing off as debts in respect of such balances against which cash has already been received but has been misappropriated.

(4) Not accounting for cash sales fully.

(5) Not accounting for miscellaneous receipts, e.g., sale of scrap, quarters allotted to the employees, etc.

(6) Writing down asset values in entirety, selling them subsequently and misappropriating the proceeds.

PassBook's note: Out of syllabus (old scheme): the ways in which receipts are suppressed (teeming and lading, fictitious rebates and write-offs, unrecorded cash sales and miscellaneous receipts) were part of old Paper 6's vouching and internal control content; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover them, so the item carries only its nearest chapter (risk assessment and internal control), as o-p6-mtp-nov2023-s1 Q4(b) does.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 7 · answer p. 6

1637 MTP **Old P6 May 2022 S-I** Q3(a) 4 marks old scheme

Inadequate internal control over assets may increase the susceptibility of misappropriation of those assets. Explain giving examples.

ICAI'S ANSWER

Inadequate internal control over assets may increase the susceptibility of misappropriation of those assets. For example, misappropriation of assets may occur because there is the following:

(i) Inadequate segregation of duties or independent checks.

(ii) Inadequate oversight of senior management expenditures, such as travel and other reimbursements

(iii) Inadequate record keeping with respect to assets.

(iv) Inadequate system of authorization and approval of transactions (for example, in purchasing).

(v) Inadequate physical safeguards over cash, investments, inventory, or fixed assets.

(vi) Lack of complete and timely reconciliations of assets.

(vii) Lack of timely and appropriate documentation of transactions, for example, credits for merchandise returns.

(viii) Lack of mandatory vacations for employees performing key control functions.

(ix) Inadequate management understanding of information technology, which enables information technology employees to perpetrate a misappropriation.

(x) Inadequate access controls over automated records, including controls over and review of computer systems event logs.

PassBook's note: Out of syllabus (old scheme): the inadequate internal controls over assets that make misappropriation possible are SA 240's fraud risk factors (opportunities for misappropriation of assets), which old Paper 6 taught.

ICAI · Old P6 · MTP May 2022 · Series I · question p. 7 · answer p. 4

1638 MTP Old P6 Dec 2021 S-I Q5(b) 4 marks old scheme

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence. Explain stating the objective behind committing such fraud.

ICAI'S ANSWER

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(a) to avoid incidence of income-tax or other taxes;

(b) for declaring a dividend when there are insufficient profits;

(c) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to make it possible for selected persons to acquire shares at a lower cost); and

(d) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

PassBook's note: Out of syllabus (old scheme): the reasons for manipulating accounts (fraudulent financial reporting by management) were taught in old Paper 6 under errors and frauds and SA 240; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material has no section on why accounts are manipulated, so the item carries

only its nearest chapter (risk assessment), as o-p6-pyq-may2022 does.

ICAI · Old P6 · MTP Dec 2021 · Series I · question p. 6 · answer p. 7

1639 MTP **Old P6 Jul 2021 S-I** General MCQ 10 1 mark MCQ old scheme

Events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud are called as :

- A Fraud risk factors
- B misappropriation of assets
- C Fraud opportunities
- D eventual frauds

ICAI'S ANSWER

(A)

PassBook's note: Out of syllabus (old scheme): fraud risk factors (events or conditions that indicate an incentive or pressure to commit fraud or provide an opportunity to commit it) are SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions fraud risk factors only in passing, so the item carries only its nearest chapter (risk assessment and internal control).

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 5 · answer p. 1

1640 MTP **Old P6 Jul 2021 S-I** Q4(c) 3 marks old scheme

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring

great tact and intelligence. Explain stating clearly why and how such type of fraud is committed.

ICAI'S ANSWER

Detection of manipulation of accounts with a view to presenting a false state of affairs is a task requiring great tact and intelligence because generally management personnel in higher management cadre are associated with this type of fraud and this is perpetrated in methodical way. This type of fraud is generally committed:

(1) to avoid incidence of income-tax or other taxes;

(2) for declaring a dividend when there are insufficient profits;

(3) to withhold declaration of dividend even when there is adequate profit (this is often done to manipulate the value of shares in stock market to make it possible for selected persons to acquire shares at a lower cost); and

(4) for receiving higher remuneration where managerial remuneration is payable by reference to profits.

There are numerous ways of committing this type of fraud. Some of the methods are given below:

(i) inflating or suppressing purchases and expenses;

(ii) inflating or suppressing sales and other items of income,

(iii) inflating or deflating the value of closing inventory;

(iv) failing to adjust outstanding liabilities or prepaid expenses; and

(v) charging items of capital expenditure to revenue or by capitalising revenue expenses.

PassBook's note: Out of syllabus (old scheme): the reasons for manipulating accounts and the ways it is done (fraudulent financial reporting) were taught in old Paper 6 under errors and frauds and SA 240; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material has no section on why or how accounts are manipulated, so the item carries only its nearest chapter (risk assessment and internal control).

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 6

1641 MTP **Old P6 Jul 2021 S-II Q4(c)** 4 marks old scheme

Write any six circumstances of conflicting or missing evidence that indicate the possibility of fraud.

ICAI'S ANSWER

Conflicting or missing evidence, including:

(i) Missing documents.

(ii) Documents that appear to have been altered.

(iii) Significant unexplained items on reconciliations.

(iv) Unusual discrepancies between the entity's records and confirmation replies.

(v) Large numbers of credit entries and other adjustments made to accounts receivable records.

(vi) Missing or non-existent cancelled cheques in circumstances where cancelled cheques are

ordinarily returned to the entity with the bank statement.

(vii) Missing inventory or physical assets of significant magnitude.

(viii) Unavailable or missing electronic evidence, inconsistent with the entity's record retention practices or policies.

PassBook's note: Out of syllabus (old scheme): conflicting or missing evidence as a circumstance indicating the possibility of fraud is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements, its Appendix 3), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material mentions it only in passing, so the item carries only its nearest chapter (risk assessment and internal control), as the other SA 240 items in the bank.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 4-5

1642 MTP **Old P6 Nov 2020 S-I Q5(a)** 4 marks old scheme

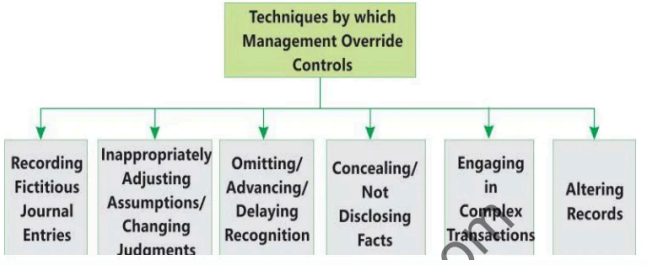
Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Explain the techniques used to commit fraud by management overriding controls.

ICAI'S ANSWER

Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively. Fraud can be

committed by management overriding controls using such techniques as:

- Recording fictitious journal entries, particularly close to the end of an accounting period, to manipulate operating results or achieve other objectives.
- Inappropriately adjusting assumptions and changing judgments used to estimate account balances.
- Omitting, advancing or delaying recognition in the financial statements of events and transactions that have occurred during the reporting period.
- Concealing, or not disclosing, facts that could affect the amounts recorded in the financial statements.
- Engaging in complex transactions that are structured to misrepresent the financial position or financial performance of the entity.
- Altering records and terms related to significant and unusual transactions.



PassBook's note: Out of syllabus (old scheme): the techniques by which management overrides controls to commit fraud are

SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 6 · answer p. 6

1643 MTP **Old P6 May 2020 S-I** General MCQ 5 2 marks

MCQ old scheme

If, as a result of a misstatement resulting from fraud, the auditor encounters exceptional circumstances that bring into question his ability to continue performing the audit, he shall-

A Withdraw from the engagement immediately.

B Report to Audit team regarding withdrawal.

C Determine the professional and legal responsibilities applicable in the circumstances.

D Ask the management for his withdrawal.

ICAI'S ANSWER

(C)

PassBook's note: Out of syllabus (old scheme): what the auditor shall do when a misstatement resulting from fraud brings into question his ability to continue performing the audit is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material does not teach it (as o-p6-pyq-nov2020 q5a, o-p6-pyq-nov2022 q5d), so the item carries only its nearest chapter.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 4 · answer p. 1

1644 MTP Old P6 May 2020 S-I Q4(c) 3 marks old scheme

Fraud, whether fraudulent financial reporting or misappropriation of assets, involves incentive or pressure to commit fraud, a perceived opportunity to do so and some rationalization of the act. Explain with examples

ICAI'S ANSWER

Fraud, whether fraudulent financial reporting or misappropriation of assets, involves incentive or pressure to commit fraud, a perceived opportunity to do so and some rationalization of the act. For example:

- Incentive or pressure to commit fraudulent financial reporting may exist when management is under pressure, from sources outside or inside the entity, to achieve an expected (and perhaps unrealistic) earnings target or financial outcome.
- A perceived opportunity to commit fraud may exist when an individual believes internal control can be overridden, for example, because the individual is in a position of trust or has knowledge of specific deficiencies in internal control.

Individuals may be able to rationalize committing a fraudulent act. Some individuals possess an attitude, character or set of ethical values that allow them knowingly and intentionally to commit a dishonest act. However, even otherwise honest

individuals can commit fraud in an environment that imposes sufficient pressure on them.

PassBook's note: Out of syllabus (old scheme): the conditions generally present when fraud occurs (incentive or pressure, perceived opportunity, rationalisation) are SA 240's fraud risk factors (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught; The new-scheme Paper 5 syllabus does not name SA 240 and the January 2027 Study Material does not teach them (as o-p6-pyq-jul2021 q5c, o-p6-pyq-nov2023 q2b), so the item carries only its nearest chapter.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 7-8

1645 MTP **Old P6 Nov 2019 S-I** Q3(d) 3 marks old scheme

"Fraudulent financial reporting involves intentional misstatements including omissions of amounts or disclosures in financial statements to deceive financial statement users." Discuss.

ICAI'S ANSWER

Fraudulent Financial Reporting: Fraudulent financial reporting involves intentional misstatements including omissions of amounts or disclosures in financial statements to deceive financial statement users. It can be caused by the efforts of management to manage earnings in order to deceive financial statement users by influencing their perceptions as to the entity's performance and profitability. Such earnings management may start out with small actions or inappropriate adjustment of assumptions and changes in judgments by management. Pressures and incentives may lead

these actions to increase to the extent that they result in fraudulent financial reporting.

In some entities, management may be motivated to reduce earnings by a material amount to minimize tax or to inflate earnings to secure bank financing.

Fraudulent financial reporting may be accomplished by the following:

(i) Manipulation, falsification (including forgery), or alteration of accounting records or supporting documentation from which the financial statements are prepared.

(ii) Misrepresentation in or intentional omission from, the financial statements of events, transactions or other significant information.

(iii) Intentional misapplication of accounting principles relating to amounts, classification, manner of presentation, or disclosure.

Fraudulent financial reporting often involves management override of controls that otherwise may appear to be operating effectively.

PassBook's note: Out of syllabus (old scheme): fraudulent financial reporting (what it is, why management engages in it and how it is accomplished) is SA 240 (The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements), which old Paper 6 taught.

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 6 · answer p. 5-6

A.2 Near Chapter 6: Audit Documentation

1 questions ICAI marks out of syllabus, or whose topic has left the

syllabus. For reference only.

1646 EXAM Old P6 May 2022 Q5(a) 4 marks old scheme

CA G, auditor of Sports Ltd., while auditing documented all the papers. He retained some of the documents of the company on which he has not worked along with the documents which were his working papers saying that as he was the auditor of the Company, so he has the right to retain all the documents as he may require them for future references. Comment on the action of the auditor.

ICAI'S ANSWER

Right of Lien on the Books and Documents of the Company: Under **section 128** of the Act, books of account of a company must be kept at the registered office. These provisions ordinarily make it impracticable for the auditor to have possession of the books and documents. The company provides reasonable facility to auditor for inspection of the books of account by directors and others authorised to inspect under the Act. Taking an overall view of the matter, it seems that though legally, auditor may exercise right of lien in cases of companies, it is mostly impracticable for legal and practicable constraints. His working papers being his own property, the question of lien, on them does not arise.

In view of above, CA G cannot retain the documents of the company and on which he did not work.

Alternative Solution:

In terms of the general principles of law, any person having the lawful possession of somebody else's property, **on which he worked**, may has retain the property for non-payment of his dues on account of the work done on the property. On this premise, auditor can exercise lien on books and documents placed at his possession by the client for non-payment of fees, for work done on the books and documents. The Institute of Chartered Accountants in England and Wales has expressed a similar view on the following conditions:

(i) Documents retained must belong to the client who owes the money.

(ii) Documents must have come into possession of the auditor on the authority of the client. They must not have been received through irregular or illegal means. In case of a company client, they must be received on the authority of the Board of Directors.

(iii) The auditor can retain the documents only if he has done work on the documents assigned to him.

(iv) Such of the documents can be retained which are connected with the work on which fees have not been paid.

In view of above, CA G cannot retain the documents of the company and on which he did not work.

PassBook's note: Out of syllabus (old scheme): the auditor's right of lien on the client's books and documents was taught in old Paper 6; The January 2027 Study Material's Audit Documentation chapter teaches only that audit documentation is

the auditor's property (SQC 1, SA 230) and never mentions a lien, so the item carries only its nearest chapter (audit documentation). ICAI's alternative solution reads "may has retain".

ICAI · Old P6 · May 2022 exam · question p. 10 · answer p. 11

A.3 Near Chapter 8: Audit Report

6 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1647 EXAM Old P6 Dec 2021 Q6(a)(i) 4 marks old scheme

CA R is the statutory auditor and Mr. P is the cost auditor of DEF Ltd., a company engaged in the production of tyres. Mr. P noticed a fraud of INR 1.25 crores done by the senior manager of the company and immediately informed the audit committee even before CA R was aware of the fraud. State the duty of CA R under section 143(12) of the Companies Act on reporting on frauds already detected and reported.

ICAI'S ANSWER

Reporting on Frauds already detected and reported:

The auditor, CA R should apply professional skepticism to evaluate/verify that the fraud was indeed identified/detected in all aspects by the management or through the company's vigil/whistle blower mechanism so that distinction can be clearly made with respect to frauds identified/detected due to matters raised by the auditor vis-à-vis those

identified/detected by the company through its internal control mechanism.

Since reporting on fraud under section 143(12) is required even by the cost auditor and the secretarial auditor of the company, it is possible that a suspected offence involving fraud may have been reported by them even before the auditor became aware of the fraud.

Here too, if a suspected offence of fraud has already been reported under section 143(12) by such other person, and the auditor becomes aware of such suspected offence involving fraud, he need not report the same since he has not per se identified the suspected offence of fraud.

However, in case of a fraud which involves or is expected to involve individually, an amount of ₹ 1 crore or more, the auditor should review the steps taken by the management/those charged with governance with respect to the reported instance of suspected offence of fraud stated above, and if he is not satisfied with such steps, he should state the reasons for his dissatisfaction in writing and request the management/ those charged with governance to perform additional procedures to enable the auditor to satisfy himself that the matter has been appropriately addressed. If the management/those charged with governance fail to undertake appropriate additional procedures within 45 days of his request, the auditor would need to evaluate if he should report the matter to the Central Government

in accordance with Rule 13 of the Companies (Audit and Auditors) Rules, 2014.

PassBook's note: Out of syllabus (old scheme): the auditor's duty for frauds already detected by management or already reported under section 143(12) by the cost auditor or secretarial auditor (ICAI's Guidance Note on Reporting on Fraud) was taught in old Paper 6; The January 2027 Study Material teaches only the basic reporting of frauds under section 143(12) and Rule 13 (Audit Report chapter) and none of this, so the item carries only its nearest chapter. ICAI prints (4 Marks) once, after (a)(i) and before the OR alternative (a)(ii) (q6a-ii). ICAI's "vis -à-vis" and "o ffence" are "vis-à-vis" and "offence" split by the PDF's spacing.

ICAI · Old P6 · Dec 2021 exam · question p. 12 · answer p. 13-14

1648 RTP **Old P6 Dec 2021** Q22 old scheme

Discuss significance of a company auditor's right/power to obtain information and explanation from officers of the company.

ICAI'S ANSWER

The right of the auditor to obtain from the officers of the company such information and explanations as he may think necessary for the performance of his duties as auditor is a wide and important power. In the absence of such power, the auditor would not be able to obtain details of amount collected by the directors, etc. from any other company, firm or person as well as of any benefits in kind derived by the directors from the company, which may not be known from an examination of the books. It is for the auditor to decide the matters in respect of which information and explanations are required by him.

Therefore, such a right/power is quite significant for discharge of duty of an auditor of a company to report to the members of the company on accounts examined by him.

PassBook's note: Out of syllabus (old scheme): the company auditor's right of access and right to obtain information and explanations from the officers of the company (section 143(1) of the Companies Act, 2013) was taught in old Paper 6's Company Audit chapter (rights and duties of the auditor), the chapter ICAI's heading names.

ICAI · Old P6 · RTP Dec 2021 · question p. 125 · answer p. 142

1649 RTP **Old P6 Jul 2021 Q21** old scheme

During the audit of PQR Ltd. you as an auditor requested officers of the company to have access to secretarial records and correspondence which they refused to provide. Comment.

ICAI'S ANSWER

Right of Access to secretarial records and correspondence:

1. Section 143(1) of the Companies Act, 2013 grants powers to the auditor that every auditor has a right of access, at all times, to the books of account and vouchers of the company kept at Registered or Head Office, branches and subsidiaries in the case of a Holding Company for conducting the audit.
2. Further, he is also entitled to require from the officers of the company such information and explanations which he considers necessary for

the proper performance of his duties as Auditor. Therefore, he has a statutory right to inspect the secretarial records and correspondence.

3. In order to verify actions of the company and to vouch and verify some of the transactions of the company, it is necessary for the auditor to refer to the decisions of the shareholders and/or the directors of the company. It is, therefore, essential for the auditor to refer to the secretarial records and correspondence which also includes Minute book. In the absence of the same, the auditor may not be able to vouch/verify certain transactions of the company.
4. The refusal to provide access to secretarial records and correspondence shall constitute limitation of scope as far as the auditor's duties are concerned.
5. The auditor may examine whether by performing alternative procedures, the auditor can substantiate the assertions or else he shall have to either qualify the report or give a disclaimer of opinion.

PassBook's note: Out of syllabus (old scheme): the company auditor's statutory right of access to the books, vouchers, secretarial records and correspondence and to information and explanations from officers (section 143(1) of the Companies Act, 2013) belonged to old Paper 6's Company Audit chapter (rights and duties of auditors); The January 2027 Study Material teaches only the matters the auditor inquires into under section 143(1), not these rights, so the item carries only the nearest sub-topic (the company auditor's reporting).

ICAI · Old P6 · RTP Jul 2021 · question p. 123 · answer p. 139-140

1650 RTP Old P6 Nov 2019 Q11 old scheme

The scope of auditor's inquiry under **clause (x)** of paragraph 3 of Companies (Auditor's Report) Order, 2016 is restricted to frauds 'noticed or reported' during the year. Explain.

ICAI'S ANSWER

Reporting under Companies (Auditor's Report) Order, 2016 [CARO, 2016]: The auditor is also required to report under **clause (x)** of paragraph 3 of Companies (Auditor's Report) Order, 2016, whether any fraud by the company or any fraud on the Company by its officers or employees has been noticed or reported during the year. If yes, the nature and the amount involved is to be indicated.

The scope of auditor's inquiry under **clause (x)** of paragraph 3 of Companies (Auditor's Report) Order, 2016 is restricted to frauds 'noticed or reported' during the year. It may be noted that this clause of the Order, by requiring the auditor to report whether any fraud by the company or on the company by its Officer or employees has been noticed or reported, does not relieve the auditor from his responsibility to consider fraud and error in an audit of financial statements. In other words, irrespective of the auditor's comments under this clause, the auditor is also required to comply with the requirements of SA 240, "The Auditor's Responsibility Relating to Fraud in an Audit of Financial Statements".

Audit Procedures and Reporting under CARO:

(1) While planning the audit, the auditor should discuss with other members of the audit team, the susceptibility of the company to material misstatements in the financial statements resulting from fraud. While planning, the auditor should also make inquiries of management to determine whether management is aware of any known fraud or suspected fraud that the company is investigating.

(2) The auditor should examine the reports of the internal auditor with a view to ascertain whether any fraud has been reported or noticed by the management. The auditor should examine the minutes of the audit committee, if available, to ascertain whether any instance of fraud pertaining to the company has been reported and actions taken thereon.

The auditor should enquire from the management about any frauds on the company that it has noticed or that have been reported to it. The auditor should also discuss the matter with other employees including officers of the company. The auditor should also examine the minute book of the board meeting of the company in this regard.

(3) The auditor should obtain written representations from management that:

(i) it acknowledges its responsibility for the implementation and operation of accounting and

internal control systems that are designed to prevent and detect fraud and error;

(ii) it believes the effects of those uncorrected misstatements in financial statements, aggregated by the auditor during the audit are immaterial, both individually and in the aggregate, to the financial statements taken as a whole. A summary of such items should be included in or attached to the written representation;

(iii) it has

(a) disclosed to the auditor all significant facts relating to any frauds or suspected frauds known to management that may have affected the entity; and

(b) disclosed to the auditor the results of its assessment of the risk that the financial statements may be materially misstated as a result of fraud.

(4) Because management is responsible for adjusting the financial statements to correct material misstatements, it is important that the auditor obtains written representation from management that any uncorrected misstatements resulting from fraud are, in management's opinion, immaterial, both individually and in the aggregate. Such representations are not a substitute for obtaining sufficient appropriate audit evidence. In some circumstances, management may not believe that certain of the uncorrected financial statement misstatements aggregated by the auditor during the audit are misstatements. For that reason,

management may want to add to their written representation words such as, "We do not agree that items constitute misstatements because [description of reasons]."

The auditor should consider if any fraud has been reported by them during the year under section 143(12) of the Act and if so whether that same would be reported under this Clause. It may be mentioned here that section 143(12) of the Act requires the auditor has reasons to believe that a fraud is being committed or has been committed by an employee or officer. In such a case the auditor needs to report to the Central Government or the Audit Committee. However, this Clause will include only the reported frauds and not suspected fraud.

(5) Where the auditor notices that any fraud by the company or on the company by its officers or employees has been noticed by or reported during the year, the auditor should, apart from reporting the existence of fraud, also required to report, the nature of fraud and amount involved. For reporting under this clause, the auditor may consider the following:

(i) This clause requires all frauds noticed or reported during the year shall be reported indicating the nature and amount involved. As specified the fraud by the company or on the company by its officers or employees are only covered.

(ii) Of the frauds covered under section 143(12) of the Act, only noticed frauds shall be included here and not the suspected frauds.

(iii) While reporting under this clause with regard to the nature and the amount involved of the frauds noticed or reported, the auditor may also consider the principles of materiality outlined in Standards on Auditing.

PassBook's note: Out of syllabus (old scheme): the item is reporting on frauds under clause (x) of paragraph 3 of CARO 2016, which CARO 2020 has replaced (its fraud clause is (xi), with different wording), and ICAI's answer builds on SA 240, old Paper 6's Chapter 5 (Fraud and Responsibilities of the Auditor in this Regard), which the new-scheme Paper 5 syllabus does not name.

ICAI · Old P6 · RTP Nov 2019 · question p. 7 · answer p. 19-21

1651 RTP **Old P6 Nov 2019** Q22 old scheme

According to Companies Act, 2013, the person appointed as an auditor of the company shall sign the auditor's report in accordance with the relevant provisions of the Act. Explain clearly the relevant provisions relating to signing of report.

ICAI'S ANSWER

Duty to Sign the Audit Report: As per **section 145** of the Companies Act, 2013, the person appointed as an auditor of the company shall sign the auditor's report or sign or certify any other document of the company, in accordance with the provisions of **section 141(2)**.

Section 141(2) of the Companies Act, 2013 states that where a firm including a limited liability partnership is appointed as an auditor of a company, only the partners who are chartered accountants shall be authorised to act and sign on behalf of the firm.

The qualifications, observations or comments on financial transactions or matters, which have any adverse effect on the functioning of the company mentioned in the auditor's report shall be read before the company in general meeting.

PassBook's note: Out of syllabus (old scheme): the auditor's duty to sign the report under section 145 of the Companies Act, 2013 (with section 141(2) and the reading of adverse remarks at the general meeting) belonged to old Paper 6's Chapter 10, The Company Audit (rights and duties of the auditor); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach these sections (SA 700 covers only the signature on the report), so the item carries the nearest sub-topic, SA 700.

ICAI · Old P6 · RTP Nov 2019 · question p. 8 · answer p. 25

1652 MTP **Old P6 May 2022 S-I** Q5(d) 3 marks old scheme

What are the circumstances in which auditors are required to qualify their reports of companies for mattes related to AS-I 'Disclosure of Accounting Policies'?

ICAI'S ANSWER

While discharging their attest function, the members of the Institute may keep the following in mind with regard to mandatory Accounting Standards. As per **AS 1 - Disclosure of Accounting**

Policies, in the case of a company, members should qualify their audit reports in case:

(i) accounting policies required to be disclosed under Schedule III or any other provisions of the Companies Act, 2013, have not been disclosed, or

(ii) accounts have not been prepared on accrual basis, or

(iii) the fundamental accounting assumption of going concern has not been followed and this fact has not been disclosed in the financial statements, or

(iv) proper disclosures regarding changes in the accounting policies have not been made.

PassBook's note: Out of syllabus (old scheme): ICAI's guidance to members on qualifying audit reports for matters of AS 1 'Disclosure of Accounting Policies' was taught in old Paper 6; The January 2027 Study Material does not reproduce it (o-p6-pyq-jan2021 answers a case on cash-basis accounting from it and keeps that item in the syllabus because the case is answerable from modified opinions, but this question asks for the guidance's own list), so the item carries only the nearest sub-topic (modified opinions). ICAI's question reads "for mattes related to AS-I".

ICAI · Old P6 · MTP May 2022 · Series I · question p. 8 · answer p. 9-10

A.4 Near Chapter 11: Ethics and Terms of Audit Engagements

15 questions ICAI marks out of syllabus, or whose topic has left the

1653 EXAM Old P6 Jan 2021 Q5(d) 3 marks old scheme

What are the prohibited services for auditor as per Companies Act, 2013 ?

ICAI'S ANSWER

Prohibited services for an auditor as per Companies Act, 2013 are stated in Section 144.

Section 144 of the Companies Act, 2013 prescribes certain services not to be rendered by the auditor. An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be, but which shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company), namely :

(i) accounting and book keeping services;

(ii) internal audit;

(iii) design and implementation of any financial information system;

(iv) actuarial services;

(v) investment advisory services;

(vi) investment banking services;

(vii) rendering of outsourced financial services;

(viii) management services; and

(ix) any other kind of services as may be prescribed.

PassBook's note: Out of syllabus (old scheme): the services an auditor may not render under section 144 of the Companies Act, 2013 belonged to old Paper 6's company audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover section 144, so the item carries only the nearest sub-topic (independence, threats and safeguards).

ICAI · Old P6 · Jan 2021 exam · question p. 9 · answer p. 11

1654 EXAM **Old P6 Nov 2020** Q5(b) 4 marks old scheme

Clue Ltd. is a Public unlisted company having paid-up share capital of ₹ 9 crores and public borrowings from the financial institutions of ₹ 51 crores. They appointed M/s Pray and Co., A Chartered Accountant firm as the statutory auditor in its annual general meeting for 11 years.

(i) Is the manner of rotation of auditor applicable in case of Clue Ltd.?

(ii) Whether the appointment of M/s Pray and Co. is valid?

ICAI'S ANSWER

(i) As per rules prescribed in Companies (Audit and Auditors) Rules, 2014, for applicability of section 139(2) the class of companies shall mean the following classes of companies excluding one person companies and small companies-

(i) all unlisted public companies having paid up share capital of rupees ten crore or more;

(ii) all private limited companies having paid up share capital of rupees fifty crore or more;

(iii) all companies having paid up share capital of below threshold limit mentioned above, but having public borrowings from financial institutions, banks or public deposits of rupees fifty crores or more.

In the given case, Clue Ltd is an Unlisted Public company, any having paid up share capital of ₹ 9 crores and public borrowings from financial institutions of ₹ 51 crores. So, applying the above provisions to the given problem, although paid up share capital of Clue Ltd is below threshold limit of ₹ 10 crores yet the Company is having public borrowings from financial institutions worth ₹ 51 crores i.e above ₹ 50 crores.

Therefore, manner of rotation of auditors is applicable in case of Clue Ltd.

(ii) Clue Ltd., an unlisted public company is covered by the rotational provisions, appointed M/s Pray and Co., a Chartered Accountant firm, as the statutory auditor in its AGM for 11 years. Here, the appointment of M/s Pray & Co. is not valid as the appointment can be made only for one term of five consecutive years and then another one more term of five consecutive years. It can't be appointed for two terms in one AGM only. Further, a cooling period of five years from the completion of term is required i.e. the firm can't be re-appointed for further 5 years after completion of two terms of five consecutive years.

Keeping in view above, the appointment of M/s Pray and Co. is not valid.

PassBook's note: Out of syllabus (old scheme): the rotation of auditors under section 139(2) of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (the classes of companies covered, terms of five consecutive years, the cooling period) belonged to old Paper 6's company audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it (the Study Material mentions rotation of auditors only as a safeguard against familiarity threats, in its Ethics chapter), so the item carries only that chapter. Kept as printed: "any having paid up share capital" (ICAI's answer).

ICAI · Old P6 · Nov 2020 exam · question p. 8-9 · answer p. 9-10

1655 **RTP** **Old P6 May 2023** Q21 old scheme

XYZ Ltd. removed its statutory auditor by passing a resolution in the meeting of Board of Directors for his removal without obtaining prior approval of the Central Government. Such removal of the auditor was made before the expiry of term of the auditors. Give your comments in this regard.

ICAI'S ANSWER

According to **Section 140(1)**, the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per **Rule 7 of CAAR, 2014**-

(1) The application to the Central Government for removal of auditor shall be made in **Form ADT-2** and shall be accompanied with fees as provided for this purpose under the Companies (Registration Offices and Fees) Rules, 2014.

(2) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.

(3) The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

It is important to note that before taking any action for removal before expiry of terms, the auditor concerned shall be given a reasonable opportunity of being heard.

In view of above, the procedure followed by the company for removal of its auditors is not correct.

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term by special resolution with the Central Government's prior approval (section 140(1) of the Companies Act, 2013, Rule 7, Form ADT-2) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors).

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 25

1656 RTP **Old P6 May 2023** Q22 old scheme

S Private Limited has a paid-up share capital of ₹ 49 Crores and borrowings from bank of ₹ 99 Crores. The audit firm P & Company was appointed as statutory auditors of the Company for one term of six consecutive years. Is the provision of rotation of auditors applicable to the company? Comment.

ICAI'S ANSWER

As per rules prescribed in Companies (Audit and Auditors) Rules, 2014, for applicability of **section**

139(2) the **class of companies** shall mean the following classes of companies excluding one person companies and small companies-

(i) all unlisted public companies having paid up share capital of rupees ten crore or more;

(ii) all private limited companies having paid up share capital of rupees fifty crore or more;

(iii) all companies having paid up share capital of below threshold limit mentioned above, but having public borrowings from financial institutions, banks or public deposits of rupees fifty crores or more.

In the given case, S Private Limited is a private limited Company, having paid up share capital of ₹ 49 crore but having borrowing from banks of ₹ 99 crore, provision of rotation of auditor will be applicable on S Private Limited as borrowings from bank are exceeding the prescribed limit of 50 crore rupees.

Further, as per section 139(2), appointment of audit firm can be made only for one term of five consecutive years and then another one more term of five consecutive years. It can't be appointed for two terms in one AGM only.

S Private Limited, appointed M/s P & Company, a Chartered Accountant firm, as the statutory auditor in its AGM for one term of six years. Here, the appointment of M/s P & Company is not valid in accordance with section 139 (2) of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the rotation of auditors under section 139(2) of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (the classes of companies covered, terms of five consecutive years) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · RTP May 2023 · question p. 10 · answer p. 25

1657 RTP **Old P6 Nov 2022** Q22 old scheme

S Private Limited has a paid-up share capital of ₹ 49 Crores and borrowings from bank of ₹ 99 Crores. The audit firm P & Company was appointed as statutory auditors of the Company for one term of five consecutive years. Whether the provision of rotation of auditors applicable to the company? Comment.

ICAI'S ANSWER

As per rules prescribed in Companies (Audit and Auditors) Rules, 2014, for applicability of **section 139(2)** the **class of companies** shall mean the following classes of companies excluding one person companies and small companies-

(i) all unlisted public companies having paid up share capital of rupees ten crore or more;

(ii) all private limited companies having paid up share capital of rupees fifty crore or more;

(iii) all companies having paid up share capital of below threshold limit mentioned above, but having public borrowings from financial institutions, banks or public deposits of rupees fifty crores or more.

In the given case, S Private Limited is a private limited Company, having paid up share capital of ₹ 49 crore but having borrowing from banks of ₹ 99 crore, provision of rotation of auditor will be applicable on S Private Limited as borrowings from bank are exceeding the prescribed limit of 50 crore rupees.

Further, as per section 139(2), appointment of audit firm can be made only for one term of five consecutive years and then another one more term of five consecutive years.

S Private Limited, appointed M/s P & Company, a Chartered Accountant firm, as the statutory auditor in its AGM for one term of five years. Here, the appointment of M/s P & Company is valid in accordance with section139(2) of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the rotation of auditors under section 139(2) of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (the classes of companies covered, terms of five consecutive years) belonged to old Paper 6's Chapter 10, The Company Audit; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it (the Study Material mentions rotation of auditors only as a safeguard against familiarity threats, in its Ethics chapter), so the item carries only that chapter (as o-p6-mtp and o-p6-pyq items on rotation). Kept as printed: "section139(2)" without a space, and "M/s P & Company" in the answer for the question's "P & Company".

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 27

1658 RTP **Old P6 Nov 2022** Q23 old scheme

Also asked in Old P6 MTP Dec 2021 S-II Q5(b)

Enumerate the circumstances under which the retiring auditor can be re-appointed.

ICAI'S ANSWER

Re-appointment of auditor: A retiring auditor may be re-appointed at an annual general meeting, if-

(i) he is not disqualified for re-appointment.

(ii) he has not given the company a notice in writing of his unwillingness to be re-appointed; and

(iii) a special resolution has not been passed at that meeting appointing some other auditor or providing expressly that he shall not be re-appointed.

(iv) Where at any annual general meeting, no auditor is appointed or re-appointed, the existing auditor shall continue to be the auditor of the company.

PassBook's note: Out of syllabus (old scheme): the re-appointment of a retiring auditor at an annual general meeting (section 139(9) of the Companies Act, 2013) belonged to old Paper 6's Chapter 10, The Company Audit (appointment, removal and resignation of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment of a company auditor, so the item carries only the nearest chapter (as o-p6-pyq-jan2021).

ICAI · Old P6 · RTP Nov 2022 · question p. 13 · answer p. 27-28

1659 RTP **Old P6 May 2022** Q22 old scheme

Harry Limited appointed CA Lakshman as an auditor of the company for a term of 5 years. Further, the

company offered him the services of actuarial which were also approved by the board of directors. As an auditor, how would you deal with such situation?

ICAI'S ANSWER

Section 141(3)(i) of the Companies Act, 2013 disqualifies a person for appointment as an auditor of a company who is engaged as on the date of appointment in consulting and specialized services as provided in section 144.

Section 144 of the Companies Act, 2013 prescribes certain services not to be rendered by the auditor. An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be, but which shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company), namely:

(i) accounting and book keeping services;

(ii) internal audit;

(iii) design and implementation of any financial information system;

(iv) actuarial services*;

(v) investment advisory services;

(vi) investment banking services;

(vii) rendering of outsourced financial services;

(viii) management services; and

(ix) any other kind of services as may be prescribed.

*Actuarial services broadly pertain to services relating to evaluation of financial impact of risks using range of mathematical and statistical methods

In the given situation, CA. Lakshman was appointed as an auditor of Harry Ltd for a term of 5 years. He was offered additional services of actuarial which was also approved by the Board of Directors. CA. Lakshman is advised not to accept the services as these services are specifically notified in the services not to be rendered by him as an auditor as per section 144 of the Act.

PassBook's note: Out of syllabus (old scheme): the services an auditor may not render under section 144 of the Companies Act, 2013 (and the disqualification under section 141(3)(i)) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 28-29

1660 RTP **Old P6 Nov 2019** MCQ 10 MCQ old scheme

In case of a company that is required to constitute an Audit Committee under section 177, the committee, and, in cases where such a committee is not required to be constituted, _____, shall take into consideration the qualifications and experience of the individual or the firm proposed to be considered for appointment as auditor and whether such qualifications and experience are commensurate with the size and requirements of the company.

A the board

B any director

C Managing Director

D Whole time director

ICAI'S ANSWER

(A)

PassBook's note: Out of syllabus (old scheme): who considers the qualifications and experience of a proposed auditor before the appointment (the Audit Committee under section 177 or, where none is required, the Board; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment of a company auditor, so the item carries only the nearest chapter (as o-p6-pyq-jan2021 and o-p6-rtp-nov2022 q23).

ICAI · Old P6 · RTP Nov 2019 · question p. 4 · answer p. 9

1661 MTP **Old P6 Nov 2023 S-II** Q3(b) 4 marks old scheme

CXW Private Limited is having paid-up share capital of ₹25 crores. Its borrowings from banks are to the tune of ₹50 crores. Mr. X, an individual practising Chartered Accountant, is nearing completion of five- year tenure as statutory auditor of company. Discuss, citing relevant provisions under Companies Act, 2013 whether he can be reappointed for another term of five years just after completion of his present tenure.

ICAI'S ANSWER

As per section 139(2), no listed company or a company belonging to such class or classes of companies, shall appoint or re-appoint

(a) an individual as auditor for more than one term of five consecutive years; and

(b) an audit firm as auditor for more than two terms of five consecutive years.

Provided that

(i) an individual auditor who has completed his term under clause (a) shall not be eligible for re-appointment as auditor in the same company for five years from the completion of his term

(ii) an audit firm which has completed its term under clause (b), shall not be eligible for re-appointment as auditor in the same company for five years from the completion of such term.

As per rules prescribed in Companies (Audit and Auditors) Rules, 2014, for applicability of section 139(2), the class of companies shall mean the following classes of companies excluding one person companies and small companies: -

(i) all unlisted public companies having paid up share capital of rupees ten crore or more

(ii) all private limited companies having paid up share capital of rupees fifty crore or more

(iii) all companies having paid up share capital of below threshold limit mentioned above, but having public borrowings from financial institutions, banks or public deposits of rupees fifty crores or more.

In the given situation, although paid up share capital of private company i.e., CXW Private Limited is less than ₹50 crores, it has bank borrowings of ₹50 crores clearly triggering provisions relating to

rotation of auditors under section 139(2) of Companies Act,2013.

Since Mr. X is an individual practising Chartered Accountant, he shall not be eligible for re-appointment as auditor in CXW Private Limited for another term of five years from completion of his present term.

PassBook's note: Out of syllabus (old scheme): the rotation of auditors under section 139(2) of the Companies Act, 2013 and the Companies (Audit and Auditors) Rules, 2014 (the classes of companies covered, terms of five consecutive years, the cooling period) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP Nov 2023 · Series II · question p. 6 · answer p. 4-5

1662 MTP **Old P6 May 2023 S-II** Q3(b) 4 marks old scheme

CA Amrit, an auditor was removed by Kritika Ltd. before the expiry of his term. Discuss the procedure to be taken by Kritika Ltd to appoint an auditor other than retiring auditor under Sec. 140(4) of the Companies Act, 2013.

ICAI'S ANSWER

In the given question, CA Amrit was removed by Kritika Ltd. before the expiry of his term and Kritika Ltd wants to appoint an auditor other than retiring auditor i.e CA Amrit who was removed.

Section 140(4) lays down procedure to appoint an auditor other than retiring auditor who was removed-

(1) Special notice shall be required for a resolution at an annual general meeting appointing as auditor

a person other than a retiring auditor, or providing expressly that a retiring auditor shall not be re-appointed, except where the retiring auditor has completed a consecutive tenure of five years or as the case may be, ten years, as provided under **sub-section (2) of section 139**.

(2) On receipt of notice of such a resolution, the company shall forthwith send a copy thereof to the retiring auditor.

(3) Where notice is given of such a resolution and the retiring auditor makes with respect thereto representation in writing to the company (not exceeding a reasonable length) and requests its notification to members of the company, the company shall, unless the representation is received by it too late for it to do so,-

(a) in any notice of the resolution given to members of the company, state the fact of the representation having been made; and

(b) send a copy of the representation to every member of the company to whom notice of the meeting is sent, whether before or after the receipt of the representation by the company. and if a copy of the representation is not sent as aforesaid because it was received too late or because of the company's default, the auditor may (without prejudice to his right to be heard orally) require that the representation shall be read out at the meeting.

Provided further that if a copy of representation is not sent as aforesaid, a copy thereof shall be field with the Registrar.

Curtailing right of the auditor regarding circulation of copy of representation in the case of appointment of auditor other than retiring auditor under section 140(4) of the companies act, 2013:

If the Tribunal is satisfied on an application either of the company or of any other aggrieved person that the rights conferred by **section 140(4)** of the Companies Act, 2013 are being abused by the auditor, then, the copy of the representation may not be sent and the representation need not be read out at the meeting.

PassBook's note: Out of syllabus (old scheme): the procedure for appointing an auditor other than the retiring auditor under section 140(4) of the Companies Act, 2013 (special notice, the retiring auditor's representation) belonged to old Paper 6's Company Audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment or removal of a company auditor (as o-p6-pyq-jan2021).

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7 · answer p. 4-5

1663 MTP **Old P6 May 2023 S-II** Q3(d) 3 marks old scheme

Why Central Government permission is required, when the auditors are to be removed before expiry of their term, but the same is not needed when the auditors are changed after expiry of their term?

ICAI'S ANSWER

Permission of Central Government for Removal of Auditor Under Section 140(1) of the Companies Act, 2013: Removal of auditor before expiry of his term i.e. before he has submitted his report is a serious matter and may adversely affect his independence.

Further, in case of conflict of interest the shareholders may remove the auditors in their own interest.

Therefore, law has provided this safeguard so that central government may know the reasons for such an action and if not satisfied, may not accord approval.

On the other hand if auditor has completed his term i.e. has submitted his report and thereafter he is not re-appointed then the matter is not serious enough for central government to call for its intervention.

In view of the above, the permission of the Central Government is required when auditors are removed before expiry of their term and the same is not needed when they are not re-appointed after expiry of their term.

The provisions of removal of auditor before expiry of his term are also meant to safeguard auditor's independence by imposing strict conditions like prior approval of Central government.

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term with the Central Government's prior approval (section 140(1) of the Companies

Act, 2013) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it.

ICAI · Old P6 · MTP May 2023 · Series II · question p. 7 · answer p. 5

1664 MTP **Old P6 Nov 2022 S-II** General MCQ 4 1 mark

MCQ old scheme

Mr. Y is statutory auditor of *"Always on Air Limited"* under Companies Act,2013 for year 2021-22. He has to travel a lot in connection with professional audit work to different locations in India. While travelling, he prefers tickets of *"Always on Air Limited"*. The tickets are booked by him through portal of the company at prevailing market prices. He has purchased tickets of ₹5,05,000/- during year 2021-22 in above manner.

Which of the following statements is most appropriate in this regard?

A Mr. Y has become disqualified to be appointed as auditor of company by virtue of business relationship with the company.

B Such a situation has no express disqualification under Companies Act. However, there is threat to independence of Mr. Y by virtue of self-interest threats. Therefore, he should withdraw from engagement.

C Mr. Y has not incurred disqualification under Companies Act.

D Such a situation has no express disqualification under Companies Act. However, there is threat to independence of Mr. Y by virtue of advocacy threats. Therefore, he should withdraw from engagement.

ICAI'S ANSWER

Option (C)

PassBook's note: Out of syllabus (old scheme): whether a business relationship disqualifies a company auditor (section 141(3)(e) of the Companies Act, 2013 and Rule 10 of the Companies (Audit and Auditors) Rules, 2014, which exclude commercial transactions in the ordinary course of business at arm's length) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the disqualifications of a company auditor, so the item carries only its nearest chapter (ethics: the options also name self-interest and advocacy threats).

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 6 · answer p. 1

1665 MTP **Old P6 Jul 2021 S-II** Q5(c) 3 marks old scheme

"CA. NM who is rendering management consultancy service to LA Ltd. wants to accept offer letter for appointment as an auditor of the LA Ltd. for the next financial year." Discuss with reference to the provision of the Companies Act, 2013.

ICAI'S ANSWER

Section 141(3)(i) of the Companies Act, 2013 disqualifies a person for appointment as an auditor of a company who is engaged as on the date of appointment in management consultancy service as provided in section 144. Section 144 of the

Companies Act, 2013 prescribes certain services not to be rendered by the auditor which are as under:

(i) Accounting and book keeping services

(ii) Internal audit.

(iii) Design and implementation of any financially information system.

(iv) Actuarial services

(v) Investment advisory services.

(vi) Investment banking services.

(vii) Rendering of outsourced financial services

(viii) Management services and

(ix) Any other kind of services as may be prescribed

Therefore, CA. NM is advised not to accept the assignment of auditing as the management consultancy service is specifically notified in the list of services not to be rendered by him as per section 141(3)(i) read with section 144 of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the disqualification of a person engaged in management consultancy (section 141(3)(i)) and the services an auditor may not render under section 144 of the Companies Act, 2013 belonged to old Paper 6's company audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover sections 141 and 144, so the item carries only the nearest sub-topic (independence, threats and safeguards), as o-p6-pyq-jan2021 Q5(d). Kept as printed: "the provision of the Companies Act" (question), "any financially information system" (point (iii)) and the points without a full stop.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 6 · answer p. 6

1666 MTP Old P6 May 2020 S-I Q4(d) 3 marks old scheme

M/s. ABC &Co. is an Audit firm, having partners CA. A, CA. B and CA. C. The firm has been offered the appointment as an Auditor of XYZ Ltd. for the Financial Year 2017-18.

Mr. D, the relative of CA. A, is holding 25,000 shares (face value of Rs. 10 each) in XYZ Ltd. having market value of Rs. 90,000. Are M/s. ABC & Co. qualified to be appointed as Auditors of XYZ Ltd.?

ICAI'S ANSWER

As per section 141(3)(d)(i), a person shall not be eligible for appointment as an auditor of a company, who, or his relative or partner is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company. However, as per proviso to this section, the relative of the person may hold the securities or interest in the company of face value not exceeding of Rs. 1,00,000.

In the instant case, M/s ABC& Co. is an audit firm having partners CA. A, CA. B and CA. C. Mr. D is a relative of CA. A and he is holding shares in XYZ Ltd. of face value of Rs.2,50,000 (25,000 shares x rupees 10 per share). Market value of Rs. 90,000 would not be relevant.

Therefore, M/s ABC& Co. is disqualified for appointment as an auditors of XYZ Ltd. as the relative of CA. A (i.e. partner of M/s ABC& Co.) is holding the securities in XYZ Ltd. which is

exceeding the limit mentioned in proviso to section 141(3)(d)(i) of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the disqualification of a company auditor whose relative holds securities of the company above face value ₹ 1 lakh (section 141(3)(d)(i) of the Companies Act, 2013 and its proviso) belonged to old Paper 6's company audit chapter; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover section 141 (see m2-2), so the item carries only its nearest sub-topic (independence).

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 8

1667 MTP **Old P6 Nov 2019 S-I** MCQ 14 1 mark MCQ old scheme

Under sub-section (3) of section 141 along with Rule 10 of the Companies (Audit and Auditors) Rules, 2014 (hereinafter referred as CAAR), the following persons shall not be eligible for appointment as an auditor of a company, namely-

(i) a limited liability partnership registered under the Limited Liability Partnership Act, 2008;

(ii) an officer or employee of the company;

(iii) a person who is a partner, or who is in the employment, of an officer or employee of the company;

(iv) a person who, or his relative or partner is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company. It may be noted that the relative may hold security or interest in the company of face value not exceeding Rs. 1,00,000.

Which of the above is incorrect :

A All statements are incorrect.

B (i) and (ii)

C (i) only

D (iv) only

ICAI'S ANSWER

(C)

PassBook's note: Out of syllabus (old scheme): who is not eligible for appointment as a company's auditor (section 141(3) of the Companies Act, 2013 and Rule 10 of the Companies (Audit and Auditors) Rules, 2014: an LLP, an officer or employee, a relative holding securities above face value Rs. 1,00,000) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 3 · answer p. 1

A.5 Topics no longer in the syllabus

38 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1668 EXAM **Old P6 May 2023** Q6(a) 4 marks old scheme

ATM Ltd. is a public company, with a paid-up capital of ₹ 12 crore. The company has made a turnover of ₹ 105 crore in the Financial Year 2021-22. The outstanding loan as on 31-03-2022 was ₹ 32 crore. Whether ATM Ltd. is required to constitute an Audit Committee in the financial year 2022-23? Analyse the provisions of Companies Act, 2013 and give your comments.

ICAI'S ANSWER

In addition to listed public companies, the following classes of companies shall constitute an Audit Committee -

(i) all public companies with a paid-up capital of ten crore rupees or more;

(ii) all public companies having turnover of one hundred crore rupees or more;

(iii) all public companies, having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more.

Explanation: The paid-up share capital or turnover or outstanding loans, or borrowings or debentures or deposits, as the case may be, as existing on the date of the last audited Financial Statements shall be taken into account for the purposes of this rule.

Therefore, provisions of the constitution of the audit committee are applicable only to listed companies and public companies satisfying the criteria as stated above.

Applying the above, ATM Ltd., a public company having paid up capital of ₹ 12 crores and turnover of ₹ 105 crores will be required to constitute an Audit Committee under section 177 even if its outstanding loan is below ₹ 50 crores because the requirement for constitution of Audit Committee arises if the company falls into any of the prescribed categories.

PassBook's note: Out of syllabus (old scheme): which companies must constitute an Audit Committee under section 177 of the Companies Act, 2013 (listed public companies and

public companies above the paid-up capital, turnover or borrowing limits) was part of old Paper 6's Company Audit chapter; Neither the new-scheme Paper 5 syllabus nor the January 2027 Study Material teaches it (the Study Material names the audit committee only as the body to which an auditor reports a fraud below ₹ 1 crore). No tag.

ICAI · Old P6 · May 2023 exam · question p. 13 · answer p. 14

1669 EXAM **Old P6 Nov 2022** Q5(b) 4 marks old scheme

M/s RAP & Co., a firm of Chartered Accountants, has three partners, namely Mr. R, Mr. A and Mr. P. Mr. R is also in whole time employment elsewhere and Mr. A & Mr. P do not hold any audits in their personal capacity or as partners of other firms. The Firm, currently, has statutory audit of 40 public companies. They are offered the statutory audit of a public company XYZ Ltd. Whether M/s. RAP & Co. can accept the audit of XYZ Ltd.?

ICAI'S ANSWER

Eligibility to be appointed as an auditor of a company: Section 141(3(g) of Companies Act, 2013 states that a person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than twenty companies shall be disqualified from being appointed as auditor of the company.

In the case of a firm of auditors, it has been further provided that 'specified number of companies' shall be construed as the number of companies specified

for every partner of the firm who is not in full time employment elsewhere.

The above said ceiling applies per partner of the firm. In the given case, M/s. RAP & Co., a firm of Chartered Accountants, having 3 partners CA. R, CA. A and CA. P, is offered appointment of statutory audit of a public company XYZ Limited. CA. R is in whole time employment elsewhere, therefore, for computation of ceiling limit only CA. A and CA. P (two partners) will be considered. Therefore, entitlement of firm is 40 company audits(20X2) only.

Since, M/s. RAP & Co.is already having statutory audit of 40 public companies, therefore, RAP & Co. cannot accept audit of XYZ Limited.

PassBook's note: Out of syllabus (old scheme): the ceiling on the number of company audits (section 141(3)(g) of the Companies Act, 2013, twenty companies per partner not in full-time employment elsewhere) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · Nov 2022 exam · question p. 9 · answer p. 10

1670 EXAM **Old P6 May 2022** Q4(a) 4 marks old scheme

CAB, an auditor of DBF Limited engaged in the manufacturing and trading of hardware products, while auditing got aware of some secrets of the company. The auditor acted in an unlawful way in order to deceive or gain an advantage over others and also he encouraged and assisted directors to do something wrong, in particular to commit crime. Now company has requested you to guide it as to how such acts are

covered under Companies Act, 2013 and what consequences auditor may face?

ICAI'S ANSWER

Punishment for Non – Compliance/Contravention: Section 147 of the Companies Act, 2013 prescribes punishments:

Where, in case of audit of a company being conducted by an audit firm, it is proved that the partner or partners of the audit firm has or have acted in a fraudulent manner or abetted or colluded in an fraud by, or in relation to or by, the company or its directors or officers, the liability, whether civil or criminal as provided in this Act or in any other law for the time being in force, for such act shall be of the partner or partners concerned of the audit firm and of the firm jointly and severally.

However, in case of criminal liability of an audit firm, in respect of liability other than fine, the concerned partner or partners, who acted in a fraudulent manner or abetted or, as the case may be, colluded in any fraud shall only be liable. In view of the above, CA. B would be liable for fine and imprisonment as per Companies Act, 2013.

Alternative Solution:

Direction by Tribunal in case Auditor acted in a Fraudulent Manner:

As per sub-section (5) of the section 140, the Tribunal either suo motu or on an application made to it by the Central Government or by any person

concerned, if it is satisfied that the auditor of a company has, whether directly or indirectly, acted in a fraudulent manner or abetted or colluded in any fraud by, or in relation to, the company or its directors or officers, it may, by order, direct the company to change its auditors.

However, if the application is made by the Central Government and the Tribunal is satisfied that any change of the auditor is required, it shall within fifteen days of receipt of such application, make an order that he shall not function as an auditor and the Central Government may appoint another auditor in his place.

It may be noted that an auditor, whether individual or firm, against whom final order has been passed by the Tribunal under this section shall not be eligible to be appointed as an auditor of any company for a period of five years from the date of passing of the order and the auditor shall also be liable for action under section 447.

PassBook's note: Out of syllabus (old scheme): the liability of an auditor who acts fraudulently (section 147 of the Companies Act, 2013) and the Tribunal's direction to change the auditor (section 140(5)) were part of old Paper 6's Company Audit chapter; Neither the new-scheme Paper 5 syllabus nor the January 2027 Study Material teaches them (the Study Material cites neither section). No tag. The question names the auditor "CAB" and ICAI's answer "CA. B".

ICAI · Old P6 · May 2022 exam · question p. 8 · answer p. 8-9

1671 EXAM Old P6 May 2022 Q6(d) 3 marks old scheme

The accountant of CHB Limited observed that amount received from Mr. A has been recorded in the account of Mr. B and this mistake was found at the time of tallying account statement provided by Mr. A. What type of error is this? Can you give two more examples of such error and how the same will be detected?

ICAI'S ANSWER

Self-Revealing Error:

Situation mentioned in the case is a Self-Revealing Error. These are such errors the existence of which becomes apparent in the process of compilation of accounts.

Below are two more examples of such errors:

(a) Omission to post a part of a journal entry in to the ledger. (Trial Balance is thrown out of agreement) – Statement of account of parties will reveal the mistake.

(b) Wrong totalling of the Purchase register. Control Account (e.g., the Sundry Trade Payables Account) balances and the aggregate of the balance in the personal ledger will disagree.

Alternative Solution:

Errors of Commission: When a transaction has been mis-recorded either wholly or partially it is called as an error of commission. Error of commission can happen in the following ways-

(i) Errors in posting,

(ii) Errors in Casting,

(iii) Errors in carrying forward,

(iv) Errors occurring during extraction of balances, etc.

The case given in the question is an error of posting.

Posting errors may be of a wrong account, wrong amount or wrong file.

For example,

(i) Omission of posting of any part of the journal entry – Can be detected through trial balance.

(ii) Purchase of ₹ 360 from Mr. A posted in his account at ₹ 630 or sales returns from Mr. X posted as the debit of his account – This error can be detected by verifying entries with underlying vouchers.

Errors of posting in the wrong account may be detected by performing external confirmation as an audit procedure.

PassBook's note: Out of syllabus (old scheme): the classification of errors (self-revealing errors, errors of commission, posting and casting errors) was part of old Paper 6's errors and frauds topic; Neither the new-scheme Paper 5 syllabus nor the January 2027 Study Material teaches the types of errors. No tag.

ICAI · Old P6 · May 2022 exam · question p. 14 · answer p. 18

1672 EXAM **Old P6 Dec 2021** Q5(b) 4 marks old scheme

CA G was appointed as the auditor of RJ Ltd. at the remuneration of INR 35000. He resigned after 7 months

on health grounds but failed to file the required statement with the Registrar of Companies. What are the responsibilities of CA G as per section 140(2) of the Companies Act, 2013? As per section 140(3) of the Companies Act, 2013, how much fine will be levied on CA G for non-compliance of Sec 140(2) of the Companies Act 2013?

ICAI'S ANSWER

Casual Vacancy by Resignation:

As per section 140(2) of the Act, the auditor CA G who has resigned from the company shall file within a period of 30 days from the date of resignation, a statement in the prescribed Form ADT–3 (as per Rule 8 of CAAR) with the company and the Registrar.

The auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation.

In the given case, CA G, auditor of RJ Ltd resigned after 7 months on health grounds and also, he did not file ADT-3 with the Registrar. So, he did not fulfil his responsibilities as stated under Section 140(2).

So, the auditor CA G shall be liable to a penalty of fifty thousand rupees or the remuneration of the auditor Rs 35000, whichever is less i.e., ₹ 35000, and in case of continuing failure, with further penalty of five hundred rupees for each day after the first during which such failure continues, subject to a maximum of Two lakh rupees as per section 140(3).

PassBook's note: Out of syllabus (old scheme): the resignation of a company's auditor under section 140(2) and (3) of the Companies Act, 2013 (Form ADT-3 and the penalty) was part of old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors); Neither the new-scheme Paper 5 syllabus nor the January 2027 Study Material teaches it. No tag. ICAI's answer writes both "Form ADT–3" and "ADT-3", and both "Rs 35000" and "₹ 35000".

ICAI · Old P6 · Dec 2021 exam · question p. 10 · answer p. 11

1673 EXAM **Old P6 Jul 2021 Q4(d)** 3 marks old scheme

Care Ltd. is an unlisted public limited company, During the financial year 2019-20, the paid-up share capital of Care Ltd. was INR 50 crore and the turnover was INR 80 crore. During the financial year 2020-21, the Board of Directors of the company appointed an internal auditor. Whether Care Ltd. is required to appoint an internal auditor according to the provisions of the Companies act, 2013?

ICAI'S ANSWER

As per section 138 of the Companies Act, 2013: following class of companies (prescribed in rule 13 of Companies (Accounts) Rules, 2014) shall be required to appoint an internal auditor or a firm of internal auditors, namely-

(a) every listed company;

(b) every unlisted public company having-

(i) paid up share capital of fifty crore rupees or more during the preceding financial year; or

(ii) turnover of two hundred crore rupees or more during the preceding financial year; or

(iii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year; or

(iv) outstanding deposits of twenty five crore rupees or more at any point of time during the preceding financial year.

Conclusion: Applying the above to the given problem, since Care Ltd is an unlisted public company and having paid up share capital of ₹ 50 crores during the preceding F.Y. 2019-20, therefore, Care Ltd is required to appoint an Internal Auditor.

ICAI · Old P6 · Jul 2021 exam · question p. 39 · answer p. 42

1674 EXAM **Old P6 Jul 2021** Q5(a) 4 marks old scheme

Shine Industries is an electricity generating company engaged in generation of electricity for captive consumption. Its gross turnover was INR 68 crores during the immediately preceding financial year.

Management of shine industries has not maintained any cost records as they felt that there is no requirement for them· to maintain any cost records or conduct any cost audit. Comment.

ICAI'S ANSWER

Applicability for Maintenance of Cost Records: Rule 3 of the Companies (Cost Records and Audit)

Rules, 2014 provides the classes of companies, engaged in the production of goods or providing services, having an overall turnover from all its products and services of ₹ 35 crore or more during the immediately preceding financial year, required to include cost records in their books of account. These companies include Foreign Companies defined in sub-section (42) of section 2 of the Act, but exclude a company classified as a Micro enterprise or a Small enterprise including as per the turnover criteria provided under Micro, Small and Medium Enterprises Development Act, 2006. The said rule has divided the list of companies into (A) Regulated sectors and (B) Non-regulated sectors.

Cost Audit Rules Not to Apply in Certain Cases: The requirement for cost audit under these rules shall not be applicable to a company which is covered under Rule 3, and,

(i) whose revenue from exports, in foreign exchange, exceeds 75% of its total revenue; or

(ii) which is operating from a special economic zone.

(iii) which is engaged in generation of electricity for captive consumption through Captive Generating Plant.

Conclusion: Since Shine Industries is having an overall turnover of ₹ exceeding 35 crore during the immediately preceding financial year, therefore, it is required to include cost records in its books of

account but is not required to get its accounts audited because Cost Audit Rules are not applicable on Companies engaged in generation of electricity for captive consumption.

ICAI · Old P6 · Jul 2021 exam · question p. 43 · answer p. 43-44

1675 EXAM **Old P6 Jul 2021** Q5(b) 4 marks old scheme

The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Discuss atleast four other key responsibilities of Audit Committee in accordance with Section 177 of the Companies Act, 2013.

ICAI'S ANSWER

Audit committee performs wide functions. The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Under section 177 of Companies Act, 2013, audit committee is responsible for following actions : -

(i) the recommendation for appointment, remuneration and terms of appointment of auditors of the company;

(ii) review and monitor the auditor's independence and performance, and effectiveness of audit process;

(iii) examination of the financial statement and the auditors' report thereon;

(iv) approval or any subsequent modification of transactions of the company with related parties;

(v) scrutiny of inter-corporate loans and investments;

(vi) valuation of undertakings or assets of the company, wherever it is necessary;

(vii) evaluation of internal financial controls and risk management systems;

(viii) monitoring the end use of funds raised through public offers and related matters.

Hence, audit committee oversees range of matters including those related to making recommendation for appointment of auditors.

ICAI · Old P6 · Jul 2021 exam · question p. 43 · answer p. 44

1676 EXAM **Old P6 Jul 2021** Q5(c) 3 marks old scheme

List out any three circumstances which induce the management/ employee to commit the fraud.

ICAI'S ANSWER

Circumstances which induce the management/ employee to commit fraud are :

- Financial obligations/ Pressure.
- Management's unrealistic goals.
- Dissatisfied Employees or Lack of motivation among employees.
- Name game (eg. management using power of authority by asking employees to do something

illegal).

- Opportunity to commit fraud.

ICAI · Old P6 · Jul 2021 exam · question p. 43 · answer p. 44

1677 **EXAM** **Old P6 Jan 2021** Q2(b) **4 marks** **old scheme**

CA Raj, an auditor was removed by PQR Ltd. before the expiry of his term. Discuss the procedure to be taken by PQR Ltd to appoint an auditor other than retiring auditor under Sec. 140(4) of the Companies Act, 2013.

ICAI'S ANSWER

In the given question, CA Raj was removed by PQR Ltd. before the expiry of his term and PQR Ltd wants to appoint an auditor other than retiring auditor i.e CA Raj who was removed.

Section 140(4) lays down procedure to appoint an auditor other than retiring auditor who was removed-

(1) Special notice shall be required for a resolution at an annual general meeting appointing as auditor a person other than a retiring auditor, or providing expressly that a retiring auditor shall not be re-appointed, except where the retiring auditor has completed a consecutive tenure of five years or as the case may be, ten years, as provided under **sub-section (2) of section 139**.

(2) On receipt of notice of such a resolution, the company shall forthwith send a copy thereof to the retiring auditor.

(3) Where notice is given of such a resolution and the retiring auditor makes with respect thereto representation in writing to the company (not exceeding a reasonable length) and requests its notification to members of the company, the company shall, unless the representation is received by it too late for it to do so,-

(a) in any notice of the resolution given to members of the company, state the fact of the representation having been made; and

(b) send a copy of the representation to every member of the company to whom notice of the meeting is sent, whether before or after the receipt of the representation by the company. and if a copy of the representation is not sent as aforesaid because it was received too late or because of the company's default, the auditor may (without prejudice to his right to be heard orally) require that the representation shall be read out at the meeting.

PassBook's note: Out of syllabus (old scheme): the procedure for appointing an auditor other than the retiring auditor under section 140(4) of the Companies Act, 2013 (special notice, the retiring auditor's representation) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · Jan 2021 exam · question p. 2 · answer p. 3-4

1678 EXAM **Old P6 Nov 2019** Q4(c) 3 marks old scheme

Board of Directors of MN Ltd. wants to appoint CA B, a practicing Chartered Accountant, as an internal auditor of the company as they believe that they could not

appoint any other person as an internal auditor other than practicing chartered accountant.

Examine the correctness of the statement of Board of Directors of MN Ltd. with respect to provisions of Companies Act, 2013.

ICAI'S ANSWER

1. As per section 138, the internal auditor shall either be a chartered accountant or a cost accountant (whether engaged in practice or not).
2. Or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the companies.
3. The internal auditor may or may not be an employee of the company.

Hence, the belief of Company is not correct.

PassBook's note: Out of syllabus (old scheme): who may be appointed as a company's internal auditor under section 138 of the Companies Act, 2013 (a chartered accountant or cost accountant, in practice or not, or another professional decided by the Board) was part of old Paper 6's Company Audit chapter.

ICAI · Old P6 · Nov 2019 exam · question p. 7 · answer p. 8

1679 RTP **Old P6 May 2023** Q23 old scheme

The recommendation for appointment of auditors is one of the several functions performed by the Audit Committee. Discuss other key responsibilities of the Audit Committee in accordance with section 177 of the Companies Act, 2013.

ICAI'S ANSWER

Audit committee performs wide functions. The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Under section 177 of companies Act, 2013, audit committee is responsible for following actions :-

(i) the recommendation for appointment, remuneration and terms of appointment of auditors of the company;]

(ii) review and monitor the auditor's independence and performance, and effectiveness of audit process;

(iii) examination of the financial statement and the auditors' report thereon;

(iv) approval or any subsequent modification of transactions of the company with related parties;

(v) scrutiny of inter-corporate loans and investments;

(vi) valuation of undertakings or assets of the company, wherever it is necessary;

(vii) evaluation of internal financial controls and risk management systems;

(viii) monitoring the end use of funds raised through public offers and related matters.

Hence, audit committee oversees range of matters including those related to making recommendation for appointment of auditors etc.

PassBook's note: Out of syllabus (old scheme): the functions of the audit committee under section 177 of the Companies Act, 2013 belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · RTP May 2023 · question p. 11 · answer p. 26

1680 **RTP** **Old P6 Nov 2022** Q21 old scheme

Also asked in Old P6 MTP May 2022 S-II Q5(a)

XYZ Limited is engaged in the business of Shoes having geographical presence across India. Following details are available from the last audited financial statements of XYZ Limited for the financial year 2020-21:

Particulars	₹
Paid-up Capital as on 31st March, 2021	9.8 Crores
Turnover for Financial Year 2020-21	98 Crores
Outstanding Loan from Bank as on 31st March, 2021	25 Crores
Liability on Outstanding Debentures as on 31st March, 2021	26 Crores

Comment on the applicability of constitution of Audit Committee for XYZ Limited for the financial year 2021-22 based on the above information.

ICAI'S ANSWER

Applicability of Constitution of Audit Committee: According to Section 177 of the Companies Act,

2013, in addition to listed public companies, following classes of companies shall constitute and Audit Committee -

(i) All public companies with a paid-up capital of ten crore rupees or more;

(ii) All public companies having turnover of one hundred crore rupees or more;

(iii) All public companies, having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more.

Explanation - The paid-up share capital or turnover or outstanding loans or borrowings or debentures or deposits, as the case may be, as existing on the date of last audited Financial Statements shall be taken into account for the purposes of this rule.

Therefore, provisions of constitution of audit committee are applicable only to listed companies and public companies satisfying criteria as stated above.

In the given case, XYZ Limited, engaged in the business of Shoes, is a public company and it's having paid-up capital of 9.8 crore rupees and turnover of 98 crore which is less than prescribed limit (i.e., 10 crores for paid-up capital and 100 crores for turnover). However, aggregate of its outstanding loan from bank (25 crores) and liability on outstanding debentures (26 crore) is exceeding the prescribed limit i.e., 50 crore rupees. Therefore,

provisions relating to constitution of Audit Committee will be applicable for XYZ Limited.

PassBook's note: Out of syllabus (old scheme): which companies must constitute an Audit Committee under section 177 of the Companies Act, 2013 belonged to old Paper 6's Chapter 10, The Company Audit; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not teach it (they mention the audit committee only as a body the auditor reports or communicates to), so no tag is forced. Kept as printed: "shall constitute and Audit Committee", "it's having paid-up capital", and "turnover of 98 crore" and "(26 crore)" without the plural.

ICAI · Old P6 · RTP Nov 2022 · question p. 12-13 · answer p. 26-27

1681 RTP **Old P6 May 2022** Q21 old scheme

Before appointment is made under Section 139(1) of the Companies Act, 2013, the written consent of the auditor to such appointment, and a certificate from him or it that the appointment, if made, shall be in accordance with the conditions as may be prescribed, shall be obtained from the auditor. Explain stating clearly provisions of Section 139(1) along with Rule 4 of The Companies (Audit and Auditors) Rules, 2014.

ICAI'S ANSWER

Section 139(1) of the Companies Act, 2013 provides that every company shall, at the first annual general meeting appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting and thereafter till the conclusion of every sixth meeting.

The following points need to be noted in this regard-

(i) Before such appointment is made, the written consent of the auditor to such appointment, and a certificate from him or it that the appointment, if made, shall be in accordance with the conditions as may be prescribed, shall be obtained from the auditor.

(ii) **Under Rule** 4 of The Companies (Audit and Auditors) Rules, 2014, the said certificate shall state the following:-

(a) the individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Act, the Chartered Accountants Act, 1949 and the rules or regulations made thereunder;

(b) the proposed appointment is as per the term provided under the Act;

(c) the proposed appointment is within the limits laid down by or under the authority of the Act;

(d) the list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

(iii) The company shall inform the auditor concerned of his or its appointment, and also file a notice of such appointment with the Registrar within 15 days of the meeting in which the auditor is appointed.

PassBook's note: Out of syllabus (old scheme): the appointment of a company's auditor at the first annual general meeting under section 139(1) of the Companies Act, 2013, with the auditor's consent and certificate under Rule 4 of the Companies (Audit and Auditors) Rules, 2014 and the notice to the Registrar, belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · RTP May 2022 · question p. 11 · answer p. 28

1682 **RTP** **Old P6 Dec 2021** Q21 old scheme

Also asked in Old P6 MTP Nov 2022 S-I Q3(d)

Under the provisions of Section 141(3) of Companies Act, 2013 along with relevant rules, a person or a firm who has "business relationship" with a company is not eligible to be appointed as an auditor of that company. In this context, discuss meaning of term "business relationship".

ICAI'S ANSWER

Under provisions of section 141(3) of Companies Act, 2013, a person or a firm who, whether directly or indirectly has business relationship with the Company, or its Subsidiary, or its Holding or Associate Company or Subsidiary of such holding company or associate company, of such nature as may be prescribed is not eligible to be appointed as auditor of the company.

The term "business relationship" shall be construed as any transaction entered into for a commercial purpose, except –

(i) commercial transactions which are in the nature of professional services permitted to be rendered by

an auditor or audit firm under the Act and the Chartered Accountants Act, 1949 and the rules or the regulations made under those Acts;

(ii) commercial transactions which are in the ordinary course of business of the company at arm's length price - like sale of products or services to the auditor, as customer, in the ordinary course of business, by companies engaged in the business of telecommunications, airlines, hospitals, hotels and such other similar businesses.

PassBook's note: Out of syllabus (old scheme): the disqualification of a person or firm with a "business relationship" with the company (section 141(3) of the Companies Act, 2013 and Rule 10 of the Companies (Audit and Auditors) Rules, 2014) belonged to old Paper 6's Company Audit chapter (qualifications and disqualifications of auditors), the chapter ICAI's heading names.

ICAI · Old P6 · RTP Dec 2021 · question p. 125 · answer p. 141-142

1683 RTP **Old P6 Jul 2021 Q22** old scheme

In exercise of the powers conferred by the Chartered Accountants Act, 1949, the Council of the Institute of Chartered Accountants of India specifies that a member of the Institute in practice shall be deemed to be guilty of professional misconduct, if he holds at any time appointment of more than the "specified number of audit assignments of the companies under Section 141(3)(g) of the Companies Act, 2013).

Explain the provisions prescribed under Companies Act, 2013 in respect of ceiling on number of audits in a company to be accepted by an auditor.

ICAI'S ANSWER

Ceiling on number of Audits:

1. Before appointment is given to any auditor, the company must obtain a certificate from him to the effect that the appointment, if made, will not result in an excess holding of company audit by the auditor concerned over the limit laid down in **section 141(3)(g)** of the Companies Act, 2013 which prescribes that a person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such person or partner is at the date of such appointment or reappointment holding appointment as auditor of more than **twenty companies** other than one person companies, dormant companies, small companies and private companies having paid-up share capital less than ₹ 100 crore, shall not be eligible for appointment as an Auditor of a Company.
2. In the case of a firm of auditors, it has been further provided that 'specified number of companies' shall be construed as the number of companies specified for every partner of the firm who is not in full time employment elsewhere. This limit of 20 company audits is per person. In the case of an audit firm having 3 partners, the overall ceiling will be 3 × 20 = 60 company audits.
3. Sometimes, a chartered accountant is a partner in a number of auditing firms. In such a case, all the firms in which he is partner or proprietor

will be together entitled to 20 company audits on his account. Subject to the overall ceiling of company audits, how they allocate the 20 audits between themselves is their affairs.

PassBook's note: Out of syllabus (old scheme): the ceiling on the number of company audits (section 141(3)(g) of the Companies Act, 2013: twenty companies per person, excluding one person companies, dormant companies, small companies and private companies having paid-up share capital less than ₹ 100 crore) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · RTP Jul 2021 · question p. 124 · answer p. 140

1684 RTP **Old P6 Nov 2020** Q21 old scheme

Rule 3 of CAAR, 2014 prescribes the manner and procedure of selection and appointment of auditors. Explain that procedure in detail.

ICAI'S ANSWER

Rule 3 of CAAR, 2014 prescribes the following manner and procedure of selection and appointment of auditors-

(1) In case of a company that is required to constitute an Audit Committee under section 177, the committee, and, in cases where such a committee is not required to be constituted, the Board, shall take into consideration the qualifications and experience of the individual or the firm proposed to be considered for appointment as auditor and whether such qualifications and experience are commensurate with the size and requirements of the company.

It may be noted that while considering the appointment, the Audit Committee or the Board, as the case may be, shall have regard to any order or pending proceeding relating to professional matters of conduct against the proposed auditor before the Institute of Chartered Accountants of India or any competent authority or any Court.

(2) The Audit Committee or the Board, as the case may be, may call for such other information from the proposed auditor as it may deem fit.

(3) Subject to the provisions of sub-rule (1), where a company is required to constitute the Audit Committee, the committee shall recommend the name of an individual or a firm as auditor to the Board for consideration and in other cases, the Board shall consider and recommend an individual or a firm as auditor to the members in the annual general meeting for appointment.

(4) If the Board agrees with the recommendation of the Audit Committee, it shall further recommend the appointment of an individual or a firm as auditor to the members in the annual general meeting.

(5) If the Board disagrees with the recommendation of the Audit Committee, it shall refer back the recommendation to the committee for reconsideration citing reasons for such disagreement.

(6) If the Audit Committee, after considering the reasons given by the Board, decides not to reconsider its original recommendation, the Board shall record reasons for its disagreement with the committee and send its own recommendation for consideration of the members in the annual general meeting; and if the Board agrees with the recommendations of the Audit Committee, it shall place the matter for consideration by members in the annual general meeting.

(7) The auditor appointed in the annual general meeting shall hold office from the conclusion of that meeting till the conclusion of the sixth annual general meeting, with the meeting wherein such appointment has been made being counted as the first meeting.

PassBook's note: Out of syllabus (old scheme): the manner and procedure of selecting and appointing a company's auditor under Rule 3 of the Companies (Audit and Auditors) Rules, 2014 (the Audit Committee's or Board's recommendation to the AGM) belonged to old Paper 6's Company Audit chapter (appointment of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover the appointment of a company's auditor (the Study Material names only the C&AG's appointment of a Government company's auditor). No tag.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 28-29

1685 RTP **Old P6 Nov 2020** Q22 old scheme

At the AGM of HDB Pvt. Ltd., Mr. R was appointed as the statutory auditor. He, however, resigned after 3 months since he wanted to pursue his career in banking sector. The Board of Director has appointed Mr. L as the

statutory auditor in board meeting within 30 days. Comment on the matter with reference to the provisions of Companies Act, 2013.

ICAI'S ANSWER

As per Section 139(8), any casual vacancy in the office of an auditor shall in the case of a company other than a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor-General of India, be filled by the Board of Directors within 30 days.

If such casual vacancy is as a result of the resignation of an auditor, such appointment shall also be approved by the company at a general meeting convened within three months of the recommendation of the Board and he shall hold the office till the conclusion of the next annual general meeting.

Further, as per section 140(2) the auditor who has resigned from the company shall file within a period of 30 days from the date of resignation, a statement in the prescribed Form with the company and the Registrar. In the instant case, R resigned after three months of his appointment as statutory auditor as he wanted to pursue his career in banking sector. Therefore, the board of director has appointed Mr. L as the statutory auditor with in 30 days is in order subject to such appointment shall also be approved by the company at a general meeting convened within three months of the recommendation of the Board. Further, it is also the

duty of the auditor to file, within a period of 30 days from the date of resignation, a statement in the prescribed Form with the company and the Registrar in compliance with section 140(2) of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): filling a casual vacancy caused by a company auditor's resignation (section 139(8) of the Companies Act, 2013) and the resigning auditor's statement under section 140(2) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover them (as o-p6-pyq-jan2021 Q1(f) and o-p6-mtp-nov2022-s2 Q3(d)). No tag. Kept as printed: "The Board of Director has appointed" (question) and "the board of director has appointed Mr. L as the statutory auditor with in 30 days is in order" (answer.

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 29

1686 RTP **Old P6 Nov 2020 Q23** old scheme

M/s. ABC & Co. is an Audit firm, having partners CA. A, CA. B and CA. C. The firm has been offered the appointment as an Auditor of XYZ Ltd. for the Financial Year 2019-20. Mr. D, the relative of CA. A, is holding 25,000 shares (face value of ₹ 10 each) in XYZ Ltd. having market value of ₹ 90,000. Are M/s. ABC & Co. qualified to be appointed as Auditors of XYZ Ltd.?

ICAI'S ANSWER

As per section 141(3)(d)(i), a person shall not be eligible for appointment as an auditor of a company, who, or his relative or partner is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or

a subsidiary of such holding company. However, as per proviso to this section, the relative of the person may hold the securities or interest in the company of face value not exceeding of ₹ 1,00,000.

In the instant case, M/s ABC & Co. is an audit firm having partners CA. A, CA. B and CA. C. Mr. D is a relative of CA. A and he is holding shares in XYZ Ltd. of face value of ₹ 2,50,000 (25,000 shares x rupees 10 per share). Market value of ₹ 90,000 would not be relevant.

Therefore, M/s ABC & Co. is disqualified for appointment as an auditors of XYZ Ltd. as the relative of CA. A (i.e. partner of M/s ABC & Co.) is holding the securities in XYZ Ltd. which is exceeding the limit mentioned in proviso to section 141(3)(d)(i) of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the disqualification of a company auditor whose relative holds securities of the company above face value ₹ 1,00,000 (section 141(3)(d)(i) of the Companies Act, 2013 and its proviso) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors); The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover them. No tag. The question's "Financial Year 2019-20" is split by the layout as "2019 -20".

ICAI · Old P6 · RTP Nov 2020 · question p. 10 · answer p. 30

1687 RTP **Old P6 May 2020** General MCQ 2 MCQ

old scheme

With respect to the forms specified by companies (Cost Records & Audit) Rule 2014, which of the following is incorrect combination:

A Form CRA 1- Maintenance of cost records by the Company.

B Form CRA 2- Intimation of appointment of another cost auditor to Central Government.

C Form CRA 3- Submission of Cost Audit Report to the Board of Directors of the company.

D Form CRA 4- Submission of Cost Audit Report by the company to the Registrar.

ICAI'S ANSWER

(D)

PassBook's note: Out of syllabus (old scheme): the forms of the Companies (Cost Records and Audit) Rules, 2014 (CRA-1 to CRA-4) belonged to old Paper 6's company audit content on cost records and cost audit.

ICAI · Old P6 · RTP May 2020 · question p. 4 · answer p. 11

1688 RTP **Old P6 May 2020** General MCQ 5 MCQ

old scheme

Statement I : A firm whereof majority of partners practising in India are qualified for appointment may be appointed by its firm name to be auditor of a company.

Statement II : Where a firm including a limited liability partnership is appointed as an auditor of a company, all the partners shall be authorised to act and sign on behalf of the firm.

A Only Statement I is correct

B Only Statement II is correct

C Both statements are correct

D Both Statements are incorrect

ICAI'S ANSWER

(A)

PassBook's note: Out of syllabus (old scheme): the appointment of a firm (including an LLP) as a company's auditor in its firm name and the partners who may act and sign for it (section 141(1) and (2) of the Companies Act, 2013) belonged to old Paper 6's company audit chapter (qualifications of auditors).

ICAI · Old P6 · RTP May 2020 · question p. 5 · answer p. 11

1689 MTP **Old P6 Nov 2023 S-I Q3(b)** 4 marks old scheme

XY & Co, a firm of Chartered Accountants, consists of 2 partners. The firm already holds appointment of 40 company audits. The break-up of same is as under:

Particulars	Number of companies
Listed companies	2
Unlisted public companies	30
Small companies	2
OPC	1
Private companies having turnover of more than ₹100 crore. These companies have up paid-up share capital of ₹15 crore each.	5

The firm is offered appointment of two more companies, the details of which are as under: -

Particulars	Turnover	Paid-up share capital
CSK Private Limited	360 crores	105 crores
TMK Private Limited	345 crores	110 crores

Discuss whether XY & Co., can accept appointment of two more companies stated above.

ICAI'S ANSWER

Section 141(3)(g) of Companies Act, 2013 states that a partner of a firm holding appointment as its auditor shall not be eligible for appointment of auditor of a company if such partner is at the date of such appointment or reappointment is holding appointment of more than 20 companies other than OPC, dormant companies, small companies and private companies having paid up share capital of less than ₹100 crores.

The above limit is 20 company audits per partner. Hence, overall limit for the firm is 40 company audits in given case excluding audits of OPC, dormant companies, small companies and private companies having paid up share capital of less than ₹100 crores.

In accordance with above law provisions, eligibility of firm is arrived as under: -

Total number of company audits held by firm		40
Less: companies excluded from ceiling		
Small companies	2	
OPC	1	
*Private cos with share capital of less than 100 crore	5	8
Companies hit by provisions of section 141(3)(g)		32

*Turnover limit for private companies is irrelevant as under relevant provisions, exemption criterion is in respect of private companies having paid up share capital of less than ₹100 crores. As all private companies have paid up share capital of ₹15 crore each, these are excluded from ceiling under section 141(3)(g).

Therefore, out of 40 company audits held by XY & Co., only 32 audit assignments are covered under provisions of section 141(3)(g).

Hence, firm can very well accept appointment of two more private companies having paid up capital in excess of ₹100 crore as only 32 companies are hit by provisions of section 141(3)(g).

Therefore, audit of two private companies can be accepted as discussed above.

PassBook's note: Out of syllabus (old scheme): the ceiling on the number of company audits (section 141(3)(g) of the Companies Act, 2013, twenty companies per partner, excluding OPCs, dormant companies, small companies and private companies with paid-up share capital below ₹100 crore) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 8 · answer p. 4-5

1690 MTP **Old P6 Nov 2023 S-I Q3(d)** 3 marks old scheme

KZRG Private Limited, engaged in business of manufacturing of tea in Assam, is registered as small enterprise under Micro, Small and Medium Enterprises Development Act, 2006. Such manufacturing business falls in "non-regulated" sector. The turnover of company for year 2022-23 was ₹ 48 crore. Is the company required to maintain cost records for year 2023-24? Discuss.

ICAI'S ANSWER

Rule 3 of Companies (Cost Records and Audit) Rules, 2014 provides that the class of companies engaged in production of goods or providing services, having an annual turnover from all its products and services of ₹35 crore or more during the immediately preceding financial year are required to include cost records for such products or services in their books of accounts.

However, this rule excludes a company classified as a **micro enterprise or small enterprise** including as per turnover criteria provided under Micro, Small and Medium Enterprises Development Act, 2006.

In the given situation, turnover of company is ₹35 crore or more for year 2022-23. However, it is registered as a small enterprise under Micro, Small and Medium Enterprises Development Act, 2006. Therefore, this rule is not applicable to the company.

Hence, the company is not required to maintain cost records in year 2023-24.

PassBook's note: Out of syllabus (old scheme): which companies must maintain cost records (Rule 3 of the Companies (Cost Records and Audit) Rules, 2014, the ₹35 crore turnover threshold and the exclusion of micro and small enterprises) belonged to old Paper 6's company audit content on cost records and cost audit.

ICAI · Old P6 · MTP Nov 2023 · Series I · question p. 9 · answer p. 5

1691 MTP **Old P6 May 2023 S-I** General MCQ 6 1 mark

MCQ old scheme

Any casual vacancy in the office of a Cost Auditor, whether due to resignation, death or removal, shall be filled by the Board of Directors within _____ days of occurrence of such vacancy and the company shall inform the central government in Form CRA-2 within 30 days of such appointment of cost auditor.

A 30 Days

B 45 Days

C 60 Days

D 90 Days

ICAI'S ANSWER

(A)

PassBook's note: Out of syllabus (old scheme): filling a casual vacancy in the office of a cost auditor (Companies (Cost Records and Audit) Rules, 2014, Form CRA-2) belonged to old Paper 6's company audit content on cost audit.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 5 · answer p. 1

1692 MTP **Old P6 May 2023 S-I** Q3(d) 4 marks old scheme

"The role of audit committee in corporate governance is not limited to making recommendation for appointment of auditors only." Discuss.

ICAI'S ANSWER

Audit committee performs wide functions. The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Under section 177 of companies Act, 2013, audit committee is responsible for following actions :-

(i) the recommendation for appointment, remuneration and terms of appointment of auditors of the company;]

(ii) review and monitor the auditor's independence and performance, and effectiveness of audit process;

(iii) examination of the financial statement and the auditors' report thereon;

(iv) approval or any subsequent modification of transactions of the company with related parties;

(v) scrutiny of inter-corporate loans and investments;

(vi) valuation of undertakings or assets of the company, wherever it is necessary;

(vii) evaluation of internal financial controls and risk management systems;

(viii) monitoring the end use of funds raised through public offers and related matters.

Hence, audit committee oversees range of matters including those related to making recommendation for appointment of auditors etc.

PassBook's note: Out of syllabus (old scheme): the functions of the audit committee under section 177 of the Companies Act, 2013 belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP May 2023 · Series I · question p. 7 · answer p. 4

1693 MTP **Old P6 Nov 2022 S-I** Q3(b) 4 marks old scheme

"**Section 139(1)** of the Companies Act, 2013 provides that every company shall, at the first annual general meeting appoint an auditor". Explain in detail.

ICAI'S ANSWER

Section 139(1) of the Companies Act, 2013 provides that every company shall, at the first annual general meeting appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its sixth annual general meeting and thereafter till the conclusion of every sixth meeting.

The following points need to be noted in this regard-

(i) Before such appointment is made, the written consent of the auditor to such appointment, and a certificate from him or it that the appointment, if made, shall be in accordance with the conditions as may be prescribed, shall be obtained from the auditor.

(ii) **Under Rule** 4 of The Companies (Audit and Auditors) Rules, 2014, the said certificate shall state the following:-

(a) the individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Act, the Chartered Accountants Act, 1949 and the rules or regulations made thereunder;

(b) the proposed appointment is as per the term provided under the Act;

(c) the proposed appointment is within the limits laid down by or under the authority of the Act;

(d) the list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

(iii) The company shall inform the auditor concerned of his or its appointment, and also file a notice of such appointment with the Registrar within 15 days of the meeting in which the auditor is appointed.

PassBook's note: Out of syllabus (old scheme): the appointment of a company's auditor at the first annual general meeting under section 139(1) of the Companies Act, 2013, with the auditor's consent and certificate under Rule 4 of the Companies (Audit and Auditors) Rules, 2014, belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP Nov 2022 · Series I · question p. 6 · answer p. 4-5

1694 MTP **Old P6 Nov 2022 S-II** Q3(b) 4 marks old scheme

ABC Ltd. removed their statutory auditor before the expiry of the firm's term by passing a resolution in the meeting of Board of Directors for his removal without obtaining prior approval of the Central Government. Has the company complied with the relevant provisions of the Companies Act in this regard?

ICAI'S ANSWER

According to Section 140(1), the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per Rule 7 of CAAR, 2014. Also,

(1) The application to the Central Government for removal of auditor shall be made in Form ADT-2 and shall be accompanied with fees as provided for this purpose under the Companies (Registration Offices and Fees) Rules, 2014.

(2) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.

(3) The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

It is important to note that before taking any action for removal before expiry of terms, the auditor concerned shall be given a reasonable opportunity of being heard.

Therefore, the company, ABC Ltd. has not complied with the above provisions of the Companies Act, 2013.

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term (section 140(1) of the Companies Act, 2013, Rule 7 of the Companies (Audit and Auditors) Rules, 2014, Form ADT-2) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 8-9 · answer p. 4

1695 MTP **Old P6 Nov 2022 S-II Q3(d)** 3 marks old scheme

Explain how the casual vacancy in the office of an auditor will be filled in case of a company.

ICAI'S ANSWER

As per Section 139(8), any casual vacancy in the office of an auditor shall -

(i) In the case of a company other than a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor General of India, be filled by the Board of Directors within 30 days. If such casual vacancy is as a result of the resignation of an auditor, such appointment shall also be approved by the company at a general

meeting convened within three months of the recommendation of the Board and he shall hold the office till the conclusion of the next annual general meeting.

(ii) In the case of a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor-General of India, be filled by the Comptroller and Auditor-General of India within 30 days. It may be noted that in case the Comptroller and Auditor-General of India does not fill the vacancy within the said period the Board of Directors shall fill the vacancy within next 30 days.

PassBook's note: Out of syllabus (old scheme): filling a casual vacancy in the office of a company auditor (section 139(8) of the Companies Act, 2013) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP Nov 2022 · Series II · question p. 9 · answer p. 4-5

1696 MTP **Old P6 May 2022 S-II** Q5(b) 4 marks old scheme

Section 147 of the Companies Act, 2013 prescribes punishments for contraventions by the Company, its officers and auditors. Explain the provisions of Section 147 of the Companies Act, 2013.

ICAI'S ANSWER

Section 147 of the Companies Act, 2013 prescribes following punishments for contravention:

(1) If any of the provisions of sections 139 to 146 (both inclusive) is contravened, the company shall be punishable with fine which shall not be less than twenty-five thousand rupees, but which may extend

to five lakh rupees and every officer of the company who is in default shall be punishable with fine which shall not be less than ten thousand rupees, but which may extend to one lakh rupees.

(2) If an auditor of a company contravenes any of the provisions of section 139, section 144 or section 145, the auditor shall be punishable with fine which shall not be less than twenty-five thousand rupees, but which may extend to five lakh rupees or four times the remuneration of the auditor, whichever is less.

It may be noted that if an auditor has contravened such provisions knowingly or willfully with the intention to deceive the company or its shareholders or creditors or tax authorities, he shall be punishable with imprisonment for a term which may extend to one year and with fine which shall not be less than fifty thousand rupees but which may extend to twenty-five lakh rupees or eight times the remuneration of the auditor, whichever is less.

(3) Where an auditor has been convicted under sub-section (2), he shall be liable to: -

(i) refund the remuneration received by him to the company.

(ii) and pay for damages to the company statutory bodies or authorities or to members or the creditors of the Company for loss arising out of incorrect or misleading statements of particulars made in his audit report.

(4) The Central Government shall, by notification, specify any statutory body or authority of an officer for ensuring prompt payment of damages to the company or the persons under clause (ii) of sub-section (3) and such body, authority or officer shall after payment of damages such company or persons file a report with the Central Government in respect of making such damages in such manner as may be specified in the said notification.

(5) Where, in case of audit of a company being conducted by an audit firm, it is proved that the partner or partners of the audit firm has or have acted in a fraudulent manner or abetted or colluded in a fraud by, or in relation to or by, the company or its directors or officers, the liability, whether civil criminal as provided in this Act or in any other law for the time being in force, for such act shall be the partner or partners concerned of the audit firm and of the firm jointly and severally. However, in case of criminal liability of an audit firm, in respect of liability other than fine, the concerned partner or partners, who acted in a fraudulent manner or abetted or, as the case may be, colluded in any fraud shall only be liable.

PassBook's note: Out of syllabus (old scheme): the punishments for contravention of sections 139 to 146 (section 147 of the Companies Act, 2013) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP May 2022 · Series II · question p. 8 · answer p. 7

1697 MTP Old P6 Dec 2021 S-I Q4(d) 3 marks old scheme

As per Section 138 of the Companies Act, 2013 only listed companies are required to appoint an internal auditor.

ICAI'S ANSWER

Applicability of Provisions of Internal Audit: As per section 138 of the Companies Act, 2013 the following class of companies (prescribed in rule 13 of Companies(Accounts) Rules,2014) shall be required to appoint an internal auditor (which may be either an individual or a partnership firm or a body corporate), namely-

(1) every listed company;

(2) every unlisted public company having-

(i) paid up share capital of fifty crore rupees or more during the preceding financial year; or

(ii) turnover of two hundred crore rupees or more during the preceding financial year; or

(iii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year; or

(iv) outstanding deposits of twenty five crore rupees or more at any point of time during the preceding financial year; and

(3) every private company having-

(i) turnover of two hundred crore rupees or more during the preceding financial year; or

(ii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year.

In view of above, it would not be correct to state that only Listed Companies are required to appoint an internal auditor.

PassBook's note: Out of syllabus (old scheme): the companies that must appoint an internal auditor under section 138 of the Companies Act, 2013 and rule 13 of the Companies (Accounts) Rules, 2014 belonged to old Paper 6's company audit content.

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1698 MTP **Old P6 Jul 2021 S-I Q3(c)** 3 marks old scheme

You have been approached by HK Ltd. to be appointed as Cost Auditor for the F.Y. 2019-20. Company has requested you to provide a certificate confirming your eligibility as per the provisions of Companies Act, 2013. List down the matters to be included in the certificate.

ICAI'S ANSWER

Appointment of Cost Auditor: The Companies (Cost Records and Audit) Rules, 2014 requires the companies prescribed under the said Rules to appoint an Auditor within 180 days of the commencement of every financial year. However, before such appointment is made, the written consent of the cost auditor to such appointment and a certificate from him or it shall be obtained.

The certificate to be obtained from the cost auditor shall certify that the-

(i) the individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Companies Act, 2013, the Cost and Works Accountants Act, 1959 and the rules or regulations made thereunder;

(ii) the individual or the firm, as the case may be, satisfies the criteria provided in section 141 of the Companies Act, 2013 so far as may be applicable;

(iii) the proposed appointment is within the limits laid down by or under the authority of the Companies Act, 2013; and

(iv) the list of proceedings against the cost auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

PassBook's note: Out of syllabus (old scheme): the appointment of a cost auditor and the certificate of eligibility he gives under the Companies (Cost Records and Audit) Rules, 2014 belonged to old Paper 6's company audit content on cost audit; The new-scheme Paper 5 syllabus and the January 2027 Study Material do not cover cost audit. No tag.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 5

1699 MTP **Old P6 Jul 2021 S-I Q4(a)** 4 marks old scheme

Board of Directors of "XYZ Ltd." found the auditors of the Company acted in a fraudulent manner, and decided to remove the auditors in board's meeting. Comment on the action of Board of Directors and describe correct procedure to be followed for removal of auditors before expiry of their term.

ICAI'S ANSWER

Board of Directors of "XYZ Ltd" cannot remove the auditors in Board meeting. According to Section 140(1), the auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company, after obtaining the previous approval of the Central Government in that behalf as per Rule 7 of CAAR, 2014-

i. The application to the Central Government for removal of auditor shall be made in Form ADT-2and shall be accompanied with fees as provided for this purpose under the Companies (Registration Offices and Fees) Rules, 2014.

ii. The application shall be made to the Central Government within 30 days of the resolution passed by the Board.

iii. The company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.

iv. It is important to note that before taking any action for removal before expiry of terms, the auditor concerned shall be given a reasonable opportunity of being heard.

PassBook's note: Out of syllabus (old scheme): the removal of a company auditor before the expiry of his term by special resolution with the Central Government's prior approval (section 140(1) of the Companies Act, 2013, Rule 7, Form ADT-2) belonged to old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors); The new-scheme Paper 5

syllabus and the January 2027 Study Material do not cover it. No tag.

ICAI · Old P6 · MTP Jul 2021 · Series I · question p. 7 · answer p. 5

1700 MTP **Old P6 Jul 2021 S-II Q4(d)** 4 marks old scheme

"Mr. A is offered by ABC Ltd. for appointment as cost auditor and asked to certify certain requirements before such appointment." Discuss those requirements with reference to the provisions of the Companies Act, 2013.

ICAI'S ANSWER

Cost Auditor: Rule 6 of the Companies (Cost Records and audit) rules, 2014 required the companies prescribed under the said rules to appoint an auditor within 180days of the commencement of every financial year. However, before such appointment is made, the written consent of the cost auditor to such appointment and a certificate from him or it shall be obtained.

The certificate to be obtained from the cost auditor shall certify that the-

(i) the individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Companies Act, 2013, the Cost and Works Accountants Act, 1959 and the rules or regulations made thereunder;

(ii) the individual or the firm, as the case may be, satisfies the criteria provided in section 141 of the Companies Act, 2013 so far as may be applicable;

(iii) the proposed appointment is within the limits laid down by or under the authority of the Companies Act, 2013; and

(iv) the list of proceedings against the cost auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

PassBook's note: Out of syllabus (old scheme): the appointment of a cost auditor and the certificate obtained from him under rule 6 of the Companies (Cost Records and Audit) Rules, 2014 belonged to old Paper 6's company audit content on cost audit.

ICAI · Old P6 · MTP Jul 2021 · Series II · question p. 5 · answer p. 5

1701 MTP **Old P6 Nov 2020 S-I Q4(c)** 6 marks old scheme

"ABC & Co." is an Audit Firm having partners "Mr. A", "Mr. B" and "Mr. C", Chartered Accountants. "Mr. A", "Mr. B" and "Mr. C" are holding appointment as an Auditor in 4, 6 and 10 Companies respectively.

(i) Provide the maximum number of Audits remaining in the name of "ABC & Co."

(ii) Provide the maximum number of Audits remaining in the name of individual partner i.e. Mr. A, Mr. B and Mr. C.

(iii) Can ABC & Co. accept the appointment as an auditor in 60 private companies having paid-up share capital less than ₹ 100 crore, 2 small companies and 1 dormant company?

(iv) Would your answer be different, if out of those 60 private companies, 45 companies are having paid-up share capital of ₹ 110 crore each?

ICAI'S ANSWER

Fact of the Case: In the instant case, Mr. A is holding appointment in 4 companies, whereas Mr. B is having appointment in 6 Companies and Mr. C is having appointment in 10 Companies. In aggregate all three partners are having 20 audits.

Provisions and Explanations: Section 141(3)(g) of the Companies Act, 2013 states that the following persons shall not be eligible for appointment as an auditor of a company i.e. a person who is in full time employment elsewhere; or a person, or a partner of a firm holding appointment as its auditor, if such person, or partner is at the date of such appointment, or reappointment holding appointment as auditor of more than twenty companies other than one person companies, dormant companies, small companies and private companies having paid-up share capital less than ₹ 100 crore.

As per section 141(3)(g), this limit of 20 company audits is per person. In the case of an audit firm having 3 partners, the overall ceiling will be 3 × 20 = 60 company audits. Sometimes, a chartered accountant is a partner in a number of auditing firms. In such a case, all the firms in which he is partner or proprietor will be together entitled to 20 company audits on his account.

Conclusion:

(i) Therefore, ABC & Co. can hold appointment as an auditor of 40 more companies:

Total Number of Audits available to the Firm	= 20*3	= 60
Number of Audits already taken by all the partners In their individual capacity	= 4+6+10	= 20
Remaining number of Audits available to the Firm		= 40

(ii) With reference to above provisions an auditor can hold more appointment as auditor = ceiling limit as per section 141(3)(g)- already holding appointments as an auditor. Hence (1) Mr. A can hold: 20 - 4 = 16 more audits. (2) Mr. B can hold 20-6 = 14 more audits and (3) Mr. C can hold 20-10 = 10 more audits.

(iii) In view of above discussed provisions, ABC & Co. can hold appointment as an auditor in all the 60 private companies having paid-up share capital less than ₹ 100 crore, 2 small companies and 1 dormant company as these are excluded from the ceiling limit of company audits given under section 141(3)(g) of the Companies Act, 2013.

(iv) As per fact of the case, ABC & Co. is already having 20 company audits and they can also accept 40 more company audits. In addition they can also conduct the audit of one person companies, small

companies, dormant companies and private companies having paid up share capital less than ₹ 100 crores. In the given case, out of the 60 private companies, ABC & Co. is offered 45 companies having paid-up share capital of ₹ 110 crore each.

Therefore, ABC & Co. can also accept the appointment as an auditor for 2 small companies, 1 dormant company, 15 private companies having paid-up share capital less than ₹ 100 crore and 40 private companies having paid-up share capital of ₹ 110 crore each in addition to above 20 company audits already holding.

PassBook's note: Out of syllabus (old scheme): the ceiling on the number of company audits (section 141(3)(g) of the Companies Act, 2013: twenty companies per person, excluding one person companies, dormant companies, small companies and private companies with paid-up share capital less than ₹ 100 crore) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · MTP Nov 2020 · Series I · question p. 5 · answer p. 5-6

1702 MTP **Old P6 May 2020 S-I** Q3(c) 3 marks old scheme

Companies Act, 2013 prescribes that a person shall not be eligible for appointment as an auditor of a company if such person is at the date of such appointment or reappointment holding appointment as auditor of more than twenty companies. Explain stating the relevant provisions.

ICAI'S ANSWER

Ceiling on number of Audits:

1. Section 141(3)(g) of the Companies Act, 2013 prescribes that a person shall not be eligible for appointment as an auditor of a company namely – a person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such person or partner is at the date of such appointment or reappointment holding appointment as auditor of more than twenty companies other than one person companies, dormant companies, small companies and private companies having paid-up share capital less than Rs. 100 crore.
2. In the case of a firm of auditors, it has been further provided that 'specified number of companies' shall be construed as the number of companies specified for every partner of the firm who is not in full time employment elsewhere. This limit of 20 company audits is per person. In the case of an audit firm having 3 partners, the overall ceiling will be $3 \times 20 = 60$ company audits.
3. Sometimes, a chartered accountant is a partner in a number of auditing firms. In such a case, all the firms in which he is partner or proprietor will be together entitled to 20 company audits on his account. Subject to the overall ceiling of company audits, how they allocate the 20 audits between themselves is their affairs.

PassBook's note: Out of syllabus (old scheme): the ceiling on the number of company audits (section 141(3)(g) of the Companies Act, 2013, twenty companies per partner, excluding one person companies, dormant companies, small companies and private companies with paid-up share capital below ₹ 100 crore) belonged to old Paper 6's company audit chapter (qualifications and disqualifications of auditors).

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 5-6

1703 MTP **Old P6 May 2020 S-I Q4(a)** 4 marks old scheme

Where a company is required to constitute an Audit Committee, all appointments of an auditor under this section shall be made after taking into account the recommendations of such committee. Explain stating also the class of companies required to constitute Audit Committee.

ICAI'S ANSWER

Applicability of section 177 i.e. Constitution of Audit Committee: Where a company is required to constitute an Audit Committee under section 177, all appointments, including the filling of a casual vacancy of an auditor under this section shall be made after taking into account the recommendations of such committee.

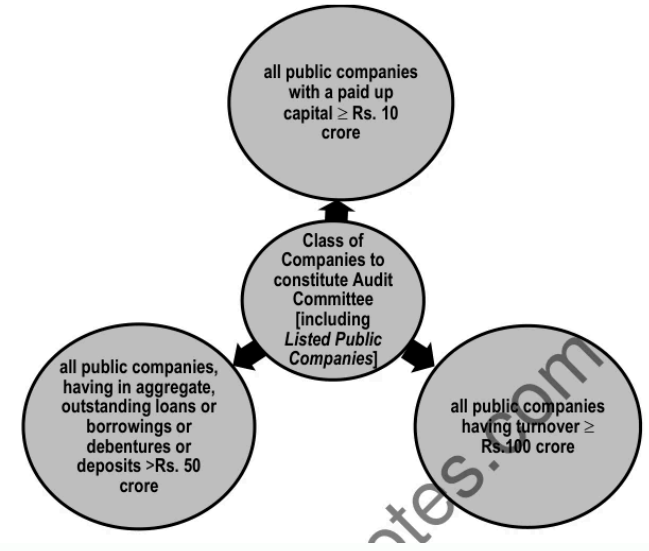
Diagram showing class of companies to constitute Audit Committee

It is important to know that in addition to ***listed public companies***, following classes of companies shall constitute an Audit Committee -

(i) all public companies with a paid up capital of ten crore rupees or more;

(ii) all public companies having turnover of one hundred crore rupees or more;

(iii) all public companies, having in aggregate, outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more..



PassBook's note: Out of syllabus (old scheme): the Audit Committee's recommendation for the appointment of auditors and the classes of companies that must constitute an Audit Committee (section 177 of the Companies Act, 2013 and its rule) belonged to old Paper 6's company audit chapter.

ICAI · Old P6 · MTP May 2020 · Series I · question p. 6 · answer p. 7

1704 MTP **Old P6 Nov 2019 S-I** Q6(d) 3 marks old scheme

CA. Donald was appointed as the auditor of PS Ltd. at the remuneration of Rs. 30,000. However, after 4

months of continuing his services, he could not continue to hold his office of the auditor as his wife got a government job at a distant place and he needs to shift along with her to the new place. Thus, he resigned from the company and did not perform his responsibilities relating to filing of statement to the company and the registrar indicating the reasons and other facts as may be relevant with regard to his resignation.

How much fine may he be punishable with under section 140(3) for non-compliance of section 140(2) of the Companies Act, 2013?

ICAI'S ANSWER

Provisions and Explanation: For non-compliance of sub-section (2) of section 140 of the Companies Act, 2013, the auditor shall be punishable with fine, which shall not be less than fifty thousand rupees or the remuneration of the auditor, whichever is less but which may extend to five lakh rupees, under section 140(3) of the said Act.

Conclusion: Thus, the fine under section 140(3) of the Companies Act, 2013 shall not be less than Rs. 30,000 but which may extend to Rs. 5,00,000.

PassBook's note: Out of syllabus (old scheme): the penalty under section 140(3) of the Companies Act, 2013 for an auditor who resigns without filing the statement required by section 140(2) was part of old Paper 6's Company Audit chapter (appointment, removal and resignation of auditors).

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 12

1705 MTP Old P6 Nov 2019 S-I Q6(e) 3 marks old scheme

"The remuneration of the auditor of a company shall be fixed in its general meeting or in such manner as may be determined therein." Explain with reference to provisions of the Companies Act, 2013.

ICAI'S ANSWER

As per section 142 of the Act, the remuneration of the auditor of a company shall be fixed in its general meeting or in such manner as may be determined therein. However, board may fix remuneration of the first auditor appointed by it.

Further, the remuneration, in addition to the fee payable to an auditor, includes the expenses, if any, incurred by the auditor in connection with the audit of the company and any facility extended to him but does not include any remuneration paid to him for any other service rendered by him at the request of the company. Therefore, it has been clarified that the remuneration to Auditor shall also include any facility provided to him.

PassBook's note: Out of syllabus (old scheme): the remuneration of a company's auditor under section 142 of the Companies Act, 2013 was part of old Paper 6's Company Audit chapter (appointment, remuneration, rights and duties of the auditor).

ICAI · Old P6 · MTP Nov 2019 · Series I · question p. 7 · answer p. 12